

Ares European Fund Solutions SICAV

Société d'investissement à capital variable

August 2026

Prospectus

Important Information

This confidential prospectus (as it may be amended, restated or supplemented from time to time, this “**Prospectus**”) is furnished on a confidential basis to investors primarily domiciled in countries of the European Economic Area (the “**EEA**”), the United Kingdom, Switzerland, certain Asian jurisdictions or certain other jurisdictions for the purpose of providing certain information about an investment in Ares European Fund Solutions SICAV (“**AEFS SICAV**”, such term including, unless the context otherwise requires, its Sub-Funds, and together with the AEFS Aggregators and the Parallel Entities (if any) (each as defined below), “**AEFS**”), an investment company with variable capital (*société d’investissement à capital variable* or “**SICAV**”) governed by Part II of the Luxembourg law of 17 December 2010 relating to undertakings for collective investment, as amended (the “**2010 Law**”) and established as a public limited liability company (*société anonyme*) in accordance with the Luxembourg law of 10 August 1915 on commercial companies, as amended (the “**1915 Law**”). AEFS SICAV is authorized and supervised by the Luxembourg supervisory authority, the *Commission de Surveillance du Secteur Financier* (the “**CSSF**”). **Such authorization does not, however, imply approval by any Luxembourg authority of the contents of this Prospectus or of the Investments held by AEFS. Any representation to the contrary is unauthorized and unlawful.**

AEFS SICAV is a multi-compartment umbrella fund comprised of one or more sub-funds (each a “**Sub-Fund**” and together the “**Sub-Funds**”). The investment objective and policy and any additional specific investment restrictions applicable to each Sub-Fund are described in the relevant Annex.

Capitalized terms not otherwise defined herein have the meaning set forth in Section XV: “*Definitions*” of the General Section of this Prospectus.

AEFS SICAV will be offered primarily through distributors or other financial intermediaries, which generally have client net worth thresholds and other requirements. Accordingly, AEFS SICAV is primarily intended for investors with such distributor or other financial intermediary relationships. Investors should consult with their distributor or other financial intermediary to discuss potential eligibility and suitability to invest in AEFS SICAV. AEFS SICAV may also be offered, directly or indirectly, to one or more professional or other sophisticated investors that meet relevant eligibility requirements for investing in AEFS SICAV.

Potential investors should pay particular attention to the information in Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*” of the General Section of this Prospectus. The purchase of shares in AEFS SICAV (“**Shares**”) entails a high degree of risk and is suitable for investors for whom an investment in AEFS SICAV does not represent a complete investment program, and who fully understand AEFS’s strategy, characteristics and risks, including the use of borrowings to leverage Investments. Investment in AEFS SICAV requires the financial ability and willingness to accept the high risks and lack of liquidity inherent in an investment in AEFS SICAV, and investors should consult with their financial advisors about the appropriate proportion of their overall investment which should be allocated into illiquid long-term investments. Shareholders in AEFS SICAV must be prepared to bear such risks for an extended period of time. No assurance can be given that AEFS SICAV’s investment objectives will be achieved or that investors will receive a return of their capital.

In particular, potential investors should also note that although redemptions are expected to be offered at the frequency set out in the relevant Annex, AEFS SICAV offers limited redemption rights. In accordance with the provisions of Section V: “*Subscriptions, Redemptions and Other Transactions*” of the General Section of this Prospectus, redemptions are subject to redemption limitations in case of redemption requests exceeding certain thresholds, redemption fees and other similar fees, and may in certain circumstances be subject to suspension as set out further in Section V: “*Subscriptions, Redemptions and Other Transactions*” of the General Section of this Prospectus. Accordingly, potential investors should be aware that no guarantees can be made as to the ability of investors in AEFS SICAV to fully redeem their Shares at any given Redemption Date.

In making an investment decision, investors must rely on their own examination of AEFS SICAV and the terms of the offering, including the merits and risks involved. Potential investors should not construe the contents of this Prospectus as legal, tax, investment or accounting advice. Each potential investor is urged to consult its own advisors with respect to the legal, tax, regulatory, financial and accounting consequences of an investment in AEFS SICAV.

Shares of AEFS SICAV will be widely available to investors which are eligible based on the terms of this Prospectus and in compliance with the AIFM Directive, and be marketed sufficiently widely and in a manner suitable to attract the eligible investors. Shares may be recommended, offered, sold or made available by any other means to Professional Investors, as well as to non-professional investors, above the thresholds and/or at the conditions in accordance with which they are permitted in their member state to invest in such an AIF (which may be considered to be Retail Investors), including investment in reserved AIFs by Italian Retail Investors under article 14, paragraph 2, of the Ministerial Decree No. 30 of 2015, as amended by the Ministerial Decree No. 19 of 2022. No further substantive criteria is intended to apply which would limit or deter eligible investors from investing in AEFS SICAV (other than any additional requirements which might be applied under AIFM Directive specifically in some EU jurisdictions for marketing to non-professional investors, such as minimum investment amounts, or eligibility requirements applied by specific financial intermediaries). Accordingly, Ares Management Luxembourg will issue a key information document for packaged retail and insurance-based investment products (“**KID**”) in line with Regulation (EU) No 1286/2014 of the European Parliament and of the Council of 26 November 2014 on key information documents for packaged retail and insurance-based investment products (“**PRIIPs Regulation**”) in relation to the relevant Sub-Fund.

The Shares are offered subject to AEFS SICAV’s ability to reject any potential investor’s subscription in whole or in part in its sole discretion.

No one is authorized to make any statements about this offering different from those that appear in this Prospectus and any representation to the contrary must not be relied upon. Neither the delivery of this Prospectus nor the offer, issue or sale of Shares of AEFS SICAV shall under any circumstances constitute a representation that the information contained herein is correct as of any date subsequent to the date on the cover hereof or, if earlier, the date when such information is referenced. Certain information contained in this Prospectus or as otherwise provided by Ares (as defined below) in connection with the offering (including certain forward-looking statements and information, as well as certain benchmarking, league table, market comparison and other similar information) has been obtained from published and non-published sources or prepared by other parties and in certain cases has not been updated through the date hereof. In addition, certain third-party information (including, without limitation, certain information concerning investment performance) contained herein has been obtained from, or otherwise relates to, companies in which investments have been made by Ares or Other Ares Funds (as defined below). While such sources are believed to be reliable, none of Ares, AEFS, the AIFM, the Investment Manager, any placement agent or any of their respective directors, officers, employees, partners, members, shareholders or affiliates or any other person, has taken any steps to verify, or assumes any responsibility for, the accuracy or completeness of such information or the methodologies or assumptions on which such information is based. Performance information set forth in this Prospectus is in Euro (“**EUR**”) unless otherwise specified.

The distribution of this Prospectus and the offer and sale of the Shares in certain jurisdictions may be restricted by law. This Prospectus does not constitute an offer to sell or the solicitation of an offer to buy Shares in any state or other jurisdiction to any person to whom it is unlawful to make such offer or solicitation in such state or jurisdiction. Potential investors should inform themselves as to the legal requirements and tax consequences within the countries of their citizenship, residence, domicile, and place of business with respect to the acquisition, holding, or disposal of Shares, and any U.S. or non-U.S. exchange restrictions that may be relevant thereto. The Shares may not be offered or sold, directly or indirectly, and this Prospectus may not be distributed in any state or jurisdiction, except in accordance with the legal requirements applicable in such state or jurisdiction (as applicable). Shares that are acquired by persons not entitled to hold them will be compulsorily redeemed.

Ares Management Luxembourg, a Luxembourg law governed private limited liability company (*société à responsabilité limitée*), with registered office at 14, Avenue Pasteur, L-2310 Luxembourg, Grand Duchy of Luxembourg and registered with the RCS under number B229410 (“**Ares Management Luxembourg**”) has been appointed as the external alternative investment fund manager of AEFS SICAV (“**AIFM**”). The AIFM is in charge *inter alia* of the risk management function of AEFS SICAV.

Ares Management Luxembourg (in such capacity, the “**Global Distributor**”) has been appointed to manage the global distribution of this offering. The Global Distributor may appoint one or more sub-distributors, who may be affiliates of the Global Distributor and/or the Investment Manager, to assist it in performing this function.

Ares Management Luxembourg has been authorized by the CSSF as an alternative investment fund manager pursuant to the 2013 Law (as defined below). Any reference herein to rights, powers or duties exercised or performed by the AIFM is exercised by the AIFM pursuant to the applicable alternative investment fund management agreement entered into between the AIFM and AEFS SICAV (as amended, restated or supplemented from time to time, the “**AIFM Agreement**”).

This Prospectus is to be used by the potential investor to which it is furnished solely in connection with the consideration of the subscription for the Shares described herein. **This Prospectus contains confidential, proprietary, trade secret and other commercially sensitive information and should be treated in a confidential manner.** Your acceptance of this document from Ares constitutes your agreement to (i) keep confidential all the information contained in this document, as well as any information derived by you from the information contained in this document or information otherwise received by you in connection with any subscription for Shares in AEFS SICAV (collectively, “**Confidential Information**”) and not disclose any such Confidential Information to any other person, (ii) not use any of the Confidential Information for any purpose other than to evaluate an investment in AEFS SICAV, (iii) not use the Confidential Information for purposes of trading any security, including, without limitation, securities of Ares or entities in which Ares or its affiliates have investments, and (iv) promptly return this document and any copies hereof to Ares upon Ares’ request, in each case subject to the confidentiality provisions more fully set forth in this Prospectus and any written agreement between the recipient and Ares, if any. This Prospectus may not be reproduced, or used in whole or in part for any other purpose, nor may it or any of the information it contains be disclosed or furnished to any other person without the prior written consent of the Investment Manager.

The Global Distributor and/or its delegates expect to retain selected financial intermediaries for AEFS that will receive compensation from AEFS SICAV and its investors for their placement and related ongoing services rendered with respect to AEFS SICAV.

Prevailing language and documents

The distribution of this Prospectus, the Articles and/or the Subscription Document in certain countries may require that these documents be translated into the official languages of those countries. Should any inconsistency arise between the translated versions of this Prospectus, the Articles and/or the Subscription Document, the English version will always prevail.

The terms in each Annex are only applicable to the relevant Sub-Fund to which it relates and should be read together with the terms set out in the general section of this Prospectus. The general section of this Prospectus sets out the general terms and conditions applicable to all Sub-Funds, unless otherwise provided for in respect of a specific Sub-Fund in the relevant Annex (the “**General Section**”). In case of conflict between the terms of the General Section and a Sub-Fund’s Annex, the terms of such Annex will prevail with respect to such Annex.

In the event that the descriptions or terms contained in this Prospectus are inconsistent with or contrary to the descriptions in, or terms of, the Articles or the Subscription Document (as defined herein), the Articles and such Subscription Document (if not in conflict with the Articles) will prevail.

Relationship between the AEFS Entities

AEFS is an umbrella investment program operated through several entities and the term “AEFS” is used throughout this Prospectus to refer to the umbrella program as a whole. Unless otherwise stated in the relevant Annex, the primary vehicle for investors to subscribe to AEFS is AEFS SICAV. AEFS may also have Parallel Entities for investors to subscribe to, which may be formed for investors’ legal, tax, regulatory and/or other reasons. AEFS makes its investments through a number of entities established for structuring purposes, which will be owned by the AEFS Aggregators, subsidiaries of AEFS SICAV and/or any Parallel Entities, as applicable.

This Prospectus offers an investment in AEFS SICAV. Unless otherwise stated in the relevant Annex, each Sub-Fund aims to achieve its investment objective by investing through an AEFS Aggregator, a subsidiary established as a Luxembourg special limited partnership (*société en commandite spéciale*) for the purpose of indirectly holding the Investments of AEFS. In addition, each Sub-Fund may be part of a “master-feeder” structure and operate as a feeder fund, as further described in the relevant Annex. As part of its investment strategy, each AEFS Aggregator may invest in or alongside certain other Ares-managed funds (the “**Other Ares Funds**”), to indirectly obtain exposure to such Other Ares Funds’ investments. Investment limitations and certain risk factors related to the AEFS Aggregator’s investment in Other Ares Funds are contained in this Prospectus. Specific risks related to investments in Other Ares Funds are duly taken into account by the conflicts of interest policy established by the AIFM in accordance with the framework of the AIFM Directive.

The most recent annual and semi-annual reports (as applicable) of AEFS SICAV are available at the registered office of the AIFM and will be sent to investors on request. Such reports shall be deemed to form part of this Prospectus.

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I. DESCRIPTION / OVERVIEW OF ARES, AEFS AND AEFS SICAV

Ares Overview

Ares Management Corporation (NYSE: ARES) (together, with its affiliates “Ares” or “Ares Management”), is a publicly traded, global alternative investment manager.

Ares was built upon the fundamental principle that each group benefits from being part of the broader platform. Ares believes the synergies resulting from collaboration across the platforms provide its professionals with more informed decision making as a result of shared industry experience, management relationships, and market insights, access to significant deal flow and a broader opportunity set, and the ability to assess relative value. Since its inception in 1997, Ares has adhered to a disciplined investment philosophy that focuses on delivering attractive risk-adjusted investment returns through market cycles.

Ares European Fund Solutions Overview

The object of AEFS SICAV is to place the funds available to it in various permitted assets such as, but not limited to, equity, loans, securities, money market instruments, units in undertakings for collective investment, credit institution deposits, derivatives, repos as well as any other permitted asset, denominated in various currencies and issued in various countries to the extent permitted by the 2010 Law, in each case as further described in the relevant Annex.

As each Sub-Fund’s investment objective and limitations may be different from those of other Sub-Funds of AEFS SICAV, the specific investment objective and policy and investment restrictions of each Sub-Fund are described in the relevant Annex. The subscription process is separate for each Sub-Fund, and investors should note that an investment into a Sub-Fund only relates to that specific Sub-Fund’s investment policy and pool of assets.

Unless otherwise stipulated in the respective Sub-Fund’s investment policy and within the limits described below, AEFS SICAV may use for each Sub-Fund financial derivative instruments and/or employ techniques and instruments, not only to manage risk and/or achieve efficient portfolio management but also as part of the investment strategy.

One consolidated version of the Prospectus including the General Section, the Annex(es) relating to the Sub-Fund(s) and the appendices will be kept at the registered office of AEFS SICAV. Due to potential differences in eligible investor requirements applicable to each Sub-Fund, applicable laws regarding the distribution of this Prospectus and other considerations, a separate prospectus composed of the General Section and each relevant Annex (including the relevant Appendices referred hereunder) may be issued for each Sub-Fund (each, a “**Sub-Fund Prospectus**”) and Shareholders and prospective investors in a Sub-Fund will only receive such Sub-Fund Prospectus. A version of the Prospectus including all Annexes is available upon request.

To achieve the investment objectives for a particular Sub-Fund, more sophisticated financial instruments may be used which are set out for each Sub-Fund in the relevant Annex. An investment in such categories involves a high degree of financial risk. Potential investors must take into consideration certain risk factors, which are inherent to such investment.

Unless otherwise stated in the relevant Annex, each Sub-Fund of AEFS SICAV aims to achieve its investment objective by investing through an AEFS Aggregator, a subsidiary established as a Luxembourg special limited partnership (*société en commandite spéciale*) for the purpose of indirectly holding the Investments of AEFS. See Section III: “Investment Information” of the General Section of this Prospectus. In addition, a Sub-Fund of AEFS SICAV may be part of a “master-feeder” structure and operate as a feeder fund, as further described in the relevant Annex.

AEFS SICAV cannot assure Shareholders and prospective investors that it will achieve its investment objectives. Please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*” of the General Section of this Prospectus for additional details on the risks associated with an investment in AEFS SICAV.

II. SUMMARY OF TERMS

Ares European Fund Solutions SICAV	
<i>The following information is presented as a summary of principal terms and is qualified in its entirety by reference to the articles of incorporation of Ares European Fund Solutions SICAV (as amended, restated or otherwise modified from time to time, the “Articles”), the Subscription Document and related documentation with respect thereto (collectively, with the Articles, the “Documents”), copies of which will be provided to each prospective investor upon request. The forms of such Documents should be reviewed carefully. In the event of a conflict between the terms of this summary and the Documents, the Documents will prevail. Capitalized terms not otherwise defined herein have the meaning set forth in Section XV: “Definitions” of this Prospectus.</i>	
AIFM:	Ares Management Luxembourg.
AEFS Structure:	Ares European Fund Solutions SICAV is a multi-compartment Luxembourg investment company with variable capital (<i>société d’investissement à capital variable</i>). AEFS SICAV has an umbrella structure consisting of one or more ring-fenced Sub-Funds. Subject to prior approval of the CSSF and an amendment of this Prospectus, the Board of Directors (or its delegate) may, at any time, create additional Sub-Funds, including, subject to an amendment of this Prospectus, one or more Sub-Funds authorised by the CSSF as European long-term investment funds under the ELTIF Regulation (each, an “ELTIF Sub-Fund”), whose features and characteristics (including, without limitation, the duration (finite or indefinite), the fees structure, the eligibility requirements, the terms governing the issues, the redemptions, the conversions and transfers of Shares, the investment objectives, policy and restrictions) may differ from those of the existing Sub-Funds.
Distributions:	Each Sub-Fund will make distributions in accordance with the terms of the relevant Annex.
Investment Objective and Strategy:	As each Sub-Fund’s investment objective and limitations are different from those of other Sub-Funds of AEFS SICAV, the specific investment objective and policy and investment restrictions of each Sub-Fund are described in the relevant Annex to this Prospectus.
Leverage:	Please refer to the Annex of the relevant Sub-Fund for details on the circumstances in which such Sub-Fund may use leverage or borrowing, the type and sources of leverage or borrowing permitted, restrictions on the use of leverage or borrowing and any collateral and asset reuse arrangement, and the maximum amount of leverage or borrowing that may be incurred by such Sub-Fund.
Subscriptions:	Subscriptions for Shares in each Sub-Fund will be accepted in accordance with the terms of the relevant Annex.
Redemptions:	Shareholders in each Sub-Fund will be offered redemption rights in accordance with the terms of the Annex governing such Sub-Fund.
Fees and Expenses:	AEFS and each Sub-Fund will be subject to various fees and expenses as further detailed in Section VII: “Fees and Expenses of AEFS” and in the relevant Annex.
Term:	Indefinite.

III. INVESTMENT INFORMATION

Unless otherwise stated in the relevant Annex, each Sub-Fund of AEFS SICAV aims to achieve its investment objective by investing through an AEFS Aggregator, a subsidiary established as a Luxembourg special limited partnership (*société en commandite spéciale*) for the purpose of indirectly holding the Investments of AEFS (collectively, the “**AEFS Aggregators**”). See Section III: “*Investment Information*” of the General Section of this Prospectus. In addition, a Sub-Fund of AEFS SICAV may be part of a "master-feeder" structure and operate as a feeder fund, as further described in the relevant Annex.

Each AEFS SICAV investment, whether held directly or through one or more intermediate vehicles (each an “**Intermediate Vehicle**”), is referred to as an “**Investment**”. For the avoidance of doubt, in applying and interpreting the terms of this Prospectus, the Investment Manager may, in its sole discretion, determine that Investments do not include Intermediate Vehicles, as the context may require.

The investment objective and policy and any additional specific investment restrictions applicable to the Sub-Fund are described in the relevant Annex.

IV. SHARE CLASS INFORMATION

Initial Offering Period

Until the end of each Sub-Fund's Initial Offering Period, the Shares of such Sub-Fund will be offered at the price and conditions specified in the relevant Annex.

Classes of Shares

Information relating to the classes of Shares ("**Classes**") that will be issued by each Sub-Fund are available in the relevant Annex.

The Board of Directors may, in its sole discretion, issue within each Sub-Fund one or more Classes of Shares in series as of different Subscription Dates or other defined time periods (each, a "**Series**"). In such case, the Board of Directors or its delegate may cause Shares of a later Series to be exchanged for Shares of a prior Series provided that such combination does not have an adverse effect on the NAV of any Share. Each Share will carry equal rights and privileges with each other Shares of the same Series.

Except as otherwise described in the relevant Sub-Fund's Annex, the terms of each Class of Shares are identical. Shares are issued in respect of a particular Class in the relevant Sub-Fund. Subject to prior notification of the CSSF, the Board of Directors (or its delegate) has the authority to, at any time, establish new Share Classes within any Sub-Fund having similar characteristics to the Shares in the existing Sub-Funds and create and issue new Classes or types of Shares within any Sub-Fund at its discretion, with Shares having different currencies, rights, benefits, powers or duties and terms, including with respect to fees, distributions and liquidity.

V. SUBSCRIPTIONS, REDEMPTIONS AND OTHER TRANSACTIONS

Subscriptions and Redemptions of Shares in AEFS

Potential investors in AEFS SICAV may subscribe for Shares at the price and conditions specified in the relevant Annex. The redemption, conversion and transfer rights attached to the Shares are specified in the relevant Annex.

Subscription in Kind

The Board of Directors may, in its sole discretion, issue Shares in consideration of assets contributed to the relevant Sub-Fund in kind; *provided*, that such contribution complies with the investment policy, target allocation and investments restrictions laid out under the relevant Annex; and *provided further*, that a valuation report, established in accordance with the 2010 Law and the 1915 Law, from the Auditor or any other independent auditor, selected from time to time by the Board of Directors, and confirming the value of the contributed assets is prepared in connection thereof.

The costs relating to an in-kind contribution (including any valuation costs) will be borne by the relevant contributing investor where it is demonstrated that such contribution costs are higher than the costs of acquiring the relevant assets from the market via a corresponding cash amount.

Payment of the Redemption Price in Kind

Unless otherwise stated in the relevant Annex, the Board of Directors may, if it so determines and with the consent of the redeeming Shareholder(s) (which shall retain the right to request a cash redemption payment) and where applicable, the manager, operator and/or general partner of any relevant portfolio fund and/or (co-)investment vehicle, satisfy settlement of the redemption to any Shareholder “in kind” by allocating to such Shareholder assets of the relevant Sub-Fund equal in value (or as close as possible thereto) as of the date on which the redemption price is calculated to the NAV of the Shares to be redeemed, *less* any applicable taxes, fees and charges. In proposing or accepting a request for redemption in kind at any given time, the Board of Directors shall take into account the interests of other Shareholders of the relevant Sub-Fund and the principle of fair treatment.

A Shareholder may elect, by giving written notice to the Board of Directors at least five (5) days prior to the proposed date of redemption in kind, to have the Board of Directors arrange for the sale of its share of the relevant assets on behalf of and for the account of such Shareholder, provided that such arrangement will not result in a violation of applicable laws or the delegation of any responsibility to the Board of Directors. Upon receipt of any such notice, the Board of Directors will cause the relevant assets to be held in escrow or a similar arrangement and will use reasonable endeavors to cause such assets to be sold at the best price reasonably obtainable in the circumstances to a third party (as determined by the Board of Directors in their sole discretion), including another Shareholder. If the Board of Directors are unable to sell such instruments within a reasonable time (as determined by the Board of Directors in their sole discretion), the Board of Directors may, in their discretion, appoint an agent to dispose of such instruments at the best price reasonably obtainable in the circumstances (as determined by the Board of Directors in their sole discretion). For all purposes of this Section, AEFS SICAV will be deemed to have realized proceeds in an amount equal to the NAV attributable to the assets held in escrow and/or a similar arrangement or sold pursuant to this Section, notwithstanding that the actual net proceeds of sale received by such Shareholder may be of a different amount. If a redemption in kind is made under this Section, the Board of Directors will take reasonable steps to procure that a certificate representing the instruments to which each Shareholder is entitled pursuant to such redemption is sent to such Shareholder and/or that appropriate steps are taken to record the transfer of title to such assets, as appropriate.

The settlement time of the redemption price in kind will be communicated to the relevant redeeming Shareholder(s) in due course.

In the event that any in-kind redemptions are made, the Auditor or any other auditor qualifying as *réviseur d'entreprises agréé* shall establish a report in respect of the in-kind redemption to the extent required by the 2010 Law and the 1915 Law.

The costs associated with such in-kind redemptions (in particular the report of the Auditor or any other auditor qualifying as *réviseur d'entreprises agréé*) shall be borne by the Shareholder(s) receiving the in-kind redemption

or by a third party but will not be borne by the relevant Sub-Fund unless the Board of Directors considers that the redemption in kind is in the interest of such Sub-Fund or made to protect the interest of the Shareholders in such Sub-Fund.

Merger, Split or Transfer of Sub-Funds or Classes

The Board of Directors may decide to allocate the assets of any Sub-Fund or Class to those of another existing Sub-Fund or Class within AEFS SICAV or to another Luxembourg undertaking for collective investment or to another Sub-Fund or Class within such other Luxembourg undertaking for collective investment (the “**New Sub-Fund**”) and to re-designate the Shares of the relevant Sub-Fund or Class as Shares of another Sub-Fund or Class (following a split or consolidation, if necessary, and the payment of the amount corresponding to any fractional entitlement to Shareholders). The decision to cause a merger may be made notably in the event that for any reason the value of the net assets of any Sub-Fund or Class has decreased to, or has not reached, an amount determined by the Board of Directors to be the minimum level for such Sub-Fund or Class to be operated in an economically efficient manner, or in case of a substantial modification in the political, regulatory, economic or monetary situation relating to such Sub-Fund or Class would have material adverse consequences on the Investments of that Sub-Fund or Class, or as a matter of economic rationalization and in addition to the possibility to terminate such Sub-Fund or Class referred to below.

The Board of Directors may decide to reorganize a Sub-Fund or Class by means of a division into two or more Sub-Fund or Classes.

A contribution of the assets of any Sub-Fund or Class to another undertaking for collective investment referred to in the first paragraph of this section or to another Sub-Fund or Class within such other undertaking for collective investment shall require a resolution of the Shareholders of AEFS SICAV or Class concerned, taken with a fifty percent (50%) quorum requirement of the Shares in issue and adopted at a 2/3 majority of the Shares present or represented at such meeting, except when such a merger is to be implemented with a Luxembourg undertaking for collective investment of the contractual type (*fonds commun de placement*) or a foreign based undertaking for collective investment, in which case resolutions shall be binding only upon such Shareholders who will have voted in favor of such merger.

Termination of a Sub-Fund or a Class

The Board of Directors may decide to liquidate and terminate a Sub-Fund or a Class by a compulsory redemption of all the Shares of the relevant Sub-Fund or Class, notably in the event that for any reason the value of the net assets of any Sub-Fund or Class has decreased to, or has not reached, an amount determined by the Board of Directors to be the minimum level for such Sub-Fund or Class to be operated in an economically efficient manner, or in case of a substantial modification in the political, regulatory, economic or monetary situation relating to such Sub-Fund or Class that would have material adverse consequences on the Investments of that Sub-Fund or Class, or as a matter of economic rationalization. The compulsory redemption of all the Shares of the relevant Sub-Fund or Class will be performed at their NAV per Share (taking into account actual realization prices of Investments and realization expenses) as calculated on the Valuation Date at which such decision shall take effect and all other expenses linked to the liquidation as decided by the Board of Directors. All redeemed Shares shall be cancelled by AEFS SICAV.

AEFS SICAV will serve a written notice to the Shareholders of the relevant Sub-Fund or Class prior to the effective date for the liquidation, which will set forth the reasons for, and the procedure of, the liquidation.

Any order for subscription and any redemptions shall be suspended as from the date the Board of Directors resolves upon of the termination of the relevant Sub-Fund or Class.

Should AEFS SICAV be voluntarily or compulsorily liquidated, its liquidation will be carried out in accordance with the provisions of Luxembourg law.

The liquidation of the last Sub-Fund shall cause the liquidation of AEFS SICAV in accordance with the procedures laid down in the Articles, this Prospectus and in the 1915 Law.

VI. CALCULATION OF NET ASSET VALUE

This Section VI: “*Calculation of Net Asset Value*” of this Prospectus sets out the general terms and conditions governing the calculation of NAV and the valuation of AEFS SICAV’s assets and will be applicable to all Sub-Funds, unless otherwise provided in respect of a specific Sub-Fund in the relevant Annex.

The NAV for each Class of Shares will first be determined as of the end of the month on which AEFS SICAV admits third-party investors. Thereafter, the NAV for each Class of Shares will be calculated monthly by the Central Administration as of the last day of the month under the oversight of the AIFM, and in each case with the support of the Investment Manager (as applicable). The AIFM is responsible for the proper and independent valuation of the assets of AEFS SICAV. The Investment Manager will assist the AIFM in the valuation of the assets of the relevant Sub-Fund, while the AIFM ensures that the valuation function is independent from the Investment Manager, and performed in accordance with Article 17(4) of the 2013 Law.

The NAV will be based on the month-end values of Investments, the addition of the value of any other assets (such as cash on hand), and the deduction of any liabilities, including the allocation/accrual of the AIFM Fee (if any), the Management Fee, the Performance Participation Allocation and the deduction of expenses attributable to certain Classes, such as applicable Servicing Fees, in all cases as described in this Prospectus and determined in accordance with the valuation policy (the “**Valuation Policy**”) adopted for AEFS SICAV or a specific Sub-Fund, as applicable. This section is only a summary. The Valuation Policy may be changed by the AIFM from time to time in its sole direction.

AEFS SICAV’s NAV is determined monthly in accordance with the Valuation Policy and the disclosure herein, and sets the price at which Shares are subscribed/redeemed. The Valuation Policy is generally aligned with the recognition and measurement requirements of IFRS. However, the NAV at which Shares are subscribed and redeemed and the valuations of assets and liabilities used in the determination of such NAV may differ from IFRS. The semi-annual and annual financial statements will provide a reconciliation between the NAV calculation in accordance with IFRS and the calculation of NAV in accordance with the Valuation Policy, where relevant.

The Central Administration has been appointed by the AIFM, in compliance with the 2013 Law, for the independent calculation of the NAV of each Class of Shares in accordance with Luxembourg laws and regulations. The Central Administration will perform its functions impartially and with the requested due skill, care and diligence.

Each Class of Shares may have a different NAV per Share because Servicing Fees, distributions and other fees as set forth in the applicable Annex may be charged differently or do not apply with respect to a Class.

The Net Asset Value per Share of a Class, the issue and redemption prices thereof, and the Net Asset Value of the units of the AEFS Aggregator and/or shares or units of Parallel Entities (if any) as well as the aggregate Net Asset Value are available at the registered office of AEFS SICAV and the Luxembourg office of the Central Administration Agent. The Board of Directors may from time to time in their discretion publish the Net Asset Value per Share of a Class and Sub-Fund in newspapers of international circulation.

AEFS SICAV shall make public the issue, sale and redemption price of the Shares each time it issues, sells and redeems its Shares, and at least once a month. The timing of the calculation of NAV may be modified from time to time by the AIFM in its sole discretion.

Notwithstanding anything herein to the contrary, in supporting the Central Administration in determining the NAV under the oversight of the AIFM, the Investment Manager may in its discretion, but is not obligated to, consider material market data and other information (as of the applicable month-end for which NAV is being calculated) that becomes available after the end of the applicable month in valuing AEFS SICAV’s assets and liabilities and calculating AEFS SICAV’s NAV. The AIFM and/or the Board of Directors may, but are not obligated to, suspend the determination of the AEFS SICAV’s NAV upon the AIFM’s and/or the Board of Directors’ reasonable determination that one or more of the conditions below have occurred: (i) when a force majeure event has occurred and is continuing and it is impracticable for the AIFM or the Investment Manager (as applicable) to dispose of or value all or a substantial part of AEFS’s assets; (ii) when the means of communication usually used to determine the price or value of an asset is out of service or otherwise unavailable; (iii) when, for any reason, the value of any asset cannot be determined promptly or accurately pursuant to AEFS’s Valuation Policy; or (iv) following a decision to liquidate or dissolve AEFS SICAV or one or several Sub-Funds.

For the avoidance of doubt, each Sub-Fund redemption program shall only be suspended in exceptional circumstances and not on a systematic basis, as further described under the relevant section of each Annex.

NAV will be expressed in the currency set-out in the relevant Sub-Fund's Annex. To the extent NAV per Share of any Class is denominated in a currency other than in the Reference Currency (if any) of a Sub-Fund, it will be allocated gains and losses attributable to hedging transactions and the expenses of the hedging program for purposes of subscriptions, redemptions and conversions of Shares, including financing facilities related to the hedging program.

CSSF Circular 24/856 regarding the protection of investors in case of NAV calculation error and correction of the consequences resulting from non-compliance with the investment rules is applicable to AEFS SICAV and its Sub-Funds and the tolerance threshold in case of NAV calculation errors applicable to each Sub-Fund is set out in the relevant Annex.

Valuation of Loans and Securities

In general, loans and securities acquired will be valued by the AIFM, in each case with the support of the Investment Manager (as applicable), based on market quotations or at fair value determined in accordance with the Valuation Policy. For the avoidance of doubt, acquisitions and dispositions of loans and securities will be reflected in AEFS SICAV's NAV on an as-settled basis.

Readily available market quotations

Investments for which market quotations are readily available will typically be valued at those market quotations. To validate market quotations, the AIFM will utilize a number of factors to determine if the quotations are representative of fair value, including the source and number of the quotations. Where it is possible to obtain reliable, independent market quotations from a third party vendor, the AIFM will use these quotations to determine the value of the Investments. The AIFM utilizes mid-market pricing (i.e., mid-point of average bid and ask prices) to value these Investments. The AIFM obtains these market quotations from independent pricing services, if available; otherwise from at least two principal market makers or primary market dealers. To assess the continuing appropriateness of pricing sources and methodologies, the AIFM, with the support of the Investment Manager, regularly performs price verification procedures and issues challenges as necessary to independent pricing services or brokers, and any differences are reviewed in accordance with the valuation procedures. The AIFM does not adjust the prices unless it has a reason to believe market quotations are not reflective of the fair value of an Investment.

No readily available market quotations

If market quotations are not readily available (or are otherwise not reliable for a particular Investment), the fair value will be determined in good faith by the AIFM. Due to the inherent uncertainty of these estimates, estimates of fair value may differ from the values that would have been used had a ready market for these Investments existed and the differences could be material. Market quotes are considered not readily available in circumstances where there is an absence of current or reliable market-based data (e.g., trade information, bid/ask information, or broker-dealer quotations). Certain Investments, such as mezzanine loans or preferred equity, are unlikely to have market quotations. The initial value of preferred equity and private company Investments will generally be the acquisition price of such Investment until such time as the AIFM subsequently revalues the Investment. The AIFM and Investment Manager will utilize generally accepted valuation methodologies to value such Investments.

In the case of loans acquired by, or originated by AEFS SICAV (on behalf of the relevant Sub-Fund(s) having such an investment strategy), such initial value will generally be the acquisition price of such loan. Each such Investment will then be valued by the AIFM within the first three full months after AEFS SICAV makes such Investment and no less frequently than quarterly thereafter in accordance with the procedures set forth in the immediately following paragraph. An independent valuation advisor will assess the quarterly assets valuations and provide AEFS SICAV with an independent range of values. In the month in which the independent valuation appraisal is received, the AIFM's end of month valuation must fall within the range of the independent appraisal; however, valuations thereafter may be outside of the range of values provided in the most recent independent appraisal. If market quotations are not readily available (or are otherwise not reliable for a particular Investment), the fair value of loans be determined in good faith by the AIFM using a yield analysis. To determine fair value using a yield analysis, the expected cash flows are projected based on the contractual terms of the debt security and discounted back to the measurement date based on a market yield. A market yield is determined based upon an assessment of current and expected market yields for similar investments and risk profiles. The

AIFM considers the current contractual interest rate, the maturity and other terms of the investment relative to risk of the company and the specific investment. A key determinant of risk associated with loans, among other things, is the leverage through the investment relative to the enterprise value of the Underlying Issuer. As debt investments held by AEFS are substantially illiquid with no active transaction market, AEFS depends on primary market data, including newly funded transactions, as well as secondary market data with respect to high yield debt instruments and syndicated loans, as inputs in determining the appropriate market yield, as applicable. The fair value of loans with call protection is generally capped at par plus applicable prepayment premium in effect at the measurement date. For each month that the AIFM does not perform a valuation of such Investments, it will review such Investments to confirm that there have been no significant events that would cause a material change in value of any such Investment.

The AIFM may determine that certain loans and securities Investments will be valued using different procedures.

Amortized costs methodology

Fees and costs of loans and other financial instruments in which AEFS invests, will be amortized in accordance with the amortized costs methodology provided under IFRS. If AEFS revises its estimates of receipts from any Investment, AEFS will adjust the carrying amount of such Investment to reflect actual and revised estimated cash flows. AEFS will recalculate the carrying amount by computing the present value of estimated future cash flows at the Investment's original effective interest rate or, when applicable, the revised effective interest rate. Such adjustment is recognized in profit or loss as income or expense. Fees that are an integral part of the effective interest rate of an Investment will include origination fees received by AEFS relating to the creation or acquisition of a financial asset or issuance of a financial liability (for example, fees for evaluating the borrower's financial condition, evaluating and recording guarantees, collateral, and other security arrangements, negotiating the terms of the instrument, and for processing transaction documents).

Investments in Other Ares Funds or Funds and Vehicles Managed by a Third-Party Manager

Any Investments of AEFS SICAV in any Other Ares Fund and funds or vehicles managed by a third-party manager (each being an “**Other Fund**”) will be valued based on the aggregate NAV of the relevant interests held by AEFS SICAV in such Other Fund as determined from the most recent available NAV per unit of such Other Fund. The AIFM may, but is not obligated to, incorporate into AEFS SICAV's NAV an unreported estimated determination of a NAV per unit of a relevant Other Fund that is more recent than the latest reported NAV per unit for such Other Fund, to the extent available. None of the AIFM, the Investment Manager, the general partner, manager and/or investment advisor of such Other Fund is obligated to monitor such Other Fund's investments for events that could be expected to have a material impact on the NAV of such Other Fund during a quarter.

VII. FEES AND EXPENSES OF AEFS

Management Fee

In consideration for its the portfolio management services in respect of each applicable Sub-Fund, the Investment Manager, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, may be entitled to payment of a management fee (the “**Management Fee**”) equal to an amount and payable as specified in the relevant Annex of each Sub-Fund.

Performance Participation Allocation/Performance Fee

Unless otherwise stated in the relevant Annex, the relevant Recipient may be allocated a performance participation (the “**Performance Participation Allocation**”) or a performance fee (the “**Performance Fee**”) in respect of each applicable Sub-Fund equal to an amount and payable at the conditions specified in the relevant Annex of each Sub-Fund.

AIFM Fee

In consideration for its services in respect of each Sub-Fund, the AIFM may be entitled to payment of a fee (the “**AIFM Fee**”) equal to an amount and payable as specified in the relevant Annex of each Sub-Fund.

Subscription Fees

Certain distributors or other financial intermediaries through which a Shareholder or an underlying investor, as appropriate, was placed in any Sub-Fund may charge such Shareholder upfront selling commissions, placement fees, subscription fees or similar fees (the “**Subscription Fees**”) as specified in the relevant Annex of each Sub-Fund. In certain circumstances, the Subscription Fees may be paid to the AIFM, the Investment Manager or the relevant Sub-Fund (but not reflected in its NAV) and reallocated, in whole or in part, to the distributor or other financial intermediary that placed the Shareholder into the relevant Sub-Fund.

Servicing Fee

Some Classes of Shares may bear a servicing fee which is allocated to the financial intermediary through which an underlying investor was placed in the relevant Sub-Fund and/or the financial intermediary which provides ongoing services to such underlying investor in each case as determined by the Investment Manager in its sole discretion (such fee, the “**Servicing Fee**”) as specified in the relevant Annex of each Sub-Fund.

Organizational and Offering Expenses

The Organizational and Offering Expenses (as defined below) may be apportioned to, and borne solely by, any Sub-Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion. Organizational and Offering Expenses incurred in relation to the launch of a new Sub-Fund will exclusively be borne by and paid out of the assets of such new Sub-Fund.

The Investment Manager will determine what Organizational and Offering Expenses are attributable to AEFS SICAV, any Sub-Fund, any AEFS Aggregator or any of their respective parallel vehicles, in its sole discretion.

Unless as otherwise provided in respect of a specific Sub-Fund in the relevant Sub-Fund Annex, the Investment Manager has agreed to advance all of AEFS SICAV’s (including the pro-rata expenses of AEFS SICAV attributable to any Sub-Fund and the expenses associated with any Parallel Entity and/or any feeder vehicle primarily established to hold Shares and in turn offer shares, units or interests in such feeder vehicle, as applicable, to investors located in specific jurisdictions in each case as determined by the Investment Manager from time to time (any such feeder vehicle being a “**Feeder Entity**”)), any Intermediate Vehicle’s and the AEFS Aggregator’s organizational and offering expenses on each entity’s behalf (including legal, accounting, printing, mailing, subscription processing and filing fees and expenses, due diligence expenses of participating financial intermediaries supported by detailed and itemized invoices, fees and expenses of any distribution platform or network, fees and expenses of negotiating distribution agreements, costs in connection with preparing sales materials, design and website expenses, fees and expenses of AEFS SICAV’s (including the pro-rata expenses of AEFS SICAV attributable to any Sub-Fund and the including any Parallel Entity’s, Feeder Entity’s, any Intermediate Vehicle’s and any AEFS Aggregator’s, as applicable) transfer agent, administrator, depository and provider of outsourced technology solutions provided in relation to the offering of the Shares (including, but not limited to, digital subscription process, digital redemption process, performance reporting dashboard, benchmark, portfolio reporting, cash-flow projection), fees to attend retail seminars sponsored by participating financial

intermediaries and reimbursements for Travel-related Expenses, lodging, entertainment and meals, but excluding Subscription Fees and Servicing Fees), any organizational and offering expenses and expenses of AEFS and any Feeder Entity that the Investment Manager has reasonably determined to be attributable to any Sub-Fund or AEFS SICAV as a whole (collectively, “**Organizational and Offering Expenses**”) through the Effective Date. AEFS SICAV, the relevant Sub-Fund and/or any AEFS Aggregator, as applicable, will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date (including any subsequent Effective Date in respect of any future Sub-Fund).

Operating Expenses

The Operating Expenses (as defined below) may be apportioned to, and borne solely by, any Sub-Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Operating Expenses are attributable to AEFS SICAV, the AEFS Aggregator or any of their respective Parallel Entities and/or Feeder Entities, in its sole discretion.

All costs and expenses related to the operations, activities and liquidation of AEFS SICAV (including the pro-rata expenses of operating AEFS SICAV attributable to each Sub-Fund), the proportion of expenses of any AEFS Aggregator borne by each Sub-Fund, the proportion of expenses of any Parallel Entities borne by each Sub-Fund, any of the AEFS SICAV’s direct or indirect subsidiaries, Feeder Vehicles or Intermediate Vehicles used by AEFS SICAV, but not including the expenses attributable to the Investment Manager as set forth in this Prospectus, shall be borne by AEFS SICAV and, to the extent paid by the Investment Manager (or other affiliates including, for the avoidance of doubt, the AIFM), as the case may be, shall be promptly reimbursed by AEFS SICAV. Operating Expenses may be incurred either before or after the date of incorporation of AEFS SICAV and shall include, without limitation, all the fees, costs, expenses, taxes, expected tax liabilities, liabilities and obligations of relating or attributable to:

- identifying, investigating, evaluating, diligencing, developing (including any retainers, success and finder’s fees and other compensation paid to contractors, senior advisors, joint venture partners and sourcing and operating partners), negotiating, organizing, structuring, studying (including any market studies), financing, purchasing, originating, researching sourcing (including attending industry and trade association meetings, conferences or events for purposes of sourcing and evaluating actual or potential investment opportunities), monitoring, operating, settling, trading, hedging, valuing, appraising, rating (including rating agency fees and expenses), holding (including any loan agency or services fees), registering (including notary costs), restructuring, syndicating, refinancing (including any brokerage, borrowing and financing fees or expenses), selling (or potentially selling), winding up, liquidating and disposing of actual or potential portfolio investments, temporary investments and bridge financings and other assets, including, without limitation any Travel-related Expenses, and any legal, financing, commitment, transaction or other fees and expenses payable to attorneys, accountants, tax professionals, investment bankers, brokers, finders, underwriters, lenders, third-party diligence and service providers, consultants (including expert networks and similar services), administrators and similar professionals or advisors in connection therewith, and other expenses related to the purchase, sale, settlement, custody, valuation or transmittal of the assets of AEFS SICAV (and/or of any Feeder Entity) and market data expenses, including, without limitation, news and quotation equipment, software and services;
- unconsummated investments (including all fees, costs and expenses described above and any liquidated damages, termination fees, reverse termination fees, forfeited deposits or other similar payments incurred in connection therewith) (collectively, “**Broken Deal Expenses**”) and, in the Investment Manager’s sole discretion, any Broken Deal Expenses that would have been allocated to actual or potential co-investors had such proposed portfolio investment been consummated and some or all of the expenses associated with a co-investment opportunity, irrespective of whether such co-investment opportunity is consummated, for which the Investment Manager, in its sole discretion, determines that any participants in such co-investment opportunity will not be required to bear (in whole or in part) and for which AEFS SICAV (and/or any Feeder Entity) may be expected to bear;
- the Management Fee;
- organization, operating and maintenance of any Parallel Entities, Feeder Entity, Portfolio Entities of AEFS, subsidiaries, or Intermediate Vehicles relating to AEFS SICAV or used to facilitate the purchase of one or more Portfolio Entities, including, without limitation, any related legal, accounting, banking,

corporate governance, administration, filing, regulatory, listing registered office and other administrative fees, costs and expenses;

- capital payments, interest and other expenses in respect of indebtedness or credit support, including, without limitation, financing fees, margin calls, up-front fees, prepayment fees, maintenance fees, unused facility fees and other costs and expenses (including legal costs and expenses) associated with negotiating, structuring, entering into, maintaining and terminating any credit facility or any other indebtedness or credit support for borrowing by AEFS SICAV, any holding vehicle, Intermediate Vehicle, Feeder Vehicles, special purpose vehicle, subsidiary, or any affiliate of AEFS SICAV;
- brokerage commissions, prime brokerage fees, custodial expenses, agent bank and other bank service fees and other investment costs, including costs and expenses related to appointments or changes of a depositary, representatives or paying agents appointed pursuant to the AIFM Directive or any law, rule or regulation relating to the implementation thereof in any relevant jurisdiction, costs and expenses related to appointments of or changes of jurisdiction-specific representatives and paying agents and the implementation thereof;
- collateral administration or other administrative or reporting tools (including subscription-based services) for the benefit of AEFS SICAV (and/or any Feeder Entity and Other Ares Funds);
- preparing, compiling, distributing and filing (each as applicable) financial statements and other reports (including the costs of licensing, implementing and maintaining any web portal, extranet tools or other reporting tools), side letter and most favored nation elections, tax returns, tax estimates, tax planning and structuring, tax information (including IRS Schedule K-1s or an equivalent report) to the Shareholders, or any administrative, compliance, legal, tax, or regulatory filings, registrations or reports (including any filings or reports contemplated by the AIFM Directive, MiFID or any similar law, rule or regulation and any filings, registrations or reports pursuant to laws in jurisdictions in which AEFS SICAV invests, has Shareholders domiciled or otherwise located in or otherwise does business), or other information (or information necessary to enable or facilitate the filing of any of the foregoing), including fees and costs of any third party service providers and professionals related to the foregoing;
- costs and fees of legal counsel, tax advisors, auditors, accountants, administrators, bookkeepers, custodians, consultants, compliance firms, investment bankers, underwriters, finders, valuation agents, third-party diligence and service providers, information technology providers, depositaries (including costs, fees and expenses related to appointments or changes of a depositary, representative or paying agents appointed pursuant to applicable laws and implementation thereof), directors (including, without limitation, non-independent directors of AEFS SICAV, any subsidiary acquisition vehicle, holdings vehicle, Intermediate Vehicles, Feeder Entities, or other special purpose entities for the benefit of AEFS SICAV), banks, agents, valuation agents, consultants (including operating advisors or those engaged for similar functions), compliance firms, information technology providers and other outside advisors and professionals and any Travel-related Expenses of personnel of the Investment Manager incurred in connection with attending meetings with such advisors or service providers;
- AEFS SICAV's (or any subsidiary acquisition vehicle, holding vehicle, Intermediate Vehicle, Feeder Entity or other special purpose entity for the benefit of AEFS SICAV) compliance with, registration under or exemption from any applicable law, rule or regulation associated with the activities of AEFS SICAV or the activities of the AIFM or the Investment Manager in respect of AEFS SICAV (including all expenses and costs (other than expenses and costs of the initial notifications, filings and compliance) arising pursuant to MiFID II, the AIFM Directive or any laws in jurisdictions in which AEFS SICAV invests, has Shareholders domiciled or otherwise located in or otherwise does business), including legal fees and expenses of outside counsel and other service providers with respect thereto;
- ongoing fees and expenses in connection with the services of any local agent or similar agent related to the administration of AEFS SICAV;
- fees, costs and expenses related to the presence of AEFS SICAV, the AIFM, the Investment Manager, Ares or its affiliates in Luxembourg and/or such jurisdictions in which AEFS SICAV maintains subsidiary acquisition vehicles, holding vehicles, Intermediate Vehicles, Feeder Vehicles or other special purpose entities of AEFS SICAV or its subsidiaries formed to make, hold or otherwise facilitate investments directly or indirectly on behalf of AEFS SICAV, including third party accommodation rental expenses, office equipment and domiciliation fees, directors fees, and costs and expenses (including

Travel-related Expenses) incurred in connection with attending or otherwise participating in directors' or other meetings of such entities and other similar expenses;

- an amount equal to 3.5 basis points per annum of the NAV (payable to the Investment Manager (or other affiliates including, for the avoidance of doubt, the AIFM), quarterly in arrears based on the NAV as of the last day of each fiscal quarter of AEFS SICAV, which excludes, for the avoidance of doubt, the cost basis of any portfolio investments attributable to any leverage used for the purposes of, or related to, making portfolio investments) (the “**Administrative Expense**”) in respect of internal costs of Ares related to its activities in respect of AEFS SICAV, subsidiary acquisition vehicles, holding vehicles, Intermediate Vehicles, Feeder Vehicles, or other special purpose entities of AEFS SICAV, including internal directors' fees, the costs, including salaries, of Ares personnel, the fees, costs and expenses associated with establishing, maintaining and administering a registered office for AEFS SICAV, subsidiary acquisition vehicles, holding vehicles, Intermediate Vehicles, Feeder Vehicles or other special purpose entities, and similar costs attributable to such entities, that the Investment Manager, acting reasonably and in the good faith interests of AEFS SICAV, deems advisable to support the presence of AEFS SICAV, the AIFM, Ares or its affiliates in Luxembourg and/or such jurisdictions in which AEFS SICAV maintains subsidiary acquisition vehicles, holding vehicles, Intermediate Vehicles, Feeder Vehicles or other special purpose entities of AEFS SICAV and certain internal costs and expenses of the AIFM, Ares and their affiliates related to their activities in respect of AEFS SICAV;
- annual, periodic and special meetings of the Shareholders, meetings with one or more Shareholders, or otherwise holding meetings and conferences of the Shareholders, including, without limitation, set-up, room and board, dining, entertainment, other Travel-related Expenses, honorarium, speaker fees and other meeting-related expenses, whether individually or as a group;
- insurance (including, for the avoidance of doubt, the costs and expenses of retaining independent legal counsel);
- liability, ERISA fidelity bonds and other insurance expenses, including insurance to protect AEFS SICAV, the AIFM, the Investment Manager, their respective officers, directors, employees, partners, managers and members, the Shareholders and the Shareholders that they represent in connection with the activities of AEFS SICAV, including an allocable portion of the premiums and fees for one or more umbrella policies that cover AEFS SICAV, Other Ares Funds and Ares affiliates;
- any tax or other audit, investigation, administrative or other proceedings, litigation and threatened litigation and proceedings relating to the business or activities of AEFS SICAV (including the cost of any investigation, prosecution, defense and/or preparation), including any judgment, other award or settlement entered into in connection therewith;
- indemnification obligations (including any fees, costs and expenses incurred in connection with indemnifying any Shareholder or other person pursuant to the Articles and this Prospectus and advancing fees, costs and expenses incurred by any such person in defense or settlement of any claim that may be subject to a right of indemnification pursuant to the Articles and this Prospectus) and any costs, losses, damages or other expenses related to any warranties or indemnities given by AEFS SICAV in relation to any portfolio investment, including where a claim has been made in respect of such warranties or indemnities;
- the termination, winding up, liquidation and dissolution of AEFS SICAV, any Feeder Entity, any Intermediate Vehicle, subsidiary acquisition vehicle or holding company of AEFS SICAV, and the Investment Manager;
- taxes, fees or government charges that may be assessed against AEFS SICAV (except to the extent such taxes, fees or government charges are set off against distributions to Shareholders or such tax, fee or charge is treated as having been distributed to Shareholders pursuant to this Prospectus), any taxes, fees, penalties, government charges, fines, or other similar charges levied or assessed against either AEFS SICAV (or its subsidiaries), the AIFM or the Investment Manager in respect of the Management Fee (excluding any taxes on its own net income payable by the AIFM in respect of the Management Fee);
- any extraordinary expense of AEFS SICAV, including fees and expenses associated with any tax or other audit, investigation, proceeding, regulatory matter, settlement or review of AEFS SICAV (or its subsidiaries), including, without limitation, any changes to the management structure and operation of

AEFS SICAV and the terms of this Prospectus, the AIFM Agreement, the Investment Management Agreement, the Depositary Agreement, the Administration Agreement and any agreement with any other provider of services to, or in respect of, AEFS SICAV as the AIFM considers to be necessary or desirable either to comply with the provisions of the AIFM Directive or similar regulations or seek to ensure that the management of AEFS SICAV is not subject to the provisions of the AIFM Directive or similar regulation, or arising from any material change in the legal, tax or regulatory system in which AEFS SICAV, the AIFM or the Investment Manager operates;

- filing, title, transfer, registration and other similar fees and expenses;
- printing, communications, marketing and publicity (including publicity and announcements relating to the closing or sale of portfolio investments);
- any activities with respect to protecting the confidential or non-public nature of any information or data;
- except as otherwise determined by the AIFM in its sole discretion, any fee, cost, expense, liability or obligation relating to any Feeder Entity or its activities, business, Portfolio Entities or actual or potential investments (to the extent not borne or reimbursed by a Portfolio Entity of such Feeder Entity) that would be an Operating Expense or Organizational and Offering Expense if it were incurred in connection with AEFS SICAV;
- any expenses incurred in connection with the formation, management, operation, termination, winding up and dissolution of any Feeder Entity to the extent not paid by the investors investing in such Feeder Entity;
- or enacted amendments to, and any waivers, consents or approvals pursuant to, the constituent documents of AEFS SICAV, the AIFM, the Investment Manager and related entities and any Feeder Entities, including the preparation, distribution and implementation thereof;
- or proposed transfer by a Shareholder (including the admission of a transferee as a substitute Shareholder) or any redemption of Shares;
- out-of-pocket expenses incurred in connection with the collection of amounts due to AEFS SICAV from any person; and
- any operating expenses of AEFS that the Investment Manager has reasonably determined to be attributable to AEFS SICAV in accordance with this Section of the Prospectus.

AEFS SICAV and its subsidiaries, such expenses, the “**Operating Expenses**”, including any other fees, costs, expenses, liabilities or obligations approved by the non-affiliated members of the Board of Directors, together with any irrecoverable VAT thereon which shall be payable in addition.

To the extent paid by the Investment Manager (or other affiliates including, for the avoidance of doubt, the AIFM), as the case may be, Operating Expenses shall be reimbursed by AEFS SICAV.

To the extent that Operating Expenses are incurred in relation to portfolio investments or prospective portfolio investments, in which Other Ares Funds are invested or also participated in the origination of such portfolio investment, as applicable, AEFS SICAV shall share in such expenses as determined by the Investment Manager in accordance with its expense allocation policies and procedures, which, other than for Broken Deal Expenses, will generally be pro rata based on the size of the AEFS SICAV’s commitment at the time of commitment to such portfolio investment relative to the size of the commitment of such Other Ares Funds at the time of commitment to such portfolio investment. Broken Deal Expenses will generally be allocated pro rata based on the size of AEFS SICAV’s actual or expected commitment relative to the size of the actual or expected commitment of such Other Ares Funds. Notwithstanding the foregoing, the Investment Manager may choose any other allocation method that it believes, in good faith, would be more fair or equitable under the specific circumstances if it determines that the foregoing allocation method would be unfair or inequitable under such circumstances.

Operating Expenses shall be paid out of current income and other cash proceeds from portfolio investments and, in the Investment Manager’s discretion, from the subscription price paid by Shareholders. AEFS SICAV may also borrow funds to pay Operating Expenses, including the Management Fee. The AIFM may withhold from any

distributions amounts necessary to create, in its discretion, appropriate reserves for Operating Expenses and liabilities.

Fees, costs, expenses, liabilities and other obligations include, whether or not specifically stated above related to any particular category of expense listed above, all legal, tax, consulting, accounting, advisory, banking, financing and other fees, costs and expenses charged by professionals and third-party service providers and any Travel-related Expenses of personnel of the Investment Manager incurred in connection with attending any meetings related to the business and activities of AEFS SICAV or with any professionals or third-party service providers of AEFS SICAV.

Notwithstanding the foregoing, any Organizational and Offering Expenses, Operating Expenses, or other fees, costs, expenses or liabilities which the Investment Manager determines in its good faith judgement to be specifically attributable to AEFS SICAV, shall in the discretion of the Investment Manager: (i) be treated as an expense, a share of which is allocable to AEFS SICAV pursuant to the terms of this Prospectus; or (ii) be allocated to such entity exclusively and additionally to such entity's allocations for Organizational and Offering Expenses and Operating Expenses pursuant to this Prospectus.

An updated description of all fees, charges and expenses and of the maximum amounts thereof (if applicable) which are directly or indirectly borne by the Shareholders is available at the registered office of AEFS SICAV.

Fees arising at multiple levels

To the extent the Management Fee and/or Performance Participation Allocation may apply at the level of AEFS SICAV, the AEFS Aggregators and/or any other intermediary vehicle or Parallel Entity, Shareholders will only be charged such Management Fee and/or Performance Participation Allocation by the Investment Manager once.

VIII. DISTRIBUTIONS

Each Sub-Fund will make distributions to the Shareholders in accordance with the terms of the relevant Annex.

IX. MANAGEMENT AND ADMINISTRATION OF AEFS SICAV

Ares

Ares Management Corporation (NYSE: ARES) is a publicly traded, global alternative investment manager.

Ares was built upon the fundamental principle that each group benefits from being part of the broader platform. Ares believes the synergies resulting from collaboration across the platforms provide its professionals with more informed decision making as a result of shared industry experience, management relationships, and market insights, access to significant deal flow and a broader opportunity set, and the ability to assess relative value. Since its inception in 1997, Ares has adhered to a disciplined investment philosophy that focuses on delivering attractive risk-adjusted investment returns through market cycles.

The AIFM

Ares Management Luxembourg, a Luxembourg law governed private limited liability company (*société à responsabilité limitée*), with registered office at 14, Avenue Pasteur, L-2310 Luxembourg and registered with the RCS under number B229410, has been appointed to act as AIFM in order to perform the investment management (including both portfolio and risk management), oversight, valuation and certain other functions in relation to AEFS SICAV. Ares Management Luxembourg is authorized as AIFM and supervised by the CSSF pursuant to the 2013 Law.

The AIFM performs the investment management (including both portfolio and risk management), oversight, valuation and certain other functions in relation to AEFS SICAV.

In consideration for its services in respect of each Sub-Fund, the AIFM will be entitled to payment of a fee equal to an amount and payable as specified in the relevant Annex of each Sub-Fund.

The Investment Manager

The AIFM may delegate its portfolio management function regarding a Sub-Fund to an investment manager as specified in the relevant Annex (the “**Investment Manager**”). The role and composition of the relevant investment committee will also be set out in the relevant Sub-Fund’s Annex. In accordance with the Articles, the Investment Manager of each Sub-Fund will be an entity affiliated with Ares or such other entity approved by Ares.

The Sub-Investment Manager(s)

An Investment Manager may delegate to and/or receive advice from one or more sub-investment manager(s) in respect of all or part of the portfolio management function in relation to a Sub-Fund, as specified in the relevant Annex (each a “**Sub-Investment Manager**”). The remuneration of a Sub-Investment Manager appointed in relation to a given Sub-Fund is set out in the relevant Annex and may include all or part of the Management Fee, Performance Fee, and/or Performance Participation Allocation payable in relation to such Sub-Fund.

The Board of Directors

As of the date of this Prospectus, the Board of Directors is currently composed of five (5) directors. Any reference to the term “Board of Directors” under this Prospectus shall include its delegate(s).

As of the date of this Prospectus, the directors of AEFS SICAV are:

Daniel Sinclair, Partner Credit, Ares Management Limited. Mr. Sinclair is a Partner in the Ares Credit Group, where he focuses on European direct lending. Additionally, Mr. Sinclair is a member of the Ares Credit Group’s European Direct Lending Investment Committee. Prior to joining Ares in 2007, Mr. Sinclair was an Associate Director in the Financial Sponsors Group at Barclays, where he focused on originating and transacting mid-market leveraged financings. Previously, Mr. Sinclair was part of the Marks & Spencer graduate program, where he focused on finance, undertaking roles in procurement, marketing and corporate finance. Mr. Sinclair holds a diploma from Leicester University in Management and an M.B.A., with merit, from Imperial College London.

Michael Thomas, Managing Director, Ares Management Luxembourg. Mr. Thomas joined Ares in 2014. He sits on the board of Ares Management Luxembourg, is the Conducting Officer for Portfolio Management and sits on the boards of several credit, real estate and private equity entities. Prior to joining Ares, Mr. Thomas was a Managing Director at Cazord & Co. and was a Principal at Park Square Capital in London. Previously, he worked in corporate finance/investment banking in New York at J.P. Morgan as a Vice President and at PaineWebber as an Associate. He began his career at State Street Bank & Trust / State Street Bank Luxembourg. Mr. Thomas holds a B.A., cum laude, from Boston University in Economics and an M.B.A. from the Northwestern University Kellogg School of Management.

Mark Serocold, Partner Wealth Management Solutions EMEA Ares Management Limited, London. Mr. Serocold is a Partner and Head of Ares European Wealth Management Solutions, which oversees Ares' client management activities in the global wealth channel. Prior to joining Ares in 2022, Mr. Serocold was a Managing Director at Blackstone in London, where he headed the EMEA Private Wealth fundraising team. Previously, he was a Senior Vice President at Neuberger Berman in Hong Kong, where he helped start the intermediary fundraising business in APAC. In addition, he was a Director at Schroders, where he covered the UK wealth management sector. Mr. Serocold holds a B.A. from Bristol University in Spanish.

Lou Kiesch. Mr. Kiesch was a partner within Deloitte's Investment Management Services business for 18 years, having initially joined Deloitte in 2001 as a Director in the Investment Management Services department where he headed up the Compliance and Regulatory Practice. Mr Kiesch has more than 30 years of experience within the financial industry having worked in Luxembourg, London, Frankfurt and Paris. Prior to joining Deloitte, Mr Kiesch worked at Allianz Asset Management and Fidelity Investments where he was in charge of the Continental Europe Compliance Department. He was the co-founder of the Luxembourg Compliance Officer's Association (ALCO) where he occupied the role of Vice President until April 2003. Lou was also a member of different ALFI working groups and chaired ALFI's committee for International Distribution. He was furthermore Vice-President of the ALFI Regulatory Board and served the ALFI Board for 10 years. He was responsible for the Distribution Committee at ALFI and represented Deloitte at the EFAMA Distribution Committee.

Virginie Lagrange. Virginie is Chair of the Board of the Institut Luxembourgeois Des Administrateurs (ILA), and is an Independent Director certified by ILA and INSEAD, as well as a former Qualified Auditor. She sits on Boards, audit / risk committees and remuneration / nomination committees of several banks, insurance companies and management companies. She has 28 years of experience in the Bank and Investment Fund industry in Luxembourg. She started as bank auditor at Ernst & Young in 1993. In 2000 she joined UBS as Head Internal Audit and then as Chief Risk Officer. In 2009 she became Chief Financial Officer at Credit Suisse and in 2010 she joined Nomura Bank Luxembourg as Chief Internal Auditor before being promoted Chief Administrative Officer. Virginie holds a Master in Management from the French Ecole de Commerce of Marseille. She speaks fluent French, German and English.

Conflicts Committee(s)

As set out in more detail in this Prospectus, conflicts of interests may be approved by the non-affiliated directors. The Board of Directors may also establish, under its responsibility, specific conflicts management committees with respect to one or more Sub-Funds (including to address conflicts of interests arising between Sub-Funds), as further described in the relevant Annex (each, a “**Conflicts Committee**”). The Conflicts Committee will have no specific rights and will not take part in the management of AEFS SICAV or any of its Sub-Funds and its role will be limited to opine on the matters deferred to it by the Board of Directors and/or as set out in the relevant Annex.

Non-Exclusivity

The functions and duties which the Board of Directors, the AIFM, the Investment Manager and/or any of their affiliates undertake on behalf of AEFS SICAV will not be exclusive and they perform similar functions and duties for themselves and for others and, without limitation, act as manager, investment advisor, general partner (or equivalent) in respect of other funds, accounts or other products.

Depository and Central Administration

The Depository of AEFS SICAV

AEFS SICAV has appointed The Bank of New York Mellon SA/NV, acting through its Luxembourg Branch, having its registered office at Vertigo Building - Polaris, 2-4, rue Eugène Ruppert L-2453 Luxembourg, Grand Duchy of Luxembourg, as depository bank and paying agent of AEFS SICAV (“**BONY**” or the “**Depository**”)

pursuant to the 2010 Law and the terms of a depositary bank and paying agent agreement entered into between AEFS SICAV, the AIFM and the Depositary (the “**Depositary Agreement**”).

The duties of the Depositary (as further detailed in the Depositary Agreement) include:

- (a) the safekeeping of AEFS SICAV’s financial instruments that can be held in custody and record keeping and verification of ownership of the other assets of AEFS SICAV,
- (b) oversight duties, and
- (c) cash flow monitoring.

The Bank of New York Mellon SA/NV, acting through its Luxembourg Branch is registered with the RCS under number B105087 and was incorporated in the Netherlands under the name “The Bank of New York Mellon SA/NV”. It is licensed to carry out banking activities under the terms of the Luxembourg law of 5 April 1993 on the financial services sector, as amended, and specializes in custody, fund administration and related services.

Delegation

The Depositary has been authorized by AEFS SICAV to delegate its safekeeping duties to sub-custodians in relation to financial instruments and to open securities accounts with such sub-custodians subject to compliance with Luxembourg law and the Depositary Agreement.

An up to date description of any safekeeping functions delegated by the Depositary and an up to date list of the delegates and sub-custodians may be obtained, upon request, from the Depositary.

The Depositary shall act honestly, fairly, professionally, independently and solely in the interests of AEFS SICAV and the Shareholders in the execution of its duties under the 2010 Law and the depositary bank and principal paying agent agreement.

Under its oversight duties, the Depositary will:

- ensure that the sale, issue, repurchase, redemption and cancellation of Shares effected on behalf of AEFS SICAV are carried out in accordance with the 2010 Law and with the Articles and this Prospectus;
- ensure that the value of Shares is calculated in accordance with the 2010 Law, the Articles and this Prospectus;
- carry out the instructions of AEFS SICAV and the AIFM unless they conflict with the 2010 Law, the Articles or this Prospectus;
- ensure that in transactions involving AEFS SICAV’s assets, the consideration is remitted to AEFS SICAV within the usual time limits; and
- ensure that the income of AEFS SICAV is applied in accordance with the 2010 Law, the Articles or this Prospectus.

As paying agent of AEFS SICAV, the Depositary may receive contributions from Shareholders, deposit such payments in the cash accounts of AEFS SICAV that may be opened with the Depositary and pay any distributions and/or withdrawal amounts to the Shareholders from time to time; *provided*, that such services are currently expected to be performed by other financial entities, which may include Ares and its affiliates, in compliance with applicable law.

The Depositary will also ensure that cash flows are properly and effectively monitored in accordance with the 2010 Law and the Depositary Agreement.

Prime Broker

AEFS SICAV has not yet appointed a prime broker.

The Central Administration of AEFS SICAV

The Bank of New York Mellon SA/NV, acting through its Luxembourg Branch has been appointed as transfer and registrar agent and central administration agent of AEFS SICAV (“**BONY**” or the “**Central Administration**”) pursuant to an investment fund services agreement entered into between AEFS SICAV, the AIFM and the Central Administration (the “**Administration Agreement**”).

The duties of the Central Administration (as further detailed in the Administration Agreement) include *inter alia* keeping the accounts and holding the books and records of AEFS SICAV, calculating the NAV of AEFS

SICAV/any Sub-Fund(s) of AEFS SICAV, drawing up the annual financial statements of AEFS SICAV, maintaining the register of Shareholders of AEFS SICAV and recording any subscription, withdrawal or transfer of Shares in such register. The Central Administration may be assisted by Ares and its affiliates in the performance of any of these services as further specified in the operating memorandum as referred to in the Administration Agreement.

A summary of the fees which BONY is entitled to receive from AEFS SICAV in consideration for its services as Depository, Paying Agent and Central Administration is available to investors at the registered office of the AIFM.

BONY has been appointed to provide central administration services (including transfer agency services). In order to provide those services, BONY must enter into outsourcing arrangements with third-party service providers in or outside the BONY group (the “**BONY Sub-contractors**”). As part of those outsourcing arrangements, BONY may be required to disclose and transfer personal and confidential information and documents about a Shareholder and individuals related to the Shareholder (the “**Related Individuals**”) (such as identification data – including the Shareholder and/or the Related Individual’s name, address, national identifiers, date and country of birth, etc. – account information, contractual and other documentation and transaction information) (the “**Confidential Information**”) to the BONY Sub-contractors. In accordance with Luxembourg law, BONY is required to provide a certain level of information about those outsourcing arrangements to AEFS SICAV, which, in turn, must provide such information to the Shareholders. In this respect, information on AEFS SICAV’s processing of personal data (to the extent containing Confidential Information) is included in Section XII: “*Regulatory and Tax Considerations*” of the General Section of the Prospectus.

The nature of the outsourced activities includes IT system management, operation, development and maintenance services, reporting and investor services activities.

In any event, BONY is legally bound to, and has committed to AEFS SICAV that it will enter into outsourcing arrangements with BONY Sub-contractors which are either subject to professional secrecy obligations by application of law or which will be contractually bound to comply with strict confidentiality rules. Confidential Information will therefore only be accessible to a limited number of persons within the relevant BONY Sub-contractor, on “a need to know” basis and following the principle of the “least privilege.”

Global Distributor and Sub-Distributors

The Global Distributor will manage the global distribution of this offering and may, in certain circumstances for certain jurisdictions, delegate the distribution function to one or more sub-distributors, who may be affiliates of the Global Distributor and/or the Investment Manager, to assist it in performing this function. The Global Distributor may utilize its affiliates to perform some of its functions. The Global Distributor (and/or its delegates) agrees to, among other things, manage AEFS SICAV’s relationships with financial intermediaries (including distributors and distribution platforms) engaged by the Global Distributor (and/or its delegates) to participate in the distribution of Shares. The Global Distributor (and/or its delegates), will also coordinate AEFS SICAV’s marketing and distribution efforts with participating distributors and/or other financial intermediaries (including distributors and distribution platforms) (as applicable) and, to the extent possible, their registered representatives with respect to communications related to the terms of the offering, investment strategies, material aspects of operations and subscription procedures.

Independent Auditor

Ernst & Young Luxembourg SA, or any successor as appointed or removed by the general meeting of Shareholders upon proposal by the Board of Directors, will act as approved statutory auditor (*réviseur d’entreprises agréé*) of AEFS SICAV (the “**Auditor**”) and will audit AEFS SICAV’s annual report.

X. MEETINGS OF SHAREHOLDERS

The annual general meeting of the Shareholders of AEFS SICAV will be held at the registered office of AEFS SICAV or at such other place in Luxembourg within six months from the end of a Financial Year.

The general meeting shall be convened in accordance with the 1915 Law and the Articles. The requirements as to attendance, quorum and majorities at all general meetings are those laid down in the 1915 Law and in the Articles. Shareholders have, as set out in more detail in the Articles, *inter alia* the right to vote on amendments of the Articles. Please also see Section XIV: “*Documentation and Information / Amendments*” of the General Section of the Prospectus.

Each entire Share is entitled to one (1) vote.

Shareholders resolutions shall apply to AEFS SICAV, the relevant Sub-Fund as a whole and/or to all Shareholders of AEFS SICAV or Sub-Fund, as applicable *provided*, that any resolutions affecting the rights attached to the Shares of any Class and/or Sub-Fund(s) must be submitted to a vote of the Shareholders of the relevant Class and/or Sub-Fund(s), as applicable, in accordance with the Articles and the 1915 Law.

Except as otherwise required by the 1915 Law or as otherwise provided in the Articles, resolutions at a meeting of Shareholders duly convened are passed by a simple majority of the votes cast regardless of the proportion of the capital represented.

The Board of Directors may determine all other conditions that must be fulfilled by Shareholders for them to take part in any meeting of Shareholders.

XI. FINANCIAL YEAR, ACCOUNTING STANDARDS AND PERIODICAL REPORTS

Financial Year

Each financial year of AEFS SICAV will start on January 1st and end on December 31st of each year (each, a “**Financial Year**”), with the exception of the first financial year which will start on the date of the establishment of AEFS SICAV and end on December 31, 2024.

Accounting Standard

Accounts are prepared in accordance with IFRS.

Annual Report and Semi-Annual Report

AEFS SICAV will prepare, distribute and submit for approval its audited annual report, established in accordance with IFRS, to the Shareholders within six months after the end of each Financial Year. The audited annual report will contain financial statements audited by a Luxembourg auditor (*réviseur d'entreprises agréé*).

In addition and in accordance with the requirements of the 2010 Law, AEFS SICAV will prepare and distribute an unaudited semi-annual report to investors within three months following the period to which it refers.

The Board of Directors may, in its sole discretion, decide to provide Shareholders with additional unaudited reports at a higher frequency, and any other form of information or communication it deems appropriate.

Copies of the annual and semi-annual reports and financial statements may be obtained free of charge from the registered office of AEFS SICAV in Luxembourg.

With respect to ELTIF Sub-Funds, annual reports will also include the relevant disclosures required in accordance with the ELTIF Regulation, including, (i) a cash flow statement; (ii) information on any participation in instruments involving European Union budgetary funds; (iii) information on the value of the individual Qualifying Portfolio Undertakings and the value of other assets in which the ELTIF Sub-Fund has invested, including the value of financial derivative instruments used and (iv) information on the jurisdictions in which the assets of the ELTIF Sub-Fund are located.

XII. REGULATORY AND TAX CONSIDERATIONS

Organization

AEFS SICAV is a multi-compartment Luxembourg investment company with variable capital (*société d'investissement à capital variable*) governed by Part II of the 2010 Law and established as a public limited liability company (*société anonyme*) in accordance with the 1915 Law. AEFS SICAV is authorized and supervised by the CSSF.

AEFS SICAV has a multi-compartment structure and therefore consists of at least one Sub-Fund. Each Sub-Fund represents a portfolio containing different assets and liabilities and is considered to be a separate entity in relation to the Shareholders and third parties. The rights of Shareholders and creditors concerning a Sub-Fund or which have arisen in relation to the establishment, operation or liquidation of a Sub-Fund are limited to the assets of that Sub-Fund. No Sub-Fund will be liable with its assets for the liabilities of another Sub-Fund.

The individual Sub-Funds shall be designated by the names given in the relevant Annex of this Prospectus applicable to each such Sub-Fund. The Reference Currency in which the NAV of the corresponding Shares of a Sub-Fund is expressed is given in its relevant Annex.

Term

AEFS SICAV will continue for an indefinite period of time, unless put into liquidation in certain specified circumstances, including as described below under Section XIII: “*Dissolution and Liquidation of the Sub-Funds and AEFS SICAV.*” Each Sub-Fund may have an indefinite duration or a limited duration, as further described in its relevant Annex.

Temporary Suspension of Calculation of NAV, Subscriptions and Redemptions

The AIFM and/or the Board of Directors may, but are not obligated to, suspend the determination of NAV and/or AEFS SICAV’s offering and/or redemptions where circumstances so require and provided the suspension is justified having regard to the interests of Shareholders as further set out under Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Any such suspension shall be notified to the concerned Shareholders. No Shares will be issued nor redeemed during such suspension period. For the avoidance of doubt, the redemption program shall only be suspended in exceptional circumstances and not on a systematic basis, as further described under Section V: “*Subscriptions, Redemptions and Other Transactions*” of the relevant Sub-Fund Annex.

Certain Regulatory Matters

Alternative Investment Fund Managers’ Directive and Certain Luxembourg Regulatory Considerations

The AIFM Directive was transposed in Luxembourg law on 22 July 2013. The AIFM Directive regulates (i) alternative investment fund managers based in the European Economic Area (“EEA”), (ii) the management of any alternative investment fund established in the EEA and (iii) the marketing in the EEA of any alternative investment fund, such as AEFS SICAV. The AIFM Directive imposes detailed and prescriptive obligations on alternative investment fund managers established in the EEA, including the AIFM.

The corpus of rules formed by the AIFM Directive, the Commission Delegated Regulation (EU) No 231/2013 of 19 December 2012 (“**AIFM Regulation**”) and any binding guidelines or other delegated acts and regulations issued from time to time by the European Union relevant authorities pursuant to the AIFM Directive and/or the AIFM Regulation, as well as by any national laws and regulations that are taken in relation to (or transposing either of) the foregoing are hereafter referred to as the “**AIFM Rules**”.

The Alternative Investment Fund Manager of AEFS SICAV

AEFS SICAV has appointed the AIFM in order to perform the investment management (including both portfolio and risk management), oversight, valuation and certain other functions in relation to AEFS SICAV pursuant to the applicable alternative investment fund management agreement entered into between the AIFM and AEFS SICAV (the “**AIFM Agreement**”).

Description of Duties

The AIFM has initially been entrusted with the duties pertaining to the investment management functions of AEFS SICAV, namely (a) the portfolio management function and (b) the risk management function, but has delegated certain of such investment management duties to affiliates of the Investment Manager as described below. The AIFM may also provide certain marketing services to AEFS SICAV to the extent not otherwise delegated to Ares and its affiliates. The AIFM will also be responsible for the proper and independent valuation of the assets of AEFS SICAV. The Investment Manager will assist the AIFM in the valuation of the assets of AEFS SICAV. The individuals valuing AEFS SICAV's assets have experience in valuing the kinds of assets in which AEFS SICAV will invest.

Professional Liability

In accordance with the requirements of Article 9(7) of the AIFM Directive, the AIFM is holding additional own funds which are appropriate to cover potential liability risks arising from professional negligence and/or the AIFM is holding professional indemnity insurance against liability arising from professional negligence which is appropriate to the risks covered, as applicable.

Delegation

The AIFM has been permitted by AEFS SICAV to appoint delegates in relation to its functions in accordance with the AIFM Directive and the 2010 Law. Information about conflicts of interests that may arise from these delegations and that is not already disclosed in this Prospectus is available at the registered office of the AIFM.

The AIFM will monitor on a continuing basis the activities of the third parties to whom it has delegated functions. The agreements entered into between the AIFM and such third parties provide that the AIFM may give at any time further instructions to such third parties, and that it may withdraw their mandate under certain circumstances.

All delegations will be carried out in accordance with the AIFM Directive and the 2010 Law.

Fees and Expenses

In addition to receiving the Management Fee and/or AIFM Fee (as applicable), the AIFM shall be entitled to reimbursement of its out-of-pocket expenses.

Cross-Border Distribution of Funds

AEFS SICAV will also be in scope of Directive (EU) 2019/1160 and Regulation (EU) 2019/1156 on cross-border distribution of funds (together, the “**CBDF Rules**”) which have applied since August 2, 2021, as it is managed by an alternative investment fund manager established in the EU. The CBDF Rules intend to harmonize the regulation of the distribution of AIFs across EU Member States, in particular by imposing new rules on pre-marketing and more prescriptive requirements on the content and format of marketing communications.

As part of the new regulations on pre-marketing under the CBDF Rules, the AIFM will be required to: (i) notify the regulator of its home EU Member State that it is conducting pre-marketing (separately to the marketing notification(s) it will be required to make under the AIFM Directive above), and (ii) ensure that any pre-marketing materials sent to EU investors stays within the parameters imposed by the CBDF Rules, as implemented within the relevant EU Member States.

It is difficult to predict the full impact of the CBDF Rules as national implementation is awaited by some EU Member States. It is possible that there could be an adverse impact on AEFS SICAV due to the AIFM's increased regulatory burden in ensuring compliance with the additional notification and marketing communication content requirements described above, and in particular, in ensuring the pre-marketing parameters under the CBDF Rules are adhered to, which are likely to vary between different EU Member States.

Shareholders' Rights against Service Providers

It should be noted that Shareholders will only be able to exercise their rights directly against AEFS SICAV and will not have any direct contractual rights against the service providers of AEFS SICAV appointed from time to time. The foregoing is without prejudice to other rights which investors may have under ordinary rules of law or pursuant to specific legislation (e.g., a right of access to and rectification of personal data).

Shareholders' Rights in Case of a Financial Intermediary

Shareholders' attention is drawn to the fact that they will only be able to fully exercise their rights directly against AEFS SICAV, notably the right to participate in general meetings of Shareholders if they are registered in their own name in the register of Shareholders of AEFS SICAV. In cases where a Shareholder invests in a Sub-Fund through a financial intermediary investing in AEFS SICAV in his name but on behalf of the Shareholder as provided for above, it may not always be possible for the Shareholders (i) to exercise certain rights directly against AEFS SICAV or (ii) to be indemnified in case of NAV calculation error and/or non-compliance with investment rules and/or other errors at the level of AEFS SICAV, and certain rights attached to the Shares shall only be exercised through such intermediary.

Exculpation and Indemnification

To the fullest extent permitted by applicable law, none of the members of the Board of Directors, the AIFM, the Investment Manager, their respective affiliates or the respective directors, officers, representatives, agents, shareholders, members, partners and employees thereof or any other person who serves at the request of the AIFM or the Investment Manager on behalf of AEFS SICAV as a director, officer, agent, member, partner and employee (each, an “**Indemnified Party**”) will be liable to AEFS SICAV or any Shareholders for (i) any losses due to any act or omission by any Indemnified Party in connection with the conduct of the business of AEFS SICAV that is determined by the Indemnified Party in good faith to be in or not opposed to the best interests of AEFS SICAV, and, in the case of a criminal action or proceeding, where the Indemnified Party involved had no reasonable cause to believe such conduct was unlawful, unless that act or omission constitutes actual fraud, willful misconduct, gross negligence (*faute lourde*), a material violation of applicable laws, or a material breach of this Prospectus, the Articles, the AIFM Agreement or the Investment Management Agreement, (ii) any losses due to any action or omission by any other party/Shareholders, (iii) any losses due to any mistake, action, inaction, negligence, dishonesty, actual fraud or bad faith of any broker, placement agent or other agent as provided in this Prospectus, or (iv) any change in U.S. federal, state or local or non-U.S. (including Luxembourg) income tax laws, or in interpretations thereof, as they apply to AEFS SICAV or the Shareholders, whether the change occurs through legislative, judicial or administrative action.

To the fullest extent permitted by applicable law, AEFS SICAV will indemnify and hold harmless each Indemnified Party from and against any and all claims, liabilities, damages, losses, costs and expenses of any kind, including legal fees and amounts paid in satisfaction of judgments, in compromises and settlements, as fines and penalties and legal or other costs and expenses of investigating or defending against any claim or alleged claim, of any nature whatsoever, known or unknown, liquidated or unliquidated, that are incurred by any Indemnified Party and arise out of or in connection with the business of AEFS SICAV or the performance by the Indemnified Party of any of its responsibilities under the Prospectus, the Articles, the constitutive document of any parallel vehicle; *provided*, that an Indemnified Party will be entitled to indemnification under the Prospectus or the Articles only if the Indemnified Party acted in good faith and in a manner the Indemnified Party believed to be in or not opposed to the best interests of AEFS SICAV, and the Indemnified Party's conduct did not constitute actual fraud, willful misconduct, gross negligence (*faute lourde*), a material violation of securities laws, or a material breach of the Prospectus, the Articles, the AIFM Agreement or the investment management agreement and, with respect to any criminal action or proceeding, had no reasonable cause to believe such conduct was unlawful, or such liabilities did not arise solely out of a dispute between or among the officers, directors, employees or partners of the AIFM, the Investment Manager or their affiliates.

The AIFM may have AEFS SICAV purchase, at AEFS SICAV's expense, insurance to insure AEFS SICAV and any Indemnified Party against liability in connection with the activities of AEFS SICAV.

Applicable Laws and Jurisdiction

AEFS SICAV was incorporated on August 25, 2023, and continues for an indefinite period until AEFS SICAV is put into liquidation in the manner set forth in the Articles and this Prospectus. AEFS SICAV is governed by the laws of the Grand Duchy of Luxembourg. By entering into a Subscription Document, the Shareholder will enter into a contractual relationship governed by the Subscription Document, the terms of this Prospectus, the Articles and applicable laws and regulations.

Any action or proceeding against the parties relating in any way to the Articles or this Prospectus shall be brought and enforced in the District Court of the city of Luxembourg. The Subscription Document will contain similar terms.

Fair and Preferential Treatment

The AIFM intends that all Shareholders will be treated fairly in accordance with the relevant requirements of the AIFM Directive, the 2010 Law and applicable laws and regulations.

Notwithstanding the foregoing paragraph, a Shareholder may be granted “preferential treatment” within the meaning of, and to the widest extent allowed by, this Prospectus and the Articles. To the extent that a Shareholder obtains a “preferential treatment” or the right to obtain a “preferential treatment” a brief description of that preferential treatment, the type of Shareholder who obtained such “preferential treatment” and, where relevant, their legal or economic links with AEFS SICAV, the AIFM or the Investment Manager will be made available on a confidential basis upon request at the registered office of the AIFM to the extent required by applicable law and, in particular, in accordance with article 21 of the 2013 Law.

Other Information

The AIFM will make available to Shareholders in the annual reports for AEFS SICAV, and/or at any reasonable time during normal business hours (upon request after furnishing reasonable advance written notice to the AIFM) at the registered office of the AIFM, any information and/or documents which the AIFM or AEFS SICAV is or will be required by virtue of law (and in particular the 2013 Law and Article 21 thereof) to make available and any amendments or supplements thereto made from time to time; *provided*, that such availability will be reasonably related to such Shareholder’s interest as a Shareholder.

The locations of underlying vehicles (if applicable) in which AEFS SICAV may invest will be available at the registered office of the AIFM.

Acquisition of Major Holdings and Control of Non-Listed Companies

If AEFS SICAV, directly or indirectly, acquires or disposes of certain holdings in a non-listed company, the AIFM may be subject to certain reporting obligations set out in Articles 24 and following of the 2013 Law.

Best Execution

The AIFM acts in the best interest of AEFS SICAV when executing investment decisions. For that purpose, it takes into account price, costs, speed, likelihood of execution and settlement, order size and nature, or any other consideration relevant to the execution of the investments (best execution), except in cases where taking into account the type of asset, the best execution is not relevant. The AIFM has implemented written policies and procedures on due diligence as well as effective arrangements for ensuring that investment decisions are carried out in compliance with the investment objective and investment strategy of AEFS SICAV, taking into consideration and adhering to applicable risk limits. Where the Investment Manager is permitted to execute transactions, it will be committed contractually to apply equivalent best execution principles, if it is not already subject to equivalent best execution laws and regulations.

Remuneration

The AIFM has established a remuneration policy which shall be applicable to all identified staff members as specified in the AIFM Regulation and the ESMA Guidelines 2013/201. Any relevant disclosures shall be made in the financial statements, if applicable, in accordance with the 2013 Law.

Inducements

Third parties, including affiliates of the AIFM and/or the Investment Manager, may be remunerated or compensated in monetary form for distribution activities performed in relation to AEFS SICAV on terms AEFS SICAV, the AIFM and/or the Investment Manager have agreed with such parties. Such remuneration or compensation, if applicable, is generally expressed as a percentage of the annual management fee levied on AEFS SICAV, the AEFS Aggregators, the Parallel Entities and/or any Intermediate Vehicle; but may alternatively be expressed as a specific fee or rate of commission. With reference to his/her/their transactions, a Shareholder may receive further details of such remuneration or compensation arrangements or any amount received by or shared with such parties on request. Third parties involved in portfolio management activities of AEFS SICAV, including affiliates of the AIFM and/or the Investment Manager, whether they receive a service from another party or perform a service for the benefit of another party, may also receive from or grant benefits to these other parties in monetary or other form (including, but not limited to, soft dollar commissions, rebates or any other advantages). Such benefits, in monetary or other form, shall be used in the best interest of AEFS SICAV, the relevant Sub-

Fund(s) and the Shareholders and shall be disclosed to the AIFM. AEFS SICAV, the AIFM and the third parties take reasonable steps to ensure that such benefits are not likely to conflict with any duty that AEFS SICAV, the AIFM and the third parties are subject to under any relevant legal or regulatory provision.

Risk Management

The AIFM has established and maintains a dedicated risk management function that implements effective risk management policies and procedures in order to identify, measure, manage and monitor on an ongoing basis all risks relevant to AEFS SICAV's investment objective including in particular market, credit, liquidity, counterparty, operational and all other relevant risks. Furthermore, the risk management process ensures an independent review of the valuation policies and procedures as per Article 70 (3) AIFM Regulation. The risk profile of each Sub-Fund shall correspond to the size, portfolio structure and investment objective.

AEFS SICAV may use all financial derivative instruments for the purpose of hedging or investment.

The AIFM applies a comprehensive process based on qualitative and quantitative risk measures to assess the risks of AEFS SICAV. It thereby differentiates between investing mostly in liquid or sufficiently liquid securities and derivatives ("**Liquid AIFs**") and investing in limited liquidity assets (such as real estate, infrastructure and private equity) ("**Less Liquid AIFs**"), including AEFS SICAV. Less Liquid AIFs, such as AEFS SICAV, are typically subject to a dedicated risk management process with an enhanced due diligence and monitoring process. The risk assessment will be performed via a combination of quantitative and qualitative risk measures.

The risk management staff within the AIFM will supervise the compliance of these provisions in accordance with the requirements of applicable circulars or regulation issued by the CSSF or any European authority authorized to issue related regulation or technical standards which are applicable to AEFS SICAV.

The AIFM (or, as applicable for a given Sub-Fund, the Investment Manager under the oversight of the AIFM) has implemented appropriate systems with respect to the monitoring of risk spreading (comparable to that applicable to Part II UCIs) at the underlying level and specific processes and procedures are implemented in case of investment limitation breaches.

Liquidity Risk Management

The AIFM maintains a liquidity risk management process to monitor the liquidity risk of AEFS SICAV, which includes, among other tools and methods of measurement, the use of stress tests under both normal and exceptional liquidity conditions. Further details regarding the liquidity risk management process of AEFS SICAV are available upon request at any reasonable time during normal business hours (after furnishing reasonable advance written notice to the AIFM) at the registered office of the AIFM.

The AIFM will comply with the ESMA Guidelines ESMA34-39-897 on liquidity stress testing.

Anti-Money Laundering and Fight Against Terrorism Financing

Pursuant to EU and Luxembourg laws, regulations and guidance including, but not limited to: (i) Directive (EU) 2015/849 of the European Parliament and of the Council of 20 May 2015, on the prevention of the use of the financial system for the purposes of money laundering or terrorist financing, as amended (the "**5th Anti-Money Laundering Directive**"); (ii) the Luxembourg law of 12 November 2004, on the fight against money laundering and financing of terrorism, as amended (the "**Lux AML Law**"); (iii) the Grand Ducal Regulation of 1 February 2010, providing details on certain provisions of the Lux AML Law; (iv) the CSSF Regulation 12-02 on the fight against money laundering and terrorist financing, as amended; (v) the Luxembourg Law of 13 January 2019, on the register of beneficial owners, as amended; (vi) relevant CSSF regulations, circulars and guidelines, including but not limited to: (a) CSSF Circular 18/698 on the authorization and organization of investment fund managers incorporated under Luxembourg law; and (b) the European Banking Authority (EBA) Guidelines (EBA/GL/2021/02) on customer due diligence and the factors credit and financial institutions should consider when assessing the money laundering and terrorist financing risk associated with individual business relationships and occasional transactions under Articles 17 and 18(4) of the 5th Anti-Money Laundering Directive; (vii) the laws and regulations enforcing the Targeted Financial Sanctions Lists (as defined below), including the obligation to detect the countries, persons, entities and groups identified on such list; and (viii) any respective amendments or replacements, obligations have been imposed on all professionals of the financial sector to prevent the use of undertakings for collective investment for money laundering and financing of terrorism purposes (collectively, the "**AML/KYC Rules**").

“Targeted Financial Sanctions Lists” means the laws and regulations enforcing the international targeted financial sanctions lists issued from time to time by the United Nations and the EU, including the Luxembourg Law of December 19, 2020, on the implementation of restrictive measures in financial matters.

As a result of such provisions, the Central Administration must ascertain the identity of each Shareholder (except investors subscribing through a financial intermediary, in which case the financial intermediary will ascertain the identity of underlying investors in AEFS SICAV in accordance with the AML/KYC Rules, or with standards that are at least equivalent to the due diligence requirements under the AML/KYC Rules). The Central Administration (or the financial intermediary, as applicable) will require investors to provide any information and documentary evidence it deems necessary to effect such identification.

In case of delay or failure by an investor to provide the information or documents required, the application for subscription will not be accepted and in case of withdrawal, payment of redemption proceeds delayed. Neither the AIFM nor AEFS SICAV nor any affiliate thereof will have any liability for delays or failure to process subscriptions or payments as a result of an investor providing unsatisfactory information or no, or only incomplete, documentation.

Shareholders (and underlying investors, as applicable) are expected to provide additional or updated information or identification documents from time to time pursuant to ongoing client due diligence requirements under the AML/KYC Rules.

The Board of Directors, or any delegate thereof, may provide the Luxembourg beneficial owner register (the **“RBO”**) created pursuant to the Law of January 13, 2019, by establishing a register of beneficial owners (as amended, the **“RBO Law”**) with relevant information about any Shareholder or, as applicable, beneficial owner thereof, qualifying as a beneficial owner of AEFS SICAV within the meaning of Article 1(7) of the Lux AML Law. Further to the entry into force of the Law of 23 January 2025, adopted in response to the judgments of the European Court of Justice in Joined Cases C-37/20 and C-601/20 and amending inter alia the RBO Law, access to the website of the RBO is now limited to certain professionals only (as defined in Article 11 of the RBO Law) who have access to such information to the extent required by and subject to the conditions of Luxembourg anti-money laundering laws and regulations. By executing a Subscription Documents with respect to AEFS SICAV, each Shareholder (and underlying investor, as applicable) acknowledges that failure by a Shareholder, or, as applicable, beneficial owner thereof, to provide the Board of Directors, or any delegate thereof, with any relevant information and supporting documentation necessary for the Board of Directors, or any delegate thereof, to comply with its obligation to provide information and documentation to the RBO, is subject to criminal fines in Luxembourg.

AEFS SICAV and the AIFM (by itself and/or through its delegates or affiliates) shall ensure that due diligence measures on AEFS SICAV’s Investments are applied on a risk-based approach in accordance with the AML/KYC Rules.

Where Shares of AEFS SICAV are subscribed through a financial intermediary acting on behalf of its customers, due diligence will be performed (or procured that it is performed) both on such financial intermediary, as well as the customers (including any beneficial owners) in accordance with the AML/KYC Rules or equivalent standards, including by performing any enhanced due diligence required by the AML/KYC Rules and the AIFM’s policies with respect to investors investing in AEFS SICAV in such manner. Due diligence on the underlying investors (including any beneficial owners) will be performed (or procured that it is performed) by the financial intermediary.

Each Shareholder (including, for the avoidance of doubt, any Shareholder acting as financial intermediary or feeder fund to AEFS SICAV) and their underlying investors (if any) will, upon request, provide to AEFS SICAV such details, information and documentation supplied by, or relating to, itself and/or its underlying, as applicable, investors where AEFS SICAV (i) requires such information to comply with applicable law, regulations (including obligations under the AML/KYC Rules under applicable anti-money laundering regulations) or order of competent court, or (ii) is otherwise required to provide such information to any regulatory authority or body in any jurisdiction, in carrying out the AEFS SICAV’s investment strategy (including, but not limited to, for compliance with any foreign direct investment controls, related filing requirements, or requests for information in respect thereof, including any exchange of information requests under the FATCA Law, CRS-Law, Exchange of Information Directive, or other regime requiring the exchange of Tax Information (as defined below) that may apply in any relevant jurisdiction).

Data Protection

Prospective investors should be aware that, in making an investment in AEFS SICAV, and interacting with AEFS SICAV, and by its affiliates and/or delegates:

- (a) submitting the Subscription Documents;
- (b) communicating through telephone calls, online investor platforms, written correspondence, and emails (all of which may be recorded); or
- (c) providing personal data within the meaning given to it under data protection laws that apply to AEFS SICAV's processing of personal data, and includes any information that relates to, describes, identifies or can be used, directly or indirectly, to identify an individual (such as name, address, date of birth, personal identification numbers, sensitive personal information, passport information, financial information, and economic information) ("**Personal Data**") concerning individuals connected with the investor (such as directors, officers, trustees, employees, representatives, shareholders, investors, clients, beneficial owners and/or agents),

they will be providing AEFS SICAV, its affiliates and/or delegates with Personal Data.

AEFS SICAV has prepared a data privacy notice (a "**DPN**") detailing how AEFS SICAV will collect Personal Data, where it collects it from, and the purposes for which the Personal Data is used. This DPN explains what rights are given to individuals, how long Personal Data will be retained, who it will be shared with, the purposes of the processing, safeguards put in place where Personal Data is transferred internationally, and relevant contacts.

All new investors can access the DPN as part of the process to subscribe for Shares in AEFS SICAV by visiting <https://www.aresmgmt.com/privacy-policy> and by any other means that the DPN is provided to them by or on behalf of AEFS SICAV. All investors should read the DPN carefully before sharing any Personal Data in accordance with the steps noted in paragraphs (i), (ii) and (iii) above.

If you have any questions or concerns regarding the processing of Personal Data, please contact AresPrivacy@aresmgmt.com.

Foreign Account Tax Compliance Act

Capitalized terms used in this Chapter should have the meaning as set forth in FATCA Law (as defined below), unless provided otherwise herein.

FATCA generally imposes a reporting regime and potentially a 30% withholding tax with respect to (i) certain U.S. source income (including dividends and interest) ("**Withholdable Payments**") and (ii) a portion of certain non-U.S. source payments from non-U.S. entities that have entered into FFI Agreements (as defined below) to the extent attributable to Withholdable Payments. As a general matter, the rules are designed to require U.S. persons' direct and indirect ownership of non-U.S. accounts and non-U.S. entities to be reported to the U.S. Internal Revenue Service (the "**IRS**"). The 30% withholding tax regime applies if there is a failure to provide required information regarding U.S. ownership.

The governments of Luxembourg and the United States have entered into an intergovernmental agreement (an "**IGA**") regarding FATCA, implemented by the Luxembourg law transposing the Intergovernmental Agreement concluded on March 28, 2014 between the Grand Duchy of Luxembourg and the United States of America (the "**FATCA Law**"). Provided AEFS SICAV adheres to any applicable terms of the FATCA Law, AEFS SICAV will not be subject to withholding or generally required to withhold amounts on payments it makes under FATCA. Additionally, AEFS SICAV will not have to enter into an agreement (an "**FFI Agreement**") with the IRS and instead will be required to obtain information regarding its Shareholders and to report such information to the Luxembourg Tax Authority (as defined below), which, in turn, will report such information to the IRS.

Any tax caused by a Shareholder's failure to comply with FATCA will be borne by such Shareholder by charging of taxes and penalties of AEFS SICAV and redemption of Shares of such Shareholder, as described below in this section under "Data protection information in the context of FATCA processing."

Each prospective Shareholder and each Shareholder should consult its own tax advisors regarding the requirements under FATCA with respect to its own situation.

Each Shareholder and each transferee of a Shareholder's interest in AEFS SICAV shall furnish (including by way of updates) to the AIFM, or any third-party designated by the AIFM (a "**Designated Third-Party**"), in such form

and at such time as is reasonably requested by the AIFM (including by way of electronic certification) any information, representations, waivers and forms relating to the Shareholder (or the Shareholder's direct or indirect owners or account holders) as shall reasonably be requested by the AIFM or the Designated Third-Party to assist it in obtaining any exemption, reduction or refund of any withholding or other taxes imposed by any taxing authority or other governmental agency (including withholding taxes imposed pursuant to the Hiring Incentives to Restore Employment Act of 2010, or any similar or successor legislation or intergovernmental agreement, or any agreement entered into pursuant to any such legislation or intergovernmental agreement) upon AEFS SICAV, amounts paid to AEFS SICAV, or amounts allocable or distributable by AEFS SICAV to such Shareholder or transferee. In the event that any Shareholder or transferee of a Shareholder's interest fails to furnish such information, representations, waivers or forms to the AIFM or the Designated Third-Party, the AIFM or the Designated Third-Party shall have full authority to take any and all of the following actions: (i) withhold any taxes required to be withheld pursuant to any applicable legislation, regulations, rules or agreements; (ii) take any action in order to comply with any measures imposed by any taxing authority or other governmental agency; (iii) freeze any payments or redemptions in relations to the Shareholder's or transferee's interests in AEFS SICAV; (iv) redeem the Shareholder's or transferee's interest in AEFS SICAV, and (v) form and operate an investment vehicle organized in the United States that is treated as a "domestic partnership" for purposes of section 7701 of the U.S. Internal Revenue Code of 1986, as amended (the "**Code**"), and transfer such Shareholder's or transferee's interest in AEFS SICAV or interest in AEFS SICAV's assets and liabilities to such investment vehicle. If requested by the AIFM or the Designated Third-Party, the Shareholder or transferee shall execute any and all documents, opinions, instruments and certificates as the AIFM or the Designated Third-Party shall have reasonably requested or that are otherwise required to effectuate the foregoing. Each Shareholder hereby grants to the AIFM or the Designated Third-Party a power of attorney, coupled with an interest, to execute any such documents, opinions, instruments or certificates on behalf of the Shareholder, if the Shareholder fails to do so.

The Shareholders further undertake to inform AEFS SICAV of, and provide AEFS SICAV with all supporting documentary evidence of any changes related to its situation that may have implications on AEFS's compliance with FATCA within 30 days of the occurrence of such changes.

Data protection information in the context of FATCA processing

In accordance with the FATCA Law, Luxembourg Financial Institutions ("**FIs**") are required to report to the Luxembourg tax authority (i.e., *Administration des Contributions Directes*, the "**Luxembourg Tax Authority**") information regarding reportable persons such as defined in the FATCA Law.

AEFS SICAV is considered a sponsored entity and as such as a non-reporting Luxembourg financial institution and shall be treated as deemed compliant foreign FI as foreseen by FATCA. AEFS SICAV is the data controller and processes personal data of Shareholders and Controlling Persons as reportable persons for FATCA purposes.

AEFS SICAV processes personal data concerning Shareholders or their Controlling Persons for the purpose of complying with AEFS SICAV's legal obligations under the FATCA Law. These personal data include the name, date of birth, address, U.S. tax identification number, the country of tax residence and residence address, the account number (or functional equivalent), the account balance or value, the total gross amount paid or credited by AEFS SICAV to the Shareholders (including redemption payments) during a given calendar year, and any other relevant information in relation to the Shareholders or their Controlling Persons for the purposes of the FATCA Law (the "**FATCA Personal Data**").

The FATCA Personal Data will be reported by the AIFM or the Central Administration, as applicable, to the Luxembourg Tax Authority. The Luxembourg Tax Authority, under its own responsibility, will in turn pass on the FATCA Personal Data to the IRS in application of the FATCA Law.

In particular, Shareholders and Controlling Persons are informed that certain operations performed by them will be reported to them through the issuance of statements, and that part of this information will serve as a basis for the annual disclosure to the Luxembourg Tax Authority.

Shareholders and Controlling Persons are informed that they have a right to access any data reported regarding such Shareholder or Controlling Person to the Luxembourg Tax Authority pursuant to FATCA Law and CRS-Law, and to have such data rectified in the event of an error.

FATCA Personal Data may also be processed by AEFS SICAV's data processors ("**Processors**") which, in the context of FATCA processing, may include the AIFM and the Central Administration.

AEFS SICAV's ability to satisfy its reporting obligations under the FATCA Law will depend on each Shareholder or Controlling Person providing AEFS SICAV with the FATCA Personal Data, including information regarding direct or indirect owners of each Shareholder, along with the required supporting documentary evidence. Upon request of AEFS SICAV, each Shareholder or Controlling Person must provide AEFS SICAV with such information. Failure to do so within the prescribed timeframe may trigger a notification of the account to the Luxembourg Tax Authority.

Although AEFS SICAV will attempt to satisfy any obligation imposed on it to avoid any taxes or penalties imposed by the FATCA Law, no assurance can be given that AEFS SICAV will be able to satisfy these obligations. If AEFS SICAV becomes subject to a tax or penalty as result of the FATCA Law, the value of the Shares may suffer material losses.

Any Shareholder or Controlling Person that fails to comply with AEFS SICAV's documentation requests may be charged with any taxes and penalties of the FATCA Law imposed on AEFS SICAV (*inter alia*: as at the date of this Prospectus, withholding under section 1471 of the Code, a fine of up to €250,000 which may be increased by an amount of up to 0.5 percent of the amounts that should have been reported and a lump sum fine of €10,000 for late or no reporting) attributable to such Shareholder's or Controlling Person's failure to provide the information and AEFS SICAV may, in its sole discretion, redeem the Shares of such Shareholders.

Shareholders and Controlling Persons should consult their own tax advisor or otherwise seek professional advice regarding the impact of the FATCA Law on their investment.

FATCA Personal Data will be processed in accordance with the provisions of the data protection notice which will be made available in the application form issued by AEFS SICAV to the Shareholders.

Common Reporting Standard

Capitalized terms used in this Chapter should have the meaning as set forth in CRS-Law, unless provided otherwise herein.

AEFS SICAV may be subject to the Standard for Automatic Exchange of Financial Account Information in Tax matters (the "**Standard**") and its Common Reporting Standard (the "**CRS**") as set out in the Luxembourg law dated 18 December 2015 implementing Council Directive 2014/107/EU of 9 December 2014 as regards mandatory automatic exchange of information in the field of taxation (the "**CRS-Law**").

Under the terms of the CRS-Law, AEFS SICAV is to be treated as a Luxembourg Reporting Financial Institution (a "**Reporting FI**"). As such and without prejudice to other applicable data protection provisions, AEFS SICAV will be required to annually report to the Luxembourg Tax Authority personal and financial information related, *inter alia*, to the identification of, holdings by and payments made to (i) certain Shareholders as per the CRS-Law (the "**Reportable Persons**") and (ii) Controlling Persons of certain non-financial entities ("**NFEs**") which are themselves Reportable Persons. This information, as exhaustively set out in Annex I of the CRS-Law (the "**Information**"), will include personal data related to the Reportable Persons.

AEFS SICAV's ability to satisfy its reporting obligations under the CRS-Law will depend on each Shareholder providing AEFS SICAV with the Information, along with the required supporting documentary evidence. In this context, the Shareholders are hereby informed that, as data controller, AEFS SICAV will process the Information for the purposes as set out in the CRS-Law. The Shareholders undertake to inform their Controlling Persons, if applicable, of the processing of their Information by AEFS SICAV.

The term "**Controlling Person**" means, in the present context, any natural persons who exercise control over an entity. In the case of a trust it means the settlor(s), the trustee(s), the protector(s) (if any), the beneficiary(ies) or class(es) of beneficiaries, and any other natural person(s) exercising ultimate effective control over the trust, and in the case of a legal arrangement other than a trust, persons in equivalent or similar positions. The term "Controlling Persons" must be interpreted in a manner consistent with the Financial Action Task Force Recommendations.

The Shareholders are further informed that the Information related to Reportable Persons within the meaning of the CRS-Law will be disclosed to the Luxembourg Tax Authority annually for the purposes set out in the CRS-Law.

Similarly, the Shareholders undertake to inform AEFS SICAV within 30 days of receipt of these statements should any included personal data not be accurate. The Shareholders further undertake to inform AEFS SICAV of, and

provide AEFS SICAV with all supporting documentary evidence of any changes related to the Information within 30 days of the occurrence of such changes.

Although AEFS SICAV will attempt to satisfy any obligation imposed on it to avoid any taxes or penalties imposed by the CRS-Law, no assurance can be given that AEFS SICAV will be able to satisfy these obligations. If AEFS SICAV becomes subject to a tax or penalty as result of the CRS-Law, the value of the Shares may suffer material losses.

Any Shareholder that fails to comply with AEFS SICAV's Information or documentation requests may be held liable for penalties imposed on AEFS SICAV and which are attributable to such Shareholder's failure to provide the Information.

Each prospective Shareholder and each Shareholder should consult its own tax advisors regarding the requirements under the CRS-Law with respect to its own situation.

Data protection information in the context of CRS processing

In accordance with the CRS-Law, FI are required to report to the Luxembourg Tax Authority information regarding Reportable Persons such as defined in the CRS-Law.

As a Luxembourg Reporting FI, AEFS SICAV is the data controller and processes personal data of Shareholders and Controlling Persons as Reportable Persons for the purposes set out in the CRS-Law.

In this context, AEFS SICAV may be required to report to the Luxembourg Tax Authority the name, residence address, TIN(s), the date and place of birth, the country of tax residence(s), the account number (or functional equivalent), the account balance or value, the total gross amount paid or credited to the Shareholder by AEFS SICAV (including any redemption payments) with respect to the account, as well as any other information required by applicable laws (i) of each Reportable Person that is an account holder, and (ii), in the case of a Passive NFE within the meaning of the CRS-Law, of each Controlling Person that is a Reportable Person (the "**CRS Personal Data**").

CRS Personal Data regarding the Shareholders or the Controlling Persons will be reported by the Reporting FI to the Luxembourg Tax Authority. The Luxembourg Tax Authority, under its own responsibility, will in turn pass on the CRS Personal Data to the competent tax authorities of one or more CRS reportable jurisdiction(s). AEFS SICAV processes the CRS Personal Data regarding the Shareholders or the Controlling Persons only for the purpose of complying with AEFS SICAV's legal obligations under the CRS-Law.

In particular, Shareholders and Controlling Persons are informed that certain operations performed by them will be reported to them through the issuance of statements, and that part of this information will serve as a basis for the annual disclosure to the Luxembourg Tax Authority.

CRS Personal Data may also be processed by the Processors, which, in the context of CRS processing, may include the AIFM and the Central Administration.

AEFS SICAV's ability to satisfy its reporting obligations under the CRS-Law will depend on each Shareholder or Controlling Person providing AEFS SICAV with the CRS Personal Data, including information regarding direct or indirect owners of each Shareholder, along with the required supporting documentary evidence. Upon request of AEFS SICAV, each Shareholder or Controlling Person must provide AEFS SICAV with such information. Failure to do so within the prescribed timeframe may trigger a notification of the account to the Luxembourg Tax Authority.

Tax Information and Tax Liability

Each Shareholder shall provide in a timely manner any information, form, disclosure, certification or documentation ("**Tax Information**") that AEFS SICAV and/or the AIFM may reasonably request in writing in order to maintain appropriate records, report such information as may be required to be reported to the Luxembourg tax authorities or any other tax or competent authority (the "**Tax Reporting Regimes**") and provide for withholding amounts, if any, in each case relating to each Shareholder's interest in or payments from AEFS SICAV including, without limitation, any information requested in order to comply with:

- (a) The FATCA provisions, including, for the avoidance of doubt, the agreement reached between the Government of the Grand Duchy of Luxembourg and the Government of the United States of America to

improve international tax compliance and to implement the Foreign Account Tax Compliance Provisions, signed on March 28, 2014, and approved within the Law of 24 July 2015, or any other agreement between the United States of America and any other jurisdiction implementing the Foreign Account Tax Compliance Provisions; or

- (b) European Union Council Directive 2014/107/EU, as amended, on the mandatory automatic exchange of information between tax administrations (the “**Exchange of Information Directive**”); or
- (c) European Union Council Directive 2011/16/EU (the “**DAC**”), as amended; or
- (d) The Multilateral Competent Authority Agreement on the Automatic Exchange of Financial Account Information signed by the Government of the Grand Duchy of Luxembourg on October 29, 2014 in relation to agreements with the participating jurisdictions listed in the table in schedule A to said agreement to improve international tax compliance based on the standard for automatic exchange of financial account information developed by the OECD; or
- (e) The directive (EU) 2017/952 of 29 May 2017 amending directive (EU) 2016/1164 as regards hybrid mismatches with third countries pursuant to which each Shareholder should be able to confirm that its investment does not give rise to a hybrid mismatch; or
- (f) Any law, rule or regulation pursuant to or implementing any of the FATCA, the Exchange of Information Directive, the DAC, the CRS or any other regime requiring the exchange of Tax Information; or
- (g) General tax rules whereby information on the Shareholder would be required for AEFS SICAV and/or the AIFM to conduct AEFS SICAV’s affairs (including but not limited to ensuring tax deductibility of payments made by AEFS SICAV and its affiliates).

The Shareholder shall use all reasonable endeavors to promptly supply to AEFS SICAV and/or the AIFM such information, affidavits, certificates, representations and forms that may reasonably be requested by AEFS SICAV and/or the AIFM in order for AEFS SICAV to comply with any applicable or future legal, or regulatory or tax requirements pursuant to this section.

Each Shareholder further agrees to update or replace any such Tax Information promptly to the extent such Shareholder is aware of any changes to any of the Tax Information it has provided, or that such Tax Information has become obsolete. In addition, each Shareholder shall take such actions as AEFS SICAV and/or the AIFM may request in order to enable any relevant entity to comply with any Tax Information requirements or mitigate any taxation and hereby authorizes each relevant entity to take such actions as it determines are needed in order to enable any relevant entity to comply with any Tax Information requirements, or mitigate any taxation (including but not limited to the disclosure of personal data).

A Shareholder shall indemnify AEFS SICAV and the other Shareholders for all loss, costs, expenses, damages, claims and/ or requests (including, but not limited to, any withholding tax, penalties or interest borne by AEFS SICAV and/or the Shareholders or any non-deductibility of a payment made by AEFS SICAV or its affiliates) arising as a result of such Shareholder’s failure to comply with any of the requirements set out in this section or any requests of AEFS SICAV and/or the AIFM under this section in a timely manner.

If requested by AEFS SICAV and/or the AIFM, the Shareholders shall promptly execute any and all documents or take such other actions as AEFS SICAV and/or the AIFM may require pursuant to this section. AEFS SICAV and/or the AIFM may exercise the power of attorney granted to them pursuant to the third to last paragraph of this section to execute any such documents or take such actions on behalf of any Shareholder in connection with the above if the Shareholder fails to do so.

In the event that any Shareholder fails to establish that payments and allocations to it are exempt from withholding or fails to comply with any of the requirements and fails to rectify any such failure, in each case in a timely manner (without regard as to whether such information was not provided due to the fact that it was not reasonably practicable for the Shareholder to obtain such information) and AEFS SICAV and/or the AIFM reasonably consider that any of the following is necessary or advisable, with respect to the Tax Reporting Regimes compliance matters, having regard to the interests of AEFS SICAV and Shareholders generally, AEFS SICAV and/or the AIFM shall have full authority (but shall not be obliged) to take any and all of the following actions:

- (a) withhold any withholding tax required to be withheld pursuant to any applicable legislation, regulations, rules or agreements;
- (b) allocate to a Shareholder any taxation and/or other costs which are attributable to that Shareholder, including any additional tax resulting from the non-deduction of an otherwise tax deductible payment (including, but not limited to, as a result of a hybrid mismatch in the sense of directive (EU) 2017/952 of 29 May 2017 amending directive (EU) 2016/1164 as regards hybrid mismatches with third countries);
- (c) request such Shareholder to withdraw from AEFS SICAV;

- (d) transfer such Shareholder's interests to a third-party (including, but not limited to, any existing Shareholder) in exchange for the consideration negotiated by the Investment Manager, AEFS SICAV and/or the AIFM in good faith for such interests; and/or
- (e) take any other action that AEFS SICAV and/or the AIFM deem, in good faith, to be reasonable in order to mitigate any adverse effect of such failure on AEFS SICAV or any other Shareholder.

Each Shareholder hereby irrevocably appoints AEFS SICAV and/or the AIFM (and its duly appointed attorney) as its true and lawful attorney to do all things and to execute any documents as may be required in connection with this section and each such Shareholder undertakes to ratify and confirm whatever AEFS SICAV and/or the AIFM (and/or its duly appointed attorneys) shall lawfully do pursuant to such power of attorney.

Irrespective of the application of the “**Tax Information**” section above, in the event that AEFS SICAV and/or the AIFM or any of their associates incur a liability (e.g., in case of denial of the tax deductibility) for any tax whether directly or indirectly, as a result of the participation of a particular Shareholder (or particular Shareholders) in AEFS, AEFS SICAV and/or the AIFM may, in their absolute discretion, determine that an amount equal to such tax liability shall be treated as an amount that has been allocated and distributed to such Shareholder (in which case such deemed allocation and distribution will be made between the relevant Shareholders on such appropriate *pro rata* basis as AEFS SICAV and/or the AIFM may determine in their absolute discretion) or give rise to indemnification by this investor. AEFS SICAV and/or the AIFM will give notice of such deemed allocation and distribution to the particular Shareholder (or particular Shareholders) concerned.

Taxation

This section is a short summary of certain important Luxembourg tax principles in relation to AEFS SICAV. The summary is based on the laws and practice currently in force and applied in Luxembourg at the date of this Prospectus. Provisions may change at short-term notice, possibly with retroactive effect.

This section does not purport to be a complete summary of tax law and practice currently applicable in Luxembourg and does not contain any statement with respect to the tax treatment of an investment in AEFS SICAV in any other jurisdiction. Furthermore, this section does not address the taxation of AEFS SICAV in any other jurisdiction or the taxation of any subsidiaries or intermediary companies of AEFS SICAV or of any investment structure in which AEFS SICAV holds an interest in any jurisdiction.

Prospective investors should inform themselves of, and where appropriate take advice on, the laws and regulations (such as those relating to taxation, foreign exchange controls and being a non-eligible investor) applicable to the subscription, purchase, holding, and redemption of Shares in the country of their citizenship, residence or domicile, and of the current tax status of AEFS SICAV in Luxembourg.

At the date of this Prospectus, under current law and practice, AEFS SICAV is not liable for any Luxembourg direct tax other than an annual subscription tax (*taxe d'abonnement*) of 0.05% per annum of the total net assets, calculated and payable at the end of each quarter. Part II UCIs (such as AEFS SICAV) may benefit from reduced subscription tax rates depending on the value of their net assets invested in economic activities that qualify as environmentally sustainable within the meaning of article 3 of EU regulation 2020/852 of 18 June 2020 (the “**Qualifying Activities**”) except for the proportion of net assets invested in fossil gas and/or nuclear energy related activities. The reduced subscription tax rates would be of:

- (a) 0.04% if at least 5% of the total net assets any individual Sub-Fund, are invested in Qualifying Activities;
- (b) 0.03% if at least 20% of the total net assets of any individual Sub-Fund, are invested in Qualifying Activities;
- (c) 0.02% if at least 35% of the total net assets of any individual Sub-Fund, are invested in Qualifying Activities;
- and
- (d) 0.01% if at least 50% of the total net assets of any individual Sub-Fund, are invested in Qualifying Activities.

The subscription tax rates mentioned above would only apply to the net assets invested in Qualifying Activities.

Additionally, in accordance with the 2010 Law, individual sub-funds and individual classes within a sub-fund are subject to a rate of 0.01%; *provided* that the relevant Shares are reserved for one or more institutional investors. Other exemptions from or reductions of the subscription tax rate may be available.

The income and gains of AEFS SICAV will not be subject to corporate income tax, municipal business tax and net wealth tax in Luxembourg. No dividend withholding taxes should be due on distributions made by AEFS SICAV to investors (whether resident or non-resident). Non-Luxembourg tax resident investors investing in AEFS

SICAV should not be subject to Luxembourg non-resident capital gains tax in case of gains upon the sale or redemption of their shares.

No duty or other tax will be paid in Luxembourg on the issue of Shares of AEFS SICAV except for a fixed registration duty of EUR 75 paid by AEFS SICAV upon incorporation and upon future modification (if any) of the Articles of AEFS SICAV.

Dividends and interest, if any, received by AEFS SICAV from Investments may be liable to taxes and/or withholding taxes in the countries concerned at varying rates, such (withholding) taxes usually not being recoverable.

In Luxembourg, UCI governed by Part II of the 2010 Law are, under current administrative practice, automatically considered as taxable persons for VAT purposes. Accordingly, AEFS SICAV has the status of a taxable person without any input VAT deduction right.

AEFS SICAV should not be entitled to recover any input VAT and thus any VAT incurred (either charged by Luxembourg suppliers or self-accounted on services from foreign suppliers under the ‘reverse charge’ mechanism) will be a final cost for AEFS SICAV.

A VAT exemption applies in Luxembourg for services qualifying as fund management services provided for the ultimate benefit of eligible investment vehicles, including vehicles such as UCIs and AIFs. This includes investment and portfolio management. The delegation of management services and investment advice can also be VAT exempt under the condition that they are specific to and essential for the management of the fund, and they form a “distinct whole” (i.e., the VAT exemption would not apply to isolated delegated services). Other services supplied to AEFS SICAV could potentially trigger VAT and require its VAT registration in Luxembourg. As a result of such VAT registration, AEFS SICAV will be in a position to fulfill its duty to self-assess the VAT regarded as due in Luxembourg on taxable services (or goods to some extent) purchased from abroad.

No VAT liability in principle arises in Luxembourg in respect of any payments by AEFS SICAV to its investors to the extent such payments are linked to their subscription for the interests in AEFS SICAV and do not constitute the consideration received for taxable services supplied.

Other Tax Considerations

The following discussion of the tax reporting in the jurisdictions stated is intended as a general guide only and should not be construed as tax advice. For the avoidance of doubt, AEFS may, but is not obligated to, register in some or all the jurisdictions listed below for tax reporting purposes. Some Shareholders may be subject to additional rules or regulations which are not covered by the section and, therefore, potential investors should seek their own professional advice regarding the tax consequences of acquiring, holding and disposing of Shares, based on their own individual circumstances. The Shareholders shall be solely responsible for any tax reporting and payment obligations associated with an investment in AEFS SICAV.

Taxation – Austrian Residents:

1. General information on taxation of returns from credit funds in Austria

AEFS SICAV is expected to fall within the definition of an alternative investment fund and be a tax reporting fund registered with the *Oesterreichische Kontrollbank* (“**OeKB**”). Alternative investment funds are transparent according to Austrian tax law, which means that for Austrian tax purposes investors are treated as if they receive the underlying income from AEFS’s investments directly. The income derived by a tax reporting credit fund, regardless of whether the income is distributed or accumulated, is taxable annually as deemed distributed income (“**DDI**”). Amounts within distributions relating to DDI which have already been brought into tax and reported to the OeKB are not subject to double taxation.

AEFS SICAV will appoint an Austrian tax representative to calculate and report DDI to the OeKB. The OeKB publishes the DDI figures on their website for Austrian depository banks and investors to apply withholding tax or include in their tax returns, as relevant.

2. Taxation of Austrian resident individuals

Annual DDI

The annual DDI is subject to ‘*Kapitalertragsteuer*’ tax (“**KES**”) for Austrian resident individuals. If the Shares are held in a securities account with an Austrian bank, the KES is directly withheld by the Austrian bank as a final tax. Thus, the investor does not need to include the DDI in their personal tax returns.

If the Shares are held in a securities account with a foreign bank, the tax withholding does not apply and the taxable DDI must be included in the individual’s personal income tax return.

Sale of shares

If individuals sell their Shares, the difference between the sales price and the adjusted purchase price is subject to KES irrespective of the holding period.

The adjusted purchase price is the initial purchase price of the Shares increased by already taxed DDI on undistributed income at the time of the redemption.

If the Shares are held in a securities account with an Austrian bank, the tax on the capital gain is withheld by the Austrian bank as a final tax.

If the Shares are held in a securities account with a foreign bank, the tax withholding does not apply and the realized gains from the sale of the Shares must be included in the individual’s personal income tax return.

If the individual holds the Shares as business assets, the realized gains from the sale of the Shares must be included in the investor’s tax return. Any tax withheld on capital gains by the Austrian bank will be credited on the individual’s income tax.

Initial sales charge

Expenses related to the fund income and incidental acquisition costs (such as sales charges) are not deductible for tax purposes. However, if the shares in the credit fund are held as business assets, incidental acquisition costs are deductible for tax purposes.

3. Taxation of Austrian resident corporates

Annual DDI

The annual DDI is subject to corporate income tax for Austrian resident corporate investors and must be included in their corporate income tax returns. Any KES withheld on the DDI by the Austrian bank will be credited against the corporate income tax. Corporate investors can be exempt from the withholding of the KES by submitting an exemption declaration to the Austrian bank.

Sale of Shares

If corporate investors sell their Shares, the difference between the sales price and the adjusted purchase price is subject to corporate income tax (irrespective of the holding period) and must be included in the corporate income tax returns.

The adjusted purchase price is the initial purchase price of the Shares increased by already taxed DDI on undistributed income at the time of the distribution.

Taxation – Belgian Residents:

1. Taxation of Belgian-resident private individuals

Rules applicable to distributions and redemptions

Distributions

A Belgian-resident individual investor is subject to Belgian personal income tax pursuant to the rules applicable to the different categories of income (i.e., earned professional income, income from immovable property, income from movable property and miscellaneous income). Distributions from AEFS SICAV are taxable as income from "movable property".

Redemptions

Capital gains realized on Shares are generally not taxable provided the individual holds the Shares for private investment purposes (private assets).

However, pursuant to Article 19bis of the Belgium Income Tax Code 1992, capital gains realized on the redemption of Shares of a collective investment company that invests directly or indirectly more than 10% in debt-related assets (generally including bonds and cash deposits) are in part taxable. With the investment strategy of AEFS, it is expected that AEFS SICAV will be a collective investment company that invests directly or indirectly more than 10% in debt-related assets.

AEFS SICAV will perform the Belgian Asset Test, in which the value of debt-related assets it holds is divided by the value of all of the assets it holds. The result of the Belgian Asset Test for a year will be made available to Belgian investors and Belgian paying agents (if one is involved). Should the Belgian investor redeem their Shares in the following year, the result of the Belgian Asset Test is multiplied by the realized gain on redemption to provide:

- A proportion in relation to the non-debt-related assets, which is treated as a not taxable capital gain; and
- A proportion in relation to the debt-related assets, which is treated as taxable income

If a Belgian paying agent is involved, the tax will be levied as a (final) withholding tax. Otherwise, private individual investors will have to declare the taxable income in their personal income tax return, and the taxation will be made through the income tax assessment notice (the prevailing tax rate would be applicable, unless the individual opts for globalization of income). Capital losses are never deductible.

AEFS SICAV will provide, at all times, a valid Belgian Asset Test to enable investors or Belgian paying agents to apply to realized capital gains.

Tax on securities accounts

Since February 2021, Belgian residents are subject to tax on their Belgian and foreign securities accounts to the extent the amount held on average exceeds EUR 1,000,000. The taxable base is equal to the total average value of the amounts held in the securities accounts calculated on a quarterly basis.

Shares in collective investment companies (such as AEFS SICAV) held in a securities account will be taken into account in determining whether the above EUR 1,000,000 threshold is met.

2. Taxation of Belgian-resident corporates

In general, the tax base of a Belgian company is its worldwide income.

Distributions from AEFS SICAV and capital gains realized on the Shares are fully taxable at the standard corporate income tax rate.

Capital losses are never deductible.

Distributions from AEFS SICAV and capital gains on redemptions of the Shares are not subject to corporate income tax in Belgium for the following types of Belgian resident corporate investors:

- (i) investment companies as referred to in Articles 15 and 271/10 of the Law of 3 August 2012 on undertakings for collective investment that meet the conditions of Directive 2009/65/EC;
- (ii) undertakings for investment in debt securities;
- (iii) investment companies as referred to in Articles 190, 195, 285, 288 and 298 of the Law of 19 April 2014 on alternative undertakings for collective investment and their managers;
- (iv) regulated real estate companies;
- (v) pension financing organizations as referred to in Article 8 of the Law of 27 October 2006 on the supervision of institutions for occupational retirement provision

3. Tax on stock exchange transactions and certain other transactions

Neither the subscription for nor redemption of the Shares is subject to the Belgian Tax on Stock Exchange Transactions (“TSET”). However, Belgian individual and corporate investors may be liable for TSET in relation to sales and purchases on the secondary market of Shares.

Taxation – German Residents:

1. General information on the taxation of returns from credit funds in Germany

From a German tax perspective, AEFS SICAV should qualify as an opaque investment fund pursuant to sec. 1 (2) of the German Investment Tax Act (*Investmentsteuergesetz*, “GITA”), but not as a special investment fund pursuant to sec. 26 GITA. AEFS SICAV intends to submit an application with the German Tax Authorities to obtain a status certificate within the meaning of sec. 7 (3) GITA to confirm its status as an investment fund in Germany.

Investors resident in Germany should be taxable on the following so-called “**Investment Income**” arising over the calendar year (“**Year X**”) which is made of:

1. distributions by AEFS SICAV during the calendar year/Year X (including capital repayments, subject to exceptions);
2. a yearly lump sum amount (so-called *Vorabpauschale*) deemed to arise on the first business day of the calendar year/Year X; and
3. capital gains from a disposal of Shares in AEFS SICAV during the calendar year/Year X.

The lump sum amount referred to as item 2 above is calculated as follows:

$$(70\% \text{ of the redemption price of AEFS SICAV shares at the beginning of the previous calendar year/Year X-1}) \times (\text{the basic interest rate \% for the previous calendar year/Year X-1}) - \text{distributions of the previous calendar year/Year X-1} = \text{lump sum amount}$$

The basic interest rate used in the formula above is published yearly by the German Federal Ministry of Finance. If the basic interest rate is negative, zero percent is used in the formula, effectively removing the lump sum amount. For example, the basic interest rate for 2022 is -0.05%, therefore the lump sum to be attributed on 2 January 2023 would be zero.

The lump sum amount is creditable against the capital gains from a later disposal of AEFS SICAV Shares.

If the Shares are held in the context of certain certified pension contracts pursuant to sec. 5, 5a of the German *Altersvorsorgeverträge- Zertifizierungsgesetz* then the Investment Income should not be subject to tax. Additionally, there shouldn’t be any lump sum taxation if the Shares are held:

- in the context of employer-funded pension schemes (*betriebliche Altersvorsorge nach dem Betriebsrentengesetz*);
- by insurance companies in the context of insurance contracts pursuant to sec. 20 (1) no. 6 sentence 1 and 4 German Income Tax Act (*Einkommensteuergesetz*); or

- by health / nursing care insurance companies to secure old age provisions.

2. Taxation of German resident individuals

German resident individual investors will generally be taxed as follows:

- (i) In case the Shares are held as private assets (“**Private Investors**”): the Investment Income will be subject to the flat German income tax rate (plus solidarity surcharge and church tax, if applicable) generally to be levied by the German depositary bank of the German investor by way of a final (i.e., non-creditable / non-refundable) withholding at source; and
- (ii) In case the Shares are held as business assets: the Investment Income will be subject to German income tax at the personal progressive income tax rates (plus solidarity surcharge and church tax, if applicable) and German trade tax at the respective local trade tax rate. The income tax and trade tax are levied in the course of a tax assessment for which tax returns have to be filed. To the extent German withholding tax is levied by the German depositary bank of the German investor, this is creditable against the income tax liability or refundable in the course of the aforementioned assessment.

3. Taxation of German resident corporates

Generally, in respect of German corporate investors the Investment Income is subject to the corporate income tax (plus solidarity surcharge) and German trade tax at the relevant local trade tax rate. The corporate tax and trade tax are levied in the course of a tax assessment for which tax returns have to be filed.

German withholding may be levied by the German depositary bank of the German investor, but this is creditable against the corporate income tax liability or refundable in the course of the aforementioned assessment.

4. Miscellaneous

Any underlying foreign withholding tax within the fund structure flowing up to AEFS SICAV will not be creditable at the level of the German investors (regardless of the type of the investor), since AEFS SICAV is opaque for German tax purposes.

Due to its investment strategy and the nature of the assets to be held, AEFS SICAV should not qualify as an equity fund, mixed fund or (foreign) real estate fund pursuant to sec. 2 (6), (7) and (9) GITA. As such, the partial tax exemptions pursuant to sec. 20 GITA and the tax exemptions pursuant to sec. 3 no. 40 of the German Income Tax Act and sec. 8b of the German Corporate Income Tax Act would not be available against the Investment Income.

Taxation – Swedish Residents:

Taxation of Swedish resident individuals

A Swedish individual investor will be subject to tax on distributions received from and gains realized upon redemption of shares of AEFS SICAV at the main personal income tax rate applicable to capital income.

Taxation of Swedish resident corporates

Swedish corporate investors holding Shares as capital assets (non-financial traders) will be subject to tax on distributions received from and gains realized upon redemption of shares of AEFS SICAV at the regular corporate tax rate. The Swedish participation exemption regime is not applicable as AEFS SICAV is not subject to corporate income tax in Luxembourg.

Taxation – Switzerland

1. Taxation of Swiss resident individuals

AEFS SICAV intends to submit a ruling request with the Swiss Federal Tax Administration (“**SFTA**”) to be treated as transparent for Swiss income tax purposes for Swiss private investors. The ruling is subject to the review and approval of the SFTA.

Income

Distributing share classes: Net investment income (e.g., interest and dividend income less administrative expenses and capital amounts) distributed by AEFS SICAV is considered as taxable income at federal, cantonal and communal levels for Swiss private investors. To the extent AEFS SICAV decides to retain a small proportion (less than 30%) of this net investment income, such portion will only be taxable in the hands of the Swiss private investors in subsequent years when it is distributed. Distributing status can be forfeited if AEFS SICAV retains more than 30% of the net investment income. As a consequence, the retained net investment income would become taxable for the Swiss private investors.

Accumulating share classes: Accumulated investment income is considered as taxable income at federal, cantonal and communal levels for Swiss private investors.

AEFS intends to provide Swiss tax reporting and publish the income tax values on the official Swiss rate list (via the official Swiss Federal Tax Administration website “ictax”).

Capital gains

Capital gains are generally exempt for Swiss private investors. However, due to the investment strategy of AEFS SICAV it is expected that most of the income will be in the form of interest which will be fully subject to tax.

2. Taxation of Swiss resident corporate investors

Please note that the ruling request for AEFS SICAV to be treated as tax transparent for Swiss income tax purposes will not be applicable to Swiss resident companies. Therefore, Swiss resident corporate investors holding Shares are expected to be taxed at a regular corporate tax rate on both distributions from AEFS SICAV and capital gains realized on the disposal/redemption of Shares.

Taxation – United Kingdom Residents

1. General information on the taxation of returns from credit funds in the United Kingdom

Offshore funds and reporting fund status

AEFS SICAV meets the criteria of an offshore fund under UK taxation legislation and an application has been made (or is intended to be made to HM Revenue & Customs (“HMRC”) for each Share Class in AEFS SICAV to be treated as a reporting fund. In broad terms, a “reporting fund” is an offshore fund that meets certain upfront and annual reporting requirements to HMRC and its shareholders. The Board of Directors intends to manage the affairs of AEFS SICAV such that these upfront and annual duties are met and continue to be met on an ongoing basis. Such annual duties will include calculating and reporting the reportable income per share (broadly net adjusted accounting income excluding realized and unrealized capital gains and losses) and distributions made for each class of Share for each reporting period (as defined for UK tax purposes). The difference between the reportable income and distribution is the excess reportable income.

Bond funds - Qualifying investments test

Given the investment strategy of AEFS SICAV, it is expected that AEFS SICAV will be regarded as a “bond fund” for UK tax purposes. This is on the basis that the market value of the “qualifying investments” of AEFS SICAV exceeds 60% of the market value of all of its investments (excluding cash awaiting investment). “Qualifying investments” for these purposes include assets in interest bearing (or similar) form (including assets held as collateral for the investment strategy).

2. Taxation of UK resident individuals

General considerations

Unless expressly stated otherwise, the following is a general summary of certain UK tax consequences expected to be applicable to UK tax resident individual investors that are taxed on an arising basis, who are UK domiciled, deemed UK domiciled or not UK domiciled but to whom the UK’s remittance basis of taxation does not apply. Such investors are subject to tax on their worldwide income and gains in the UK.

UK resident but non-UK domiciled prospective investors who claim the remittance basis of taxation for UK tax purposes should not currently be subject to tax on non-UK source income and gains that are not remitted to the UK.

Distributions from AEFS SICAV

As AEFS SICAV will be regarded as a bond fund and a reporting fund for UK tax purposes, section 378A of the Income Tax (Trading and Other Income) Act 2005 provides that the reportable income (distributed and undistributed) for a relevant accounting period should be treated and taxed as interest and not as dividend income. This means that the relevant tax rates will be those applying to interest. From 6 April 2025, it is expected that the current remittance basis of taxation will be abolished and replaced with a new regime which will only be potentially applicable to individuals who are in their first four years of UK tax residence and were non-UK tax resident for the preceding 10 years, and will not be based on domicile or remittance.

Redemptions of Shares in AEFS SICAV

As AEFS SICAV will be a reporting fund, any gains on redemptions of Shares would be subject to capital gains tax as opposed to income tax (if it were not a reporting fund). In calculating the investor's capital gains, the initial purchase price of the Shares can be adjusted to include any excess reportable income, which has already been taxed, to the extent such income has not been distributed at the time of the redemption.

3. Taxation of UK resident corporates

Companies that are tax resident in the UK are generally subject to corporation tax on their worldwide income and gains.

A corporate investor that is tax resident in the UK, will be subject to UK corporation tax under the loan relationship rules in Chapter 3 of Part 6 of the Corporation Tax Act 2009 in respect of interests in offshore funds that constitute a bond fund for UK tax purposes; with the consequence that all profits and losses on such relevant interests are chargeable to UK corporation tax on a mark-to-market basis. Therefore, UK corporation tax would be chargeable on the fair value movement of investments held by UK corporate investors in AEFS SICAV regardless of whether a distribution is made to the UK resident company.

The above comments will generally be applicable to a non-UK resident corporate investor that carries on a trade in the UK through a permanent establishment to the extent it holds its Shares in connection to the permanent establishment.

4. Other UK tax considerations

As AEFS SICAV is a Luxembourg resident entity and its Shares are not registered in any register kept in the UK by or on behalf of AEFS SICAV, no UK stamp duty will be payable on a transfer of Shares provided, that all instruments effecting or evidencing the transfer (or all matters or things done in relation to the transfer) are not executed in the UK. Furthermore, the Shares are not paired with shares issued by a company incorporated in the UK and as such any agreement to transfer the Shares will not be subject to UK SDRT.

Sanctions

Certain countries or designated persons or entities may, from time to time, be subject to sanctions and other restrictive measures imposed by states or supranational authorities (for example, but not limited to, the EU or the United Nations), or their agencies (collectively, “**Sanctions**”).

Sanctions may be imposed among others on foreign governments, state-owned enterprises, sovereign wealth funds, specified companies or economic sectors, as well as non-state actors or designated persons associated with any of the foregoing. Sanctions may take different forms, including but not limited to trade embargoes, prohibitions or restrictions to conduct trade or provide services to targeted countries or entities, as well as seizures, asset freezes and/or the prohibition to provide or receive funds, goods or services to or from designated persons.

Sanctions may adversely affect companies or economic sectors in which AEFS SICAV, or any of its Sub-Funds, may from time to time invest as well as the Shareholders in such Sub-Funds. AEFS SICAV could experience,

among others, a decrease in value of securities of any issuer due to the imposition of Sanctions, whether directed towards such issuer, an economic sector in which such issuer is active, other companies or entities with which such issuer conducts business, or towards the financial system of a certain country. Because of Sanctions, AEFS SICAV may be forced to sell certain securities at unattractive prices, at inopportune moments and/or in unfavorable circumstances where it may not have done so in the absence of Sanctions. Even though AEFS SICAV will make reasonable efforts, acting in the best interest of the investors, to sell such securities under optimal conditions, such forced sales could potentially result in losses to AEFS SICAV. Depending on the circumstances, such losses could be considerable. AEFS SICAV may also experience adverse consequences due to an asset freeze or other restrictive measures directed at other companies, including but not limited to any entity that serves as a counterparty to derivatives, or as a sub-custodian, paying agent or other service provider to AEFS SICAV or any of its Sub-Funds. The imposition of Sanctions may require AEFS SICAV to sell securities, terminate ongoing agreements, lose access to certain markets or essential market infrastructure, cause some or all of a Sub-Fund's assets to become unavailable, freeze cash or other assets belonging to AEFS SICAV and/or adversely affect the cash flows associated with any investment or transaction.

AEFS SICAV, the AIFM, the Investment Manager, the Depositary and Ares (collectively, the “**AEFS Parties**”) are required to comply with all applicable sanctions laws and regulations in the countries in which AEFS Parties conduct business (recognizing that certain of the sanctions regimes have implications for cross-border or foreign activities) and will implement the necessary policies and procedures to this effect (collectively, “**Sanctions Policies**”). These Sanctions Policies will be developed by AEFS Parties in their discretion and best judgment and may involve protective or preventive measures that go beyond the strict requirements of applicable laws and regulations imposing any Sanctions. Under no circumstances will AEFS Parties be liable for any losses suffered by AEFS SICAV or any of its Sub-Funds because of the imposition of Sanctions, or from their compliance with any Sanctions Policies.

Management of Conflicts of Interest

In the conduct of its business the AIFM's policy is to identify, manage and where necessary prohibit any action or transaction that may pose a conflict between the interests of the AIFM and AEFS SICAV or its Shareholders and between the interests of one or more Shareholders and the interests of one or more other Shareholders. The AIFM has implemented procedures designed to ensure that business activities involving a conflict which may harm the interests of AEFS SICAV or its Shareholders are carried out with an appropriate level of independence and that conflicts are resolved fairly.

Notwithstanding its due care and best effort, there is a risk that the organizational or administrative arrangements made by the AIFM for the management of conflicts of interest are not sufficient to ensure that risks of damage to the interests of AEFS SICAV or its Shareholders will be prevented. In such case, these non-neutralized conflicts of interest as well as the decisions taken will be reported to Shareholders.

Please also refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations—Risk Factors Relating to Conflicts of Interest*” of the General Section of the Prospectus.

Exercise of Voting Rights

The AIFM has put in place a voting rights policy. If mandated by AEFS SICAV, the decision to exercise voting rights attached to the instruments held in respect of AEFS SICAV is in the sole discretion of the AIFM.

Certain ERISA Considerations

The following is a summary of certain considerations associated with an investment in AEFS SICAV by (i) “employee benefit plans” within the meaning of Section 3(3) of ERISA that are subject to Title I of ERISA, (ii) plans, individual retirement accounts (“**IRAs**”) and other arrangements that are subject to Section 4975 of the Code or provisions under any other U.S. or non-U.S. federal, state, local, foreign or other laws or regulations that are similar to such provisions of ERISA or the Code (collectively, “**Similar Laws**”), and (iii) entities whose underlying assets are considered to include the assets of any of the foregoing described in clauses (i) and (ii) (each of the foregoing described in clauses (i), (ii) and (iii) referred to herein as a “**Plan**”).

General Fiduciary Matters

ERISA and the Code impose certain duties on persons who are fiduciaries of a Plan subject to Title I of ERISA or Section 4975 of the Code (a “**Covered Plan**”) and prohibit certain transactions involving the assets of a Covered Plan and its fiduciaries or other interested parties. Under ERISA and the Code, any person who exercises any

discretionary authority or control over the administration of a Covered Plan or the management or disposition of the assets of a Covered Plan, or who renders investment advice for a fee or other compensation to a Covered Plan, is generally considered to be a fiduciary of the Covered Plan.

In considering an investment in AEFS SICAV of a portion of the assets of any Plan, a fiduciary should determine, particularly in light of the risks and lack of liquidity inherent in an investment in AEFS SICAV, whether the investment is in accordance with the documents and instruments governing the Plan and the applicable provisions of ERISA, the Code or any Similar Law relating to a fiduciary's duties to the Plan including, without limitation, the prudence, diversification, delegation of control and prohibited transaction provisions of ERISA, the Code and any other applicable Similar Laws. Furthermore, absent an exemption, the fiduciaries of a Plan should not invest in AEFS SICAV with the assets of any Plan if the Sponsor or any of its affiliates is a fiduciary with respect to such assets of the Plan.

Section 406 of ERISA and Section 4975 of the Code prohibit Covered Plans from engaging in specified transactions involving plan assets with persons or entities who are "parties in interest" within the meaning of ERISA, or "disqualified persons" within the meaning of Section 4975 of the Code. The acquisition and/or ownership of Shares by a Covered Plan with respect to which AEFS SICAV is considered a party in interest or a disqualified person may constitute or result in a direct or indirect prohibited transaction under Section 406 of ERISA and/or Section 4975 of the Code, unless the investment is acquired and is held in accordance with an applicable statutory, class or individual prohibited transaction exemption. In this regard, the U.S. Department of Labor has issued prohibited transaction class exemptions, or "**PTCEs**" that may apply to the acquisition and holding of investments in AEFS SICAV. These class exemptions include, without limitation, PTCE 84-14 respecting transactions determined by independent qualified professional asset managers, PTCE 90-1 respecting insurance company pooled separate accounts, PTCE 91-38 respecting bank collective investment funds, PTCE 95-60 respecting life insurance company general accounts and PTCE 96-23 respecting transactions determined by in-house asset managers. Each of the above-noted exemptions contains conditions and limitations on its application. Fiduciaries of Covered Plans considering acquiring Shares in reliance on these or any other exemption should carefully review the exemption to ensure it is applicable. There can be no assurance that all of the conditions of any such exemptions will be satisfied.

Plan Assets

Under ERISA and the regulations promulgated thereunder, as modified by Section 3(42) of ERISA (the "**Plan Asset Regulations**"), when a Covered Plan acquires an equity interest in an entity that is neither a "publicly-offered security" (within the meaning of the Plan Asset Regulations) nor a security issued by an investment company registered under the Investment Company Act, the Covered Plan's assets include both the equity interest and an undivided interest in each of the underlying assets of the entity unless it is established either that less than 25% of the total value of each class of equity interest in the entity is held by "benefit plan investors" (the "**25% Test**") or that the entity is an "operating company" as defined in the Plan Asset Regulations. For purposes of the 25% Test, the assets of an entity will not be treated as "plan assets" if, immediately after the most recent acquisition of any equity interest in the entity, less than 25% of the total value of each class of equity interests in the entity is held by "benefit plan investors" excluding equity interests held by persons (other than benefit plan investors) with discretionary authority or control over the assets of the entity or who provide investment advice for a fee (direct or indirect) with respect to such assets, and any affiliates thereof. The term "benefit plan investors" is generally defined to include employee benefit plans subject to Title I of ERISA or Section 4975 of the Code (including "Keogh" plans and IRAs), as well as any entity whose underlying assets include plan assets by reason of a plan's investment in such entity (e.g., an entity of which 25% or more of the total value of any class of equity interests is held by benefit plan investors and which does not satisfy another exception under ERISA). Thus, absent satisfaction of another exception under ERISA, if 25% or more of the total value of any class of equity interests of AEFS SICAV were held by benefit plan investors, an undivided interest in each of the underlying assets of AEFS SICAV would be deemed to be "plan assets" of any Covered Plan that invested in AEFS SICAV.

Plan Asset Consequences

If the assets of AEFS SICAV were deemed to be "plan assets" under ERISA, this would result, among other things, in (i) the application of the prudence and other fiduciary responsibility standards of ERISA to Investments made by AEFS SICAV, and (ii) the possibility that certain transactions in which AEFS SICAV might seek to engage could constitute "prohibited transactions" under ERISA and the Code. If a prohibited transaction occurs for which no exemption is available, the Sponsor and/or any other fiduciary that has engaged in the prohibited transaction could be required to (x) restore to the Covered Plan any profit realized on the transaction, and (y) reimburse the Covered Plan for any losses suffered by the Covered Plan as a result of the Investment. In addition,

each disqualified person (within the meaning of Section 4975 of the Code) involved could be subject to an excise tax equal to 15% of the amount involved in the prohibited transaction for each year the transaction continues and, unless the transaction is corrected within statutorily required periods, to an additional tax of 100%. Covered Plan fiduciaries who decide to invest in AEFS SICAV could, under certain circumstances, be liable for prohibited transactions or other violations as a result of their investment in AEFS SICAV or as co-fiduciaries for actions taken by or on behalf of AEFS SICAV or the Sponsor. With respect to an IRA that invests in AEFS SICAV, the occurrence of a prohibited transaction involving the individual who established the IRA, or such individual's beneficiaries, would cause the IRA to lose its tax-exempt status.

The Sponsor will use reasonable best efforts to (i) limit equity participation by benefit plan investors in AEFS SICAV to less than 25% of the total value of each class of equity interests in AEFS SICAV as described above or (ii) operate AEFS SICAV in such a manner such that AEFS SICAV should satisfy another exception under ERISA. However, there can be no assurance that, notwithstanding the reasonable best efforts of the Sponsor, the underlying assets of AEFS SICAV will not otherwise be deemed to include plan assets.

Under the Documents, the Sponsor will have the power to take certain actions to avoid having the assets of AEFS SICAV characterized as “plan assets” including, without limitation, the right to cause a Shareholder that is a Plan to withdraw, in whole or in part, from AEFS SICAV. While the Sponsor and AEFS SICAV do not expect that the Sponsor will need to exercise such power, neither the Sponsor nor AEFS SICAV can give any assurance that such power will not be exercised.

Important Notice for Plans

This Prospectus and the Documents do not constitute an undertaking to provide impartial investment advice and it is not the Sponsor's intention to act in a fiduciary capacity with respect to any Plan. The Sponsor and its affiliates have a financial interest in the Shareholders' investment in Shares on account of the fees and other compensation they expect to receive (as the case may be) from AEFS SICAV and their other relationships with AEFS SICAV as contemplated hereunder. Any such fees and compensation do not constitute fees or compensation rendered for the provision of investment advice to any Plan. Each Shareholder that is a Plan will be required to represent and warrant, among other things, that it is advised by a fiduciary that is (i) independent of the Sponsor and its affiliates; (ii) capable of evaluating investment risks independently, both in general and with respect to particular transactions and investment strategies contemplated in this Prospectus and the Documents; and (iii) a fiduciary (under ERISA, Section 4975 of the Code or applicable Similar Law) with respect to the Plan's investment in AEFS SICAV and responsible for exercising independent judgment in evaluating the Plan's investment in AEFS SICAV and any related transactions. Each Plan is advised to contact its own financial advisor and other fiduciary unrelated to AEFS SICAV and the Sponsor and its affiliates about any decision with respect to any Shares in AEFS SICAV, as may be appropriate for the Plan's circumstances.

Reporting of Indirect Compensation

Under ERISA's general reporting and disclosure rules, certain Covered Plans subject to Title I of ERISA are required to include information regarding their assets, expenses and liabilities. To facilitate such a Plan administrator's compliance with these requirements, it is noted that the descriptions of the fees and compensation described in this Prospectus, including the descriptions of the Management Fee and the Performance Participation Allocation payable to the Sponsor, are intended to satisfy the disclosure requirements for “eligible indirect compensation” for which the alternative reporting option on Schedule C of the Form 5500 Annual Return/Report may be available.

The foregoing discussion is general in nature and is not intended to be all-inclusive. Each Plan fiduciary should consult with its legal advisor concerning the considerations discussed above before making an investment in AEFS SICAV. As indicated above, Plans not subject to Title I of ERISA or Section 4975 of the Code, such as governmental Plans, certain church Plans and non-U.S. Plans, may be subject to Similar Laws containing fiduciary responsibility and prohibited transaction requirements similar to those under ERISA and the Code (as discussed above). Accordingly, fiduciaries of Plans, in consultation with their advisors, should consider the impact of their respective laws and regulations on an investment in AEFS SICAV.

EACH PLAN FIDUCIARY SHOULD CONSULT WITH ITS LEGAL ADVISOR CONCERNING THE POTENTIAL CONSEQUENCES UNDER ERISA, THE CODE AND ANY APPLICABLE SIMILAR LAW BEFORE MAKING AN INVESTMENT IN AEFS SICAV.

XIII. DISSOLUTION AND LIQUIDATION OF THE SUB-FUNDS AND AEFS SICAV

AEFS SICAV has been established for an indefinite period of time.

Dissolution of Sub-Funds

The Board of Directors may decide to liquidate a Sub-Fund if a change in the economic or political situation relating to the Sub-Fund or Class of Shares concerned would justify such liquidation or if the interests of the Shareholders would justify it. The decision of the liquidation will be published or notified to the Shareholders by AEFS SICAV as decided from time to time by the Board of Directors, prior to the effective date of the liquidation and the publication/notification will indicate the reasons for, and the procedures of, the liquidation operations. Unless the Board of Directors otherwise decides in the interests of, or to keep equal treatment between the Shareholders, the Shareholders of the Sub-Fund or Class of Shares concerned may continue to request redemption or conversion of their Shares (free of charge). Assets which could not be distributed to their beneficiaries upon the close of the liquidation of the Sub-Fund or Class of Shares concerned will be deposited with the *Caisse de Consignation* on behalf of their beneficiaries.

Where the Board of Directors does not have the authority to do so or where the Board of Directors determines that the decision should be put for Shareholders' approval, the decision to liquidate a Sub-Fund or Class of Shares may be taken at a meeting of Shareholders of the Sub-Fund or Class of Shares to be liquidated instead of being taken by the Board of Directors. At such Class of Shares or Sub-Fund meeting, no quorum shall be required and the decision to liquidate must be approved by Shareholders with a simple majority of the votes cast. The decision of the meeting will be notified to the Shareholders and/or published by AEFS SICAV.

Any split or consolidation of a Sub-Fund/Class of Shares shall be decided by the Board of Directors unless the Board of Directors decides to submit the decision for a split/consolidation to a meeting of Shareholders of the Sub-Fund (or Class of Shares as the case may be) concerned. No quorum is required for this meeting and decisions are taken by the simple majority of the votes cast.

The Board of Directors may decide to allocate the assets of any Sub-Fund to those of another existing Sub-Fund within AEFS SICAV (the "new Sub-Fund") and to redesignate the Shares of the Classes concerned as Shares of the new Sub-Fund. The Board of Directors may also decide to allocate the assets of any Sub-Fund to another undertaking for collective investment or to a compartment within such other undertaking for collective investment.

Dissolution and Liquidation of AEFS SICAV

AEFS SICAV may at any time be dissolved by a resolution taken by the general meeting of Shareholders, subject to the quorum and majority requirements as defined in the Articles of AEFS SICAV.

Whenever the capital falls below two thirds of the legal minimum capital (such legal minimum being €1,250,000) from six months after AEFS SICAV's authorization by the CSSF going forwards, the Board of Directors must submit the question of the dissolution of AEFS SICAV to the general meeting of Shareholders. The general meeting, for which no quorum shall be required, shall decide on simple majority of the votes of the Shares present and represented at the meeting.

The question of the dissolution of AEFS SICAV shall also be referred to the general meeting of Shareholders whenever the capital falls below one quarter of the minimum capital. In such event, the general meeting shall be held without quorum requirements, and the dissolution may be decided by the Shareholders holding one quarter of the votes present and represented at that meeting.

The meeting must be convened so that it is held within a period of forty (40) days from when it is ascertained that the net assets of AEFS SICAV have fallen below two thirds or one quarter of the legal minimum as the case may be.

The issue of new Shares and redemptions by AEFS SICAV shall cease on the date of publication of the notice of the general meeting of Shareholders, to which the dissolution and liquidation of AEFS SICAV shall be proposed. One or more liquidators shall be appointed, subject to the approval of the CSSF, by the general meeting of Shareholders to realize the assets of AEFS SICAV, subject to the supervision of the relevant supervisory authority in the best interests of the Shareholders. The proceeds of the liquidation of each Sub-Fund, net of all liabilities

and liquidation expenses, shall be distributed by the liquidators among the holders of Shares in each Class in accordance with their respective rights. The amounts not claimed by Shareholders at the end of the liquidation process shall be deposited, in accordance with Luxembourg law, with the *Caisse de Consignations* in Luxembourg until the statutory limitation period has lapsed.

Any decision to put AEFS SICAV into liquidation will take into account the best interests of the investors and will be subject to the prior non-objection of the CSSF.

XIV. DOCUMENTATION AND INFORMATION / AMENDMENTS

AEFS Documents

The Prospectus, the Articles, audited annual reports and semi-annual reports issued by AEFS SICAV will be available to Shareholders for inspection upon request and free of charge at the registered office of AEFS SICAV.

KID

A KID in compliance with the relevant provisions of the PRIIPs Regulation, and Commission Delegated Regulation (EU) 2017/653 is published for each share class available to for subscription in the EEA by Retail Investors. KIDs are available to Retail Investors prior to their subscription in AEFS SICAV and are provided (i) in paper form, (ii) by way of a durable medium other than paper, (iii) electronically, such as in a data room for Shareholders or on a website for AEFS SICAV or (iv) in another format upon request to AEFS SICAV and/or the AIFM.

Historical Performance Information

If any historical performance information is produced for AEFS SICAV, it will be made available at the registered office of the AIFM.

Website Disclosure

Important communication, including material information and other additional information about AEFS or Ares, and financial information, may be made available at <https://www.areswms.com/non-us>. However, the contents of the website are not incorporated by reference in or otherwise a part of this Prospectus.

Due to regulatory requirements applicable to AEFS SICAV and/or certain persons, the access to AEFS SICAV's website may be restricted for access to only such persons that are eligible to acquire Shares and Shareholders.

Amendments to AEFS Documents

The Articles may be amended from time to time in accordance with the quorum and majority requirements laid down by the 1915 Law and/or the Articles.

The Prospectus, including particularly the investment objective and/or investment strategy, may be amended from time to time by the Board of Directors with the prior approval of the CSSF in accordance with Luxembourg law and regulations.

In accordance with applicable laws and regulations, Shareholders in a Sub-Fund will, where required by the CSSF, be given at least one (1) month prior notice of any proposed material adverse changes in order for them to request the redemption of their Shares, without any repurchase or redemption charge, subject at all times to any redemption limitations in the relevant Annex.

XV. DEFINITIONS

“€”, “EUR” or “euros”

Euro;

“\$”, “USD” or “dollars”

U.S. dollars;

“1915 Law”

The Luxembourg law of 10 August 1915 on commercial companies, as amended;

“1933 Act”

The U.S. Securities Act of 1933, as amended from time to time;

“2010 Law”

The Luxembourg law of 17 December 2010 relating to undertakings for collective investment, as amended;

“2013 Law”

The Luxembourg law of 12 July 2013 on alternative investment fund managers, as amended;

“Accumulation Sub-Class”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Administration Agreement”

Has the meaning as given in Section IX: “Management and Administration of AEFS SICAV”;

“Administrative Expense”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Advisers Act”

The U.S. Investment Advisers Act of 1940, as amended from time to time;

“AEFS”

AEFS SICAV, the AEFS Aggregators and the Parallel Entities (if any);

“AEFS Aggregators”

subsidiary(ies) of AEFS SICAV, established for the purpose of holding the Investments of the relevant Sub-Fund;

“AEFS Parties”

Has the meaning as given in Section XII: “Regulatory and Tax Considerations”;

“AEFS SICAV”

Ares European Fund Solutions SICAV, along with its Sub-Funds;

“AESIF”

Has the meaning as given in Annex 1: “Ares European Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“AESIF Aggregator”

Has the meaning as given in Section I: “Description / Overview of AESIF and AESIF Fund” of Annex 1: “Ares European Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“AESIF ELTIF”

Has the meaning as given in Annex 3: “Ares European Strategic Income ELTIF Fund” of Appendix A: “Sub-Funds Terms”;

“AESIF Fund”

Has the meaning as given in Annex 1: “Ares European Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“AESIF Investment Committee”

Has the meaning as given in Section VIII: “Management and Administration of AESIF Fund” of Annex 1: “Ares European Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“Aggregate Net Leverage”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“AIF”

Alternative investment fund(s);

“AIFM”

Has the meaning set out in the “Important Information” section of the General Section of the Prospectus;

“AIFM Agreement”

The alternative investment fund management agreement entered into between the AIFM and AEFS SICAV (as amended, restated or supplemented from time to time);

“AIFM Directive”

Directive 2011/61/EC of the European Parliament and of the Council;

“AIFM Fee”

Has the meaning as given in Section VII: “Fees and Expenses of AEFS”;

“AIFM Regulation”

The Commission Delegated Regulation (EU) No 231/2013 of 19 December 2012;

“AIFM Rules”

Has the meaning as given in Section XII: “Regulatory and Tax Considerations”;

“Annex”

An annex to this Prospectus containing information with respect to a particular Sub-Fund;

“Ares”

Ares Management Corporate together with its affiliates;

“Ares Management Luxembourg”

Has the meaning set out in the “Important Information” section of the General Section of the Prospectus;

“Ares Management Personnel”

Has the meaning as given in Section XVI: “Risk Factors, Potential Conflicts of Interest and Other Considerations”;

“Articles”

Has the meaning as given in Section II: “Summary of Terms”;

“ASIF”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“AUSIF”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“AUSIF Aggregator”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“AUSIF Fund”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“AUSIF Investment Committee”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“Board of Directors”

The board of directors of AEFS SICAV;

“Broken Deal Expenses”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Business Day”

Any day on which banks in each of Luxembourg, the United Kingdom and/or the United States are open for business;

“BDC”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“Capital Gains Performance Participation Allocation”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“CBDF Rules”

Directive 2019/1160 EU and Regulation 2019/1156 EU on cross-border distribution of funds;

“Central Administration”

Has the meaning as given in Section IX: “Management and Administration of AEFS SICAV”;

“CFIUS”

The Committee on Foreign Investment in the United States;

“CFTC”

The U.S. Commodity Futures Trading Commission;

“Class”

Has the meaning as given in Section IV: “Share Class Information”;

“Class A Shares”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Class A-Italy Shares”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Class B Shares”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Class C Shares”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Class D Shares”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Class E Shares”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Class I Shares”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Code”

The U.S. Internal Revenue Code of 1986, as amended;

“Collective Investment Undertaking”

means any collective investment undertakings (within the meaning of the AIFM Directive) or undertakings for collective investment in transferable securities (within the meaning of Directive 2009/65/EC of the European Parliament and of the Council of 13 July 2009 on the coordination of laws, regulations and administrative provisions relating to undertakings for collective investment in transferable securities (UCITS), as amended and/or supplemented from time to time).

“Confidential Information”

Has the meaning as given in “Important Information”;

“COVID-19”

Coronavirus;

“CSSF”

Commission de Surveillance du Secteur Financier;

“CSSF Circular 18/698”

CSSF Circular 18/698 on the authorization and organization of investment fund managers incorporated under Luxembourg law;

“CSSF Regulation 12-02”

CSSF Regulation N°12-02 of 14 December 2012 on the fight against money laundering and terrorist financing, as amended by the CSSF Regulation 20-05;

“Conversion Cut-off”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Debt and Other Instruments”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“Depository”

Has the meaning as given in Section IX: “Management and Administration of AEFS SICAV”;

“Depository Agreement”

Has the meaning as given in Section IX: “Management and Administration of AEFS SICAV”;

“Designated Third-Party”

Any third party designated by the AIFM;

“Distribution Sub-Class”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Direct Investments”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“Documents”

Has the meaning as given in Section II: “Summary of Terms”;

“Dodd-Frank Act”

The U.S. Dodd-Frank Wall Street Reform and Consumer Protection Act;

“Early Redemption Deduction”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“EBITDA”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“EEA”

European Economic Area;

“Effective Date”

In respect of each Sub-Fund, the first anniversary of the date on which such Sub-Fund accepts its first subscription;

“ELTIF Regulation”

Regulation (EU) 2015/760 on European long-term investments funds, as amended;

“EMIR”

The European Market Infrastructure Regulation (EU) No. 648/2012;

“ERISA”

U.S. Employee Retirement Income Security Act of 1974, as amended;

“ESG”

Environmental, social and governance;

“EU” or “Eurozone”

European Union;

“EU Member States”

Member states of the EU;

“Europe”

Any country in Europe as determined by the Investment Manager, and includes the members of the EEA as of the date AEFS SICAV accepts its first subscription (and any additions but not withdrawals thereto), the United Kingdom and Switzerland;

“European Obligor”

Any Underlying Issuer which, in the sole discretion of the Investment Manager, is significantly connected to, organized in, or has its principal places of business or headquarters located in, Europe;

“FATCA”

The U.S. Foreign Account Tax Compliance Act;

“FATCA Law”

The Luxembourg law transposing the Intergovernmental Agreement concluded on March 28, 2014 between the Grand Duchy of Luxembourg and the United States of America;

“FATCA Personal Data”

Has the meaning as given in Section XII: “Regulatory and Tax Considerations”;

“FCA”

UK Financial Conduct Authority;

“FCPA”

U.S. Foreign Corrupt Practices Act;

“Feeder Entity”

Has the meaning as given in Section VII: “Fees and Expenses of AEFS”;

“Feeder Vehicles”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“FFI”

Foreign financial institutions;

“FIRMA”

The Foreign Investment Risk Review Modernization Act;

“Global Distributor”

Ares Management Luxembourg, in its capacity as Global Distributor;

“IFRS”

International Financial Reporting Standards, as adopted by the EU;

“Income Performance Participation Allocation”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Indemnified Party”

Has the meaning as given in Section XII: *“Regulatory and Tax Considerations”*;

“Initial Class” and “New Class”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Initial Operating Expenses Support”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Initial Subscription Period”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Intermediary Funds”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“Intermediate Vehicle”

Has the meaning as given in Section III: “Investment Information”;

“Investment Company Act”

The U.S. Investment Company Act of 1940;

“Investment”

Has the meaning as given in Section III: “Investment Information”;

“Investment Management Agreement”

Investment management agreement entered into in respect of each applicable Sub-Fund among the AIFM, the Investment Manager and AEFS SICAV (as amended, restated or supplemented from time to time);

“Investment Manager”

Has the meaning as given in Section IX: “Management and Administration of AEFS SICAV”;

“Investment Team”

The investment team of the Investment Manager;

“IPO”

Initial Public Offering;

“IRAs”

Individual retirement accounts;

“IRS”

U.S. Internal Revenue Service;

“KID”

Has the meaning as given in “*Important Information*” of the General Section of the Prospectus;

“Leverage Limit”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Leverage Ratio”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Liquid AIF” and “Less Liquid AIFs”

Have the meanings as given in Section XII: “Regulatory and Tax Considerations”;

“Lux AML Law”

Has the meaning as given in Section XII: “Regulatory and Tax Considerations”;

“Luxembourg Tax Authority”

The Luxembourg tax authority (i.e., *Administration des Contributions Directes*);

“Management Fee”

Has the meaning as given in Section VII: “Fees and Expenses of AEFS”;

“Minimum Subscription Amount”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“MiFID II”

Has the meaning as given in “*Important Information*”;

“NAV” or “Net Asset Value”

Net asset value;

“NAV Release Date”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“New Sub-Fund”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“OECD”

Organization for Economic Co-operation and Development;

“OFAC”

The U.S. Treasury’s Office of Foreign Assets Control;

“Operating Expenses”

Has the meaning as given in Section VII: “Fees and Expenses of AEFS”;

“Organizational and Offering Expenses”

Has the meaning as given in Section VII: “Fees and Expenses of AEFS”;

“OTC”

Over-the-counter;

“Other Ares Funds”

As the context requires, individually and collectively, any of the following: investment funds, vehicles, accounts, products and/or other similar arrangements (including, but not limited to, those with credit, credit secondaries and credit related strategies) sponsored, advised, and/or managed by Ares or its affiliates, whether currently in existence or subsequently established (in each case, including any related successor funds, alternative vehicles, supplemental capital vehicles, surge funds, over-flow funds, co-investment vehicles and other entities formed in connection with Ares or its affiliates side-by-side or additional general partner investments with respect thereto);

“Other Fund”

Has the meaning as given in Section VI: “Calculation of Net Asset Value”;

“Parallel Entities”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Parallel Vehicles”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Performance Participation Allocation”

Has the meaning as given in Section VII: “Fees and Expenses of AEFS”;

“Permitted U.S. Person”

An investor who represents and warrants in its Subscription Document that it is: (i) an “accredited investor” as such term is defined in Regulation D promulgated under the 1933 Act, and the rules, regulations and interpretations thereunder; and (ii) a “qualified purchaser” as such term is defined in Section 2(a)(51) of the Investment Company Act; provided, that the Investment Manager may admit other investors as “Permitted U.S. Persons” in its sole discretion;

“Plan”, “Covered Plan”, “Plan Asset Regulations”, “PTCEs” and “25% Test”

Have the meanings as given in Section XII: “Regulatory and Tax Considerations”;

“Pre-Performance Participation Allocation Net Investment Income Returns”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Professional Investor”

Means an investor which is considered to be a professional client, or may, on request, be treated as a professional client in accordance with Annex II to MiFID II;

“Portfolio Entity”

Individually and collectively, any entity owned, directly or indirectly through subsidiaries, by AEFS and/or Other Ares Funds, including, as the context requires, portfolio companies, holding companies, special purpose vehicles and other entities through which Investments are held;

“Processors”

Has the meaning as given in Section XII: “Regulatory and Tax Considerations”;

“Prohibited Person”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Prospectus”

This confidential prospectus (as it may be amended, restated and/or supplemented from time to time);

“Qualifying Activities”

Have the meanings as given in Section XII: “Regulatory and Tax Considerations”;

“RBO”

Have the meanings as given in Section XII: “Regulatory and Tax Considerations”;

“RBO Law”

Have the meanings as given in Section XII: “Regulatory and Tax Considerations”;

“RCS”

Registre de Commerce et des Sociétés;

“Recipient”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Redemption Date”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Redemption Fee”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Redemption Request”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Reference Currency”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Reference Period”

The calendar quarter ending March 31st, June 30th, September 30th and December 31st;

“Reform Act”

The Economic Growth, Regulatory Relief and Consumer Protection Act;

“Reporting FI”

A Reporting Financial Institution under the terms of CRS-Law;

“Retail Investor”

Means an investor that is not a Professional Investor;

“RFR”

Risk free rate;

“SA”

Public limited liability company (*société anonyme*);

“Sanctions” and “Sanctions Policies”

Have the meanings as given in Section XII: “Regulatory and Tax Considerations”;

“Servicing Fees”

Has the meaning as given in Section VII: “Fees and Expenses of AEFS”;

“Settlement Date”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“SFDR”

The EU regulation on sustainability-related disclosures in the financial services sector (Regulation (EU) 2019/2088);

“SFTR”

The EU Securities Financing Transaction Regulation (Regulation (EU) No. 2015/2365);

“Shareholders”

Shareholders of AEFS SICAV;

“Shares”

Shares of AEFS SICAV;

“SICAV”

An investment company with variable capital (*société d’investissement à capital variable*);

“Similar Laws”

Has the meaning as given in Section XII: “Regulatory and Tax Considerations”;

“Sponsor”

As the context or applicable law requires, individually and collectively, the AIFM and the Investment Manager;

“Standard”, “CRS”, “CRS-Law”, “Reportable Persons”, “NFEs”, “Information”, “Controlling Person”, and “CRS Personal Data”

Have the meanings as given in Section XII: “Regulatory and Tax Considerations”;

“Sub-Class”

A sub-class of a Class of Shares of AEFS SICAV;

“Sub-Fund(s)”

Has the meaning as given in “Important Information”;

“Subscription Date”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Subscription Document”

means a subscription document for Shares of the relevant Class, the form of which is decided by the Investment Manager in its sole discretion, which investors are required to complete and sign and which may be accepted by AEFS SICAV in its sole discretion, and pursuant to which the relevant investor irrevocably subscribes for Shares, gives certain representations and warranties and adheres to the terms of AEFS SICAV, including this Prospectus and the Articles;

“Subscription Fees”

Has the meaning as given in Section VII: “Fees and Expenses of AEFS”;

“Tax Information”, “Tax Reporting Regimes”, “Exchange of Information Directive” and “DAC”

Have the meanings as given in Section XII: “Regulatory and Tax Considerations”;

“Taxonomy Regulation”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Travel-related Expenses”

The costs and expenses of transportation, accommodations, meals, and reasonable entertainment, provided, however, that transportation costs and expenses paid or reimbursed by AEFS SICAV shall not exceed commercial rates as reasonably available and determined by the Investment Manager consistent with its duties to AEFS SICAV;

“TRSs”

Total return swaps;

“Underlying Funds”

Has the meaning as given in Annex 2: “Ares U.S. Strategic Income Fund” of Appendix A: “Sub-Funds Terms”;

“Underlying Issuer”

Each entity to which the relevant Sub-Fund(s) will provide debt capital (but excluding, for the avoidance of doubt, any Intermediate Vehicles) and collectively the **“Underlying Issuers”**;

“Underlying Management Fee”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“UK”

The United Kingdom;

“U.K. Bribery Act”

The UK Bribery Act of 2010;

“United States” or “U.S.”

The United States of America, its territories and possessions, any state thereof and the District of Columbia;

“Valuation Date”

Has the meaning as given in the relevant Annex, in respect of each applicable Sub-Fund;

“Valuation Policy”

The valuation policy adopted for AEFS SICAV;

“VAT”

(A) Any tax imposed in compliance with the council directive of 28 November 2006 on the common system of value added tax; and (B) any other tax of a similar nature, whether imposed in a member state of the European Union in substitution for, or levied in addition to, such tax referred to in (A), or elsewhere;

“Withholdable Payments”, “FFI Agreement” and “IGA”

Have the meanings as given in Section XII: *“Regulatory and Tax Considerations.”*

XVI. RISK FACTORS, POTENTIAL CONFLICTS OF INTEREST AND OTHER CONSIDERATIONS

CERTAIN INVESTMENT RISKS

An investment in AEFS entails a significant degree of risk and, therefore, should be undertaken only by investors capable of evaluating the risks of AEFS and bearing the risks it represents. Returns of AEFS are unpredictable and, accordingly, AEFS is not suitable as the sole investment vehicle for an investor. Prospective investors in AEFS should carefully consider the following risk factors in connection with an investment in AEFS. As a result of these factors, as well as other risks set forth elsewhere in this Prospectus, there can be no assurance that AEFS will meet its investment objectives or otherwise be able to successfully carry out its investment program. The following list is not a complete list of all risks involved in connection with an investment in AEFS. Additional risks and uncertainties not currently known or that AEFS currently deems to be immaterial also have the potential to materially adversely affect an investment in AEFS and the business, financial condition and/or operating results of AEFS. There can be no assurance that an investor will receive a return on its capital, and therefore, an investor should only invest in AEFS if such investor is able to withstand a total loss of its investment. Prospective investors should ensure they understand the nature of AEFS and the potential extent of their exposure to risk, that they have sufficient knowledge, experience and access to professional advisers to make their own fully independent legal, tax, accounting and financial evaluation of the merits and risks of investment in AEFS and that they consider the suitability of such investment in the context of their own circumstances and financial condition.

The Investment Manager is permitted to create one or more Parallel Entities, the structure of which may differ from that of AEFS but which will generally invest proportionately in all transactions of AEFS on substantially the same terms and conditions as AEFS, except as necessary to address legal, tax, accounting, regulatory or other considerations. Any reference to the investment activities of AEFS or the Investments or Portfolio Entities of AEFS herein shall include the investment activities, investments or Portfolio Entities of a Parallel Entity.

References herein to any responsibility, power, authority or discretion exercisable by the AIFM, the Investment Manager, Ares Management or any Ares Management Personnel shall be read as references to all the parties listed herein unless the context otherwise requires.

Risk Factors Relating to General Commercial Risks

No assurance of investment return or return of capital contributions.

None of AEFS, the AIFM, the Investment Manager, any of their respective affiliates or any other person can provide any assurance that AEFS will be able to choose, make or realize investments in any particular company or portfolio of companies. Further, there can be no assurance that AEFS will be able to generate returns for the Shareholders or that such returns will be commensurate with the risks of investing in the types of companies and transactions described herein or that such returns will be comparable to AEFS's targeted returns. The marketability and value of any such Investment will depend upon many factors beyond the control of AEFS, the Investment Manager and the AIFM. It is possible that AEFS will suffer defaults on its Investments and may find it difficult or uneconomic to realize its Investments. AEFS will bear the expenses of transactions that are not consummated, including any break-up fees. As a result, AEFS could incur a substantial cost with no opportunity for a return. Shareholders could lose the entire amount they advance to AEFS, and therefore, prospective investors should only invest in AEFS if they can withstand a total loss of their investment. A total loss of investment is possible on any or all Investments made by AEFS.

Further, AEFS is permitted to make (or commit to make) an Investment with a view to selling a portion of such Investment to certain Other Ares Funds, co-investors or other persons. In such event, AEFS will bear the risk that any or all of the excess portion of such Investment will not be sold or could only be sold on unattractive terms and that, as a consequence, AEFS would bear the entire portion of any reverse break-up fee or other fees, costs and expenses related to such Investment, hold a larger than expected investment in such portfolio investment or realize lower than expected returns from such Investment.

The business environment in which AEFS, the Investment Manager and the AIFM operate is subject to heightened regulation.

The businesses of AEFS, the Investment Manager, the AIFM and their affiliates, as well as the financial services industry generally, are subject to extensive regulation, including periodic examinations, by governmental agencies

and self-regulatory organizations or exchanges in the United Kingdom, Luxembourg, the United States and other jurisdictions in which they operate relating to, among other things, antitrust laws, anti-money laundering laws, anti-bribery laws, laws relating to foreign officials, privacy laws with respect to client information and the regulatory oversight of the trading and other investment activities of alternative asset management funds and their alternative investment fund managers, including AEFS and the AIFM. Each of the regulatory bodies with jurisdiction over AEFS, the Investment Manager, the AIFM or their affiliates, has the regulatory powers dealing with many aspects of financial services, including the authority to grant, and in specific circumstances to cancel, permissions to carry on particular activities. Any failure to comply with these rules and regulations could expose AEFS, the Investment Manager or the AIFM to liability or other risks.

Additionally, such oversight and regulation may cause AEFS to incur additional expenses, may divert the attention of the AIFM and its personnel and may result in fines if AEFS is deemed to have violated any regulations. Regulation generally as well as regulation more specifically addressed to the alternative asset management industry, including tax laws and regulation, could increase the cost of acquiring, holding or divesting portfolio investments, the profitability of enterprises and the cost of operating AEFS. Additional regulation could also increase the risk of third party litigation. The transactional nature of the business of AEFS exposes AEFS, the Investment Manager, the AIFM and certain related parties generally to the risks of third party litigation. Under the Articles and this Prospectus, AEFS will generally be responsible for indemnifying the Investment Manager, the AIFM and certain related parties for losses or obligations they may incur with respect to such litigation.

Finally, laws governing lending activities in Europe vary from jurisdiction. For example in Europe, in certain jurisdictions in Europe, only investment vehicles that qualify as an AIF for the purposes of AIFM Directive will be able to participate in lending activities. As such, it is possible certain vehicles comprising AEFS and the relevant Intermediate Vehicles may not be eligible to directly participate in certain Investments, and will only have the opportunity to participate synthetically or indirectly, which subjects them to different risks than if they participated directly.

It is not currently anticipated that AEFS, the relevant Sub-Funds or any of their Intermediate Vehicles will apply for or obtain a lending license in any jurisdiction where such a license is required to directly originate loans, which may expose the relevant Sub-Fund, the Investment Manager or the AIFM to liability or other risks. Without such a license, the relevant Sub-Funds may have to forego certain investment opportunities which may adversely affect the AIFM's ability to implement the strategy for such Sub-Funds. Alternatively, the Investment Manager or AIFM may be able to structure potential portfolio investments in a manner which would not require such licenses and authorizations, although such transactions may be structured in an inefficient or otherwise disadvantageous manner for the relevant Sub-Funds.

Economic and trade sanctions and anti-bribery considerations.

Economic and trade sanctions laws in the United States and other jurisdictions may prohibit Ares, Ares' professionals and AEFS from transacting with or in certain countries and with certain individuals and companies. In the United States, the OFAC administers and enforces laws, Executive Orders and regulations establishing U.S. economic and trade sanctions. Such sanctions prohibit, among other things, transactions with, and the provision of services to, certain foreign countries, territories, entities and individuals. These entities and individuals include specially designated nationals, specially designated narcotics traffickers and other parties subject to OFAC sanctions and embargo programs. The lists of OFAC prohibited countries, territories, persons and entities, including the List of Specially Designated Nationals and Blocked Persons, as such list may be amended from time to time, can be found on the OFAC website at www.treas.gov/ofac. In addition, certain programs administered by OFAC prohibit dealing with individuals or entities in certain countries regardless of whether such individuals or entities appear on the lists maintained by OFAC. These types of sanctions may significantly restrict AEFS's investment activities in certain countries and, in particular, certain emerging market countries. At the same time, Ares may be obligated to comply with certain anti-boycott laws and regulations, which prevent Ares and AEFS from engaging in certain discriminatory practices that may be allowed or required in certain jurisdictions. Ares' failure to discriminate in this manner could make it more difficult for AEFS to pursue certain investments and engage in certain business activities.

In some countries, there is a greater acceptance than in the United States and the U.K. of government involvement in commercial activities, and of corruption. Ares, Ares' professionals and AEFS are committed, to the fullest extent permitted by law, to complying with the FCPA, the U.K. Bribery Act and other anti-corruption laws, anti-bribery laws and regulations (including Luxembourg), as well as anti-boycott regulations, to which they are subject. As a result, AEFS may be adversely affected because of its unwillingness to participate in transactions

that violate such laws or regulations. Such laws and regulations may make it difficult in certain circumstances for AEFS to act successfully on investment opportunities and for Investments to obtain or retain business.

In recent years, the U.S. Department of Justice and the SEC have devoted greater resources to enforcement of the FCPA. In addition, the U.K., with enactment of the U.K. Bribery Act, has expanded the reach of its anti-bribery laws significantly. While Ares has developed and implemented policies and procedures designed to ensure strict compliance by Ares and its personnel with the FCPA and the U.K. Bribery Act and the sanctions regimes that apply to Ares, such policies and procedures may not be effective in all instances to prevent violations. In addition, in spite of Ares' policies and procedures, affiliates of Portfolio Entities, particularly in cases in which AEFS or another fund or vehicle sponsored by Ares does not control such Portfolio Entity, may engage in activities that could result in FCPA, U.K. Bribery Act or other violations of law. Any determination that Ares has violated the FCPA, U.K. Bribery Act or other applicable anti-corruption laws or anti-bribery laws or sanctions requirements could subject us to, among other things, civil and criminal penalties, material fines, profit disgorgement, injunctions on future conduct, securities litigation, disclosure obligations and a general loss of investor confidence, any one of which could adversely affect Ares' business prospects and/or financial position, as well as AEFS's ability to achieve its investment objective and/or conduct its operations.

Big boy letters.

AEFS may enter into transactions involving, amongst others, securities, loans, participations, assignments or other investments in which it may be deemed to be in possession of material, non-public information. In connection with these transactions, AEFS may furnish letter agreements to counterparties and/or intermediaries and counterparties generally stating that the parties to a particular transaction are entering into such transaction notwithstanding a possible information disparity and its potential effect on the value of the assets involved in such transaction—these letter agreements are typically referred to as “big boy” letters. “Big boy” letters are intended to limit liability for fraud under U.S. federal securities laws, state securities laws and the common law, but the jurisprudence related to “big boy” letters continues to evolve and there can be no assurance that AEFS's use of “big boy” letters in the course of its trading activities will avoid civil or other liability.

European Market Infrastructure Regulation.

The European Market Infrastructure Regulation (“**EMIR**”) introduced certain requirements in respect of derivative contracts, which will apply to AEFS's or a Sub-Fund's derivative transactions. EMIR forms part of the body of EU law retained in the UK by virtue of the European Union (Withdrawal) Act 2018 (“**EUWA**”) and therefore similar (but not identical) regulatory requirements apply in the UK and the European Union.

Broadly, EMIR's requirements in respect of derivative contracts are: (i) mandatory clearing of over-the-counter (“**OTC**”) derivative contracts declared subject to the clearing obligation; (ii) risk mitigation techniques in respect of uncleared OTC derivative contracts; and (iii) reporting and record-keeping requirements in respect of all derivative contracts. The application of these requirements is dependent on the classification of the counterparties as financial counterparties (“**FCs**”) or non-financial counterparties (“**NFCs**”). Financial counterparties and non-financial counterparties are further divided into those which have entered into derivatives having a notional value above certain specified thresholds (“**FC+**” or “**NFC+**”) and those which do not (“**FC-**” and “**NFC-**”).

All financial counterparties are subject to certain risk mitigation techniques, including the margining requirements. Each of AEFS (as an EEA AIF) and the AIFM (as an EEA AIFM) are categorized as a financial counterparty – which means AEFS and the AIFM are subject to the clearing obligation (if above the clearing threshold) and the other risk mitigation techniques for non-centrally cleared derivatives, including margining.

Under EMIR, a special purpose vehicle established by or on behalf of AEFS or a Sub-Fund (as applicable) for the purposes of entering into derivative transactions or financings of which derivative transactions form part is likely to be considered a non-financial counterparty unless its trading volume exceeds certain specified thresholds. A non-financial counterparty is subject to certain of the risk mitigation techniques, but are only subject to the margining requirements once it exceeds one of the specified thresholds.

Prospective investors should be aware that the regulatory changes arising from EMIR and other European market reforms may in due course raise the costs of entering into derivative contracts and may adversely affect AEFS's or a relevant Sub-Fund's ability to engage in transactions in derivatives including hedging transactions.

European Union Sustainable Finance Initiatives.

The European regulatory environment for alternative fund managers and financial services firms continues to evolve and increase in complexity, making compliance more costly and time-consuming. In March 2018, the European Commission published an Action Plan on Financing Sustainable Growth (the “**Action Plan**”) setting up a sustainable finance strategy for the EU to transform the entire financial system and reorient capital flows towards sustainable investment. The reorientation of capital flows toward sustainable investment is to be achieved through the selection of appropriate investments by well-informed, or suitably advised, investors who may themselves be under an obligation to disclose to their own stakeholders how they integrate sustainability into their own decision-making. The Action Plan was updated in August 2020 and, in July 2021, the Commission published a Strategy for financing the transition to a sustainable economy.

It is difficult to predict whether the measures introduced by the EU will succeed in reorienting capital flows and, if successful, the impact that this will have on the returns to investors. There is a risk that the value of Investments made by AEFS or a relevant Sub-Fund in pursuing its investment strategy could be adversely affected over the life of AEFS by changes to economic conditions brought about by the EU’s sustainable finance initiatives.

As part of the original Action Plan, the European legislators adopted the Sustainable Finance Disclosure Regulation (2019/2088) (the “**SFDR**”), which took effect from 10 March 2021, and the Regulation on the establishment of a framework to facilitate sustainable investment (2020/852) (the “**Taxonomy Regulation**”) which took effect from January 2022. Both the SFDR and the Taxonomy Regulation have since been supplemented by delegated legislation specifying detailed implementing and regulatory technical standards, including Commission Delegated Regulation (EU) 2022/1288 (commonly referred to as the “**RTS**”). The SFDR introduced measures that clarify asset managers’ duties to integrate ESG factors and risks into investment decision making, and standardises transparency duties and ESG reporting requirements. In addition, the Taxonomy Regulation contains criteria for determining whether economic activities qualify as environmentally sustainable for the purpose of establishing the degree to which an investment is environmentally sustainable. For that purpose, asset managers are, under the transparency requirements of the Taxonomy Regulation, amongst other things, required to disclose the degree to which financial products, such as AEFS and its Sub-Funds, invest in environmentally sustainable investments. The AIFM will need to comply with these regulations and provide certain sustainability related disclosures in respect of the integration of sustainability risks in its decisions and sustainability-related information with respect to AEFS and its Sub-Funds.

As of the date hereof, the full impact of the SFDR, the Taxonomy Regulation and the RTS on the AIFM remains unclear as there is still uncertainty as to how their requirements must be applied in practice, and further detailed guidance and clarifications are expected from the European Commission and the European Supervisory Authorities. There could also be divergent interpretations of the requirements at EU Member State level, and national guidance has already emerged in certain Member States. The AIFM will therefore have to continue to monitor any developments to these regulations. Without legal certainty regarding the application of the above regulations, it is also difficult to assess the costs of compliance with the SFDR and the Taxonomy Regulation by AEFS and the AIFM. Resources will need to be allocated to determine how such entities may be impacted by the new regulatory framework and, to the extent applicable, creating an additional compliance burden and reporting costs. Moreover, there is also a risk that AEFS’s SFDR classification will affect the pool of investors AEFS will be able to target.

In addition, on 2 August 2021, a number of delegated regulations that are part of the Action Plan were published in the Official Journal of the EU, which amend, amongst others, the Commission Delegated Regulation 2017/565 (“**MiFID II Org Regulation**”) and Commission Delegated Directive (EU) 2017/593 (“**MiFID II Delegated Directive**”). The amended MiFID II Org Regulation (from 1 August 2022) requires EU investment firms to integrate a consideration of sustainability risks into their general organizational requirements and risk management processes, and provides that when EU investment firms undertake investment advisory or portfolio management services for clients that they must take into account their clients’ “sustainability preferences”. The amended MiFID II Delegated Directive (from 22 November 2022) requires EU investment firms that manufacture or distribute investment products to consider the sustainability preferences of potential end-investors and to consider and disclose sustainability factors in product approval and governance arrangements. The changes introduced to the delegated regulations could have an impact of the ability of third party distributors or third party investment managers in the EU to recommend or to invest in AEFS on behalf of their clients.

Further information with respect to the specific environmental and social characteristics that are promoted by a particular Sub-Fund of AEFS, where applicable, can be found in the pre-contractual disclosures included at Schedule 1: “Sustainability-Related Disclosures” to the applicable Annex of Appendix A: “Sub-Funds Terms” of

this Prospectus (for the relevant Sub-Fund), as well as online at: <https://www.areswms.com/ares-wealth-management-solutions/aesif-resources>.

AEFS or a Sub-Fund may also be impacted by ESG related developments to the UK legislative framework. The UK has announced that it will not implement SFDR into national law following the UK withdrawal from the EU but will instead introduce a new legislative framework focused on implementing the recommendations of the Financial Stability Board Taskforce on Climate-related Financial Disclosures (“TCFD”), in particular by introducing mandatory TCFD-aligned disclosure requirements for firms based in the UK, which could impact Ares Management Limited. Reporting requirements under this framework are yet to fully apply and there is still uncertainty as to the potential indirect impacts of this new regime on the AIFM, AEFS and its Sub-Funds.

The FCA is developing its own rules on sustainability disclosures and investment labels for consumer focused funds. Final rules are expected to come into force during 2023 and into 2024. It is as yet unclear whether, and if so how, these rules, when finalised, will impact AEFS or a relevant Sub-Fund. If the rules are applicable to AEFS or its Sub-Funds then this may mean additional regulatory costs are incurred by AEFS.

Compliance with the SFDR, the Taxonomy Regulation and any other applicable ESG related legislation or regulations is expected to result in increased legal, compliance, reporting and other associated costs and expenses which will be borne by AEFS and reduce Shareholder returns.

To the extent applicable, AEFS will bear the costs and expenses of compliance with the SFDR, the Taxonomy Regulation and any other applicable ESG related legislation or regulations, including costs and expenses of monitoring their application to AEFS or its Sub-Funds, collecting and calculating data and the preparation of policies, disclosures and reports, in addition to other matters that relate solely to marketing and regulatory matters. The AIFM reserves the right to adopt such arrangements as it deems necessary or desirable to comply with any applicable requirements of the SFDR, the Taxonomy Regulation and any other applicable ESG related legislation or regulations.

AIFM Directive.

The AIFM Directive took effect across the EU on July 22, 2013. The AIFM Directive as implemented regulates the activities of certain private fund managers undertaking fund management activities or marketing fund interests to investors within the EEA.

Ares Management Luxembourg is the AIFM of AEFS SICAV. The AIFM is in charge *inter alia* of the risk management function of AEFS SICAV. Ares Management Luxembourg is authorized by the CSSF as alternative investment fund manager in accordance with the 2013 Law. For the purposes of the AIFM Directive, AEFS SICAV will qualify as an AIF established in Luxembourg (an “**EEA AIF**”).

The AIFM is in charge of ensuring compliance of AEFS with the AIFM Directive, as implemented in Luxembourg. Such obligations and requirements include, but are not limited to, the following: (i) the AIFM will be subject to requirements and obligations relating to reporting, disclosure, the appointment of a depositary, valuations, marketing and other compliance obligations and requirements under the AIFM Directive, some of which will result in AEFS incurring additional costs and expenses, (ii) AEFS and/or the AIFM may become subject to additional regulatory or compliance obligations arising under national law implementing or associated with the AIFM Directive in certain EEA jurisdictions, which may require AEFS and/or the AIFM to take additional significant measures resulting in AEFS incurring additional costs and expenses or which may otherwise affect the management and operation of AEFS, (iii) the AIFM will be required to make detailed information relating to AEFS and its Investments available to regulators and third parties and (iv) if AEFS were to acquire voting interests in the capital of an EEA company, for example upon a reorganization, it will be subject to certain transparency obligations towards the company, its other shareholders and employees, and to certain restrictions on its activities in relation to that EEA company including, in some circumstances, AEFS’s ability to (within the first two (2) years of ownership) make distributions or deemed distributions from that company or to reduce its capital, recapitalize, refinance or potentially restructure such company. Such obligations and restrictions would not apply to other types of lender or to competitor funds not established, managed or marketed into the EEA. This could affect operations of AEFS generally and put AEFS at a competitive disadvantage.

Notwithstanding any broader marketing of AEFS to eligible investors under the laws of the relevant jurisdictions, the AIFM is entitled, and intends, to market the interests in the EEA AIFs to certain eligible EEA investors through the use of the AIFM Directive marketing passport. If the AIFM actively markets the interests in the EEA AIFs to prospective EEA investors, it will be necessary to comply with the relevant requirements under the AIFM

Directive and the 2013 Law. It should be noted that it is possible some EEA jurisdictions may elect to impose additional conditions (including fees to use the marketing passport) on the marketing of EEA AIFs such as AEFS and that these may be treated as AEFS's expenses.

The regulatory regime of Luxembourg, as well as the AIFM Directive itself, and the regulatory regime of the EEA as a whole, may potentially be reformed during the life of AEFS. This may adversely affect investors' expected returns and may have an impact on the structuring of AEFS, for example in the event that regulatory fees and capital requirements were to be increased. AEFS and the AIFM reserve the right to adjust the operation and management of AEFS to take into account any such changes to the requirements or impact of the AIFM Directive and implementing laws on the subject matter of this Prospectus (see also "*AIFM Directive II below*").

Neither the AIFM nor the Investment Manager will participate or utilize securities financing transactions or total return swaps.

AIFM Directive II.

On February 26, 2024, the European Council unanimously adopted the text of a directive amending the AIFM Directive and Directive 2009/65/EC (the "**AIFMD II**"). The AIFMD II was published in the EU Official Journal on 26 March 2024 and has entered into force on 15 April 2024. EU member states will have until 16 April 2026 to implement AIFMD II, and the measures therein shall be applicable as of this date except for specific transition provisions for existing loan originating funds and for the new reporting requirements which shall apply from 16 April 2027. AIFMD II provisions relating to loan originating activities include, without limitation: leverage limits, financial sector concentration limits, limits on lending to connected entities, a prohibition on "originate to distribute" strategies and risk retention requirements, as well as mandated liquidity management mechanisms for open ended funds. The implementation of these proposals could have a negative impact on the relevant Sub-Funds including, but not limited to: (i) affecting the relevant Sub-Funds' ability to make and/or exit Investments which constitute loan origination in the future, or the manner in which it does so, (ii) increasing costs borne by the relevant Sub-Funds or the AIFM to ensure compliance with these proposals, or (iii) lowering the potential returns on the relevant Sub-Funds' Investments as a result of leverage limits.

Laws of Other Jurisdictions Where AEFS is Marketed.

Shares may be marketed in various jurisdictions in addition to those more specifically addressed elsewhere in this Prospectus. In order to market Shares in certain jurisdictions (or to investors who are citizens of or resident in such jurisdictions), AEFS, the Sponsor, Ares or its affiliates will be required to comply with applicable laws and regulations relating to such activities. Compliance may involve, among other things, making notifications to or filings with local regulatory authorities, registering AEFS, the Sponsor, Ares or its affiliates or the Shares with local regulatory authorities or complying with operating or investment restrictions and requirements, including with respect to prudential regulation. Compliance with such laws and regulations may limit the ability of AEFS to participate in investment opportunities and may impose onerous or conflicting operating requirements on AEFS, the Sponsor, Ares or its affiliates. The costs, fees and expenses incurred in order to comply with such laws and regulations, including, without limitation, related legal fees and filing or registration fees and expenses, will be borne by AEFS and may be substantial. In addition, if AEFS, the Sponsor, Ares or its affiliates were to fail to comply with such laws and regulations, any or all of them could be subject to fines or other penalties, the cost of which typically would be borne by AEFS.

Enhanced Scrutiny and the Regulation of the Funds Industry and the Financial Services Industry.

There has been additional legislation, increasing global regulatory oversight of fundraising activities and changes in law relating to the alternative asset management industry, which has included, among other things, increased registration, oversight and regulation of alternative asset management firms and disclosure with respect to these firms and the vehicles they sponsor or advise, which could impact the AIFM's management of AEFS. Such oversight and regulation may cause AEFS to incur additional expenses, may divert the attention of the AIFM and the Investment Manager and its personnel and may result in fines if AEFS is deemed to have violated any regulations. Regulation generally as well as regulation more specifically addressed to the alternative asset management industry, including tax laws and regulation, could increase the cost of acquiring, holding or divesting portfolio investments, the profitability of enterprises and the cost of operating AEFS. Additional regulation could also increase the risk of third-party litigation. The transactional nature of the business of AEFS exposes AEFS, the Investment Manager, the AIFM and certain related parties generally to the risks of third-party litigation. Under the Articles and this Prospectus, AEFS will generally be responsible for indemnifying the Investment Manager, the AIFM and certain related parties for losses or obligations they may incur with respect to such litigation.

The Dodd-Frank Act, signed into law in July 2010, imposed significant new regulations on almost every aspect of the U.S. financial services industry. Among other things, the Dodd-Frank Act requires private fund advisers to register with the SEC, under the Advisers Act, to maintain extensive records and to file reports if deemed necessary for purposes of systemic risk assessment by certain governmental bodies. Importantly, many of the provisions of the Dodd-Frank Act are subject to further rulemaking and to the discretion of regulatory bodies, such as the Financial Stability Oversight Council. In addition, numerous non-U.S. governments, including many based in Europe, have proposed modernizing financial regulations that have called for, among other things, increased regulation of and disclosure with respect to, and the registration of, private funds.

This enhanced oversight and regulation, and the need for significant additional rulemaking by various governmental bodies, has created uncertainty in the financial markets and, in particular, the private funds industry. Many of the regulators to which AEFS, the Investment Manager, the AIFM or any of their respective affiliates are expected to be subject to globally, including governmental agencies and self-regulatory organizations, are empowered to conduct investigations and administrative proceedings that can result in fines, suspensions or expulsion of applicable licenses or members. Even if an investigation or proceeding did not result in a sanction or the sanction imposed against AEFS, the Investment Manager, the AIFM or any of their respective affiliates were small in monetary amount, the adverse publicity relating to the investigation, proceeding or imposition of these sanctions could harm AEFS, the Investment Manager, the AIFM or their respective affiliates' reputations which may adversely affect AEFS's investment performance by hindering its ability to obtain favorable financing or consummate a potentially profitable investment. There is also a material risk that regulatory agencies in Europe, the U.S. and beyond will continue to adopt burdensome new laws or regulations (including tax laws or regulations), or change existing laws or regulations, or enhance the interpretation or enforcement of existing laws and regulations, as the global economy continues to struggle to improve. Any such events or changes could occur during AEFS's term and may adversely affect AEFS and its ability to operate and/or pursue its investment strategies. Such risks are often difficult or impossible to predict, avoid or mitigate in advance.

The SEC has indicated that it intends to seek to enact changes to numerous areas of law and regulations that would impact our business and the business of AEFS. In particular, the SEC has increasingly emphasized investment adviser and private fund regulation and has proposed a number of rules that, if adopted, would impose significant changes on private fund advisers and their management of private funds, and the SEC is expected to propose additional changes in the future. Any such changes are generally expected to materially impact the Investment Manager, the AIFM and its affiliates, AEFS and/or its Investments, and increase their expenses. Significant time and resources would generally be required to comply with new regulations, which potentially will detract from the time and resources dedicated to AEFS.

The tax laws and other tax-related authorities may change, sometimes with retroactive effect. While some of these changes may be beneficial, others could negatively affect the after-tax returns of AEFS and the Shareholders. Accordingly, no assurance can be given that the currently anticipated tax treatment of an investment in AEFS, or of investments made by AEFS, will not be modified by legislative, judicial or administrative changes, possibly with retroactive effect, to the detriment of the Shareholders.

There has been, and it is possible that there will be, further involvement of governmental and regulatory authorities in financial markets around the world (see also "The business environment in which AEFS, the Investment Manager and the AIFM operate is subject to heightened restriction" above).

Neither the Investment Manager nor the AIFM can predict whether new legislation or regulation (including new financial and tax measures, laws and regulations) will be enacted by legislative bodies or governmental agencies, nor can either of them predict what effect such legislation or regulation might have. There can be no assurance that new legislation or regulation, including changes to existing laws and regulations, will not have an adverse effect on AEFS's investment performance.

In summary, regulation generally as well as regulation more specifically addressed to the private funds industry, including tax laws and regulation, could increase the cost of acquiring, holding or divesting of Investments, the profitability of enterprises and the cost of operating AEFS. There can be no assurance that any such enhanced scrutiny will not have an adverse impact on AEFS or not otherwise impede AEFS's activities.

DAC6.

On May 25, 2018, the EU Council adopted a directive (2018/822 amending Directive 2011/16/EU as regards mandatory automatic exchange of information in the field of taxation) ("**DAC6**") that imposes mandatory

disclosure requirements for certain EU cross-border tax arrangements which satisfy certain “hallmarks” provided for in DAC6 and which may have a tax advantage as the main or expected benefit (the “**Reportable Arrangements**”). In the case of a Reportable Arrangement, the information that must be reported includes, inter alia, the name of all relevant taxpayers and intermediaries as well as an outline of the Reportable Arrangement, the value of the Reportable Arrangement and identification of any member states likely to be concerned by the Reportable Arrangement. The reporting obligation in principle rests with persons that design, market, organize, make available for implementation or manage the implementation of the Reportable Arrangement (so called “intermediaries”). However, in certain cases, the taxpayer itself can be subject to the reporting obligation. The information reported will be automatically exchanged between the tax authorities of all EU Member States.

DAC 6 was implemented into Luxembourg law on March 25, 2020 (the “**DAC6 Law**”) and became applicable from July 1, 2020. Starting from January 1, 2021, Reportable Arrangements must be reported within thirty days from the earliest of: (i) the day after the Reportable Arrangement is made available for implementation; (ii) the day after the Reportable Arrangement is ready for implementation; or (iii) the day when the first step in the implementation of the Reportable Arrangement has been made.

In light of the broad scope of DAC6 Law, transactions carried out by AEFS may fall within the scope of DAC6 Law and thus be reportable (subject however to the way DAC6 will effectively be implemented into national laws).

Potential investors should consult their own tax advisors regarding all aspects of the implementation of these laws and directives as it affects their particular circumstances.

Potential investors should also note the considerations discussed in Section XII: “Regulatory and Tax Considerations—Tax Information and Tax Liability.”

Investments with Third Parties.

AEFS is permitted to co-invest with third parties through joint ventures or other entities, including with private funds sponsored by others. The co-investment commitment to a Portfolio Entity may be substantial. Such investments may involve risks not present in investments where third parties are not involved, including the possibility that a co-venturer of AEFS may experience financial, legal or regulatory difficulties, may at any time have economic or business interests or goals that are inconsistent with those of AEFS, may take a different view from the Investment Manager or the AIFM as to the appropriate strategy for an investment or disposition of an investment, or may be in a position to take action contrary to AEFS’s investment objectives. In addition, AEFS may in certain circumstances be liable for the actions of its third-party co-venturers. In those circumstances where such third parties involve a management group, such third parties may receive compensation arrangements relating to the investment, including incentive compensation arrangements. Some of the third parties or joint venture partners with whom AEFS may co-invest have pre-existing investments with target portfolio companies, and the terms of such pre-existing investments may differ from the terms upon which AEFS invests in such portfolio company.

Government registrations.

AEFS will not be registered under the Investment Company Act pursuant to one or more exemptions set forth in the Investment Company Act. Depending on the ultimate investor base of AEFS, such exemptions may include those provided by Section 3(c)(1); Section 3(c)(7) of the Investment Company Act and/or Section 7(d) of the Investment Advisers Act of 1940 (“**Advisers Act**”), as amended. The Investment Company Act provides certain protection to investors and imposes certain restrictions on registered investment companies (including, for example, limitations on the ability of registered investment companies to incur debt), none of which will be applicable to AEFS. Ares Management LLC, an affiliate of the Investment Manager, is registered as an investment adviser under the Advisers Act, as amended. The AIFM and the Investment Manager are each listed as a “relying adviser” on the Form ADV filed by Ares Management LLC.

In addition, the AIFM is exempt from registration with the Commodities Future Trading Commission (“**CFTC**”) as a commodity pool operator with respect to AEFS and intends to file a notice of claim of exemption pursuant to CFTC Rule 4.13(a)(3) to this effect with the CFTC.

Ares Management Luxembourg is authorized as AIFM and supervised by the CSSF pursuant to the 2013 Law. Any reference to the AIFM, the Investment Manager or the Sub-Investment Manager(s), as applicable, or their affiliates’ registration with the SEC, FCA, CSSF or any other similar regulatory authority in this Prospectus

neither implies a certain level of skill or training nor constitutes an endorsement by any of the foregoing regulatory authorities of the AIFM's or the Investment Manager's services or practices.

Regulated Industry Investments.

AEFS is permitted to make investments in the securities of companies that operate in a number of different industries, including, without limitation, financial service companies, healthcare companies, insurance companies, energy or energy-generation companies and communications or media companies. Certain companies in those and other industries are expected to be subject to extensive legal and regulatory requirements, as well as non-U.S. legal and regulatory requirements. Certain regulations may prevent AEFS from making certain investments that it would otherwise make. Other regulations may cause AEFS to incur substantial additional costs or lengthy delays in connection with the completion or disposition of an investment.

Monetary Policy and Governmental Intervention.

The European Central Bank and other global central banks have, in addition to other governmental actions intended to stabilize markets and to encourage economic growth, recently increased key interest rates and have signaled plans for further increases over the course of the year in an effort to control soaring inflation. It cannot be predicted with certainty when, or how, these increases to interest rates or other changes to economic policies will take place, but actions by the European Central Bank and other central bankers may have a significant effect on European and world economies generally, which in turn may affect the performance of AEFS's Investments. Further financial crises may result in additional governmental intervention in the markets. In addition, the consequences of the extensive changes to the regulation of various markets and market participants contemplated by the legislation and increased regulation arising out of the financial crisis are difficult to predict or measure with certainty.

Changes in law.

AEFS and its affiliates are subject to laws, accepted tax practices and regulations in a variety of countries and other jurisdictions, including on a state or local level. These laws, accepted tax practices and regulations, as well as their interpretation, may change from time to time. Accordingly, any change in these laws or regulations, or their interpretation or any failure by the Investment Manager, the AIFM or their affiliates to comply with these laws, accepted tax practices or regulations may adversely affect AEFS. In addition, the present tax treatment of an investment in AEFS may be modified by legislative, judicial or administrative action and/or published guidance at any time, and any such action may affect investments and commitments previously made. The rules dealing with taxation are constantly under review by persons involved in the legislative, administrative and judicial process, resulting in revisions of regulations and revised interpretations of established concepts as well as statutory changes. Revisions in the tax laws could adversely affect AEFS's tax consequences or the tax consequences of an investment in AEFS.

Macroeconomic factors.

The performance of AEFS's Investments and the underlying business activities of the relevant Portfolio Entities could be adversely affected by macroeconomic factors, including general economic conditions affecting capital markets and participants therein. Such macroeconomic factors include but are not limited to the continuing uncertainties affecting economies and capital markets worldwide; incidents arising from natural disasters, extreme weather conditions, global warming, epidemics, pandemics, military conflicts, political or social unrest and similar events; concerns about financial performance, accounting and other issues relating to various companies including recent and proposed changes to laws and regulations affecting the financial industry, including banking, credit default swaps and other derivatives, mortgage lending, accounting and reporting standards.

A climate of uncertainty may reduce the availability of potential investment opportunities, and increases the difficulty of modelling market conditions, potentially reducing the accuracy of financial projections. In addition, limited availability of credit for consumers, homeowners and businesses, including credit used to acquire businesses, in an uncertain environment or economic downturn may have an adverse effect on the economy generally and on the ability of AEFS and its Investments to execute their respective strategies and to receive an attractive multiple of earnings on the disposition of businesses. This may slow the rate of future investments by AEFS and certain Sub-Funds and result in longer holding periods for Investments.

Public Health Emergencies; COVID-19.

Pandemics and other widespread public health emergencies, including outbreaks of infectious diseases such as SARS, H1N1/09 flu, avian flu, Ebola and COVID-19, have and are resulting in market volatility and disruption, and future such emergencies have the potential to materially and adversely impact economic production and activity in ways that are impossible to predict, all of which may result in significant losses to AEFS.

The outbreak of COVID-19 has adversely impacted global commercial activity and contributed to significant volatility in certain equity and debt markets. The global impact of the outbreak continues to evolve, and many countries reacted by instituting quarantines, prohibitions on travel and the closure of offices, businesses, schools, retail stores and other public venues. Businesses implemented similar precautionary measures. Although certain of these measures have been lifted as COVID-19 has evolved, new variants of COVID-19 continue to spread and these measures could be implemented again in response to different phases of the outbreak. Such measures, as well as the general uncertainty surrounding the dangers and impact of COVID-19, created, and continue to cause, significant disruption in supply chains and economic activity and are having a particularly adverse impact on transportation, hospitality, tourism, entertainment and other industries. The impact of COVID-19 has led to significant volatility and declines in the global public equity markets and it is uncertain how long this volatility will continue. As different variants of COVID-19 continue to spread, the potential impacts, including a global, regional or other economic recession, are increasingly uncertain and difficult to assess.

Any public health emergency, including any outbreak of COVID-19 or other existing or new epidemic diseases, or the threat thereof, and the resulting financial and economic market uncertainty could have a significant adverse impact on AEFS, the fair value of its Investments and could adversely affect AEFS's ability to fulfill its investment objectives. In addition, the operations of AEFS, its Portfolio Entities, the Investment Manager, the AIFM and the Investment Manager may be significantly impacted, or even temporarily or permanently halted, as a result of government quarantine measures, voluntary and precautionary restrictions on travel or meetings and other factors related to a public health emergency, including its potential adverse impact on the health of any such entity's personnel.

Russia-Ukraine Conflict.

On February 24, 2022, Russia launched an invasion of Ukraine that has resulted in an ongoing military conflict between the two countries (the “**Russia-Ukraine Conflict**”). The Russia-Ukraine Conflict has caused, and is currently expected to continue to cause, significant disruptions to the global financial system, international trade, and the transportation and energy sectors, among other disruptions. In addition, the Russia-Ukraine Conflict has displaced millions of people, causing an acute refugee crisis in Europe, and has increased the threat of nuclear accidents or attacks, cyberattacks and further regional or global conflicts (including a potential expansion of the Russia-Ukraine Conflict to other countries as well as other potential conflicts, including, but not limited to, conflicts in other geographic locations and between other state and non-state actors), among other potentially dire consequences. In response to Russia's actions, multiple countries and governing bodies, including the United States, the United Kingdom and the EU, have put in place global sanctions and other severe restrictions or prohibitions on the activities of certain individuals and businesses connected to Russia and/or Belarus. Private companies have also implemented restrictions that severely limit, and in some cases, reverse or cancel, business transactions in or involving certain individuals and/or businesses connected to or associated with Russia and/or Belarus. Further, some private companies have moved to divest of Russia-based subsidiaries and assets. In addition, the impacts of the Russia-Ukraine Conflict on the supply chain and commodity prices are expected to be profound and may result in substantial inflation in one or more countries (or globally). However, the ultimate impact of the Russia-Ukraine Conflict and its effect on global economic and commercial activity and conditions, and on the operations, financial condition and performance of AEFS or any particular industry, business, currency or country and the duration and severity of those effects, is impossible to predict.

Conflicts in the Middle East

On October 7, 2023, Hamas (an organization which governs Gaza, and which has been designated as a terrorist organization by the United States, the United Kingdom, the European Union, Australia and other nations), committed a terrorist attack within Israel (the “**October 7th Attacks**”). Israel responded by initiating a full-scale invasion of Gaza and, as of the date of this Memorandum, Israel and Hamas remain in active armed conflict. In response to the October 7th Attacks, the United States has announced sanctions and other measures against Hamas-related persons and organizations, and the United States (and other countries) can be expected to announce further sanctions related to the ongoing conflict in the future. On June 13, 2025, Israel launched attacks on key military and nuclear facilities in Iran that has resulted in an ongoing military conflict between the two countries. In late February 2026, Israel and the United States launched military action against Iran, prompting retaliatory attacks and further destabilizing the region, including through the risk of disruptions to the Strait of Hormuz and

upward pressure on oil and global energy prices. It is possible the armed conflict will expand and ultimately more actively involve the United States, Lebanon (and/or Hezbollah), Syria and/or other countries or terrorist organizations, any of which will exacerbate the risks described above.

The aforementioned ongoing conflicts and the measures taken in response have had and could be expected to continue to have a negative impact on the economy and business activity globally (including in the countries in which AEFS invests), and therefore could adversely affect the performance of AEFS and the investments made by its Sub-Funds. The severity and duration of the conflict and its future impact on global economic and market conditions (including, for example, oil prices) are impossible to predict, and as a result, present material uncertainty and risk with respect to AEFS and its Sub-Funds, the performance of the investments made by its Sub-Funds, operations of portfolio assets, and the ability of the relevant Sub-Fund to achieve its investment objectives. Similar risks exist to the extent that any portfolio assets, service providers and vendors of Ares, AEFS, its Sub-Funds and any portfolio assets, or certain other parties have material operations or assets in the countries where such conflicts are taking place or in the immediate surrounding areas.

Other geopolitical conflicts could arise in the future and such conflicts could have material adverse consequences on Ares, AEFS, its Sub-Funds and their portfolio assets.

Significant Developments Stemming from the U.S. Presidential Administration

With each new U.S. administration, it can often be expected that the new administration will seek to change certain policies put forth by the former administration, especially when the incoming and outgoing administrations are affiliated with different political parties. Donald J. Trump took office as the U.S. president in January 2025. It is expected that he and the new administration will seek to enact changes to numerous areas of law and regulations currently in effect. Any such changes could significantly impact AEFS, its Sub-Funds and/or their Investments. Specific legislative and regulatory proposals discussed during election campaigns that might materially impact AEFS and its Sub-Funds include changes to trade agreements, immigration policy, import and export regulations, tariffs and customs duties, energy regulations, income tax regulations and the federal tax code, public company reporting requirements and antitrust enforcement.

Changes in federal policy, including tax policies, and at regulatory agencies, occur over time through policy and personnel changes following elections, which lead to changes involving the level of oversight and focus on the financial services industry or the tax rates paid by various entities. The nature, timing and economic effects of potential changes to the current legal and regulatory framework affecting financial institutions under this presidential administration remain highly uncertain. Future changes may adversely affect AEFS' operating environment and therefore AEFS' and its Sub-Funds' business, financial condition and results of operations. There can be no assurance that any changes in laws, regulations or governmental policy will not have an adverse impact on AEFS, its Sub-Funds and their Investments, including the ability of each Sub-Fund to execute its investment objectives and to generate attractive returns.

If a new administration takes actions to re-enter, withdraw from, or materially modify any international trade agreements, to implement greater restrictions on free trade, and/or to increase tariffs or duties other countries may respond to such actions with similar actions (e.g., by imposing tariffs on U.S. imports), thereby affecting (potentially adversely) the business, financial condition, and performance of certain of Investments of any Sub-Fund. The Sponsor also cannot predict how other countries will respond to a new administration's actions. For example, the Sponsor is unable to predict whether legislation or regulations that would have adverse impacts on AEFS, its Sub-Funds or their Investments may be passed in other jurisdictions in response or related to any measures that may be imposed by a changing presidential administration, including the imposition of tariffs on U.S. goods imported into such jurisdictions or on goods exported from such jurisdictions to U.S. companies, increased inspections on U.S. companies, delays on approvals for mergers and acquisitions involving U.S. companies, preferential treatment of non-U.S. companies, media campaigns against U.S. companies and/or goods, and delays on license approvals in such jurisdictions.

In addition, any changes in U.S. social, political, regulatory and economic conditions or in laws and policies governing the financial services industry, foreign trade, manufacturing, outsourcing, development and investment in the territories and countries or types of investments in which any Sub-Fund of AEFS is permitted to invest, and any negative sentiments towards the U.S. as a result of such changes, could adversely affect the performance of AEFS' Investments and the Sub-Funds. The likelihood of occurrence and the effect of any such change is highly uncertain and could have an adverse impact on AEFS, its Sub-Funds and their Investments. In addition, negative sentiments towards the United States among non-U.S. companies, customers, employees or prospective employees could adversely affect sales and operations of portfolio companies, including, for instance, the ability

to conduct business with (including import goods from) non-U.S. manufacturers or suppliers. Moreover, media (including social media) has the potential to influence public sentiment and escalate tensions both within the U.S. and in international relations, which could cause social unrest and could negatively impact stock markets and economics around the globe and investments of any Sub-Fund.

Inflation and Deflation.

Inflation risk is the risk that the value of certain Investments or income thereon will be worth less in the future as inflation decreases the value of money. As inflation increases, the real value of AEFS's Investments can decline. Deflation risk is the risk that prices decline over time – the opposite of inflation. Deflation may have an adverse effect on the creditworthiness of any companies underlying AEFS's Investments and may make defaults more likely, which may result in a decline in the value of AEFS's Investments.

In recent years, multiple world governments, as well as inter-governmental institutions, have undertaken, in some cases may still be undertaking and/or may be considering various forms of fiscal stimulus measures, including setting interest rates that are at historic lows and undertaking, so called “quantitative easing.” Currently, many governments are beginning to scale back and in some cases reverse certain of these measures in response to the inflationary environment. In addition, there is significant concern in macroeconomic terms about the levels of indebtedness carried by certain governments. While bringing with it a range of issues, one of the consequences of an extended period of a higher-than-desired level of inflation, is often to erode in real terms the value of government debt. This element of debt erosion may create an incentive for governments to be less robust in seeking to deal with inflation than might otherwise have been the case had the government concerned not suffered from a high level of indebtedness. If such inflation occurs it would have the negative consequences for AEFS set out above.

LIBOR and Other Reference Rates.

AEFS or a Sub-Fund (as applicable) may have direct or indirect exposures to floating rates of interest that are tied to benchmarks such as the London Interbank Offered Rate (“**LIBOR**”), which is a commonly used reference rate in global financial markets. A major shift is underway to transition from LIBOR to alternative near Risk-Free-Rates (“**RFRs**”). Alongside US Dollar and U.K. Sterling LIBOR, other IBOR benchmarks are also affected by global benchmark reforms, including the Tokyo Interbank Offered Rate, Hong Kong Interbank Offered Rate, Euro Overnight Index Average, Canadian Dollar Offered Rate and Bank Bill Swap Rate. The timings for transition from such rates vary but the broad risks set out in this section apply generally to other affected IBOR benchmarks.

To facilitate this shift and to reduce disruption to financial markets and market participants, certain LIBOR rates are currently published on a synthetic calculation basis with the intention of approximating what LIBOR might have been had it not been subject to permanent cessation. This allows for continued use of LIBOR in legacy contracts. Investors should note that synthetic LIBOR rates may differ to what the equivalent “non-synthetic” LIBOR rate would have been had such rate not been subject to permanent cessation and therefore remained available for use by market participants in their financial contracts. Such differences may have an adverse effect on AEFS or a Sub-Fund (as applicable). The publication and use of synthetic rates is also being phased out.

Alternative reference rates must now be used for new financial contracts and market participants should continue to seek to transition away from LIBOR in existing contracts to the applicable RFR. It is not possible to predict with certainty the overall effect of LIBOR reform, but the discontinuance of LIBOR and the transition to RFRs raises a number of risks.

Where it is not possible to amend an existing financial contract that refers to LIBOR to instead refer to the relevant RFR (a process known as “remediation”) or to rely on a “synthetic” LIBOR reference rate, by the time LIBOR ceases to be published or is declared unrepresentative by the relevant regulatory authority, that financial contract is unlikely to function or perform as originally intended, its price may be negatively impacted or value transferred, and it may become illiquid and hard to value. It may not be possible to remediate a financial contract from LIBOR to the new RFR, or to transition a hedge and its underlying position at the same time, causing a mismatch or ‘basis risk’. Remediation is likely to be particularly difficult for financial instruments issued to multiple investors or with high consent thresholds to amend the rate. Delays or failures in obtaining investor or counterparty consent, or regulatory approval, may adversely impact transition. This may have an adverse impact on AEFS or a Sub-Fund (as applicable) if AEFS or a Sub-Fund (as applicable) has an exposure to LIBOR at the time the benchmark ceases to be published or is declared unrepresentative by the relevant regulatory authority.

RFRs are conceptually different to LIBOR and do not operate on the same basis. Remediation from LIBOR to RFRs may lead to AEFS paying more or receiving less in respect of a particular financial arrangements than if it had remained LIBOR-referencing. Spread adjustments applied to RFRs to reflect the historical difference in performance with LIBOR are rough proxies and will not perfectly match the performance of the relevant LIBOR rate it replaces, meaning that some value transfer is inevitable.

Borrowing costs under financing arrangements could be impacted where RFRs or other interest rates are used (directly or indirectly) instead of LIBOR therefore potentially increasing costs to AEFS. Some of the RFRs are relatively new interest rate benchmarks compared to LIBOR and how these rates, and any adjustment spreads, will perform in stressed market conditions or over significant time periods is not well established. Industry and market solutions for the transition from LIBOR to RFRs across different asset classes and currencies are not aligned and are developing at different rates. If remediation alters the legal, commercial, tax, accounting or other economic outcome of the relevant trade(s), including as between a trade and its hedge, there is a risk of detriment to AEFS or a Sub-Fund (as applicable) and consequently to investors in AEFS.

Interest Rate Risk with Respect to Indebtedness.

A portion of AEFS's or a Sub-Fund's (as applicable) Investments may have direct or indirect floating interest rates. Although the full extent of such risk cannot be predicted, AEFS may experience a mismatch (i) between the applicable interest rate with respect to any one or more of its Investments versus AEFS's own indebtedness, (ii) timing and the applicable interest payment dates with respect to any one or more of its Investments versus AEFS's own indebtedness, and/or (iii) the amount of indebtedness incurred by AEFS and AEFS's Investments. Additionally, although the interest rates applicable to cash equivalents held by AEFS can be fixed- or floating-rate, they generally are, and expected to continue to be, lower than the interest rates applicable to AEFS's Investments. Accordingly, changes to LIBOR (or any other applicable floating Benchmark Rate) or the holding of significant assets in the form of cash equivalents could adversely affect AEFS's ability to make debt service payments on the aggregate outstanding amount of indebtedness.

AEFS is subject to risks in using depositaries, custodians, counterparties, administrators and other agents.

AEFS depends on the services of depositaries, custodians, counterparties, administrators and other agents to carry out certain transactions on behalf of AEFS. The terms of these contracts are often customized and complex, and many of these arrangements occur in markets or relate to products that are not subject to regulatory oversight.

AEFS is subject to the risk that the counterparty to one or more of these contracts defaults, either voluntarily or involuntarily, on its performance under the contract. Any such default may occur suddenly and without notice to the AIFM or the Investment Manager. Moreover, if a counterparty defaults, neither the AIFM nor the Investment Manager may be able to take action to cover AEFS's exposure, either because they lack contractual recourse or because market conditions make it difficult to take effective action. This inability could occur in times of market stress, which is when defaults are most likely to occur.

In the event of the insolvency of a depositary, custodian, counterparty or any other party that is holding assets of AEFS as collateral, AEFS might not be able to recover equivalent assets in full as they will rank among the depositary's, custodian's or counterparty's unsecured creditors in relation to the assets held as collateral. In addition, AEFS's cash held with a depositary, custodian or counterparty generally will not be segregated from the depositary's, custodian's or counterparty's own cash, and AEFS may therefore rank as an unsecured creditor in relation thereto.

The counterparty risks that AEFS faces have increased in complexity and magnitude as a result of disruption in the financial markets in recent years. For example, the consolidation and elimination of counterparties has increased the concentration of counterparty risk and decreased the universe of potential counterparties, and AEFS is generally not restricted from dealing with any particular counterparty or from concentrating any or all of its transactions with one counterparty. In addition, counterparties have generally reacted to recent market volatility by tightening their underwriting standards and increasing their margin requirements for all categories of financing, which has the result of decreasing the overall amount of leverage available and increasing the costs of borrowing.

Risks associated with international investing.

The portfolio of certain Sub-Funds may include obligations of obligors domiciled in a variety of jurisdictions. Risks associated with investing in certain jurisdictions may include the following: the unpredictability of international trade patterns; the possibility of governmental actions adverse to business generally or to foreign

investors in particular; the imposition or modification of controls on foreign currency exchange, repatriation of proceeds, or foreign investment; the imposition or increase of withholding or other taxes on income or gains; potential tax filing requirements in such jurisdictions; the imposition of potentially confiscatory levels of taxation; price volatility; the absence of uniform accounting, auditing and financial reporting standards, practices and disclosure requirements; governmental influence on the national and local economies; and fluctuations in currency exchange rates. All of the foregoing could increase the risk of an investment in the relevant Sub-Fund(s).

Potential Instability of the Euro.

A significant number of countries within the EU use the euro as their national currency. During the global financial crisis of 2009, the stability of certain European financial markets significantly deteriorated and there was speculation at the time that default by certain participating member states of the EU could lead to the collapse of the Eurozone as constituted or that certain member states of the EU could cease to use the euro as their national currency. Similar concerns and speculation apply in the current environment. A euro collapse would likely have negative implications for the European financial industry and the global economy as a whole because of counterparty risks, exposures and other “systemic” risks. Any such deterioration of the euro could have an adverse effect on AEFS, the performance of its Investments and its ability to fulfill its investment objectives. Moreover, such deterioration could have a detrimental effect on the performance of Investments both in those countries that may experience a default on liabilities and on other countries within the EU. A potential primary effect would be an immediate reduction of liquidity for particular investments in the affected countries, thereby potentially impairing the value of such investments. Further, a deteriorating economic environment caused directly or indirectly by such a default may have a direct effect on the creditworthiness of AEFS, the relevant Sub-funds and/or their Investments thereby impacting the value of AEFS, such Sub-funds and/or such Investments generally.

UK Exit from the European Union.

The withdrawal of the UK from the EU has resulted in some divergence between the laws and regulations applicable in the UK and the EU. This divergence is expected to increase over time and will as such, increase the compliance and regulatory burden of AEFS as the AIFM will need to consider both systems to ensure compliance.

The UK’s withdrawal from the EU has adversely impacted UK firms that conduct or depend on the provision of cross-border services, including UK regulated firms in the financial sector, as they no longer have access to the EU single market.

Although the arrangements between the UK and EU following the UK’s withdrawal provide for zero tariffs and zero quotas on all goods that comply with the appropriate rules of origin (subject to both parties maintaining a level playing field in areas such as environmental protection, social and labor rights, investment, competition, state aid, and tax transparency), market access for those firms that conduct cross-border trade in goods will fall below what the single market previously allowed. Non-tariff barriers, customs declarations, customs checks, restrictions on movements of employees, withdrawal of recognition of previously recognized professional qualifications, changes in the status of the UK *vis-à-vis* the EU for tax and VAT purposes, and other sources of friction have the potential to impair the profitability of a business, require it to adapt, or even relocate to operate through an establishment in the EU. Understanding and preparing for these new arrangements may result in increased operational and compliance burdens for AEFS. In addition, there may be an adverse effect on AEFS, the performance of its Investments and its ability to fulfil its investment objectives (especially if its Investments include, or expose it to, businesses that have historically relied on access to the single market for their custom or that have historically relied on sourcing goods, materials or labor from the single market).

Global Distribution.

The global distributor for AEFS is Ares Management Luxembourg. The Global Distributor may appoint one or more sub-distributors, who may be affiliates of the Global Distributor and/or the Investment Manager, to assist it in performing this function. Any material adverse change to the ability of Global Distributor to build and maintain a network of licensed securities financial intermediaries and other agents could have a material adverse effect on AEFS’s business and the offering. If the Global Distributor is unable to build and maintain a sufficient network of participating financial intermediaries to distribute Shares in the offering, AEFS’s ability to raise proceeds through the offering and implement AEFS’s investment strategy may be adversely affected. In addition, the Global Distributor currently serves and may serve as distributor for other issuers. As a result, the Global Distributor may experience conflicts of interest in allocating its time between the offering and such other issuers, which could adversely affect AEFS’s ability to raise proceeds through the offering and implement AEFS’s investment strategy. Further, the participating financial intermediaries retained by the Global Distributor may have numerous

competing investment products, some with similar or identical investment strategies and areas of focus as AEFS, which they may elect to emphasize to their retail clients.

Risk Factors Relating to the Shares

No investment, accounting, tax, legal, or other advice will be provided to the Shareholders and prospective investors may not rely on any financial hypothetical performance scenarios, modelling runs, return analyses, targeted rates of return or performance or other information previously provided by AEFS or any other person.

None of AEFS, the Investment Manager, the AIFM, any of their affiliates or any of their respective representatives has provided or will provide any investment, accounting, tax, legal or other advice in respect of an investment in AEFS. Prospective investors should consult with their own investment, accounting, tax, legal and other applicable advisors regarding an investment in AEFS.

No financial hypothetical performance scenarios, modelling runs, return analyses, targeted rates of return or performance or other information previously provided by AEFS or any other person may be relied upon by Shareholders or prospective investors in considering an investment in AEFS.

Failure to fund Subscriptions.

If an investor fails to fund his or her subscription obligations to AEFS when due, AEFS's ability to complete its investment program or otherwise to continue operations may be substantially impaired. In addition, AEFS may be unable to pay its obligations when due. As a result, AEFS and/or the investor who has funded such subscription to AEFS, may be subject to costs, including break-up fees or damages.

No right to control AEFS's operations.

Under the Articles and this Prospectus, the Shareholders will generally have no rights with respect to the control of AEFS's day-to-day operations or AEFS's business, including investment and disposition decisions.

Each Annex describes, in summary fashion, certain policies, guidelines, procedures and practices relating to the AIFM's and the Investment Manager's current approach to sourcing, evaluating, structuring, making, creating value in and exiting investments, in relation to the relevant Sub-Fund (collectively, the "**Current Procedures**"). Over time, some or all of these policies, guidelines, procedures and practices may change, and there can be no assurance that the AIFM or the Investment will not vary from its Current Procedures with respect to AEFS in the future. In addition, from time to time, the AIFM or the Investment Manager may adopt, revise or rescind investment-related policies with respect to AEFS for the purposes of regulatory compliance, including for the purpose of establishing regulatory categorization or regulatory treatment of AEFS, the Investment Manager, the AIFM and/or their respective affiliates. Such policies may limit or restrict activities of AEFS and shall be operative to the extent provided in such policies.

In addition AEFS has appointed to the Board of Directors members that are not affiliated with Ares, in order to *inter alia* review and approve certain conflicts of interest which may arise. Shareholders will have no influence over matters submitted to the Board of Directors, or any subset of the directors thereof, for review or approval.

Liability of Shareholders.

AEFS SICAV was established as a public limited liability company (*société anonyme*) in accordance with the 1915 Law and qualify as a multi-compartment Luxembourg investment company with variable capital (*société d'investissement à capital variable*) governed by the 2010 Law.

Generally, a Shareholder should not be personally liable for the debts of AEFS except that, in the event AEFS is otherwise unable to meet its obligations, the Shareholders may, under applicable law, be obligated to repay amounts previously received by them to the extent such amounts are deemed to have been wrongfully distributed to them, subject to certain limitations set forth in the Articles and this Prospectus. In addition, Shareholder's contributions to AEFS SICAV are susceptible to risk of loss as a result of any liability of AEFS irrespective of whether such liability is attributable to an investment to which such Shareholder did not directly contribute any capital.

Insurance Coverage.

Ares Management may decide for AEFS to be covered under its professional liability insurance policy (the “**Ares Insurance Policy**”) and may decide not to separately maintain professional liability insurance for AEFS. To the extent that AEFS does become covered under the Ares Insurance Policy and a claim arises relating to any of the insureds during a policy period that erodes some or all of the limits under the Ares Insurance Policy, there will be less coverage, or potentially no coverage, available for all of the insureds under such policy for the remainder of the policy period. Where relevant, insurance costs are allocated among the applicable Other Ares Funds in accordance with Ares Management’s policy.

Reserves.

As is customary in the industry, the Investment Manager will establish reserves for investments by AEFS, operating expenses of AEFS, Fund liabilities, and other matters. Estimating the appropriate amount of such reserves is difficult. Inadequate or excessive reserves could impair the investment returns to the Shareholders. If reserves are inadequate, AEFS may be unable to take advantage of attractive investment opportunities or may not be able to pay its liabilities or expenses as they come due. If reserves for liabilities or expenses are excessive, AEFS may decline attractive investment opportunities.

Suspension of the NAV.

A suspension of the NAV may occur under the circumstances set forth in this Prospectus, which would suspend AEFS’s subscription and redemption program and therefore AEFS’s active investment activities. Upon the occurrence of a suspension of the NAV, there can be no assurance that such suspension will not become permanent. A temporary or permanent suspension of AEFS’s active investment activities could have a material adverse effect on the performance of AEFS and its ability to achieve its investment objectives.

The Shares will lack liquidity and are subject to substantial transfer restrictions.

An investment in AEFS is suitable only for investors that have no need for immediate liquidity in respect of their investment and who can accept the risks associated with investing investments lacking liquidity. Shares in AEFS have not been registered under the securities laws of any country, U.S. state or other jurisdiction and cannot be resold except as permitted pursuant to applicable securities laws. It is not contemplated that registration of the Shares under any securities laws will ever be effected. There is no public market for the Shares, and none is expected to develop. Shareholders will also generally not be permitted to assign their Shares without the prior consent of the Investment Manager, which may be withheld by the Board of Directors or its delegate in their sole discretion, and any such transfer may result in costs paid by the parties to the transfer. In general, liquidity for the Shares will be limited to participation in the Share redemption program.

AEFS is subject to the market competition.

The process of identifying, structuring, implementing and realizing on attractive investment opportunities is highly competitive. AEFS will compete with other public and private investment vehicles, commercial and investment banks, commercial financing companies, insurance companies, CLOs, high yield investors, hedge funds, pension plans, institutional investors and, in certain cases, private funds, as well as other current and future clients and accounts managed or advised by the Investment Manager and its affiliates, some of which may have greater resources than AEFS. Some of these competitors are establishing investment vehicles that target the same investments that AEFS intends to target. Some of these competitors may have access to greater amounts of capital and to capital that may be committed for longer periods of time or may have different return thresholds than AEFS, and thus these competitors may have advantages not shared by AEFS. In addition, some of AEFS’s competitors may have higher risk tolerances or different risk assessments or may employ leverage, which could allow them to consider a wider variety of investments and establish more relationships than AEFS. Strong competition for investments could result in fewer investment opportunities or higher cost opportunities for AEFS, which may impact desired returns. None of AEFS, the Investment Manager, the AIFM or any other person can assure the Shareholders that the competitive pressures faced by AEFS will not have a material adverse effect on AEFS’s investment performance. Also, as a result of this competition, AEFS may not be able to secure attractive investment opportunities from time to time and cannot assure the Shareholders that the Investment Manager will be able to identify and make investments that meet AEFS’s investment objectives.

The past performance of the AIFM, the Investment Manager, their affiliates and their respective investment professionals with respect to other portfolios, investment vehicles or accounts is not indicative of the results AEFS will achieve.

The past performance of the Investment Manager, its affiliates and their respective investment professionals with respect to other portfolios, investment vehicles or accounts is not indicative of the results that AEFS will achieve. The Investment Manager (and not any of its affiliates or their respective investment professionals) will be responsible for its obligations under the Investment Management Agreement and, thus, the results obtained by such affiliates or investment professionals with respect to other portfolios, investment vehicles or accounts is not relevant to the value of the Shares. Similarly, the past performance of the Investment Manager, its affiliates and their respective investment professionals over a particular period is not indicative of the results that may be expected in future periods.

Furthermore, the strategies and risks guiding AEFS's investments may differ substantially from investments and strategies undertaken by the Investment Manager, its affiliates and their respective investment professionals with respect to other portfolios, investment vehicles or accounts.

There can be no assurance that AEFS's Investments will perform as well as past investments of the Investment Manager, its affiliates or their respective investment professionals, that AEFS will be able to avoid losses, or that AEFS will be able to make investments similar to the past investments of the Investment Manager, its affiliates, their respective investment professionals or any other person described herein. In addition, such past investments may have been made utilizing a capital structure, an asset mix and fee arrangements that are different from the anticipated capital structure, asset mix and fee arrangements of AEFS. Moreover, because the investment criteria that govern AEFS's investments do not govern the Investment Manager, its affiliates and their respective investment professionals' investments and investment strategies generally, investments made by AEFS in accordance with such criteria, and the results they yield, are not directly comparable with, and may differ substantially from, other investments undertaken by the Investment Manager, its affiliates or their respective investment professionals.

Recourse to AEFS's Assets.

AEFS's assets, including any Investments made by AEFS and any funds held by AEFS, are available to satisfy all liabilities and other obligations of AEFS. If AEFS becomes subject to a liability, parties seeking to have the liability satisfied may have recourse to AEFS's assets generally and will not be limited to any particular assets, such as the asset representing the investment giving rise to the liability. Accordingly, a Shareholder could find its investment in AEFS's assets adversely affected by a liability arising out of an Investment of AEFS.

Portfolio Concentration.

Please refer to the relevant Annex for Sub-Fund specific diversification and single investment restrictions.

However, AEFS's portfolio may include a small number of large positions or may be concentrated in a small number of industries, countries and sectors. If AEFS's Investments are concentrated in a few issuers or industries, any adverse change in one or more of such issuers or industries could have a material adverse effect on AEFS's Investments. Therefore, while this portfolio concentration may enhance total returns to Shareholders, if any large position has a material loss, returns to the Shareholders may be lower than if they had invested in a more diversified portfolio.

If AEFS co-invests with other funds (or Other Ares Funds), an investor invested in such other fund may have exposure to an Investment through more than one fund.

Further, in circumstances where the Investment Manager intends to refinance all or a portion of the capital invested in an Investment, there will be a risk that such refinancing may not be completed, which could lead to increased risk as a result of AEFS having an unintended long-term Investment as to a portion of the amount invested and/or reduced diversification.

AEFS depends on the experience and knowledge of key personnel associated with the Investment Manager and the Investment Manager and on the Investment Manager's access to the Ares platform and there is no assurance that such personnel will continue to be associated with the Investment Manager or that the Investment Manager will continue to have access to the Ares platform on the same terms as it has historically had access or at all.

The ability of AEFS to achieve its investment objective will be highly dependent upon the diligence, skill and network of business contacts of the Investment Manager, and the information and deal flow generated by such professionals in the course of their investment and portfolio management activities, any of whom may cease to be associated with the Investment Manager at any point during the life of AEFS. AEFS's future success will depend on the continued service of these investment professionals. None of these individuals are under any contractual obligation to remain with the Investment Manager or any of its affiliates for all or any portion of the term of AEFS. The departure of a significant number of the investment professionals could have a material adverse effect on AEFS's ability to achieve its investment objective. Furthermore, although investment professionals employed by Ares will commit a significant amount of their business efforts to AEFS, they are not required to devote all of their business time to AEFS's affairs. They will continue to manage AEFS's Investments, but may manage other funds and vehicles and may devote business time to other aspects of Ares' business.

In addition, individuals not currently associated with the Investment Manager may become associated with the Investment Manager or the AIFM and the performance of AEFS may also depend on the experience and knowledge of such individuals. Additionally, the AIFM believes that it and the Investment Manager significantly benefits from their access to the Ares platform, but there can be no assurance that the Investment Manager and the AIFM will continue to have access to the Ares platform on the same terms as it has historically had access or at all. Moreover, the alternative investment management agreement with the AIFM and the portfolio management delegation agreement with the Investment Manager may be terminated under certain circumstances.

Portfolio Allocation Targets are not Investment Restrictions

Unless otherwise stated in the relevant Annex, the portfolio allocation targets applicable to a Sub-Fund (as described in the relevant Annex) are not investment restrictions subject to CSSF Circular 24/856. Investors are therefore advised to carefully consider the risks associated with such deviations and the potential impact on AEFS' and the relevant Sub-Fund's performance and compliance framework.

Limited Supervision of Certain Other Funds.

AEFS and its Sub-Funds may invest in Other Funds which are not supervised by or registered with a supervisory authority which has a cooperation agreement in place with the CSSF. Whilst the risks inherent to an investment in an Other Fund are generally limited to the loss of the amount invested in the relevant Other Fund, the absence of supervision at the level of certain Other Funds, or the absence of cooperation between the local regulator of such Other Funds and the CSSF, may result in a higher risk for Shareholder.

Use of Leverage.

AEFS may utilize leverage to finance the operations of AEFS and its Portfolio Entities, and which may be structured as a securitization or otherwise, in each case as further described in the relevant Sub-Fund Annex. The use of leverage involves a high degree of financial risk and will increase AEFS's exposure to adverse economic factors such as rising interest rates, downturns in the economy or deteriorations in the condition of the Investments. Although borrowings by AEFS and its subsidiaries and Portfolio Entities have the potential to enhance overall returns, they will further diminish returns (or increase losses on capital) to the extent overall returns on Investments are less than AEFS's cost of funds. This leverage may also subject AEFS and its Investments to restrictive financial and operating covenants, which may limit flexibility in responding to changing business and economic conditions. For example, leveraged entities may be subject to restrictions on making interest payments and other distributions. In addition, the amount of leverage used to finance an Investment may fluctuate over the life of an Investment.

AEFS may incur indebtedness and enter into guarantees and other credit support arrangements for any proper purpose, including, without limitation, to fund Investments, cover Operating Expenses, Initial Operating Expenses Support, Organizational and Offering Expenses and Management Fees, provide permanent financing or refinancing, provide cash collateral to secure outstanding letters of credit, provide funds for distributions to Shareholders, and to fund redemptions. Borrowings and guarantees by AEFS may be deal-by-deal or on a portfolio basis, and may be on a joint, several, joint and several or cross-collateralized basis (which may be on an investment-by-investment or portfolio wide basis) with any Parallel Entities, co-investment vehicles, Other Ares Funds, joint venture partners and managers of such joint venture partners. Such arrangements will not necessarily impose joint and several obligations on such other vehicles that mirror the obligations of AEFS (e.g., AEFS may provide credit enhancement through recourse to assets outside of a loan pool, whereas other vehicles may not provide such enhancement). The interest expense of any such borrowings will generally be allocated among AEFS and such other vehicles or funds pro rata (and therefore indirectly to the Shareholders pro rata) based on principal

amount outstanding, but other fees and expenses, including upfront fees and origination costs, could be allocated by a different methodology, including entirely to AEFS. Furthermore, in the case of indebtedness on a joint and several or cross-collateralized basis, AEFS could be required to contribute amounts in excess of its pro rata share of the indebtedness, including additional capital to make up for any shortfall if the other joint and several obligors are unable to repay their pro rata share of such indebtedness. AEFS could lose its interests in performing Investments in the event such performing Investments are cross-collateralized with poorly performing or non-performing Investments of AEFS and such other vehicles. AEFS may also be obligated in some circumstances to reimburse co-investors for their losses resulting from cross-collateralization of their investments with assets of AEFS that are in default.

The aggregate amount of borrowings by AEFS are subject to certain limits (as more fully set forth in the relevant Annex). These limits do not include leverage on Investments (including Investment alongside Other Ares Funds (to the extent applicable)) in which AEFS does not exercise majority control, that could include Investments in a collective investment scheme or any other investment vehicle which provides investors access to a diversified pool of assets or minority joint ventures, even though leverage at such entities could increase the risk of loss on such Investments. The limits also do not apply to guarantees of indebtedness, even though AEFS may be obligated to fully fund such guarantees or other related liabilities that are not indebtedness for borrowed money. There can be no assurance that the limits described above are appropriate in all circumstances and would not expose AEFS to financial risks.

Ares may organize Parallel Entities, portfolio vehicles or other subsidiary entities (“**Bond Financing Entities**”) for the purpose of providing AEFS with access to the unsecured bond market in Europe. Many of AEFS’s Investments may be financed with such unsecured bonds rather than with individual non-recourse mortgage debt. If an investment held by any Parallel Entity organized in connection with a bond financing program for AEFS were to be unable to service or repay its pro rata share of such bond financing, AEFS could be required to fund the shortfall. In addition, such bond financing may be on a joint and several basis (which may be on an investment-by-investment or portfolio wide basis) with co-investment vehicles or Other Ares Funds, and, as such, there is a risk that AEFS could be required to contribute amounts in excess of its pro rata share of such financing, including additional capital (i) to make up for any shortfall if the co-investment vehicles or Other Ares Funds are unable to service or repay their pro rata share of such financing or (ii) to reimburse such co-investment vehicles or Other Ares Funds for proceeds that would have been distributed to such investors but instead are used to service or repay such Bond Financing Entity financing relating to investments in which such entities do not participate.

Any event that adversely affects the value of an investment by AEFS would be magnified to the extent leverage is used. AEFS may incur indebtedness on a portfolio-wide basis or against specific investments. The extent to which AEFS uses leverage will have important consequences to the Shareholders, including, without limitation, the following: (i) greater fluctuations in the net assets of AEFS, (ii) use of cash flow for debt service, distributions, or other purposes, (iii) to the extent that AEFS revenues are required to meet principal payments, the Shareholders may be allocated income (and therefore tax liability) in excess of cash available by distribution and (iv) in certain circumstances AEFS may be required to prematurely harvest investments to service its debt obligations. There can also be no assurance that AEFS will have sufficient cash flow to meet its debt service obligations. As a result, AEFS’s exposure to losses may be increased due to the illiquidity of its investments generally. The cumulative effect of the use of leverage by AEFS in a market that moves adversely to AEFS’s Investments could result in a loss to AEFS that would be greater than if leverage had not been used.

Borrowings by AEFS may be secured by AEFS’s assets. In general, the use of short-term margin borrowings results in certain additional risks to AEFS. For example, should the securities pledged to brokers to secure AEFS’s margin accounts decline in value, AEFS could be subject to a “margin call” pursuant to which AEFS must either deposit additional funds or securities with the broker, or suffer mandatory liquidation of the pledged securities to compensate for the decline in value. In the event of a sudden drop in the value of AEFS’s assets, AEFS might not be able to liquidate assets quickly enough to satisfy its margin requirements.

AEFS may enter into repurchase and reverse repurchase agreements. The use of repurchase and reverse repurchase agreements by AEFS involves certain risks including that the seller under a reverse repurchase agreement defaults on its obligation to repurchase the underlying securities. Disposing of the security in such case may involve costs to AEFS.

AEFS’s assets, including any Investments made by AEFS, the Shares of the Shareholders, and any capital held by AEFS, are available to satisfy all liabilities and other obligations of AEFS. If AEFS defaults on secured indebtedness, the lender may foreclose and AEFS could lose its entire Investment in the security for such loan.

Parties seeking to have the liability satisfied may have recourse to AEFS's assets generally and will not be limited to any particular asset and may require AEFS to liquidate certain assets in order to satisfy such liabilities.

Conversely, the ability of AEFS to attain its investment objectives depends in part on its ability to borrow money on favorable terms. To the extent AEFS does not employ leverage with respect to AEFS's portfolio or borrows on less favorable terms, AEFS's investment returns may be lower than those that could have been achieved using leverage on favorable terms and there are risks that AEFS will not be able to maintain a leverage facility on favorable terms, or at all.

It is possible that AEFS may decide to repay any leverage with cash on its balance sheet or by liquidating certain assets or to make future investments with little or no corresponding leverage. If AEFS decides to pay down its leverage or to make its investments with little or no leverage, the returns of the Shareholders of AEFS could be adversely affected.

The Central Administration is, or may become, subject to laws regarding the prevention of money laundering and terrorism and may become subject to others.

As part of the Central Administration's responsibility for the prevention of money laundering under applicable laws, AEFS may require a detailed verification of a prospective investor's identity and the source of such prospective investor's funds. In the event of delay or failure by a prospective investor to produce any such information required for verification purposes, the Investment Manager may refuse to admit the investor to AEFS. The Central Administration may from time to time request (outside of the subscription process), and the Shareholders will be obligated to provide to the Central Administration upon such request, additional information as from time to time may be required for the Central Administration and/or AEFS to satisfy their respective obligations under these and other laws that may be adopted in the future. Also, the Central Administration may from time to time be obligated to file reports with regulatory authorities in various jurisdictions with regard to, among other things, the identity of the Shareholders and suspicious activities involving the Shares. In the event it is determined that any investor, or any direct or indirect owner of any investor, is a person identified in any of these laws as a prohibited person, or is otherwise engaged in activities of the type prohibited under these laws, the Central Administration may be obligated, among other actions to be taken, to withhold distributions of any funds otherwise owing to such investor or to cause such investor's Shares to be cancelled or otherwise redeemed (without the payment of any consideration in respect of those Shares).

The Bank Secrecy Act of 1970 and the Uniting and Strengthening America by Providing Appropriate Tools Required to Intercept and Obstruct Terrorism Act of 2001, as amended (the "USA PATRIOT Act"), signed into law on and effective as of October 26, 2001, requires that financial institutions, a term that includes banks, broker-dealers and investment companies, establish and maintain compliance programs to guard against money laundering activities. The USA PATRIOT Act authorizes the Secretary of the U.S. Treasury to prescribe regulations in connection with anti-money laundering policies of financial institutions. Future rules and regulations regarding money laundering or proceeds of crime could regulate AEFS, the Investment Manager or the AIFM.

Laws or regulations may presently or in the future require AEFS, the Investment Manager, the AIFM, any of their affiliates or other service providers to AEFS to establish additional anti-money laundering procedures, to collect information with respect to the Shareholders, to share information with governmental authorities with respect to the Shareholders or to implement additional restrictions on the transfer of the Shares.

The Investment Manager and the AIFM therefore reserve the right to request such information as is necessary to verify the identity of the Shareholders and the source of the monies for the Shares, or as is necessary to comply with any customer identification programs required by the Treasury Department, the Financial Crimes Enforcement Network, the SEC or any other applicable regulatory body or to comply with the requirements or internal policies and procedures related to anti-money laundering or customer identification of service providers to AEFS or the Portfolio Entities of its Sub-Funds, and to take such other actions that are necessary to enable it to comply with applicable anti-money laundering laws. In the event of a delay or failure by a shareholder to produce any information required for verification purposes, a transfer of the Shares may be delayed or refused.

Any use or indication of target returns are not guarantees of performance.

No representations or warranties of any kind are intended or should be inferred with respect to the economic return or the tax consequences from an investment in AEFS. Any target returns for AEFS that are set forth herein (or in any supplements hereto, or in any other offering or marketing materials furnished to investors before, on or after

the date hereof) are “forward-looking” statements and are calculated before taxes or withholdings incurred by the investors directly, which would reduce returns to investors in AEFS. Any such target returns would be based on the Investment Manager’s and the AIFM’s belief about the returns that may be achievable on investments that AEFS intends to pursue in light of the experience of the relevant investment professionals with similar investments historically, their view on current market conditions, potential investment opportunities that those investment professionals are currently reviewing or have recently reviewed, availability of financing and certain assumptions about investing conditions and market fluctuation and/or recovery. In addition, any such target returns would be based on models, estimates and assumptions about performance believed to be reasonable under the circumstances. Such models, estimates and assumptions may also assume leverage is used to finance certain assets based on current market rates and financing structures that are believed to be available in the marketplace. There is no guarantee that the facts on which such assumptions are based will materialize as anticipated and will be applicable to AEFS’s Investments or that all relevant assumptions have been considered and have been assigned the appropriate weighting. Actual events and conditions may differ materially from the assumptions used to establish any such target returns. Accordingly, there can be no assurance that any such target returns will be achieved, and actual results may vary significantly therefrom. Any target return is hypothetical and is not a guarantee of future performance. Target gross and net returns for individual Investments may be greater or less than any such overall target gross or net returns applicable to AEFS. Prospective investors are encouraged to contact the representatives of the Investment Manager to discuss the procedures and methodologies (including assumptions) used to calculate any such target returns for AEFS.

No representations are being made as to the Shares, including the accounting, capital, tax, legal, regulatory or other consequences of ownership of the Shares.

None of AEFS, the Investment Manager, the AIFM, any of their respective affiliates or any other person makes any representation as to the Shares (including the accounting, capital, tax, legal, regulatory or other consequences of ownership of the Shares). The Shareholders may not rely on any such person for a determination of the accounting, capital, tax, legal, regulatory or other consequences of ownership of the Shares.

Each Shareholder will represent to AEFS, the Investment Manager and the AIFM, among other things, that such Shareholder has consulted with its own financial, legal, regulatory, tax and other applicable advisors regarding its investment in the Shares (as such Shareholder has deemed necessary) and that the investment by such Shareholder is within its powers and authority, has been duly authorized by it and complies with all applicable laws.

Each Sub-Fund’s investment activities could subject it to becoming involved in litigation or other disputes with third parties.

Each Sub-Fund’s investment activities could subject it to becoming involved in litigation or other disputes with third parties. The expense of prosecuting or defending any such disputes or paying any amounts pursuant to settlements or judgments will be borne by the relevant Sub-Fund and will reduce amounts available for distribution to the Shareholders in such Sub-Fund. The AIFM, the Investment Manager and others will be indemnified by such Sub-Fund in connection with such disputes, subject to certain limitations.

The Shareholders could find their Shares adversely affected by a liability arising out of an Investment of the relevant Sub-Fund or otherwise in connection with the affairs of such Sub-Fund.

The assets of each Sub-Fund, including any Investments made by such Sub-Fund and any funds held by such Sub-Fund, are available to satisfy all liabilities and other obligations of AEFS, including to the Investment Manager or the AIFM. If a Sub-Fund becomes subject to a liability, parties seeking to have the liability satisfied may have recourse to such Sub-Fund’s assets generally and will not be limited to any particular assets, such as the asset representing the investment giving rise to the liability.

Accordingly, the Shareholders could find their Shares adversely affected by a liability arising out of an investment of the relevant Sub-Fund or otherwise in connection with the affairs of such Sub-Fund. In addition, the Shareholders may be required to return distributions to a Sub-Fund to satisfy Fund obligations, including obligations to the Investment Manager or the AIFM.

Sub-Fund’s Investments may be denominated in currencies other than the currencies in which Shares in the Sub-Fund are denominated.

The Sub-Fund’s Investments may be denominated or quoted in currencies other than the currencies in which the Shares will be denominated, and therefore changes in currency exchange rates may substantially affect the value

of the Investments (including, without limitation, the value of interest and fees earned) and any collateral, as well as the value of the Shares in AEFS.

The rates of exchange between currencies are determined by the forces of supply and demand in the foreign exchange markets. These rates are affected by the international balance of payments and other economic and financial conditions, government intervention, speculation and other factors. Various European sovereign debt crises has raised questions concerning the continued viability of the Euro zone's single currency and increased the risk of a possible failure of the Euro. Europe has experienced increasing challenges as a result of certain member-countries' financial difficulties and the uncertainty around their fiscal and monetary policy direction. Volatility in the currency markets may result in an Investment incurring higher costs and may adversely impact the profitability and cash flows from operations of the relevant Portfolio Entities, both within and outside the European Union. A potential primary effect would be an immediate reduction of liquidity in the affected countries, thereby potentially impairing the value of such Investments or the ability of AEFS to make investments in such countries.

Additional risks include: (i) economic dislocations in the host country, (ii) less publicly available information, (iii) less well-developed regulatory institutions, (iv) greater difficulty of enforcing legal rights, (v) civil disturbances, (vi) government instability and (vii) nationalization and expropriation of private assets. Moreover, companies in different jurisdictions may not be subject to uniform accounting, auditing and financial reporting standards, practices and requirements that are comparable to each other.

Although the AIFM intends to enter into hedging transactions designed to reduce currency risks, there can be no assurance that the AIFM will be able to do so successfully or cost effectively. AEFS may incur costs related to such hedging arrangements, which may be undertaken in exchange-traded or over-the-counter ("OTC") contexts, including futures, forwards, swaps, options and other instruments. There can be no assurance that the currency risks of AEFS will be effectively hedged against and, accordingly, Shareholders may realize lower returns than would have been the case had such currency risks been effectively hedged.

In some cases, particularly in OTC contexts, hedging arrangements will subject AEFS to the risk of a counterparty's inability or refusal to perform under a hedging contract, or the potential loss of assets held by a counterparty, custodian or intermediary in connection with such hedging. OTC contracts may expose AEFS to additional liquidity risks if such contracts cannot be adequately settled.

Certain hedging arrangements may create an obligation for the AIFM and/or one of its affiliates to register with the CFTC or other regulator or comply with an applicable exemption. Losses may result if the CFTC or other regulator imposes position limits or other regulatory requirements on such hedging arrangements, including under circumstances where the ability of AEFS or a Portfolio Entity to hedge its exposures becomes limited by such requirements.

The Shareholders' access to information will be limited.

The Shareholders' rights to information regarding AEFS will be specified, and strictly limited, in the Articles and this Prospectus. In particular, it is anticipated that the Investment Manager or the AIFM will obtain certain types of material information from or relating to Portfolio Entities that will not be disclosed to Shareholders because such disclosure is prohibited for contractual, legal or similar obligations outside of the Investment Manager's or the AIFM's control. Decisions by the Investment Manager or the AIFM to withhold information may have adverse consequences for Shareholders in a variety of circumstances. For example, a shareholder that seeks to transfer its Shares may have difficulty in determining an appropriate price for such Shares. Decisions to withhold information also may make it difficult for a Shareholder to monitor the Investment Manager, the AIFM and their performance.

There is no assurance that confidential information related to AEFS will not be disclosed publicly.

Shareholders will need to agree to certain confidentiality provisions intended to protect proprietary and other information relating to AEFS's Investments. If such information is publicly disclosed, competitors of AEFS and/or its Investments may benefit from such information, thereby adversely affecting AEFS, its Investments, the Investment Manager, the AIFM and the economic interests of the Shareholders. In addition, under the Dodd-Frank Act, the SEC has authority to require private fund sponsors, such as Ares and its affiliates, to file additional reports with the SEC regarding their funds and investment activities. Any public disclosure of AEFS information could have an adverse effect on AEFS and its investors, for example, by affecting AEFS's competitive advantage in finding attractive investment opportunities.

The due diligence process may not reveal all of the relevant facts related to an investment opportunity and does not necessarily result in the portfolio investment being successful.

Before making portfolio investments, the AIFM and/or the Investment Manager will typically conduct due diligence that it deems reasonable and appropriate based on the facts and circumstances applicable to each portfolio investment. Due diligence may entail evaluation of important and complex business, financial, tax, accounting, environmental and legal issues. Outside consultants, legal advisors, accountants, investment banks and other third parties may be involved in the due diligence process to varying degrees depending on the type of investment. Such involvement of third-party advisors or consultants may present a number of risks primarily relating to the AIFM's and/or the Investment Manager's reduced control of the functions that are outsourced. In addition, if the AIFM and/or the Investment Manager is unable to timely engage third-party providers, its ability to evaluate and acquire more complex targets could be adversely affected. When conducting due diligence and making an assessment regarding an investment, the AIFM and/or the Investment Manager will rely on the resources available to it, including information provided by the target of the investment and, in some circumstances, third-party investigations. Furthermore, accounting standards in certain countries may not correspond to U.S. generally accepted accounting principles, which may lead to discrepancies between information appearing on the financial statements of companies in such countries when compared to how such financial statements would be reflected if prepared in accordance with U.S. generally accepted accounting principles. The due diligence investigation that the AIFM and/or the Investment Manager carries out with respect to any investment opportunity may not reveal or highlight all relevant facts that may be necessary or helpful in evaluating such investment opportunity. Moreover, such an investigation will not necessarily result in the portfolio investment being successful.

Additionally, among the other risks inherent in investments, particularly in companies experiencing financial distress, is the fact that it frequently may be difficult to obtain information as to the true condition of such investments. There can be no assurance that attempts to provide downside protection with respect to portfolio investments will achieve their desired effect and potential investors should regard an investment in AEFS as speculative and having a high degree of risk¹. There can be no assurance that AEFS will be able to detect or prevent potential or existing problems, such as irregular accounting, employee misconduct or other fraudulent practices, during the due diligence phase or during its efforts to monitor the portfolio investment on an ongoing basis. In the event of fraud by any Investment or any of its affiliates, AEFS and/or the relevant Sub-Funds may suffer a partial or total loss of capital invested in that company. An additional concern, particularly in the case of investments made by the relevant Sub-Funds in loans to Underlying Issuers, is the possibility of material misrepresentation or omission on the part of the relevant Portfolio Entity or the seller. Such inaccuracy or incompleteness may adversely affect the value of the relevant Investments. More specifically for the Investments made by the relevant Sub-Funds into Underlying Issuers, such inaccuracy or incompleteness the value of the securities and/or instruments relating to such Underlying Issuer and/or the valuation of the collateral underlying the loans or may adversely affect the ability of the relevant Sub-Fund(s) to perfect or effectuate a lien on the collateral securing the loans of an Underlying Issuer. AEFS and/or certain Sub-Funds will rely upon the accuracy and completeness of representations made by the relevant Portfolio Entities and/or their former owners in the due diligence process, if reasonable, when it makes its investments, but cannot guarantee such accuracy or completeness. Under certain circumstances, payments to AEFS and/or the relevant Sub-Funds may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance or a preferential payment.

Limitations of NAV.

The Central Administration's, under the oversight of the AIFM, determination, of each Sub-Fund's monthly NAV per Share will be based in part on the latest quarterly valuation of each of its Investments, as adjusted each month to incorporate the latest available financial data for such Investments, including any cash flow activity related to such Investments. As a result, each Sub-Fund's published NAV per Share in any given month may not fully reflect any or all changes in value that may have occurred since the most recent quarterly valuation.

In supporting the Central Administration in determining the NAV, the AIFM may, but is not obligated to, monitor each Sub-Fund's Investments on an ongoing basis for events that the AIFM, believes may have a material impact on each Sub-Fund's NAV as a whole. Material events may include investment-specific events or broader market-driven events which may impact more than one specific investment. Upon the occurrence of such a material event

¹ References to "downside protection" or similar language are not guarantees against loss of investment capital or value.

and provided that the AIFM, is aware that such event has occurred, the AIFM, may, but is not obligated to, provide an estimate of the change in value of the Investment, based on the valuation procedures described in Section VI: “Calculation of Net Asset Value.” In addition to tracking the NAV plus related cash flows of each Sub-Fund’s Investments, the AIFM, with the support of the Investment Manager, may, but is not obligated to, track relevant issuer-specific events or broader market-driven events that the AIFM, believes may have a material impact on each Sub-Fund’s NAV as a whole. Upon the occurrence of such a material event and provided that the AIFM, is aware that such event has occurred, the AIFM, may, but is not obligated to, make a corresponding adjustment to reflect the current fair value of such Investments, applying the valuation methodologies described in Section VI: “Calculation of Net Asset Value.”

In general, the AIFM, expects that any adjustments to fair values will be calculated after a determination that a material change has occurred and the financial effects of such change are quantifiable by the AIFM. However, rapidly changing market conditions or material events may not be immediately reflected in each Sub-Fund’s monthly NAV. For example, an unexpected termination or renewal of key customer relationships, recent financial results or changes in the capital structure of an investment, regulatory changes that affect an investment, or a significant industry event or adjustment to an industry outlook that may cause the value of an Investment to change materially, yet obtaining sufficient relevant information after the occurrence has come to light and/or analyzing fully the financial impact of such an event may be difficult to do and may require some time. As a result, the NAV per Share may not reflect a material event until such time as sufficient information is available and analyzed, and the financial impact is fully evaluated, such that each Sub-Fund’s NAV may be appropriately adjusted in accordance with the Valuation Policy. Depending on the circumstance, the resulting potential disparity in each Sub-Fund’s NAV may be in favor or to the detriment of either Shareholders who redeem their Shares, or Shareholders who buy new Shares, or existing Shareholders. The methods used by the Central Administration, under the oversight of AIFM, to calculate each Sub-Fund’s NAV, including the components used in calculating each Sub-Fund’s NAV, is not prescribed by rules of the CSSF, the SEC or any other regulatory agency. Further, there are no accounting rules or standards that prescribe which components should be used in calculating NAV, and each Sub-Fund’s NAV is not audited by each Sub-Fund’s independent registered public accounting firm. Each Sub-Fund calculates and publishes NAV solely for purposes of establishing the price at which such Sub-Fund sells and redeems Shares, and Shareholders and prospective investors should not view such Sub-Fund’s NAV as a measure of such Sub-Fund’s historical or future financial condition or performance. The components and methodology used in calculating each Sub-Fund’s NAV may differ from those used by other companies now or in the future.

In addition, calculations of each Sub-Fund’s NAV, to the extent that they incorporate valuations of such Sub-Fund’s assets and liabilities, may not be prepared in accordance with IFRS. These valuations may differ from liquidation values that could be realized in the event that the relevant Sub-Fund were forced to sell assets.

Additionally, errors may occur in calculating each Sub-Fund’s NAV, which could impact the price at which the Sub-Fund’s issues and redeems its Shares, the amount of the Management Fee and the Performance Participation Allocation. The AIFM, with the support of the Investment Manager, has implemented certain policies and procedures to address such errors in NAV calculations. If such errors were to occur, the AIFM, with the support of the Investment Manager, depending on the circumstances surrounding each error and the extent of any impact the error has on the price at which Shares were sold or redeemed or on the amount of the Management Fee and the Performance Participation Allocation, may determine in its sole discretion to take certain corrective actions in response to such errors, including, subject to Ares’s policies and procedures, making adjustments to prior NAV calculations. Shareholders should carefully review the disclosure of the Valuation Policy and how NAV will be calculated Section VI: “Calculation of Net Asset Value.”

Each Sub-Fund’s NAV is determined at the relevant Valuation Date in accordance with the Valuation Policy, which is aligned with the recognition and measurement requirements of IFRS except as otherwise provided in the Valuation Policy. Accordingly, the NAV of AEFS SICAV, any Sub-Fund and any Share Class thereof in the annual and semi-annual reports may be lower than the NAV of AEFS SICAV, any Sub-Fund and any Share Class thereof as determined in accordance with the Valuation Policy.

Prospective investors must rely upon their own examination of, and ability to understand, the terms of investment in, and redemption out of, AEFS, including the valuation process involved, in making a decision to invest in, or redeem out of AEFS.

Public company holdings.

Each Sub-Fund's investment portfolio may contain securities and debt issued by publicly held companies. Such investments may subject the Sub-Fund to risks that differ in type or degree from those involved with investments in privately held companies. Such risks include greater volatility in the valuation of such companies, increased obligations to disclose information regarding such companies, limitations on the ability of the Sub-Fund to dispose of such securities and debt at certain times, increased likelihood of shareholder litigation and insider trading allegations against such companies' executives and board members, including the Principals, and increased costs associated with each of the aforementioned risks.

Risks related to electronic communications.

The Investment Manager, the AIFM and/or AEFS will provide to Shareholders statements, reports and other communications relating to AEFS and/or the Shares in electronic form, such as e-mail or through the use of an electronic Investor portal ("**Electronic Communications**"). The foregoing use of an electronic investor portal (despite being password protected) involves the risk that statements, reports and other communications relating to AEFS and/or the Shares may be stolen or otherwise obtained by unauthorized parties. In addition, Electronic Communications may be modified, corrupted, or contain viruses or malicious code, and may not be compatible with a Shareholder's electronic systems. Furthermore, Electronic Communications may be intercepted, deleted or interfered with without the knowledge of the sender or the intended recipient. In addition, reliance on Electronic Communications involves the risk of inaccessibility, power outages or slowdowns for a variety of reasons. These periods of inaccessibility may delay or prevent receipt of reports or other information by the Shareholders.

Electronic Signatures.

Due to recent restrictions and teleworking recommendations, many people do not have access to printers and request to sign documents electronically. Electronic signatures are generally a valid means of signing private deeds (*actes sous seing privé*) under Luxembourg law. However, the type of the electronic signature used by a party may have an impact on the validity or enforceability of the contract or its formation, as well as on the proof requirements in case of litigation. Under Luxembourg law (which is the governing law of the fund documentation), only qualified electronic signatures ("**QES**") within the meaning of Regulation (EU) 910/2014 on electronic identification and trust services for electronic transactions in the internal market, as amended (the "**eIDAS Regulation**") have the same legal effect as handwritten signatures. Although a signature shall not be denied legal effect and admissibility as evidence in legal proceedings before a Luxembourg court solely on the grounds that it is in an electronic form or that it does not meet the requirements for QES, only documents executed in wet ink or in QES benefit from the presumption of authenticity. The main risk associated with an electronic signature is the difference in legal effect produced by different types of an electronic signature before the competent judges which may have implications on the validity and enforceability of the agreement itself.

The Investment Manager and/or the AIFM may be required to rely on electronic signatures in connection with the activities of AEFS in a variety of circumstances, including in connection with the admission of investors in AEFS and AEFS entering into transaction documentation. To the extent that the Investment Manager and/or the AIFM are relying on electronic signatures from a counterparty, this presents an increased risk (as described above) in enforcing the relevant contract and/or engagement where such reliance has been placed and to the extent that any such contracts/engagements are found to be invalid or unenforceable AEFS could suffer losses or other consequences which may materially adversely affect AEFS.

Exculpation and indemnification.

The Articles and this Prospectus will limit the circumstances under which the Investment Manager, the AIFM and others (including, but not limited to, employees, directors and officers thereof) can be held liable to AEFS or the Shareholders. As a result, Shareholders may have a more limited right of action in certain cases than they would in the absence of such a limitation. In addition, AEFS will indemnify the Investment Manager, the AIFM and their respective affiliates, agents, consultants and their respective personnel against claims, liabilities, costs and expenses incurred by them by reason of their activities on behalf of AEFS or Shareholders, subject to certain exclusions. AEFS may pay the expenses incurred by such indemnified party in defending an actual or threatened civil or criminal action in advance of the final disposition of such action. In addition, certain service providers will have their own indemnification arrangements with AEFS. The potential liabilities associated with AEFS's indemnification obligations may be material and may affect the financial performance of AEFS and the returns generated for Shareholders. For example, in their capacity as directors of Portfolio Entities, the partners, managers or affiliates of the Investment Manager and the AIFM may be subject to derivative or other similar claims brought

by security holders or creditors of such Portfolio Entities. The indemnification obligations of AEFS would be payable from the assets of AEFS. If the assets of AEFS are insufficient to pay such indemnification obligations, the Shareholders may be required to return distributions previously made to them to satisfy such obligations. Such obligations will survive the dissolution of AEFS and may diminish the investment returns of AEFS.

Compulsory Redemption.

Under the Articles and this Prospectus, the Board of Directors may compulsorily redeem all or any part of the Shares of a Prohibited Person. Such Prohibited Person may not recover its initial investment upon such compulsory redemption. The redemption price will be determined in accordance with the relevant Annex. There can be no assurance that the valuation of Investments described in this Prospectus will accurately predict the amount realized by AEFS in a sale or disposition of Investments. As such, it is possible that at the time of such compulsory redemption, such Investments may be valued at a price that is lower than the price at which such Investments are ultimately sold or disposed.

Differential returns between Parallel Entities.

Because of structural, legal, regulatory, tax, currency or other reasons, Shareholders subscribing to different entities comprising AEFS may receive unequal returns and profits.

Pay-to-play laws, regulations and policies.

A number of U.S. states and municipal pension plans have adopted so-called “pay-to-play” laws, regulations or policies which prohibit, restrict or require disclosure of payments to (and/or certain contacts with) state officials by individuals and entities seeking to do business with state entities, including those seeking investments by public retirement funds. The SEC has adopted a rule that, among other things, prohibits an investment adviser from providing advisory services for compensation to a government client for two (2) years after the adviser or certain of its executives or employees makes a contribution to certain elected officials or candidates. If the AIFM, the Investment Manager, any of their employees or affiliates or any service provider acting on their behalf, fails to comply with such laws, regulations or policies, such non-compliance could have an adverse effect on the Investment Manager, or the AIFM, as relevant, and this could in turn affect AEFS. Shareholders may also seek to pursue individual remedies, including withdrawal rights, which may be included in Side Letters or otherwise imposed by law or policy.

AEFS’s expenses.

AEFS will pay and bear all expenses related to its operations, as well as certain expenses of the AIFM, the Investment Manager and their affiliates allocated to AEFS, such as portions of the salaries of employees of the AIFM or its affiliates. The amount of such expenses will be substantial and will reduce the actual returns realized by a Shareholder on its investment in AEFS (and have the potential to, in certain circumstances, reduce the amount of capital available to be deployed by AEFS in Investments). AEFS’s expenses include recurring and regular items, as well as extraordinary expenses for which it may be hard to budget or forecast. As a result, the amount of AEFS’s expenses ultimately called or called at any one time may exceed expectations. As described further in the Articles and this Prospectus, AEFS’s expenses encompass a broad swath of expenses and include all expenses of operating AEFS. Although the costs and expenses of Organizational and Offering Expenses are separately categorized and subject to a limit under this Prospectus, ongoing AEFS’s expenses to be borne by the Shareholders and not classified as Organizational and Offering Expenses include costs that relate to organizational matters. Expenses to be borne by the AIFM, and the Investment Manager will be limited to those items enumerated in the Articles and this Prospectus, and all other costs and expenses in operating AEFS will be borne by the Shareholders. From time to time, the AIFM will be required to decide whether costs and expenses are to be borne by AEFS, on the one hand, or the AIFM and/or the Investment Manager, on the other, and/or whether certain costs and expenses should be allocated between or among AEFS, on the one hand, and Other Ares Funds on the other. The AIFM will make such judgments notwithstanding its interest in the outcome and may make corrective allocations should, based on periodic reviews, it determine that such corrections are necessary or advisable.

Cybersecurity.

Cyber security incidents and cyberattacks have been occurring globally at a more frequent and severe level and will likely continue to increase in frequency in the future. The information and technology systems of the Investment Manager, the AIFM, AEFS, AEFS’s Portfolio Entities and their respective affiliates and service providers may be vulnerable to damage or interruption from computer viruses, network failures, computer and

telecommunication failures, infiltration by unauthorized persons and security breaches, usage errors by their respective professionals, power outages and catastrophic events such as fires, tornadoes, floods, hurricanes and earthquakes. Although the Investment Manager and the AIFM intend to implement, and Portfolio Entities may implement, various measures to manage risks relating to these types of events, such measures may not be effective against all current or future cyber security risks and attacks. If their information and technology systems are compromised, become inoperable for extended periods of time or cease to function properly, the Investment Manager, the AIFM, AEFS, an AEFS's Portfolio Entity and/or their respective affiliates and service providers may incur significant time and/or expense to fix or replace them and to seek to remedy the effects of such issues. The failure of these systems and/or of disaster recovery plans for any reason could cause significant interruptions in the Investment Manager's, the AIFM's, AEFS's and/or an AEFS's Portfolio Entity's and/or their respective affiliates' and service providers' operations and result in a failure to maintain the security, confidentiality or privacy of sensitive data, including personal information relating to investors (and the beneficial owners of investors) and the intellectual property and trade secrets of Sponsor and/or Portfolio Entities. Failure to maintain the security, privacy or confidentiality of sensitive information and data of investors (and the beneficial owners of investors) could result in material economic or reputational damages to investors (and the beneficial owners of investors). A successful penetration or circumvention of the security of the information and technology systems used by the Investment Manager, the AIFM or AEFS could affect the value of AEFS's assets or interfere with payments or distributions made by or to the investors, resulting in the loss or theft of an investor's funds. Investors could be exposed to losses resulting from the unauthorized use of their personal information if criminals use such information in identity theft, obtaining loans or payments under false identities and other crimes. Additionally, such events could harm the Investment Manager's, the AIFM's, AEFS's and/or an AEFS's Portfolio Entity's reputation, subject any such entity and its respective affiliates to legal claims or adverse publicity, significant financial expense related to the mitigation or response to governmental investigations or litigation, including fines and costs of remediation and otherwise adversely affect their business and financial performance.

Software Code Protection.

Source code may comprise a critical component to an AEFS's Portfolio Entity's operations. If an unauthorized disclosure of a significant portion of source code occurs, an AEFS's Portfolio Entity could potentially lose future trade secret protection for that source code. This could make it easier for third parties to compete with such Fund's Portfolio Entity products by copying functionality, which could adversely affect revenue and operating margins. Unauthorized disclosure of source code could also increase security risks (e.g., viruses, worms and other malicious software programs that may attack Fund's Portfolio Entity products and services). Costs for remediating the unauthorized disclosure of source code and other cyber-security branches, may include, among other things, increased protection costs, reputational damage and loss of market share, liability for stolen assets or information and repairing system damage that may have been caused. Remediation costs may also include incentives offered to Fund's Portfolio Entity customers or other business partners in an effort to maintain the business relationships after a security breach.

Technological and Scientific Innovations.

Recent technological and scientific innovations have disrupted numerous established industries and those with incumbent power in them. As technological and scientific innovation continues to advance rapidly, it could impact one or more of AEFS's strategies. Moreover, given the pace of innovation in recent years, the impact on a particular Investment may not have been foreseeable at the time the relevant Sub-Fund made such Investment and may adversely impact the Sub-Fund and/or its Portfolio Entities. Furthermore, Ares could base investment decisions on views about the direction or degree of innovation that prove inaccurate and lead to losses.

Operational Risk.

AEFS depends on the AIFM to develop the appropriate systems and procedures to control operational risk. Operational risks arising from mistakes made in the confirmation or settlement of transactions, from transactions not being properly booked, evaluated or accounted for or other similar disruption in AEFS's operations, may cause AEFS to suffer financial loss, the disruption of its business, liability to clients or third parties, regulatory intervention or reputational damage. AEFS's business is highly dependent on its ability to process transactions across numerous and diverse markets. Consequently, AEFS relies heavily on its financial, accounting and other data processing systems. The ability of its systems to accommodate an increasing volume of transactions could also constrain AEFS's abilities to properly manage its portfolio.

Terrorist Activities.

Terrorist activities, anti-terrorist efforts and natural disasters may adversely affect Europe, its financial markets and global economies and could prevent AEFS from meeting its investment objectives and other obligations. The potential for future terrorist attacks, the national and international response to terrorist attacks, acts of war or hostility and natural disasters have created many economic and political uncertainties in the past and may do so in the future, which may adversely affect the European and world financial markets and AEFS for the short or long term in ways that cannot presently be predicted.

Definitive Terms and Conditions.

Prospective investors should review this Prospectus for a summary of the rights, privileges and obligations of an investor in AEFS. In the event that the descriptions or terms contained in this Prospectus are inconsistent with or contrary to the descriptions in or terms of the Articles and this Prospectus, this Prospectus shall control. The Investment Manager, the AIFM and their affiliates reserve the right to modify the terms of the offering and the Shares described herein and in this Prospectus.

Interpreting the Provisions of the Articles, this Prospectus and Other Legal Requirements.

The Articles, this Prospectus, the AIFM Agreement, the Investment Management Agreement and other constitutional documents of AEFS are detailed agreements that establish complex arrangements among the Shareholders, AEFS, the Investment Manager, the AIFM and other entities and individuals. Questions will arise from time to time under these agreements regarding the parties' rights and obligations in certain situations, many of which may not have been contemplated at the time of the agreements' drafting and execution. In these instances, the operative provisions of the agreements, if any, may be broad, general, ambiguous or conflicting, and may permit more than one reasonable interpretation. At times there may not be a provision directly applicable to the situation. While the Investment Manager and the AIFM will construe the relevant agreements in good faith and in a manner consistent with its legal obligations, the interpretations that the AIFM or the Investment Manager adopt may not be, and need not be, the interpretations that are the most favorable to the Shareholders.

Privacy Law Compliance Risk.

The adoption, interpretation and application of consumer, data protection, privacy, information security and/or wider data laws and regulations ("**Privacy Laws**") in the United States, Europe, United Kingdom and elsewhere could significantly impact current and planned privacy and information security related practices, the collection, use, sharing, retention and safeguarding of data, including personal data, and current and planned business activities of Ares, the AIFM, the Investment Manager, AEFS and/or its Portfolio Entities, and each of their respective affiliates, and could increase compliance costs and require the dedication of additional time and resources to compliance for such entities. A failure to comply with such Privacy Laws by any such entity or their service providers could result in regulatory investigations, fines, sanctions or other penalties, all of which could have a material adverse effect on AEFS and/or a Portfolio Entity as well as have a negative impact on reputation and AEFS SICAV performance. Privacy Laws are rapidly evolving and likely to remain uncertain for the foreseeable future. Monitoring and responding to developments in such laws may increase compliance costs for Ares, the AIFM, the Investment Manager, AEFS and/or its Portfolio Entities, particularly in the context of ensuring that adequate data protection and data transfer mechanisms are in place.

Portfolio Entities may be subject to regulations related to privacy, data protection, information security and/or wider data in the jurisdictions in which they do business. As privacy, data protection, information security and wider data laws are implemented, interpreted and applied, compliance costs may increase, particularly in the context of ensuring that adequate data protection and data transfer mechanisms are in place.

The General Data Protection Regulation (EU 2016/679) (the "**GDPR**") came into force on 25 May 2018 and as a regulation, the GDPR is binding on data controllers and data processors in all EU member states without the need for implementation in each member state. The United Kingdom is no longer a member of the European Union, but has retained and transposed the GDPR into its domestic law by virtue of the European Union (Withdrawal) Act 2018 (the body of law retained in the UK being referred to as the "**UK DPA**"). The GDPR applies to (i) organisations that process the personal data of data subjects (natural persons) in the context of the activities of an establishment in the EEA and (ii) organisations outside the EEA that offer goods or services to data subjects in the EEA, or that monitor the behaviour of data subjects in the EEA. The UK DPA applies to (i) organisations that process the personal data of data subjects in the context of the activities of an establishment in the UK and (ii) organisations outside the UK that offer goods or services to data subjects in the UK, or that monitor the behaviour of data subjects in the UK. The GDPR and the UK DPA impose stringent operational requirements on both data controllers and data processors, including requirements to notify certain data breaches, and provides for significant

penalties for non-compliance; in the case of the GDPR, with fines of up to €20 million or (in the case of an undertaking) 4% of total annual worldwide turnover, whichever is higher, depending on the type and severity of the breach. These requirements are subject to ongoing judicial and regulatory interpretation. For instance, the Court of Justice of the European Union has interpreted the GDPR as requiring that entities sending personal data out of the EEA perform a case-by-case assessment as to whether the laws of the receiving country provide adequate protection in comparison to EEA laws, which has led to an increase in compliance costs. The legal implications of this ruling are still being contested and are likely to be subject to further judicial scrutiny, which may ultimately further increase compliance costs and/or reduce the ability to send personal data outside of the EEA and/or UK. Any failure by a controller of personal data to comply with its privacy and data protection related obligations may result in significant liability, which could have an adverse effect on the reputation of that party and its business, thereby potentially having an adverse effect on investors. Many of the costs of compliance with, and other burdens imposed by, the GDPR, the UK DPA and other applicable data protection laws will be borne (whether directly or indirectly) by AEFS and could, therefore, affect any returns that would otherwise be available to Shareholders.

Further legislative evolution in the field of privacy is expected. For example, the UK's Data (Use and Access) Act received Royal Assent on 19 June 2025 and is making various amendments to the current UK data protection regime, including to bring the maximum fine threshold for infringement of certain requirements relating to direct marketing and the use of cookies (currently £500,000) in line with the UK GDPR threshold (i.e., the higher of £17.5 million or 4% of annual global turnover), as well as introducing new data sharing frameworks. In addition, on 19 November 2025, the EU published a proposal to make certain simplifications to the GDPR and other data, privacy and cybersecurity related laws, including the ePrivacy Directive and EU Artificial Intelligence Act (the "EU AI Act"). This is increasing divergence between EEA and UK requirements, which may create a greater dual regulatory compliance burden in circumstances where entities are subject to both regimes.

The EU and UK are also considering or have enacted a variety of other laws and regulations relating to data which could have a material impact on Ares, AEFS and/or a Portfolio Entity. For example, the EU has recently introduced the EU AI Act, which will likely apply to certain artificial intelligence ("AI") systems and the data used to train, test and deploy AI (see further "Artificial Intelligence Technologies" below). Other potentially relevant regulations include the Digital Operational Resilience Act (EEA) and the (draft) Financial Data Access Regulation (EEA). Ares cannot predict how these and other data laws may develop, or how they will be applied or interpreted by regulators and courts, and they may result in the business practices of Ares or a Portfolio Entity changing in a manner which adversely affects AEFS.

Compliance with current and future privacy, data protection, information security and wider data laws could significantly impact current and planned privacy and information security related practices, the collection, use, sharing, retention and safeguarding of data, including personal data, and some of Ares' current and planned business activities. A failure to comply with such laws could result in fines, sanctions or other penalties, which could materially and adversely affect results of operations and the overall business of a Portfolio Entity, AEFS or Ares, as well as have a negative impact on their respective reputation.

Other jurisdictions, including other U.S. states, have implemented, proposed or are considering similar Privacy Laws, which could also impose similarly significant costs and operational and legal obligations. Such Privacy Laws and regulations are expected to vary from jurisdiction to jurisdiction, thus increasing costs, operational and legal burdens, and the potential for significant liability on regulated entities.

GDPR – Fair Processing Information.

Prospective investors should be aware that, in considering and/or making an investment in AEFS, and interacting with AEFS, its affiliates, agents, advisers and/or delegates by:

- i. submitting the subscription agreement;
- ii. communicating through telephone calls, written correspondence and emails (all of which may be recorded); or
- iii. providing personal data concerning individuals connected with the investor (such as directors, trustees, employees, representatives, shareholders, investors, clients, beneficial owners, advisers and/or agents); they will be providing AEFS, its affiliates, agents, advisers and/or delegates with personal data (as such term is defined in applicable EU data protection legislation).

The AIFM has prepared a privacy notice, which provides further information regarding the personal data collected and used by it, including in relation to AEFS, and the purposes for which such personal data is processed. The privacy notice can be accessed at <https://www.aresmgmt.com/privacy-policy>. Prospective investors should read the privacy notice carefully before sharing any personal data in accordance with the steps described above.

If you have any questions or concerns regarding the processing of personal data by AEFS, please contact AresPrivacy@aresmgmt.com.

Technological Developments in Artificial Intelligence.

Artificial intelligence, including machine learning technology and generative artificial intelligence, is rapidly evolving. While the full extent of current or future risks related thereto is not possible to predict, artificial intelligence could significantly disrupt the business models and markets in which AEFS and its Sub-Funds operate and subject AEFS and its Sub-Funds to increased competition, legal and regulatory risks and compliance costs, any of which could have a material adverse effect on AEFS, its Sub-Funds or their Portfolio Entities' business, financial condition and results of operations.

AEFS and its Sub-Funds, the AIFM, the applicable Investment Manager and Sub-Investment Manager, and the Central Administration use and plan to expand their use of artificial intelligence tools and technologies in the operation of their respective business. In addition, certain Portfolio Entities use and may plan to expand their use of artificial intelligence tools and technologies in the operation of their respective businesses. These uses come with potential risks, including, but not limited to, generation of inaccurate results, misuse or disclosures of confidential information, infringement of third party intellectual property rights, potential cybersecurity vulnerabilities, reputational risk, and regulatory burdens. Artificial intelligence models may create outputs that are flawed, inaccurate, biased, or that infringe or misappropriate intellectual property of third parties. The models may also be subject to new or different modes of cyber-attacks, including prompt injection attacks, and such attacks may be able to circumvent our cybersecurity tools and processes. To the extent AEFS and its Sub-Funds, the AIFM, the applicable Investment Manager and Sub-Investment Manager, the Central Administration, or any of Portfolio Entities rely on such technologies, these risks could negatively impact AEFS, its Sub-Funds and/or its Portfolio Entities. There is also a risk that artificial intelligence tools or applications may be misused by employees and/or third parties engaged by AEFS, the AIFM, the applicable Investment Manager and Sub-Investment Manager (as described in the relevant Annex), the Central Administration, or by the Portfolio Entities. For example, an employee of the relevant Investment Manager or Sub-Investment Manager may input confidential information, including material non-public information, trade secrets, or personal information, into artificial intelligence technologies in a manner that results in such information becoming part of a dataset that is accessible by third-party artificial intelligence applications and users, including our competitors. Further, AEFS and its Sub-Funds, the AIFM, the applicable Investment Manager and Sub-Investment Manager, the Central Administration, or any of Portfolio Entities may not be able to control how third-party artificial intelligence technologies that they choose to use are developed or maintained, or how data they input is used or disclosed, even where contractual protections with respect to these matters have been sought. The misuse or misappropriation of such data could have an adverse impact on AEFS's reputation and could subject AEFS or its Sub-Funds to legal and regulatory investigations and/or actions. The misuse or misappropriation of data of any of Portfolio Entities could have an adverse impact on such businesses reputation and could subject such Portfolio Entity to legal and regulatory investigations and/or actions.

AEFS, its Sub-Funds and their respective Portfolio Entities may also be exposed to competitive risks related to the adoption of artificial intelligence or other new technologies by others within their respective industries. If AEFS, its Sub-Funds or their Portfolio Companies' competitors are more successful than AEFS, its Sub-Funds or their Portfolio Entities in the use of artificial intelligence or development of services or products based on artificial intelligence, or AEFS, its Sub-Funds or their Portfolio Entities do so at a slower pace than others, AEFS, its Sub-Funds or their Portfolio Entities may be at a competitive disadvantage. In addition, AEFS, its Sub-Funds or their Portfolio Entities' investments in technology systems and artificial intelligence may not deliver the benefits AEFS, its Sub-Funds or their Portfolio Entities expect, which could be costly for AEFS, its Sub-Funds or their Portfolio Entities' respective businesses.

Finally, governments and regulators in the U.S. and abroad have proposed, adopted or are considering laws, regulations and guidance governing the development, deployment and use of artificial intelligence systems, including requirements relating to transparency, accountability, data governance, risk management, human oversight, cybersecurity, intellectual property and recordkeeping. For example, the European Union has adopted the EU AI Act, which applies on a phased basis that began in 2025 and a number of U.S. states have enacted general artificial intelligence laws. These and other developments could increase compliance costs for AEFS and

its Sub-Funds, the AIFM, the applicable Investment Manager and Sub-Investment Manager, the Central Administration, or any of Portfolio Entities, restrict its use of artificial intelligence in their respective business and investment processes, require changes to their policies, procedures, controls and vendor arrangements, and expose any of them to investigations, enforcement actions, litigation, fines, penalties or reputational harm.

Risk Factors Relating to AEFS's Assets

The ability of AEFS to obtain debt financing in connection with Investments may have an adverse effect on returns.

AEFS intends to use leverage, or borrowing, in connection with its Investments. Accordingly, the Investment Manager will explore the availability of various sources of debt financing. However, there can be no assurance that AEFS will be able to obtain adequate debt financing, or that any such financing will be available on acceptable terms, and any failure to add new debt facilities could have a material adverse effect on AEFS's business, financial condition and results of operations, which, in turn, could have a material adverse effect on the value of the Shares and AEFS's returns. Moreover, the use of leverage magnifies the potential for gain or loss on amounts invested and, consequently, increase the risks associated with an investment in AEFS.

While the Investment Manager believes that, if successfully implemented, this leveraging strategy will enhance AEFS's performance, there can be no assurance that leverage will be successful in enhancing AEFS's investment returns. Moreover, AEFS's ability to service its debt depends largely on its financial performance and is subject to prevailing economic conditions and competitive pressures. The amount of leverage that it employs at any particular time will depend on management's assessment of market and other factors at the time of any proposed borrowing.

Whether AEFS will be able to leverage certain Investments will be affected by the eligibility criteria required under the financing vehicles it secures, if any. If AEFS is unable to make investments that meet credit financing eligibility criteria, collateral quality tests and/or collateral and interest coverage tests, AEFS may not be able to execute its leverage strategy. Further, any breach of certain representations, warranties and covenants, as well as defaults, may also limit availability under such financing vehicles, while increasing the cost of then outstanding financing or restrict or eliminate AEFS's ability to obtain debt financing on acceptable terms or at all.

If AEFS is unable to use indebtedness to finance the acquisition of certain Investments, an investor in AEFS may realize lower returns than it would have realized had such Investments been leveraged.

Lack of current distributions.

It is uncertain as to when profits, if any, will be realized. Furthermore, the expenses of operating each Sub-Fund (including the Management Fee payable by the relevant Sub-Fund) may exceed its income, thereby requiring that the difference be paid from such Sub-Fund's NAV.

Convertible Securities.

Convertible securities are bonds, debentures, notes, preferred stocks or other securities that may be converted into or exchanged for a specified amount of common stock of the same or different issuer within a particular period of time at a specified price or formula. A convertible security entitles its holder to receive interest that is generally paid or accrued on debt or a dividend that is paid or accrued on preferred stock, in each case, until the convertible security matures or is redeemed, converted or exchanged. Convertible securities have unique investment characteristics in that they generally (i) have higher yields than common stocks, but lower yields than comparable non-convertible securities, (ii) are less subject to fluctuation in value than the underlying common stock due to their fixed-income characteristics and (iii) provide the potential for capital appreciation if the market price of the underlying common stock increases.

The value of a convertible security is a function of its "investment value" (determined by its yield in comparison with the yields of other securities of comparable maturity and quality that do not have a conversion privilege) and its "conversion value" (the security's worth, at market value, if converted into the underlying common stock). The investment value of a convertible security is influenced by changes in interest rates, with investment value declining as interest rates increase and increasing as interest rates decline. The credit standing of the issuer and other factors may also have an effect on the convertible security's investment value. The conversion value of a convertible security is determined by the market price of the underlying common stock. If the conversion value is low relative to the investment value, the price of the convertible security is governed principally by its investment value. To the extent the market price of the underlying common stock approaches or exceeds the

conversion price, the price of the convertible security will be increasingly influenced by its conversion value. A convertible security generally will sell at a premium over its conversion value by the extent to which investors place value on the right to acquire the underlying common stock while holding a fixed-income security. Generally, the amount of the premium decreases as the convertible security approaches maturity.

A convertible security may be subject to redemption at the option of the issuer at a price established in the convertible security's governing instrument. If a convertible security held by AEFS is called for redemption, AEFS will be required to permit the issuer to redeem the security, convert it into the underlying common stock or sell it to a third party. Any of these actions could have an adverse effect on AEFS's ability to achieve its investment objective.

Zero Coupon and PIK Bonds.

Because investors in zero coupon or PIK bonds receive no cash prior to the maturity or cash payment date applicable thereto, an investment in such securities generally has a greater potential for complete loss of principal and/or return than an investment in debt securities that make periodic interest payments. Such investments are more vulnerable to the creditworthiness of the issuer and any other parties upon which performance relies.

Options and Warrants.

Sub-Funds may buy or sell ("write") both call options and put options, and when it writes options, it may do so on a "covered" or an "uncovered" basis. A call option is "covered" when the writer owns investments of the same class and amount as those to which the call option applies. A put option is covered when the writer has an open short position in investments of the same class and amount. Sub-Funds' option transactions may be part of a hedging strategy (i.e., offsetting the risk involved in another investment position) or a form of leverage, in which such Sub-Fund has the right to benefit from price movements in a large number of investments with a small commitment of capital. Some Sub-Funds may also use warrants in substantially the same manner as call options. Warrants are long-term options to purchase particular securities to be used by, or owned by, the issuer of the warrants. The foregoing activities involve risks that can be substantial, depending on the circumstances.

Investments in Private Companies.

A portion of a Sub-Fund's portfolio may consist of investments in medium-sized, privately owned businesses. Compared to larger, publicly owned firms, such companies generally have limited financial resources and access to capital, as well as higher funding costs. They may be in a weaker financial position and may need more capital to expand or compete. These companies frequently have shorter operating histories, narrower product lines and smaller market shares than larger businesses, which render them more vulnerable to competitors' actions and market conditions, as well as general economic downturns. There may not be as much information publicly available about these companies as would be available for public companies and such information may not be of the same quality. These companies are also more likely to depend on the management talents and efforts of a small group of persons and, as a result, the death, disability, resignation or termination of one or more of these persons could have a material adverse impact on these companies' ability to meet their obligations. The above challenges increase the risk of these companies defaulting on their obligations.

Securities Financing Transactions and TRS.

No Sub-Fund currently makes use of securities financing transactions ("SFTs"), or total return swaps ("TRSs"), as those terms are defined in the EU Regulation 2015/2365 of the European Parliament and of the Council of 25 November 2015 on transparency of securities financing transactions and of reuse and amending EU Regulation 648/2012 (the "SFTR").

As required by the AIFM Rules and the SFTR, the AIFM or the Investment Manager will make available to any investors upon request at the registered office of the AIFM or such other means as is determined by the AIFM and/or the Investment Manager any information regarding the use of SFTs by a Sub-Fund and TRSs in accordance with the provisions of the SFTR, including amongst others general description of instruments used. With respect to any such SFTs and TRSs, the information provided will include the rationale for their use, the type of assets that can be subject to them, the maximum and expected proportion of assets under management subject to them, criteria to select counterparties, acceptable collateral, valuation methodology and information on safekeeping of assets and collateral.

Collateralized Loan Obligations and Other Securitizations.

Some Sub-Funds may invest in CLOs and other securitizations which are generally limited recourse obligations of the issuer (“**Securitization Vehicles**”) payable solely from the underlying assets (“**Securitization Assets**”) of the issuer or proceeds thereof. Holders of equity or other securities issued by Securitization Vehicles must rely solely on distributions on the Securitization Assets or proceeds thereof for payment in respect thereof. Consequently, the Sub-Fund will typically not have any direct rights against the issuer of, or the entity that sold, assets underlying the securitization. Securitization Assets may include, without limitation, broadly-syndicated leverage loans, middle-market bank loans, collateralized debt obligation (“**CDO**”) debt tranches, trust preferred securities, insurance surplus notes, asset backed securities, mortgages, real estate investment trusts (REITs), high-yield bonds, mezzanine debt, second-lien leverage loans, credit default swaps and emerging market debt and corporate bonds, which are subject to liquidity, market value, credit, interest rate, reinvestment and certain other risks. Investments in CLOs, Securitization Vehicles and Securitization Assets may be made by the relevant Sub-Fund through various means, including in primary or secondary market transactions from private originators and investors (including bankers, commercial banks, finance companies, investment banks and pooled investment vehicles such as hedge funds and private funds) and in restructuring or workout transactions. A Sub-Fund may acquire and hold such investments over a range of investment horizons, including buying and holding for a longer term and buying and restructuring in transactions with a shorter turnaround. The relevant Sub-Fund may also sponsor and/or originate CLOs with existing assets of such Sub-Fund. The relevant Sub-Fund’s investment in CLOs may include: (a) CLOs for which Ares or its affiliate serves as collateral manager; (b) CLOs originated or sponsored by Other Ares Funds and/or the Sub-Fund; and (c) any other CLOs in which Ares or an Other Ares Fund may be involved or hold interests (including any refinancings thereof and purchases on the secondary market).

Risk Retention Vehicles.

A Sub-Fund may invest in collateralized loan obligations (“**CLO**”) debt and equity tranches and warehouse investments directly or indirectly through an investment in U.S. and/or European vehicles (“**Risk Retention Vehicles**”) established for the purpose of satisfying U.S. and/or E.U. regulations that require eligible risk retainers to purchase and retain specified amounts of the credit risk associates with certain CLOs, which vehicles themselves are invested in CLO securities, warehouse investments and/or senior secured obligations. A Sub-Fund may also invest in Risk Retention Vehicles, of warehouses or other securitizations that have previously issued debt instruments to Other Ares Funds (See also “Syndication; Warehousing” in the relevant Sub-Fund Annex). Risk Retention Vehicles will be structured to satisfy the retention requirements by purchasing and retaining the percentage of CLO notes prescribed under the applicable retention requirements (the “**Retention Notes**”) and will include Risk Retention Vehicles with respect to CLOs managed by other collateral managers, but will not include Risk Retention Vehicles with respect to CLOs for which the Investment Manager or its affiliates acts as collateral manager.

Indirect investments in CLO equity securities (and in some instances more senior CLO securities) and warehouse investments through entities that have been established to satisfy the U.S. retention requirements and/or the European retention requirements may allow for better economics for the Sub-Fund (including through fee rebate arrangements) by creating stronger negotiating positions with CLO managers and underwriting banks who are incentivized to issue CLOs and who require the participation of a Risk Retention Vehicle to enable the CLO securities to be issued. However, Retention Notes differ from other securities of the same ranking since the retention requirements prescribe that such Retention Notes must be held by the relevant risk retainer for a specified period. In the case of European Risk Retention Vehicles, the prescribed holding period is the lifetime of the CLO, and in the case of U.S. Risk Retention Vehicles it is the longer of: (x) the period until the CLO has paid down its securities to 33% of their original principal amount; (y) the period until the CLO has sold down its assets to 33% of their original principal amount; and (z) two (2) years after the closing of the CLO. In addition, Retention Notes are subject to other restrictions not imposed on other securities of the same ranking; for example, Retention Notes may not be subject to credit risk mitigation, and breach of the retention requirements may result in the imposition of regulatory sanctions or, in the case of the European retention requirements, in claims being brought against the retaining party.

Credit Default Swaps.

A Sub-Fund may invest in credit default swaps. A credit default swap is a contract between two parties that transfers the risk of loss if, for example, a company fails to pay principal or interest on time or files for bankruptcy. In essence, an institution that owns corporate debt instruments can purchase a limited form of default protection by entering into a credit default swap as protection buyer with another bank, broker-dealer or financial

intermediary as protection seller. The protection buyer pays a periodic fee to the protection seller in return for protection against the occurrence of a number of events that may be experienced by the entity referenced in the transaction or certain of its obligations (each, a “**Credit Event**”). Upon the occurrence of a Credit Event, a credit default swap on market standard terms would typically be settled by way of an auction sponsored by the International Swaps and Derivatives Association, Inc. (“**ISDA**”). A cash settlement amount payable by the protection seller in respect of the credit default swap would be determined on the basis of a reference amount less the final price obtained pursuant to such auction held in respect of the reference entity. As an alternative to cash settlement, the protection buyer may be able to effect physical settlement at such an auction, by selling certain obligations of the reference entity via one of the auction participants to another auction participant at their par value. If the relevant ISDA Credit Derivatives Determinations Committee does not decide to hold an auction with respect to obligations of the relevant reference entity or auction settlement is otherwise not applicable to the credit default swap, then either the cash or physical settlement method may apply. Where cash settlement applies, the calculation agent in respect of the credit default swap will be required to seek quotations in respect of the relevant reference obligation and a cash settlement amount will be determined on the basis of such quotations. Where physical settlement applies, the protection buyer may be able to deliver certain obligations of the reference entity to the protection seller at their par value. Upon an event of default, the swap may be terminated in one of two ways: (i) by the purchaser of credit protection delivering the referenced instrument to the swap counterparty and receiving a payment of par value or (ii) by the parties pairing off payments, with the purchaser of the protection receiving a payment equal to the par value of the reference security less the price at which the reference security trades subsequent to default. The first way is the more common form of credit default swap termination.

In the manner described above, credit default swaps can be used to hedge a portion of the default risk on a single corporate bond or a portfolio of bonds. Credit default swaps can be used to implement Ares’ view that a particular credit, or group of credits, will experience credit improvement. In the case of expected credit improvement, the Sub-Fund might sell credit default protection in which it receives a premium to take on the risk. In such an instance, the obligation of the Sub-Fund to make payments upon the occurrence of a Credit Event creates leveraged exposure to the credit risk of the referenced entity. The Sub-Fund may also “purchase” credit default protection even in the case in which it does not own the referenced instrument if, in the judgment of Ares, there is a high likelihood of credit deterioration.

The credit default swap market in high yield securities is comparatively new and rapidly evolving compared to the credit default swap market for more seasoned and liquid investment grade securities. Swap transactions dependent upon Credit Events are priced incorporating many variables, including the pricing and volatility of the common stock, potential loss upon default and the shape of the U.S. Treasury Yield curve, among other factors. As such, there are many factors upon which market participants may have divergent views. The Sub-Fund might also enter into credit default swap transactions, even if the credit outlook is positive, if it believes that participants in the marketplace have incorrectly valued the components that determine the value of a swap.

Generally, credit default swaps carry a number of risks, including but not limited to, high levels of leverage, the possibility that premiums are paid for credit default swaps which expire worthless, wide bid/offer spreads and documentation risks. In addition, there can be no assurance that the counterparty to a credit default swap will be able to fulfill its obligations to the Sub-Fund if a Credit Event occurs. Further, the protection seller under a credit default swap may seek to avoid payment following an alleged Credit Event by claiming that there is a lack of clarity in, or an alternative meaning of, language used in the contract, most notably the language specifying what would amount to a Credit Event.

Credit Events may occur for a variety of reasons but typically, in respect of European corporate reference entities for example, a Credit Event may only occur as the result of a failure to pay or bankruptcy of a reference entity or the restructuring of an obligation of such entity. The views of market participants and/or legal counsel may differ as to how the terms of market standard credit default swaps should be interpreted in respect of any Credit Event and such terms may operate in a manner contrary to the expectations of market participants and/or adversely to the interests of the Sub-Fund. While there may be information in the public domain relating to a failure to pay or bankruptcy of a reference entity, there may be comparatively little or no information relating to the restructuring of an obligation, for example. In such circumstances, the relevant ISDA Credit Derivatives Determinations Committee will make a determination using the limited information available or may decline to make such a determination.

Where a restructuring Credit Event occurs, there may not be a full credit deterioration in respect of the relevant reference entity (this is sometimes referred to as a “soft” Credit Event and contrasts with other Credit Events, such as failure to pay or bankruptcy, that are sometimes referred to as “hard” Credit Events). In such circumstances, obligations of the reference entity may trade at different levels depending on their maturities. For example, shorter

dated bonds may trade at a higher price than longer dated bonds. In order to avoid protection buyers triggering Credit Events and delivering longer dated obligations into credit default swaps in anticipation of a settlement higher in value than that in respect of more expensive shorter dated obligations, ISDA holds separate auctions depending on the maturity of the relevant obligations. As such, in the case that a protection buyer triggers the settlement of the credit default swap, recoveries under such credit default swaps may therefore differ depending on the terms of the credit default swap and the related deliverable obligations.

It should be noted that the structure and operation of credit default swaps may differ between jurisdictions. To the extent such differences exist, the risks associated with credit default swaps may also differ.

Forward Trading.

Forward contracts and options thereon, unlike futures contracts, are not traded on exchanges and are not standardized; rather, banks and dealers act as principals in these markets, negotiating each transaction on an individual basis. Forward and “cash” trading is substantially unregulated; there is no limit on daily price movements, and speculative position limits are not applicable. The principals who deal in the forward markets are not required to continue to make markets in the currencies or commodities they trade, and these markets can experience periods of illiquidity, sometimes of significant duration. There have been periods during which certain participants in these markets have refused to quote prices for certain currencies or commodities or have quoted prices with an unusually wide spread between the price at which they were prepared to buy and that at which they were prepared to sell. Disruptions can occur in any market traded by a Sub-Fund due to unusual trading volume, political intervention or other factors. The imposition of controls by governmental authorities might also limit such forward trading to less than that which Ares would otherwise implement, to the possible detriment of such Sub-Fund. Market illiquidity or disruption could result in significant losses to the Sub-Fund.

Investments in Less Established Companies.

A Sub-Fund may provide financing to less established companies. Investments in such early stage companies may involve greater risks than generally are associated with investments in more established companies. To the extent there is any public market for the securities held by the Sub-Fund, such securities may be subject to more abrupt and erratic market price movements than those of larger, more established companies. Less established companies tend to have lower capitalizations and fewer resources and, therefore, often are more vulnerable to financial failure. Such companies tend to have shorter operating histories by which to judge performance and, in many cases, have negative cash flow. Start-up enterprises in the communications and related industries may not have significant or any operating revenues, and any such investment should be considered highly speculative and may result in the loss of the Sub-Fund’s entire investment therein. In addition, less mature companies could be deemed to be more susceptible to irregular accounting or other fraudulent practices. In the event of fraud by any company in which the Sub-Fund invests, the Sub-Fund may suffer a partial or total loss of capital invested in that company. There can be no assurance that any such losses will be offset by gains (if any) realized on the Sub-Fund’s other investments.

Investments in Emerging Markets.

A portion of each Sub-Fund’s capital may be deployed in emerging market countries, which may heighten the risks described above as emerging markets tend to be more prone to various risks as compared to developed countries. Risks associated with the following are particularly material in emerging markets: political affairs, corporate governance, judicial independence, political corruption, exchange controls and changes in rules and regulations and interpretation of them. Accordingly, emerging markets are more volatile and the costs and risks associated with investments in them are generally higher than for investments in other countries.

Legal Framework and Corporate Governance in Emerging Markets.

Many emerging markets countries do not have well-developed legal frameworks. In particular, many emerging markets countries do not have well-developed shareholder rights, which could adversely affect a Sub-Fund’s minority investments. There is often less government supervision and regulation of business and industry practices, stock exchanges, over-the-counter markets, brokers, dealers, counterparties and issuers than in other more established markets. Any regulatory supervision that is in place may be subject to manipulation or control. Some emerging and developing market countries do not have mature legal systems comparable to those of more developed countries. Moreover, the process of legal and regulatory reform may not be proceeding at the same pace as market developments, which could result in investment risk. Legislation to safeguard the rights of private ownership may not yet be in place in certain areas, and there may be the risk of conflict among local, regional and

national requirements. In certain cases, the laws and regulations governing investments in financial instruments may not exist or may be subject to inconsistent or arbitrary appreciation or interpretation. Both the independence of judicial systems and their immunity from economic, political or nationalistic influences remain largely untested in many countries. A Sub-Fund may also encounter difficulties in pursuing legal remedies or in obtaining and enforcing judgments in non-U.S. courts. Many emerging countries provide inadequate legal remedies for breaches of contract. Due to the foregoing risks and complications, the costs associated with investments in emerging market securities generally are higher than for securities and other instruments of issuers based in developed countries.

Investments by a Sub-Fund may be subject to spread widening risks.

For reasons not necessarily attributable to any of the risks set forth herein (for example, supply/demand imbalances or other market forces), the prices of the debt instruments and other securities in which a Sub-Fund invests may decline substantially. In particular, purchasing debt instruments or other assets at what may appear to be “undervalued” or “discounted” levels is no guarantee that these assets will not be trading at even lower levels at a time of valuation or at the time of sale. It may not be possible to predict, or to hedge against, such “spread widening” risk. Additionally, the perceived discount in pricing from previous environments described herein may still not reflect the true value of the assets underlying debt instruments in which a Sub-Investment invests.

Lack of Transparency in Certain Markets.

Companies in certain markets are not generally subject to uniform accounting, auditing and financial reporting standards, practices and disclosure requirements. In particular, the assets and profits appearing on the financial statements of a company in certain markets may not reflect its financial position or results of operations in the way they would have been reflected had such financial statements been prepared in accordance with U.S. or Luxembourg generally accepted accounting principles. In addition, for a company that keeps accounting records in currency other than Euro, inflation accounting rules in certain markets in Europe require, for both tax and accounting purposes, that certain assets and liabilities be restated on the company’s balance sheet in order to express items in terms of a currency of constant purchasing power. As a result, financial data may be materially affected by restatements for inflation and may not accurately reflect the real condition of real estate, companies and securities markets. Accordingly, a Sub-Fund’s ability to conduct due diligence in connection with an Investment and to monitor the Investment may be adversely affected by these factors. In addition, investing in certain markets in Europe poses risks relating to (i) currency exchange matters, including fluctuations in the rate of exchange between the Euro and the various non-Euro currencies in which a Sub-Fund’s Investments are denominated, and costs associated with conversion of investment principal and income from one currency into another; (ii) differences between the U.S. and non-U.S. securities markets, including potential price volatility in and relative illiquidity of some non-U.S. securities markets; (iii) potential price volatility in and relative illiquidity of some foreign securities markets; (iv) less government supervision and regulation; (v) governmental decisions to discontinue support of economic reform programs generally and impose centrally planned economies; (vi) less extensive regulation of the securities markets; (vii) certain economic, social and political risks, including potential exchange control regulations and restrictions on foreign investment and repatriation of capital, the risks of political, economic or social instability and the possibility of expropriation or confiscatory taxation; (viii) the possible imposition of foreign taxes on income and gains recognized with respect to such securities; (ix) less developed corporate and intellectual property laws, including those regarding fiduciary duties, investor protections and intellectual property owner protections; (x) longer settlement periods for securities transactions, (xi) less reliable judicial systems to enforce contracts and applicable law; differences in the legal and regulatory environment or enhanced legal and regulatory compliance; (xii) political hostility to investments by foreign or private equity investors; and (xiii) less publicly available information.

In addition, in light of the potential uncertainty in European debt markets as a result of the sovereign debt crises of some of the members of the EU and unique political risks associated therewith, Investments may be subject to heightened risks or risks not associated with the foregoing. In addition, issuers located in certain European jurisdictions may be involved in restructurings, bankruptcy proceedings and/or reorganizations that are not subject to laws and regulations that are similar to the U.S. Bankruptcy Code and the rights of creditors afforded in U.S. jurisdictions. To the extent such non-U.S. laws and regulations do not provide the Sub-Fund with equivalent rights and privileges necessary to promote and protect its interest in any such proceeding, the Sub-Fund’s Investments may be adversely affected. While Ares intends, where deemed appropriate, to manage the Sub-Fund in a manner that will minimize exposure to the foregoing risks (although Ares does not in the ordinary course expect to hedge currency risks), there can be no assurance that adverse developments with respect to such risks will not adversely affect the assets of the Sub-Fund that are held in certain countries.

Uncertain Exit Strategies; Limited Liquidity.

Due to the illiquid nature of many of the positions that the Sub-Funds are expected to acquire, Ares is unable to predict with confidence what the exit strategy will ultimately be for any given position, or that one will definitely be available. Exit strategies that appear to be viable when an Investment is initiated may be precluded by the time the Investment is ready to be realized due to economic, legal, political or other factors. A Sub-Fund may invest a portion of its assets in financial instruments that are not publicly traded. A Sub-Fund may not be able to readily dispose of such non-publicly traded financial instruments and, in some cases, may be contractually prohibited from disposing of such securities for a specified period of time. Accordingly, a Sub-Fund may be forced to sell its more liquid positions at a disadvantageous time, resulting in a greater percentage of the portfolio consisting of illiquid securities.

Expedited Transactions.

Investment analyses and decisions by Ares will often be undertaken on an expedited basis in order for a Sub-Fund to take advantage of investment opportunities. In such cases, the information available to Ares at the time of the investment decision may be limited, and Ares may not have access to the detailed information necessary for a full evaluation of the investment opportunity. In addition, the financial information available to Ares may not be accurate or provided based upon accepted accounting methods. In addition, Ares will rely upon independent consultants or attorneys in connection with its evaluation of proposed investments. There can be no assurance that these consultants will accurately evaluate such investments.

Force Majeure Risk.

Each Sub-Fund and its Investments may be affected by force majeure events (i.e., events beyond the control of the party claiming that the event has occurred, including, without limitation, acts of God, fires, floods, earthquakes, hurricanes, tornadoes, landslides, explosions, outbreaks of an infectious disease, pandemic or any other serious public health concerns, war, terrorism, nationalization of industry and labor strikes). Force majeure events could adversely affect the ability of the Sub-Fund, an Investment or a counterparty to perform its obligations, including but not limited to the construction of its in process development. The liability and cost arising out of a failure to perform obligations as a result of a force majeure event could be considerable and could be borne by the Sub-Fund or an Investment. In addition, the cost to Investments or the Sub-Fund of repairing or replacing damaged assets resulting from such force majeure event could be material. Certain force majeure events, such as war, earthquakes, fires or an outbreak of an infectious disease, could have a broader negative impact on the global or local economy and international business activity generally, or in any of the countries in which the Sub-Fund may invest specifically, thereby affecting the Sub-Fund and Ares. Additionally, a major governmental intervention into an industry in light of a force majeure event or otherwise, including the nationalization of an industry or the assertion of control over one or more Investments or its assets, could result in a loss to the Sub-Fund including if its Investment is cancelled, unwound, or acquired (which could be without what Ares considers to be adequate compensation) if an Investment is affected, and any compensation provided by the relevant government may not be adequate. Any of the foregoing may therefore adversely affect the performance of the Sub-Fund and its Investments. (See also “Public Health Emergencies; COVID-19” and “COVID-19” herein.)

Risks related to energy and volatility of commodity prices.

The performance of certain of a Sub-Fund’s Investments may be substantially dependent upon prevailing prices of oil, natural gas, coal and other commodities (such as metals) and the differential between prices of specific commodities that are a primary factor in the profitability of certain conversion activities such as petroleum refining (“crack spread”) and power generation (“spark spread”). Commodity prices have been, and are likely to continue to be, volatile and subject to wide fluctuations in response to any of the following factors: (i) relatively minor changes in the supply of and demand for each commodity; (ii) market uncertainty and the condition of various economic measures (including interest rates, levels of economic activity, the price of securities and the participation by other investors in the financial markets); (iii) political conditions in international commodity producing regions; (iv) the extent of domestic production and importation of oil, gas, coal or metals in certain relevant markets; (v) the foreign supply of oil, natural gas and metals; (vi) the price of foreign imports; (vii) the price and availability of alternative fuels; (viii) the level of consumer demand; (ix) the price of steel and the outlook for steel production; (x) seasonality and weather conditions; (xi) the competitive position of oil, gas or coal as a source of energy as compared with other energy sources; (xii) the industry-wide refining or processing capacity for oil, gas or coal; (xiii) the effect of United States and non-U.S. federal, state and local regulation on the production, transportation and sale of commodities; (xiv) with respect to the price of oil, actions of the Organization of Petroleum Exporting Countries; (xv) the expected consumption of coking coal in steel production;

(xvi) the amount and character of excess electric generating capacity in a market area; (xvii) overall economic conditions; and (xviii) a variety of additional factors that are beyond the control of the Sponsor. Volatility of commodity prices may also make it more difficult for energy companies, including issuers and their affiliates, to raise additional capital to the extent the market perceives that their performance may be directly or indirectly tied to commodity prices.

The risks posed by the use of derivatives and other financial instruments and techniques by AEFS may be complex.

AEFS may enter into certain derivative financial instruments with certain rated counterparties. The risks posed by such instruments and techniques, which can be extremely complex, include: (i) credit risks (the exposure to the possibility of loss resulting from the failure by any such counterparty to meet its financial obligations), (ii) market risk (the exposure to potential losses arising from adverse movements in the price of a financial asset), (iii) legal risks (the exposure to potential losses arising from the characterization of a transaction or a party's legal capacity to enter into it could render the financial contract unenforceable, and the insolvency or bankruptcy of a counterparty could pre-empt otherwise enforceable contract rights), (iv) operational risks (the exposure to losses arising from inadequate controls, deficient procedures, human error, system failure or fraud), (v) documentation risks (exposure to losses resulting from inadequate documentation), (vi) liquidity risk (exposure to losses created by inability to prematurely terminate the derivative), (vii) systemic risks (the exposure to potential losses arising from the risk that financial difficulties in one institution or a major market disruption will cause financial harm to the financial system), (viii) concentration risks (the exposure to potential risk of losses arising from the lack of diversification in any concentrated exposure to a particular industry or exposure linked to a particular entity), (ix) settlement risk (the exposure to the risk of potential losses arising from unexecuted obligations of any such counterparty where AEFS has performed its obligations under such a contract but has not yet received value from its counterparty) and (x) set-off risks (the exposure to losses arising from the risk that any such counterparty may potentially set-off obligations owed to it by AEFS (or its affiliates under unrelated contract)).

Use of derivatives in combination with other techniques such as short sales of assets not held by AEFS involves certain additional risks, including: (i) dependence on the ability to predict movements in the price of the securities, (ii) imperfect correlation between movements in the securities on which the derivative is based and movements in the assets of the underlying portfolio and (iii) impediments to AEFS's ability to meet its short-term obligations due to the percentage of a portfolio's assets posted as collateral under the terms of such derivative.

Neither the AIFM nor the Investment Manager will participate or utilize securities financing transactions or total return swaps.

Reliance on Portfolio Entity management may have a material adverse effect on the value of the Shareholders' Shares.

The day-to-day operations of each Portfolio Entity in which AEFS invests will be the responsibility of such company's management team and, therefore, AEFS is subject to the risk that a Portfolio Entity may make business decisions with which the AIFM disagrees, and the stockholders or management of such company may take risks or otherwise act in ways that do not serve AEFS's interests. As a result, a Portfolio Entity may make decisions that could decrease the value of AEFS's Investment and, in turn, have a material adverse effect on the value of the Shares.

Although the Investment Manager and the AIFM will be responsible for monitoring the performance of each investment and intend for AEFS to invest in companies operated by strong management teams, there can be no assurance that the companies' existing management teams, or any successors, will be able to operate the company in accordance with AEFS's plans and/or objectives.

Obligations of AEFS upon disposition of investments.

Many of AEFS's Investments are expected to involve private securities and investments. In connection with the disposition of an investment in private securities (or another investment of AEFS), AEFS may be required to make representations about the business and financial affairs of the Portfolio Entity typical of those made in connection with the sale of a business. AEFS also may be required to indemnify the purchasers of such investment if any such representations are inaccurate or with respect to certain potential liabilities or other liabilities.

Risks related to unfunded pension liabilities of Portfolio Entities.

In at least one circuit, a United States court found that, in certain circumstances, a fund could be treated as a “trade or business” for purposes of determining pension liability under ERISA. Therefore, where an investment fund owns 80% or more (or under certain circumstances less than 80%) of a Portfolio Entity, such fund (and any other 80%-owned Portfolio Entities of such fund) might be found liable for certain pension liabilities of such a Portfolio Entity if the Portfolio Entity is unable to satisfy such liabilities. AEFS may, from time to time, invest in a Portfolio Entity that has unfunded pension fund liabilities, including structuring the investment in a manner where AEFS may own an 80% or greater interest in such a Portfolio Entity. If AEFS (or other 80%-owned Portfolio Entities of AEFS) were deemed to be liable for such pension liabilities, this could have a material adverse effect on the operations of AEFS and the companies in which AEFS invests. This discussion is based on current court decisions, statute and regulations regarding ERISA control group liability as in effect as of the date of this Prospectus, which may change in the future as the case law and guidance develops.

Need for follow-on investments.

Following its initial investment in a given Portfolio Entity, AEFS may decide to provide additional funds to such Portfolio Entity or may have the opportunity to increase its investment in a successful Portfolio Entity (whether for opportunistic reasons, to fund the needs of the business or for other reasons). There is no assurance that AEFS will make follow-on investments or that AEFS will have sufficient funds to make all or any of such investments. Any decision by AEFS not to make follow-on investments or its inability to make such investments may have a substantial negative effect on a Portfolio Entity in need of such an investment (including an event of default under applicable debt documents in the event an equity cure cannot be made). Additionally, such failure to make such investments may result in a lost opportunity for AEFS to increase its participation in a successful Portfolio Entity or the dilution of AEFS’s ownership in a Portfolio Entity if a third party invests in such Portfolio Entity.

Investments to finance follow-on acquisitions present conflicts of interest, including the determination of the equity component and other terms of the new financing as well as the allocation of the investment opportunities in the case of follow-on acquisitions by one Ares-advised fund in a portfolio investment in which another Ares-advised fund has previously invested. In addition, AEFS may on occasion participate in leveraging and recapitalization transactions involving Portfolio Entities in which another Ares-advised fund has already invested or will invest. Conflicts of interest will likely arise, including determinations of whether existing investors are being cashed out at a price that is higher or lower than market value and whether new investors are paying too high or too low a price for the company or purchasing securities with terms that are more or less favorable than the prevailing market terms.

Over-Commitment, Syndication and Sub-Participation.

It is possible that AEFS may make (or commit to make) an investment that exceeds the desired amount it wishes to hold for the longer-term, with a view to selling a portion of such investment to co-investors, Other Ares Funds or other persons in the future. Sales of interests in investments (which may also be structured in other ways, including syndication or sub-participation arrangements) will be made at fair market value, as determined in good faith by the AIFM, under normal market conditions. Until the relevant portion of the Investment is sold, AEFS will bear the risk that the transaction will not be consummated, or that any or all of the excess portion of such Investment may not be sold or may only be sold on unattractive terms and that, as a consequence, AEFS may bear the entire portion of the capital at risk, any break-up fee or other fees, costs and expenses related to such Investment, and hold a larger than expected portion of such Investment or may realize lower than expected returns from such Investment (including for example where the fair market value of such Investment decreases significantly). The AIFM endeavors to address such risks by requiring such Investments to be in the best interests of AEFS, regardless of whether any sell-down ultimately occurs. None of the Investment Manager, the AIFM, nor any of their respective affiliates will be deemed to have violated any duty or other obligation to AEFS or any of its investors by engaging in such Investment and sell down activities.

Risk Factors Relating to Conflicts of Interest

Actual, potential or apparent conflicts of interest are expected to arise as a result of the relationships between Ares and its affiliates and investment funds and accounts managed by its affiliates on the one hand and AEFS and the Shareholders on the other. Ares is a global multi-strategy investment management firm and, as such, Ares (including for the purposes of this “Risk Factors Relating to Conflicts of Interest” section, the Investment Manager, the management entities of Other Ares Funds and each investment advisory subsidiary of Ares) and its partners, members, managing directors, directors, officers, employees, personnel and senior advisors (“**Ares**

Management Personnel”) have multiple advisory, transactional, financial and other interests that conflict with those of AEFS and the Shareholders. Ares and its affiliates and Ares Management Personnel may in the future engage in further activities that result in additional conflicts of interest not addressed below.

Prospective investors should note that the Articles and this Prospectus contain provisions that, subject to applicable law, reduce or eliminate the duties, including fiduciary duties, to AEFS and the Shareholders to which the relevant Ares Management Personnel would otherwise be subject, provisions that waive or consent to conduct on the part of the relevant Ares Management Personnel that might not otherwise be permitted pursuant to such duties, and provisions that limit the remedies of Shareholders with respect to breaches of such duties. In particular, the Articles and this Prospectus include a provision under which the relevant Ares Management Personnel and any affiliates will have no liability to AEFS or its Shareholders in respect of a conflict of interest, the resolution of which has been approved by the non-affiliated members of the Board of Directors.

There can be no assurance that Ares will resolve all conflicts of interest in a manner that is favorable to AEFS. By acquiring a Share, each Shareholder specifically acknowledges and consents to the existence of actual, apparent and potential conflicts of interest relating to Ares, including, without limitation, those described in this Prospectus, and to the operation of AEFS subject to those conflicts.

Other Obligations of Investment Professionals.

Subject to any specific restrictions set forth in this Prospectus, the AIFM, the Investment Manager, their affiliates and their principals and personnel are in no way prohibited from spending, and intend to spend, substantial business time in connection with other businesses and activities, including, but not limited to, managing Investments, advising or managing vehicles or accounts whose investment objectives are the same as or overlap with those of AEFS, participating in actual or potential investments of AEFS, providing consulting, merger and acquisition, structuring or financial advisory services, including with respect to actual, contemplated or potential investments of AEFS, or acting as a director, officer or creditors’ committee member of, adviser to, or participant in, any corporation, fund, trust or other business entity. The AIFM, the Investment Manager, their affiliates and their principals and personnel expect to receive fees or other compensation from third parties for any of these businesses or activities or from previous employment roles, the compensation of which may be dependent on the success of an investment managed by Ares, and such fees and compensation shall be for the benefit of their own account and not AEFS, except as otherwise provided in this Prospectus. Such fees and compensation may relate to actual, contemplated or potential investments of AEFS and may be payable by any company in which AEFS, directly or indirectly, has invested or contemplates investing.

Each Shareholder acknowledges and agrees that certain Ares Management Personnel will engage in other business and furnish asset management and advisory services to others, including entities which have investment objectives or policies similar to, or the same as, those followed by the Investment Manager with respect to AEFS and which may own securities or other investments of the same class, or which are the same type, as the Investments. The relevant Ares Management Personnel shall be free, in their sole discretion, to make recommendations to others, or effect transactions on behalf of themselves or for others, which may be the same as or different from those recommended or effected with respect to AEFS, or offer certain investments to clients or accounts that it or they manage or advise concurrently with or in addition to offering those investments to AEFS.

Conflicts of interest will arise in allocating time, services, or resources among the investment activities of AEFS, Other Ares Funds, Ares and in respect of Ares Management Personnel. The Investment Manager, Ares and their relevant affiliates will devote such time as shall be necessary to conduct the business affairs of AEFS in an appropriate manner. However, Ares Management and its affiliates will continue to devote the resources necessary to manage Other Ares Funds and other Ares Management-affiliated entities, and to manage the investment activities of Ares Management. Ares Management and its affiliates are not precluded from conducting activities unrelated to Ares-managed private funds.

Moreover, because Ares Management is publicly traded, the officers, directors, members, managers, operating executives and employees of Ares Management, and the Investment Manager may have duties or incentives relating to the interests of Ares Management’s shareholders that may differ from, and could conflict with, the interests of AEFS and the Shareholders. These conflicts would not necessarily need to be taken into account if Ares Management were not publicly traded.

AEFS will be required to establish business relationships with its counterparties based on AEFS’s own credit standing. Neither Ares Management nor any of its affiliates will have any obligation to allow their credit to be

used in connection with AEFS's establishment of its business relationships, nor is it expected that AEFS's counterparties will rely on the credit of Ares Management or its affiliates in evaluating AEFS's creditworthiness.

Restrictions on Transactions Due to Other Ares Businesses.

Ares sponsors and advises a range of investment vehicles and accounts and expects to continue to develop its investment advisory and related businesses by forming additional vehicles and accounts in the future.

The Investment Manager, the AIFM, their affiliates or their principals or personnel may acquire material non-public information or other confidential information in connection with their activities. Such persons may not be free to share such information with AEFS, AEFS may not be free to act upon any such information and the possession of information by persons associated with Ares may preclude AEFS from engaging in transactions that it might otherwise have undertaken. In addition, Other Ares Funds may hold positions in securities or other assets or be subject to contractual or legal restraints that could prevent AEFS from being able to initiate a transaction that it otherwise might have initiated or to sell an Investment that it otherwise might have sold or, in its judgment, such position(s) or restraint(s) may make such a transaction inadvisable. The investment activities of one or more Other Ares Funds may be inconsistent with the investment activities of AEFS. Furthermore, subject to Ares' Investment Allocation Policy, Ares may have or develop business relations through its other businesses or have duties to Other Ares Funds that the AIFM or the Investment Manager may consider in determining whether to undertake a transaction, with the result that AEFS may not participate in certain transactions in which it might otherwise have participated.

Allocation of Investment Opportunities.

The AIFM, the Investment Manager, Ares, and their affiliates currently manage, and in the future expect to manage, Other Ares Funds. The investment policies, fee arrangements and other circumstances of AEFS may overlap with and/or vary from those of Other Ares Funds. The AIFM, the Investment Manager, Ares Management and their affiliates may, from time to time, be presented with investment opportunities that fall within AEFS's investment objectives and the investment objectives of one or more Other Ares Funds. While the AIFM, the Investment Manager, Ares Management and their affiliates will seek to manage such conflicts of interest in good faith, there may be situations in which the interests of AEFS with respect to a particular investment or other matter conflict with the interests of one or more of the Other Ares Funds, Ares or one or more of their respective affiliates. The AIFM and the Investment Manager anticipate that in the event the AIFM and/or the Investment Manager determines that AEFS and one or more Other Ares Funds should purchase or sell the same securities or instruments at the same time, the AIFM and/or the Investment Manager shall allocate such purchase or sale in accordance with Ares' Investment Allocation Policy, provided, however, that classification of an investment opportunity as appropriate or inappropriate for (i) AEFS will be made by the AIFM and/or the Investment Manager and (ii) the Other Ares Funds will be made by Ares its sole discretion at the time of purchase or sale.

The determinations made in connection with the allocation of investment opportunities will frequently be subjective in nature and, consequently, (a) an Investment that was determined as appropriate for AEFS (or that Ares Management determined was appropriate for an Other Ares Fund) may ultimately prove to have been more appropriate for an Other Ares Fund (or for AEFS) and (b) where potential overlaps with any of the Other Ares Funds exist, the AIFM and/or the Investment Manager is permitted to, in accordance with Ares' Investment Allocation Policy, forego investment opportunities suitable for AEFS. All of the foregoing could in certain circumstances (1) adversely affect the price paid or received by AEFS or the size of the position purchased or sold by AEFS, (2) preclude AEFS from participating in an investment or (3) limit the rights that AEFS may exercise with respect to an Investment.

None of the Investment Manager, the AIFM or Ares Management or their affiliates has any affirmative obligation to offer any investments to AEFS or to inform AEFS before offering investments to any Other Ares Fund. A copy of Ares' Investment Allocation Policy is available upon request.

The ability of the Investment Manager and/or the AIFM to effect or recommend transactions on behalf of AEFS is in certain cases restricted by applicable laws or regulatory requirements in or of the United States (including without limitation under the Investment Company Act), the United Kingdom, Luxembourg or elsewhere that are applicable to the Investment Manager, the AIFM, their affiliates or Other Ares Funds. In addition, the Investment Manager, the AIFM or their affiliates have adopted policies designed to comply with such laws or requirements and reserve the right to vary or supplement such policies in the future. Accordingly, AEFS will be subject to restrictions applicable to any potential co-investments alongside, or investments in Portfolio Entities or prospective Portfolio Entities of Other Ares Funds, including regulated funds. AEFS may also be prohibited from

making certain investments as a result of the possession of material non-public information by the Investment Manager, the AIFM or their affiliates. As a result, there may be periods when the AIFM and/or the Investment Manager is not able to make or otherwise initiate or recommend certain investments on behalf of AEFS and Shareholders will not be advised of that fact.

Without limitation, the Investment Manager, the AIFM and/or the Investment Manager may in certain circumstances be prohibited from purchasing or selling, or recommending the purchase or sale of, certain securities of or other investments in an issuer or obligor for its clients or accounts, including AEFS. The foregoing may limit the ability of AEFS to make follow-on investments in current Portfolio Entities of AEFS, which may adversely affect AEFS's position within such Portfolio Entity. Additionally, the Investment Manager, the AIFM and any of their respective affiliates may be required by applicable law, regulatory requirements, internal policies or contractual requirements to share potential investment opportunities appropriate for AEFS with Other Ares Funds and as such the size of the opportunity available for purchase by AEFS may be adversely affected, including that AEFS may ultimately be precluded from participating in such investment opportunity.

Overlapping Investments with Other Ares Funds.

Other Ares Funds are expected to hold or acquire positions in Portfolio Entities in which AEFS invests or has invested. Similarly, AEFS are expected to hold or acquire positions in Portfolio Entities in which Other Ares Funds hold investments. Additionally, certain investors (including Other Ares Funds) are expected to simultaneously hold Shares and in Portfolio Entities in which AEFS invests or has invested. Such investments and transactions will raise conflicts of interest for AEFS, particularly if AEFS and such Other Ares Fund(s) invest in different classes or types of securities or investments of the same underlying Portfolio Entity. In that regard, actions may be taken by such Other Ares Funds that are adverse to AEFS, including, but not limited to, during a restructuring, bankruptcy or other insolvency proceeding or similar matter.

Where Ares, its affiliates, or Other Ares Funds invest in different parts of the capital structure of a Portfolio Entity, their respective interests may diverge significantly in the case of financial distress of the company. In a bankruptcy proceeding, AEFS's interest may be subordinated or otherwise adversely affected by virtue of Ares' and/or such Other Ares Funds' involvement and actions relating to their investment. This may result in loss or substantial dilution of AEFS's Investment, while Ares recovers all or part of amounts due to it. In addition, where Ares or an Other Ares Fund is a creditor of a Portfolio Entity in which AEFS holds more junior securities, Ares or such Other Ares Fund may take actions in its own interests with respect to its rights as a creditor (e.g. with respect to breaches of covenants) that may be adverse to the interests of AEFS as a junior creditor or an equity holder. There can be no assurance that the terms of or the return on AEFS's Investment will be equivalent to or better than the terms of or the returns obtained by Ares or any Other Ares Fund participating in the transaction. The AIFM and/or Investment Manager's ability to implement AEFS's strategies effectively may be limited to the extent that contractual obligations entered into in respect of investments made by Ares or Other Ares Funds impose restrictions on AEFS engaging in transactions that the AIFM and/or Investment Manager may otherwise be interested in pursuing.

Co-Investments.

Specific risks related to co-investments are duly taken into account by the conflicts of interest policy established by the AIFM in accordance with the framework of the AIFM Directive.

Furthermore, Ares has adopted a co-investment policy which was designed to ensure fair allocation of co-investment opportunities in the event such opportunities become available. AEFS is permitted to co-invest in the same investment opportunity together with Other Ares Funds. In addition to investing alongside Other Ares Funds, Ares Management and its affiliates are also permitted, subject to the terms of the Articles and this Prospectus, to offer co-investment opportunities to other co-investors (including Shareholders, investors or limited partners in Other Ares Funds, senior investment professionals and other affiliates or employees of Ares or any vehicle through which such person may participate in a co-investment, management or employees of the relevant Portfolio Entity, consultants and advisors with respect to such Portfolio Entity or preexisting investors or other persons associated with such Portfolio Entity and any joint venture partner) (collectively, "**Co-Investors**"). In such circumstances, the size of the investment opportunity otherwise available to AEFS will be less than it would otherwise have been. Certain Co-Investors co-investing with AEFS may invest on different (and more favorable) terms than those applicable to AEFS and may have interests or requirements that conflict with and adversely impact AEFS (for example, with respect to their liquidity requirements, available capital, the timing of acquisitions and disposals or control rights). In exercising their discretion to allocate co-investment opportunities with respect to a particular investment to and among potential Co-Investors and the terms thereof, the AIFM, the Investment Manager and

any of their respective affiliates, in a manner consistent with Ares' co-investment policy, are permitted to consider some or all of a wide range of factors, including, but not limited to: (i) the ability of a potential Co-Investor to react promptly to co-invest opportunities; (ii) any strategic advantages that may result from a potential Co-Investor's participation in a co-investment opportunity; (iii) a potential Co-Investor's commitment to AEFS and/or one or more other funds managed by the AIFM or its affiliates; (iv) the likelihood that a potential Co-Investor may invest in a future fund sponsored by the AIFM, the Investment Manager or any of their respective affiliates; (v) any contractual priority co-investment rights granted by Ares to other parties; (vi) the transparency and predictability of a potential Co-Investor's investment process; (vii) whether a potential Co-Investor has the financial, operational and other resources to evaluate and make the investment; (viii) tax and legal characteristics of a potential investment and a potential Co-Investor; and/or (ix) the willingness of a potential Co-Investor to pay management fees and/or carried interest and to bear its portion of expenses related to the co-investment opportunity. Ares will generally seek to ensure that AEFS, any Other Ares Fund, Ares and Co-Investors participate in any co-investment made at the same time and in the same class of securities and any related transactions on comparable terms to the extent practicable. Shareholders should note, however, that this may not be practicable or appropriate in all circumstances (including, for example, instances where Co-Investors may negotiate to share a portion of transaction fees generated with respect to a particular investment, or due to tax, regulatory, accounting, legal or other considerations, as well as in the case of a post-closing sell-down) and that AEFS is permitted to participate in such investments on different terms or timing than such parties (which may be less favorable), including if the AIFM deems such participation as being otherwise in AEFS's best interests. Furthermore, because the AIFM and/or the Investment Manager will make the determination about whether it is practicable for AEFS to participate on the same terms as any Other Ares Fund, Ares and Co-Investors, and because it will determine what is in the best interests of AEFS, the AIFM and/or the Investment Manager has a conflict of interest in making such determination because it may benefit from such entities participating in an investment on differential terms. Under certain circumstances, this will have an adverse impact on AEFS. In addition, the AIFM, the Investment Manager or any of their respective affiliates may also, in their sole discretion, charge a management fee and obtain a "carried interest" in respect of any such co-investment. Since co-investments will not be made through AEFS, any compensation received in connection with a co-investment does not arise out of the investment activities of AEFS or actions taken directly or indirectly by the AIFM or its affiliates on behalf of AEFS and, therefore, none of such fees and other Co-Investor-related compensation reduces the Management Fee. Even if a management fee and/or "carried interest" is charged to Co-Investors, the amount of such fee and/or "carried interest" will generally be less than the amounts borne by Shareholders with respect to an investment by AEFS. Additionally, Ares could be contractually incentivized or obligated to offer certain Co-Investors a minimum amount of co-investment opportunities, including investors pursuant to other agreements (the terms of which will not be available for election through any "most favored nations" process), or otherwise bear adverse economic consequences for failure to do so, which consequences may include a loss of future economic rights, including management fee, carried interest or other incentive arrangements. If a co-investment vehicle is formed and the relevant transaction is consummated, such entity will bear expenses related to its formation and operation, many of which are similar in nature to those borne by AEFS.

AEFS is expected to have a higher expense ratio than the expense ratio associated with any particular co-investment. In particular, in the event that a transaction in which a co-investment was to be sought ultimately is not consummated, all obligations, liabilities and out-of-pocket expenses and/or costs, breakup fees, reverse termination fees and other fees, costs, liabilities and expenses, relating to such unconsummated transaction ("**Fund Broken Deal Expenses**") will be borne by AEFS, and not by any prospective or expected Co-Investors or the relevant co-investment vehicles that would have otherwise borne such Fund Broken Deal Expenses (unless the AIFM or its affiliates agree otherwise with the relevant third party Co-Investor), if any. Likewise, in certain instances, some or all of the expenses incurred in connection with consummated co-investments will not be allocated to Co-Investors that would otherwise have borne such expenses, and will instead be allocated entirely to AEFS. Accordingly, investors that participate in co-investments will generally have significantly higher net returns from their investments than investors that do not, or cannot, so participate.

Furthermore, decisions regarding whether and to whom to offer co-investment opportunities will generally be made by the AIFM, the Investment Manager or any of their respective affiliates or related persons in consultation with other participants in the relevant transactions, including Other Ares Funds. Co-investment opportunities typically will be offered to some and not to other Shareholders. When and to the extent that employees and related persons of the AIFM or the Investment Manager make capital investments in or alongside AEFS, the AIFM or the Investment Manager are subject to conflicting interests in connection with these investments. The AIFM or the Investment Manager's allocation of co-investment opportunities among the parties and in the manner discussed herein may not, and often will not, result in proportional allocations among such parties, and such allocations may be more or less advantageous to some such parties relative to others.

Furthermore, decisions regarding whether and to whom to offer co-investment opportunities alongside AEFS are permitted to be made by the AIFM, the Investment Manager or any of their respective affiliates or related persons in consultation with other participants in the relevant transactions, including Other Ares Funds (and, with respect to co-investment opportunities alongside Other Ares Funds, such decisions have been made in consultation with other participants). To the extent offered to Shareholders at all, it is expected that co-investment opportunities may be offered only to some and not to other Shareholders. Certain persons other than Shareholders will, from time-to-time be offered co-investment opportunities in the sole discretion of the Investment Manager and AIFM. In addition, Ares has established, and may in the future establish, separate co-investment vehicles specific to one or more investors that are administered, advised and/or managed on a discretionary or non-discretionary basis by Ares Management, the AIFM, the Investment Manager or one or more of their respective Affiliates. The existence of such co-investment vehicles generally creates an incentive for Ares to allocate co-investment opportunities alongside AEFS to such co-investment vehicles and, as a result, reduce the co-investment opportunities that are offered to Shareholders that do not participate or invest in such co-investment vehicles. Further, such co-investment vehicles may provide for certain preferential terms to the investors in such co-investment vehicles, including management fee and/or “carried interest” rates that are lower than those applicable to other Co-Investors. When and to the extent that employees and related persons of the AIFM and/or the Investment Manager make capital investments in or alongside AEFS, the AIFM and/or the Investment Manager is subject to conflicting interests in connection with these investments. The AIFM’s, the Investment Manager’s or their affiliates’ allocation of co-investment opportunities among the parties and in the manner discussed herein may not, and often will not, result in proportional allocations among such parties, and such allocations will necessarily be more or less advantageous to some such parties relative to others.

AEFS is permitted to sell down an interest in its Portfolio Entities to Co-Investors at either cost or fair market value. In the event AEFS sells down the interest at cost (rather than fair market value), AEFS will bear the risk of the difference between fair market value and cost, which could be materially different. Subject to the applicable limited partnership agreements (or analogous organizational documents), the AIFM and/or the Investment Manager may charge a Co-Investor interest costs for the time period between the closing of AEFS’s investment in a Portfolio Entity to the date of the transfer of interests in such Portfolio Entity to the applicable Co-Investor, but generally does not expect to do so unless otherwise agreed with such Co-Investor. In addition, in the event the AIFM and/or the Investment Manager determines to offer an investment opportunity to Co-Investors, there can be no assurance that the AIFM and/or the Investment Manager will be successful in offering such co-investment opportunity to any potential Co-Investor, in whole or in part, that the closing of such co-investment will be consummated in a timely manner, that the co-investment will take place on terms and conditions that will be preferable for AEFS or that expenses incurred by AEFS with respect to the syndication of the co-investment will not be substantial. In the event that the AIFM is not successful in offering a co-investment opportunity to potential Co-Investors, in whole or in part, AEFS will consequently hold a greater concentration and have exposure in the related investment opportunity than was initially intended, which could make AEFS more susceptible to fluctuations in value resulting from adverse economic and/or business conditions with respect thereto. Moreover, an investment by AEFS which is not syndicated to Co-Investors as originally anticipated could significantly reduce AEFS’s overall investment returns.

Any references herein to “co-investments”, “co-investment opportunities”, “co-investors” and any similar terminology are intended to refer to investment opportunities that are appropriate for AEFS based on its investment strategy and objectives and with respect to which the Investment Manager or the AIFM has, in each case, in its sole and absolute discretion, determined that it is appropriate to offer the opportunity to co-invest alongside AEFS to one or more such Co-Investors.

The commitment of Co-Investors to a Portfolio Entity may be substantial and such investments may involve risks not present in investments where such Co-Investors are not involved. Further, it is possible that a Co-Investor may experience financial, legal or regulatory difficulties, may at any time have economic, tax or business interests or goals that are inconsistent with those of AEFS, may take a different view from the AIFM or the Investment Manager as to the appropriate strategy for an investment, or may be in a position to take action contrary to AEFS’s investment objectives. Additionally, AEFS’s position could also be diluted or subordinated by subsequent investments of Co-Investors. Finally, AEFS may in certain circumstances be liable for the actions or omissions of Co-Investors.

Separate Accounts.

Ares Management and its personnel expect to manage assets for one or more advisory clients through a separate account or similar arrangement employing an investment strategy investing in parallel with, or similar to, the strategy of AEFS. Such arrangements may afford those clients different terms than the Shareholders with respect

to fees and expenses, subscription, withdrawal and redemption rights and the content and frequency of reports. Advisory clients that have been granted additional access to portfolio information or enhanced transparency may be able to make investment decisions based on information and at times not generally available to other investors, including Shareholders. Any such investment decisions made by these advisory clients on the basis of such information, including substantial withdrawals or redemptions, could adversely affect the market value of AEFS's portfolio and therefore the value of the interests.

Strategic Partnerships.

Ares Management has established, and may in the future establish, investment vehicles, accounts or programs with one or more investors (i) that are advised or managed on a discretionary or non-discretionary basis by Ares Management, the AIFM, the Investment Manager or one or more of their respective affiliates and/or (ii) that commit, contribute, allocate or co-invest significant capital to (or in) a range of platforms of products, investment ideas and asset classes made available by Ares Management and its affiliates, including the strategy of AEFS ("**Strategic Partnerships**" and, together with any participants in such Strategic Partnerships, "**Strategic Investors**").

Such arrangements may include Ares Management granting certain preferential terms to such Strategic Investors, including blended, reduced or no management fee, performance participation allocation rates that are lower than those applicable to the other Shareholders and/or adjustments to any distributions or allocations (or any combination of the foregoing) (together, "**Preferred Economics**") or preferential co-investment relationships with such Strategic Investors, which may provide for such Strategic Investors to be offered certain co-investment opportunities on a priority basis and/or on preferential terms when such opportunities arise. Where any Strategic Investor has been granted Preferred Economics, Ares Management or an affiliate thereof may grant a waiver of management fees and performance participation allocation on such Strategic Investor's investment in AEFS. In any event, where (i) any such Strategic Investor invests in AEFS on the same terms as other Shareholders, or co-invests with AEFS on the same terms as AEFS, but such Strategic Investor benefits from Preferred Economics to their portfolio as a whole or (ii) any such Strategic Investor invests in AEFS on preferential terms or co-invests with AEFS on preferential terms, such direct or indirect preferential terms (or other preferential terms set forth in the governing documents of such Strategic Partnership, including any co-investment terms) will not be considered a 'side letter' with respect to an investment in AEFS and thus will not be subject to "most favored nation" treatment. This may be the case even in those instances where such "side letter", "most favored nations" or other similar provisions (if any) suggest that a shareholder can generally elect terms provided to other investors investing in or with AEFS (including any preferential terms granted to a Strategic Investor as a result of its participation in a Strategic Partnership).

Other Ares Funds Involving Structured Products

Certain Other Ares Funds may be characterized as structured investment products, including, but not limited to, collateralized fund obligations, private equity-backed notes, rated note feeder vehicles and insurance dedicated funds (each such Other Ares Fund, a "**Structured Product Vehicle**"). Structured Product Vehicles are permitted to (i) invest directly or indirectly in any Sub-Fund, including as (or treated in a manner generally similar to) a Feeder Vehicle, and/or (ii) invest alongside a Sub-Fund in one or more Portfolio Entities in which the relevant Sub-Fund has invested or may invest. Structured Product Vehicles may invest in a single Other Ares Fund or multiple Other Ares Funds. The terms (including fees and other economic terms), objectives, structuring and returns of a Structured Product Vehicle are expected to differ materially from those of AEFS and its Sub-Funds in substantially the same manner, and subject to substantially similar conflicts of interest, as Strategic Partnerships described above, including without limitation the granting of Preferred Economics and/or preferential co-investment terms. In any event, the terms applicable to any Structured Product Vehicle (whether such Structured Product Vehicle invests in a Sub-Fund as a Shareholder or it co-invests with such Sub-Fund in some or all of such Portfolio Entities), or the terms agreed with debt holders, equity holders or other investors in any such Structured Product Vehicle, including any side letters or similar agreements entered into with any of the foregoing or the Structured Product Vehicle itself, will not be considered a "side letter" of AEFS or be subject to "most favored nation" treatment.

In addition to equity interests, a Structured Product Vehicle issues senior debt, subordinated debt and/or other debt instruments to investors, and Structured Product Vehicles are expected to have separate liquidity or other credit facilities. Certain investors in a Structured Product Vehicle can also be expected to have approval, veto or other governance rights with respect to actual or proposed investments (which may include investments in which a Sub-Fund is also participating) by the Structured Product Vehicle, which Shareholders will not have. The investment periods, investment objectives, return profiles, liquidity needs, default provisions, voting rights,

investment and leverage limitations, diversification requirements and/or other terms or objectives of AEFS (and any of its Sub-Funds) and a Structured Product Vehicle will be different. These and other considerations can be expected to give rise to conflicts of interest, particularly when a Structured Product Vehicle invests in or alongside a Sub-Fund. For example, as a result of the terms or other features of a Structured Product Vehicle, Ares has the potential to be incentivized to make decisions with respect to a Sub-Fund's actual or proposed investments for the benefit of a Structured Product Vehicle or the equity or debt investors therein, which decisions may not be aligned with or in the best interests of the relevant Sub-Fund or Shareholders. There can be no assurance that any such conflicts of interest will be resolved in favor of AEFS or the Shareholders, or that the establishment or investment activities of a Structured Product Vehicle will not adversely affect AEFS, the Sub-Funds or their investments.

Structured Product Vehicles are also permitted to be capitalized with debt and equity whereby the senior notes (the “**Senior Notes**”) are held by investors unaffiliated with Ares, and the junior notes (the “**Junior Notes**”), which effectively represent equity interests, are held directly or indirectly, in whole or in part, by current or former affiliates of the Investment Manager or current or former employees, officers or directors of Ares or any of its affiliates (or family and estate planning vehicles of, and foundations and other charitable organizations established or sponsored by, any of the foregoing). If any such Structured Product Vehicles are formed, the participants that invest in the Junior Notes would effectively be provided the benefit of leverage for their investment in such Structured Product Vehicle. This effective leverage, while having the effect of increasing the potential returns to the holders of the Junior Notes, would also magnify the potential losses realized by the holders of the Junior Notes, which could result in conflicts of interest between such Structured Product Vehicle and the holders of the Junior Notes (which could include Ares, the Investment Manager, their affiliates and Ares personnel), on the one hand, and AEFS and its Shareholders, on the other hand, in connection with a Sub-Fund's investments. In particular, in the event of a significant decline in the value of such Structured Product Vehicle's investments (including an interest in a Sub-Fund), the effective leverage provided to the holders of the Junior Notes could have the effect of substantially reducing the value of the investments by the holders of the Junior Notes, or even making them effectively worthless, which could in either case undermine alignments of interest between Ares, Ares personnel and external investors. As a result, investment risks and returns would vary materially between the relevant Sub-Fund and such Structured Product Vehicle and/or the holders of the Junior Notes. Investors should not have any expectation that they are investing in AEFS on terms that are the same or similar as those applicable to Ares employee investors and other persons that invest in the Junior Notes of any such Structured Product Vehicle, or that their interests are aligned.

Structured investment products are complex instruments and typically involve a high degree of risk, including with respect to defaults. In addition, rating agencies may be involved in rating securities of one or more Structured Product Vehicles and such published ratings criteria or methodologies for securities may be changed by the rating agencies in the future which could impact any such Structured Product Vehicle's ability to subscribe to AEFS or to any Portfolio Entity in which such Structured Product Vehicle has invested or expects to invest in alongside the relevant Sub-Fund of AEFS.

Investments in which Ares Management and/or Other Ares Funds have a Different Principal Interest.

Ares Management and its affiliates, including Other Ares Funds, invest in a broad range of asset classes throughout the corporate capital structure, including investments in corporate loans and debt securities, preferred equity securities, and common equity securities. Accordingly, Ares Management and Other Ares Funds may invest in different parts of the capital structure of a company or other issuer in which AEFS invests. For example, Other Ares Funds may invest in a controlling or other equity interest issued by a Portfolio Entity in which AEFS holds debt securities. The interests of AEFS and such Other Ares Funds may not always be aligned, which may give rise to actual or potential conflicts of interest, or the appearance of such conflicts of interest. Actions taken for AEFS may be adverse to Ares Management or an Other Ares Fund, or vice versa.

Where Ares Management, its affiliates, or Other Ares Funds invest in different parts of the capital structure of a Portfolio Entity, their respective interests may diverge significantly in the case of financial distress of the company. For example, an Other Ares Fund may hold equity securities in a Portfolio Entity in which AEFS holds debt securities or of which it is otherwise a creditor. In a bankruptcy proceeding, the Other Ares Fund's interest may be subordinated or otherwise adversely affected by virtue of AEFS's involvement and actions relating to their debt investment. Although AEFS may recover all or part of amounts due to it, the Other Ares Fund may be at risk for substantial loss, which may cause AEFS to be more passive or refrain from taking actions adverse to such Other Ares Fund that would otherwise be available. In addition, where Ares Management or an Other Ares Fund is a creditor of a Portfolio Entity in which AEFS holds more junior securities, Ares Management or such Other Ares Fund may take actions in its own interests with respect to its rights as a creditor (e.g. with respect to breaches of covenants) that may be adverse to the interests of AEFS as a subordinated debt holder.

In addition, Ares, AEFS and Other Ares Funds are increasingly presented with opportunities that involve the participation of multiple funds in a structured credit or similar opportunity. Ares funds, including AEFS and its Sub-Funds, may invest in different debt tranches or hold different instruments in such transactions, including various rated and unrated debt instruments and equity, junior or residual interests. AEFS, its Sub-Funds or their Portfolio Entities may borrow money or receive financing from one or more other Ares affiliates and/or one or more Other Ares Funds and may invest in or finance Other Ares Funds, including asset-based securities investments issued or sponsored by, related to or that otherwise constitute Other Ares Funds. In such instances where the financing is asset-based or otherwise non-recourse financing, one or more Ares funds, including AEFS, could hold all or substantially all of the equity or more junior tranche or interest and one or more Ares affiliates and/or one or more Other Ares Funds could hold all or substantially all of one or more senior tranches. Depending upon the facts and circumstances of a specific investment opportunity, the Investment Manager could seek, but is not obligated to seek, to substantiate the price and substantive terms of such transaction in its sole discretion. The Investment Manager may take actions to seek to mitigate potential conflicts of interests, including via the appointment of an independent third party or such other actions as the Investment Manager believes are necessary or appropriate. Notwithstanding the foregoing, the Investment is not obligated to take any of the preceding actions in any particular circumstance, and could take none of the foregoing, and determine to use a different course of action to mitigate actual, potential or perceived conflicts of interest that could arise, on a case-by-case basis as it deems appropriate in its discretion. There is no assurance that any actions taken and processes implemented will effectively mitigate all conflicts of interest.

There can be no assurance that the terms of or the return on AEFS's Investment will be equivalent to or better than the terms of or the returns obtained by Ares Management or any Other Ares Fund participating in the transaction. The Investment Manager and/or the AIFM's ability to implement AEFS's strategies effectively may be limited to the extent that contractual obligations entered into in respect of investments made by Ares Management or Other Ares Funds impose restrictions on AEFS engaging in transactions that the Investment Manager and/or AIFM may otherwise be interested in pursuing.

Portfolio Entity Interests.

Ares Management may invest on behalf of Other Ares Funds or for its own account in a Portfolio Entity that is a competitor of a Portfolio Entity of AEFS or that is a service provider, supplier, customer, or other counterparty with respect to a Portfolio Entity in which AEFS holds an interest. In providing advice and recommendations to, or with respect to, such Portfolio Entities, and in dealing in their securities on behalf of Other Ares Funds or Ares Management, to the extent permitted by law, the Investment Manager and the AIFM will not have regard to the interests of AEFS and its Portfolio Entities. Accordingly, such advice, recommendations and dealings may result in adverse consequences to AEFS or its Investments in Portfolio Entities. In addition, in providing services to such Portfolio Entities, the Investment Manager and the AIFM may come into possession of information that it is prohibited from acting on (including on behalf of AEFS) or disclosing as a result of applicable confidentiality requirements or applicable law, even though such action or disclosure would be in the interests of AEFS. To the extent not restricted by confidentiality requirements or applicable law, the Investment Manager and the AIFM may apply experience and information gained in providing services to Portfolio Entities of AEFS to provide services to competing Portfolio Entities invested in by the Investment Manager, the AIFM or Other Ares Funds, which may have adverse consequences for AEFS (see also "Possession of Material Non-Public Information" below).

Ares Management Personnel acting on behalf of Other Ares Funds may serve as directors of Portfolio Entities and will, as a result, be subject to fiduciary obligations to make decisions that they believe to be in the best interests of the Portfolio Entity. If a Portfolio Entity in which AEFS and an Other Ares Fund are invested is in financial difficulty, and Ares Management has appointed a director, this may result in a conflict between the relevant director's obligations to the Portfolio Entity and the interests of AEFS. In some circumstances, having Ares Management Personnel serve as directors of the Portfolio Entity of any Other Ares Fund may restrict the ability of AEFS to invest in an investment opportunity that also constitutes an investment opportunity for such Portfolio Entity, or may have the effect of impairing the ability of AEFS to sell the related investments when, and upon the terms, the Investment Manager may otherwise desire.

Employees and Service Providers.

Ares Management is permitted to, from time to time, employ personnel with pre-existing ownership interests in, or who were employed by Portfolio Entities of, AEFS or Other Ares Funds; conversely, former personnel or executives of the Investment Manager may serve in significant management roles at Portfolio Entities or service providers recommended by the Investment Manager.

In addition, certain service providers to the Investment Manager, AEFS or any of their affiliates (including accountants, administrators, lenders, bankers, brokers, attorneys, consultants, investment or commercial banking firms, and certain other advisors and agents or affiliates of any of the foregoing) may provide goods or services to or have business, personal, political, financial or other relationships with the AIFM, the Investment Manager and its affiliates, including as investors in AEFS sources of investment opportunities or co-investors or counterparties therewith. Such parties may also make investments in Other Ares Funds and/or the Sub-Funds, as well as investments that are similar to the investments intended to be made by Other Ares Funds and/or the Sub-Funds. These relationships may influence the AIFM and the Investment Manager in deciding whether to select or recommend such a service provider to perform services for AEFS, whether to cause AEFS to invest in investment opportunities sourced by such a service provider or whether to select such a service provider as a co-investor or counterparty in a transaction.

The Investment Manager and the AIFM will generally select AEFS's service providers and will determine the compensation of such providers without review by or consent of the non-affiliated members of the Board of Directors or other independent parties. AEFS, regardless of the relationship to Ares Management of the person performing the services, will bear the fees, costs and expenses related to such services. This creates an incentive for the Investment Manager or the AIFM to select an affiliated service provider or to select service providers based on the potential benefit to Ares Management or Portfolio Entities rather than AEFS.

In certain circumstances, advisors and service providers, or their affiliates, may charge different rates or have different arrangements for services provided to Ares Management, the Investment Manager, the AIFM or their affiliates or Portfolio Entities as compared to services provided to AEFS and its investments, which may result in more favorable rates or arrangements than those payable by AEFS or such investments.

Over the life of AEFS, the AIFM and the Investment Manager generally expect to exercise their discretion to recommend to AEFS or to a Portfolio Entity or operator that it contracts for services with various service providers, potentially including, among others: (i) the AIFM or the Investment Manager (or an affiliate, which may include other Portfolio Entities of AEFS or Other Ares Funds) and at rates determined or substantively influenced by the AIFM or the Investment Manager; (ii) an entity with which the AIFM, the Investment Manager or any of their respective affiliates or current or former members of their personnel has a relationship or from which such person(s) derives a financial or other benefit; or (iii) a shareholder (or a limited partner of an Other Ares Fund) or its affiliates. This subjects the AIFM and the Investment Manager to conflicts of interest because although they each intend to select service providers that they believe are aligned with their operational strategies and/or that will enhance investment performance, the AIFM and Investment Manager have an incentive to recommend the related or other person because of their financial or business interest. Additionally, there is a possibility that the AIFM or the Investment Manager, because of such incentive or for other reasons (including whether the use of such persons could establish, recognize, strengthen or cultivate relationships that have the potential to provide longer-term benefits to the AIFM, the Investment Manager, AEFS and/or Other Ares Funds, including volume discounts that may or may not be available to AEFS), may favor such retention or continuation even if a better price and/or quality of service provider could be obtained from another person. Whether or not the AIFM or the Investment Manager has a relationship with or receives financial or other benefit from recommending a particular service provider, there can be no assurance that no other service provider is more qualified to provide the applicable services or could provide such services at lesser cost.

Possibility of Fraud or Other Misconduct of Employees and Service Providers.

Misconduct by (i) employees of Ares Management, (ii) Portfolio Entities directors, officers or employees and (iii) service providers to the foregoing and/or their respective affiliates could undermine the due diligence efforts of AEFS, the AIFM and/or the Investment Manager and cause significant losses to AEFS. Misconduct may include entering into transactions without authorization, the failure to comply with operational and risk procedures, including due diligence procedures, misrepresentations as to investments being considered by AEFS, the improper use or disclosure of confidential or material non-public information, or sexual or other harassment, which could result in litigation or serious financial harm, including limiting AEFS's business prospects or future marketing activities and non-compliance with applicable laws or regulations (and the concealing of any of the foregoing). Such activities may result in reputational damage, litigation, business disruption, market or industry segment volatility and/or financial losses to AEFS. The AIFM and the Investment Manager have controls and procedures through which it seeks to minimize the risk of such misconduct occurring; however, no assurances can be given that such misconduct will be able to be identified or prevented.

In-House Sourcing.

Ares has experienced in-house legal, tax, loan administration, finance and other departments that provide support to its clients (including, without limitation, AEFS) and their respective portfolio investments on an ongoing basis. These departments assist with the acquisition, carrying, and disposition of Investments, including, without limitation, loan origination, document negotiation, tax structuring, regulatory support and risk management. Such in-house departments are an alternative to the outsourcing of legal, tax, and certain other services to other firms, including firms regularly used by the Investment Manager or any of its affiliates. In return for such services, each Sub-Fund will bear an administrative expense equal to 3.5 basis points per annum of the NAV of the relevant Sub-Fund.

Operating Advisors.

Ares Management and its affiliates have relationships with experienced executives, senior advisors, managers, operators, consultants and other similar professionals with relevant insight, access, sector-specific expertise, operating or other experience who are not employees or affiliates of Ares Management and who are expected to, from time to time, receive payments from, or allocations with respect to, Portfolio Entities, Ares Management, AEFS or the Other Ares Funds. These individuals or their related parties, who Ares Management may call “operating advisors”, “strategic advisors” or industry consultants (collectively, “**Operating Advisors**”), may provide several benefits to the investment process and to the management of Portfolio Entities, including serving as a source of proprietary deal flow and contacts, identifying operational opportunities and pitfalls during the due diligence process, providing sector-specific operational and competitive insight, providing direction and oversight post-acquisition, serving in an executive or board capacity, and helping to build and mentor management teams. If an Operating Advisor is engaged as a consultant or advisor to provide services to AEFS or an Investment, or as an officer or member of the board of directors or management of an Investment, AEFS and/or the applicable Investment will pay for and bear the costs of services at rates determined in good faith by the Investment Manager, the AIFM or the management of an Investment, as applicable. In certain cases, the amount payable by AEFS or Ares Management may be offset by the amount paid by an Investment, or alternatively AEFS or Ares Management may backstop an amount to be received by the Operating Advisor that is not otherwise paid by an Investment. None of the compensation received by such persons, whether in the form of cash or equity, will reduce the Management Fee payable to the Investment Manager or the AIFM, as applicable, by AEFS, even if such compensation has the effect of reducing any retainers or minimum amounts otherwise payable to such Operating Advisor by Ares Management. The nature of the relationship with each of the Operating Advisors, and the amount of time devoted or required to be devoted by them varies considerably. In certain cases, they provide the AIFM and/or the Investment Manager with industry-specific insights and feedback on investment themes, assist in transaction due diligence, make introductions to and provide reference checks on management teams. In other cases, they take on more extensive roles and serve as executives or directors on the boards or management of Investments or contribute to the origination of new investment opportunities. In certain instances, Ares Management has formal arrangements with these Operating Advisors (which may or may not be terminable upon notice by any party), and in other cases the relationships are more informal. They either are compensated (including pursuant to retainers and expense reimbursement) by Ares Management, AEFS, the Other Ares Funds and/or Investments or otherwise uncompensated unless and until an engagement with an investment develops. In certain cases, they have certain attributes of Ares Management “employees” (e.g. they may have dedicated offices at Ares Management, have an Ares Management email address, participate in general meetings and events for Ares Management Personnel, work on Ares Management matters as their primary or sole business activity) even though they are not considered Ares Management employees, affiliates or personnel for purposes of this Prospectus, Investment Management Agreement, AIFM Agreement and related Management Fee offset provisions (as applicable). There can be no assurance that any of the Operating Advisors will continue to serve in such roles and/or continue their arrangements with Ares Management, AEFS and/or any Investments throughout the term of AEFS. It is also possible that Operating Advisors will become future employees of Ares Management or its Portfolio Entities (at which time, they will cease to be considered Operating Advisors), and that employees of Ares Management or its Portfolio Entities will become Operating Advisors in the future. Furthermore, Operating Advisors may be provided other compensation and benefits from Ares Management, including opportunities to co-invest with AEFS or an Other Ares Fund in particular investments, rights to receive equity or other compensation from an investment (which, as noted above, would not offset the Management Fee) and opportunities to invest in AEFS and Other Ares Funds on advantageous terms (e.g. without paying management fee or carried interest) alongside Ares employees. In addition, certain individuals may also be engaged by AEFS or Ares Management as consultants to provide industry or other expertise on a deal by deal basis, and may have certain of the attributes of Operating Advisors described above but generally will not have ongoing relationships with Ares Management or AEFS.

Possession of Material Non-Public Information.

As noted above, the AIFM, the Investment Manager or any of their respective affiliates currently sponsor and advise a range of investment vehicles and expects to continue to develop their respective investment, advisory and related businesses. By reason of their responsibilities in connection with AEFS and other activities of Ares Management, certain employees of Ares Management and its affiliates may acquire material non-public information or other confidential information. With limited exceptions, Ares Management does not establish information barriers between its internal investment teams. Trading by Ares Management on the basis of such information, or improperly disclosing such information, may be restricted pursuant to applicable law and/or internal policies and procedures adopted by Ares Management to promote compliance with applicable law. Additional restrictions may also be placed on AEFS, the Investment Manager or the AIFM by a Portfolio Entity's insider trading policy. Such personnel may not be free to share such information with AEFS, AEFS may not be free to act upon any such information, and the possession of information by persons associated with Ares Management may preclude AEFS from engaging in transactions that it might otherwise have undertaken. In addition, Other Ares Funds may hold positions in securities or be subject to contractual, legal or regulatory restraints that could prevent AEFS from being able to initiate a transaction that it otherwise might have initiated or to sell an investment that it otherwise might have sold or, in the AIFM's or the Investment Manager's judgment, that may make such transactions inadvisable. The trading activities of Other Ares Funds may be inconsistent with the investment activities of AEFS. The AIFM and the Investment Manager may also from time to time be subject to contractual "stand-still" obligations and/or confidentiality obligations that may restrict its ability to trade in certain securities on behalf of AEFS. Furthermore, the AIFM and the Investment Manager may have or develop business relations through their other businesses, which the AIFM or the Investment Manager may consider in determining whether to undertake a transaction on behalf of AEFS, with the result that AEFS may not participate in certain transactions that it might otherwise have participated in.

In addition to the foregoing, each Shareholder acknowledges that, through its ownership of a Share in AEFS, it may acquire material non-public information or other confidential information about Ares Management Corporation, which is a publicly traded company. Receipt of such information may preclude the Shareholder from engaging in trading activities related to Ares Management Corporation in accordance with applicable law.

Counterparty and Service Provider Relationships.

Ares Management has, and intends to develop in the future, relationships with counterparties that hold (or have held) investments in Ares Management Corporation (or its subsidiaries). Such counterparties may act as lenders to AEFS and to Other Ares Funds and may also make investments in Other Ares Funds and/or AEFS, as well as investments that are similar to the investments intended to be made by Other Ares Funds and/or AEFS. These counterparties are expected to source (or may themselves represent) appropriate investment opportunities for AEFS and Other Ares Funds, may compete with AEFS and Other Ares Funds for investment opportunities and/or may be engaged as lenders or service providers by AEFS and Other Ares Funds. These relationships subject Ares Management (and thus the AIFM and the Investment Manager) to conflicts of interest because, although Ares Management believes its relationships with these counterparties are aligned with its operational strategies and may enhance investment performance, such relationships may result in an incentive for Ares Management, the AIFM and the Investment Manager to favor such counterparties (e.g. by engaging such entities as lenders or service providers to AEFS or Other Ares Funds or recommending investment opportunities to such counterparties that may otherwise be appropriate for AEFS and Other Ares Funds). Furthermore, if AEFS or one or more Other Ares Funds are competing with such counterparties for investment opportunities or if such entities jointly hold investments the Investment Manager will be presented with additional conflicts of interest. It is possible that Ares Management's relationships with such counterparties could require AEFS and/or Other Ares Funds to refrain from making all or a portion of any investment or a disposition in order for Ares Management to comply with its fiduciary duties, the Advisers Act or other applicable laws.

Ares has long-term relationships with a significant number of companies and their senior management. In determining whether to invest in a particular transaction on a Sub-Fund's behalf, Ares will consider such relationships (including any incentives or disincentives as part of such relationship) when evaluating an investment opportunity, and such relationships can be expected to influence Ares' decision to make or not make particular investments on a Sub-Fund's behalf. A Sub-Fund could also co-invest with investors of Ares or Other Ares Funds in particular investments, and the relationship with such parties could influence the decisions made by Ares with respect to such investments. Ares is under no obligation to decline any engagements or investments in order to make an investment opportunity available to a Sub-Fund (e.g., investments in a competitor of a client or other person with whom Ares has a relationship). A Sub-Fund could be required to sell or hold existing investments as a result of investment banking relationships or other relationships that Ares may have or

transactions or investments that Ares may make or has made. Therefore, there can be no assurance that all potentially suitable investment opportunities that come to the attention of Ares will be made available to a Sub-Fund. Any Sub-Fund may also co-invest with Other Ares Funds or other persons with whom Ares has a relationship in particular investment opportunities, and other aspects of these Ares relationships could influence the decisions made by Ares with respect to a Sub-Fund's investments and otherwise result in a conflict.

Principal Transactions; Borrowing.

To the extent permitted in the Articles and this Prospectus and by applicable law, Ares Management and its affiliates are permitted to engage in transactions with AEFS and the Portfolio Entities of its Sub-Funds for its own account, including, for example, where an Investment has been bridged or otherwise warehoused by Ares Management and its affiliates (including through borrowing by AEFS from Ares Management or its affiliates) prior to purchase by AEFS. Ares Management and its affiliates will retain income and may otherwise profit from such transactions. Ares Management will, to the extent required by applicable law, obtain the prior consent of AEFS for such transactions. Shareholders should note that the Articles and this Prospectus authorize the non-affiliated members of the Board of Directors to provide such consent on behalf of AEFS.

Cross-Transactions.

From time to time, the AIFM may seek to effect a purchase or sale of an Investment (a "cross-transaction") between AEFS and one or more Other Ares Funds (for example, where such investment is bridged by AEFS or an Other Ares Fund as permitted pursuant to the relevant limited partnership agreements). Such transactions generally will not require the consent of AEFS under applicable law and, accordingly, the AIFM may cause such transactions to be effected without such prior consent (including without the specific prior consent of the non-affiliated members of the Board of Directors).

Strategic Transactions.

Ares is a broad-based alternative investment management firm that from time to time engages in strategic transactions, including the acquisition of, or combination with, other businesses, including other investment management firms. In the event that Ares or its affiliates engage in such a transaction or otherwise engage in any actions or any other event occurs, and such transaction or event results in an "assignment" (for purposes of the Advisers Act) of the Management Agreement or any other applicable agreement, the AIFM or other relevant entity must seek the consent of AEFS under applicable law, the Investment Manager may seek the consent of the non-affiliated members of the Board of Directors (and not the Shareholders) under the terms of the Articles and this Prospectus. Since each of the Investment Manager and the AIFM may have a financial interest in the consummation of any such transaction that is different from the interests of AEFS or the Shareholders, the Investment Manager or the AIFM, as applicable, will likely have a conflict of interest in recommending that the non-affiliated members of the Board of Directors approve such transaction. Pursuant to the Articles and this Prospectus, the Investment Manager is under no obligation to seek approval from the Shareholders as to any such consent, and the Shareholders will not have the right to remove the Investment Manager or cause AEFS to terminate the Management Agreement, transfer their interests or otherwise exit AEFS, or exercise any other rights or remedies as a result of such "assignment", other than remedies that are set forth in the Articles and this Prospectus.

Management Fee, Administration Expense and Performance Participation Allocation.

The Management Fee and any administrative expense payable by AEFS (or a subsidiary) to the AIFM (or the Investment Manager, as applicable) and the Performance Participation Allocation that the Recipient, an affiliate of the AIFM, will receive have not been established on the basis of an arm's-length negotiation among AEFS, the Recipient and the AIFM (or the Investment Manager, as applicable). The Management Fee and any administrative expense are payable regardless of the performance of AEFS's Investments. In addition, the existence of the Performance Participation Allocation creates an incentive for the AIFM to approve and cause AEFS to make riskier or more speculative investments than it would otherwise make in the absence of such performance-based compensation. Moreover, the terms of the Performance Participation Allocation could give the AIFM (or the Investment Manager, as applicable) an incentive to make determinations regarding the timing and structure of realization transactions that are not applicable to the interests of the Shareholders. Further, to take advantage of long-term capital gains treatment for the Recipient and/or employees or other individuals associated with Ares and / or Ares Management, the AIFM (or the Investment Manager, as applicable) may be incentivized to hold investments for certain minimum holding periods which, if sold after a shorter period, might have yielded a greater profit for Shareholders.

Investors in Other Ares Funds may be permitted to invest in AEFS on preferred terms (such as reduced or eliminated management fees and/or carried interest), and the other Shareholders will not be permitted to receive such benefits. Interests held by Shareholders that pay a reduced management fee will generate a higher net profit and as a result the Investment Manager will receive more carried interest with respect to such Shareholders than other Shareholders without the reduced management fee.

Other Fees.

Ares Management, the Investment Manager, the Ares Management Personnel or any of their respective affiliates or the directors, officers or employees of the foregoing are expected to receive certain fees from Portfolio Entities in connection with the purchase, monitoring or disposition of Investments or in connection with unconsummated transactions (e.g. arrangement fees, origination fees, structuring fees, commitment fees, consent fees, amendment fees, consulting fees, directors' fees, agency fees and other and similar fees) ("**Other Fees**"). With respect to fees received by Ares Management relating to AEFS's Investments or from unconsummated transactions, Shareholders will not receive the benefit of any such fees paid by the relevant Portfolio Entities other than as set forth in the Articles and this Prospectus. In addition, Ares Management intends to seek expense reimbursement from such Portfolio Entities directly, and such payments would be subject to the reimbursement policies of such companies, and not AEFS's Articles and this Prospectus. Conflicts of interest will also arise due to the allocation of any Other Fees received by Ares Management to or among co-investors. To the extent the receipt by Ares Management of any such Other Fees results in an offset of the Management Fee as provided in the Articles and this Prospectus, such Other Fees will be allocated among AEFS, any Other Ares Funds, and co-investors (to the extent such co-investors bear a management fee) participating (or intending to participate) in such Investment. The amount of such Other Fees allocable such Other Ares Funds and/or co-investors will not result in an offset of the Management Fee payable by AEFS, even if the Other Ares Funds and/or co-investors provide for lower or no management fees, and in some cases may be retained by Ares Management pursuant to the terms of such vehicles. Furthermore, as the Investment Manager and its related parties do not pay Management Fees, the amount of any such Other Fees attributable to the Investment Manager's or its related parties' investment in AEFS (i.e., relating to the Investment Manager's or its related parties' Subscription) will not result in any offset to the Management Fee. If any fees are paid to Ares Management in connection with a transaction that is not ultimately consummated, co-investors will generally not be allocated any share of such fees; similarly, such co-investors generally do not bear their share of Fund Broken Deal Expenses (such as reverse termination fees, extraordinary expenses such as litigation costs and judgments and other expenses) for unconsummated transactions, and such costs and expenses will generally be borne by AEFS and any Other Ares Funds. Certain transaction fees, such as agency fees, available to Ares Management in connection with certain transactions or Investments may not offset the management fee of this Fund or Other Ares Funds. The fee potential inherent in a particular Investment or transaction could be viewed as an incentive for Ares Management to seek to refer or recommend an Investment or transaction to AEFS.

The Investment Manager may have the right to appoint Portfolio Entity board members (including current or former Ares personnel or persons serving at their request), or to influence their appointment, and to determine or influence the determination of their compensation. Additionally, from time to time, Portfolio Entity board members may approve compensation and other amounts payable to the Investment Manager and/or any of their respective affiliates in connection with services provided by the Investment Manager and any of their respective affiliates to such Portfolio Entity, and, except if such amounts are subject to the Articles and this Prospectus' offset provisions, are in addition to the Management Fee and carried interest discussed herein. The Investment Manager's authority to appoint or influence the appointment of Portfolio Entity board members who may be involved in approving compensation payable to the Investment Manager and/or any of its respective affiliates subjects the Investment Manager and any such Portfolio Entity board appointees to potential conflicts of interest.

Allocation of Fees and Expenses.

The AIFM expects to be faced with a variety of conflicts of interest when it determines allocations of various fees and expenses to AEFS, including the allocation of fees and expenses that relate to AEFS as well as to Other Ares Funds. The AIFM, in its discretion, will allocate fees and expenses to AEFS in accordance with the Articles and this Prospectus and in a manner that it believes in good faith is fair and equitable to AEFS under the circumstances and considering such factors as it deems relevant. The allocations of such expenses may not be proportional, and any such determinations involve inherent matters of discretion, e.g. in determining whether to allocate pro rata based on number of funds or co-investors receiving related benefits or proportionately in accordance with asset size or invested or committed capital. Additionally, the AIFM, the Investment Manager or an affiliate may be entitled to reimbursement of expenses from a Portfolio Entity, and such expenses may be expenses that the AIFM

or the Investment Manager would otherwise be required to bear directly under the Articles and this Prospectus and would not be reimbursable by AEFS.

To the extent that any Other Ares Fund or any other entity or individual co-invests alongside AEFS in any Portfolio Entity, any transaction fees will generally be allocated among AEFS and the co-investors in proportion to the cost of the Investment or potential investment in the relevant Portfolio Entity held (or committed to be held) by each. Accordingly, AEFS will, in most cases, only benefit from the management fee reduction described in the Articles and this Prospectus, with respect to its allocable portion of any such transaction fee and not the portion of any fee allocable to any other investor in a Portfolio Entity, which may be retained by the Investment Manager or an affiliate.

Possible Relationships with Obligors.

In relation to certain Sub-Funds, Ares and its affiliates may serve in various capacities, receive fees or be a secured or unsecured creditor of obligors of Underlying Issuers in which AEFS invests or will invest. AEFS will not share in any such fees. Ares and its affiliates may have ongoing relationships with, render services to, and engage in transactions with, and may own debt or equity securities issued by, obligors of Underlying Issuers in which AEFS and/or the relevant Sub-Funds invest or will invest. The interests of such parties may be different than, and may conflict with, the interests of AEFS and/or the relevant Sub-Funds.

Diverse Investors.

The Shareholders are expected to include taxable and tax-exempt entities, persons, or entities organized in various jurisdictions and subject to different tax and regulatory regimes. The Shareholders will thus have conflicting investment, tax and other interests with respect to their Fund investments. The conflicting interests of individual Shareholders may relate to or arise from, among other things, the nature of AEFS's Investments, the structuring or the acquisition of Investments and the timing of disposition of AEFS's Investments. As a consequence, conflicts of interests will arise in connection with decisions made by the Board of Directors, the AIFM or the Investment Manager, including with respect to the nature or structuring of Investments, that will be more beneficial for one investor than for another investor or more beneficial for the AIFM, the Investment Manager. For example, certain Operating Expenses, such as the Management Fee, may not be borne proportionately by all Shareholders.

The results of AEFS's activities may affect individual Shareholders differently, depending upon their individual financial and tax situations because, for instance, of the timing of a cash distribution or of an event of realization of gain or loss and its characterization as long-term or short-term gain or loss. In addition, AEFS may make Investments that have a negative impact on related investments made by the Shareholders in separate transactions. In selecting and structuring investments appropriate for AEFS, the Investment Manager and the AIFM will consider the investment and tax objectives of AEFS and the Shareholders as a whole, and not the investment, tax or other objectives of any Shareholder individually. However, there can be no assurance that a result will not be more advantageous to some Shareholders than to others or to the AIFM, the Investment Manager and/or its affiliates than to a particular Shareholder.

Broker-Dealer and Related Activities

Affiliates and other related entities of Ares, including, without limitation, Ares Management Capital Markets LLC ("AMCM"), a wholly owned subsidiary of Ares and a broker and dealer currently registered with the SEC and a member of FINRA, (such Ares' affiliates and related entities, collectively, the "**Ares Service Providers**"), currently provide and/or expect to continue providing capital markets services to Ares, its affiliates, AEFS, Other Ares Funds, portfolio companies of Other Ares Funds and AEFS, and third parties, including, without limitation: (i) underwriting firm commitment and best efforts offerings of securities, (ii) the resale of securities under Rule 144A under the Securities Act; (iii) private placements of securities and non-security instruments; (iv) broker dealer services in connection with selling corporate debt securities; (v) marketing registered and private funds; and (vi) providing a variety of services with respect to both security and non-security financial instruments, including loans, such as originating, arranging, and syndicating loans on a best efforts or fully committed basis, including subscription or asset based credit facilities for AEFS and Other Ares Funds, as well as providing advisory services, including advice on capital structuring, security selection, access to markets, pricing and other similar services (together, the "**Services**").

To the extent allowable under this Prospectus and subject to any approvals required thereunder, AEFS may pay Ares Service Providers for the Services. While it is Ares' expectation and belief that such fees, commissions and other compensation will be reasonable and generally will be charged at market rates for the relevant activities,

such compensation may not in each case be negotiated at arm's length and may be in excess of fees, commissions or other compensation that would be charged by an unaffiliated third party. Ares will have a conflict in negotiating the overall terms of such a transaction that includes fees for Ares Service Providers and, unless required under the Prospectus, will have no obligation to present such conflicts to, or obtain approval from, the Shareholders or the non-affiliated members of the Board of Directors or to obtain third-party estimates or quotations prior to the performance of such Services. The fee potential inherent in a particular investment or transaction could be viewed as an incentive for Ares to seek to refer, allocate or recommend an investment or transaction to a Sub-Fund. Subject to the Prospectus, AEFS and its Sub-Funds generally will not have the right to share in, or receive a management fee or performance-based fee offset for, any compensation received by Ares Service Providers. Ares may be seen as incentivized to seek to influence the decision of AEFS, its Sub-Funds or their portfolio companies to retain Ares Service Providers, instead of an unaffiliated broker-dealer or other service provider that may be more qualified to provide the applicable services or provide such services at a lower cost. Further, Ares could also be seen as incentivized to structure portfolio company transactions, so that they require the use of a broker-dealer or similar service provider and consequently provide an opportunity for Ares Service Providers to be retained by such portfolio company to generate additional fees for Ares.

Ares Service Providers may, as a consequence of such activities, hold positions in instruments and securities issued by the issuers of the relevant Sub-Fund's or Other Ares Fund's portfolio companies, enter into obligations to acquire such instruments or securities, and engage in transactions that could also be appropriate investments for such Sub-Fund. A Sub-Fund could be prevented from participating in an investment as a result of the Ares Service Providers participating in such underwriting or financing transactions. Where an Ares Service Provider serves as an underwriter with respect to an issuer's securities, a Sub-Fund could be subject to a "lock-up" period following the offering under applicable regulations or agreements during which time its ability to sell any securities that it continues to hold is restricted. This would prejudice a Sub-Fund's ability to dispose of such securities at an opportune time.

Ares Service Providers may also provide capital markets services to third parties that are not portfolio companies, including third parties that are competitors of Ares or one or more of its affiliates or portfolio companies of the a Sub-Fund or an Other Ares Fund. The provision of these services presents additional conflicts of interest. For example, in the event that an Ares Service Provider provides services to third parties, it may not take into consideration the interests of the relevant Sub-Fund or its portfolio companies. An Ares Service Provider also could come into possession of information that it is prohibited from acting on (including on behalf of AEFS) or disclosing to Ares and its sponsored funds as a result of applicable confidentiality requirements or applicable law, even though such action or disclosure would be in the best interest of a Sub-Fund or its portfolio companies.

As Ares' business continues to evolve and expand. It, it is possible that Ares Service Providers would also earn fees for engaging in other transactions that relate to a Sub-Fund or its investments.

Counsel Does not Represent Shareholders.

Each of Simpson Thacher & Bartlett LLP and Elvinger Hoss Prussen (the "**Law Firms**") represents the Investment Manager solely with respect to the specific matters as to which it has been retained and consulted by the Investment Manager, including certain matters with respect to AEFS. Other matters may exist that could have a bearing on AEFS, its Investments and Portfolio Entities, the Investment Manager and/or its affiliates as to which the applicable Law Firm has been neither retained nor consulted. The Law Firms do not undertake to monitor compliance by the AIFM and its affiliates with the investment program and other investment guidelines and procedures set forth in the Articles and this Prospectus, nor do the Law Firms monitor compliance by AEFS, the Investment Manager, the AIFM and/or their affiliates with applicable laws, unless in each case the Law Firms have been specifically retained to do so. The Law Firms do not investigate or verify the accuracy and completeness of information set forth in this Prospectus concerning AEFS, the Investment Manager, the AIFM or any of their respective affiliates, personnel, investments or Portfolio Entities.

Furthermore, the Law Firms are not providing any advice, representation, warranty or other assurance of any kind as to any matter to any Shareholder, and Shareholders will be required to authorize and agree in the subscription materials as to the Law Firms' representation. Any Shareholder or prospective investor in AEFS will, if it desires, retain its own independent legal counsel with respect to acquiring Shares.

Distribution of AEFS.

The Global Distributor, will manage the global distribution of this offering and may appoint one or more sub-distributors, who may be affiliates of the Global Distributor and/or the Investment Manager, to assist it in

performing this function. The AIFM may also engage other non-affiliates to serve as sub-distributor of AEFS. Any such placement agents may be compensated through Servicing Fees in accordance with the terms of this Prospectus.

Form ADV.

Prospective investors are urged to consult the Ares Form ADV for additional conflicts disclosures.

XVII. DIRECTORY

AEFS SICAV

Ares European Fund Solutions SICAV
Société d'investissement à capital variable
2-4, rue Eugène Ruppert
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B279862

BOARD OF DIRECTORS

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Michael Thomas
Mark Serocold
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Virginie Lagrange

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AUDITOR

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CityPoint
One Ropemaker Street
London EC2Y 9HU
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TAX ADVISORS

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2 New Street Square
London, EC4A 3BZ
England

Inquiries or requests in relation to subscriptions in AEFS should be directed to:

Bank of New York Mellon SA/NV

Attn: AIS Transfer Agency Team

2-4 Rue Eugene Ruppert

L-2453, Luxembourg

Grand Duchy of Luxembourg

Email:

For Dealing Queries - aresbnymluxta@bnymellon.com

For New Account Opening Requests and Trade Instructions - AECSF.LuxDealing@bnymellon.com

Phone: +352 2452 4363

Ares Management Luxembourg has established procedures and arrangements for dealing with complaints submitted by Retail Investors. Investors may file complaints in English, the official language, or one of the official languages of their Member State. The details of the applicable complaint handling procedures will be made available to investors free of charge at the registered office of the AIFM and on the Ares Management Website in the section “*Luxembourg Complaints Handling Policy*”: <https://www.aresmgmt.com/legal-disclosures>. For more information on AEFS or for any complaint in relation to the operations of AEFS, inquiries may also be directed to:

Ares Management Luxembourg

Attention: Conducting Officer – Compliance

14, Avenue Pasteur

L-2310 Luxembourg

Email: complaints-lux@aresmgmt.com

Phone: +352 28 55 72 200

APPENDIX A

SUB-FUNDS TERMS

The following information under this Appendix A: “Sub-Funds Terms” is presented as a summary of the each Sub-Fund's key features and terms, and is qualified in its entirety by the terms of the Documents. The terms in each Annex are only applicable to the relevant Sub-Fund and should be read together with the terms set out in the Prospectus and the Documents. In case of conflict between the terms of the Prospectus and any of the Annexes the terms of the Annex shall prevail.

Unless otherwise defined therein in respect of a Sub-Fund, capitalized terms used under the relevant Annex shall have the meanings ascribed to them under Section XV: “Definitions” of the General Section of this Prospectus.

ANNEX 1

ARES EUROPEAN STRATEGIC INCOME FUND

Ares European Strategic Income Fund (the “**AESIF Fund**” and together with the Parallel Entities (as defined below), “**AESIF**”) is a Sub-Fund of AEFS SICAV.

I. DESCRIPTION / OVERVIEW OF AESIF AND AESIF FUND

Ares European Strategic Income Fund Overview

AESIF seeks to primarily self-originate investments and provide capital to UK and European mid-market companies with a target EBITDA of at least €10 million. AESIF’s primary focus will be investing in senior secured loans with an emphasis on capital preservation and low return volatility with a dynamic exposure to a broad range of other private credit investments as detailed further herein. A majority of loans originated by AESIF or otherwise acquired by AESIF, are expected to have a term of 6-7 years, and may either be amortizing or interest-bearing only. The loans may be either fixed rate or floating rate. The Investment Manager will aim to originate or acquire loans with a senior secured focus secured by pledged assets and the borrowers’ companies cashflow generation. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AESIF may also invest in debt and other instruments, including cash and cash equivalents, publicly traded syndicated leveraged loans, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives (the “**Debt and Other Instruments**”).

AESIF Fund will invest through a subsidiary established as a Luxembourg special limited partnership (*société en commandite spéciale*) for the purpose of indirectly holding the Investments of AESIF (the “**AESIF Aggregator**”). Please refer to Subsection: “Structure of Investments” in Section III: “*Investment Information*” of this Annex.

AESIF Fund operates on the principle of a prudent spread of risk, including in terms of its investment objectives and policy. AESIF Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*” of the General Section of the Prospectus and Section X: “*Risk Factors and Other Considerations*” of this Annex for additional details on the risks associated with an investment in AESIF Fund.

Investment Strategy of AESIF²

Direct Lending Deal Structures

AESIF has a flexible mandate allowing it to invest across the capital structure, with a focus on first lien alongside the ability to invest in second lien and subordinated debt, as well as, to a lesser extent, equity co-investments, and in a number of geographies across Europe. Such investments across the capital structure can be made by AESIF either as single lender or together with a small group of other credit investment firms (“*club deals*”). With this flexible mandate, the Investment Manager believes that it can respond to changing market conditions and dynamically allocate capital and resources to pursue the most attractive risk-adjusted investment opportunities within the capital structure and across its target geographies. This ability to react to cyclical or market changes, the Investment Manager believes, can result in attractive risk-adjusted returns across economic cycles. In addition, this relatively broad mandate allows the Investment Team to source more investment opportunities and, the Investment Manager believes, often affords the Investment Team a key differentiation versus its peers, several of which have funds with narrower investment guidelines.

It is also worth noting that all the senior secured assets are floating rate and, as such, the AESIF portfolio can expect to see a direct benefit from central bank base rate increases, as long as the base rate, and any appropriate credit adjustment spread, exceeds the floor in each portfolio company.

² AESIF Fund’s investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period).

Please refer to Section III: “*Investment Information*” of this Annex for more information on AESIF’s investment strategy.

Investment Program – Debt and Other Instruments Sleeve

The Debt and Other Instruments sleeve will consist primarily of syndicated loans and high-yield bonds issued by obligors and issuers domiciled or located in, and primarily operating in Europe. However, the Investment Manager may also opportunistically make investments in Debt and Other Instruments, including money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives. The portfolio of Debt and Other Instruments sleeve is expected to primarily consist of Euro-denominated assets; however, investments denominated in other currencies may also be held and the portfolio will seek to hedge any non-Euro denominated currency exposure to Euro.

In constructing the Debt and Other Instruments sleeve, the Investment Manager will employ a flexible strategy that seeks to capitalize on relative value opportunities within the below investment-grade corporate universe through disciplined credit selection and active, tactical asset rotation. The portfolio is designed to deliver investors an attractive current yield while taking advantage of shifts in relative value to generate capital appreciation potential while also focusing on capital preservation³.

The portfolio will be positioned with a defensive posture, with a strong focus on first lien senior secured structures and the less cyclical parts of the market in order to limit downside volatility⁴. Consistent with the overall Ares investment philosophy, the portfolio will seek to also employ a fundamental, bottom-up, research-intensive approach to individual credit selection and sources ideas from research analysts, portfolio managers and traders that focus on the credit markets.

The primary source of return in syndicated loans and high-yield bonds will be interest income while a secondary source of return will be capital appreciation. Regardless of asset category, the Investment Manager seeks to generate an attractive level of total return outperformance predominantly through credit selection by taking advantage of mispricings and/or capturing market inefficiencies. Relative to equities and partially attributable to trading on an OTC platform, below investment-grade credit markets are less efficient with respect to reflecting all available information. As such, the investment teams closely monitor investments and industries for developments to obtain what we believe is differentiated information and subsequently quickly communicate any changes in their credit opinions or investment recommendations to portfolio managers.

Investment Objectives

Across its Investments, AESIF will seek to capitalize on Ares’ scale and reputation in the market as an experienced financing partner to originate and execute investments, and generate attractive risk adjusted returns. AESIF will aim to meet its investment objectives by seeking to:

- lend predominantly to sponsor-backed companies who are active equity owners with growth and operational plans;
- actively monitor the portfolio via established reporting tools, information rights and board director or observer seats (where applicable) that are designed to proactively manage potential credit events quickly; and
- develop a close and influential relationship with the senior management of each portfolio entity as well as sponsor teams.

³ References to “downside protection” or similar language are not guarantees against loss of investment capital or value.

⁴ References to “downside protection” or similar language are not guarantees against loss of investment capital or value.

II. SUMMARY OF TERMS

Ares European Strategic Income Fund	
AEFS Structure:	AEFS SICAV is a multi-compartment Luxembourg investment company with variable capital (<i>société d'investissement à capital variable</i>). AEFS SICAV has an umbrella structure consisting of one or more Sub-Funds.
AESIF Fund:	AESIF Fund is an open-ended, commingled Sub-Fund of AEFS SICAV.
AIFM:	Ares Management Luxembourg.
Investment Manager:	Ares Management Limited.
Distributions:	The Board of Directors (or its delegate) may declare distributions from time to time. Distributions in relation to Distribution Sub-Class Shares are expected on a monthly basis. AESIF Fund cannot guarantee that it will make distributions, and any distributions will be made at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class.
Investment Objective and Strategy:	AESIF seeks to primarily self-originate investments and provide debt capital to European mid-market companies with a target EBITDA of €10 million +. AESIF's primary focus will be investing in senior secured loans with an emphasis on capital preservation and low return volatility with a dynamic exposure to a broad range of other private credit investments as detailed further herein. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AESIF may also invest in Debt and Other Instruments, including cash and cash equivalents, publicly traded syndicated leveraged loans, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives. AESIF Fund will invest through the AESIF Aggregator. The direct and indirect investments of AESIF are described in Section III: "Investment Information" of this Annex. AESIF Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: "<i>Risk Factors, Potential Conflicts of Interest and Other Considerations</i>" of the General Section of the Prospectus and Section X: "<i>Risk Factors and Other Considerations</i>" of this Annex for additional details on the risks associated with an investment in AESIF.
Leverage:	AESIF Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio (as defined below) to be in excess of 70%. AESIF Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. The AIFM has established a maximum level of leverage for AESIF Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of AESIF Fund of 500% and 175%, respectively. Please refer to Section III: "Investment Information—Leverage" and Section IX: "<i>Regulatory Considerations—AIFM Directive Leverage</i>" of this Annex for further details.

Share Classes:	The following Classes of Shares are open to Shareholders in AESIF Fund: <table border="1" data-bbox="732 188 1227 904"> <thead> <tr> <th>Class</th><th>Type of Share</th></tr> </thead> <tbody> <tr><td>A_A</td><td>Accumulation</td></tr> <tr><td>A_D</td><td>Distribution</td></tr> <tr><td>A_A-Italy</td><td>Accumulation</td></tr> <tr><td>A_D-Italy</td><td>Distribution</td></tr> <tr><td>B_A</td><td>Accumulation</td></tr> <tr><td>B_D</td><td>Distribution</td></tr> <tr><td>C_A</td><td>Accumulation</td></tr> <tr><td>C_D</td><td>Distribution</td></tr> <tr><td>D_A</td><td>Accumulation</td></tr> <tr><td>D_D</td><td>Distribution</td></tr> <tr><td>E_A</td><td>Accumulation</td></tr> <tr><td>E_D</td><td>Distribution</td></tr> <tr><td>I_A</td><td>Accumulation</td></tr> <tr><td>I_D</td><td>Distribution</td></tr> </tbody> </table> The Board of Directors (or its delegate) may, at any time, create additional Classes of Shares whose features (including, but not limited to, fees and currencies) may differ from the existing Classes of Shares. The complete list of available Classes of Shares may be made available online at the AESIF Fund's website and will be made available at the registered office of AEFS SICAV. Please refer to Section IV: “<i>Share Class Information</i>” of this Annex for additional details on the Classes of Shares offered by AESIF Fund.	Class	Type of Share	A _A	Accumulation	A _D	Distribution	A _A -Italy	Accumulation	A _D -Italy	Distribution	B _A	Accumulation	B _D	Distribution	C _A	Accumulation	C _D	Distribution	D _A	Accumulation	D _D	Distribution	E _A	Accumulation	E _D	Distribution	I _A	Accumulation	I _D	Distribution
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D _D	Distribution																														
E _A	Accumulation																														
E _D	Distribution																														
I _A	Accumulation																														
I _D	Distribution																														
Minimum Subscription:	The Minimum Subscription Amount for each Class of Shares will be as follows: <table border="1" data-bbox="572 1312 1386 1906"> <thead> <tr> <th>Class of Shares</th><th>Minimum Subscription Amount</th></tr> </thead> <tbody> <tr> <td>Class A Shares, Class A-Italy Shares, Class D Shares, Class E Shares and Class I Shares</td><td>€25,000 for the Euro denominated Classes of Shares, and \$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> <tr> <td>Class B Shares and Class C Shares</td><td>€250,000,000 for the Euro denominated Classes of Shares, and \$250,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> </tbody> </table>	Class of Shares	Minimum Subscription Amount	Class A Shares, Class A-Italy Shares, Class D Shares, Class E Shares and Class I Shares	€25,000 for the Euro denominated Classes of Shares, and \$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	Class B Shares and Class C Shares	€250,000,000 for the Euro denominated Classes of Shares, and \$250,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)																								
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Subscriptions:	In respect of each new Class of Shares, up to the date as may be decided by the Board of Directors (or its delegate) in its discretion (the “Initial Subscription Period”), the subscription price for Shares will be a fixed price																														

	as determined by the Board of Directors (or its delegate) in its sole discretion <i>plus</i> applicable Subscription Fees. After the end of the Initial Subscription Period, subscriptions for Shares of AESIF Fund will be accepted as of the first calendar day of each month. Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date <i>plus</i> applicable Subscription Fees. A prospective Shareholder must notify AESIF Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least five (5) Business Days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). Subscription price amounts (whether in cash or in kind, as applicable) must be received at least three (3) Business Days prior to the relevant Subscription Date. No interest will be paid on any payments received prior to this deadline. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions — Subscriptions in AESIF Fund</i>” of this Annex for additional details on AESIF Fund’s subscription procedures.						
Redemptions:	- Redemptions are expected to be offered each calendar month at the NAV per Share calculated as of the last calendar day of the relevant month. - A Shareholder may request to have some or all of its Shares redeemed by AESIF Fund as of the last calendar day of each calendar month by submitting a Redemption Request. - Shares held for less than eighteen (18) months will be subject to an Early Redemption Deduction as set out below: <table border="1"> <thead> <tr> <th>Class of Shares</th><th>Early Redemption Deduction</th></tr> </thead> <tbody> <tr> <td>Class A Shares, Class A-Italy Shares, Class B Shares, Class C Shares and Class I Shares</td><td>5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)</td></tr> <tr> <td>Class D Shares and Class E Shares</td><td>0%</td></tr> </tbody> </table> - Redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of 5% of the NAV of the relevant Class of Shares being redeemed (calculated as of the relevant Redemption Date) if such redemption occurs within the first 18 months of the relevant Shareholder’s initial subscription to such Class D Shares or Class E Shares, as applicable, as determined by the Investment Manager in its sole discretion from time to time. To the extent applicable, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager. - The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AESIF, including redemptions in all Parallel Entities and the AESIF Aggregator, but excluding any Early Redemption Deduction and/or any Redemption Fee applicable to the redeemed Shares) is generally limited to 2% of aggregate NAV per calendar month of all Parallel Entities and the AESIF Aggregator (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter) and 5% of such aggregate NAV per calendar quarter (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter), except in the exceptional circumstances set out in this Annex. In any given calendar quarter, excess redemption capacity under the 2% monthly limitation described in the foregoing will be rolled into the subsequent month of such	Class of Shares	Early Redemption Deduction	Class A Shares, Class A-Italy Shares, Class B Shares, Class C Shares and Class I Shares	5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)	Class D Shares and Class E Shares	0%
Class of Shares	Early Redemption Deduction						
Class A Shares, Class A-Italy Shares, Class B Shares, Class C Shares and Class I Shares	5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)						
Class D Shares and Class E Shares	0%						

	calendar quarter and be available for further redemptions in such calendar quarter only. For the avoidance of doubt, both of these limits are assessed during each month in a calendar quarter and are based on net redemptions (as defined below) during a month or quarter, as applicable, unless otherwise notified to Shareholders pursuant to this Annex. • Redemption Requests (as defined below) must be provided by 5 p.m. Central European Time on the first Business Day of the calendar month in which the Redemption Date falls (the “Redemption Cut-Off Time”). • Settlements of Share redemptions are generally expected to be within two (2) Business Days after the relevant NAV Release Date. • Redemption Requests may be rejected in whole or in part by the Investment Manager in exceptional circumstances and not on a systematic basis and Redemption Requests may be suspended when deemed to be in the best interests of AESIF Fund. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions —Redemption of Shares</i>” of this Annex for additional details on AESIF Fund’s redemption procedures.
NAV Calculation and NAV Release Date:	AESIF Fund’s monthly NAV as of the last calendar day of each month (each, a “Valuation Date”) will generally be available by the 15th Business Day of the following month (e.g., the NAV for October 31st will generally be available around November 21st) (the “NAV Release Date”).
Management Fees:	In consideration for its services with respect to AESIF Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a Management Fee equal to, for each Class of Shares, up to 1.25% of the NAV of each Class of Shares (except for Class E Shares) per annum. The AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time. Please refer to Section VII: “<i>Fees and Expenses of AESIF—Management Fee</i>” of this Annex for further details.
AIFM Fees:	Onboarding AIFM Fee: EUR 70,000. After approval of the programme of operations: Up to EUR 140,000 per annum, payable monthly. Please refer to Section VII: “<i>Fees and Expenses of AESIF—AIFM Fee</i>” of this Annex for further details.
Performance Participation Allocation:	The Recipient is allocated a Performance Participation Allocation (except for Class E Shares) which consists of two components as follows: (i) the first is based on income, 12.5% of Pre-Performance Participation Allocation Net Investment Income Returns, subject to a 5% hurdle with a catch-up; and (ii) the second is based on realized capital gains, 12.5% of cumulative realized capital gains from inception through to the end of the relevant calendar year, calculated net of all realized capital losses and unrealized capital depreciation on a cumulative basis, less the aggregate amount of any previously paid performance participation allocation on capital gains. The Recipient may waive all or any part of the Performance Participation Allocation in its discretion from time to time. Please refer to Section VII: “<i>Fees and Expenses of AESIF—Performance Participation Allocation</i>” of this Annex for further details.
Portfolio Allocation Targets:	Under normal circumstances, AESIF will target an allocation of approximately 70 to 80% of the gross asset value of its investments primarily

	in illiquid flexible and scaled debt capital to mid-market and large-cap companies. During normal market conditions, AESIF will also target an allocation of approximately 20 to 30% of the gross asset value of its investments in Debt and Other Instruments, including cash and cash equivalents, publicly traded syndicated leveraged loans, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives, in order to facilitate capital deployment, generate income and as an additional potential source of liquidity. AESIF shall not at any one time invest more than 13% of its NAV in Underlying Issuers which are not European Obligors. Please refer to Section III: “<i>Investment Information</i>” for further details regarding the AESIF portfolio.								
Ramp-Up Period:	The portfolio allocation targets, investment restrictions and leverage limits will not apply during a ramp-up period of up to four (4) years after the end of the Initial Subscription Period (the “ Ramp-Up Period ”).								
Subscription Fee:	Certain distributors or other financial intermediaries through which a Shareholder was placed in AESIF Fund may charge such Shareholder upfront Subscription Fees on Shares sold in the offering. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.								
Servicing Fee:	Servicing Fees payable in respect of each Class of Shares will be as follows: <table border="1"> <thead> <tr> <th>Class of Shares</th><th>Servicing Fee</th></tr> </thead> <tbody> <tr> <td>Class A Shares and Class A-Italy</td><td>Up to 0.75% on NAV per annum.</td></tr> <tr> <td>Class B Shares</td><td>Up to 0.50% on NAV per annum.</td></tr> <tr> <td>Class C Shares, Class D Shares, Class E Shares and Class I Shares</td><td>0.00% on NAV per annum.</td></tr> </tbody> </table>	Class of Shares	Servicing Fee	Class A Shares and Class A-Italy	Up to 0.75% on NAV per annum.	Class B Shares	Up to 0.50% on NAV per annum.	Class C Shares, Class D Shares, Class E Shares and Class I Shares	0.00% on NAV per annum.
Class of Shares	Servicing Fee								
Class A Shares and Class A-Italy	Up to 0.75% on NAV per annum.								
Class B Shares	Up to 0.50% on NAV per annum.								
Class C Shares, Class D Shares, Class E Shares and Class I Shares	0.00% on NAV per annum.								
Term:	Indefinite.								
SFDR:	AESIF Fund is compliant with Article 8 under SFDR, and as an Article 8 fund promotes, among other characteristics, environmental or social characteristics, or a combination of those characteristics in the companies in which it invests in, but does not have as its objective Sustainable Investments within the meaning of SFDR. Investments made for the purposes of liquidity are not subject to AESIF Fund’s SFDR-related commitments. The primary purpose of such investments is liquidity management and the AIFM makes such investments in its discretion without regard to the AESIF Fund’s commitments for the purposes of SFDR. Consequently, investments made for the purposes of liquidity do not form part of AESIF Fund’s asset allocation for the purposes of these disclosures and in no way should any of the commitments or other statements made in this Schedule be considered to relate to investments made for liquidity purposes. Further information with respect to the environmental and social characteristics that are promoted by AESIF Fund can be found in the pre-contractual disclosures for Article 8 financial products, included at Schedule 1: “Sustainability-Related Disclosures” to this Annex 1: “Ares European Strategic Income Fund”.								

Tolerance Threshold in case of NAV Calculation Errors:	The tolerance threshold in case of NAV calculation errors applicable to AESIF Fund under CSSF Circular 24/856 is 5%.
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III. INVESTMENT INFORMATION

Information on AESIF Investments

The investment information set out below describes the direct and indirect Investments of AESIF Fund held through the AESIF Aggregator.

Under normal circumstances, AESIF will target an allocation of approximately 70 to 80% of its total assets in directly originated loans which can be issued across the capital structure (with a bias towards first and second lien loans), and other illiquid alternative credit investments. During normal market conditions, AESIF will also target an allocation of approximately 20 to 30% of its total assets in Debt and Other Instruments in order to facilitate capital deployment, generate income and as an additional potential source of liquidity. Notwithstanding the preceding sentence, AESIF's investment in collateralized debt obligations, collateralized loan obligations, asset-backed securities, mortgage-backed securities and other securitized products are not intended to exceed 13% of its NAV, but may exceed this limit from time to time and on a temporary basis.⁵

Each AESIF's investment, whether held directly or through one or more Intermediate Vehicle or Other Ares Fund, is referred to as an **"Investment"**. For the avoidance of doubt, in applying and interpreting the terms of this Annex, the Investment Manager may, in its sole discretion, determine that Investments do not include Intermediate Vehicles, as the context may require.

The investments in which AESIF expects to invest directly or indirectly (including, for the avoidance of doubt, through any Other Ares Funds) include:

- Bank Loans.

Bank Loans are assignments and/or participations in corporate loans to non-investment-grade borrowers. Typically, each credit facility giving rise to a borrower's loan is secured by a lien on the borrower's assets. Terms generally provide for cash interest payments, based on an interest rate that typically adjusts every one to three months, but may include payment-in-kind terms. These investments may be acquired during the primary offering process and may also be purchased in the secondary market as private instruments. The Investment Manager expects that borrowers typically will have multiple institutional lenders that they will trade with while the borrower is performing at expectation. The senior credit facilities of these borrowers typically aggregate \$100 million or more and can be substantially larger in many cases.

- First lien loans.

These loans generally form the most senior layer of a borrower's capital structure and benefit from a first priority lien on the borrower's assets as well as senior ranking in repayment priority. In some cases, these instruments contain maintenance and/or incurrence covenants, which require the borrower to maintain a base level of performance or limit their ability to incur additional debt. Owing to their priority of claim, collateral support, and structure, first lien loans tend to experience superior recoveries in a bankruptcy.

- Second lien loans.

These loans generally form a transitional layer between first lien secured debt and mezzanine loans and unsecured debt, and are typically secured by a second priority claim on a borrower's assets. In addition, such loans benefit from a senior ranking in repayment priority and may enjoy the same or similar covenant protections as first lien loans. Yields tend to reflect a premium to first lien loans and these instruments may experience some protection with respect to recoveries in a bankruptcy as compared to unsecured debt due to the collateral securing the loan.

- Mezzanine loans.

These loans generally form a transitional layer between secured debt and unsecured debt, and may be secured by a second (or where there is a second lien loan, third) priority claim on a borrower's assets. Due to the greater risk associated with such loans as a result of their subordination below senior debt of the borrower, mezzanine lenders may be granted share options or warrants in the borrower which can be

⁵ AESIF Fund's investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-up Period).

exercised in certain circumstances, principally being immediately prior to the borrower's shares being sold or floated in an initial public offering. Some mezzanine obligations may provide that all or a portion of the interest payable thereon will not be paid on a current basis but will defer or be paid on a "payment-in-kind basis." Yields tend to reflect a premium to first lien loans and second lien loans, and these instruments may experience some protection with respect to recoveries in a bankruptcy (as compared to unsecured debt) due to the collateral securing the loan.

- Unsecured loans.

These loans generally benefit from a senior ranking in repayment priority, but not from a lien on a borrower's assets. As such, unsecured loans are contractually subordinated to secured loans with respect to the value of any borrower's assets subject to a lien. Such loans may benefit from the same covenant protection as first and second lien loans, which may afford protection as compared to unsecured bonds of the borrower with inferior covenant terms. AESIF's investments in unsecured debt securities may include, but are not limited to, senior, junior and unsecured bonds, notes and other debt securities.

- High-Yield Bonds.

These are fixed income securities typically issued by non-investment-grade borrowers, usually at a yield premium to the yield for investment-grade bonds. Terms generally provide for cash interest payments, but may include deferred, zero coupon, or payment-in-kind terms. These investments may be acquired during the primary offering process and may also be purchased in the secondary market as either private securities or publicly registered securities. The Investment Manager expects that these bonds will typically have multiple institutional holders.

Holders of high-yield bonds, as creditors, have a prior legal claim over common and preferred stockholders as to both income and assets of the issuer for the principal and interest due them and may have a prior claim over other creditors but are generally subordinate to any senior secured lenders in the issuer's capital structure.

In most cases these instruments restrict the borrower's ability to incur additional debt or distribute value to its shareholders based upon measurement of agreed financial ratios associated with general credit quality. In addition, terms often limit the borrower's ability to repay or amortize its high-yield bonds, particularly during the initial portion of their contractual tenor. As such, these securities can provide the opportunity for capital appreciation or yield enhancement, especially when the borrower's financial performance is consistent with or superior to expectations, when conditions are favorable in the borrower's industry, or when the general economic environment is positive.

- Secured bonds and notes.

These bonds and notes generally constitute the senior-most layer of a borrower's capital structure and benefit from a lien on the borrower's assets as well as senior ranking in repayment priority. Owing to their claim position and collateral support, secured bonds and secured notes tend to experience superior recoveries in a bankruptcy as compared to unsecured debt due to the collateral securing these instruments. Such bonds and notes may rank *pari passu* in many respects with secured loans.

- Unsecured bonds.

Dependent upon their terms, these bonds can enjoy a senior ranking or subordinated ranking in repayment priority, but do not benefit from a lien on a borrower's assets. Unsecured bonds typically form a layer between a borrower's credit facility and its equity. Yields tend to reflect a premium in respect of a bond's position within a borrower's capital structure.

- Direct Lending Deal Structures.

AESIF has a flexible mandate allowing it to invest across the capital structure, with a focus on first lien alongside the ability to invest in second lien and subordinated debt, as well as, to a lesser extent, equity co-investments, and in a number of geographies across Europe. Such investments across the capital structure can be made by AESIF either as single lender or together with a small group of other credit investment firms ("*club deals*"). With this flexible mandate, the Investment Manager believes that it can respond to changing market conditions and dynamically allocate capital and resources to pursue the most attractive risk-adjusted investment opportunities within the capital structure and across its target geographies. This ability to react to cyclical or market changes, the Investment Manager believes, can

result in attractive risk-adjusted returns across economic cycles. In addition, this relatively broad mandate allows the Investment Team to source more investment opportunities and, the Investment Manager believes, often affords the Investment Team a key differentiation versus its peers, several of which have funds with narrower investment guidelines.

While not the primary focus of AESIF, AESIF may also invest on an ancillary basis in alternative credit investments that give exposure to retail related borrowing such as consumer loans (on a secondary basis), real estate related investments (including in relation to residential properties and/or infrastructure assets), and (on a primary or secondary basis) loans to Underlying Funds (as defined below).

It is also worth noting that all the senior secured assets are floating rate and, as such, the AESIF portfolio can expect to see a direct benefit from central bank base rate increases, as long as the base rate, and any appropriate credit adjustment spread, exceeds the floor in each portfolio company.

Subject to the limitations set out in the Articles and applicable laws and regulations, AESIF may invest in loans or securities, the proceeds of which may refinance, realize or otherwise repay loans or securities of companies whose loans or securities are owned by Other Ares Funds. In addition AESIF may invest in loans or securities in companies whose loans, securities, economic ownership interests and voting rights are owned by Other Ares Funds. Please refer to Section XVI: *“Risk Factors, Potential Conflicts of Interest and Other Considerations-Overlapping Investments with Other Ares Funds”* of the General Section of the Prospectus for further information.

AESIF may, but is not required to, enter into interest rate, foreign exchange or other derivative agreements to hedge interest rate, currency, credit or other risks, but it generally does not intend to enter into any such derivative agreements for speculative purposes. AESIF will not enter into any short-sale agreements. Any derivative agreements entered into for speculative purposes are not expected to be material to AESIF’s business or results of operations. Subject to compliance with applicable legal and regulatory requirements, these hedging activities may include the use of futures, options and forward contracts. AESIF will bear the costs incurred in connection with entering into, administering and settling any such derivative contracts. There can be no assurance any investment in derivative securities including any hedging strategy employed will be successful.

AESIF’s Investments may exceed and otherwise vary materially from the allocation targets to the directly originated loans, including due to factors such as a large inflow of capital over a short period of time, the Investment Manager’s assessment of the relative attractiveness of opportunities, or an increase in anticipated cash requirements or Redemption Requests and subject to any limitations or requirements relating to applicable law.

Certain Investments (including, without limitation investments in Other Funds) could be characterized by the Investment Manager, in its discretion, as illiquid or as a Debt and Other Instrument (including, without limitation, publicly traded syndicated leveraged loans and high yield bonds or cash and/or cash equivalents) depending on the terms and characteristics of such Investments.

AESIF will not make use of SFTs or TRSs, as those terms are defined in the SFTR.

Risk Management Policies in Respect of Loan Participation/Acquisition Activities

The risk management systems or other procedures and measures established by the AIFM in respect of AESIF Fund comprise, among others:

- procedures for periodic monitoring and evaluation of the evolution of loan quality in order to determine, as necessary, the appropriate levels of impairment in value of loans; and
- procedures for periodic monitoring of appropriate diversification regarding borrowers (risks associated with e.g. “borrower correlation” or “connected group of borrowers” should be taken into account).

As regards collateral and loan collection/recovery, the following procedures and measures have been established by the AIFM in respect of AESIF Fund, among others:

- procedures to verify and ensure the existence, quality and valuation of collateral, if any, until the loan’s maturity date;
- procedures regarding enforcement of collateral arrangements, where applicable, and loan collection/recovery;
- procedures to mitigate maturity transformation.

The risk management systems or other procedures and measures referred to in the subsection may be amended by the AIFM from time to time.

Information on Investments in Collective Investment Undertakings

As described below, AESIF Fund will not invest and hold more than 10% of its NAV in Collective Investment Undertakings.

Information on Investments in Other Ares Funds

AESIF Fund may make investments by investing in, and will make investments alongside, Other Ares Funds (subject to the terms and conditions of such Other Ares Funds' governing documents), *provided* that AESIF Fund will not at any one time directly or indirectly, through the AESIF Aggregator, invest and hold more than 10% of its NAV in Collective Investment Undertakings. Any investments in Other Ares Funds will be valued as described in Section VI: "*Calculation of Net Asset Value—Investments in Other Ares Funds or Funds and Vehicles Managed by a Third-Party Manager*" of the Prospectus. This 10% limitation requirement will not apply during the Ramp-Up Period.

Information on Investments in Funds and Vehicles Managed by Third-Party Managers

AESIF Fund may make investments by investing in funds and vehicles managed by third-party managers, *provided* that AESIF Fund will not at any one time directly or indirectly, through the AESIF Aggregator, invest and hold more than 10% of its NAV in Collective Investment Undertakings. Any investments in a fund or vehicle managed by a third-party manager will be valued as described in Section VI: "*Calculation of Net Asset Value—Investments in Other Ares Funds or Funds and Vehicles Managed by a Third-Party Manager*" of the Prospectus. This 10% limitation requirement will not apply during the Ramp-Up Period.

Investment Restrictions of AESIF Fund

AESIF Fund will not at any one time directly or indirectly, through the AESIF Aggregator, invest and hold more than 20% of its NAV in any single Investment as measured at the time of acquisition; *provided* that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the Investment Manager under the oversight of the AIFM. No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring AESIF Fund within this 20% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of AESIF or any of its underlying investors.

This 20% diversification requirement will not apply during the Ramp-Up Period.

In addition, AESIF Fund will not at any one time directly or indirectly, through the AESIF Aggregator, invest and hold more than 13% of its NAV in Underlying Issuers which are not European Obligors at the time of acquisition; *provided* that such limitation will be assessed on a look-through basis and no remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring AESIF Fund within this 13% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of AESIF or any of its underlying investors. The foregoing investment limitation may be modified or waived, in whole or in part, with the consent of the Board of Directors. This 13% limitation requirement will not apply during the Ramp-Up Period. For the avoidance of doubt, this restriction shall not apply to Debt and Other Instruments. Furthermore, this restriction shall not apply in respect of collective investment schemes or any other investment vehicles which provide investors access to a diversified pool of assets.

The Investment Manager may also impose additional limitations in its discretion based on the underlying investors in AESIF Fund.

Structure of Investments

AESIF Fund will invest all or substantially all of its assets through the AESIF Aggregator.

Parallel Entities

If it considers it appropriate for any legal, tax, regulatory, accounting compliance, structuring or other considerations of AESIF Fund or of certain current or prospective Shareholders, the Investment Manager, or any of its affiliates may, in its sole discretion, establish one or more parallel vehicles to invest alongside AESIF Fund (as determined in the Investment Manager's discretion) (the "**Parallel Vehicles**"), which may not have investment objectives and/or strategies that are identical to the investment objectives and strategies of AESIF Fund, and/or feeder vehicles to invest through AESIF Fund ("**Feeder Vehicles**" and collectively with Parallel Vehicles, the "**Parallel Entities**"). The costs and expenses associated with the organization and operation of any Parallel Entity and/or any Feeder Entity may be apportioned to, and borne solely by, the investors participating in such Parallel Entity and/or such Feeder Entity or be allocated among AESIF Fund, the AESIF Aggregator, any Parallel Entities and/or Feeder Entities as determined by the Investment Manager in its reasonable discretion. Investors should note that, as a result of the legal, tax, regulatory, accounting, compliance, structuring or other considerations mentioned above, the terms of such Parallel Entities may differ substantially from the terms of AESIF Fund. In particular, such differences may cause Parallel Entities to subscribe at, or have their Shares (and/or units as applicable) redeemed at, a different NAV per unit in the AESIF Aggregator than AESIF Fund.

If it considers it appropriate for any legal, tax, regulatory, accounting, compliance, structuring or other considerations, the Investment Manager or any of its affiliates may, in its sole discretion, establish and introduce one or more intermediate entities through which AESIF Fund and/or any Parallel Entities shall invest in the AESIF Aggregator.

Leverage

AESIF Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. AESIF Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio to be in excess of 70% (the "**Leverage Limit**") subject to the below; *provided*, that no remedial action will be required if the Leverage Limit is exceeded for any reason other than the incurrence of an increase in indebtedness (including the exercise of rights attached to an Investment).

"**Leverage Ratio**" means, on any date of incurrence of any such indebtedness, the quotient obtained by dividing (i) Aggregate Net Leverage (as defined below) by (ii) AESIF Fund's NAV plus the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of AESIF Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to AESIF Fund or such subsidiary special purpose financing vehicle respectively.

"**Aggregate Net Leverage**" means (i) the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of AESIF Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to AESIF Fund or such subsidiary special purpose financing vehicle respectively, minus (ii) cash and cash equivalents of AESIF Fund.

For purposes of determining Aggregate Net Leverage, the Investment Manager: (i) shall use the principal amount of borrowings, and not the valuations of AESIF Fund's borrowings as described in Section VI: "Fees and Expenses of AESIF—Liabilities" of this Annex, (ii) may, in its sole discretion, determine which securities and other instruments are deemed to be cash equivalents and (iii) will disregard any indebtedness between the different entities constituting AESIF and its subsidiaries. AESIF Fund's assets or any part thereof, including any accounts of AESIF Fund, may be pledged in connection with any credit facilities or borrowings. The Leverage Limit may be exceeded on a temporary basis to satisfy short-term liquidity needs, refinance existing borrowings or for other obligations, but in each case the Leverage Ratio will not exceed 75%. For the avoidance of doubt, the Leverage Limit does not apply to indebtedness at the Investment level, guarantees of indebtedness, or other related liabilities that are not recourse indebtedness for borrowed money of AESIF Fund.

AESIF Fund may, but is not obligated to, engage in hedging transactions for the purpose of efficient portfolio management or for hedging purposes. The Investment Manager may review the hedging policy of AESIF Fund from time to time depending on movements and projected movements of the relevant currencies and interest rates and the availability of cost-effective hedging instruments for AESIF Fund at the relevant time.

Please also refer to Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations— Use of Leverage*" of the General Section of the Prospectus.

Reference Currency

AESIF Fund is denominated in Euro (EUR). AESIF Fund will issue classes of Shares in Euro (EUR) and multiple other currencies as the Board of Directors (or its delegate) may decide from time to time. The complete list of available Share Classes will be available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

NAV of each Class of Shares is reported to Shareholders and returns are calculated and reported in the currency of such Class of Shares. Gains or losses regarding Investments made using a different currency than the one of a given Class of Shares may include currency fluctuations relative to such Share Class currency.

IV. SHARE CLASS INFORMATION

Share Classes of AESIF Fund

The following Classes of Shares are open to Shareholders in AESIF Fund:

Class	Type of Share
A _A	Accumulation
A _D	Distribution
A _A -Italy	Accumulation
A _D -Italy	Distribution
B _A	Accumulation
B _D	Distribution
C _A	Accumulation
C _D	Distribution
D _A	Accumulation
D _D	Distribution
E _A	Accumulation
E _D	Distribution
I _A	Accumulation
I _D	Distribution

Class A_A, Class A_A-Italy, Class B_A, Class C_A, Class D_A, Class E_A and Class I_A Shares are Accumulation Sub-Classes (as defined below) and Class A_D, Class A_D-Italy, Class B_D, Class C_D, Class D_D, Class E_D and Class I_D Shares are Distribution Sub-Classes (as defined below). Shares will be made available in multiple currencies as the Board of Directors may decide from time to time. The complete list of available Share Classes will be available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

Shareholders that subscribe for “**Distribution Sub-Class**” Shares will receive any distributions that AESIF Fund pays in respect of such Shares. In contrast, Shareholders that subscribe for “**Accumulation Sub-Class**” Shares will, in lieu of receiving distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. In each case, distributions, whether made to the Distribution Sub-Class Shareholders or reflected in the NAV of the Shares held by the Accumulation Sub-Class Shareholders, are made at the discretion of the Board of Directors (or its delegate) and are subject to reasonable reserves for the payment of a *pro rata* portion of Operating Expenses (as defined below) and other obligations of AESIF Fund attributable to such Shares (including Servicing Fees), and subject to allocating any required tax withholdings (or taxes paid or withheld with respect to such distributions from any Other Ares Fund).

Class I_A Shares and Class I_D Shares (together, the “**Class I Shares**”) are generally available to investors who have account-based fee arrangements, known as advisory/wrap accounts, discretionary managed accounts, or comparable fee arrangements with their distributor or other financial intermediary. Class I Shares may also be available investors in markets with legal prohibition on payments of shareholder servicing and similar fees, and other categories of investors as determined by the Investment Manager in its sole discretion.

Class A_A-Italy Shares and A_D-Italy Shares (together, the “**Class A-Italy Shares**”) will be available to some financial intermediaries as determined by the Investment Manager in its sole discretion. Class A_A Shares and Class A_D Shares (together, the “**Class A Shares**”) are available to all other investors.

The Investment Manager may accept subscriptions for Class B_A Shares, Class B_D Shares (together, the “**Class B Shares**”), Class C_A Shares and Class C_D Shares (together, the “**Class C Shares**”), in its sole discretion, subject to the Minimum Subscription Amount.

Class D_A Shares and Class D_D Shares (together, the “**Class D Shares**”) are available to certain investors who have entered into a discretionary portfolio management mandate with their financial intermediary with automatic

rebalancing requirements in relation to a model portfolio and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.

Class E_A Shares and Class E_D Shares (together, the “**Class E Shares**”) are generally available to employees of Ares, Other Ares Funds and other persons, as approved by the Investment Manager in its discretion. Class E Shares will not be subject to payment of any Servicing Fees, Management Fees or Performance Participation Allocation.

Notwithstanding the above, AESIF Fund shall have full discretion to allocate the subscription of any Shareholder to any Class in order to reflect, *inter alia*, the subscription by Shareholders through a Parallel Entity.

Except as otherwise described herein, the terms of each Class of Shares are identical. Shares are issued in respect of a particular Class in AESIF Fund. The Board of Directors (or its delegate) has the authority to, at any time, create and issue new Classes or types of Shares within AESIF Fund at its discretion, with Shares having different rights, benefits, powers or duties and terms, including with respect to fees, distributions and liquidity.

Please also refer to Section VI: “Fees and Expenses of AESIF—Subscription Fees” and “—Servicing Fee.” of this Annex.

Hedging

Individual Classes may be denominated in other currencies. AESIF Fund may hedge Classes of Shares which are denominated in any currency other than the Reference Currency of AESIF Fund, however, depending on the prevailing circumstances, AESIF Fund may or may not hedge certain Classes, either partially or fully, and has no obligation to hedge any Class at all. In relation to currency hedging undertaken, if any, in the interest of a hedged Class, note that various Classes of Shares do not constitute separate portfolios of assets and liabilities. Accordingly, while gains and losses on the hedging transactions and the expenses of the hedging program will be allocated to the hedged Classes only, AESIF Fund, as a whole (including the non-hedged Classes), may be liable for obligations in connection with currency hedges in favor of a specific Class of Shares and AESIF Fund may also be liable for similar obligations in connection with currency hedges with respect to AESIF Fund or a Parallel Entity. Additionally, any financing facilities or guarantees utilized in connection with the hedging program may be entered into by AESIF Fund or the AESIF Aggregator (in respect of AESIF Fund or a Parallel Entity) and not any specific Class.

V. SUBSCRIPTIONS, REDEMPTIONS AND OTHER TRANSACTIONS

Subscriptions in AESIF Fund

Shares in AESIF Fund will be offered primarily through distributors or other financial intermediaries, which generally have client net worth thresholds and other requirements. Accordingly, AESIF Fund is primarily intended for investors with such distributor or other financial intermediary relationships. Investors should consult with their distributor or other financial intermediary to discuss potential eligibility and suitability to invest in AESIF Fund and such distributor or other financial intermediary will provide appropriate investment advice on the suitability of the investment and the verification of such investor's satisfaction of the relevant eligibility requirements. Shares may also be offered to sophisticated and other Professional Investors that meet eligibility requirements for participating in AESIF Fund at the Investment Manager's discretion.

Each potential Shareholder desiring to subscribe for Shares is required to execute a Subscription Document and make certain representations and warranties to AESIF Fund including (without limitation) a representation to the effect that it: (1) (a) is not a U.S. person (as defined in Regulation S under the 1933 Act) or (b) is a Permitted U.S. Person (unless waived by the Investment Manager), (2) is purchasing such investment (x) in an offshore transaction in accordance with Regulation S under the 1933 Act or (y) in a transaction otherwise exempt from registration under the 1933 Act, including in reliance on Regulation D, and (3) is not, and does not have indirectly through any entities that are fiscally transparent for U.S. tax purposes, a "United States person" for U.S. federal income tax purposes (as such term is defined in Section 7701(a)(30) of the U.S. Internal Revenue Code of 1986, as amended). Each potential Shareholder must also satisfy the eligible Shareholder qualifications as set forth in the Subscription Document.

The initial minimum subscription amount (the "**Minimum Subscription Amount**") and the minimum subsequent subscription amounts (the "**Minimum Subsequent Subscription Amount**") by each Shareholder in AESIF Fund are set out in the table below (although the Investment Manager may in its discretion accept the equivalent amount in another admitted currency):

Class of Shares	Minimum Subscription Amount	Minimum Subsequent Subscription Amount
Class A Shares, Class A-Italy Shares, Class D Shares, Class E Shares and Class I Shares	€25,000 for the Euro denominated Classes of Shares, and \$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	€1,000 for the Euro denominated Classes of Shares, and \$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)
Class B Shares and Class C Shares	€250,000,000 for the Euro denominated Classes of Shares, and \$250,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	€1,000 for the Euro denominated Classes of Shares, and \$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)

The initial Minimum Subscription Amounts set out above are subject, in each case, to such higher initial subscription amounts as required for a Shareholder's eligibility under applicable law, as provided in the Subscription Documents. Certain sub-distributors, countries and/or Classes may have higher minimums. Notwithstanding anything else herein, the Investment Manager may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than the first calendar day of the month. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Prospective investors in AESIF Fund may subscribe to AESIF Fund directly or via financial intermediaries or omnibus accounts. The investments made by a financial intermediary will not be aggregated in order to determine the investor's eligibility for a specific Class or its minimum initial subscription or holding.

Subscriptions and Issuance of Shares in AESIF Fund

Initial Subscription Period and Ongoing Subscriptions

In respect of each new Class of Shares, up to the end of the Initial Subscription Period, the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion *plus* applicable Subscription Fees.

After the end of the Initial Subscription Period, subscriptions for Shares of AESIF Fund may be made on an ongoing basis and will be accepted as of the first calendar day of each month (each, a **"Subscription Date"**).

Subscription Price

After the end of the Initial Subscription Period, Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date *plus* applicable Subscription Fees.

The subscription price per Share of each Class of Shares is equal to the NAV per Share for such Class of Shares as of the relevant Valuation Date. For example, if a prospective Shareholder wishes to make an initial subscription for Shares of AESIF Fund in October, the initial subscription request must be received in good order at least five (5) Business Days before November 1st. The offering price will equal the NAV per Share of the applicable Class as of the last calendar day of October (i.e., the relevant Valuation Date), *plus* applicable Subscription Fees. If accepted, the subscription will be effective on the first calendar day of November (based on the October 31st NAV). In connection with a subscription of Shares, Shareholders may also be required to pay Subscription Fees (as defined below) to their distributor or other financial intermediary.

AESIF Fund's monthly NAV as of the Valuation Date will generally be available by the 15th Business Day of the following month (e.g., the NAV for October 31st will generally be available around November 21st). Prospective Shareholders will therefore not know the NAV per Share of their investment until after the investment has been accepted. Prospective Shareholders are required to subscribe for a EUR (or the relevant Share Class's reference currency) amount, as applicable, and the number of Shares that such subscriber receives will subsequently be determined based on the NAV per Share as of the time such investment was accepted by AESIF Fund (e.g., a Shareholder admitted to AESIF Fund as of November 1st of a calendar year, whose investment is based on AESIF Fund's NAV as of October 31st of such year, will learn of such NAV and the corresponding number of Shares represented by their subscription around November 21st of that year).

Subscription Procedure

A prospective Shareholder must notify AESIF Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least five (5) Business Days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). To be accepted, a subscription request must be made with a completed and executed Subscription Document in good order, including (a) satisfying any additional requirements imposed by the subscriber's distributor or other financial intermediary, (b) satisfying the know your client (KYC), terrorist financing and anti-money laundering checks carried out by AESIF Fund or its agent, and (c) any tax forms associated with a subscription (to the extent not already forming part of the Subscription Document).

Late subscription orders will be automatically resubmitted for the next available Subscription Date, unless such subscription order is withdrawn or revoked before 5 p.m. Central European Time on the last Business Day before such Subscription Date (subject to the Investment Manager's discretion to accept after such time). Subscription price amounts (whether in cash or in kind, as applicable) must be received at least three (3) Business Days prior to the relevant Subscription Date. No interest will be paid on any payments received prior to this deadline.

Prospective Shareholders should note that incomplete subscription applications and subscription applications which are not settled by the relevant funding due date may be, in the discretion of the Investment Manager, cancelled or deferred to a subsequent Subscription Date by AESIF Fund and any costs of cancellation, reasonable interest and/or and other incurred charges may be passed on to the prospective Shareholder and may be deducted from the subscription price paid by such prospective Shareholder, in the discretion of the Investment Manager.

Notwithstanding anything else herein, the Board of Directors (or its delegate) may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for

a given Subscription Date, which could result in subscriptions being accepted on a day other than a Subscription Date. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Subscriptions, redemptions and conversions of Shares should be made for investment purposes only. AESIF Fund shall not permit short-term (market-timing) or other excessive trading practices, which may disrupt AESIF Fund's portfolio management strategies and harm its performance. To minimize harm to AESIF Fund and the Shareholders, the Investment Manager has the right to reject any subscription or conversion order from any subscriber who is engaging in excessive trading or has a history of excessive trading or if a subscriber's trading, in the opinion of the Investment Manager, has been or may be disruptive to AESIF Fund. AESIF Fund, the Investment Manager, the Board of Directors and the AIFM will not be liable for any loss resulting from rejected orders.

Fractions of Shares to two (2) decimal places will be issued. The timing of Subscription Dates, Valuation Dates, and other applicable deadlines (including the deadlines for cancelling subscription and for the payment of the subscription price) may be modified from time to time by the Investment Manager in its sole discretion.

Redemption of Shares

Redemption Procedure

Whilst AESIF Fund expects that there would be no regular secondary trading markets for Shares, redemptions of Shares are expected to be offered each calendar month at the NAV per Share calculated as of the last calendar day of the relevant calendar month.

A Shareholder may request to have some or all of its Shares redeemed by AESIF Fund (each, a "**Redemption Request**") as of the last calendar day of each calendar month (each, a "**Redemption Date**") by submitting a notice to AESIF Fund that the Shareholder requests a certain number of its Shares be redeemed by AESIF Fund in the form made available by AESIF Fund by the Redemption Cut-Off Time, i.e., by 5 p.m. Central European Time on the first Business Day of the calendar month on which the Redemption Date falls (e.g., a Shareholder requesting a June 30th redemption must submit their Redemption Request by June 1st); *provided* that late notices may be accepted in the Investment Manager's sole discretion (acting as delegate of the Board of Directors). Once a Redemption Request has been submitted, the Shareholder will not be entitled to withdraw or revoke the Redemption Request without the Investment Manager's consent until 5 p.m. Central European Time on the last Business Day before the Redemption Date (subject to the Investment Manager's discretion to accept after such time).

Amounts distributed in connection with a Redemption Request will be based upon the NAV per Share of the applicable Class of Shares being redeemed as of the relevant Valuation Date (e.g., a Shareholder requesting a June 30th redemption, the redemption price will be based upon the NAV as of June 30th of that year). AESIF Fund expects that settlements of Redemption Requests will generally be made within two (2) Business Days after the relevant NAV Release Date (e.g., a Shareholder requesting a June 30th redemption would generally be expected to receive a settlement on or around July 25th of the same year) (the "**Settlement Date**").

Each Redemption Request will be processed on each Redemption Date at the NAV per Share of the applicable Class of Shares as of the Valuation Date falling on the applicable Redemption Date. Shareholders will not know the NAV per Share, and therefore the amount of their redemption, until the relevant NAV Release Date. In addition, due to the timing of the NAV Release Date, investors submitting Redemption Requests will also typically not know the NAV per Share for the prior month.

Shareholders whose Redemption Requests are accepted will cease to be Shareholders in respect of the redeemed Shares as of such Redemption Date and will therefore cease to be entitled to the rights of a Shareholder in respect of the redeemed Shares as of such date, including the right to receive distributions, and will not be entitled to interest on redemption payments due.

Redemption Limitation

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AESIF, including redemptions in all Parallel Entities and the AESIF Aggregator, but excluding any Early Redemption Deduction and/or any Redemption Fee applicable to the redeemed Shares) is generally limited to 2% of aggregate NAV per calendar month of all Parallel Entities and the AESIF Aggregator (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter) and 5% of such aggregate NAV per calendar quarter (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter), except in the exceptional circumstances described below. In any given calendar quarter, excess redemption capacity under the 2% monthly limitation described in the foregoing will be rolled into the subsequent month of such calendar quarter and be

available for further redemptions in such calendar quarter only. For the avoidance of doubt, both of these limits are assessed during each month in a calendar quarter and are based on net redemptions during a month or quarter, as applicable, unless otherwise notified to Shareholders pursuant to this paragraph. The term “**net redemptions**” means, during the applicable period, the excess of redemptions (capital outflows) over the proceeds from subscriptions (capital inflows). With respect to future periods, the Board of Directors (or its delegate) may choose whether the allocations and limitations will be applied to “gross redemptions” (i.e., without netting against capital inflows), rather than to net redemptions. If redemptions for a given calendar month or quarter are measured on a gross basis rather than on a net basis, the redemption limitations could limit the number of Shares redeemed in a given calendar month or quarter despite AESIF Fund receiving net capital inflows for that month or quarter. In order for the Board of Directors (or its delegate) to change the application of the allocations and limitations from net redemptions to gross redemptions or vice versa, AESIF Fund will provide notice to Shareholders, at least ten (10) days before the first Business Day of the quarter for which the new test will apply. The determination to measure redemptions on a gross basis, or vice versa, will only be made for an entire quarter, and not particular months within a quarter.

No redemption proceeds will be paid unless and until cleared funds equal to the full amount of the subscription price (or any other amounts payable by such Shareholder to AESIF Fund) due but not yet paid for the Shares to be redeemed has been received by AESIF Fund. No interest will be paid to Shareholders on redemption proceeds paid after the Settlement Date.

Any redemption made for the purpose of upstreaming cash (a) to settle a properly incurred liability of AESIF Fund, the AESIF Aggregator or any Ares-managed feeder vehicle of AESIF; (b) for cash management purposes at the level of AESIF Fund, the AESIF Aggregator or any Ares-managed feeder vehicle of AESIF; and/or (c) to declare a distribution or dividend at the level of AESIF Fund or the AESIF Aggregator will not be subject to any Early Redemption Deduction and/or Redemption Fee, and will not be taken into account for the purposes of calculating the 5% quarterly and 2% monthly redemption limits, in each case *provided* that the upstreaming of cash is not used to effect the Redemption Requests of, and/or provide priority redemption rights to, underlying investors of AESIF Fund, the AESIF Aggregator or any Ares-managed feeder vehicle of AESIF.

In exceptional circumstances and not on a systematic basis, AESIF Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in AESIF’s best interest and the best interest of AESIF’s investors as a whole, such as when redemptions of Shares would place an undue burden on AESIF’s liquidity, adversely affect AESIF’s operations, risk having an adverse impact on AESIF that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to the 2% monthly or 5% quarterly limitations on redemptions and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AESIF’s best interest and the best interest of AESIF’s investors.

In the event that, pursuant to the limitations above, not all of the Shares submitted for redemption during a given month are to be accepted for redemption by AESIF Fund, Shares submitted for redemption during such month will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AESIF if applicable). All unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date, unless such a Redemption Request is withdrawn or revoked by a Shareholder before such Redemption Date in the manner as described above.

Sources of Funds for Redemptions

The Board of Directors (or its delegate) may in its discretion, after taking the interests of AESIF Fund as a whole and the interests of the remaining Shareholders into consideration, use proceeds from any available sources at AESIF Fund’s disposal to satisfy Redemption Requests, subject to the 2% monthly or 5% quarterly limitations. Potential sources of funding redemptions include, but are not limited to, cash on hand, cash available from borrowings, cash from the sale of Shares and cash from liquidations of investments, to the extent that such funds are not otherwise dedicated to a particular use, such as working capital, cash distributions to Shareholders or Investments.

Although a majority of AESIF Fund assets consist of Investments that cannot generally be readily liquidated on short notice without impacting AESIF Fund’s ability to realize full value upon their disposition, AESIF Fund intends to maintain a number of sources of liquidity including Debt and Other Instruments. AESIF Fund may fund

redemptions from any available source of funds, including operating cash flows, borrowings, proceeds from the offering of the Shares and/or sales of AESIF Fund's assets.

Early Redemption Deduction and Redemption Fee

Shares held for less than eighteen (18) months will be subject to an early redemption deduction (the “**Early Redemption Deduction**”) as set out below:

Class of Shares	Early Redemption Deduction
Class A Shares, Class A-Italy Shares, Class B Shares, Class C Shares and Class I Shares	5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)
Class D Shares and Class E Shares	0%

Redemptions of Class D Shares and Class E Shares may be subject to a redemption fee of 5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date) if such redemption occurs within the first 18 months of the relevant Shareholder's initial subscription to such Class D Shares or Class E Shares, as applicable, as determined by the Investment Manager in its sole discretion from time to time (the “**Redemption Fee**”). To the extent applicable, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager.

If a redeeming Shareholder, who invested in AESIF Fund for its own account, owns Shares of more than one Series of the Class being redeemed, such Shares will be deemed to be redeemed on a "first-in-first-out" basis. If a redeeming Shareholder invested in AESIF Fund as a financial intermediary on behalf of underlying investors, it must indicate in its Redemption Request the relevant Series of Shares to be redeemed.

The Early Redemption Deduction and/or any Redemption Fee will inure indirectly to the benefit of the AESIF Aggregator (and indirectly AESIF Fund and all other vehicles invested in the AESIF Aggregator, including their respective investors). AESIF Fund may, from time to time, waive the Early Redemption Deduction and/or any Redemption Fee in its sole discretion, including without limitation in the case of redemptions resulting from death, qualifying disability, divorce, or where operational, administrative, and/or system limitations prohibit the Early Redemption Deduction and/or any Redemption Fee from being properly applied.

All questions as to the applicability of the Early Redemption Deduction and/or any Redemption Fee to specific facts and the validity, form, eligibility (including time of receipt of required documents) of a qualification for an exemption from the Early Redemption Deduction and/or any Redemption Fee will be determined by the Investment Manager, in its sole discretion, and its determination shall be final and binding.

Minimum Account Redemptions

In the event that any Shareholder fails to maintain the minimum balance of €25,000 (or the equivalent in any currency as may be determined by the Board of Directors or its delegate) of Shares, the Board of Directors (or its delegate) may redeem all of the Shares held by that Shareholders at the redemption price in effect on the date the Board of Directors (or its delegate) determines that the Shareholder has failed to meet the minimum balance, less any Early Redemption Deduction and/or Redemption Fee. Minimum account redemptions are subject to Early Redemption Deductions and/or Redemption Fees, as applicable.

Compulsory Redemption with regard to Prohibited Persons

If the Board of Directors (or its delegate) discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person (as defined below), either alone or in conjunction with any other person, whether directly or indirectly, the Board of Directors (or its delegate) may at its discretion and without liability, compulsorily redeem (in whole or in part) the Shares in accordance with the Articles, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such redemption may take priority over any requested redemptions made by other investors (which may be delayed as a result). For the avoidance of doubt, in the case of a Shareholder holding Shares which can be allocated to several beneficial owners, such compulsory redemption may only be applied to the part of the portion of such Shares allocable to the beneficial owner qualifying as a Prohibited Person.

In addition, in the case of a Prohibited Person where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, or (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, the Board of Directors (or its delegate) is also entitled to convert the Shares of the Prohibited Person provided that after such conversion the Shareholder no longer qualifies as a Prohibited Person.

The Board of Directors (or its delegate) may require any Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) to provide it with any information that it may consider necessary for the purpose of determining whether or not such Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) is or will be a Prohibited Person.

Further, Shareholders shall have the obligation to immediately inform AESIF Fund to the extent the ultimate beneficial owner of the Shares held by such Shareholders becomes or will become a Prohibited Person.

For the purpose of this clause, "**Prohibited Person**" shall mean any person, firm, partnership or corporate body (including a Shareholder (and/or an underlying investor where the Shareholder subscribed to the Shares on its behalf of such underlying investor and/or for such underlying investor's benefit)), not eligible as investor for a Class of Shares, or if in the sole opinion of the Board of Directors (or its delegate) the holding of Shares may be detrimental to the interests of the existing Shareholders, AESIF Fund or the Sponsor, if it may result in a breach of any law or regulation, whether in Luxembourg or abroad, or if as a result thereof any such parties may become exposed to regulatory, tax, economic or reputational damages, obligations, disadvantages, fines or penalties that it would not have otherwise incurred.

Conversions Between Classes

Conversions of Shares between Classes in AESIF Fund are allowed. The Board of Directors (or its delegate) may suspend conversions in respect of Shares during any period that the determination of the NAV of the relevant Class is suspended in accordance with the rules set out in the Articles and this Annex.

Conversion at the Request of Shareholders

A Shareholder may request the conversion of all or part of its Shares of a Class on any Valuation Date; *provided* that the Shareholder fulfils the eligibility criteria of the relevant Class into which the conversion is requested and subject to the written consent of the Shareholder's broker, distributor or other financial intermediary, if applicable, and the Board of Directors (or its delegate). Any conversion request which, when executed, would cause the Shareholder's investment to fall below the applicable minimum holding requirement, will be considered as a request for a full conversion for that Shareholder's Shares in that particular Class.

Procedure

Written conversion orders should be sent to the Central Administration at least five (5) Business Days before the relevant Valuation Date or such shorter period as determined by the Board of Directors or its delegate (the "**Conversion Cut-off**").

All conversion orders must contain the following information:

- the Valuation Date in respect of which the conversion request is made;
- the full name(s) in which the Shares to be converted are registered;
- the Class and its ISIN code from which Shares are to be converted and the Class and its ISIN code to which Shares will be converted; and
- either the monetary amount or the number of Shares to be converted.

If accepted, conversion orders received by the Central Administration before the relevant Valuation Date in respect of which the conversion order is made will be dealt with on such Valuation Date on the basis of the NAV of the relevant Classes prevailing on that Valuation Date.

Any conversion orders received after the Conversion Cut-off for a Valuation Date will be processed on the next Valuation Date on the basis of the NAV of the relevant Classes prevailing on such Valuation Date.

The rate at which all or part of the Shares of one Class (the “**Initial Class**”) are converted into another Class (the “**New Class**”) is determined in accordance with the following formula:

$$A = \frac{B \times C \times D}{E}$$

where:

- A is the number of Shares to be allocated in the New Class;
- B is the number of Shares of the Initial Class to be converted;
- C is the NAV per Share of the Initial Class determined on the relevant Valuation Date;
- D the currency conversion factor, which is the relevant currency rate as at the respective Valuation Date, or where the Shares of the New Class are denominated in the same currency of the Initial Class, D = 1; and
- E is the NAV per Shares of the New Class determined on the relevant Valuation Date.

Following such conversion of Shares, the Central Administration will inform the respective Shareholder of the number of Shares of the New Class obtained by conversion and the price thereof. Fractions of Shares in the New Class to two decimal places may be issued.

Conversion by decision of the Board of Directors

The Board of Directors (or its delegate) may in its own discretion at any time convert Shares from one Class into another Class of Shares where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class as set out in this Annex, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, or (iv) the Board of Directors or its delegate determines that such conversion is necessary or advisable and not inequitable to Shareholders.

The procedure set out above will apply accordingly.

Transfers

Shareholders may transfer part or all their Shares upon prior consent from the Board of Directors or its delegate, in their sole discretion, which shall be provided within thirty (30) calendar days from its notification. The absence of a favorable response within thirty (30) calendar days shall be considered as a refusal to such transfer.

Any transferee must provide AESIF Fund with a duly completed Subscription Document, any required AML/KYC documents and any additional information or documentation as requested by the Board of Directors or its delegate in connection with the transfer and by the transferee’s broker, distributor or other financial intermediary, as applicable.

VI. FEES AND EXPENSES OF AESIF

Management Fee

In consideration for its services with respect to AESIF Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a management fee (the “**Management Fee**”) equal to, for each Class of Shares, up to 1.25% of the NAV of each relevant Class of Shares (except for Class E Shares) per annum payable monthly in arrears based on month end values, before giving effect to any accruals for the Management Fee, the Servicing Fee (as defined below), the Performance Participation Allocation (as defined below), redemptions for that month (if any), any distributions and any impact to NAV solely caused by currency fluctuations and/or currency hedging activities for non-EUR Classes, non-EUR classes of units of the AESIF Aggregator and/or non-EUR classes of shares or units of Parallel Entities (where applicable). The Management Fee may be paid by AESIF Fund, or alternatively and without duplication, by the AESIF Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of AESIF Fund.

The AIFM (and/or such other combination of persons as the Investment Manager may designate) may elect to receive the Management Fee in cash, Shares, units of the AESIF Aggregator and/or shares or units of Parallel Entities (where applicable). If the Management Fee is paid in Shares, the AESIF Aggregator units and/or shares or units of Parallel Entities (where applicable), such Shares, shares and/or units may be redeemed at the AIFM's request (and/or at the request of such other combination of persons as the Investment Manager may designate), and will not be subject to any of the limitations set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” and “*—Early Redemption Deduction and Redemption Fee*” of this Annex.

The AIFM may separately elect for the Management Fee to be paid (in whole or in part) to an affiliate of the AIFM (and/or such other combination of persons as the Investment Manager may designate) in satisfaction of Management Fee amounts owed to the AIFM in connection with services provided by such affiliate to AESIF Fund and/or any Intermediate Vehicle. In addition, the AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time.

For the avoidance of doubt, in the event the Management Fee is paid by the AESIF Aggregator, the Parallel Entities and/or any Intermediate Vehicle, such payment shall be made on behalf of AESIF Fund in consideration of the services provided by the Investment Manager and the AIFM to AESIF Fund. For the avoidance of doubt, where a management fee is calculated and paid by a Parallel Entity on the basis of such entity's own NAV (whether or not such management fee is calculated and paid on the same basis as the Management Fee), such fees will be charged without duplication, and the NAV of such Parallel Entity will be disregarded for the purposes of the calculation and payment of the Management Fee to be paid by other AESIF vehicles.

Performance Participation Allocation

The general partner of the AESIF Aggregator (or, alternatively, any other entity or vehicle affiliated with Ares designated by the Investment Manager) (the “**Recipient**”) is allocated a Performance Participation Allocation by the AESIF Aggregator. For each Class of Shares (except in respect of Class E Shares), the Performance Participation Allocation consists of two components that are independent of each other, with the result that one component may be payable even if the other is not. A portion of the Performance Participation Allocation is based on income and a portion on capital gains, each as described in further detail below. The ESMA Guidelines on performance fees in UCITS and certain types of AIFs do not apply to AESIF Fund as it follows a private equity strategy through its primary investment in privately originated and negotiated loans to European and UK companies. The borrowers of such loans are mainly private companies in which other private equity funds have made (or will make) equity investments.

Performance Participation Based on Income

The portion of the Performance Participation Allocation based on income (the “**Income Performance Participation Allocation**”) is based on Pre-Performance Participation Allocation Net Investment Income Returns. “**Pre-Performance Participation Allocation Net Investment Income Returns**” means, as the context requires, either the Euro value of, or percentage rate of return on the NAV of the relevant AESIF Aggregator units at the end of the immediate preceding quarter from, interest income, dividend income and any other income (including any other fees (other than fees for providing managerial assistance), such as commitment, origination, structuring, diligence, directors', topping, break-up, transaction, closing, amendment, monitoring, exit, disposition and consulting fees or other fees received in connection with the provision and of capital to and maintenance of investment in current or prospective Underlying Issuers) accrued during the calendar quarter, minus operating expenses of AESIF Fund and Parallel Vehicles accrued for the quarter (including the Management Fee, and any

interest expense or fees on any credit facilities or outstanding debt and dividends paid on any issued and outstanding preferred shares, but excluding the Performance Participation Allocation, any Servicing Fees and any other Shareholder servicing and/or distribution fees, whether paid directly or out of the Management Fee).

Pre-Performance Participation Allocation Net Investment Income Returns include, in the case of investments with a deferred interest feature (such as original issue discount, debt instruments with PIK interest and zero coupon securities), and accrued income not yet received in cash. Pre-Performance Participation Allocation Net Investment Income Returns do not include any realized capital gains, realized capital losses or unrealized capital appreciation or depreciation.

Pre-Performance Participation Allocation Net Investment Income Returns, expressed as a rate of return on the value of net assets at the end of the immediate preceding quarter, is compared to a “hurdle rate” of return of 1.25% per quarter (5.0% annualized), except with respect to Class E Shares.

The Income Performance Participation Allocation is paid quarterly in arrears with respect to Pre-Performance Participation Allocation Net Investment Income Returns in each calendar quarter as follows:

- No Income Performance Participation Allocation is paid in any calendar quarter in which Pre-Performance Participation Allocation Net Investment Income Returns do not exceed the hurdle rate of 1.25% per quarter (5.0% annualized);
- 100% of the Euro amount of Pre-Performance Participation Allocation Net Investment Income Returns with respect to that portion of such Pre-Performance Participation Allocation Net Investment Income Returns, if any, that exceeds the hurdle rate but is less than a rate of return of 1.43% (5.72% annualized). This portion of Pre-Performance Participation Allocation Net Investment Income Returns (which exceeds the hurdle rate but is less than 1.43%) is referred to as the “catch-up.” The “catch-up” is meant to provide the Recipient with approximately 12.5% of Pre-Performance Participation Allocation Net Investment Income Returns as if a hurdle rate did not apply if this net investment income exceeds 1.43% in any calendar quarter; and
- 12.5% of the Euro amount of Pre-Performance Participation Allocation Net Investment Income Returns, if any, that exceed a rate of return of 1.43% (5.72% annualized). This reflects that once the hurdle rate is reached and the catch-up is achieved, 12.5% of all Pre-Performance Participation Allocation Net Investment Income Returns thereafter are allocated to the Recipient.

These calculations are pro-rated for any period of less than three months and adjusted for the issuances and redemptions of AESIF Aggregator units (including in connection with the issuance and redemptions of Shares).

Performance Participation Based on Capital Gains

The second component of the Performance Participation Allocation based on capital gains (the “**Capital Gains Performance Participation Allocation**”), is payable at the end of each calendar year in arrears, except with respect to Class E Shares. The amount payable equals:

- 12.5% of cumulative realized capital gains from inception through the end of such calendar year, computed net of all realized capital losses and unrealized capital depreciation on a cumulative basis, less the aggregate amount of any previously paid Capital Gains Performance Participation Allocations as calculated in accordance with IFRS on the NAV of the relevant AESIF Aggregator units.

Each year, the Capital Gains Performance Participation Allocation is net of the aggregate amount of any previously paid Capital Gains Performance Participation Allocation for all prior periods. The Recipient will accrue, but will not be paid, a Capital Gains Performance Participation Allocation with respect to unrealized appreciation because a Capital Gains Performance Participation Allocation would be owed to the Recipient if AESIF were to sell the relevant investment and realize a capital gain.

Performance Participation Calculations Generally

The Performance Participation Allocation amounts described above will be calculated in accordance with the following principles:

- References to the units of the AESIF Aggregator will (where relevant) be deemed to refer to the relevant class of units issued, or deemed to be issued, by such vehicle, in each case to track the different Performance Participation Allocation, Management Fee and other characteristics of different Classes of Shares and different Parallel Entities.

- Distributions accrued or paid on units of the AESIF Aggregator will treat any withholdings tax on distributions as paid by or received by AESIF Aggregator.
- The Recipient will also be allocated a Performance Participation Allocation with respect to all AESIF Aggregator units that are redeemed (or that would have been redeemed if AESIF Aggregator units were redeemed in order to fund the redemption of Shares) in connection with redemptions of Shares in an amount calculated as described above with the relevant period being the portion of the relevant calculation period for which such unit was outstanding, and proceeds for any such unit redemption will be reduced by the amount of any such Performance Participation Allocation.
- The Recipient may elect to receive the Performance Participation Allocation in cash, Shares, other Feeder Vehicle units (where applicable) or AESIF Aggregator units. If the Performance Participation Allocation is paid in Shares, other Parallel Entity units (where applicable) or AESIF Aggregator units, such Shares or units may be redeemed at the Recipient's request and will be subject to the volume limitations in Section V: "Subscriptions, Redemptions and Other Transactions—Redemption of Shares" of this Annex but not the Early Redemption Deduction or the Redemption Fee (as applicable).
- The Recipient will not be obligated to return any portion of the Performance Participation Allocation paid due to the subsequent performance of AESIF Fund.

AIFM Fee

The AIFM is entitled to payment of an AIFM Fee up to a maximum of EUR 140,000 per annum, payable monthly by AESIF Fund, or alternatively and without duplication, by the AESIF Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of AESIF Fund. The AIFM Fee will be separate from and additional to the Management Fee and any Operating Expenses.

In addition, the AIFM may waive all or any part of the AIFM Fee in its discretion from time to time.

Subscription Fees

Certain distributors or other financial intermediaries through which a Shareholder was placed in AESIF Fund may charge such Subscription Fees on Shares sold in the offering that are paid by the Shareholder outside of its investment in AESIF Fund and not reflected in AESIF Fund's NAV. In certain circumstances the Subscription Fees may be paid to Ares and reallocated, in whole or in part, to the distributor or other financial intermediary that placed the Shareholder into AESIF Fund. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.

Servicing Fee

Each Class of Shares will bear a Servicing Fee equal to the amount set out in the table below (on an annualised basis):

Class of Shares	Servicing Fee
Class A Shares and Class A-Italy Shares	Up to 0.75% on NAV per annum.
Class B Shares	Up to 0.50% on NAV per annum.
Class C Shares, Class D Shares, Class E Shares and Class I Shares	0.00% on NAV per annum.

For the avoidance of doubt, the Servicing Fees will be payable by AESIF Fund and Shareholders will not be billed separately for payment of the fees. The Servicing Fee will be calculated on the NAV of the relevant Class of Shares before giving effect to accruals for the Servicing Fee (for that month), the redemptions for that month (if any) and distributions payable on such Class of Shares.

The servicing fee is allocated to the financial intermediary through which an underlying investor was placed in AESIF Fund and/or the financial intermediary which provides ongoing services to such underlying investor in each case as determined by the Investment Manager in its sole discretion (such fee, the "**Servicing Fee**"). Any Servicing Fee will compensate such representative for any placement, reporting, administrative and/or other

services provided to an underlying investor by such representative. The receipt of the Servicing Fee will result in a conflict of interest.

Organizational and Offering Expenses

The Organizational and Offering Expenses may be apportioned to, and borne solely by, AESIF Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Organizational and Offering Expenses are attributable to AESIF Fund, the AESIF Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

The Investment Manager has agreed to advance all of AESIF Fund's (including the expenses associated with AESIF Fund, the AESIF Aggregator, any Intermediate Vehicle, or any of their respective Parallel Entities or Feeder Entities) Organizational and Offering Expenses through the Effective Date. AESIF Fund, the AESIF Aggregator or the relevant Parallel Entities or Feeder Entities, as applicable, will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date.

After the Effective Date, AESIF Fund, the AESIF Aggregator, the relevant Parallel Entities and/or Feeder Entities, as applicable, will reimburse the Investment Manager for any Organizational and Offering Expenses that it has incurred on each entity's behalf as and when incurred.

Liabilities

With respect to each Class of Shares, the AIFM will include the value (as prescribed under IFRS) of such Class's *pro rata* portion of AESIF Fund's liabilities as part of the Class's monthly NAV calculation. These liabilities are expected to include the fees payable to the Investment Manager, the AIFM (and/or such other combination of persons as the Investment Manager may designate), any accrued Performance Participation Allocation, accounts payable, accrued operating expenses, any portfolio-level credit facilities, other borrowings and other liabilities.

For purposes of calculating AESIF Fund's NAV, the Organizational and Offering Expenses and/or Operating Expenses paid by the Investment Manager through the Effective Date pursuant to this Section VII: "Fees and Expenses of AEFS— Organizational and Offering Expenses" or "— Initial Operating Expenses Support", as applicable, are not recognized as expenses or as a component of equity and reflected in AESIF Fund's NAV until AESIF Fund reimburses the Investment Manager for these costs.

The AIFM's valuation of each Investment's liabilities, including any third-party incentive fee payments or investment level debt, deal terms and structure will not be reviewed by AEFS's independent valuation advisor or appraised.

Operating Expenses

The Operating Expenses (as defined below) may be apportioned to, and borne solely by, AESIF Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Operating Expenses are attributable to AESIF Fund, the AESIF Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

With respect to AESIF Fund's capital commitment(s) to Other Ares Funds only, AESIF Fund will not pay or otherwise bear carried interest, management fees or other incentive compensation paid to the general partner of such Other Ares Fund except in limited circumstances, in which case such carried interest, management fees or other incentive compensation paid will be rebated Euro-for-Euro to AESIF Fund. For the avoidance of doubt, AESIF Fund will pay all other fund and investment-related fees and expenses with respect to its capital commitment(s) to any Other Ares Fund (if applicable). AESIF Fund will also indirectly bear other expenses of such Other Ares Fund, including all investment related expenses and expenses paid to affiliates of the Investment Manager, administrative expenses and other expenses as applicable to such Other Ares Fund (to the extent applicable).

Initial Operating Expenses Support

The Investment Manager may at its discretion advance all or portion of the Operating Expenses to be borne by AESIF Fund, the proportion of expenses of the AESIF Aggregator borne by AESIF Fund and the appropriately apportioned expenses relating to Portfolio Entities and Parallel Entities, in each case as determined pursuant to the terms of this Prospectus (collectively, "**Initial Operating Expenses Support**") through the Effective Date. AESIF Fund and the AESIF Aggregator (as applicable and as determined by the Investment Manager in its sole

discretion), will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date or on such earlier date as determined by the Investment Manager.

Discretionary Expense Cap

In addition to the foregoing, the Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AESIF Fund (or a specific Class thereof, as applicable) and/or the AESIF Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AESIF Fund (or the relevant Class thereof), the AESIF Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed.

Fees arising at multiple levels

To the extent the AIFM Fee, the Management Fee and/or Performance Participation Allocation may apply at the level of AESIF Fund, the AESIF Aggregator and/or any other Intermediate Vehicle or Parallel Entity, Shareholders will only be charged such AIFM Fee, Management Fee and/or Performance Participation Allocation by the Investment Manager, the AIFM and the Recipient (and/or such other combination of persons as the Investment Manager may designate) once.

VII. DISTRIBUTIONS

The Board of Directors (or its delegate) may declare and pay distributions to Shareholders from time to time.

AESIF Fund intends to declare monthly distributions as authorized by the Investment Manager (as the delegate of the Board of Directors) and pay such distributions to Shareholders of record on a monthly basis. Accumulation Sub-Classes are not entitled to any distribution payments, unless the Investment Manager (as the delegate of the Board of Directors) determines that a distribution shall be made. AESIF Fund cannot guarantee that it will make distributions.

Any distributions will be made, at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class, after considering factors such as earnings, cash flow, capital needs, taxes and general financial condition and the requirements of applicable law. As a result, AESIF Fund's distribution rates and payment frequency may vary from time to time. There is no assurance AESIF Fund will pay distributions in any particular amount, if at all. Any declaration of distributions to Shareholders will be made in accordance with the 1915 Law and the 2010 Law.

Shareholders of record as of the record date will be eligible for distributions declared. The per Share amount of distributions on each Class of Shares may differ because of different Class-specific Servicing Fees that may be deducted from the gross distributions for each Class. Specifically, distributions on Class A Shares and Class A-Italy Shares would be lower than distributions on Class C Shares, Class D Shares, Class E Shares and Class I Shares (and, to a lesser extent, Class B Shares) because AESIF Fund is required to pay ongoing Servicing Fees (or, in respect of Class B Shares, a higher amount of Servicing Fees) with respect to the Class A Shares and Class A-Italy Shares compared to Class C Shares, Class D Shares, Class E Shares and Class I Shares (and, to a lesser extent, Class B Shares).

Shareholders holding Shares with a functional currency other than Euro are exposed to fluctuations of the Euro foreign exchange rate and/or hedging costs, which may lead to variations on the amount to be distributed.

VIII. MANAGEMENT AND ADMINISTRATION OF AESIF FUND

Ares

Ares Management Corporation (NYSE: ARES) is a publicly traded, global alternative investment manager.

Ares was built upon the fundamental principle that each group benefits from being part of the broader platform. Ares believes the synergies resulting from collaboration across the platforms provide its professionals with more informed decision making as a result of shared industry experience, management relationships, and market insights, access to significant deal flow and a broader opportunity set, and the ability to assess relative value. Since its inception in 1997, Ares has adhered to a disciplined investment philosophy that focuses on delivering attractive risk-adjusted investment returns through market cycles. Ares strives to maintain a consistent and credit-quality focused approach targeting well-structured investments in credit assets.

The Investment Manager

The AIFM has delegated its portfolio management function regarding AESIF Fund to Ares Management Limited, the Investment Manager pursuant to the terms of the Investment Management Agreement. The Investment Manager has discretion to make Investments on behalf of AESIF Fund.

The Investment Manager is an affiliate of Ares and is authorized and regulated by the FCA. The Investment Manager is responsible for initiating, structuring and negotiating AESIF Fund's Investments and managing the Debt and Other Instruments. In addition, the Investment Manager actively manages each Investment to seek to maximize cash flow and, ultimately, the value of each Investment.

The investment committee of AESIF Fund is comprised of senior and experienced investment professionals at Ares (the "**AESIF Investment Committee**"). All Investments led by AESIF are reviewed and approved by the AESIF Investment Committee. The composition of the AESIF Investment Committee is available at the registered office of AEFS SICAV.

The AESIF Investment Committee process emphasizes a consensus-based approach to portfolio selection among the members and is the same process that Ares has adopted since inception. In addition, AESIF will benefit from the breadth of the entire Ares credit platform, including the various investment, asset management, portfolio operations, finance, investor relations, and legal and compliance professionals located around the globe.

Non-Exclusivity

The functions and duties which the Investment Manager and/or any of its affiliates undertake on behalf of AESIF Fund will not be exclusive and they perform similar functions and duties for themselves and for others and, without limitation, act as manager, investment advisor, general partner (or equivalent) in respect of other funds, accounts or other products.

IX. REGULATORY CONSIDERATIONS

AIFM Directive Leverage

The AIFM has established a maximum level of leverage for AESIF Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of AESIF Fund of 500% and 175%, respectively (the “**AIFM Rules Leverage Restrictions**”). Compliance with the AIFM Rules Leverage Restrictions will be determined on a quarterly basis. If these AIFM Rules Leverage Restrictions were ever exceeded after leverage has been incurred by AESIF Fund, the Investment Manager will make commercially reasonable efforts to bring AESIF Fund’s exposure back into compliance with the maximum level of leverage, but such event will not constitute a breach of an investment restriction adopted by AESIF Fund or a “trade error” for any purpose. The AIFM may increase AESIF Fund’s maximum leverage exposure from time to time. If the AIFM increases such maximum level of exposure, it will provide notice in writing to Shareholders in the next regularly scheduled notice to Shareholders.

Liquidity management tools

With respect to the liquidity management tools (each a “**LMT**”) listed under Annex V to the AIFM Directive, the AIFM currently uses the following LMTs with respect to AESIF Fund: (i) extension of notice periods in accordance with Section V: “*Subscriptions, Redemptions and Other Transactions*” of this Annex and (ii) redemptions in kind in accordance with Subsection 5: “*Payment of the Redemption Price in Kind*” of Section V: “*Subscriptions, Redemptions and Other Transactions*” of the General Section of the Prospectus. The AIFM shall only use redemptions in kind as a LMT for AESIF Fund to satisfy Redemptions Requests submitted by Professional Investors.

The AIFM will only use the suspension of redemptions and subscriptions as an additional LMT in “*exceptional circumstances*”, as such term is defined in the ESMA Guidelines on liquidity management tools (LMTs) of UCITS and open-ended AIFs. Notwithstanding anything to the contrary in this Prospectus, the AIFM may suspend redemptions without simultaneously suspending subscriptions in all other circumstances, as detailed in this Annex.

The AIFM may use additional LMTs listed under Annex V of the AIFM Directive from time to time, as further communicated to investors, and LMTs that are not listed under Annex V of the AIFMD Directive including without limitation, the Early Redemption Deduction, the Redemption Fee and the redemption limitations, as further detailed in this Annex. For the avoidance of doubt, the AIFM may use all LMTs (other than the suspension of redemptions and subscriptions) during both normal and stressed market conditions.

X. RISK FACTORS AND OTHER CONSIDERATIONS

Most of the following risk factors apply both to AESIF and to any relevant Other Ares Funds in which AESIF has invested (directly or indirectly). Therefore, potential Shareholders should assume references to AESIF herein include references to Other Ares Funds as well, to the extent AESIF is invested in such Other Ares Funds, unless the context indicates otherwise.

Risk Factors Relating to Investments in AESIF

Diversification Risk.

AESIF is subject to restrictions on the size of Investments such that it will not at any one time directly or indirectly, through the AESIF Aggregator, invest and hold more than 20% of its NAV in any single Investment as measured at the time of acquisition; *provided* that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the Investment Manager under the oversight of the AIFM, which may include Other Ares Funds. No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring AESIF Fund within this 20% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of AESIF or any of its underlying investors. For the purpose of the foregoing limitations, the amount invested in any Investment will be net of indebtedness and take into account the allocated or expected indebtedness that the Investment Manager deems related to the Investment being acquired, whether incurred specifically at the Investment level or allocated from other vehicle indebtedness.

This 20% diversification requirement will not apply during the Ramp-Up Period. The Investment Manager may also impose additional limitations on its discretion based on the underlying investors in AESIF Fund.

Accordingly, AESIF may participate in a limited number of Investments and, as a consequence, the aggregate return of AESIF may be substantially adversely affected by the unfavorable performance of even a single Investment. In addition, other than as set forth in Section III: “*Investment Information*” of this Annex, investors have no assurance as to the degree of diversification of AESIF Investments, either by geographic area, asset type or sector. To the extent AESIF concentrates Investments in a particular issuer, asset type, industry, security or geographic area, its Investments will become more susceptible to fluctuations in value resulting from adverse economic, political, regulatory, technological, industry and/or business conditions with respect thereto. These risks may be further pronounced where an Investment is secured by a relatively small or less diverse pool of underlying assets. Certain geographic areas and/or industries may be more adversely affected by economic pressures when compared to other geographic areas and/or industries. As a consequence, the aggregate return of AESIF may be adversely affected by the unfavorable performance of one or a small number of Investments, or unfavorable developments in one or a small number of countries or industries. Moreover, there are no assurances that any or all of AESIF’s Investments will perform well or avoid loss, and if certain Investments perform unfavorably, for AESIF to achieve above-average returns, one or a few of its Investments must perform very well. There are no assurances that this will be the case.

Since AESIF invests primarily in the credit markets, its portfolio may not be as diversified as other investment vehicles. Accordingly, AESIF’s Investments may be subject to more rapid change in value than would be the case if AESIF were required to maintain a wide diversification among types of securities, geographical areas, issuers and/or industries. Any such non-diversification will increase the risk of loss to AESIF if there were to be a decline in the market value of any security or sector in which AESIF had invested a large percentage of its assets. Investment in a non-diversified fund will generally entail greater risks than investments in a diversified fund.

There can be no assurance that the Sponsor will be successful in identifying investment opportunities. Although AESIF may invest in Other Ares Funds, the investment portfolio of such Other Ares Funds may differ materially in terms of levels of sectoral and geographic diversification from the current investment strategy of AESIF.

Risks Associated with the Euro.

The functioning of the Euro as a single currency across the diverse economies comprising the Eurozone has sustained considerable pressure as the result of the global financial crisis and other subsequent macroeconomic events. The situation, particularly in those countries where sovereign default is perceived to be most likely, may

continue to deteriorate. It is therefore possible that the Euro may cease to be the national currency of some or even all of the countries comprising the Eurozone. If this were to occur, fluctuations in currency exchange rates of the new local currencies may cause borrowers in such countries to find it more difficult to meet their Euro repayment obligations and investors in such countries may find that the cost of meeting their commitment to AESIF increases by virtue of a comparatively valuable Euro. These events are unprecedented and it is difficult to predict with any certainty the consequences of such events on AESIF and its Investments.

Deployment of Capital.

In light of the nature of AESIF's continuous offering in relation to AESIF's investment strategy and the need to be able to deploy potentially large amounts of capital quickly to capitalize on potential investment opportunities, if AESIF has difficulty identifying and purchasing suitable Investments on attractive terms, there could be a delay between the time it receives net proceeds from the sale of Shares in this offering or any private offering and the time AESIF invests the net proceeds. AESIF may also from time to time hold cash pending deployment into Investments or have less than its targeted leverage, which cash or shortfall in target leverage may at times be significant, particularly at times when AESIF is receiving high amounts of offering proceeds and/or times when there are few attractive investment opportunities. Such cash may be held in an account for the benefit of Shareholders that may be invested in money market accounts or other similar temporary investments, each of which are subject to the Management Fee.

In the event AESIF is unable to find suitable Investments such cash may be maintained for longer periods which would be dilutive to overall investment returns. This could cause a substantial delay in the time it takes for a Shareholder's investment to realize its full potential return and could adversely affect AESIF's ability to pay regular distributions of cash flow from operations to you. It is not anticipated that the temporary Investment of such cash into money market accounts or other similar temporary investments pending deployment into Investments will generate significant interest, and Shareholders should understand that such low interest payments on the temporarily invested cash may adversely affect overall returns. In the event AESIF fails to timely invest the net proceeds of sales of Shares or does not deploy sufficient capital to meet its targeted leverage, AESIF's results of operations and financial condition may be adversely affected.

Sourcing and Payment of Distributions.

AESIF has not established a minimum distribution payment level, and AESIF's ability to make distributions to its Shareholders may be adversely affected by a number of factors, including the risk factors described in the Prospectus or this Annex. AESIF has a limited track record and may not generate sufficient income to make distributions to AESIF's Shareholders.

The Board of Directors (or its delegate) will make determinations regarding distributions based upon, among other factors, AESIF's financial performance, debt service obligations, debt covenants, tax requirements and capital expenditure requirements. Among the factors that could impair AESIF's ability to make distributions to its Shareholders are:

- AESIF's inability to invest the proceeds from sales of Shares on a timely basis;
- AESIF's inability to realize attractive risk-adjusted returns on AESIF's Investments;
- high levels of expenses or reduced revenues that reduce AESIF's cash flow or non-cash earnings; and
- defaults in AESIF's investment portfolio or decreases in the value of AESIF's Investments.

As a result, AESIF may not be able to make distributions to its Shareholders at any time in the future, and the level of any distributions AESIF does make to Shareholders may not increase or even be maintained over time, any of which could materially and adversely affect the value of a Shareholder's investment.

AESIF may not generate sufficient cash flow from operations to fully fund distributions to Shareholders, particularly during the early stages of AESIF's operations. Therefore, AESIF may fund distributions to AESIF's Shareholders from sources other than cash flow from operations, including, without limitation, the sale of assets, borrowings, return of capital or offering proceeds (including from sales from Shares or AESIF Aggregator units). The extent to which AESIF pays distributions from sources other than cash flow from operations will depend on various factors, including the level of participation in AESIF's Accumulation Sub-Classes, the extent to which the AIFM, the Investment Manager and the Recipient (and/or such other combination of persons as the Investment Manager may designate), as applicable, elect to receive Management Fee and/or Performance Participation Allocation in Shares or units of the AESIF Aggregator and the Recipient elects to receive distributions on its

Performance Participation Allocation in units of the AESIF Aggregator, how quickly AESIF invests the proceeds from this and any future offering and the performance of AESIF's Investments. Funding distributions from the sales of assets, borrowings, return of capital or proceeds of the offering will result in AESIF having less funds available to acquire Investments. As a result, the return a Shareholder realizes on its investment may be reduced. Doing so may also negatively impact AESIF's ability to generate cash flows. Likewise, funding distributions from the sale of additional securities will dilute a Shareholder's interest in AESIF on a percentage basis and may impact the value of a Shareholder's investment especially if AESIF sells these securities at prices less than the price paid for its Shares. AESIF may be required to continue to fund AESIF's regular distributions from a combination of some of these sources if AESIF's Investments fail to perform, if expenses are greater than AESIF's revenues or due to numerous other factors. AESIF has not established a limit on the amount of its distributions that may be paid from any of these sources.

To the extent AESIF borrows funds to pay distributions, it would incur borrowing costs and these borrowings would require a future repayment. The use of these sources for distributions and the ultimate repayment of any liabilities incurred could adversely impact AESIF's ability to pay distributions in future periods, decrease AESIF's NAV, decrease the amount of cash AESIF has available for operations and new investments and adversely impact the value of a Shareholder's investment.

AESIF may also defer operating expenses or pay expenses (including the fees of the Investment Manager or distributions to the Recipient) with Shares or units of the AESIF Aggregator in order to preserve cash flow for the payment of distributions. The ultimate repayment of these deferred expenses could adversely affect AESIF's operations and reduce the future return on a Shareholder's investment. AESIF may redeem Shares or redeem units of the AESIF Aggregator from the Investment Manager or the Recipient shortly after issuing such units or Shares as compensation. The payment of expenses in Shares or with units of the AESIF Aggregator will dilute a Shareholder's ownership interest in AESIF's portfolio of assets. There is no guarantee any of AESIF's operating expenses will be deferred and the Investment Manager, the AIFM and Recipient are under no obligation to receive future fees or distributions in Shares, units of the AESIF Aggregator and may elect to receive such amounts in cash.

In-Kind Remuneration to the Investment Manager, the AIFM and/or Recipient.

The Investment Manager, the Recipient, the AIFM and/or such other person or combination of persons as the Investment Manager may designate may choose to receive Shares or units of the AESIF Aggregator *in lieu* of certain fees or distributions. The holders of all units of the AESIF Aggregator are entitled to receive cash from operations pro rata with the distributions being paid to AESIF and such distributions to the holder of units of the AESIF Aggregator will reduce the cash available for distribution to AESIF and to its Shareholders. Furthermore, under certain circumstances units of the AESIF Aggregator held by the Investment Manager, the Recipient, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, are required to be redeemed, in cash at the relevant holder's election, and there may not be sufficient cash to make such a redemption payment; therefore, AESIF may need to use cash from operations, borrowings, offering proceeds or other sources to make the payment, which will reduce cash available for distribution to Shareholders or for investment in AESIF's operations. Redemptions of Shares or AESIF Aggregator units paid to the AIFM (and/or such other combination of persons as the Investment Manager may designate) as a Management Fee are not subject to the monthly and quarterly volume limitations, any Early Redemption Deduction or any Redemption Fee, and such sales receive priority over other Shares being put for redemption during such period. Redemptions of Shares or AESIF Aggregator units allocated to the Recipient with respect to the Performance Participation Allocation will be subject to the volume limitations in Section V: "*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*" of this Annex but not the Early Redemption Deduction or the Redemption Fee (as applicable), and do not receive priority over other Shares being put for redemption during such period.

Reinvestment of Distributions.

Shareholders that subscribe for Accumulation Sub-Class Shares, will, in lieu of receiving cash distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. If such amounts are reinvested, such Shareholders will remain exposed to risks associated with such investments.

No Right to Control AESIF.

The Sponsor will have exclusive responsibility for AESIF's activities, and, other than as set forth herein and in the Articles, Shareholders will not be able to make investments or any other decisions concerning the management of AESIF. Shareholders have no rights or powers to take part in the management of AESIF or make investment decisions and will not generally receive the amount of any Portfolio Entity's financial information that is generally

available to the AIFM. The AIFM will generally have sole and absolute discretion in structuring, negotiating and purchasing, financing and eventually divesting Investments on behalf of AESIF (subject to specified exceptions). Accordingly, no person should purchase a Share unless such person is willing to entrust all aspects of the management of AESIF to the AIFM.

Lack of Liquidity.

There is no current public trading market for the Shares, and the Sponsor does not expect that such a market will ever develop. Therefore, redemption of Shares by AESIF will likely be the only way for a Shareholder to dispose of its Shares. AESIF expects to redeem Shares at a price equal to the applicable NAV as of the Redemption Date and not based on the price at which such Shareholder initially purchased its Shares.

Subject to limited exceptions, Shares of certain Share Classes (as set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*” of this Annex) that are redeemed within eighteen (18) months of the date of issuance will be redeemed at 95% of the applicable NAV as of the Redemption Date. Redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of 5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date) if such redemption occurs within the first eighteen (18) months of the relevant Shareholder’s initial subscription to such Class D Shares or Class E Shares, as applicable, as determined by the Investment Manager in its sole discretion from time to time. As a result, a Shareholder may receive less than the price paid for its Shares when such Shareholder redeem Shares pursuant to AESIF’s redemption program. See Section V: “*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*” of this Annex.

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AESIF, including redemptions in all Parallel Entities and the AESIF Aggregator, but excluding any Early Redemption Deduction and/or any Redemption Fee applicable to the redeemed Shares) is generally limited to 2% of aggregate NAV per calendar month of all Parallel Entities and the AESIF Aggregator (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter) and 5% of such aggregate NAV per calendar quarter (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter), except in the exceptional circumstances set out in this Annex. In any given calendar quarter, excess redemption capacity under the 2% monthly limitation described in the foregoing will be rolled into the subsequent month of such calendar quarter and be available for further redemptions in such calendar quarter only. For the avoidance of doubt, both of these limits are assessed during each month in a calendar quarter and are based on net redemptions (as defined below) during a month or quarter, as applicable, unless otherwise notified to Shareholders pursuant to this Annex.

In exceptional circumstances and not on a systematic basis, AESIF Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in AESIF’s best interest and the best interest of AESIF’s investors as a whole, such as when redemptions of Shares would place an undue burden on AESIF’s liquidity, adversely affect AESIF’s operations, risk having an adverse impact on AESIF that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to the 2% monthly or 5% quarterly limitations on redemptions and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AESIF’s best interest and the best interest of AESIF’s investors.

In the event that, pursuant to the limitation above, not all of the Shares submitted for redemption during a given month are to be accepted for redemption by AESIF Fund, Shares submitted for redemption during such month will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AESIF if applicable). Unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date in the manner as described above in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” of this Annex. Settlements of any redemptions will generally be made by the relevant Settlement Date, i.e. within two (2) Business Days from the relevant NAV Release Date (e.g., a Shareholder requesting a June 30th redemption would generally be expected to receive a settlement on or around July 25th of the same year). As a result, a Shareholder will experience significant delays in realizing liquidity even when its Redemption Request is accepted.

The vast majority of AESIF’s assets are expected to consist of Investments that cannot generally be readily liquidated without impacting AESIF’s ability to realize full value upon their disposition. Therefore, AESIF may not always have a sufficient amount of cash to immediately satisfy Redemption Requests. As a result,

Shareholder's ability to have its Shares redeemed by AESIF may be limited and at times a Shareholder may not be able to liquidate its investment. Please refer to Section V: "*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*" of this Annex.

Effect of Redemption Requests.

Economic events affecting the European economy could cause Shareholders to seek to sell their Shares to AESIF pursuant to AESIF's redemption program at a time when such events are adversely affecting the performance of AESIF's assets. Even if the Investment Manager decides to satisfy all resulting Redemption Requests, AESIF's cash flow could be materially adversely affected. In addition, if AESIF determines to sell assets to satisfy Redemption Requests, it may not be able to realize the return on such assets that it may have been able to achieve had it sold at a more favorable time, and AESIF's results of operations and financial condition, including, without limitation, breadth of its portfolio by property type and location, could be materially adversely affected.

Compulsory Redemptions.

In accordance with the Prospectus and the Articles, the Board of Directors (or its delegate) may compulsorily redeem all or any part of the Shares of any Shareholder in the circumstances set out in Section V: "*Subscriptions, Redemptions and Other Transactions*" of the Annex or if it discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person, either alone or in conjunction with any other person, whether directly or indirectly, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such compulsory redemptions will generally be subject to the same terms as voluntary redemptions of Shareholders (including the limitations imposed thereon), unless otherwise determined by the Board of Directors or its delegate in its sole discretion.

Fees Paid by Advisory Investors.

Shareholders (or their brokers on their behalf) may elect to be treated as "advisory investors" and in connection therewith, by virtue of holding Class A Shares, Class A-Italy Shares and Class B Shares, bear a larger amount of fees than investors that are not "advisory investors" for reporting, administrative and other services provided by such advisory investor's registered investment adviser, adviser representative or other financial intermediary. Some or all of the Servicing Fee payable in respect of a Class A, Class A-Italy or a Class B Shareholder's investment may be allocated to such Shareholder's financial intermediary through which such Shareholder was placed in AESIF. Any amounts allocated in accordance with the foregoing sentence will compensate such financial intermediary for reporting, administrative and other services provided to a Shareholder by such financial intermediary. The receipt of the Servicing Fee by a Shareholder's financial intermediary will result in a conflict of interest.

Discretionary Expense Cap.

The Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AESIF Fund and/or the AESIF Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AESIF Fund, the AESIF Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed. By subscribing for Shares, Shareholders will be deemed to have acknowledged and agreed that: (i) this discretionary expense cap will lower the Operating Expenses and/or Organizational and Offering Expenses burden on AESIF for the period in time the cap is in place (resulting in a greater NAV per Share during such period than would otherwise be the case), and consequently defer expenses to later periods; (ii) they may be required to bear a portion of Organizational and Offering Expenses and/or Operating Expenses relating to periods prior to their admission into AESIF Fund; (iii) Shareholders redeeming their Shares before the complete reimbursement of Organizational and Offering Expenses and/or Operating Expenses, will bear a lower amount of Organizational and Offering Expenses and/or Operating Expenses than would have otherwise be the case, should the discretionary cap not have been in place; and (iv) Shareholders redeeming their Shares before the Effective Date will bear no Organizational and Offering Expenses and limited Operating Expenses (but will be subject to the Early Redemption Deduction and/or any Redemption Fee).

AESIF has limited prior operating history.

AESIF is a collection of recently formed special purpose entities and has limited prior operating history or track record, and will be entirely dependent on the Investment Manager and the AIFM. While the principals of the Investment Manager and the AIFM (the “**Principals**”) may have previous experience making and managing investments similar to those contemplated by AESIF, there can be no assurance that AESIF’s Investments will achieve results similar to those attained by previous investments of the Principals. In addition, AESIF’s Investments may differ from previous investments made by the Principals in a number of respects, including target return levels, level of risk associated with a particular investment, amount invested in a particular company, types of companies within a particular industry sector, amount of leverage used, structure, and holding period.

All AESIF entities may be jointly responsible for the repayment of Fund indebtedness.

To the extent permitted, AESIF may utilize indebtedness secured by investments by AESIF. Indebtedness secured by subscriptions may be structured in a way that the vehicles comprising AESIF are jointly responsible on a cross-collateralized basis for the repayment of such indebtedness.

Early termination of AESIF.

It is possible that AESIF may be dissolved and terminated prematurely and, as a result, may not be able to accomplish its objectives and may be required to dispose of its Investments at a disadvantageous time or make an in-kind distribution (resulting in Shareholders not having their capital invested and/or deployed in the manner originally contemplated).

SFDR Categorization.

AESIF is intended to be classified as an Article 8 financial product for the purposes of SFDR. There is legal uncertainty around the parameters applicable when categorizing a financial product under SFDR and there is no guarantee that regulators will agree with the relevant characterization. In circumstances where there is a determination that AESIF has been characterized incorrectly, there could be a risk of investigation, enforcement proceedings and/or sanctions.

Furthermore, certain aspects of the reporting requirements applicable to Article 8 financial products are currently uncertain and market practice is yet to evolve. Certain SFDR supporting and related regulations are likely to be amended in the near to medium term and new guidance may also be issued by the European Supervisory Authorities. These factors and events have the potential to increase related compliance and other costs which would be borne by AESIF. For further information with respect to the potential risks arising from SFDR categorization, please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*”.

Further information with respect to the SFDR categorization of AESIF can be found in the pre-contractual disclosures for Article 8 financial products, included at Schedule 1: “Sustainability-Related Disclosures” to this Annex.

Risk Factors Relating to AESIF’s Assets**Nature of AESIF’s Investments.**

Whilst AESIF is being formed principally to originate private loans to underlying issuers, it may also capitalize on investments in syndicated loans, high-yield bonds, CLOs, and to a more limited extent, CMBS and rated private ABS. Such securities and instruments may be below “investment grade” or non-rated and may face ongoing uncertainties and exposure to adverse business, financial or economic conditions which could lead to the obligor’s inability to meet timely interest and principal payments. AESIF may lose a substantial portion or all of its Investment in a distressed environment or may be required to accept cash or securities with a value less than AESIF’s Investment. Among the risks inherent in investments (direct or indirect) in entities experiencing significant financial or business difficulties is the fact that it frequently may be difficult to obtain information as to the true condition of such issuers. Such investments also may be adversely affected by state and federal laws relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the bankruptcy court’s discretionary power to disallow, subordinate or disenfranchise particular claims. The market prices of such instruments are also subject to abrupt and erratic market movements and above-average price volatility, and the spread between the bid and asked prices of such instruments may be greater than normally expected due to a variety of factors that are inherently difficult to predict, such as domestic or international economic and political

developments, which may significantly affect the results of AESIF's activities. While such investments offer the opportunity for significant capital gains, they also involve a high degree of risk that may result in substantial losses. There can be no assurance that the Investment Manager will correctly evaluate the nature and magnitude of the various factors that could affect the value of AESIF's Investments. As a result, AESIF's performance over a particular period may not be indicative of the results that may be expected in future periods.

Reliance on Underlying Issuers' Management.

AESIF may be significantly reliant on the existing management and board of directors of the entities in which it invests, which may include representation of other financial investors with whom AESIF is not affiliated and whose interests may conflict with the interests of AESIF. In addition, to the extent AESIF acquires mezzanine obligations (which are typically junior to the obligations of a borrower to senior creditors, senior secured creditors and trade creditors), the ability of AESIF to use its position as a holder of mezzanine debt to influence a borrower's affairs, especially during periods of financial distress or following an insolvency, will be substantially less than that of senior creditors and senior secured creditors.

Portfolio Risk Factors.

It is expected that a portion of the underlying investments will be rated below investment grade, and will have greater credit and liquidity risk than debt with an investment grade rating. The risks of debt instruments include (among others): (a) limited liquidity and secondary market support, (b) the possibility that earnings of the relevant obligor may be insufficient to meet its debt service, (c) the declining creditworthiness and potential for (or actual) insolvency of the relevant obligor of such debt during periods of economic downturn, (d) that the relevant obligor is often a small or mid-size company serving only local or regional interests, (e) spread compression over the reference interest rate available for reinvestment during any period in which prepayments are received and (f) if subordinated, subordination to the prior claims of other debt or senior lenders. Debt instruments are generally subject to market value volatility that may not be apparent from historical volatility studies and that could be significant at times. An economic downturn could severely disrupt the market for debt instruments and adversely affect the value of outstanding debt and the ability of the borrowers thereof to repay principal and interest. Moreover, the default history for debt instruments is limited, actual defaults may be greater than indicated by historical data and the timing of defaults may vary significantly from historical observations.

In certain circumstances, the collateral securing a debt instrument, if any, might not be sufficient to satisfy the relevant obligor's obligations in the event of nonpayment of scheduled interest or principal, and may be difficult to liquidate on a timely basis. Additionally, a decline in the value of the collateral could cause the debt to become substantially unsecured, and circumstances could arise (such as in the bankruptcy of a borrower) which could cause the security interest in the debt instrument's collateral to be invalidated.

The portfolio may also include unsecured debt instruments. Unsecured debt instruments are subject to the same investment risks generally applicable to debt instruments described above but are subject to additional risk that the assets and cash flow of the relevant obligor may be insufficient to repay the scheduled payments to the lender after giving effect to any secured obligations of the relevant obligor. Unsecured debt instruments will be subject to certain additional risks to the extent that such debt may not be protected and such debt is not secured by collateral, financial covenants or limitations upon additional indebtedness. Unsecured debt instruments are also expected to be more illiquid than senior secured debt instruments for this reason.

General market and credit and interest rate risks that affect debt instruments generally.

Debt instruments are subject to general market and credit and interest rate risks. Credit risk refers to the likelihood that an obligor will default on the payment of principal, interest or other amounts owed on an instrument. Certain investments may have an interest-only payment schedule with the principal amount remaining outstanding and at risk until the maturity of the investment. Financial strength and solvency of an obligor are the primary factors influencing credit risk, but other factors, including, but not limited to, an obligor's failure to meet its business plan, a downturn in its industry or negative economic conditions may also contribute to credit risk. In addition, lack of, inadequacy of, or a deterioration in value of, collateral or other assets expected to be the source of repayment or credit enhancement for a debt instrument may affect its credit risk. Although AESIF will seek to be the senior, secured lender to an obligor in most instances, some of AESIF's loans and other investments in an obligor (including potential equity investments) may be subordinated to a senior lender, and AESIF's interest in any collateral would, accordingly, likely be subordinate to another lender's security interest. Credit risk may change over the life of an instrument and debt instruments that are rated by rating agencies are subject to downgrade at a later date. There can be no assurance that the AIFM will be successful in assessing the credit risk of the different portfolio investments or mitigating the impact of credit risk changes on AESIF.

Interest rate risk refers to the risks associated with market changes in interest rates. Interest rate changes may affect the value of a debt instrument indirectly (especially in the case of fixed rate obligations) or directly (especially in the case of instruments whose rates are adjustable). In general, rising interest rates will negatively affect the price of a fixed rate debt instrument and falling interest rates will have a positive effect on the price of a fixed rate debt instrument. Adjustable rate instruments also react to interest rate changes in a similar manner although generally to a lesser degree (depending, however, on the characteristics of the reset terms, including the index chosen, frequency of reset and reset caps or floors, among other factors). Interest rate sensitivity is generally more pronounced and less predictable in instruments with uncertain payment or prepayment schedules. In addition, interest rate increases generally will increase the interest carrying cost to AESIF of borrowed securities.

Volatility of leveraged loan and credit markets.

Significant risks for AESIF and the Shareholders exist as a result of the potential for disruptions in the credit markets and uncertain economic conditions. These risks include, among others, (i) the likelihood that AESIF may find it more difficult to sell any of its assets in the secondary market, thus rendering it more difficult to dispose of such assets if and when it desires to sell them, (ii) the possibility that the price at which assets can be sold by AESIF will have deteriorated from the cost of such investment to AESIF, (iii) the possibility of accelerated prepayments of attractively priced (i.e., the all-in yield), structured or performing assets of AESIF as a result of increased liquidity and competition in the middle-market private debt asset class driven by economic conditions, relative performance, monetary policy or other governmental action or other factors and (iv) the impact of adverse economic conditions on the obligors of AESIF's assets. These risks may affect the returns, if any, to the Shareholders or the ability of AESIF to return any or all of the Shareholders' investments.

Disruptions in the credit markets may reduce opportunities for AESIF to make investments, and may also heighten refinancing risk in respect of maturing assets of AESIF. Any events that slow, delay or reverse economic recovery or cause a deterioration in loan performance generally may affect the returns, if any, to the Shareholders or the ability of AESIF to return any or all of the Shareholders' contributions.

Negative macroeconomic conditions may adversely affect the credit rating (if any), performance and the realization value of AESIF's assets. It is possible that AESIF's assets will experience higher default rates and lower recovery rates than anticipated and that performance will be materially worse than expected.

The bankruptcy or insolvency of a major financial institution may have a material adverse effect on AESIF, particularly if such financial institution is the administrative agent of an asset of AESIF or is otherwise the counterparty to a contract with AESIF (including a hedging-related contract). In addition, the bankruptcy, insolvency or financial distress of one or more additional financial institutions, or one or more sovereigns, could trigger additional disruptions in the global credit markets or the global economy which could have a material adverse effect on AESIF and its assets.

“Shadow Banking” regulation.

There has been increasing commentary among regulators and intergovernmental institutions, including the Financial Stability Board and International Monetary Fund, on the topic of non-bank financial intermediation (which has also been referred to as “shadow banking”). These terms are generally taken to refer to credit intermediation involving entities and activities outside the regulated banking system. The Financial Stability Board issued numerous reports recommending strengthening oversight and regulation of the non-bank financial intermediation in Europe, including steps to define the scope of the non-bank financial intermediation and proposing general governing principles for a monitoring and regulatory framework. While at this stage, it is difficult to predict the scope of any new regulations, if during AESIF's term such regulations were to extend the regulatory and supervisory requirements currently applicable to banks, such as capital and liquidity standards, to AESIF, the regulatory and operating costs associated therewith could adversely impact the implementation of AESIF's investment strategy and AESIF's returns and could become prohibitive with respect to AESIF's Investments.

Credit Servicers and Purchasers Directive.

The EU's Directive on credit servicers and credit purchasers (the “**Credit Servicers and Purchasers Directive**”) ((EU) 2021/2167) had to be implemented into national legislation by EU Member States by 29 December 2023. The Credit Servicers and Purchasers Directive imposes new requirements on purchasers of non-performing loans issued by EU credit institutions, whether purchased from the original issuer or on the secondary market. AESIF will be in scope of these new rules if it purchases such non-performing loans (or purchases loans issued by an EU credit institution that subsequently become non-performing loans) and will be required to appoint a credit servicer for non-performing loans concluded with consumers.

Identifying which non-performing loans purchased on the secondary market were originated by an EU credit institution may prove difficult. In addition, borrowers must be identified and provided with information including details of any transfer of creditors' rights and the amounts due. Such requirements are likely to result in additional compliance and operational costs for AESIF.

Limited Amortization Requirements.

AESIF may invest in loans that have limited mandatory amortization requirements. While these loans may obligate an issuer to repay the loan out of asset sale proceeds or with annual excess cash flow, repayment requirements may be subject to substantial limitations that would allow an issuer to retain such asset sale proceeds or cash flow, thereby extending the expected weighted average life of the Investment. In addition, a low level of amortization of any debt over the life of the Investment may increase the risk that the issuer will not be able to repay or refinance the loans held by AESIF when it matures.

Investments by AESIF in special situations may involve additional risks.

AESIF may provide financing to companies involved in (or the target of) acquisition attempts or tender offers or companies involved in work-outs, liquidations, spin-offs, reorganizations, bankruptcies and similar transactions. In any investment transaction involving any such type of business enterprise, there exists the risk that the transaction in which such business enterprise is involved either will be unsuccessful, will take considerable time or will result in a distribution of cash or a new security the value of which will be less than the purchase price paid by AESIF of the security or other financial instrument in respect of which such distribution is received. Similarly, if such an anticipated transaction does not in fact occur, AESIF may lose all or a material portion of its Investment. Because there is substantial uncertainty concerning the outcome of transactions involving financially troubled companies in which AESIF may invest, there is a potential risk of loss by AESIF of its entire investment in such companies. In connection with such transactions (or otherwise), AESIF may purchase securities on a when-issued basis, which means that delivery and payment take place sometime after the date of the commitment to purchase and is often conditioned upon the occurrence of a subsequent event, such as approval and consummation of a merger, reorganization or debt restructuring. The purchase price and/or interest rate receivable with respect to a when-issued security are fixed when AESIF enters into the commitment. Such securities are subject to a change in value prior to their delivery.

Concentration in any one obligor, region or industry would subject AESIF to a greater degree of risk.

Some concentration with respect to particular obligors, regions and industries is expected to exist in AESIF's investment portfolio. In addition, because redemptions and repayments of assets will occur, a concentration in any one obligor, region or industry may occur or increase over time. Any such concentration would subject AESIF to a greater degree of risk with respect to the impact of a default by such obligor, or a greater degree of risk related to adverse business conditions in such region or industry.

Any credit ratings of AESIF's assets or the applicable obligor(s) represent the applicable rating agencies' opinions or estimates regarding credit quality and are not a guarantee of quality.

Credit ratings of debt obligations or obligor(s) represent the rating agencies' opinions or estimates regarding their credit quality and are not a guarantee of quality. In addition, rating agencies attempt to evaluate the safety of principal and interest payments and do not evaluate the risks of fluctuations in market value. Therefore, such credit ratings may not fully reflect the true risks of an investment. Also, rating agencies may fail to make timely changes to their credit ratings in response to subsequent events and an obligor's current financial condition may be better or worse than a rating indicates.

AESIF's assets are subject to certain bankruptcy considerations which may affect AESIF's rights.

AESIF may hold investments in obligors that are experiencing, or are expected to experience, severe financial difficulties, which may never be overcome and may lead to uncertain outcomes. The bankruptcy courts of the various jurisdictions in which any such obligor may file bankruptcy would have broad discretion to control the terms of a reorganization, and political factors may be of significant importance in high profile bankruptcies or bankruptcies in particular jurisdictions.

There are a number of significant risks inherent in the bankruptcy process. While creditors are generally given an opportunity to object to significant actions, there can be no assurance that a bankruptcy court, in the exercise of its broad powers, would not approve actions that would be contrary to the interests of AESIF. For example, to protect net operating losses of an obligor in bankruptcy, a bankruptcy court might take any number of actions, including prohibiting or limiting the transfer of claims held by certain classes of creditors. Such a prohibition

could have a material adverse effect on the value of certain investments made by AESIF. For example, AESIF might be prohibited from liquidating investments which are declining in value.

In addition, under certain circumstances, a lender who has inappropriately exercised control of the management and policies of an obligor may have their claims subordinated or disallowed or may be found liable for damages suffered by parties as a result of such actions. In addition, under certain circumstances, payments to AESIF and distributions by AESIF to the Shareholders may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance, a preferential payment or similar transaction under applicable bankruptcy or other insolvency laws. Furthermore, investments may be adversely affected by statutes related to, among other things, fraudulent conveyances, voidable preferences, lender liability or the bankruptcy court's discretionary power to disallow, subordinate or disenfranchise particular claims or re-characterize investments made in the form of debt as equity contributions.

The possibility of litigation between the participants to a reorganization is another consideration that makes any evaluation of the outcome of an investment uncertain. Such uncertainties may also be increased by legal or other factors that limit the ability of the AIFM to obtain reliable or timely information concerning material developments affecting an obligor or that may lengthen a reorganization or liquidation proceeding.

Repayment of a significant portion of AESIF's assets is subject to the obligors' ability to refinance such assets at or prior to their maturity.

A significant portion of AESIF's assets will consist of loans for which most or all of the principal is due at maturity. The ability of the obligor(s) under such loan to make such a large payment upon maturity typically depends upon its ability to refinance the loan prior to maturity. The ability of an obligor to consummate a refinancing will be affected by many factors, including the availability of financing at acceptable rates to such obligor, the financial condition of such obligor, the marketability of the collateral (if any) securing such loan, the operating history of the obligor and related businesses, tax laws and prevailing general economic conditions. Additionally, middle-market obligors generally have more limited access to capital and higher funding costs, may be in a weaker financial position, may need more capital to expand or compete, and may be unable to obtain financing from public capital markets or from more traditional sources, such as commercial banks. Consequently, such obligor may not have the ability to repay the loan at maturity and, unless it is able to refinance such loan, it could default in payment at maturity, which could result in losses to AESIF and, indirectly, to the Shareholders.

Significant numbers of obligors are expected to need to refinance their debt over the next few years, and significant numbers of collateralized loan obligation transactions (historically an important source of funding for loans) have reached or are close to reaching the end of their reinvestment periods or the final maturities of their own debt. As a result, there could be significant pressure on the ability of obligors to refinance their debt over the next few years unless a significant volume of new collateralized loan obligation transactions or other sources of funding develop. If such sources of funding do not develop, significant defaults in AESIF's assets could occur, and there could be downward pressure on the prices and markets for debt instruments, including assets held by AESIF.

Projections, forecasts and estimates may vary significantly from actual results.

Projected operating results of an Underlying Issuer in which AESIF invests normally will be based primarily on financial projections prepared by such company's management, with adjustments to such projections made by the Investment Manager in its discretion. Any projections, forecasts or estimates provided to the Shareholders are forward-looking statements and are necessarily speculative in nature. Such projections are only estimates of future results that are based upon information received from the company and third parties and assumptions made at the time the projections are developed. It should be expected that some or all of the assumptions underlying such projections, forecasts or estimates (not all of which will have been disclosed to the Shareholders) will not materialize or will vary significantly from actual results. Accordingly, actual results will vary from such projections, forecasts or estimates, and such variations may be material.

Financial projections are by their nature inherently subject to risk and are dependent upon a number of factors, many of which are not within the control of AESIF. Some important factors that could cause actual results to differ materially from those in any forward-looking statements, including any such projections, forecasts or estimates, include changes in interest rates, loan pricing, leverage levels, loan structures, credit agreement terms, prepayment rates, timing of acquiring additional assets for AESIF, exchange rates or default or recovery rates or timing; market, financial or legal uncertainties; differences in the actual allocation of AESIF's assets among asset categories from those assumed; and mismatches between the timing of accrual and receipt of proceeds from AESIF's assets, among others.

None of AESIF, the Investment Manager, the AIFM, their respective affiliates or any other person has any obligation to update or otherwise revise any projections, forecasts or estimates, including any revisions to reflect changes in economic conditions or other circumstances arising after the date of such projections, forecasts or estimates or to reflect the occurrence of unanticipated events, even if the underlying assumptions do not come to fruition. Shareholders should not rely on any projections, forecasts or estimates and each Shareholder does so at its own risk.

Each prospective investor should conduct its own investigation and analysis of its prospective investment in AESIF and consult its own investment, financial, legal, tax, accounting, regulatory and other applicable advisors.

Over-Commitment, Syndication and Sub-Participation.

Where AESIF structures sales of interests in investments by way of sub-participation (“**Participations**”), typically this results in the purchaser (whether a co-investor, Other Ares Fund, or other person), having a contractual relationship with AESIF only and not with the underlying borrower to which such Participation relates. Given AESIF will remain the party to the loan agreement with the borrower in respect of the Participation, if the purchaser of such Participation from AESIF fails to fund all or a portion of such Participation when required, AESIF will be contractually responsible to fund such amount. Participations between AESIF and an Other Ares Fund are expected to therefore present additional on-going risks and conflicts of interest relating to the terms and operation of such Participations including but not limited to: (i) the rights and timings of payments; (ii) rights of set-off; (iii) rights to enforce compliance by the underlying borrower with the terms of the applicable underlying loan agreements; (iv) the benefit (direct or otherwise) to any collateral supporting the underlying loan; (v) rights arising on the insolvency of the underlying borrower; (vi) seniority and ranking of claims against the underlying borrowers; (vii) the administration of the underlying loans, including with respect to the amendment of documents; (viii) voting rights and related repurchase rights; and (ix) rights relating to any representations or warranties made between the seller and purchaser of any Participation relating to the underlying loan, the underlying borrower, the underlying documentation or any related collateral. In addition to Participations between AESIF and other persons as outlined above, for limited circumstances for regulatory, legal, commercial or tax reasons, one or more entities within AESIF structure may enter into a Participation with other entities of AESIF.

Senior Loans.

AESIF’s Investments may be comprised (directly or indirectly) of senior secured loans. Senior loans are of a type generally incurred by obligors in connection with highly leveraged transactions, often (although not exclusively) to finance internal growth, pay dividends or other distributions to the equity holders of the obligor, or finance acquisitions, mergers, and/or stock purchases. As a result of the additional debt incurred by an obligor in the course of such a transaction, the obligor’s creditworthiness is typically judged by rating agencies to be below investment grade. Although senior loans are typically at the most-senior level of the capital structure (with mezzanine loans being subordinated to any senior loans or to any other senior debt of the obligor), if a borrower under a senior loan defaults or becomes insolvent, only a fraction of what is owed may be recovered on the senior loan (or nothing at all). Senior loans are often secured by specific collateral, including but not limited to, trademarks, patents, accounts receivable, inventory, equipment, buildings, real estate, franchises and common and preferred stock of the obligor and its subsidiaries and any applicable associated liens relating thereto; while mezzanine loans may have the benefit of a second priority lien or charge over such assets.

Although senior loans and mezzanine loans are typically secured by collateral, there can be no assurance that such collateral could be readily liquidated or that the liquidation of such collateral would satisfy the borrower’s obligation in the event of non-payment of scheduled interest or principal. Such collateral may be subject to complex, competing legal claims. In addition, the security granted in respect of such investments may be unperfected for a variety of reasons, including the failure to make required filings by lenders, and other creditors may have priority over such investments.

Senior loans and mezzanine loans also generally provide for restrictive covenants designed to limit the activities of the obligors thereunder in an effort to protect the rights of lenders to receive timely payments of interest on, and repayment of, principal of the loans. Such covenants may include restrictions on dividend payments, specific mandatory minimum financial ratios, limits on total debt and other financial tests. A breach of covenant (after giving effect to any cure period) under a senior loan or mezzanine loan which is not waived by the lending syndicate normally is an event of acceleration which allows the syndicate to demand immediate repayment in full of the outstanding loan. However, although any particular senior loan or mezzanine loan may share many similar features with other loans and obligations of its type, the actual terms of any senior loan or mezzanine loan will have been a matter of negotiation and will be unique. Any such particular loan may contain non-standard terms and may provide less protection for creditors than may be expected generally, including in respect of covenants, events of default, security or guarantees.

Leveraged Loans.

AESIF's Investments may comprise (directly or indirectly) leveraged loans, which have significant liquidity and market value risks since they are not generally traded on organized exchange markets but are traded by banks and other institutional investors engaged in loan syndications. Because loans are privately syndicated and loan agreements are privately negotiated and customized, loans are not purchased or sold as easily as publicly traded securities. Historically the trading volume in loan markets has been small relative to high-yield debt securities markets. In addition, leveraged loans have historically experienced greater default rates than has been the case for investment grade securities. There can be no assurance as to the levels of defaults and/or recoveries that may be experienced on leveraged loans, and an increase in default levels could have a material adverse effect on AESIF.

A non-investment grade loan or debt obligation (or an interest therein) is generally considered speculative in nature and may become a defaulted obligation for a variety of reasons. A defaulted obligation may become subject to either substantial workout negotiations or restructuring, which may entail, among other things, a substantial reduction in the interest rate, a substantial write-down of principal, and a substantial change in the terms, conditions and covenants with respect to such defaulted obligation. In addition, such negotiations or restructuring may be quite extensive and protracted over time, and therefore may result in substantial uncertainty with respect to the ultimate recovery on such defaulted obligation. The liquidity for defaulted obligations may be limited, and to the extent that defaulted obligations are sold, it is highly unlikely that the proceeds from such sale will be equal to the amount of unpaid principal and interest thereon. Furthermore, there can be no assurance that the ultimate recovery on any defaulted obligation will not be lower than the recovery rate assumed by the Investment Manager.

Bank Loans and Participations.

AESIF's Investments may be comprised (directly or indirectly) of bank loans acquired through assignment or participations. These obligations are subject to unique risks, including: (i) the possible invalidation of an investment transaction as a fraudulent conveyance under relevant creditors' rights laws; (ii) so-called lender-liability claims by the issuer of the obligations; (iii) environmental liabilities that may arise with respect to collateral securing the obligations; and (iv) limitations on the ability of AESIF to directly enforce its rights with respect to participations.

Interests in loans and other debt obligations may be acquired either directly (by way of novation or assignment from a lender under the related loan agreement) or indirectly (by purchasing a participation interest from a selling institution or through the acquisition of synthetic securities). The purchaser of an assignment typically succeeds to all the rights and obligations of the assigning institution and becomes a lender under the credit agreement with respect to the loan or debt obligation; however, its rights can be more restricted than those of the assigning institution. As described in more detail below, holders of participation interests and synthetic securities are subject to additional risks not applicable to a holder of a direct interest in a loan.

In purchasing participations, the purchaser will usually have a contractual relationship only with the selling institution, and not the borrower. The purchaser generally will have no right directly to enforce compliance by the borrower with the terms of the loan agreement, nor any voting rights or rights of set-off against the borrower, nor will it have the right to object to certain changes to the loan agreement agreed to by the selling institution. The purchaser may not directly benefit from the collateral supporting the related loan and may not be subject to any rights of set-off the borrower has against the selling institution. In addition, in the event of the insolvency of the selling institution, under the laws of the United States and the states thereof the purchaser may be treated as a general creditor of such selling institution, and may not have any exclusive or senior claim with respect to the selling institution's interest in, or the collateral with respect to, the loan. Consequently, the purchaser may be subject to the credit risk of the selling institution as well as of the borrower. In addition, the purchaser may purchase a participation interest from a selling institution that does not itself retain any beneficial interest in any portion of the applicable loan and, therefore, may have limited interest in monitoring the terms of the loan agreement and the continuing creditworthiness of the borrower. Certain loans or loan participations may be governed by the law of a jurisdiction other than a United States jurisdiction, which may entail similar risks to those described herein but may also present additional risks as regards the characterization under such laws of such participation in the event of the insolvency of the selling institution or the borrower.

When a purchaser holds a participation interest in a loan it will not have the right to vote under the applicable loan agreement with respect to every matter that arises thereunder, and it is expected that each selling institution will reserve the right to administer the loan sold by it as it sees fit and, subject to the terms of the participation agreement, to amend the documentation evidencing such loan in all respects. Selling institutions voting in connection with such matters may have interests different from those of the purchaser and may fail to consider the interests of the purchaser in connection with their votes.

Assignments are arranged through private negotiations between assignees and assignors, and in certain cases the rights and obligations acquired by the purchaser of an assignment may differ from, and be more limited than, those held by the assigning selling institution. As a purchaser of an assignment, the purchaser generally will have the same voting rights as other lenders under the applicable loan agreement, including the right to vote to waive enforcement of breaches of covenants or to enforce compliance by the borrower with the terms of the loan agreement, and the right to set-off claims against the borrower and to have recourse to collateral supporting the loan.

Assignments and participations are sold without recourse to the assignor or selling institution, as applicable, and the assignor or selling institution, as applicable, will generally make minimal or no representations or warranties about the underlying loan, the borrower, the documentation of the loans or any collateral securing the loans. In addition, the purchaser will be bound by provisions of the underlying loan agreements, if any, that require the preservation of the confidentiality of information provided by the borrower.

High-Yield Securities.

AESIF's Investments may be comprised (directly or indirectly) of high-yield bonds and other securities that are not investment grade. Securities in the lower rating categories are subject to greater risk of loss, as to timely repayment of principal and timely payment of interest or dividends than are higher-rated securities. They are also generally considered to be subject to greater risk than securities with higher ratings in the case of deterioration of general economic conditions. The yields and prices of lower-rated securities may tend to fluctuate more than those for higher-rated securities. In addition, adverse publicity and investor perceptions about lower-rated securities, whether or not based on fundamental analysis, may be a contributing factor in a decrease in the value and liquidity of these securities.

High-yield securities that are rated "BB" or lower by S&P Global Ratings, an S&P Global business, or "Ba" or lower by Moody's Investors Service are often referred to in the financial press as "junk bonds" and may include securities of issuers in default. "Junk bonds" are considered by ratings agencies to be predominantly speculative and may involve major risk exposures such as: (i) vulnerability to economic downturns and changes in interest rates; (ii) sensitivity to adverse economic changes and corporate developments; (iii) redemption or call provisions which may be exercised at inopportune times; and (iv) difficulty in accurately valuing or disposing of such securities.

Cov-lite Loans.

AESIF's Investments may be comprised (directly or indirectly) of "cov-lite" loans. "Cov-lite" loans typically do not obligate the obligor to comply with financial covenants that would be applicable during reporting periods. Investments comprised of "cov-lite" loans may expose AESIF to different risks, including with respect to liquidity, price volatility and ability to restructure loans, than would be the case with other loans. In addition, the lack of such financial covenants may make it more difficult to trigger a default in respect of such loans.

Second Lien Loans.

AESIF's Investments may be comprised (directly or indirectly) of second lien loans. Second lien loans are subject to the same risks associated with leveraged loans in general described above. However, a second lien loan is subordinate in right of collateral and/or payment to one or more senior secured loans of the related borrower and therefore is subject to additional risk that the cash flow of the related borrower and the collateral securing the second lien loan may be insufficient to make the scheduled payments to the lender of record after giving effect to any senior secured loans of the related obligor. The subordination of second lien loans is also expected to cause second lien loans to be more risky and more illiquid investments than senior secured loans.

Mezzanine Investments.

AESIF's Investments may be comprised (directly or indirectly) of mezzanine debt securities which are high-yield, unsecured subordinated debt obligations of an obligor that are generally rated below investment grade. Such securities, by the nature of their issuers' leveraged capital structures, involve a high degree of financial risk. These securities may be unsecured and/or subordinated to substantial amounts of senior indebtedness, all or a significant portion of which may be secured. In addition, these securities may not be protected by financial covenants or limitations upon additional indebtedness and may have limited liquidity. Mezzanine investments often reflect a greater possibility that adverse changes in the financial condition of the obligor or general economic conditions (including, for example, a substantial period of rising interest rates or declining earnings) or both may impair the ability of the obligor to make payments of principal and interest. Mezzanine investments are often issued in connection with leveraged acquisitions or recapitalizations, in which the issuer incurs a substantially higher

amount of indebtedness than the level at which it had previously operated. Some issuers of AESIF's Investments may be highly leveraged, and their relatively high debt-to-equity ratios create increased risks that their operations might not generate sufficient cash flow to service their debt obligations. Overall adverse conditions in the high-yield bond and other markets may adversely affect such issuers by inhibiting their ability to refinance their debt at maturity.

Unsecured Loans and Unsecured Bonds.

Unsecured loans are subject to the same risks associated with leveraged loans in general described herein and unsecured bonds are subject to the same risks associated with high-yield debt obligations in general described above under “—High-Yield Securities.” However, unsecured loans and unsecured bonds are not secured obligations of the related obligor and do not have the benefit of a pledge of specified property. The absence of a security interest may make unsecured loans and unsecured bonds more risky and more illiquid investments than secured loans or secured bonds.

Subordinated unsecured bonds are subject to the same risks associated with high-yield debt securities in general described above under “—High-Yield Securities.” However, a subordinated unsecured bond is subordinate in right of payment to one or more other unsecured obligations of the related obligor and therefore is subject to additional risk that the cash flow of the related obligor may be insufficient to make the scheduled payments on the subordinated unsecured bond after giving effect to any senior obligations of the obligor. The subordination of subordinated unsecured bonds also typically causes subordinated unsecured bonds to be more risky and more illiquid investments than senior obligations.

First Lien Last Out Loans.

AESIF may invest its assets in unitranche loans with “first out” and “last-out” payment streams (either set up at closing or arranged after closing by Ares) (each a “**Re-tranched Loan**”). Each Re-tranched Loan will be documented under a single credit agreement with a single set of security agreements. Re-tranched Loans effectively create senior and junior loans with so called ‘first out lenders’ (“**First Out Lenders**”) receiving payments in priority to ‘last out lenders’ (“**Last Out Lenders**”) under certain circumstances. Interest will typically be allocated in a manner which provides the First Out Lenders with an effective lower interest rate than the Last Out Lenders. In such arrangements, principal will typically be allocated pro rata as between the First Out Lenders and Last Out Lenders until the occurrence of a trigger event, following which First Out Lenders will rank in priority to Last Out Lenders in terms of both interest and principal. The trigger events are typically individually negotiated for each Re-tranched Loan, but are likely to include amongst others (1) a payment default under the credit agreement; (2) failure of the borrower to comply with all or certain financial covenants, usually within a percentage range; (3) bankruptcy and insolvency events; and (4) failure of the borrower to conduct all or a material portion of its business, usually following a certain cure period. As a result, if AESIF acquires a position as a Last Out Lender, this would be more akin to that of a second lien lender and may not recover any of its outstanding principal or interest until the First Out Lenders have been repaid in full. Further, any veto rights with respect to voting as between the First Out Lenders and the Second Out Lenders may also be negotiated for each transaction. As a result, even where AESIF acquires a minority stake in a Re-tranched Loan there can be no assurance that AESIF, as a Last Out Lender, will be in a position to direct enforcement of the security granted in respect of the Re-tranched Loan nor to prevent certain decisions being taken by the First Out Lenders that may be adverse to the interests of AESIF.

Syndication; Warehousing.

Ares, Other Ares Funds, or affiliates or related parties of the foregoing or other parties (including for the avoidance of doubt any bank warehouse, which may be structured as a securitization, a total return swap, junior and/or “first loss” notes, the price of which will be linked to the value of the underlying assets, or otherwise, which in each case may be guaranteed financed or partially financed by any of the foregoing) could acquire an investment as principal and subsequently sell some or all of it to AESIF, Other Ares Funds or co-investors in an affiliate or related party transaction. Similarly, AESIF may acquire an investment and subsequently syndicate, or sell some or all of it, to Ares, Other Ares Funds, co-investors, or affiliates or related parties of the foregoing or other third parties, notwithstanding the availability of capital from the Shareholders and other investors thereof or applicable credit facilities. The Sponsor may cause these transfers to be made at cost, or cost plus an interest rate or carrying cost charged from the time of acquisition to the time of transfer, notwithstanding that the fair market value of any such Investments may have declined below or increased above cost from the date of acquisition to the time of such transfer. The Sponsor may also determine another methodology for pricing these transfers, including fair market value at the time of transfer. It may be possible that AESIF acquires transferred assets at above fair market value, and/or separately sell assets at below fair market value. The Board of Directors (or the non-affiliated directors thereof) may, but are not required to, approve the price, terms and conditions of such transfer and may

approve or waive any conflicts arising in connection therewith on behalf of the Shareholders. Also, the Sponsor may charge fees on these transfers to either or both of the parties to them. The Sponsor or its affiliates will be permitted to retain any portion of an Investment initially acquired by them with a view to syndication to co-investors or other potential purchasers to the extent such portion has not been syndicated after reasonable efforts to do so. As part of structuring such syndication and warehousing arrangements, the Sponsor may require AESIF and Other Ares Funds to enter into conditional purchase agreements, where AESIF and/or such Other Ares Funds agree to acquire future warehoused investments: (i) prior to their original acquisition; and (ii) prior to AESIF and such Other Ares Funds having the requisite available capital to acquire such assets, in each case with such sale being conditional upon AESIF and/or such Other Ares Funds (as the case may be) having sufficient available capital in order to acquire the relevant warehoused assets. The Sponsor expects to enter into a warehousing arrangement prior to the formation of AESIF and, as part of the structuring of such syndication and warehousing arrangement, the Sponsor expects to require AESIF to enter into a conditional purchase agreement on similar terms to those described in the foregoing sentences. Conflicts of interest are expected to arise in connection with these potential warehousing arrangements and any related affiliate transactions, including with respect to timing allocations of Investments to such warehousing, structuring, pricing and other terms of the transactions related thereto. For example, the Sponsor will have a conflict of interest when the Sponsor receives fees, including an incentive allocation, from an Other Ares Fund acquiring from or transferring to AESIF all or a portion of an investment.

These conflicts related to syndication of Investments and warehousing will not necessarily be resolved in favor of AESIF, and Shareholders may not be entitled to receive notice or disclosure of the occurrence of these conflicts. By subscribing for Shares, Shareholders will be deemed to have consented to the syndication of Investments and warehousing to the extent the terms of such transactions are approved by the non-affiliated members of the Board of Directors (See also “Risk Factors Relating to Conflicts of Interest” sub-section of the Prospectus).

AESIF will invest in non-investment grade middle-market loans or interests in non-investment grade middle-market loans.

AESIF will invest in non-investment grade middle-market loans or interests in non-investment grade middle-market loans, which are subject to liquidity, market value, credit, interest rate, reinvestment and other risks and are regarded as having predominantly speculative characteristics with respect to capacity to pay interest and repay principal. There can be no assurance that the AIFM will correctly evaluate the nature and magnitude of the various factors that could negatively affect the value or performance of such assets. It is anticipated that these loans will be subject to greater risks than investment grade corporate obligations. These risks could be exacerbated if the portfolio is concentrated in one or more particular types of assets.

The value of such debt investments is volatile and may fluctuate due to a variety of factors that are inherently difficult to predict and are outside the control of AESIF and the AIFM, including changes in interest rates, prevailing credit spreads, general economic conditions, financial market conditions, domestic or international economic or political events, developments or trends in any particular industry, or the financial condition of the obligors of AESIF's assets. In particular, the market for non-investment grade middle-market loans has experienced periods of volatility in the supply and demand for such loans, resulting in volatility in, among other things, spreads, interest rate floors, purchase price discounts, leverage, covenants, structure, and other terms. Additionally, middle-market loans and interests in middle-market loans generally have significant liquidity and market value risks since they are not generally traded in organized markets, but are traded (if at all) by banks and other institutional investors in privately negotiated transactions. Because loans are privately syndicated and loan agreements are privately negotiated and customized, loans are not purchased or sold as easily as publicly traded securities. In addition, historically the trading volume in the loan market, especially in the middle-market, has been small relative to the high-yield debt securities market.

The obligors of AESIF's assets will primarily be privately owned middle-market businesses. There is generally no publicly available information about these businesses. Some obligors may not meet net income, cash flow and other coverage tests typically imposed by banks and other lenders. Numerous factors may affect an obligor's ability to repay its related obligations, including the failure to meet its business plan, a downturn in its industry or continuing negative economic conditions. A deterioration in an obligor's financial condition and prospects may be accompanied by deterioration in the collateral securing AESIF's assets. Such deterioration might impair the ability of such obligor to obtain refinancing or force it to seek to have AESIF's asset restructured.

A non-investment grade middle-market loan or debt obligation or an interest in a non-investment grade middle-market loan or debt obligation is generally considered speculative in nature and may end up in default for a variety of reasons. A defaulted asset may become subject to either substantial workout negotiations or a restructuring, which may entail, among other things, a substantial reduction in the interest rate, a substantial write-down of principal, and a substantial change in the terms, conditions and covenants with respect to such defaulted asset. In

addition, such negotiations or restructuring may be quite extensive, protracted and costly over time, and therefore may result in substantial uncertainty with respect to the ultimate recovery on such defaulted asset. The liquidity of a defaulted asset will be limited, and if a defaulted asset is sold, it is highly unlikely that the proceeds from such sale will be equal to the amount of unpaid principal and interest thereon.

Non-investment grade loans to middle-market businesses generally carry more inherent risks than non-investment grade loans to larger, publicly traded businesses. These middle-market companies generally have more limited access to capital and higher financing costs, may be in a weaker financial position, may need more capital to expand or compete, and may be unable to obtain financing from public capital markets or from traditional sources, such as commercial banks. Middle-market businesses typically have narrower product lines and smaller market shares than larger businesses. Therefore, they tend to be more vulnerable to competitors' actions and market conditions, as well as general economic downturns. These businesses may also experience substantial variations in operating results. Typically, the success of a middle-market business also depends on the management talents and efforts of one or two persons or a small group of persons. The death, disability or resignation of one or more of such persons could have a material adverse impact on the obligor and its ability to repay its obligations. In addition, middle-market businesses often need substantial additional capital to expand or compete and will often have borrowed money from other lenders and may need additional capital to survive any economic downturns. Accordingly, loans made to middle-market companies involve higher risks than loans made to companies that have larger businesses, greater financial resources or who are otherwise able to access traditional credit sources.

There can be no assurance as to the levels of defaults or the amount or timing of recoveries that may be experienced with respect to AESIF's assets. Any increase in default levels or decrease in recovery rates, or delays in receipt of recoveries, could adversely affect distributions, if any, to Alternative Investment Vehicle.

Loan origination.

If AESIF desires to sell or assign a loan that it originates, but is unable to sell, assign or successfully close transactions for assignments or participations in such loan, AESIF will be forced to hold such loan until such time as it can be disposed, during which time AESIF may be "overweighted" with respect to a particular borrower. In addition, in connection with any loan origination activity, AESIF may determine, in consultation with its tax advisors, that there is a risk that AESIF's lending activity may cause AESIF to be treated as engaged in a trade or business for United States federal income tax purposes.

AESIF's assets will generally be illiquid.

An investment in AESIF should be viewed as an illiquid investment. AESIF's assets will generally have no, or only a limited, trading market. AESIF's Investment in illiquid assets may restrict its ability to dispose of investments in a timely fashion or for a fair price. Illiquid assets may trade at a discount from comparable, more liquid assets.

The secondary market for middle-market loans is smaller and less liquid than the market for broadly-syndicated loans made to larger obligors. In addition, AESIF may invest in assets that may not be freely transferable under the laws of the applicable jurisdiction or due to contractual restrictions. The prices realized from the sale of any of AESIF's assets could be less than the cost of such assets to AESIF or less than what may be considered the fair value of such assets.

Illiquid and Long-Term Investments.

A substantial portion of the AESIF's Investments will be illiquid and/or long-term. Many of such Investments are currently expected by Ares to take around seven (7) years from the date of initial investment to reach a state of maturity when realization of the Investment can be achieved. Although such Investments by AESIF are expected to generate current income (i.e., all investment proceeds that are not "disposition proceeds" which may include amounts received by AESIF from Investments as a result of purchase price adjustments), private investment transaction structures typically will not provide for liquidity of such Investments prior to repayment upon a refinancing event; however, interim proceeds from cash coupons may be distributed to Shareholders with respect to certain Investments. In light of the foregoing, it may be the case that no significant return from the disposition of such Investments will occur for a substantial period of time from the date of the initial Investment. While such Investments may be sold at any time, it is not generally expected that this will occur for a number of years after such Investments are made. It is unlikely that there will be a public market for the illiquid and/or long-term securities held by AESIF at the time of their acquisition. Therefore, no assurance can be given that, if AESIF is determined to dispose of a particular Investment held by AESIF, it could dispose of such Investment at a prevailing market price, and there is a risk that disposition of such Investments may require a lengthy time period or may result in distributions in-kind to investors. Although the Sponsor expects that Investments will either be disposed

of prior to the termination of AESIF or be suitable for in-kind distribution at liquidation, AESIF may have to sell, distribute or otherwise dispose of Investments at a disadvantageous time for a price which is less than the price that could have been obtained if the Investments were held for a longer period of time. AESIF generally will not be able to sell its Investments through the public markets unless their sale is registered under applicable securities laws, or unless an exemption from such registration requirements is available. Additionally, there can be no assurances that such Investments can be sold on a private basis. In addition, in some cases AESIF may be prohibited by contractual, legal, or regulatory or other similar reasons from selling certain securities for a period of time and as a result may not be permitted to sell an Investment at a time it might otherwise desire to do so.

Subordinated loans are subordinate in right of payment to one or more senior secured loans and, therefore, are subject to additional risk of non-payment.

Subordinated loans are subordinate in right of payment to one or more senior secured loans and, therefore, are subject to additional risks that the cash flows of the related obligor(s) and any property securing such subordinated loan may be insufficient to make the scheduled payments after giving effect to any senior secured loans of the related obligor(s). Subordinated loans are expected to be more illiquid investments than senior secured loans, which, as discussed, are themselves illiquid investments.

Unsecured loans are unsecured obligations of the applicable obligor(s), may be subordinated to other obligations of such obligor(s) and generally have greater credit, insolvency and liquidity risk than is typically associated with secured obligations. Unsecured obligations will generally have lower rates of recovery than secured obligations following a default. Also, in the event of the insolvency of an obligor of an unsecured obligation, the holders of such unsecured obligation will be considered general, unsecured creditors of such obligor, will have fewer rights than secured creditors of such obligor and will be subordinate to the secured creditors of such obligor with respect to the related collateral.

Issuers of subordinated debt obligations may be highly leveraged and may not have available to them more traditional sources of financing. During an economic downturn or a sustained period of rising interest rates, such issuers may be more likely to experience financial stress and may be unable to meet their obligations.

Originated Investments.

From time to time, AESIF may make offers to buy, or receive offers to purchase, assignments of, or participations in, loans, notes or other securities (or interests therein) that Ares or any Other Ares Funds, as the case may be, own (which, for the avoidance of doubt, may also include unfunded commitments associated with such loans, notes or other securities) (each, a “**Proposed Transaction**”). In the event of such an offer, the price paid by AESIF in connection with an Investment in such Proposed Transaction shall not be set by the Sponsor or AESIF but rather shall be established based on third-party valuations obtained in accordance with the procedures followed by AESIF, on a consistent basis. In connection with each Proposed Transaction, the Sponsor shall prepare the materials it deems necessary to describe the Proposed Transaction. The decision to make an offer to buy, or to accept or decline an offer, at the price offered shall, however, be made by the Board of Directors, after a review of: (i) materials prepared by the Sponsor regarding the Proposed Transaction; and (ii) any additional information requested by the Board of Directors; provided, that in the event a Proposed Transaction is entered into with any Other Ares Funds (excluding, for the avoidance of doubt, (A) AESIF, (B) any Ares proprietary account that participated in the initial investment in the applicable portfolio company alongside any of the persons set forth in clause (A) above (collectively, the “**Applicable Entities**”) and (C) a direct or indirect subsidiary of the Applicable Entities), such Proposed Transaction shall, instead of the consent of the Board of Directors, require the consent of the non-affiliated members of the Board of Directors.

Bank loans acquired through participations can be subject to unique risks given that AESIF will have a direct contractual relationship with only the selling institution.

Although AESIF intends to focus on originating new loan transactions, AESIF is permitted to invest in corporate secured loans acquired through assignment or participations. These obligations are subject to various unique risks, including: (i) the possible invalidation of an investment transaction as a fraudulent conveyance under relevant laws, (ii) lender-liability claims of breach of contract, breach of fiduciary duty and of sales of collateral at non-commercially reasonable terms by the underlying obligor (see “AESIF may be subject to claims for lender liability and AESIF’s assets may be subject to equitable subordination” below), (iii) environmental liabilities that may arise with respect to any collateral securing the underlying obligations and (iv) limitations on the ability of AESIF to enforce its rights directly with respect to participations.

In purchasing participations, AESIF will have a direct contractual relationship only with the selling institution, and not the borrower. Thus, in the case of a participation interest, AESIF will generally have the right to receive

payments of principal, interest and any fees to which it is entitled only from the institution selling the participation and only upon receipt by such selling institution of such payments from the borrower. As a result, AESIF will assume the credit risk of both the borrower and the selling institution. AESIF generally will have no right to enforce compliance by the underlying borrower with the terms of the loan agreement, nor any voting rights or rights of set-off against the underlying borrower, nor will it have the right to object to certain changes to the loan agreement agreed to by the selling institution. AESIF may not benefit from the collateral supporting the related secured loan and may not be subject to any rights of set-off the borrower has against the selling institution.

In addition, in the event of the insolvency of the selling institution, under the laws of certain jurisdictions AESIF may be treated as a general unsecured creditor of such selling institution, and may not have any exclusive or senior claim with respect to the selling institution's interest in, or the collateral with respect to, the secured loan. Consequently, in such circumstances, AESIF will be subject to the credit risk of the selling institution as well as that of the borrower. Certain of the secured loans or loan participations may be governed by the law of a foreign jurisdiction which may present additional risks as regards the characterization of such transaction as a participation under such laws of such participation in the event of the insolvency of the selling institution or the borrower.

AESIF may be subject to claims for lender liability and AESIF's assets may be subject to equitable subordination.

A number of judicial decisions have upheld judgments of obligors against lending institutions on the basis of various evolving legal theories, collectively termed "lender liability". Companies in which AESIF invests may be located in jurisdictions where lenders may have legal exposure on the basis of lender liability. Generally, lender liability is founded on the premise that a lender has violated a duty (whether implied or contractual) of good faith, commercial reasonableness and fair dealing or a similar duty owed to the obligor or has assumed an excessive degree of control over the obligor resulting in the creation of a fiduciary duty owed to the obligor or its other creditors or equity holders. Because of the nature of AESIF's assets, AESIF may be subject to claims of lender liability. Any such claim, if determined adversely to AESIF, could have a material adverse effect on AESIF's returns to investors.

In addition, under certain legal principles that in some cases form the basis for lender liability claims, if a lender, bondholder or other creditor (i) intentionally takes an action that results in the undercapitalization of an obligor to the detriment of other creditors of such obligor, (ii) engages in other inequitable conduct to the detriment of such other creditors, (iii) engages in fraud with respect to, or makes misrepresentations to, such other creditors or (iv) uses its influence as an equity holder to dominate or control an obligor to the detriment of other creditors of such obligor, a court may elect to subordinate the claim of the offending lender, bondholder or other creditor to the claims of the disadvantaged creditor or creditors, a remedy called "equitable subordination". Because of its nature, AESIF's assets may be subject to claims of equitable subordination.

In addition, because affiliates of, or persons related to, the AIFM may hold equity or other interests in obligors of AESIF's assets, AESIF could be exposed to claims for equitable subordination, lender liability or both based on such equity or other holdings.

The preceding discussion is based upon general principles of United States federal laws. The laws of non-U.S. jurisdictions may impose liability upon lenders, bondholders or other creditors under factual circumstances similar (or additional) to those described above, with consequences that may or may not be analogous to those described above.

AESIF's assets will generally be prepayable at the option of the obligor.

Loans are generally prepayable in whole or in part at any time at the option of the obligor at par plus accrued and unpaid interest thereon, and occasionally plus a prepayment premium. Prepayments on loans may be caused by a variety of factors which are often difficult to predict. Consequently, there exists a risk that loans purchased at a price greater than par may experience a capital loss as a result of such a prepayment. When credit market conditions become more attractive to obligors, the rate of prepayment of AESIF's assets would be expected to increase as obligors refinance to take advantage of such improved conditions, which may negatively impact AESIF.

Limited control of administration and amendment of underlying loans.

As a holder of a syndicated loan or an interest therein, AESIF may have limited consent and control rights and such rights may not be effective in view of the expected proportion of such loan held by AESIF. The AIFM may exercise or enforce, or refrain from exercising or enforcing, any or all of AESIF's rights in connection with any

of its underlying investments. However, due to the size of AESIF's investment position, AESIF may have limited influence over any amendment, waiver or modification of such loan.

Additionally, as a provider of debt financing or holder of equity securities, AESIF will not be in a position to control any borrower. As a result, AESIF is subject to the risk that a borrower in which AESIF invests may make business decisions with which AESIF disagrees and the management of such borrower may, as representatives of holders of their common equity, may take risks or otherwise act in way that do not serve the interests of AESIF as a minority stakeholder or creditor.

Overlapping Investment Objectives.

Certain Other Ares Funds that have investment objectives that are adjacent to or overlap with those of AESIF (whether now in existence or subsequently established), and Ares or such Other Ares Fund may share and/or receive priority with respect to certain investment opportunities falling within the primary focus of such Other Ares Funds or otherwise receive allocations of investments otherwise appropriate for AESIF (including, for example, Other Ares Funds established to primarily pursue investments relating to specific geographic regions, sectors and/or asset classes).

Multiple Levels of Fees and Expense.

In addition to the direct expenses and management costs borne by AESIF, it may also bear its pro rata share of certain expenses and management costs incurred directly or indirectly by Other Ares Funds in which it invests. This would result in more expenses being borne (indirectly) by Shareholders in AESIF than if such Shareholders were able to invest directly in the Other Ares Funds. With respect to AESIF's primary commitments to Other Ares Funds only, AESIF is not expected to pay or otherwise bear carried interest, management fees or other incentive compensation in connection with such Other Ares Fund except in limited circumstances, in which case such carried interest, management fees or other incentive compensation paid will be rebated Euro-for-Euro. AESIF will indirectly bear other expenses in connection with an Investment in or alongside an Other Ares Fund, including any investment related expenses and expenses paid to affiliates of the Sponsor, administrative expenses and other expenses included in the definition of Operating Expenses above as applicable to such Other Ares Fund (to the extent applicable). Notwithstanding anything herein to the contrary, in certain limited circumstances AESIF will bear carried interest, management fees or other incentive compensation, including in connection with interests in Other Ares Funds purchased on the secondary market as part of a portfolio transaction and equity interests in certain structured investments (e.g., CLOs). However, strictly for information purposes only and not as an indication of entitlement in a specific Other Ares Fund, several (but not all) established Other Ares Funds provide for performance participation allocation at a rate up to 15%.

These various levels of costs and expenses will be charged whether or not the performance of AESIF generates positive returns. As a result, AESIF, and indirectly the Shareholders, may bear multiple levels of expenses, which in the aggregate would exceed the expenses which would typically be incurred by an investment in a single fund investment, and which would offset AESIF's profits. In addition, because of the fees and expenses payable by AESIF pursuant to such Investments, its returns on such Investments will be lower than the returns to a direct investor in the Other Ares Funds. Such returns will be further diminished to the extent AESIF is also charged management fees and/or bears carried interest or other similar performance-based compensation in connection with its secondary commitments in Other Ares Funds.

Fund Life Commitments.

AESIF may invest in certain Other Ares Funds by making a fund life commitment to such Other Ares Funds. In such case, AESIF will participate in such fund life commitments in most instances through an aggregator vehicle controlled by the Investment Manager or an affiliate thereof, and AESIF will commence and end its participation in an Other Ares Fund (through the aggregator vehicle) at different times to other investors. In connection with such fund life commitments, an Other Ares Fund may provide the Investment Manager with investment-by-investment tracking of investment proceeds; that is, such Other Ares Fund will inform the Investment Manager of the particular underlying investment of such Other Ares Fund to which the investment proceeds relate. In such cases, investment proceeds from such Other Ares Funds will generally be allocated to AESIF based on the particular underlying investment of such Other Ares Fund that generated such investment proceeds (and, therefore, the allocation of such investment proceeds will take into account the relative contributed capital of AESIF to the applicable underlying investment). However, in certain cases, an Other Ares Fund will not provide the Investment Manager with investment-by-investment tracking of investment proceeds. With respect to such instances, the Investment Manager has adopted a practice, which it may amend, modify, revise or supplement from time to time without notice to the AESIF investors, regarding allocation of the investment proceeds it receives from such Other Ares Fund. The Investment Manager will seek to allocate investment proceeds based on a formulaic, time-

weighted approach that generally takes into account (i) the amount invested in an Other Ares Fund by AESIF and (ii) AESIF's expected hold time of such investment, which is generally based on the total expected number of days of such Other Ares Fund's term (generally determined based on such Other Ares Fund's governing documents). As it relates to Other Ares Funds that will not provide the Investment Manager with investment-by-investment tracking of investment proceeds, while the Investment Manager believes the foregoing time-weighted approach to the allocation of investment proceeds to AESIF is reasonable, it is expected that the application of such methodology will result in AESIF receiving less, or more, investment proceeds from any such Other Ares Fund than AESIF would have received had such Other Ares Fund provided investment-by-investment tracking of investment proceeds. A number of factors will affect when AESIF would receive less, and when AESIF would receive more, investment proceeds from such Other Ares Funds, including, for example and without limitation, the timing of each applicable Other Ares Fund's capital calls, investment realizations, and distributions of investment proceeds.

Multiple Levels of Fees.

AESIF pays the Management Fee and also incurs or reimburses additional expenses and fees of other service providers in connection with AESIF. In addition, AESIF will indirectly incur similar fees and expenses to the extent that AESIF invests in certain products such as money market funds, exchange traded funds or similar products. AESIF will pay such fees regardless of whether AESIF or such investments are profitable.

Fraud Risks.

Of paramount concern in making investments is the possibility of material misrepresentation or omission on the part of a counterparty. Such inaccuracy or incompleteness may adversely affect the valuation of the collateral underlying the loans or other asset, or may adversely affect the ability of the lender of record to perfect or effectuate a lien on the collateral securing the loan or other assets. AESIF relies upon the accuracy and completeness of representations made by companies in which AESIF invests or other counterparties to the extent reasonable, but cannot guarantee that such representations are accurate or complete. Under certain circumstances, payments to AESIF may be reclaimed if any such payment or distribution is later determined to have been made with intent to defraud or prefer creditors. See also "*Fraudulent Conveyance Considerations below.*"

Fraudulent Conveyance Considerations.

Secured loans and other secured transactions (each obligation arising therefrom, a "**Secured Obligation**") may be subject to various federal and state laws enacted for the protection of creditors in the countries of the jurisdictions of incorporation of obligors and, if different, in which the obligors conduct business and in which they hold the assets, which may adversely affect such obligors' abilities to make payment on a full or timely basis. These insolvency considerations will differ depending on the country in which each obligor is located or domiciled.

In particular, it should be noted that a number of continental European jurisdictions operate "debtor-friendly" insolvency regimes which could result in delays in payments under Secured Obligations where obligors thereunder are subject to such regimes, in the event of their insolvency. The different insolvency regimes applicable in the different European jurisdictions may result in a corresponding variability of recovery rates for obligations such as Secured Obligations entered into with obligors in such jurisdictions. No reliable historical data is available in respect of such recovery rates.

Alternative Credit Investments.

While AESIF seeks to primarily self-originate investments and provide debt capital to European mid-market companies with a target EBITDA of €10 million + as further described in Section III: "Investment Information" of this Annex, AESIF also has the flexibility to invest in other illiquid alternative credit investments. Please refer to the risk factors stated below for more information on the risks associated with such illiquid alternative credit investments.

Equity Securities.

AESIF may acquire or otherwise receive common stock, warrants or options to acquire common stock and other equity securities or equity-linked securities (including, for the avoidance of doubt, any preferred equity transaction). Such instruments will generally involve a high degree of risk, and will be subordinate to (and thus are inherently riskier than) the debt securities and other liabilities of the issuers of such instruments. Although common stocks have historically generated higher average total returns than fixed income securities over the long term, common stocks also have experienced significantly more volatility in those returns. These instruments may fail to appreciate in value and may decline in value or become worthless. In particular, those equity or equity-like

instruments that are attached as a unit of a debt obligation may be intended to participate in an obligor's long-term value that may be created through growth facilitated by that debt obligation, and accordingly may have little or no value at issuance and may generate income (if at all) only upon a sale, listing or recapitalization of the obligor. Accordingly, AESIF may not be able to realize gains from equity securities or instruments and may incur significant losses.

Risks Associated With Specialty Finance Investments.

AESIF may invest in companies and operating platforms that originate and/or service commercial and consumer credits, including credit cards, personal loans and equipment finance, and may also invest directly in those credits (but on a secondary and not on a primary basis). Pricing and optimizing the value of such credits requires strong analytics and extensive infrastructure. The form of investment may vary and may require reliance on networks of asset managers to provide the resources necessary to originate new receivables, manage portfolios of performing receivables, and work-out portfolios of stressed or non-performing receivables. These loans may not be secured and may be subject to increasing regulation. In addition, AESIF may access exposure to credits by acquiring interests in specialty finance companies and operating platforms. AESIF's Investments may also include leasing businesses, companies that provide services to specialty finance companies (e.g., credit scoring agencies) and other companies that have business models related to the specialty finance sector.

Investments in the specialty finance industry are subject to various industry-specific risks (including additional risks related to the various segments of the specialty finance industry). Specifically, various segments of the specialty finance industry are (or may become) highly regulated at both the federal and state levels in the U.S. and internationally and subject to frequent regulatory changes. Further, investments in financial services companies often require the approval of various regulatory bodies and there is no guarantee that such approvals will be obtained. While AESIF intends to make investments in companies that comply with relevant laws and regulations, certain aspects of their operations may not have been subject to judicial or regulatory interpretation. An adverse review or determination by any one of such authorities, or an adverse change in the regulatory environment or requirements, could have a material adverse effect on the operations of the companies in which AESIF invests. In addition, in order to comply with or not be subject to certain banking laws, rules and regulations, AESIF may be required to invest in a manner that may not be as advantageous as the manner of making investments that are not subject to such laws, rules and regulations.

Asset-Based Lending.

As part of its portfolio, AESIF may make investments in senior secured revolving credit facilities based on the borrower's qualifying assets, such as eligible accounts receivable and inventory (generally known as "**Asset-Based Lending**" or "**ABL**") and senior secured term loans secured by machinery and equipment and other fixed assets with similar security profiles. ABL is a specialized loan product that provides over-collateralized credit facilities to borrowers based on the assets pledged as collateral. These loans are structured to provide a flexible source of working capital by monetizing assets on the balance sheet. ABL is frequently used by companies seeking greater flexibility in executing operating plans. The quality and liquidity of a borrower's underlying assets are essential to the success of such investment. Such investments generally present many of the same risks as other debt investments, but given the focus on the underlying assets of the borrower, more specifically may present a greater risk of borrower fraud and, relatedly, that the Investment Manager may not be able to adequately diligence and monitor the activities of the borrower.

Accounts Receivables Relating to Consumer Loans/Obligations.

AESIF may invest in, or lend against, portfolios of accounts receivables relating to consumer loans, including credit cards, automobile loans, healthcare, and student loans and other types of consumer obligations (such as leases). The performance of such assets will be affected by general economic conditions. The ability to collect on consumer obligation accounts receivables is dependent on the performance of a servicer. The servicer may be able to commingle funds relating to a transaction (such as collections from the loans and proceeds from the disposition of any repossessed collateral, such as repossessed vehicles) with its own funds for a period of time. Commingled funds may be used or invested by the servicer at its own risk and for its own benefit. If the servicer were unable to remit those funds or the servicer were to become a debtor under any insolvency laws, delays or reductions in the receivables may occur.

Additionally, servicers may be subject to regulation by certain government agencies. If a servicing arrangement or activities were found to constitute unsafe or unsound banking practices, such government agencies may take regulatory action against the servicer, which could result in losses or delays in payment.

Furthermore, consumer obligations are subject to various consumer protection laws which regulate the creation and enforcement of such obligations. The violation of such laws by lenders, originators and their affiliates may permit borrowers to reduce their obligation to pay the amount of receivables they owe or require lenders to pay certain penalties. Similarly, if a borrower were to seek protection under bankruptcy or debtor relief laws, a court could reduce or discharge completely the borrower's obligations to repay amounts due on its receivable.

Real Estate related Investments.

AESIF's target investments may include privately-negotiated financings secured by pools of real estate assets (primarily in the form of privately negotiated investments in debt securities, loans and/or other credit-related asset but also in the form of equity or quasi-equity securities), the outright purchase of pools of real estate assets, and sale-leaseback transactions. The value of such investments will depend on many real-estate related factors beyond the control of AESIF. The ultimate performance of such investments will be subject to the varying degrees of risk generally incident to the ownership and operation of the underlying real property. Real estate historically has experienced significant fluctuations and cycles that may result in reductions in the value of real estate-related investments. The ultimate value of such investments in the underlying real property also depends upon the real property owner's ability to operate the real property in a manner sufficient to maintain or increase revenues in excess of operating expenses and debt service or, in the case of real property leased to a single lessee, the ability of the lessee to make rental payments. Real estate is subject to various specific risks (which can adversely affect a property's revenues), including: changes in national or international economic conditions and/or specific industry segments; changes in local market conditions due to changes in general or local economic conditions and neighborhood characteristics; property location and condition; tenant mix; the financial condition of tenants and buyers and sellers of properties; competition from other properties offering the same or similar services; changes in interest rates and in the availability, cost and terms of mortgage funds; the ongoing need for capital improvements (particularly in older structures); changes in real estate tax rates and other operating expenses; changes in governmental laws, rules and regulations (including changes in environmental laws, casualty or condemnation losses, and regulatory limitations on rents) and fiscal policies; costs of remediation and liabilities associated with environmental conditions and lawsuits; civil unrest; acts of God, including earthquakes, hurricanes and other natural disasters; acts of war; acts of terrorism (any of which may result in uninsured losses); the potential for uninsured, uninsurable or underinsured property losses; adverse changes in zoning laws; and other factors that are beyond the control of the real property owners and AESIF. In the event that any of the properties underlying AESIF's investments experience any of the foregoing events or occurrences, the value of and return on such investments would likely be negatively impacted.

Real Estate Investment Trusts Risk.

In addition to risks associated with investing in real estate securities, real estate investment trusts ("REITs") are dependent upon management skills, are not diversified, and are subject to heavy cash flow dependency, risks of default by borrowers, and self-liquidation. Investment in REITs also involves risks similar to risks of investing in small market capitalization companies, such as limited financial resources, less frequent and limited volume trading, and may be subject to more abrupt or erratic price movements than larger company securities. A REIT could fail to qualify for tax free pass through of income under the Internal Revenue Code. Shareholders will indirectly bear their proportionate share of the expenses of REITs in which AESIF invests.

Risks Associated with Residential Properties.

AESIF may be exposed to residential properties. Residential related properties such as multifamily residential, student housing and single-family rental properties may include increased risks associated with habitability related issues and applicable regulatory requirements. Additionally, certain residential properties may have a unionized workforce subject to collective bargaining agreements, which must be complied with as part of properties' operation. A large number of risk factors potentially affect the value and successful operation of such properties, including: (i) the physical attributes of the property, such as its age, condition, design, amenities, appearance, access to transportation and construction quality; (ii) the location of the property; (iii) ability of the Investment Manager to provide adequate maintenance and insurance; (iv) the property's reputation; (v) the level of mortgage interest rates and availability of government incentives, which may encourage residents to ultimately purchase rather than lease the homes, if possible; (vi) the presence of competing properties; (vii) the presence of local military base or industrial/business closings; (viii) the resident mix, such as the resident population being predominantly students or being heavily dependent on workers from a particular business or personnel from a local industrial unit; (ix) developments at local colleges and universities; (x) adverse local or national economic conditions, which could adversely affect the financial condition of residential owners and tenants, limit the amount of rent that may be charged and may result in a reduction of timely rent payments or a reduction in occupancy or leasing activity; (xi) state and local regulations, which may affect AESIF's ability to increase rent to the level of market rents for an equivalent home; (xii) government assistance/rent subsidy programs available in competing

homes; (xiii) the inventory of unsold homes in the local market that are being rented until economic conditions in the single-family residential market improve; and (xiv) national, regional and local politics, including current or future rent stabilization and rent control laws and agreements. In addition, any investments in single-family rental properties may be net leased to single tenants and, therefore, the financial failure of, or other default by, a single tenant under its lease may cause a complete reduction in the operating cash flow generated by the property leased to that tenant and might decrease the value of that property and result in a non-cash impairment charge.

Certain jurisdictions regulate the relationship of an owner and its tenants. Commonly, these laws require a written lease, good cause for eviction, disclosure of fees and notification to residents of changed land use, while prohibiting unreasonable rules, retaliatory evictions and restrictions on a resident's choice of unit vendors. Apartment building owners have been the subject of lawsuits under various "Landlord and Tenant Acts" and other general consumer protection statutes for coercive, abusive or unconscionable leasing and sales practices. There may be provisions that limit the basis on which a landlord may terminate a tenancy or increase its rent or prohibit a landlord from terminating a tenancy solely by reason of the sale of the owner's building. In addition to state regulation of the landlord-tenant relationship, numerous towns and municipalities impose rent regulations on apartment buildings. These ordinances may limit rent increases to certain set percentages, to certain formulas, to increases set or approved by a governmental agency, or to increases determined through mediation or binding arbitration. Due to the outbreak of COVID-19, U.S. federal and state and non-U.S. laws and regulations have been implemented that place restrictions on lenders in the real estate sector and other industries from exercising certain of their rights in the event of borrower defaults or delinquencies, including with respect to foreclosure and eviction rights. Such measures may have significant adverse impacts on the performance of fund managers that invest in real estate, such as the Investment Manager, and their ability to sell existing investments or enforce their rights against borrowers and/or tenants, including to foreclose on and dispose of collateral. Similarly, governmental assistance programs that provide rent subsidies to tenants pursuant to tenant voucher programs may influence tenant mobility and the amount of rent a tenant can pay. Changes in rent stabilization laws or the interpretation or application of such laws from time to time may reduce the amount of rent that AESIF would otherwise be permitted to charge at one or more properties of AESIF, which would likely reduce returns to the Limited Partners. In addition, investment in these properties presents greater risk of disputes and legal proceedings.

Risks Associated with Commercial Real Estate Investments.

AESIF may invest in commercial real estate properties. Commercial real estate properties tend to be unique and are difficult to value. In addition, commercial real estate properties, particularly industrial and warehouse properties, are generally subject to relatively greater environmental risks than non-commercial properties and to the corresponding burdens and costs of compliance with environmental laws and other regulations. Commercial mortgage lenders typically look to the debt service coverage of a loan secured by income-producing property as an important measure of the risk of default on such a loan. Commercial property values and net operating income are subject to volatility, which may result in net operating income becoming insufficient to cover debt service on the related mortgage loan. The repayment of loans secured by income-producing properties is typically dependent upon the successful operation of the related real estate project rather than upon the liquidation value of the underlying real estate.

Risks Associated with Triple- and Modified-Net Leases.

AESIF may invest in commercial real estate consisting of properties that are triple- and modified-net leases. The failure of the applicable tenant to satisfy its obligations under the lease will likely adversely affect the condition of the real estate. Where the real estate is leased pursuant to a triple-net lease, the tenant generally pays all insurance, taxes, utilities, common area maintenance charges, maintenance and repair expenses and indemnifies, defends and holds the landlord harmless from and against various claims, litigation and liabilities arising in connection with its business, including any environmental liabilities. There can be no assurance that the tenant under a triple- or modified-net lease will have sufficient assets, income and access to financing to enable it to satisfy its payment obligations under the lease. The inability or unwillingness of the tenant to meet its rent obligations or to satisfy its other obligations, including indemnification obligations, could materially adversely affect the business, financial position or results of operations of AESIF. Furthermore, the inability or unwillingness of the tenant to satisfy its other obligations under the lease, such as the payment of insurance, taxes and utilities, could materially and adversely affect the condition of the real estate.

Risks Associated with Lease Rates Over Time.

AESIF may receive income from investments with long term net leases, which generally provide the tenant greater discretion in using the leased property than ordinary property leases, such as the right to freely sublease the property, to make alterations in the leased premises and to terminate the lease prior to its expiration under specified circumstances. Furthermore, net leases typically have longer lease terms and, thus, there is an increased risk that

contractual rental increases in future years will fail to result in fair market rental rates during those years. If AESIF does not accurately judge the potential for increases in market rental rates when negotiating these long term leases, significant increases in future property operating costs, to the extent not covered under the net leases could result in AESIF receiving less than fair value from these leases. As a result, income to and distributions from AESIF could be lower than they would otherwise be if AESIF did not engage in long term net leases.

Equipment Leasing.

AESIF may invest (directly or indirectly) in businesses involved in equipment leasing. In cases of a non-performing lessee, there are considerable costs associated with terminating leases and retrieving hard assets that can disrupt and reduce cash flow. These risks may be exacerbated in the case of lessee bankruptcy. Further, it may be difficult to re-lease or sell retrieved equipment, depending on market conditions, especially if such equipment is outdated or has been misused. In a loan against equipment transaction, also known as a sale-lease back, equipment is sold on paper by the seller and leased back. The seller obtains working capital and keeps the equipment. As with equipment leasing, there are considerable costs associated with terminating such loans and retrieving hard assets in the event that a borrower fails to make timely payments on the loan. Further, the value of the subject equipment will decline over time as a result of use by the borrower, reducing the value of the collateral backing the loan and increasing the risk that AESIF will lose money in the event of borrower default.

Risks Related to Royalty Investments.

AESIF may invest in royalties and other contractual cash flows, particularly in the music, film, television and pharmaceutical industries. In general, royalties are cash payments made to the holder of intellectual property. Royalty payments are commonly based on a percentage of sales and are governed by legal contract. Therefore such investments will depend in part on the success of the underlying products (the “**Products**”) related to such investments. There are a number of risks associated with royalty investments, including, but not limited to, sales risk, withdrawal risk, product competition, misaligned incentives with licensees, regulatory risk, and manufacturing and supply risk. To the extent any such risks adversely affect sales of Products, potential returns to AESIF will, in turn, be adversely affected. For example, sales from Products may be lower than their historical levels or lower than the amounts projected due to pricing pressures, insufficient demand, product competition, lack of market acceptance, obsolescence, safety or efficacy issues, loss of patent protection and/or other factors. Further, a Product may be subject to withdrawal from the market at the request or direction of any applicable U.S. or non-U.S. regulatory body due to safety, regulatory or other concerns. The manufacturer or marketer of a Product may voluntarily withdraw the Product from the market for medical, technical, regulatory, copyright, commercial or other reasons. There can be no assurance that a Product will not be withdrawn by the manufacturer or marketer, on its own, or at the request or direction of or any regulatory body. The occurrence of any such risks may result in losses to AESIF.

Non-performing Loans (“NPLs”).

AESIF’s Investments may include investments in non-performing and sub-performing loans which may involve workout negotiations, restructuring and the possibility of foreclosure. These processes can be lengthy and expensive. Many of the NPLs will have been underwritten to “subprime” “Alternative A-Paper” or “expanded” underwriting guidelines. These underwriting guidelines are different from and, in certain respects, less stringent than the other general underwriting standards employed by originators. For example, these loans may have been originated to borrowers that have poor credit or that provide limited or no documentation in connection with the underwriting of the mortgage loan. Such loans present increased risk standards of delinquency, foreclosure, bankruptcy and loss than prime mortgage loans. An originator generally originates mortgage loans in accordance with underwriting guidelines it has established and, in certain cases, based on exceptions to those guidelines. These guidelines may not identify or appropriately assess the risk that the interest and principal payments due on a mortgage loan will be repaid when due, or at all, or whether the value of the mortgaged property will be sufficient to otherwise provide for recovery of such amounts. To the extent exceptions were made to an originator’s underwriting guidelines in originating an NPL, those exceptions may increase the risk that principal and interest amounts may not be received or recovered and compensating factors, if any, which may have been the premise for making an exception to the underwriting guidelines may not in fact compensate for any additional risk. NPLs may be secured by investor or commercial properties which would not be used as the borrower’s primary residence or second home. Because the borrower is not living on the property, the borrower may be more likely to default on the mortgage loan than on a comparable mortgage loan secured by a primary residence, or to a lesser extent, a second home. Part of AESIF’s strategy in acquiring NPLs may involve making NPL modifications to reduce delinquencies and the risk of borrower default and, ultimately, to maximize the value of the NPL. Modifications may include permanently or temporarily reducing or otherwise changing the mortgage interest rate, forgiving payments of principal or interest, extending the final maturity date, capitalizing or deferring delinquent interest and other amounts owed under the mortgage loans, deferring principal payments with or without interest, or any

combination of these or other modifications. These modifications may reduce the value of the NPL. AESIF's ability to modify NPLs may be limited due to the difficulty in contacting at-risk borrowers or creating modifications acceptable to affected borrowers. AESIF may seek to refinance an NPL to realize the greater value from such loan. However, there may be impediments to executing a refinancing strategy for NPLs. For example, many mortgage lenders have adjusted their loan programs and underwriting standards to be more conservative, which has reduced the availability of mortgage credit to prospective borrowers. This has resulted in reduced availability of financing alternatives for borrowers seeking to refinance their mortgage loans. The decline in housing prices may also result in higher loan-to-value ratios and leave borrowers with insufficient equity in their homes to permit them to refinance. To the extent prevailing mortgage interest rates rise, these risks would be exacerbated. The effect of the above would likely serve to make refinancing of NPLs potentially more difficult and less profitable for AESIF.

Purchasing or Lending Against Litigation Claims.

AESIF may make loans based on anticipated future payments to be received as the result of favorably determined litigation, settlement, or mass tort claims. The results of pending litigation and/or settlements, are inherently uncertain. Lending against pending litigation and/or settlements entails unique risks because there is no guarantee that the relevant litigation will be favorably determined or that the relevant case settlement will be upheld and consummated. If the relevant litigation is determined (in a court or in an out-of-court settlement) in a manner that is adverse to AESIF's interest, or if the relevant settlement is not approved or is overturned, AESIF may lose some or all of its investment. The general risks of litigation debt finance include the potential regulation or limitation of interest rates and other fees advanced in exchange for the investments made by AESIF under U.S. federal and/or state regulation, a change in statutory or case law which limits or restricts the ability of AESIF as a creditor to collect principal and interest at anticipated levels, claimants being unsuccessful in whole or in part in the claims upon which underlie such investments and the continued ability of the Manager to effectively analyze investments. Moreover, the underlying cases which AESIF may finance may be unsuccessful, take considerable time (whether because of appeals or otherwise) or result in a distribution of cash, new securities or other assets, the value of which may be less than the investment made by AESIF. AESIF may incur additional costs in effecting a disposal of or realization on any such security or other assets.

Collateralized Securities Generally.

AESIF has the ability to invest in Collateralized Securities (as defined below) in general. Collateralized Securities may present risks similar to those of the other types of investments in which AESIF may invest and, in fact, such risks may be of greater significance in the case of Collateralized Securities. Moreover, investing in Collateralized Securities may entail a variety of unique risks. Set forth below is a summary of certain of the risks most commonly associated with Collateralized Securities. This summary does not purport to be a complete enumeration or explanation of such risks.

Structured credit products are structured vehicles that are similar to leveraged closed-end funds. Many structured credit products are actively managed by an independent collateral manager (a "**Collateral Manager**"). Structured credit products and other securitization products generally involve the issuance of tranching securities such as, for example, CLOs or other asset-backed instruments backed by corporate and consumer receivables (both that have and that do not have a CUSIP number) or similar instruments ("**Collateralized Securities**") by a Securitization Vehicle. Collateralized Securities are generally issued in structured transactions with risks different from regular corporate debt. The tranches of Collateralized Securities senior (in right of payment) to the Residual Tranche (the "**Non-Residual Tranche**") are generally assigned ratings by one or more rating agencies.

These ratings range from investment grade down to non-investment grade. Generally, the junior-most tranche (i.e., the tranche whose rights to payment are not senior to any other tranche) does not typically receive a credit rating and is typically not secured (and is also typically referred to as subordinated notes, income notes, preferred shares or preferred securities, or, more generally, as "equity") (the "**Residual Tranche**"). While the Residual Tranche is typically not secured through a formal contractual grant of a security interest by the Securitization Vehicle, such risk is mitigated by the fact that Securitization Vehicles typically contain various restrictions and protections in their indentures or issuance documents that are designed to mitigate the risks related to such status (such as, for example, restrictions on the Securitization Vehicle incurring indebtedness other than as permitted under the indenture or issuance document; restrictions on the Securitization Vehicle generally engaging in any business or activity other than issuing its Collateralized Securities and activities related or incidental thereto; restrictions on the Securitization Vehicle pledging its assets other than as permitted under the indenture or issuance document; prohibitions on holders of Collateralized Securities from petitioning the Securitization Vehicle into bankruptcy until a period of time after its Collateralized Securities have been paid in full; and provisions stating that the Securitization Vehicle's obligations under the Collateralized Securities are limited recourse obligations payable solely from the Underlying Assets or proceeds thereof, in accordance with the indenture or issuance

document), in addition to the right of the Residual Tranche to receive residual amounts remaining after payment of interest on and principal of the Collateralized Securities (and the Securitization Vehicle's expenses).

The performance of a Collateralized Security will be affected by a variety of factors, including its priority in the capital structure of the issuer thereof, the availability of any credit enhancement, the level and timing of payments and recoveries on and the characteristics of the underlying receivables, loans or other assets that are being securitized (the "**Underlying Assets**"), whether collateral represents a fixed set of specific assets or accounts, remoteness of those assets from the originator or transferor, the adequacy of and ability to realize upon any related collateral and the capability of the servicer of the securitized assets.

In addition, the ability of Securitization Vehicles to sell assets and reinvest the proceeds may be restricted. A Securitization Vehicle may typically dispose of certain of its assets and reinvest the proceeds thereof in substitute assets subject to compliance with its investment guidelines and certain other conditions, including the terms of issuance of its debt securities. The earnings with respect to such substitute assets will depend, among other factors, on reinvestment rates available at the time and on the availability of assets satisfying the investment guidelines and otherwise acceptable to the Collateral Manager. The need to satisfy such guidelines and identify acceptable assets may require the Collateral Manager to purchase substitute assets at a lower yield than those initially acquired or require that the sale proceeds be maintained temporarily which may reduce the yield.

Illiquidity and market value volatility of the Underlying Assets and the Securitization Vehicle's own investment restrictions may restrict its ability to dispose of Underlying Assets in a timely fashion and for a fair price. Collateralized Securities may be subject to optional or mandatory redemption under certain circumstances. In certain circumstances, a Securitization Vehicle may amend the indenture or other issuance document relating to its Collateralized Securities without the consent of the holders of those Collateralized Securities (however, the circumstances under which the Securitization Vehicle may do so are generally limited to those prescribed in its indenture or other issuance document, which is generally available for review in advance of a purchase of the related Collateralized Securities). Reliable sources of statistics regarding prepayments, default and recovery rates and market value volatility may not exist for certain Underlying Assets and existing information may not be indicative of future performance. Illustrative cash flows, yields or returns, scenario analyses, expected portfolio composition and other "forward-looking" statements relating to the Collateralized Securities are based on assumptions that are unlikely to be consistent with, and may differ materially from, actual events, and no assurance can be given as to actual results.

The Collateral Manager may have conflicts of interest as a result of its overall investment activities or of its investment professionals and its affiliates. The Collateral Manager's entitlement to fees may create incentives for it to make decisions that are contrary to the best interests of holders of the Collateralized Securities. The Collateral Manager's performance history is no guarantee, and may not be indicative, of the Securitization Vehicle's future results. Because of different portfolio restrictions, structures and market conditions, among other things, the Securitization Vehicle's performance may differ markedly from that of other vehicles whose Underlying Assets are managed by the same Collateral Manager. No assurance can be given that any particular individual will be responsible for managing the Underlying Assets for any length of time. The loss of key personnel of the Collateral Manager could have a material adverse effect on the Securitization Vehicle and, therefore, its Collateralized Securities.

Interest rate risk is inherent in the structure of Collateralized Securities, including interest rate mismatches between the Securitization Vehicle's Collateralized Securities and its Underlying Assets, and could adversely affect the Securitization Vehicle's cash flows. The duration of more subordinated Collateralized Securities will be affected by the average life of more senior Collateralized Securities (which is expected to be shorter than their stated maturity).

The imposition of unanticipated withholding taxes on a Securitization Vehicle's assets or tax on its net income (as a result of changes in law or other causes) could materially impair the Securitization Vehicle's ability to make payments in respect of its Collateralized Securities. Holders of Collateralized Securities may be subject to withholding on payments from those Collateralized Securities or forced transfer thereof for failure to provide the related Securitization Vehicle with certain tax information (including, but not limited to, information required under FATCA).

No assurance can ever be given that any Collateralized Securities will be listed on a securities exchange. The Collateralized Securities are not expected to be registered under the 1933 Act and no Securitization Vehicle is (nor is its pool of assets) expected to be registered under the Investment Company Act. Generally, there is less governmental supervision and regulation of exchanges, brokers and Securitization Vehicles in less developed markets.

Structured credit products and other Securitization Vehicles are generally limited-recourse obligations of the issuer payable solely from the Underlying Assets of the issuer or proceeds thereof, and the Collateralized Securities they issue will not be guaranteed by any person. Consequently, holders of Collateralized Securities must rely solely on distributions on the Underlying Assets or proceeds thereof for payment in respect thereof. The distributions on Collateralized Securities generally depend solely upon the amount and timing of payments and other collections on the related underlying collateral, the amount of which is typically established to withstand certain assumed deficiencies in payment occasioned by defaults of the underlying collateral. If any deficiencies exceed such assumed deficiency levels, payments on the related Collateralized Securities could be adversely affected by defaults.

A common feature in Collateralized Securities AESIF intends to invest in is that the cash flows generated by the Underlying Assets are used to make payments to holders of Collateralized Securities in sequential order of priority. Distributions on Residual Tranches are generally made only after payment of interest on and principal of the Non-Residual Tranches (and the Securitization Vehicle's expenses). Although there is generally no interest due on Residual Tranches, distributions may be made to holders of Residual Tranches on each payment date after all of the other required payments are made on such payment date. There can be no assurance that after making such required payments there will be any remaining funds available to pay distributions on, or fully repay principal of, the Residual Tranche. Failure (or increased likelihood of failure) to make distributions on a Residual Tranche could have a material adverse effect on the liquidity and market value of such Residual Tranche. In addition, the Underlying Assets collateralizing Collateralized Securities are subject to liquidation upon the failure of certain tests, and it is likely that any such liquidation could result in a substantial loss of value on the related Collateralized Securities.

Any investment by AESIF in Residual Tranches and, often, an investment in junior and mezzanine Non-Residual Tranches, will represent leveraged investments in the Underlying Assets. Residual Tranches are the most illiquid class of Collateralized Securities and the tranche most likely to suffer a loss. The market value of these investments would be anticipated to be significantly affected by, among other things, changes in the market value of the related Underlying Assets, changes in the distributions on such Underlying Assets, defaults and recoveries on such Underlying Assets, capital gains and losses on such Underlying Assets, prepayment on Underlying Assets and the availability, prices and interest rate of such Underlying Assets. Accordingly, a Residual Tranche may not be paid in full and may be subject to up to 100% loss, followed by the junior-most Non-Residual Tranche and then each Non-Residual Tranche immediately senior to that Non-Residual Tranche until the loss has been fully absorbed. Furthermore, the leveraged nature of each subordinated class may magnify the adverse impact on each such class of the foregoing factors.

Any investment by AESIF in Residual Tranches would subject AESIF to the "first loss" subordinate holder position. In addition, any investment by AESIF in junior and mezzanine Non-Residual Tranches, as well as Residual Tranches, would generally be subordinated to substantial amounts of senior indebtedness, all or a significant portion of which may be secured. Investments in subordinate securities have a higher risk of loss than investments in more-senior securities. If any event of default occurs and more than one class of Collateralized Securities is then outstanding, the controlling class (which will generally be the most-senior class outstanding) will be entitled to determine the exercise of remedies and could pursue remedies that are adverse to the interests of subordinate classes. Accordingly, in the event of a default by the Securitization Vehicle, the remedies available to the holders of Residual Tranches as well as junior and mezzanine Non-Residual Tranches will be substantially less than that of holders of more-senior tranches. In addition, the trustee for the Collateralized Securities will have no obligation to act on behalf of the holders of the Residual Tranche except as expressly provided in the related indenture or other issuance document.

Investment in Reorganizations and Restructurings.

AESIF may make investments in restructurings that involve companies that are experiencing or are expected to or may experience severe financial difficulties. These severe financial difficulties may never be overcome and may cause such companies to become subject to bankruptcy proceedings. In such situations, AESIF's Investment is subject to the risk that a bankruptcy filing may adversely and permanently impact the value of a company and that high administrative costs may impair the value of the company. In addition, such investments could subject AESIF to certain additional potential liabilities that may exceed the value of AESIF's original investment therein. For instance, under certain circumstances, payments to AESIF and distributions by AESIF to the Shareholders may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance, preferential payment or similar transaction under applicable bankruptcy and insolvency laws. Furthermore, investments in distressed companies and restructurings may be adversely affected by statutes relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the court's discretionary power to disallow, subordinate or disenfranchise particular claims.

Having a “blocking position” in a security that is subject to a plan of reorganization or a restructuring entails significant risks if AESIF’s evaluation of the anticipated outcome of the investment situation should prove incorrect. In addition, an investment in a company involved in a reorganization proceeding or restructuring entails significant risks and may be adversely impacted if AESIF’s evaluation of the anticipated outcome of the investment situation should prove incorrect. Accurate information pertaining to the true condition of such issuers is frequently difficult to obtain.

Some of the investments AESIF will make may require active monitoring and representation on official and unofficial creditors’ committees for a company involved in a reorganization proceeding or restructuring. Accordingly, AESIF may seek representation on such committees from time to time if the Investment Manager, in its discretion, determines that such representation is necessary or advisable to protect or further AESIF’s interests. Serving on an official or unofficial committee increases the possibility that AESIF will be deemed an “insider” or a “fiduciary” of the company it has so assisted and may restrict AESIF’s trading of its investments in such company and exposes the person serving on the committee to litigation risks. Should such assistance be provided before a company enters bankruptcy proceedings, the bankruptcy court, under certain conditions such as a finding of fraud or inequitable conduct, may invoke the doctrine of “equitable subordination” with respect to any claim or equity interest held by AESIF in such company and therefore may subordinate any such claim or equity interest in whole or in part to other claims or equity interests in such company. See also “—Risks Arising from Provision of Managerial Assistance” and “—Lender Liability Considerations, Equitable Subordination and Recharacterization” for additional risks relating to serving on such committees.

Risk Related to Financing Liquidity Solutions

AESIF may invest with or alongside general partners or managers of private funds in connection with a variety of liquidity and similar solutions in respect of such private funds (the “**Underlying Funds**”). The success of each of such investment is subject in part to those risks which are inherent in buyout, credit, energy, real estate and such other investments undertaken by the Underlying Funds. These risks are generally related to (i) the ability of each of the general partners, and the Underlying Funds they manage and control, to select and manage successful investment opportunities; (ii) the quality of the management of each portfolio company in which the Underlying Funds invest; (iii) the ability of the Underlying Funds to liquidate their investments; and (iv) general economic conditions. There can be no assurance that the investments made by the Underlying Funds will result in attractive rates of return to AESIF. AESIF will endeavor to negotiate appropriate management and control rights in connection with such investments, including negative controls and approval and information rights but notwithstanding any rights ultimately agreed upon, AESIF may have limited ability to protect its position in certain circumstances (other than by exercise of those rights afforded by investors generally); this risk is heightened by the bespoke informational and control arrangements that the Investment Manager expects may be implemented between AESIF and counterparties. AESIF is not expected to be able to participate in the management and control of the Underlying Funds in which it indirectly holds investments nor of the portfolio companies in which the Underlying Funds have invested, nor will he Fund necessarily have management or control of the general partners. As a result, the returns of the portfolio investments will depend in large part on the performance of the general partners, including in their capacity managing the Underlying Funds. Further, should an Underlying Fund’s general partner become incapacitated or in some way cease to participate in the management of such Underlying Fund, the performance of such Underlying Fund and thus the general partner (and consequently the portfolio investment) could be adversely affected.

ABS, MBS and RMBS Generally.

The investment characteristics of asset-backed securities (“**ABS**”) and mortgage-backed securities (“**MBS**”) differ from traditional debt securities. Among the major differences are that interest and principal payments are made more frequently, usually monthly, and that the principal may be prepaid at any time because the underlying loans or other assets generally may be prepaid at any time.

ABS and MBS Subordinated Securities. Investments in subordinated MBS and ABS involve greater credit risk of default than the senior classes of the issue or series. Default risks may be further pronounced in the case of MBS and ABS secured by, or evidencing an interest in, a relatively small or less diverse pool of underlying loans. Certain subordinated securities absorb all losses from default before any other class of securities is at risk, particularly if such securities have been issued with little or no credit enhancement or equity. Such securities, therefore, possess some of the attributes typically associated with equity investments.

Commercial MBS. Mortgage loans on commercial properties often are structured so that a substantial portion of the loan principal is not amortized over the loan term but is payable at maturity and repayment of the loan principal thus often depends upon the future availability of real estate financing from the existing or an alternative lender

and/or upon the current value and salability of the real estate. Therefore, the unavailability of real estate financing may lead to default.

Most commercial mortgage loans underlying MBS are effectively nonrecourse obligations of the borrower, meaning that there is no recourse against the borrower's assets other than the collateral. If borrowers are not able or willing to refinance or dispose of encumbered property to pay the principal and interest owed on such mortgage loans, payments on the subordinated classes of the related MBS are likely to be adversely affected. A third party servicer and special servicer will typically be appointed by the MBS issuer to exercise the rights of the MBS issuer as a lender and where there is a payment default on the underlying commercial mortgage loans, it will often be the special servicer that is tasked with implementing a strategy to maximise recoveries. The ultimate extent of the losses incurred by holders of MBS, if any, may depend on the ability of the special servicer to implement a successful strategy with respect to the commercial mortgage loans and underlying property portfolio which may include work-outs and/or enforcement. Holders of different classes of MBS are likely to have varying powers and rights with respect to the special servicer and its proposed resolution strategy.

Factors such as the property's location, the legal status of title to the property, its physical condition and financial performance, environmental risks, and governmental disclosure requirements with respect to the condition of the property may make a third party unwilling to purchase the property following an enforcement or to pay a price sufficient to satisfy the obligations with respect to the related MBS. Revenues from the assets underlying such MBS may be retained by the borrower and the return on investment may be used to make payments to others, maintain insurance coverage, pay taxes or pay maintenance costs. Such diverted revenue is generally not recoverable without a court appointed receiver to control collateral cash flow.

ABS. ABS represent a different risk profile to MBS on the basis that these securities may not have the benefit of the same security interest in the underlying collateral. Credit card receivables, for example, are generally unsecured meaning that there is a possibility that recoveries on defaulted collateral may not be available to support payment on these securities and the debtors are often entitled to the protection of consumer credit laws, many of which give such debtors the right to set off certain amounts owed on the credit cards, thereby reducing the balance due.

The collateral supporting ABS is of shorter maturity than certain other types of loans and is less likely to experience substantial prepayments. ABS are often backed by pools of any variety of assets, including, for example, leases, mobile home loans and aircraft leases, which represent the obligations of a number of different parties and use credit enhancement techniques such as letters of credit, guarantees or preference rights. The value of an ABS is affected by changes in the market's perception of the asset backing the security and the creditworthiness of the servicing agent for the loan pool, the originator of the loans or the financial institution providing any credit enhancement, as well as by the expiration or removal of any credit enhancement. Economic and political factors such as prevailing interest rates and levels of employment and taxation are also likely to impact on repayments and default rates on the underlying collateral and therefore the value of the related ABS.

RMBS. Holders of residential mortgage backed securities ("RMBS") are exposed to the risks associated with a pool of residential mortgages and as such bear various risks, including credit, market, interest rate, structural and legal risk. Unlike in the United States where a significant proportion of RMBS are issued by US government agencies (most significantly Federal National Mortgage Association (Fannie Mae) and Federal Home Loan Mortgage Corporation (Freddie Mac)) and therefore guaranteed, European RMBS tends to represent unguaranteed payment obligations of the underlying borrowers.

Investment in RMBS is likely to experience the adverse effects of a deterioration in household finances in the jurisdictions in which the underlying borrowers are located. For example, a period of high inflation which began in 2022 and which is continuing in both the United Kingdom and Eurozone has resulted in rising interest rates and low levels of consumer confidence across the affected jurisdictions and this is likely to negatively impact credit performance of UK and European RMBS. The extent of such negative impact will be dependent upon certain factors which may lead to heightened risk, for example, greater exposure to interest-only loans, variable rate mortgage products or borrowers with weak historical performance are all likely to exacerbate any deterioration of credit performance. Other factors such as trends in the labour market in the jurisdiction of the underlying borrowers may also have an impact on investments in RMBS. Whilst mortgage borrowers tend to continue to make monthly payments to the extent that they have the ability to do so, meaning that arrears tend to accrue more slowly than with other types of consumer borrowing, a sustained period of heightened unemployment is likely to result in heightened levels of mortgage defaults over time.

At any one time, a portfolio of RMBS may be backed by residential mortgage loans with disproportionately large aggregate principal amounts secured by properties in only a few jurisdictions or regions. As a result, the residential mortgage loans may be more susceptible to geographic risks relating to such areas, such as adverse economic

conditions, adverse events affecting industries located in such areas and natural hazards affecting such areas, than would be the case for a pool of mortgage loans having more diverse property locations. In particular, it should be noted that investing in RMBS in particular European jurisdictions may involve certain esoteric risks as a result of differing market practices. For example, whereas in the United Kingdom mortgage loans are often fixed for a period of two (2) or five (5) years, in Portugal mortgage loans tend to be floating and in France they are typically fixed for their entire tenor. This might mean that where interest rates are rising, deterioration in credit performance would be more pronounced on a portfolio of Portuguese mortgage loans as compared to a portfolio of UK mortgage loans which in turn might suffer from greater deterioration in credit performance compared to a portfolio of French mortgage loans.

Prepayments on the underlying residential mortgage loans backing an issue of RMBS will be influenced by the prepayment provisions of the related mortgage loans and may also be affected by a variety of economic, geographic and other factors, including the difference between the interest rates on the underlying residential mortgage loans (giving consideration to the cost of refinancing) and prevailing mortgage rates and the availability of refinancing. In general, if prevailing interest rates fall significantly below the interest rates on the related residential mortgage loans, the rate of prepayment on the underlying residential mortgage loans would be expected to increase. Conversely, if prevailing interest rates rise to a level significantly above the interest rates on the related mortgages, the rate of prepayment would be expected to decrease. Prepayments could reduce the yield received on the related issue of RMBS. RMBS are particularly susceptible to prepayment risks, as they generally do not contain prepayment penalties and a reduction in interest rates will increase the prepayments on the RMBS, resulting in a reduction in yield to maturity for holders of such securities.

Infrastructure Debt Investments

While AESIF seeks to primarily self-originate investments and provide debt capital to UK and European mid-market companies with a target EBITDA of €10 million + as further described in Section III: “*Investment Information*” of this Annex, AESIF also has the flexibility to invest in other infrastructure debt investments. Please refer to the risk factors stated below for more information on the risks associated with such infrastructure debt investments.

Project Financings

Some of AESIF’s Investments will be structured on a project finance basis. A project finance structure entails the assumption of “project risk” by equity or debt investors such as AESIF, usually without recourse to a project sponsor. Risks may arise in construction due to design and construction flaws. The project may have difficulty locating customers for power or such other commodity that is generated, and projected markets for such items may not materialize. Projects in which AESIF invests may experience shortages of skilled personnel. Operations may depend upon government licenses, franchises, and contracts, which may be subject to termination, revocation or modification. AESIF’s Investments may be adversely affected by storms and other natural disasters. Operators of projects may be adversely affected by sharp increases in component prices and in some cases limited availability of supplies. Power producers may also be adversely affected by events that affect the creditworthiness of the electric utilities to which they sell power. Regulatory changes may affect or require substantial modifications to key project documents, including power sales, interconnection, and power transmission agreements and other offtake agreements, and may impact tax treatment and profitability.

Use of Debt to Finance Infrastructure Projects

Most infrastructure projects are financed using a high degree of debt measured as a proportion of the total enterprise value. As such, AESIF expects that a portion of its Investments will consist of interests in loans originated by banks and other financial institutions. The loans invested in by AESIF may include term loans and revolving loans, may pay interest at a fixed or floating rate and may be senior or subordinated. Purchasers of bank loans are predominantly commercial banks, investment funds and investment banks. The value of an investment in AESIF may be negatively impaired by either adverse interest rate movements or deterioration in the cashflow available to a project to service projected debt obligations.

The cost and availability of leverage is highly dependent on the state of the broader credit markets, which state is difficult to accurately forecast. During times when credit markets are tight, it may be difficult for a project to obtain or maintain the desired degree of leverage. Leverage often imposes restrictive financial and operating covenants on a project, in addition to the burden of debt service, and may impair its ability to finance future operations and capital needs.

If any project in which AESIF is invested cannot generate adequate cashflow to meet debt service, AESIF may suffer a partial or total loss of capital invested, which could adversely affect the returns of AESIF Fund.

International Investing.

AESIF may invest, directly or indirectly, in Underlying Issuers who, at the time of initial investment, are non-European Obligor. Although the Investment Manager believes that investing in these markets may offer significant potential for appreciation and portfolio diversification, prospective investors should recognize that investing in international markets may subject AESIF to certain risks not typically associated with investing in assets in the UK and/or Europe. The investor should consider a number of potential risks associated with investments in international markets, including, without limitation: (i) that costs and expenses of investing in such markets may be higher than in the UK and Europe; (ii) risks of economic dislocations or other adverse economic events in the host country; (iii) differences in their securities markets, including potential price volatility in and relative illiquidity of some international securities markets; (iv) political/sovereign risk arising from government actions (including seizure or nationalization of foreign deposits), trade barriers, exchange controls, different monetary systems, nationalization, expropriation, political changes, economic or social instability (including the risk of sovereign defaults), the risk of war or terrorism or civil unrest; (v) investment and repatriation restrictions arising from laws and regulations limiting or precluding direct foreign investment, foreign ownership restrictions, the possible inability to obtain approval for foreign investment, and unanticipated legal or regulatory changes; (vi) differences in conventions relating to documentation, settlement, corporate actions, stakeholder rights and other matters; (vii) the different accounting, auditing and financial reporting standards, practices and disclosure requirements and potentially less government supervision and regulation; (viii) different legal frameworks, regulatory systems and/or corporate laws regarding stakeholder rights, creditors' rights (including the rights of secured parties), breach of contract actions, fiduciary duties and the protection of investors, and the consequent potential difficulty of obtaining enforceable legal redress; (ix) costs associated with conversion of and limitations on the convertibility of currency, or limitations on the removal of securities, property or other assets of an obligor; (x) currency risk; (xi) regulatory change, and the possibility of expropriation or confiscatory taxation or the imposition of withholding or other taxes on dividends, interest, capital gains, other income or gross sales or disposition proceeds, as well as application of transaction-based taxes such as stamp duty taxes; (xii) the possible imposition of foreign taxes on income, gains and gross sale or other proceeds recognized with respect to such securities or instruments; and (xiii) adverse diplomatic or political developments. While these factors will be taken into consideration in making investment decisions for AESIF and AESIF will be managed in a manner the Investment Manager believes would minimize exposure to the foregoing risks, there can be no assurance that these risks will be evaluated accurately or that adverse developments with respect to such risks will not adversely affect the value or realization of such investments that are held by AESIF.

Risks Relating to the Infrastructure Sector

Most infrastructure assets have unique locational and market characteristics, which could make them highly illiquid or appealing only to a narrow group of investors. Infrastructure investments expose AESIF to numerous risks, usually without recourse to the general credit of a project sponsor, including (without limitation) construction, environmental, regulatory, permitting, commissioning, start-up, operating, economic, commercial, contractual, political, innovation, and financial risks. AESIF may also invest in early developmental stage projects, involving risks of failure to obtain or substantial delays in obtaining regulatory, environmental or other approvals or permits; financing; and suitable equipment supply, operating and offtake contracts. Finally, AESIF will be subject to additional infrastructure sector risks, including (i) the risk that technology employed will be not be effective or efficient; (ii) the risk of equipment failures, fuel interruptions, loss of sale and supply contracts; (iii) changes in power or fuel contract prices, bankruptcy of or defaults by key customers, suppliers or other counterparties, and tort liability; (iv) risk of changes of values of infrastructure sector companies; (v) risks associated with employment of personnel and unionized labor; and (vi) political and regulatory considerations and popular sentiments that could affect the ability of AESIF to make such investments on favorable terms. The occurrence of events related to any of the foregoing could have a material adverse effect on AESIF and its Investments. There can be no assurance that AESIF's Investments will be profitable or generate cash flow sufficient to service their debt or provide a return on or recovery of amounts invested therein. To the extent that AESIF invests in assets that are governed by lease or concession agreements with governmental authorities, there is a risk that these authorities may not be able to honor their obligations under the agreement, especially over the long term. Such lease or concession agreements may also contain clauses more favorable to the governmental counterparty than a typical commercial contract and may restrict AESIF's ability to maximize cash flows and profitability with respect to the investment. Furthermore, governmental authorities have considerable discretion in implementing regulations that could impact these businesses, and because infrastructure assets provide basic, everyday services, and face limited competition, governments may be influenced by political considerations and may make decisions that adversely affect AESIF's Investments.

Risks Relating to Public-Private Partnerships

Target sector investments may be implemented through concession agreements or leases with governmental authorities (whether at the federal, provincial, state, local, municipal or other level), particularly in the target sector of renewable power generation. Bidding on such projects may be subject to public procurement laws. Once contracted, authorities may not honor their obligations under such agreements, especially over the long term, for lack of political will or for budgetary reasons among others. Government leases or concessions may also contain clauses more favorable to the government counterparty than would a typical commercial contract: a lease or concession may enable the government to terminate the lease or concession in certain circumstances without requiring it to pay adequate compensation. In addition, government counterparties also may have the discretion to change or increase regulations or implement new laws or regulations affecting AESIF's operations. Governments have considerable discretion in implementing regulations where such businesses provide basic, everyday services, and face limited competition. As a result, governments may make decisions in respect of infrastructure assets that are politically expedient, but adversely affect AESIF's Investments.

Risks of Transmission Constraints and Renewable Penetration Limits

AESIF may invest in renewable generation, the production of which is limited in some areas by transmission constraints, and independent system operator concerns over reliability and dependability of intermittent generation in the mix. Further, many sites with the best wind or solar resources, with sufficient land to build a plant, are located some distance from load. While these concerns may negatively impact the development of renewable resources, such risks may drive development of energy storage.

Further, risk exists that demand for and development of renewable energy does not continue to grow as expected, due to low energy costs from fossil or nuclear power sources, local opposition to development, or the inability of the grid to absorb intermittent power in greater quantities, among other reasons.

Competitive Pressures.

The market for assets in the target sectors is competitive. AESIF's competitors will include dividend-oriented investment vehicles, diversified energy project owners, private equity funds, investor-owned utility holding companies, strategic investors and companies focused on renewable energy generation. AESIF will compete with these companies to acquire interests in projects with projected stable cash flows that can be built in a cost-effective manner. Each portfolio company will also compete with other solar and wind power developers for the limited pool of personnel with requisite industry knowledge and experience. If there are shortages of necessary equipment or components in the future, solar panel, inverter, turbine and other component manufacturers may give priority to other market participants, including AESIF's competitors, who may have greater resources.

Other entities could construct new facilities or expand existing facilities that could potentially serve the same markets as one of the portfolio companies in which AESIF is invested. Any such new facility could offer services that are more desirable to customers because of locations, rates or other factors. These new facilities could charge rates or provide service to locations that could result in savings for shippers and producers and thereby force a portfolio company to lower the rates charged for services on its services in order to extend existing service agreements or to attract new customers. An increase in the availability of competing alternative facilities or services could result in a significant reduction in a portfolio company's revenue.

AESIF will also compete with power companies and the wider market in general, not limited to those focusing on infrastructure debt, for the lowest cost financing. Depending on the regulatory framework and market dynamics of a region, AESIF may also compete with other power companies and infrastructure debt energy generators when projects bid on or negotiate for long-term power sale agreements. Natural gas and coal prices tend to be volatile and to drive power prices.

AESIF has no control over where its competitors may site competing projects. AESIF's portfolio solar energy projects may face competition in local markets from utilities, construction companies or increasingly sophisticated electrical and roofing companies. In addition, competitors may erect wind projects adjacent to wind projects in which AESIF is invested that may cause upwind array losses to occur at such wind projects. Upwind array losses reflect the diminished wind resource available at a project resulting from interference with available wind caused by adjacent wind turbines. An adjacent wind power project that causes upwind array losses could have a material adverse effect on AESIF's Investments which may in turn impact AESIF's business, financial condition and results of operations.

Additionally, forms of energy compete with each other, including solar, wind, geothermal, biopower, natural gas, electricity, coal, hydroelectric power, nuclear power, and fuel oil. The principal elements of competition among

alternative forms of energy are based on the existing infrastructure, rates, terms of services, access to supply, emissions and reliability. Such competition could decrease demand for a portfolio company's services in the markets such portfolio company serves.

Further, new innovations and combinations may affect demand for goods or services currently provided in the target sectors. For instance, battery storage may make solar power more competitive, accelerating demand for both batteries and solar. Separately, ride sharing services might impact individual households' demand for new electric vehicles.

Demand Side Changes

The amount of solar and wind power consumed by the electric utility industry is affected primarily by the overall demand for electricity, environmental and other government regulations and the price and availability of fuels such as nuclear, coal, natural gas and oil as well as other sources of renewable energy. A decline in prices for these fuels could negatively impact the rate of replacement of aging, inefficient fossil resources, cause demand for solar and wind power to decrease and adversely affect the demand for renewable energy. For example, low natural gas prices have led, in some instances, to increased natural gas consumption by electricity-generating utilities in lieu of other power sources. To the extent renewable energy becomes less cost-competitive on an overall basis as a result of a lack of governmental incentives, cheaper alternatives or otherwise, demand for solar and wind power and other forms of renewable energy could decrease. Slow growth in overall demand for electricity or a long-term reduction in the demand for renewable energy could have a material adverse effect on the AESIF's investment plans and could, in turn, have a material adverse effect on the results of operations and cash available for distribution.

Risks of Change in Law or Regulation

Infrastructure development and operations are heavily impacted by laws and regulations, including production, generation, supply, operation, and ownership. Changes in the energy markets, network charges or other market rules could negatively impact the grid and projects impacted thereby, including generation facilities and battery storage projects.

AESIF must comply with various legal requirements, including requirements imposed by the securities laws, commodities laws, tax laws and pension laws in various jurisdictions. Should any of those laws change, the legal requirements to which AESIF may be subject could differ materially from current requirements. Such changes may also adversely affect AESIF. Energy and utility regulatory requirements, and the availability of exemptions from power sales rate regulation, from the regulation of investments and of financings in the electric sector, and the tariffs and regulations relating to electrical interconnection all change frequently.

Energy Regulatory Matters

AESIF may invest in infrastructure debt projects in the electricity sector, which are subject to laws and regulations, approvals, and compliance requirements regarding electricity production, transmission, and sale. Compliance with the requirements under these various regulatory regimes may cause AESIF incur significant costs, and failure to comply with requirements could result in the disconnection and/or shutdown of the noncomplying facility, the inability to sell electricity from the non-complying facility, the default of contracts for the sales to be made from the non-complying facility, defaults under financing agreements, the imposition of liens, fines, refunds and interest, and/or civil or criminal liability.

Risks of Industry Specific Tariffs.

A subcategory of change in law risk, the risk of tariffs on goods particularly from China, currently stands to impact many solar panel and other manufacturers, developers and end users. While it remains to be seen if this risk lessens or spreads to other segments of the industry, the uncertainty and additional costs resulting from the tariffs may impact project development costs, particularly in the solar and wind power industries for the near future.

Change in Government Support (Tax Credits, Net Metering, Tax Rates).

Another subcategory of change in law risk is the revision or repeal of current subsidies or preferential tax treatment. Solar and wind power generation projects have historically benefitted from tax credits and accelerated depreciation, among other incentives. Uncertainty around the future of such benefits (including tax credits, which are currently scheduled to sunset or be reduced in the near future) may slow development in these areas. Additionally, even should these tax credit and accelerated depreciation benefits remain fully in place in their current form, the reduction in the federal corporate income tax rate may lessen the appetite of certain investors for tax favored transactions and investments.

Additionally, some infrastructure projects will derive substantially all of their revenues from tolls, tariffs or other usage fees. Users of the applicable service may react negatively to any adjustments to the applicable rates, or the public may cause relevant government authorities to challenge such rates. In addition, adverse public opinion, or lobbying efforts by specific interest groups, could result in governmental pressure on a portfolio company or a fund to reduce its rates, or to forego planned rate increases.

Unforeseen Events and Risk of Force Majeure Events

Use of infrastructure assets may be interrupted or otherwise affected by a variety of events outside of the control of AESIF, the AIFM or the Investment Manager, including serious traffic accidents, natural disasters (including fire, floods, earthquakes and typhoons), man-made disaster (including terrorism and acts of war), defective design, construction and maintenance, slope failure, bridge and tunnel collapse, road subsidence, fuel prices, environmental legislation or regulation, general economic conditions, labor disputes, public health emergencies and other unforeseen circumstances and incidents. The physical risks of climate change, such as more frequent or more extreme weather events, changes in sea level, temperature and precipitation patterns, ground and surface water availability, and other related phenomena may exacerbate these risks. Certain of these events have affected toll roads, bridges, tunnels and other infrastructure assets in the past, and if the use of the infrastructure asset is interrupted in whole or in part for any period as a result of such events the relevant investment could experience a reduction in revenues, increased costs of maintenance or restoration and loss or reduction of overall public confidence. Such issues, if experienced at the facilities of one or more portfolio companies in which AESIF is invested, could adversely impact such portfolio companies' returns or revenues, increase costs to repair and maintain certain systems, subject such portfolio companies to potential litigation and/or damage claims and increase the level of oversight of the transmission and generation operations and infrastructure of such portfolio companies, which may in turn impact AESIF. In some cases, project agreements could be terminated if the events described above were so catastrophic that they could not be remedied within a reasonable period or at all.

Extreme weather events, including hurricanes or storms or other natural disasters, could be destructive and result in casualty losses that are not ultimately offset by insurance proceeds or in increased capital expenditures or costs, including supply chain costs. Moreover, an extreme weather event could cause disruption in service to customers due to downed wires and poles or damage to other operating equipment, which could result in a portfolio company foregoing sales of electricity and lost revenue. Similarly, an extreme weather event might affect the availability of generation and transmission capacity, limiting a portfolio company's ability to source or deliver electricity to where it is needed. These conditions, which cannot be reliably predicted, could have an adverse consequence by requiring a portfolio company to seek additional sources of electricity when wholesale markets are tight or to seek to sell excess electricity when those markets are weak. Variations in weather conditions, primarily temperature and humidity, also would be expected to affect the energy needs of customers.

Further, even weather within the normal range can impact production at certain energy power generation facilities, such as solar and wind energy projects. Actual conditions of such a project's location, even after feasibility assessments, may not perform sufficiently to meet projected energy generation levels, which could adversely affect AESIF.

If solar or wind conditions are unfavorable, revenues from renewable generation facilities may be substantially below expectations. The electricity produced and revenues generated by a solar or wind energy generation facility is highly dependent on suitable solar or wind conditions, as applicable, and associated weather conditions, which are beyond the control of AESIF, the AIFM or the Investment Manager. Furthermore, components of generating projects' systems, such as solar panels and inverters, could be damaged by severe weather, such as hailstorms or tornadoes. In addition, replacement and spare parts for key components may be difficult or costly to acquire or may be unavailable. Unfavorable weather and atmospheric conditions could impair the effectiveness of the generating assets or reduce their output beneath their rated capacity or require shutdown of key equipment, limiting the revenues of AESIF's portfolio of renewable assets. In addition, climate change may have the long-term effect of changing wind patterns at AESIF's projects. Changing wind patterns could cause changes in expected electricity generation. These events could also degrade equipment or components and the interconnection and transmission facilities' lives or maintenance costs.

Additionally, by their very nature as strategic investments, infrastructure debt investments in the target sectors may face greater risks of terrorist acts or political actions, and some of these risks may not be insurable. Risks that are beyond the control of AESIF, the AIFM or the Investment Manager, including but not limited to acts of terrorism or related acts of war, natural disaster, hostile cyber intrusions or other catastrophic events, could have a material adverse effect on AESIF's business, financial condition and results of operations. The infrastructure debt projects in which AESIF invests, as well as the facilities of third parties on which the projects rely, may be targets of terrorist activities, as well as events occurring in response to or in connection with them, that could cause environmental repercussions and/or disrupt the projects' ability to operate and produce revenue. Strategic

targets, such as energy projects, may be at greater risk of future terrorist activities than other domestic targets. Hostile cyber intrusions, including those targeting information systems as well as electronic control systems used at AESIF's plants and for the related distribution systems, could disrupt business operations and result in loss of service to customers, as well as create significant expense to repair security breaches or system damage.

Some projects may be located in or near earthquake, fire, and/or flood zones, and certain of AESIF's projects and suppliers conduct their operations in the same region or in other locations that are susceptible to disasters. The occurrence of a disaster, such as an earthquake, drought, flood or localized extended outages of critical utilities or transportation systems or any critical resource shortages, affecting AESIF's Investments or their suppliers, could interrupt AESIF's business, damage or destroy its facilities or those of its suppliers or the manufacturing equipment or inventory of its suppliers.

Any terrorist acts, environmental repercussions or disruptions or natural disasters could result in a significant decrease in revenues or significant reconstruction or remediation costs, beyond what could be recovered through insurance policies, which could have a material adverse effect on AESIF's business, financial condition and results of operations.

Availability of Insurance

Certain losses of a catastrophic nature, such as wars, earthquakes, typhoons, hurricanes, terrorist attacks, floods, pandemics or other similar events, may be either uninsurable or insurable at such high rates that to maintain such coverage would cause an adverse impact on the related AESIF Investments. In general, losses related to terrorism are becoming harder and more expensive to insure against. Some insurers are excluding terrorism coverage from their all-risk policies. In particular, the projects in which AESIF will invest face risks inherent in the digital, energy, transportation, and utilities sectors. They will be exposed to public security, equipment, infrastructure, disaster, and environmental risks. Insurance policies may not cover losses as a result of force majeure. In addition, while a portfolio company's insurance policies for some of its projects may cover losses as a result of certain types of natural disasters, terrorist attacks or sabotage, among other things, such coverage is not always available in the insurance market on commercially reasonable terms and is often capped at predetermined limits, such as by offering significantly limited coverage against terrorist acts for additional premiums, which can greatly increase the total costs of casualty insurance for a property, if decided to be obtained. As a result, all AESIF Investments may not be insured against terrorism or certain other risks. In addition, a portfolio company's insurance policies are subject to annual review by its insurers and may not be renewed on similar or favorable terms or at all. A serious uninsured loss or a loss significantly exceeding the limits of a portfolio company's insurance policies could have a material adverse effect on its business, financial condition and results of operations, such as losing both invested capital in and anticipated profits from the affected AESIF Investments. In general, the Investment Manager will not have discretion as to the type and level of coverage to obtain, or whether to obtain insurance at all.

Negative Publicity

AESIF's investment strategy may include the making of investments in companies that receive a high degree of media coverage. Negative or unfavorable publicity regarding a company's product, product quality, litigation, or regulatory activity, or regarding the actions of third parties with whom it has relationships could seriously harm a company's brand, reputation and business. In addition, events in a company's industry, even if unrelated to such company, may negatively affect its brand, reputation and business. As a result, such negative or unfavorable publicity may adversely impact the company's and/or AESIF's reputation, and may result in material adverse consequences to AESIF's Investment in the company and, potentially, AESIF's ability to execute its investment strategy.

Business Risk

Like any other business, the viability of an infrastructure asset is reliant on the revenue, costs and profitability of that asset. Variability in any of these factors will affect the value of an Investment. These risks are particularly acute for construction ready investments that lack established revenue and profitability track records.

Infrastructure assets can often experience gradually increasing or fluctuating patronage in the early years of operation, and there is also a risk that the demand for use of the asset may be less than originally projected.

Operational Risk and Technology

AESIF may invest in operating infrastructure facilities. Operation of such facilities involves certain operational risks, which include: the possibility of performing below expected levels of output, availability or efficiency;

interruption in fuel or other necessary supplies; increases in the cost of necessary supplies; disruptions in the offtake of energy or other production; power shutdowns; breakdown or failure of equipment or processes; accidental discharges of hazardous materials; labor disputes; changes in law; failure to obtain or maintain necessary governmental permits; or catastrophic events such as fires, earthquakes, lightning, explosions, hurricanes, tornados, floods or similar occurrences affecting a facility owned by a portfolio company of AESIF or its offtaker or other project counterparties. Environmental factors such as levels of solar irradiation, wind power, and flood levels all may affect various renewable energy production.

Most infrastructure assets are operated and maintained by external parties under contractual relationships. Poor operational and maintenance performance by these third parties may have a negative effect on the value of an Investment. Demand, usage and throughput risk can affect the performance of portfolio companies. To the extent that assumptions regarding the demand, usage and throughput of assets prove incorrect, returns to AESIF could be adversely affected.

There is a risk that unforeseen factors may require capital expenditures in excess of forecasts and a risk that new or additional regulatory requirements, safety requirements or issues related to asset quality and integrity may result in the need for additional capital expenditure for replacement or reinforcement of infrastructure assets.

Environmental and Other Regulatory Risk

The operations of some portfolio companies may be subject to numerous statutes, rules and regulations relating to environmental protection.

There is a possibility of existing or future environmental contamination, including soil and groundwater contamination, as a result of the spillage of hazardous materials or other pollutants. Under various environmental statutes, rules and regulations of the appropriate jurisdiction, a current or previous owner or operator of real property may be liable for non-compliance with applicable health and safety requirements and for the cost of investigation, monitoring, removal or remediation of hazardous materials. These laws often impose liability whether or not the owner or operator knew of, or was responsible for, the presence of hazardous materials.

The presence of these hazardous materials on a property could also result in personal injury, property damage or similar claims by private parties. Persons who arrange for the disposal or treatment of hazardous materials may also be liable for the costs of removal or remediation of those materials at the disposal or treatments facility, whether or not that facility is or ever was owned or operated by that person. Any liability of portfolio companies resulting from non-compliance or other claims relating to environmental matters could have a materially adverse effect on the value of the AESIF's Investments in those companies.

Additionally, in recent years, a growing concern has emerged nationally and internationally about global climate change and how greenhouse gas emissions ("GHGs"), such as CO₂ and methane, contribute to global climate change.

Changes in these laws, policies, or regulations, or changes in the interpretation or application of existing laws, policies, and regulations that modify the present regulatory environment, could also have an adverse effect on AESIF's Investments.

Construction and Project Management

Investments in construction ready or development-stage infrastructure assets may result in exposure to the risk that construction will not be completed on time, within budget or to specifications. Such risks may include geological problems and difficulties in obtaining (i) regulatory, environmental or other approvals or permits; (ii) financing; and (iii) suitable equipment supply, operating and offtake contracts, any of which could give rise to delays or costs overruns. A material delay or increase in costs could significantly impair the financial viability of an infrastructure investment project and result in a material adverse effect on AESIF's Investments. Similar risks may also apply to operational assets in relation to any development works conducted. The revenue and cost implications of this risk may adversely impact the value of an Investment. Furthermore, market conditions may change during the course of development that make such development less attractive than at the time it was commenced. In addition, there are risks inherent in the construction work that may give rise to claims or demands against a portfolio company from time to time.

Project Development Risk

The successful development of projects and the operations of companies in which AESIF may invest may depend on adequate infrastructure being available (or being developed) and remaining available. These projects and companies may be located in areas that are sparsely populated and difficult to access. Reliable roads, power

sources, transportation infrastructure and water supplies are essential for the conduct of project development and operations and the availability and cost of these utilities and infrastructure affect capital and operating costs. Unusual weather or other natural phenomena, sabotage or other interference in the maintenance or provision of such infrastructure could impact the development of a project, reduce production volumes, increase extraction or exploration costs or delay the transportation of raw materials to the mines and projects and commodities to end customers. Any such issues arising in respect of the infrastructure may materially and adversely impact an investment by AESIF.

Technical Risk

Investments in the infrastructure industry may be subject to technical risks, including the risk of mechanical breakdown, spare parts shortages, failure to perform according to design specifications and other unanticipated events which adversely affect operations. While the Investment Manager intends to seek investments in which creditworthy and appropriately bonded and insured third parties bear much of these risks, there can be no assurance that any or all such risks can be mitigated or that such parties, if present, will perform their obligations.

Health and Safety Risk

The employees and staff of infrastructure businesses are exposed to health and safety risks that could result in death, permanent disability or other serious injury that may disrupt the operations of AESIF's portfolio companies, lead to economic loss, litigation or penalties for regulatory or contractual non-compliance, and may also adversely impact the reputation of portfolio companies and AESIF. Moreover, any loss from such events may not be recoverable under relevant insurance policies.

Sovereign and Regulatory Risk

The concessions of certain portfolio companies may be granted by government bodies and are subject to risks, including the risk that the relevant government bodies will exercise sovereign rights and take actions contrary to the rights of AESIF or the relevant portfolio company under the relevant concession agreement. There can be no assurance that the relevant government bodies will not legislate, impose regulations or change applicable laws or act contrary to the law in a way that would materially and adversely affect the business of the portfolio companies.

In many instances, the acquisition of infrastructure assets involves an ongoing relationship with a government agency. The nature of the arrangements can expose owners to a higher level of regulatory control than typically imposed on other businesses. The repealing, amending or enacting of a new law or regulation (or a new interpretation of the law or regulation) can substantially affect an infrastructure project.

Many of the portfolio companies may be subject to substantial regulation by governmental agencies. In addition, their operations may rely on government permits, licenses, concessions, leases or contracts that are generally very complex and may result in a dispute over interpretation or enforceability. If portfolio companies fail to comply with these regulations or contractual obligations, they could be subject to monetary penalties or may lose rights to operate the affected business, or both.

The leases or concessions may also contain clauses more favorable to the government counterparty than a typical commercial contract. For instance, a lease or concession may enable the government to terminate the lease or concession in certain circumstances without requiring the payment of adequate compensation. Government counterparties also may have the discretion to change or increase regulation of portfolio company operations, or implement laws or regulations affecting their operations, separate from any contractual rights they may have. Governments have considerable discretion in implementing regulations that could affect the businesses carried on by portfolio companies, and because such businesses provide basic, everyday services, and face limited competition, governments may be influenced by political considerations and may make decisions that adversely affect such businesses.

Where a portfolio company is the sole or predominant service provider in its service area and provides services that are essential to the community, it may be subject to rate regulation by governmental agencies that will determine the prices it may charge. Portfolio companies may be subject to unfavorable price determinations that may be final with no right of appeal or which, despite a right of appeal, could result in profits being negatively affected.

Illiquid Investments of Portfolio Funds.

Generally, investments made in Other Ares Funds and Funds and Vehicles Managed by Third-Party Managers (each, a “**Portfolio Fund**”) will be subject to legal or other restrictions on transfer or will be investments for which no liquid market exists. Such restrictions may result in AESIF being limited or otherwise prohibited in its ability to sell all or some of its investment in the Portfolio Funds at the times, or in the amounts and on the terms and/or conditions preferred by AESIF. These limitations, in turn, may limit the ability of the Shareholders to liquidate their investments in AESIF. Further, there can be no assurance that any Portfolio Funds will be able to dispose of their investments in a timely manner or on favorable terms. As a consequence, a Portfolio Fund may not be able to sell its investments when it desires to do so or to realize what it perceives to be the fair value of the investment in the event of a sale.

Secondary Market Purchases; Pooled Investments in Secondary Investments.

AESIF may, directly or indirectly (including, for the avoidance of doubt, through Portfolio Funds held by it), invest in Portfolio Funds that have completed their closings by purchasing an interest in each such Portfolio Fund from unaffiliated parties in the secondary market (a “**Secondary Market Interest**”). In such instances, as AESIF (or the relevant Portfolio Fund held by it) will not be acquiring such interests directly from the relevant Portfolio Fund, it is generally not expected that AESIF (or the relevant Portfolio Fund held by it) will have the opportunity to negotiate the terms of the interests being acquired, other than the purchase price, or other special rights or privileges. There can be no assurance as to the number of secondary investment opportunities that will be presented to AESIF (or the relevant Portfolio Fund held by it).

Such Secondary Market Interests may present additional risks such as difficulty in valuing the existing investments of the Portfolio Fund or the possibility that the acquired Secondary Market Interest may be subject to contingent liabilities resulting from activity that transpired prior to the purchase of such Secondary Market Interest (e.g., an indemnification obligation in respect of an act or omission occurring prior to the date of the purchase of such Secondary Market Interest). Further, the purchase or sale of a Secondary Market Interest may be subject to the consent of the general partner or investment manager of such Portfolio Fund or otherwise on behalf of the Portfolio Fund and other qualification requirements and/or conditions may make such purchase more difficult or, ultimately, prevent it. Additionally, in many cases, AESIF (or the relevant Portfolio Fund held by it) may have the opportunity to acquire a portfolio of investment funds from a seller on an “all or nothing” basis.

Certain of the investment funds in the portfolio may be less attractive than others, and certain of the sponsors of such investment funds may be more familiar to the Ares Secondaries Group (as defined below) than others or may be more experienced or highly regarded than others. In such cases, it may not be possible for AESIF (or the relevant Portfolio Fund held by it) to carve out from such purchases those investments which the Investment Manager considers (for commercial, tax, accounting, legal or other reasons) less attractive. Similarly, AESIF may not be able to acquire certain interests in a portfolio of investment funds that may be highly attractive for certain legal, tax, regulatory or other similar considerations. In addition, AESIF (or the relevant Portfolio Fund held by it) will likely have the opportunity to participate in “stapled secondaries” (e.g., a secondary market purchase of an existing limited partner interest and corresponding commitment to a new fund in formation sponsored by the same investment manager). In certain instances, the purchase of an interest in the new fund may be less attractive than the investment in or related to an existing partnership interest.

Nature of Investments into Funds.

The success of Portfolio Funds is subject to those risks which are inherent in credit and credit-related investments undertaken by such Portfolio Funds. These risks are generally related to (i) the ability of each of the Portfolio Funds to select and manage successful investment opportunities; (ii) the quality of the management of each portfolio company in which the Portfolio Funds invest; (iii) the ability of the Portfolio Funds to liquidate their investments; and (iv) general economic conditions. There can be no assurance that the investments made by the Portfolio Funds will result in attractive rates of return to AESIF. AESIF will not be able to participate in the management and control of the Portfolio Funds in which it holds investments nor of the portfolio companies in which they have invested. Consequently, AESIF will not be able to control the amount or timing of distributions from the Portfolio Funds, which may affect Shareholders’ returns. Further, should any Portfolio Fund’s investment managers in some way cease to participate in the management of such Portfolio Fund, the performance of such Portfolio Fund (and consequently AESIF’s performance) could be adversely affected.

AESIF may invest (i) in Portfolio Funds managed by such Portfolio Funds’ respective investment managers and (ii) indirectly, in credit and credit-related investments selected by such investment managers. Although the

Investment Manager will attempt to evaluate each Portfolio Fund based on criteria such as the performance history of the Portfolio Fund and its investment manager as well as the Portfolio Fund's investment strategies, the past performance of a Portfolio Fund and its investment manager may not be a reliable indicator of future results. Moreover, AESIF will not have the opportunity to evaluate the specific investments made by any Portfolio Fund before they are made and, generally, will have limited or, in some circumstances, no ability to dispose of AESIF's investment in a Portfolio Fund, either in the manner or at the time preferred by the Investment Manager, if the Investment Manager is dissatisfied with such Portfolio Fund's performance. Accordingly, the returns of AESIF may be impacted by the performance of such investment managers and could be adversely affected by any unfavorable performance.

AESIF may invest from time to time in a Portfolio Fund managed by an investment manager in which one or more Ares Secondaries Group Funds holds a non-controlling minority interest. For the purposes hereof, "**Ares Secondaries Group Funds**" means other secondaries investment funds and investment vehicles managed or advised by the Investment Manager or its affiliates. AESIF's investment in such a Portfolio Fund may be in the form of a secondary acquisition or a primary acquisition of interests in the Portfolio Fund. In determining whether AESIF should make such an investment, the Investment Manager may have a conflict of interest. For example, the Investment Manager may have an incentive to cause AESIF to make a primary acquisition in the relevant Portfolio Fund in order to increase the management fees and other remuneration of the Portfolio Fund's investment manager, which may indirectly benefit the Ares Secondaries Group Fund that owns an interest in the investment manager and, in turn, indirectly benefit the Investment Manager or its affiliates. Similarly, the Investment Manager or its affiliates may, by virtue of an Ares Secondaries Group Fund's investment in the manager of a Portfolio Fund, benefit from having more or better access to information regarding the Portfolio Fund or its manager, which could benefit AESIF in assessing the merits of a secondary acquisition of interests in the Portfolio Fund; however, it could also result in restrictions on AESIF's ability to pursue such a transaction.

Moreover, Shareholders will indirectly bear a proportionate share of the fees and expenses of the Portfolio Funds, in addition to its proportionate share of the expenses of AESIF. Thus, Shareholders may be subject to higher operating expenses than if such Shareholder invested in the Portfolio Funds directly. In addition, because of the deduction of the fees payable by AESIF to the Investment Manager and other expenses payable directly by AESIF from amounts distributed to AESIF by the Portfolio Funds, the returns to a Shareholder in AESIF will be lower than the returns to a direct investor in the Portfolio Funds (See also "*Multiple levels of Fees and Expense*" above). Fees and expenses of AESIF and the Portfolio Funds generally are paid regardless of whether AESIF or Portfolio Funds produce positive investment returns. Shareholders could avoid the additional level of fees and expenses of AESIF by investing directly with the Portfolio Funds, although access to many Portfolio Funds may be limited or unavailable, and may not be permitted for investors who do not meet the substantial minimum net worth and other criteria for direct investment in Portfolio Funds.

If AESIF fails to satisfy capital calls to a Portfolio Fund in a timely manner then, generally, it will be subject to significant penalties, including the complete forfeiture of an Investment in the Portfolio Fund. Any failure by AESIF to make timely capital contributions may impair the ability of AESIF to pursue its investment program, cause AESIF to be subject to certain penalties from the Portfolio Funds or otherwise impair the value of Investments.

Risks Relating to the Use of Leverage by the Portfolio Funds.

Portfolio Funds and their portfolio companies expect to use leverage and incur other indebtedness on a committed, uncommitted, demand or other basis for a variety of purposes, including, but not limited to, acquiring, directly or indirectly, new investments, leveraging existing investments to permit distributions or additional investments, facilitating hedging activities and bridging funding for investments in advance of capital calls. Leverage generally magnifies opportunities for gain and risk of loss from a particular investment, and the magnification of the risk of loss may be substantial. The leverage used by the Portfolio Funds may take the form of indebtedness for borrowed money as well as financial leverage in the form of short sales, forward contracts, options, derivatives, and other similar transactions, which may expose AESIF to greater risks than if the Portfolio Funds did not use leverage. Leverage incurred by a Portfolio Fund could accelerate and magnify declines in the value of an investment. The cost and availability of leverage is highly dependent on the state of the broader credit markets (and such credit markets may be impacted by regulatory restrictions and guidelines), which state is difficult to accurately forecast, and at times it may be difficult to obtain or maintain the desired degree of leverage. Gains made with borrowed funds generally would cause the Portfolio Funds' value to increase faster than without borrowed funds; however, losses incurred with borrowed funds would cause the Portfolio Funds' value to decrease faster and more significantly than without the use of borrowed funds. Money borrowed for the purpose of leveraging investments will also be subject to interest costs as well as financing, transaction and other fees and costs that may not be

recovered by returns on the Portfolio Funds' investments or other investment positions taken by the Portfolio Funds. Increased interest rates will increase the costs to obtain leverage.

Portfolio Company Risks.

In addition to the above, the Portfolio Funds in which AESIF will invest may invest in portfolio companies that involve a high degree of business or financial risk. The portfolio companies may be start-ups or in an early stage of development, may be distressed or have operating losses or significant variations in operating results and may be engaged in a rapidly changing business with products subject to a substantial risk of obsolescence. The portfolio companies may also include companies that are experiencing, or are expected to experience, financial difficulties which may never be overcome. In addition, they may require substantial additional capital to support their operations, to finance expansion or to maintain their competitive position, or may otherwise have a weak financial condition. Portfolio companies may face intense competition, including competition from companies with greater financial resources, more extensive development, manufacturing, marketing and other capabilities and a larger number of qualified managerial and technical personnel.

Many portfolio companies may be highly leveraged, which may impair the ability of these companies to finance their future operations and capital needs, and which may in turn result in restrictive financial and operating conditions. In addition, in the event that a portfolio company does not perform as anticipated or incurs unanticipated liabilities, high leverage will magnify the adverse effect on the value of the equity of the company and could result in substantial diminution in or the total loss of an equity investment in such company.

Failure by Other Investors to Meet Capital Calls of Portfolio Funds.

AESIF, directly or indirectly, may be one of many investors in Portfolio Funds, many of which typically will have capital contribution obligations over an extended period of time. Failure by one or more other investors to meet a capital call of a Portfolio Fund could have adverse consequences for AESIF. The Portfolio Fund may be permitted to require AESIF and other investors in the Portfolio Fund to contribute additional capital to satisfy the shortfall. If the Portfolio Fund is unable to raise sufficient capital to consummate the proposed investment, the Portfolio Fund's manager may not be able to, among other things, diversify its portfolio, which could adversely affect the performance of such Portfolio Fund and could also result in such Portfolio Fund's investments being concentrated in relatively few assets, industries and regions. Furthermore, such Portfolio Fund may not have sufficient capital to contribute capital to existing portfolio companies necessary to ensure their ongoing financial stability. If multiple investors fail to meet capital calls from a particular Portfolio Fund, such Portfolio Fund could default on its obligations, which could result in the termination of such Portfolio Fund, causing a lower return, or potentially a loss, on AESIF's investments.

Termination of a Portfolio Fund.

The governing documents of the Portfolio Funds are expected to include provisions that would enable the general partner, the investment manager, or a majority in interest (or higher percentage) of their investors, under certain circumstances, to terminate such Portfolio Funds prior to the end of their respective stated terms. Termination of a Portfolio Fund may result in a portfolio of immature and illiquid securities being distributed to AESIF.

Portfolio Funds May Make Commitments in Excess of Their Capital Commitments.

Portfolio Funds may make commitments to portfolio companies in excess of the total capital committed to such funds. As a result, in certain circumstances, a Portfolio Fund may need to retain distributions from its investments or recall distributions or liquidate certain of its investments prematurely at potentially significant discounts to market value if such Portfolio Fund does not generate sufficient cash flow from its investments to meet these commitments. Likewise, AESIF may also be exposed to these risks if AESIF does not generate sufficient cash flow to satisfy its recall obligations to its Portfolio Funds.

Contingent Liabilities Associated with Fund Interests Acquired in Secondary Transactions.

In connection with interests purchased by AESIF (or the relevant Portfolio Fund held by it) in secondary transactions, AESIF may acquire contingent liabilities of the seller of the interest in the Portfolio Fund. More specifically, where the seller has received distributions from the relevant Portfolio Fund and, subsequently, that Portfolio Fund recalls one or more of these distributions, AESIF (as the purchaser of the interest to which such distributions are attributable and not the seller) or the relevant Portfolio Fund held by it may be obligated to return monies equivalent to such distributions to the Portfolio Fund. While AESIF (or the relevant Portfolio Fund held by it) may, in turn, make a claim against the seller for any such monies so paid to the Portfolio Fund, there can be no assurances that AESIF would prevail on such claim.

Limited Availability of Information.

Due to confidentiality considerations, certain potential and/or actual Portfolio Funds may not permit AESIF (or the relevant Portfolio Fund held by it) to fully disclose information regarding such Portfolio Fund's investment strategies, risks, prior performance or other information. In addition, certain potential and/or actual Portfolio Funds may provide limited or no information regarding their respective investment strategies or investments. Additionally, information received from the general partners or the investment managers of the Portfolio Funds may not always be accurate or timely. This lack of access to, or the untimeliness or inaccuracy of, information provided by the general partners or investment managers may make it more difficult for the Investment Manager to select, allocate among and evaluate the Portfolio Funds.

Risk Factors Relating to the Shares

AESIF is subject to the available supply in its ability to originate or purchase assets on advantageous terms or at all.

The Investment Manager intends to cause AESIF to pursue its investments both through origination and acquiring relevant investments on a secondary (non-origination) basis. There can be no assurance that there will be a sufficient number of suitable investment opportunities to enable AESIF to invest all of the Subscriptions of the Shareholders in opportunities that satisfy AESIF's investment strategy or that any investment opportunities will lead to successful investments by AESIF.

SCHEDULE 1

SUSTAINABILITY-RELATED DISCLOSURES

Introduction

Terms used in this Annex and not otherwise defined below have the meaning given to them in the Prospectus.

Article 8 SFDR – Promotion of Environmental or Social Characteristics

The AIFM considers that AESIF is a financial product that promotes, amongst other characteristics, environmental or social characteristics, or a combination of those characteristics but does not have as its objective Sustainable Investment within the meaning of SFDR, and AESIF is therefore subject to Article 8 of the SFDR.

Further information with respect to the environmental and social characteristics that are promoted by AESIF can be found in the pre-contractual disclosures for Article 8 financial products included in this Annex 1, as well as online at <https://www.areswms.com/ares-wealth-management-solutions/aesif-resources>.

As is set out further below, it is expected that the portion of AESIF's assets that are invested in direct lending deal structures (as further described in the "Investment Strategy of AESIF" section of Annex 1: "Ares European Strategic Income Fund" to the Prospectus) will be invested in alignment with one or more of the environmental and/or social characteristics promoted by AESIF. Investments made in relation to other illiquid alternative credit investments or the debt and other instruments sleeve of AESIF (as further described in the "Investment Strategy of AESIF" section of Annex 1 "Ares European Strategic Income Fund" to the Prospectus) are not expected to be used to attain such characteristics.

For the avoidance of doubt, any assets held by AESIF (including the AESIF Aggregator) solely for the purposes of liquidity management or risk management (including for the hedging of exposures), whether to comply with applicable law or regulation or otherwise, are not subject to the SFDR-related commitments as set out in this Annex 1. The AIFM (and/or its delegate(s)) may cause AESIF to hold such assets in its discretion without regard to AESIF's commitments for the purposes of SFDR. Consequently, investments made for such purposes do not form part of AESIF's asset allocation for the purposes of the disclosures in this Annex 1 and in no way should any of the commitments or other statements made in this Annex 1 be considered to relate to such assets.

Notwithstanding anything herein to the contrary and for the avoidance of doubt, it is not contemplated that the AIFM or the Investment Manager will subordinate AEFS's investment returns or increase AESIF's investment risks as a result of (or in connection with) the consideration of any environmental or social factors.

Articles 7(2) SFDR - No Consideration of Sustainability Adverse Impacts

At present, the AIFM (and/or its delegate(s)) does not, within the meaning of the SFDR, consider the adverse impacts of its investment decisions on sustainability factors in respect of AESIF. The AIFM (and/or its delegate(s)) does not currently do so because, among other reasons, it is continuing to assess the applicable mandatory data collection and disclosure requirements for entities which opt in to considering the principal adverse impacts of their investment decisions, as well as its internal capabilities to comply with such requirements. The AIFM's position on this matter will be reviewed at least annually, and Ares will continue to actively seek to invest in systems and procedures which will enable us, over time, to gather more granular data on the impacts of investment on sustainability factors. As a firm, Ares will also continue its focus on creating long-term value for its investors, the companies in which they invest, and the communities where they live and work.

Article 6(1)(a)&(b) SFDR - Integration of Sustainability Risks and Likely Impact on Returns

The SFDR defines "sustainability risks" as environmental, social or governance events or conditions that, if they occur, could cause an actual or a potential material negative impact on the value of the investment.

The consideration of ESG factors and sustainability risks is, where possible, integrated into the AIFM's and the Investment Manager's investment processes. It is primarily the responsibility of the specific investment team evaluating an investment, along with the other risks which the team considers in line with the particular strategy and investment guidelines for AESIF.

In order to ensure that sustainability risks are considered in a systematic manner, investment teams are required wherever practicable to highlight key sustainability considerations at the early stages of proposed investments, and subsequently, wherever practicable, to include sustainability risk assessment information within relevant

internal documentation such as papers for investment committees, including wherever practicable by the application of ratings to individual sustainability risks together with overall conclusion ratings. Once investments are made, the Investment Manager continues as part of its portfolio management processes to monitor for sustainability risks. If appropriate for an investment, the AIFM or the Investment Manager may conduct sustainability risk-related due diligence and/or take steps to mitigate sustainability risks and preserve the value of the investment. The AIFM or the Investment Manager generally measure any relevant environmental or social matters using third-party standards, guidelines and metrics, data from Ares' portfolios, company reports and publicly available information, as the AIFM or Investment Manager deems relevant from time to time.

The Firm's policy and the AIFM's and the Investment Manager's approach as described above ensures that sustainability risks are integrated into both investment decision making and portfolio management to the extent that they represent potential or actual material risks to and opportunities for investments made for AESIF. As part of that process, the AIFM and/or the Investment Manager have determined that sustainability risks are potentially relevant to the investment returns of AESIF, having regard in each case to AESIF's strategy and investment guidelines. The AIFM and/or Investment Manager will follow its procedures to identify and mitigate sustainability risks, although there can be no guarantee that they will successfully identify and mitigate all material risks.

With regard to AESIF, many or all of the specific investment decisions involved will remain to be made in the future and, accordingly, identification and assessments of risks, including sustainability risks, will necessarily take place on an investment-by-investment basis in accordance with the policy described above.

As of the date hereof, no specific investment decisions have been made for AESIF and accordingly the identification and assessments of risks, including sustainability risks, will take place on an investment-by-investment basis as noted above. The AIFM's assessment is that integration of sustainability risks in investment decisions, combined with a diversified portfolio appropriate for AESIF in light of its investment objective and strategy, should help mitigate the potential material negative impact of sustainability risks on the returns of AESIF, although there can be no assurance that all such risks will be mitigated in whole or in part, nor identified prior to the date the risk materializes.

For further information with respect to the integration of sustainability risks for AESIF, please refer to the pre-contractual disclosures set out in this Annex 1, as well as online at: <https://www.areswms.com/ares-wealth-management-solutions/aesif-resources>.

EU Taxonomy Regulation Disclosure

Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment (the "**Taxonomy Regulation**") sets out a framework for classifying specific economic activities as "environmentally sustainable." The investments underlying this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

The **EU Taxonomy** is a classification system laid down in Regulation (EU) 2020/852, establishing a list of **environmentally sustainable economic activities**. That Regulation does not lay down a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.



In respect of the directly originated illiquid deals that AESIF is invested in from time to time, AESIF will seek to promote positive environmental (exclusion of business activities that are deemed harmful to the environment) and social performance (exclusion of business activities that are deemed harmful to society and do not promote responsible business practices) and/or improvements to the environmental and social maturity of underlying investee companies, through the use of the following tools:

Characteristic Number (Promoted Characteristic "X")	Environmental and/or Social Characteristic AESIF seeks to promote environmental and/or social characteristics by:
1.	Negative Exclusion Screen - Excluding any investments in directly originated illiquid deals in relation to businesses which at the

	time of AESIF's initial investment (and as determined by the AIFM in its reasonable opinion, having made reasonable enquiry in good faith): a) derive a majority of revenues from the production or mining of coal; b) derive a majority of revenues from the production, dissemination and/or promotion of pornography; c) derive a majority of revenues from the manufacturing and/or production of cigarettes and/or other tobacco products; d) derive a majority of revenues from the manufacture, production and/or sale of controversial weapons (anti-personnel mines, cluster munitions, chemical weapons and biological weapons); e) have violated the UN Guiding Principles and OECD Guidelines relating to human rights and labour rights and have demonstrated an ongoing failure to take action to address, manage and prevent human rights and labour rights risks in such business's operations; or f) have been (or whose current senior management have been) convicted for violations of anti-corruption and anti-bribery laws and have demonstrated an ongoing failure to take action to address, manage and prevent bribery and corruption risks in such business's operations.
2.	PAI and/or ESG Metric Data Collection and Reporting- Where the AIFM and/or Investment Manager considers appropriate, collecting data from directly originated illiquid lending investee companies and reporting to investors annually on certain principal adverse impact (PAI) metrics and/or ESG metrics (where such data is available*), in each case as at the end of the reporting period: a) Scope 1,2 and 3 GHG emissions and total GHG emissions;

	b) diversity of board directors of investee companies, including breakdowns by gender (male, female or non-binary) and ethnicity (to the extent such details are disclosed by the investee business); c) share of investments in investee companies that are involved in violations of the UNGC principles or OECD Guidelines for Multinational Enterprises; and d) share of companies that have a Code of Ethics or equivalent document. *The AIFM notes that due to the nature of AESIF (a directly originated illiquid fund that does not typically take controlling equity positions in the investee businesses) the availability of data for reporting purposes may be limited at times. As such, the AIFM will provide such reporting on a best efforts basis where (in the opinion of the AIFM, acting in good faith) there is sufficient data to report.
3.	Sustainability Performance Targets – In relation to investments in directly originated illiquid deal structures made by AESIF, either at the time of making an investment or post-closing of an investment, the AIFM will consider whether or not to offer sustainability performance targets (“SPTs”). Such SPTs will be linked to an ESG related metric such as, for example, greenhouse gas emissions reductions, employees engagement targets, and/or employee training. In the event that a SPT is offered, the investee may pay a lower interest rate if the SPTs are met by reference to the relevant metric and / or the investee may pay a higher interest rate if the SPTs are not met by reference to the relevant metric.

Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.

● ***What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?***

In respect of the directly originated illiquid deals that AESIF is invested in from time to time, AESIF will report on the attainment of the promoted environmental and social characteristics through the following sustianability indicators:

Characteristic Number	Indicator(s)
1.	The value of investments in directly originated illiquid deals on the reference date which are inconsistent with the exclusion.
2.	To the extent that such data is made available to AESIF by directly originated illiquid investee companies, AESIF will report the following data: a) Scope 1,2 and 3 GHG emissions and total GHG emissions; b) diversity of board directors of investee companies, including breakdowns by gender (male, female or non-binary) and ethnicity (to the extent such details are disclosed by the investee business); c) share of investments in investee companies that are involved in violations of the UNGC principles or OECD Guidelines for Multinational Enterprises; d) share of companies that have a Code of Ethics or equivalent document. Any difficulties with data collection and reporting will be addressed in a narrative format.
3.	(i) the % of investments in directly originated illiquid deal structures of AESIF in relation to which the AIFM (or the Investment Manager) has considered offering such SPTs, and (ii) the number of investments in directly originated illiquid deal structures in relation to which SPTs which have been agreed in principle between the AIFM and the investee business.

- ***What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?***

N/A.

- ***How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?***

N/A.

How have the indicators for adverse impacts on sustainability factors been taken into account?

N/A.

How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:

N/A.

The EU Taxonomy sets out a “do no significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.

The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

Any other sustainable investments must also not significantly harm any environmental or social objectives.

Does this financial product consider principal adverse impacts on sustainability factors?



☐ Yes

☒ No

At present, the AIFM (and/or its delegate(s)) does not, within the meaning of the SFDR, consider the adverse impacts of its investment decisions on sustainability factors in respect of AESIF. The AIFM (and/or its delegate(s)) does not currently do so because, among other reasons, it is continuing to assess the applicable mandatory data collection and disclosure requirements for entities which opt in to considering the principal adverse impacts of their investment decisions, as well as its internal capabilities to comply with such requirements. The AIFM’s position on this matter will be reviewed at least annually, and Ares will continue to actively seek to invest in systems and procedures which will enable us, over time, to gather more granular data on the impacts of investment on sustainability factors. As a firm, Ares will also continue its focus on creating long-term value for its investors, the companies in which they invest, and the communities where they live and work.

Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.



What investment strategy does this financial product follow?

For details of the investment strategy followed by AESIF, please refer to Section II: “Summary of Terms” of Annex 1 to the Prospectus. AESIF's illiquid sleeve will predominantly target directly originated loans. A portion of this illiquid sleeve will also seek to invest in illiquid alternative credit investments. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AESIF may also invest in debt and other instruments, including cash and cash equivalents, syndicated leveraged loans, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives.

For the avoidance of doubt, Investments made and cash held for the purposes of liquidity are not subject to AESIF's SFDR-related commitments. The primary purpose of such investments and cash holdings is liquidity management and the AIFM and/or Investment Manager holds such positions in its discretion without regard to the AESIF's commitments for the purposes of SFDR. Consequently, investments made and cash held for the purposes of liquidity do not form part of AESIF's asset allocation for the purposes of these disclosures and in no way should any of the commitments or other statements made in this Schedule be considered to relate to investments made for liquidity purposes.

● ***What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?***

The Investment Manager will apply the Negative Exclusion Screen and apply the abovementioned criteria to exclude any investments in directly originated illiquid deals in relation to businesses which at the time of AESIF's initial investment:

- a) derive a majority of revenues from the production or mining of coal;
- b) derive a majority of revenues from the production, dissemination and/or promotion of pornography;
- c) derive a majority of revenues from the manufacturing and/or production of cigarettes and/or other tobacco products;
- d) derive a majority of revenues from the manufacture, production and/or sale of controversial weapons (anti-personnel mines, cluster munitions, chemical weapons and biological weapons);
- e) have violated the UN Guiding Principles and OECD Guidelines relating to human rights and labour rights and have demonstrated an ongoing failure to take action to address, manage and prevent human rights and labour rights risks in such business's operations; or
- f) have been (or whose current senior management have been) convicted for violations of anti-corruption and anti-bribery laws and have demonstrated an ongoing failure to take action to address, manage and prevent bribery and corruption risks in such business's operations.

● ***What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?***

N/A.

● ***What is the policy to assess good governance practices of the investee companies?***

AESIF's use of the Ares ESG Integration Process includes consideration of relevant governance factors. Governance factors are included in the Investment Team's wider

The investment strategy guides investment decisions based on factors such as investment objectives and risk tolerance.

Good governance practices include sound management structures, employee relations, remuneration of staff and tax compliance.

ESG assessment which feeds into all final Investment Committee papers. This includes scoping and a non-exhaustive list of guidance questions across various key governance risk factors.

Final Investment Committee papers are also informed by the results of: (i) reports obtained by the AIFM from third party ESG data science providers (whose assessments cover a range of governance issues); (ii) discussions with members of management of potential portfolio companies, including on governance issues; and (iii) where available, governance assessments contained in due diligence reports prepared by private equity or other sponsors of potential investments.

Upon closing an investment, the Investment Team continues to monitor governance related practices via periodic interaction with key stakeholders. Any major updates or violations are reported directly to senior heads of the Investment Team.

What is the asset allocation planned for this financial product?

AESIF expects to invest predominantly in investments which are "#1 Aligned with E/S characteristics", being investments made in pursuance of the portion of AESIF's assets invested in directly originated illiquid deal structures, as further described in the "*Investment Strategy of AESIF*" section of Annex 1 to the Prospectus.

This is on the basis that the AIFM will, in respect of investments that constitute directly originated illiquid deal structures, (i) apply at the outset the Negative Exclusion Screen which will (in the reasonable opinion of the AIFM having made reasonable enquiry in good faith) eliminate deal opportunities in investments that meet certain thresholds, (ii) collect and report (where such data is available) on certain PAI and/or ESG metrics, and (iii) in each case consider whether to offer sustainability linked loans.

Promoted Characteristic 2 (PAI and/or ESG Metric Data Collection and Reporting) focuses on obtaining and reporting relevant data from directly originated illiquid investee companies. Where the AIFM and/or Investment Manager deems appropriate, the AIFM and/or the Investment Manager will request investee companies to report on ESG data. However, the AIFM notes that due to the nature of AESIF (primarily a directly originated illiquid fund that does not typically take controlling equity positions in the investee businesses) the ability to mandate the disclosure of such data may be limited. As such, the AIFM will provide reporting as described in Promoted Characteristic 2 on a best efforts basis where (in the opinion of the AIFM, acting in good faith) there is sufficient data to report.

Promoted Characteristic 3 (Sustainability Performance Targets) focuses on offering SPTs to investee companies under the terms of investments made by AESIF (thereby causing the investment to be structured as a sustainability ratchet). In relation to directly originated illiquid deals made by AESIF, either at the time of making an investment or post-closing of an investment, the AIFM and/or the Investment Manager will consider whether or not to offer SPTs to the investee company. The AIFM and/or the Investment Manager will document its decision in each such case.

For the avoidance of doubt, in respect of investments that constitute directly originated illiquid deal structures (which will be at least 60% of total assets), an investment will be treated as "#1 Aligned with E/S characteristics" where it meets two or more of AESIF's promoted characteristics.

Asset allocation
describes the share of investments in specific assets.



Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

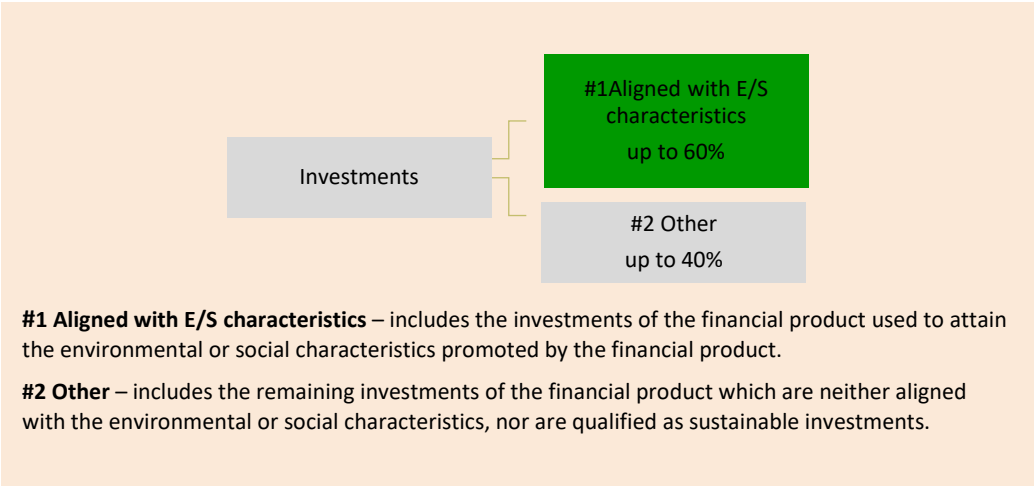
Taxonomy-aligned activities are expressed as a share of:

- **turnover** reflecting the share of revenue from green activities of investee companies
- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies. To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2015. For nuclear...

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels

Investments made in relation to illiquid alternative credit investments (which constitute a portion of AESIF's illiquid sleeve) and AESIF's debt and other instruments sleeve (as further described in the “Investment Strategy of AESIF” section of Annex 1: “Ares European Strategic Income Fund” to the Prospectus), will be included under “#2 Other” and are expected to constitute a up to 40% of AESIF’s investments.

● *How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?*



N/A. AESIF may use derivatives (directly or indirectly) for risk management purposes, including but not limited to mitigating foreign currency risk, interest rate and/or inflation rate fluctuations. Derivatives are therefore not intended to be used as a direct means of making investments or deploying capital. The use of such derivatives therefore is not included in the calculation of “#2 Other”.



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

All investment decisions made in respect AESIF will be taken in accordance with AESIF's investment policy and investment objectives. AESIF does not commit to making a minimum proportion of investments which qualify as environmentally sustainable under Article 3 of the Taxonomy Regulation and therefore the minimum proportion of investments aligned with Article 3 of the Taxonomy Regulation is 0%.

To the extent that AESIF may report that a proportion of investments are Taxonomy-aligned those figures may be derived from public disclosures and/or equivalent information directly obtained from investee companies. In some circumstances complementary assessments and estimates based on information from other sources may also be used. None of these figures are expected to be assured by one or more auditors or reviewed by one or more third parties.

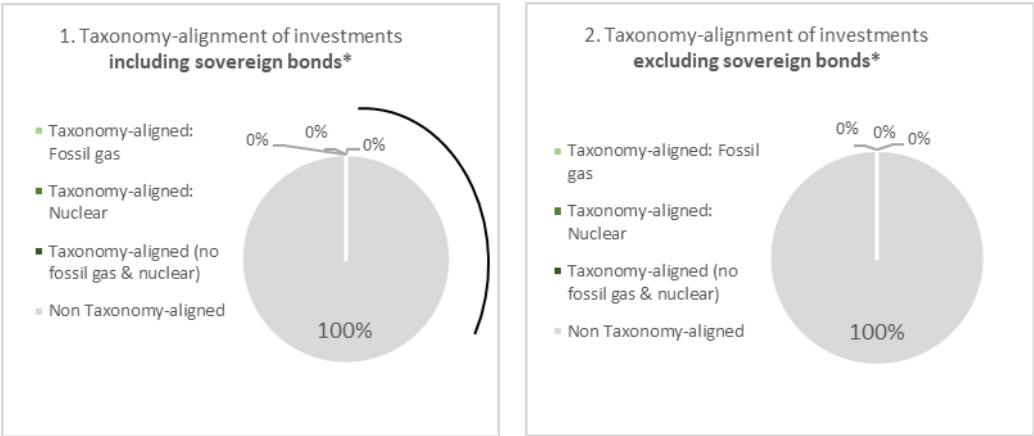
Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy?

- ☐ Yes
 - ☐ In fossil gas
 - ☐ In nuclear energy
- ☒ No

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy

Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.

alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy alignment only in relation to the investments of the financial product other than sovereign bonds.



For the purpose of these graphs, “sovereign bonds” consist of all sovereign exposures.

● **What is the minimum share of investments in transitional and enabling activities?**

AESIF may make investments in Taxonomy-aligned activities but does not commit to making such an investment and so there is no minimum share of investments in transitional and enabling activities.

are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.



What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

N/A.

What is the minimum share of socially sustainable investments?

N/A.

What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?

AESIF may make investments which do not contribute to the attainment of any or all of the promoted characteristics, including illiquid alternative credit investments (which constitute a portion of AESIF's illiquid sleeve) or those the investments made as part of AESIF’s debt and other instruments sleeve as detailed in the “Investment Strategy of AESIF” section in Annex I of the Prospectus. AESIF does not intend that investments included under “#2 Other” will be subject to any minimum environmental or social safeguards.



Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

N/A.

● **How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?**

N/A.

- *How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?*

N/A.

- *How does the designated index differ from a relevant broad market index?*

N/A.

- *Where can the methodology used for the calculation of the designated index be found?*

N/A.



Where can I find more product specific information online?

More product-specific information can be found on the website:

<https://www.areswms.com/ares-wealth-management-solutions/aesif-resources>.

ANNEX 2

ARES U.S. STRATEGIC INCOME FUND

Ares U.S. Strategic Income Fund (the “**AUSIF Fund**” and together with the Parallel Entities (as defined below), “**AUSIF**”) is a Sub-Fund of AEFS SICAV.

I. DESCRIPTION / OVERVIEW OF AUSIF AND AUSIF FUND

Ares U.S. Strategic Income Fund Overview

AUSIF seeks to primarily self-originate investments and provide debt capital to U.S. and European mid-market companies with a target EBITDA between \$10 million and \$250 million +. AUSIF’s primary focus will be investing in senior secured loans with an emphasis on capital preservation and low return volatility with a dynamic exposure to a broad range of other private credit investments as detailed further herein. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AUSIF may also invest in debt and other instruments, including cash and cash equivalents, syndicated leveraged loans, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives (the “**Debt and Other Instruments**”).

AUSIF expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds including Ares European Strategic Income Fund, a sub-fund of AEFS SICAV (for the purpose of this Annex “**AESIF**”), and Ares Strategic Income Fund (“**ASIF**”), a Delaware statutory trust management investment company that has elected to be regulated as a business development company (a “**BDC**”) under the Investment Company Act.

AUSIF Fund will invest through a subsidiary established as a Luxembourg special limited partnership (*société en commandite spéciale*) for the purpose of indirectly holding the Investments of AUSIF (the “**AUSIF Aggregator**”). Please refer to Subsection: “*Structure of Investments*” in Section III: “*Investment Information*” of this Annex.

AUSIF Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*” of the General Section of the Prospectus and Section X: “*Risk Factors and Other Considerations*” of this Annex for additional details on the risks associated with an investment in AUSIF Fund.

Investment Strategy of AUSIF⁶

Investment Program –Direct Lending

AUSIF has a flexible mandate allowing it to invest directly or indirectly across the capital structure, with a focus on first lien alongside the ability to invest in second lien and subordinated debt, as well as, to a lesser extent, equity co-investments, and in a number of geographies including the U.S. and Europe. Such investments across the capital structure can be made by AUSIF either as single lender or together with a small group of other credit investment firms (“*club deals*”). With this flexible mandate, the Investment Manager believes that it can respond to changing market conditions and dynamically allocate capital and resources to pursue the most attractive risk-adjusted investment opportunities within the capital structure and across its target geographies. This ability to react to cyclical or market changes, the Investment Manager believes, can result in attractive risk-adjusted returns across economic cycles. In addition, this relatively broad mandate allows the Investment Team to source more investment opportunities and, the Investment Manager believes, often affords the Investment Team a key differentiation versus its peers, several of which have funds with narrower investment guidelines.

It is also worth noting that the majority of the senior secured assets are floating rate and, as such, the AUSIF portfolio can expect to see a direct benefit from any central bank base rate increases, as long as the base rate, and any appropriate credit adjustment spread, exceeds the floor in each portfolio company.

⁶ AUSIF Fund’s investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period).

Please refer to Section III: “Investment Information” of this Annex for more information on AUSIF’s investment strategy.

Investment Program – Debt and Other Instruments Sleeve

The Debt and Other Instruments sleeve will consist primarily of syndicated loans and high-yield bonds issued by obligors and issuers domiciled or located in, and primarily operating in the U.S. and Europe. However, the Investment Manager and Sub-Investment Manager may also opportunistically make investments in Debt and Other Instruments, including money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives. The portfolio of Debt and Other Instruments sleeve is expected to consist of USD and non-USD denominated assets, and the portfolio will seek to hedge any non-USD denominated currency exposure to USD.

In constructing the Debt and Other Instruments sleeve, the Investment Manager and the Sub-Investment Manager will employ a flexible strategy that seeks to capitalize on relative value opportunities within the below investment-grade corporate universe through disciplined credit selection and active, tactical asset rotation. The portfolio is designed to deliver investors an attractive current yield while taking advantage of shifts in relative value to generate capital appreciation potential while also focusing on capital preservation⁷.

The portfolio will be positioned with a defensive posture, with a strong focus on first lien senior secured structures and the less cyclical parts of the market in order to limit downside volatility⁸. Consistent with the overall Ares investment philosophy, the portfolio will seek to also employ a fundamental, bottom-up, research-intensive approach to individual credit selection and sources ideas from research analysts, portfolio managers and traders that focus on the credit markets.

The primary source of return in syndicated loans and high-yield bonds will be interest income while a secondary source of return will be capital appreciation. Regardless of asset category, the Investment Manager seeks to generate an attractive level of total return outperformance predominantly through credit selection by taking advantage of mispricings and/or capturing market inefficiencies. Relative to equities and partially attributable to trading on an OTC platform, below investment-grade credit markets are less efficient with respect to reflecting all available information. As such, the investment teams closely monitor investments and industries for developments to obtain what we believe is differentiated information and subsequently quickly communicate any changes in their credit opinions or investment recommendations to portfolio managers.

Investment Objectives

Across its Investments, AUSIF will seek to capitalize on Ares’ scale and reputation in the market as an experienced financing partner to originate and execute investments, and generate attractive risk adjusted returns.

⁷ References to “downside protection” or similar language are not guarantees against loss of investment capital or value.

⁸ References to “downside protection” or similar language are not guarantees against loss of investment capital or value.

II. SUMMARY OF TERMS

Ares U.S. Strategic Income Fund	
AEFS Structure:	AEFS SICAV is a multi-compartment Luxembourg investment company with variable capital (<i>société d'investissement à capital variable</i>). AEFS SICAV has an umbrella structure consisting of one or more Sub-Funds.
AUSIF Fund:	AUSIF Fund is an open-ended, commingled Sub-Fund of AEFS SICAV.
AIFM:	Ares Management Luxembourg.
Investment Manager:	Ares Management Limited.
Sub-Investment Manager:	Ares Capital Management II LLC.
Distributions:	The Board of Directors (or its delegate) may declare distributions from time to time. Distributions in relation to Distribution Sub-Class Shares are expected on a monthly basis. AUSIF Fund cannot guarantee that it will make distributions, and any distributions will be made at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class.
Investment Objective and Strategy:	AUSIF seeks to primarily self-originate investments and provide debt capital to U.S. and European mid-market companies with a target EBITDA between \$10 million and \$250 million +. AUSIF's primary focus will be investing in senior secured loans with an emphasis on capital preservation and low return volatility with a dynamic exposure to a broad range of other private credit investments as detailed further herein. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AUSIF may also invest in Debt and Other Instruments, including cash and cash equivalents, syndicated leveraged loans, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives. The AUSIF expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds including ASIF and AESIF. AUSIF Fund will invest through the AUSIF Aggregator. The direct and indirect investments of AUSIF are described in Section III: "Investment Information" of this Annex. AUSIF Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: "<i>Risk Factors, Potential Conflicts of Interest and Other Considerations</i>" of the General Section of the Prospectus and Section X: "<i>Risk Factors and Other Considerations</i>" of this Annex for additional details on the risks associated with an investment in AUSIF.
Leverage:	AUSIF Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio (as defined below) to be in excess of 70%, or such lower amounts as mandated by regulation or law as they come into force. AUSIF Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. The AIFM has established a maximum level of leverage for AUSIF Fund, applying both the gross and commitment calculation methods described in

	the AIFM Rules, relative to the NAV of AUSIF Fund of 500% and 175%, respectively. Please refer to Section III: “<i>Investment Information—Leverage</i>” and Section IX: “<i>Regulatory Considerations—AIFM Directive Leverage</i>” of this Annex for further details.																														
Share Classes	The following Classes of Shares are open to Shareholders in AUSIF Fund: <table border="1"> <thead> <tr> <th>Class</th><th>Type of Share</th></tr> </thead> <tbody> <tr><td>A_A</td><td>Accumulation</td></tr> <tr><td>A_D</td><td>Distribution</td></tr> <tr><td>B_A</td><td>Accumulation</td></tr> <tr><td>B_D</td><td>Distribution</td></tr> <tr><td>C_A</td><td>Accumulation</td></tr> <tr><td>C_D</td><td>Distribution</td></tr> <tr><td>D_A</td><td>Accumulation</td></tr> <tr><td>D_D</td><td>Distribution</td></tr> <tr><td>E_A</td><td>Accumulation</td></tr> <tr><td>E_D</td><td>Distribution</td></tr> <tr><td>F_A</td><td>Accumulation</td></tr> <tr><td>F_D</td><td>Distribution</td></tr> <tr><td>I_A</td><td>Accumulation</td></tr> <tr><td>I_D</td><td>Distribution</td></tr> </tbody> </table> The Board of Directors (or its delegate) may, at any time, create additional Classes of Shares whose features (including, but not limited to, fees and currencies) may differ from the existing Classes of Shares. The complete list of available Classes of Shares may be made available online at the AUSIF Fund’s website, and will be made available at the registered office of AEFS SICAV. Please refer to Section IV: “<i>Share Class Information</i>” of this Annex for additional details on the Classes of Shares offered by AUSIF Fund.	Class	Type of Share	A _A	Accumulation	A _D	Distribution	B _A	Accumulation	B _D	Distribution	C _A	Accumulation	C _D	Distribution	D _A	Accumulation	D _D	Distribution	E _A	Accumulation	E _D	Distribution	F _A	Accumulation	F _D	Distribution	I _A	Accumulation	I _D	Distribution
Class	Type of Share																														
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B _A	Accumulation																														
B _D	Distribution																														
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E _D	Distribution																														
F _A	Accumulation																														
F _D	Distribution																														
I _A	Accumulation																														
I _D	Distribution																														
Minimum Subscription:	The Minimum Subscription Amount for each Class of Shares will be as follows: <table border="1"> <thead> <tr> <th>Class of Shares</th><th>Minimum Subscription Amount</th></tr> </thead> <tbody> <tr> <td>Class A Shares, Class E Shares and Class I Shares</td><td>\$25,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> <tr> <td>Class B Shares and Class C Shares</td><td>€250,000,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> <tr> <td>Class D Shares and Class F Shares</td><td>\$150,000,000 (or the equivalent in the applicable currency, as</td></tr> </tbody> </table>	Class of Shares	Minimum Subscription Amount	Class A Shares, Class E Shares and Class I Shares	\$25,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	Class B Shares and Class C Shares	€250,000,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	Class D Shares and Class F Shares	\$150,000,000 (or the equivalent in the applicable currency, as																						
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Class D Shares and Class F Shares	\$150,000,000 (or the equivalent in the applicable currency, as																														

		determined by the Investment Manager in its sole discretion)						
Subscriptions:	In respect of each new Class of Shares, up to the date as may be decided by the Board of Directors (or its delegate) in its discretion (the “Initial Subscription Period”), the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion <i>plus</i> applicable Subscription Fees. After the end of the Initial Subscription Period, subscriptions for Shares of AUSIF Fund will be accepted as of the first calendar day of each month. Shares will be issued on each Subscription Date at NAV per Share as of relevant Valuation Date <i>plus</i> applicable Subscription Fees. A prospective Shareholder must notify AUSIF Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least eleven (11) Business Days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). Subscription price amounts (whether in cash or in kind, as applicable) must be received no later than nine (9) Business Days in advance of the relevant Subscription Date. No interest will be paid on any payments received prior to this deadline. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions—Subscriptions in AUSIF Fund</i>” of this Annex for additional details on AUSIF Fund’s subscription procedures.							
Redemptions:	- Redemptions are expected to be offered each calendar quarter at the NAV per Share calculated as of the last calendar day of the second month of the relevant calendar quarter. - A Shareholder may request to have some or all of its Shares redeemed by AUSIF Fund as of the first calendar day of the last month of each calendar quarter by submitting a Redemption Request. - Shares held for less than twelve (12) months will be subject to an Early Redemption Deduction as set out below:<table><tr><th>Class of Shares</th><th>Early Redemption Deduction</th></tr><tr><td>Class A Shares, Class B Shares, Class C Shares, Class F Shares and Class I Shares</td><td>2% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)</td></tr><tr><td>Class D Shares and Class E Shares</td><td>0%</td></tr></table> - Redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of 2% of the NAV of the relevant Class of Shares being redeemed (calculated as of the relevant Redemption Date) if such redemption occurs within the first eighteen (18) months of the relevant Shareholder’s initial subscription to such Class D Shares or Class E Shares, as applicable, as determined by the Investment Manager in its sole discretion from time to time. To the extent applicable, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager. - Redemptions are generally limited on an aggregate basis across all Parallel Entities and the AUSIF Aggregator (without duplication) to 5% of such aggregate NAV per calendar quarter (measured as of the last calendar day of the previous calendar quarter). The foregoing limitation on redemptions is based on net redemptions (as defined below) during		Class of Shares	Early Redemption Deduction	Class A Shares, Class B Shares, Class C Shares, Class F Shares and Class I Shares	2% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)	Class D Shares and Class E Shares	0%
Class of Shares	Early Redemption Deduction							
Class A Shares, Class B Shares, Class C Shares, Class F Shares and Class I Shares	2% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)							
Class D Shares and Class E Shares	0%							

	the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this Annex. • Redemption Requests (as defined below) must be provided by 5 p.m. Central European Time on the last Business Day of the first month of the calendar quarter in which the Redemption Date falls (the “Redemption Cut-Off Time”). • Settlements of Share redemptions are generally expected to be within ten (10) Business Days after the relevant NAV Release Date provided that this timing may vary depending on when redemption proceeds are actually received by AUSIF Fund from the Intermediary Funds and/or the Other Ares Funds, as applicable • Redemption Requests may be rejected in whole or in part by the Investment Manager in exceptional circumstances and not on a systematic basis and Redemption Requests may be suspended when deemed to be in the best interests of AUSIF Fund. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions—Redemption of Shares</i>” of this Annex for additional details on AUSIF Fund’s redemption procedures.
NAV Calculation and NAV Release Date:	AUSIF Fund’s monthly NAV as of the last calendar day of each month (each, a “ Valuation Date ”) will generally be available by the 33 rd Business Day after the immediately following Subscription Date (the “ NAV Release Date ”).
Management Fees:	In consideration for its services with respect to AUSIF Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a Management Fee equal to, for each Class of Shares, up to 1.25% of the NAV of each Class of Shares (except for Class E Shares) per annum. The AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time. Please refer to Section VI: “<i>Fees and Expenses of AUSIF—Management Fee</i>” of this Annex for further details.
AIFM Fees:	In consideration for its services with respect to AUSIF Fund, the AIFM will be entitled to payment of an AIFM Fee equal to, for each Class of Shares, up to 0.03% of the NAV of each Class of Shares per annum. Please refer to Section VI: “<i>Fees and Expenses of AUSIF—AIFM Fee</i>” of this Annex for further details.
Performance Participation Allocation:	No Performance Participation Allocation will be charged at the level of AUSIF. However, AUSIF Fund will be subject to its share of any carried interest or other incentive compensation and other expenses of such Intermediary Funds and Other Ares Funds (including for the avoidance of doubt ASIF and AESIF).
Fees and expenses charged at the level of Intermediary Funds and Other Ares Funds:	AUSIF Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any portfolio funds, including any Intermediary Funds and Other Ares Funds (including ASIF and AESIF, as applicable), in each case to the extent applicable and in accordance with their relevant governing documents. However, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously

	at the level of AUSIF and Other Ares Funds (including AESIF and ASIF). Therefore, no Performance Participation Allocation will be charged at the level of AUSIF. While AUSIF may indirectly bear its share of management fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt ASIF and AESIF) (in aggregate, the “Underlying Management Fees”), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AUSIF together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: “<i>Fees and Expenses of AUSIF —Management Fee</i>”. Please refer to Subsection “<i>Fees and Expenses Charged at the level of Intermediary Funds and Other Ares Funds</i>” of Section VI: “<i>Fees and Expenses of AUSIF</i>” of this Annex for further details regarding the fees indirectly incurred by the AUSIF Fund at the level of the Other Ares Funds.								
Portfolio:	AUSIF expects an allocation of at least 90% of the gross asset value of its investments primarily in illiquid flexible and scaled debt capital to mid-market and large-cap companies, either by making direct investments or by investing directly or indirectly in Other Ares Funds, with the balance intended to facilitate capital deployment, generate income and as an additional potential source of liquidity, in Debt and Other Instruments. AUSIF expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds including ASIF and AESIF but will not invest more than 80% of its gross assets in any one Other Ares Fund. Please refer to Section III: “Investment Information” for further details regarding the AUSIF portfolio.								
Ramp-Up Period:	The portfolio allocation targets, investment restrictions and leverage limits will not apply during a ramp-up period of up to four (4) years after the end of the Initial Subscription Period (the “ Ramp-Up Period ”).								
Subscription Fee:	Certain distributors or other financial intermediaries through which a Shareholder was placed in AUSIF Fund may charge such Shareholder upfront Subscription Fees on Shares sold in the offering. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.								
Servicing Fee:	Servicing Fees payable in respect of each Class of Shares will be as follows: <table border="1"> <thead> <tr> <th>Class of Shares</th><th>Servicing Fee</th></tr> </thead> <tbody> <tr> <td>Class A Shares</td><td>Up to 0.85% on NAV per annum</td></tr> <tr> <td>Class B Shares</td><td>Up to 0.50% on NAV per annum</td></tr> <tr> <td>Class C Shares, Class D Shares, Class E Shares, Class F Shares and Class I Shares</td><td>0.00% on NAV per annum</td></tr> </tbody> </table>	Class of Shares	Servicing Fee	Class A Shares	Up to 0.85% on NAV per annum	Class B Shares	Up to 0.50% on NAV per annum	Class C Shares, Class D Shares, Class E Shares, Class F Shares and Class I Shares	0.00% on NAV per annum
Class of Shares	Servicing Fee								
Class A Shares	Up to 0.85% on NAV per annum								
Class B Shares	Up to 0.50% on NAV per annum								
Class C Shares, Class D Shares, Class E Shares, Class F Shares and Class I Shares	0.00% on NAV per annum								
Term:	Indefinite.								
SFDR:	AUSIF Fund is presently characterized as a financial product falling within Article 6 of the SFDR. The present investment strategy of AUSIF Fund does								

	not promote environmental or social characteristics, or have sustainable investments as its objective. The investments underlying this financial product do not consider principal adverse impacts on sustainability factors and do not take into account the EU criteria for environmentally sustainable economic activities. Further information, including with respect to the integration of sustainability risks can be found in Schedule 1: “Sustainability-Related Disclosures” to this Annex 2: “Ares U.S. Strategic Income Fund.”
Tolerance Threshold in case of NAV Calculation Errors:	The tolerance threshold in case of NAV calculation errors applicable to AUSIF Fund under CSSF Circular 24/856 is 5%.

III. INVESTMENT INFORMATION

Information on AUSIF Investments

The investment information set out below describes the indirect investments of AUSIF Fund held through the AUSIF Aggregator.

Under normal circumstances, AUSIF expects an allocation of at least 90% of its total assets, either directly or indirectly, in directly originated loans which can be issued across the capital structure (with a bias towards first and second lien loans), and other illiquid alternative credit investments. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AUSIF may also invest in Debt and Other Instruments.⁹

During normal market conditions, it is generally not expected that AUSIF will hold more than 10% of its total assets in Debt and Other Instruments for extended periods of time. For temporary defensive purposes, liquidity management or in connection with implementing changes in the asset allocation, AUSIF may hold a substantially higher amount of Debt and Other Instruments.

Each AUSIF's investment, whether held directly or through one or more Intermediate Vehicles, Intermediary Funds, or Other Ares Funds, is referred to as an "**Investment**". For the avoidance of doubt, in applying and interpreting the terms of this Annex, the Investment Manager may, in its sole discretion, determine that Investments do not include Intermediate Vehicles, Intermediary Funds or Other Ares Funds, as the context may require.

The investments in which AUSIF expects to invest directly or indirectly (including, for the avoidance of doubt, through any Intermediary Funds and/or Other Ares Funds) include:

- Bank Loans.

Bank Loans are assignments and/or participations in corporate loans to non-investment-grade borrowers. Typically, each credit facility giving rise to a borrower's loan is secured by a lien on the borrower's assets. Terms generally provide for cash interest payments, based on an interest rate that typically adjusts every one to three months, but may include payment-in-kind terms. These investments may be acquired during the primary offering process and may also be purchased in the secondary market as private instruments. The Investment Manager expects that borrowers typically will have multiple institutional lenders that they will trade with while the borrower is performing at expectation. The senior credit facilities of these borrowers typically aggregate \$100 million or more and can be substantially larger in many cases.

- First lien loans.

These loans generally form the most senior layer of a borrower's capital structure and benefit from a first priority lien on the borrower's assets as well as senior ranking in repayment priority. In some cases, these instruments contain maintenance and/or incurrence covenants, which require the borrower to maintain a base level of performance or limit their ability to incur additional debt. Owing to their priority of claim, collateral support, and structure, first lien loans tend to experience superior recoveries in a bankruptcy.

- Second lien loans.

These loans generally form a transitional layer between first lien secured debt and mezzanine loans and unsecured debt, and are typically secured by a second priority claim on a borrower's assets. In addition, such loans benefit from a senior ranking in repayment priority and may enjoy the same or similar covenant protections as first lien loans. Yields tend to reflect a premium to first lien loans and these instruments may experience some protection with respect to recoveries in a bankruptcy as compared to unsecured debt due to the collateral securing the loan.

⁹ AUSIF Fund's investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period).

- Mezzanine loans.

These loans generally form a transitional layer between secured debt and unsecured debt, and may be secured by a second (or where there is a second lien loan, third) priority claim on a borrower's assets. Due to the greater risk associated with such loans as a result of their subordination below senior debt of the borrower, mezzanine lenders may be granted share options or warrants in the borrower which can be exercised in certain circumstances, principally being immediately prior to the borrower's shares being sold or floated in an initial public offering. Some mezzanine obligations may provide that all or a portion of the interest payable thereon will not be paid on a current basis but will defer or be paid on a "payment-in-kind basis." Yields tend to reflect a premium to first lien loans and second lien loans, and these instruments may experience some protection with respect to recoveries in a bankruptcy (as compared to unsecured debt) due to the collateral securing the loan.

- Unsecured loans.

These loans generally benefit from a senior ranking in repayment priority, but not from a lien on a borrower's assets. As such, unsecured loans are contractually subordinated to secured loans with respect to the value of any borrower's assets subject to a lien. Such loans may benefit from the same covenant protection as first and second lien loans, which may afford protection as compared to unsecured bonds of the borrower with inferior covenant terms. AUSIF's investments in unsecured debt securities may include, but are not limited to, senior, junior and unsecured bonds, notes and other debt securities.

- High-Yield Bonds.

These are fixed income securities typically issued by non-investment-grade borrowers, usually at a yield premium to the yield for investment-grade bonds. Terms generally provide for cash interest payments, but may include deferred, zero coupon, or payment-in-kind terms. These investments may be acquired during the primary offering process and may also be purchased in the secondary market as either private securities or publicly registered securities. The Investment Manager expects that these bonds will typically have multiple institutional holders.

Holders of high-yield bonds, as creditors, have a prior legal claim over common and preferred stockholders as to both income and assets of the issuer for the principal and interest due them and may have a prior claim over other creditors but are generally subordinate to any senior secured lenders in the issuer's capital structure.

In most cases these instruments restrict the borrower's ability to incur additional debt or distribute value to its shareholders based upon measurement of agreed financial ratios associated with general credit quality. In addition, terms often limit the borrower's ability to repay or amortize its high-yield bonds, particularly during the initial portion of their contractual tenor. As such, these securities can provide the opportunity for capital appreciation or yield enhancement, especially when the borrower's financial performance is consistent with or superior to expectations, when conditions are favorable in the borrower's industry, or when the general economic environment is positive.

- Secured bonds and notes.

These bonds and notes generally constitute the senior-most layer of a borrower's capital structure and benefit from a lien on the borrower's assets as well as senior ranking in repayment priority. Owing to their claim position and collateral support, secured bonds and secured notes tend to experience superior recoveries in a bankruptcy as compared to unsecured debt due to the collateral securing these instruments. Such bonds and notes may rank *pari passu* in many respects with secured loans.

- Unsecured bonds.

Dependent upon their terms, these bonds can enjoy a senior ranking or subordinated ranking in repayment priority, but do not benefit from a lien on a borrower's assets. Unsecured bonds typically form a layer between a borrower's credit facility and its equity. Yields tend to reflect a premium in respect of a bond's position within a borrower's capital structure.

- **Direct Lending Deal Structures.**

AUSIF has a flexible mandate allowing it to invest across the capital structure, with a focus on first lien alongside the ability to invest in second lien and subordinated debt, as well as, to a lesser extent, equity co-investments, and in a number of geographies including the U.S. and across Europe. Such investments across the capital structure can be made by AUSIF either as single lender or together with a small group of other credit investment firms (“*club deals*”). With this flexible mandate, the Investment Manager believes that it can respond to changing market conditions and dynamically allocate capital and resources to pursue the most attractive risk-adjusted investment opportunities within the capital structure and across its target geographies. This ability to react to cyclical or market changes, the Investment Manager believes, can result in attractive risk-adjusted returns across economic cycles. In addition, this relatively broad mandate allows the Investment Team to source more investment opportunities and, the Investment Manager believes, often affords the Investment Team a key differentiation versus its peers, several of which have funds with narrower investment guidelines.

While not its primary focus of AUSIF, AUSIF may also invest on an ancillary basis in alternative credit investments that give exposure to retail related borrowing such as consumer loans (on a secondary basis) real estate related investments (including in relation to residential properties and/or infrastructure assets), and (on a primary or secondary basis) loans to general partners or managers of private funds in connection with a variety of liquidity and similar solutions in respect of such private funds (“**Underlying Funds**”).

It is also worth noting that the majority of the senior secured assets are floating rate and, as such, the AUSIF portfolio can expect to see a direct benefit from central bank base rate increases, as long as the base rate, and any appropriate credit adjustment spread, exceeds the floor in each portfolio company.

Subject to the limitations set out in the Articles and applicable laws and regulations, AUSIF may invest in loans or securities, the proceeds of which may refinance, realize or otherwise repay loans or securities of companies whose loans or securities are owned by Other Ares Funds. In addition AUSIF may invest in loans or securities in companies whose loans, securities, economic ownership interests and voting rights are owned by Other Ares Funds. Please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations-Overlapping Investments with Other Ares Funds*” of the General Section of the Prospectus for further information.

AUSIF may, but is not required to, enter into interest rate, foreign exchange or other derivative agreements to hedge interest rate, currency, credit or other risks, but it generally does not intend to enter into any such derivative agreements for speculative purposes. AUSIF will not enter into any short-sale agreements. Any derivative agreements entered into for speculative purposes are not expected to be material to AUSIF’s business or results of operations. Subject to compliance with applicable legal and regulatory requirements, these hedging activities may include the use of futures, options and forward contracts. AUSIF will bear the costs incurred in connection with entering into, administering and settling any such derivative contracts. There can be no assurance any investment in derivative securities including any hedging strategy employed will be successful.

AUSIF’s Investments may exceed and otherwise vary materially from the allocation targets to the directly originated loans, including due to factors such as a large inflow of capital over a short period of time, the Investment Manager’s assessment of the relative attractiveness of opportunities, or an increase in anticipated cash requirements or Redemption Requests and subject to any limitations or requirements relating to applicable law.

Certain Investments (including, without limitation investments in Other Funds) could be characterized by the Investment Manager, in its discretion, as illiquid or as a Debt and Other Instrument (including, without limitation, publicly traded syndicated leveraged loans and high yield bonds or cash and/or cash equivalents) depending on the terms and characteristics of such Investments.

AUSIF will not make use of SFTs or TRSs, as those terms are defined in the SFTR.

Risk Management Policies in Respect of Loan Participation/Acquisition Activities

The risk management systems or other procedures and measures established by the AIFM, or its delegate, in respect of AUSIF Fund comprise, among others:

- procedures for periodic monitoring and evaluation of the evolution of loan quality in order to determine, as necessary, the appropriate levels of impairment in value of loans; and

- procedures for periodic monitoring of appropriate diversification regarding borrowers (risks associated with e.g. “borrower correlation” or “connected group of borrowers” should be taken into account).

As regards collateral and loan collection/recovery, the following procedures and measures have been established by the AIFM, or its delegate, in respect of AUSIF Fund, among others:

- procedures to verify and ensure the existence, quality and valuation of collateral, if any, until the loan’s maturity date;
- procedures regarding enforcement of collateral arrangements, where applicable, and loan collection/recovery;
- procedures to mitigate maturity transformation.

The risk management systems or other procedures and measures referred to in the subsection may be amended by the AIFM from time to time.

Investment Restrictions of AUSIF Fund

AUSIF Fund will not at any one time directly or indirectly, through the AUSIF Aggregator, invest and hold more than 20% of its NAV in any single Investment as measured at the time of acquisition; *provided* that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the Investment Manager under the oversight of the AIFM, which for the avoidance of doubt will include ASIF and AESIF (and may include Other Ares Funds and/or Intermediary Funds). No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring AUSIF Fund within this 20% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of AUSIF or any of its underlying investors.

This 20% diversification requirement will not apply during the Ramp-Up Period.

The Investment Manager may also impose additional limitations in its discretion based on the underlying investors in AUSIF Fund.

Structure of Investments and Investment Objectives of certain Other Ares Funds

Structure of Investments

AUSIF Fund will invest all or substantially all of its assets through the AUSIF Aggregator.

AUSIF Fund may achieve its investment objective either by investing directly into portfolio assets (“**Direct Investments**”) or by investing indirectly into one or more Other Ares Funds that may be held directly or indirectly through Intermediary Vehicles, that may qualify as investment funds and may be managed by third-party managers (“**Intermediary Funds**”).

AUSIF Fund expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in ASIF and AESIF but will not invest more than 80% of its gross assets in any one Other Ares Fund.

Investment Objectives of ASIF and AESIF

ASIF’s investment objective is to generate current income and, to a lesser extent, long-term capital appreciation. ASIF seeks to invest primarily in first lien senior secured loans, second lien senior secured loans, subordinated secured and unsecured loans, subordinated loans (which in some cases include equity and/or preferred components) and other types of credit instruments which may include commercial real estate mezzanine loans, real estate mortgages, distressed investments, securitized products, notes, bills, debentures, bank loans, convertible and preferred securities, infrastructure debt and government and municipal obligations, made to or issued by U.S. middle-market companies, which ASIF generally defines as companies with annual EBITDA between \$10 million and \$250 million. As used herein, “**EBITDA**” represents annual net income before net

interest expense, income tax expense, depreciation and amortization. ASIF expects that a majority of its Investments will be in directly originated loans. For cash management and other purposes, ASIF invests in broadly syndicated loans and other more liquid credit investments, including in publicly traded debt instruments and other instruments that are not directly originated. ASIF primarily invests in illiquid and restricted investments, and while most of ASIF's investments are expected to be in private U.S. companies (ASIF generally has to invest at least 70% of its total assets in "qualifying assets" including private U.S. companies), ASIF may also invest from time to time in non-U.S. companies. ASIF's portfolio may also include equity securities such as common stock, preferred stock, warrants or options, which may be obtained as part of providing a broader financing solution. Under normal circumstances, ASIF will invest directly or indirectly at least 80% of its total assets (net assets plus borrowings for investment purposes) in debt instruments of varying maturities.

AESIF seeks to primarily self-originate investments and provide capital to UK and European mid-market companies with a target EBITDA of at least €10 million. AESIF's primary focus will be investing in senior secured loans with an emphasis on capital preservation and low return volatility with a dynamic exposure to a broad range of other private credit investments as detailed further herein. A majority of loans originated by AESIF or otherwise acquired by the AESIF, are expected to have a term of 6-7 years, and may either be amortizing or interest-bearing only. The loans may be either fixed rate or floating rate. AESIF's investment manager will aim to originate or acquire loans with a senior secured focus secured by pledged assets and the borrowers' companies cashflow generation. To a lesser extent, the portfolio will also invest in debt and other instruments, including publicly traded leveraged loans and high yield bonds primarily denominated in U.S. Dollars.

Parallel Entities

If it considers it appropriate for any legal, tax, regulatory, accounting compliance, structuring or other considerations of AUSIF Fund or of certain current or prospective Shareholders, the Investment Manager, or any of its affiliates may, in its sole discretion, establish one or more parallel vehicles to invest alongside AUSIF Fund (as determined in the Investment Manager's discretion) (the "**Parallel Vehicles**"), which may not have investment objectives and/or strategies that are identical to the investment objectives and strategies of AUSIF Fund, and/or feeder vehicles to invest through AUSIF Fund ("**Feeder Vehicles**" and collectively with Parallel Vehicles, the "**Parallel Entities**"). The costs and expenses associated with the organization and operation of any Parallel Entity and/or any Feeder Entity may be apportioned to, and borne solely by, the investors participating in such Parallel Entity and/or such Feeder Entity or be allocated among AUSIF Fund, the AUSIF Aggregator, any Parallel Entities and/or Feeder Entities as determined by the Investment Manager in its reasonable discretion. Investors should note that, as a result of the legal, tax, regulatory, accounting, compliance, structuring or other considerations mentioned above, the terms of such Parallel Entities may differ substantially from the terms of AUSIF Fund. In particular, such differences may cause Parallel Entities to subscribe at, or have their Shares (and/or units as applicable) redeemed at, a different NAV per unit in the AUSIF Aggregator than AUSIF Fund.

If it considers it appropriate for any legal, tax, regulatory, accounting, compliance, structuring or other considerations, the Investment Manager or any of its affiliates may, in its sole discretion, establish and introduce one or more intermediate entities through which AUSIF Fund and/or any Parallel Entities shall invest in the AUSIF Aggregator.

Leverage

AUSIF Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. AUSIF Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio to be in excess of 70% or such lower amounts as mandated by regulation or law as they come into force (the "**Leverage Limit**") subject to the below; *provided*, that no remedial action will be required if the Leverage Limit is exceeded for any reason other than the incurrence of an increase in indebtedness (including the exercise of rights attached to an Investment).

"**Leverage Ratio**" means, on any date of incurrence of any such indebtedness, the quotient obtained by dividing (i) Aggregate Net Leverage (as defined below) by (ii) AUSIF Fund's NAV plus the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of AUSIF Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to AUSIF Fund or such subsidiary special purpose financing vehicle respectively.

"**Aggregate Net Leverage**" means (i) the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of AUSIF Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to

AUSIF Fund or such subsidiary special purpose financing vehicle respectively, minus (ii) cash and cash equivalents of AUSIF Fund.

For purposes of determining Aggregate Net Leverage, the Investment Manager: (i) shall use the principal amount of borrowings, and not the valuations of AUSIF Fund's borrowings as described in Section VI: "*Fees and Expenses of AUSIF—Liabilities*" of this Annex, (ii) may, in its sole discretion, determine which securities and other instruments are deemed to be cash equivalents and (iii) will disregard any indebtedness between the different entities constituting AUSIF and its subsidiaries. AUSIF Fund's assets or any part thereof, including any accounts of AUSIF Fund, may be pledged in connection with any credit facilities or borrowings. The Leverage Limit may be exceeded on a temporary basis to satisfy short-term liquidity needs, refinance existing borrowings or for other obligations, but in each case the Leverage Ratio will not exceed 75% or such lower amounts as mandated by regulation or law as they come into force. Any lower mandate leverage limit mandated by regulation or law could reduce the returns of the AUSIF Fund.

For the avoidance of doubt, the Leverage Limit does not apply to indebtedness at the Investment level, guarantees of indebtedness, or other related liabilities that are not recourse indebtedness for borrowed money of AUSIF Fund.

AUSIF Fund may, but is not obligated to, engage in hedging transactions for the purpose of efficient portfolio management or for hedging purposes. The Investment Manager may review the hedging policy of AUSIF Fund from time to time depending on movements and projected movements of the relevant currencies and interest rates and the availability of cost-effective hedging instruments for AUSIF Fund at the relevant time.

Please also refer to Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations— Use of Leverage*" of the General Section of the Prospectus.

Reference Currency

AUSIF Fund is denominated in U.S. Dollar (USD). AUSIF Fund will issue classes of Shares in multiple other currencies as the Board of Directors (or its delegate) may decide from time to time. The complete list of available Share Classes will be available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

NAV of each Class of Shares is reported to Shareholders and returns are calculated and reported in the currency of such Class of Shares. Gains or losses regarding Investments made using a different currency than the one of a given Class of Shares may include currency fluctuations relative to such Share Class currency.

IV. SHARE CLASS INFORMATION

Share Classes of AUSIF Fund

The following Classes of Shares are open to Shareholders in AUSIF Fund:

Class	Type of Share
A _A	Accumulation
A _D	Distribution
B _A	Accumulation
B _D	Distribution
C _A	Accumulation
C _D	Distribution
D _A	Accumulation
D _D	Distribution
E _A	Accumulation
E _D	Distribution
F _A	Accumulation
F _D	Distribution
I _A	Accumulation
I _D	Distribution

Class A_A, Class B_A, Class C_A, Class D_A, Class E_A, Class F_A and Class I_A Shares are Accumulation Sub-Classes (as defined below) and Class A_D, Class B_D, Class C_D, Class D_D, Class E_D, Class F_D and Class I_D Shares are Distribution Sub-Classes (as defined below). Shares will be made available in multiple currencies as the Board of Directors may decide from time to time. The complete list of available Share Classes will be available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

Shareholders that subscribe for “**Distribution Sub-Class**” Shares will receive any distributions that AUSIF Fund pays in respect of such Shares. In contrast, Shareholders that subscribe for “**Accumulation Sub-Class**” Shares will, in lieu of receiving distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. In each case, distributions, whether made to the Distribution Sub-Class Shareholders or reflected in the NAV of the Shares held by the Accumulation Sub-Class Shareholders, are made at the discretion of the Board of Directors (or its delegate) and are subject to reasonable reserves for the payment of a *pro rata* portion of Operating Expenses (as defined below) and other obligations of AUSIF Fund attributable to such Shares (including Servicing Fees), and subject to allocating any required tax withholdings (or taxes paid or withheld with respect to such distributions from any Other Ares Fund).

Class I_A Shares and Class I_D Shares (together, the “**Class I Shares**”) are generally available to investors who have account-based fee arrangements, known as advisory/wrap accounts, discretionary managed accounts, or comparable fee arrangements with their distributor or other financial intermediary. Class I Shares may also be available to investors in markets with legal prohibition on payments of shareholder servicing and similar fees, and other categories of investors as determined by the Investment Manager in its sole discretion.

Class A_A Shares and Class A_D Shares (together, the “**Class A Shares**”) are available to all other investors. Class A Shares may be made available in certain countries to financial intermediaries who, as a result of applicable laws and regulations in those jurisdictions, are eligible to, and wish to, receive servicing and similar fees, commissions and/or retrocessions.

The Investment Manager may accept subscriptions for Class B_A Shares, Class B_D Shares (together, the “**Class B Shares**”), Class C_A Shares and Class C_D Shares (together, the “**Class C Shares**”), in its sole discretion, subject to the Minimum Subscription Amount.

Class D_A Shares and Class D_D Shares (together, the “**Class D Shares**”) are available to certain investors who have entered into a discretionary portfolio management mandate with their financial intermediary with automatic rebalancing requirements in relation to a model portfolio and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.

Class E_A Shares and Class E_D Shares (together, the “**Class E Shares**”) are generally available to employees of Ares, Other Ares Funds and other persons, as approved by the Investment Manager in its discretion. Class E Shares will not be subject to payment of any Servicing Fees or Management Fees.

Class F_A Shares and Class F_D Shares (together, the “**Class F Shares**”) are generally available to investors who subscribed to AUSIF Fund by the end of the Initial Subscription Period or within the first three (3) months following the end of the Initial Subscription Period. After that period, the Investment manager may accept subscriptions for Class F Shares, in its sole discretion, subject to the Minimum Subscription Amount.

Notwithstanding the above, AUSIF Fund shall have full discretion to allocate the subscription of any Shareholder to any Class in order to reflect, *inter alia*, the subscription by Shareholders through a Parallel Entity.

Except as otherwise described herein, the terms of each Class of Shares are identical. Shares are issued in respect of a particular Class in AUSIF Fund. The Board of Directors (or its delegate) has the authority to, at any time, create and issue new Classes or types of Shares within AUSIF Fund at its discretion, with Shares having different rights, benefits, powers or duties and terms, including with respect to fees, distributions and liquidity.

Please also refer to Section VI: “*Fees and Expenses of AUSIF—Subscription Fees*” and “*—Servicing Fee*” of this Annex.

Hedging

Individual Classes may be denominated in other currencies. AUSIF Fund may hedge Classes of Shares which are denominated in any currency other than the Reference Currency of AUSIF Fund, however, depending on the prevailing circumstances, AUSIF Fund may or may not hedge certain Classes, either partially or fully, and has no obligation to hedge any Class at all. In relation to currency hedging undertaken, if any, in the interest of a hedged Class, note that various Classes of Shares do not constitute separate portfolios of assets and liabilities. Accordingly, while gains and losses on the hedging transactions and the expenses of the hedging program will be allocated to the hedged Classes only, AUSIF Fund, as a whole (including the non-hedged Classes), may be liable for obligations in connection with currency hedges in favor of a specific Class of Shares and AUSIF Fund may also be liable for similar obligations in connection with currency hedges with respect to AUSIF Fund or a Parallel Entity. Additionally, any financing facilities or guarantees utilized in connection with the hedging program may be entered into by AUSIF Fund or the AUSIF Aggregator (in respect of AUSIF Fund or a Parallel Entity) and not any specific Class.

V. SUBSCRIPTIONS, REDEMPTIONS AND OTHER TRANSACTIONS

Subscriptions in AUSIF Fund

Shares in AUSIF Fund will be offered primarily through distributors or other financial intermediaries, which generally have client net worth thresholds and other requirements. Accordingly, AUSIF Fund is primarily intended for investors with such distributor or other financial intermediary relationships. Investors should consult with their distributor or other financial intermediary to discuss potential eligibility and suitability to invest in AUSIF Fund and such distributor or other financial intermediary will provide appropriate investment advice on the suitability of the investment and the verification of such investor's satisfaction of the relevant eligibility requirements. Shares may also be offered to sophisticated and other Professional Investors that meet eligibility requirements for participating in AUSIF Fund at the Investment Manager's discretion.

Each potential Shareholder desiring to subscribe for Shares is required to execute a Subscription Document and make certain representations and warranties to AUSIF Fund including (without limitation) a representation to the effect that it: (1) (a) is not a U.S. person (as defined in Regulation S under the 1933 Act) or (b) is a Permitted U.S. Person (unless waived by the Investment Manager), (2) is purchasing such investment (x) in an offshore transaction in accordance with Regulation S under the 1933 Act or (y) in a transaction otherwise exempt from registration under the 1933 Act, including in reliance on Regulation D, and (3) is not, and does not have indirectly through any entities that are fiscally transparent for U.S. tax purposes, a "United States person" for U.S. federal income tax purposes (as such term is defined in Section 7701(a)(30) of the U.S. Internal Revenue Code of 1986, as amended). Each potential Shareholder must also satisfy the eligible Shareholder qualifications as set forth in the Subscription Document.

The initial minimum subscription amount (the "**Minimum Subscription Amount**") and the minimum subsequent subscription amounts (the "**Minimum Subsequent Subscription Amount**") by each Shareholder in AUSIF Fund are set out in the table below (although the Investment Manager may in its discretion accept the equivalent amount in another admitted currency):

Class of Shares	Minimum Subscription Amount	Minimum Subsequent Subscription Amount
Class A Shares, Class E Shares and Class I Shares	\$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)
Class B Shares and Class C Shares	€250,000,000 for the Euro denominated Classes of Shares, and \$250,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	€1,000 for the Euro denominated Classes of Shares, and \$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)
Class D Shares and Class F Shares	\$150,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)

The initial Minimum Subscription Amounts set out above are subject, in each case, to such higher initial subscription amounts as required for a Shareholder's eligibility under applicable law, as provided in the Subscription Documents. Certain sub-distributors, countries and/or Classes may have higher minimums. Notwithstanding anything else herein, the Investment Manager may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than the first calendar day of the month. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Prospective investors in AUSIF Fund may subscribe to AUSIF Fund directly or via financial intermediaries or omnibus accounts. The investments made by a financial intermediary will not be aggregated in order to determine the investor's eligibility for a specific Class or its minimum initial subscription or holding.

Subscriptions and Issuance of Shares in AUSIF Fund

Initial Subscription Period and Ongoing Subscriptions

In respect of each new Class of Shares, up to the end of the Initial Subscription Period, the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion plus applicable Subscription Fees.

After the end of the Initial Subscription Period, subscriptions for Shares of AUSIF Fund may be made on an ongoing basis and will be accepted as of the first calendar day of each month (each, a "**Subscription Date**").

Subscription Price

After the end of the Initial Subscription Period, Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date *plus* applicable Subscription Fees.

The subscription price per Share of each Class of Shares is equal to the NAV per Share for such Class of Shares as of the relevant Valuation Date. For example, if a prospective Shareholder wishes to make an initial subscription for Shares of AUSIF Fund in October, the initial subscription request must be received in good order at least eleven (11) Business Days before November 1st. The offering price will equal the NAV per Share of the applicable Class as of the last calendar day of October (i.e., the relevant Valuation Date), plus applicable Subscription Fees. If accepted, the subscription will be effective on the first calendar day of November (based on the October 31st NAV). In connection with a subscription of Shares, Shareholders may also be required to pay Subscription Fees (as defined below) to their distributor or other financial intermediary.

AUSIF Fund's monthly NAV as of the Valuation Date will generally be available by the 33rd Business Day after the immediately following Subscription Date (e.g., the NAV for October 31st will generally be available around December 18th). Prospective Shareholders will therefore not know the NAV per Share of their investment until after the investment has been accepted. Prospective Shareholders are required to subscribe for a USD (or the relevant Share Class's reference currency) amount, as applicable, and the number of Shares that such subscriber receives will subsequently be determined based on the NAV per Share as of the time such investment was accepted by AUSIF Fund (e.g., a Shareholder admitted to AUSIF Fund as of November 1st of a calendar year, whose investment is based on AUSIF Fund's NAV as of October 31st of such year, will learn of such NAV and the corresponding number of Shares represented by their subscription around December 18th of that year).

Subscription Procedure

A prospective Shareholder must notify AUSIF Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least eleven (11) Business Days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). To be accepted, a subscription request must be made with a completed and executed Subscription Document in good order, including (a) satisfying any additional requirements imposed by the subscriber's distributor or other financial intermediary, (b) satisfying the know your client (KYC), terrorist financing and anti-money laundering checks carried out by AUSIF Fund or its agent, and (c) any tax forms associated with a subscription (to the extent not already forming part of the Subscription Document).

Late subscription orders will be automatically resubmitted for the next available Subscription Date, unless such subscription order is withdrawn or revoked before 5 p.m. Central European Time on the last Business Day before such Subscription Date (subject to the Investment Manager's discretion to accept after such time). Subscription price amounts (whether in cash or in kind, as applicable) must be received no later than nine (9) Business Days in advance of the relevant Subscription Date. No interest will be paid on any payments received prior to this deadline.

Prospective Shareholders should note that incomplete subscription applications and subscription applications which are not settled by the relevant funding due date may be, in the discretion of the Investment Manager, cancelled or deferred to a subsequent Subscription Date by AUSIF Fund and any costs of cancellation, reasonable interest and/or and other incurred charges may be passed on to the prospective Shareholder and may be deducted from the subscription price paid by such prospective Shareholder, in the discretion of the Investment Manager.

Notwithstanding anything else herein, the Board of Directors (or its delegate) may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than a Subscription Date. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Subscriptions, redemptions and conversions of Shares should be made for investment purposes only. AUSIF Fund shall not permit short-term (market-timing) or other excessive trading practices, which may disrupt AUSIF Fund's portfolio management strategies and harm its performance. To minimize harm to AUSIF Fund and the Shareholders, the Investment Manager has the right to reject any subscription or conversion order from any subscriber who is engaging in excessive trading or has a history of excessive trading or if a subscriber's trading, in the opinion of the Investment Manager, has been or may be disruptive to AUSIF Fund. AUSIF Fund, the Investment Manager, the Board of Directors and the AIFM will not be liable for any loss resulting from rejected orders.

Fractions of Shares to two (2) decimal places will be issued. The timing of Subscription Dates, Valuation Dates, and other applicable deadlines (including the deadlines for cancelling subscription and for the payment of the subscription price) may be modified from time to time by the Investment Manager in its sole discretion.

Redemption of Shares

Redemption Procedure

Whilst AUSIF Fund expects that there would be no regular secondary trading markets for Shares, redemptions of Shares are expected to be offered each calendar quarter at the NAV per Share calculated as of the last calendar day of the second month of the relevant calendar quarter.

A Shareholder may request to have some or all of its Shares redeemed by AUSIF Fund (each, a “**Redemption Request**”) as of the first calendar day of the last month of each calendar quarter (each, a “**Redemption Date**”) by submitting a notice to AUSIF Fund that the Shareholder requests a certain number of its Shares be redeemed by AUSIF Fund in the form made available by AUSIF Fund by the Redemption Cut-Off Time, i.e., by 5 p.m. Central European Time on the last Business Day of the first month of the calendar quarter in which the Redemption Date falls (e.g., a Shareholder requesting a September 1st redemption must submit their Redemption Request by c. July 31st); *provided* that late notices may be accepted in the Investment Manager's sole discretion (acting as delegate of the Board of Directors). Once a Redemption Request has been submitted, the Shareholder will not be entitled to withdraw or revoke the Redemption Request without the express consent of the Investment Manager (acting as delegate of the Board of Directors), which consent may be given or withheld in their sole discretion.

Amounts distributed in connection with a Redemption Request will be based upon the NAV per Share of the applicable Class of Shares being redeemed, which in turn will in part be based on the most recently available NAV per share or units, as applicable of the Intermediary Funds (and Other Ares Funds in which AUSIF directly or indirectly invests). The Investment Manager expects that settlements of Redemption Requests will generally be made within ten (10) Business Days after the relevant NAV Release Date (e.g., a Shareholder requesting a September 1st redemption would generally be expected to receive a settlement on or around October 30th of the same year) (the “**Settlement Date**”) *provided* that this timing may vary depending on when redemption proceeds are actually received by AUSIF from the Intermediary Funds and/or the Other Ares Funds, as applicable.

Each Redemption Request will be processed on each Redemption Date at the NAV per Share of the applicable Class of Shares as of the Valuation Date immediately preceding the applicable Redemption Date. Shareholders will not know the NAV per Share, and therefore the amount of their redemption, until the relevant NAV Release Date. In addition, due to the timing of the NAV Release Date, investors also will not know the NAV per Share for the month preceding the date of such Redemption Requests.

Shareholders whose Redemption Requests are accepted will cease to be Shareholders in respect of the redeemed Shares as of such Redemption Date and will therefore cease to be entitled to the rights of a Shareholder in respect

of the redeemed Shares as of such date, including the right to receive distributions, and will not be entitled to interest on redemption payments due.

Redemption Limitation

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AUSIF, including redemptions in all Parallel Entities and the AUSIF Aggregator, but excluding any Early Redemption Deduction and/or any Redemption Fee applicable to the redeemed Shares) is generally limited to 5% of the aggregate NAV per calendar quarter (measured as of the last calendar day of the previous calendar quarter) (the “**Redemption Limitation**”), except in the exceptional circumstances described below. The foregoing Redemption Limitation is based on net redemptions during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this paragraph. The term “net redemptions” means, during the applicable period, the excess of redemptions (capital outflows) over the proceeds from subscriptions (capital inflows). With respect to future periods, the Board of Directors (or its delegate) may choose whether the Redemption Limitation will be applied to “gross redemptions” (i.e., without netting against capital inflows), rather than to net redemptions. If redemptions for a given calendar quarter are measured on a gross basis rather than on a net basis, the Redemption Limitation could limit the number of Shares redeemed on any Redemption Date despite AUSIF Fund receiving net capital inflows for such calendar quarter. In order for the Board of Directors (or its delegate) to change the application of Redemption Limitation from net redemptions to gross redemptions or vice versa, AUSIF Fund will provide notice to Shareholders, at least ten (10) days before the first Business Day of the quarter for which the new test will apply.

No redemption proceeds will be paid unless and until cleared funds equal to the full amount of the subscription price (or any other amounts payable by such Shareholder to AUSIF Fund) due but not yet paid for the Shares to be redeemed has been received by AUSIF Fund. No interest will be paid to Shareholders on redemption proceeds paid after the Settlement Date.

Any redemption made for the purpose of upstreaming cash (a) to settle a properly incurred liability of AUSIF Fund, the AUSIF Aggregator or any Ares-managed feeder vehicle of AUSIF; (b) for cash management purposes at the level of AUSIF Fund, the AUSIF Aggregator or any Ares-managed feeder vehicle of AUSIF; and/or (c) to declare a distribution or dividend at the level of AUSIF Fund or the AUSIF Aggregator will not be subject to any Early Redemption Deduction and/or Redemption Fee, and will not be taken into account for the purposes of calculating the Redemption Limitation, in each case *provided* that the upstreaming of cash is not used to effect the redemption requests of, and/or provide priority redemption rights to, underlying investors of AUSIF Fund, the AUSIF Aggregator or any Ares-managed feeder vehicle of AUSIF.

In exceptional circumstances and not on a systematic basis, AUSIF Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in AUSIF’s best interest and the best interest of AUSIF’s investors as a whole, such as when redemptions are unable to be made in Intermediary Funds and Other Ares Funds in which AUSIF is directly or indirectly invested (including for the avoidance of doubt ASIF and AESIF), when redemptions of Shares would place an undue burden on AUSIF’s liquidity, adversely affect AUSIF’s operations, risk having an adverse impact on AUSIF that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to the Redemption Limitation and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AUSIF’s best interest and the best interest of AUSIF’s investors.

Investors should note that the Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt ASIF and AESIF) in which AUSIF is expected be directly or indirectly invested may contain restrictions on redemptions or repurchases that prohibit AUSIF from liquidating the shares, interests, units and/or other similar instruments that it holds in such Intermediary Funds and Other Ares Funds. In particular, investors should note that:

- The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AESIF, including redemptions in all AESIF’s parallel Entities and the AESIF aggregator) is generally limited to 2% of aggregate NAV per calendar month of all Parallel Entities and the AESIF Aggregator (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter) and 5% of such

aggregate NAV per calendar quarter (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter), except in the exceptional circumstances described below. Please refer to sub-section “*Lack of Liquidity*” in Section X: “*Risk Factors and Other Considerations*” of this Annex for additional details on the risks associated with an investment in AUSIF; and

- ASIF intends to offer to repurchase, at the discretion of the board of trustees of ASIF, up to 5% of common shares outstanding in ASIF (either by number of shares or aggregate NAV) in each quarter. The ASIF board of trustees may amend, suspend or terminate the share repurchase program if it deems such action to be in ASIF’s best interest and the best interest of common shareholders in ASIF.

In the event that, pursuant to the limitations above, not all of the Shares submitted for redemption during a given quarter are to be accepted for redemption by AUSIF Fund, Shares submitted for redemption during such quarter will be redeemed on a *pro rata* basis (measured on an aggregate basis (without duplication) across AUSIF if applicable). All unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date, unless such a Redemption Request is withdrawn or revoked by a Shareholder before such Redemption Date in the manner as described above.

Sources of Funds for Redemptions

The Board of Directors (or its delegate) may in its discretion, after taking the interests of AUSIF Fund as a whole and the interests of the remaining Shareholders into consideration, use proceeds from any available sources at AUSIF Fund’s disposal to satisfy Redemption Requests, subject to the Redemption Limitation. Potential sources of funding redemptions include, but are not limited to, cash on hand, cash available from borrowings, cash from the sale of Shares and cash from liquidations of investments, to the extent that such funds are not otherwise dedicated to a particular use, such as working capital, cash distributions to Shareholders or Investments.

Although a majority of AUSIF Fund assets consist of Investments that cannot generally be readily liquidated on short notice without impacting AUSIF Fund’s ability to realize full value upon their disposition, AUSIF Fund intends to maintain a number of sources of liquidity including Debt and Other Instruments. AUSIF Fund may fund redemptions from any available source of funds, including operating cash flows, borrowings, proceeds from the offering of the Shares and/or sales of AUSIF Fund’s assets

Early Redemption Deduction and Redemption Fee

Shares held for less than twelve (12) months will be subject to an early redemption deduction (the “**Early Redemption Deduction**”) as set out below:

Class of Shares	Early Redemption Deduction
Class A Shares, Class B Shares, Class C Shares, Class F Shares and Class I Shares	2% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)
Class D Shares and Class E Shares	0%

Redemptions of Class D Shares and Class E Shares may be subject to a redemption fee of 2% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date) if such redemption occurs within the first eighteen (18) months of the relevant Shareholder’s initial subscription to such Class D Shares or Class E Shares, as applicable, as determined by the Investment Manager in its sole discretion from time to time (the “**Redemption Fee**”). To the extent applicable, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager.

If a redeeming Shareholder, who invested in AUSIF Fund for its own account, owns Shares of more than one Series of the Class being redeemed, such Shares will be deemed to be redeemed on a "first-in-first-out" basis. If a redeeming Shareholder invested in AUSIF Fund as a financial intermediary on behalf of underlying investors, it must indicate in its Redemption Request the relevant Series of Shares to be redeemed.

The Early Redemption Deduction and/or any Redemption Fee will inure indirectly to the benefit of the AUSIF Aggregator (and indirectly AUSIF Fund and all other vehicles invested in the AUSIF Aggregator, including their

respective investors). To the extent a corresponding fee, charge or deduction is applicable in respect of the relevant Intermediary Funds and/or the Other Ares Funds, the relevant portion of the Early Redemption Deduction will inure indirectly to the benefit of the Intermediary Funds and/or the Other Ares Funds accordingly (and indirectly AUSIF Fund and all the other vehicles invested in such Intermediary Funds and/or Other Ares Funds).

AUSIF Fund may, from time to time, waive the Early Redemption Deduction and/or any Redemption Fee in its discretion, including without limitation in the case of redemptions resulting from death, qualifying disability, divorce, or where operational, administrative, and/or system limitations prohibit the Early Redemption Deduction and/or any Redemption Fee from being properly applied.

All questions as to the applicability of the Early Redemption Deduction and/or any Redemption Fee to specific facts and the validity, form, eligibility (including time of receipt of required documents) of a qualification for an exemption from the Early Redemption Deduction and/or any Redemption Fee will be determined by the Investment Manager, in its sole discretion, and its determination shall be final and binding.

Minimum Account Redemptions

In the event that any Shareholder fails to maintain the minimum balance of \$25,000 (or the equivalent in any currency as may be determined by the Board of Directors or its delegate) of Shares, the Board of Directors (or its delegate) may redeem all of the Shares held by that Shareholders at the redemption price in effect on the date the Board of Directors (or its delegate) determines that the Shareholder has failed to meet the minimum balance, *less* any Early Redemption Deduction and/or Redemption Fee. Minimum account redemptions are subject to Early Redemption Deductions and/or Redemption Fee, as applicable.

Compulsory Redemption with regard to Prohibited Persons

If the Board of Directors (or its delegate) discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person (as defined below), either alone or in conjunction with any other person, whether directly or indirectly, the Board of Directors (or its delegate) may at its discretion and without liability, compulsorily redeem (in whole or in part) the Shares in accordance with the Articles, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such redemption may take priority over any requested redemptions made by other investors (which may be delayed as a result). For the avoidance of doubt, in the case of a Shareholder holding Shares which can be allocated to several beneficial owners, such compulsory redemption may only be applied to the part of the portion of such Shares allocable to the beneficial owner qualifying as a Prohibited Person.

In addition, in the case of a Prohibited Person where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, or (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, the Board of Directors (or its delegate) is also entitled to convert the Shares of the Prohibited Person provided that after such conversion the Shareholder no longer qualifies as a Prohibited Person.

The Board of Directors (or its delegate) may require any Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) to provide it with any information that it may consider necessary for the purpose of determining whether or not such Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) is or will be a Prohibited Person.

For the purpose of this clause, "**Prohibited Person**" shall mean any person, firm, partnership or corporate body (including a Shareholder (and/or an underlying investor where the Shareholder subscribed to the Shares on its behalf of such underlying investor and/or for such underlying investor's benefit)), not eligible as investor for a Class of Shares, or if in the sole opinion of the Board of Directors (or its delegate) the holding of Shares may be detrimental to the interests of the existing Shareholders, AUSIF Fund or the Sponsor, if it may result in a breach of any law or regulation, whether in Luxembourg or abroad, or if as a result thereof any such parties may become exposed to regulatory, tax, economic or reputational damages, obligations, disadvantages, fines or penalties that it would not have otherwise incurred.

Conversions Between Classes

Conversions of Shares between Classes in AUSIF Fund are allowed. The Board of Directors (or its delegate) may suspend conversions in respect of Shares during any period that the determination of the NAV of the relevant Class is suspended in accordance with the rules set out in the Articles and this Annex.

Conversion at the Request of Shareholders

A Shareholder may request the conversion of all or part of its Shares of a Class on any Valuation Date; *provided* that the Shareholder fulfils the eligibility criteria of the relevant Class into which the conversion is requested and subject to the written consent of the Shareholder's broker, distributor or other financial intermediary, if applicable, and the Board of Directors (or its delegate). Any conversion request which, when executed, would cause the Shareholder's investment to fall below the applicable minimum holding requirement, will be considered as a request for a full conversion for that Shareholder's Shares in that particular Class.

Procedure

Written conversion orders should be sent to the Central Administration at least five (5) Business Days before the relevant Valuation Date or such shorter period as determined by the Board of Directors or its delegate (the "Conversion Cut-off").

All conversion orders must contain the following information:

- the Valuation Date in respect of which the conversion request is made;
- the full name(s) in which the Shares to be converted are registered;
- the Class and its ISIN code from which Shares are to be converted and the Class and its ISIN code to which Shares will be converted; and
- either the monetary amount or the number of Shares to be converted.

If accepted, conversion orders received by the Central Administration before the relevant Valuation Date in respect of which the conversion order is made will be dealt with on such Valuation Date on the basis of the NAV of the relevant Classes prevailing on that Valuation Date.

Any conversion orders received after the Conversion Cut-off for a Valuation Date will be processed on the next Valuation Date on the basis of the NAV of the relevant Classes prevailing on such Valuation Date.

The rate at which all or part of the Shares of one Class (the "Initial Class") are converted into another Class (the "New Class") is determined in accordance with the following formula:

$$A = \frac{B \times C \times D}{E}$$

where:

- A is the number of Shares to be allocated in the New Class;
- B is the number of Shares of the Initial Class to be converted;
- C is the NAV per Share of the Initial Class determined on the relevant Valuation Date;
- D the currency conversion factor, which is the relevant currency rate as at the respective Valuation Date, or where the Shares of the New Class are denominated in the same currency of the Initial Class, D = 1; and
- E is the NAV per Shares of the New Class determined on the relevant Valuation Date.

Following such conversion of Shares, the Central Administration will inform the respective Shareholder of the number of Shares of the New Class obtained by conversion and the price thereof. Fractions of Shares in the New Class to two decimal places may be issued.

Conversion by decision of the Board of Directors

The Board of Directors (or its delegate) may in its own discretion at any time convert Shares from one Class into another Class of Shares where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class as set out in this Annex, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, (iii) Shareholders are not

otherwise entitled to acquire or possess these Shares, or (iv) the Board of Directors or its delegate determines that such conversion is necessary or advisable and not inequitable to Shareholders.

The procedure set out above will apply accordingly.

Transfers

Shareholders may transfer part or all their Shares upon prior consent from the Board of Directors or its delegate, in their sole discretion, which shall be provided within thirty (30) calendar days from its notification. The absence of a favorable response within thirty (30) calendar days shall be considered as a refusal to such transfer.

Any transferee must provide AUSIF Fund with a duly completed Subscription Document, any required AML/KYC documents and any additional information or documentation as requested by the Board of Directors or its delegate in connection with the transfer and by the transferee's broker, distributor or other financial intermediary, as applicable.

VI. FEES AND EXPENSES OF AUSIF

Management Fee

In consideration for its services with respect to AUSIF Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a management fee (the “**Management Fee**”) equal to, for each class of Shares, up to 1.25% of the NAV of each Class of Shares (except for Class E Shares) per annum payable monthly in arrears based on month end values, before giving effect to any accruals for the Management Fee, the AIFM Fee, the Servicing Fee (as defined below), redemptions for that month (if applicable), any distributions and any impact to NAV solely caused by currency fluctuations and/or currency hedging activities for non-USD Classes, non-USD classes of units of the AUSIF Aggregator and/or non-USD classes of shares or units of Parallel Entities (where applicable). The Management Fee may be paid by AUSIF Fund, or alternatively and without duplication, by the AUSIF Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of AUSIF Fund.

While AUSIF may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt ASIF and AESIF), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AUSIF together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in this Section.

The AIFM (and/or such other combination of persons as the Investment Manager may designate) may elect to receive the Management Fee in cash, Shares, units of the AUSIF Aggregator and/or shares or units of Parallel Entities (where applicable). If the Management Fee is paid in Shares, AUSIF Aggregator units and/or shares or units of Parallel Entities (where applicable), such Shares, shares and/or units may be redeemed at the AIFM's request (and/or at the request of such other combination of persons as the Investment Manager may designate), and will not be subject to any of the limitations set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” and “*—Early Redemption Deduction and Redemption Fee*” of this Annex.

The AIFM may separately elect for the Management Fee to be paid (in whole or in part) to an affiliate of the AIFM (and/or such other combination of persons as the Investment Manager may designate) in satisfaction of Management Fee amounts owed to the AIFM in connection with services provided by such affiliate to AUSIF Fund and/or any Intermediate Vehicle. In addition, the AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time

For the avoidance of doubt, in the event the Management Fee is paid by the AUSIF Aggregator, the Parallel Entities and/or any Intermediate Vehicle, such payment shall be made on behalf of AUSIF Fund in consideration of the services provided by the Investment Manager, the Sub-Investment Manager and the AIFM to AUSIF Fund. For the avoidance of doubt, where a management fee is calculated and paid by a Parallel Entity on the basis of such entity's own NAV (whether or not such management fee is calculated and paid on the same basis as the Management Fee), such fees will be charged without duplication, and the NAV of such Parallel Entity will be disregarded for the purposes of the calculation and payment of the Management Fee to be paid by other AUSIF vehicles.

Performance Participation Allocation

No Performance Participation Allocation will be charged at the level of AUSIF Fund. However, AUSIF may indirectly bear its share of carried interest, management fees or other incentive compensation and other expenses of such Intermediary Funds and Other Ares Funds.

Please refer to Section VI: “*Fees and Expenses of AUSIF —Fees and Expenses Charged at the level of Intermediary Funds and Other Ares Funds*” below.

AIFM Fee

In consideration for its services with respect to AUSIF Fund, the AIFM will be entitled to payment of an AIFM Fee payable by AUSIF Fund equal to, for each Class of Shares, up to 0.03% of the NAV of each Class of Shares per annum payable monthly in arrears based on month end values. The AIFM Fee may be paid by AUSIF Fund, or alternatively and without duplication, by the AUSIF Aggregator, the Parallel Entities and/or any Intermediate

Vehicle on behalf of AUSIF Fund. The AIFM Fee will be separate from and additional to the Management Fee and any Operating Expenses.

The AIFM may waive all or any part of the AIFM Fee in its discretion from time to time.

Subscription Fees

Certain distributors or other financial intermediaries through which a Shareholder was placed in AUSIF Fund may charge such Subscription Fees on Shares sold in the offering that are paid by the Shareholder outside of its investment in AUSIF Fund and not reflected in AUSIF Fund's NAV. In certain circumstances the Subscription Fees may be paid to Ares and reallocated, in whole or in part, to the distributor or other financial intermediary that placed the Shareholder into AUSIF Fund. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.

Servicing Fee

Each Class of Shares will bear a Servicing Fee equal to the amount set out in the table below (on an annualised basis):

Class of Shares	Servicing Fee
Class A Shares	Up to 0.85% on NAV per annum.
Class B Shares	Up to 0.50% on NAV per annum.
Class C Shares, Class D Shares, Class E Shares, Class F Shares and Class I Shares	0.00% on NAV per annum.

For the avoidance of doubt, the Servicing Fees will be payable by AUSIF Fund and Shareholders will not be billed separately for payment of the fees. The Servicing Fee will be calculated on the NAV of the relevant Class of Shares before giving effect to accruals for the Servicing Fee (for that month), the redemptions for that month (if any) and distributions payable on such Class of Shares.

The servicing fee is allocated to the financial intermediary through which an underlying investor was placed in AUSIF Fund and/or the financial intermediary which provides ongoing services to such underlying investor in each case as determined by the Investment Manager in its sole discretion (such fee, the “**Servicing Fee**”). Any Servicing Fee will compensate such representative for any placement, reporting, administrative and/or other services provided to an underlying investor by such representative. The receipt of the Servicing Fee will result in a conflict of interest.

Organizational and Offering Expenses

The Organizational and Offering Expenses may be apportioned to, and borne solely by, AUSIF Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Organizational and Offering Expenses are attributable to AUSIF Fund, the AUSIF Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

The Investment Manager has agreed to advance all of AUSIF Fund's (including the expenses associated with AUSIF Fund, the AUSIF Aggregator, any Intermediate Vehicle, or any of their respective Parallel Entities or Feeder Entities) Organizational and Offering Expenses through the Effective Date. AUSIF Fund, the AUSIF Aggregator or the relevant Parallel Entities or Feeder Entities, as applicable, will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date.

After the Effective Date, AUSIF Fund, the AUSIF Aggregator, the relevant Parallel Entities and/or Feeder Entities, as applicable, will reimburse the Investment Manager for any Organizational and Offering Expenses that it has incurred on each entity's behalf as and when incurred.

Liabilities

With respect to each Class of Shares, the AIFM will include the value (as prescribed under IFRS) of such Class's *pro rata* portion of AUSIF Fund's liabilities as part of the Class's monthly NAV calculation. These liabilities are expected to include the fees payable to the Investment Manager, the Sub-Investment Manager, the AIFM (and/or such other combination of persons as the Investment Manager may designate), accounts payable, accrued operating expenses, any portfolio-level credit facilities, other borrowings and other liabilities.

For purposes of calculating AUSIF Fund's NAV, the Organizational and Offering Expenses and/or Operating Expenses paid by the Investment Manager through the Effective Date pursuant to this Section VII: "*Fees and Expenses of AEFS— Organizational and Offering Expenses*" or "*— Initial Operating Expenses Support*", as applicable, are not recognized as expenses or as a component of equity and reflected in AUSIF Fund's NAV until AUSIF Fund reimburses the Investment Manager for these costs.

The AIFM's valuation of each Investment's liabilities, including any third-party incentive fee payments or investment level debt, deal terms and structure will not be reviewed by AEFS's independent valuation advisor or appraised.

Operating Expenses

The Operating Expenses (as defined below) may be apportioned to, and borne solely by, AUSIF Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Operating Expenses are attributable to AUSIF Fund, the AUSIF Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

Initial Operating Expenses Support

The Investment Manager may at its discretion advance all or portion of the Operating Expenses to be borne by AUSIF Fund, the proportion of expenses of the AUSIF Aggregator borne by AUSIF Fund, and the appropriately apportioned expenses relating to Portfolio Entities and Parallel Entities, in each case as determined pursuant to the terms of this Prospectus (collectively, "Initial Operating Expenses Support") through the Effective Date. AUSIF Fund and the AUSIF Aggregator (as applicable and as determined by the Investment Manager in its sole discretion), will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date or on such earlier date as determined by the Investment Manager.

Discretionary Expense Cap

In addition to the foregoing, the Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AUSIF Fund (or a specific Class thereof, as applicable) and/or the AUSIF Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AUSIF Fund (or the relevant Class thereof), the AUSIF Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed.

Fees and Expenses Charged at the level of Intermediary Funds and Other Ares Funds

AUSIF Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any portfolio funds, including any Intermediary Funds and Other Ares Funds (including ASIF and AESIF, as applicable), in each case to the extent applicable and in accordance with their relevant governing documents.

However, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously at the level of AUSIF and Other Ares Funds (including AESIF and ASIF). Therefore, no Performance Participation Allocation will be charged at the level of AUSIF. While AUSIF may

indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt ASIF and AESIF), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AUSIF together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: “*Fees and Expenses of AUSIF —Management Fee*”.

VII. DISTRIBUTIONS

The Board of Directors (or its delegate) may declare and pay distributions to Shareholders from time to time.

AUSIF Fund intends to declare monthly distributions as authorized by the Investment Manager (as the delegate of the Board of Directors) and pay such distributions to Shareholders of record on a monthly basis. Accumulation Sub-Classes are not entitled to any distribution payments, unless the Investment Manager (as the delegate of the Board of Directors) determines that a distribution shall be made. AUSIF Fund cannot guarantee that it will make distributions.

Any distributions will be made, at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class, after considering factors such as earnings, cash flow, capital needs, taxes and general financial condition and the requirements of applicable law. As a result, AUSIF Fund's distribution rates and payment frequency may vary from time to time. There is no assurance AUSIF Fund will pay distributions in any particular amount, if at all. Any declaration of distributions to Shareholders will be made in accordance with the 1915 Law and the 2010 Law.

Shareholders of record as of the record date will be eligible for distributions declared. The per Share amount of distributions on each Class of Shares may differ because of different Class-specific Servicing Fees that may be deducted from the gross distributions for each Class. Specifically, distributions on Class A Shares would be lower than distributions on Class C Shares, Class D Shares, Class E Shares, Class F Shares and Class I Shares (and, to a lesser extent, Class B Shares) because AUSIF Fund is required to pay ongoing Servicing Fees (or, in respect of Class B Shares, a higher amount of Servicing Fees) with respect to the Class A Shares compared to Class C Shares, Class D Shares, Class E Shares, Class F Shares and Class I Shares (and, to a lesser extent, Class B Shares).

Shareholders holding Shares with a functional currency other than USD are exposed to fluctuations of the USD foreign exchange rate and/or hedging costs, which may lead to variations on the amount to be distributed.

VIII. MANAGEMENT AND ADMINISTRATION OF AUSIF FUND

Ares

Ares Management Corporation (NYSE: ARES) is a publicly traded, global alternative investment manager.

Ares was built upon the fundamental principle that each group benefits from being part of the broader platform. Ares believes the synergies resulting from collaboration across the platforms provide its professionals with more informed decision making as a result of shared industry experience, management relationships, and market insights, access to significant deal flow and a broader opportunity set, and the ability to assess relative value. Since its inception in 1997, Ares has adhered to a disciplined investment philosophy that focuses on delivering attractive risk-adjusted investment returns through market cycles. Ares strives to maintain a consistent and credit-quality focused approach targeting well-structured investments in credit assets.

The Investment Manager

The AIFM has delegated its portfolio management function regarding AUSIF Fund to Ares Management Limited, the Investment Manager pursuant to the terms of the Investment Management Agreement. The Investment Manager has discretion to make Investments on behalf of AUSIF Fund.

The Investment Manager is an affiliate of Ares and is authorized and regulated by the FCA. The Investment Manager is responsible for initiating, structuring and negotiating AUSIF Fund's Investments. In addition, the Investment Manager actively manages each Investment to seek to maximize cash flow and, ultimately, the value of each Investment.

The investment committee of AUSIF Fund is comprised of senior and experienced investment professionals at Ares (the "**AUSIF Investment Committee**"). All Investments led by AUSIF are reviewed and approved by the AUSIF Investment Committee. The composition of the AUSIF Investment Committee is available at the registered office of AEFS SICAV.

The AUSIF Investment Committee process emphasizes a consensus-based approach to portfolio selection among the members and is the same process that Ares has adopted since inception. In addition, AUSIF will benefit from the breadth of the entire Ares credit platform, including the various investment, asset management, portfolio operations, finance, investor relations, and legal and compliance professionals located around the globe.

The Sub-Investment Manager

The Investment Manager has delegated the portfolio management of the Debt and Other Instruments sleeve to Ares Capital Management II LLC, the Sub-Investment Manager, pursuant to the terms of the Sub-Investment Management Agreement. The Debt and Other Instruments sleeve will be managed by the Investment Manager and the Sub-Investment Manager, and the Investment Manager will have the ability to determine the Debt and Other Instruments that will be managed by the Sub-Investment Manager, subject to the supervision of the AIFM. The primary investment focus of the Sub-Investment Manager will be investments in Debt and Other Instruments.

Ares Capital Management II LLC, 245 Park Avenue, 44th Floor, New York, New York 10167, is registered as an investment adviser with the SEC under the Advisers Act, and is an indirect wholly-owned subsidiary of Ares.

In consideration for its services with respect to AUSIF Fund, the Sub-Investment Manager will be entitled to receive a fee payable by the AIFM (and/or such other combination of persons as the Investment Manager may designate) in an amount to be agreed between the Investment Manager and the Sub-Investment Manager from time to time.

Non-Exclusivity

The functions and duties which the Investment Manager, the Sub-Investment Manager and/or any of their affiliates undertake on behalf of AUSIF Fund will not be exclusive and they perform similar functions and duties for themselves and for others and, without limitation, act as manager, investment advisor, general partner (or equivalent) in respect of other funds, accounts or other products.

IX. REGULATORY CONSIDERATIONS

AIFM Directive Leverage

The AIFM has established a maximum level of leverage for AUSIF Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of AUSIF Fund of 500% and 175%, respectively (the “**AIFM Rules Leverage Restrictions**”). Compliance with the AIFM Rules Leverage Restrictions will be determined on a quarterly basis. If these AIFM Rules Leverage Restrictions were ever exceeded after leverage has been incurred by AUSIF Fund, the Investment Manager will make commercially reasonable efforts to bring AUSIF Fund’s exposure back into compliance with the maximum level of leverage, but such event will not constitute a breach of an investment restriction adopted by AUSIF Fund or a “trade error” for any purpose. The AIFM may increase AUSIF Fund’s maximum leverage exposure from time to time. If the AIFM increases such maximum level of exposure, it will provide notice in writing to Shareholders in the next regularly scheduled notice to Shareholders.

Liquidity management tools

With respect to the liquidity management tools (each a “LMT”) listed under Annex V to the AIFM Directive, the AIFM currently uses the following LMTs with respect to AUSIF Fund: (i) extension of notice periods in accordance with Section V: “*Subscriptions, Redemptions and Other Transactions*” of this Annex and (ii) redemptions in kind in accordance with Subsection 5: “*Payment of the Redemption Price in Kind*” of Section V: “*Subscriptions, Redemptions and Other Transactions*” of the General Section of the Prospectus. The AIFM shall only use redemptions in kind as a LMT for AUSIF Fund to satisfy Redemptions Requests submitted by Professional Investors.

The AIFM will only use the suspension of redemptions and subscriptions as an additional LMT in “*exceptional circumstances*”, as such term is defined in the ESMA Guidelines on liquidity management tools (LMTs) of UCITS and open-ended AIFs. Notwithstanding anything to the contrary in this Prospectus, the AIFM may suspend redemptions without simultaneously suspending subscriptions in all other circumstances, as detailed in this Annex.

The AIFM may use additional LMTs listed under Annex V of the AIFM Directive from time to time, as further communicated to investors, and LMTs that are not listed under Annex V of the AIFMD Directive including without limitation, the Early Redemption Deduction, the Redemption Fee and the Redemption Limitation, as further detailed in this Annex. For the avoidance of doubt, the AIFM may use all LMTs (other than the suspension of redemptions and subscriptions) during both normal and stressed market conditions.

X. RISK FACTORS AND OTHER CONSIDERATIONS

Most of the following risk factors apply both to AUSIF and to any relevant Other Ares Funds in which AUSIF invests (directly or indirectly, including ASIF and AESIF). Therefore, potential Shareholders should assume references to AUSIF include references to Other Ares Funds (including ASIF and AESIF) as well. A more detailed description of the relevant Other Ares Funds' investment strategies, policies and restrictions, as well as a description of certain risks of investing therein, is included in the relevant Other Ares Funds' offering documents. Prospective investors are advised to consult the offering documents of such Other Ares Funds, which are available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

Risk Factors Relating to Investments in AUSIF

Diversification Risk.

AUSIF Fund is subject to restrictions on the size of Investments such that it will not at any one time invest more than 20% of its NAV at the time of acquisition in any single Investment; provided that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the Investment Manager under the oversight of the AIFM, which for the avoidance of doubt will include ASIF and AESIF (and may include Other Ares Funds and/or Intermediary Funds). No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring AUSIF Fund within this 20% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of AUSIF or any of its underlying investors. For the purpose of the foregoing limitations, the amount invested in any Investment will be net of indebtedness and take into account the allocated or expected indebtedness that the Investment Manager deems related to the Investment being acquired, whether incurred specifically at the Investment level or allocated from other vehicle indebtedness.

This 20% diversification requirement will not apply during the Ramp-Up Period. The Investment Manager may also impose additional limitations on its discretion based on the underlying investors in AUSIF Fund.

Accordingly, AUSIF may participate in a limited number of Investments and, as a consequence, the aggregate return of AUSIF may be substantially adversely affected by the unfavorable performance of even a single Investment. In addition, other than as set forth in Section III: "Investment Information" of this Annex, investors have no assurance as to the degree of diversification of AUSIF Investments, either by geographic area, asset type or sector. To the extent AUSIF concentrates Investments in a particular issuer, asset type, industry, security or geographic area, its Investments will become more susceptible to fluctuations in value resulting from adverse economic, political, regulatory, technological, industry and/or business conditions with respect thereto. These risks may be further pronounced where an Investment is secured by a relatively small or less diverse pool of underlying assets. Certain geographic areas and/or industries may be more adversely affected by economic pressures when compared to other geographic areas and/or industries. As a consequence, the aggregate return of AUSIF may be adversely affected by the unfavorable performance of one or a small number of Investments, or unfavorable developments in one or a small number of countries or industries. Moreover, there are no assurances that any or all of AUSIF's Investments will perform well or avoid loss, and if certain investments perform unfavorably, for AUSIF to achieve above-average returns, one or a few of its Investments must perform very well. There are no assurances that this will be the case.

Since AUSIF invests primarily in the credit markets, its portfolio may not be as diversified as other investment vehicles. Accordingly, AUSIF's Investments may be subject to more rapid change in value than would be the case if AUSIF were required to maintain a wide diversification among types of securities, geographical areas, issuers and/or industries. Any such non-diversification will increase the risk of loss to AUSIF if there were to be a decline in the market value of any security or sector in which AUSIF had invested a large percentage of its assets. Investment in a non-diversified fund will generally entail greater risks than investments in a diversified fund.

There can be no assurance that the Sponsor will be successful in identifying investment opportunities. Although AUSIF may invest in Other Ares Funds (including ASIF and AESIF), the investment portfolio of such Other Ares Funds (including ASIF and AESIF) may differ materially in terms of levels of sectoral and geographic diversification from the current investment strategy of AUSIF.

Risks Associated with the Euro.

The functioning of the Euro as a single currency across the diverse economies comprising the Eurozone has sustained considerable pressure as the result of the global financial crisis and other subsequent macroeconomic events. The situation, particularly in those countries where sovereign default is perceived to be most likely, may continue to deteriorate. It is therefore possible that the Euro may cease to be the national currency of some or even all of the countries comprising the Eurozone. If this were to occur, fluctuations in currency exchange rates of the new local currencies may cause borrowers in such countries to find it more difficult to meet their Euro repayment obligations and investors in such countries may find that the cost of meeting their commitment to AUSIF increases by virtue of a comparatively valuable Euro. These events are unprecedented and it is difficult to predict with any certainty the consequences of such events on AUSIF and its Investments.

Deployment of Capital.

In light of the nature of AUSIF's continuous offering in relation to AUSIF's investment strategy and the need to be able to deploy potentially large amounts of capital quickly to capitalize on potential investment opportunities, if AUSIF has difficulty identifying and purchasing suitable Investments on attractive terms, there could be a delay between the time it receives net proceeds from the sale of Shares in this offering or any private offering and the time AUSIF invests the net proceeds. AUSIF may also from time to time hold cash pending deployment into Investments or have less than its targeted leverage, which cash or shortfall in target leverage may at times be significant, particularly at times when AUSIF is receiving high amounts of offering proceeds and/or times when there are few attractive investment opportunities. Such cash may be held in an account for the benefit of Shareholders that may be invested in money market accounts or other similar temporary investments, each of which are subject to the Management Fee.

In the event AUSIF is unable to find suitable Investments such cash may be maintained for longer periods which would be dilutive to overall investment returns. This could cause a substantial delay in the time it takes for a Shareholder's investment to realize its full potential return and could adversely affect AUSIF's ability to pay regular distributions of cash flow from operations to you. It is not anticipated that the temporary Investment of such cash into money market accounts or other similar temporary investments pending deployment into Investments will generate significant interest, and Shareholders should understand that such low interest payments on the temporarily invested cash may adversely affect overall returns. In the event AUSIF fails to timely invest the net proceeds of sales of Shares or does not deploy sufficient capital to meet its targeted leverage, AUSIF's results of operations and financial condition may be adversely affected.

Sourcing and Payment of Distributions.

AUSIF has not established a minimum distribution payment level, and AUSIF's ability to make distributions to its Shareholders may be adversely affected by a number of factors, including the risk factors described in the Prospectus or this Annex as well as the Intermediary Funds' and Other Ares Funds' in which AUSIF invests (including ASIF's and AESIF's) abilities to make distributions to their respective investors. The Intermediary Funds and the Other Ares Funds (including ASIF and AESIF) in which AUSIF invests each have a limited track record and may not generate sufficient income to make distributions to AUSIF's Shareholders.

The Board of Directors or its delegate will make determinations regarding distributions based upon, among other factors, AUSIF's financial performance, debt service obligations, debt covenants, tax requirements and capital expenditure requirements. Among the factors that could impair AUSIF's ability to make distributions to its Shareholders are:

- AUSIF's inability to invest the proceeds from sales of Shares on a timely basis;
- AUSIF's inability to realize attractive risk-adjusted returns on AUSIF's Investments;
- high levels of expenses or reduced revenues that reduce AUSIF's cash flow or non-cash earnings; and
- defaults in AUSIF's investment portfolio or decreases in the value of AUSIF's Investments.

As a result, AUSIF may not be able to make distributions to its Shareholders at any time in the future, and the level of any distributions AUSIF does make to Shareholders may not increase or even be maintained over time, any of which could materially and adversely affect the value of a Shareholder's investment.

AUSIF may not generate sufficient cash flow from operations to fully fund distributions to Shareholders, particularly during the early stages of AUSIF's operations. Therefore, AUSIF may fund distributions to AUSIF's

Shareholders from sources other than cash flow from operations, including, without limitation, the sale of assets, borrowings, return of capital or offering proceeds (including from sales from Shares or AUSIF Aggregator units). The extent to which AUSIF pays distributions from sources other than cash flow from operations will depend on various factors, including the level of participation in AUSIF's Accumulation Sub-Classes, the extent to which AIFM, the Investment Manager and Sub-Investment Manager (and/or such other combination of persons as the Investment Manager may designate), as applicable, elects to receive the Management Fee in Shares or units of the AUSIF Aggregator, how quickly AUSIF invests the proceeds from this and any future offering and the performance of AUSIF's Investments. Funding distributions from the sales of assets, borrowings, return of capital or proceeds of the offering will result in AUSIF having less funds available to acquire Investments. As a result, the return a Shareholder realizes on its investment may be reduced. Doing so may also negatively impact AUSIF's ability to generate cash flows. Likewise, funding distributions from the sale of additional securities will dilute a Shareholder's interest in AUSIF on a percentage basis and may impact the value of a Shareholder's investment especially if AUSIF sells these securities at prices less than the price paid for its Shares. AUSIF may be required to continue to fund AUSIF's regular distributions from a combination of some of these sources if AUSIF's Investments fail to perform, if expenses are greater than AUSIF's revenues or due to numerous other factors. AUSIF has not established a limit on the amount of its distributions that may be paid from any of these sources.

To the extent AUSIF borrows funds to pay distributions, it would incur borrowing costs and these borrowings would require a future repayment. The use of these sources for distributions and the ultimate repayment of any liabilities incurred could adversely impact AUSIF's ability to pay distributions in future periods, decrease AUSIF's NAV, decrease the amount of cash AUSIF has available for operations and new investments and adversely impact the value of a Shareholder's investment.

AUSIF may also defer operating expenses or pay expenses (including the fees of the Investment Manager) with Shares or units of the AUSIF Aggregator in order to preserve cash flow for the payment of distributions. The ultimate repayment of these deferred expenses could adversely affect AUSIF's operations and reduce the future return on a Shareholder's investment. AUSIF may redeem Shares or redeem units of the AUSIF Aggregator from the Investment Manager shortly after issuing such units or Shares as compensation. The payment of expenses in Shares or with units of the AUSIF Aggregator will dilute your ownership interest in AUSIF's portfolio of assets. There is no guarantee any of AUSIF's operating expenses will be deferred and the Investment Manager and the AIFM are under no obligation to receive future fees or distributions in Shares, units of the AUSIF Aggregator and may elect to receive such amounts in cash.

In-Kind Remuneration to the Investment Manager and the AIFM.

The Investment Manager, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, may choose to receive Shares or units of the AUSIF Aggregator *in lieu* of certain fees or distributions. The holders of all units of the AUSIF Aggregator are entitled to receive cash from operations pro rata with the distributions being paid to AUSIF and such distributions to the holder of units of the AUSIF Aggregator will reduce the cash available for distribution to AUSIF and to its Shareholders. Furthermore, under certain circumstances units of the AUSIF Aggregator held by the Investment Manager, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, required to be redeemed, in cash at the holder's election, and there may not be sufficient cash to make such a redemption payment; therefore, AUSIF may need to use cash from operations, borrowings, offering proceeds or other sources to make the payment, which will reduce cash available for distribution to Shareholders or for investment in AUSIF's operations. Redemptions of Shares or AUSIF Aggregator units paid to the AIFM (and/or such other combination of persons as the Investment Manager may designate) as a Management Fee are not subject to the Redemption Limitation, any Early Redemption Deduction or any Redemption Fee, and such sales receive priority over other Shares being put for redemption during such period.

Reinvestment of Distributions.

Shareholders that subscribe for Accumulation Sub-Class Shares, will, *in lieu* of receiving cash distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. If such amounts are reinvested, such Shareholders will remain exposed to risks associated with such investments.

No Right to Control AUSIF.

The Sponsor will have exclusive responsibility for AUSIF's activities, and, other than as set forth herein and in the Articles, Shareholders will not be able to make investments or any other decisions concerning the management of AUSIF. Shareholders have no rights or powers to take part in the management of AUSIF or make investment decisions and will not generally receive the amount of any Portfolio Entity's financial information that is generally

available to the AIFM. The AIFM will generally have sole and absolute discretion in structuring, negotiating and purchasing, financing and eventually divesting Investments on behalf of AUSIF (subject to specified exceptions). Accordingly, no person should purchase a Share unless such person is willing to entrust all aspects of the management of AUSIF to the AIFM.

Lack of Liquidity.

There is no current public trading market for the Shares, and the Sponsor does not expect that such a market will ever develop. Therefore, redemption of Shares by AUSIF will likely be the only way for a Shareholder to dispose of its Shares. AUSIF expects to redeem Shares at a price equal to the applicable NAV as of the Redemption Date and not based on the price at which such Shareholder initially purchased its Shares.

Subject to limited exceptions, Shares of certain Share Classes (as set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*” of this Annex) that are redeemed within twelve (12) months of the date of issuance will be redeemed at 98% of the applicable NAV as of the Redemption Date. Redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of 2% of the NAV of the Shares being redeemed if such redemption occurs within the first eighteen (18) months of the relevant Shareholder’s initial subscription to such Class D Shares or Class E Shares, as applicable, as determined by the Investment Manager in its sole discretion from time to time. As a result, a Shareholder may receive less than the price paid for its Shares when such Shareholder redeem Shares pursuant to AUSIF’s redemption program. See Section V: “*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*” of this Annex.

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AUSIF, including redemptions in all Parallel Entities and the AUSIF Aggregator, but excluding any Early Redemption Deduction and/or any Redemption Fee applicable to the redeemed Shares) is generally limited to 5% of the aggregate NAV per calendar quarter (measured as of the last calendar day of the previous calendar quarter), except in the exceptional circumstances set out in this Annex. The foregoing limitation on redemptions is based on net redemptions (as defined below) during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this Annex.

In exceptional circumstances and not on a systematic basis, AUSIF Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in AUSIF’s best interest and the best interest of AUSIF’s investors as a whole, such as when redemptions are unable to be made in Intermediary Funds and Other Ares Funds in which AUSIF invests (including ASIF and AESIF), when redemptions of Shares would place an undue burden on AUSIF’s liquidity, adversely affect AUSIF’s operations, risk having an adverse impact on AUSIF that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to Redemption Limitation and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AUSIF’s best interest and the best interest of AUSIF’s investors.

In the event that, pursuant to the limitation above, not all of the Shares submitted for redemption during a given quarter are to be accepted for redemption by AUSIF Fund, Shares submitted for redemption during such quarter will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AUSIF if applicable). Unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date in the manner as described above in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” of this Annex. Settlements of any redemptions will generally be made by the relevant Settlement Date, i.e. within ten (10) Business Days from the relevant NAV Release Date (e.g., a Shareholder requesting a September 1st redemption would generally be expected to receive a settlement on or around October 30th of the same year), *provided* that this timing may vary depending on when redemption proceeds are actually received by the AUSIF Fund from the Intermediary Funds and/or the Other Ares Funds, as applicable. As a result, a Shareholder will experience significant delays in realizing liquidity even when its Redemption Request is accepted.

The vast majority of AUSIF’s assets are expected to consist of Investments that cannot generally be readily liquidated without impacting AUSIF’s ability to realize full value upon their disposition. Therefore, AUSIF may not always have a sufficient amount of cash to immediately satisfy Redemption Requests. As a result,

Shareholder's ability to have its Shares redeemed by AUSIF may be limited and at times a Shareholder may not be able to liquidate its investment. Please refer to Section V: "*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*" of this Annex.

Effect of Redemption Requests.

Economic events affecting the European economy could cause Shareholders to seek to sell their Shares to AUSIF pursuant to AUSIF's redemption program at a time when such events are adversely affecting the performance of AUSIF's assets. Even if the Investment Manager decides to satisfy all resulting Redemption Requests, AUSIF's cash flow could be materially adversely affected. AUSIF's ability to satisfy Redemption Requests of its Shareholders is also determined by the Intermediary Funds' abilities and the abilities of the Other Ares Funds in which AUSIF invests (including ASIF and AESIF) to also fulfil redemption requests by their own unitholders, partners or shareholders, applicable. In addition, if AUSIF determines to sell assets to satisfy Redemption Requests, it may not be able to realize the return on such assets that it may have been able to achieve had it sold at a more favorable time, and AUSIF's results of operations and financial condition, including, without limitation, breadth of its portfolio by property type and location, could be materially adversely affected.

Compulsory Redemptions.

In accordance with the Prospectus and the Articles, the Board of Directors (or its delegate) may compulsorily redeem all or any part of the Shares of any Shareholder in the circumstances set out in Section V: "*Subscriptions, Redemptions and Other Transactions*" of the Annex or if it discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person, either alone or in conjunction with any other person, whether directly or indirectly, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such compulsory redemptions will generally be subject to the same terms as voluntary redemptions of Shareholders (including the limitations imposed thereon), unless otherwise determined by the Board of Directors or its delegate in its sole discretion.

Fees Paid by Advisory Investors.

Shareholders (or their brokers on their behalf) may elect to be treated as "advisory investors" and in connection therewith, by virtue of holding Class A Shares and Class B Shares, bear a larger amount of fees than investors that are not "advisory investors" for reporting, administrative and other services provided by such advisory investor's registered investment adviser, adviser representative or other financial intermediary. Some or all of the Servicing Fee payable in respect of a Class A or Class B Shareholder's investment may be allocated to such Shareholder's financial intermediary through which such Shareholder was placed in AUSIF. Any amounts allocated in accordance with the foregoing sentence will compensate such financial intermediary for reporting, administrative and other services provided to a Shareholder by such financial intermediary. The receipt of the Servicing Fee by a Shareholder's financial intermediary will result in a conflict of interest.

Discretionary Expense Cap.

The Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AUSIF Fund and/or the AUSIF Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AUSIF Fund the AUSIF Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed. By subscribing for Shares, Shareholders will be deemed to have acknowledged and agreed that: (i) this discretionary expense cap will lower the Operating Expenses and/or Organizational and Offering Expenses burden on AUSIF for the period in time the cap is in place (resulting in a greater NAV per Share during such period than would otherwise be the case), and consequently defer expenses to later periods; (ii) they may be required to bear a portion of Organizational and Offering Expenses and/or Operating Expenses relating to periods prior to their admission into AUSIF Fund; (iii) Shareholders redeeming their Shares before the complete reimbursement of Organizational and Offering Expenses and/or Operating Expenses, will bear a lower amount of Organizational and Offering Expenses and/or Operating Expenses than would have otherwise be the case, should the discretionary cap not have been in place; and (iv) Shareholders redeeming their Shares before the Effective Date will bear no Organizational and Offering Expenses

and limited Operating Expenses (but will be subject to the Early Redemption Deduction and/or any Redemption Fee).

AUSIF has limited prior operating history.

AUSIF is a collection of recently formed special purpose entities and has limited prior operating history or track record, and will be entirely dependent on the Investment Manager, the Sub-Investment Manager and the AIFM. While the principals of the Investment Manager and the AIFM (the “**Principals**”) may have previous experience making and managing investments similar to those contemplated by AUSIF, there can be no assurance that AUSIF’s Investments will achieve results similar to those attained by previous investments of the Principals. In addition, AUSIF’s Investments may differ from previous investments made by the Principals in a number of respects, including target return levels, level of risk associated with a particular investment, amount invested in a particular company, types of companies within a particular industry sector, amount of leverage used, structure, and holding period.

All AUSIF entities may be jointly responsible for the repayment of Fund indebtedness.

To the extent permitted, AUSIF may utilize indebtedness secured by investments by AUSIF. Indebtedness secured by subscriptions may be structured in a way that the vehicles comprising AUSIF are jointly responsible on a cross-collateralized basis for the repayment of such indebtedness.

Early termination of AUSIF.

It is possible that AUSIF may be dissolved and terminated prematurely and, as a result, may not be able to accomplish its objectives and may be required to dispose of its Investments at a disadvantageous time or make an in-kind distribution (resulting in Shareholders not having their capital invested and/or deployed in the manner originally contemplated).

SFDR Categorization.

AUSIF is intended to be classified as an Article 6 financial product for the purposes of SFDR. There is legal uncertainty around the parameters applicable when categorizing a financial product under SFDR and there is no guarantee that regulators will agree with the relevant characterization. In circumstances where there is a determination that AUSIF has been characterized incorrectly, there could be a risk of investigation, enforcement proceedings and/or sanctions.

Furthermore, certain SFDR supporting and related regulations are likely to be amended in the near to medium term and new guidance may also be issued by the European Supervisory Authorities. These factors and events have the potential to increase related compliance and other costs which would be borne by AUSIF. For further information with respect to the potential risks arising from SFDR categorization, please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*”.

Further information with respect to the SFDR categorization of AUSIF can be found at Schedule 1: “Sustainability-Related Disclosures” to this Annex.

Risk Factors Relating to AUSIF’s Investments in Intermediary Funds and Other Ares Funds Generally

No Investment in Ares or the Other Ares Funds.

An investor in AUSIF is not acquiring an interest in any Other Ares Fund (including for the avoidance of doubt ASIF and AESIF) or Ares itself. The Investment Manager cannot assure investors that it will replicate Ares’ historical success, and AUSIF’s investment returns could be substantially lower than the returns achieved by the Other Ares Funds (including ASIF and AESIF).

Investment through a Limited Number of Intermediary Funds and Other Ares Funds.

AUSIF expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds (including AESIF and ASIF), which presents certain additional risks to investors. For example, AUSIF may be materially affected by the actions of a larger investor investing in such Intermediary Funds or Other Ares Funds (including AESIF and ASIF). If a larger investor

withdraws from such underlying fund, the remaining investors may experience higher pro rata operating expenses, thereby producing lower returns. An Intermediary Fund or an Other Ares Fund through which AUSIF invests may become less diverse due to a withdrawal by a larger investor, resulting in increased portfolio concentration. Creditors of an Intermediary Fund or an Other Ares Fund through which AUSIF invests may enforce claims against all assets of such underlying fund. In addition, certain conflicts of interests may exist due to different tax considerations applicable to AUSIF and the investors into such Intermediary Funds or Other Ares Funds. See also “Risk Factors Relating to AUSIF’s indirect investment in ASIF” and “Risk Factors Relating to AUSIF’s indirect investment in AESIF” below.

Investing in Other Ares Funds (including ASIF and AESIF).

AUSIF intends to directly or indirectly invest into Other Ares Funds (including ASIF and AESIF). Conflicts of interest may arise in respect of the Investment Manager’s management of AUSIF and the Investment Manager’s, or an affiliate of the Investment Manager’s, management of the relevant Other Ares Funds in which AUSIF invests, as the case may be. While the Investment Manager is required to act in the best interest of AUSIF, it will also be required to act in the best interest of the relevant Other Ares Funds as a whole, in which AUSIF is expected to be a passive, minority investor. AUSIF expects to be a passive investor in such Other Ares Funds and as such, will generally not be able to engage in their management activities. As a result, AUSIF (and therefore, indirectly the Shareholders), will be wholly reliant on the skills, judgement, methods and management of the general partner(s), manager(s), board of directors, board of trustees and/or operator(s) of the Other Ares Funds in which AUSIF directly or indirectly invests and their respective advisors, and the ability of the same to successfully implement the investment strategy and objectives for the relevant Other Ares Funds.

While the interests of investors in an Other Ares Fund in which AUSIF invests are generally expected to align, there can be no guarantees of this and investors may vote or exercise consent rights with respect to their interests in an Other Ares Fund according to their own respective interest. Shareholders should note therefore, that the exercise of votes and/or consent rights by other investors in a relevant Other Ares Fund may not necessarily align with the interests of AUSIF (and indirectly its Shareholders) as an investor in the Other Ares Fund, and as a result decisions may be made with respect to the operations and activities of the relevant Other Ares Fund in a manner disadvantageous to the interests of AUSIF (and, indirectly, its Shareholders).

Shareholders should also be aware that the terms governing AUSIF’s investment in an Other Ares Fund are not expected to be negotiated on behalf of AUSIF. Typically, investors participating in an Other Ares Fund will conduct a certain level of due diligence as well as engaging legal counsel and/or other advisors (such as tax and regulatory advisors) prior to subscribing for interests in the relevant Other Ares Fund. Given that both AUSIF and the Other Ares Funds in which it invests are expected to be managed by affiliates of the Investment Manager, and the fact that AUSIF is expected to generally be a minority investor in the Other Ares Fund, the Investment Manager does not anticipate conducting any such corresponding due diligence or engaging legal or other advisors in connection with its Investments. Instead, AUSIF will rely on the Investment Manager having knowledge of the investment strategies of the Other Ares Funds in which it invests (by virtue of the Investment Manager and/or one or more of its affiliates also acting as the manager or in a similar capacity with respect to the Other Ares Fund).

Capacity of Portfolio Funds to Raise Substantial Funds.

If the Intermediary Funds and Other Ares Funds in which AUSIF invests (including ASIF and AESIF) are unable to raise substantial funds, then such portfolio funds will be more limited in the number and type of investments they may make, their respective expenses may be higher relative to their total assets, and the value of the direct or indirect investment of AUSIF in such portfolio fund may be reduced in the event underlying assets underperform. Amounts that the portfolio fund raise may not be sufficient for us to purchase a broad portfolio of investments. To the extent that the Intermediary Funds and Other Ares Funds in which AUSIF invests (including ASIF and AESIF) are unable to raise all the capital they seek, the opportunity for such portfolio funds to purchase a broad portfolio of investments may be decreased and the returns achieved on those investments may be reduced as a result of allocating all of their expenses among a smaller capital base. If the portfolio funds are unable to raise substantial funds, they may not achieve certain economies of scale and their respective expenses may represent a larger proportion of their total assets.

Investments in Portfolio Funds Generally.

The risks associated with AUSIF’s investments into the Intermediary Funds and Other Ares Funds in which AUSIF invests (including ASIF and AESIF) are generally related to, among other things, (i) the ability of each of

such portfolio fund sponsors to select and manage successful investment opportunities; (ii) the quality of the management of each portfolio fund sponsor and each portfolio company in which the portfolio funds invest; (iii) the ability of the portfolio funds to liquidate their investments; and (iv) general economic conditions. There can be no assurance that the investments made by the Intermediary Funds and Other Ares Funds in which AUSIF invests (including ASIF and AESIF) will result in attractive rates of return to AUSIF. AUSIF will not be able to participate in the management and control of the Intermediary Funds and Other Ares Funds in which AUSIF invests (including ASIF and AESIF) nor of the portfolio companies in which they have invested. Consequently, AUSIF will not be able to control the amount or timing of distributions from such portfolio fund, which may affect Shareholders' returns.

In addition, the returns of AUSIF's investments in the Intermediary Funds and Other Ares Funds in which AUSIF invests (including ASIF and AESIF) will depend largely on the performance of their respective managers, operators and/or advisers (as applicable) and could be substantially adversely affected by the unfavourable performance and/or practices and policies of such managers, operators and/or advisers (as applicable). The performance of a manager, operator and/or adviser (as applicable) may also rely on the services of a limited number of key individuals, the loss of whom could significantly adversely affect such manager's, operator's and/or adviser's (as applicable) performance.

Such managers, operators and/or advisers (as applicable) may enter into new lines of business not anticipated by AUSIF at the time AUSIF invests in the Intermediary Funds or Other Ares Funds in which AUSIF invests (including ASIF and AESIF). The managers, operators and/or advisers (as applicable) of the Intermediary Funds or such Other Ares Funds in which AUSIF invests (including ASIF and AESIF), may also have the ability to change their investment objectives and strategies and economic and other terms after AUSIF has made its investments and such change in the investment objectives and strategies may be different from the objectives expected at the relevant time by the Investment Manager. AUSIF would likely not have the ability to prevent such managers, operators and/or advisers (as applicable) from taking such action and these decisions may negatively impact the performance of AUSIF.

Reliance on Reporting from Portfolio Funds and Underlying Issuers.

AUSIF's ability to deliver accurate and timely reports to its investors, is dependent upon the accuracy and timeliness of the reports received from the Intermediary Funds, the Other Ares Funds in which AUSIF invests (including ASIF and AESIF) and their respective managers, as well as from Underlying Issuers. The position of investors in AUSIF may depend on the amount of information AUSIF receives from the Intermediary Funds, such Other Ares Funds in which AUSIF invests (including ASIF and AESIF) and Underlying Issuers. If AUSIF does not have the right to access particular information, investors' positions, including their tax position, may be prejudiced. The managers of the Intermediary Funds and such Other Ares Funds in which AUSIF invests may utilize divergent reporting standards that may make it difficult for Ares to accurately assess the prior performance of the Intermediary Funds and such Other Ares Funds in which AUSIF invests. In addition, such reporting variances may affect the ability of Ares to accurately value and monitor underlying investments.

Risk Factors Relating to AUSIF's indirect investment in ASIF

AUSIF's Investment through Intermediary Funds.

AUSIF expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds (including ASIF and AESIF) but will not invest directly or indirectly more than 80% of its gross assets in any one Other Ares Fund (including ASIF and AESIF).

In addition, (i) AUSIF will generally seek to own less than 60% of the outstanding shares of any Intermediary Funds that invest into ASIF (the "**Threshold**"); and (ii) any Intermediary Funds investing into ASIF will generally seek to own less than 25% of the outstanding shares of ASIF at any time where ownership of such Intermediary Fund by AUSIF exceeds the Threshold. If both guide limits set out in (i) and (ii) above are exceeded, on either an individual or aggregate basis, AUSIF will not request the redemption of more than 5% of the outstanding shares in the relevant Intermediary Fund(s) in any calendar quarter. Further, to the extent that AUSIF indirectly owns through Intermediary Fund(s) more than 5% of the shares of ASIF, AUSIF will only be able to send redemption requests to the relevant Intermediary Fund(s) (i) if such redemption requests are to satisfy Redemption Requests received by AUSIF in respect of its Shareholders; or (ii) as required by applicable law or regulation.

The Threshold and the other limitations and thresholds set out in the preceding paragraph may limit the ability of AUSIF to subscribe for, or redeem shares in an Intermediary Fund, which, in turn, may limit the ability of

Shareholders and/or potential investors in AUSIF to subscribe for, or redeem Shares. In addition, AUSIF may be limited in its ability to obtain exposure to ASIF and, therefore, may need to make other investments.

AUSIF's Indirect Investment in ASIF and BDCs Generally.

ASIF has elected to be regulated as a BDC under the Investment Company Act and has elected to be treated as a regulated investment company (“**RIC**”) under the U.S. Internal Revenue Code of 1986, as amended (the “**Code**”). As with other companies regulated by the Investment Company Act, a BDC must adhere to certain substantive regulatory requirements. The Investment Company Act contains prohibitions and restrictions relating to certain transactions between BDCs and certain affiliates (including any investment advisers or sub-advisers), principal underwriters and certain affiliates of those affiliates or underwriters. Among other things, ASIF (and indirectly AUSIF through its investments in Intermediary Funds) generally cannot co-invest in any portfolio company in which a fund managed by Ares or any of its downstream affiliates (other than ASIF and its downstream affiliates) is also co-investing. However, ASIF, its investment adviser and certain of its affiliates have received an exemptive relief order from the U.S. Securities and Exchange Commission (the “**SEC**”) that permits them and other BDCs and registered closed-end management investment companies managed by Ares and its affiliates to co-invest in portfolio companies with each other and with other affiliated entities (the “**Co-Investment Exemptive Order**”).

As required by the Co-Investment Exemptive Order, ASIF has adopted, and its board of trustees has approved, policies and procedures reasonably designed to ensure compliance with the terms of the Co-Investment Exemptive Order. Co-investments made under the Co-Investment Exemptive Order are subject to compliance with certain conditions and other requirements, which could limit ASIF's (and indirectly AUSIF's through its investments in Intermediary Funds) ability to participate in co-investment transactions. As a result of investments permitted by the Co-Investment Exemptive Order, there could be significant overlap in ASIF's investment portfolio (and indirectly AUSIF through its investments in Intermediary Funds) and the investment portfolios of affiliated Ares entities that can rely on the Co-Investment Exemptive Order and that have an investment objective similar to ASIF's. ASIF (and indirectly AUSIF through its investments in Intermediary Funds) may also otherwise co-invest with funds managed by Ares or any of its downstream affiliates, subject to compliance with existing regulatory guidance, applicable regulations and ASIF's investment adviser's allocation policy.

The Investment Company Act contains certain restrictions on certain types of investments ASIF (and indirectly AUSIF through its investments in Intermediary Funds) may make. Specifically, ASIF may only invest up to 30% of its portfolio in entities that are not considered “eligible portfolio companies” (as defined in the Investment Company Act), including companies located outside of the U.S., entities that are operating pursuant to certain exceptions under the Investment Company Act, and publicly traded entities whose public equity market capitalization exceeds the levels provided for under the Investment Company Act. The Investment Company Act also requires that a majority of ASIF's trustees be persons other than “interested persons” of ASIF and Ares as that term is defined in Section 2(a)(19) of the Investment Company Act. In addition, the Investment Company Act provides that ASIF may not change the nature of its business so as to cease to be, or to withdraw its election as, a BDC unless that change is approved by holders of at least a majority of its outstanding voting securities.

Under the Investment Company Act, the vote of holders of at least a “majority of outstanding voting securities” means the vote of the holders of the lesser of: (a) 67% or more of the outstanding common shares in the BDC present at a meeting or represented by proxy if holders of more than 50% of the common shares are present or represented by proxy; or (b) more than 50% of the outstanding common shares in the BDC. Under the Investment Company Act, ASIF is not generally able to issue and sell common shares at a price below net asset value per share. ASIF may, however, sell its common shares, or warrants, options or rights to acquire its common shares, at a price below the current net asset value per share of its common shares if ASIF complies with the provisions of Section 63(2) of the Investment Company Act, including the requirements that ASIF's board of trustees determine that such sale is in ASIF's best interests and the best interests of its common shareholders and ASIF's common shareholders approve such sale.

ASIF may invest up to 100% of its assets in securities acquired directly from issuers in privately negotiated transactions. ASIF's intention is to not write (sell) or buy put or call options to manage risks associated with the publicly traded securities of its portfolio companies. ASIF may enter into hedging transactions to manage the risks associated with interest rate and currency fluctuations. ASIF may purchase or otherwise receive warrants or options to purchase the common stock of its portfolio companies in connection with acquisition financings or other investments. In connection with such an acquisition, ASIF may acquire rights to require the issuers of acquired securities or their affiliates to repurchase them under certain circumstances. ASIF also does not intend to acquire securities issued by any investment company that exceed the limits imposed by the Investment Company Act. Under these limits, ASIF generally cannot acquire more than 3% of the voting stock of any investment company (as defined in the Investment Company Act), invest more than 5% of the value of its total

assets in the securities of one investment company or invest more than 10% of the value of its total assets in the securities of investment companies in the aggregate unless certain conditions are met. With regard to that portion of ASIF's portfolio invested in securities issued by investment companies, it should be noted that such investments might subject ASIF's common shareholders (including the Intermediary Funds through which AUSIF indirectly invests into ASIF) to additional expenses.

In accordance with the Investment Company Act, a BDC generally is allowed to borrow amounts such that its asset coverage, calculated pursuant to the Investment Company Act, is at least 150% (or 200% if certain requirements under the Investment Company Act are not met) immediately after such borrowing. As such, ASIF is currently allowed to borrow amounts or issue debt securities or preferred stock (referred to as "senior securities") such that ASIF's asset coverage, as calculated pursuant to the Investment Company Act, equals at least 150% immediately after such borrowing (i.e., ASIF is able to borrow up to two dollars for every dollar it has in assets less all liabilities and indebtedness not represented by senior securities issued by ASIF). ASIF's sole initial shareholder approved a proposal that allowed ASIF to reduce its asset coverage ratio applicable to senior securities from 200% to 150%.

A BDC must have been organized and have its principal place of business in the U.S. and must be operated for the purpose of making investments in the types of securities described in (1), (2) or (3) below. Thus, under the Investment Company Act, a BDC may not acquire any asset other than assets of the type listed in Section 55(a) of the Investment Company Act, which are referred to as "qualifying assets", unless, at the time the acquisition is made, qualifying assets represent at least 70% of the BDC's total assets. The principal categories of qualifying assets relevant to ASIF's business are the following:

- (1) Securities purchased in transactions not involving any public offering from the issuer of such securities, which issuer (subject to certain limited exceptions):
 - (a) is an eligible portfolio company, or from any person who is, or has been during the preceding 13 months, an affiliated person of an eligible portfolio company, or from any other person, subject to such rules as may be prescribed by the SEC. An eligible portfolio company is defined in the Investment Company Act as any issuer that:
 - (i) is organized under the laws of, and has its principal place of business in, the United States;
 - (ii) is not an investment company (other than a small business investment company wholly owned by the BDC) or a company that would be an investment company but for certain exclusions under the Investment Company Act; and
 - (iii) does not have any class of securities listed on a national securities exchange;
 - (b) is a company that meets the requirements of (a)(i) and (ii) above, but is not an eligible portfolio company because it has issued a class of securities on a national securities exchange, if:
 - (i) at the time of the purchase, the BDC owns at least 50% of the (x) greatest number of equity securities of such issuer and securities convertible into or exchangeable for such securities; and (y) the greatest amount of debt securities of such issuer, held by the BDC at any point in time during the period when such issuer was an eligible portfolio company; and
 - (ii) the BDC is one of the 20 largest holders of record of such issuer's outstanding voting securities; or
 - (c) is a company that meets the requirements of (a)(i) and (ii) above, but is not an eligible portfolio company because it has issued a class of securities on a national securities exchange, if the aggregate market value of such company's outstanding voting and non-voting common equity is less than \$250 million.
- (2) Securities of any eligible portfolio company that the BDC controls.
- (3) Securities purchased in a private transaction from a U.S. issuer that is not an investment company or from an affiliated person of the issuer, or in transactions incident thereto, if the issuer is in bankruptcy and subject to reorganization or if the issuer, immediately prior to the purchase of its securities, was unable to meet its obligations as they came due without material assistance other than conventional lending or financing arrangements.

- (4) Securities of an eligible portfolio company purchased from any person in a private transaction if there is no ready market for such securities and the BDC already owns 60% of the outstanding equity of the eligible portfolio company.
- (5) Securities received in exchange for or distributed on or with respect to securities described in (1) through (4) above, or pursuant to the exercise of warrants or rights relating to such securities.
- (6) Cash, cash items, U.S. government securities or high-quality debt securities maturing in one year or less from the time of investment.

Risk Factors Relating to AUSIF's indirect investment in AESIF

Diversification Risk.

AESIF is subject to restrictions on the size of investments such that it will not at any one time directly or indirectly, through the AESIF aggregator, invest and hold more than 20% of its NAV in any single investment as measured at the time of acquisition; *provided* that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the investment manager of AESIF under the oversight of the AIFM. No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the investment manager of AESIF shall take reasonable steps to bring AESIF Fund within this 20% diversification requirement, except where the investment manager of AESIF reasonably believes doing so would be prejudicial to the interests of AESIF or any of its underlying investors (including AUSIF). For the purpose of the foregoing limitations, the amount invested in any investment will be net of indebtedness and take into account the allocated or expected indebtedness that the investment manager of AESIF deems related to the Investment being acquired, whether incurred specifically at the Investment level or allocated from other vehicle indebtedness. This 20% diversification requirement will not apply during a ramp-up period of up to four (4) years after the initial subscription is received.

Accordingly, AESIF may participate in a limited number of investments and, as a consequence, the aggregate return of AESIF may be substantially adversely affected by the unfavorable performance of even a single investment. In addition, other than as set forth in the AESIF Annex, investors have no assurance as to the degree of diversification of AESIF Investments, either by geographic area, asset type or sector. To the extent AESIF concentrates Investments in a particular issuer, asset type, industry, security or geographic area, its Investments will become more susceptible to fluctuations in value resulting from adverse economic, political, regulatory, technological, industry and/or business conditions with respect thereto. These risks may be further pronounced where an investment is secured by a relatively small or less diverse pool of underlying assets. Certain geographic areas and/or industries may be more adversely affected by economic pressures when compared to other geographic areas and/or industries. As a consequence, the aggregate return of AESIF may be adversely affected by the unfavorable performance of one or a small number of Investments, or unfavorable developments in one or a small number of countries or industries. Moreover, there are no assurances that any or all of AESIF's Investments will perform well or avoid loss, and if certain investments perform unfavorably, for AESIF to achieve above-average returns, one or a few of its Investments must perform very well. There are no assurances that this will be the case.

Since AESIF invests primarily in the credit markets, its portfolio may not be as diversified as other investment vehicles. Accordingly, AESIF's Investments may be subject to more rapid change in value than would be the case if AESIF were required to maintain a wide diversification among types of securities, geographical areas, issuers and/or industries. Any such non-diversification will increase the risk of loss to AESIF if there were to be a decline in the market value of any security or sector in which AESIF had invested a large percentage of its assets. Investment in a non-diversified fund will generally entail greater risks than investments in a diversified fund.

There can be no assurance that AESIF's sponsor will be successful in identifying investment opportunities. Although AESIF may invest in Other Ares Funds, the investment portfolio of such Other Ares Funds may differ materially in terms of levels of sectoral and geographic diversification from the current investment strategy of AESIF.

Risks Associated with the Euro.

The functioning of the Euro as a single currency across the diverse economies comprising the Eurozone has sustained considerable pressure as the result of the global financial crisis and other subsequent macroeconomic

events. The situation, particularly in those countries where sovereign default is perceived to be most likely, may continue to deteriorate. It is therefore possible that the Euro may cease to be the national currency of some or even all of the countries comprising the Eurozone. If this were to occur, fluctuations in currency exchange rates of the new local currencies may cause borrowers in such countries to find it more difficult to meet their Euro repayment obligations and investors in such countries may find that the cost of meeting their commitment to AESIF increases by virtue of a comparatively valuable Euro. These events are unprecedented and it is difficult to predict with any certainty the consequences of such events on AESIF and its Investments.

Deployment of Capital.

In light of the nature of AESIF's continuous offering in relation to AESIF's investment strategy and the need to be able to deploy potentially large amounts of capital quickly to capitalize on potential investment opportunities, if AESIF has difficulty identifying and purchasing suitable investments on attractive terms, there could be a delay between the time it receives net proceeds from the sale of shares in AESIF in any private offering and the time AESIF invests the net proceeds. AESIF may also from time to time hold cash pending deployment into Investments or have less than its targeted leverage, which cash or shortfall in target leverage may at times be significant, particularly at times when AESIF is receiving high amounts of offering proceeds and/or times when there are few attractive investment opportunities. Such cash may be held in an account for the benefit of Shareholders that may be invested in money market accounts or other similar temporary investments, each of which are subject to management fees at the level of AESIF.

In the event AESIF is unable to find suitable investments such cash may be maintained for longer periods which would be dilutive to overall investment returns. This could cause a substantial delay in the time it takes for AUSIF's investment in AESIF to realize its full potential return and could adversely affect AESIF's ability to pay regular distributions of cash flow from operations to AUSIF. It is not anticipated that the temporary investment of such cash into money market accounts or other similar temporary investments pending deployment into investments will generate significant interest, and AESIF's shareholders should understand that such low interest payments on the temporarily invested cash may adversely affect overall returns. In the event AESIF fails to timely invest the net proceeds of sales of shares in AESIF or does not deploy sufficient capital to meet its targeted leverage, AESIF's results of operations and financial condition may be adversely affected.

Sourcing and Payment of Distributions.

AESIF has not established a minimum distribution payment level, and AESIF's ability to make distributions to its shareholders may be adversely affected by a number of factors, including the risk factors described in the Prospectus or the AESIF Annex. AESIF has a limited track record and may not generate sufficient income to make distributions to AESIF's shareholders. The Board of Directors or its delegate will make determinations regarding distributions based upon, among other factors, AESIF's financial performance, debt service obligations, debt covenants, tax requirements and capital expenditure requirements. Among the factors that could impair AESIF's ability to make distributions to its shareholders are:

- AESIF's inability to invest the proceeds from sales of shares in AESIF on a timely basis;
- AESIF's inability to realize attractive risk-adjusted returns on AESIF's Investments;
- high levels of expenses or reduced revenues that reduce AESIF's cash flow or non-cash earnings; and
- defaults in AESIF's investment portfolio or decreases in the value of AESIF's Investments.

As a result, AESIF may not be able to make distributions to its shareholders at any time in the future, and the level of any distributions AESIF does make to its shareholders may not increase or even be maintained over time, any of which could materially and adversely affect the value of AUSIF's investment in AESIF.

AESIF may not generate sufficient cash flow from operations to fully fund distributions to shareholders in AESIF, particularly during the early stages of AESIF's operations. Therefore, AESIF may fund distributions to AESIF's shareholders from sources other than cash flow from operations, including, without limitation, the sale of assets, borrowings, return of capital or offering proceeds (including from sales from shares in AESIF or units in the AESIF aggregator). The extent to which AESIF pays distributions from sources other than cash flow from operations will depend on various factors, including the level of participation in AESIF's Accumulation Sub-Classes, the extent to which the AESIF investment manager elects to receive its management fee and performance participation allocation in shares in AESIF or units of the AESIF aggregator and the performance participation allocation recipient elects to receive distributions on its performance participation allocation in units of the AESIF aggregator, how quickly AESIF invests the proceeds from this and any future offering and the performance of

AESIF's Investments. Funding distributions from the sales of assets, borrowings, return of capital or proceeds of the offering will result in AESIF having less funds available to acquire investments. As a result, the return AUSIF realizes on its investment in AESIF may be reduced. Doing so may also negatively impact AESIF's ability to generate cash flows. Likewise, funding distributions from the sale of additional securities will dilute AUSIF's interest in AESIF on a percentage basis and may impact the value of AUSIF's Investment especially if AESIF sells these securities at prices less than the price AUSIF paid for the shares AESIF. AESIF may be required to continue to fund AESIF's regular distributions from a combination of some of these sources if AESIF's Investments fail to perform, if expenses are greater than AESIF's revenues or due to numerous other factors. AESIF has not established a limit on the amount of its distributions that may be paid from any of these sources.

To the extent AESIF borrows funds to pay distributions, it would incur borrowing costs and these borrowings would require a future repayment. The use of these sources for distributions and the ultimate repayment of any liabilities incurred could adversely impact AESIF's ability to pay distributions in future periods, decrease AESIF's NAV, decrease the amount of cash AESIF has available for operations and new investments and adversely impact the value of AUSIF investment.

AESIF may also defer operating expenses or pay expenses (including the fees of the investment manager or distributions to the performance participation allocation recipient) with shares in AESIF or units of the AESIF aggregator in order to preserve cash flow for the payment of distributions. The ultimate repayment of these deferred expenses could adversely affect AESIF's operations and reduce the future return on AUSIF's Investment in AESIF. AESIF may redeem its shares or redeem units of the AESIF aggregator from the investment manager or the recipient shortly after issuing such units or shares in AESIF as compensation. The payment of expenses in shares in AESIF or with units of the AESIF aggregator will dilute AUSIF's ownership interest in AESIF's portfolio of assets. There is no guarantee any of AESIF's operating expenses will be deferred and the AESIF investment manager and the performance participation allocation recipient are under no obligation to receive future fees or distributions in shares in AESIF, units of the AESIF aggregator and may elect to receive such amounts in cash.

In-Kind Remuneration to the AESIF Investment Manager and/or AESIF Performance Participation Allocation Recipient.

The AESIF investment manager or the performance participation allocation recipient may choose to receive shares in AESIF or units of the AESIF aggregator *in lieu* of certain fees or distributions. The holders of all units of the AESIF aggregator are entitled to receive cash from operations pro rata with the distributions being paid to AESIF and such distributions to the holder of units of the AESIF aggregator will reduce the cash available for distribution to AESIF and to its shareholders. Furthermore, under certain circumstances units of the AESIF aggregator held by the AESIF investment manager or the performance participation allocation recipient are required to be redeemed, in cash at the holder's election, and there may not be sufficient cash to make such a redemption payment; therefore, AESIF may need to use cash from operations, borrowings, offering proceeds or other sources to make the payment, which will reduce cash available for distribution to AUSIF or for its investment in AESIF's operations. Redemptions of shares in AESIF or AESIF aggregator units from the AESIF investment manager or alternative investment fund manager, as applicable, paid to the AESIF investment manager or the alternative investment fund manager, as applicable, as a management fee are not subject to the monthly and quarterly volume limitations, any early redemption deduction or any redemption fee, and such sales receive priority over other AESIF shares being put for redemption during such period. Redemptions of shares in AESIF or AESIF aggregator units from the performance participation allocation recipient distributed to the performance participation allocation recipient with respect to its performance participation allocation are not subject to any early redemption deduction or any redemption fee, but, in the case of shares, such redemptions are subject to the monthly and quarterly volume limitations and do not receive priority over other shares in AESIF being put for redemption during such period.

Reinvestment of Distributions.

AESIF shareholders (including AUSIF) that subscribe for Accumulation Sub-Class Shares in AESIF, will, *in lieu* of receiving cash distributions, have any such amounts reinvested in such class by way of capitalizing such amounts into the NAV of the then existing AESIF shares of such class. If such amounts are reinvested, such AESIF shareholders will remain exposed to risks associated with such investments.

No Right to Control AESIF.

AESIF's sponsor will have exclusive responsibility for AESIF's activities, and, other than as set forth herein and in the Articles, AESIF shareholders (including AUSIF) will not be able to make investments or any other decisions concerning the management of AESIF. AESIF shareholders have no rights or powers to take part in the

management of AESIF or make investment decisions and will not generally receive the amount of any portfolio entity's financial information that is generally available to the AIFM. The AIFM will generally have sole and absolute discretion in structuring, negotiating and purchasing, financing and eventually divesting investments on behalf of AESIF (subject to specified exceptions). Accordingly, no person should purchase a share in AESIF unless such person is willing to entrust all aspects of the management of AESIF to the AIFM.

Lack of Liquidity.

There is no current public trading market for the AESIF shares, and AESIF's sponsor does not expect that such a market will ever develop. Therefore, redemption of shares by AESIF will likely be the only way for AUSIF to dispose of its shares in AESIF. AESIF expects to redeem shares at a price equal to the applicable NAV as of the redemption date and not based on the price at which AUSIF initially purchased its shares in AESIF. Subject to limited exceptions, shares of certain AESIF share classes that are redeemed within eighteen (18) months of the date of issuance will be redeemed at 95% of the applicable NAV as of the redemption. Redemptions of AESIF's class D shares and AESIF class E shares may be subject to a redemption fee of 5% of the NAV of the AESIF shares being redeemed if such redemption occurs within the first eighteen (18) months of the relevant shareholder's initial subscription to such class D shares or class E shares, as applicable, as determined by the AESIF investment manager in its sole discretion from time to time. As a result, AUSIF may receive less than the price paid for its AESIF shares when AUSIF sell them to AESIF pursuant to AESIF's redemption program.

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AESIF, including redemptions in all AESIF's parallel entities and the AESIF aggregator but excluding any early redemption deduction or any redemption fee applicable to the redeemed AESIF shares) is generally limited to 2% of aggregate NAV per calendar month of all AESIF's parallel entities and the AESIF aggregator (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter) and 5% of such aggregate NAV per calendar quarter (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter), except in certain exceptional circumstances. In any given calendar quarter, excess redemption capacity under the 2% monthly limitation described in the foregoing will be rolled into the subsequent month of such calendar quarter and be available for further redemptions in such calendar quarter only.

In exceptional circumstances and not on a systematic basis, AESIF may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods) if in the AESIF investment manager's reasonable judgment it deems such action to be in AESIF's best interest and the best interest of AESIF's investors, such as when redemptions of shares in AESIF would place an undue burden on AESIF's liquidity, adversely affect AESIF's operations, risk having an adverse impact on AESIF that would outweigh the benefit of redemptions of shares in AESIF or as a result of legal or regulatory changes. Material modifications intended to reduce available liquidity, including any reduction to the 2% monthly or 5% quarterly limitations on redemptions and suspensions of the redemption program, will be promptly disclosed to the AESIF's shareholders (including AUSIF). If the redemption program is suspended, the AESIF investment manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AESIF's best interest and the best interest of AESIF's investors.

In the event that, pursuant to the limitation above, not all of the shares in AESIF submitted for redemption during a given month are to be accepted for redemption by AESIF, shares in AESIF submitted for redemption during such month will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AESIF if applicable). Unsatisfied redemption requests received by AESIF will be automatically resubmitted for the next available AESIF redemption date. Settlements of any redemptions will generally be made within 60 calendar days from the AESIF redemption date. As a result AUSIF will experience significant delays in realizing liquidity even when its redemption request is accepted by AESIF.

The vast majority of AESIF's assets are expected to consist of investments that cannot generally be readily liquidated without impacting AESIF's ability to realize full value upon their disposition. Therefore, AESIF may not always have a sufficient amount of cash to immediately satisfy its redemption requests. As a result, AUSIF's ability to have its shares in AESIF redeemed by AESIF may be limited and at times AUSIF may not be able to liquidate its investment in AESIF.

Effect of Redemption Requests.

Economic events affecting the European economy could cause AESIF shareholders to seek to sell their shares in AESIF to AESIF pursuant to AESIF's redemption program at a time when such events are adversely affecting the performance of AESIF's assets. Even if the AESIF investment manager decides to satisfy all resulting redemption requests, AESIF's cash flow could be materially adversely affected. In addition, if AESIF determines to sell assets to satisfy its redemption requests, it may not be able to realize the return on such assets that it may have been able

to achieve had it sold at a more favorable time, and AESIF's results of operations and financial condition, including, without limitation, breadth of its portfolio by property type and location, could be materially adversely affected.

Mandatory Withdrawal.

The AESIF investment manager may require the withdrawal of all or any part of its shares of any shareholder (including AUSIF) from AESIF at any time and for any reason, regardless of any outstanding withdrawal requests and any priority given thereto. Any such mandatory withdrawals will generally be subject to the same terms as voluntary withdrawals of AESIF shareholders (including the limitations imposed thereon), unless otherwise determined by the AESIF investment manager in its sole discretion.

Fees Paid by Advisory Investors.

AESIF shareholders (or their brokers on their behalf) may elect to be treated as "advisory investors" and in connection therewith, by virtue of holding AESIF class A shares, AESIF class A-Italy shares and AESIF class B shares, bear a larger amount of fees than investors that are not "advisory investors" for reporting, administrative and other services provided by such advisory investor's registered investment adviser, adviser representative or other financial intermediary. Some or all of the Servicing Fee payable in respect of an AESIF class A, class A-Italy or a class B shareholder's investment may be allocated to such AESIF shareholder's financial intermediary through which such shareholder was placed in AESIF. Any amounts allocated in accordance with the foregoing sentence will compensate such financial intermediary for reporting, administrative and other services provided to an AESIF shareholder by such financial intermediary. The receipt of the Servicing Fee by a shareholder's financial intermediary will result in a conflict of interest.

Discretionary Expense Cap.

The AESIF investment manager may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AESIF in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the AESIF investment manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AESIF and any applicable AESIF parallel entities (as applicable and as determined by the AESIF investment manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the AESIF investment manager) following the date such cap is removed. By subscribing for AESIF shares, shareholders in AESIF (including AUSIF) will be deemed to have acknowledged and agreed that: (i) this discretionary expense cap will lower the Operating Expenses and/or Organizational and Offering Expenses burden on AESIF for the period in time the cap is in place (resulting in a greater NAV per AESIF share during such period than would otherwise be the case), and consequently defer expenses to later periods; (ii) they may be required to bear a portion of Organizational and Offering Expenses and/or Operating Expenses relating to periods prior to their admission into AESIF; (iii) AESIF shareholders redeeming their AESIF shares before the complete reimbursement of Organizational and Offering Expenses and/or Operating Expenses, will bear a lower amount of Organizational and Offering Expenses and/or Operating Expenses than would have otherwise be the case, should the discretionary cap not have been in place; and (iv) Shareholders redeeming their AESIF Shares before the AESIF Effective Date will bear no Organizational and Offering Expenses and limited Operating Expenses (but will be subject to any early redemption deduction and/or any redemption fee).

AESIF has limited prior operating history.

AESIF is a collection of recently formed special purpose entities and has limited prior operating history or track record, and will be entirely dependent on the AESIF investment manager and the AIFM. While the principals of the AESIF investment manager and the AIFM (for the purpose of this paragraph, the "**Principals**") may have previous experience making and managing investments similar to those contemplated by AESIF, there can be no assurance that AESIF's Investments will achieve results similar to those attained by previous investments of the Principals. In addition, AESIF's Investments may differ from previous investments made by the Principals in a number of respects, including target return levels, level of risk associated with a particular investment, amount invested in a particular company, types of companies within a particular industry sector, amount of leverage used, structure, and holding period.

All AESIF entities may be jointly responsible for the repayment of fund indebtedness.

To the extent permitted, AESIF may utilize indebtedness secured by investments by AESIF. Indebtedness secured by subscriptions may be structured in a way that the vehicles comprising AESIF are jointly responsible on a cross-collateralized basis for the repayment of such indebtedness.

Early termination of AESIF.

It is possible that AESIF may be dissolved and terminated prematurely and, as a result, may not be able to accomplish its objectives and may be required to dispose of its Investments at a disadvantageous time or make an in-kind distribution (resulting in shareholders in AESIF not having their capital invested and/or deployed in the manner originally contemplated).

SFDR Categorization.

AESIF is intended to be classified as an Article 8 financial product for the purposes of SFDR. There is legal uncertainty around the parameters applicable when categorizing a financial product under SFDR and there is no guarantee that regulators will agree with the relevant characterization. In circumstances where there is a determination that AESIF has been characterized incorrectly, there could be a risk of investigation, enforcement proceedings and/or sanctions.

Furthermore, certain aspects of the reporting requirements applicable to Article 8 financial products are currently uncertain and market practice is yet to evolve. Certain SFDR supporting and related regulations are likely to be amended in the near to medium term and new guidance may also be issued by the European Supervisory Authorities. These factors and events have the potential to increase related compliance and other costs which would be borne by AESIF.

Risk Factors Relating to AUSIF's Underlying Assets

Nature of AUSIF's Investments.

Whilst AUSIF is being formed principally to directly or indirectly self-originate private loans to underlying issuers, it may also capitalize on investments in syndicated loans, high-yield bonds, CLOs, and to a more limited extent, CMBS and rated private ABS. Such securities and instruments may be below "investment grade" or non-rated and may face ongoing uncertainties and exposure to adverse business, financial or economic conditions which could lead to the obligor's inability to meet timely interest and principal payments. AUSIF may lose a substantial portion or all of its Investment in a distressed environment or may be required to accept cash or securities with a value less than AUSIF's Investment. Among the risks inherent in investments (direct or indirect) in entities experiencing significant financial or business difficulties is the fact that it frequently may be difficult to obtain information as to the true condition of such issuers. Such investments also may be adversely affected by state and federal laws relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the bankruptcy court's discretionary power to disallow, subordinate or disenfranchise particular claims. The market prices of such instruments are also subject to abrupt and erratic market movements and above-average price volatility, and the spread between the bid and asked prices of such instruments may be greater than normally expected due to a variety of factors that are inherently difficult to predict, such as domestic or international economic and political developments, which may significantly affect the results of AUSIF's activities. While such investments offer the opportunity for significant capital gains, they also involve a high degree of risk that may result in substantial losses. There can be no assurance that the Investment Manager will correctly evaluate the nature and magnitude of the various factors that could affect the value of AUSIF's Investments. As a result, AUSIF's performance over a particular period may not be indicative of the results that may be expected in future periods.

Reliance on Underlying Issuers' Management.

AUSIF may be significantly reliant on the existing management and board of directors of the entities in which it invests, which may include representation of other financial investors with whom AUSIF is not affiliated and whose interests may conflict with the interests of AUSIF. In addition, to the extent AUSIF acquires mezzanine obligations (which are typically junior to the obligations of a borrower to senior creditors, senior secured creditors and trade creditors), the ability of AUSIF to use its position as a holder of mezzanine debt to influence a borrower's affairs, especially during periods of financial distress or following an insolvency, will be substantially less than that of senior creditors and senior secured creditors.

Portfolio Risk Factors.

It is expected that a portion of the underlying investments will be rated below investment grade, and will have greater credit and liquidity risk than debt with an investment grade rating. The risks of debt instruments include (among others): (a) limited liquidity and secondary market support, (b) the possibility that earnings of the relevant obligor may be insufficient to meet its debt service, (c) the declining creditworthiness and potential for (or actual) insolvency of the relevant obligor of such debt during periods of economic downturn, (d) that the relevant obligor is often a small or mid-size company serving only local or regional interests, (e) spread compression over the reference interest rate available for reinvestment during any period in which prepayments are received and (f) if subordinated, subordination to the prior claims of other debt or senior lenders. Debt instruments are generally subject to market value volatility that may not be apparent from historical volatility studies and that could be significant at times. An economic downturn could severely disrupt the market for debt instruments and adversely affect the value of outstanding debt and the ability of the borrowers thereof to repay principal and interest. Moreover, the default history for debt instruments is limited, actual defaults may be greater than indicated by historical data and the timing of defaults may vary significantly from historical observations.

In certain circumstances, the collateral securing a debt instrument, if any, might not be sufficient to satisfy the relevant obligor's obligations in the event of non-payment of scheduled interest or principal, and may be difficult to liquidate on a timely basis. Additionally, a decline in the value of the collateral could cause the debt to become substantially unsecured, and circumstances could arise (such as in the bankruptcy of a borrower) which could cause the security interest in the debt instrument's collateral to be invalidated.

The portfolio may also include unsecured debt instruments. Unsecured debt instruments are subject to the same investment risks generally applicable to debt instruments described above but are subject to additional risk that the assets and cash flow of the relevant obligor may be insufficient to repay the scheduled payments to the lender after giving effect to any secured obligations of the relevant obligor. Unsecured debt instruments will be subject to certain additional risks to the extent that such debt may not be protected and such debt is not secured by collateral, financial covenants or limitations upon additional indebtedness. Unsecured debt instruments are also expected to be more illiquid than senior secured debt instruments for this reason.

General market and credit and interest rate risks that affect debt instruments generally.

Debt instruments are subject to general market and credit and interest rate risks. Credit risk refers to the likelihood that an obligor will default on the payment of principal, interest or other amounts owed on an instrument. Certain investments may have an interest-only payment schedule with the principal amount remaining outstanding and at risk until the maturity of the investment. Financial strength and solvency of an obligor are the primary factors influencing credit risk, but other factors, including, but not limited to, an obligor's failure to meet its business plan, a downturn in its industry or negative economic conditions may also contribute to credit risk. In addition, lack of, inadequacy of, or a deterioration in value of, collateral or other assets expected to be the source of repayment or credit enhancement for a debt instrument may affect its credit risk. Although AUSIF will seek to be, directly or indirectly, the senior, secured lender to an obligor in most instances, some of AUSIF's direct or indirect loans and other direct or indirect investments in an obligor (including potential equity investments) may be subordinated to a senior lender, and AUSIF's interest in any collateral would, accordingly, likely be subordinate to another lender's security interest. Credit risk may change over the life of an instrument and debt instruments that are rated by rating agencies are subject to downgrade at a later date. There can be no assurance that the AIFM will be successful in assessing the credit risk of the different portfolio investments or mitigating the impact of credit risk changes on AUSIF.

Interest rate risk refers to the risks associated with market changes in interest rates. Interest rate changes may affect the value of a debt instrument indirectly (especially in the case of fixed rate obligations) or directly (especially in the case of instruments whose rates are adjustable). In general, rising interest rates will negatively affect the price of a fixed rate debt instrument and falling interest rates will have a positive effect on the price of a fixed rate debt instrument. Adjustable rate instruments also react to interest rate changes in a similar manner although generally to a lesser degree (depending, however, on the characteristics of the reset terms, including the index chosen, frequency of reset and reset caps or floors, among other factors). Interest rate sensitivity is generally more pronounced and less predictable in instruments with uncertain payment or prepayment schedules. In addition, interest rate increases generally will increase the interest carrying cost to AUSIF of direct or indirect borrowed securities.

Volatility of leveraged loan and credit markets.

Significant risks for AUSIF and the Shareholders exist as a result of the potential for disruptions in the credit markets and uncertain economic conditions. These risks include, among others, (i) the likelihood that AUSIF may find it more difficult to sell, directly or indirectly, any of its assets in the secondary market, thus rendering it more

difficult to dispose of such assets if and when it is desired to sell them, (ii) the possibility that the price at which assets can be sold, directly or indirectly, by AUSIF will have deteriorated from the cost of such investment to AUSIF, (iii) the possibility of accelerated prepayments of attractively priced (i.e., the all-in yield), structured or performing assets of AUSIF as a result of increased liquidity and competition in the middle-market private debt asset class driven by economic conditions, relative performance, monetary policy or other governmental action or other factors and (iv) the impact of adverse economic conditions on the direct or indirect obligors of AUSIF's assets. These risks may affect the returns, if any, to the Shareholders or the ability of AUSIF to return any or all of the Shareholders' investments.

Disruptions in the credit markets may reduce opportunities for AUSIF to make investments, and may also heighten refinancing risk in respect of maturing assets held directly or indirectly by AUSIF. Any events that slow, delay or reverse economic recovery or cause a deterioration in loan performance generally may affect the returns, if any, to the Shareholders or the ability of AUSIF to return any or all of the Shareholders' contributions.

Negative macroeconomic conditions may adversely affect the credit rating (if any), performance and the realization value of AUSIF's assets. It is possible that AUSIF's directly or indirectly held assets will experience higher default rates and lower recovery rates than anticipated and that performance will be materially worse than expected.

The bankruptcy or insolvency of a major financial institution may have a material adverse effect on AUSIF, particularly if such financial institution is the administrative agent of an asset held directly or indirectly by AUSIF or is otherwise the direct or indirect counterparty to a contract with AUSIF (including a hedging-related contract). In addition, the bankruptcy, insolvency or financial distress of one or more additional financial institutions, or one or more sovereigns, could trigger additional disruptions in the global credit markets or the global economy which could have a material adverse effect on AUSIF and its assets.

“Shadow Banking” regulation.

There has been increasing commentary among regulators and intergovernmental institutions, including the Financial Stability Board and International Monetary Fund, on the topic of non-bank financial intermediation (which has also been referred to as “shadow banking”). These terms are generally taken to refer to credit intermediation involving entities and activities outside the regulated banking system. The Financial Stability Board issued numerous reports recommending strengthening oversight and regulation of the non-bank financial intermediation in Europe, including steps to define the scope of the non-bank financial intermediation and proposing general governing principles for a monitoring and regulatory framework. While at this stage, it is difficult to predict the scope of any new regulations, if during AUSIF's term such regulations were to extend the regulatory and supervisory requirements currently applicable to banks, such as capital and liquidity standards, to AUSIF, the regulatory and operating costs associated therewith could adversely impact the implementation of AUSIF's investment strategy and AUSIF's returns and could become prohibitive with respect to AUSIF's Investments.

Credit Servicers and Purchasers Directive.

The EU's Directive on credit servicers and credit purchasers (the “**Credit Servicers and Purchasers Directive**”) ((EU) 2021/2167) had to be implemented into national legislation by EU Member States by 29 December 2023. The Credit Servicers and Purchasers Directive imposes new requirements on purchasers of non-performing loans issued by EU credit institutions, whether purchased from the original issuer or on the secondary market. AUSIF will be in scope of these new rules if it purchases such non-performing loans (or purchases loans issued by an EU credit institution that subsequently become non-performing loans) and will be required to appoint a credit servicer for non-performing loans concluded with consumers.

Identifying which non-performing loans purchased on the secondary market were originated by an EU credit institution may prove difficult. In addition, borrowers must be identified and provided with information including details of any transfer of creditors' rights and the amounts due. Such requirements are likely to result in additional compliance and operational costs for AUSIF.

Limited Amortization Requirements.

AUSIF may invest, directly or indirectly, in loans that have limited mandatory amortization requirements. While these loans may obligate an issuer to repay the loan out of asset sale proceeds or with annual excess cash flow, repayment requirements may be subject to substantial limitations that would allow an issuer to retain such asset

sale proceeds or cash flow, thereby extending the expected weighted average life of the Investment. In addition, a low level of amortization of any debt over the life of the Investment may increase the risk that the issuer will not be able to repay or refinance the loans held by AESIF when it matures.

Investments by AUSIF in special situations may involve additional risks.

AUSIF may provide, directly or indirectly, financing to companies involved in (or the target of) acquisition attempts or tender offers or companies involved in work-outs, liquidations, spin-offs, reorganizations, bankruptcies and similar transactions. In any investment transaction involving any such type of business enterprise, there exists the risk that the transaction in which such business enterprise is involved either will be unsuccessful, will take considerable time or will result in a distribution of cash or a new security the value of which will be less than the purchase price paid, directly or indirectly, by AUSIF of the security or other financial instrument in respect of which such distribution is received. Similarly, if such an anticipated transaction does not in fact occur, AUSIF may lose all or a material portion of its Investment. Because there is substantial uncertainty concerning the outcome of transactions involving financially troubled companies in which AUSIF may directly or indirectly invest, there is a potential risk of loss by AUSIF of its entire investment in such companies. In connection with such transactions (or otherwise), AUSIF may purchase, directly or indirectly, securities on a when-issued basis, which means that delivery and payment take place sometime after the date of the commitment to purchase and is often conditioned upon the occurrence of a subsequent event, such as approval and consummation of a merger, reorganization or debt restructuring. The purchase price and/or interest rate receivable with respect to a when-issued security are fixed when AUSIF enters into the commitment. Such securities are subject to a change in value prior to their delivery.

Concentration in any one obligor, region or industry would subject AESIF to a greater degree of risk.

Some concentration with respect to particular obligors, regions and industries is expected to exist in AUSIF's investment portfolio. In addition, because redemptions and repayments of assets will occur, a concentration in any one obligor, region or industry may occur or increase over time. Any such concentration would subject AUSIF to a greater degree of risk with respect to the impact of a default by such obligor, or a greater degree of risk related to adverse business conditions in such region or industry.

Any credit ratings of AUSIF's assets or the applicable obligor(s) represent the applicable rating agencies' opinions or estimates regarding credit quality and are not a guarantee of quality.

Credit ratings of debt obligations or obligor(s) represent the rating agencies' opinions or estimates regarding their credit quality and are not a guarantee of quality. In addition, rating agencies attempt to evaluate the safety of principal and interest payments and do not evaluate the risks of fluctuations in market value. Therefore, such credit ratings may not fully reflect the true risks of an investment. Also, rating agencies may fail to make timely changes to their credit ratings in response to subsequent events and an obligor's current financial condition may be better or worse than a rating indicates.

AUSIF's assets are subject to certain bankruptcy considerations which may affect AUSIF's rights.

AUSIF may hold, directly or indirectly, investments in obligors that are experiencing, or are expected to experience, severe financial difficulties, which may never be overcome and may lead to uncertain outcomes. The bankruptcy courts of the various jurisdictions in which any such obligor may file bankruptcy would have broad discretion to control the terms of a reorganization, and political factors may be of significant importance in high profile bankruptcies or bankruptcies in particular jurisdictions.

There are a number of significant risks inherent in the bankruptcy process. While creditors are generally given an opportunity to object to significant actions, there can be no assurance that a bankruptcy court, in the exercise of its broad powers, would not approve actions that would be contrary to the interests of AUSIF. For example, to protect net operating losses of an obligor in bankruptcy, a bankruptcy court might take any number of actions, including prohibiting or limiting the transfer of claims held by certain classes of creditors. Such a prohibition could have a material adverse effect on the value of certain investments made by AUSIF. For example, AUSIF might be prohibited from liquidating investments which are declining in value.

In addition, under certain circumstances, a lender who has inappropriately exercised control of the management and policies of an obligor may have their claims subordinated or disallowed or may be found liable for damages suffered by parties as a result of such actions. In addition, under certain circumstances, payments to AUSIF and distributions by AUSIF to the Shareholders may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance, a preferential payment or similar transaction under applicable bankruptcy or other insolvency laws. Furthermore, investments may be adversely affected by statutes related to, among other things, fraudulent conveyances, voidable preferences, lender liability or the bankruptcy court's discretionary power to disallow, subordinate or disenfranchise particular claims or re-characterize investments made in the form of debt as equity contributions.

The possibility of litigation between the participants to a reorganization is another consideration that makes any evaluation of the outcome of an investment uncertain. Such uncertainties may also be increased by legal or other factors that limit the ability of the AIFM to obtain reliable or timely information concerning material developments affecting an obligor or that may lengthen a reorganization or liquidation proceeding.

Repayment of a significant portion of AUSIF's assets is subject to the obligors' ability to refinance such assets at or prior to their maturity.

A significant portion of AUSIF's direct or indirect assets will consist of loans for which most or all of the principal is due at maturity. The ability of the obligor(s) under such loan to make such a large payment upon maturity typically depends upon its ability to refinance the loan prior to maturity. The ability of an obligor to consummate a refinancing will be affected by many factors, including the availability of financing at acceptable rates to such obligor, the financial condition of such obligor, the marketability of the collateral (if any) securing such loan, the operating history of the obligor and related businesses, tax laws and prevailing general economic conditions. Additionally, middle-market obligors generally have more limited access to capital and higher funding costs, may be in a weaker financial position, may need more capital to expand or compete, and may be unable to obtain financing from public capital markets or from more traditional sources, such as commercial banks. Consequently, such obligor may not have the ability to repay the loan at maturity and, unless it is able to refinance such loan, it could default in payment at maturity, which could result in losses to AUSIF and, indirectly, to the Shareholders.

Significant numbers of obligors are expected to need to refinance their debt over the next few years, and significant numbers of collateralized loan obligation transactions (historically an important source of funding for loans) have reached or are close to reaching the end of their reinvestment periods or the final maturities of their own debt. As a result, there could be significant pressure on the ability of obligors to refinance their debt over the next few years unless a significant volume of new collateralized loan obligation transactions or other sources of funding develop. If such sources of funding do not develop, significant defaults in AUSIF's direct or indirect assets could occur, and there could be downward pressure on the prices and markets for debt instruments, including assets held directly or indirectly by AUSIF.

Projections, forecasts and estimates may vary significantly from actual results.

Projected operating results of a Portfolio Entity in which AUSIF invests normally will be based primarily on financial projections prepared by such Portfolio Entity's management, with adjustments to such projections made by the Investment Manager in its discretion. Any projections, forecasts or estimates provided to the Shareholders are forward-looking statements and are necessarily speculative in nature. Such projections are only estimates of future results that are based upon information received from the company and third parties and assumptions made at the time the projections are developed. It should be expected that some or all of the assumptions underlying such projections, forecasts or estimates (not all of which will have been disclosed to the Shareholders) will not materialize or will vary significantly from actual results. Accordingly, actual results will vary from such projections, forecasts or estimates, and such variations may be material.

Financial projections are by their nature inherently subject to risk and are dependent upon a number of factors, many of which are not within the control of AUSIF. Some important factors that could cause actual results to differ materially from those in any forward-looking statements, including any such projections, forecasts or estimates, include changes in interest rates, loan pricing, leverage levels, loan structures, credit agreement terms, prepayment rates, timing of acquiring additional assets for AUSIF, exchange rates or default or recovery rates or timing; market, financial or legal uncertainties; differences in the actual allocation of AUSIF's assets among asset categories from those assumed; and mismatches between the timing of accrual and receipt of proceeds from AUSIF's assets, among others.

None of AUSIF, the Investment Manager, the AIFM, their respective affiliates or any other person has any obligation to update or otherwise revise any projections, forecasts or estimates, including any revisions to reflect changes in economic conditions or other circumstances arising after the date of such projections, forecasts or estimates or to reflect the occurrence of unanticipated events, even if the underlying assumptions do not come to fruition. Shareholders should not rely on any projections, forecasts or estimates and each Shareholder does so at its own risk.

Each prospective investor should conduct its own investigation and analysis of its prospective investment in AUSIF and consult its own investment, financial, legal, tax, accounting, regulatory and other applicable advisors.

Over-Commitment, Syndication and Sub-Participation.

Where AUSIF structures, directly or indirectly, sales of interests in investments by way of sub-participation (“**Participations**”), typically this results in the purchaser (whether a co-investor, Other Ares Fund, or other person), having a contractual relationship with AUSIF only and not with the underlying borrower to which such Participation relates. Given AUSIF will remain, directly or indirectly, the party to the loan agreement with the borrower in respect of the Participation, if the purchaser of such Participation from AUSIF fails to fund all or a portion of such Participation when required, AUSIF will be contractually responsible to fund such amount. Participations between AUSIF and an Other Ares Fund are expected to therefore present additional on-going risks and conflicts of interest relating to the terms and operation of such Participations including but not limited to: (i) the rights and timings of payments; (ii) rights of set-off; (iii) rights to enforce compliance by the underlying borrower with the terms of the applicable underlying loan agreements; (iv) the benefit (direct or otherwise) to any collateral supporting the underlying loan; (v) rights arising on the insolvency of the underlying borrower; (vi) seniority and ranking of claims against the underlying borrowers; (vii) the administration of the underlying loans, including with respect to the amendment of documents; (viii) voting rights and related repurchase rights; and (ix) rights relating to any representations or warranties made between the seller and purchaser of any Participation relating to the underlying loan, the underlying borrower, the underlying documentation or any related collateral. In addition to Participations between AUSIF and other persons as outlined above, for limited circumstances for regulatory, legal, commercial or tax reasons, one or more entities within AUSIF structure may enter into a Participation with other entities of AUSIF.

Senior Loans.

AUSIF’s Investments may be comprised (directly or indirectly) of senior secured loans. Senior loans are of a type generally incurred by obligors in connection with highly leveraged transactions, often (although not exclusively) to finance internal growth, pay dividends or other distributions to the equity holders of the obligor, or finance acquisitions, mergers, and/or stock purchases. As a result of the additional debt incurred by an obligor in the course of such a transaction, the obligor’s creditworthiness is typically judged by rating agencies to be below investment grade. Although senior loans are typically at the most-senior level of the capital structure (with mezzanine loans being subordinated to any senior loans or to any other senior debt of the obligor), if a borrower under a senior loan defaults or becomes insolvent, only a fraction of what is owed may be recovered on the senior loan (or nothing at all). Senior loans are often secured by specific collateral, including but not limited to, trademarks, patents, accounts receivable, inventory, equipment, buildings, real estate, franchises and common and preferred stock of the obligor and its subsidiaries and any applicable associated liens relating thereto; while mezzanine loans may have the benefit of a second priority lien or charge over such assets.

Although senior loans and mezzanine loans are typically secured by collateral, there can be no assurance that such collateral could be readily liquidated or that the liquidation of such collateral would satisfy the borrower’s obligation in the event of non-payment of scheduled interest or principal. Such collateral may be subject to complex, competing legal claims. In addition, the security granted in respect of such investments may be unperfected for a variety of reasons, including the failure to make required filings by lenders, and other creditors may have priority over such investments.

Senior loans and mezzanine loans also generally provide for restrictive covenants designed to limit the activities of the obligors thereunder in an effort to protect the rights of lenders to receive timely payments of interest on, and repayment of, principal of the loans. Such covenants may include restrictions on dividend payments, specific mandatory minimum financial ratios, limits on total debt and other financial tests. A breach of covenant (after giving effect to any cure period) under a senior loan or mezzanine loan which is not waived by the lending syndicate normally is an event of acceleration which allows the syndicate to demand immediate repayment in full of the outstanding loan. However, although any particular senior loan or mezzanine loan may share many similar features with other loans and obligations of its type, the actual terms of any senior loan or mezzanine loan will have been a matter of negotiation and will be unique. Any such particular loan may contain non-standard terms

and may provide less protection for creditors than may be expected generally, including in respect of covenants, events of default, security or guarantees.

Leveraged Loans.

AUSIF's Investments may comprise (directly or indirectly) leveraged loans, which have significant liquidity and market value risks since they are not generally traded on organized exchange markets but are traded by banks and other institutional investors engaged in loan syndications. Because loans are privately syndicated and loan agreements are privately negotiated and customized, loans are not purchased or sold as easily as publicly traded securities. Historically the trading volume in loan markets has been small relative to high-yield debt securities markets. In addition, leveraged loans have historically experienced greater default rates than has been the case for investment grade securities. There can be no assurance as to the levels of defaults and/or recoveries that may be experienced on leveraged loans, and an increase in default levels could have a material adverse effect on AUSIF.

A non-investment grade loan or debt obligation (or an interest therein) is generally considered speculative in nature and may become a defaulted obligation for a variety of reasons. A defaulted obligation may become subject to either substantial workout negotiations or restructuring, which may entail, among other things, a substantial reduction in the interest rate, a substantial write-down of principal, and a substantial change in the terms, conditions and covenants with respect to such defaulted obligation. In addition, such negotiations or restructuring may be quite extensive and protracted over time, and therefore may result in substantial uncertainty with respect to the ultimate recovery on such defaulted obligation. The liquidity for defaulted obligations may be limited, and to the extent that defaulted obligations are sold, it is highly unlikely that the proceeds from such sale will be equal to the amount of unpaid principal and interest thereon. Furthermore, there can be no assurance that the ultimate recovery on any defaulted obligation will not be lower than the recovery rate assumed by the Investment Manager.

Bank Loans and Participations.

AUSIF's Investments may be comprised (directly or indirectly) of bank loans acquired through assignment or participations. These obligations are subject to unique risks, including: (i) the possible invalidation of an investment transaction as a fraudulent conveyance under relevant creditors' rights laws; (ii) so-called lender-liability claims by the issuer of the obligations; (iii) environmental liabilities that may arise with respect to collateral securing the obligations; and (iv) limitations on the ability of AUSIF to directly enforce its rights with respect to participations.

Interests in loans and other debt obligations may be acquired either directly (by way of novation or assignment from a lender under the related loan agreement) or indirectly (by purchasing a participation interest from a selling institution or through the acquisition of synthetic securities). The purchaser of an assignment typically succeeds to all the rights and obligations of the assigning institution and becomes a lender under the credit agreement with respect to the loan or debt obligation; however, its rights can be more restricted than those of the assigning institution. As described in more detail below, holders of participation interests and synthetic securities are subject to additional risks not applicable to a holder of a direct interest in a loan.

In purchasing participations, the purchaser will usually have a contractual relationship only with the selling institution, and not the borrower. The purchaser generally will have no right directly to enforce compliance by the borrower with the terms of the loan agreement, nor any voting rights or rights of set-off against the borrower, nor will it have the right to object to certain changes to the loan agreement agreed to by the selling institution. The purchaser may not directly benefit from the collateral supporting the related loan and may not be subject to any rights of set-off the borrower has against the selling institution. In addition, in the event of the insolvency of the selling institution, under the laws of the United States and the states thereof the purchaser may be treated as a general creditor of such selling institution, and may not have any exclusive or senior claim with respect to the selling institution's interest in, or the collateral with respect to, the loan. Consequently, the purchaser may be subject to the credit risk of the selling institution as well as of the borrower. In addition, the purchaser may purchase a participation interest from a selling institution that does not itself retain any beneficial interest in any portion of the applicable loan and, therefore, may have limited interest in monitoring the terms of the loan agreement and the continuing creditworthiness of the borrower. Certain loans or loan participations may be governed by the law of a jurisdiction other than a United States jurisdiction, which may entail similar risks to those described herein but may also present additional risks as regards the characterization under such laws of such participation in the event of the insolvency of the selling institution or the borrower.

When a purchaser holds a participation interest in a loan it will not have the right to vote under the applicable loan agreement with respect to every matter that arises thereunder, and it is expected that each selling institution will reserve the right to administer the loan sold by it as it sees fit and, subject to the terms of the participation agreement, to amend the documentation evidencing such loan in all respects. Selling institutions voting in

connection with such matters may have interests different from those of the purchaser and may fail to consider the interests of the purchaser in connection with their votes.

Assignments are arranged through private negotiations between assignees and assignors, and in certain cases the rights and obligations acquired by the purchaser of an assignment may differ from, and be more limited than, those held by the assigning selling institution. As a purchaser of an assignment, the purchaser generally will have the same voting rights as other lenders under the applicable loan agreement, including the right to vote to waive enforcement of breaches of covenants or to enforce compliance by the borrower with the terms of the loan agreement, and the right to set-off claims against the borrower and to have recourse to collateral supporting the loan.

Assignments and participations are sold without recourse to the assignor or selling institution, as applicable, and the assignor or selling institution, as applicable, will generally make minimal or no representations or warranties about the underlying loan, the borrower, the documentation of the loans or any collateral securing the loans. In addition, the purchaser will be bound by provisions of the underlying loan agreements, if any, that require the preservation of the confidentiality of information provided by the borrower.

High-Yield Securities.

AUSIF's Investments may be comprised (directly or indirectly) of high-yield bonds and other securities that are not investment grade. Securities in the lower rating categories are subject to greater risk of loss, as to timely repayment of principal and timely payment of interest or dividends than are higher-rated securities. They are also generally considered to be subject to greater risk than securities with higher ratings in the case of deterioration of general economic conditions. The yields and prices of lower-rated securities may tend to fluctuate more than those for higher-rated securities. In addition, adverse publicity and investor perceptions about lower-rated securities, whether or not based on fundamental analysis, may be a contributing factor in a decrease in the value and liquidity of these securities.

High-yield securities that are rated "BB" or lower by S&P Global Ratings, an S&P Global business, or "Ba" or lower by Moody's Investors Service are often referred to in the financial press as "junk bonds" and may include securities of issuers in default. "Junk bonds" are considered by ratings agencies to be predominantly speculative and may involve major risk exposures such as: (i) vulnerability to economic downturns and changes in interest rates; (ii) sensitivity to adverse economic changes and corporate developments; (iii) redemption or call provisions which may be exercised at inopportune times; and (iv) difficulty in accurately valuing or disposing of such securities.

Cov-lite Loans.

AUSIF's Investments may be comprised (directly or indirectly) of "cov-lite" loans. "Cov-lite" loans typically do not obligate the obligor to comply with financial covenants that would be applicable during reporting periods. Investments comprised of "cov-lite" loans may expose AUSIF to different risks, including with respect to liquidity, price volatility and ability to restructure loans, than would be the case with other loans. In addition, the lack of such financial covenants may make it more difficult to trigger a default in respect of such loans.

Second Lien Loans.

AUSIF's Investments may be comprised (directly or indirectly) of second lien loans. Second lien loans are subject to the same risks associated with leveraged loans in general described above. However, a second lien loan is subordinate in right of collateral and/or payment to one or more senior secured loans of the related borrower and therefore is subject to additional risk that the cash flow of the related borrower and the collateral securing the second lien loan may be insufficient to make the scheduled payments to the lender of record after giving effect to any senior secured loans of the related obligor. The subordination of second lien loans is also expected to cause second lien loans to be more risky and more illiquid investments than senior secured loans.

Mezzanine Investments.

AUSIF's Investments may be comprised (directly or indirectly) of mezzanine debt securities which are high-yield, unsecured subordinated debt obligations of an obligor that are generally rated below investment grade. Such securities, by the nature of their issuers' leveraged capital structures, involve a high degree of financial risk. These securities may be unsecured and/or subordinated to substantial amounts of senior indebtedness, all or a significant portion of which may be secured. In addition, these securities may not be protected by financial covenants or limitations upon additional indebtedness and may have limited liquidity. Mezzanine investments often reflect a greater possibility that adverse changes in the financial condition of the obligor or general economic conditions (including, for example, a substantial period of rising interest rates or declining earnings) or both may impair the

ability of the obligor to make payments of principal and interest. Mezzanine investments are often issued in connection with leveraged acquisitions or recapitalizations, in which the issuer incurs a substantially higher amount of indebtedness than the level at which it had previously operated. Some issuers of AUSIF's Investments may be highly leveraged, and their relatively high debt-to-equity ratios create increased risks that their operations might not generate sufficient cash flow to service their debt obligations. Overall adverse conditions in the high-yield bond and other markets may adversely affect such issuers by inhibiting their ability to refinance their debt at maturity.

Unsecured Loans and Unsecured Bonds.

Unsecured loans are subject to the same risks associated with leveraged loans in general described herein and unsecured bonds are subject to the same risks associated with high-yield debt obligations in general described above under “—High-Yield Securities.” However, unsecured loans and unsecured bonds are not secured obligations of the related obligor and do not have the benefit of a pledge of specified property. The absence of a security interest may make unsecured loans and unsecured bonds more risky and more illiquid investments than secured loans or secured bonds.

Subordinated unsecured bonds are subject to the same risks associated with high-yield debt securities in general described above under “—High-Yield Securities.” However, a subordinated unsecured bond is subordinate in right of payment to one or more other unsecured obligations of the related obligor and therefore is subject to additional risk that the cash flow of the related obligor may be insufficient to make the scheduled payments on the subordinated unsecured bond after giving effect to any senior obligations of the obligor. The subordination of subordinated unsecured bonds also typically causes subordinated unsecured bonds to be more risky and more illiquid investments than senior obligations.

First Lien Last Out Loans.

AUSIF may invest its assets in unitranche loans with “first out” and “last-out” payment streams (either set up at closing or arranged after closing by Ares) (each a “Re-tranched Loan”). Each Re-tranched Loan will be documented under a single credit agreement with a single set of security agreements. Re-tranched Loans effectively create senior and junior loans with so called ‘first out lenders’ (“First Out Lenders”) receiving payments in priority to ‘last out lenders’ (“Last Out Lenders”) under certain circumstances. Interest will typically be allocated in a manner which provides the First Out Lenders with an effective lower interest rate than the Last Out Lenders. In such arrangements, principal will typically be allocated pro rata as between the First Out Lenders and Last Out Lenders until the occurrence of a trigger event, following which First Out Lenders will rank in priority to Last Out Lenders in terms of both interest and principal. The trigger events are typically individually negotiated for each Re-tranched Loan, but are likely to include amongst others (1) a payment default under the credit agreement; (2) failure of the borrower to comply with all or certain financial covenants, usually within a percentage range; (3) bankruptcy and insolvency events; and (4) failure of the borrower to conduct all or a material portion of its business, usually following a certain cure period. As a result, if AUSIF acquires a position as a Last Out Lender, this would be more akin to that of a second lien lender and may not recover any of its outstanding principal or interest until the First Out Lenders have been repaid in full. Further, any veto rights with respect to voting as between the First Out Lenders and the Second Out Lenders may also be negotiated for each transaction. As a result, even where AUSIF acquires a minority stake in a Re-tranched Loan there can be no assurance that AUSIF, as a Last Out Lender, will be in a position to direct enforcement of the security granted in respect of the Re-tranched Loan nor to prevent certain decisions being taken by the First Out Lenders that may be adverse to the interests of AUSIF.

Syndication; Warehousing.

Ares, Other Ares Funds, or affiliates or related parties of the foregoing or other parties (including for the avoidance of doubt any bank warehouse, which may be structured as a securitization, a total return swap, junior and/or “first loss” notes, the price of which will be linked to the value of the underlying assets, or otherwise, which in each case may be guaranteed financed or partially financed by any of the foregoing) could acquire an investment as principal and subsequently sell some or all of it to AUSIF, Other Ares Funds or co-investors in an affiliate or related party transaction. Similarly, AUSIF may acquire an investment and subsequently syndicate, or sell some or all of it, to Ares, Other Ares Funds, co-investors, or affiliates or related parties of the foregoing or other third parties, notwithstanding the availability of capital from the Shareholders and other investors thereof or applicable credit facilities. The Sponsor may cause these transfers to be made at cost, or cost plus an interest rate or carrying cost charged from the time of acquisition to the time of transfer, notwithstanding that the fair market value of any such Investments may have declined below or increased above cost from the date of acquisition to the time of such transfer. The Sponsor may also determine another methodology for pricing these transfers, including fair

market value at the time of transfer. It may be possible that AUSIF acquires transferred assets at above fair market value, and/or separately sell assets at below fair market value. The Board of Directors (or the non-affiliated directors thereof) may, but are not required to, approve the price, terms and conditions of such transfer and may approve or waive any conflicts arising in connection therewith on behalf of the Shareholders. Also, the Sponsor may charge fees on these transfers to either or both of the parties to them. The Sponsor or its affiliates will be permitted to retain any portion of an Investment initially acquired by them with a view to syndication to co-investors or other potential purchasers to the extent such portion has not been syndicated after reasonable efforts to do so. As part of structuring such syndication and warehousing arrangements, the Sponsor may require AUSIF and Other Ares Funds to enter into conditional purchase agreements, where AUSIF and/or such Other Ares Funds agree to acquire future warehoused investments: (i) prior to their original acquisition; and (ii) prior to AUSIF and such Other Ares Funds having the requisite available capital to acquire such assets, in each case with such sale being conditional upon AUSIF and/or such Other Ares Funds (as the case may be) having sufficient available capital in order to acquire the relevant warehoused assets. The Sponsor expects to enter into a warehousing arrangement prior to the formation of AUSIF and, as part of the structuring of such syndication and warehousing arrangement, the Sponsor expects to require AUSIF to enter into a conditional purchase agreement on similar terms to those described in the foregoing sentences. Conflicts of interest are expected to arise in connection with these potential warehousing arrangements and any related affiliate transactions, including with respect to timing allocations of Investments to such warehousing, structuring, pricing and other terms of the transactions related thereto. For example, the Sponsor will have a conflict of interest when the Sponsor receives fees, including an incentive allocation, from an Other Ares Fund acquiring from or transferring to AUSIF all or a portion of an investment.

These conflicts related to syndication of Investments and warehousing will not necessarily be resolved in favor of AUSIF, and Shareholders may not be entitled to receive notice or disclosure of the occurrence of these conflicts. By subscribing for Shares, Shareholders will be deemed to have consented to the syndication of Investments and warehousing to the extent the terms of such transactions are approved by the non-affiliated members of the Board of Directors (See also “Risk Factors Relating to Conflicts of Interest” sub-section of the Prospectus).

AUSIF will invest in non-investment grade middle-market loans or interests in non-investment grade middle-market loans.

AUSIF will invest in non-investment grade middle-market loans or interests in non-investment grade middle-market loans, which are subject to liquidity, market value, credit, interest rate, reinvestment and other risks and are regarded as having predominantly speculative characteristics with respect to capacity to pay interest and repay principal. There can be no assurance that the AIFM will correctly evaluate the nature and magnitude of the various factors that could negatively affect the value or performance of such assets. It is anticipated that these loans will be subject to greater risks than investment grade corporate obligations. These risks could be exacerbated if the portfolio is concentrated in one or more particular types of assets.

The value of such debt investments is volatile and may fluctuate due to a variety of factors that are inherently difficult to predict and are outside the control of AUSIF and the AIFM, including changes in interest rates, prevailing credit spreads, general economic conditions, financial market conditions, domestic or international economic or political events, developments or trends in any particular industry, or the financial condition of the obligors of AUSIF's assets. In particular, the market for non-investment grade middle-market loans has experienced periods of volatility in the supply and demand for such loans, resulting in volatility in, among other things, spreads, interest rate floors, purchase price discounts, leverage, covenants, structure, and other terms. Additionally, middle-market loans and interests in middle-market loans generally have significant liquidity and market value risks since they are not generally traded in organized markets, but are traded (if at all) by banks and other institutional investors in privately negotiated transactions. Because loans are privately syndicated and loan agreements are privately negotiated and customized, loans are not purchased or sold as easily as publicly traded securities. In addition, historically the trading volume in the loan market, especially in the middle-market, has been small relative to the high-yield debt securities market.

The obligors of AUSIF's assets will primarily be privately owned middle-market businesses. There is generally no publicly available information about these businesses. Some obligors may not meet net income, cash flow and other coverage tests typically imposed by banks and other lenders. Numerous factors may affect an obligor's ability to repay its related obligations, including the failure to meet its business plan, a downturn in its industry or continuing negative economic conditions. A deterioration in an obligor's financial condition and prospects may be accompanied by deterioration in the collateral securing AUSIF's assets. Such deterioration might impair the ability of such obligor to obtain refinancing or force it to seek to have AUSIF's asset restructured.

A non-investment grade middle-market loan or debt obligation or an interest in a non-investment grade middle-market loan or debt obligation is generally considered speculative in nature and may end up in default for a variety of reasons. A defaulted asset may become subject to either substantial workout negotiations or a restructuring, which may entail, among other things, a substantial reduction in the interest rate, a substantial write-down of principal, and a substantial change in the terms, conditions and covenants with respect to such defaulted asset. In addition, such negotiations or restructuring may be quite extensive, protracted and costly over time, and therefore may result in substantial uncertainty with respect to the ultimate recovery on such defaulted asset. The liquidity of a defaulted asset will be limited, and if a defaulted asset is sold, it is highly unlikely that the proceeds from such sale will be equal to the amount of unpaid principal and interest thereon.

Non-investment grade loans to middle-market businesses generally carry more inherent risks than non-investment grade loans to larger, publicly traded businesses. These middle-market companies generally have more limited access to capital and higher financing costs, may be in a weaker financial position, may need more capital to expand or compete, and may be unable to obtain financing from public capital markets or from traditional sources, such as commercial banks. Middle-market businesses typically have narrower product lines and smaller market shares than larger businesses. Therefore, they tend to be more vulnerable to competitors' actions and market conditions, as well as general economic downturns. These businesses may also experience substantial variations in operating results. Typically, the success of a middle-market business also depends on the management talents and efforts of one or two persons or a small group of persons. The death, disability or resignation of one or more of such persons could have a material adverse impact on the obligor and its ability to repay its obligations. In addition, middle-market businesses often need substantial additional capital to expand or compete and will often have borrowed money from other lenders and may need additional capital to survive any economic downturns. Accordingly, loans made to middle-market companies involve higher risks than loans made to companies that have larger businesses, greater financial resources or who are otherwise able to access traditional credit sources.

There can be no assurance as to the levels of defaults or the amount or timing of recoveries that may be experienced with respect to AUSIF's assets. Any increase in default levels or decrease in recovery rates, or delays in receipt of recoveries, could adversely affect distributions, if any, to Alternative Investment Vehicle.

Loan origination.

If AUSIF desires to sell or assign a loan that it originates, but is unable to sell, assign or successfully close transactions for assignments or participations in such loan, AUSIF will be forced to hold such loan until such time as it can be disposed, during which time AUSIF may be "overweighted" with respect to a particular borrower. In addition, in connection with any loan origination activity, AUSIF may determine, in consultation with its tax advisors, that there is a risk that AUSIF's lending activity may cause AUSIF to be treated as engaged in a trade or business for United States federal income tax purposes.

AUSIF's assets will generally be illiquid.

An investment in AUSIF should be viewed as an illiquid investment. AUSIF's assets will generally have no, or only a limited, trading market. AUSIF's Investment in illiquid assets may restrict its ability to dispose of investments in a timely fashion or for a fair price. Illiquid assets may trade at a discount from comparable, more liquid assets.

The secondary market for middle-market loans is smaller and less liquid than the market for broadly-syndicated loans made to larger obligors. In addition, AUSIF may invest in assets that may not be freely transferable under the laws of the applicable jurisdiction or due to contractual restrictions. The prices realized from the sale of any of AUSIF's assets could be less than the cost of such assets to AUSIF or less than what may be considered the fair value of such assets.

Illiquid and Long-Term Investments.

A substantial portion of the AUSIF's Investments will be illiquid and/or long-term. Many of such Investments are currently expected by Ares to take around seven (7) years from the date of initial investment to reach a state of maturity when realization of the Investment can be achieved. Although such Investments by AUSIF are expected to generate current income (i.e., all investment proceeds that are not "disposition proceeds" which may include amounts received by AUSIF from Investments as a result of purchase price adjustments), private investment transaction structures typically will not provide for liquidity of such Investments prior to repayment upon a refinancing event; however, interim proceeds from cash coupons may be distributed to Shareholders with respect to certain Investments. In light of the foregoing, it may be the case that no significant return from the disposition of such Investments will occur for a substantial period of time from the date of the initial Investment. While such Investments may be sold at any time, it is not generally expected that this will occur for a number of years after

such Investments are made. It is unlikely that there will be a public market for the illiquid and/or long-term securities held by AUSIF at the time of their acquisition. Therefore, no assurance can be given that, if AUSIF is determined to dispose of a particular Investment held by AUSIF, it could dispose of such Investment at a prevailing market price, and there is a risk that disposition of such Investments may require a lengthy time period or may result in distributions in-kind to investors. Although the Sponsor expects that Investments will either be disposed of prior to the termination of AUSIF or be suitable for in-kind distribution at liquidation, AUSIF may have to sell, distribute or otherwise dispose of Investments at a disadvantageous time for a price which is less than the price that could have been obtained if the Investments were held for a longer period of time. AUSIF generally will not be able to sell its Investments through the public markets unless their sale is registered under applicable securities laws, or unless an exemption from such registration requirements is available. Additionally, there can be no assurances that such Investments can be sold on a private basis. In addition, in some cases AUSIF may be prohibited by contractual, legal, or regulatory or other similar reasons from selling certain securities for a period of time and as a result may not be permitted to sell an Investment at a time it might otherwise desire to do so.

Subordinated loans are subordinate in right of payment to one or more senior secured loans and, therefore, are subject to additional risk of non-payment.

Subordinated loans are subordinate in right of payment to one or more senior secured loans and, therefore, are subject to additional risks that the cash flows of the related obligor(s) and any property securing such subordinated loan may be insufficient to make the scheduled payments after giving effect to any senior secured loans of the related obligor(s). Subordinated loans are expected to be more illiquid investments than senior secured loans, which, as discussed, are themselves illiquid investments.

Unsecured loans are unsecured obligations of the applicable obligor(s), may be subordinated to other obligations of such obligor(s) and generally have greater credit, insolvency and liquidity risk than is typically associated with secured obligations. Unsecured obligations will generally have lower rates of recovery than secured obligations following a default. Also, in the event of the insolvency of an obligor of an unsecured obligation, the holders of such unsecured obligation will be considered general, unsecured creditors of such obligor, will have fewer rights than secured creditors of such obligor and will be subordinate to the secured creditors of such obligor with respect to the related collateral.

Issuers of subordinated debt obligations may be highly leveraged and may not have available to them more traditional sources of financing. During an economic downturn or a sustained period of rising interest rates, such issuers may be more likely to experience financial stress and may be unable to meet their obligations.

Originated Investments.

From time to time, AUSIF may make offers to buy, or receive offers to purchase, assignments of, or participations in, loans, notes or other securities (or interests therein) that Ares or any Other Ares Funds, as the case may be, own (which, for the avoidance of doubt, may also include unfunded commitments associated with such loans, notes or other securities) (each, a “Proposed Transaction”). In the event of such an offer, the price paid by AUSIF in connection with an Investment in such Proposed Transaction shall not be set by the Sponsor or AUSIF but rather shall be established based on third-party valuations obtained in accordance with the procedures followed by AUSIF, on a consistent basis. In connection with each Proposed Transaction, the Sponsor shall prepare the materials it deems necessary to describe the Proposed Transaction. The decision to make an offer to buy, or to accept or decline an offer, at the price offered shall, however, be made by the Board of Directors, after a review of: (i) materials prepared by the Sponsor regarding the Proposed Transaction; and (ii) any additional information requested by the Board of Directors; provided, that in the event a Proposed Transaction is entered into with any Other Ares Funds (excluding, for the avoidance of doubt, (A) AUSIF; (B) ASIF; (C) AESIF; (D) any Ares proprietary account that participated in the initial investment in the applicable portfolio company alongside any of the persons set forth in clause (A) above (collectively, the “**Applicable Entities**”); and (E) a direct or indirect subsidiary of the Applicable Entities), such Proposed Transaction shall, instead of the consent of the Board of Directors, require the consent of the non-affiliated members of the Board of Directors.

Bank loans acquired through participations can be subject to unique risks given that AUSIF will have a direct contractual relationship with only the selling institution.

Although AUSIF intends to focus on originating new loan transactions, AUSIF is permitted to invest in corporate secured loans acquired through assignment or participations. These obligations are subject to various unique risks, including: (i) the possible invalidation of an investment transaction as a fraudulent conveyance under relevant laws, (ii) lender-liability claims of breach of contract, breach of fiduciary duty and of sales of collateral at non-commercially reasonable terms by the underlying obligor (see “AUSIF may be subject to claims for lender liability and AUSIF’s assets may be subject to equitable subordination” below), (iii) environmental liabilities that may

arise with respect to any collateral securing the underlying obligations and (iv) limitations on the ability of AUSIF to enforce its rights directly with respect to participations.

In purchasing participations, AUSIF will have a direct contractual relationship only with the selling institution, and not the borrower. Thus, in the case of a participation interest, AUSIF will generally have the right to receive payments of principal, interest and any fees to which it is entitled only from the institution selling the participation and only upon receipt by such selling institution of such payments from the borrower. As a result, AUSIF will assume the credit risk of both the borrower and the selling institution. AUSIF generally will have no right to enforce compliance by the underlying borrower with the terms of the loan agreement, nor any voting rights or rights of set-off against the underlying borrower, nor will it have the right to object to certain changes to the loan agreement agreed to by the selling institution. AUSIF may not benefit from the collateral supporting the related secured loan and may not be subject to any rights of set-off the borrower has against the selling institution.

In addition, in the event of the insolvency of the selling institution, under the laws of certain jurisdictions AUSIF may be treated as a general unsecured creditor of such selling institution, and may not have any exclusive or senior claim with respect to the selling institution's interest in, or the collateral with respect to, the secured loan. Consequently, in such circumstances, AUSIF will be subject to the credit risk of the selling institution as well as that of the borrower. Certain of the secured loans or loan participations may be governed by the law of a foreign jurisdiction which may present additional risks as regards the characterization of such transaction as a participation under such laws of such participation in the event of the insolvency of the selling institution or the borrower.

AUSIF may be subject to claims for lender liability and AUSIF's assets may be subject to equitable subordination.

A number of judicial decisions have upheld judgments of obligors against lending institutions on the basis of various evolving legal theories, collectively termed "lender liability". Companies in which AUSIF invests may be located in jurisdictions where lenders may have legal exposure on the basis of lender liability. Generally, lender liability is founded on the premise that a lender has violated a duty (whether implied or contractual) of good faith, commercial reasonableness and fair dealing or a similar duty owed to the obligor or has assumed an excessive degree of control over the obligor resulting in the creation of a fiduciary duty owed to the obligor or its other creditors or equity holders. Because of the nature of AUSIF's assets, AUSIF may be subject to claims of lender liability. Any such claim, if determined adversely to AUSIF, could have a material adverse effect on AUSIF's returns to investors.

In addition, under certain legal principles that in some cases form the basis for lender liability claims, if a lender, bondholder or other creditor (i) intentionally takes an action that results in the undercapitalization of an obligor to the detriment of other creditors of such obligor, (ii) engages in other inequitable conduct to the detriment of such other creditors, (iii) engages in fraud with respect to, or makes misrepresentations to, such other creditors or (iv) uses its influence as an equity holder to dominate or control an obligor to the detriment of other creditors of such obligor, a court may elect to subordinate the claim of the offending lender, bondholder or other creditor to the claims of the disadvantaged creditor or creditors, a remedy called "equitable subordination". Because of its nature, AUSIF's assets may be subject to claims of equitable subordination.

In addition, because affiliates of, or persons related to, the AIFM may hold equity or other interests in obligors of AUSIF's assets, AUSIF could be exposed to claims for equitable subordination, lender liability or both based on such equity or other holdings.

The preceding discussion is based upon general principles of United States federal laws. The laws of non-U.S. jurisdictions may impose liability upon lenders, bondholders or other creditors under factual circumstances similar (or additional) to those described above, with consequences that may or may not be analogous to those described above.

AUSIF's assets will generally be prepayable at the option of the obligor.

Loans are generally prepayable in whole or in part at any time at the option of the obligor at par plus accrued and unpaid interest thereon, and occasionally plus a prepayment premium. Prepayments on loans may be caused by a variety of factors which are often difficult to predict. Consequently, there exists a risk that loans purchased at a price greater than par may experience a capital loss as a result of such a prepayment. When credit market conditions become more attractive to obligors, the rate of prepayment of AUSIF's assets would be expected to increase as obligors refinance to take advantage of such improved conditions, which may negatively impact AUSIF.

Limited control of administration and amendment of underlying loans.

As a holder of a syndicated loan or an interest therein, AUSIF may have limited consent and control rights and such rights may not be effective in view of the expected proportion of such loan held by AUSIF. The AIFM may exercise or enforce, or refrain from exercising or enforcing, any or all of AUSIF's rights in connection with any of its underlying investments. However, due to the size of AUSIF's investment position, AUSIF may have limited influence over any amendment, waiver or modification of such loan.

Additionally, as a provider of debt financing or holder of equity securities, AUSIF will not be in a position to control any borrower. As a result, AUSIF is subject to the risk that a borrower in which AUSIF invests may make business decisions with which AUSIF disagrees and the management of such borrower may, as representatives of holders of their common equity, may take risks or otherwise act in way that do not serve the interests of AUSIF as a minority stakeholder or creditor.

Overlapping Investment Objectives.

Certain Other Ares Funds that have investment objectives that are adjacent to or overlap with those of AUSIF (whether now in existence or subsequently established), and Ares or such Other Ares Fund may share and/or receive priority with respect to certain investment opportunities falling within the primary focus of such Other Ares Funds or otherwise receive allocations of investments otherwise appropriate for AUSIF (including, for example, Other Ares Funds established to primarily pursue investments relating to specific geographic regions, sectors and/or asset classes).

Multiple Levels of Fees and Expense.

In addition to the direct expenses and management costs borne by AUSIF, it may also bear its pro rata share of certain expenses and management costs incurred directly or indirectly by Other Ares Funds (including ASIF and AESIF) in which AUSIF invests. This would result in more expenses being borne (indirectly) by Shareholders in AUSIF than if such Shareholders were able to invest directly in the Other Ares Funds (including ASIF and AESIF). With respect to AUSIF's investments in Other Ares Funds (including ASIF and AESIF), AUSIF will pay or otherwise bear carried interest or other incentive compensation in connection with such Other Ares Fund (including ASIF and AESIF). AUSIF will also indirectly bear other fees, expenses or deductions in connection with an Investment in or alongside an Other Ares Fund (including ASIF and AESIF), including any early redemption deduction, redemption fee, liquidity penalty and/or investment related expenses and expenses paid to affiliates of the Sponsor, administrative expenses and other expenses included in the definition of Operating Expenses above as applicable to such Other Ares Fund (to the extent applicable). However, strictly for information purposes only and not as an indication of entitlement in a specific Other Ares Fund, several (but not all) established Other Ares Funds (including ASIF and AESIF) provide for performance participation allocation or incentive fee at a rate up to 12.5 %.

Notwithstanding anything herein to the contrary, while AUSIF may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt ASIF and AESIF), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AUSIF together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: *"Fees and Expenses of AUSIF—Management Fees"*.

These various levels of costs and expenses will be charged whether or not the performance of AUSIF generates positive returns. As a result, AUSIF, and indirectly the Shareholders, may bear multiple levels of expenses, which in the aggregate would exceed the expenses which would typically be incurred by an investment in a single fund investment, and which would offset AUSIF's profits. In addition, because of the fees and expenses payable by AUSIF pursuant to such Investments, its returns on such Investments will be lower than the returns to a direct investor in the Other Ares Funds (including ASIF and AESIF).

Fund Life Commitments.

AUSIF may invest in certain Other Ares Funds by making a fund life commitment to such Other Ares Funds. In such case, AUSIF will participate in such fund life commitments in most instances through an aggregator vehicle controlled by the Investment Manager or an affiliate thereof, and AUSIF will commence and end its participation in an Other Ares Fund, through the aggregator vehicle, at different times to other investors. In connection with such fund life commitments, an Other Ares Fund may provide the Investment Manager with investment-by-investment tracking of investment proceeds; that is, such Other Ares Fund will inform the Investment Manager of the particular underlying investment of such Other Ares Fund to which the investment proceeds relate. In such

cases, investment proceeds from such Other Ares Funds will generally be allocated to AUSIF based on the particular underlying investment of such Other Ares Fund that generated such investment proceeds (and, therefore, the allocation of such investment proceeds will take into account the relative contributed capital of AUSIF to the applicable underlying investment). However, in certain cases, an Other Ares Fund will not provide the Investment Manager with investment-by-investment tracking of investment proceeds. With respect to such instances, the Investment Manager has adopted a practice, which it may amend, modify, revise or supplement from time to time without notice to the AUSIF investors, regarding allocation of the investment proceeds it receives from such Other Ares Fund. The Investment Manager will seek to allocate investment proceeds based on a formulaic, time-weighted approach that generally takes into account (i) the amount invested in an Other Ares Fund by AUSIF and (ii) AUSIF's expected hold time of such investment, which is generally based on the total expected number of days of such Other Ares Fund's term (generally determined based on such Other Ares Fund's governing documents). As it relates to Other Ares Funds that will not provide the Investment Manager with investment-by-investment tracking of investment proceeds, while the Investment Manager believes the foregoing time-weighted approach to the allocation of investment proceeds to AUSIF is reasonable, it is expected that the application of such methodology will result in AUSIF receiving less, or more, investment proceeds from any such Other Ares Fund than AUSIF would have received had such Other Ares Fund provided investment-by-investment tracking of investment proceeds. A number of factors will affect when AUSIF would receive less, and when AUSIF would receive more, investment proceeds from such Other Ares Funds, including, for example and without limitation, the timing of each applicable Other Ares Fund's capital calls, investment realizations, and distributions of investment proceeds.

Multiple Levels of Fees.

AUSIF Fund pays the Management Fee and also incurs or reimburses additional expenses and fees of other service providers in connection with AUSIF. In addition, AUSIF will indirectly incur similar fees and expenses to the extent that AUSIF invests in certain products such as money market funds, exchange traded funds, similar products or Other Ares Funds that AUSIF invests in (including ASIF and AESIF). AUSIF will pay such fees regardless of whether AUSIF or such investments are profitable.

Fraud Risks.

Of paramount concern in making investments is the possibility of material misrepresentation or omission on the part of a counterparty. Such inaccuracy or incompleteness may adversely affect the valuation of the collateral underlying the loans or other asset, or may adversely affect the ability of the lender of record to perfect or effectuate a lien on the collateral securing the loan or other assets. AUSIF relies upon the accuracy and completeness of representations made by companies in which AUSIF invests or other counterparties to the extent reasonable, but cannot guarantee that such representations are accurate or complete. Under certain circumstances, payments to AUSIF may be reclaimed if any such payment or distribution is later determined to have been made with intent to defraud or prefer creditors. See also "Fraudulent Conveyance Considerations below."

Fraudulent Conveyance Considerations.

Secured loans and other secured transactions (each obligation arising therefrom, a "Secured Obligation") may be subject to various federal and state laws enacted for the protection of creditors in the countries of the jurisdictions of incorporation of obligors and, if different, in which the obligors conduct business and in which they hold the assets, which may adversely affect such obligors' abilities to make payment on a full or timely basis. These insolvency considerations will differ depending on the country in which each obligor is located or domiciled.

In particular, it should be noted that a number of continental European jurisdictions operate "debtor-friendly" insolvency regimes which could result in delays in payments under Secured Obligations where obligors thereunder are subject to such regimes, in the event of their insolvency. The different insolvency regimes applicable in the different European jurisdictions may result in a corresponding variability of recovery rates for obligations such as Secured Obligations entered into with obligors in such jurisdictions. No reliable historical data is available in respect of such recovery rates.

Alternative Credit Investments.

While AUSIF seeks to primarily self-originate investments and provide debt capital to European mid-market companies with a target EBITDA of €10 million + as further described in Section III: "Investment Information" of this Annex, AUSIF also has the flexibility to invest in other illiquid alternative credit investments. Please refer to the risk factors stated below for more information on the risks associated with such illiquid alternative credit investments.

Equity Securities.

AUSIF may acquire or otherwise receive common stock, warrants or options to acquire common stock and other equity securities or equity-linked securities (including, for the avoidance of doubt, any preferred equity transaction). Such instruments will generally involve a high degree of risk, and will be subordinate to (and thus are inherently riskier than) the debt securities and other liabilities of the issuers of such instruments. Although common stocks have historically generated higher average total returns than fixed income securities over the long term, common stocks also have experienced significantly more volatility in those returns. These instruments may fail to appreciate in value and may decline in value or become worthless. In particular, those equity or equity-like instruments that are attached as a unit of a debt obligation may be intended to participate in an obligor's long-term value that may be created through growth facilitated by that debt obligation, and accordingly may have little or no value at issuance and may generate income (if at all) only upon a sale, listing or recapitalization of the obligor. Accordingly, AUSIF may not be able to realize gains from equity securities or instruments and may incur significant losses.

Risks Associated With Specialty Finance Investments.

AUSIF may invest in companies and operating platforms that originate and/or service commercial and consumer credits, including credit cards, personal loans and equipment finance, and may also invest directly in those credits (but on a secondary and not on a primary basis). Pricing and optimizing the value of such credits requires strong analytics and extensive infrastructure. The form of investment may vary and may require reliance on networks of asset managers to provide the resources necessary to originate new receivables, manage portfolios of performing receivables, and work-out portfolios of stressed or non-performing receivables. These loans may not be secured and may be subject to increasing regulation. In addition, AUSIF may access exposure to credits by acquiring interests in specialty finance companies and operating platforms. AUSIF's Investments may also include leasing businesses, companies that provide services to specialty finance companies (e.g., credit scoring agencies) and other companies that have business models related to the specialty finance sector.

Investments in the specialty finance industry are subject to various industry-specific risks (including additional risks related to the various segments of the specialty finance industry). Specifically, various segments of the specialty finance industry are (or may become) highly regulated at both the federal and state levels in the U.S. and internationally and subject to frequent regulatory changes. Further, investments in financial services companies often require the approval of various regulatory bodies and there is no guarantee that such approvals will be obtained. While AUSIF intends to make investments in companies that comply with relevant laws and regulations, certain aspects of their operations may not have been subject to judicial or regulatory interpretation. An adverse review or determination by any one of such authorities, or an adverse change in the regulatory environment or requirements, could have a material adverse effect on the operations of the companies in which AUSIF invests. In addition, in order to comply with or not be subject to certain banking laws, rules and regulations, AUSIF may be required to invest in a manner that may not be as advantageous as the manner of making investments that are not subject to such laws, rules and regulations.

Asset-Based Lending.

As part of its portfolio, AUSIF may make investments in senior secured revolving credit facilities based on the borrower's qualifying assets, such as eligible accounts receivable and inventory (generally known as "Asset-Based Lending" or "ABL") and senior secured term loans secured by machinery and equipment and other fixed assets with similar security profiles. ABL is a specialized loan product that provides over-collateralized credit facilities to borrowers based on the assets pledged as collateral. These loans are structured to provide a flexible source of working capital by monetizing assets on the balance sheet. ABL is frequently used by companies seeking greater flexibility in executing operating plans. The quality and liquidity of a borrower's underlying assets are essential to the success of such investment. Such investments generally present many of the same risks as other debt investments, but given the focus on the underlying assets of the borrower, more specifically may present a greater risk of borrower fraud and, relatedly, that the Investment Manager may not be able to adequately diligence and monitor the activities of the borrower.

Accounts Receivables Relating to Consumer Loans/Obligations.

AUSIF may invest in, or lend against, portfolios of accounts receivables relating to consumer loans, including credit cards, automobile loans, healthcare, and student loans and other types of consumer obligations (such as leases). The performance of such assets will be affected by general economic conditions. The ability to collect on consumer obligation accounts receivables is dependent on the performance of a servicer. The servicer may be able to commingle funds relating to a transaction (such as collections from the loans and proceeds from the disposition of any repossessed collateral, such as repossessed vehicles) with its own funds for a period of time. Commingled

funds may be used or invested by the servicer at its own risk and for its own benefit. If the servicer were unable to remit those funds or the servicer were to become a debtor under any insolvency laws, delays or reductions in the receivables may occur.

Additionally, servicers may be subject to regulation by certain government agencies. If a servicing arrangement or activities were found to constitute unsafe or unsound banking practices, such government agencies may take regulatory action against the servicer, which could result in losses or delays in payment.

Furthermore, consumer obligations are subject to various consumer protection laws which regulate the creation and enforcement of such obligations. The violation of such laws by lenders, originators and their affiliates may permit borrowers to reduce their obligation to pay the amount of receivables they owe or require lenders to pay certain penalties. Similarly, if a borrower were to seek protection under bankruptcy or debtor relief laws, a court could reduce or discharge completely the borrower's obligations to repay amounts due on its receivable.

Real Estate related Investments.

AUSIF's target investments may include privately-negotiated financings secured by pools of real estate assets (primarily in the form of privately negotiated investments in debt securities, loans and/or other credit-related asset but also in the form of equity or quasi-equity securities), the outright purchase of pools of real estate assets, and sale-leaseback transactions. The value of such investments will depend on many real-estate related factors beyond the control of AUSIF. The ultimate performance of such investments will be subject to the varying degrees of risk generally incident to the ownership and operation of the underlying real property. Real estate historically has experienced significant fluctuations and cycles that may result in reductions in the value of real estate-related investments. The ultimate value of such investments in the underlying real property also depends upon the real property owner's ability to operate the real property in a manner sufficient to maintain or increase revenues in excess of operating expenses and debt service or, in the case of real property leased to a single lessee, the ability of the lessee to make rental payments. Real estate is subject to various specific risks (which can adversely affect a property's revenues), including: changes in national or international economic conditions and/or specific industry segments; changes in local market conditions due to changes in general or local economic conditions and neighborhood characteristics; property location and condition; tenant mix; the financial condition of tenants and buyers and sellers of properties; competition from other properties offering the same or similar services; changes in interest rates and in the availability, cost and terms of mortgage funds; the ongoing need for capital improvements (particularly in older structures); changes in real estate tax rates and other operating expenses; changes in governmental laws, rules and regulations (including changes in environmental laws, casualty or condemnation losses, and regulatory limitations on rents) and fiscal policies; costs of remediation and liabilities associated with environmental conditions and lawsuits; civil unrest; acts of God, including earthquakes, hurricanes and other natural disasters; acts of war; acts of terrorism (any of which may result in uninsured losses); the potential for uninsured, uninsurable or underinsured property losses; adverse changes in zoning laws; and other factors that are beyond the control of the real property owners and AUSIF. In the event that any of the properties underlying AUSIF's investments experience any of the foregoing events or occurrences, the value of and return on such investments would likely be negatively impacted.

Real Estate Investment Trusts Risk.

In addition to risks associated with investing in real estate securities, real estate investment trusts ("REITs") are dependent upon management skills, are not diversified, and are subject to heavy cash flow dependency, risks of default by borrowers, and self-liquidation. Investment in REITs also involves risks similar to risks of investing in small market capitalization companies, such as limited financial resources, less frequent and limited volume trading, and may be subject to more abrupt or erratic price movements than larger company securities. A REIT could fail to qualify for tax free pass through of income under the Internal Revenue Code. Shareholders will indirectly bear their proportionate share of the expenses of REITs in which AUSIF invests.

Risks Associated with Residential Properties.

AUSIF may be exposed to residential properties. Residential related properties such as multifamily residential, student housing and single-family rental properties may include increased risks associated with habitability related issues and applicable regulatory requirements. Additionally, certain residential properties may have a unionized workforce subject to collective bargaining agreements, which must be complied with as part of properties' operation. A large number of risk factors potentially affect the value and successful operation of such properties, including: (i) the physical attributes of the property, such as its age, condition, design, amenities, appearance, access to transportation and construction quality; (ii) the location of the property; (iii) ability of the Investment Manager to provide adequate maintenance and insurance; (iv) the property's reputation; (v) the level of mortgage interest rates and availability of government incentives, which may encourage residents to ultimately purchase

rather than lease the homes, if possible; (vi) the presence of competing properties; (vii) the presence of local military base or industrial/business closings; (viii) the resident mix, such as the resident population being predominantly students or being heavily dependent on workers from a particular business or personnel from a local industrial unit; (ix) developments at local colleges and universities; (x) adverse local or national economic conditions, which could adversely affect the financial condition of residential owners and tenants, limit the amount of rent that may be charged and may result in a reduction of timely rent payments or a reduction in occupancy or leasing activity; (xi) state and local regulations, which may affect AUSIF's ability to increase rent to the level of market rents for an equivalent home; (xii) government assistance/rent subsidy programs available in competing homes; (xiii) the inventory of unsold homes in the local market that are being rented until economic conditions in the single-family residential market improve; and (xiv) national, regional and local politics, including current or future rent stabilization and rent control laws and agreements. In addition, any investments in single-family rental properties may be net leased to single tenants and, therefore, the financial failure of, or other default by, a single tenant under its lease may cause a complete reduction in the operating cash flow generated by the property leased to that tenant and might decrease the value of that property and result in a non-cash impairment charge.

Certain jurisdictions regulate the relationship of an owner and its tenants. Commonly, these laws require a written lease, good cause for eviction, disclosure of fees and notification to residents of changed land use, while prohibiting unreasonable rules, retaliatory evictions and restrictions on a resident's choice of unit vendors. Apartment building owners have been the subject of lawsuits under various "Landlord and Tenant Acts" and other general consumer protection statutes for coercive, abusive or unconscionable leasing and sales practices. There may be provisions that limit the basis on which a landlord may terminate a tenancy or increase its rent or prohibit a landlord from terminating a tenancy solely by reason of the sale of the owner's building. In addition to state regulation of the landlord-tenant relationship, numerous towns and municipalities impose rent regulations on apartment buildings. These ordinances may limit rent increases to certain set percentages, to certain formulas, to increases set or approved by a governmental agency, or to increases determined through mediation or binding arbitration. Due to the outbreak of COVID-19, U.S. federal and state and non-U.S. laws and regulations have been implemented that place restrictions on lenders in the real estate sector and other industries from exercising certain of their rights in the event of borrower defaults or delinquencies, including with respect to foreclosure and eviction rights. Such measures may have significant adverse impacts on the performance of fund managers that invest in real estate, such as the Investment Manager, and their ability to sell existing investments or enforce their rights against borrowers and/or tenants, including to foreclose on and dispose of collateral. Similarly, governmental assistance programs that provide rent subsidies to tenants pursuant to tenant voucher programs may influence tenant mobility and the amount of rent a tenant can pay. Changes in rent stabilization laws or the interpretation or application of such laws from time to time may reduce the amount of rent that AUSIF would otherwise be permitted to charge at one or more properties of AUSIF, which would likely reduce returns to the Limited Partners. In addition, investment in these properties presents greater risk of disputes and legal proceedings.

Risks Associated with Commercial Real Estate Investments.

AUSIF may invest in commercial real estate properties. Commercial real estate properties tend to be unique and are difficult to value. In addition, commercial real estate properties, particularly industrial and warehouse properties, are generally subject to relatively greater environmental risks than non-commercial properties and to the corresponding burdens and costs of compliance with environmental laws and other regulations. Commercial mortgage lenders typically look to the debt service coverage of a loan secured by income-producing property as an important measure of the risk of default on such a loan. Commercial property values and net operating income are subject to volatility, which may result in net operating income becoming insufficient to cover debt service on the related mortgage loan. The repayment of loans secured by income-producing properties is typically dependent upon the successful operation of the related real estate project rather than upon the liquidation value of the underlying real estate.

Risks Associated with Triple- and Modified-Net Leases.

AUSIF may invest in commercial real estate consisting of properties that are triple- and modified-net leases. The failure of the applicable tenant to satisfy its obligations under the lease will likely adversely affect the condition of the real estate. Where the real estate is leased pursuant to a triple-net lease, the tenant generally pays all insurance, taxes, utilities, common area maintenance charges, maintenance and repair expenses and indemnifies, defends and holds the landlord harmless from and against various claims, litigation and liabilities arising in connection with its business, including any environmental liabilities. There can be no assurance that the tenant under a triple- or modified-net lease will have sufficient assets, income and access to financing to enable it to satisfy its payment obligations under the lease. The inability or unwillingness of the tenant to meet its rent obligations or to satisfy its other obligations, including indemnification obligations, could materially adversely affect the business, financial position or results of operations of AUSIF. Furthermore, the inability or

unwillingness of the tenant to satisfy its other obligations under the lease, such as the payment of insurance, taxes and utilities, could materially and adversely affect the condition of the real estate.

Risks Associated with Lease Rates Over Time.

AUSIF may receive income from investments with long term net leases, which generally provide the tenant greater discretion in using the leased property than ordinary property leases, such as the right to freely sublease the property, to make alterations in the leased premises and to terminate the lease prior to its expiration under specified circumstances. Furthermore, net leases typically have longer lease terms and, thus, there is an increased risk that contractual rental increases in future years will fail to result in fair market rental rates during those years. If AUSIF does not accurately judge the potential for increases in market rental rates when negotiating these long term leases, significant increases in future property operating costs, to the extent not covered under the net leases could result in AUSIF receiving less than fair value from these leases. As a result, income to and distributions from AUSIF could be lower than they would otherwise be if AUSIF did not engage in long term net leases.

Equipment Leasing.

AUSIF may invest (directly or indirectly) in businesses involved in equipment leasing. In cases of a non-performing lessee, there are considerable costs associated with terminating leases and retrieving hard assets that can disrupt and reduce cash flow. These risks may be exacerbated in the case of lessee bankruptcy. Further, it may be difficult to re-lease or sell retrieved equipment, depending on market conditions, especially if such equipment is outdated or has been misused. In a loan against equipment transaction, also known as a sale-lease back, equipment is sold on paper by the seller and leased back. The seller obtains working capital and keeps the equipment. As with equipment leasing, there are considerable costs associated with terminating such loans and retrieving hard assets in the event that a borrower fails to make timely payments on the loan. Further, the value of the subject equipment will decline over time as a result of use by the borrower, reducing the value of the collateral backing the loan and increasing the risk that AUSIF will lose money in the event of borrower default.

Risks Related to Royalty Investments.

AUSIF may invest in royalties and other contractual cash flows, particularly in the music, film, television and pharmaceutical industries. In general, royalties are cash payments made to the holder of intellectual property. Royalty payments are commonly based on a percentage of sales and are governed by legal contract. Therefore such investments will depend in part on the success of the underlying products (the “Products”) related to such investments. There are a number of risks associated with royalty investments, including, but not limited to, sales risk, withdrawal risk, product competition, misaligned incentives with licensees, regulatory risk, and manufacturing and supply risk. To the extent any such risks adversely affect sales of Products, potential returns to AUSIF will, in turn, be adversely affected. For example, sales from Products may be lower than their historical levels or lower than the amounts projected due to pricing pressures, insufficient demand, product competition, lack of market acceptance, obsolescence, safety or efficacy issues, loss of patent protection and/or other factors. Further, a Product may be subject to withdrawal from the market at the request or direction of any applicable U.S. or non-U.S. regulatory body due to safety, regulatory or other concerns. The manufacturer or marketer of a Product may voluntarily withdraw the Product from the market for medical, technical, regulatory, copyright, commercial or other reasons. There can be no assurance that a Product will not be withdrawn by the manufacturer or marketer, on its own, or at the request or direction of or any regulatory body. The occurrence of any such risks may result in losses to AUSIF.

Non-performing Loans (“NPLs”).

AUSIF’s Investments may include investments in non-performing and sub-performing loans which may involve workout negotiations, restructuring and the possibility of foreclosure. These processes can be lengthy and expensive. Many of the NPLs will have been underwritten to “subprime” “Alternative A-Paper” or “expanded” underwriting guidelines. These underwriting guidelines are different from and, in certain respects, less stringent than the other general underwriting standards employed by originators. For example, these loans may have been originated to borrowers that have poor credit or that provide limited or no documentation in connection with the underwriting of the mortgage loan. Such loans present increased risk standards of delinquency, foreclosure, bankruptcy and loss than prime mortgage loans. An originator generally originates mortgage loans in accordance with underwriting guidelines it has established and, in certain cases, based on exceptions to those guidelines. These guidelines may not identify or appropriately assess the risk that the interest and principal payments due on a mortgage loan will be repaid when due, or at all, or whether the value of the mortgaged property will be sufficient to otherwise provide for recovery of such amounts. To the extent exceptions were made to an originator’s underwriting guidelines in originating an NPL, those exceptions may increase the risk that principal and interest amounts may not be received or recovered and compensating factors, if any, which may have been the premise

for making an exception to the underwriting guidelines may not in fact compensate for any additional risk. NPLs may be secured by investor or commercial properties which would not be used as the borrower's primary residence or second home. Because the borrower is not living on the property, the borrower may be more likely to default on the mortgage loan than on a comparable mortgage loan secured by a primary residence, or to a lesser extent, a second home. Part of AUSIF's strategy in acquiring NPLs may involve making NPL modifications to reduce delinquencies and the risk of borrower default and, ultimately, to maximize the value of the NPL. Modifications may include permanently or temporarily reducing or otherwise changing the mortgage interest rate, forgiving payments of principal or interest, extending the final maturity date, capitalizing or deferring delinquent interest and other amounts owed under the mortgage loans, deferring principal payments with or without interest, or any combination of these or other modifications. These modifications may reduce the value of the NPL. AUSIF's ability to modify NPLs may be limited due to the difficulty in contacting at-risk borrowers or creating modifications acceptable to affected borrowers. AUSIF may seek to refinance an NPL to realize the greater value from such loan. However, there may be impediments to executing a refinancing strategy for NPLs. For example, many mortgage lenders have adjusted their loan programs and underwriting standards to be more conservative, which has reduced the availability of mortgage credit to prospective borrowers. This has resulted in reduced availability of financing alternatives for borrowers seeking to refinance their mortgage loans. The decline in housing prices may also result in higher loan-to-value ratios and leave borrowers with insufficient equity in their homes to permit them to refinance. To the extent prevailing mortgage interest rates rise, these risks would be exacerbated. The effect of the above would likely serve to make refinancing of NPLs potentially more difficult and less profitable for AUSIF.

Purchasing or Lending Against Litigation Claims.

AUSIF may make loans based on anticipated future payments to be received as the result of favorably determined litigation, settlement, or mass tort claims. The results of pending litigation and/or settlements, are inherently uncertain. Lending against pending litigation and/or settlements entails unique risks because there is no guarantee that the relevant litigation will be favorably determined or that the relevant case settlement will be upheld and consummated. If the relevant litigation is determined (in a court or in an out-of-court settlement) in a manner that is adverse to AUSIF's interest, or if the relevant settlement is not approved or is overturned, AUSIF may lose some or all of its Investment. The general risks of litigation debt finance include the potential regulation or limitation of interest rates and other fees advanced in exchange for the investments made by AUSIF under U.S. federal and/or state regulation, a change in statutory or case law which limits or restricts the ability of AUSIF as a creditor to collect principal and interest at anticipated levels, claimants being unsuccessful in whole or in part in the claims upon which underlie such investments and the continued ability of the Manager to effectively analyze investments. Moreover, the underlying cases which AUSIF may finance may be unsuccessful, take considerable time (whether because of appeals or otherwise) or result in a distribution of cash, new securities or other assets, the value of which may be less than the investment made by AUSIF. AUSIF may incur additional costs in effecting a disposal of or realization on any such security or other assets.

Collateralized Securities Generally.

AUSIF has the ability to invest in Collateralized Securities (as defined below) in general. Collateralized Securities may present risks similar to those of the other types of investments in which AUSIF may invest and, in fact, such risks may be of greater significance in the case of Collateralized Securities. Moreover, investing in Collateralized Securities may entail a variety of unique risks. Set forth below is a summary of certain of the risks most commonly associated with Collateralized Securities. This summary does not purport to be a complete enumeration or explanation of such risks.

Structured credit products are structured vehicles that are similar to leveraged closed-end funds. Many structured credit products are actively managed by an independent collateral manager (a "Collateral Manager"). Structured credit products and other securitization products generally involve the issuance of tranchised securities such as, for example, CLOs or other asset-backed instruments backed by corporate and consumer receivables (both that have and that do not have a CUSIP number) or similar instruments ("Collateralized Securities") by a Securitization Vehicle. Collateralized Securities are generally issued in structured transactions with risks different from regular corporate debt. The tranches of Collateralized Securities senior (in right of payment) to the Residual Tranche (the "**Non-Residual Tranche**") are generally assigned ratings by one or more rating agencies.

These ratings range from investment grade down to non-investment grade. Generally, the junior-most tranche (i.e., the tranche whose rights to payment are not senior to any other tranche) does not typically receive a credit rating and is typically not secured (and is also typically referred to as subordinated notes, income notes, preferred shares or preferred securities, or, more generally, as "equity") (the "**Residual Tranche**"). While the Residual Tranche is typically not secured through a formal contractual grant of a security interest by the Securitization

Vehicle, such risk is mitigated by the fact that Securitization Vehicles typically contain various restrictions and protections in their indentures or issuance documents that are designed to mitigate the risks related to such status (such as, for example, restrictions on the Securitization Vehicle incurring indebtedness other than as permitted under the indenture or issuance document; restrictions on the Securitization Vehicle generally engaging in any business or activity other than issuing its Collateralized Securities and activities related or incidental thereto; restrictions on the Securitization Vehicle pledging its assets other than as permitted under the indenture or issuance document; prohibitions on holders of Collateralized Securities from petitioning the Securitization Vehicle into bankruptcy until a period of time after its Collateralized Securities have been paid in full; and provisions stating that the Securitization Vehicle's obligations under the Collateralized Securities are limited recourse obligations payable solely from the Underlying Assets or proceeds thereof, in accordance with the indenture or issuance document), in addition to the right of the Residual Tranche to receive residual amounts remaining after payment of interest on and principal of the Collateralized Securities (and the Securitization Vehicle's expenses).

The performance of a Collateralized Security will be affected by a variety of factors, including its priority in the capital structure of the issuer thereof, the availability of any credit enhancement, the level and timing of payments and recoveries on and the characteristics of the underlying receivables, loans or other assets that are being securitized (the "Underlying Assets"), whether collateral represents a fixed set of specific assets or accounts, remoteness of those assets from the originator or transferor, the adequacy of and ability to realize upon any related collateral and the capability of the servicer of the securitized assets.

In addition, the ability of Securitization Vehicles to sell assets and reinvest the proceeds may be restricted. A Securitization Vehicle may typically dispose of certain of its assets and reinvest the proceeds thereof in substitute assets subject to compliance with its investment guidelines and certain other conditions, including the terms of issuance of its debt securities. The earnings with respect to such substitute assets will depend, among other factors, on reinvestment rates available at the time and on the availability of assets satisfying the investment guidelines and otherwise acceptable to the Collateral Manager. The need to satisfy such guidelines and identify acceptable assets may require the Collateral Manager to purchase substitute assets at a lower yield than those initially acquired or require that the sale proceeds be maintained temporarily which may reduce the yield.

Illiquidity and market value volatility of the Underlying Assets and the Securitization Vehicle's own investment restrictions may restrict its ability to dispose of Underlying Assets in a timely fashion and for a fair price. Collateralized Securities may be subject to optional or mandatory redemption under certain circumstances. In certain circumstances, a Securitization Vehicle may amend the indenture or other issuance document relating to its Collateralized Securities without the consent of the holders of those Collateralized Securities (however, the circumstances under which the Securitization Vehicle may do so are generally limited to those prescribed in its indenture or other issuance document, which is generally available for review in advance of a purchase of the related Collateralized Securities). Reliable sources of statistics regarding prepayments, default and recovery rates and market value volatility may not exist for certain Underlying Assets and existing information may not be indicative of future performance. Illustrative cash flows, yields or returns, scenario analyses, expected portfolio composition and other "forward-looking" statements relating to the Collateralized Securities are based on assumptions that are unlikely to be consistent with, and may differ materially from, actual events, and no assurance can be given as to actual results.

The Collateral Manager may have conflicts of interest as a result of its overall investment activities or of its investment professionals and its affiliates. The Collateral Manager's entitlement to fees may create incentives for it to make decisions that are contrary to the best interests of holders of the Collateralized Securities. The Collateral Manager's performance history is no guarantee, and may not be indicative, of the Securitization Vehicle's future results. Because of different portfolio restrictions, structures and market conditions, among other things, the Securitization Vehicle's performance may differ markedly from that of other vehicles whose Underlying Assets are managed by the same Collateral Manager. No assurance can be given that any particular individual will be responsible for managing the Underlying Assets for any length of time. The loss of key personnel of the Collateral Manager could have a material adverse effect on the Securitization Vehicle and, therefore, its Collateralized Securities.

Interest rate risk is inherent in the structure of Collateralized Securities, including interest rate mismatches between the Securitization Vehicle's Collateralized Securities and its Underlying Assets, and could adversely affect the Securitization Vehicle's cash flows. The duration of more subordinated Collateralized Securities will be affected by the average life of more senior Collateralized Securities (which is expected to be shorter than their stated maturity).

The imposition of unanticipated withholding taxes on a Securitization Vehicle's assets or tax on its net income (as a result of changes in law or other causes) could materially impair the Securitization Vehicle's ability to make

payments in respect of its Collateralized Securities. Holders of Collateralized Securities may be subject to withholding on payments from those Collateralized Securities or forced transfer thereof for failure to provide the related Securitization Vehicle with certain tax information (including, but not limited to, information required under FATCA).

No assurance can ever be given that any Collateralized Securities will be listed on a securities exchange. The Collateralized Securities are not expected to be registered under the 1933 Act and no Securitization Vehicle is (nor is its pool of assets) expected to be registered under the Investment Company Act. Generally, there is less governmental supervision and regulation of exchanges, brokers and Securitization Vehicles in less developed markets.

Structured credit products and other Securitization Vehicles are generally limited-recourse obligations of the issuer payable solely from the Underlying Assets of the issuer or proceeds thereof, and the Collateralized Securities they issue will not be guaranteed by any person. Consequently, holders of Collateralized Securities must rely solely on distributions on the Underlying Assets or proceeds thereof for payment in respect thereof. The distributions on Collateralized Securities generally depend solely upon the amount and timing of payments and other collections on the related underlying collateral, the amount of which is typically established to withstand certain assumed deficiencies in payment occasioned by defaults of the underlying collateral. If any deficiencies exceed such assumed deficiency levels, payments on the related Collateralized Securities could be adversely affected by defaults.

A common feature in Collateralized Securities AUSIF intends to invest in is that the cash flows generated by the Underlying Assets are used to make payments to holders of Collateralized Securities in sequential order of priority. Distributions on Residual Tranches are generally made only after payment of interest on and principal of the Non-Residual Tranches (and the Securitization Vehicle's expenses). Although there is generally no interest due on Residual Tranches, distributions may be made to holders of Residual Tranches on each payment date after all of the other required payments are made on such payment date. There can be no assurance that after making such required payments there will be any remaining funds available to pay distributions on, or fully repay principal of, the Residual Tranche. Failure (or increased likelihood of failure) to make distributions on a Residual Tranche could have a material adverse effect on the liquidity and market value of such Residual Tranche. In addition, the Underlying Assets collateralizing Collateralized Securities are subject to liquidation upon the failure of certain tests, and it is likely that any such liquidation could result in a substantial loss of value on the related Collateralized Securities.

Any investment by AUSIF in Residual Tranches and, often, an investment in junior and mezzanine Non-Residual Tranches, will represent leveraged investments in the Underlying Assets. Residual Tranches are the most illiquid class of Collateralized Securities and the tranche most likely to suffer a loss. The market value of these investments would be anticipated to be significantly affected by, among other things, changes in the market value of the related Underlying Assets, changes in the distributions on such Underlying Assets, defaults and recoveries on such Underlying Assets, capital gains and losses on such Underlying Assets, prepayment on Underlying Assets and the availability, prices and interest rate of such Underlying Assets. Accordingly, a Residual Tranche may not be paid in full and may be subject to up to 100% loss, followed by the junior-most Non-Residual Tranche and then each Non-Residual Tranche immediately senior to that Non-Residual Tranche until the loss has been fully absorbed. Furthermore, the leveraged nature of each subordinated class may magnify the adverse impact on each such class of the foregoing factors.

Any investment by AUSIF in Residual Tranches would subject AUSIF to the "first loss" subordinate holder position. In addition, any investment by AUSIF in junior and mezzanine Non-Residual Tranches, as well as Residual Tranches, would generally be subordinated to substantial amounts of senior indebtedness, all or a significant portion of which may be secured. Investments in subordinate securities have a higher risk of loss than investments in more-senior securities. If any event of default occurs and more than one class of Collateralized Securities is then outstanding, the controlling class (which will generally be the most-senior class outstanding) will be entitled to determine the exercise of remedies and could pursue remedies that are adverse to the interests of subordinate classes. Accordingly, in the event of a default by the Securitization Vehicle, the remedies available to the holders of Residual Tranches as well as junior and mezzanine Non-Residual Tranches will be substantially less than that of holders of more-senior tranches. In addition, the trustee for the Collateralized Securities will have no obligation to act on behalf of the holders of the Residual Tranche except as expressly provided in the related indenture or other issuance document.

Investment in Reorganizations and Restructurings.

AUSIF may make investments in restructurings that involve companies that are experiencing or are expected to or may experience severe financial difficulties. These severe financial difficulties may never be overcome and may cause such companies to become subject to bankruptcy proceedings. In such situations, AUSIF's Investment is subject to the risk that a bankruptcy filing may adversely and permanently impact the value of a company and that high administrative costs may impair the value of the company. In addition, such investments could subject AUSIF to certain additional potential liabilities that may exceed the value of AUSIF's original investment therein. For instance, under certain circumstances, payments to AUSIF and distributions by AUSIF to the Shareholders may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance, preferential payment or similar transaction under applicable bankruptcy and insolvency laws. Furthermore, investments in distressed companies and restructurings may be adversely affected by statutes relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the court's discretionary power to disallow, subordinate or disenfranchise particular claims.

Having a "blocking position" in a security that is subject to a plan of reorganization or a restructuring entails significant risks if AUSIF's evaluation of the anticipated outcome of the investment situation should prove incorrect. In addition, an investment in a company involved in a reorganization proceeding or restructuring entails significant risks and may be adversely impacted if AUSIF's evaluation of the anticipated outcome of the investment situation should prove incorrect. Accurate information pertaining to the true condition of such issuers is frequently difficult to obtain.

Some of the investments AUSIF will make may require active monitoring and representation on official and unofficial creditors' committees for a company involved in a reorganization proceeding or restructuring. Accordingly, AUSIF may seek representation on such committees from time to time if the Investment Manager, in its discretion, determines that such representation is necessary or advisable to protect or further AUSIF's interests. Serving on an official or unofficial committee increases the possibility that AUSIF will be deemed an "insider" or a "fiduciary" of the company it has so assisted and may restrict AUSIF's trading of its investments in such company and exposes the person serving on the committee to litigation risks. Should such assistance be provided before a company enters bankruptcy proceedings, the bankruptcy court, under certain conditions such as a finding of fraud or inequitable conduct, may invoke the doctrine of "equitable subordination" with respect to any claim or equity interest held by AUSIF in such company and therefore may subordinate any such claim or equity interest in whole or in part to other claims or equity interests in such company. See also "—Risks Arising from Provision of Managerial Assistance" and "—Lender Liability Considerations, Equitable Subordination and Recharacterization" for additional risks relating to serving on such committees.

Risk Related to Financing Liquidity Solutions.

AUSIF may invest with or alongside general partners or managers of private funds in connection with a variety of liquidity and similar solutions in respect of such private funds (the "Underlying Funds"). The success of each of such investment is subject in part to those risks which are inherent in buyout, credit, energy, real estate and such other investments undertaken by the Underlying Funds. These risks are generally related to (i) the ability of each of the general partners, and the Underlying Funds they manage and control, to select and manage successful investment opportunities; (ii) the quality of the management of each portfolio company in which the Underlying Funds invest; (iii) the ability of the Underlying Funds to liquidate their investments; and (iv) general economic conditions. There can be no assurance that the investments made by the Underlying Funds will result in attractive rates of return to AUSIF. AUSIF will endeavor to negotiate appropriate management and control rights in connection with such investments, including negative controls and approval and information rights but notwithstanding any rights ultimately agreed upon, AUSIF may have limited ability to protect its position in certain circumstances (other than by exercise of those rights afforded by investors generally); this risk is heightened by the bespoke informational and control arrangements that the Investment Manager expects may be implemented between AUSIF and counterparties. AUSIF is not expected to be able to participate in the management and control of the Underlying Funds in which it indirectly holds investments nor of the portfolio companies in which the Underlying Funds have invested, nor will he Fund necessarily have management or control of the general partners. As a result, the returns of the portfolio investments will depend in large part on the performance of the general partners, including in their capacity managing the Underlying Funds. Further, should an Underlying Fund's general partner become incapacitated or in some way cease to participate in the management of such Underlying Fund, the performance of such Underlying Fund and thus the general partner (and consequently the portfolio investment) could be adversely affected.

ABS, MBS and RMBS Generally.

The investment characteristics of asset-backed securities ("ABS") and mortgage-backed securities ("MBS") differ from traditional debt securities. Among the major differences are that interest and principal payments are made

more frequently, usually monthly, and that the principal may be prepaid at any time because the underlying loans or other assets generally may be prepaid at any time.

ABS and MBS Subordinated Securities. Investments in subordinated MBS and ABS involve greater credit risk of default than the senior classes of the issue or series. Default risks may be further pronounced in the case of MBS and ABS secured by, or evidencing an interest in, a relatively small or less diverse pool of underlying loans. Certain subordinated securities absorb all losses from default before any other class of securities is at risk, particularly if such securities have been issued with little or no credit enhancement or equity. Such securities, therefore, possess some of the attributes typically associated with equity investments.

Commercial MBS. Mortgage loans on commercial properties often are structured so that a substantial portion of the loan principal is not amortized over the loan term but is payable at maturity and repayment of the loan principal thus often depends upon the future availability of real estate financing from the existing or an alternative lender and/or upon the current value and salability of the real estate. Therefore, the unavailability of real estate financing may lead to default.

Most commercial mortgage loans underlying MBS are effectively nonrecourse obligations of the borrower, meaning that there is no recourse against the borrower's assets other than the collateral. If borrowers are not able or willing to refinance or dispose of encumbered property to pay the principal and interest owed on such mortgage loans, payments on the subordinated classes of the related MBS are likely to be adversely affected. A third party servicer and special servicer will typically be appointed by the MBS issuer to exercise the rights of the MBS issuer as a lender and where there is a payment default on the underlying commercial mortgage loans, it will often be the special servicer that is tasked with implementing a strategy to maximise recoveries. The ultimate extent of the losses incurred by holders of MBS, if any, may depend on the ability of the special servicer to implement a successful strategy with respect to the commercial mortgage loans and underlying property portfolio which may include work-outs and/or enforcement. Holders of different classes of MBS are likely to have varying powers and rights with respect to the special servicer and its proposed resolution strategy.

Factors such as the property's location, the legal status of title to the property, its physical condition and financial performance, environmental risks, and governmental disclosure requirements with respect to the condition of the property may make a third party unwilling to purchase the property following an enforcement or to pay a price sufficient to satisfy the obligations with respect to the related MBS. Revenues from the assets underlying such MBS may be retained by the borrower and the return on investment may be used to make payments to others, maintain insurance coverage, pay taxes or pay maintenance costs. Such diverted revenue is generally not recoverable without a court appointed receiver to control collateral cash flow.

ABS. ABS represent a different risk profile to MBS on the basis that these securities may not have the benefit of the same security interest in the underlying collateral. Credit card receivables, for example, are generally unsecured meaning that there is a possibility that recoveries on defaulted collateral may not be available to support payment on these securities and the debtors are often entitled to the protection of consumer credit laws, many of which give such debtors the right to set off certain amounts owed on the credit cards, thereby reducing the balance due.

The collateral supporting ABS is of shorter maturity than certain other types of loans and is less likely to experience substantial prepayments. ABS are often backed by pools of any variety of assets, including, for example, leases, mobile home loans and aircraft leases, which represent the obligations of a number of different parties and use credit enhancement techniques such as letters of credit, guarantees or preference rights. The value of an ABS is affected by changes in the market's perception of the asset backing the security and the creditworthiness of the servicing agent for the loan pool, the originator of the loans or the financial institution providing any credit enhancement, as well as by the expiration or removal of any credit enhancement. Economic and political factors such as prevailing interest rates and levels of employment and taxation are also likely to impact on repayments and default rates on the underlying collateral and therefore the value of the related ABS.

RMBS. Holders of residential mortgage backed securities ("RMBS") are exposed to the risks associated with a pool of residential mortgages and as such bear various risks, including credit, market, interest rate, structural and legal risk. Unlike in the United States where a significant proportion of RMBS are issued by US government agencies (most significantly Federal National Mortgage Association (Fannie Mae) and Federal Home Loan Mortgage Corporation (Freddie Mac)) and therefore guaranteed, European RMBS tends to represent unguaranteed payment obligations of the underlying borrowers.

Investment in RMBS is likely to experience the adverse effects of a deterioration in household finances in the jurisdictions in which the underlying borrowers are located. For example, a period of high inflation which began in 2022 and which is continuing in both the United Kingdom and Eurozone has resulted in rising interest rates

and low levels of consumer confidence across the affected jurisdictions and this is likely to negatively impact credit performance of UK and European RMBS. The extent of such negative impact will be dependent upon certain factors which may lead to heightened risk, for example, greater exposure to interest-only loans, variable rate mortgage products or borrowers with weak historical performance are all likely to exacerbate any deterioration of credit performance. Other factors such as trends in the labour market in the jurisdiction of the underlying borrowers may also have an impact on investments in RMBS. Whilst mortgage borrowers tend to continue to make monthly payments to the extent that they have the ability to do so, meaning that arrears tend to accrue more slowly than with other types of consumer borrowing, a sustained period of heightened unemployment is likely to result in heightened levels of mortgage defaults over time.

At any one time, a portfolio of RMBS may be backed by residential mortgage loans with disproportionately large aggregate principal amounts secured by properties in only a few jurisdictions or regions. As a result, the residential mortgage loans may be more susceptible to geographic risks relating to such areas, such as adverse economic conditions, adverse events affecting industries located in such areas and natural hazards affecting such areas, than would be the case for a pool of mortgage loans having more diverse property locations. In particular, it should be noted that investing in RMBS in particular European jurisdictions may involve certain esoteric risks as a result of differing market practices. For example, whereas in the United Kingdom mortgage loans are often fixed for a period of two (2) or five (5) years, in Portugal mortgage loans tend to be floating and in France they are typically fixed for their entire tenor. This might mean that where interest rates are rising, deterioration in credit performance would be more pronounced on a portfolio of Portuguese mortgage loans as compared to a portfolio of UK mortgage loans which in turn might suffer from greater deterioration in credit performance compared to a portfolio of French mortgage loans.

Prepayments on the underlying residential mortgage loans backing an issue of RMBS will be influenced by the prepayment provisions of the related mortgage loans and may also be affected by a variety of economic, geographic and other factors, including the difference between the interest rates on the underlying residential mortgage loans (giving consideration to the cost of refinancing) and prevailing mortgage rates and the availability of refinancing. In general, if prevailing interest rates fall significantly below the interest rates on the related residential mortgage loans, the rate of prepayment on the underlying residential mortgage loans would be expected to increase. Conversely, if prevailing interest rates rise to a level significantly above the interest rates on the related mortgages, the rate of prepayment would be expected to decrease. Prepayments could reduce the yield received on the related issue of RMBS. RMBS are particularly susceptible to prepayment risks, as they generally do not contain prepayment penalties and a reduction in interest rates will increase the prepayments on the RMBS, resulting in a reduction in yield to maturity for holders of such securities.

Infrastructure Debt Investments

AUSIF seeks to primarily self-originate investments and provide debt capital to U.S. and European mid-market companies with a target EBITDA between \$10 million and \$250 million + as further described in Section III: “*Investment Information*” of this Annex, AUSIF also has the flexibility to invest in other infrastructure debt investments. Please refer to the risk factors stated below for more information on the risks associated with such infrastructure debt investments.

Project Financings

Some of AUSIF’s Investments will be structured on a project finance basis. A project finance structure entails the assumption of “project risk” by equity or debt investors such as AUSIF, usually without recourse to a project sponsor. Risks may arise in construction due to design and construction flaws. The project may have difficulty locating customers for power or such other commodity that is generated, and projected markets for such items may not materialize. Projects in which AUSIF invests may experience shortages of skilled personnel. Operations may depend upon government licenses, franchises, and contracts, which may be subject to termination, revocation or modification. AUSIF’s Investments may be adversely affected by storms and other natural disasters. Operators of projects may be adversely affected by sharp increases in component prices and in some cases limited availability of supplies. Power producers may also be adversely affected by events that affect the creditworthiness of the electric utilities to which they sell power. Regulatory changes may affect or require substantial modifications to key project documents, including power sales, interconnection, and power transmission agreements and other offtake agreements, and may impact tax treatment and profitability.

Use of Debt to Finance Infrastructure Projects

Most infrastructure projects are financed using a high degree of debt measured as a proportion of the total enterprise value. As such, AUSIF expects that a portion of its Investments will consist of interests in loans

originated by banks and other financial institutions. The loans invested in by AUSIF may include term loans and revolving loans, may pay interest at a fixed or floating rate and may be senior or subordinated. Purchasers of bank loans are predominantly commercial banks, investment funds and investment banks. The value of an investment in AUSIF may be negatively impaired by either adverse interest rate movements or deterioration in the cashflow available to a project to service projected debt obligations.

The cost and availability of leverage is highly dependent on the state of the broader credit markets, which state is difficult to accurately forecast. During times when credit markets are tight, it may be difficult for a project to obtain or maintain the desired degree of leverage. Leverage often imposes restrictive financial and operating covenants on a project, in addition to the burden of debt service, and may impair its ability to finance future operations and capital needs.

If any project in which AUSIF is invested cannot generate adequate cashflow to meet debt service, AUSIF may suffer a partial or total loss of capital invested, which could adversely affect the returns of AUSIF Fund.

International Investing.

AUSIF may invest, directly or indirectly, in Underlying Issuers who, at the time of initial investment, are non-European Obligors. Although the Investment Manager believes that investing in these markets may offer significant potential for appreciation and portfolio diversification, prospective investors should recognize that investing in international markets may subject AUSIF to certain risks not typically associated with investing in assets in the UK and/or Europe. The investor should consider a number of potential risks associated with investments in international markets, including, without limitation: (i) that costs and expenses of investing in such markets may be higher than in the UK and Europe; (ii) risks of economic dislocations or other adverse economic events in the host country; (iii) differences in their securities markets, including potential price volatility in and relative illiquidity of some international securities markets; (iv) political/sovereign risk arising from government actions (including seizure or nationalization of foreign deposits), trade barriers, exchange controls, different monetary systems, nationalization, expropriation, political changes, economic or social instability (including the risk of sovereign defaults), the risk of war or terrorism or civil unrest; (v) investment and repatriation restrictions arising from laws and regulations limiting or precluding direct foreign investment, foreign ownership restrictions, the possible inability to obtain approval for foreign investment, and unanticipated legal or regulatory changes; (vi) differences in conventions relating to documentation, settlement, corporate actions, stakeholder rights and other matters; (vii) the different accounting, auditing and financial reporting standards, practices and disclosure requirements and potentially less government supervision and regulation; (viii) different legal frameworks, regulatory systems and/or corporate laws regarding stakeholder rights, creditors' rights (including the rights of secured parties), breach of contract actions, fiduciary duties and the protection of investors, and the consequent potential difficulty of obtaining enforceable legal redress; (ix) costs associated with conversion of and limitations on the convertibility of currency, or limitations on the removal of securities, property or other assets of an obligor; (x) currency risk; (xi) regulatory change, and the possibility of expropriation or confiscatory taxation or the imposition of withholding or other taxes on dividends, interest, capital gains, other income or gross sales or disposition proceeds, as well as application of transaction-based taxes such as stamp duty taxes; (xii) the possible imposition of foreign taxes on income, gains and gross sale or other proceeds recognized with respect to such securities or instruments; and (xiii) adverse diplomatic or political developments. While these factors will be taken into consideration in making investment decisions for AUSIF and AUSIF will be managed in a manner the Investment Manager believes would minimize exposure to the foregoing risks, there can be no assurance that these risks will be evaluated accurately or that adverse developments with respect to such risks will not adversely affect the value or realization of such investments that are held by AUSIF.

Risks Relating to the Infrastructure Sector

Most infrastructure assets have unique locational and market characteristics, which could make them highly illiquid or appealing only to a narrow group of investors. Infrastructure investments expose AUSIF to numerous risks, usually without recourse to the general credit of a project sponsor, including (without limitation) construction, environmental, regulatory, permitting, commissioning, start-up, operating, economic, commercial, contractual, political, innovation, and financial risks. AUSIF may also invest in early developmental stage projects, involving risks of failure to obtain or substantial delays in obtaining regulatory, environmental or other approvals or permits; financing; and suitable equipment supply, operating and offtake contracts. Finally, AUSIF will be subject to additional infrastructure sector risks, including (i) the risk that technology employed will be not be effective or efficient; (ii) the risk of equipment failures, fuel interruptions, loss of sale and supply contracts; (iii) changes in power or fuel contract prices, bankruptcy of or defaults by key customers, suppliers or other counterparties, and tort liability; (iv) risk of changes of values of infrastructure sector companies; (v) risks

associated with employment of personnel and unionized labor; and (vi) political and regulatory considerations and popular sentiments that could affect the ability of AUSIF to make such investments on favorable terms. The occurrence of events related to any of the foregoing could have a material adverse effect on AUSIF and its Investments. There can be no assurance that AUSIF's Investments will be profitable or generate cash flow sufficient to service their debt or provide a return on or recovery of amounts invested therein. To the extent that AUSIF invests in assets that are governed by lease or concession agreements with governmental authorities, there is a risk that these authorities may not be able to honor their obligations under the agreement, especially over the long term. Such lease or concession agreements may also contain clauses more favorable to the governmental counterparty than a typical commercial contract and may restrict AUSIF's ability to maximize cash flows and profitability with respect to the investment. Furthermore, governmental authorities have considerable discretion in implementing regulations that could impact these businesses, and because infrastructure assets provide basic, everyday services, and face limited competition, governments may be influenced by political considerations and may make decisions that adversely affect AUSIF's Investments.

Risks Relating to Public-Private Partnerships

Target sector investments may be implemented through concession agreements or leases with governmental authorities (whether at the federal, provincial, state, local, municipal or other level), particularly in the target sector of renewable power generation. Bidding on such projects may be subject to public procurement laws. Once contracted, authorities may not honor their obligations under such agreements, especially over the long term, for lack of political will or for budgetary reasons among others. Government leases or concessions may also contain clauses more favorable to the government counterparty than would a typical commercial contract: a lease or concession may enable the government to terminate the lease or concession in certain circumstances without requiring it to pay adequate compensation. In addition, government counterparties also may have the discretion to change or increase regulations or implement new laws or regulations affecting AUSIF's operations. Governments have considerable discretion in implementing regulations where such businesses provide basic, everyday services, and face limited competition. As a result, governments may make decisions in respect of infrastructure assets that are politically expedient, but adversely affect AUSIF's Investments.

Risks of Transmission Constraints and Renewable Penetration Limits

AUSIF may invest in renewable generation, the production of which is limited in some areas by transmission constraints, and independent system operator concerns over reliability and dependability of intermittent generation in the mix. Further, many sites with the best wind or solar resources, with sufficient land to build a plant, are located some distance from load. While these concerns may negatively impact the development of renewable resources, such risks may drive development of energy storage.

Further, risk exists that demand for and development of renewable energy does not continue to grow as expected, due to low energy costs from fossil or nuclear power sources, local opposition to development, or the inability of the grid to absorb intermittent power in greater quantities, among other reasons.

Competitive Pressures.

The market for assets in the target sectors is competitive. AUSIF's competitors will include dividend-oriented investment vehicles, diversified energy project owners, private equity funds, investor-owned utility holding companies, strategic investors and companies focused on renewable energy generation. AUSIF will compete with these companies to acquire interests in projects with projected stable cash flows that can be built in a cost-effective manner. Each portfolio company will also compete with other solar and wind power developers for the limited pool of personnel with requisite industry knowledge and experience. If there are shortages of necessary equipment or components in the future, solar panel, inverter, turbine and other component manufacturers may give priority to other market participants, including AUSIF's competitors, who may have greater resources.

Other entities could construct new facilities or expand existing facilities that could potentially serve the same markets as one of the portfolio companies in which AUSIF is invested. Any such new facility could offer services that are more desirable to customers because of locations, rates or other factors. These new facilities could charge rates or provide service to locations that could result in savings for shippers and producers and thereby force a portfolio company to lower the rates charged for services on its services in order to extend existing service agreements or to attract new customers. An increase in the availability of competing alternative facilities or services could result in a significant reduction in a portfolio company's revenue.

AUSIF will also compete with power companies and the wider market in general, not limited to those focusing on infrastructure debt, for the lowest cost financing. Depending on the regulatory framework and market dynamics of a region, AUSIF may also compete with other power companies and infrastructure debt energy generators when projects bid on or negotiate for long-term power sale agreements. Natural gas and coal prices tend to be volatile and to drive power prices.

AUSIF has no control over where its competitors may site competing projects. AUSIF's portfolio solar energy projects may face competition in local markets from utilities, construction companies or increasingly sophisticated electrical and roofing companies. In addition, competitors may erect wind projects adjacent to wind projects in which AUSIF is invested that may cause upwind array losses to occur at such wind projects. Upwind array losses reflect the diminished wind resource available at a project resulting from interference with available wind caused by adjacent wind turbines. An adjacent wind power project that causes upwind array losses could have a material adverse effect on AUSIF's Investments which may in turn impact AUSIF's business, financial condition and results of operations.

Additionally, forms of energy compete with each other, including solar, wind, geothermal, biopower, natural gas, electricity, coal, hydroelectric power, nuclear power, and fuel oil. The principal elements of competition among alternative forms of energy are based on the existing infrastructure, rates, terms of services, access to supply, emissions and reliability. Such competition could decrease demand for a portfolio company's services in the markets such portfolio company serves.

Further, new innovations and combinations may affect demand for goods or services currently provided in the target sectors. For instance, battery storage may make solar power more competitive, accelerating demand for both batteries and solar. Separately, ride sharing services might impact individual households' demand for new electric vehicles.

Demand Side Changes

The amount of solar and wind power consumed by the electric utility industry is affected primarily by the overall demand for electricity, environmental and other government regulations and the price and availability of fuels such as nuclear, coal, natural gas and oil as well as other sources of renewable energy. A decline in prices for these fuels could negatively impact the rate of replacement of aging, inefficient fossil resources, cause demand for solar and wind power to decrease and adversely affect the demand for renewable energy. For example, low natural gas prices have led, in some instances, to increased natural gas consumption by electricity-generating utilities in lieu of other power sources. To the extent renewable energy becomes less cost-competitive on an overall basis as a result of a lack of governmental incentives, cheaper alternatives or otherwise, demand for solar and wind power and other forms of renewable energy could decrease. Slow growth in overall demand for electricity or a long-term reduction in the demand for renewable energy could have a material adverse effect on the AUSIF's investment plans and could, in turn, have a material adverse effect on the results of operations and cash available for distribution.

Risks of Change in Law or Regulation

Infrastructure development and operations are heavily impacted by laws and regulations, including production, generation, supply, operation, and ownership. Changes in the energy markets, network charges or other market rules could negatively impact the grid and projects impacted thereby, including generation facilities and battery storage projects.

AUSIF must comply with various legal requirements, including requirements imposed by the securities laws, commodities laws, tax laws and pension laws in various jurisdictions. Should any of those laws change, the legal requirements to which AUSIF may be subject could differ materially from current requirements. Such changes may also adversely affect AUSIF. Energy and utility regulatory requirements, and the availability of exemptions from power sales rate regulation, from the regulation of investments and of financings in the electric sector, and the tariffs and regulations relating to electrical interconnection all change frequently.

Energy Regulatory Matters

AUSIF may invest in infrastructure debt projects in the electricity sector, which are subject to laws and regulations, approvals, and compliance requirements regarding electricity production, transmission, and sale. Compliance with the requirements under these various regulatory regimes may cause AUSIF incur significant costs, and failure to comply with requirements could result in the disconnection and/or shutdown of

the noncomplying facility, the inability to sell electricity from the non-complying facility, the default of contracts for the sales to be made from the non-complying facility, defaults under financing agreements, the imposition of liens, fines, refunds and interest, and/or civil or criminal liability.

Risks of Industry Specific Tariffs.

A subcategory of change in law risk, the risk of tariffs on goods particularly from China, currently stands to impact many solar panel and other manufacturers, developers and end users. While it remains to be seen if this risk lessens or spreads to other segments of the industry, the uncertainty and additional costs resulting from the tariffs may impact project development costs, particularly in the solar and wind power industries for the near future.

Change in Government Support (Tax Credits, Net Metering, Tax Rates).

Another subcategory of change in law risk is the revision or repeal of current subsidies or preferential tax treatment. Solar and wind power generation projects have historically benefitted from tax credits and accelerated depreciation, among other incentives. Uncertainty around the future of such benefits (including tax credits, which are currently scheduled to sunset or be reduced in the near future) may slow development in these areas. Additionally, even should these tax credit and accelerated depreciation benefits remain fully in place in their current form, the reduction in the federal corporate income tax rate may lessen the appetite of certain investors for tax favored transactions and investments.

Additionally, some infrastructure projects will derive substantially all of their revenues from tolls, tariffs or other usage fees. Users of the applicable service may react negatively to any adjustments to the applicable rates, or the public may cause relevant government authorities to challenge such rates. In addition, adverse public opinion, or lobbying efforts by specific interest groups, could result in governmental pressure on a portfolio company or a fund to reduce its rates, or to forego planned rate increases.

Unforeseen Events and Risk of Force Majeure Events

Use of infrastructure assets may be interrupted or otherwise affected by a variety of events outside of the control of AUSIF, the AIFM or the Investment Manager, including serious traffic accidents, natural disasters (including fire, floods, earthquakes and typhoons), man-made disaster (including terrorism and acts of war), defective design, construction and maintenance, slope failure, bridge and tunnel collapse, road subsidence, fuel prices, environmental legislation or regulation, general economic conditions, labor disputes, public health emergencies and other unforeseen circumstances and incidents. The physical risks of climate change, such as more frequent or more extreme weather events, changes in sea level, temperature and precipitation patterns, ground and surface water availability, and other related phenomena may exacerbate these risks. Certain of these events have affected toll roads, bridges, tunnels and other infrastructure assets in the past, and if the use of the infrastructure asset is interrupted in whole or in part for any period as a result of such events the relevant investment could experience a reduction in revenues, increased costs of maintenance or restoration and loss or reduction of overall public confidence. Such issues, if experienced at the facilities of one or more portfolio companies in which AUSIF is invested, could adversely impact such portfolio companies' returns or revenues, increase costs to repair and maintain certain systems, subject such portfolio companies to potential litigation and/or damage claims and increase the level of oversight of the transmission and generation operations and infrastructure of such portfolio companies, which may in turn impact AUSIF. In some cases, project agreements could be terminated if the events described above were so catastrophic that they could not be remedied within a reasonable period or at all.

Extreme weather events, including hurricanes or storms or other natural disasters, could be destructive and result in casualty losses that are not ultimately offset by insurance proceeds or in increased capital expenditures or costs, including supply chain costs. Moreover, an extreme weather event could cause disruption in service to customers due to downed wires and poles or damage to other operating equipment, which could result in a portfolio company foregoing sales of electricity and lost revenue. Similarly, an extreme weather event might affect the availability of generation and transmission capacity, limiting a portfolio company's ability to source or deliver electricity to where it is needed. These conditions, which cannot be reliably predicted, could have an adverse consequence by requiring a portfolio company to seek additional sources of electricity when wholesale markets are tight or to seek to sell excess electricity when those markets are weak. Variations in weather conditions, primarily temperature and humidity, also would be expected to affect the energy needs of customers.

Further, even weather within the normal range can impact production at certain energy power generation facilities, such as solar and wind energy projects. Actual conditions of such a project's location, even after feasibility assessments, may not perform sufficiently to meet projected energy generation levels, which could adversely affect AUSIF.

If solar or wind conditions are unfavorable, revenues from renewable generation facilities may be substantially below expectations. The electricity produced and revenues generated by a solar or wind energy generation facility is highly dependent on suitable solar or wind conditions, as applicable, and associated weather conditions, which are beyond the control of AUSIF, the AIFM or the Investment Manager. Furthermore, components of generating projects' systems, such as solar panels and inverters, could be damaged by severe weather, such as hailstorms or tornadoes. In addition, replacement and spare parts for key components may be difficult or costly to acquire or may be unavailable. Unfavorable weather and atmospheric conditions could impair the effectiveness of the generating assets or reduce their output beneath their rated capacity or require shutdown of key equipment, limiting the revenues of AUSIF's portfolio of renewable assets. In addition, climate change may have the long-term effect of changing wind patterns at AUSIF's projects. Changing wind patterns could cause changes in expected electricity generation. These events could also degrade equipment or components and the interconnection and transmission facilities' lives or maintenance costs.

Additionally, by their very nature as strategic investments, infrastructure debt investments in the target sectors may face greater risks of terrorist acts or political actions, and some of these risks may not be insurable. Risks that are beyond the control of AUSIF, the AIFM or the Investment Manager, including but not limited to acts of terrorism or related acts of war, natural disaster, hostile cyber intrusions or other catastrophic events, could have a material adverse effect on AUSIF's business, financial condition and results of operations. The infrastructure debt projects in which AUSIF invests, as well as the facilities of third parties on which the projects rely, may be targets of terrorist activities, as well as events occurring in response to or in connection with them, that could cause environmental repercussions and/or disrupt the projects' ability to operate and produce revenue. Strategic targets, such as energy projects, may be at greater risk of future terrorist activities than other domestic targets. Hostile cyber intrusions, including those targeting information systems as well as electronic control systems used at AUSIF's plants and for the related distribution systems, could disrupt business operations and result in loss of service to customers, as well as create significant expense to repair security breaches or system damage.

Some projects may be located in or near earthquake, fire, and/or flood zones, and certain of AUSIF's projects and suppliers conduct their operations in the same region or in other locations that are susceptible to disasters. The occurrence of a disaster, such as an earthquake, drought, flood or localized extended outages of critical utilities or transportation systems or any critical resource shortages, affecting AUSIF's Investments or their suppliers, could interrupt AUSIF's business, damage or destroy its facilities or those of its suppliers or the manufacturing equipment or inventory of its suppliers.

Any terrorist acts, environmental repercussions or disruptions or natural disasters could result in a significant decrease in revenues or significant reconstruction or remediation costs, beyond what could be recovered through insurance policies, which could have a material adverse effect on AUSIF's business, financial condition and results of operations.

Availability of Insurance

Certain losses of a catastrophic nature, such as wars, earthquakes, typhoons, hurricanes, terrorist attacks, floods, pandemics or other similar events, may be either uninsurable or insurable at such high rates that to maintain such coverage would cause an adverse impact on the related AUSIF Investments. In general, losses related to terrorism are becoming harder and more expensive to insure against. Some insurers are excluding terrorism coverage from their all-risk policies. In particular, the projects in which AUSIF will invest face risks inherent in the digital, energy, transportation, and utilities sectors. They will be exposed to public security, equipment, infrastructure, disaster, and environmental risks. Insurance policies may not cover losses as a result of force majeure. In addition, while a portfolio company's insurance policies for some of its projects may cover losses as a result of certain types of natural disasters, terrorist attacks or sabotage, among other things, such coverage is not always available in the insurance market on commercially reasonable terms and is often capped at predetermined limits, such as by offering significantly limited coverage against terrorist acts for additional premiums, which can greatly increase the total costs of casualty insurance for a property, if decided to be obtained. As a result, all AUSIF Investments may not be insured against terrorism or certain other risks. In addition, a portfolio company's insurance policies are subject to annual review by its insurers and may not be renewed on similar or favorable terms or at all. A serious uninsured loss or a loss significantly exceeding the limits of a portfolio company's insurance policies

could have a material adverse effect on its business, financial condition and results of operations, such as losing both invested capital in and anticipated profits from the affected AUSIF Investments. In general, the Investment Manager will not have discretion as to the type and level of coverage to obtain, or whether to obtain insurance at all.

Negative Publicity

AUSIF's investment strategy may include the making of investments in companies that receive a high degree of media coverage. Negative or unfavorable publicity regarding a company's product, product quality, litigation, or regulatory activity, or regarding the actions of third parties with whom it has relationships could seriously harm a company's brand, reputation and business. In addition, events in a company's industry, even if unrelated to such company, may negatively affect its brand, reputation and business. As a result, such negative or unfavorable publicity may adversely impact the company's and/or AUSIF's reputation, and may result in material adverse consequences to AUSIF's investment in the company and, potentially, AUSIF's ability to execute its investment strategy.

Business Risk

Like any other business, the viability of an infrastructure asset is reliant on the revenue, costs and profitability of that asset. Variability in any of these factors will affect the value of an Investment. These risks are particularly acute for construction ready investments that lack established revenue and profitability track records.

Infrastructure assets can often experience gradually increasing or fluctuating patronage in the early years of operation, and there is also a risk that the demand for use of the asset may be less than originally projected.

Operational Risk and Technology

AUSIF may invest in operating infrastructure facilities. Operation of such facilities involves certain operational risks, which include: the possibility of performing below expected levels of output, availability or efficiency; interruption in fuel or other necessary supplies; increases in the cost of necessary supplies; disruptions in the offtake of energy or other production; power shutdowns; breakdown or failure of equipment or processes; accidental discharges of hazardous materials; labor disputes; changes in law; failure to obtain or maintain necessary governmental permits; or catastrophic events such as fires, earthquakes, lightning, explosions, hurricanes, tornados, floods or similar occurrences affecting a facility owned by a portfolio company of AUSIF or its offtaker or other project counterparties. Environmental factors such as levels of solar irradiation, wind power, and flood levels all may affect various renewable energy production.

Most infrastructure assets are operated and maintained by external parties under contractual relationships. Poor operational and maintenance performance by these third parties may have a negative effect on the value of an Investment. Demand, usage and throughput risk can affect the performance of portfolio companies. To the extent that assumptions regarding the demand, usage and throughput of assets prove incorrect, returns to AUSIF could be adversely affected.

There is a risk that unforeseen factors may require capital expenditures in excess of forecasts and a risk that new or additional regulatory requirements, safety requirements or issues related to asset quality and integrity may result in the need for additional capital expenditure for replacement or reinforcement of infrastructure assets.

Environmental and Other Regulatory Risk

The operations of some portfolio companies may be subject to numerous statutes, rules and regulations relating to environmental protection.

There is a possibility of existing or future environmental contamination, including soil and groundwater contamination, as a result of the spillage of hazardous materials or other pollutants. Under various environmental statutes, rules and regulations of the appropriate jurisdiction, a current or previous owner or operator of real property may be liable for non-compliance with applicable health and safety requirements and for the cost of investigation, monitoring, removal or remediation of hazardous materials. These laws often impose liability whether or not the owner or operator knew of, or was responsible for, the presence of hazardous materials.

The presence of these hazardous materials on a property could also result in personal injury, property damage or similar claims by private parties. Persons who arrange for the disposal or treatment of hazardous materials may also be liable for the costs of removal or remediation of those materials at the disposal or treatments facility, whether or not that facility is or ever was owned or operated by that person. Any liability of portfolio companies resulting from non-compliance or other claims relating to environmental matters could have a materially adverse effect on the value of AUSIF's Investments in those companies.

Additionally, in recent years, a growing concern has emerged nationally and internationally about global climate change and how greenhouse gas emissions ("GHGs"), such as CO₂ and methane, contribute to global climate change.

Changes in these laws, policies, or regulations, or changes in the interpretation or application of existing laws, policies, and regulations that modify the present regulatory environment, could also have an adverse effect on AUSIF's Investments.

Construction and Project Management

Investments in construction ready or development-stage infrastructure assets may result in exposure to the risk that construction will not be completed on time, within budget or to specifications. Such risks may include geological problems and difficulties in obtaining (i) regulatory, environmental or other approvals or permits; (ii) financing; and (iii) suitable equipment supply, operating and offtake contracts, any of which could give rise to delays or costs overruns. A material delay or increase in costs could significantly impair the financial viability of an infrastructure investment project and result in a material adverse effect on AUSIF's Investments. Similar risks may also apply to operational assets in relation to any development works conducted. The revenue and cost implications of this risk may adversely impact the value of an Investment. Furthermore, market conditions may change during the course of development that make such development less attractive than at the time it was commenced. In addition, there are risks inherent in the construction work that may give rise to claims or demands against a portfolio company from time to time.

Project Development Risk

The successful development of projects and the operations of companies in which AUSIF may invest may depend on adequate infrastructure being available (or being developed) and remaining available. These projects and companies may be located in areas that are sparsely populated and difficult to access. Reliable roads, power sources, transportation infrastructure and water supplies are essential for the conduct of project development and operations and the availability and cost of these utilities and infrastructure affect capital and operating costs. Unusual weather or other natural phenomena, sabotage or other interference in the maintenance or provision of such infrastructure could impact the development of a project, reduce production volumes, increase extraction or exploration costs or delay the transportation of raw materials to the mines and projects and commodities to end customers. Any such issues arising in respect of the infrastructure may materially and adversely impact an investment by AUSIF.

Technical Risk

Investments in the infrastructure industry may be subject to technical risks, including the risk of mechanical breakdown, spare parts shortages, failure to perform according to design specifications and other unanticipated events which adversely affect operations. While the Investment Manager intends to seek investments in which creditworthy and appropriately bonded and insured third parties bear much of these risks, there can be no assurance that any or all such risks can be mitigated or that such parties, if present, will perform their obligations.

Health and Safety Risk

The employees and staff of infrastructure businesses are exposed to health and safety risks that could result in death, permanent disability or other serious injury that may disrupt the operations of AUSIF's portfolio companies, lead to economic loss, litigation or penalties for regulatory or contractual non-compliance, and may also adversely impact the reputation of portfolio companies and AUSIF. Moreover, any loss from such events may not be recoverable under relevant insurance policies.

Sovereign and Regulatory Risk

The concessions of certain portfolio companies may be granted by government bodies and are subject to risks, including the risk that the relevant government bodies will exercise sovereign rights and take actions contrary to

the rights of AUSIF or the relevant portfolio company under the relevant concession agreement. There can be no assurance that the relevant government bodies will not legislate, impose regulations or change applicable laws or act contrary to the law in a way that would materially and adversely affect the business of the portfolio companies.

In many instances, the acquisition of infrastructure assets involves an ongoing relationship with a government agency. The nature of the arrangements can expose owners to a higher level of regulatory control than typically imposed on other businesses. The repealing, amending or enacting of a new law or regulation (or a new interpretation of the law or regulation) can substantially affect an infrastructure project.

Many of the portfolio companies may be subject to substantial regulation by governmental agencies. In addition, their operations may rely on government permits, licenses, concessions, leases or contracts that are generally very complex and may result in a dispute over interpretation or enforceability. If portfolio companies fail to comply with these regulations or contractual obligations, they could be subject to monetary penalties or may lose rights to operate the affected business, or both.

The leases or concessions may also contain clauses more favorable to the government counterparty than a typical commercial contract. For instance, a lease or concession may enable the government to terminate the lease or concession in certain circumstances without requiring the payment of adequate compensation. Government counterparties also may have the discretion to change or increase regulation of portfolio company operations, or implement laws or regulations affecting their operations, separate from any contractual rights they may have. Governments have considerable discretion in implementing regulations that could affect the businesses carried on by portfolio companies, and because such businesses provide basic, everyday services, and face limited competition, governments may be influenced by political considerations and may make decisions that adversely affect such businesses.

Where a portfolio company is the sole or predominant service provider in its service area and provides services that are essential to the community, it may be subject to rate regulation by governmental agencies that will determine the prices it may charge. Portfolio companies may be subject to unfavorable price determinations that may be final with no right of appeal or which, despite a right of appeal, could result in profits being negatively affected.

Risk Factors Relating to the Shares

AUSIF is subject to the available supply in its ability to originate or purchase assets on advantageous terms or at all.

The Investment Manager intends to cause AUSIF to pursue its direct and indirect investments both through origination and acquiring relevant investments on a secondary (non-origination) basis. There can be no assurance that there will be a sufficient number of suitable investment opportunities to enable AUSIF to invest all of the Subscriptions of the Shareholders in opportunities that satisfy AUSIF's investment strategy or that any investment opportunities will lead to successful investments by AUSIF.

SCHEDULE 1

SUSTAINABILITY-RELATED DISCLOSURES

Introduction

Terms used in this Schedule 1 and not otherwise defined below have the meaning given to them in the Prospectus.

Articles 7(2) SFDR - No Consideration of Sustainability Adverse Impacts

At present, the AIFM (and/or its delegate(s)) does not, within the meaning of the SFDR, consider the adverse impacts of its investment decisions on sustainability factors in respect of AUSIF. The AIFM (and/or its delegate(s)) does not currently do so because, among other reasons, it is continuing to assess the applicable mandatory data collection and disclosure requirements for entities which opt in to considering the principal adverse impacts of their investment decisions, as well as its internal capabilities to comply with such requirements. The AIFM's position on this matter will be reviewed at least annually, and Ares will continue to actively seek to invest in systems and procedures which will enable us, over time, to gather more granular data on the impacts of investment on sustainability factors. As a firm, Ares will also continue its focus on creating long-term value for its investors, the companies in which they invest, and the communities where they live and work.

Article 6(1)(a)&(b) SFDR – Integration of Sustainability Risks and Likely Impact on Returns

The SFDR defines “sustainability risks” as environmental, social or governance events or conditions that, if they occur, could cause an actual or a potential material negative impact on the value of the investment.

The consideration of ESG factors and sustainability risks is, where possible, integrated into the AIFM's and the Investment Manager's investment processes. It is primarily the responsibility of the specific investment team evaluating an investment, along with the other risks which the team considers in line with the particular strategy and investment guidelines for AUSIF.

In order to ensure that sustainability risks are considered in a systematic manner, investment teams are required wherever practicable to highlight key sustainability considerations at the early stages of proposed investments, and subsequently, wherever practicable, to include sustainability risk assessment information within relevant internal documentation such as papers for investment committees, including wherever practicable by the application of ratings to individual sustainability risks together with overall conclusion ratings. Once investments are made, the Investment Manager continues as part of its portfolio management processes to monitor for sustainability risks. If appropriate for an investment, the AIFM or the Investment Manager may conduct sustainability risk-related due diligence and/or take steps to mitigate sustainability risks and preserve the value of the investment. The AIFM or the Investment Manager generally measure any relevant environmental or social matters using third-party standards, guidelines and metrics, data from Ares' portfolios, company reports and publicly available information, as the AIFM or Investment Manager deems relevant from time to time.

The Firm's policy and the AIFM's and the Investment Manager's approach as described above ensures that sustainability risks are integrated into both investment decision making and portfolio management to the extent that they represent potential or actual material risks to and opportunities for investments made for AUSIF. As part of that process, the AIFM and/or the Investment Manager have determined that sustainability risks are potentially relevant to the investment returns of AUSIF, having regard in each case to AUSIF's strategy and investment guidelines. The AIFM and/or Investment Manager will follow its procedures to identify and mitigate sustainability risks, although there can be no guarantee that they will successfully identify and mitigate all material risks.

With regard to AUSIF, many or all of the specific investment decisions involved remain to be made in the future and, accordingly, identification and assessments of risks, including sustainability risks, will necessarily take place on an investment-by-investment basis in accordance with the policy described above.

As of the date hereof, no specific investment decisions have been made for AUSIF and accordingly the identification and assessments of risks, including sustainability risks, will take place on an investment-by-investment basis as noted above. The AIFM's assessment is that integration of sustainability risks in investment decisions, combined with a diversified portfolio appropriate for AUSIF in light of its investment objective and strategy, should help mitigate the potential material negative impact of sustainability risks on the returns of AUSIF, although there can be no assurance that all such risks will be mitigated in whole or in part, nor identified prior to the date the risk materializes.

EU Taxonomy Regulation Disclosure

Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment (the “**Taxonomy Regulation**”) sets out a framework for classifying specific economic activities as “environmentally sustainable.” The investments underlying this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

ANNEX 3

ARES EUROPEAN STRATEGIC INCOME ELTIF FUND

Ares European Strategic Income ELTIF Fund (the “**AESIF ELTIF Fund**”, and together with the Parallel Entities (as defined below), “**AESIF ELTIF**”) is an ELTIF Sub-Fund of AEFS SICAV.

Investors should note that:

- Shares in AESIF ELTIF Fund may be marketed to Retail Investors and Professional Investors, in each case meeting the eligibility requirements for participating in AESIF ELTIF Fund. The marketing of the Shares in AESIF ELTIF Fund to Retail Investors may only be conducted in accordance with article 30(1) of the ELTIF Regulation;
- AESIF ELTIF invests in ELTIF Eligible Investment Assets under the ELTIF Regulation that are typically illiquid in nature. AESIF ELTIF’s investments are long term, and AESIF ELTIF is an investment with unlimited duration and low liquidity. AESIF ELTIF may therefore not be suitable for Retail Investors that are unable to sustain such a long-term and illiquid investment;
- There is no current public trading market for the Shares, and the Sponsor does not expect that such a market will ever develop;
- Investors shall have the right to redeem their Shares in AESIF ELTIF Fund only in accordance with AESIF ELTIF Fund’s redemption procedures set out in Section V: “*Subscriptions, Redemptions and Other Transactions*”. Redemptions of Shares are expected to be offered each month at the NAV per Share as of the last calendar day of the relevant month and will likely be the only way for investors to dispose of their Shares. Redemption of Shares may be subject to an Early Redemption Deduction or a Redemption Fee as determined by the Investment Manager in its sole discretion from time to time, as applicable. To the extent applicable, the application of any Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager;
- AESIF ELTIF Fund intends to declare monthly distributions as authorized by the Investment Manager (as the delegate of the Board of Directors) and pay such distributions to Shareholders on a monthly basis, in accordance with Section VII: “*Distributions*”;
- Financial derivative instruments may only be used for the purpose of hedging risks inherent to ELTIF Eligible Investments of AESIF ELTIF;
- All Investors within a Class of Shares shall be treated equally and no preferential treatment or specific economic benefit shall be granted to individual investors or groups of Shareholders within such Class of Shares; and
- The specific risks associated with an investment in AESIF ELTIF are set out in Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*” of the General Section of the Prospectus and Section X: “*Risk Factors and Other Considerations*” of this Annex.

Prospective investors are advised that only a small proportion of their overall investment portfolio should be invested in an ELTIF such as the AESIF ELTIF Fund. Investors have no obligation to make further investments to the AESIF ELTIF Fund after their initial investment.

I. DESCRIPTION / OVERVIEW OF AESIF ELTIF AND AESIF ELTIF FUND

Ares European Strategic Income ELTIF (AESIF ELTIF) Overview

AESIF ELTIF seeks to primarily self-originate investments and provide capital to UK and European mid-market companies with a target EBITDA of at least €10 million and that are Qualifying Portfolio Undertakings under the ELTIF Regulation. AESIF ELTIF's primary focus will be investing in senior secured loans with an emphasis on capital preservation and low return volatility with a dynamic exposure to a broad range of other private credit investments as detailed further herein. A majority of loans originated by AESIF ELTIF or otherwise acquired by AESIF ELTIF, are expected to have a term of 6-7 years, and may either be amortizing or interest-bearing only. The loans may be either fixed rate or floating rate. The Investment Manager will aim to originate or acquire loans with a senior secured focus secured by pledged assets and the borrowers' companies cashflow generation.

In order to facilitate capital deployment, generate income and as a potential source of liquidity, the AESIF ELTIF will invest a portion of its assets in UCITS Eligible Assets consisting of a portfolio of debt and other instruments, including cash and cash equivalents, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and derivatives (the **"Debt and Other Instruments"**).

AESIF ELTIF Fund will invest through a subsidiary established as a Luxembourg special limited partnership (*société en commandite spéciale*) for the purpose of indirectly holding the Investments of AESIF ELTIF (the **"Aggregator"**). Please refer to Subsection: *"Structure of Investments"* in Section III: *"Investment Information"* of this Annex.

In order to achieve its investment objectives, AESIF ELTIF Fund will only invest into ELTIF Eligible Investment Assets and UCITS Eligible Assets (as such terms are defined under Appendix C: *"ELTIF Investment Restrictions"*) and will not engage in any ELTIF Prohibited Activities.

AESIF ELTIF Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: *"Risk Factors, Potential Conflicts of Interest and Other Considerations"* of the General Section of the Prospectus and Section X: *"Risk Factors and Other Considerations"* of this Annex for additional details on the risks associated with an investment in AESIF ELTIF Fund.

Investment Strategy of AESIF ELTIF¹⁰

Direct Lending Deal Structures

AESIF ELTIF has a flexible mandate allowing it to invest across the capital structure, with a focus on first lien alongside the ability to invest in second lien and subordinated debt, as well as, to a lesser extent, equity co-investments, and in a number of geographies across Europe. Such investments across the capital structure can be made by AESIF ELTIF either as single lender or together with a small group of other credit investment firms (*"club deals"*). With this flexible mandate, the Investment Manager believes that it can respond to changing market conditions and dynamically allocate capital and resources to pursue the most attractive risk-adjusted investment opportunities within the capital structure and across its target geographies. This ability to react to cyclical or market changes, the Investment Manager believes, can result in attractive risk-adjusted returns across economic cycles. In addition, this relatively broad mandate allows the Investment Team to source more investment opportunities and, the Investment Manager believes, often affords the Investment Team a key differentiation versus its peers, several of which have funds with narrower investment guidelines.

It is also worth noting that all the senior secured assets are floating rate and, as such, the AESIF ELTIF portfolio can expect to see a direct benefit from central bank base rate increases, as long as the base rate, and any appropriate credit adjustment spread, exceeds the floor in each portfolio company.

¹⁰ AESIF ELTIF Fund's investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the ramp-up period).

Investment Program – Debt and Other Instruments Sleeve

The Debt and Other Instruments sleeve will consist primarily of high-yield bonds issued by obligors and issuers domiciled or located in, and primarily operating in Europe. However, the Investment Manager may also opportunistically make investments in Debt and Other Instruments, including money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations, and derivatives. The portfolio of Debt and Other Instruments sleeve is expected to primarily consist of Euro-denominated assets; however, investments denominated in other currencies may also be held and the portfolio will seek to hedge any non-Euro denominated currency exposure to Euro.

In constructing the Debt and Other Instruments sleeve, the Investment Manager will employ a flexible strategy that seeks to capitalize on relative value opportunities within the below investment-grade corporate universe through disciplined credit selection and active, tactical asset rotation. The portfolio is designed to deliver investors an attractive current yield while taking advantage of shifts in relative value to generate capital appreciation potential while also focusing on capital preservation¹¹.

The primary source of return in high-yield bonds will be interest income while a secondary source of return will be capital appreciation. Regardless of asset category, the Investment Manager seeks to generate an attractive level of total return outperformance predominantly through credit selection by taking advantage of mispricings and/or capturing market inefficiencies. Relative to equities and partially attributable to trading on an OTC platform, below investment-grade credit markets are less efficient with respect to reflecting all available information. As such, the investment teams closely monitor investments and industries for developments to obtain what we believe is differentiated information and subsequently quickly communicate any changes in their credit opinions or investment recommendations to portfolio managers.

Please refer to Section III: “*Investment Information*” of this Annex for more information on AESIF’s investment strategy.

Investment Objectives

Across its Investments, AESIF ELTIF will seek to capitalize on Ares’ scale and reputation in the market as an experienced financing partner to originate and execute investments, and generate attractive risk adjusted returns. AESIF ELTIF will aim to meet its investment objectives by seeking to:

- lend predominantly to sponsor-backed companies who are active equity owners with growth and operational plans;
- actively monitor the portfolio via established reporting tools, information rights and board director or observer seats (where applicable) that are designed to proactively manage potential credit events quickly; and
- develop a close and influential relationship with the senior management of each portfolio entity as well as sponsor teams.

¹¹ References to “downside protection” or similar language are not guarantees against loss of investment capital or value.

II. SUMMARY OF TERMS

Ares European Strategic Income ELTIF	
AEFS Structure:	AEFS SICAV is a multi-compartment Luxembourg investment company with variable capital (<i>société d'investissement à capital variable</i>). AEFS SICAV has an umbrella structure consisting of one or more Sub-Funds.
AESIF ELTIF Fund:	AESIF ELTIF Fund is an open-ended, commingled ELTIF Sub-Fund of AEFS SICAV. AESIF ELTIF Fund is authorised by the CSSF as an ELTIF and may be marketed to Retail Investors under MiFID II.
AIFM:	Ares Management Luxembourg.
Investment Manager:	Ares Management Limited.
Distributions:	The Board of Directors (or its delegate) may declare distributions from time to time. Distributions in relation to Distribution Sub-Class Shares are expected on a monthly basis. AESIF ELTIF Fund cannot guarantee that it will make distributions, and any distributions will be made at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class.
Investment Objective and Strategy:	AESIF ELTIF seeks to primarily self-originate investments and provide capital to UK and European mid-market companies with a target EBITDA of at least €10 million and that are Qualifying Portfolio Undertakings under the ELTIF Regulation. AESIF ELTIF's primary focus will be investing in senior secured loans with an emphasis on capital preservation and low return volatility with a dynamic exposure to a broad range of other private credit investments as detailed further herein. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AESIF ELTIF may also invest in UCITS Eligible Assets consisting of Debt and Other Instruments, including cash and cash equivalents, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations, and derivatives. AESIF ELTIF Fund will invest through the Aggregator. The direct and indirect investments of AESIF ELTIF Fund are described in Section III: “<i>Investment Information</i>” of this Annex. AESIF ELTIF Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: “<i>Risk Factors, Potential Conflicts of Interest and Other Considerations</i>” of the General Section of the Prospectus and Section X: “<i>Risk Factors and Other Considerations</i>” of this Annex for additional details on the risks associated with an investment in AESIF ELTIF.
Portfolio Allocation Targets and Composition	AESIF ELTIF Fund will target an allocation of approximately 70 to 80% of the gross asset value of its investments primarily in illiquid flexible and scaled debt capital to mid-market and large-cap companies that qualify as ELTIF Eligible Investment Assets. During normal market conditions, AESIF ELTIF Fund may invest up to 30% of the gross asset value of its investments in UCITS Eligible Assets consisting of Debt and Other Instruments. Please refer to Section III: “<i>Investment Information</i>” for further details regarding the AESIF ELTIF portfolio and Appendix C: “<i>ELTIF Investment</i>

	<i>Restrictions</i>” for further details on ELTIF Eligible Investment Assets and ELTIF Eligible Investments.
ELTIF Borrowing Limit:	AESIF ELTIF Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio (as defined below) to be in excess of 50%. The ELTIF Borrowing Limit will apply by the third anniversary of the end of the Initial Subscription Period. AESIF ELTIF Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. The AIFM has established a maximum level of leverage for AESIF ELTIF Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of AESIF ELTIF Fund of 500% and 175%, respectively. Please refer to Section III: “<i>Investment Information—ELTIF Borrowing Limit</i>” and Section IX: “<i>Regulatory Considerations—AIFM Directive Leverage</i>” of this Annex for further details.
ELTIF Portfolio Composition Requirements	In order to achieve its investment objectives, AESIF ELTIF Fund will only invest into ELTIF Eligible Investment Assets and UCITS Eligible Assets (as such terms are defined under Appendix C: “<i>ELTIF Investment Restrictions</i>”) and will not engage in any ELTIF Prohibited Activities. AESIF ELTIF Fund will invest at least 55% of its Capital into ELTIF Eligible Investments by the end of the ELTIF Portfolio Ramp-Up Period.
Investment Restrictions:	AESIF ELTIF Fund is subject to certain ELTIF Investment Restrictions set out under Appendix C: “<i>ELTIF Investment Restrictions</i>”. The ELTIF portfolio composition rules and the portfolio diversification rules set out in Appendix C: “<i>ELTIF Investment Restrictions</i>” will not apply during a ramp-up period of up to (3) months from the end of the Initial Subscription Period, or such earlier date decided by the Board of Directors or its delegate and notified to the Shareholders on the AESIF ELTIF Fund’s website (https://www.areswms.com/non-us/aesif-eltif) (the “ELTIF Portfolio Ramp-Up Period”).
Share Classes:	AESIF ELTIF Fund will issue the Classes of Shares disclosed in Section IV: “<i>Share Class Information</i>” and in Schedule 1: “<i>Share Classes of AESIF ELTIF Fund</i>” of this Annex. The Board of Directors (or its delegate) may, at any time, create additional Classes of Shares whose features (including, but not limited to, fees and currencies) may differ from the existing Classes of Shares. The complete list of available Classes of Shares may be made available online at the AESIF ELTIF Fund’s website (https://www.areswms.com/non-us/aesif-eltif) and will be made available at the registered office of AEFS SICAV. Please refer to Section IV: “<i>Share Class Information</i>” and to Schedule 1: “<i>Share Classes of AESIF ELTIF Fund</i>” of this Annex for additional details on the Classes of Shares offered by AESIF ELTIF Fund.
Minimum Subscription:	The minimum subscription amount (each, a “Minimum Subscription Amount”) and the minimum subsequent subscription amounts (the “Minimum Subsequent Subscription Amount”) for each Class of Shares is set out in Schedule 1: “<i>Share Classes of AESIF ELTIF Fund</i>” of this Annex and/or available online at the AESIF ELTIF Fund’s website (https://www.areswms.com/non-us/aesif-eltif).

	Please refer to Section V: “ <i>Subscriptions, Redemptions and Other Transactions</i> ” of this Annex for additional information.
Subscriptions:	In respect of each new Class of Shares, up to the date as may be decided by the Board of Directors (or its delegate) in its discretion (the “Initial Subscription Period”), the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion <i>plus</i> applicable Subscription Fees. After the end of the Initial Subscription Period, subscriptions for Shares of AESIF ELTIF Fund will be accepted as of the first calendar day of each month. Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date <i>plus</i> applicable Subscription Fees. A prospective Shareholder must notify AESIF ELTIF Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least fifteen (15) calendar days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). Alternative arrangements may be agreed between the Board of Directors or its delegate(s) and a Shareholder or relevant Intermediate Vehicle, which may include different subscription notice requirements for certain subscriptions or Share Classes. Subscription price amounts (whether in cash or in kind, as applicable) must be received (i) at least one (1) Business Day prior to the applicable Subscription Date for Class A Shares, Class AS Shares, Class B Shares, Class C Shares, Class D Shares, Class E Shares, Class I Shares, Class IS Shares, Class R Shares, Class RS Shares, Class R1 Shares, Class R1S Shares and Class R2S Shares and (ii) at the latest 18 Business Days after the applicable Subscription Date for Class G Shares, Class G1 Shares, Class G2 Shares and Class R LIQID Private Debt NXT Shares. No interest will be paid on any payments received prior to the relevant deadline. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions—Subscriptions in AESIF ELTIF Fund</i>” of this Annex for additional details on AESIF ELTIF Fund’s subscription procedures.
Redemptions:	• Shareholders will not be able to request the redemption of their Shares until the end of the ELTIF Portfolio Ramp-Up Period, which ended on January 31st, 2026. • After the end of the ELTIF Portfolio Ramp-Up Period and subject to the restrictions set out in this Annex, redemptions are expected to be offered each calendar month at the NAV per Share calculated as of the last calendar day of the relevant month. • A Shareholder may request to have some or all of its Shares redeemed by AESIF ELTIF Fund as of the last calendar day of each calendar month by submitting a Redemption Request. • Redemptions of certain Classes of Shares, as set out in Schedule 1: “<i>Share Classes of AESIF ELTIF Fund</i>” of this Annex, may be subject to: ○ an Early Redemption Deduction of 5.00% of the NAV of the relevant Shares being redeemed (calculated as of the relevant Redemption Date) if the relevant Shares, as set out in Schedule 1: “<i>Share Classes of AESIF ELTIF Fund</i>” of this Annex, were held for less than eighteen (18) months; or ○ a Redemption Fee of up to 5.00% of the NAV of the relevant Class of Shares being redeemed (calculated as of the relevant Redemption Date), as set out in Schedule 1: “<i>Share Classes of AESIF ELTIF Fund</i>” of this Annex, in each case as determined

	by the Investment Manager in its sole discretion from time to time. To the extent applicable, the application of any Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager. • The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AESIF ELTIF, including redemptions in all Parallel Entities and the Aggregator, but excluding any Early Redemption Deduction or any Redemption Fee applicable to the redeemed Shares) is generally limited to 2% of aggregate NAV per calendar month of all Parallel Entities and the Aggregator (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter) and 5% of such aggregate NAV per calendar quarter (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter), except in the exceptional circumstances described in this Annex and/or if the ELTIF Redemption Limit provides for a lower percentage of the aggregate NAV on the relevant Redemption Date as described under Section IX: “<i>Regulatory Consideration – ELTIF Rules – Level of UCITS Eligible Assets and Redemption</i>” of this Annex. In any given calendar quarter, subject to the ELTIF Redemption Limit, excess redemption capacity under the 2% monthly limitation described in the foregoing will be rolled into the subsequent month of such calendar quarter and be available for further redemptions in such calendar quarter only. For the avoidance of doubt, both of these limits are assessed during each month in a calendar quarter and are based on net redemptions (as defined below) during a month or quarter, as applicable, unless otherwise notified to Shareholders pursuant to this Annex. • Redemption Requests (as defined below) must be provided by 5 p.m. Central European Time on the first Business Day of the calendar month in which the Redemption Date falls (the “Redemption Cut-Off Time”). • Settlements of Share redemptions are generally expected to be made within two (2) Business Days after the relevant NAV Release Date. • Redemption Requests may be rejected in whole or in part by the Investment Manager in exceptional circumstances and not on a systematic basis and Redemption Requests may be suspended when deemed to be in the best interests of AESIF ELTIF Fund. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions—Redemption of Shares</i>” of this Annex for additional details on AESIF ELTIF Fund’s redemption procedures.
NAV Calculation and NAV Release Date:	AESIF ELTIF Fund’s monthly NAV as of the last calendar day of each month (each, a “Valuation Date”) will generally be available by the 15th Business Day of the following month (e.g., the NAV for October 31st will generally be available around November 21st) (the “NAV Release Date”).
Management Fees:	In consideration for its services with respect to AESIF ELTIF Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a Management Fee for each Class of Shares (except in respect of Class E Shares) as set out in Schedule 1: “<i>Share Classes of AESIF ELTIF Fund</i>” of this Annex and/or available online at the AESIF ELTIF Fund’s website (https://www.areswms.com/non-us/aesif-eltif).

	The AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time. Please refer to Section VI: “<i>Fees and Expenses of AESIF ELTIF Fund—Management Fee</i>” of this Annex for further details.
AIFM Fees:	In consideration for its services with respect to the AESIF ELTIF Fund, the AIFM will be entitled to payment of an AIFM Fee equal to, for each Class of Shares, up to 0.03% of the NAV of each Class of Shares per annum. See Section VI: “<i>Fees and Expenses of AESIF ELTIF Fund — AIFM Fee</i>” of this Annex for further details.
Performance Participation Allocation:	The Recipient is allocated a Performance Participation Allocation (except for Class E Shares) which consists of two components as follows: (i) the first is based on income, 12.5% of Pre-Performance Participation Allocation Net Investment Income Returns, subject to a 5% hurdle with a catch-up; and (ii) the second is based on realized capital gains, 12.5% of cumulative realized capital gains from inception through to the end of the relevant calendar year, calculated net of all realized capital losses and unrealized capital depreciation on a cumulative basis, less the aggregate amount of any previously paid performance participation allocation on capital gains. The Recipient may waive all or any part of the Performance Participation Allocation in its discretion from time to time. Please refer to Section VI: “<i>Fees and Expenses of AESIF ELTIF Fund—Performance Participation Allocation</i>” of this Annex for further details.
Subscription Fee:	Certain distributors or other financial intermediaries through which a Shareholder was placed in AESIF ELTIF Fund may charge such Shareholder upfront Subscription Fees on Shares sold in the offering. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.
Servicing Fee:	Servicing Fees payable in respect of each Class of Shares will be set out in Schedule 1: “<i>Share Classes of AESIF ELTIF Fund</i>” of this Annex and/or available online at the AESIF ELTIF Fund’s website (https://www.areswms.com/non-us/aesif-eltif).
Term:	The duration of AESIF ELTIF Fund is ninety-nine (99) years from the end of the Initial Subscription Period, unless such duration is extended by the Board of Directors at its sole discretion.
SFDR:	AESIF ELTIF is compliant with Article 8 under SFDR, and as an Article 8 fund promotes, among other characteristics, environmental or social characteristics, or a combination of those characteristics in the companies in which it invests in, but does not have as its objective Sustainable Investments within the meaning of SFDR. Investments made for the purposes of liquidity are not subject to AESIF ELTIF’s SFDR-related commitments. The primary purpose of such investments is liquidity management and the AIFM makes such investments in its discretion without regard to the AESIF ELTIF’s commitments for the purposes of SFDR. Consequently, investments made for the purposes of liquidity do not form part of AESIF ELTIF’s asset allocation for the purposes of these disclosures and in no way should any of the commitments or other statements made in this Schedule be considered to relate to investments made for liquidity purposes.

	Further information with respect to the environmental and social characteristics that are promoted by AESIF ELTIF can be found in the pre-contractual disclosures for Article 8 financial products, included at Schedule 2: “ <i>Sustainability-Related Disclosures</i> ” to this Annex 3: “ <i>Ares European Strategic Income ELTIF</i> ”.
Tolerance Threshold in case of NAV Calculation Errors:	The tolerance threshold in case of NAV calculation errors applicable to AESIF ELTIF Fund under CSSF Circular 24/856 is 5%.

III. INVESTMENT INFORMATION

Information on AESIF ELTIF Investments and Portfolio

The investment information set out below describes the indirect investments of AESIF ELTIF Fund held through the Aggregator.

In order to achieve its investment objectives and as an ELTIF, AESIF ELTIF Fund will only invest into ELTIF Eligible Investment Assets and/or UCITS Eligible Assets and will not engage in any ELTIF Prohibited Activities. Please refer to Appendix C: “*ELTIF Investment Restrictions*” for further details on ELTIF Eligible Investment Assets and the ELTIF Prohibited Activities. Certain Investments could be characterized by the Investment Manager, in its discretion, as either ELTIF Eligible Investment Assets and/or UCITS Eligible Assets, which characterization may change over time at the reasonable discretion of the Investment Manager depending on the terms and characteristics of such Investments.

Under normal circumstances, AESIF ELTIF Fund will target an allocation of approximately 70 to 80% of its total assets in directly originated loans which can be issued across the capital structure (with a bias towards first and second lien loans), and other illiquid alternative credit investments that qualify as ELTIF Eligible Investment Assets. To a lesser extent and in order to facilitate capital deployment, generate income and as a potential source of liquidity, the AESIF ELTIF will invest a portion of its assets in UCITS Eligible Assets consisting of Debt and Other Instruments. Notwithstanding the preceding sentence, AESIF ELTIF Fund’s investment in collateralized debt obligations, collateralized loan obligations, asset-backed securities, mortgage-backed securities and other securitized products are not intended to exceed 13% of its NAV, but may exceed this limit from time to time and on a temporary basis.¹²

Each AESIF ELTIF Fund’s investment, whether held directly or through one or more Intermediate Vehicle or Other Ares Fund, is referred to as an “**Investment**”. For the avoidance of doubt, in applying and interpreting the terms of this Annex, the Investment Manager may, in its sole discretion, determine that Investments do not include Intermediate Vehicles, as the context may require.

The investments in which AESIF ELTIF expects to invest directly or indirectly (including, for the avoidance of doubt, through any Other Ares Funds) and qualify as ELTIF Eligible Investments include:

- Bank Loans.

Bank Loans are assignments and/or participations in corporate loans to non-investment-grade borrowers. Typically, each credit facility giving rise to a borrower’s loan is secured by a lien on the borrower’s assets. Terms generally provide for cash interest payments, based on an interest rate that typically adjusts every one to three months, but may include payment-in-kind terms. These investments may be acquired during the primary offering process and may also be purchased in the secondary market as private instruments. The Investment Manager expects that borrowers typically will have multiple institutional lenders that they will trade with while the borrower is performing at expectation. The senior credit facilities of these borrowers typically aggregate \$100 million or more and can be substantially larger in many cases.

- First lien loans.

These loans generally form the most senior layer of a borrower’s capital structure and benefit from a first priority lien on the borrower’s assets as well as senior ranking in repayment priority. In some cases, these instruments contain maintenance and/or incurrence covenants, which require the borrower to maintain a base level of performance or limit their ability to incur additional debt. Owing to their priority of claim, collateral support, and structure, first lien loans tend to experience superior recoveries in a bankruptcy.

- Second lien loans.

These loans generally form a transitional layer between first lien secured debt and mezzanine loans and unsecured debt, and are typically secured by a second priority claim on a borrower’s assets. In addition,

¹² AESIF ELTIF Fund’s investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the ramp-up period).

such loans benefit from a senior ranking in repayment priority and may enjoy the same or similar covenant protections as first lien loans. Yields tend to reflect a premium to first lien loans and these instruments may experience some protection with respect to recoveries in a bankruptcy as compared to unsecured debt due to the collateral securing the loan.

- Mezzanine loans.

These loans generally form a transitional layer between secured debt and unsecured debt, and may be secured by a second (or where there is a second lien loan, third) priority claim on a borrower's assets. Due to the greater risk associated with such loans as a result of their subordination below senior debt of the borrower, mezzanine lenders may be granted share options or warrants in the borrower which can be exercised in certain circumstances, principally being immediately prior to the borrower's shares being sold or floated in an initial public offering. Some mezzanine obligations may provide that all or a portion of the interest payable thereon will not be paid on a current basis but will defer or be paid on a "payment-in-kind basis." Yields tend to reflect a premium to first lien loans and second lien loans, and these instruments may experience some protection with respect to recoveries in a bankruptcy (as compared to unsecured debt) due to the collateral securing the loan.

- Unsecured loans.

These loans generally benefit from a senior ranking in repayment priority, but not from a lien on a borrower's assets. As such, unsecured loans are contractually subordinated to secured loans with respect to the value of any borrower's assets subject to a lien. Such loans may benefit from the same covenant protection as first and second lien loans, which may afford protection as compared to unsecured bonds of the borrower with inferior covenant terms. AESIF ELTIF's investments in unsecured debt securities may include, but are not limited to, senior, junior and unsecured bonds, notes and other debt securities.

- High-Yield Bonds.

These are fixed income securities typically issued by non-investment-grade borrowers, usually at a yield premium to the yield for investment-grade bonds. Terms generally provide for cash interest payments, but may include deferred, zero coupon, or payment-in-kind terms. These investments may be acquired during the primary offering process and may also be purchased in the secondary market as either private securities or publicly registered securities. The Investment Manager expects that these bonds will typically have multiple institutional holders.

Holders of high-yield bonds, as creditors, have a prior legal claim over common and preferred stockholders as to both income and assets of the issuer for the principal and interest due them and may have a prior claim over other creditors but are generally subordinate to any senior secured lenders in the issuer's capital structure.

In most cases these instruments restrict the borrower's ability to incur additional debt or distribute value to its shareholders based upon measurement of agreed financial ratios associated with general credit quality. In addition, terms often limit the borrower's ability to repay or amortize its high-yield bonds, particularly during the initial portion of their contractual tenor. As such, these securities can provide the opportunity for capital appreciation or yield enhancement, especially when the borrower's financial performance is consistent with or superior to expectations, when conditions are favorable in the borrower's industry, or when the general economic environment is positive.

- Secured bonds and notes.

These bonds and notes generally constitute the senior-most layer of a borrower's capital structure and benefit from a lien on the borrower's assets as well as senior ranking in repayment priority. Owing to their claim position and collateral support, secured bonds and secured notes tend to experience superior recoveries in a bankruptcy as compared to unsecured debt due to the collateral securing these instruments. Such bonds and notes may rank *pari passu* in many respects with secured loans.

- Unsecured bonds.

Dependent upon their terms, these bonds can enjoy a senior ranking or subordinated ranking in repayment priority, but do not benefit from a lien on a borrower's assets. Unsecured bonds typically form a layer

between a borrower's credit facility and its equity. Yields tend to reflect a premium in respect of a bond's position within a borrower's capital structure.

- **Direct Lending Deal Structures.**

AESIF ELTIF has a flexible mandate allowing it to invest across the capital structure, with a focus on first lien alongside the ability to invest in second lien and subordinated debt, as well as, to a lesser extent, equity co-investments, and in a number of geographies across Europe. Such investments across the capital structure can be made by AESIF ELTIF either as single lender or together with a small group of other credit investment firms ("*club deals*"). With this flexible mandate, the Investment Manager believes that it can respond to changing market conditions and dynamically allocate capital and resources to pursue the most attractive risk-adjusted investment opportunities within the capital structure and across its target geographies. This ability to react to cyclical or market changes, the Investment Manager believes, can result in attractive risk-adjusted returns across economic cycles. In addition, this relatively broad mandate allows the Investment Team to source more investment opportunities and, the Investment Manager believes, often affords the Investment Team a key differentiation versus its peers, several of which have funds with narrower investment guidelines.

While not the primary focus of AESIF ELTIF, AESIF ELTIF Fund may also invest on an ancillary basis in alternative credit investments that give exposure to retail related borrowing such as consumer loans (on a secondary basis), real estate related investments (including in relation to residential properties and/or infrastructure assets), and (on a primary or secondary basis) loans to Underlying Funds (as defined below).

It is also worth noting that all the senior secured assets are floating rate and, as such, the AESIF ELTIF portfolio can expect to see a direct benefit from central bank base rate increases, as long as the base rate, and any appropriate credit adjustment spread, exceeds the floor in each portfolio company.

Subject to the limitations set out in the Articles and applicable laws and regulations, AESIF ELTIF Fund may invest in loans or securities, the proceeds of which may refinance, realize or otherwise repay loans or securities of companies whose loans or securities are owned by Other Ares Funds. In addition AESIF ELTIF Fund may invest in loans or securities in companies whose loans, securities, economic ownership interests and voting rights are owned by Other Ares Funds. Please refer to Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations-Overlapping Investments with Other Ares Funds*" of the General Section of the Prospectus for further information.

AESIF ELTIF Fund may, but is not required to, enter into interest rate, foreign exchange or other derivative agreements to hedge interest rate, currency, credit or other risks. AESIF ELTIF Fund will not enter into any short-sale agreements. Subject to compliance with applicable legal and regulatory requirements, these hedging activities may include the use of futures, options and forward contracts. AESIF ELTIF Fund will bear the costs incurred in connection with entering into, administering and settling any such derivative contracts. There can be no assurance any investment in derivative securities including any hedging strategy employed will be successful.

AESIF ELTIF Fund's Investments may exceed and otherwise vary materially from the allocation targets to the directly originated loans, including due to factors such as a large inflow of capital over a short period of time, the Investment Manager's assessment of the relative attractiveness of opportunities, or an increase in anticipated cash requirements or Redemption Requests and subject to any limitations or requirements relating to applicable law.

Certain Investments (including, without limitation investments in Other Funds) could be characterized by the Investment Manager, in its discretion, as illiquid or as a Debt and Other Instrument (including, without limitation, high yield bonds or cash and/or cash equivalents) depending on the terms and characteristics of such Investments.

AESIF ELTIF Fund will not make use of SFTs or TRSs, as those terms are defined in the SFTR.

Risk Management Policies in Respect of Loan Participation/Acquisition Activities

The risk management systems or other procedures and measures established by the AIFM in respect of AESIF ELTIF Fund comprise, among others:

- procedures for periodic monitoring and evaluation of the evolution of loan quality in order to determine, as necessary, the appropriate levels of impairment in value of loans; and

- procedures for periodic monitoring of appropriate diversification regarding borrowers (risks associated with e.g. “borrower correlation” or “connected group of borrowers” should be taken into account).

As regards collateral and loan collection/recovery, the following procedures and measures have been established by the AIFM in respect of AESIF ELTIF Fund, among others:

- procedures to verify and ensure the existence, quality and valuation of collateral, if any, until the loan’s maturity date;
- procedures regarding enforcement of collateral arrangements, where applicable, and loan collection/recovery;
- procedures to mitigate maturity transformation.

The risk management systems or other procedures and measures referred to in the subsection may be amended by the AIFM from time to time.

Information on Investments in Collective Investment Undertakings

As described below, AESIF ELTIF Fund will not invest and hold more than 10% of its NAV in Collective Investment Undertakings.

Information on Investments in Other Ares Funds

AESIF ELTIF Fund may make investments by investing in, and will make investments alongside, Other Ares Funds (subject to the terms and conditions of such Other Ares Funds’ governing documents), *provided* that AESIF ELTIF Fund will not at any one time directly or indirectly, through the Aggregator, invest and hold more than 10% of its NAV in Collective Investment Undertakings. Any investments in Other Ares Funds will be valued as described in Section VI: “*Calculation of Net Asset Value—Investments in Other Ares Funds or Funds and Vehicles Managed by a Third-Party Manager*” of the General Section of the Prospectus.

Information on Investments in Funds and Vehicles Managed by Third-Party Managers

AESIF ELTIF Fund may make investments by investing in funds and vehicles managed by third-party managers, *provided* that AESIF ELTIF Fund will not at any one time directly or indirectly, through the Aggregator, invest and hold more than 10% of its NAV in Collective Investment Undertakings. Any investments in a fund or vehicle managed by a third-party manager will be valued as described in Section VI: “*Calculation of Net Asset Value—Investments in Other Ares Funds or Funds and Vehicles Managed by a Third-Party Manager*” of the General Section of the Prospectus.

Structure of Investments

AESIF ELTIF Fund will invest all or substantially all of its assets through the Aggregator.

Parallel Entities

If it considers it appropriate for any legal, tax, regulatory, accounting compliance, structuring or other considerations of AESIF ELTIF Fund or of certain current or prospective Shareholders, the Investment Manager, or any of its affiliates may, in its sole discretion, establish one or more parallel vehicles to invest alongside AESIF ELTIF Fund (as determined in the Investment Manager’s discretion) (the “**Parallel Vehicles**”), which may not have investment objectives and/or strategies that are identical to the investment objectives and strategies of AESIF ELTIF Fund, and/or feeder vehicles to invest through AESIF ELTIF Fund (“**Feeder Vehicles**” and collectively with Parallel Vehicles, the “**Parallel Entities**”). The costs and expenses associated with the organization and operation of any Parallel Entity and/or any Feeder Entity may be apportioned to, and borne solely by, the investors participating in such Parallel Entity and/or such Feeder Entity or be allocated among AESIF ELTIF Fund, the Aggregator, any Parallel Entities and/or Feeder Entities, as determined by the Investment Manager in its reasonable discretion. Investors should note that, as a result of the legal, tax, regulatory, accounting, compliance, structuring or other considerations mentioned above, the terms of such Parallel Entities may differ substantially from the terms of AESIF ELTIF Fund. In particular, such differences may cause Parallel Entities to subscribe at, or have their Shares (and/or units as applicable) redeemed at, a different NAV per unit in the Aggregator than AESIF ELTIF Fund.

If it considers it appropriate for any legal, tax, regulatory, accounting, compliance, structuring or other considerations, the Investment Manager or any of its affiliates may, in its sole discretion, establish and introduce one or more intermediate entities through which AESIF ELTIF Fund and/or any Parallel Entities shall invest in the Aggregator.

Eligible Investments, ELTIF Portfolio Composition and Investment Restrictions, ELTIF Portfolio Ramp-Up Period and Borrowing Limit

ELTIF Eligible Investments

AESIF ELTIF Fund is subject to the ELTIF Investment Restrictions set out under Appendix C: “ELTIF Investment Restrictions” applicable to an ELTIF Sub-Fund marketed to Retail Investors under MiFID II.

As such, AESIF ELTIF Fund will only invest into ELTIF Eligible Investment Assets and UCITS Eligible Assets and will not engage in any ELTIF Prohibited Activities.

ELTIF Portfolio Composition and Investment Restrictions

For the purposes of complying with the ELTIF Rules, AESIF ELTIF Fund shall allocate at least 55% of its Capital into ELTIF Eligible Investment Assets and may allocate up to 45% of its Capital to UCITS Eligible Assets. These portfolio allocation targets and limits will be assessed on a look-through basis, including in relation to investments by AESIF ELTIF Fund in ELTIF Eligible Target Funds, and shall be reached at the latest by the end of the ELTIF Portfolio Ramp-Up Period.

Certain Investments could be characterized by the Investment Manager, in its discretion, as either ELTIF Eligible Investment Assets and/or UCITS Eligible Assets, which characterization may change over time at the reasonable discretion of the Investment Manager depending on the terms and characteristics of such Investments.

Please refer to Appendix C: “*ELTIF Investment Restrictions*” for further details on the ELTIF Investment Restrictions applicable to AESIF ELTIF.

ELTIF Portfolio Ramp-Up Period

The ELTIF portfolio composition rules and the portfolio diversification rules set out in Appendix C: “*ELTIF Investment Restrictions*” will not apply during the ELTIF Portfolio Ramp-Up Period. The ELTIF Portfolio Ramp-Up Period ended on January 31st, 2026.

ELTIF Borrowing Limit

AESIF ELTIF Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. AESIF ELTIF Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio to be in excess of 50% (the “**ELTIF Borrowing Limit**”) subject to the below; *provided*, that no remedial action will be required if the ELTIF Borrowing Limit is exceeded for any reason other than the incurrence of an increase in indebtedness (including the exercise of rights attached to an Investment).

“**Leverage Ratio**” means, on any date of incurrence of any such indebtedness, the quotient obtained by dividing (i) Aggregate Net Leverage (as defined below) by (ii) the latest AESIF ELTIF Fund’s NAV.

“**Aggregate Net Leverage**” means (i) the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of AESIF ELTIF Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to AESIF ELTIF Fund or such subsidiary special purpose financing vehicle respectively, *plus* (ii) the portion of Aggregated Target Funds Net Debt to which AESIF ELTIF Fund has exposure (on a *pro rata* basis) *minus* (iii) cash and cash equivalents of AESIF ELTIF Fund.

“**Aggregated Target Funds Net Debt**” means (i) the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of each ELTIF Eligible Target Funds in which AESIF ELTIF Fund is invested, *minus* (ii) the aggregate amount of cash, cash equivalents and undrawn commitments of each ELTIF Eligible Target Fund in which AESIF ELTIF Fund is invested.

For purposes of determining Aggregate Net Leverage, the Investment Manager: (i) shall use the principal amount

of borrowings, and not the valuations of AESIF ELTIF Fund's borrowings as described in Section VI: "*Fees and Expenses of AESIF ELTIF Fund —Liabilities*" of this Annex, (ii) may, in its sole discretion, determine which securities and other instruments are deemed to be cash equivalents and (iii) will disregard any indebtedness between the different entities constituting AESIF ELTIF and its subsidiaries. AESIF ELTIF Fund's assets or any part thereof, including any accounts of AESIF ELTIF Fund, may be pledged in connection with any credit facilities or borrowings. The ELTIF Borrowing Limit may be exceeded on a temporary basis to satisfy short-term liquidity needs, refinance existing borrowings or for other obligations, but in each case the Leverage Ratio will not exceed 75%. For the avoidance of doubt, the ELTIF Borrowing Limit does not apply to indebtedness at the Investment level or with respect to Investments in ELTIF Eligible Target Funds, the level of such ELTIF Eligible Target Funds' underlying investments, guarantees of indebtedness, or other related liabilities that are not recourse indebtedness for borrowed money of AESIF ELTIF Fund.

AESIF ELTIF Fund may, but is not obligated to, engage in hedging transactions for the purpose of efficient portfolio management or for hedging purposes. The Investment Manager may review the hedging policy of AESIF ELTIF Fund from time to time depending on movements and projected movements of the relevant currencies and interest rates and the availability of cost-effective hedging instruments for AESIF ELTIF Fund at the relevant time.

The ELTIF Borrowing Limit will apply by the third anniversary of the end of the Initial Subscription Period and will be temporarily suspended where AESIF ELTIF Fund raises additional Capital or reduces its existing Capital. Any such suspension of the ELTIF Borrowing Limit shall be limited in time to the period that is strictly necessary taking due account of the interests of the investors in the ELTIF and, in any case, shall last no longer than twelve (12) months.

Please also refer to Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations— Use of Leverage*" of the General Section of the Prospectus.

Reference Currency

AESIF ELTIF Fund is denominated in Euro (EUR). AESIF ELTIF Fund will issue classes of Shares in Euro (EUR) and multiple other currencies as the Board of Directors (or its delegate) may decide from time to time. The complete list of available Share Classes will be available at the AESIF ELTIF Fund's website (<https://www.areswms.com/non-us/aesif-eltif>), upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

NAV of each Class of Shares is reported to Shareholders and returns are calculated and reported in the currency of such Class of Shares. Gains or losses regarding Investments made using a different currency than the one of a given Class of Shares may include currency fluctuations relative to such Share Class currency.

IV. SHARE CLASS INFORMATION

Share Classes of AESIF ELTIF Fund

The Board of Directors (or its delegate) may, at any time, create additional Classes of Shares whose characteristics (e.g., a specific fees and expenses structure (including but not limited to Servicing Fee, Subscription Fees, Management Fees, redemption fees, anti-dilution fees and/or similar fees, different distribution rights, different marketing targets, different liquidity terms (including but not limited to minimum holding period, redemption program, hard-lock up and early exit deductions), different investors' eligibility criteria, different Minimum Subscription Amount and/or Minimum Subsequent Subscription Amount, different transfer and/or ownership restrictions; different rights (including but not limited to non-voting Class(es)), different Reference Currencies, different currency exposure management/ hedging program and/or any such other features as may be determined by the Board of Directors or its delegate from time to time and described in this Annex. The complete list of available Classes of Shares will be available online at the AESIF ELTIF Fund's website (<https://www.areswms.com/non-us/aesif-eltif>), as well as at the registered office of AESIF ELTIF Fund.

Class A_A, Class A_S, Class B_A, Class C_A, Class D_A, Class E_A, Class G_A, Class G1_A, Class G2_A, Class I_A, Class IS_A, Class R_A, Class RS_A, Class R1_A, Class R1S_A and Class R2S_A Shares are Accumulation Sub-Classes (as defined below) and Class AS_D, Class B_D, Class C_D, Class D_D, Class E_D, Class G_D, Class G1_D, Class G2_D, Class I_D, Class IS_D, Class R_D, Class RS_D, Class R_D LIQID Private Debt NXT, Class R1_D, Class R1S_D and Class R2S_D Shares are Distribution Sub-Classes (as defined below).

Shareholders that subscribe for “**Distribution Sub-Class**” Shares will receive any distributions that AESIF ELTIF Fund pays in respect of such Shares. In contrast, Shareholders that subscribe for “**Accumulation Sub-Class**” Shares will, in lieu of receiving distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. In each case, distributions, whether made to the Distribution Sub-Class Shareholders or reflected in the NAV of the Shares held by the Accumulation Sub-Class Shareholders, are made at the discretion of the Board of Directors (or its delegate) and are subject to reasonable reserves for the payment of a *pro rata* portion of Operating Expenses (as defined below) and other obligations of AESIF ELTIF Fund attributable to such Shares (including Servicing Fees), and subject to allocating any required tax withholdings (or taxes paid or withheld with respect to such distributions from any Other Ares Fund).

Class I_A Shares and Class I_D Shares (together, the “**Class I Shares**”), Class IS_A Shares and Class IS_D Shares (together, the “**Class IS Shares**”) are generally available to investors who have account-based fee arrangements, known as advisory/wrap accounts, discretionary managed accounts, or comparable fee arrangements with their distributor or other financial intermediary. Class I Shares and Class IS Shares may also be available to investors in markets with legal prohibition on payments of shareholder servicing and similar fees, and other categories of investors as determined by the Investment Manager in its sole discretion.

Class A_A Shares (the “**Class A Shares**”), Class A_S Shares and Class AS_D Shares (together, the “**Class AS Shares**”), Class R_A Shares and Class R_D Shares (together, the “**Class R Shares**”), Class RS_A Shares and Class RS_D Shares (together, the “**Class RS Shares**”), Class R1_A Shares and Class R1_D Shares (together, the “**Class R1 Shares**”), Class R1S_A Shares and Class R1S_D Shares (together, the “**Class R1S Shares**”), Class R2S_A Shares and Class R2S_D Shares (together, the “**Class R2S Shares**”) are available to all other investors. Class A Shares, Class AS Shares, Class R Shares, Class RS Shares, Class R1 Shares, Class R1S Shares and Class R2S Shares may be made available in certain countries to financial intermediaries who, as a result of applicable laws and regulations in those jurisdictions, are eligible to, and wish to, receive servicing and similar fees, commissions and/or retrocessions.

The Investment Manager may accept subscriptions for Class B_A Shares, Class B_D Shares (together, the “**Class B Shares**”), Class C_A Shares and Class C_D Shares (together, the “**Class C Shares**”), and Class R_D LIQID NXT Shares (the “**Class R LIQID Private Debt NXT Shares**”), in its sole discretion, subject to the Minimum Subscription Amount.

Class D_A Shares and Class D_D Shares (together, the “**Class D Shares**”) are available to certain investors who have entered into a discretionary portfolio management mandate with their financial intermediary with automatic rebalancing requirements in relation to a model portfolio and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.

Class E_A Shares and Class E_D Shares (together, the “**Class E Shares**”) are generally available to employees of Ares, Other Ares Funds and other persons, as approved by the Investment Manager in its discretion. Class E Shares will not be subject to payment of any Servicing Fees, Management Fees or Performance Participation Allocation.

Class G_A Shares and Class G_D Shares (together, the “**Class G Shares**”), Class G1_A Shares and Class G1_D Shares (together, the “**Class G1 Shares**”) and Class G2_A Shares and Class G2_D Shares (together, the “**Class G2 Shares**”) are available to eligible investors located in certain jurisdictions with delivery versus payment settlement requirements and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.

Notwithstanding the above, AESIF ELTIF Fund shall have full discretion to allocate the subscription of any Shareholder to any Class in order to reflect, *inter alia*, the subscription by Shareholders through a Parallel Entity.

Except as otherwise described herein, the terms of each Class of Shares are identical. Shares are issued in respect of a particular Class in AESIF ELTIF Fund. The Board of Directors (or its delegate) has the authority to, at any time, create and issue new Classes or types of Shares within AESIF ELTIF Fund at its discretion, with Shares having different rights, benefits, powers or duties and terms, including with respect to fees, distributions and liquidity.

Please also refer to Section VI: “*Fees and Expenses of AESIF ELTIF Fund—Subscription Fees*” and “*—Servicing Fee*” and Schedule 1: “*Share Classes of AESIF ELTIF Fund*” of this Annex.

Hedging

Individual Classes may be denominated in other currencies. AESIF ELTIF Fund may hedge Classes of Shares which are denominated in any currency other than the Reference Currency of AESIF ELTIF Fund, however, depending on the prevailing circumstances, AESIF ELTIF Fund may or may not hedge certain Classes, either partially or fully, and has no obligation to hedge any Class at all. In relation to currency hedging undertaken, if any, in the interest of a hedged Class, note that various Classes of Shares do not constitute separate portfolios of assets and liabilities. Accordingly, while gains and losses on the hedging transactions and the expenses of the hedging program will be allocated to the hedged Classes only, AESIF ELTIF Fund, as a whole (including the non-hedged Classes), may be liable for obligations in connection with currency hedges in favor of a specific Class of Shares and AESIF ELTIF Fund may also be liable for similar obligations in connection with currency hedges with respect to AESIF ELTIF Fund or a Parallel Entity. Additionally, any financing facilities or guarantees utilized in connection with the hedging program may be entered into by AESIF ELTIF Fund or the Aggregator (in respect of AESIF ELTIF Fund or a Parallel Entity) and not any specific Class.

V. SUBSCRIPTIONS, REDEMPTIONS AND OTHER TRANSACTIONS

Subscriptions in AESIF ELTIF Fund

Shares in AESIF ELTIF Fund may be marketed to Retail Investors and Professional Investors, in each case meeting the eligibility requirements for participating in AESIF ELTIF Fund, and will be offered primarily through distributors or other financial intermediaries. Accordingly, AESIF ELTIF Fund is primarily intended for investors with such distributor or other financial intermediary relationships. Investors should consult with their distributor or other financial intermediary to discuss potential eligibility and suitability to invest in AESIF ELTIF Fund and such distributor or other financial intermediary will provide appropriate investment advice on the suitability of the investment and the verification of such investor's satisfaction of the relevant eligibility requirements.

Each potential Shareholder desiring to subscribe for Shares is required to execute a Subscription Document and make certain representations and warranties to AESIF ELTIF Fund including (without limitation) a representation to the effect that it: (1) (a) is not a U.S. person (as defined in Regulation S under the 1933 Act) or (b) is a Permitted U.S. Person (unless waived by the Investment Manager), (2) is purchasing such investment (x) in an offshore transaction in accordance with Regulation S under the 1933 Act or (y) in a transaction otherwise exempt from registration under the 1933 Act, including in reliance on Regulation D, and (3) is not, and does not have indirectly through any entities that are fiscally transparent for U.S. tax purposes, a "United States person" for U.S. federal income tax purposes (as such term is defined in Section 7701(a)(30) of the U.S. Internal Revenue Code of 1986, as amended). Each potential Shareholder must also satisfy the eligible Shareholder qualifications as set forth in the Subscription Document.

The initial Minimum Subscription Amount and Minimum Subsequent Subscription Amounts by each Shareholder in AESIF ELTIF Fund are set out in Schedule 1: "*Share Classes of AESIF ELTIF Fund*" and/or available online at the AESIF ELTIF Fund's website (<https://www.areswms.com/non-us/aesif-eltif>) (although the Investment Manager may in its discretion accept the equivalent amount in another admitted currency).

The initial Minimum Subscription Amounts set out above are subject, in each case, to such higher initial subscription amounts as required for a Shareholder's eligibility under applicable law, as provided in the Subscription Documents. Certain sub-distributors, countries and/or Classes may have higher minimums. Notwithstanding anything else herein, the Investment Manager may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than the first calendar day of the month. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Prospective investors in AESIF ELTIF Fund may subscribe to AESIF ELTIF Fund directly or via financial intermediaries or omnibus accounts. The investments made by a financial intermediary will not be aggregated in order to determine the investor's eligibility for a specific Class or its minimum initial subscription or holding.

Shares of AESIF ELTIF Fund may only be marketed to a Retail Investor in accordance with the rules laid down in article 30 of the ELTIF Regulation, in particular where an assessment of suitability has been carried out in accordance with article 25(2) of MiFID II and a statement of suitability has been provided to such Retail Investor in accordance with article 25(6) of MiFID II, irrespective of whether the Retail Investor acquires the Shares from the Global Distributor, its delegates, or via the secondary market. The express consent of the Retail Investor indicating that such Retail Investor understands the risks of investing in AESIF ELTIF Fund shall be obtained where all of the following conditions are met:

- the assessment of suitability is not provided in the context of investment advice;
- AESIF ELTIF Fund is considered not suitable for the Retail Investor on the basis of the assessment of suitability carried out pursuant to the first sub-paragraph; and
- the Retail Investor wishes to proceed with the transaction despite the fact that AESIF ELTIF Fund is considered not suitable for that investor.

Subscriptions and Issuance of Shares in AESIF ELTIF Fund

Initial Subscription Period and Ongoing Subscriptions

In respect of each new Class of Shares, up to the end of the Initial Subscription Period, the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion *plus* applicable Subscription Fees.

After the end of the Initial Subscription Period, subscriptions for Shares of AESIF ELTIF Fund may be made on an ongoing basis and will be accepted as of the first calendar day of each month (each, a “**Subscription Date**”).

Subscription Price

After the end of the Initial Subscription Period, Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date *plus* applicable Subscription Fees.

The subscription price per Share of each Class of Shares is equal to the NAV per Share for such Class of Shares as of the relevant Valuation Date. For example, if a prospective Shareholder wishes to make an initial subscription for Shares of AESIF ELTIF Fund in October, the initial subscription request must be received in good order at least five (5) Business Days before November 1st. The offering price will equal the NAV per Share of the applicable Class as of the last calendar day of October (i.e., the relevant Valuation Date), *plus* applicable Subscription Fees. If accepted, the subscription will be effective on the first calendar day of November (based on the October 31st NAV). In connection with a subscription of Shares, Shareholders may also be required to pay Subscription Fees (as defined below) to their distributor or other financial intermediary.

AESIF ELTIF Fund’s monthly NAV as of the Valuation Date will generally be available by the 15th Business Day of the following month (e.g., the NAV for October 31st will generally be available around November 21st). Prospective Shareholders will therefore not know the NAV per Share of their investment until after the investment has been accepted. Prospective Shareholders are required to subscribe for a EUR (or the relevant Share Class’s reference currency) amount, as applicable, and the number of Shares that such subscriber receives will subsequently be determined based on the NAV per Share as of the time such investment was accepted by AESIF ELTIF Fund (e.g., a Shareholder admitted to AESIF ELTIF Fund as of November 1st of a calendar year, whose investment is based on AESIF ELTIF Fund’s NAV as of October 31st of such year, will learn of such NAV and the corresponding number of Shares represented by their subscription around November 21st of that year).

Subscription Procedure

A prospective Shareholder must notify AESIF ELTIF Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least fifteen (15) calendar days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). To be accepted, a subscription request must be made with a completed and executed Subscription Document in good order, including (a) satisfying any additional requirements imposed by the subscriber’s distributor or other financial intermediary, (b) satisfying the know your client (KYC), terrorist financing and anti-money laundering checks carried out by AESIF ELTIF Fund or its agent, and (c) any tax forms associated with a subscription (to the extent not already forming part of the Subscription Document).

Late subscription orders will be automatically resubmitted for the next available Subscription Date, unless such subscription order is withdrawn or revoked before 5 p.m. Central European Time on the last Business Day before such Subscription Date (subject to the Investment Manager’s discretion to accept after such time). Subscription price amounts (whether in cash or in kind, as applicable) must be received (i) at least one (1) Business Day prior to the applicable Subscription Date for Class A Shares, Class AS Shares, Class B Shares, Class C Shares, Class D Shares, Class E Shares, Class I Shares, Class IS Shares, Class R Shares, Class RS Shares, Class R1 Shares, Class R1S Shares and Class R2S Shares and (ii) at the latest 18 Business Days after the applicable Subscription Date for Class G Shares, Class G1 Shares, Class G2 Shares and Class R LIQID Private Debt NXT Shares. No interest will be paid on any payments received prior to the relevant deadline.

Prospective Shareholders should note that incomplete subscription applications and subscription applications which are not settled by the relevant funding due date may be, in the discretion of the Investment Manager, cancelled or deferred to a subsequent Subscription Date by AESIF ELTIF Fund and any costs of cancellation, reasonable interest and/or other incurred charges may be passed on to the prospective Shareholder and may be deducted from the subscription price paid by such prospective Shareholder, in the discretion of the Investment Manager.

Notwithstanding anything else herein, the Board of Directors (or its delegate) may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for

a given Subscription Date, which could result in subscriptions being accepted on a day other than a Subscription Date. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Subscriptions, redemptions and conversions of Shares should be made for investment purposes only. AESIF ELTIF Fund shall not permit short-term (market-timing) or other excessive trading practices, which may disrupt AESIF ELTIF Fund's portfolio management strategies and harm its performance. To minimize harm to AESIF ELTIF Fund and the Shareholders, the Investment Manager has the right to reject any subscription or conversion order from any subscriber who is engaging in excessive trading or has a history of excessive trading or if a subscriber's trading, in the opinion of the Investment Manager, has been or may be disruptive to AESIF ELTIF Fund. AESIF ELTIF Fund, the Investment Manager, the Board of Directors and the AIFM will not be liable for any loss resulting from rejected orders.

Fractions of Shares to two (2) decimal places will be issued. The timing of Subscription Dates, Valuation Dates, and other applicable deadlines (including the deadlines for cancelling subscription and for the payment of the subscription price) may be modified from time to time by the Investment Manager in its sole discretion.

Redemption of Shares

Shareholders will not be able to request the redemption of their Shares until the end of the ELTIF Portfolio Ramp-Up Period, which ended on January 31st, 2026.

After the end of the ELTIF Portfolio Ramp-Up Period and subject to the restrictions set out in this Annex, a Shareholder may request to have some or all of its Shares redeemed by AESIF ELTIF Fund (each, a "**Redemption Request**") as of the last calendar day of each calendar month (each, a "**Redemption Date**") by submitting a notice to AESIF ELTIF Fund that the Shareholder requests a certain number of its Shares be redeemed by AESIF ELTIF Fund in the form made available by AESIF ELTIF Fund by the Redemption Cut-Off Time, i.e., by 5 p.m. Central European Time on the first Business Day of the calendar month on which the Redemption Date falls (e.g., a Shareholder requesting a June 30th redemption must submit their Redemption Request by June 1st); *provided* that late notices may be accepted in the Investment Manager's sole discretion (acting as delegate of the Board of Directors). Once a Redemption Request has been submitted, the Shareholder will not be entitled to withdraw or revoke the Redemption Request without the Investment Manager's consent until 5 p.m. Central European Time on the last Business Day before the Redemption Date (subject to the Investment Manager's discretion to accept after such time).

Amounts distributed in connection with a Redemption Request will be based upon the NAV per Share of the applicable Class of Shares being redeemed as of the relevant Valuation Date (e.g., a Shareholder requesting a June 30th redemption, the redemption price will be based upon the NAV as of June 30th of that year). AESIF ELTIF Fund expects that settlements of Redemption Requests will generally be made within two (2) Business Days after the relevant NAV Release Date (e.g., a Shareholder requesting a June 30th redemption would generally be expected to receive a settlement on or around July 25th of the same year) (the "**Settlement Date**").

Each Redemption Request will be processed on each Redemption Date at the NAV per Share of the applicable Class of Shares as of the Valuation Date falling on the applicable Redemption Date. Shareholders will not know the NAV per Share, and therefore the amount of their redemption, until the relevant NAV Release Date. In addition, due to the timing of the NAV Release Date, investors submitting Redemption Requests will also typically not know the NAV per Share for the prior month.

Shareholders whose Redemption Requests are accepted will cease to be Shareholders in respect of the redeemed Shares as of such Redemption Date and will therefore cease to be entitled to the rights of a Shareholder in respect of the redeemed Shares as of such date, including the right to receive distributions, and will not be entitled to interest on redemption payments due.

Redemption Limitation

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AESIF ELTIF, including redemptions in all Parallel Entities and the Aggregator, but excluding any Early Redemption Deduction or any Redemption Fee applicable to the redeemed Shares) is generally limited to 2% of aggregate NAV per calendar month of all Parallel Entities and the Aggregator (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter) and 5% of such aggregate NAV per calendar quarter (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter), except in the exceptional circumstances described in this Annex and/or the ELTIF Redemption Limit provides for a lower percentage of the aggregate NAV on the relevant Redemption Date as described under Section IX: "*Regulatory Consideration – ELTIF Rules – Level of UCITS Eligible Assets and Redemption*" of this Annex. In any given calendar quarter,

excess redemption capacity under the 2% monthly limitation described in the foregoing will be rolled into the subsequent month of such calendar quarter and be available for further redemptions in such calendar quarter only. For the avoidance of doubt, both of these limits are assessed during each month in a calendar quarter and are based on net redemptions during a month or quarter, as applicable, unless otherwise notified to Shareholders pursuant to this paragraph. The term “**net redemptions**” means, during the applicable period, the excess of redemptions (capital outflows) over the proceeds from subscriptions (capital inflows). With respect to future periods, the Board of Directors (or its delegate) may choose whether the allocations and limitations will be applied to “gross redemptions” (i.e., without netting against capital inflows), rather than to net redemptions. If redemptions for a given calendar month or quarter are measured on a gross basis rather than on a net basis, the redemption limitations could limit the number of Shares redeemed in a given calendar month or quarter despite AESIF ELTIF Fund receiving net capital inflows for that month or quarter. In order for the Board of Directors (or its delegate) to change the application of the allocations and limitations from net redemptions to gross redemptions or vice versa, AESIF ELTIF Fund will provide notice to Shareholders, at least ten (10) days before the first Business Day of the quarter for which the new test will apply. The determination to measure redemptions on a gross basis, or vice versa, will only be made for an entire quarter, and not particular months within a quarter.

No redemption proceeds will be paid unless and until cleared funds equal to the full amount of the subscription price (or any other amounts payable by such Shareholder to AESIF ELTIF Fund) due but not yet paid for the Shares to be redeemed has been received by AESIF ELTIF Fund. No interest will be paid to Shareholders on redemption proceeds paid after the Settlement Date.

Any redemption made for the purpose of upstreaming cash (a) to settle a properly incurred liability of AESIF ELTIF Fund, the Aggregator or any Ares-managed feeder vehicle of AESIF ELTIF; (b) for cash management purposes at the level of AESIF ELTIF Fund, the Aggregator or any Ares-managed feeder vehicle of AESIF ELTIF; and/or (c) to declare a distribution or dividend at the level of AESIF ELTIF Fund, or the Aggregator will not be subject to the Early Redemption Deduction or any Redemption Fee, and will not be taken into account for the purposes of calculating the 5% quarterly and 2% monthly redemption limits, in each case *provided* that the upstreaming of cash is not used to effect the Redemption Requests of, and/or provide priority redemption rights to, underlying investors of AESIF ELTIF Fund, the Aggregator or any Ares-managed feeder vehicle of AESIF ELTIF.

In exceptional circumstances and not on a systematic basis, AESIF ELTIF Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in AESIF ELTIF’s best interest and the best interest of AESIF ELTIF’s investors as a whole, such as when redemptions of Shares would place an undue burden on AESIF ELTIF’s liquidity, adversely affect AESIF ELTIF’s operations, risk having an adverse impact on AESIF ELTIF that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to the 2% monthly or 5% quarterly limitations on redemptions and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AESIF ELTIF’s best interest and the best interest of AESIF ELTIF’s investors.

Each Redemption Request will be processed at the NAV per Share of the applicable Class of Shares as of the relevant Redemption Date. Shareholders will not know the NAV per Share, and therefore the amount of their redemption, until the NAV Release Date. Because investors must submit Redemption Requests on the first day of the month of a Redemption Date, they also will not know the NAV per Share for the month preceding the Redemption Date at the time their Redemption Request is submitted.

In the event that, pursuant to the limitations above, not all of the Shares submitted for redemption during a given month are to be accepted for redemption by AESIF ELTIF Fund, Shares submitted for redemption during such month will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AESIF ELTIF if applicable). All unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date, unless such a Redemption Request is withdrawn or revoked by a Shareholder before such Redemption Date in the manner as described above.

Sources of Funds for Redemptions

The Board of Directors (or its delegate) may in its discretion, after taking the interests of AESIF ELTIF Fund as a whole and the interests of the remaining Shareholders into consideration, use proceeds from any available sources at AESIF ELTIF Fund's disposal to satisfy Redemption Requests, subject to the 2% monthly or 5% quarterly limitations. Potential sources of funding redemptions include, but are not limited to, cash on hand, cash available from borrowings, cash from the sale of Shares and cash from liquidations of investments, to the extent that such funds are not otherwise dedicated to a particular use, such as working capital, cash distributions to Shareholders or Investments.

Although a majority of AESIF ELTIF Fund assets consist of Investments that cannot generally be readily liquidated on short notice without impacting AESIF ELTIF Fund's ability to realize full value upon their disposition, AESIF ELTIF Fund intends to maintain a number of sources of liquidity including Debt and Other Instruments. AESIF ELTIF Fund may fund redemptions from any available source of funds, including operating cash flows, borrowings, proceeds from the offering of the Shares and/or sales of AESIF ELTIF Fund's assets.

Early Redemption Deduction and Redemption Fee

Redemptions of certain Classes of Shares, as set out in Schedule 1: "*Share Classes of AESIF ELTIF Fund*" of this Annex, may be subject to: (i) an early redemption deduction of 5.00% of the NAV of the relevant Shares being redeemed (calculated as of the relevant Redemption Date) if the relevant Shares were held for less than eighteen (18) months (the "**Early Redemption Deduction**"); or (ii) a redemption fee of up to 5.00% of the NAV of the relevant Class of Shares being redeemed (calculated as of the relevant Redemption Date) as determined by the Investment Manager in its sole discretion from time to time (the "**Redemption Fee**"). To the extent applicable, the application of any Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager.

If a redeeming Shareholder, who invested in AESIF ELTIF Fund for its own account, owns Shares of more than one Series of the Class being redeemed, such Shares will be deemed to be redeemed on a "first-in-first-out" basis. If a redeeming Shareholder invested in AESIF ELTIF Fund as a financial intermediary on behalf of underlying investors, it must indicate in its Redemption Request the relevant Series of Shares to be redeemed.

The Early Redemption Deduction or any Redemption Fee, as applicable, will inure indirectly to the benefit of the Aggregator (and indirectly AESIF ELTIF Fund and all other vehicles invested in the Aggregator, including their respective investors).

AESIF ELTIF Fund may, from time to time, waive the Early Redemption Deduction or any Redemption Fee in its sole discretion, including without limitation in the case of redemptions resulting from death, qualifying disability, divorce, or where operational, administrative, and/or system limitations prohibit the Early Redemption Deduction or any Redemption Fee from being properly applied.

All questions as to the applicability of the Early Redemption Deduction or any Redemption Fee to specific facts and the validity, form, eligibility (including time of receipt of required documents) of a qualification for an exemption from the Early Redemption Deduction or any Redemption Fee will be determined by the Investment Manager, in its sole discretion, and its determination shall be final and binding.

Minimum Account Redemptions

In the event that any Shareholder fails to maintain the minimum balance of €10,000 (or the equivalent in any currency as may be determined by the Board of Directors or its delegate) of Shares, the Board of Directors (or its delegate) may redeem all of the Shares held by that Shareholders at the redemption price in effect on the date the Board of Directors (or its delegate) determines that the Shareholder has failed to meet the minimum balance, less any Early Redemption Deduction or Redemption Fee, as applicable. Minimum account redemptions may be subject to Early Redemption Deductions or Redemption Fees, as applicable.

Compulsory Redemption with regard to Prohibited Persons

If the Board of Directors (or its delegate) discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person (as defined below), either alone or in conjunction with any other person, whether directly or indirectly, the Board of Directors (or its delegate) may at its discretion and without liability, compulsorily redeem (in whole or in part) the Shares in accordance with the Articles, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such redemption may take priority over any requested redemptions made by other investors (which may be delayed as a result). For the avoidance of doubt, in the case of a Shareholder holding Shares which can be allocated to several beneficial owners, such compulsory redemption

may only be applied to the part of the portion of such Shares allocable to the beneficial owner qualifying as a Prohibited Person.

In addition, in the case of a Prohibited Person where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, or (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, the Board of Directors (or its delegate) is also entitled to convert the Shares of the Prohibited Person provided that after such conversion the Shareholder no longer qualifies as a Prohibited Person.

The Board of Directors (or its delegate) may require any Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) to provide it with any information that it may consider necessary for the purpose of determining whether or not such Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) is or will be a Prohibited Person.

Further, Shareholders shall have the obligation to immediately inform AESIF ELTIF Fund to the extent the ultimate beneficial owner of the Shares held by such Shareholders becomes or will become a Prohibited Person.

For the purpose of this clause, "**Prohibited Person**" shall mean any person, firm, partnership or corporate body (including a Shareholder (and/or an underlying investor where the Shareholder subscribed to the Shares on its behalf of such underlying investor and/or for such underlying investor's benefit)), not eligible as investor for a Class of Shares, or if in the sole opinion of the Board of Directors (or its delegate) the holding of Shares may be detrimental to the interests of the existing Shareholders, AESIF ELTIF Fund or the Sponsor, if it may result in a breach of any law or regulation, whether in Luxembourg or abroad, or if as a result thereof any such parties may become exposed to regulatory, tax, economic or reputational damages, obligations, disadvantages, fines or penalties that it would not have otherwise incurred.

Conversions Between Classes

Conversions of Shares between Classes in AESIF ELTIF Fund are allowed. The Board of Directors (or its delegate) may suspend conversions in respect of Shares during any period that the determination of the NAV of the relevant Class is suspended in accordance with the rules set out in the Articles and this Annex.

Conversion at the Request of Shareholders

A Shareholder may request the conversion of all or part of its Shares of a Class on any Valuation Date; *provided* that the Shareholder fulfils the eligibility criteria of the relevant Class into which the conversion is requested and subject to the written consent of the Shareholder's broker, distributor or other financial intermediary, if applicable, and the Board of Directors (or its delegate). Any conversion request which, when executed, would cause the Shareholder's investment to fall below the applicable minimum holding requirement, will be considered as a request for a full conversion for that Shareholder's Shares in that particular Class.

Procedure

Written conversion orders should be sent to the Central Administration at least five (5) Business Days before the relevant Valuation Date or such shorter period as determined by the Board of Directors or its delegate (the "**Conversion Cut-off**").

All conversion orders must contain the following information:

- the Valuation Date in respect of which the conversion request is made;
- the full name(s) in which the Shares to be converted are registered;
- the Class and its ISIN code from which Shares are to be converted and the Class and its ISIN code to which Shares will be converted; and
- either the monetary amount or the number of Shares to be converted.

If accepted, conversion orders received by the Central Administration before the relevant Valuation Date in respect of which the conversion order is made will be dealt with on such Valuation Date on the basis of the NAV of the relevant Classes prevailing on that Valuation Date.

Any conversion orders received after the Conversion Cut-off for a Valuation Date will be processed on the next Valuation Date on the basis of the NAV of the relevant Classes prevailing on such Valuation Date.

The rate at which all or part of the Shares of one Class (the “**Initial Class**”) are converted into another Class (the “**New Class**”) is determined in accordance with the following formula:

$$A = \frac{B \times C \times D}{E}$$

where:

- A is the number of Shares to be allocated in the New Class;
- B is the number of Shares of the Initial Class to be converted;
- C is the NAV per Share of the Initial Class determined on the relevant Valuation Date;
- D the currency conversion factor, which is the relevant currency rate as at the respective Valuation Date, or where the Shares of the New Class are denominated in the same currency of the Initial Class, D = 1; and
- E is the NAV per Shares of the New Class determined on the relevant Valuation Date.

Following such conversion of Shares, the Central Administration will inform the respective Shareholder of the number of Shares of the New Class obtained by conversion and the price thereof. Fractions of Shares in the New Class to two decimal places may be issued.

Conversion by decision of the Board of Directors

The Board of Directors (or its delegate) may in its own discretion at any time convert Shares from one Class into another Class of Shares where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class as set out in this Annex, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, or (iv) the Board of Directors or its delegate determines that such conversion is necessary or advisable and not inequitable to Shareholders.

The procedure set out above will apply accordingly.

Transfers

Shareholders may transfer part or all their Shares upon prior consent from the Board of Directors or its delegate, in their sole discretion, which shall be provided within thirty (30) calendar days from its notification. The absence of a favorable response within thirty (30) calendar days shall be considered as a refusal to such transfer.

Any transferee must provide AESIF ELTIF Fund with a duly completed Subscription Document, any required AML/KYC documents and any additional information or documentation as requested by the Board of Directors or its delegate in connection with the transfer and by the transferee’s broker, distributor or other financial intermediary, as applicable.

VI. FEES AND EXPENSES OF AESIF ELTIF FUND

Costs of setting-up AESIF ELTIF Fund

The costs, fees and expenses described in this section cover the relevant costs considerations in relation to the setting up of AESIF ELTIF, as set out in the ELTIF-CDR.

Initial Organizational and Offering Expenses

In connection with the set-up of AESIF ELTIF Fund, AESIF ELTIF Fund will bear certain Organizational and Offering Expenses, as determined by the Investment Manager in its reasonable discretion. The Investment Manager will determine what Organizational and Offering Expenses are associated with the setting-up of AESIF ELTIF and attributable to AESIF ELTIF Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

The Investment Manager has agreed to advance all of AESIF ELTIF's (including the expenses associated with AESIF ELTIF Fund, the Aggregator, any Intermediate Vehicle, or any of their respective Parallel Entities or Feeder Entities) Organizational and Offering Expenses through the Effective Date. AESIF ELTIF Fund, the Aggregator or the relevant Parallel Entities, as applicable, will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date.

After the Effective Date, AESIF ELTIF Fund, the Aggregator or the relevant Parallel Entities, as applicable, will reimburse the Investment Manager for any Organizational and Offering Expenses that it has incurred on each entity's behalf as and when incurred.

Please refer to Section VII: "*Fees and Expenses of AEFS – Organizational and Offering Expenses*" of the Prospectus for a description of the Organizational and Offering Expenses that may generally be incurred by AESIF ELTIF Fund through the Effective Date.

Initial Operating Expenses Support

The Investment Manager may at its discretion advance all or portion of the Operating Expenses to be borne by AESIF ELTIF Fund, the proportion of expenses of the Aggregator borne by AESIF ELTIF Fund, and the appropriately apportioned expenses relating to Portfolio Entities and Parallel Entities, in each case as determined pursuant to the terms of this Prospectus (collectively, "**Initial Operating Expenses Support**") through the Effective Date. AESIF ELTIF Fund and the Aggregator (as applicable and as determined by the Investment Manager in its sole discretion), will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date or on such earlier date as determined by the Investment Manager.

Costs Related to the Acquisition of Assets

The costs, fees and expenses described in this section cover the relevant costs considerations in relation to the acquisition of assets by AESIF ELTIF, as set out in the ELTIF-CDR

AESIF ELTIF Fund will bear certain Operating Expenses in connection with the acquisition of assets, which may include, *inter alia*, all the fees, costs, expenses, taxes, expected tax liabilities, liabilities and obligations relating or attributable to identifying, diligencing, structuring and/or negotiating the acquisition of assets (including Broken Deal Expenses) and other administrative, regulatory, depositary, custodial, professional service and audit costs related thereto. The Investment Manager will determine what Operating Expenses are associated with the acquisition of assets and attributable to AESIF ELTIF Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

Please refer to Section VII: "*Fees and Expenses of AEFS – Operating Expenses*" of the Prospectus for a description of the Operating Expenses that may be incurred by AESIF ELTIF Fund in connection with the acquisition of assets.

AIFM, Management and Performance Related Fees

The costs, fees and expenses described in this section cover the relevant costs considerations in relation to the management and performance related fees (Management Fee and Performance Participation Allocation) to be borne by AESIF ELTIF, as set out in the ELTIF-CDR.

AIFM Fee

In consideration for its services with respect to AESIF ELTIF Fund, the AIFM will be entitled to payment of an AIFM Fee payable by AESIF ELTIF Fund equal to, for each Class of Shares, up to 0.03% of the NAV of each Class of Shares per annum payable monthly in arrears based on month end values. The AIFM Fee may be paid by AESIF ELTIF Fund, or alternatively and without duplication, by the Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of AESIF ELTIF Fund. The AIFM Fee will be separate from and additional to the Management Fee and any Operating Expenses.

The AIFM may waive all or any part of the AIFM Fee in its discretion from time to time.

Management Fee

In consideration for its services with respect to AESIF ELTIF Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a management fee (the “**Management Fee**”), as set out in Schedule 1: “*Share Classes of AESIF ELTIF Fund*” of this Annex and/or available online at the AESIF ELTIF Fund’s website (<https://www.areswms.com/non-us/aesif-eltif>), payable by AESIF ELTIF Fund (except as described below) for all Classes of Shares (except in respect of Class E Shares). The Management Fee will be payable monthly in arrears based on month end values, before giving effect to any accruals for the Management Fee, the Servicing Fee (as defined below), the Performance Participation Allocation (as defined below), redemptions for that month (if any), any distributions and any impact to NAV solely caused by currency fluctuations and/or currency hedging activities for non-EUR Classes, non-EUR classes of units of the Aggregator and/or non-EUR classes of shares or units of Parallel Entities (where applicable). The Management Fee may be paid by AESIF ELTIF Fund, or alternatively and without duplication, by the Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of AESIF ELTIF Fund.

The AIFM (and/or such other combination of persons as the Investment Manager may designate) may elect to receive the Management Fee in cash, Shares, units of the Aggregator and/or shares or units of Parallel Entities (where applicable). If the Management Fee is paid in Shares, the Aggregator units and/or shares or units of Parallel Entities (where applicable), such Shares, shares and/or units may be redeemed at the AIFM’s request (and/or at the request of such other combination of persons as the Investment Manager may designate), and will not be subject to any of the limitations set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” and “*—Early Redemption Deduction and Redemption Fee*” of this Annex.

The AIFM may separately elect for the Management Fee to be paid (in whole or in part) to an affiliate of the AIFM (and/or such other combination of persons as the Investment Manager may designate) in satisfaction of Management Fee amounts owed to the AIFM in connection with services provided by such affiliate to AESIF ELTIF Fund and/or any Intermediate Vehicle. In addition, the AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time.

For the avoidance of doubt, in the event the Management Fee is paid by the Aggregator, the Parallel Entities and/or any Intermediate Vehicle, such payment shall be made on behalf of AESIF ELTIF Fund in consideration of the services provided by the Investment Manager and the AIFM to AESIF ELTIF Fund. For the avoidance of doubt, where a management fee is calculated and paid by a Parallel Entity on the basis of such entity’s own NAV (whether or not such management fee is calculated and paid on the same basis as the Management Fee), such fees will be charged without duplication, and the NAV of such Parallel Entity will be disregarded for the purposes of the calculation and payment of the Management Fee to be paid by other AESIF ELTIF vehicles.

Performance Participation Allocation

Ares ESIE GP LLC (or, alternatively, any other entity or vehicle affiliated with Ares designated by the Investment Manager) (the “**Recipient**”) is allocated a Performance Participation Allocation by the Aggregator. For each Class of Shares (except in respect of Class E Shares), the Performance Participation Allocation consists of two components that are independent of each other, with the result that one component may be payable even if the other is not. A portion of the Performance Participation Allocation is based on income and a portion on capital gains, each as described in further detail below. The ESMA Guidelines on performance fees in UCITS and certain types of AIFs do not apply to AESIF ELTIF Fund as it follows a private equity strategy through its primary investment in privately originated and negotiated loans to European and UK companies. The borrowers of such loans are mainly private companies in which other private equity funds have made (or will make) equity investments.

Performance Participation Based on Income

The portion of the Performance Participation Allocation based on income (the “**Income Performance Participation Allocation**”) is based on Pre-Performance Participation Allocation Net Investment Income Returns. “**Pre-Performance Participation Allocation Net Investment Income Returns**” means, as the context requires, either the Euro value of, or percentage rate of return on the NAV of the relevant Aggregator units at the end of the immediate preceding quarter from, interest income, dividend income and any other income (including any other fees (other than fees for providing managerial assistance), such as commitment, origination, structuring, diligence, directors’, topping, break-up, transaction, closing, amendment, monitoring, exit, disposition and consulting fees or other fees received in connection with the provision and of capital to and maintenance of investment in current or prospective Underlying Issuers) accrued during the calendar quarter, minus operating expenses of AESIF ELTIF Fund and Parallel Vehicles accrued for the quarter (including the Management Fee, and any interest expense or fees on any credit facilities or outstanding debt and dividends paid on any issued and outstanding preferred shares, but excluding the Performance Participation Allocation, any Servicing Fees and any other Shareholder servicing and/or distribution fees, whether paid directly or out of the Management Fee).

Pre-Performance Participation Allocation Net Investment Income Returns include, in the case of investments with a deferred interest feature (such as original issue discount, debt instruments with PIK interest and zero coupon securities), and accrued income not yet received in cash. Pre-Performance Participation Allocation Net Investment Income Returns do not include any realized capital gains, realized capital losses or unrealized capital appreciation or depreciation.

Pre-Performance Participation Allocation Net Investment Income Returns, expressed as a rate of return on the value of net assets at the end of the immediate preceding quarter, is compared to a “hurdle rate” of return of 1.25% per quarter (5.0% annualized), except with respect to Class E Shares.

The Income Performance Participation Allocation is paid quarterly in arrears with respect to Pre-Performance Participation Allocation Net Investment Income Returns in each calendar quarter as follows:

- No Income Performance Participation Allocation is paid in any calendar quarter in which Pre-Performance Participation Allocation Net Investment Income Returns do not exceed the hurdle rate of 1.25% per quarter (5.0% annualized);
- 100% of the Euro amount of Pre-Performance Participation Allocation Net Investment Income Returns with respect to that portion of such Pre-Performance Participation Allocation Net Investment Income Returns, if any, that exceeds the hurdle rate but is less than a rate of return of 1.43% (5.72% annualized). This portion of Pre-Performance Participation Allocation Net Investment Income Returns (which exceeds the hurdle rate but is less than 1.43%) is referred to as the “catch-up.” The “catch-up” is meant to provide the Recipient with approximately 12.5% of Pre-Performance Participation Allocation Net Investment Income Returns as if a hurdle rate did not apply if this net investment income exceeds 1.43% in any calendar quarter; and
- 12.5% of the Euro amount of Pre-Performance Participation Allocation Net Investment Income Returns, if any, that exceed a rate of return of 1.43% (5.72% annualized). This reflects that once the hurdle rate is reached and the catch-up is achieved, 12.5% of all Pre-Performance Participation Allocation Net Investment Income Returns thereafter are allocated to the Recipient.

These calculations are pro-rated for any period of less than three months and adjusted for the issuances and redemptions of Aggregator units (including in connection with the issuance and redemptions of Shares).

Performance Participation Based on Capital Gains

The second component of the Performance Participation Allocation based on capital gains (the “**Capital Gains Performance Participation Allocation**”), is payable at the end of each calendar year in arrears, except with respect to Class E Shares. The amount payable equals:

- 12.5% of cumulative realized capital gains from inception through the end of such calendar year, computed net of all realized capital losses and unrealized capital depreciation on a cumulative basis, less the aggregate amount of any previously paid Capital Gains Performance Participation Allocations as calculated in accordance with IFRS on the NAV of the relevant Aggregator units.

Each year, the Capital Gains Performance Participation Allocation is net of the aggregate amount of any previously paid Capital Gains Performance Participation Allocation for all prior periods. The Recipient will

accrue, but will not be paid, a Capital Gains Performance Participation Allocation with respect to unrealized appreciation because a Capital Gains Performance Participation Allocation would be owed to the Recipient if AESIF ELTIF were to sell the relevant investment and realize a capital gain.

Performance Participation Calculations Generally

The Performance Participation Allocation amounts described above will be calculated in accordance with the following principles:

- References to the units of the Aggregator will (where relevant) be deemed to refer to the relevant class of units issued, or deemed to be issued, by such vehicle, in each case to track the different Performance Participation Allocation, Management Fee and other characteristics of different Classes of Shares and different Parallel Entities.
- Distributions accrued or paid on units of the Aggregator will treat any withholdings tax on distributions as paid by or received by Aggregator.
- The Recipient will also be allocated a Performance Participation Allocation with respect to all Aggregator units that are redeemed (or that would have been redeemed if Aggregator units were redeemed in order to fund the redemption of Shares) in connection with redemptions of Shares in an amount calculated as described above with the relevant period being the portion of the relevant calculation period for which such unit was outstanding, and proceeds for any such unit redemption will be reduced by the amount of any such Performance Participation Allocation.
- The Recipient may elect to receive the Performance Participation Allocation in cash, Shares, other Parallel Entity units (where applicable) or Aggregator units. If the Performance Participation Allocation is paid in Shares, other Parallel Entity units (where applicable) or Aggregator units, such Shares or units may be redeemed at the Recipient's request and will be subject to the volume limitations in Section V: "Subscriptions, Redemptions and Other Transactions—Redemption of Shares" of this Annex but not the Early Redemption Deduction or any Redemption Fee (as applicable).
- The Recipient will not be obligated to return any portion of the Performance Participation Allocation paid due to the subsequent performance of AESIF ELTIF Fund.

Distribution Costs

The costs, fees and expenses described in this section cover the relevant costs considerations in relation to the offering and distribution of the Shares in AESIF ELTIF Fund, as set out in the ELTIF-CDR.

Subscription Fees

Certain distributors or other financial intermediaries through which a Shareholder was placed in AESIF ELTIF Fund may charge such Subscription Fees on Shares sold in the offering that are paid by the Shareholder outside of its investment in AESIF ELTIF Fund and not reflected in AESIF ELTIF Fund's NAV. In certain circumstances the Subscription Fees may be paid to Ares and reallocated, in whole or in part, to the distributor or other financial intermediary that placed the Shareholder into AESIF ELTIF Fund. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.

Servicing Fee

Any Servicing Fee will compensate such representative for any placement, reporting, administrative and/or other services provided to an underlying investor by such representative. The receipt of the Servicing Fee will result in a conflict of interest.

Servicing Fees payable in respect of each Class of Shares, will be set out in Schedule 1: "*Share Classes of AESIF ELTIF Fund*" of this Annex and/or available online at the AESIF ELTIF Fund's website (<https://www.areswms.com/non-us/aesif-eltif>).

AESIF ELTIF Fund may issue Share Classes with different level of Servicing Fees, as the Board of Directors or its delegate may decide from time to time. The complete list of available Classes of Shares will be available online at the AESIF ELTIF Fund's website (<https://www.areswms.com/non-us/aesif-eltif>), as well as at the registered office of AESIF ELTIF Fund.

For the avoidance of doubt, the Servicing Fees will be payable by AESIF ELTIF Fund and Shareholders will not be billed separately for payment of the fees. The Servicing Fee will be calculated on the NAV of the relevant

Class of Shares before giving effect to accruals for the Servicing Fee (for that month), the redemptions for that month (if any) and distributions payable on such Class of Shares.

Other Distribution Costs

AESIF ELTIF Fund will bear certain Organizational and Offering Expenses and/or Operating Expenses in connection with the offering and distribution of the Shares in AESIF ELTIF Fund, which may include, *inter alia*, the administrative, regulatory, professional service and audit related costs in relation to the offering and distribution of the Shares in AESIF ELTIF Fund. The Investment Manager will determine what Organizational and Offering Expenses and/or Operating Expenses are associated with the offering and distribution of the Shares in AESIF ELTIF Fund and are attributable to AESIF ELTIF Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

Please refer to Section VII: “*Fees and Expenses of AEFS – Organizational and Offering Expenses*” and “*Fees and Expenses of AEFS – Operating Expenses*” of the Prospectus for a description of the Organizational and Offering Expenses and/or Operating Expenses that may generally be incurred by AESIF ELTIF Fund in connection with the offering and distribution of the Shares in AESIF ELTIF Fund.

Other Costs of AESIF ELTIF Fund

In addition to the fees and expenses set out above in this Section VI: “*Fees and Expenses of AESIF ELTIF Fund*” of this Annex, AESIF ELTIF Fund may bear other Organizational and Offering Expenses and/or Operating Expenses, which include (without limitation) the fees, costs, expenses, taxes, expected tax liabilities, liabilities and obligations associated with the services provided to AESIF ELTIF Fund by the Central Administration, Depositary, the Auditor, the Global Distributor and legal and professional advisers.

Other Operating Expenses

The Investment Manager will determine what Operating Expenses (other than those Operating Expenses associated with the setting up, the acquisition of assets and distribution of AESIF ELTIF) are attributable to AESIF ELTIF Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

With respect to AESIF ELTIF Fund’s capital commitment(s) to Other Ares Funds only, AESIF ELTIF Fund will not pay or otherwise bear carried interest, management fees or other incentive compensation paid to the general partner of such Other Ares Fund except in limited circumstances, in which case such carried interest, management fees or other incentive compensation paid will be rebated Euro-for-Euro to AESIF ELTIF Fund. For the avoidance of doubt, AESIF ELTIF Fund will pay all other fund and investment-related fees and expenses with respect to its capital commitment(s) to any Other Ares Fund (if applicable). AESIF ELTIF Fund will also indirectly bear other expenses of such Other Ares Fund, including all investment related expenses and expenses paid to affiliates of the Investment Manager, administrative expenses and other expenses as applicable to such Other Ares Fund (to the extent applicable).

Please refer to Section VII: “*Fees and Expenses of AEFS – Operating Expenses*” of the Prospectus for a description of the Operating Expenses that may generally be incurred by AESIF ELTIF Fund.

Other Organizational and Offering Expenses

The Investment Manager will determine what Operating Expenses (other than those Organizational and Offering Expenses associated with the setting up and distribution of AESIF ELTIF) are attributable to AESIF ELTIF Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

After the Effective Date, AESIF ELTIF Fund, the Aggregator, the relevant Parallel Entities and/or Feeder Entities, as applicable, will reimburse the Investment Manager for any Organizational and Offering Expenses that it has incurred on each entity’s behalf as and when incurred.

Please refer to Section VII: “*Fees and Expenses of AEFS – Organizational and Offering Expenses*” of the Prospectus for a description of the Organizational and Offering Expenses that may generally be incurred by AESIF ELTIF Fund.

Cost Ratios of AESIF ELTIF Fund

Other Costs Ratio of AESIF ELTIF Fund

The other cost ratio of AESIF ELTIF Fund (the “**Other Cost Ratio**”) is generally not expected to be higher than 0.63% of the NAV of AESIF ELTIF Fund for the first year following the end of the Initial Subscription Period.

Overall Cost Ratio of AESIF ELTIF Fund

The overall cost ratio of AESIF ELTIF Fund (the “**Overall Cost Ratio**”) is generally not expected to be higher than 3.48% of the NAV of AESIF ELTIF Fund for the first year following the end of the Initial Subscription Period.

General Considerations

The Other Cost Ratio and Overall Cost Ratio contained in this Section VI: “*Fees and Expenses of AESIF ELTIF Fund – Cost Ratios of AESIF ELTIF Fund*” are estimates based on a number of opinions, estimates and assumptions that the Investment Manager considers appropriate and reasonable as of the date of this Annex and have been calculated by taking into account, *inter alia*, (i) the anticipated fundraising levels and assets under management, (ii) the contemplated distribution strategy, (iii) the expected composition of AESIF ELTIF Fund’s portfolio after the end of the Initial Subscription Period, and (iv) projected Organizational and Offering Expenses and/or Operating Expenses (on an all taxes included basis) attributable to AESIF ELTIF Fund, in each case for the first year following the end of the Initial Subscription Period.

The calculation of these estimated Other Cost Ratio and Overall Cost Ratio are inherently forward-looking and are subject to known and unknown risks, uncertainties, assumptions and other factors, such as changes in market conditions, regulatory developments, unforeseen events, or variations in AESIF ELTIF investment activity or fundraising from projected levels, which may cause the actual Other Cost Ratio and Overall Cost Ratio to differ materially from those set out above.

Furthermore, these estimated Other Cost Ratio and Overall Cost Ratio to the NAV per annum of the Sub-Fund may vary between the different Classes of Shares, depending on their characteristics and fees and/or expenses structure (including, but not limited to, Management Fee, Performance Participation Allocation and/or Servicing Fee). The overall cost ratio set out in this Section VI: “*Fees and Expenses of AESIF ELTIF Fund – Cost Ratios of AESIF ELTIF Fund*” does not take into account any Subscription Fee, any Early Redemption Deduction and/or Redemption Fee that may be applicable nor the allocation of liabilities amongst the different Classes of Shares. Actual costs borne by a Shareholder from time to time may differ from the estimated ratios set out in this Section VI: “*Fees and Expenses of AESIF ELTIF Fund – Cost Ratios of AESIF ELTIF Fund*”.

The estimated Overall Cost Ratio percentages will be updated annually at <https://www.areswms.com/non-us/aesif-eltif> and prospective investors and Shareholders are therefore encouraged to consult (<https://www.areswms.com/non-us/aesif-eltif>) for the most current information regarding the Overall Cost Ratio of AESIF ELTIF Fund.

The estimated Other Cost Ratio and Overall Cost Ratio should be considered carefully by prospective investors, as there can be no assurance that these cost ratios will prove to be accurate. For the avoidance of doubt, in any specific year and cumulatively over the duration of AESIF ELTIF Fund, the actual incurred costs may exceed or be inferior to the estimated Other Cost Ratio and Overall Cost Ratio set out above.

Liabilities

With respect to each Class of Shares, the AIFM will include the value (as prescribed under IFRS) of such Class’s *pro rata* portion of AESIF ELTIF Fund’s liabilities as part of the Class’s monthly NAV calculation. These liabilities are expected to include the fees payable to the Investment Manager, the AIFM (and/or such other combination of persons as the Investment Manager may designate), any accrued Performance Participation Allocation, accounts payable, accrued operating expenses, any portfolio-level credit facilities, other borrowings and other liabilities.

For purposes of calculating AESIF ELTIF Fund’s NAV, the Organizational and Offering Expenses and/or Operating Expenses paid by the Investment Manager through the Effective Date pursuant to this Section VI: “*Fees and Expenses of AESIF ELTIF Fund — Organizational and Offering Expenses*” or “*— Initial Operating Expenses*”

Support”, as applicable, are not recognized as expenses or as a component of equity and reflected in AESIF ELTIF Fund’s NAV until AESIF ELTIF Fund reimburses the Investment Manager for these costs.

The AIFM’s valuation of each Investment’s liabilities, including any third-party incentive fee payments or investment level debt, deal terms and structure will not be reviewed by AESIF ELTIF Fund’s independent valuation advisor or appraised.

Discretionary Expense Cap

In addition to the foregoing, the Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AESIF ELTIF Fund (or a specific Class thereof, as applicable) and/or the Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AESIF ELTIF Fund (or the relevant Class thereof), the Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed.

Fees arising at multiple levels

To the extent the Management Fee and/or Performance Participation Allocation may apply at the level of AESIF ELTIF Fund, the Aggregator and/or any other Intermediate Vehicle or Parallel Entity, Shareholders will only be charged such Management Fee and/or Performance Participation Allocation by the Investment Manager, the AIFM and the Recipient (and/or such other combination of persons as the Investment Manager may designate) once.

VII. DISTRIBUTIONS

The Board of Directors (or its delegate) may declare and pay distributions to Shareholders from time to time.

AESIF ELTIF Fund intends to declare monthly distributions as authorized by the Investment Manager (as the delegate of the Board of Directors) and pay such distributions to Shareholders of record on a monthly basis. Accumulation Sub-Classes are not entitled to any distribution payments, unless the Investment Manager (as the delegate of the Board of Directors) determines that a distribution shall be made. AESIF ELTIF Fund cannot guarantee that it will make distributions.

Any distributions will be made, at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class, after considering factors such as earnings, cash flow, capital needs, taxes and general financial condition and the requirements of applicable law. As a result, AESIF ELTIF Fund's distribution rates and payment frequency may vary from time to time. There is no assurance AESIF ELTIF Fund will pay distributions in any particular amount, if at all. Any declaration of distributions to Shareholders will be made in accordance with the 1915 Law and the 2010 Law.

Shareholders of record as of the record date will be eligible for distributions declared. The per Share amount of distributions on each Class of Shares may differ because of different Class-specific Servicing Fees that may be deducted from the gross distributions for each Class. Specifically, distributions on Class A Shares and Class AS Shares would be lower than distributions on Class C Shares, Class D Shares, Class E Shares, Class G Shares, Class G1 Shares, Class G2 Shares, Class I Shares, Class IS Shares, Class R Shares, Class RS Shares, Class R LIQID Private Debt NXT Shares, Class R1 Shares, Class R1S Shares and Class R2S Shares (and, to a lesser extent, Class B Shares) because AESIF ELTIF Fund is required to pay ongoing Servicing Fees (or, in respect of Class B Shares, a higher amount of Servicing Fees) with respect to the Class A Shares and Class AS Shares compared to all other Classes.

Shareholders holding Shares with a functional currency other than Euro are exposed to fluctuations of the Euro foreign exchange rate and/or hedging costs, which may lead to variations on the amount to be distributed.

The proceeds generated by the assets contained in the AESIF ELTIF Fund's portfolio, which comprise of (i) proceeds that the Investments are regularly producing and/or (ii) capital appreciation realized after the disposal of an Investment, may be distributed by AESIF ELTIF Fund, to the extent such proceeds are not required for future commitments of AESIF ELTIF Fund, in each case as determined by the Board of Directors or its delegate in its sole discretion.

VIII. MANAGEMENT AND ADMINISTRATION OF AESIF ELTIF FUND

Ares

Ares Management Corporation (NYSE: ARES) is a publicly traded, global alternative investment manager.

Ares was built upon the fundamental principle that each group benefits from being part of the broader platform. Ares believes the synergies resulting from collaboration across the platforms provide its professionals with more informed decision making as a result of shared industry experience, management relationships, and market insights, access to significant deal flow and a broader opportunity set, and the ability to assess relative value. Since its inception in 1997, Ares has adhered to a disciplined investment philosophy that focuses on delivering attractive risk-adjusted investment returns through market cycles. Ares strives to maintain a consistent and credit-quality focused approach targeting well-structured investments in credit assets.

The Investment Manager

The AIFM has delegated its portfolio management function regarding AESIF ELTIF Fund to Ares Management Limited, the Investment Manager pursuant to the terms of the Investment Management Agreement. The Investment Manager has discretion to make Investments on behalf of AESIF ELTIF Fund.

The Investment Manager is an affiliate of Ares and is authorized and regulated by the FCA. The Investment Manager is responsible for initiating, structuring and negotiating AESIF ELTIF Fund's Investments and managing the Debt and Other Instruments. In addition, the Investment Manager actively manages each Investment to seek to maximize cash flow and, ultimately, the value of each Investment.

The investment committee of AESIF ELTIF Fund is comprised of senior and experienced investment professionals at Ares (the "**AESIF ELTIF Investment Committee**"). All Investments led by AESIF ELTIF are reviewed and approved by the AESIF ELTIF Investment Committee. The composition of the AESIF ELTIF Investment Committee is available at the registered office of AEFS SICAV.

The AESIF ELTIF Investment Committee process emphasizes a consensus-based approach to portfolio selection among the members and is the same process that Ares has adopted since inception. In addition, AESIF ELTIF will benefit from the breadth of the entire Ares credit platform, including the various investment, asset management, portfolio operations, finance, investor relations, and legal and compliance professionals located around the globe.

Non-Exclusivity

The functions and duties which the Investment Manager and/or any of its affiliates undertake on behalf of AESIF ELTIF Fund will not be exclusive and they perform similar functions and duties for themselves and for others and, without limitation, act as manager, investment advisor, general partner (or equivalent) in respect of other funds, accounts or other products.

IX. REGULATORY CONSIDERATIONS

AIFM Directive Leverage.

The AIFM has established a maximum level of leverage for AESIF ELTIF Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of AESIF ELTIF Fund of 500% and 175%, respectively (the “**AIFM Rules Leverage Restrictions**”). Compliance with the AIFM Rules Leverage Restrictions will be determined on a quarterly basis. If these AIFM Rules Leverage Restrictions were ever exceeded after leverage has been incurred by AESIF ELTIF Fund, the Investment Manager will make commercially reasonable efforts to bring AESIF ELTIF Fund’s exposure back into compliance with the maximum level of leverage, but such event will not constitute a breach of an investment restriction adopted by AESIF ELTIF Fund or a “trade error” for any purpose. The AIFM may increase AESIF ELTIF Fund’s maximum leverage exposure from time to time. If the AIFM increases such maximum level of exposure, it will provide notice in writing to Shareholders in the next regularly scheduled notice to Shareholders.

ELTIF Rules – Right to cancel subscription request

In accordance with the ELTIF Rules, prospective Shareholder who are Retail Investors will have the right to cancel their subscription request without penalty within fourteen (14) calendar days following the date on which their subscription request was made.

ELTIF Rules – Level of UCITS Eligible Assets and Redemption

For the purpose of article 18(2)(d) of the ELTIF Regulation, the maximum percentage of UCITS Eligible Assets that can be used for redemptions purposes on any Redemption Date, is set out in accordance with Annex I of the ELTIF RTS based on intended monthly redemption frequency and a one month prior notice period (the “**Reference Percentage**”). The Reference Percentage, as referred to in Article 18(2)(d) of the ELTIF Regulation, has been calibrated to the maximum allowed under the approach of Article 5(5)(a) of the ELTIF-CDR and Annex I (Option 1) thereto (9.1%).

Subject to the 5% quarterly and 2% monthly redemption limits set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” of this Annex, the maximum amount of aggregate redemptions in AESIF ELTIF Fund on any Redemption Date (the “**ELTIF Redemption Limit**”) will be limited in all cases to the amount determined in accordance with Article 5(6) of the ELTIF-CDR and equal to the Reference Percentage applicable at that time multiplied by the sums of: (a) the aggregate NAV of UCITS Eligible Assets on that Redemption Date, (b) expected cash flow to be generated by all Investments forecasted over the 12 month period following the relevant Redemption Date (excluding any expected realizations of Investments in such period), (c) subscriptions for Shares received prior to the relevant Redemption Date and forecasted to be received at the immediately following Subscription Date and (d) any amounts that are available for drawdown under credit facilities, revolving credit lines, or other similar financing arrangements for the benefit of AESIF ELTIF Fund, in each case as determined by the Investment Manager or its delegate in its sole discretion.

Liquidity management tools

With respect to the liquidity management tools (each a “**LMT**”) listed under Annex V to the AIFM Directive, the AIFM currently uses the following LMTs with respect to AESIF ELTIF Fund: (i) extension of notice periods in accordance with Section V: “*Subscriptions, Redemptions and Other Transactions*” of this Annex and (ii) redemptions in kind in accordance with Subsection 5: “*Payment of the Redemption Price in Kind*” of Section V: “*Subscriptions, Redemptions and Other Transactions*” of the General Section of the Prospectus. The AIFM shall only use redemptions in kind as a LMT for AESIF ELTIF Fund to satisfy Redemptions Requests submitted by Professional Investors.

The AIFM will only use the suspension of redemptions and subscriptions as an additional LMT in “*exceptional circumstances*”, as such term is defined in the ESMA Guidelines on liquidity management tools (LMTs) of UCITS and open-ended AIFs. Notwithstanding anything to the contrary in this Prospectus, the AIFM may suspend redemptions without simultaneously suspending subscriptions in all other circumstances, as detailed in this Annex.

The AIFM may use additional LMTs listed under Annex V of the AIFM Directive from time to time, as further communicated to investors, and LMTs that are not listed under Annex V of the AIFMD Directive including without limitation, the Early Redemption Deduction, the Redemption Fee and the redemption limitations, as

further detailed in this Annex. For the avoidance of doubt, the AIFM may use all LMTs (other than the suspension of redemptions and subscriptions) during both normal and stressed market conditions.

X. RISK FACTORS AND OTHER CONSIDERATIONS

Most of the following risk factors apply both to AESIF ELTIF and to any relevant Other Ares Funds in which AESIF ELTIF has invested (directly or indirectly). Therefore, potential Shareholders should assume references to AESIF ELTIF herein include references to Other Ares Funds as well, to the extent AESIF ELTIF is invested in such Other Ares Funds, unless the context indicates otherwise.

Risk Factors Relating to Investments in AESIF ELTIF

Diversification Risk.

AESIF ELTIF Fund may only invest in ELTIF Eligible Investment Assets and UCITS Eligible Assets and is subject to certain portfolio composition and diversification rules set out in the ELTIF Regulation. In particular, AESIF ELTIF Fund may not invest more than (i) 20% of its Capital in instruments issued by, or loans granted to, any single Qualifying Portfolio Undertaking, (ii) 20% of its Capital directly or indirectly in a single Real Asset, (iii) 20% of its Capital in units or shares of any single ELTIF Eligible Target Fund and (iv) 10% of its Capital in UCITS Eligible Assets where those UCITS Eligible Assets have been issued by any single body. The Investment Manager may also impose additional limitations on its discretion based on the underlying investors in AESIF ELTIF Fund.

Accordingly, AESIF ELTIF may participate in a limited number of Investments and, as a consequence, the aggregate return of AESIF ELTIF may be substantially adversely affected by the unfavorable performance of even a single Investment. In addition, other than as set forth in Section III: “*Investment Information*” of this Annex, investors have no assurance as to the degree of diversification of AESIF ELTIF Investments, either by geographic area, asset type or sector. To the extent AESIF ELTIF concentrates Investments in a particular issuer, asset type, industry, security or geographic area, its Investments will become more susceptible to fluctuations in value resulting from adverse economic, political, regulatory, technological, industry and/or business conditions with respect thereto. These risks may be further pronounced where an Investment is secured by a relatively small or less diverse pool of underlying assets. Certain geographic areas and/or industries may be more adversely affected by economic pressures when compared to other geographic areas and/or industries. As a consequence, the aggregate return of AESIF ELTIF may be adversely affected by the unfavorable performance of one or a small number of Investments, or unfavorable developments in one or a small number of countries or industries. Moreover, there are no assurances that any or all of AESIF ELTIF’s Investments will perform well or avoid loss, and if certain Investments perform unfavorably, for AESIF ELTIF to achieve above-average returns, one or a few of its Investments must perform very well. There are no assurances that this will be the case.

Since AESIF ELTIF invests primarily in the credit markets, its portfolio may not be as diversified as other investment vehicles. Accordingly, AESIF ELTIF’s Investments may be subject to more rapid change in value than would be the case if AESIF ELTIF were required to maintain a wide diversification among types of securities, geographical areas, issuers and/or industries. Any such non-diversification will increase the risk of loss to AESIF ELTIF if there were to be a decline in the market value of any security or sector in which AESIF ELTIF had invested a large percentage of its assets. Investment in a non-diversified fund will generally entail greater risks than investments in a diversified fund.

There can be no assurance that the Sponsor will be successful in identifying investment opportunities. Although AESIF ELTIF may invest in Other Ares Funds, the investment portfolio of such Other Ares Funds may differ materially in terms of levels of sectoral and geographic diversification from the current investment strategy of AESIF ELTIF.

Risks Associated with the Euro.

The functioning of the Euro as a single currency across the diverse economies comprising the Eurozone has sustained considerable pressure as the result of the global financial crisis and other subsequent macroeconomic events. The situation, particularly in those countries where sovereign default is perceived to be most likely, may continue to deteriorate. It is therefore possible that the Euro may cease to be the national currency of some or even all of the countries comprising the Eurozone. If this were to occur, fluctuations in currency exchange rates of the new local currencies may cause borrowers in such countries to find it more difficult to meet their Euro repayment obligations and investors in such countries may find that the cost of meeting their commitment to AESIF ELTIF increases by virtue of a comparatively valuable Euro. These events are unprecedented and it is difficult to predict with any certainty the consequences of such events on AESIF ELTIF and its Investments.

Deployment of Capital.

In light of the nature of AESIF ELTIF's continuous offering in relation to AESIF ELTIF's investment strategy and the need to be able to deploy potentially large amounts of capital quickly to capitalize on potential investment opportunities, if AESIF ELTIF has difficulty identifying and purchasing suitable Investments on attractive terms, there could be a delay between the time it receives net proceeds from the sale of Shares in this offering or any private offering and the time AESIF ELTIF invests the net proceeds. AESIF ELTIF may also from time to time hold cash pending deployment into Investments or have less than its targeted leverage, which cash or shortfall in target leverage may at times be significant, particularly at times when AESIF ELTIF is receiving high amounts of offering proceeds and/or times when there are few attractive investment opportunities. Such cash may be held in an account for the benefit of Shareholders that may be invested in money market accounts or other similar temporary investments, each of which are subject to the Management Fee.

In the event AESIF ELTIF is unable to find suitable Investments such cash may be maintained for longer periods which would be dilutive to overall investment returns. This could cause a substantial delay in the time it takes for a Shareholder's investment to realize its full potential return and could adversely affect AESIF ELTIF's ability to pay regular distributions of cash flow from operations to you. It is not anticipated that the temporary investment of such cash into money market accounts or other similar temporary investments pending deployment into Investments will generate significant interest, and Shareholders should understand that such low interest payments on the temporarily invested cash may adversely affect overall returns. In the event AESIF ELTIF fails to timely invest the net proceeds of sales of Shares or does not deploy sufficient capital to meet its targeted leverage, AESIF ELTIF's results of operations and financial condition may be adversely affected.

Sourcing and Payment of Distributions.

AESIF ELTIF has not established a minimum distribution payment level, and AESIF ELTIF's ability to make distributions to its Shareholders may be adversely affected by a number of factors, including the risk factors described in the Prospectus or this Annex. AESIF ELTIF has a limited track record and may not generate sufficient income to make distributions to AESIF ELTIF's Shareholders.

The Board of Directors (or its delegate) will make determinations regarding distributions based upon, among other factors, AESIF ELTIF's financial performance, debt service obligations, debt covenants, tax requirements and capital expenditure requirements. Among the factors that could impair AESIF ELTIF's ability to make distributions to its Shareholders are:

- AESIF ELTIF's inability to invest the proceeds from sales of Shares on a timely basis;
- AESIF ELTIF's inability to realize attractive risk-adjusted returns on AESIF ELTIF's Investments;
- high levels of expenses or reduced revenues that reduce AESIF ELTIF's cash flow or non-cash earnings; and
- defaults in AESIF ELTIF's investment portfolio or decreases in the value of AESIF ELTIF's Investments.

As a result, AESIF ELTIF may not be able to make distributions to its Shareholders at any time in the future, and the level of any distributions AESIF ELTIF does make to Shareholders may not increase or even be maintained over time, any of which could materially and adversely affect the value of a Shareholder's investment.

AESIF ELTIF may not generate sufficient cash flow from operations to fully fund distributions to Shareholders, particularly during the early stages of AESIF ELTIF's operations. Therefore, AESIF ELTIF may fund distributions to AESIF ELTIF's Shareholders from sources other than cash flow from operations, including, without limitation, the sale of assets, borrowings, return of capital or offering proceeds (including from sales from Shares or Aggregator units). The extent to which AESIF ELTIF pays distributions from sources other than cash flow from operations will depend on various factors, including the level of participation in AESIF ELTIF's Accumulation Sub-Classes, the extent to which the Investment Manager, the AIFM and the Recipient (and/or such other combination of persons as the Investment Manager may designate), as applicable, elect to receive Management Fee and/or Performance Participation Allocation in Shares or units of the Aggregator and the Recipient elects to receive distributions on its Performance Participation Allocation in units of the Aggregator, how quickly AESIF ELTIF invests the proceeds from this and any future offering and the performance of AESIF ELTIF's Investments. Funding distributions from the sales of assets, borrowings, return of capital or proceeds of

the offering will result in AESIF ELTIF having less funds available to acquire Investments. As a result, the return a Shareholder realizes on its investment may be reduced. Doing so may also negatively impact AESIF ELTIF's ability to generate cash flows. Likewise, funding distributions from the sale of additional securities will dilute a Shareholder's interest in AESIF ELTIF on a percentage basis and may impact the value of a Shareholder's investment especially if AESIF ELTIF sells these securities at prices less than the price paid for its Shares. AESIF ELTIF may be required to continue to fund AESIF ELTIF's regular distributions from a combination of some of these sources if AESIF ELTIF's Investments fail to perform, if expenses are greater than AESIF ELTIF's revenues or due to numerous other factors. AESIF ELTIF has not established a limit on the amount of its distributions that may be paid from any of these sources.

To the extent AESIF ELTIF borrows funds to pay distributions, it would incur borrowing costs and these borrowings would require a future repayment. The use of these sources for distributions and the ultimate repayment of any liabilities incurred could adversely impact AESIF ELTIF's ability to pay distributions in future periods, decrease AESIF ELTIF's NAV, decrease the amount of cash AESIF ELTIF has available for operations and new investments and adversely impact the value of a Shareholder's investment.

AESIF ELTIF may also defer operating expenses or pay expenses (including the fees of the Investment Manager or distributions to the Recipient) with Shares or units of the Aggregator in order to preserve cash flow for the payment of distributions. The ultimate repayment of these deferred expenses could adversely affect AESIF ELTIF's operations and reduce the future return on a Shareholder's investment. AESIF ELTIF may redeem Shares or redeem units of the Aggregator from the Investment Manager or the Recipient shortly after issuing such units or Shares as compensation. The payment of expenses in Shares or with units of the Aggregator will dilute a Shareholder's ownership interest in AESIF ELTIF's portfolio of assets. There is no guarantee any of AESIF ELTIF's operating expenses will be deferred and the Investment Manager, the AIFM and Recipient are under no obligation to receive future fees or distributions in Shares, units of the Aggregator and may elect to receive such amounts in cash.

In-Kind Remuneration to the Investment Manager, the AIFM and/or Recipient.

The Investment Manager, the Recipient, the AIFM and/or such other person or combination of persons as the Investment Manager may designate may choose to receive Shares or units of the Aggregator *in lieu* of certain fees or distributions. The holders of all units of the Aggregator are entitled to receive cash from operations pro rata with the distributions being paid to AESIF ELTIF and such distributions to the holder of units of the Aggregator will reduce the cash available for distribution to AESIF and to its Shareholders. Furthermore, under certain circumstances units of the Aggregator held by the Investment Manager, the Recipient, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, are required to be redeemed, in cash at the relevant holder's election, and there may not be sufficient cash to make such a redemption payment; therefore, AESIF ELTIF may need to use cash from operations, borrowings, offering proceeds or other sources to make the payment, which will reduce cash available for distribution to Shareholders or for investment in AESIF ELTIF's operations. Redemptions of Shares or Aggregator units paid to the AIFM (and/or such other combination of persons as the Investment Manager may designate) as a Management Fee are not subject to the monthly and quarterly volume limitations, the Early Redemption Deduction or any Redemption Fee, and such sales receive priority over other Shares being put for redemption during such period. Redemptions of Shares or Aggregator units allocated to the Recipient with respect to the Performance Participation Allocation will be subject to the volume limitations in Section V: "*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*" of this Annex but not the Early Redemption Deduction or any Redemption Fee (as applicable), and do not receive priority over other Shares being put for redemption during such period.

Reinvestment of Distributions.

Shareholders that subscribe for Accumulation Sub-Class Shares, will, in lieu of receiving cash distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. If such amounts are reinvested, such Shareholders will remain exposed to risks associated with such investments.

No Right to Control AESIF ELTIF.

The Sponsor will have exclusive responsibility for AESIF ELTIF's activities, and, other than as set forth herein and in the Articles, Shareholders will not be able to make investments or any other decisions concerning the management of AESIF ELTIF. Shareholders have no rights or powers to take part in the management of AESIF ELTIF or make investment decisions and will not generally receive the amount of any Portfolio Entity's financial

information that is generally available to the AIFM. The AIFM will generally have sole and absolute discretion in structuring, negotiating and purchasing, financing and eventually divesting Investments on behalf of AESIF ELTIF (subject to specified exceptions). Accordingly, no person should purchase a Share unless such person is willing to entrust all aspects of the management of AESIF ELTIF to the AIFM.

Lack of Liquidity.

There is no current public trading market for the Shares, and the Sponsor does not expect that such a market will ever develop. Therefore, redemption of Shares by AESIF ELTIF will likely be the only way for a Shareholder to dispose of its Shares. AESIF ELTIF expects to redeem Shares at a price equal to the applicable NAV as of the Redemption Date and not based on the price at which such Shareholder initially purchased its Shares.

Redemptions of certain Classes of Shares, as set out in Schedule 1: “*Share Classes of AESIF ELTIF Fund*” of this Annex, may be subject to: (i) an Early Redemption Deduction of 5.00% of the NAV of the relevant Shares being redeemed (calculated as of the relevant Redemption Date) if the relevant Shares were held for less than eighteen (18) months; or (ii) a Redemption Fee of up to 5.00% of the NAV of the relevant Class of Shares being redeemed (calculated as of the relevant Redemption Date), as determined by the Investment Manager in its sole discretion from time to time. To the extent applicable, the application of any Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager. As a result, a Shareholder may receive less than the price paid for its Shares when such Shareholder redeem Shares pursuant to AESIF ELTIF’s redemption program. See Section V: “*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*” of this Annex.

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AESIF ELTIF, including redemptions in all Parallel Entities and the Aggregator, but excluding any Early Redemption Deduction or any Redemption Fee applicable to the redeemed Shares) is generally limited to 2% of aggregate NAV per calendar month of all Parallel Entities and the Aggregator (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter) and 5% of such aggregate NAV per calendar quarter (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter), except in the exceptional circumstances described in this Annex and/or the ELTIF Redemption Limit provides for a lower percentage of the aggregate NAV on the relevant Redemption Date as described under Section IX: “*Regulatory Consideration – ELTIF Rules – Level of UCITS Eligible Assets and Redemption*” of this Annex. In any given calendar quarter, excess redemption capacity under the 2% monthly limitation described in the foregoing will be rolled into the subsequent month of such calendar quarter and be available for further redemptions in such calendar quarter only. For the avoidance of doubt, both of these limits are assessed during each month in a calendar quarter and are based on net redemptions (as defined below) during a month or quarter, as applicable, unless otherwise notified to Shareholders pursuant to this Annex.

In exceptional circumstances and not on a systematic basis, AESIF ELTIF Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in AESIF ELTIF’s best interest and the best interest of AESIF ELTIF’s investors as a whole, such as when redemptions of Shares would place an undue burden on AESIF ELTIF’s liquidity, adversely affect AESIF ELTIF’s operations, risk having an adverse impact on AESIF ELTIF that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to the 2% monthly or 5% quarterly limitations on redemptions and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AESIF ELTIF’s best interest and the best interest of AESIF ELTIF’s investors.

In the event that, pursuant to the limitation above, not all of the Shares submitted for redemption during a given month are to be accepted for redemption by AESIF ELTIF Fund, Shares submitted for redemption during such month will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AESIF ELTIF if applicable). Unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date in the manner as described above in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” of this Annex. Settlements of any redemptions will generally be made by the relevant Settlement Date, i.e. within two (2) Business Days from the relevant NAV Release Date (e.g., a Shareholder requesting a June 30th redemption would generally be expected to receive a settlement on or around

July 25th of the same year). As a result, a Shareholder will experience significant delays in realizing liquidity even when its Redemption Request is accepted.

A majority of AESIF ELTIF Fund assets consist of Investments that cannot generally be readily liquidated on short notice without impacting AESIF ELTIF Fund's ability to realize full value upon their disposition, AESIF ELTIF Fund intends to maintain a number of sources of liquidity including Debt and Other Instruments. As a result, a Shareholder's ability to have its Shares redeemed by AESIF ELTIF may be limited and at times a Shareholder may not be able to liquidate its investment. See Section V: "*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*" of this Annex.

Effect of Redemption Requests.

Economic events affecting the European economy could cause Shareholders to seek to sell their Shares to AESIF ELTIF pursuant to AESIF ELTIF's redemption program at a time when such events are adversely affecting the performance of AESIF ELTIF's assets. Even if the Investment Manager decides to satisfy all resulting Redemption Requests, AESIF ELTIF's cash flow could be materially adversely affected. In addition, if AESIF ELTIF determines to sell assets to satisfy Redemption Requests, it may not be able to realize the return on such assets that it may have been able to achieve had it sold at a more favorable time, and AESIF ELTIF's results of operations and financial condition, including, without limitation, breadth of its portfolio by property type and location, could be materially adversely affected.

Compulsory Redemptions.

In accordance with the Prospectus and the Articles, the Board of Directors (or its delegate) may compulsorily redeem all or any part of the Shares of any Shareholder in the circumstances set out in Section V: "*Subscriptions, Redemptions and Other Transactions*" of the Annex or if it discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person, either alone or in conjunction with any other person, whether directly or indirectly, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such compulsory redemptions will generally be subject to the same terms as voluntary redemptions of Shareholders (including the limitations imposed thereon), unless otherwise determined by the Board of Directors or its delegate in its sole discretion.

Share Classes subject to delivery versus payment settlement requirements or other similar regulatory limitations may increase recovery risks.

For certain Share Classes subscribed by Intermediaries who are subject to delivery versus payment settlement requirements or other similar regulatory limitations, subscription requests may be accepted prior to the receipt of cleared funds, but such subscription for such Shares and any allotment or issuance thereof, may be subsequently cancelled due to the circumstances as further set out in Section V "*Subscriptions, Redemptions and Other Transactions*". Any cost relating to such cancellation shall be at the cost of the relevant investor and/or Intermediary, in each case determined at the discretion of the Board of Directors (or its delegate). However, there may be circumstances (including due to insolvency of the (prospective) investors, unenforceability of indemnification arrangements or other contractual obligations, the exercise of bank resolution powers etc.) which result in the unsuccessful recovery of subscription monies and related costs. To the extent that such recovery is unsuccessful, AESIF ELTIF Fund (and indirectly its Shareholders) may ultimately bear such costs and/or losses.

Fees Paid by Advisory Investors.

Shareholders (or their brokers on their behalf) may elect to be treated as "advisory investors" and in connection therewith, by virtue of holding Class A Shares, Class AS Shares and Class B Shares, bear a larger amount of fees than investors that are not "advisory investors" for reporting, administrative and other services provided by such advisory investor's registered investment adviser, adviser representative or other financial intermediary. Some or all of the Servicing Fee payable in respect of a Class A, Class AS or Class B Shareholder's investment may be allocated to such Shareholder's financial intermediary through which such Shareholder was placed in AESIF ELTIF Fund. Any amounts allocated in accordance with the foregoing sentence will compensate such financial intermediary for reporting, administrative and other services provided to a Shareholder by such financial intermediary. The receipt of the Servicing Fee by a Shareholder's financial intermediary will result in a conflict of interest.

Discretionary Expense Cap.

The Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AESIF ELTIF Fund and/or the Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AESIF ELTIF Fund, the Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed. By subscribing for Shares, Shareholders will be deemed to have acknowledged and agreed that: (i) this discretionary expense cap will lower the Operating Expenses and/or Organizational and Offering Expenses burden on AESIF ELTIF Fund for the period in time the cap is in place (resulting in a greater NAV per Share during such period than would otherwise be the case), and consequently defer expenses to later periods; (ii) they may be required to bear a portion of Organizational and Offering Expenses and/or Operating Expenses relating to periods prior to their admission into AESIF ELTIF Fund; (iii) Shareholders redeeming their Shares before the complete reimbursement of Organizational and Offering Expenses and/or Operating Expenses, will bear a lower amount of Organizational and Offering Expenses and/or Operating Expenses than would have otherwise be the case, should the discretionary cap not have been in place; and (iv) Shareholders redeeming their Shares before the Effective Date will bear no Organizational and Offering Expenses and limited Operating Expenses (but will be subject to the Early Redemption Deduction or any Redemption Fee).

AESIF ELTIF has limited prior operating history.

AESIF ELTIF is a collection of recently formed special purpose entities and has limited prior operating history or track record, and will be entirely dependent on the Investment Manager and the AIFM. While the principals of the Investment Manager and the AIFM (the “**Principals**”) may have previous experience making and managing investments similar to those contemplated by AESIF ELTIF, there can be no assurance that AESIF ELTIF’s Investments will achieve results similar to those attained by previous investments of the Principals. In addition, AESIF ELTIF’s Investments may differ from previous investments made by the Principals in a number of respects, including target return levels, level of risk associated with a particular investment, amount invested in a particular company, types of companies within a particular industry sector, amount of leverage used, structure, and holding period.

All AESIF ELTIF entities may be jointly responsible for the repayment of Fund indebtedness.

To the extent permitted, AESIF ELTIF may utilize indebtedness secured by investments by AESIF ELTIF. Indebtedness secured by subscriptions may be structured in a way that the vehicles comprising AESIF ELTIF are jointly responsible on a cross-collateralized basis for the repayment of such indebtedness.

Early termination of AESIF ELTIF.

It is possible that AESIF ELTIF may be dissolved and terminated prematurely and, as a result, may not be able to accomplish its objectives and may be required to dispose of its Investments at a disadvantageous time or make an in-kind distribution (resulting in Shareholders not having their capital invested and/or deployed in the manner originally contemplated).

SFDR Categorization.

AESIF ELTIF is intended to be classified as an Article 8 financial product for the purposes of SFDR. There is legal uncertainty around the parameters applicable when categorizing a financial product under SFDR and there is no guarantee that regulators will agree with the relevant characterization. In circumstances where there is a determination that AESIF ELTIF has been characterized incorrectly, there could be a risk of investigation, enforcement proceedings and/or sanctions.

Furthermore, certain aspects of the reporting requirements applicable to Article 8 financial products are currently uncertain and market practice is yet to evolve. Certain SFDR supporting and related regulations are likely to be amended in the near to medium term and new guidance may also be issued by the European Supervisory Authorities. These factors and events have the potential to increase related compliance and other costs which would be borne by AESIF ELTIF. For further information with respect to the potential risks arising from SFDR

categorization, please refer to Section XVI: *“Risk Factors, Potential Conflicts of Interest and Other Considerations”*.

Further information with respect to the SFDR categorization of AESIF ELTIF can be found in the pre-contractual disclosures for Article 8 financial products, included at Schedule 2: *“Sustainability-Related Disclosures”* to this Annex.

Risk Factors Relating to AESIF ELTIF’s Assets

Nature of AESIF ELTIF’s Investments.

Whilst AESIF ELTIF is being formed principally to originate private loans to underlying issuers, it may also capitalize on investments in high-yield bonds, CLOs, and to a more limited extent, CMBS and rated private ABS. Such securities and instruments may be below “investment grade” or non-rated and may face ongoing uncertainties and exposure to adverse business, financial or economic conditions which could lead to the obligor’s inability to meet timely interest and principal payments. AESIF ELTIF may lose a substantial portion or all of its Investment in a distressed environment or may be required to accept cash or securities with a value less than AESIF ELTIF’s Investment. Among the risks inherent in investments (direct or indirect) in entities experiencing significant financial or business difficulties is the fact that it frequently may be difficult to obtain information as to the true condition of such issuers. Such investments also may be adversely affected by state and federal laws relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the bankruptcy court’s discretionary power to disallow, subordinate or disenfranchise particular claims. The market prices of such instruments are also subject to abrupt and erratic market movements and above-average price volatility, and the spread between the bid and asked prices of such instruments may be greater than normally expected due to a variety of factors that are inherently difficult to predict, such as domestic or international economic and political developments, which may significantly affect the results of AESIF ELTIF’s activities. While such investments offer the opportunity for significant capital gains, they also involve a high degree of risk that may result in substantial losses. There can be no assurance that the Investment Manager will correctly evaluate the nature and magnitude of the various factors that could affect the value of AESIF ELTIF’s Investments. As a result, AESIF ELTIF’s performance over a particular period may not be indicative of the results that may be expected in future periods.

Reliance on Underlying Issuers’ Management.

AESIF ELTIF may be significantly reliant on the existing management and board of directors of the entities in which it invests, which may include representation of other financial investors with whom AESIF ELTIF is not affiliated and whose interests may conflict with the interests of AESIF ELTIF. In addition, to the extent AESIF ELTIF acquires mezzanine obligations (which are typically junior to the obligations of a borrower to senior creditors, senior secured creditors and trade creditors), the ability of AESIF ELTIF to use its position as a holder of mezzanine debt to influence a borrower’s affairs, especially during periods of financial distress or following an insolvency, will be substantially less than that of senior creditors and senior secured creditors.

Portfolio Risk Factors.

It is expected that a portion of the underlying investments will be rated below investment grade, and will have greater credit and liquidity risk than debt with an investment grade rating. The risks of debt instruments include (among others): (a) limited liquidity and secondary market support, (b) the possibility that earnings of the relevant obligor may be insufficient to meet its debt service, (c) the declining creditworthiness and potential for (or actual) insolvency of the relevant obligor of such debt during periods of economic downturn, (d) that the relevant obligor is often a small or mid-size company serving only local or regional interests, (e) spread compression over the reference interest rate available for reinvestment during any period in which prepayments are received and (f) if subordinated, subordination to the prior claims of other debt or senior lenders. Debt instruments are generally subject to market value volatility that may not be apparent from historical volatility studies and that could be significant at times. An economic downturn could severely disrupt the market for debt instruments and adversely affect the value of outstanding debt and the ability of the borrowers thereof to repay principal and interest. Moreover, the default history for debt instruments is limited, actual defaults may be greater than indicated by historical data and the timing of defaults may vary significantly from historical observations.

In certain circumstances, the collateral securing a debt instrument, if any, might not be sufficient to satisfy the relevant obligor’s obligations in the event of nonpayment of scheduled interest or principal, and may be difficult to liquidate on a timely basis. Additionally, a decline in the value of the collateral could cause the debt to become

substantially unsecured, and circumstances could arise (such as in the bankruptcy of a borrower) which could cause the security interest in the debt instrument's collateral to be invalidated.

The portfolio may also include unsecured debt instruments. Unsecured debt instruments are subject to the same investment risks generally applicable to debt instruments described above but are subject to additional risk that the assets and cash flow of the relevant obligor may be insufficient to repay the scheduled payments to the lender after giving effect to any secured obligations of the relevant obligor. Unsecured debt instruments will be subject to certain additional risks to the extent that such debt may not be protected and such debt is not secured by collateral, financial covenants or limitations upon additional indebtedness. Unsecured debt instruments are also expected to be more illiquid than senior secured debt instruments for this reason.

General market and credit and interest rate risks that affect debt instruments generally.

Debt instruments are subject to general market and credit and interest rate risks. Credit risk refers to the likelihood that an obligor will default on the payment of principal, interest or other amounts owed on an instrument. Certain investments may have an interest-only payment schedule with the principal amount remaining outstanding and at risk until the maturity of the investment. Financial strength and solvency of an obligor are the primary factors influencing credit risk, but other factors, including, but not limited to, an obligor's failure to meet its business plan, a downturn in its industry or negative economic conditions may also contribute to credit risk. In addition, lack of, inadequacy of, or a deterioration in value of, collateral or other assets expected to be the source of repayment or credit enhancement for a debt instrument may affect its credit risk. Although AESIF ELTIF will seek to be the senior, secured lender to an obligor in most instances, some of AESIF ELTIF's loans and other investments in an obligor (including potential equity investments) may be subordinated to a senior lender, and AESIF ELTIF's interest in any collateral would, accordingly, likely be subordinate to another lender's security interest. Credit risk may change over the life of an instrument and debt instruments that are rated by rating agencies are subject to downgrade at a later date. There can be no assurance that the AIFM will be successful in assessing the credit risk of the different portfolio investments or mitigating the impact of credit risk changes on AESIF ELTIF.

Interest rate risk refers to the risks associated with market changes in interest rates. Interest rate changes may affect the value of a debt instrument indirectly (especially in the case of fixed rate obligations) or directly (especially in the case of instruments whose rates are adjustable). In general, rising interest rates will negatively affect the price of a fixed rate debt instrument and falling interest rates will have a positive effect on the price of a fixed rate debt instrument. Adjustable rate instruments also react to interest rate changes in a similar manner although generally to a lesser degree (depending, however, on the characteristics of the reset terms, including the index chosen, frequency of reset and reset caps or floors, among other factors). Interest rate sensitivity is generally more pronounced and less predictable in instruments with uncertain payment or prepayment schedules. In addition, interest rate increases generally will increase the interest carrying cost to AESIF ELTIF of borrowed securities.

Volatility of leveraged loan and credit markets.

Significant risks for AESIF ELTIF and the Shareholders exist as a result of the potential for disruptions in the credit markets and uncertain economic conditions. These risks include, among others, (i) the likelihood that AESIF ELTIF may find it more difficult to sell any of its assets in the secondary market, thus rendering it more difficult to dispose of such assets if and when it desires to sell them, (ii) the possibility that the price at which assets can be sold by AESIF ELTIF will have deteriorated from the cost of such investment to AESIF ELTIF, (iii) the possibility of accelerated prepayments of attractively priced (i.e., the all-in yield), structured or performing assets of AESIF ELTIF as a result of increased liquidity and competition in the middle-market private debt asset class driven by economic conditions, relative performance, monetary policy or other governmental action or other factors and (iv) the impact of adverse economic conditions on the obligors of AESIF ELTIF's assets. These risks may affect the returns, if any, to the Shareholders or the ability of AESIF ELTIF to return any or all of the Shareholders' investments.

Disruptions in the credit markets may reduce opportunities for AESIF ELTIF to make investments, and may also heighten refinancing risk in respect of maturing assets of AESIF ELTIF. Any events that slow, delay or reverse economic recovery or cause a deterioration in loan performance generally may affect the returns, if any, to the Shareholders or the ability of AESIF ELTIF to return any or all of the Shareholders' contributions.

Negative macroeconomic conditions may adversely affect the credit rating (if any), performance and the realization value of AESIF ELTIF's assets. It is possible that AESIF ELTIF's assets will experience higher default rates and lower recovery rates than anticipated and that performance will be materially worse than expected.

The bankruptcy or insolvency of a major financial institution may have a material adverse effect on AESIF ELTIF, particularly if such financial institution is the administrative agent of an asset of AESIF ELTIF or is otherwise the counterparty to a contract with AESIF ELTIF (including a hedging-related contract). In addition, the bankruptcy, insolvency or financial distress of one or more additional financial institutions, or one or more sovereigns, could trigger additional disruptions in the global credit markets or the global economy which could have a material adverse effect on AESIF ELTIF and its assets.

“Shadow Banking” regulation.

There has been increasing commentary among regulators and intergovernmental institutions, including the Financial Stability Board and International Monetary Fund, on the topic of non-bank financial intermediation (which has also been referred to as “shadow banking”). These terms are generally taken to refer to credit intermediation involving entities and activities outside the regulated banking system. The Financial Stability Board issued numerous reports recommending strengthening oversight and regulation of the non-bank financial intermediation in Europe, including steps to define the scope of the non-bank financial intermediation and proposing general governing principles for a monitoring and regulatory framework. While at this stage, it is difficult to predict the scope of any new regulations, if during AESIF ELTIF's term such regulations were to extend the regulatory and supervisory requirements currently applicable to banks, such as capital and liquidity standards, to AESIF ELTIF, the regulatory and operating costs associated therewith could adversely impact the implementation of AESIF ELTIF's investment strategy and AESIF ELTIF's returns and could become prohibitive with respect to AESIF ELTIF's Investments.

Credit Servicers and Purchasers Directive.

The EU's Directive on credit servicers and credit purchasers (the “**Credit Servicers and Purchasers Directive**”) ((EU) 2021/2167) had to be implemented into national legislation by EU Member States by 29 December 2023. The Credit Servicers and Purchasers Directive imposes new requirements on purchasers of non-performing loans issued by EU credit institutions, whether purchased from the original issuer or on the secondary market. AESIF ELTIF will be in scope of these new rules if it purchases such non-performing loans (or purchases loans issued by an EU credit institution that subsequently become non-performing loans) and will be required to appoint a credit servicer for non-performing loans concluded with consumers.

Identifying which non-performing loans purchased on the secondary market were originated by an EU credit institution may prove difficult. In addition, borrowers must be identified and provided with information including details of any transfer of creditors' rights and the amounts due. Such requirements are likely to result in additional compliance and operational costs for AESIF ELTIF.

Limited Amortization Requirements.

AESIF ELTIF may invest in loans that have limited mandatory amortization requirements. While these loans may obligate an issuer to repay the loan out of asset sale proceeds or with annual excess cash flow, repayment requirements may be subject to substantial limitations that would allow an issuer to retain such asset sale proceeds or cash flow, thereby extending the expected weighted average life of the Investment. In addition, a low level of amortization of any debt over the life of the Investment may increase the risk that the issuer will not be able to repay or refinance the loans held by AESIF ELTIF when it matures.

Investments by AESIF ELTIF in special situations may involve additional risks.

AESIF ELTIF may provide financing to companies involved in (or the target of) acquisition attempts or tender offers or companies involved in work-outs, liquidations, spin-offs, reorganizations, bankruptcies and similar transactions. In any investment transaction involving any such type of business enterprise, there exists the risk that the transaction in which such business enterprise is involved either will be unsuccessful, will take considerable time or will result in a distribution of cash or a new security the value of which will be less than the purchase price paid by AESIF ELTIF of the security or other financial instrument in respect of which such distribution is received. Similarly, if such an anticipated transaction does not in fact occur, AESIF ELTIF may lose all or a material portion of its Investment. Because there is substantial uncertainty concerning the outcome of transactions involving financially troubled companies in which AESIF ELTIF may invest, there is a potential risk of loss by

AESIF ELTIF of its entire investment in such companies. In connection with such transactions (or otherwise), AESIF ELTIF may purchase securities on a when-issued basis, which means that delivery and payment take place sometime after the date of the commitment to purchase and is often conditioned upon the occurrence of a subsequent event, such as approval and consummation of a merger, reorganization or debt restructuring. The purchase price and/or interest rate receivable with respect to a when-issued security are fixed when AESIF ELTIF enters into the commitment. Such securities are subject to a change in value prior to their delivery.

Concentration in any one obligor, region or industry would subject AESIF to a greater degree of risk.

Some concentration with respect to particular obligors, regions and industries is expected to exist in AESIF ELTIF's investment portfolio. In addition, because redemptions and repayments of assets will occur, a concentration in any one obligor, region or industry may occur or increase over time. Any such concentration would subject AESIF ELTIF to a greater degree of risk with respect to the impact of a default by such obligor, or a greater degree of risk related to adverse business conditions in such region or industry.

Any credit ratings of AESIF ELTIF's assets or the applicable obligor(s) represent the applicable rating agencies' opinions or estimates regarding credit quality and are not a guarantee of quality.

Credit ratings of debt obligations or obligor(s) represent the rating agencies' opinions or estimates regarding their credit quality and are not a guarantee of quality. In addition, rating agencies attempt to evaluate the safety of principal and interest payments and do not evaluate the risks of fluctuations in market value. Therefore, such credit ratings may not fully reflect the true risks of an investment. Also, rating agencies may fail to make timely changes to their credit ratings in response to subsequent events and an obligor's current financial condition may be better or worse than a rating indicates.

AESIF ELTIF's assets are subject to certain bankruptcy considerations which may affect AESIF ELTIF's rights.

AESIF ELTIF may hold investments in obligors that are experiencing, or are expected to experience, severe financial difficulties, which may never be overcome and may lead to uncertain outcomes. The bankruptcy courts of the various jurisdictions in which any such obligor may file bankruptcy would have broad discretion to control the terms of a reorganization, and political factors may be of significant importance in high profile bankruptcies or bankruptcies in particular jurisdictions.

There are a number of significant risks inherent in the bankruptcy process. While creditors are generally given an opportunity to object to significant actions, there can be no assurance that a bankruptcy court, in the exercise of its broad powers, would not approve actions that would be contrary to the interests of AESIF ELTIF. For example, to protect net operating losses of an obligor in bankruptcy, a bankruptcy court might take any number of actions, including prohibiting or limiting the transfer of claims held by certain classes of creditors. Such a prohibition could have a material adverse effect on the value of certain investments made by AESIF ELTIF. For example, AESIF ELTIF might be prohibited from liquidating investments which are declining in value.

In addition, under certain circumstances, a lender who has inappropriately exercised control of the management and policies of an obligor may have their claims subordinated or disallowed or may be found liable for damages suffered by parties as a result of such actions. In addition, under certain circumstances, payments to AESIF ELTIF and distributions by AESIF ELTIF to the Shareholders may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance, a preferential payment or similar transaction under applicable bankruptcy or other insolvency laws. Furthermore, investments may be adversely affected by statutes related to, among other things, fraudulent conveyances, voidable preferences, lender liability or the bankruptcy court's discretionary power to disallow, subordinate or disenfranchise particular claims or re-characterize investments made in the form of debt as equity contributions.

The possibility of litigation between the participants to a reorganization is another consideration that makes any evaluation of the outcome of an investment uncertain. Such uncertainties may also be increased by legal or other factors that limit the ability of the AIFM to obtain reliable or timely information concerning material developments affecting an obligor or that may lengthen a reorganization or liquidation proceeding.

Repayment of a significant portion of AESIF ELTIF's assets is subject to the obligors' ability to refinance such assets at or prior to their maturity.

A significant portion of AESIF ELTIF's assets will consist of loans for which most or all of the principal is due at maturity. The ability of the obligor(s) under such loan to make such a large payment upon maturity typically depends upon its ability to refinance the loan prior to maturity. The ability of an obligor to consummate a refinancing will be affected by many factors, including the availability of financing at acceptable rates to such obligor, the financial condition of such obligor, the marketability of the collateral (if any) securing such loan, the operating history of the obligor and related businesses, tax laws and prevailing general economic conditions. Additionally, middle-market obligors generally have more limited access to capital and higher funding costs, may be in a weaker financial position, may need more capital to expand or compete, and may be unable to obtain financing from public capital markets or from more traditional sources, such as commercial banks. Consequently, such obligor may not have the ability to repay the loan at maturity and, unless it is able to refinance such loan, it could default in payment at maturity, which could result in losses to AESIF ELTIF and, indirectly, to the Shareholders.

Significant numbers of obligors are expected to need to refinance their debt over the next few years, and significant numbers of collateralized loan obligation transactions (historically an important source of funding for loans) have reached or are close to reaching the end of their reinvestment periods or the final maturities of their own debt. As a result, there could be significant pressure on the ability of obligors to refinance their debt over the next few years unless a significant volume of new collateralized loan obligation transactions or other sources of funding develop. If such sources of funding do not develop, significant defaults in AESIF ELTIF's assets could occur, and there could be downward pressure on the prices and markets for debt instruments, including assets held by AESIF ELTIF.

Projections, forecasts and estimates may vary significantly from actual results.

Projected operating results of a Portfolio Entity in which AESIF ELTIF invests normally will be based primarily on financial projections prepared by such Portfolio Entity's management, with adjustments to such projections made by the Investment Manager in its discretion. Any projections, forecasts or estimates provided to the Shareholders are forward-looking statements and are necessarily speculative in nature. Such projections are only estimates of future results that are based upon information received from the company and third parties and assumptions made at the time the projections are developed. It should be expected that some or all of the assumptions underlying such projections, forecasts or estimates (not all of which will have been disclosed to the Shareholders) will not materialize or will vary significantly from actual results. Accordingly, actual results will vary from such projections, forecasts or estimates, and such variations may be material.

Financial projections are by their nature inherently subject to risk and are dependent upon a number of factors, many of which are not within the control of AESIF ELTIF. Some important factors that could cause actual results to differ materially from those in any forward-looking statements, including any such projections, forecasts or estimates, include changes in interest rates, loan pricing, leverage levels, loan structures, credit agreement terms, prepayment rates, timing of acquiring additional assets for AESIF ELTIF, exchange rates or default or recovery rates or timing; market, financial or legal uncertainties; differences in the actual allocation of AESIF ELTIF's assets among asset categories from those assumed; and mismatches between the timing of accrual and receipt of proceeds from AESIF ELTIF's assets, among others.

None of AESIF ELTIF, the Investment Manager, the AIFM, their respective affiliates or any other person has any obligation to update or otherwise revise any projections, forecasts or estimates, including any revisions to reflect changes in economic conditions or other circumstances arising after the date of such projections, forecasts or estimates or to reflect the occurrence of unanticipated events, even if the underlying assumptions do not come to fruition. Shareholders should not rely on any projections, forecasts or estimates and each Shareholder does so at its own risk.

Each prospective investor should conduct its own investigation and analysis of its prospective investment in AESIF ELTIF and consult its own investment, financial, legal, tax, accounting, regulatory and other applicable advisors.

Over-Commitment, Syndication and Sub-Participation.

Where AESIF ELTIF structures sales of interests in investments by way of sub-participation ("**Participations**"), typically this results in the purchaser (whether a co-investor, Other Ares Fund, or other person), having a contractual relationship with AESIF ELTIF only and not with the underlying borrower to which such Participation relates. Given AESIF ELTIF will remain the party to the loan agreement with the borrower in respect of the Participation, if the purchaser of such Participation from AESIF ELTIF fails to fund all or a portion of such

Participation when required, AESIF ELTIF will be contractually responsible to fund such amount. Participations between AESIF ELTIF and an Other Ares Fund are expected to therefore present additional on-going risks and conflicts of interest relating to the terms and operation of such Participations including but not limited to: (i) the rights and timings of payments; (ii) rights of set-off; (iii) rights to enforce compliance by the underlying borrower with the terms of the applicable underlying loan agreements; (iv) the benefit (direct or otherwise) to any collateral supporting the underlying loan; (v) rights arising on the insolvency of the underlying borrower; (vi) seniority and ranking of claims against the underlying borrowers; (vii) the administration of the underlying loans, including with respect to the amendment of documents; (viii) voting rights and related repurchase rights; and (ix) rights relating to any representations or warranties made between the seller and purchaser of any Participation relating to the underlying loan, the underlying borrower, the underlying documentation or any related collateral. In addition to Participations between AESIF ELTIF and other persons as outlined above, for limited circumstances for regulatory, legal, commercial or tax reasons, one or more entities within AESIF ELTIF structure may enter into a Participation with other entities of AESIF ELTIF.

Senior Loans.

AESIF ELTIF's Investments may be comprised (directly or indirectly) of senior secured loans. Senior loans are of a type generally incurred by obligors in connection with highly leveraged transactions, often (although not exclusively) to finance internal growth, pay dividends or other distributions to the equity holders of the obligor, or finance acquisitions, mergers, and/or stock purchases. As a result of the additional debt incurred by an obligor in the course of such a transaction, the obligor's creditworthiness is typically judged by rating agencies to be below investment grade. Although senior loans are typically at the most-senior level of the capital structure (with mezzanine loans being subordinated to any senior loans or to any other senior debt of the obligor), if a borrower under a senior loan defaults or becomes insolvent, only a fraction of what is owed may be recovered on the senior loan (or nothing at all). Senior loans are often secured by specific collateral, including but not limited to, trademarks, patents, accounts receivable, inventory, equipment, buildings, real estate, franchises and common and preferred stock of the obligor and its subsidiaries and any applicable associated liens relating thereto; while mezzanine loans may have the benefit of a second priority lien or charge over such assets.

Although senior loans and mezzanine loans are typically secured by collateral, there can be no assurance that such collateral could be readily liquidated or that the liquidation of such collateral would satisfy the borrower's obligation in the event of non-payment of scheduled interest or principal. Such collateral may be subject to complex, competing legal claims. In addition, the security granted in respect of such investments may be unperfected for a variety of reasons, including the failure to make required filings by lenders, and other creditors may have priority over such investments.

Senior loans and mezzanine loans also generally provide for restrictive covenants designed to limit the activities of the obligors thereunder in an effort to protect the rights of lenders to receive timely payments of interest on, and repayment of, principal of the loans. Such covenants may include restrictions on dividend payments, specific mandatory minimum financial ratios, limits on total debt and other financial tests. A breach of covenant (after giving effect to any cure period) under a senior loan or mezzanine loan which is not waived by the lending syndicate normally is an event of acceleration which allows the syndicate to demand immediate repayment in full of the outstanding loan. However, although any particular senior loan or mezzanine loan may share many similar features with other loans and obligations of its type, the actual terms of any senior loan or mezzanine loan will have been a matter of negotiation and will be unique. Any such particular loan may contain non-standard terms and may provide less protection for creditors than may be expected generally, including in respect of covenants, events of default, security or guarantees.

Leveraged Loans.

AESIF ELTIF's Investments may comprise (directly or indirectly) leveraged loans, which have significant liquidity and market value risks since they are not generally traded on organized exchange markets but are traded by banks and other institutional investors engaged in loan syndications. Because loans are privately syndicated and loan agreements are privately negotiated and customized, loans are not purchased or sold as easily as publicly traded securities. Historically the trading volume in loan markets has been small relative to high-yield debt securities markets. In addition, leveraged loans have historically experienced greater default rates than has been the case for investment grade securities. There can be no assurance as to the levels of defaults and/or recoveries that may be experienced on leveraged loans, and an increase in default levels could have a material adverse effect on AESIF ELTIF.

A non-investment grade loan or debt obligation (or an interest therein) is generally considered speculative in nature and may become a defaulted obligation for a variety of reasons. A defaulted obligation may become subject to either substantial workout negotiations or restructuring, which may entail, among other things, a substantial reduction in the interest rate, a substantial write-down of principal, and a substantial change in the terms, conditions and covenants with respect to such defaulted obligation. In addition, such negotiations or restructuring may be quite extensive and protracted over time, and therefore may result in substantial uncertainty with respect to the ultimate recovery on such defaulted obligation. The liquidity for defaulted obligations may be limited, and to the extent that defaulted obligations are sold, it is highly unlikely that the proceeds from such sale will be equal to the amount of unpaid principal and interest thereon. Furthermore, there can be no assurance that the ultimate recovery on any defaulted obligation will not be lower than the recovery rate assumed by the Investment Manager.

Bank Loans and Participations.

AESIF ELTIF's Investments may be comprised (directly or indirectly) of bank loans acquired through assignment or participations. These obligations are subject to unique risks, including: (i) the possible invalidation of an investment transaction as a fraudulent conveyance under relevant creditors' rights laws; (ii) so-called lender-liability claims by the issuer of the obligations; (iii) environmental liabilities that may arise with respect to collateral securing the obligations; and (iv) limitations on the ability of AESIF ELTIF to directly enforce its rights with respect to participations.

Interests in loans and other debt obligations may be acquired either directly (by way of novation or assignment from a lender under the related loan agreement) or indirectly (by purchasing a participation interest from a selling institution or through the acquisition of synthetic securities). The purchaser of an assignment typically succeeds to all the rights and obligations of the assigning institution and becomes a lender under the credit agreement with respect to the loan or debt obligation; however, its rights can be more restricted than those of the assigning institution. As described in more detail below, holders of participation interests and synthetic securities are subject to additional risks not applicable to a holder of a direct interest in a loan.

In purchasing participations, the purchaser will usually have a contractual relationship only with the selling institution, and not the borrower. The purchaser generally will have no right directly to enforce compliance by the borrower with the terms of the loan agreement, nor any voting rights or rights of set-off against the borrower, nor will it have the right to object to certain changes to the loan agreement agreed to by the selling institution. The purchaser may not directly benefit from the collateral supporting the related loan and may not be subject to any rights of set-off the borrower has against the selling institution. In addition, in the event of the insolvency of the selling institution, under the laws of the United States and the states thereof the purchaser may be treated as a general creditor of such selling institution, and may not have any exclusive or senior claim with respect to the selling institution's interest in, or the collateral with respect to, the loan. Consequently, the purchaser may be subject to the credit risk of the selling institution as well as of the borrower. In addition, the purchaser may purchase a participation interest from a selling institution that does not itself retain any beneficial interest in any portion of the applicable loan and, therefore, may have limited interest in monitoring the terms of the loan agreement and the continuing creditworthiness of the borrower. Certain loans or loan participations may be governed by the law of a jurisdiction other than a United States jurisdiction, which may entail similar risks to those described herein but may also present additional risks as regards the characterization under such laws of such participation in the event of the insolvency of the selling institution or the borrower.

When a purchaser holds a participation interest in a loan it will not have the right to vote under the applicable loan agreement with respect to every matter that arises thereunder, and it is expected that each selling institution will reserve the right to administer the loan sold by it as it sees fit and, subject to the terms of the participation agreement, to amend the documentation evidencing such loan in all respects. Selling institutions voting in connection with such matters may have interests different from those of the purchaser and may fail to consider the interests of the purchaser in connection with their votes.

Assignments are arranged through private negotiations between assignees and assignors, and in certain cases the rights and obligations acquired by the purchaser of an assignment may differ from, and be more limited than, those held by the assigning selling institution. As a purchaser of an assignment, the purchaser generally will have the same voting rights as other lenders under the applicable loan agreement, including the right to vote to waive enforcement of breaches of covenants or to enforce compliance by the borrower with the terms of the loan agreement, and the right to set-off claims against the borrower and to have recourse to collateral supporting the loan.

Assignments and participations are sold without recourse to the assignor or selling institution, as applicable, and the assignor or selling institution, as applicable, will generally make minimal or no representations or warranties about the underlying loan, the borrower, the documentation of the loans or any collateral securing the loans. In addition, the purchaser will be bound by provisions of the underlying loan agreements, if any, that require the preservation of the confidentiality of information provided by the borrower.

High-Yield Securities.

AESIF ELTIF's Investments may be comprised (directly or indirectly) of high-yield bonds and other securities that are not investment grade. Securities in the lower rating categories are subject to greater risk of loss, as to timely repayment of principal and timely payment of interest or dividends than are higher-rated securities. They are also generally considered to be subject to greater risk than securities with higher ratings in the case of deterioration of general economic conditions. The yields and prices of lower-rated securities may tend to fluctuate more than those for higher-rated securities. In addition, adverse publicity and investor perceptions about lower-rated securities, whether or not based on fundamental analysis, may be a contributing factor in a decrease in the value and liquidity of these securities.

High-yield securities that are rated "BB" or lower by S&P Global Ratings, an S&P Global business, or "Ba" or lower by Moody's Investors Service are often referred to in the financial press as "junk bonds" and may include securities of issuers in default. "Junk bonds" are considered by ratings agencies to be predominantly speculative and may involve major risk exposures such as: (i) vulnerability to economic downturns and changes in interest rates; (ii) sensitivity to adverse economic changes and corporate developments; (iii) redemption or call provisions which may be exercised at inopportune times; and (iv) difficulty in accurately valuing or disposing of such securities.

Cov-lite Loans.

AESIF ELTIF's Investments may be comprised (directly or indirectly) of "cov-lite" loans. "Cov-lite" loans typically do not obligate the obligor to comply with financial covenants that would be applicable during reporting periods. Investments comprised of "cov-lite" loans may expose AESIF ELTIF to different risks, including with respect to liquidity, price volatility and ability to restructure loans, than would be the case with other loans. In addition, the lack of such financial covenants may make it more difficult to trigger a default in respect of such loans.

Second Lien Loans.

AESIF ELTIF's Investments may be comprised (directly or indirectly) of second lien loans. Second lien loans are subject to the same risks associated with leveraged loans in general described above. However, a second lien loan is subordinate in right of collateral and/or payment to one or more senior secured loans of the related borrower and therefore is subject to additional risk that the cash flow of the related borrower and the collateral securing the second lien loan may be insufficient to make the scheduled payments to the lender of record after giving effect to any senior secured loans of the related obligor. The subordination of second lien loans is also expected to cause second lien loans to be more risky and more illiquid investments than senior secured loans.

Mezzanine Investments.

AESIF ELTIF's Investments may be comprised (directly or indirectly) of mezzanine debt securities which are high-yield, unsecured subordinated debt obligations of an obligor that are generally rated below investment grade. Such securities, by the nature of their issuers' leveraged capital structures, involve a high degree of financial risk. These securities may be unsecured and/or subordinated to substantial amounts of senior indebtedness, all or a significant portion of which may be secured. In addition, these securities may not be protected by financial covenants or limitations upon additional indebtedness and may have limited liquidity. Mezzanine investments often reflect a greater possibility that adverse changes in the financial condition of the obligor or general economic conditions (including, for example, a substantial period of rising interest rates or declining earnings) or both may impair the ability of the obligor to make payments of principal and interest. Mezzanine investments are often issued in connection with leveraged acquisitions or recapitalizations, in which the issuer incurs a substantially higher amount of indebtedness than the level at which it had previously operated. Some issuers of AESIF ELTIF's Investments may be highly leveraged, and their relatively high debt-to-equity ratios create increased risks that

their operations might not generate sufficient cash flow to service their debt obligations. Overall adverse conditions in the high-yield bond and other markets may adversely affect such issuers by inhibiting their ability to refinance their debt at maturity.

Unsecured Loans and Unsecured Bonds.

Unsecured loans are subject to the same risks associated with leveraged loans in general described herein and unsecured bonds are subject to the same risks associated with high-yield debt obligations in general described above under “—High-Yield Securities.” However, unsecured loans and unsecured bonds are not secured obligations of the related obligor and do not have the benefit of a pledge of specified property. The absence of a security interest may make unsecured loans and unsecured bonds more risky and more illiquid investments than secured loans or secured bonds.

Subordinated unsecured bonds are subject to the same risks associated with high-yield debt securities in general described above under “—High-Yield Securities.” However, a subordinated unsecured bond is subordinate in right of payment to one or more other unsecured obligations of the related obligor and therefore is subject to additional risk that the cash flow of the related obligor may be insufficient to make the scheduled payments on the subordinated unsecured bond after giving effect to any senior obligations of the obligor. The subordination of subordinated unsecured bonds also typically causes subordinated unsecured bonds to be more risky and more illiquid investments than senior obligations.

First Lien Last Out Loans.

AESIF ELTIF may invest its assets in unitranche loans with “first out” and “last-out” payment streams (either set up at closing or arranged after closing by Ares) (each a “**Re-tranched Loan**”). Each Re-tranched Loan will be documented under a single credit agreement with a single set of security agreements. Re-tranched Loans effectively create senior and junior loans with so called ‘first out lenders’ (“**First Out Lenders**”) receiving payments in priority to ‘last out lenders’ (“**Last Out Lenders**”) under certain circumstances. Interest will typically be allocated in a manner which provides the First Out Lenders with an effective lower interest rate than the Last Out Lenders. In such arrangements, principal will typically be allocated pro rata as between the First Out Lenders and Last Out Lenders until the occurrence of a trigger event, following which First Out Lenders will rank in priority to Last Out Lenders in terms of both interest and principal. The trigger events are typically individually negotiated for each Re-tranched Loan, but are likely to include amongst others (1) a payment default under the credit agreement; (2) failure of the borrower to comply with all or certain financial covenants, usually within a percentage range; (3) bankruptcy and insolvency events; and (4) failure of the borrower to conduct all or a material portion of its business, usually following a certain cure period. As a result, if AESIF ELTIF acquires a position as a Last Out Lender, this would be more akin to that of a second lien lender and may not recover any of its outstanding principal or interest until the First Out Lenders have been repaid in full. Further, any veto rights with respect to voting as between the First Out Lenders and the Second Out Lenders may also be negotiated for each transaction. As a result, even where AESIF ELTIF acquires a minority stake in a Re-tranched Loan there can be no assurance that AESIF ELTIF, as a Last Out Lender, will be in a position to direct enforcement of the security granted in respect of the Re-tranched Loan nor to prevent certain decisions being taken by the First Out Lenders that may be adverse to the interests of AESIF ELTIF.

Syndication; Warehousing.

Ares, Other Ares Funds, or affiliates or related parties of the foregoing or other parties (including for the avoidance of doubt any bank warehouse, which may be structured as a securitization, a total return swap, junior and/or “first loss” notes, the price of which will be linked to the value of the underlying assets, or otherwise, which in each case may be guaranteed financed or partially financed by any of the foregoing) could acquire an investment as principal and subsequently sell some or all of it to AESIF ELTIF, Other Ares Funds or co-investors in an affiliate or related party transaction. Similarly, AESIF ELTIF may acquire an investment and subsequently syndicate, or sell some or all of it, to Ares, Other Ares Funds, co-investors, or affiliates or related parties of the foregoing or other third parties, notwithstanding the availability of capital from the Shareholders and other investors thereof or applicable credit facilities. The Sponsor may cause these transfers to be made at cost, or cost plus an interest rate or carrying cost charged from the time of acquisition to the time of transfer, notwithstanding that the fair market value of any such Investments may have declined below or increased above cost from the date of acquisition to the time of such transfer. The Sponsor may also determine another methodology for pricing these transfers, including fair market value at the time of transfer. It may be possible that AESIF ELTIF acquires transferred assets at above fair market value, and/or separately sell assets at below fair market value. The Board of Directors (or the non-affiliated directors thereof) may, but are not required to, approve the price, terms and conditions of

such transfer and may approve or waive any conflicts arising in connection therewith on behalf of the Shareholders. Also, the Sponsor may charge fees on these transfers to either or both of the parties to them. The Sponsor or its affiliates will be permitted to retain any portion of an Investment initially acquired by them with a view to syndication to co-investors or other potential purchasers to the extent such portion has not been syndicated after reasonable efforts to do so. As part of structuring such syndication and warehousing arrangements, the Sponsor may require AESIF ELTIF and Other Ares Funds to enter into conditional purchase agreements, where AESIF ELTIF and/or such Other Ares Funds agree to acquire future warehoused investments: (i) prior to their original acquisition; and (ii) prior to AESIF ELTIF and such Other Ares Funds having the requisite available capital to acquire such assets, in each case with such sale being conditional upon AESIF ELTIF and/or such Other Ares Funds (as the case may be) having sufficient available capital in order to acquire the relevant warehoused assets. The Sponsor expects to enter into a warehousing arrangement prior to the formation of AESIF ELTIF and, as part of the structuring of such syndication and warehousing arrangement, the Sponsor expects to require AESIF ELTIF to enter into a conditional purchase agreement on similar terms to those described in the foregoing sentences. Conflicts of interest are expected to arise in connection with these potential warehousing arrangements and any related affiliate transactions, including with respect to timing allocations of Investments to such warehousing, structuring, pricing and other terms of the transactions related thereto. For example, the Sponsor will have a conflict of interest when the Sponsor receives fees, including an incentive allocation, from an Other Ares Fund acquiring from or transferring to AESIF ELTIF all or a portion of an investment.

These conflicts related to syndication of Investments and warehousing will not necessarily be resolved in favor of AESIF ELTIF, and Shareholders may not be entitled to receive notice or disclosure of the occurrence of these conflicts. By subscribing for Shares, Shareholders will be deemed to have consented to the syndication of Investments and warehousing to the extent the terms of such transactions are approved by the non-affiliated members of the Board of Directors (See also “Risk Factors Relating to Conflicts of Interest” sub-section of the Prospectus).

AESIF ELTIF will invest in non-investment grade middle-market loans or interests in non-investment grade middle-market loans.

AESIF ELTIF will invest in non-investment grade middle-market loans or interests in non-investment grade middle-market loans, which are subject to liquidity, market value, credit, interest rate, reinvestment and other risks and are regarded as having predominantly speculative characteristics with respect to capacity to pay interest and repay principal. There can be no assurance that the AIFM will correctly evaluate the nature and magnitude of the various factors that could negatively affect the value or performance of such assets. It is anticipated that these loans will be subject to greater risks than investment grade corporate obligations. These risks could be exacerbated if the portfolio is concentrated in one or more particular types of assets.

The value of such debt investments is volatile and may fluctuate due to a variety of factors that are inherently difficult to predict and are outside the control of AESIF ELTIF and the AIFM, including changes in interest rates, prevailing credit spreads, general economic conditions, financial market conditions, domestic or international economic or political events, developments or trends in any particular industry, or the financial condition of the obligors of AESIF ELTIF’s assets. In particular, the market for non-investment grade middle-market loans has experienced periods of volatility in the supply and demand for such loans, resulting in volatility in, among other things, spreads, interest rate floors, purchase price discounts, leverage, covenants, structure, and other terms. Additionally, middle-market loans and interests in middle-market loans generally have significant liquidity and market value risks since they are not generally traded in organized markets, but are traded (if at all) by banks and other institutional investors in privately negotiated transactions. Because loan agreements are privately negotiated and customized, loans are not purchased or sold as easily as publicly traded securities. In addition, historically the trading volume in the loan market, especially in the middle-market, has been small relative to the high-yield debt securities market.

The obligors of AESIF ELTIF’s assets will primarily be privately owned middle-market businesses. There is generally no publicly available information about these businesses. Some obligors may not meet net income, cash flow and other coverage tests typically imposed by banks and other lenders. Numerous factors may affect an obligor’s ability to repay its related obligations, including the failure to meet its business plan, a downturn in its industry or continuing negative economic conditions. A deterioration in an obligor’s financial condition and prospects may be accompanied by deterioration in the collateral securing AESIF ELTIF’s assets. Such deterioration might impair the ability of such obligor to obtain refinancing or force it to seek to have AESIF ELTIF’s asset restructured.

A non-investment grade middle-market loan or debt obligation or an interest in a non-investment grade middle-market loan or debt obligation is generally considered speculative in nature and may end up in default for a variety of reasons. A defaulted asset may become subject to either substantial workout negotiations or a restructuring, which may entail, among other things, a substantial reduction in the interest rate, a substantial write-down of principal, and a substantial change in the terms, conditions and covenants with respect to such defaulted asset. In addition, such negotiations or restructuring may be quite extensive, protracted and costly over time, and therefore may result in substantial uncertainty with respect to the ultimate recovery on such defaulted asset. The liquidity of a defaulted asset will be limited, and if a defaulted asset is sold, it is highly unlikely that the proceeds from such sale will be equal to the amount of unpaid principal and interest thereon.

Non-investment grade loans to middle-market businesses generally carry more inherent risks than non-investment grade loans to larger, publicly traded businesses. These middle-market companies generally have more limited access to capital and higher financing costs, may be in a weaker financial position, may need more capital to expand or compete, and may be unable to obtain financing from public capital markets or from traditional sources, such as commercial banks. Middle-market businesses typically have narrower product lines and smaller market shares than larger businesses. Therefore, they tend to be more vulnerable to competitors' actions and market conditions, as well as general economic downturns. These businesses may also experience substantial variations in operating results. Typically, the success of a middle-market business also depends on the management talents and efforts of one or two persons or a small group of persons. The death, disability or resignation of one or more of such persons could have a material adverse impact on the obligor and its ability to repay its obligations. In addition, middle-market businesses often need substantial additional capital to expand or compete and will often have borrowed money from other lenders and may need additional capital to survive any economic downturns. Accordingly, loans made to middle-market companies involve higher risks than loans made to companies that have larger businesses, greater financial resources or who are otherwise able to access traditional credit sources.

There can be no assurance as to the levels of defaults or the amount or timing of recoveries that may be experienced with respect to AESIF ELTIF's assets. Any increase in default levels or decrease in recovery rates, or delays in receipt of recoveries, could adversely affect distributions, if any, to Alternative Investment Vehicle.

Loan origination.

If AESIF ELTIF desires to sell or assign a loan that it originates, but is unable to sell, assign or successfully close transactions for assignments or participations in such loan, AESIF ELTIF will be forced to hold such loan until such time as it can be disposed, during which time AESIF ELTIF may be "overweighted" with respect to a particular borrower. In addition, in connection with any loan origination activity, AESIF ELTIF may determine, in consultation with its tax advisors, that there is a risk that AESIF ELTIF's lending activity may cause AESIF ELTIF to be treated as engaged in a trade or business for United States federal income tax purposes.

AESIF ELTIF's assets will generally be illiquid.

An investment in AESIF ELTIF should be viewed as an illiquid investment. AESIF ELTIF's assets will generally have no, or only a limited, trading market. AESIF ELTIF's Investment in illiquid assets may restrict its ability to dispose of investments in a timely fashion or for a fair price. Illiquid assets may trade at a discount from comparable, more liquid assets.

The secondary market for middle-market loans is smaller and less liquid than the market for broadly-syndicated loans made to larger obligors. In addition, AESIF ELTIF may invest in assets that may not be freely transferable under the laws of the applicable jurisdiction or due to contractual restrictions. The prices realized from the sale of any of AESIF ELTIF's assets could be less than the cost of such assets to AESIF ELTIF or less than what may be considered the fair value of such assets.

Illiquid and Long-Term Investments.

A substantial portion of the AESIF ELTIF's Investments will be illiquid and/or long-term. Many of such Investments are currently expected by Ares to take around seven (7) years from the date of initial investment to reach a state of maturity when realization of the Investment can be achieved. Although such Investments by AESIF ELTIF are expected to generate current income (i.e., all investment proceeds that are not "disposition proceeds" which may include amounts received by AESIF ELTIF from Investments as a result of purchase price adjustments), private investment transaction structures typically will not provide for liquidity of such Investments prior to repayment upon a refinancing event; however, interim proceeds from cash coupons may be distributed to Shareholders with respect to certain Investments. In light of the foregoing, it may be the case that no significant

return from the disposition of such Investments will occur for a substantial period of time from the date of the initial Investment. While such Investments may be sold at any time, it is not generally expected that this will occur for a number of years after such Investments are made. It is unlikely that there will be a public market for the illiquid and/or long-term securities held by AESIF ELTIF at the time of their acquisition. Therefore, no assurance can be given that, if AESIF ELTIF is determined to dispose of a particular Investment held by AESIF ELTIF, it could dispose of such Investment at a prevailing market price, and there is a risk that disposition of such Investments may require a lengthy time period or may result in distributions in-kind to investors. Although the Sponsor expects that Investments will either be disposed of prior to the termination of AESIF ELTIF or be suitable for in-kind distribution at liquidation, AESIF ELTIF may have to sell, distribute or otherwise dispose of Investments at a disadvantageous time for a price which is less than the price that could have been obtained if the Investments were held for a longer period of time. AESIF ELTIF generally will not be able to sell its Investments through the public markets unless their sale is registered under applicable securities laws, or unless an exemption from such registration requirements is available. Additionally, there can be no assurances that such Investments can be sold on a private basis. In addition, in some cases AESIF ELTIF may be prohibited by contractual, legal, or regulatory or other similar reasons from selling certain securities for a period of time and as a result may not be permitted to sell an Investment at a time it might otherwise desire to do so.

Subordinated loans are subordinate in right of payment to one or more senior secured loans and, therefore, are subject to additional risk of non-payment.

Subordinated loans are subordinate in right of payment to one or more senior secured loans and, therefore, are subject to additional risks that the cash flows of the related obligor(s) and any property securing such subordinated loan may be insufficient to make the scheduled payments after giving effect to any senior secured loans of the related obligor(s). Subordinated loans are expected to be more illiquid investments than senior secured loans, which, as discussed, are themselves illiquid investments.

Unsecured loans are unsecured obligations of the applicable obligor(s), may be subordinated to other obligations of such obligor(s) and generally have greater credit, insolvency and liquidity risk than is typically associated with secured obligations. Unsecured obligations will generally have lower rates of recovery than secured obligations following a default. Also, in the event of the insolvency of an obligor of an unsecured obligation, the holders of such unsecured obligation will be considered general, unsecured creditors of such obligor, will have fewer rights than secured creditors of such obligor and will be subordinate to the secured creditors of such obligor with respect to the related collateral.

Issuers of subordinated debt obligations may be highly leveraged and may not have available to them more traditional sources of financing. During an economic downturn or a sustained period of rising interest rates, such issuers may be more likely to experience financial stress and may be unable to meet their obligations.

Originated Investments.

From time to time, AESIF ELTIF may make offers to buy, or receive offers to purchase, assignments of, or participations in, loans, notes or other securities (or interests therein) that Ares or any Other Ares Funds, as the case may be, own (which, for the avoidance of doubt, may also include unfunded commitments associated with such loans, notes or other securities) (each, a “**Proposed Transaction**”). In the event of such an offer, the price paid by AESIF ELTIF in connection with an Investment in such Proposed Transaction shall not be set by the Sponsor or AESIF ELTIF but rather shall be established based on third-party valuations obtained in accordance with the procedures followed by AESIF ELTIF, on a consistent basis. In connection with each Proposed Transaction, the Sponsor shall prepare the materials it deems necessary to describe the Proposed Transaction. The decision to make an offer to buy, or to accept or decline an offer, at the price offered shall, however, be made by the Board of Directors, after a review of: (i) materials prepared by the Sponsor regarding the Proposed Transaction; and (ii) any additional information requested by the Board of Directors; provided, that in the event a Proposed Transaction is entered into with any Other Ares Funds (excluding, for the avoidance of doubt, (A) AESIF ELTIF, (B) any Ares proprietary account that participated in the initial investment in the applicable portfolio company alongside any of the persons set forth in clause (A) above (collectively, the “**Applicable Entities**”) and (C) a direct or indirect subsidiary of the Applicable Entities), such Proposed Transaction shall, instead of the consent of the Board of Directors, require the consent of the non-affiliated members of the Board of Directors.

Bank loans acquired through participations can be subject to unique risks given that AESIF ELTIF will have a direct contractual relationship with only the selling institution.

Although AESIF ELTIF intends to focus on originating new loan transactions, AESIF ELTIF is permitted to invest in corporate secured loans acquired through assignment or participations. These obligations are subject to various unique risks, including: (i) the possible invalidation of an investment transaction as a fraudulent conveyance under relevant laws, (ii) lender-liability claims of breach of contract, breach of fiduciary duty and of sales of collateral at non-commercially reasonable terms by the underlying obligor (see “AESIF ELTIF may be subject to claims for lender liability and AESIF ELTIF’s assets may be subject to equitable subordination” below), (iii) environmental liabilities that may arise with respect to any collateral securing the underlying obligations and (iv) limitations on the ability of AESIF ELTIF to enforce its rights directly with respect to participations.

In purchasing participations, AESIF ELTIF will have a direct contractual relationship only with the selling institution, and not the borrower. Thus, in the case of a participation interest, AESIF ELTIF will generally have the right to receive payments of principal, interest and any fees to which it is entitled only from the institution selling the participation and only upon receipt by such selling institution of such payments from the borrower. As a result, AESIF ELTIF will assume the credit risk of both the borrower and the selling institution. AESIF ELTIF generally will have no right to enforce compliance by the underlying borrower with the terms of the loan agreement, nor any voting rights or rights of set-off against the underlying borrower, nor will it have the right to object to certain changes to the loan agreement agreed to by the selling institution. AESIF ELTIF may not benefit from the collateral supporting the related secured loan and may not be subject to any rights of set-off the borrower has against the selling institution.

In addition, in the event of the insolvency of the selling institution, under the laws of certain jurisdictions AESIF ELTIF may be treated as a general unsecured creditor of such selling institution, and may not have any exclusive or senior claim with respect to the selling institution’s interest in, or the collateral with respect to, the secured loan. Consequently, in such circumstances, AESIF ELTIF will be subject to the credit risk of the selling institution as well as that of the borrower. Certain of the secured loans or loan participations may be governed by the law of a foreign jurisdiction which may present additional risks as regards the characterization of such transaction as a participation under such laws of such participation in the event of the insolvency of the selling institution or the borrower.

AESIF ELTIF may be subject to claims for lender liability and AESIF ELTIF’s assets may be subject to equitable subordination.

A number of judicial decisions have upheld judgments of obligors against lending institutions on the basis of various evolving legal theories, collectively termed “lender liability”. Companies in which AESIF ELTIF invests may be located in jurisdictions where lenders may have legal exposure on the basis of lender liability. Generally, lender liability is founded on the premise that a lender has violated a duty (whether implied or contractual) of good faith, commercial reasonableness and fair dealing or a similar duty owed to the obligor or has assumed an excessive degree of control over the obligor resulting in the creation of a fiduciary duty owed to the obligor or its other creditors or equity holders. Because of the nature of AESIF ELTIF’s assets, AESIF ELTIF may be subject to claims of lender liability. Any such claim, if determined adversely to AESIF ELTIF, could have a material adverse effect on AESIF ELTIF’s returns to investors.

In addition, under certain legal principles that in some cases form the basis for lender liability claims, if a lender, bondholder or other creditor (i) intentionally takes an action that results in the undercapitalization of an obligor to the detriment of other creditors of such obligor, (ii) engages in other inequitable conduct to the detriment of such other creditors, (iii) engages in fraud with respect to, or makes misrepresentations to, such other creditors or (iv) uses its influence as an equity holder to dominate or control an obligor to the detriment of other creditors of such obligor, a court may elect to subordinate the claim of the offending lender, bondholder or other creditor to the claims of the disadvantaged creditor or creditors, a remedy called “equitable subordination”. Because of its nature, AESIF ELTIF’s assets may be subject to claims of equitable subordination.

In addition, because affiliates of, or persons related to, the AIFM may hold equity or other interests in obligors of AESIF ELTIF’s assets, AESIF ELTIF could be exposed to claims for equitable subordination, lender liability or both based on such equity or other holdings.

The preceding discussion is based upon general principles of United States federal laws. The laws of non-U.S. jurisdictions may impose liability upon lenders, bondholders or other creditors under factual circumstances similar (or additional) to those described above, with consequences that may or may not be analogous to those described above.

AESIF ELTIF’s assets will generally be prepayable at the option of the obligor.

Loans are generally prepayable in whole or in part at any time at the option of the obligor at par plus accrued and unpaid interest thereon, and occasionally plus a prepayment premium. Prepayments on loans may be caused by a variety of factors which are often difficult to predict. Consequently, there exists a risk that loans purchased at a price greater than par may experience a capital loss as a result of such a prepayment. When credit market conditions become more attractive to obligors, the rate of prepayment of AESIF ELTIF's assets would be expected to increase as obligors refinance to take advantage of such improved conditions, which may negatively impact AESIF ELTIF.

Limited control of administration and amendment of underlying loans.

The AIFM may exercise or enforce, or refrain from exercising or enforcing, any or all of AESIF ELTIF's rights in connection with any of its underlying investments. However, due to the size of AESIF ELTIF's investment position, AESIF ELTIF may have limited influence over any amendment, waiver or modification of such loan.

Additionally, as a provider of debt financing or holder of equity securities, AESIF ELTIF will not be in a position to control any borrower. As a result, AESIF ELTIF is subject to the risk that a borrower in which AESIF ELTIF invests may make business decisions with which AESIF ELTIF disagrees and the management of such borrower may, as representatives of holders of their common equity, may take risks or otherwise act in way that do not serve the interests of AESIF ELTIF as a minority stakeholder or creditor.

Overlapping Investment Objectives.

Certain Other Ares Funds that have investment objectives that are adjacent to or overlap with those of AESIF ELTIF (whether now in existence or subsequently established), and Ares or such Other Ares Fund may share and/or receive priority with respect to certain investment opportunities falling within the primary focus of such Other Ares Funds or otherwise receive allocations of investments otherwise appropriate for AESIF ELTIF (including, for example, Other Ares Funds established to primarily pursue investments relating to specific geographic regions, sectors and/or asset classes).

Multiple Levels of Fees and Expense.

In addition to the direct expenses and management costs borne by AESIF ELTIF, it may also bear its pro rata share of certain expenses and management costs incurred directly or indirectly by Other Ares Funds in which it invests. This would result in more expenses being borne (indirectly) by Shareholders in AESIF ELTIF than if such Shareholders were able to invest directly in the Other Ares Funds. With respect to AESIF ELTIF's primary commitments to Other Ares Funds only, AESIF ELTIF is not expected to pay or otherwise bear carried interest, management fees or other incentive compensation in connection with such Other Ares Fund except in limited circumstances, in which case such carried interest, management fees or other incentive compensation paid will be rebated Euro-for-Euro. AESIF ELTIF will indirectly bear other expenses in connection with an Investment in or alongside an Other Ares Fund, including any investment related expenses and expenses paid to affiliates of the Sponsor, administrative expenses and other expenses included in the definition of Operating Expenses above as applicable to such Other Ares Fund (to the extent applicable). Notwithstanding anything herein to the contrary, in certain limited circumstances AESIF ELTIF will bear carried interest, management fees or other incentive compensation, including in connection with interests in Other Ares Funds purchased on the secondary market as part of a portfolio transaction and equity interests in certain structured investments (e.g., CLOs). However, strictly for information purposes only and not as an indication of entitlement in a specific Other Ares Fund, several (but not all) established Other Ares Funds provide for performance participation allocation at a rate up to 15%.

These various levels of costs and expenses will be charged whether or not the performance of AESIF ELTIF generates positive returns. As a result, AESIF ELTIF, and indirectly the Shareholders, may bear multiple levels of expenses, which in the aggregate would exceed the expenses which would typically be incurred by an investment in a single fund investment, and which would offset AESIF ELTIF's profits. In addition, because of the fees and expenses payable by AESIF ELTIF pursuant to such Investments, its returns on such Investments will be lower than the returns to a direct investor in the Other Ares Funds. Such returns will be further diminished to the extent AESIF ELTIF is also charged management fees and/or bears carried interest or other similar performance-based compensation in connection with its secondary commitments in Other Ares Funds.

Fund Life Commitments.

AESIF ELTIF may invest in certain Other Ares Funds by making a fund life commitment to such Other Ares Funds. In such case, AESIF ELTIF will participate in such fund life commitments in most instances through an

aggregator vehicle controlled by the Investment Manager or an affiliate thereof, and AESIF ELTIF will commence and end its participation in an Other Ares Fund (through the aggregator vehicle) at different times to other investors. In connection with such fund life commitments, an Other Ares Fund may provide the Investment Manager with investment-by-investment tracking of investment proceeds; that is, such Other Ares Fund will inform the Investment Manager of the particular underlying investment of such Other Ares Fund to which the investment proceeds relate. In such cases, investment proceeds from such Other Ares Funds will generally be allocated to AESIF ELTIF based on the particular underlying investment of such Other Ares Fund that generated such investment proceeds (and, therefore, the allocation of such investment proceeds will take into account the relative contributed capital of AESIF ELTIF to the applicable underlying investment). However, in certain cases, an Other Ares Fund will not provide the Investment Manager with investment-by-investment tracking of investment proceeds. With respect to such instances, the Investment Manager has adopted a practice, which it may amend, modify, revise or supplement from time to time without notice to the AESIF ELTIF investors, regarding allocation of the investment proceeds it receives from such Other Ares Fund. The Investment Manager will seek to allocate investment proceeds based on a formulaic, time-weighted approach that generally takes into account (i) the amount invested in an Other Ares Fund by AESIF ELTIF and (ii) AESIF ELTIF's expected hold time of such investment, which is generally based on the total expected number of days of such Other Ares Fund's term (generally determined based on such Other Ares Fund's governing documents). As it relates to Other Ares Funds that will not provide the Investment Manager with investment-by-investment tracking of investment proceeds, while the Investment Manager believes the foregoing time-weighted approach to the allocation of investment proceeds to AESIF ELTIF is reasonable, it is expected that the application of such methodology will result in AESIF ELTIF receiving less, or more, investment proceeds from any such Other Ares Fund than AESIF ELTIF would have received had such Other Ares Fund provided investment-by-investment tracking of investment proceeds. A number of factors will affect when AESIF ELTIF would receive less, and when AESIF ELTIF would receive more, investment proceeds from such Other Ares Funds, including, for example and without limitation, the timing of each applicable Other Ares Fund's capital calls, investment realizations, and distributions of investment proceeds.

Multiple Levels of Fees.

AESIF ELTIF Fund pays the Management Fee and also incurs or reimburses additional expenses and fees of other service providers in connection with AESIF ELTIF. In addition, AESIF ELTIF will indirectly incur similar fees and expenses to the extent that AESIF ELTIF invests in certain products such as money market funds, exchange traded funds or similar products. AESIF ELTIF will pay such fees regardless of whether AESIF ELTIF or such investments are profitable.

Fraud Risks.

Of paramount concern in making investments is the possibility of material misrepresentation or omission on the part of a counterparty. Such inaccuracy or incompleteness may adversely affect the valuation of the collateral underlying the loans or other asset, or may adversely affect the ability of the lender of record to perfect or effectuate a lien on the collateral securing the loan or other assets. AESIF ELTIF relies upon the accuracy and completeness of representations made by companies in which AESIF ELTIF invests or other counterparties to the extent reasonable, but cannot guarantee that such representations are accurate or complete. Under certain circumstances, payments to AESIF ELTIF may be reclaimed if any such payment or distribution is later determined to have been made with intent to defraud or prefer creditors. See also "*Fraudulent Conveyance Considerations below.*"

Fraudulent Conveyance Considerations.

Secured loans and other secured transactions (each obligation arising therefrom, a "**Secured Obligation**") may be subject to various federal and state laws enacted for the protection of creditors in the countries of the jurisdictions of incorporation of obligors and, if different, in which the obligors conduct business and in which they hold the assets, which may adversely affect such obligors' abilities to make payment on a full or timely basis. These insolvency considerations will differ depending on the country in which each obligor is located or domiciled.

In particular, it should be noted that a number of continental European jurisdictions operate "debtor-friendly" insolvency regimes which could result in delays in payments under Secured Obligations where obligors thereunder are subject to such regimes, in the event of their insolvency. The different insolvency regimes applicable in the different European jurisdictions may result in a corresponding variability of recovery rates for

obligations such as Secured Obligations entered into with obligors in such jurisdictions. No reliable historical data is available in respect of such recovery rates.

Alternative Credit Investments.

While AESIF ELTIF seeks to primarily self-originate investments and provide debt capital to European mid-market companies with a target EBITDA of €10 million + as further described in Section III: “*Investment Information*” of this Annex, AESIF ELTIF also has the flexibility to invest in other illiquid alternative credit investments. Please refer to the risk factors stated below for more information on the risks associated with such illiquid alternative credit investments.

Equity Securities.

AESIF ELTIF may acquire or otherwise receive common stock, warrants or options to acquire common stock and other equity securities or equity-linked securities (including, for the avoidance of doubt, any preferred equity transaction). Such instruments will generally involve a high degree of risk, and will be subordinate to (and thus are inherently riskier than) the debt securities and other liabilities of the issuers of such instruments. Although common stocks have historically generated higher average total returns than fixed income securities over the long term, common stocks also have experienced significantly more volatility in those returns. These instruments may fail to appreciate in value and may decline in value or become worthless. In particular, those equity or equity-like instruments that are attached as a unit of a debt obligation may be intended to participate in an obligor’s long-term value that may be created through growth facilitated by that debt obligation, and accordingly may have little or no value at issuance and may generate income (if at all) only upon a sale, listing or recapitalization of the obligor. Accordingly, AESIF ELTIF may not be able to realize gains from equity securities or instruments and may incur significant losses.

Risks Associated With Specialty Finance Investments.

AESIF ELTIF may invest in companies and operating platforms that originate and/or service commercial and consumer credits, including credit cards, personal loans and equipment finance, and may also invest directly in those credits (but on a secondary and not on a primary basis). Pricing and optimizing the value of such credits requires strong analytics and extensive infrastructure. The form of investment may vary and may require reliance on networks of asset managers to provide the resources necessary to originate new receivables, manage portfolios of performing receivables, and work-out portfolios of stressed or non-performing receivables. These loans may not be secured and may be subject to increasing regulation. In addition, AESIF ELTIF may access exposure to credits by acquiring interests in specialty finance companies and operating platforms. AESIF ELTIF’s Investments may also include leasing businesses, companies that provide services to specialty finance companies (e.g., credit scoring agencies) and other companies that have business models related to the specialty finance sector.

Investments in the specialty finance industry are subject to various industry-specific risks (including additional risks related to the various segments of the specialty finance industry). Specifically, various segments of the specialty finance industry are (or may become) highly regulated at both the federal and state levels in the U.S. and internationally and subject to frequent regulatory changes. Further, investments in financial services companies often require the approval of various regulatory bodies and there is no guarantee that such approvals will be obtained. While AESIF ELTIF intends to make investments in companies that comply with relevant laws and regulations, certain aspects of their operations may not have been subject to judicial or regulatory interpretation. An adverse review or determination by any one of such authorities, or an adverse change in the regulatory environment or requirements, could have a material adverse effect on the operations of the companies in which AESIF ELTIF invests. In addition, in order to comply with or not be subject to certain banking laws, rules and regulations, AESIF ELTIF may be required to invest in a manner that may not be as advantageous as the manner of making investments that are not subject to such laws, rules and regulations.

Asset-Based Lending.

As part of its portfolio, AESIF ELTIF may make investments in senior secured revolving credit facilities based on the borrower’s qualifying assets, such as eligible accounts receivable and inventory (generally known as “**Asset-Based Lending**” or “**ABL**”) and senior secured term loans secured by machinery and equipment and other fixed assets with similar security profiles. ABL is a specialized loan product that provides over-collateralized credit facilities to borrowers based on the assets pledged as collateral. These loans are structured to provide a flexible source of working capital by monetizing assets on the balance sheet. ABL is frequently used by companies seeking greater flexibility in executing operating plans. The quality and liquidity of a borrower’s underlying assets

are essential to the success of such investment. Such investments generally present many of the same risks as other debt investments, but given the focus on the underlying assets of the borrower, more specifically may present a greater risk of borrower fraud and, relatedly, that the Investment Manager may not be able to adequately diligence and monitor the activities of the borrower.

Accounts Receivables Relating to Consumer Loans/Obligations.

AESIF ELTIF may invest in, or lend against, portfolios of accounts receivables relating to consumer loans, including credit cards, automobile loans, healthcare, and student loans and other types of consumer obligations (such as leases). The performance of such assets will be affected by general economic conditions. The ability to collect on consumer obligation accounts receivables is dependent on the performance of a servicer. The servicer may be able to commingle funds relating to a transaction (such as collections from the loans and proceeds from the disposition of any repossessed collateral, such as repossessed vehicles) with its own funds for a period of time. Commingled funds may be used or invested by the servicer at its own risk and for its own benefit. If the servicer were unable to remit those funds or the servicer were to become a debtor under any insolvency laws, delays or reductions in the receivables may occur.

Additionally, servicers may be subject to regulation by certain government agencies. If a servicing arrangement or activities were found to constitute unsafe or unsound banking practices, such government agencies may take regulatory action against the servicer, which could result in losses or delays in payment.

Furthermore, consumer obligations are subject to various consumer protection laws which regulate the creation and enforcement of such obligations. The violation of such laws by lenders, originators and their affiliates may permit borrowers to reduce their obligation to pay the amount of receivables they owe or require lenders to pay certain penalties. Similarly, if a borrower were to seek protection under bankruptcy or debtor relief laws, a court could reduce or discharge completely the borrower's obligations to repay amounts due on its receivable.

Real Estate related Investments.

AESIF ELTIF's target investments may include privately-negotiated financings secured by pools of real estate assets (primarily in the form of privately negotiated investments in debt securities, loans and/or other credit-related asset but also in the form of equity or quasi-equity securities), the outright purchase of pools of real estate assets, and sale-leaseback transactions. The value of such investments will depend on many real-estate related factors beyond the control of AESIF ELTIF. The ultimate performance of such investments will be subject to the varying degrees of risk generally incident to the ownership and operation of the underlying real property. Real estate historically has experienced significant fluctuations and cycles that may result in reductions in the value of real estate-related investments. The ultimate value of such investments in the underlying real property also depends upon the real property owner's ability to operate the real property in a manner sufficient to maintain or increase revenues in excess of operating expenses and debt service or, in the case of real property leased to a single lessee, the ability of the lessee to make rental payments. Real estate is subject to various specific risks (which can adversely affect a property's revenues), including: changes in national or international economic conditions and/or specific industry segments; changes in local market conditions due to changes in general or local economic conditions and neighborhood characteristics; property location and condition; tenant mix; the financial condition of tenants and buyers and sellers of properties; competition from other properties offering the same or similar services; changes in interest rates and in the availability, cost and terms of mortgage funds; the ongoing need for capital improvements (particularly in older structures); changes in real estate tax rates and other operating expenses; changes in governmental laws, rules and regulations (including changes in environmental laws, casualty or condemnation losses, and regulatory limitations on rents) and fiscal policies; costs of remediation and liabilities associated with environmental conditions and lawsuits; civil unrest; acts of God, including earthquakes, hurricanes and other natural disasters; acts of war; acts of terrorism (any of which may result in uninsured losses); the potential for uninsured, uninsurable or underinsured property losses; adverse changes in zoning laws; and other factors that are beyond the control of the real property owners and AESIF ELTIF. In the event that any of the properties underlying AESIF ELTIF's investments experience any of the foregoing events or occurrences, the value of and return on such investments would likely be negatively impacted.

Real Estate Investment Trusts Risk.

In addition to risks associated with investing in real estate securities, real estate investment trusts (“REITs”) are dependent upon management skills, are not diversified, and are subject to heavy cash flow dependency, risks of default by borrowers, and self-liquidation. Investment in REITs also involves risks similar to risks of investing in small market capitalization companies, such as limited financial resources, less frequent and limited volume trading, and may be subject to more abrupt or erratic price movements than larger company securities. A REIT could fail to qualify for tax free pass through of income under the Internal Revenue Code. Shareholders will indirectly bear their proportionate share of the expenses of REITs in which AESIF ELTIF invests.

Risks Associated with Residential Properties.

AESIF ELTIF may be exposed to residential properties. Residential related properties such as multifamily residential, student housing and single-family rental properties may include increased risks associated with habitability related issues and applicable regulatory requirements. Additionally, certain residential properties may have a unionized workforce subject to collective bargaining agreements, which must be complied with as part of properties’ operation. A large number of risk factors potentially affect the value and successful operation of such properties, including: (i) the physical attributes of the property, such as its age, condition, design, amenities, appearance, access to transportation and construction quality; (ii) the location of the property; (iii) ability of the Investment Manager to provide adequate maintenance and insurance; (iv) the property’s reputation; (v) the level of mortgage interest rates and availability of government incentives, which may encourage residents to ultimately purchase rather than lease the homes, if possible; (vi) the presence of competing properties; (vii) the presence of local military base or industrial/business closings; (viii) the resident mix, such as the resident population being predominantly students or being heavily dependent on workers from a particular business or personnel from a local industrial unit; (ix) developments at local colleges and universities; (x) adverse local or national economic conditions, which could adversely affect the financial condition of residential owners and tenants, limit the amount of rent that may be charged and may result in a reduction of timely rent payments or a reduction in occupancy or leasing activity; (xi) state and local regulations, which may affect AESIF ELTIF’s ability to increase rent to the level of market rents for an equivalent home; (xii) government assistance/rent subsidy programs available in competing homes; (xiii) the inventory of unsold homes in the local market that are being rented until economic conditions in the single-family residential market improve; and (xiv) national, regional and local politics, including current or future rent stabilization and rent control laws and agreements. In addition, any investments in single-family rental properties may be net leased to single tenants and, therefore, the financial failure of, or other default by, a single tenant under its lease may cause a complete reduction in the operating cash flow generated by the property leased to that tenant and might decrease the value of that property and result in a non-cash impairment charge.

Certain jurisdictions regulate the relationship of an owner and its tenants. Commonly, these laws require a written lease, good cause for eviction, disclosure of fees and notification to residents of changed land use, while prohibiting unreasonable rules, retaliatory evictions and restrictions on a resident’s choice of unit vendors. Apartment building owners have been the subject of lawsuits under various “Landlord and Tenant Acts” and other general consumer protection statutes for coercive, abusive or unconscionable leasing and sales practices. There may be provisions that limit the basis on which a landlord may terminate a tenancy or increase its rent or prohibit a landlord from terminating a tenancy solely by reason of the sale of the owner’s building. In addition to state regulation of the landlord-tenant relationship, numerous towns and municipalities impose rent regulations on apartment buildings. These ordinances may limit rent increases to certain set percentages, to certain formulas, to increases set or approved by a governmental agency, or to increases determined through mediation or binding arbitration. Due to the outbreak of COVID-19, U.S. federal and state and non-U.S. laws and regulations have been implemented that place restrictions on lenders in the real estate sector and other industries from exercising certain of their rights in the event of borrower defaults or delinquencies, including with respect to foreclosure and eviction rights. Such measures may have significant adverse impacts on the performance of fund managers that invest in real estate, such as the Investment Manager, and their ability to sell existing investments or enforce their rights against borrowers and/or tenants, including to foreclose on and dispose of collateral. Similarly, governmental assistance programs that provide rent subsidies to tenants pursuant to tenant voucher programs may influence tenant mobility and the amount of rent a tenant can pay. Changes in rent stabilization laws or the interpretation or application of such laws from time to time may reduce the amount of rent that AESIF ELTIF would otherwise be permitted to charge at one or more properties of AESIF ELTIF, which would likely reduce returns to the Limited Partners. In addition, investment in these properties presents greater risk of disputes and legal proceedings.

Risks Associated with Commercial Real Estate Investments.

AESIF ELTIF may invest in commercial real estate properties. Commercial real estate properties tend to be unique and are difficult to value. In addition, commercial real estate properties, particularly industrial and warehouse properties, are generally subject to relatively greater environmental risks than non-commercial properties and to the corresponding burdens and costs of compliance with environmental laws and other regulations. Commercial mortgage lenders typically look to the debt service coverage of a loan secured by income-producing property as an important measure of the risk of default on such a loan. Commercial property values and net operating income are subject to volatility, which may result in net operating income becoming insufficient to cover debt service on the related mortgage loan. The repayment of loans secured by income-producing properties is typically dependent upon the successful operation of the related real estate project rather than upon the liquidation value of the underlying real estate.

Risks Associated with Triple- and Modified-Net Leases.

AESIF ELTIF may invest in commercial real estate consisting of properties that are triple- and modified-net leases. The failure of the applicable tenant to satisfy its obligations under the lease will likely adversely affect the condition of the real estate. Where the real estate is leased pursuant to a triple-net lease, the tenant generally pays all insurance, taxes, utilities, common area maintenance charges, maintenance and repair expenses and indemnifies, defends and holds the landlord harmless from and against various claims, litigation and liabilities arising in connection with its business, including any environmental liabilities. There can be no assurance that the tenant under a triple- or modified-net lease will have sufficient assets, income and access to financing to enable it to satisfy its payment obligations under the lease. The inability or unwillingness of the tenant to meet its rent obligations or to satisfy its other obligations, including indemnification obligations, could materially adversely affect the business, financial position or results of operations of AESIF ELTIF. Furthermore, the inability or unwillingness of the tenant to satisfy its other obligations under the lease, such as the payment of insurance, taxes and utilities, could materially and adversely affect the condition of the real estate.

Risks Associated with Lease Rates Over Time.

AESIF ELTIF may receive income from investments with long term net leases, which generally provide the tenant greater discretion in using the leased property than ordinary property leases, such as the right to freely sublease the property, to make alterations in the leased premises and to terminate the lease prior to its expiration under specified circumstances. Furthermore, net leases typically have longer lease terms and, thus, there is an increased risk that contractual rental increases in future years will fail to result in fair market rental rates during those years. If AESIF ELTIF does not accurately judge the potential for increases in market rental rates when negotiating these long term leases, significant increases in future property operating costs, to the extent not covered under the net leases could result in AESIF ELTIF receiving less than fair value from these leases. As a result, income to and distributions from AESIF ELTIF could be lower than they would otherwise be if AESIF ELTIF did not engage in long term net leases.

Equipment Leasing.

AESIF ELTIF may invest (directly or indirectly) in businesses involved in equipment leasing. In cases of a non-performing lessee, there are considerable costs associated with terminating leases and retrieving hard assets that can disrupt and reduce cash flow. These risks may be exacerbated in the case of lessee bankruptcy. Further, it may be difficult to re-lease or sell retrieved equipment, depending on market conditions, especially if such equipment is outdated or has been misused. In a loan against equipment transaction, also known as a sale-lease back, equipment is sold on paper by the seller and leased back. The seller obtains working capital and keeps the equipment. As with equipment leasing, there are considerable costs associated with terminating such loans and retrieving hard assets in the event that a borrower fails to make timely payments on the loan. Further, the value of the subject equipment will decline over time as a result of use by the borrower, reducing the value of the collateral backing the loan and increasing the risk that AESIF ELTIF will lose money in the event of borrower default.

Risks Related to Royalty Investments.

AESIF ELTIF may invest in royalties and other contractual cash flows, particularly in the music, film, television and pharmaceutical industries. In general, royalties are cash payments made to the holder of intellectual property. Royalty payments are commonly based on a percentage of sales and are governed by legal contract. Therefore such investments will depend in part on the success of the underlying products (the “**Products**”) related to such investments. There are a number of risks associated with royalty investments, including, but not limited to, sales risk, withdrawal risk, product competition, misaligned incentives with licensees, regulatory risk, and manufacturing and supply risk. To the extent any such risks adversely affect sales of Products, potential returns

to AESIF ELTIF will, in turn, be adversely affected. For example, sales from Products may be lower than their historical levels or lower than the amounts projected due to pricing pressures, insufficient demand, product competition, lack of market acceptance, obsolescence, safety or efficacy issues, loss of patent protection and/or other factors. Further, a Product may be subject to withdrawal from the market at the request or direction of any applicable U.S. or non-U.S. regulatory body due to safety, regulatory or other concerns. The manufacturer or marketer of a Product may voluntarily withdraw the Product from the market for medical, technical, regulatory, copyright, commercial or other reasons. There can be no assurance that a Product will not be withdrawn by the manufacturer or marketer, on its own, or at the request or direction of or any regulatory body. The occurrence of any such risks may result in losses to AESIF ELTIF.

Non-performing Loans (“NPLs”).

AESIF ELTIF’s Investments may include investments in non-performing and sub-performing loans which may involve workout negotiations, restructuring and the possibility of foreclosure. These processes can be lengthy and expensive. Many of the NPLs will have been underwritten to “subprime” “Alternative A-Paper” or “expanded” underwriting guidelines. These underwriting guidelines are different from and, in certain respects, less stringent than the other general underwriting standards employed by originators. For example, these loans may have been originated to borrowers that have poor credit or that provide limited or no documentation in connection with the underwriting of the mortgage loan. Such loans present increased risk standards of delinquency, foreclosure, bankruptcy and loss than prime mortgage loans. An originator generally originates mortgage loans in accordance with underwriting guidelines it has established and, in certain cases, based on exceptions to those guidelines. These guidelines may not identify or appropriately assess the risk that the interest and principal payments due on a mortgage loan will be repaid when due, or at all, or whether the value of the mortgaged property will be sufficient to otherwise provide for recovery of such amounts. To the extent exceptions were made to an originator’s underwriting guidelines in originating an NPL, those exceptions may increase the risk that principal and interest amounts may not be received or recovered and compensating factors, if any, which may have been the premise for making an exception to the underwriting guidelines may not in fact compensate for any additional risk. NPLs may be secured by investor or commercial properties which would not be used as the borrower’s primary residence or second home. Because the borrower is not living on the property, the borrower may be more likely to default on the mortgage loan than on a comparable mortgage loan secured by a primary residence, or to a lesser extent, a second home. Part of AESIF ELTIF’s strategy in acquiring NPLs may involve making NPL modifications to reduce delinquencies and the risk of borrower default and, ultimately, to maximize the value of the NPL. Modifications may include permanently or temporarily reducing or otherwise changing the mortgage interest rate, forgiving payments of principal or interest, extending the final maturity date, capitalizing or deferring delinquent interest and other amounts owed under the mortgage loans, deferring principal payments with or without interest, or any combination of these or other modifications. These modifications may reduce the value of the NPL. AESIF ELTIF’s ability to modify NPLs may be limited due to the difficulty in contacting at-risk borrowers or creating modifications acceptable to affected borrowers. AESIF ELTIF may seek to refinance an NPL to realize the greater value from such loan. However, there may be impediments to executing a refinancing strategy for NPLs. For example, many mortgage lenders have adjusted their loan programs and underwriting standards to be more conservative, which has reduced the availability of mortgage credit to prospective borrowers. This has resulted in reduced availability of financing alternatives for borrowers seeking to refinance their mortgage loans. The decline in housing prices may also result in higher loan-to-value ratios and leave borrowers with insufficient equity in their homes to permit them to refinance. To the extent prevailing mortgage interest rates rise, these risks would be exacerbated. The effect of the above would likely serve to make refinancing of NPLs potentially more difficult and less profitable for AESIF ELTIF.

Purchasing or Lending Against Litigation Claims.

AESIF ELTIF may make loans based on anticipated future payments to be received as the result of favorably determined litigation, settlement, or mass tort claims. The results of pending litigation and/or settlements, are inherently uncertain. Lending against pending litigation and/or settlements entails unique risks because there is no guarantee that the relevant litigation will be favorably determined or that the relevant case settlement will be upheld and consummated. If the relevant litigation is determined (in a court or in an out-of-court settlement) in a manner that is adverse to AESIF ELTIF’s interest, or if the relevant settlement is not approved or is overturned, AESIF ELTIF may lose some or all of its Investment. The general risks of litigation debt finance include the potential regulation or limitation of interest rates and other fees advanced in exchange for the investments made by AESIF ELTIF under U.S. federal and/or state regulation, a change in statutory or case law which limits or restricts the ability of AESIF ELTIF as a creditor to collect principal and interest at anticipated levels, claimants

being unsuccessful in whole or in part in the claims upon which underlie such investments and the continued ability of the Manager to effectively analyze investments. Moreover, the underlying cases which AESIF ELTIF may finance may be unsuccessful, take considerable time (whether because of appeals or otherwise) or result in a distribution of cash, new securities or other assets, the value of which may be less than the investment made by AESIF ELTIF. AESIF ELTIF may incur additional costs in effecting a disposal of or realization on any such security or other assets.

Collateralized Securities Generally.

AESIF ELTIF has the ability to invest in Collateralized Securities (as defined below) in general. Collateralized Securities may present risks similar to those of the other types of investments in which AESIF ELTIF may invest and, in fact, such risks may be of greater significance in the case of Collateralized Securities. Moreover, investing in Collateralized Securities may entail a variety of unique risks. Set forth below is a summary of certain of the risks most commonly associated with Collateralized Securities. This summary does not purport to be a complete enumeration or explanation of such risks.

Structured credit products are structured vehicles that are similar to leveraged closed-end funds. Many structured credit products are actively managed by an independent collateral manager (a “**Collateral Manager**”). Structured credit products and other securitization products generally involve the issuance of tranches of securities such as, for example, CLOs or other asset-backed instruments backed by corporate and consumer receivables (both that have and that do not have a CUSIP number) or similar instruments (“**Collateralized Securities**”) by a Securitization Vehicle. Collateralized Securities are generally issued in structured transactions with risks different from regular corporate debt. The tranches of Collateralized Securities senior (in right of payment) to the Residual Tranche (the “**Non-Residual Tranche**”) are generally assigned ratings by one or more rating agencies.

These ratings range from investment grade down to non-investment grade. Generally, the junior-most tranche (i.e., the tranche whose rights to payment are not senior to any other tranche) does not typically receive a credit rating and is typically not secured (and is also typically referred to as subordinated notes, income notes, preferred shares or preferred securities, or, more generally, as “equity”) (the “**Residual Tranche**”). While the Residual Tranche is typically not secured through a formal contractual grant of a security interest by the Securitization Vehicle, such risk is mitigated by the fact that Securitization Vehicles typically contain various restrictions and protections in their indentures or issuance documents that are designed to mitigate the risks related to such status (such as, for example, restrictions on the Securitization Vehicle incurring indebtedness other than as permitted under the indenture or issuance document; restrictions on the Securitization Vehicle generally engaging in any business or activity other than issuing its Collateralized Securities and activities related or incidental thereto; restrictions on the Securitization Vehicle pledging its assets other than as permitted under the indenture or issuance document; prohibitions on holders of Collateralized Securities from petitioning the Securitization Vehicle into bankruptcy until a period of time after its Collateralized Securities have been paid in full; and provisions stating that the Securitization Vehicle’s obligations under the Collateralized Securities are limited recourse obligations payable solely from the Underlying Assets or proceeds thereof, in accordance with the indenture or issuance document), in addition to the right of the Residual Tranche to receive residual amounts remaining after payment of interest on and principal of the Collateralized Securities (and the Securitization Vehicle’s expenses).

The performance of a Collateralized Security will be affected by a variety of factors, including its priority in the capital structure of the issuer thereof, the availability of any credit enhancement, the level and timing of payments and recoveries on and the characteristics of the underlying receivables, loans or other assets that are being securitized (the “**Underlying Assets**”), whether collateral represents a fixed set of specific assets or accounts, remoteness of those assets from the originator or transferor, the adequacy of and ability to realize upon any related collateral and the capability of the servicer of the securitized assets.

In addition, the ability of Securitization Vehicles to sell assets and reinvest the proceeds may be restricted. A Securitization Vehicle may typically dispose of certain of its assets and reinvest the proceeds thereof in substitute assets subject to compliance with its investment guidelines and certain other conditions, including the terms of issuance of its debt securities. The earnings with respect to such substitute assets will depend, among other factors, on reinvestment rates available at the time and on the availability of assets satisfying the investment guidelines and otherwise acceptable to the Collateral Manager. The need to satisfy such guidelines and identify acceptable assets may require the Collateral Manager to purchase substitute assets at a lower yield than those initially acquired or require that the sale proceeds be maintained temporarily which may reduce the yield.

Illiquidity and market value volatility of the Underlying Assets and the Securitization Vehicle’s own investment restrictions may restrict its ability to dispose of Underlying Assets in a timely fashion and for a fair price.

Collateralized Securities may be subject to optional or mandatory redemption under certain circumstances. In certain circumstances, a Securitization Vehicle may amend the indenture or other issuance document relating to its Collateralized Securities without the consent of the holders of those Collateralized Securities (however, the circumstances under which the Securitization Vehicle may do so are generally limited to those prescribed in its indenture or other issuance document, which is generally available for review in advance of a purchase of the related Collateralized Securities). Reliable sources of statistics regarding prepayments, default and recovery rates and market value volatility may not exist for certain Underlying Assets and existing information may not be indicative of future performance. Illustrative cash flows, yields or returns, scenario analyses, expected portfolio composition and other “forward-looking” statements relating to the Collateralized Securities are based on assumptions that are unlikely to be consistent with, and may differ materially from, actual events, and no assurance can be given as to actual results.

The Collateral Manager may have conflicts of interest as a result of its overall investment activities or of its investment professionals and its affiliates. The Collateral Manager’s entitlement to fees may create incentives for it to make decisions that are contrary to the best interests of holders of the Collateralized Securities. The Collateral Manager’s performance history is no guarantee, and may not be indicative, of the Securitization Vehicle’s future results. Because of different portfolio restrictions, structures and market conditions, among other things, the Securitization Vehicle’s performance may differ markedly from that of other vehicles whose Underlying Assets are managed by the same Collateral Manager. No assurance can be given that any particular individual will be responsible for managing the Underlying Assets for any length of time. The loss of key personnel of the Collateral Manager could have a material adverse effect on the Securitization Vehicle and, therefore, its Collateralized Securities.

Interest rate risk is inherent in the structure of Collateralized Securities, including interest rate mismatches between the Securitization Vehicle’s Collateralized Securities and its Underlying Assets, and could adversely affect the Securitization Vehicle’s cash flows. The duration of more subordinated Collateralized Securities will be affected by the average life of more senior Collateralized Securities (which is expected to be shorter than their stated maturity).

The imposition of unanticipated withholding taxes on a Securitization Vehicle’s assets or tax on its net income (as a result of changes in law or other causes) could materially impair the Securitization Vehicle’s ability to make payments in respect of its Collateralized Securities. Holders of Collateralized Securities may be subject to withholding on payments from those Collateralized Securities or forced transfer thereof for failure to provide the related Securitization Vehicle with certain tax information (including, but not limited to, information required under FATCA).

No assurance can ever be given that any Collateralized Securities will be listed on a securities exchange. The Collateralized Securities are not expected to be registered under the 1933 Act and no Securitization Vehicle is (nor is its pool of assets) expected to be registered under the Investment Company Act. Generally, there is less governmental supervision and regulation of exchanges, brokers and Securitization Vehicles in less developed markets.

Structured credit products and other Securitization Vehicles are generally limited-recourse obligations of the issuer payable solely from the Underlying Assets of the issuer or proceeds thereof, and the Collateralized Securities they issue will not be guaranteed by any person. Consequently, holders of Collateralized Securities must rely solely on distributions on the Underlying Assets or proceeds thereof for payment in respect thereof. The distributions on Collateralized Securities generally depend solely upon the amount and timing of payments and other collections on the related underlying collateral, the amount of which is typically established to withstand certain assumed deficiencies in payment occasioned by defaults of the underlying collateral. If any deficiencies exceed such assumed deficiency levels, payments on the related Collateralized Securities could be adversely affected by defaults.

A common feature in Collateralized Securities AESIF ELTIF intends to invest in is that the cash flows generated by the Underlying Assets are used to make payments to holders of Collateralized Securities in sequential order of priority. Distributions on Residual Tranches are generally made only after payment of interest on and principal of the Non-Residual Tranches (and the Securitization Vehicle’s expenses). Although there is generally no interest due on Residual Tranches, distributions may be made to holders of Residual Tranches on each payment date after all of the other required payments are made on such payment date. There can be no assurance that after making such required payments there will be any remaining funds available to pay distributions on, or fully repay principal of, the Residual Tranche. Failure (or increased likelihood of failure) to make distributions on a Residual Tranche could have a material adverse effect on the liquidity and market value of such Residual Tranche. In addition, the

Underlying Assets collateralizing Collateralized Securities are subject to liquidation upon the failure of certain tests, and it is likely that any such liquidation could result in a substantial loss of value on the related Collateralized Securities.

Any investment by AESIF ELTIF in Residual Tranches and, often, an investment in junior and mezzanine Non-Residual Tranches, will represent leveraged investments in the Underlying Assets. Residual Tranches are the most illiquid class of Collateralized Securities and the tranche most likely to suffer a loss. The market value of these investments would be anticipated to be significantly affected by, among other things, changes in the market value of the related Underlying Assets, changes in the distributions on such Underlying Assets, defaults and recoveries on such Underlying Assets, capital gains and losses on such Underlying Assets, prepayment on Underlying Assets and the availability, prices and interest rate of such Underlying Assets. Accordingly, a Residual Tranche may not be paid in full and may be subject to up to 100% loss, followed by the junior-most Non-Residual Tranche and then each Non-Residual Tranche immediately senior to that Non-Residual Tranche until the loss has been fully absorbed. Furthermore, the leveraged nature of each subordinated class may magnify the adverse impact on each such class of the foregoing factors.

Any investment by AESIF ELTIF in Residual Tranches would subject AESIF ELTIF to the “first loss” subordinate holder position. In addition, any investment by AESIF ELTIF in junior and mezzanine Non-Residual Tranches, as well as Residual Tranches, would generally be subordinated to substantial amounts of senior indebtedness, all or a significant portion of which may be secured. Investments in subordinate securities have a higher risk of loss than investments in more-senior securities. If any event of default occurs and more than one class of Collateralized Securities is then outstanding, the controlling class (which will generally be the most-senior class outstanding) will be entitled to determine the exercise of remedies and could pursue remedies that are adverse to the interests of subordinate classes. Accordingly, in the event of a default by the Securitization Vehicle, the remedies available to the holders of Residual Tranches as well as junior and mezzanine Non-Residual Tranches will be substantially less than that of holders of more-senior tranches. In addition, the trustee for the Collateralized Securities will have no obligation to act on behalf of the holders of the Residual Tranche except as expressly provided in the related indenture or other issuance document.

Investment in Reorganizations and Restructurings.

AESIF ELTIF may make investments in restructurings that involve companies that are experiencing or are expected to or may experience severe financial difficulties. These severe financial difficulties may never be overcome and may cause such companies to become subject to bankruptcy proceedings. In such situations, AESIF ELTIF's Investment is subject to the risk that a bankruptcy filing may adversely and permanently impact the value of a company and that high administrative costs may impair the value of the company. In addition, such investments could subject AESIF ELTIF to certain additional potential liabilities that may exceed the value of AESIF ELTIF's original investment therein. For instance, under certain circumstances, payments to AESIF ELTIF and distributions by AESIF ELTIF to the Shareholders may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance, preferential payment or similar transaction under applicable bankruptcy and insolvency laws. Furthermore, investments in distressed companies and restructurings may be adversely affected by statutes relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the court's discretionary power to disallow, subordinate or disenfranchise particular claims.

Having a “blocking position” in a security that is subject to a plan of reorganization or a restructuring entails significant risks if AESIF ELTIF's evaluation of the anticipated outcome of the investment situation should prove incorrect. In addition, an investment in a company involved in a reorganization proceeding or restructuring entails significant risks and may be adversely impacted if AESIF ELTIF's evaluation of the anticipated outcome of the investment situation should prove incorrect. Accurate information pertaining to the true condition of such issuers is frequently difficult to obtain.

Some of the investments AESIF ELTIF will make may require active monitoring and representation on official and unofficial creditors' committees for a company involved in a reorganization proceeding or restructuring. Accordingly, AESIF ELTIF may seek representation on such committees from time to time if the Investment Manager, in its discretion, determines that such representation is necessary or advisable to protect or further AESIF ELTIF's interests. Serving on an official or unofficial committee increases the possibility that AESIF ELTIF will be deemed an “insider” or a “fiduciary” of the company it has so assisted and may restrict AESIF ELTIF's trading of its investments in such company and exposes the person serving on the committee to litigation risks. Should such assistance be provided before a company enters bankruptcy proceedings, the bankruptcy court, under certain conditions such as a finding of fraud or inequitable conduct, may invoke the doctrine of “equitable

subordination” with respect to any claim or equity interest held by AESIF ELTIF in such company and therefore may subordinate any such claim or equity interest in whole or in part to other claims or equity interests in such company. See also “—Risks Arising from Provision of Managerial Assistance” and “—Lender Liability Considerations, Equitable Subordination and Recharacterization” for additional risks relating to serving on such committees.

Risk Related to Financing Liquidity Solutions

AESIF ELTIF may invest with or alongside general partners or managers of private funds in connection with a variety of liquidity and similar solutions in respect of such private funds (the “**Underlying Funds**”). The success of each of such investment is subject in part to those risks which are inherent in buyout, credit, energy, real estate and such other investments undertaken by the Underlying Funds. These risks are generally related to (i) the ability of each of the general partners, and the Underlying Funds they manage and control, to select and manage successful investment opportunities; (ii) the quality of the management of each portfolio company in which the Underlying Funds invest; (iii) the ability of the Underlying Funds to liquidate their investments; and (iv) general economic conditions. There can be no assurance that the investments made by the Underlying Funds will result in attractive rates of return to AESIF ELTIF. AESIF ELTIF will endeavor to negotiate appropriate management and control rights in connection with such investments, including negative controls and approval and information rights but notwithstanding any rights ultimately agreed upon, AESIF ELTIF may have limited ability to protect its position in certain circumstances (other than by exercise of those rights afforded by investors generally); this risk is heightened by the bespoke informational and control arrangements that the Investment Manager expects may be implemented between AESIF ELTIF and counterparties. AESIF ELTIF is not expected to be able to participate in the management and control of the Underlying Funds in which it indirectly holds investments nor of the portfolio companies in which the Underlying Funds have invested, nor will he Fund necessarily have management or control of the general partners. As a result, the returns of the portfolio investments will depend in large part on the performance of the general partners, including in their capacity managing the Underlying Funds. Further, should an Underlying Fund’s general partner become incapacitated or in some way cease to participate in the management of such Underlying Fund, the performance of such Underlying Fund and thus the general partner (and consequently the portfolio investment) could be adversely affected.

ABS, MBS and RMBS Generally.

The investment characteristics of asset-backed securities (“**ABS**”) and mortgage-backed securities (“**MBS**”) differ from traditional debt securities. Among the major differences are that interest and principal payments are made more frequently, usually monthly, and that the principal may be prepaid at any time because the underlying loans or other assets generally may be prepaid at any time.

ABS and MBS Subordinated Securities. Investments in subordinated MBS and ABS involve greater credit risk of default than the senior classes of the issue or series. Default risks may be further pronounced in the case of MBS and ABS secured by, or evidencing an interest in, a relatively small or less diverse pool of underlying loans. Certain subordinated securities absorb all losses from default before any other class of securities is at risk, particularly if such securities have been issued with little or no credit enhancement or equity. Such securities, therefore, possess some of the attributes typically associated with equity investments.

Commercial MBS. Mortgage loans on commercial properties often are structured so that a substantial portion of the loan principal is not amortized over the loan term but is payable at maturity and repayment of the loan principal thus often depends upon the future availability of real estate financing from the existing or an alternative lender and/or upon the current value and salability of the real estate. Therefore, the unavailability of real estate financing may lead to default.

Most commercial mortgage loans underlying MBS are effectively nonrecourse obligations of the borrower, meaning that there is no recourse against the borrower’s assets other than the collateral. If borrowers are not able or willing to refinance or dispose of encumbered property to pay the principal and interest owed on such mortgage loans, payments on the subordinated classes of the related MBS are likely to be adversely affected. A third party servicer and special servicer will typically be appointed by the MBS issuer to exercise the rights of the MBS issuer as a lender and where there is a payment default on the underlying commercial mortgage loans, it will often be the special servicer that is tasked with implementing a strategy to maximise recoveries. The ultimate extent of the losses incurred by holders of MBS, if any, may depend on the ability of the special servicer to implement a successful strategy with respect to the commercial mortgage loans and underlying property portfolio which may include work-outs and/or enforcement. Holders of different classes of MBS are likely to have varying powers and rights with respect to the special servicer and its proposed resolution strategy.

Factors such as the property's location, the legal status of title to the property, its physical condition and financial performance, environmental risks, and governmental disclosure requirements with respect to the condition of the property may make a third party unwilling to purchase the property following an enforcement or to pay a price sufficient to satisfy the obligations with respect to the related MBS. Revenues from the assets underlying such MBS may be retained by the borrower and the return on investment may be used to make payments to others, maintain insurance coverage, pay taxes or pay maintenance costs. Such diverted revenue is generally not recoverable without a court appointed receiver to control collateral cash flow.

ABS. ABS represent a different risk profile to MBS on the basis that these securities may not have the benefit of the same security interest in the underlying collateral. Credit card receivables, for example, are generally unsecured meaning that there is a possibility that recoveries on defaulted collateral may not be available to support payment on these securities and the debtors are often entitled to the protection of consumer credit laws, many of which give such debtors the right to set off certain amounts owed on the credit cards, thereby reducing the balance due.

The collateral supporting ABS is of shorter maturity than certain other types of loans and is less likely to experience substantial prepayments. ABS are often backed by pools of any variety of assets, including, for example, leases, mobile home loans and aircraft leases, which represent the obligations of a number of different parties and use credit enhancement techniques such as letters of credit, guarantees or preference rights. The value of an ABS is affected by changes in the market's perception of the asset backing the security and the creditworthiness of the servicing agent for the loan pool, the originator of the loans or the financial institution providing any credit enhancement, as well as by the expiration or removal of any credit enhancement. Economic and political factors such as prevailing interest rates and levels of employment and taxation are also likely to impact on repayments and default rates on the underlying collateral and therefore the value of the related ABS.

RMBS. Holders of residential mortgage backed securities ("**RMBS**") are exposed to the risks associated with a pool of residential mortgages and as such bear various risks, including credit, market, interest rate, structural and legal risk. Unlike in the United States where a significant proportion of RMBS are issued by US government agencies (most significantly Federal National Mortgage Association (Fannie Mae) and Federal Home Loan Mortgage Corporation (Freddie Mac)) and therefore guaranteed, European RMBS tends to represent unguaranteed payment obligations of the underlying borrowers.

Investment in RMBS is likely to experience the adverse effects of a deterioration in household finances in the jurisdictions in which the underlying borrowers are located. For example, a period of high inflation which began in 2022 and which is continuing in both the United Kingdom and Eurozone has resulted in rising interest rates and low levels of consumer confidence across the affected jurisdictions and this is likely to negatively impact credit performance of UK and European RMBS. The extent of such negative impact will be dependent upon certain factors which may lead to heightened risk, for example, greater exposure to interest-only loans, variable rate mortgage products or borrowers with weak historical performance are all likely to exacerbate any deterioration of credit performance. Other factors such as trends in the labour market in the jurisdiction of the underlying borrowers may also have an impact on investments in RMBS. Whilst mortgage borrowers tend to continue to make monthly payments to the extent that they have the ability to do so, meaning that arrears tend to accrue more slowly than with other types of consumer borrowing, a sustained period of heightened unemployment is likely to result in heightened levels of mortgage defaults over time.

At any one time, a portfolio of RMBS may be backed by residential mortgage loans with disproportionately large aggregate principal amounts secured by properties in only a few jurisdictions or regions. As a result, the residential mortgage loans may be more susceptible to geographic risks relating to such areas, such as adverse economic conditions, adverse events affecting industries located in such areas and natural hazards affecting such areas, than would be the case for a pool of mortgage loans having more diverse property locations. In particular, it should be noted that investing in RMBS in particular European jurisdictions may involve certain esoteric risks as a result of differing market practices. For example, whereas in the United Kingdom mortgage loans are often fixed for a period of two (2) or five (5) years, in Portugal mortgage loans tend to be floating and in France they are typically fixed for their entire tenor. This might mean that where interest rates are rising, deterioration in credit performance would be more pronounced on a portfolio of Portuguese mortgage loans as compared to a portfolio of UK mortgage loans which in turn might suffer from greater deterioration in credit performance compared to a portfolio of French mortgage loans.

Prepayments on the underlying residential mortgage loans backing an issue of RMBS will be influenced by the prepayment provisions of the related mortgage loans and may also be affected by a variety of economic, geographic and other factors, including the difference between the interest rates on the underlying residential

mortgage loans (giving consideration to the cost of refinancing) and prevailing mortgage rates and the availability of refinancing. In general, if prevailing interest rates fall significantly below the interest rates on the related residential mortgage loans, the rate of prepayment on the underlying residential mortgage loans would be expected to increase. Conversely, if prevailing interest rates rise to a level significantly above the interest rates on the related mortgages, the rate of prepayment would be expected to decrease. Prepayments could reduce the yield received on the related issue of RMBS. RMBS are particularly susceptible to prepayment risks, as they generally do not contain prepayment penalties and a reduction in interest rates will increase the prepayments on the RMBS, resulting in a reduction in yield to maturity for holders of such securities.

Infrastructure Debt Investments

While AESIF ELTIF seeks to primarily self-originate investments and provide debt capital to UK and European mid-market companies with a target EBITDA of €10 million + as further described in Section III: “*Investment Information*” of this Annex, AESIF ELTIF also has the flexibility to invest in other infrastructure debt investments. Please refer to the risk factors stated below for more information on the risks associated with such infrastructure debt investments.

Project Financings

Some of AESIF ELTIF’s Investments will be structured on a project finance basis. A project finance structure entails the assumption of “project risk” by equity or debt investors such as AESIF ELTIF, usually without recourse to a project sponsor. Risks may arise in construction due to design and construction flaws. The project may have difficulty locating customers for power or such other commodity that is generated, and projected markets for such items may not materialize. Projects in which AESIF ELTIF invests may experience shortages of skilled personnel. Operations may depend upon government licenses, franchises, and contracts, which may be subject to termination, revocation or modification. AESIF ELTIF’s Investments may be adversely affected by storms and other natural disasters. Operators of projects may be adversely affected by sharp increases in component prices and in some cases limited availability of supplies. Power producers may also be adversely affected by events that affect the creditworthiness of the electric utilities to which they sell power. Regulatory changes may affect or require substantial modifications to key project documents, including power sales, interconnection, and power transmission agreements and other offtake agreements, and may impact tax treatment and profitability.

Use of Debt to Finance Infrastructure Projects

Most infrastructure projects are financed using a high degree of debt measured as a proportion of the total enterprise value. As such, AESIF ELTIF expects that a portion of its Investments will consist of interests in loans originated by banks and other financial institutions. The loans invested in by AESIF ELTIF may include term loans and revolving loans, may pay interest at a fixed or floating rate and may be senior or subordinated. Purchasers of bank loans are predominantly commercial banks, investment funds and investment banks. The value of an investment in AESIF ELTIF may be negatively impaired by either adverse interest rate movements or deterioration in the cashflow available to a project to service projected debt obligations.

The cost and availability of leverage is highly dependent on the state of the broader credit markets, which state is difficult to accurately forecast. During times when credit markets are tight, it may be difficult for a project to obtain or maintain the desired degree of leverage. Leverage often imposes restrictive financial and operating covenants on a project, in addition to the burden of debt service, and may impair its ability to finance future operations and capital needs.

If any project in which AESIF ELTIF is invested cannot generate adequate cashflow to meet debt service, AESIF ELTIF may suffer a partial or total loss of capital invested, which could adversely affect the returns of AESIF ELTIF Fund.

International Investing.

AESIF ELTIF may invest, directly or indirectly, in Underlying Issuers who, at the time of initial investment, are non- European Obligors. Although the Investment Manager believes that investing in these markets may offer significant potential for appreciation and portfolio diversification, prospective investors should recognize that investing in international markets may subject AESIF ELTIF to certain risks not typically associated with investing in assets in the UK and/or Europe. The investor should consider a number of potential risks associated with investments in international markets, including, without limitation: (i) that costs and expenses of investing

in such markets may be higher than in the UK and Europe; (ii) risks of economic dislocations or other adverse economic events in the host country; (iii) differences in their securities markets, including potential price volatility in and relative illiquidity of some international securities markets; (iv) political/sovereign risk arising from government actions (including seizure or nationalization of foreign deposits), trade barriers, exchange controls, different monetary systems, nationalization, expropriation, political changes, economic or social instability (including the risk of sovereign defaults), the risk of war or terrorism or civil unrest; (v) investment and repatriation restrictions arising from laws and regulations limiting or precluding direct foreign investment, foreign ownership restrictions, the possible inability to obtain approval for foreign investment, and unanticipated legal or regulatory changes; (vi) differences in conventions relating to documentation, settlement, corporate actions, stakeholder rights and other matters; (vii) the different accounting, auditing and financial reporting standards, practices and disclosure requirements and potentially less government supervision and regulation; (viii) different legal frameworks, regulatory systems and/or corporate laws regarding stakeholder rights, creditors' rights (including the rights of secured parties), breach of contract actions, fiduciary duties and the protection of investors, and the consequent potential difficulty of obtaining enforceable legal redress; (ix) costs associated with conversion of and limitations on the convertibility of currency, or limitations on the removal of securities, property or other assets of an obligor; (x) currency risk; (xi) regulatory change, and the possibility of expropriation or confiscatory taxation or the imposition of withholding or other taxes on dividends, interest, capital gains, other income or gross sales or disposition proceeds, as well as application of transaction-based taxes such as stamp duty taxes; (xii) the possible imposition of foreign taxes on income, gains and gross sale or other proceeds recognized with respect to such securities or instruments; and (xiii) adverse diplomatic or political developments. While these factors will be taken into consideration in making investment decisions for AESIF ELTIF and AESIF ELTIF will be managed in a manner the Investment Manager believes would minimize exposure to the foregoing risks, there can be no assurance that these risks will be evaluated accurately or that adverse developments with respect to such risks will not adversely affect the value or realization of such investments that are held by AESIF ELTIF.

Risks Relating to the Infrastructure Sector

Most infrastructure assets have unique locational and market characteristics, which could make them highly illiquid or appealing only to a narrow group of investors. Infrastructure investments expose AESIF ELTIF to numerous risks, usually without recourse to the general credit of a project sponsor, including (without limitation) construction, environmental, regulatory, permitting, commissioning, start-up, operating, economic, commercial, contractual, political, innovation, and financial risks. AESIF ELTIF may also invest in early developmental stage projects, involving risks of failure to obtain or substantial delays in obtaining regulatory, environmental or other approvals or permits; financing; and suitable equipment supply, operating and offtake contracts. Finally, AESIF ELTIF will be subject to additional infrastructure sector risks, including (i) the risk that technology employed will be not be effective or efficient; (ii) the risk of equipment failures, fuel interruptions, loss of sale and supply contracts; (iii) changes in power or fuel contract prices, bankruptcy of or defaults by key customers, suppliers or other counterparties, and tort liability; (iv) risk of changes of values of infrastructure sector companies; (v) risks associated with employment of personnel and unionized labor; and (vi) political and regulatory considerations and popular sentiments that could affect the ability of AESIF ELTIF to make such investments on favorable terms. The occurrence of events related to any of the foregoing could have a material adverse effect on AESIF ELTIF and its Investments. There can be no assurance that AESIF ELTIF's Investments will be profitable or generate cash flow sufficient to service their debt or provide a return on or recovery of amounts invested therein. To the extent that AESIF ELTIF invests in assets that are governed by lease or concession agreements with governmental authorities, there is a risk that these authorities may not be able to honor their obligations under the agreement, especially over the long term. Such lease or concession agreements may also contain clauses more favorable to the governmental counterparty than a typical commercial contract and may restrict AESIF ELTIF's ability to maximize cash flows and profitability with respect to the investment. Furthermore, governmental authorities have considerable discretion in implementing regulations that could impact these businesses, and because infrastructure assets provide basic, everyday services, and face limited competition, governments may be influenced by political considerations and may make decisions that adversely affect AESIF ELTIF's Investments.

Risks Relating to Public-Private Partnerships

Target sector investments may be implemented through concession agreements or leases with governmental authorities (whether at the federal, provincial, state, local, municipal or other level), particularly in the target sector of renewable power generation. Bidding on such projects may be subject to public procurement laws. Once contracted, authorities may not honor their obligations under such agreements, especially over the long term, for lack of political will or for budgetary reasons among others. Government leases or concessions may also contain clauses more favorable to the government counterparty than would a typical commercial contract: a lease or concession may enable the government to terminate the lease or concession in certain circumstances without

requiring it to pay adequate compensation. In addition, government counterparties also may have the discretion to change or increase regulations or implement new laws or regulations affecting AESIF ELTIF's operations. Governments have considerable discretion in implementing regulations where such businesses provide basic, everyday services, and face limited competition. As a result, governments may make decisions in respect of infrastructure assets that are politically expedient, but adversely affect AESIF ELTIF's Investments.

Risks of Transmission Constraints and Renewable Penetration Limits

AESIF ELTIF may invest in renewable generation, the production of which is limited in some areas by transmission constraints, and independent system operator concerns over reliability and dependability of intermittent generation in the mix. Further, many sites with the best wind or solar resources, with sufficient land to build a plant, are located some distance from load. While these concerns may negatively impact the development of renewable resources, such risks may drive development of energy storage.

Further, risk exists that demand for and development of renewable energy does not continue to grow as expected, due to low energy costs from fossil or nuclear power sources, local opposition to development, or the inability of the grid to absorb intermittent power in greater quantities, among other reasons.

Competitive Pressures.

The market for assets in the target sectors is competitive. AESIF ELTIF's competitors will include dividend-oriented investment vehicles, diversified energy project owners, private equity funds, investor-owned utility holding companies, strategic investors and companies focused on renewable energy generation. AESIF ELTIF will compete with these companies to acquire interests in projects with projected stable cash flows that can be built in a cost-effective manner. Each portfolio company will also compete with other solar and wind power developers for the limited pool of personnel with requisite industry knowledge and experience. If there are shortages of necessary equipment or components in the future, solar panel, inverter, turbine and other component manufacturers may give priority to other market participants, including AESIF ELTIF's competitors, who may have greater resources.

Other entities could construct new facilities or expand existing facilities that could potentially serve the same markets as one of the portfolio companies in which AESIF ELTIF is invested. Any such new facility could offer services that are more desirable to customers because of locations, rates or other factors. These new facilities could charge rates or provide service to locations that could result in savings for shippers and producers and thereby force a portfolio company to lower the rates charged for services on its services in order to extend existing service agreements or to attract new customers. An increase in the availability of competing alternative facilities or services could result in a significant reduction in a portfolio company's revenue.

AESIF ELTIF will also compete with power companies and the wider market in general, not limited to those focusing on infrastructure debt, for the lowest cost financing. Depending on the regulatory framework and market dynamics of a region, AESIF ELTIF may also compete with other power companies and infrastructure debt energy generators when projects bid on or negotiate for long-term power sale agreements. Natural gas and coal prices tend to be volatile and to drive power prices.

AESIF ELTIF has no control over where its competitors may site competing projects. AESIF ELTIF's portfolio solar energy projects may face competition in local markets from utilities, construction companies or increasingly sophisticated electrical and roofing companies. In addition, competitors may erect wind projects adjacent to wind projects in which AESIF ELTIF is invested that may cause upwind array losses to occur at such wind projects. Upwind array losses reflect the diminished wind resource available at a project resulting from interference with available wind caused by adjacent wind turbines. An adjacent wind power project that causes upwind array losses could have a material adverse effect on AESIF ELTIF's Investments which may in turn impact AESIF ELTIF's business, financial condition and results of operations.

Additionally, forms of energy compete with each other, including solar, wind, geothermal, biopower, natural gas, electricity, coal, hydroelectric power, nuclear power, and fuel oil. The principal elements of competition among alternative forms of energy are based on the existing infrastructure, rates, terms of services, access to supply, emissions and reliability. Such competition could decrease demand for a portfolio company's services in the markets such portfolio company serves.

Further, new innovations and combinations may affect demand for goods or services currently provided in the target sectors. For instance, battery storage may make solar power more competitive, accelerating demand for

both batteries and solar. Separately, ride sharing services might impact individual households' demand for new electric vehicles.

Demand Side Changes

The amount of solar and wind power consumed by the electric utility industry is affected primarily by the overall demand for electricity, environmental and other government regulations and the price and availability of fuels such as nuclear, coal, natural gas and oil as well as other sources of renewable energy. A decline in prices for these fuels could negatively impact the rate of replacement of aging, inefficient fossil resources, cause demand for solar and wind power to decrease and adversely affect the demand for renewable energy. For example, low natural gas prices have led, in some instances, to increased natural gas consumption by electricity-generating utilities in lieu of other power sources. To the extent renewable energy becomes less cost-competitive on an overall basis as a result of a lack of governmental incentives, cheaper alternatives or otherwise, demand for solar and wind power and other forms of renewable energy could decrease. Slow growth in overall demand for electricity or a long-term reduction in the demand for renewable energy could have a material adverse effect on the AESIF ELTIF's investment plans and could, in turn, have a material adverse effect on the results of operations and cash available for distribution.

Risks of Change in Law or Regulation

Infrastructure development and operations are heavily impacted by laws and regulations, including production, generation, supply, operation, and ownership. Changes in the energy markets, network charges or other market rules could negatively impact the grid and projects impacted thereby, including generation facilities and battery storage projects.

AESIF ELTIF must comply with various legal requirements, including requirements imposed by the securities laws, commodities laws, tax laws and pension laws in various jurisdictions. Should any of those laws change, the legal requirements to which AESIF ELTIF may be subject could differ materially from current requirements. Such changes may also adversely affect AESIF ELTIF. Energy and utility regulatory requirements, and the availability of exemptions from power sales rate regulation, from the regulation of investments and of financings in the electric sector, and the tariffs and regulations relating to electrical interconnection all change frequently.

Energy Regulatory Matters

AESIF ELTIF may invest in infrastructure debt projects in the electricity sector, which are subject to laws and regulations, approvals, and compliance requirements regarding electricity production, transmission, and sale. Compliance with the requirements under these various regulatory regimes may cause AESIF ELTIF incur significant costs, and failure to comply with requirements could result in the disconnection and/or shutdown of the noncomplying facility, the inability to sell electricity from the non-complying facility, the default of contracts for the sales to be made from the non-complying facility, defaults under financing agreements, the imposition of liens, fines, refunds and interest, and/or civil or criminal liability.

Risks of Industry Specific Tariffs.

A subcategory of change in law risk, the risk of tariffs on goods particularly from China, currently stands to impact many solar panel and other manufacturers, developers and end users. While it remains to be seen if this risk lessens or spreads to other segments of the industry, the uncertainty and additional costs resulting from the tariffs may impact project development costs, particularly in the solar and wind power industries for the near future.

Change in Government Support (Tax Credits, Net Metering, Tax Rates).

Another subcategory of change in law risk is the revision or repeal of current subsidies or preferential tax treatment. Solar and wind power generation projects have historically benefitted from tax credits and accelerated depreciation, among other incentives. Uncertainty around the future of such benefits (including tax credits, which are currently scheduled to sunset or be reduced in the near future) may slow development in these areas. Additionally, even should these tax credit and accelerated depreciation benefits remain fully in place in their current form, the reduction in the federal corporate income tax rate may lessen the appetite of certain investors for tax favored transactions and investments.

Additionally, some infrastructure projects will derive substantially all of their revenues from tolls, tariffs or other usage fees. Users of the applicable service may react negatively to any adjustments to the applicable rates, or the public may cause relevant government authorities to challenge such rates. In addition, adverse public opinion, or

lobbying efforts by specific interest groups, could result in governmental pressure on a portfolio company or a fund to reduce its rates, or to forego planned rate increases.

Unforeseen Events and Risk of Force Majeure Events

Use of infrastructure assets may be interrupted or otherwise affected by a variety of events outside of the control of AESIF ELTIF, the AIFM or the Investment Manager, including serious traffic accidents, natural disasters (including fire, floods, earthquakes and typhoons), man-made disaster (including terrorism and acts of war), defective design, construction and maintenance, slope failure, bridge and tunnel collapse, road subsidence, fuel prices, environmental legislation or regulation, general economic conditions, labor disputes, public health emergencies and other unforeseen circumstances and incidents. The physical risks of climate change, such as more frequent or more extreme weather events, changes in sea level, temperature and precipitation patterns, ground and surface water availability, and other related phenomena may exacerbate these risks. Certain of these events have affected toll roads, bridges, tunnels and other infrastructure assets in the past, and if the use of the infrastructure asset is interrupted in whole or in part for any period as a result of such events the relevant investment could experience a reduction in revenues, increased costs of maintenance or restoration and loss or reduction of overall public confidence. Such issues, if experienced at the facilities of one or more portfolio companies in which AESIF ELTIF is invested, could adversely impact such portfolio companies' returns or revenues, increase costs to repair and maintain certain systems, subject such portfolio companies to potential litigation and/or damage claims and increase the level of oversight of the transmission and generation operations and infrastructure of such portfolio companies, which may in turn impact AESIF ELTIF. In some cases, project agreements could be terminated if the events described above were so catastrophic that they could not be remedied within a reasonable period or at all.

Extreme weather events, including hurricanes or storms or other natural disasters, could be destructive and result in casualty losses that are not ultimately offset by insurance proceeds or in increased capital expenditures or costs, including supply chain costs. Moreover, an extreme weather event could cause disruption in service to customers due to downed wires and poles or damage to other operating equipment, which could result in a portfolio company foregoing sales of electricity and lost revenue. Similarly, an extreme weather event might affect the availability of generation and transmission capacity, limiting a portfolio company's ability to source or deliver electricity to where it is needed. These conditions, which cannot be reliably predicted, could have an adverse consequence by requiring a portfolio company to seek additional sources of electricity when wholesale markets are tight or to seek to sell excess electricity when those markets are weak. Variations in weather conditions, primarily temperature and humidity, also would be expected to affect the energy needs of customers.

Further, even weather within the normal range can impact production at certain energy power generation facilities, such as solar and wind energy projects. Actual conditions of such a project's location, even after feasibility assessments, may not perform sufficiently to meet projected energy generation levels, which could adversely affect AESIF ELTIF.

If solar or wind conditions are unfavorable, revenues from renewable generation facilities may be substantially below expectations. The electricity produced and revenues generated by a solar or wind energy generation facility is highly dependent on suitable solar or wind conditions, as applicable, and associated weather conditions, which are beyond the control of AESIF ELTIF, the AIFM or the Investment Manager. Furthermore, components of generating projects' systems, such as solar panels and inverters, could be damaged by severe weather, such as hailstorms or tornadoes. In addition, replacement and spare parts for key components may be difficult or costly to acquire or may be unavailable. Unfavorable weather and atmospheric conditions could impair the effectiveness of the generating assets or reduce their output beneath their rated capacity or require shutdown of key equipment, limiting the revenues of AESIF ELTIF's portfolio of renewable assets. In addition, climate change may have the long-term effect of changing wind patterns at AESIF ELTIF's projects. Changing wind patterns could cause changes in expected electricity generation. These events could also degrade equipment or components and the interconnection and transmission facilities' lives or maintenance costs.

Additionally, by their very nature as strategic investments, infrastructure debt investments in the target sectors may face greater risks of terrorist acts or political actions, and some of these risks may not be insurable. Risks that are beyond the control of AESIF ELTIF, the AIFM or the Investment Manager, including but not limited to acts of terrorism or related acts of war, natural disaster, hostile cyber intrusions or other catastrophic events, could have a material adverse effect on AESIF ELTIF's business, financial condition and results of operations. The infrastructure debt projects in which AESIF ELTIF invests, as well as the facilities of third parties on which the projects rely, may be targets of terrorist activities, as well as events occurring in response to or in connection with them, that could cause environmental repercussions and/or disrupt the projects' ability to operate and produce

revenue. Strategic targets, such as energy projects, may be at greater risk of future terrorist activities than other domestic targets. Hostile cyber intrusions, including those targeting information systems as well as electronic control systems used at AESIF ELTIF's plants and for the related distribution systems, could disrupt business operations and result in loss of service to customers, as well as create significant expense to repair security breaches or system damage.

Some projects may be located in or near earthquake, fire, and/or flood zones, and certain of AESIF ELTIF's projects and suppliers conduct their operations in the same region or in other locations that are susceptible to disasters. The occurrence of a disaster, such as an earthquake, drought, flood or localized extended outages of critical utilities or transportation systems or any critical resource shortages, affecting AESIF ELTIF's Investments or their suppliers, could interrupt AESIF ELTIF's business, damage or destroy its facilities or those of its suppliers or the manufacturing equipment or inventory of its suppliers.

Any terrorist acts, environmental repercussions or disruptions or natural disasters could result in a significant decrease in revenues or significant reconstruction or remediation costs, beyond what could be recovered through insurance policies, which could have a material adverse effect on AESIF ELTIF's business, financial condition and results of operations.

Availability of Insurance

Certain losses of a catastrophic nature, such as wars, earthquakes, typhoons, hurricanes, terrorist attacks, floods, pandemics or other similar events, may be either uninsurable or insurable at such high rates that to maintain such coverage would cause an adverse impact on the related AESIF ELTIF Investments. In general, losses related to terrorism are becoming harder and more expensive to insure against. Some insurers are excluding terrorism coverage from their all-risk policies. In particular, the projects in which AESIF ELTIF will invest face risks inherent in the digital, energy, transportation, and utilities sectors. They will be exposed to public security, equipment, infrastructure, disaster, and environmental risks. Insurance policies may not cover losses as a result of force majeure. In addition, while a portfolio company's insurance policies for some of its projects may cover losses as a result of certain types of natural disasters, terrorist attacks or sabotage, among other things, such coverage is not always available in the insurance market on commercially reasonable terms and is often capped at predetermined limits, such as by offering significantly limited coverage against terrorist acts for additional premiums, which can greatly increase the total costs of casualty insurance for a property, if decided to be obtained. As a result, all AESIF ELTIF Investments may not be insured against terrorism or certain other risks. In addition, a portfolio company's insurance policies are subject to annual review by its insurers and may not be renewed on similar or favorable terms or at all. A serious uninsured loss or a loss significantly exceeding the limits of a portfolio company's insurance policies could have a material adverse effect on its business, financial condition and results of operations, such as losing both invested capital in and anticipated profits from the affected AESIF ELTIF Investments. In general, the Investment Manager will not have discretion as to the type and level of coverage to obtain, or whether to obtain insurance at all.

Negative Publicity

AESIF ELTIF's investment strategy may include the making of investments in companies that receive a high degree of media coverage. Negative or unfavorable publicity regarding a company's product, product quality, litigation, or regulatory activity, or regarding the actions of third parties with whom it has relationships could seriously harm a company's brand, reputation and business. In addition, events in a company's industry, even if unrelated to such company, may negatively affect its brand, reputation and business. As a result, such negative or unfavorable publicity may adversely impact the company's and/or AESIF ELTIF's reputation, and may result in material adverse consequences to AESIF ELTIF's investment in the company and, potentially, AESIF ELTIF's ability to execute its investment strategy.

Business Risk

Like any other business, the viability of an infrastructure asset is reliant on the revenue, costs and profitability of that asset. Variability in any of these factors will affect the value of an Investment. These risks are particularly acute for construction ready investments that lack established revenue and profitability track records.

Infrastructure assets can often experience gradually increasing or fluctuating patronage in the early years of operation, and there is also a risk that the demand for use of the asset may be less than originally projected.

Operational Risk and Technology

AESIF ELTIF may invest in operating infrastructure facilities. Operation of such facilities involves certain operational risks, which include: the possibility of performing below expected levels of output, availability or efficiency; interruption in fuel or other necessary supplies; increases in the cost of necessary supplies; disruptions in the offtake of energy or other production; power shutdowns; breakdown or failure of equipment or processes; accidental discharges of hazardous materials; labor disputes; changes in law; failure to obtain or maintain necessary governmental permits; or catastrophic events such as fires, earthquakes, lightning, explosions, hurricanes, tornados, floods or similar occurrences affecting a facility owned by a portfolio company of AESIF ELTIF or its offtaker or other project counterparties. Environmental factors such as levels of solar irradiation, wind power, and flood levels all may affect various renewable energy production.

Most infrastructure assets are operated and maintained by external parties under contractual relationships. Poor operational and maintenance performance by these third parties may have a negative effect on the value of an Investment. Demand, usage and throughput risk can affect the performance of portfolio companies. To the extent that assumptions regarding the demand, usage and throughput of assets prove incorrect, returns to AESIF ELTIF could be adversely affected.

There is a risk that unforeseen factors may require capital expenditures in excess of forecasts and a risk that new or additional regulatory requirements, safety requirements or issues related to asset quality and integrity may result in the need for additional capital expenditure for replacement or reinforcement of infrastructure assets.

Environmental and Other Regulatory Risk

The operations of some portfolio companies may be subject to numerous statutes, rules and regulations relating to environmental protection.

There is a possibility of existing or future environmental contamination, including soil and groundwater contamination, as a result of the spillage of hazardous materials or other pollutants. Under various environmental statutes, rules and regulations of the appropriate jurisdiction, a current or previous owner or operator of real property may be liable for non-compliance with applicable health and safety requirements and for the cost of investigation, monitoring, removal or remediation of hazardous materials. These laws often impose liability whether or not the owner or operator knew of, or was responsible for, the presence of hazardous materials.

The presence of these hazardous materials on a property could also result in personal injury, property damage or similar claims by private parties. Persons who arrange for the disposal or treatment of hazardous materials may also be liable for the costs of removal or remediation of those materials at the disposal or treatments facility, whether or not that facility is or ever was owned or operated by that person. Any liability of portfolio companies resulting from non-compliance or other claims relating to environmental matters could have a materially adverse effect on the value of the AESIF ELTIF's Investments in those companies.

Additionally, in recent years, a growing concern has emerged nationally and internationally about global climate change and how greenhouse gas emissions ("GHGs"), such as CO₂ and methane, contribute to global climate change.

Changes in these laws, policies, or regulations, or changes in the interpretation or application of existing laws, policies, and regulations that modify the present regulatory environment, could also have an adverse effect on AESIF ELTIF's Investments.

Construction and Project Management

Investments in construction ready or development-stage infrastructure assets may result in exposure to the risk that construction will not be completed on time, within budget or to specifications. Such risks may include geological problems and difficulties in obtaining (i) regulatory, environmental or other approvals or permits; (ii) financing; and (iii) suitable equipment supply, operating and offtake contracts, any of which could give rise to delays or costs overruns. A material delay or increase in costs could significantly impair the financial viability of an infrastructure investment project and result in a material adverse effect on AESIF ELTIF's Investments. Similar risks may also apply to operational assets in relation to any development works conducted. The revenue and cost implications of this risk may adversely impact the value of an Investment. Furthermore, market conditions may change during the course of development that make such development less attractive than at the time it was commenced. In addition, there are risks inherent in the construction work that may give rise to claims or demands against a portfolio company from time to time.

Project Development Risk

The successful development of projects and the operations of companies in which AESIF ELTIF may invest may depend on adequate infrastructure being available (or being developed) and remaining available. These projects and companies may be located in areas that are sparsely populated and difficult to access. Reliable roads, power sources, transportation infrastructure and water supplies are essential for the conduct of project development and operations and the availability and cost of these utilities and infrastructure affect capital and operating costs. Unusual weather or other natural phenomena, sabotage or other interference in the maintenance or provision of such infrastructure could impact the development of a project, reduce production volumes, increase extraction or exploration costs or delay the transportation of raw materials to the mines and projects and commodities to end customers. Any such issues arising in respect of the infrastructure may materially and adversely impact an investment by AESIF ELTIF.

Technical Risk

Investments in the infrastructure industry may be subject to technical risks, including the risk of mechanical breakdown, spare parts shortages, failure to perform according to design specifications and other unanticipated events which adversely affect operations. While the Investment Manager intends to seek investments in which creditworthy and appropriately bonded and insured third parties bear much of these risks, there can be no assurance that any or all such risks can be mitigated or that such parties, if present, will perform their obligations.

Health and Safety Risk

The employees and staff of infrastructure businesses are exposed to health and safety risks that could result in death, permanent disability or other serious injury that may disrupt the operations of AESIF ELTIF's portfolio companies, lead to economic loss, litigation or penalties for regulatory or contractual non-compliance, and may also adversely impact the reputation of portfolio companies and AESIF ELTIF. Moreover, any loss from such events may not be recoverable under relevant insurance policies.

Sovereign and Regulatory Risk

The concessions of certain portfolio companies may be granted by government bodies and are subject to risks, including the risk that the relevant government bodies will exercise sovereign rights and take actions contrary to the rights of AESIF ELTIF or the relevant portfolio company under the relevant concession agreement. There can be no assurance that the relevant government bodies will not legislate, impose regulations or change applicable laws or act contrary to the law in a way that would materially and adversely affect the business of the portfolio companies.

In many instances, the acquisition of infrastructure assets involves an ongoing relationship with a government agency. The nature of the arrangements can expose owners to a higher level of regulatory control than typically imposed on other businesses. The repealing, amending or enacting of a new law or regulation (or a new interpretation of the law or regulation) can substantially affect an infrastructure project.

Many of the portfolio companies may be subject to substantial regulation by governmental agencies. In addition, their operations may rely on government permits, licenses, concessions, leases or contracts that are generally very complex and may result in a dispute over interpretation or enforceability. If portfolio companies fail to comply with these regulations or contractual obligations, they could be subject to monetary penalties or may lose rights to operate the affected business, or both.

The leases or concessions may also contain clauses more favorable to the government counterparty than a typical commercial contract. For instance, a lease or concession may enable the government to terminate the lease or concession in certain circumstances without requiring the payment of adequate compensation. Government counterparties also may have the discretion to change or increase regulation of portfolio company operations, or implement laws or regulations affecting their operations, separate from any contractual rights they may have. Governments have considerable discretion in implementing regulations that could affect the businesses carried on by portfolio companies, and because such businesses provide basic, everyday services, and face limited competition, governments may be influenced by political considerations and may make decisions that adversely affect such businesses.

Where a portfolio company is the sole or predominant service provider in its service area and provides services that are essential to the community, it may be subject to rate regulation by governmental agencies that will determine the prices it may charge. Portfolio companies may be subject to unfavorable price determinations that

may be final with no right of appeal or which, despite a right of appeal, could result in profits being negatively affected.

Risks Related to Investments in Other Ares Funds and Funds and Vehicles Managed by Third-Party Managers

Illiquid Investments of Portfolio Funds.

Generally, investments made in Other Ares Funds and Funds and Vehicles Managed by Third-Party Managers (each, a “**Portfolio Fund**”) will be subject to legal or other restrictions on transfer or will be investments for which no liquid market exists. Such restrictions may result in AESIF ELTIF being limited or otherwise prohibited in its ability to sell all or some of its investment in the Portfolio Funds at the times, or in the amounts and on the terms and/or conditions preferred by AESIF ELTIF. These limitations, in turn, may limit the ability of the Shareholders to liquidate their investments in AESIF ELTIF. Further, there can be no assurance that any Portfolio Funds will be able to dispose of their investments in a timely manner or on favorable terms. As a consequence, a Portfolio Fund may not be able to sell its investments when it desires to do so or to realize what it perceives to be the fair value of the investment in the event of a sale.

Secondary Market Purchases; Pooled Investments in Secondary Investments.

AESIF ELTIF may, directly or indirectly (including, for the avoidance of doubt, through Portfolio Funds held by it), invest in Portfolio Funds that have completed their closings by purchasing an interest in each such Portfolio Fund from unaffiliated parties in the secondary market (a “**Secondary Market Interest**”). In such instances, as AESIF ELTIF (or the relevant Portfolio Fund held by it) will not be acquiring such interests directly from the relevant Portfolio Fund, it is generally not expected that AESIF ELTIF (or the relevant Portfolio Fund held by it) will have the opportunity to negotiate the terms of the interests being acquired, other than the purchase price, or other special rights or privileges. There can be no assurance as to the number of secondary investment opportunities that will be presented to AESIF ELTIF (or the relevant Portfolio Fund held by it).

Such Secondary Market Interests may present additional risks such as difficulty in valuing the existing investments of the Portfolio Fund or the possibility that the acquired Secondary Market Interest may be subject to contingent liabilities resulting from activity that transpired prior to the purchase of such Secondary Market Interest (e.g., an indemnification obligation in respect of an act or omission occurring prior to the date of the purchase of such Secondary Market Interest). Further, the purchase or sale of a Secondary Market Interest may be subject to the consent of the general partner or investment manager of such Portfolio Fund or otherwise on behalf of the Portfolio Fund and other qualification requirements and/or conditions may make such purchase more difficult or, ultimately, prevent it. Additionally, in many cases, AESIF ELTIF (or the relevant Portfolio Fund held by it) may have the opportunity to acquire a portfolio of investment funds from a seller on an “all or nothing” basis.

Certain of the investment funds in the portfolio may be less attractive than others, and certain of the sponsors of such investment funds may be more familiar to the Ares Secondaries Group (as defined below) than others or may be more experienced or highly regarded than others. In such cases, it may not be possible for AESIF ELTIF (or the relevant Portfolio Fund held by it) to carve out from such purchases those investments which the Investment Manager considers (for commercial, tax, accounting, legal or other reasons) less attractive. Similarly, AESIF ELTIF may not be able to acquire certain interests in a portfolio of investment funds that may be highly attractive for certain legal, tax, regulatory or other similar considerations. In addition, AESIF ELTIF (or the relevant Portfolio Fund held by it) will likely have the opportunity to participate in “stapled secondaries” (e.g., a secondary market purchase of an existing limited partner interest and corresponding commitment to a new fund in formation sponsored by the same investment manager). In certain instances, the purchase of an interest in the new fund may be less attractive than the investment in or related to an existing partnership interest.

Nature of Investments into Funds.

The success of Portfolio Funds is subject to those risks which are inherent in credit and credit-related investments undertaken by such Portfolio Funds. These risks are generally related to (i) the ability of each of the Portfolio Funds to select and manage successful investment opportunities; (ii) the quality of the management of each portfolio company in which the Portfolio Funds invest; (iii) the ability of the Portfolio Funds to liquidate their investments; and (iv) general economic conditions. There can be no assurance that the investments made by the Portfolio Funds will result in attractive rates of return to AESIF ELTIF. AESIF ELTIF will not be able to participate in the management and control of the Portfolio Funds in which it holds investments nor of the portfolio companies in which they have invested. Consequently, AESIF ELTIF will not be able to control the amount or timing of distributions from the Portfolio Funds, which may affect Shareholders’ returns. Further, should any

Portfolio Fund's investment managers in some way cease to participate in the management of such Portfolio Fund, the performance of such Portfolio Fund (and consequently AESIF ELTIF's performance) could be adversely affected.

AESIF ELTIF may invest (i) in Portfolio Funds managed by such Portfolio Funds' respective investment managers and (ii) indirectly, in credit and credit-related investments selected by such investment managers. Although the Investment Manager will attempt to evaluate each Portfolio Fund based on criteria such as the performance history of the Portfolio Fund and its investment manager as well as the Portfolio Fund's investment strategies, the past performance of a Portfolio Fund and its investment manager may not be a reliable indicator of future results. Moreover, AESIF ELTIF will not have the opportunity to evaluate the specific investments made by any Portfolio Fund before they are made and, generally, will have limited or, in some circumstances, no ability to dispose of AESIF ELTIF's investment in a Portfolio Fund, either in the manner or at the time preferred by the Investment Manager, if the Investment Manager is dissatisfied with such Portfolio Fund's performance. Accordingly, the returns of AESIF ELTIF may be impacted by the performance of such investment managers and could be adversely affected by any unfavorable performance.

AESIF ELTIF may invest from time to time in a Portfolio Fund managed by an investment manager in which one or more Ares Secondaries Group Funds holds a non-controlling minority interest. Ares Secondaries Group Funds holds a non-controlling minority interest. For purposes hereof, "**Ares Secondaries Group Funds**" means other investment funds and investment vehicles managed or advised by the Investment Manager or its affiliates. AESIF ELTIF's investment in such a Portfolio Fund may be in the form of a

secondary acquisition or a primary acquisition of interests in the Portfolio Fund. In determining whether AESIF should make such an investment, the Investment Manager will have a conflict of interest. For example, the Investment Manager may have an incentive to cause AESIF ELTIF to make a primary acquisition in the relevant Portfolio Fund in order to increase the management fees and other remuneration of the Portfolio Fund's investment manager, which may indirectly benefit the Ares Secondaries Group Fund that owns an interest in the investment manager and, in turn, indirectly benefit the Investment Manager or its affiliates. Similarly, the Investment Manager or its affiliates may, by virtue of an Ares Secondaries Group Fund's investment in the manager of a Portfolio Fund, benefit from having more or better access to information regarding the Portfolio Fund or its manager, which could benefit AESIF ELTIF in assessing the merits of a secondary acquisition of interests in the Portfolio Fund; however, it could also result in restrictions on AESIF ELTIF's ability to pursue such a transaction.

Moreover, Shareholders will indirectly bear a proportionate share of the fees and expenses of the Portfolio Funds, in addition to its proportionate share of the expenses of AESIF ELTIF. Thus, Shareholders may be subject to higher operating expenses than if such Shareholder invested in the Portfolio Funds directly. In addition, because of the deduction of the fees payable by AESIF ELTIF to the Investment Manager and other expenses payable directly by AESIF ELTIF from amounts distributed to AESIF ELTIF by the Portfolio Funds, the returns to a Shareholder in AESIF will be lower than the returns to a direct investor in the Portfolio Funds (See also "*Multiple levels of Fees and Expense*" above). Fees and expenses of AESIF ELTIF and the Portfolio Funds generally are paid regardless of whether AESIF ELTIF or Portfolio Funds produce positive investment returns. Shareholders could avoid the additional level of fees and expenses of AESIF ELTIF by investing directly with the Portfolio Funds, although access to many Portfolio Funds may be limited or unavailable, and may not be permitted for investors who do not meet the substantial minimum net worth and other criteria for direct investment in Portfolio Funds.

If AESIF ELTIF fails to satisfy capital calls to a Portfolio Fund in a timely manner then, generally, it will be subject to significant penalties, including the complete forfeiture of an Investment in the Portfolio Fund. Any failure by AESIF ELTIF to make timely capital contributions may impair the ability of AESIF ELTIF to pursue its investment program, cause AESIF ELTIF to be subject to certain penalties from the Portfolio Funds or otherwise impair the value of Investments.

Risks Relating to the Use of Leverage by the Portfolio Funds.

Portfolio Funds and their portfolio companies expect to use leverage and incur other indebtedness on a committed, uncommitted, demand or other basis for a variety of purposes, including, but not limited to, acquiring, directly or indirectly, new investments, leveraging existing investments to permit distributions or additional investments, facilitating hedging activities and bridging funding for investments in advance of capital calls. Leverage generally magnifies opportunities for gain and risk of loss from a particular investment, and the magnification of the risk of loss may be substantial. The leverage used by the Portfolio Funds may take the form of indebtedness for borrowed money as well as financial leverage in the form of short sales, forward contracts, options, derivatives, and other

similar transactions, which may expose AESIF ELTIF to greater risks than if the Portfolio Funds did not use leverage. Leverage incurred by a Portfolio Fund could accelerate and magnify declines in the value of an investment. The cost and availability of leverage is highly dependent on the state of the broader credit markets (and such credit markets may be impacted by regulatory restrictions and guidelines), which state is difficult to accurately forecast, and at times it may be difficult to obtain or maintain the desired degree of leverage. Gains made with borrowed funds generally would cause the Portfolio Funds' value to increase faster than without borrowed funds; however, losses incurred with borrowed funds would cause the Portfolio Funds' value to decrease faster and more significantly than without the use of borrowed funds. Money borrowed for the purpose of leveraging investments will also be subject to interest costs as well as financing, transaction and other fees and costs that may not be recovered by returns on the Portfolio Funds' investments or other investment positions taken by the Portfolio Funds. Increased interest rates will increase the costs to obtain leverage.

Portfolio Company Risks.

In addition to the above, the Portfolio Funds in which AESIF ELTIF will invest may invest in portfolio companies that involve a high degree of business or financial risk. The portfolio companies may be start-ups or in an early stage of development, may be distressed or have operating losses or significant variations in operating results and may be engaged in a rapidly changing business with products subject to a substantial risk of obsolescence. The portfolio companies may also include companies that are experiencing, or are expected to experience, financial difficulties which may never be overcome. In addition, they may require substantial additional capital to support their operations, to finance expansion or to maintain their competitive position, or may otherwise have a weak financial condition. Portfolio companies may face intense competition, including competition from companies with greater financial resources, more extensive development, manufacturing, marketing and other capabilities and a larger number of qualified managerial and technical personnel.

Many portfolio companies may be highly leveraged, which may impair the ability of these companies to finance their future operations and capital needs, and which may in turn result in restrictive financial and operating conditions. In addition, in the event that a portfolio company does not perform as anticipated or incurs unanticipated liabilities, high leverage will magnify the adverse effect on the value of the equity of the company and could result in substantial diminution in or the total loss of an equity investment in such company.

Failure by Other Investors to Meet Capital Calls of Portfolio Funds.

AESIF ELTIF, directly or indirectly, may be one of many investors in Portfolio Funds, many of which typically will have capital contribution obligations over an extended period of time. Failure by one or more other investors to meet a capital call of a Portfolio Fund could have adverse consequences for AESIF ELTIF. The Portfolio Fund may be permitted to require AESIF ELTIF and other investors in the Portfolio Fund to contribute additional capital to satisfy the shortfall. If the Portfolio Fund is unable to raise sufficient capital to consummate the proposed investment, the Portfolio Fund's manager may not be able to, among other things, diversify its portfolio, which could adversely affect the performance of such Portfolio Fund and could also result in such Portfolio Fund's investments being concentrated in relatively few assets, industries and regions. Furthermore, such Portfolio Fund may not have sufficient capital to contribute capital to existing portfolio companies necessary to ensure their ongoing financial stability. If multiple investors fail to meet capital calls from a particular Portfolio Fund, such Portfolio Fund could default on its obligations, which could result in the termination of such Portfolio Fund, causing a lower return, or potentially a loss, on AESIF ELTIF's investments.

Termination of a Portfolio Fund.

The governing documents of the Portfolio Funds are expected to include provisions that would enable the general partner, the investment manager, or a majority in interest (or higher percentage) of their investors, under certain circumstances, to terminate such Portfolio Funds prior to the end of their respective stated terms. Termination of a Portfolio Fund may result in a portfolio of immature and illiquid securities being distributed to AESIF ELTIF.

Portfolio Funds May Make Commitments in Excess of Their Capital Commitments.

Portfolio Funds may make commitments to portfolio companies in excess of the total capital committed to such funds. As a result, in certain circumstances, a Portfolio Fund may need to retain distributions from its investments or recall distributions or liquidate certain of its investments prematurely at potentially significant discounts to market value if such Portfolio Fund does not generate sufficient cash flow from its investments to meet these commitments. Likewise, AESIF ELTIF may also be exposed to these risks if AESIF ELTIF does not generate sufficient cash flow to satisfy its recall obligations to its Portfolio Funds.

Contingent Liabilities Associated with Fund Interests Acquired in Secondary Transactions.

In connection with interests purchased by AESIF ELTIF (or the relevant Portfolio Fund held by it) in secondary transactions, AESIF ELTIF may acquire contingent liabilities of the seller of the interest in the Portfolio Fund. More specifically, where the seller has received distributions from the relevant Portfolio Fund and, subsequently, that Portfolio Fund recalls one or more of these distributions, AESIF ELTIF (as the purchaser of the interest to which such distributions are attributable and not the seller) or the relevant Portfolio Fund held by it may be obligated to return monies equivalent to such distributions to the Portfolio Fund. While AESIF ELTIF (or the relevant Portfolio Fund held by it) may, in turn, make a claim against the seller for any such monies so paid to the Portfolio Fund, there can be no assurances that AESIF ELTIF would prevail on such claim.

Limited Availability of Information.

Due to confidentiality considerations, certain potential and/or actual Portfolio Funds may not permit AESIF ELTIF (or the relevant Portfolio Fund held by it) to fully disclose information regarding such Portfolio Fund's investment strategies, risks, prior performance or other information. In addition, certain potential and/or actual Portfolio Funds may provide limited or no information regarding their respective investment strategies or investments. Additionally, information received from the general partners or the investment managers of the Portfolio Funds may not always be accurate or timely. This lack of access to, or the untimeliness or inaccuracy of, information provided by the general partners or investment managers may make it more difficult for the Investment Manager to select, allocate among and evaluate the Portfolio Funds.

Risk Factors Relating to the Shares

AESIF ELTIF is subject to the available supply in its ability to originate or purchase assets on advantageous terms or at all.

The Investment Manager intends to cause AESIF ELTIF to pursue its investments both through origination and acquiring relevant investments on a secondary (non-origination) basis. There can be no assurance that there will be a sufficient number of suitable investment opportunities to enable AESIF ELTIF to invest all of the Subscriptions of the Shareholders in opportunities that satisfy AESIF ELTIF's investment strategy or that any investment opportunities will lead to successful investments by AESIF ELTIF.

SCHEDULE 1

Share Classes of AESIF ELTIF Fund

Class(es)	Currency(ies)	Type of Share: Accumulating/ Distributing Advisory/ Institutional	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption Deduction / Redemption Fee (as applicable)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)	AIFM Fee
A	EUR	Accumulating Advisory	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion) Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Up to 5.00% Redemption Fee	Up to 1.25%	Up to 0.75%	Up to 0.03%
AS	EUR	Accumulating Advisory Distributing Advisory	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion) Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	5.00% Early Redemption Deduction	Up to 1.25%	Up to 0.75%	Up to 0.03%

Class(es)	Currency(ies)	Type of Share: Accumulating/ Distributing Advisory/ Institutional	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption Deduction / Redemption Fee (as applicable)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)	AIFM Fee
B	EUR	Accumulating Advisory	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 1,000,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	5.00% Early Redemption Deduction	Up to 1.25%	Up to 0.50%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
C	EUR	Accumulating Advisory	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 1,000,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	5.00% Early Redemption Deduction	Up to 1.25%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
D	EUR	Accumulating Advisory	Eligible investors who have entered into a discretionary portfolio management mandate with their financial intermediary with automatic rebalancing requirements in relation to a model portfolio and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.	Minimum Subscription Amount: EUR 100,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Up to 5.00% Redemption Fee	Up to 1.25%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				

Class(es)	Currency(ies)	Type of Share: Accumulating/ Distributing Advisory/ Institutional	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption Deduction / Redemption Fee (as applicable)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)	AIFM Fee
E	EUR	Accumulating Advisory	Investors who are employees of Ares, Other Ares Funds and other persons, as approved by the Investment Manager in its discretion.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Up to 5.00% Redemption Fee	0.00%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
G	EUR	Accumulating Advisory	Eligible investors located in certain jurisdictions with delivery versus payment settlement requirements and other categories of investors, in each case as determined by the Investment Manager in its sole discretion and meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Up to 5.00% Redemption Fee	Up to 1.25%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
G1	EUR	Accumulating Advisory	Eligible investors located in certain jurisdictions with delivery versus payment settlement requirements and other categories of investors, in each case as determined by the Investment Manager in its sole discretion and meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 5,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Up to 5.00% Redemption Fee	Up to 2.50%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				

Class(es)	Currency(ies)	Type of Share: Accumulating/ Distributing Advisory/ Institutional	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption Deduction / Redemption Fee (as applicable)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)	AIFM Fee
G2	EUR	Accumulating Advisory	Eligible investors located in certain jurisdictions with delivery versus payment settlement requirements and other categories of investors, in each case as determined by the Investment Manager in its sole discretion and meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Up to 5.00% Redemption Fee	Up to 1.90%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
I	EUR	Accumulating Advisory	Eligible investors who have account-based fee arrangements, known as advisory/wrap accounts, discretionary managed accounts, or comparable fee arrangements with their distributor or other financial intermediary.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Up to 5.00% Redemption Fee	Up to 1.25%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
IS	EUR	Accumulating Advisory	Eligible investors who have account-based fee arrangements, known as advisory/wrap accounts, discretionary managed accounts, or comparable fee arrangements with their distributor or other financial intermediary	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	5.00% Early Redemption Deduction	Up to 1.25%	0.00%	Up to 0.03%

Class(es)	Currency(ies)	Type of Share: Accumulating/ Distributing Advisory/ Institutional	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption Deduction / Redemption Fee (as applicable)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)	AIFM Fee
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
R	EUR	Accumulating Advisory	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Up to 5.00% Redemption Fee	Up to 2.00%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
RS	EUR	Accumulating Advisory	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	5.00% Early Redemption Deduction	Up to 2.00%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
R1	EUR	Accumulating Advisory	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 5,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Up to 5.00% Redemption Fee	Up to 2.25%	0.00%	Up to 0.03%

Class(es)	Currency(ies)	Type of Share: Accumulating/ Distributing Advisory/ Institutional	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption Deduction / Redemption Fee (as applicable)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)	AIFM Fee
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
R1S	EUR	Accumulating Advisory	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 5,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	5.00% Early Redemption Deduction	Up to 2.25%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				
R2S	EUR	Accumulating Advisory	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	5.00% Early Redemption Deduction	Up to 2.50%	0.00%	Up to 0.03%
		Distributing Advisory		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)				

Class(es)	Currency(ies)	Type of Share: Accumulating/ Distributing Advisory/ Institutional	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption Deduction / Redemption Fee (as applicable)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)	AIFM Fee
R LIQID Private Debt NXT	EUR	Distributing Advisory	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion) Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Up to 5.00% Redemption Fee	Up to 1.90%	0.00%	Up to 0.03%

SCHEDULE 2

SUSTAINABILITY-RELATED DISCLOSURES

Introduction

Terms used in this Annex and not otherwise defined below have the meaning given to them in the Prospectus.

Article 8 SFDR – Promotion of Environmental or Social Characteristics

The AIFM considers that AESIF ELTIF is a financial product that promotes, amongst other characteristics, environmental or social characteristics, or a combination of those characteristics but does not have as its objective Sustainable Investment within the meaning of SFDR, and AESIF ELTIF is therefore subject to Article 8 of the SFDR.

Further information with respect to the environmental and social characteristics that are promoted by AESIF ELTIF can be found in the pre-contractual disclosures for Article 8 financial products included in this Annex 3, as well as online at (<https://www.areswms.com/non-us/aesif-eltif>).

As is set out further below, it is expected that the portion of AESIF ELTIF's assets that are invested in direct lending deal structures (as further described in the "*Investment Strategy of AESIF ELTIF*" section of Annex 3: "*Ares European Strategic Income ELTIF*" to the Prospectus) will be invested in alignment with one or more of the environmental and/or social characteristics promoted by AESIF ELTIF. Investments made in relation to other illiquid alternative credit investments or the liquid sleeve of AESIF ELTIF (as further described in the "*Investment Strategy of AESIF ELTIF*" section of Annex 3 "*Ares European Strategic Income ELTIF*" to the Prospectus) are not expected to be used to attain such characteristics.

For the avoidance of doubt, any assets held by AESIF ELTIF (including the Aggregator) solely for the purposes of liquidity management or risk management (including for the hedging of exposures), whether to comply with applicable law or regulation or otherwise, are not subject to the SFDR-related commitments as set out in this Annex 3. The AIFM (and/or its delegate(s)) may cause AESIF ELTIF to hold such assets in its discretion without regard to AESIF ELTIF's commitments for the purposes of SFDR. Consequently, investments made for such purposes do not form part of AESIF ELTIF's asset allocation for the purposes of the disclosures in this Annex 3 and in no way should any of the commitments or other statements made in this Annex 3 be considered to relate to such assets.

Notwithstanding anything herein to the contrary and for the avoidance of doubt, it is not contemplated that the AIFM or the Investment Manager will subordinate AESIF ELTIF's investment returns or increase AESIF ELTIF's investment risks as a result of (or in connection with) the consideration of any environmental or social factors.

Articles 7(2) SFDR - No Consideration of Sustainability Adverse Impacts

At present, the AIFM (and/or its delegate(s)) does not, within the meaning of the SFDR, consider the adverse impacts of its investment decisions on sustainability factors in respect of AESIF ELTIF. The AIFM (and/or its delegate(s)) does not currently do so because, among other reasons, it is continuing to assess the applicable mandatory data collection and disclosure requirements for entities which opt in to considering the principal adverse impacts of their investment decisions, as well as its internal capabilities to comply with such requirements. The AIFM's position on this matter will be reviewed at least annually, and Ares will continue to actively seek to invest in systems and procedures which will enable us, over time, to gather more granular data on the impacts of investment on sustainability factors. As a firm, Ares will also continue its focus on creating long-term value for its investors, the companies in which they invest, and the communities where they live and work.

Article 6(1)(a)&(b) SFDR - Integration of Sustainability Risks and Likely Impact on Returns

The SFDR defines "sustainability risks" as environmental, social or governance events or conditions that, if they occur, could cause an actual or a potential material negative impact on the value of the investment.

The consideration of ESG factors and sustainability risks is, where possible, integrated into the AIFM's and the Investment Manager's investment processes. It is primarily the responsibility of the specific investment team evaluating an investment, along with the other risks which the team considers in line with the particular strategy and investment guidelines for AESIF ELTIF.

In order to ensure that sustainability risks are considered in a systematic manner, investment teams are required wherever practicable to highlight key sustainability considerations at the early stages of proposed investments, and subsequently, wherever practicable, to include sustainability risk assessment information within relevant internal documentation such as papers for investment committees, including wherever practicable by the application of ratings to individual sustainability risks together with overall conclusion ratings. Once investments are made, the Investment Manager continues as part of its portfolio management processes to monitor for sustainability risks. If appropriate for an investment, the AIFM or the Investment Manager may conduct sustainability risk-related due diligence and/or take steps to mitigate sustainability risks and preserve the value of the investment. The AIFM or the Investment Manager generally measure any relevant environmental or social matters using third-party standards, guidelines and metrics, data from Ares' portfolios, company reports and publicly available information, as the AIFM or Investment Manager deems relevant from time to time.

The Firm's policy and the AIFM's and the Investment Manager's approach as described above ensures that sustainability risks are integrated into both investment decision making and portfolio management to the extent that they represent potential or actual material risks to and opportunities for investments made for AESIF ELTIF. As part of that process, the AIFM and/or the Investment Manager have determined that sustainability risks are potentially relevant to the investment returns of AESIF ELTIF, having regard in each case to AESIF ELTIF's strategy and investment guidelines. The AIFM and/or Investment Manager will follow its procedures to identify and mitigate sustainability risks, although there can be no guarantee that they will successfully identify and mitigate all material risks.

With regard to AESIF ELTIF, many or all of the specific investment decisions involved will remain to be made in the future and, accordingly, identification and assessments of risks, including sustainability risks, will necessarily take place on an investment-by-investment basis in accordance with the policy described above.

As of the date hereof, no specific investment decisions have been made for AESIF ELTIF and accordingly the identification and assessments of risks, including sustainability risks, will take place on an investment-by-investment basis as noted above. The AIFM's assessment is that integration of sustainability risks in investment decisions, combined with a diversified portfolio appropriate for AESIF ELTIF in light of its investment objective and strategy, should help mitigate the potential material negative impact of sustainability risks on the returns of AESIF ELTIF, although there can be no assurance that all such risks will be mitigated in whole or in part, nor identified prior to the date the risk materializes.

For further information with respect to the integration of sustainability risks for AESIF ELTIF, please refer to the pre-contractual disclosures set out in this Annex 3, as well as online at: (<https://www.areswms.com/non-us/aesif-eltif>).

The **EU Taxonomy** is a classification system laid down in Regulation (EU) 2020/852, establishing a list of **environmentally sustainable economic activities**. That Regulation does not lay down a list of socially sustainable economic activities. Sustainable investments with an environmental objective might be aligned with the Taxonomy or not.



Characteristic Number (Promoted Characteristic "X")	Environmental and/or Social Characteristic AESIF ELTIF seeks to promote environmental and/or social characteristics by:
1.	Negative Exclusion Screen - Excluding any investments in directly originated illiquid deals in relation to businesses which at the time of AESIF ELTIF's initial investment (and

	as determined by the AIFM in its reasonable opinion, having made reasonable enquiry in good faith): a) derive a majority of revenues from the production or mining of coal; b) derive a majority of revenues from the production, dissemination and/or promotion of pornography; c) derive a majority of revenues from the manufacturing and/or production of cigarettes and/or other tobacco products; d) derive a majority of revenues from the manufacture, production and/or sale of controversial weapons (anti-personnel mines, cluster munitions, chemical weapons and biological weapons); e) have violated the UN Guiding Principles and OECD Guidelines relating to human rights and labour rights and have demonstrated an ongoing failure to take action to address, manage and prevent human rights and labour rights risks in such business's operations; or f) have been (or whose current senior management have been) convicted for violations of anti-corruption and anti-bribery laws and have demonstrated an ongoing failure to take action to address, manage and prevent bribery and corruption risks in such business's operations.
2.	PAI and/or ESG Metric Data Collection and Reporting- Where the AIFM and/or Investment Manager considers appropriate, collecting data from directly originated illiquid lending investee companies and reporting to investors annually on certain principal adverse impact (PAI) metrics and/or ESG metrics (where such data is available*), in each case as at the end of the reporting period: a) Scope 1,2 and 3 GHG emissions and total GHG emissions; b) diversity of board directors of investee companies, including breakdowns by gender (male, female or non-binary) and ethnicity

	(to the extent such details are disclosed by the investee business); c) share of investments in investee companies that are involved in violations of the UNGC principles or OECD Guidelines for Multinational Enterprises; and d) share of companies that have a Code of Ethics or equivalent document. *The AIFM notes that due to the nature of AESIF ELTIF (a directly originated illiquid fund that does not typically take controlling equity positions in the investee businesses) the availability of data for reporting purposes may be limited at times. As such, the AIFM will provide such reporting on a best efforts basis where (in the opinion of the AIFM, acting in good faith) there is sufficient data to report.
3.	Sustainability Performance Targets – In relation to investments in directly originated illiquid deal structures made by AESIF ELTIF, either at the time of making an investment or post-closing of an investment, the AIFM will consider whether or not to offer sustainability performance targets (“SPTs”). Such SPTs will be linked to an ESG related metric such as, for example, greenhouse gas emissions reductions, employee engagement targets, and/or employee training. In the event that a SPT is offered, the investee may pay a lower interest rate if the SPTs are met by reference to the relevant metric and / or the investee may pay a higher interest rate if the SPTs are not met by reference to the relevant metric.

Sustainability indicators measure how the environmental or social characteristics promoted by the financial product are attained.

● *What sustainability indicators are used to measure the attainment of each of the environmental or social characteristics promoted by this financial product?*

In respect of the directly originated illiquid deals that AESIF ELTIF is invested in from time to time, AESIF ELTIF will report on the attainment of the promoted environmental and social characteristics through the following sustianability indicators:

Characteristic Number	Indicator(s)
1.	The value of investments in directly originated illiquid deals on the reference date which are inconsistent with the exclusion.
2.	To the extent that such data is made available to AESIF ELTIF by directly originated illiquid investee companies, AESIF ELTIF will report the following data: a) Scope 1,2 and 3 GHG emissions and total GHG emissions; b) diversity of board directors of investee companies, including breakdowns by gender (male, female or non-binary) and ethnicity (to the extent such details are disclosed by the investee business); c) share of investments in investee companies that are involved in violations of the UNGC principles or OECD Guidelines for Multinational Enterprises; d) share of companies that have a Code of Ethics or equivalent document. Any difficulties with data collection and reporting will be addressed in a narrative format.
3.	(iii) the % of investments in directly originated illiquid deal structures of AESIF ELTIF in relation to which the AIFM (or the Investment Manager) has considered offering such SPTs, and (iv) the number of investments in directly originated illiquid deal structures in relation to which SPTs which have been agreed in principle between the AIFM and the investee business.

- **What are the objectives of the sustainable investments that the financial product partially intends to make and how does the sustainable investment contribute to such objectives?**

N/A.

- **How do the sustainable investments that the financial product partially intends to make, not cause significant harm to any environmental or social sustainable investment objective?**

N/A.

How have the indicators for adverse impacts on sustainability factors been taken into account?

N/A.

How are the sustainable investments aligned with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights? Details:

N/A.

The EU Taxonomy sets out a “do no significant harm” principle by which Taxonomy-aligned investments should not significantly harm EU Taxonomy objectives and is accompanied by specific EU criteria.

The “do no significant harm” principle applies only to those investments underlying the financial product that take into account the EU criteria for environmentally sustainable economic activities. The investments underlying the remaining portion of this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

Any other sustainable investments must also not significantly harm any environmental or social objectives.

Does this financial product consider principal adverse impacts on sustainability factors?



☐ Yes

☒ No

At present, the AIFM (and/or its delegate(s)) does not, within the meaning of the SFDR, consider the adverse impacts of its investment decisions on sustainability factors in respect of AESIF ELTIF. The AIFM (and/or its delegate(s)) does not currently do so because, among other reasons, it is continuing to assess the applicable mandatory data collection and disclosure requirements for entities which opt in to considering the principal adverse impacts of their investment decisions, as well as its internal capabilities to comply with such requirements. The AIFM’s position on this matter will be reviewed at least annually, and Ares will continue to actively seek to invest in systems and procedures which will enable us, over time, to gather more granular data on the impacts of investment on sustainability factors. As a firm, Ares will also continue its focus on creating long-term value for its investors, the companies in which they invest, and the communities where they live and work.

Principal adverse impacts are the most significant negative impacts of investment decisions on sustainability factors relating to environmental, social and employee matters, respect for human rights, anti-corruption and anti-bribery matters.



What investment strategy does this financial product follow?

For details of the investment strategy followed by AESIF ELTIF, please refer to Section III: “*Summary of Terms*” of Annex 3 to the Prospectus. AESIF ELTIF's illiquid sleeve will predominantly target directly originated loans. A portion of this illiquid sleeve will also seek to invest in illiquid alternative credit investments that qualify as ELTIF Eligible Investment Assets. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AESIF ELTIF may also invest in debt and other instruments, including cash and cash equivalents, syndicated leveraged loans, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations, and derivatives.

For the avoidance of doubt, Investments made and cash held for the purposes of liquidity are not subject to AESIF ELTIF's SFDR-related commitments. The primary purpose of such investments and cash holdings is liquidity management and the AIFM and/or Investment Manager holds such positions in its discretion without regard to the AESIF ELTIF's commitments for the purposes of SFDR. Consequently, investments made and cash held for the purposes of liquidity do not form part of AESIF ELTIF's asset allocation for the purposes of these disclosures and in no way should any of the commitments or other statements made in this Schedule be considered to relate to investments made for liquidity purposes. The indirect investments of AESIF ELTIF Fund are described in Section III: “*Investment Information*” of this Annex.

● *What are the binding elements of the investment strategy used to select the investments to attain each of the environmental or social characteristics promoted by this financial product?*

The Investment Manager will apply the Negative Exclusion Screen and apply the abovementioned criteria to exclude any investments in directly originated illiquid deals in relation to businesses which at the time of AESIF ELTIF's initial investment:

- a) derive a majority of revenues from the production or mining of coal;
- b) derive a majority of revenues from the production, dissemination and/or promotion of pornography;
- c) derive a majority of revenues from the manufacturing and/or production of cigarettes and/or other tobacco products;
- d) derive a majority of revenues from the manufacture, production and/or sale of controversial weapons (anti-personnel mines, cluster munitions, chemical weapons and biological weapons);
- e) have violated the UN Guiding Principles and OECD Guidelines relating to human rights and labour rights and have demonstrated an ongoing failure to take action to address, manage and prevent human rights and labour rights risks in such business's operations; or
- f) have been (or whose current senior management have been) convicted for violations of anti-corruption and anti-bribery laws and have demonstrated an ongoing failure to take action to address, manage and prevent bribery and corruption risks in such business's operations.

● *What is the committed minimum rate to reduce the scope of the investments considered prior to the application of that investment strategy?*

N/A.

● *What is the policy to assess good governance practices of the investee companies?*

AESIF ELTIF's use of the Ares ESG Integration Process includes consideration of relevant governance factors. Governance factors are included in the Investment Team's wider ESG assessment which feeds into all final Investment Committee papers. This includes scoping and a non-exhaustive list of guidance questions across various key governance risk factors.

Final Investment Committee papers are also informed by the results of: (i) reports obtained by the AIFM from third party ESG data science providers (whose assessments cover a range of governance issues); (ii) discussions with members of management of potential portfolio companies, including on governance issues; and (iii) where available, governance assessments contained in due diligence reports prepared by private equity or other sponsors of potential investments.

Upon closing an investment, the Investment Team continues to monitor governance related practices via periodic interaction with key stakeholders. Any major updates or violations are reported directly to senior heads of the Investment Team.

What is the asset allocation planned for this financial product?

AESIF ELTIF expects to invest predominantly in investments which are "#1 Aligned with E/S characteristics", being investments made in pursuance of the portion of AESIF ELTIF's assets invested in directly originated illiquid deal structures, as further described in the "*Investment Strategy of AESIF ELTIF*" section of Annex 3 to the Prospectus.

This is on the basis that the AIFM will, in respect of investments that constitute directly originated illiquid deal structures, (i) apply at the outset the Negative Exclusion Screen which will (in the reasonable opinion of the AIFM having made reasonable enquiry in good faith) eliminate deal opportunities in investments that meet certain thresholds, (ii) collect and report (where such data is available) on certain PAI and/or ESG metrics, and (iii) in each case consider whether to offer sustainability linked loans.

Promoted Characteristic 2 (PAI and/or ESG Metric Data Collection and Reporting) focuses on obtaining and reporting relevant data from directly originated illiquid investee companies. Where the AIFM and/or Investment Manager deems appropriate, the AIFM and/or the Investment Manager will request investee companies to report on ESG data. However, the AIFM notes that due to the nature of AESIF ELTIF (primarily a directly originated illiquid fund that does not typically take controlling equity positions in the investee businesses) the ability to mandate the disclosure of such data may be limited. As such, the AIFM will provide reporting as described in Promoted Characteristic 2 on a best efforts basis where (in the opinion of the AIFM, acting in good faith) there is sufficient data to report.

Promoted Characteristic 3 (Sustainability Performance Targets) focuses on offering SPTs to investee companies under the terms of investments made by AESIF ELTIF (thereby causing the investment to be structured as a sustainability ratchet). In relation to directly originated illiquid deals made by AESIF ELTIF, either at the time of making an investment or post-closing of an investment, the AIFM and/or the Investment Manager will consider whether or not to offer SPTs to the investee company. The AIFM and/or the Investment Manager will document its decision in each such case.

Asset allocation
describes the
share of
investments in
specific assets.



Enabling activities directly enable other activities to make a substantial contribution to an environmental objective.

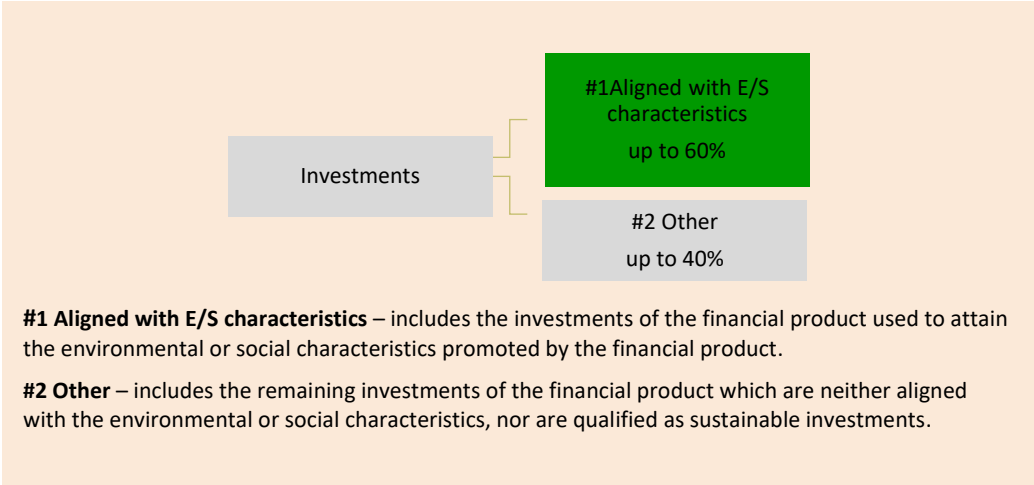
Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels corresponding to the best performance.

Taxonomy-aligned activities are expressed as a share of:

- **turnover** reflecting the share of revenue from green activities of investee companies
- **capital expenditure** (CapEx) showing the green investments made by investee companies, e.g. for a transition to a green economy.
- **operational expenditure** (OpEx) reflecting green operational activities of investee companies. To comply with the EU Taxonomy, the criteria for fossil gas include limitations on emissions and switching to renewable power or low-carbon fuels by the end of 2015. For nuclear energy, the criteria include comprehensive safety and waste management rules.

For the avoidance of doubt, in respect of investments that constitute directly originated illiquid deal structures (which will be at least 60% of total assets), an investment will be treated as "#1 Aligned with E/S characteristics" where it meets two or more of AESIF ELTIF's promoted characteristics.

Investments made in relation to illiquid alternative credit investments (which constitute a portion of AESIF ELTIF's illiquid sleeve) and AESIF ELTIF's debt and other instruments sleeve (as further described in the "Investment Strategy of AESIF ELTIF" section of Annex 3: "Ares European Strategic Income ELTIF" to the Prospectus), will be included under "#2 Other" and are expected to constitute up to 40% of AESIF ELTIF's investments.



● **How does the use of derivatives attain the environmental or social characteristics promoted by the financial product?**

N/A. AESIF ELTIF may use derivatives (directly or indirectly) for risk management purposes, including but not limited to mitigating foreign currency risk, interest rate and/or inflation rate fluctuations. Derivatives are therefore not intended to be used as a direct means of making investments or deploying capital. The use of such derivatives therefore is not included in the calculation of "#2 Other".



To what minimum extent are sustainable investments with an environmental objective aligned with the EU Taxonomy?

All investment decisions made in respect AESIF ELTIF will be taken in accordance with AESIF ELTIF's investment policy and investment objectives. AESIF ELTIF does not commit to making a minimum proportion of investments which qualify as environmentally sustainable under Article 3 of the Taxonomy Regulation and therefore the minimum proportion of investments aligned with Article 3 of the Taxonomy Regulation is 0%.

To the extent that AESIF ELTIF may report that a proportion of investments are Taxonomy-aligned those figures may be derived from public disclosures and/or equivalent information directly obtained from investee companies. In some circumstances complementary assessments and estimates based on information from other sources may also be used. None of these figures are expected to be assured by one or more auditors or reviewed by one or more third parties.

Does the financial product invest in fossil gas and/or nuclear energy related activities that comply with the EU Taxonomy?

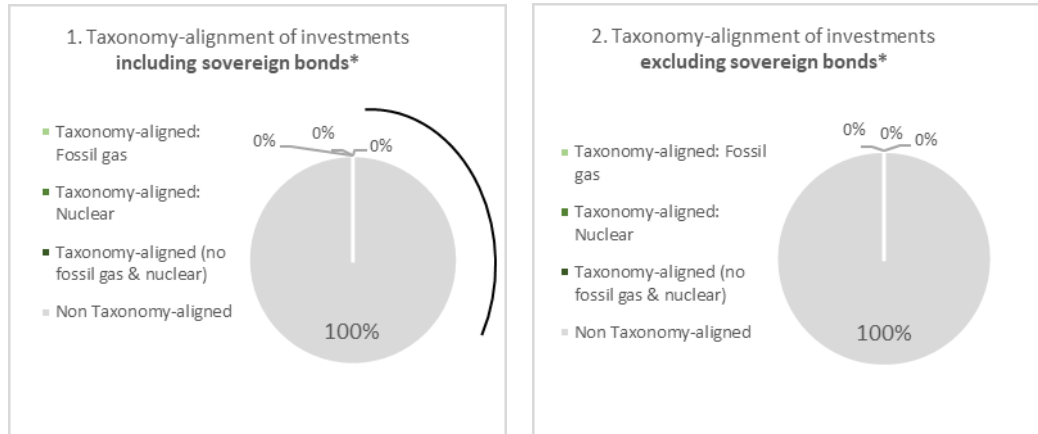
☐ Yes

☐ In fossil gas

☐ In nuclear energy

☒ No

The two graphs below show the minimum percentage of investments that are aligned with the EU Taxonomy. As there is no appropriate methodology to determine the Taxonomy-alignment of sovereign bonds*, the first graph shows the Taxonomy alignment in relation to all the investments of the financial product including sovereign bonds, while the second graph shows the Taxonomy alignment only in relation to the investments of the financial product other than sovereign bonds.



are sustainable investments with an environmental objective that **do not take into account the criteria** for environmentally sustainable economic activities under the EU Taxonomy.

For the purpose of these graphs, “sovereign bonds” consist of all sovereign exposures.

What is the minimum share of investments in transitional and enabling activities?

AESIF ELTIF may make investments in Taxonomy-aligned activities but does not commit to making such an investment and so there is no minimum share of investments in transitional and enabling activities.

What is the minimum share of sustainable investments with an environmental objective that are not aligned with the EU Taxonomy?

N/A.

What is the minimum share of socially sustainable investments?

N/A.

What investments are included under “#2 Other”, what is their purpose and are there any minimum environmental or social safeguards?

AESIF ELTIF may make investments which do not contribute to the attainment of any or all of the promoted characteristics, including illiquid alternative credit investments (which constitute a portion of AESIF ELTIF's illiquid sleeve) or those the investments made as part of AESIF ELTIF's debt and other instruments sleeve as detailed in the

Transitional activities are activities for which low-carbon alternatives are not yet available and among others have greenhouse gas emission levels



“*Investment Strategy of AESIF ELTIF*” section in Annex 3 of the Prospectus. AESIF ELTIF does not intend that investments included under “#2 Other” will be subject to any minimum environmental or social safeguards.

Reference benchmarks are indexes to measure whether the financial product attains the environmental or social characteristics that they promote.



Is a specific index designated as a reference benchmark to determine whether this financial product is aligned with the environmental and/or social characteristics that it promotes?

N/A.

- *How is the reference benchmark continuously aligned with each of the environmental or social characteristics promoted by the financial product?*

N/A.

- *How is the alignment of the investment strategy with the methodology of the index ensured on a continuous basis?*

N/A.

- *How does the designated index differ from a relevant broad market index?*

N/A.

- *Where can the methodology used for the calculation of the designated index be found?*

N/A.



Where can I find more product specific information online?

More product-specific information can be found on the website:
<https://www.areswms.com/non-us/aesif-eltif>.

ANNEX 4

ARES GLOBAL STRATEGIC INCOME FUND

Ares Global Strategic Income Fund (the “**AGSIF Fund**” and together with the Parallel Entities (as defined below), “**AGSIF**”) is a Sub-Fund of AEFS SICAV.

I. DESCRIPTION / OVERVIEW OF AGSIF AND AGSIF FUND

Ares Global Strategic Income Fund Overview

AGSIF seeks to primarily self-originate investments and provide debt capital to U.S., European and Asian-Pacific mid-market companies with a target EBITDA between \$10 million and \$250 million +. AGSIF’s primary focus will be investing in senior secured loans with an emphasis on capital preservation and low return volatility with a dynamic exposure to a broad range of other private credit investments as detailed further herein. AGSIF, through the Other Ares Funds and/or Intermediary Funds it invests, may also invest in securitizations of diversified loan and/or receivables of portfolio companies, provide loans to high quality corporates against cash flows and hard asset collateral and make other investments (primarily in the form of privately negotiated investments in debt securities, loans and/or other credit-related asset but also in the form of equity or quasi-equity securities), with a focus on deep-value assets afflicted by dislocations in pricing and market liquidity. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AGSIF may also invest in debt and other instruments, including cash and cash equivalents, syndicated leveraged loans, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives (the “**Debt and Other Instruments**”).

AGSIF expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds including Ares European Strategic Income Fund, a sub-fund of AEFS SICAV (for the purpose of this Annex, “**AESIF**”), Ares Strategic Income Fund (“**ASIF**”), a Delaware statutory trust management investment company that has elected to be regulated as a business development company (a “**BDC**”) under the Investment Company Act, and Ares Asia Pacific Strategic Income Fund (“**APSIF**”), a segregated portfolio of Ares Asia Pacific Fund Solutions (“**Ares Cayman Fund**”), an exempted company incorporated with limited liability and registered as a segregated portfolio company under the laws of the Cayman Islands which is registered as a mutual fund under the Mutual Funds Act.

AGSIF Fund will invest through a subsidiary established as a Luxembourg special limited partnership (*société en commandite spéciale*) for the purpose of indirectly holding the Investments of AGSIF (the “**AGSIF Aggregator**”). Please refer to Subsection: “*Structure of Investments*” in Section III: “*Investment Information*” of this Annex.

AGSIF Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*” of the General Section of the Prospectus and Section X: “*Risk Factors and Other Considerations*” of this Annex for additional details on the risks associated with an investment in AGSIF Fund.

Investment Strategy of AGSIF¹³

Investment Program –Direct Lending

AGSIF has a flexible mandate allowing it to invest directly or indirectly across the capital structure, with a focus on first lien alongside the ability to invest in second lien and subordinated debt, as well as, to a lesser extent, equity co-investments, and in a number of geographies including the U.S., Europe and Asia-Pacific. Such investments across the capital structure can be made by AGSIF either as single lender or together with a small group of other credit investment firms (“*club deals*”). With this flexible mandate, the Investment Manager believes that it can respond to changing market conditions and dynamically allocate capital and resources to pursue the most attractive risk-adjusted investment opportunities within the capital structure and across its target geographies. This ability to react to cyclical or market changes, the Investment Manager believes, can result in

¹³ AGSIF Fund’s investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period).

attractive risk-adjusted returns across economic cycles. In addition, this relatively broad mandate allows the Investment Team to source more investment opportunities and, the Investment Manager believes, often affords the Investment Team a key differentiation versus its peers, several of which have funds with narrower investment guidelines.

It is also worth noting that the majority of the senior secured assets in Europe and the U.S. are floating rate and, as such, the AGSIF portfolio can expect to see a direct benefit from any central bank base rate increases, as long as the base rate, and any appropriate credit adjustment spread, exceeds the floor in each portfolio company.

The majority of the assets located in Asia-Pacific are expected to primarily consist in performing debt obligations, fixed income securities and other credit instruments issued by relevant portfolio companies, with the remainder of the portfolio allocated to loans to high quality corporates against cash flows and hard asset collateral and other investments.

Please refer to Section III: “*Investment Information*” of this Annex for more information on AGSIF’s investment strategy.

Investment Program – Debt and Other Instruments Sleeve

The Debt and Other Instruments sleeve will consist primarily of syndicated loans and high-yield bonds issued by obligors and issuers domiciled or located in, and primarily operating in, the U.S., Europe and Asia-Pacific. However, the Investment Manager and Sub-Investment Manager may also opportunistically make investments in Debt and Other Instruments, including money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives. The portfolio of Debt and Other Instruments is expected to consist of USD and non-USD denominated assets, and the portfolio will seek to hedge any non-USD denominated currency exposure to USD.

In constructing the Debt and Other Instruments sleeve, the Investment Manager and the Sub-Investment Manager will employ a flexible strategy that seeks to capitalize on relative value opportunities within the below investment-grade corporate universe through disciplined credit selection and active, tactical asset rotation. The portfolio is designed to deliver investors an attractive current yield while taking advantage of shifts in relative value to generate capital appreciation potential while also focusing on capital preservation¹⁴.

The portfolio will be positioned with a defensive posture, with a strong focus on first lien senior secured structures and the less cyclical parts of the market in order to limit downside volatility¹⁵. Consistent with the overall Ares investment philosophy, the portfolio will seek to also employ a fundamental, bottom-up, research-intensive approach to individual credit selection and sources ideas from research analysts, portfolio managers and traders that focus on the credit markets.

The primary source of return in syndicated loans and high-yield bonds will be interest income while a secondary source of return will be capital appreciation. Regardless of asset category, the Investment Manager seeks to generate an attractive level of total return outperformance predominantly through credit selection by taking advantage of mispricings and/or capturing market inefficiencies. Relative to equities and partially attributable to trading on an OTC platform, below investment-grade credit markets are less efficient with respect to reflecting all available information. As such, the investment teams closely monitor investments and industries for developments to obtain what we believe is differentiated information and subsequently quickly communicate any changes in their credit opinions or investment recommendations to portfolio managers.

Investment Objectives

Across its Investments, AGSIF will seek to capitalize on Ares’ scale and reputation in the market as an experienced financing partner to originate and execute investments, and generate attractive risk adjusted returns.

¹⁴ References to “downside protection” or similar language are not guarantees against loss of investment capital or value.

¹⁵ References to “downside protection” or similar language are not guarantees against loss of investment capital or value.

II. SUMMARY OF TERMS

Ares Global Strategic Income Fund	
AEFS Structure:	AEFS SICAV is a multi-compartment Luxembourg investment company with variable capital (<i>société d'investissement à capital variable</i>). AEFS SICAV has an umbrella structure consisting of one or more Sub-Funds.
AGSIF Fund:	AGSIF Fund is an open-ended, commingled Sub-Fund of AEFS SICAV.
AIFM:	Ares Management Luxembourg.
Investment Manager:	Ares Management Limited.
Sub-Investment Manager:	Ares Capital Management II LLC.
Distributions:	The Board of Directors (or its delegate) may declare distributions from time to time. Distributions in relation to Distribution Sub-Class Shares are expected on a monthly basis. AGSIF Fund cannot guarantee that it will make distributions, and any distributions will be made at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class.
Investment Objective and Strategy:	AGSIF seeks to primarily self-originate investments and provide debt capital to U.S., European and Asian-Pacific mid-market companies with a target EBITDA between \$10 million and \$250 million +. AGSIF's primary focus will be investing in senior secured loans with an emphasis on capital preservation and low return volatility with a dynamic exposure to a broad range of other private credit investments as detailed further herein. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AGSIF may also invest in Debt and Other Instruments, including cash and cash equivalents, syndicated leveraged loans, high yield bonds, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives. The AGSIF expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds including ASIF, AESIF and APSIF. AGSIF Fund will invest through the AGSIF Aggregator. The direct and indirect investments of AGSIF are described in Section III: "<i>Investment Information</i>" of this Annex. AGSIF Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: "<i>Risk Factors, Potential Conflicts of Interest and Other Considerations</i>" of the General Section of the Prospectus and Section X: "<i>Risk Factors and Other Considerations</i>" of this Annex for additional details on the risks associated with an investment in AGSIF.
Leverage:	AGSIF Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio (as defined below) to be in excess of 70%, or such lower amounts as mandated by regulation or law as they come into force. AGSIF Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. The AIFM has established a maximum level of leverage for AGSIF Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of AGSIF Fund of 500% and 175%, respectively.

	Please refer to Section III: “ <i>Investment Information—Leverage</i> ” and Section IX: “ <i>Regulatory Considerations—AIFM Directive Leverage</i> ” of this Annex for further details.																										
Share Classes:	The following Classes of Shares are open to Shareholders in AGSIF Fund: <table border="1"> <thead> <tr> <th>Class</th><th>Type of Share</th></tr> </thead> <tbody> <tr><td>A_A</td><td>Accumulation</td></tr> <tr><td>A_D</td><td>Distribution</td></tr> <tr><td>B_A</td><td>Accumulation</td></tr> <tr><td>B_D</td><td>Distribution</td></tr> <tr><td>C_A</td><td>Accumulation</td></tr> <tr><td>C_D</td><td>Distribution</td></tr> <tr><td>D_A</td><td>Accumulation</td></tr> <tr><td>D_D</td><td>Distribution</td></tr> <tr><td>E_A</td><td>Accumulation</td></tr> <tr><td>E_D</td><td>Distribution</td></tr> <tr><td>I_A</td><td>Accumulation</td></tr> <tr><td>I_D</td><td>Distribution</td></tr> </tbody> </table> The Board of Directors (or its delegate) may, at any time, create additional Classes of Shares whose features (including, but not limited, fees and currencies) may differ from the existing Classes of Shares. The complete list of available Classes of Shares may be made available online at the AGSIF Fund’s website (https://www.areswms.com/non-us/agsif), and will be made available at the registered office of AEFS SICAV. Please refer to Section IV: “Share Class Information” of this Annex for additional details on the Classes of Shares offered by AGSIF Fund.	Class	Type of Share	A _A	Accumulation	A _D	Distribution	B _A	Accumulation	B _D	Distribution	C _A	Accumulation	C _D	Distribution	D _A	Accumulation	D _D	Distribution	E _A	Accumulation	E _D	Distribution	I _A	Accumulation	I _D	Distribution
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I _D	Distribution																										
Minimum Subscription:	The Minimum Subscription Amount for each Class of Shares will be as follows: <table border="1"> <thead> <tr> <th>Class of Shares</th><th>Minimum Subscription Amount</th></tr> </thead> <tbody> <tr> <td>Class A Shares, Class E Shares and Class I Shares</td><td>\$25,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> <tr> <td>Class B Shares and Class C Shares</td><td>€250,000,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> <tr> <td>Class D Shares</td><td>\$150,000,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> </tbody> </table>	Class of Shares	Minimum Subscription Amount	Class A Shares, Class E Shares and Class I Shares	\$25,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	Class B Shares and Class C Shares	€250,000,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	Class D Shares	\$150,000,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)																		
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Class D Shares	\$150,000,000 (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)																										
Subscriptions:	In respect of each new Class of Shares, up to the date as may be decided by the Board of Directors (or its delegate) in its discretion (the “ Initial Subscription Period ”), the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion <i>plus</i> applicable Subscription Fees.																										

	After the end of the Initial Subscription Period, subscriptions for Shares of AGSIF Fund will be accepted as of the first calendar day of each month. Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date <i>plus</i> applicable Subscription Fees. A prospective Shareholder must notify AGSIF Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least eleven (11) Business Days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). Subscription price amounts (whether in cash or in kind, as applicable) must be received no later than nine (9) Business Days in advance of the relevant Subscription Date. No interest will be paid on any payments received prior to this deadline. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions—Subscriptions in AGSIF Fund</i>” of this Annex for additional details on AGSIF Fund’s subscription procedures.						
Redemptions:	- Redemptions are expected to be offered each calendar quarter at the NAV per Share calculated as of the last calendar day of the second month of the relevant calendar quarter, provided that no redemption shall occur prior to the First Redemption Date. For the purposes hereof, the “First Redemption Date” means the first Redemption Date falling immediately after a period of twelve (12) months from the end of the Initial Subscription Period (or such earlier date as determined by the Investment Manager in its sole discretion, provided that notice of such earlier date is provided to the Shareholders). As of the date of this Prospectus, the tentatively expected First Redemption Date is March 1st, 2027. - A Shareholder may request to have some or all of its Shares redeemed by AGSIF Fund as of the first calendar day of the last month of each calendar quarter (from and including the First Redemption Date) by submitting a Redemption Request. - Shares held for less than eighteen (18) months will be subject to an Early Redemption Deduction as set out below: <table border="1" data-bbox="619 1256 1385 1509"> <thead> <tr> <th>Class of Shares</th><th>Early Redemption Deduction</th></tr> </thead> <tbody> <tr> <td>Class A Shares, Class B Shares, Class C Shares and Class I Shares</td><td>5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)</td></tr> <tr> <td>Class D Shares and Class E Shares</td><td>0%</td></tr> </tbody> </table> - Redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of 5% of the NAV of the relevant Class of Shares being redeemed (calculated as of the relevant Redemption Date) if such redemption occurs within the first eighteen (18) months of the relevant Shareholder’s initial subscription to such Class D Shares or Class E Shares, as applicable, as determined by the Investment Manager in its sole discretion from time to time. To the extent applicable, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager. - Redemptions are generally limited on an aggregate basis across all Parallel Entities and the AGSIF Aggregator (without duplication) to 5% of such aggregate NAV per calendar quarter (measured as of the last calendar day of the previous calendar quarter). The foregoing limitation on redemptions is based on net redemptions (as defined below) during	Class of Shares	Early Redemption Deduction	Class A Shares, Class B Shares, Class C Shares and Class I Shares	5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)	Class D Shares and Class E Shares	0%
Class of Shares	Early Redemption Deduction						
Class A Shares, Class B Shares, Class C Shares and Class I Shares	5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)						
Class D Shares and Class E Shares	0%						

	the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this Annex. • Redemption Requests (as defined below) must be provided by 5 p.m. Central European Time on the last Business Day of the first month of the calendar quarter in which the Redemption Date falls (the “Redemption Cut-Off Time”). • Settlements of Share redemptions are generally expected to be within ten (10) Business Days after the relevant NAV Release Date <i>provided</i> that this timing may vary depending on when redemption proceeds are actually received by AGSIF Fund from the Intermediary Funds and/or the Other Ares Funds, as applicable. • Redemption Requests may be rejected in whole or in part by the Investment Manager in exceptional circumstances and not on a systematic basis and Redemption Requests may be suspended when deemed to be in the best interests of AGSIF Fund. Please refer to Section V: “Subscriptions, Redemptions and Other Transactions—Redemption of Shares” of this Annex for additional details on AGSIF Fund’s redemption procedures.
NAV Calculation and NAV Release Date:	AGSIF Fund’s monthly NAV as of the last calendar day of each month (each, a “Valuation Date”) will generally be available by the 33rd Business Day after the immediately following Subscription Date (the “NAV Release Date”).
Management Fees:	In consideration for its services with respect to AGSIF Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a Management Fee equal to, for each Class of Shares, up to 1.25% of the NAV of each Class of Shares (except for Class E Shares) per annum. The AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time. Please refer to Section VI: “<i>Fees and Expenses of AGSIF—Management Fee</i>” of this Annex for further details.
AIFM Fees:	In consideration for its services with respect to AGSIF Fund, the AIFM will be entitled to payment of an AIFM Fee equal to, for each Class of Shares, up to 0.03% of the NAV of each Class of Shares per annum. See Section VI: “<i>Fees and Expenses of AGSIF—AIFM Fee</i>” of this Annex for further details.
Performance Participation Allocation:	No Performance Participation Allocation will be charged at the level of AGSIF. However, AGSIF Fund will be subject to its share of any carried interest or other incentive compensation and other expenses of such Intermediary Funds and Other Ares Funds (including for the avoidance of doubt ASIF, AESIF and APSIF).
Fees and expenses charged at the level of Intermediary Funds and Other Ares Funds:	AGSIF Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any portfolio funds, including any Intermediary Funds and Other Ares Funds (including ASIF, AESIF and APSIF, as applicable), in each case to the extent applicable and in accordance with their relevant governing documents. However, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously at the level of AGSIF and Other Ares Funds (including ASIF, AESIF and

	APSIF). Therefore, no Performance Participation Allocation will be charged at the level of AGSIF. While AGSIF may indirectly bear its share of management fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt ASIF, AESIF and APSIF) (in aggregate, the “Underlying Management Fees”), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AGSIF together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: “<i>Fees and Expenses of AGSIF—Management Fee</i>”. See Subsection “Fees and Expenses Charged at the level of Intermediary Funds and Other Ares Funds” of Section VI: “<i>Fees and Expenses of AGSIF</i>” of this Annex for further details regarding the fees indirectly incurred by the AGSIF Fund at the level of the Other Ares Funds.								
Portfolio:	AGSIF expects an allocation of at least 90% of the gross asset value of its investments primarily in illiquid flexible and scaled debt capital to mid-market and large-cap companies, either by making direct investments or by investing directly or indirectly in Other Ares Funds, with the balance intended to facilitate capital deployment, generate income and as an additional potential source of liquidity, in Debt and Other Instruments. AGSIF expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds including ASIF, AESIF and APSIF but will not invest more than 80% of its gross assets in any one Other Ares Fund. Please refer to Section III: “<i>Investment Information</i>” for further details regarding the AGSIF portfolio.								
Ramp-Up Period:	The portfolio allocation targets, investment restrictions and leverage limits will not apply during a ramp-up period of up to four (4) years after the end of the Initial Subscription Period (the “ Ramp-Up Period ”).								
Subscription Fee:	Certain distributors or other financial intermediaries through which a Shareholder was placed in AGSIF Fund may charge such Shareholder upfront Subscription Fees on Shares sold in the offering. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.								
Servicing Fee:	Servicing Fees payable in respect of each Class of Shares will be as follows: <table border="1"> <thead> <tr> <th>Class of Shares</th><th>Servicing Fee</th></tr> </thead> <tbody> <tr> <td>Class A Shares</td><td>Up to 0.85% on NAV per annum.</td></tr> <tr> <td>Class B Shares</td><td>Up to 0.50% on NAV per annum.</td></tr> <tr> <td>Class C Shares, Class D Shares, Class E Shares and Class I Shares</td><td>0.00% on NAV per annum.</td></tr> </tbody> </table>	Class of Shares	Servicing Fee	Class A Shares	Up to 0.85% on NAV per annum.	Class B Shares	Up to 0.50% on NAV per annum.	Class C Shares, Class D Shares, Class E Shares and Class I Shares	0.00% on NAV per annum.
Class of Shares	Servicing Fee								
Class A Shares	Up to 0.85% on NAV per annum.								
Class B Shares	Up to 0.50% on NAV per annum.								
Class C Shares, Class D Shares, Class E Shares and Class I Shares	0.00% on NAV per annum.								
Term:	Indefinite.								
SFDR:	AGSIF Fund is presently characterized as a financial product falling within Article 6 of the SFDR. The present investment strategy of AGSIF Fund does not promote environmental or social characteristics, or have sustainable investments as its objective.								

	The investments underlying this financial product do not consider principal adverse impacts on sustainability factors and do not take into account the EU criteria for environmentally sustainable economic activities. Further information, including with respect to the integration of sustainability risks can be found in Schedule 1: “<i>Sustainability-Related Disclosures</i>” to this Annex 2: “<i>Ares Global Strategic Income Fund</i>”.
Tolerance Threshold in case of NAV Calculation Errors:	The tolerance threshold in case of NAV calculation errors applicable to AGSIF Fund under CSSF Circular 24/856 is 5%.

III. INVESTMENT INFORMATION

Information on AGSIF Investments

The investment information set out below describes the indirect investments of AGSIF Fund held through the AGSIF Aggregator.

Under normal circumstances, AGSIF expects an allocation of at least 90% of its total assets, either directly or indirectly, in directly originated loans which can be issued across the capital structure (with a bias towards first and second lien loans), and other illiquid alternative credit investments. To a lesser extent and in order to facilitate capital deployment, generate income and as an additional potential source of liquidity, AGSIF may also invest in Debt and Other Instruments.¹⁶

During normal market conditions, it is generally not expected that AGSIF will hold more than 10% of its total assets in Debt and Other Instruments for extended periods of time. For temporary defensive purposes, liquidity management or in connection with implementing changes in the asset allocation, AGSIF may hold a substantially higher amount of Debt and Other Instruments.

Each AGSIF's investment, whether held directly or through one or more Intermediate Vehicles, Intermediary Funds, or Other Ares Funds, is referred to as an "**Investment**". For the avoidance of doubt, in applying and interpreting the terms of this Annex, the Investment Manager may, in its sole discretion, determine that Investments do not include Intermediate Vehicles, Intermediary Funds or Other Ares Funds, as the context may require.

The investments in which AGSIF expects to invest directly or indirectly (including, for the avoidance of doubt, through any Intermediary Funds and/or Other Ares Funds) include:

- Bank Loans.

Bank Loans are assignments and/or participations in corporate loans to non-investment-grade borrowers. Typically, each credit facility giving rise to a borrower's loan is secured by a lien on the borrower's assets. Terms generally provide for cash interest payments, based on an interest rate that typically adjusts every one to three months, but may include payment-in-kind terms. These investments may be acquired during the primary offering process and may also be purchased in the secondary market as private instruments. The Investment Manager expects that borrowers typically will have multiple institutional lenders that they will trade with while the borrower is performing at expectation. The senior credit facilities of these borrowers typically aggregate \$100 million or more and can be substantially larger in many cases.

- First lien loans.

These loans generally form the most senior layer of a borrower's capital structure and benefit from a first priority lien on the borrower's assets as well as senior ranking in repayment priority. In some cases, these instruments contain maintenance and/or incurrence covenants, which require the borrower to maintain a base level of performance or limit their ability to incur additional debt. Owing to their priority of claim, collateral support, and structure, first lien loans tend to experience superior recoveries in a bankruptcy.

- Second lien loans.

These loans generally form a transitional layer between first lien secured debt and mezzanine loans and unsecured debt, and are typically secured by a second priority claim on a borrower's assets. In addition, such loans benefit from a senior ranking in repayment priority and may enjoy the same or similar covenant protections as first lien loans. Yields tend to reflect a premium to first lien loans and these instruments may experience some protection with respect to recoveries in a bankruptcy as compared to unsecured debt due to the collateral securing the loan.

- Mezzanine loans.

¹⁶ AGSIF Fund's investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period).

These loans generally form a transitional layer between secured debt and unsecured debt, and may be secured by a second (or where there is a second lien loan, third) priority claim on a borrower's assets. Due to the greater risk associated with such loans as a result of their subordination below senior debt of the borrower, mezzanine lenders may be granted share options or warrants in the borrower which can be exercised in certain circumstances, principally being immediately prior to the borrower's shares being sold or floated in an initial public offering. Some mezzanine obligations may provide that all or a portion of the interest payable thereon will not be paid on a current basis but will defer or be paid on a "payment-in-kind basis." Yields tend to reflect a premium to first lien loans and second lien loans, and these instruments may experience some protection with respect to recoveries in a bankruptcy (as compared to unsecured debt) due to the collateral securing the loan.

- Unsecured loans.

These loans generally benefit from a senior ranking in repayment priority, but not from a lien on a borrower's assets. As such, unsecured loans are contractually subordinated to secured loans with respect to the value of any borrower's assets subject to a lien. Such loans may benefit from the same covenant protection as first and second lien loans, which may afford protection as compared to unsecured bonds of the borrower with inferior covenant terms. AGSIF's investments in unsecured debt securities may include, but are not limited to, senior, junior and unsecured bonds, notes and other debt securities.

- High-Yield Bonds.

These are fixed income securities typically issued by non-investment-grade borrowers, usually at a yield premium to the yield for investment-grade bonds. Terms generally provide for cash interest payments, but may include deferred, zero coupon, or payment-in-kind terms. These investments may be acquired during the primary offering process and may also be purchased in the secondary market as either private securities or publicly registered securities. The Investment Manager expects that these bonds will typically have multiple institutional holders.

Holders of high-yield bonds, as creditors, have a prior legal claim over common and preferred stockholders as to both income and assets of the issuer for the principal and interest due them and may have a prior claim over other creditors but are generally subordinate to any senior secured lenders in the issuer's capital structure.

In most cases these instruments restrict the borrower's ability to incur additional debt or distribute value to its shareholders based upon measurement of agreed financial ratios associated with general credit quality. In addition, terms often limit the borrower's ability to repay or amortize its high-yield bonds, particularly during the initial portion of their contractual tenor. As such, these securities can provide the opportunity for capital appreciation or yield enhancement, especially when the borrower's financial performance is consistent with or superior to expectations, when conditions are favorable in the borrower's industry, or when the general economic environment is positive.

- Secured bonds and notes.

These bonds and notes generally constitute the senior-most layer of a borrower's capital structure and benefit from a lien on the borrower's assets as well as senior ranking in repayment priority. Owing to their claim position and collateral support, secured bonds and secured notes tend to experience superior recoveries in a bankruptcy as compared to unsecured debt due to the collateral securing these instruments. Such bonds and notes may rank *pari passu* in many respects with secured loans.

- Unsecured bonds.

Dependent upon their terms, these bonds can enjoy a senior ranking or subordinated ranking in repayment priority, but do not benefit from a lien on a borrower's assets. Unsecured bonds typically form a layer between a borrower's credit facility and its equity. Yields tend to reflect a premium in respect of a bond's position within a borrower's capital structure.

- Direct Lending Deal Structures.

AGSIF has a flexible mandate allowing it to invest across the capital structure, with a focus on first lien alongside the ability to invest in second lien and subordinated debt, as well as, to a lesser extent, equity co-investments, and in a number of geographies including the U.S., Europe and Asia-Pacific. Such investments across the capital structure can be made by AGSIF either as single lender or together with a

small group of other credit investment firms (“*club deals*”). With this flexible mandate, the Investment Manager believes that it can respond to changing market conditions and dynamically allocate capital and resources to pursue the most attractive risk-adjusted investment opportunities within the capital structure and across its target geographies. This ability to react to cyclical or market changes, the Investment Manager believes, can result in attractive risk-adjusted returns across economic cycles. In addition, this relatively broad mandate allows the Investment Team to source more investment opportunities and, the Investment Manager believes, often affords the Investment Team a key differentiation versus its peers, several of which have funds with narrower investment guidelines.

- **Asset-Backed Lending**

AGSIF, through the Other Ares Funds and/or Intermediary Funds it invests, may invest in securitizations of diversified loan and/or receivables of portfolio companies. Such investments will generally be secured by the cash flow of the relevant portfolio company or a diversified portfolio of assets that generate contractual cash flows. While such investments will generally be structured where the relevant Other Ares Fund receives priority, counterparty(s) are also incentivized with their entitlement to the contractual cash flows, and such investments will generally be structured with covenants, rights and remedies, including seniority claim over the assets and associated cash flows.

While not its primary focus of AGSIF, AGSIF may also invest on an ancillary basis in alternative credit investments that give exposure to retail related borrowing such as consumer loans (on a secondary basis) real estate related investments (including in relation to residential properties and/or infrastructure assets, whether directly or indirectly secured), and (on a primary or secondary basis) loans to general partners or managers of private funds in connection with a variety of liquidity and similar solutions in respect of such private funds (“**Underlying Funds**”).

It is also worth noting that the majority of the senior secured assets are floating rate and, as such, the AGSIF portfolio can expect to see a direct benefit from central bank base rate increases, as long as the base rate, and any appropriate credit adjustment spread, exceeds the floor in each portfolio company.

Subject to the limitations set out in the Articles and applicable laws and regulations, AGSIF may invest in loans or securities, the proceeds of which may refinance, realize or otherwise repay loans or securities of companies whose loans or securities are owned by Other Ares Funds. In addition AGSIF may invest in loans or securities in companies whose loans, securities, economic ownership interests and voting rights are owned by Other Ares Funds. Please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations-Overlapping Investments with Other Ares Funds*” of the General Section of the Prospectus for further information.

AGSIF may, but is not required to, enter into interest rate, foreign exchange or other derivative agreements to hedge interest rate, currency, credit or other risks, but it generally does not intend to enter into any such derivative agreements for speculative purposes. AGSIF will not enter into any short-sale agreements. Any derivative agreements entered into for speculative purposes are not expected to be material to AGSIF’s business or results of operations. Subject to compliance with applicable legal and regulatory requirements, these hedging activities may include the use of futures, options and forward contracts. AGSIF will bear the costs incurred in connection with entering into, administering and settling any such derivative contracts. There can be no assurance any investment in derivative securities including any hedging strategy employed will be successful.

AGSIF’s Investments may exceed and otherwise vary materially from the allocation targets to the directly originated loans, including due to factors such as a large inflow of capital over a short period of time, the Investment Manager’s assessment of the relative attractiveness of opportunities, or an increase in anticipated cash requirements or Redemption Requests and subject to any limitations or requirements relating to applicable law.

Certain Investments (including, without limitation, investments in Other Ares Funds) could be characterized by the Investment Manager, in its discretion, as illiquid or as a Debt and Other Instrument (including, without limitation, publicly traded syndicated leveraged loans and high yield bonds or cash and/or cash equivalents) depending on the terms and characteristics of such Investments.

AGSIF will not make use of SFTs or TRSs, as those terms are defined in the SFTR.

Risk Management Policies in Respect of Loan Participation/Acquisition Activities

The risk management systems or other procedures and measures established by the AIFM, or its delegate, in respect of AGSIF Fund comprise, among others:

- procedures for periodic monitoring and evaluation of the evolution of loan quality in order to determine, as necessary, the appropriate levels of impairment in value of loans; and
- procedures for periodic monitoring of appropriate diversification regarding borrowers (risks associated with e.g. “borrower correlation” or “connected group of borrowers” should be taken into account).

As regards collateral and loan collection/recovery, the following procedures and measures have been established by the AIFM, or its delegate, in respect of AGSIF Fund, among others:

- procedures to verify and ensure the existence, quality and valuation of collateral, if any, until the loan’s maturity date;
- procedures regarding enforcement of collateral arrangements, where applicable, and loan collection/recovery;
- procedures to mitigate maturity transformation.

The risk management systems or other procedures and measures referred to in the subsection may be amended by the AIFM from time to time.

Investment Restrictions of AGSIF Fund

AGSIF Fund will not at any one time directly or indirectly, through the AGSIF Aggregator, invest and hold more than 20% of its NAV in any single Investment as measured at the time of acquisition; *provided* that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the Investment Manager under the oversight of the AIFM, which for the avoidance of doubt will include ASIF, AESIF and APSIF (and may include Other Ares Funds and/or Intermediary Funds). No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring AGSIF Fund within this 20% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of AGSIF or any of its underlying investors.

This 20% diversification requirement will not apply during the Ramp-Up Period.

The Investment Manager may also impose additional limitations in its discretion based on the underlying investors in AGSIF Fund.

Structure of Investments and Investment Objectives of certain Other Ares Funds

Structure of Investments

AGSIF Fund will invest all or substantially all of its assets through the AGSIF Aggregator.

AGSIF Fund may achieve its investment objective either by investing directly into portfolio assets (“**Direct Investments**”) or by investing indirectly into one or more Other Ares Funds that may be held directly or indirectly through Intermediate Vehicles, that may qualify as investment funds and may be managed by third-party managers (“**Intermediary Funds**”).

AGSIF Fund expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in ASIF, AESIF and APSIF but will not invest more than 80% of its gross assets in any one Other Ares Fund.

Investment Objectives of ASIF, AESIF and APSIF

ASIF’s investment objective is to generate current income and, to a lesser extent, long-term capital appreciation. ASIF seeks to invest primarily in first lien senior secured loans, second lien senior secured loans, subordinated secured and unsecured loans, subordinated loans (which in some cases include equity and/or preferred components) and other types of credit instruments which may include commercial real estate mezzanine loans, real estate mortgages, distressed investments, securitized products, notes, bills, debentures, bank loans, convertible and preferred securities, infrastructure debt and government and municipal obligations, made to or

issued by U.S. middle-market companies, which ASIF generally defines as companies with annual EBITDA between \$10 million and \$250 million. As used herein, “**EBITDA**” represents annual net income before net interest expense, income tax expense, depreciation and amortization. ASIF expects that a majority of its investments will be in directly originated loans. For cash management and other purposes, ASIF invests in broadly syndicated loans and other more liquid credit investments, including in publicly traded debt instruments and other instruments that are not directly originated. ASIF primarily invests in illiquid and restricted investments, and while most of ASIF’s investments are expected to be in private U.S. companies (ASIF generally has to invest at least 70% of its total assets in “qualifying assets” including private U.S. companies), ASIF may also invest from time to time in non-U.S. companies. ASIF’s portfolio may also include equity securities such as common stock, preferred stock, warrants or options, which may be obtained as part of providing a broader financing solution. Under normal circumstances, ASIF will invest directly or indirectly at least 80% of its total assets (net assets plus borrowings for investment purposes) in debt instruments of varying maturities.

AESIF seeks to primarily self-originate investments and provide capital to UK and European mid-market companies with a target EBITDA of at least €10 million. AESIF’s primary focus will be investing in senior secured loans with an emphasis on capital preservation and low return volatility with a dynamic exposure to a broad range of other private credit investments as detailed further herein. A majority of loans originated by AESIF or otherwise acquired by the AESIF, are expected to have a term of 6-7 years, and may either be amortizing or interest-bearing only. The loans may be either fixed rate or floating rate. AESIF’s investment manager will aim to originate or acquire loans with a senior secured focus secured by pledged assets and the borrowers’ companies cashflow generation. To a lesser extent, the portfolio will also invest in debt and other instruments, including publicly traded leveraged loans and high yield bonds primarily denominated in U.S. Dollars.

APSIF’s investment objective is to achieve an attractive risk-adjusted total return by investing in a diversified portfolio of primarily senior secured loans across Asia-Pacific. APSIF seeks to originate flexible and scaled debt capital to mid-market companies with a target EBITDA of at least \$15 million. APSIF seeks to invest in performing debt obligations, fixed income securities and other credit instruments issued by portfolio companies that are primarily based in, or have substantial operations or business relations in, the Asian-Pacific region seeking attractive risk-reward trade-offs. APSIF will primarily seek to make privately negotiated investments in debt instruments of portfolio companies that generate fixed income returns, typically with a significant cash coupon. APSIF is also permitted to opportunistically invest in secondary debt instruments, if deemed an attractive risk-reward opportunity. APSIF may also invest in securitizations of diversified loan and/or receivables of portfolio companies and to provide loans to high quality corporates against cash flows and hard asset collateral. Furthermore, APSIF may also make other investments (primarily in the form of privately negotiated investments in debt securities, loans and/or other credit-related asset but also equity or quasi-equity securities) to take advantage of Asia’s structural inefficiencies and market dislocations to offer investors diversified access to the Asian private credit by making other investments, with credit protection and equity-like returns, with a focus on India, Australia, South East Asia and North Asia, and across the full spectrum of capital structure. To a lesser extent, the portfolio of APSIF will also invest in liquid debt securities and other credit investments located outside Asia.

Parallel Entities

If it considers it appropriate for any legal, tax, regulatory, accounting compliance, structuring or other considerations of AGSIF Fund or of certain current or prospective Shareholders, the Investment Manager, or any of its affiliates may, in its sole discretion, establish one or more parallel vehicles to invest alongside AGSIF Fund (as determined in the Investment Manager’s discretion) (the “**Parallel Vehicles**”), which may not have investment objectives and/or strategies that are identical to the investment objectives and strategies of AGSIF Fund, and/or feeder vehicles to invest through AGSIF Fund (“**Feeder Vehicles**” and collectively with Parallel Vehicles, the “**Parallel Entities**”). The costs and expenses associated with the organization and operation of any Parallel Entity and/or any Feeder Entity may be apportioned to, and borne solely by, the investors participating in such Parallel Entity and/or such Feeder Entity or be allocated among AGSIF Fund, the AGSIF Aggregator, any Parallel Entities and/or Feeder Entities as determined by the Investment Manager in its reasonable discretion. Investors should note that, as a result of the legal, tax, regulatory, accounting, compliance, structuring or other considerations mentioned above, the terms of such Parallel Entities may differ substantially from the terms of AGSIF Fund. In particular, such differences may cause Parallel Entities to subscribe at, or have their Shares (and/or units as applicable) redeemed at, a different NAV per unit in the AGSIF Aggregator than AGSIF Fund.

If it considers it appropriate for any legal, tax, regulatory, accounting, compliance, structuring or other considerations, the Investment Manager or any of its affiliates may, in its sole discretion, establish and introduce one or more intermediate entities through which AGSIF Fund and/or any Parallel Entities shall invest in the AGSIF Aggregator.

Leverage

AGSIF Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. AGSIF Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio to be in excess of 70% or such lower amounts as mandated by regulation or law as they come into force (the “**Leverage Limit**”) subject to the below; *provided*, that no remedial action will be required if the Leverage Limit is exceeded for any reason other than the incurrence of an increase in indebtedness (including the exercise of rights attached to an Investment).

“**Leverage Ratio**” means, on any date of incurrence of any such indebtedness, the quotient obtained by dividing (i) Aggregate Net Leverage (as defined below) by (ii) AGSIF Fund’s NAV plus the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of AGSIF Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to AGSIF Fund or such subsidiary special purpose financing vehicle respectively.

“**Aggregate Net Leverage**” means (i) the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of AGSIF Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to AGSIF Fund or such subsidiary special purpose financing vehicle respectively, minus (ii) cash and cash equivalents of AGSIF Fund.

For purposes of determining Aggregate Net Leverage, the Investment Manager: (i) shall use the principal amount of borrowings, and not the valuations of AGSIF Fund’s borrowings as described in Section VI: “*Fees and Expenses of AGSIF—Liabilities*” of this Annex, (ii) may, in its sole discretion, determine which securities and other instruments are deemed to be cash equivalents and (iii) will disregard any indebtedness between the different entities constituting AGSIF and its subsidiaries. AGSIF Fund’s assets or any part thereof, including any accounts of AGSIF Fund, may be pledged in connection with any credit facilities or borrowings. The Leverage Limit may be exceeded on a temporary basis to satisfy short-term liquidity needs, refinance existing borrowings or for other obligations, but in each case the Leverage Ratio will not exceed 75% or such lower amounts as mandated by regulation or law as they come into force. Any lower mandate leverage limit mandated by regulation or law could reduce the returns of the AGSIF Fund.

For the avoidance of doubt, the Leverage Limit does not apply to indebtedness at the Investment level, guarantees of indebtedness, or other related liabilities that are not recourse indebtedness for borrowed money of AGSIF Fund.

AGSIF Fund may, but is not obligated to, engage in hedging transactions for the purpose of efficient portfolio management or for hedging purposes. The Investment Manager may review the hedging policy of AGSIF Fund from time to time depending on movements and projected movements of the relevant currencies and interest rates and the availability of cost-effective hedging instruments for AGSIF Fund at the relevant time.

Please also refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations—Use of Leverage*” of the General Section of the Prospectus.

Reference Currency

AGSIF Fund is denominated in U.S. Dollar (USD). AGSIF Fund will issue classes of Shares in multiple other currencies as the Board of Directors (or its delegate) may decide from time to time. The complete list of available Share Classes will be available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

NAV of each Class of Shares is reported to Shareholders and returns are calculated and reported in the currency of such Class of Shares. Gains or losses regarding Investments made using a different currency than the one of a given Class of Shares may include currency fluctuations relative to such Share Class currency.

IV. SHARE CLASS INFORMATION

Share Classes of AGSIF Fund

The following Classes of Shares are open to Shareholders in AGSIF Fund:

Class	Type of Share
A _A	Accumulation
A _D	Distribution
B _A	Accumulation
B _D	Distribution
C _A	Accumulation
C _D	Distribution
D _A	Accumulation
D _D	Distribution
E _A	Accumulation
E _D	Distribution
I _A	Accumulation
I _D	Distribution

Class A_A, Class B_A, Class C_A, Class D_A, Class E_A and Class I_A Shares are Accumulation Sub-Classes (as defined below) and Class A_D, Class B_D, Class C_D, Class D_D, Class E_D and Class I_D Shares are Distribution Sub-Classes (as defined below). Shares will be made available in multiple currencies as the Board of Directors may decide from time to time. The complete list of available Share Classes will be available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

Shareholders that subscribe for “**Distribution Sub-Class**” Shares will receive any distributions that AGSIF Fund pays in respect of such Shares. In contrast, Shareholders that subscribe for “**Accumulation Sub-Class**” Shares will, in lieu of receiving distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. In each case, distributions, whether made to the Distribution Sub-Class Shareholders or reflected in the NAV of the Shares held by the Accumulation Sub-Class Shareholders, are made at the discretion of the Board of Directors (or its delegate) and are subject to reasonable reserves for the payment of a *pro rata* portion of Operating Expenses (as defined below) and other obligations of AGSIF Fund attributable to such Shares (including Servicing Fees), and subject to allocating any required tax withholdings (or taxes paid or withheld with respect to such distributions from any Other Ares Fund).

Class I_A Shares and Class I_D Shares (together, the “**Class I Shares**”) are generally available to investors who have account-based fee arrangements, known as advisory/wrap accounts, discretionary managed accounts, or comparable fee arrangements with their distributor or other financial intermediary. Class I Shares may also be available investors in markets with legal prohibition on payments of shareholder servicing and similar fees, and other categories of investors as determined by the Investment Manager in its sole discretion.

Class A_A Shares and Class A_D Shares (together, the “**Class A Shares**”) are available to all other investors. Class A Shares may be made available in certain countries to financial intermediaries who, as a result of applicable laws and regulations in those jurisdictions, are eligible to, and wish to, receive servicing and similar fees, commissions and/or retrocessions.

The Investment Manager may accept subscriptions for Class B_A Shares, Class B_D Shares (together, the “**Class B Shares**”), Class C_A Shares and Class C_D Shares (together, the “**Class C Shares**”), in its sole discretion, subject to the Minimum Subscription Amount.

Class D_A Shares and Class D_D Shares (together, the “**Class D Shares**”) are available to certain investors who have entered into a discretionary portfolio management mandate with their financial intermediary with automatic

rebalancing requirements in relation to a model portfolio and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.

Class E_A Shares and Class E_D Shares (together, the “**Class E Shares**”) are generally available to employees of Ares, Other Ares Funds and other persons, as approved by the Investment Manager in its discretion. Class E Shares will not be subject to payment of any Servicing Fees or Management Fees.

Notwithstanding the above, AGSIF Fund shall have full discretion to allocate the subscription of any Shareholder to any Class in order to reflect, *inter alia*, the subscription by Shareholders through a Parallel Entity.

Except as otherwise described herein, the terms of each Class of Shares are identical. Shares are issued in respect of a particular Class in AGSIF Fund. The Board of Directors (or its delegate) has the authority to, at any time, create and issue new Classes or types of Shares within AGSIF Fund at its discretion, with Shares having different rights, benefits, powers or duties and terms, including with respect to fees, distributions and liquidity.

Please also refer to Section VI: “*Fees and Expenses of AGSIF—Subscription Fees*” and “*—Servicing Fee*” of this Annex.

Hedging

Individual Classes may be denominated in other currencies. AGSIF Fund may hedge Classes of Shares which are denominated in any currency other than the Reference Currency of AGSIF Fund, however, depending on the prevailing circumstances, AGSIF Fund may or may not hedge certain Classes, either partially or fully, and has no obligation to hedge any Class at all. In relation to currency hedging undertaken, if any, in the interest of a hedged Class, note that various Classes of Shares do not constitute separate portfolios of assets and liabilities. Accordingly, while gains and losses on the hedging transactions and the expenses of the hedging program will be allocated to the hedged Classes only, AGSIF Fund, as a whole (including the non-hedged Classes), may be liable for obligations in connection with currency hedges in favor of a specific Class of Shares and AGSIF Fund may also be liable for similar obligations in connection with currency hedges with respect to AGSIF Fund or a Parallel Entity. Additionally, any financing facilities or guarantees utilized in connection with the hedging program may be entered into by AGSIF Fund or the AGSIF Aggregator (in respect of AGSIF Fund or a Parallel Entity) and not any specific Class.

V. SUBSCRIPTIONS, REDEMPTIONS AND OTHER TRANSACTIONS

Subscriptions in AGSIF Fund

Shares in AGSIF Fund will be offered primarily through distributors or other financial intermediaries, which generally have client net worth thresholds and other requirements. Accordingly, AGSIF Fund is primarily intended for investors with such distributor or other financial intermediary relationships. Investors should consult with their distributor or other financial intermediary to discuss potential eligibility and suitability to invest in AGSIF Fund and such distributor or other financial intermediary will provide appropriate investment advice on the suitability of the investment and the verification of such investor's satisfaction of the relevant eligibility requirements. Shares may also be offered to sophisticated and other Professional Investors that meet eligibility requirements for participating in AGSIF Fund at the Investment Manager's discretion.

Each potential Shareholder desiring to subscribe for Shares is required to execute a Subscription Document and make certain representations and warranties to AGSIF Fund including (without limitation) a representation to the effect that it: (1) (a) is not a U.S. person (as defined in Regulation S under the 1933 Act) or (b) is a Permitted U.S. Person (unless waived by the Investment Manager), (2) is purchasing such investment (x) in an offshore transaction in accordance with Regulation S under the 1933 Act or (y) in a transaction otherwise exempt from registration under the 1933 Act, including in reliance on Regulation D, and (3) is not, and does not have indirectly through any entities that are fiscally transparent for U.S. tax purposes, a "United States person" for U.S. federal income tax purposes (as such term is defined in Section 7701(a)(30) of the U.S. Internal Revenue Code of 1986, as amended). Each potential Shareholder must also satisfy the eligible Shareholder qualifications as set forth in the Subscription Document.

The initial minimum subscription amount (the "**Minimum Subscription Amount**") and the minimum subsequent subscription amounts (the "**Minimum Subsequent Subscription Amount**") by each Shareholder in AGSIF Fund are set out in the table below (although the Investment Manager may in its discretion accept the equivalent amount in another admitted currency):

Class of Shares	Minimum Subscription Amount	Minimum Subsequent Subscription Amount
Class A Shares, Class E Shares and Class I Shares	\$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)
Class B Shares and Class C Shares	€250,000,000 for the Euro denominated Classes of Shares, and \$250,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	€1,000 for the Euro denominated Classes of Shares, and \$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)
Class D Shares	\$150,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)

The initial Minimum Subscription Amounts set out above are subject, in each case, to such higher initial subscription amounts as required for a Shareholder's eligibility under applicable law, as provided in the

Subscription Documents. Certain sub-distributors, countries and/or Classes may have higher minimums. Notwithstanding anything else herein, the Investment Manager may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than the first calendar day of the month. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Prospective investors in AGSIF Fund may subscribe to AGSIF Fund directly or via financial intermediaries or omnibus accounts. The investments made by a financial intermediary will not be aggregated in order to determine the investor's eligibility for a specific Class or its minimum initial subscription or holding.

Subscriptions and Issuance of Shares in AGSIF Fund

Initial Subscription Period and Ongoing Subscriptions

In respect of each new Class of Shares, up to the end of the Initial Subscription Period, the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion plus applicable Subscription Fees.

After the end of the Initial Subscription Period, subscriptions for Shares of AGSIF Fund may be made on an ongoing basis and will be accepted as of the first calendar day of each month (each, a "**Subscription Date**").

Subscription Price

After the end of the Initial Subscription Period, Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date *plus* applicable Subscription Fees.

The subscription price per Share of each Class of Shares is equal to the NAV per Share for such Class of Shares as of the relevant Valuation Date. For example, if a prospective Shareholder wishes to make an initial subscription for Shares of AGSIF Fund in October, the initial subscription request must be received in good order at least eleven (11) Business Days before November 1st. The offering price will equal the NAV per Share of the applicable Class as of the last calendar day of October (i.e., the relevant Valuation Date), plus applicable Subscription Fees. If accepted, the subscription will be effective on the first calendar day of November (based on the October 31st NAV). In connection with a subscription of Shares, Shareholders may also be required to pay Subscription Fees (as defined below) to their distributor or other financial intermediary.

AGSIF Fund's monthly NAV as of the Valuation Date will generally be available by the 33rd Business Day after the immediately following Subscription Date (e.g., the NAV for October 31st will generally be available around December 18th). Prospective Shareholders will therefore not know the NAV per Share of their investment until after the investment has been accepted. Prospective Shareholders are required to subscribe for a USD (or the relevant Share Class's reference currency) amount, as applicable, and the number of Shares that such subscriber receives will subsequently be determined based on the NAV per Share as of the time such investment was accepted by AGSIF Fund (e.g., a Shareholder admitted to AGSIF Fund as of November 1st of a calendar year, whose investment is based on AGSIF Fund's NAV as of October 31st of such year, will learn of such NAV and the corresponding number of Shares represented by their subscription around December 18th of that year).

Subscription Procedure

A prospective Shareholder must notify AGSIF Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least eleven (11) Business Days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). To be accepted, a subscription request must be made with a completed and executed Subscription Document in good order, including (a) satisfying any additional requirements imposed by the subscriber's distributor or other financial intermediary, (b) satisfying the know your client (KYC), terrorist financing and anti-money laundering checks carried out by AGSIF Fund or its agent, and (c) any tax forms associated with a subscription (to the extent not already forming part of the Subscription Document).

Late subscription orders will be automatically resubmitted for the next available Subscription Date, unless such subscription order is withdrawn or revoked before 5 p.m. Central European Time on the last Business Day before such Subscription Date (subject to the Investment Manager's discretion to accept after such time). Subscription price amounts (whether in cash or in kind, as applicable) must be received no later than nine (9) Business Days in advance of the relevant Subscription Date. No interest will be paid on any payments received prior to this deadline.

Prospective Shareholders should note that incomplete subscription applications and subscription applications which are not settled by the relevant funding due date may be, in the discretion of the Investment Manager,

cancelled or deferred to a subsequent Subscription Date by AGSIF Fund and any costs of cancellation, reasonable interest and/or and other incurred charges may be passed on to the prospective Shareholder and may be deducted from the subscription price paid by such prospective Shareholder, in the discretion of the Investment Manager.

Notwithstanding anything else herein, the Board of Directors (or its delegate) may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than a Subscription Date. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Subscriptions, redemptions and conversions of Shares should be made for investment purposes only. AGSIF Fund shall not permit short-term (market-timing) or other excessive trading practices, which may disrupt AGSIF Fund's portfolio management strategies and harm its performance. To minimize harm to AGSIF Fund and the Shareholders, the Investment Manager has the right to reject any subscription or conversion order from any subscriber who is engaging in excessive trading or has a history of excessive trading or if a subscriber's trading, in the opinion of the Investment Manager, has been or may be disruptive to AGSIF Fund. AGSIF Fund, the Investment Manager, the Board of Directors and the AIFM will not be liable for any loss resulting from rejected orders.

Fractions of Shares to two (2) decimal places will be issued. The timing of Subscription Dates, Valuation Dates, and other applicable deadlines (including the deadlines for cancelling subscription and for the payment of the subscription price) may be modified from time to time by the Investment Manager in its sole discretion.

Redemption of Shares

Redemption Procedure

Whilst AGSIF Fund expects that there would be no regular secondary trading markets for Shares, redemptions of Shares are expected to be offered each calendar quarter at the NAV per Share calculated as of the last calendar day of the second month of the relevant calendar quarter, provided that no redemption shall occur prior to the First Redemption Date. As of the date of this Prospectus, the tentatively expected First Redemption Date is March 1st, 2027.

A Shareholder may request to have some or all of its Shares redeemed by AGSIF Fund (each, a "**Redemption Request**") as of the first calendar day of the last month of each calendar quarter (each, a "**Redemption Date**") (from and including the First Redemption Date) by submitting a notice to AGSIF Fund that the Shareholder requests a certain number of its Shares be redeemed by AGSIF Fund in the form made available by AGSIF Fund by the Redemption Cut-Off Time, i.e., 5 p.m. Central European Time on the last Business Day of the first month of the calendar quarter in which the Redemption Date falls (e.g., a Shareholder requesting a September 1st redemption must submit their Redemption Request by c. July 31st); *provided* that late notices may be accepted in the Investment Manager's sole discretion (acting as delegate of the Board of Directors). Once a Redemption Request has been submitted, the Shareholder will not be entitled to withdraw or revoke the Redemption Request without the express consent of the Investment Manager (acting as delegate of the Board of Directors), which consent may be given or withheld in their sole discretion.

Amounts distributed in connection with a Redemption Request will be based upon the NAV per Share of the applicable Class of Shares being redeemed, which in turn will in part be based on the most recently available NAV per share or units, as applicable of the Intermediary Funds (and Other Ares Funds in which AGSIF directly or indirectly invests). The Investment Manager expects that settlements of Redemption Requests will generally be made within ten (10) Business Days after the relevant NAV Release Date (e.g., a Shareholder requesting a September 1st redemption would generally be expected to receive a settlement on or around October 30th of the same year) (the "**Settlement Date**") *provided* that this timing may vary depending on when redemption proceeds are actually received by AGSIF from the Intermediary Funds and/or the Other Ares Funds, as applicable.

Each Redemption Request will be processed on each Redemption Date at the NAV per Share of the applicable Class of Shares as of the Valuation Date immediately preceding the applicable Redemption Date. Shareholders will not know the NAV per Share, and therefore the amount of their redemption, until the relevant NAV Release Date. In addition, due to the timing of the NAV Release Date, investors submitting Redemption Requests will also typically not know the NAV per Share for the month preceding the date of such Redemption Requests.

Shareholders whose Redemption Requests are accepted will cease to be Shareholders in respect of the redeemed Shares as of such Redemption Date and will therefore cease to be entitled to the rights of a Shareholder in respect

of the redeemed Shares as of such date, including the right to receive distributions, and will not be entitled to interest on redemption payments due.

Redemption Limitation

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AGSIF, including redemptions in all Parallel Entities and the AGSIF Aggregator, but excluding any Early Redemption Deduction and/or any Redemption Fee applicable to the redeemed Shares) is generally limited to 5% of the aggregate NAV per calendar quarter (measured as of the last calendar day of the previous calendar quarter) (the “**Redemption Limitation**”), except in the exceptional circumstances described below. The foregoing Redemption Limitation is based on net redemptions during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this paragraph. The term “**net redemptions**” means, during the applicable period, the excess of redemptions (capital outflows) over the proceeds from subscriptions (capital inflows). With respect to future periods, the Board of Directors (or its delegate) may choose whether the Redemption Limitation will be applied to “gross redemptions” (i.e., without netting against capital inflows), rather than to net redemptions. If redemptions for a given calendar quarter are measured on a gross basis rather than on a net basis, the Redemption Limitation could limit the number of Shares redeemed on any Redemption Date despite AGSIF Fund receiving net capital inflows for such calendar quarter. In order for the Board of Directors (or its delegate) to change the application of Redemption Limitation from net redemptions to gross redemptions or vice versa, AGSIF Fund will provide notice to Shareholders, at least ten (10) days before the first Business Day of the quarter for which the new test will apply.

No redemption proceeds will be paid unless and until cleared funds equal to the full amount of the subscription price (or any other amounts payable by such Shareholder to AGSIF Fund) due but not yet paid for the Shares to be redeemed has been received by AGSIF Fund. No interest will be paid to Shareholders on redemption proceeds paid after the Settlement Date.

Any redemption made for the purpose of upstreaming cash (a) to settle a properly incurred liability of AGSIF Fund, the AGSIF Aggregator or any Ares-managed feeder vehicle of AGSIF; (b) for cash management purposes at the level of AGSIF Fund, the AGSIF Aggregator or any Ares-managed feeder vehicle of AGSIF; and/or (c) to declare a distribution or dividend at the level of AGSIF Fund, or the AGSIF Aggregator will not be subject to any Early Redemption Deduction and/or Redemption Fee, and will not be taken into account for the purposes of calculating the Redemption Limitation, in each case *provided* that the upstreaming of cash is not used to effect the Redemption Requests of, and/or provide priority redemption rights to, underlying investors of AGSIF Fund, the AGSIF Aggregator or any Ares-managed feeder vehicle of AGSIF.

In exceptional circumstances and not on a systematic basis, AGSIF Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in AGSIF’s best interest and the best interest of AGSIF’s investors as a whole, such as when redemptions are unable to be made in Intermediary Funds and Other Ares Funds in which AGSIF is directly or indirectly invested (including for the avoidance of doubt ASIF, AESIF and APSIF), when redemptions of Shares would place an undue burden on AGSIF’s liquidity, adversely affect AGSIF’s operations, risk having an adverse impact on AGSIF that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to the Redemption Limitation and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AGSIF’s best interest and the best interest of AGSIF’s investors.

Investors should note that the Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt ASIF, AESIF and APSIF) in which AGSIF is expected to be directly or indirectly invested may contain restrictions on redemptions or repurchases that prohibit AGSIF from liquidating the shares, interests, units and/or other similar instruments that it holds in such Intermediary Funds and Other Ares Funds. In particular, investors should note that:

- The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AESIF, including redemptions in all AESIF’s parallel Entities and the AESIF aggregator) is generally limited to 2% of aggregate NAV per calendar month of all AESIF’s parallel Entities and the AESIF aggregator (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter) and 5% of such aggregate NAV per calendar quarter (measured using the aggregate NAV as of the last calendar

day of the previous calendar quarter), except in certain exceptional circumstances. In any given calendar quarter, excess redemption capacity under the 2% monthly limitation described in the foregoing will be rolled into the subsequent month of such calendar quarter and be available for further redemptions in such calendar quarter only. Please refer to the paragraphs titled ‘*Lack of Liquidity*’ in Section X: “*Risk Factors and Other Considerations*” of this Annex for additional details on the risks associated with an investment in AESIF;

- ASIF intends to offer to repurchase, at the discretion of the board of trustees of ASIF, up to 5% of common shares outstanding in ASIF (either by number of shares or aggregate NAV) in each quarter. The ASIF board of trustees may amend, suspend or terminate the share repurchase program if it deems such action to be in ASIF’s best interest and the best interest of common shareholders in ASIF; and
- Redemptions in APSIF are generally limited on an aggregate basis across APSIF to 5% of aggregate NAV per calendar quarter (measured as of the last calendar day of the previous calendar quarter). Please refer to the paragraphs titled ‘*Lack of Liquidity*’ in Section X: “*Risk Factors and Other Considerations*” of this Annex for additional details on the risks associated with an investment in APSIF.

In the event that, pursuant to the limitations above, not all of the Shares submitted for redemption during a given quarter are to be accepted for redemption by AGSIF Fund, Shares submitted for redemption during such quarter will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AGSIF if applicable). All unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date, unless such a Redemption Request is withdrawn or revoked by a Shareholder before such Redemption Date in the manner as described above.

Sources of Funds for Redemptions

The Board of Directors (or its delegate) may in its discretion, after taking the interests of AGSIF Fund as a whole and the interests of the remaining Shareholders into consideration, use proceeds from any available sources at AGSIF Fund’s disposal to satisfy Redemption Requests, subject to the Redemption Limitation. Potential sources of funding redemptions include, but are not limited to, cash on hand, cash available from borrowings, cash from the sale of Shares and cash from liquidations of investments, to the extent that such funds are not otherwise dedicated to a particular use, such as working capital, cash distributions to Shareholders or Investments.

Although a majority of AGSIF Fund assets consist of Investments that cannot generally be readily liquidated on short notice without impacting AGSIF Fund’s ability to realize full value upon their disposition, AGSIF Fund intends to maintain a number of sources of liquidity including Debt and Other Instruments. AGSIF Fund may fund redemptions from any available source of funds, including operating cash flows, borrowings, proceeds from the offering of the Shares and/or sales of AGSIF Fund’s assets.

Early Redemption Deduction and Redemption Fee

Shares held for less than eighteen (18) months will be subject to an early redemption deduction (the “**Early Redemption Deduction**”) as set out below:

Class of Shares	Early Redemption Deduction
Class A Shares, Class B Shares, Class C Shares and Class I Shares	5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)
Class D Shares and Class E Shares	0%

Redemptions of Class D Shares and Class E Shares may be subject to a redemption fee of 5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date) if such redemption occurs within the first eighteen (18) months of the relevant Shareholder’s initial subscription to such Class D Shares or Class E Shares, as applicable, as determined by the Investment Manager in its sole discretion from time to time (the “**Redemption Fee**”). To the extent applicable, The application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager.

If a redeeming Shareholder, who invested in AGSIF Fund for its own account, owns Shares of more than one Series of the Class being redeemed, such Shares will be deemed to be redeemed on a "first-in-first-out" basis. If a redeeming Shareholder invested in AGSIF Fund as a financial intermediary on behalf of underlying investors, it must indicate in its Redemption Request the relevant Series of Shares to be redeemed.

The Early Redemption Deduction and/or any Redemption Fee will inure indirectly to the benefit of the AGSIF Aggregator (and indirectly AGSIF Fund and all other vehicles invested in the AGSIF Aggregator, including their respective investors). To the extent a corresponding fee, charge or deduction is applicable in respect of the relevant Intermediary Funds and/or the Other Ares Funds, the relevant portion of the Early Redemption Deduction will inure indirectly to the benefit of the Intermediary Funds and/or the Other Ares Funds accordingly (and indirectly AGSIF Fund and all the other vehicles invested in such Intermediary Funds and/or Other Ares Funds).

AGSIF Fund may, from time to time, waive the Early Redemption Deduction and/or any Redemption Fee in its sole discretion, including without limitation in the case of redemptions resulting from death, qualifying disability, divorce, or where operational, administrative, and/or system limitations prohibit the Early Redemption Deduction and/or any Redemption Fee from being properly applied.

All questions as to the applicability of the Early Redemption Deduction and/or any Redemption Fee to specific facts and the validity, form, eligibility (including time of receipt of required documents) of a qualification for an exemption from the Early Redemption Deduction and/or any Redemption Fee will be determined by the Investment Manager, in its sole discretion, and its determination shall be final and binding.

Minimum Account Redemptions

In the event that any Shareholder fails to maintain the minimum balance of \$25,000 (or the equivalent in any currency as may be determined by the Board of Directors or its delegate) of Shares, the Board of Directors (or its delegate) may redeem all of the Shares held by that Shareholders at the redemption price in effect on the date the Board of Directors (or its delegate) determines that the Shareholder has failed to meet the minimum balance, *less* any Early Redemption Deduction and/or Redemption Fee. Minimum account redemptions are subject to Early Redemption Deductions and/or Redemption Fees, as applicable.

Compulsory Redemption with regard to Prohibited Persons

If the Board of Directors (or its delegate) discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person (as defined below), either alone or in conjunction with any other person, whether directly or indirectly, the Board of Directors (or its delegate) may at its discretion and without liability, compulsorily redeem (in whole or in part) the Shares in accordance with the Articles, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such redemption may take priority over any requested redemptions made by other investors (which may be delayed as a result). For the avoidance of doubt, in the case of a Shareholder holding Shares which can be allocated to several beneficial owners, such compulsory redemption may only be applied to the part of the portion of such Shares allocable to the beneficial owner qualifying as a Prohibited Person.

In addition, in the case of a Prohibited Person where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, or (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, the Board of Directors (or its delegate) is also entitled to convert the Shares of the Prohibited Person provided that after such conversion the Shareholder no longer qualifies as a Prohibited Person.

The Board of Directors (or its delegate) may require any Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) to provide it with any information that it may consider necessary for the purpose of determining whether or not such Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) is or will be a Prohibited Person.

For the purpose of this clause, "**Prohibited Person**" shall mean any person, firm, partnership or corporate body (including a Shareholder (and/or an underlying investor where the Shareholder subscribed to the Shares on its behalf of such underlying investor and/or for such underlying investor's benefit)), not eligible as investor for a Class of Shares, or if in the sole opinion of the Board of Directors (or its delegate) the holding of Shares may be detrimental to the interests of the existing Shareholders, AGSIF Fund or the Sponsor, if it may result in a breach of any law or regulation, whether in Luxembourg or abroad, or if as a result thereof any such parties may become

exposed to regulatory, tax, economic or reputational damages, obligations, disadvantages, fines or penalties that it would not have otherwise incurred.

Conversions Between Classes

Conversions of Shares between Classes in AGSIF Fund are allowed. The Board of Directors (or its delegate) may suspend conversions in respect of Shares during any period that the determination of the NAV of the relevant Class is suspended in accordance with the rules set out in the Articles and this Annex.

Conversion at the Request of Shareholders

A Shareholder may request the conversion of all or part of its Shares of a Class on any Valuation Date; *provided* that the Shareholder fulfils the eligibility criteria of the relevant Class into which the conversion is requested and subject to the written consent of the Shareholder's broker, distributor or other financial intermediary, if applicable, and the Board of Directors (or its delegate). Any conversion request which, when executed, would cause the Shareholder's investment to fall below the applicable minimum holding requirement, will be considered as a request for a full conversion for that Shareholder's Shares in that particular Class.

Procedure

Written conversion orders should be sent to the Central Administration at least five (5) Business Days before the relevant Valuation Date or such shorter period as determined by the Board of Directors or its delegate (the "**Conversion Cut-off**").

All conversion orders must contain the following information:

- the Valuation Date in respect of which the conversion request is made;
- the full name(s) in which the Shares to be converted are registered;
- the Class and its ISIN code from which Shares are to be converted and the Class and its ISIN code to which Shares will be converted; and
- either the monetary amount or the number of Shares to be converted.

If accepted, conversion orders received by the Central Administration before the relevant Valuation Date in respect of which the conversion order is made will be dealt with on such Valuation Date on the basis of the NAV of the relevant Classes prevailing on that Valuation Date.

Any conversion orders received after the Conversion Cut-off for a Valuation Date will be processed on the next Valuation Date on the basis of the NAV of the relevant Classes prevailing on such Valuation Date.

The rate at which all or part of the Shares of one Class (the "**Initial Class**") are converted into another Class (the "**New Class**") is determined in accordance with the following formula:

$$A = \frac{B \times C \times D}{E}$$

where:

- A is the number of Shares to be allocated in the New Class;
- B is the number of Shares of the Initial Class to be converted;
- C is the NAV per Share of the Initial Class determined on the relevant Valuation Date;
- D the currency conversion factor, which is the relevant currency rate as at the respective Valuation Date, or where the Shares of the New Class are denominated in the same currency of the Initial Class, D = 1; and
- E is the NAV per Shares of the New Class determined on the relevant Valuation Date.

Following such conversion of Shares, the Central Administration will inform the respective Shareholder of the number of Shares of the New Class obtained by conversion and the price thereof. Fractions of Shares in the New Class to two decimal places may be issued.

Conversion by decision of the Board of Directors

The Board of Directors (or its delegate) may in its own discretion at any time convert Shares from one Class into another Class of Shares where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class as set out in this Annex, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, or (iv) the Board of Directors or its delegate determines that such conversion is necessary or advisable and not inequitable to Shareholders.

The procedure set out above will apply accordingly.

Transfers

Shareholders may transfer part or all their Shares upon prior consent from the Board of Directors or its delegate, in their sole discretion, which shall be provided within thirty (30) calendar days from its notification. The absence of a favorable response within thirty (30) calendar days shall be considered as a refusal to such transfer.

Any transferee must provide AGSIF Fund with a duly completed Subscription Document, any required AML/KYC documents and any additional information or documentation as requested by the Board of Directors or its delegate in connection with the transfer and by the transferee's broker, distributor or other financial intermediary, as applicable.

VI. FEES AND EXPENSES OF AGSIF

Management Fee

In consideration for its services with respect to AGSIF Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a management fee (the “**Management Fee**”) equal to, for each class of Shares, up to 1.25% of the NAV of each Class of Shares (except for Class E Shares) per annum payable monthly in arrears based on month end values, before giving effect to any accruals for the Management Fee, the AIFM Fee, the Servicing Fee (as defined below), redemptions for that month (if applicable), any distributions and any impact to NAV solely caused by currency fluctuations and/or currency hedging activities for non-USD Classes, non-USD classes of units of the AGSIF Aggregator and/or non-USD classes of shares or units of Parallel Entities (where applicable). The Management Fee may be paid by AGSIF Fund, or alternatively and without duplication, by the AGSIF Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of AGSIF Fund.

While AGSIF may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt ASIF, AESIF and APSIF), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AGSIF together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in this Section.

The AIFM (and/or such other combination of persons as the Investment Manager may designate) may elect to receive the Management Fee in cash, Shares, units of the AGSIF Aggregator and/or shares or units of Parallel Entities (where applicable). If the Management Fee is paid in Shares, AGSIF Aggregator units and/or shares or units of Parallel Entities (where applicable), such Shares, shares and/or units may be redeemed at the AIFM’s request (and/or at the request of such other combination of persons as the Investment Manager may designate), and will not be subject to any of the limitations set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” and “*—Early Redemption Deduction and Redemption Fee*” of this Annex.

The AIFM may separately elect for the Management Fee to be paid (in whole or in part) to an affiliate of the AIFM (and/or such other combination of persons as the Investment Manager may designate) in satisfaction of Management Fee amounts owed to the AIFM in connection with services provided by such affiliate to AGSIF Fund and/or any Intermediate Vehicle. In addition, the AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time.

For the avoidance of doubt, in the event the Management Fee is paid by the AGSIF Aggregator, the Parallel Entities and/or any Intermediate Vehicle, such payment shall be made on behalf of AGSIF Fund in consideration of the services provided by the Investment Manager, the Sub-Investment Manager and the AIFM to AGSIF Fund. For the avoidance of doubt, where a management fee is calculated and paid by a Parallel Entity on the basis of such entity’s own NAV (whether or not such management fee is calculated and paid on the same basis as the Management Fee), such fees will be charged without duplication, and the NAV of such Parallel Entity will be disregarded for the purposes of the calculation and payment of the Management Fee to be paid by other AGSIF vehicles.

Performance Participation Allocation

No Performance Participation Allocation will be charged at the level of AGSIF Fund. However, AGSIF may indirectly bear its share of carried interest, management fees or other incentive compensation and other expenses of such Intermediary Funds and Other Ares Funds.

Please refer to Section VI: “*Fees and Expenses of AGSIF—Fees and Expenses Charged at the level of Intermediary Funds and Other Ares Funds*” below.

AIFM Fee

In consideration for its services with respect to AGSIF Fund, the AIFM will be entitled to payment of an AIFM Fee payable by AGSIF Fund equal to, for each Class of Shares, up to 0.03% of the NAV of each Class of Shares per annum payable monthly in arrears based on month end values. The AIFM Fee may be paid by AGSIF Fund, or alternatively and without duplication, by the AGSIF Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of AGSIF Fund. The AIFM Fee will be separate from and additional to the Management Fee and any Operating Expenses.

The AIFM may waive all or any part of the AIFM Fee in its discretion from time to time.

Subscription Fees

Certain distributors or other financial intermediaries through which a Shareholder was placed in AGSIF Fund may charge such Subscription Fees on Shares sold in the offering that are paid by the Shareholder outside of its investment in AGSIF Fund and not reflected in AGSIF Fund's NAV. In certain circumstances the Subscription Fees may be paid to Ares and reallocated, in whole or in part, to the distributor or other financial intermediary that placed the Shareholder into AGSIF Fund. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.

Servicing Fee

Each Class of Shares will bear a Servicing Fee equal to the amount set out in the table below (on an annualised basis):

Class of Shares	Servicing Fee
Class A Shares	Up to 0.85% on NAV per annum.
Class B Shares	Up to 0.50% on NAV per annum.
Class C Shares, Class D Shares, Class E Shares and Class I Shares	0.00% on NAV per annum.

For the avoidance of doubt, the Servicing Fees will be payable by AGSIF Fund and Shareholders will not be billed separately for payment of the fees. The Servicing Fee will be calculated on the NAV of the relevant Class of Shares before giving effect to accruals for the Servicing Fee (for that month), the redemptions for that month (if any) and distributions payable on such Class of Shares.

The servicing fee is allocated to the financial intermediary through which an underlying investor was placed in AGSIF Fund and/or the financial intermediary which provides ongoing services to such underlying investor in each case as determined by the Investment Manager in its sole discretion (such fee, the “**Servicing Fee**”). Any Servicing Fee will compensate such representative for any placement, reporting, administrative and/or other services provided to an underlying investor by such representative. The receipt of the Servicing Fee will result in a conflict of interest.

Organizational and Offering Expenses

The Organizational and Offering Expenses may be apportioned to, and borne solely by, AGSIF Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Organizational and Offering Expenses are attributable to AGSIF Fund, the AGSIF Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

The Investment Manager has agreed to advance all of AGSIF Fund's (including the expenses associated with AGSIF Fund, the AGSIF Aggregator, any Intermediate Vehicle, or any of their respective Parallel Entities or Feeder Entities) Organizational and Offering Expenses through the Effective Date. AGSIF Fund, the AGSIF Aggregator or the relevant Parallel Entities or Feeder Entities, as applicable, will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date.

After the Effective Date, AGSIF Fund, the AGSIF Aggregator, the relevant Parallel Entities and/or Feeder Entities, as applicable, will reimburse the Investment Manager for any Organizational and Offering Expenses that it has incurred on each entity's behalf as and when incurred.

Liabilities

With respect to each Class of Shares, the AIFM will include the value (as prescribed under IFRS) of such Class's *pro rata* portion of AGSIF Fund's liabilities as part of the Class's monthly NAV calculation. These liabilities are expected to include the fees payable to the Investment Manager, the AIFM (and/or such other combination of

persons as the Investment Manager may designate), accounts payable, accrued operating expenses, any portfolio-level credit facilities, other borrowings and other liabilities.

For purposes of calculating AGSIF Fund's NAV, the Organizational and Offering Expenses and/or Operating Expenses paid by the Investment Manager through the Effective Date pursuant to this Section VII "Fees and Expenses of AEFS— Organizational and Offering Expenses" or "— Initial Operating Expenses Support", as applicable, are not recognized as expenses or as a component of equity and reflected in AGSIF Fund's NAV until AGSIF Fund reimburses the Investment Manager for these costs.

The AIFM's valuation of each Investment's liabilities, including any third-party incentive fee payments or investment level debt, deal terms and structure will not be reviewed by AEFS's independent valuation advisor or appraised.

Operating Expenses

The Operating Expenses (as defined below) may be apportioned to, and borne solely by, AGSIF Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Operating Expenses are attributable to AGSIF Fund, the AGSIF Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

Initial Operating Expenses Support

The Investment Manager may at its discretion advance all or portion of the Operating Expenses to be borne by AGSIF Fund, the proportion of expenses of the AGSIF Aggregator borne by AGSIF Fund, and the appropriately apportioned expenses relating to Portfolio Entities and Parallel Entities, in each case as determined pursuant to the terms of this Prospectus (collectively, "**Initial Operating Expenses Support**") through the Effective Date. AGSIF Fund and the AGSIF Aggregator (as applicable and as determined by the Investment Manager in its sole discretion), will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date or on such earlier date as determined by the Investment Manager.

Discretionary Expense Cap

In addition to the foregoing, the Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AGSIF Fund (or a specific Class thereof, as applicable) and/or the AGSIF Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AGSIF Fund (or the relevant Class thereof), the AGSIF Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed.

Fees and Expenses Charged at the level of Intermediary Funds and Other Ares Funds

AGSIF Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any portfolio funds, including any Intermediary Funds and Other Ares Funds (including ASIF, AESIF and APSIF, as applicable), in each case to the extent applicable and in accordance with their relevant governing documents.

However, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously at the level of AGSIF and Other Ares Funds (including AESIF and ASIF). Therefore, no Performance Participation Allocation will be charged at the level of AGSIF and while AGSIF may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt ASIF, AESIF and APSIF), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AGSIF together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: "*Fees and Expenses of AGSIF—Management Fee*".

VII. DISTRIBUTIONS

The Board of Directors (or its delegate) may declare and pay distributions to Shareholders from time to time.

AGSIF Fund intends to declare monthly distributions as authorized by the Investment Manager (as the delegate of the Board of Directors) and pay such distributions to Shareholders of record on a monthly basis. Accumulation Sub-Classes are not entitled to any distribution payments, unless the Investment Manager (as the delegate of the Board of Directors) determines that a distribution shall be made. AGSIF Fund cannot guarantee that it will make distributions.

Any distributions will be made, at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class, after considering factors such as earnings, cash flow, capital needs, taxes and general financial condition and the requirements of applicable law. As a result, AGSIF Fund's distribution rates and payment frequency may vary from time to time. There is no assurance AGSIF Fund will pay distributions in any particular amount, if at all. Any declaration of distributions to Shareholders will be made in accordance with the 1915 Law and the 2010 Law.

Shareholders of record as of the record date will be eligible for distributions declared. The per Share amount of distributions on each Class of Shares may differ because of different Class-specific Servicing Fees that may be deducted from the gross distributions for each Class. Specifically, distributions on Class A Shares would be lower than distributions on Class C Shares, Class D Shares, Class E Shares and Class I Shares (and, to a lesser extent, Class B Shares) because AGSIF Fund is required to pay ongoing Servicing Fees (or, in respect of Class B Shares, a higher amount of Servicing Fees) with respect to the Class A Shares compared to Class C Shares, Class D Shares, Class E Shares and Class I Shares (and, to a lesser extent, Class B Shares).

Shareholders holding Shares with a functional currency other than USD are exposed to fluctuations of the USD foreign exchange rate and/or hedging costs, which may lead to variations on the amount to be distributed.

VIII. MANAGEMENT AND ADMINISTRATION OF AGSIF FUND

Ares

Ares Management Corporation (NYSE: ARES) is a publicly traded, global alternative investment manager.

Ares was built upon the fundamental principle that each group benefits from being part of the broader platform. Ares believes the synergies resulting from collaboration across the platforms provide its professionals with more informed decision making as a result of shared industry experience, management relationships, and market insights, access to significant deal flow and a broader opportunity set, and the ability to assess relative value. Since its inception in 1997, Ares has adhered to a disciplined investment philosophy that focuses on delivering attractive risk-adjusted investment returns through market cycles. Ares strives to maintain a consistent and credit-quality focused approach targeting well-structured investments in credit assets.

The Investment Manager

The AIFM has delegated its portfolio management function regarding AGSIF Fund to Ares Management Limited, the Investment Manager pursuant to the terms of the Investment Management Agreement. The Investment Manager has discretion to make Investments on behalf of AGSIF Fund.

The Investment Manager is an affiliate of Ares and is authorized and regulated by the FCA. The Investment Manager is responsible for initiating, structuring and negotiating AGSIF Fund's Investments. In addition, the Investment Manager actively manages each Investment to seek to maximize cash flow and, ultimately, the value of each Investment.

The investment committee of AGSIF Fund is comprised of senior and experienced investment professionals at Ares (the "**AGSIF Investment Committee**"). All Investments led by AGSIF are reviewed and approved by the AGSIF Investment Committee. The composition of the AGSIF Investment Committee is available at the registered office of AEFS SICAV.

The AGSIF Investment Committee process emphasizes a consensus-based approach to portfolio selection among the members and is the same process that Ares has adopted since inception. In addition, AGSIF will benefit from the breadth of the entire Ares credit platform, including the various investment, asset management, portfolio operations, finance, investor relations, and legal and compliance professionals located around the globe.

The Sub-Investment Manager

The Investment Manager has delegated the portfolio management of the Debt and Other Instruments sleeve to Ares Capital Management II LLC, the Sub-Investment Manager, pursuant to the terms of the Sub-Investment Management Agreement. The Debt and Other Instruments sleeve will be managed by the Investment Manager and the Sub-Investment Manager, and the Investment Manager will have the ability to determine the Debt and Other Instruments that will be managed by the Sub-Investment Manager, subject to the supervision of the AIFM. The primary investment focus of the Sub-Investment Manager will be investments in Debt and Other Instruments.

Ares Capital Management II LLC, 245 Park Avenue, 44th Floor, New York, New York 10167, is registered as an investment adviser with the SEC under the Advisers Act, and is an indirect wholly-owned subsidiary of Ares.

In consideration for its services with respect to AGSIF Fund, the Sub-Investment Manager will be entitled to receive a fee payable by the AIFM (and/or such other combination of persons as the Investment Manager may designate) in an amount to be agreed between the Investment Manager and the Sub-Investment Manager from time to time

Non-Exclusivity

The functions and duties which the Investment Manager, the Sub-Investment Manager and/or any of their affiliates undertake on behalf of AGSIF Fund will not be exclusive and they perform similar functions and duties for themselves and for others and, without limitation, act as manager, investment advisor, general partner (or equivalent) in respect of other funds, accounts or other products.

IX. REGULATORY CONSIDERATIONS

AIFM Directive Leverage

The AIFM has established a maximum level of leverage for AGSIF Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of AGSIF Fund of 500% and 175%, respectively (the “**AIFM Rules Leverage Restrictions**”). Compliance with the AIFM Rules Leverage Restrictions will be determined on a quarterly basis. If these AIFM Rules Leverage Restrictions were ever exceeded after leverage has been incurred by AGSIF Fund, the Investment Manager will make commercially reasonable efforts to bring AGSIF Fund’s exposure back into compliance with the maximum level of leverage, but such event will not constitute a breach of an investment restriction adopted by AGSIF Fund or a “trade error” for any purpose. The AIFM may increase AGSIF Fund’s maximum leverage exposure from time to time. If the AIFM increases such maximum level of exposure, it will provide notice in writing to Shareholders in the next regularly scheduled notice to Shareholders.

Liquidity management tools

With respect to the liquidity management tools (each a “LMT”) listed under Annex V to the AIFM Directive, the AIFM currently uses the following LMTs with respect to AGSIF Fund: (i) extension of notice periods in accordance with Section V: “*Subscriptions, Redemptions and Other Transactions*” of this Annex and (ii) redemptions in kind in accordance with Subsection 5: “*Payment of the Redemption Price in Kind*” of Section V: “*Subscriptions, Redemptions and Other Transactions*” of the General Section of the Prospectus. The AIFM shall only use redemptions in kind as a LMT for AGSIF Fund to satisfy Redemptions Requests submitted by Professional Investors.

The AIFM will only use the suspension of redemptions and subscriptions as an additional LMT in “*exceptional circumstances*”, as such term is defined in the ESMA Guidelines on liquidity management tools (LMTs) of UCITS and open-ended AIFs. Notwithstanding anything to the contrary in this Prospectus, the AIFM may suspend redemptions without simultaneously suspending subscriptions in all other circumstances, as detailed in this Annex.

The AIFM may use additional LMTs listed under Annex V of the AIFM Directive from time to time, as further communicated to investors, and LMTs that are not listed under Annex V of the AIFMD Directive including without limitation, the Early Redemption Deduction, the Redemption Fee and the Redemption Limitation, as further detailed in this Annex. For the avoidance of doubt, the AIFM may use all LMTs (other than the suspension of redemptions and subscriptions) during both normal and stressed market conditions.

X. RISK FACTORS AND OTHER CONSIDERATIONS

Most of the following risk factors apply both to AGSIF and to any relevant Other Ares Funds in which AGSIF invests (directly or indirectly, including ASIF, AESIF and APSIF). Therefore, potential Shareholders should assume references to AGSIF include references to Other Ares Funds (including ASIF, AESIF and APSIF) as well.

Risk Factors Relating to Investments in AGSIF

Diversification Risk.

AGSIF is subject to restrictions on the size of Investments such that it will not at any one time invest and hold more than 20% of its NAV in any single Investment as measured at the time of acquisition; *provided* that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the Investment Manager under the oversight of the AIFM, which for the avoidance of doubt will include ASIF, AESIF and APSIF (and may include Other Ares Funds and/or Intermediary Funds). No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring AGSIF Fund within this 20% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of AGSIF or any of its underlying investors. For the purpose of the foregoing limitations, the amount invested in any Investment will be net of indebtedness and take into account the allocated or expected indebtedness that the Investment Manager deems related to the Investment being acquired, whether incurred specifically at the Investment level or allocated from other vehicle indebtedness.

This 20% diversification requirement will not apply during the Ramp-Up Period. The Investment Manager may also impose additional limitations on its discretion based on the underlying investors in AGSIF Fund.

Accordingly, AGSIF may participate in a limited number of Investments and, as a consequence, the aggregate return of AGSIF may be substantially adversely affected by the unfavorable performance of even a single Investment. In addition, other than as set forth in Section III: “*Investment Information*” of this Annex, investors have no assurance as to the degree of diversification of AGSIF Investments, either by geographic area, asset type or sector. To the extent AGSIF concentrates Investments in a particular issuer, asset type, industry, security or geographic area, its Investments will become more susceptible to fluctuations in value resulting from adverse economic, political, regulatory, technological, industry and/or business conditions with respect thereto. These risks may be further pronounced where an Investment is secured by a relatively small or less diverse pool of underlying assets. Certain geographic areas and/or industries may be more adversely affected by economic pressures when compared to other geographic areas and/or industries. As a consequence, the aggregate return of AGSIF may be adversely affected by the unfavorable performance of one or a small number of Investments, or unfavorable developments in one or a small number of countries or industries. Moreover, there are no assurances that any or all of AGSIF’s Investments will perform well or avoid loss, and if certain investments perform unfavorably, for AGSIF to achieve above-average returns, one or a few of its Investments must perform very well. There are no assurances that this will be the case.

Since AGSIF invests primarily in the credit markets, its portfolio may not be as diversified as other investment vehicles. Accordingly, AGSIF’s Investments may be subject to more rapid change in value than would be the case if AGSIF were required to maintain a wide diversification among types of securities, geographical areas, issuers and/or industries. Any such non-diversification will increase the risk of loss to AGSIF if there were to be a decline in the market value of any security or sector in which AGSIF had invested a large percentage of its assets. Investment in a non-diversified fund will generally entail greater risks than investments in a diversified fund.

There can be no assurance that the Sponsor will be successful in identifying investment opportunities. Although AGSIF may invest in Other Ares Funds (including ASIF, AESIF and APSIF), the investment portfolio of such Other Ares Funds (including ASIF, AESIF and APSIF) may differ materially in terms of levels of sectoral and geographic diversification from the current investment strategy of AGSIF.

Risks Associated with the Euro.

The functioning of the Euro as a single currency across the diverse economies comprising the Eurozone has sustained considerable pressure as the result of the global financial crisis and other subsequent macroeconomic events. The situation, particularly in those countries where sovereign default is perceived to be most likely, may continue to deteriorate. It is therefore possible that the Euro may cease to be the national currency of some or even all of the countries comprising the Eurozone. If this were to occur, fluctuations in currency exchange rates of the new local currencies may cause borrowers in such countries to find it more difficult to meet their Euro repayment obligations and investors in such countries may find that the cost of meeting their commitment to AGSIF increases by virtue of a comparatively valuable Euro. These events are unprecedented and it is difficult to predict with any certainty the consequences of such events on AGSIF and its Investments.

Deployment of Capital.

In light of the nature of AGSIF's continuous offering in relation to AGSIF's investment strategy and the need to be able to deploy potentially large amounts of capital quickly to capitalize on potential investment opportunities, if AGSIF has difficulty identifying and purchasing suitable investments on attractive terms, there could be a delay between the time it receives net proceeds from the sale of Shares in this offering or any private offering and the time AGSIF invests the net proceeds. AGSIF may also from time to time hold cash pending deployment into Investments or have less than its targeted leverage, which cash or shortfall in target leverage may at times be significant, particularly at times when AGSIF is receiving high amounts of offering proceeds and/or times when there are few attractive investment opportunities. Such cash may be held in an account for the benefit of Shareholders that may be invested in money market accounts or other similar temporary investments, each of which are subject to the Management Fee.

In the event AGSIF is unable to find suitable Investments such cash may be maintained for longer periods which would be dilutive to overall investment returns. This could cause a substantial delay in the time it takes for a Shareholder's investment to realize its full potential return and could adversely affect AGSIF's ability to pay regular distributions of cash flow from operations to you. It is not anticipated that the temporary Investment of such cash into money market accounts or other similar temporary investments pending deployment into Investments will generate significant interest, and Shareholders should understand that such low interest payments on the temporarily invested cash may adversely affect overall returns. In the event AGSIF fails to timely invest the net proceeds of sales of Shares or does not deploy sufficient capital to meet its targeted leverage, AGSIF's results of operations and financial condition may be adversely affected.

Sourcing and Payment of Distributions.

AGSIF has not established a minimum distribution payment level, and AGSIF's ability to make distributions to its Shareholders may be adversely affected by a number of factors, including the risk factors described in the Prospectus or this Annex as well as the Intermediary Funds' and Other Ares Funds' in which AGSIF invests (including ASIF's and AESIF's) abilities to make distributions to their respective investors. The Intermediary Funds and the Other Ares Funds (including ASIF, AESIF and APSIF) in which AGSIF invests each have a limited track record and may not generate sufficient income to make distributions to AGSIF's Shareholders.

The Board of Directors (or its delegate) will make determinations regarding distributions based upon, among other factors, AGSIF's financial performance, debt service obligations, debt covenants, tax requirements and capital expenditure requirements. Among the factors that could impair AGSIF's ability to make distributions to its Shareholders are:

- AGSIF's inability to invest the proceeds from sales of Shares on a timely basis;
- AGSIF's inability to realize attractive risk-adjusted returns on AGSIF's Investments;
- high levels of expenses or reduced revenues that reduce AGSIF's cash flow or non-cash earnings; and
- defaults in AGSIF's investment portfolio or decreases in the value of AGSIF's Investments.

As a result, AGSIF may not be able to make distributions to its Shareholders at any time in the future, and the level of any distributions AGSIF does make to Shareholders may not increase or even be maintained over time, any of which could materially and adversely affect the value of a Shareholder's investment.

AGSIF may not generate sufficient cash flow from operations to fully fund distributions to Shareholders, particularly during the early stages of AGSIF's operations. Therefore, AGSIF may fund distributions to AGSIF's Shareholders from sources other than cash flow from operations, including, without limitation, the sale of assets, borrowings, return of capital or offering proceeds (including from sales from Shares or AGSIF Aggregator units). The extent to which AGSIF pays distributions from sources other than cash flow from operations will depend on

various factors, including the level of participation in AGSIF's Accumulation Sub-Classes, the extent to which AIFM, the Investment Manager and Sub-Investment Manager (and/or such other combination of persons as the Investment Manager may designate), as applicable, elects to receive the Management Fee in Shares or units of the AGSIF Aggregator, how quickly AGSIF invests the proceeds from this and any future offering and the performance of AGSIF's Investments. Funding distributions from the sales of assets, borrowings, return of capital or proceeds of the offering will result in AGSIF having less funds available to acquire Investments. As a result, the return a Shareholder realizes on its investment may be reduced. Doing so may also negatively impact AGSIF's ability to generate cash flows. Likewise, funding distributions from the sale of additional securities will dilute a Shareholder's interest in AGSIF on a percentage basis and may impact the value of a Shareholder's investment especially if AGSIF sells these securities at prices less than the price paid for its Shares. AGSIF may be required to continue to fund AGSIF's regular distributions from a combination of some of these sources if AGSIF's Investments fail to perform, if expenses are greater than AGSIF's revenues or due to numerous other factors. AGSIF has not established a limit on the amount of its distributions that may be paid from any of these sources.

To the extent AGSIF borrows funds to pay distributions, it would incur borrowing costs and these borrowings would require a future repayment. The use of these sources for distributions and the ultimate repayment of any liabilities incurred could adversely impact AGSIF's ability to pay distributions in future periods, decrease AGSIF's NAV, decrease the amount of cash AGSIF has available for operations and new investments and adversely impact the value of a Shareholder's investment.

AGSIF may also defer operating expenses or pay expenses (including the fees of the Investment Manager) with Shares or units of the AGSIF Aggregator in order to preserve cash flow for the payment of distributions. The ultimate repayment of these deferred expenses could adversely affect AGSIF's operations and reduce the future return on a Shareholder's investment. AGSIF may redeem Shares or redeem units of the AGSIF Aggregator from the Investment Manager shortly after issuing such units or Shares as compensation. The payment of expenses in Shares or with units of the AGSIF Aggregator will dilute your ownership interest in AGSIF's portfolio of assets. There is no guarantee any of AGSIF's operating expenses will be deferred and the Investment Manager and the AIFM are under no obligation to receive future fees or distributions in Shares, units of the AGSIF Aggregator and may elect to receive such amounts in cash.

In-Kind Remuneration to the Investment Manager and the AIFM.

The Investment Manager, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, may choose to receive Shares or units of the AGSIF Aggregator *in lieu* of certain fees or distributions. The holders of all units of the AGSIF Aggregator are entitled to receive cash from operations pro rata with the distributions being paid to AGSIF and such distributions to the holder of units of the AGSIF Aggregator will reduce the cash available for distribution to AGSIF and to its Shareholders. Furthermore, under certain circumstances units of the AGSIF Aggregator held by the Investment Manager, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, in cash at the holder's election, and there may not be sufficient cash to make such a redemption payment; therefore, AGSIF may need to use cash from operations, borrowings, offering proceeds or other sources to make the payment, which will reduce cash available for distribution to Shareholders or for investment in AGSIF's operations. Redemptions of Shares or AGSIF Aggregator units paid to the AIFM (and/or such other combination of persons as the Investment Manager may designate) as a Management Fee are not subject to the Redemption Limitation, any Early Redemption Deduction or any Redemption Fee, and such sales receive priority over other Shares being put for redemption during such period.

Reinvestment of Distributions.

Shareholders that subscribe for Accumulation Sub-Class Shares will, *in lieu* of receiving cash distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. If such amounts are reinvested, such Shareholders will remain exposed to risks associated with such investments.

No Right to Control AGSIF.

The Sponsor will have exclusive responsibility for AGSIF's activities, and, other than as set forth herein and in the Articles, Shareholders will not be able to make investments or any other decisions concerning the management of AGSIF. Shareholders have no rights or powers to take part in the management of AGSIF or make investment decisions and will not generally receive the amount of any Portfolio Entity's financial information that is generally available to the AIFM. The AIFM will generally have sole and absolute discretion in structuring, negotiating and purchasing, financing and eventually divesting Investments on behalf of AGSIF (subject to specified exceptions). Accordingly, no person should purchase a Share unless such person is willing to entrust all aspects of the management of AGSIF to the AIFM.

Lack of Liquidity.

There is no current public trading market for the Shares, and the Sponsor does not expect that such a market will ever develop. Therefore, redemption of Shares by AGSIF will likely be the only way for a Shareholder to dispose of its Shares. AGSIF expects to redeem Shares at a price equal to the applicable NAV as of the Redemption Date and not based on the price at which such Shareholder initially purchased its Shares. Investors should note that no redemptions will be accepted by AGSIF Fund until the First Redemption Date.

Subject to limited exceptions, Shares of certain Share Classes (as set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*” of this Annex) that are redeemed within eighteen (18) months of the date of issuance will be redeemed at 98% of the applicable NAV as of the Redemption Date. Redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of 5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date) if such redemption occurs within the first eighteen (18) months of the relevant Shareholder’s initial subscription to such Class D Shares or Class E Shares, as applicable, as determined by the Investment Manager in its sole discretion from time to time. As a result, a Shareholder may receive less than the price paid for its Shares when such Shareholder redeem Shares pursuant to AGSIF’s redemption program. Please refer to Section V: “*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*” of this Annex.

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AGSIF, including redemptions at all Parallel Entities and the AGSIF Aggregator, but excluding any Early Redemption Deduction or any Redemption Fee applicable to the redeemed Shares) is generally limited to 5% of aggregate NAV per calendar quarter (measured as of the last calendar day of the previous calendar quarter), except in the exceptional circumstances set out in this Annex. The foregoing limitation on redemptions is based on net redemptions (as defined below) during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this Annex.

In exceptional circumstances and not on a systematic basis, AGSIF Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in AGSIF’s best interest and the best interest of AGSIF’s investors as a whole, such as when redemptions are unable to be made in Intermediary Funds and Other Ares Funds in which AGSIF is directly or indirectly invested (including for the avoidance of doubt ASIF, AESIF and APSIF), when redemptions of Shares would place an undue burden on AGSIF’s liquidity, adversely affect AGSIF’s operations, risk having an adverse impact on AGSIF that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to Redemption Limitation and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AGSIF’s best interest and the best interest of AGSIF’s investors.

In the event that, pursuant to the limitation above, not all of the Shares submitted for redemption during a given quarter are to be accepted for redemption by AGSIF Fund, Shares submitted for redemption during such quarter will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AGSIF if applicable). Unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date in the manner as described above in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” of this Annex. Settlements of any redemptions will generally be made by the relevant Settlement Date, i.e. within ten (10) Business Days from the relevant NAV Release Date (e.g., a Shareholder requesting a September 1st redemption would generally be expected to receive a settlement on or around October 30th of the same year), *provided* that this timing may vary depending on when redemption proceeds are actually received by the AGSIF Fund from the Intermediary Funds and/or the Other Ares Funds, as applicable. As a result, a Shareholder will experience significant delays in realizing liquidity even when its Redemption Request is accepted.

The vast majority of AGSIF’s assets are expected to consist of Investments that cannot generally be readily liquidated without impacting AGSIF’s ability to realize full value upon their disposition. Therefore, AGSIF may not always have a sufficient amount of cash to immediately satisfy Redemption Requests. As a result, Shareholder’s ability to have its Shares redeemed by AGSIF may be limited and at times a Shareholder may not be able to liquidate its investment. Please refer to Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” of this Annex.

Effect of Redemption Requests.

Economic events affecting the European economy could cause Shareholders to seek to sell their Shares to AGSIF pursuant to AGSIF's redemption program at a time when such events are adversely affecting the performance of AGSIF's assets. Even if the Investment Manager decides to satisfy all resulting Redemption Requests, AGSIF's cash flow could be materially adversely affected. AGSIF's ability to satisfy Redemption Requests of its Shareholders is also determined by the Intermediary Funds' abilities and the abilities of the Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF) to also fulfil redemption requests by their own unitholders, partners or shareholders, applicable. In addition, if AGSIF determines to sell assets to satisfy Redemption Requests, it may not be able to realize the return on such assets that it may have been able to achieve had it sold at a more favorable time, and AGSIF's results of operations and financial condition, including, without limitation, breadth of its portfolio by property type and location, could be materially adversely affected.

Compulsory Redemptions.

In accordance with the Prospectus and the Articles, the Board of Directors (or its delegate) may compulsorily redeem all or any part of the Shares of any Shareholder in the circumstances set out in Section V: "*Subscriptions, Redemptions and Other Transactions*" of the Annex or if it discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person, either alone or in conjunction with any other person, whether directly or indirectly, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such compulsory redemptions will generally be subject to the same terms as voluntary redemptions of Shareholders (including the limitations imposed thereon), unless otherwise determined by the Board of Directors or its delegate in its sole discretion.

Fees Paid by Advisory Investors.

Shareholders (or their brokers on their behalf) may elect to be treated as "advisory investors" and in connection therewith, by virtue of holding Class A Shares and Class B Shares, bear a larger amount of fees than investors that are not "advisory investors" for reporting, administrative and other services provided by such advisory investor's registered investment adviser, adviser representative or other financial intermediary. Some or all of the Servicing Fee payable in respect of a Class A or Class B Shareholder's investment may be allocated to such Shareholder's financial intermediary through which such Shareholder was placed in AGSIF. Any amounts allocated in accordance with the foregoing sentence will compensate such financial intermediary for reporting, administrative and other services provided to a Shareholder by such financial intermediary. The receipt of the Servicing Fee by a Shareholder's financial intermediary will result in a conflict of interest.

Discretionary Expense Cap.

The Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AGSIF Fund and/or the AGSIF Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AGSIF Fund the AGSIF Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed. By subscribing for Shares, Shareholders will be deemed to have acknowledged and agreed that: (i) this discretionary expense cap will lower the Operating Expenses and/or Organizational and Offering Expenses burden on AGSIF for the period in time the cap is in place (resulting in a greater NAV per Share during such period than would otherwise be the case), and consequently defer expenses to later periods; (ii) they may be required to bear a portion of Organizational and Offering Expenses and/or Operating Expenses relating to periods prior to their admission into AGSIF Fund; (iii) Shareholders redeeming their Shares before the complete reimbursement of Organizational and Offering Expenses and/or Operating Expenses, will bear a lower amount of Organizational and Offering Expenses and/or Operating Expenses than would have otherwise be the case, should the discretionary cap not have been in place; and (iv) Shareholders redeeming their Shares before the Effective Date will bear no Organizational and Offering Expenses and limited Operating Expenses (but will be subject to the Early Redemption Deduction and/or any Redemption Fee).

AGSIF has limited prior operating history.

AGSIF is a collection of recently formed special purpose entities and has limited prior operating history or track record, and will be entirely dependent on the Investment Manager, the Sub-Investment Manager and the AIFM. While the principals of the Investment Manager and the AIFM (the "Principals") may have previous experience making and managing investments similar to those contemplated by AGSIF, there can be no assurance that

AGSIF's Investments will achieve results similar to those attained by previous investments of the Principals. In addition, AGSIF's Investments may differ from previous investments made by the Principals in a number of respects, including target return levels, level of risk associated with a particular investment, amount invested in a particular company, types of companies within a particular industry sector, amount of leverage used, structure, and holding period.

All AGSIF entities may be jointly responsible for the repayment of Fund indebtedness.

To the extent permitted, AGSIF may utilize indebtedness secured by investments by AGSIF. Indebtedness secured by subscriptions may be structured in a way that the vehicles comprising AGSIF are jointly responsible on a cross-collateralized basis for the repayment of such indebtedness.

Early termination of AGSIF.

It is possible that AGSIF may be dissolved and terminated prematurely and, as a result, may not be able to accomplish its objectives and may be required to dispose of its Investments at a disadvantageous time or make an in-kind distribution (resulting in Shareholders not having their capital invested and/or deployed in the manner originally contemplated).

SFDR Categorization.

AGSIF is intended to be classified as an Article 6 financial product for the purposes of SFDR. There is legal uncertainty around the parameters applicable when categorizing a financial product under SFDR and there is no guarantee that regulators will agree with the relevant characterization. In circumstances where there is a determination that AGSIF has been characterized incorrectly, there could be a risk of investigation, enforcement proceedings and/or sanctions.

Furthermore, certain SFDR supporting and related regulations are likely to be amended in the near to medium term and new guidance may also be issued by the European Supervisory Authorities. These factors and events have the potential to increase related compliance and other costs which would be borne by AGSIF. For further information with respect to the potential risks arising from SFDR categorization, please refer to Section XVI: *"Risk Factors, Potential Conflicts of Interest and Other Considerations"*.

Further information with respect to the SFDR categorization of AGSIF can be found at Schedule 1: "Sustainability-Related Disclosures" to this Annex.

Risk Factors Relating to AGSIF's Investments in Intermediary Funds and Other Ares Funds Generally

No Investment in Ares or the Other Ares Funds.

An investor in AGSIF is not acquiring an interest in any Other Ares Fund (including for the avoidance of doubt ASIF, AESIF and APSIF) or Ares itself. The Investment Manager cannot assure investors that it will replicate Ares' historical success, and AGSIF's investment returns could be substantially lower than the returns achieved by the Other Ares Funds (including ASIF, AESIF and APSIF).

Investment through a Limited Number of Intermediary Funds and Other Ares Funds.

AGSIF expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds (including ASIF, ASIF and APSIF), which presents certain additional risks to investors. For example, AGSIF may be materially affected by the actions of a larger investor investing in such Intermediary Funds or Other Ares Funds (including ASIF, ASIF and APSIF). If a larger investor withdraws from such underlying fund, the remaining investors may experience higher pro rata operating expenses, thereby producing lower returns. An Intermediary Fund or an Other Ares Fund through which AGSIF invests may become less diverse due to a withdrawal by a larger investor, resulting in increased portfolio concentration. Creditors of an Intermediary Fund or an Other Ares Fund through which AGSIF invests may enforce claims against all assets of such underlying fund. In addition, certain conflicts of interests may exist due to different tax considerations applicable to AGSIF and the investors into such Intermediary Funds or Other Ares Funds. See also *"Risk Factors Relating to AGSIF's indirect investment in ASIF"*, *"Risk Factors Relating to AGSIF's indirect investment in AESIF"* and *"Risk Factors Relating to AGSIF's indirect investment in APSIF"* below.

Investing in Other Ares Funds (including ASIF, AESIF and APSIF).

AGSIF intends to directly or indirectly invest into Other Ares Funds (including ASIF, AESIF and APSIF). Conflicts of interest may arise in respect of the Investment Manager's management of AGSIF and the Investment Manager's, or an affiliate of the Investment Manager's, management of the relevant Other Ares Funds in which AGSIF invests, as the case may be. While the Investment Manager is required to act in the best interest of AGSIF, it will also be required to act in the best interest of the relevant Other Ares Funds as a whole, in which AGSIF is expected to be a passive, minority investor. AGSIF expects to be a passive investor in such Other Ares Funds and as such, will generally not be able to engage in their management activities. As a result, AGSIF (and therefore, indirectly the Shareholders), will be wholly reliant on the skills, judgement, methods and management of the general partner(s), manager(s), board of directors, board of trustees and/or operator(s) of the Other Ares Funds in which AGSIF directly or indirectly invests and their respective advisors, and the ability of the same to successfully implement the investment strategy and objectives for the relevant Other Ares Funds.

While the interests of investors in an Other Ares Fund in which AGSIF invests are generally expected to align, there can be no guarantees of this and investors may vote or exercise consent rights with respect to their interests in an Other Ares Fund according to their own respective interest. Shareholders should note therefore, that the exercise of votes and/or consent rights by other investors in a relevant Other Ares Fund may not necessarily align with the interests of AGSIF (and indirectly its Shareholders) as an investor in the Other Ares Fund, and as a result decisions may be made with respect to the operations and activities of the relevant Other Ares Fund in a manner disadvantageous to the interests of AGSIF (and, indirectly, its Shareholders).

Shareholders should also be aware that the terms governing AGSIF's investment in an Other Ares Fund are not expected to be negotiated on behalf of AGSIF. Typically, investors participating in an Other Ares Fund will conduct a certain level of due diligence as well as engaging legal counsel and/or other advisors (such as tax and regulatory advisors) prior to subscribing for interests in the relevant Other Ares Fund. Given that both AGSIF and the Other Ares Funds in which it invests are expected to be managed by affiliates of the Investment Manager, and the fact that AGSIF is expected to generally be a minority investor in the Other Ares Fund, the Investment Manager does not anticipate conducting any such corresponding due diligence or engaging legal or other advisors in connection with its Investments. Instead, AGSIF will rely on the Investment Manager having knowledge of the investment strategies of the Other Ares Funds in which it invests (by virtue of the Investment Manager and/or one or more of its affiliates also acting as the manager or in a similar capacity with respect to the Other Ares Fund).

Capacity of Portfolio Funds to Raise Substantial Funds.

If the Intermediary Funds and Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF) are unable to raise substantial funds, then such portfolio funds will be more limited in the number and type of investments they may make, their respective expenses may be higher relative to their total assets, and the value of the direct or indirect investment of AGSIF in such portfolio fund may be reduced in the event underlying assets under-perform. Amounts that the portfolio fund raise may not be sufficient for us to purchase a broad portfolio of investments. To the extent that the Intermediary Funds and Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF) are unable to raise all the capital they seek, the opportunity for such portfolio funds to purchase a broad portfolio of investments may be decreased and the returns achieved on those investments may be reduced as a result of allocating all of their expenses among a smaller capital base. If the portfolio funds are unable to raise substantial funds, they may not achieve certain economies of scale and their respective expenses may represent a larger proportion of their total assets.

Investments in Portfolio Funds Generally.

The risks associated with AGSIF's investments into the Intermediary Funds and Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF) are generally related to, among other things, (i) the ability of each of such portfolio fund sponsors to select and manage successful investment opportunities; (ii) the quality of the management of each portfolio fund sponsor and each portfolio company in which the portfolio funds invest; (iii) the ability of the portfolio funds to liquidate their investments; and (iv) general economic conditions. There can be no assurance that the investments made by the Intermediary Funds and Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF) will result in attractive rates of return to AGSIF. AGSIF will not be able to participate in the management and control of the Intermediary Funds and Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF) nor of the portfolio companies in which they have invested. Consequently, AGSIF will not be able to control the amount or timing of distributions from such portfolio fund, which may affect Shareholders' returns.

In addition, the returns of AGSIF's investments in the Intermediary Funds and Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF) will depend largely on the performance of their respective managers,

operators and/or advisers (as applicable) and could be substantially adversely affected by the unfavourable performance and/or practices and policies of such managers, operators and/or advisers (as applicable). The performance of a manager, operator and/or adviser (as applicable) may also rely on the services of a limited number of key individuals, the loss of whom could significantly adversely affect such manager's, operator's and/or adviser's (as applicable) performance.

Such managers, operators and/or advisers (as applicable) may enter into new lines of business not anticipated by AGSIF at the time AGSIF invests in the Intermediary Funds or Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF). The managers, operators and/or advisers (as applicable) of the Intermediary Funds or such Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF), may also have the ability to change their investment objectives and strategies and economic and other terms after AGSIF has made its investments and such change in the investment objectives and strategies may be different from the objectives expected at the relevant time by the Investment Manager. AGSIF would likely not have the ability to prevent such managers, operators and/or advisers (as applicable) from taking such action and these decisions may negatively impact the performance of AGSIF.

Reliance on Reporting from Portfolio Funds and Underlying Issuers.

AGSIF's ability to deliver accurate and timely reports to its investors, is dependent upon the accuracy and timeliness of the reports received from the Intermediary Funds, the Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF) and their respective managers, as well as from Underlying Issuers. The position of investors in AGSIF may depend on the amount of information AGSIF receives from the Intermediary Funds, such Other Ares Funds in which AGSIF invests (including ASIF, AESIF and APSIF) and the Underlying Issuers. If AGSIF does not have the right to access particular information, investors' positions, including their tax position, may be prejudiced. The managers of the Intermediary Funds and such Other Ares Funds in which AGSIF invests may utilize divergent reporting standards that may make it difficult for Ares to accurately assess the prior performance of the Intermediary Funds and such Other Ares Funds in which AGSIF invests. In addition, such reporting variances may affect the ability of Ares to accurately value and monitor underlying investments.

Risk Factors Relating to AGSIF's indirect investment in ASIF

AGSIF's Investment through Intermediary Funds.

AGSIF expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds (including ASIF, AESIF and APSIF) but will not invest directly or indirectly more than 80% of its gross assets in any one Other Ares Fund (including ASIF, AESIF and APSIF).

In addition, (i) AGSIF will generally seek to own less than 60% of the outstanding shares of any Intermediary Funds that invest into ASIF (the "**Threshold**"); and (ii) any Intermediary Funds investing into ASIF will generally seek to own less than 25% of the outstanding shares of ASIF at any time where ownership of such Intermediary Fund by AGSIF exceeds the Threshold. If both guide limits set out in (i) and (ii) above are exceeded, on either an individual or aggregate basis, AGSIF will not request the redemption of more than 5% of the outstanding shares in the relevant Intermediary Fund(s) in any calendar quarter. Further, to the extent that AGSIF indirectly owns through Intermediary Fund(s) more than 5% of the shares of ASIF, AGSIF will only be able to send redemption requests to the relevant Intermediary Fund(s) (i) if such redemption requests are to satisfy Redemption Requests received by AGSIF in respect of its Shareholders; or (ii) as required by applicable law or regulation.

The Threshold and the other limitations and thresholds set out in the preceding paragraph may limit the ability of AGSIF to subscribe for, or redeem shares in an Intermediary Fund, which, in turn, may limit the ability of Shareholders and/or potential investors in AGSIF to subscribe for, or redeem Shares. In addition, AGSIF may be limited in its ability to obtain exposure to ASIF and, therefore, may need to make other investments.

AGSIF's Indirect Investment in ASIF and BDCs Generally.

ASIF has elected to be regulated as a BDC under the Investment Company Act and has elected to be treated as a regulated investment company ("**RIC**") under the U.S. Internal Revenue Code of 1986, as amended (the "**Code**"). As with other companies regulated by the Investment Company Act, a BDC must adhere to certain substantive regulatory requirements. The Investment Company Act contains prohibitions and restrictions relating to certain transactions between BDCs and certain affiliates (including any investment advisers or sub-advisers), principal underwriters and certain affiliates of those affiliates or underwriters. Among other things, ASIF (and indirectly

AGSIF through its investments in Intermediary Funds) generally cannot co-invest in any portfolio company in which a fund managed by Ares or any of its downstream affiliates (other than ASIF and its downstream affiliates) is also co-investing. However, ASIF, its investment adviser and certain of its affiliates have received an exemptive relief order from the U.S. Securities and Exchange Commission (the “SEC”) that permits them and other BDCs and registered closed-end management investment companies managed by Ares and its affiliates to co-invest in portfolio companies with each other and with other affiliated entities (the “**Co-Investment Exemptive Order**”).

As required by the Co-Investment Exemptive Order, ASIF has adopted, and its board of trustees has approved, policies and procedures reasonably designed to ensure compliance with the terms of the Co-Investment Exemptive Order. Co-investments made under the Co-Investment Exemptive Order are subject to compliance with certain conditions and other requirements, which could limit ASIF’s (and indirectly AGSIF’s through its investments in Intermediary Funds) ability to participate in co-investment transactions. As a result of investments permitted by the Co-Investment Exemptive Order, there could be significant overlap in ASIF’s investment portfolio (and indirectly AGSIF through its investments in Intermediary Funds) and the investment portfolios of affiliated Ares entities that can rely on the Co-Investment Exemptive Order and that have an investment objective similar to ASIF’s. ASIF (and indirectly AGSIF through its investments in Intermediary Funds) may also otherwise co-invest with funds managed by Ares or any of its downstream affiliates, subject to compliance with existing regulatory guidance, applicable regulations and ASIF’s investment adviser’s allocation policy.

The Investment Company Act contains certain restrictions on certain types of investments ASIF (and indirectly AGSIF through its investments in Intermediary Funds) may make. Specifically, ASIF may only invest up to 30% of its portfolio in entities that are not considered “eligible portfolio companies” (as defined in the Investment Company Act), including companies located outside of the U.S., entities that are operating pursuant to certain exceptions under the Investment Company Act, and publicly traded entities whose public equity market capitalization exceeds the levels provided for under the Investment Company Act. The Investment Company Act also requires that a majority of ASIF’s trustees be persons other than “interested persons” of ASIF and Ares as that term is defined in Section 2(a)(19) of the Investment Company Act. In addition, the Investment Company Act provides that ASIF may not change the nature of its business so as to cease to be, or to withdraw its election as, a BDC unless that change is approved by holders of at least a majority of its outstanding voting securities.

Under the Investment Company Act, the vote of holders of at least a “majority of outstanding voting securities” means the vote of the holders of the lesser of: (a) 67% or more of the outstanding common shares in the BDC present at a meeting or represented by proxy if holders of more than 50% of the common shares are present or represented by proxy; or (b) more than 50% of the outstanding common shares in the BDC. Under the Investment Company Act, ASIF is not generally able to issue and sell common shares at a price below net asset value per share. ASIF may, however, sell its common shares, or warrants, options or rights to acquire its common shares, at a price below the current net asset value per share of its common shares if ASIF complies with the provisions of Section 63(2) of the Investment Company Act, including the requirements that ASIF’s board of trustees determine that such sale is in ASIF’s best interests and the best interests of its common shareholders and ASIF’s common shareholders approve such sale.

ASIF may invest up to 100% of its assets in securities acquired directly from issuers in privately negotiated transactions. ASIF’s intention is to not write (sell) or buy put or call options to manage risks associated with the publicly traded securities of its portfolio companies. ASIF may enter into hedging transactions to manage the risks associated with interest rate and currency fluctuations. ASIF may purchase or otherwise receive warrants or options to purchase the common stock of its portfolio companies in connection with acquisition financings or other investments. In connection with such an acquisition, ASIF may acquire rights to require the issuers of acquired securities or their affiliates to repurchase them under certain circumstances. ASIF also does not intend to acquire securities issued by any investment company that exceed the limits imposed by the Investment Company Act. Under these limits, ASIF generally cannot acquire more than 3% of the voting stock of any investment company (as defined in the Investment Company Act), invest more than 5% of the value of its total assets in the securities of one investment company or invest more than 10% of the value of its total assets in the securities of investment companies in the aggregate unless certain conditions are met. With regard to that portion of ASIF’s portfolio invested in securities issued by investment companies, it should be noted that such investments might subject ASIF’s common shareholders (including the Intermediary Funds through which AGSIF indirectly invests into ASIF) to additional expenses.

In accordance with the Investment Company Act, a BDC generally is allowed to borrow amounts such that its asset coverage, calculated pursuant to the Investment Company Act, is at least 150% (or 200% if certain requirements under the Investment Company Act are not met) immediately after such borrowing. As such, ASIF is currently allowed to borrow amounts or issue debt securities or preferred stock (referred to as “senior securities”) such that ASIF’s asset coverage, as calculated pursuant to the Investment Company Act, equals at least 150% immediately after such borrowing (i.e., ASIF is able to borrow up to two dollars for every dollar it has

in assets less all liabilities and indebtedness not represented by senior securities issued by ASIF). ASIF's sole initial shareholder approved a proposal that allowed ASIF to reduce its asset coverage ratio applicable to senior securities from 200% to 150%.

A BDC must have been organized and have its principal place of business in the U.S. and must be operated for the purpose of making investments in the types of securities described in (1), (2) or (3) below. Thus, under the Investment Company Act, a BDC may not acquire any asset other than assets of the type listed in Section 55(a) of the Investment Company Act, which are referred to as "qualifying assets", unless, at the time the acquisition is made, qualifying assets represent at least 70% of the BDC's total assets. The principal categories of qualifying assets relevant to ASIF's business are the following:

- (1) Securities purchased in transactions not involving any public offering from the issuer of such securities, which issuer (subject to certain limited exceptions):
 - (a) is an eligible portfolio company, or from any person who is, or has been during the preceding 13 months, an affiliated person of an eligible portfolio company, or from any other person, subject to such rules as may be prescribed by the SEC. An eligible portfolio company is defined in the Investment Company Act as any issuer that:
 - (i) is organized under the laws of, and has its principal place of business in, the United States;
 - (ii) is not an investment company (other than a small business investment company wholly owned by the BDC) or a company that would be an investment company but for certain exclusions under the Investment Company Act; and
 - (iii) does not have any class of securities listed on a national securities exchange;
 - (b) is a company that meets the requirements of (a)(i) and (ii) above, but is not an eligible portfolio company because it has issued a class of securities on a national securities exchange, if:
 - (i) at the time of the purchase, the BDC owns at least 50% of the (x) greatest number of equity securities of such issuer and securities convertible into or exchangeable for such securities; and (y) the greatest amount of debt securities of such issuer, held by the BDC at any point in time during the period when such issuer was an eligible portfolio company; and
 - (ii) the BDC is one of the 20 largest holders of record of such issuer's outstanding voting securities; or
 - (c) is a company that meets the requirements of (a)(i) and (ii) above, but is not an eligible portfolio company because it has issued a class of securities on a national securities exchange, if the aggregate market value of such company's outstanding voting and non-voting common equity is less than \$250 million.
- (2) Securities of any eligible portfolio company that the BDC controls.
- (3) Securities purchased in a private transaction from a U.S. issuer that is not an investment company or from an affiliated person of the issuer, or in transactions incident thereto, if the issuer is in bankruptcy and subject to reorganization or if the issuer, immediately prior to the purchase of its securities, was unable to meet its obligations as they came due without material assistance other than conventional lending or financing arrangements.
- (4) Securities of an eligible portfolio company purchased from any person in a private transaction if there is no ready market for such securities and the BDC already owns 60% of the outstanding equity of the eligible portfolio company.
- (5) Securities received in exchange for or distributed on or with respect to securities described in (1) through (4) above, or pursuant to the exercise of warrants or rights relating to such securities.
- (6) Cash, cash items, U.S. government securities or high-quality debt securities maturing in one year or less from the time of investment.

Risk Factors Relating to AGSIF's indirect investment in AESIF

Diversification Risk.

AESIF is subject to restrictions on the size of investments such that it will not at any one time invest and hold more than 20% of its NAV in any single Investment as measured at the time of acquisition; provided that such

diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the investment manager of AESIF under the oversight of the AIFM. No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new investment (including the exercise of rights attached to an Investment), provided that in such circumstances the investment manager of AESIF shall take reasonable steps to bring AESIF Fund within this 20% diversification requirement, except where the investment manager of AESIF reasonably believes doing so would be prejudicial to the interests of AESIF or any of its underlying investors (including AUSIF). For the purpose of the foregoing limitations, the amount invested in any investment will be net of indebtedness and take into account the allocated or expected indebtedness that the investment manager of AESIF deems related to the Investment being acquired, whether incurred specifically at the Investment level or allocated from other vehicle indebtedness. This 20% diversification requirement will not apply during a ramp-up period of up to four (4) years after the initial subscription is received.

Accordingly, AESIF may participate in a limited number of investments and, as a consequence, the aggregate return of AESIF may be substantially adversely affected by the unfavorable performance of even a single investment. In addition, other than as set forth in the AESIF Annex, investors have no assurance as to the degree of diversification of AESIF Investments, either by geographic area, asset type or sector. To the extent AESIF concentrates Investments in a particular issuer, asset type, industry, security or geographic area, its Investments will become more susceptible to fluctuations in value resulting from adverse economic, political, regulatory, technological, industry and/or business conditions with respect thereto. These risks may be further pronounced where an investment is secured by a relatively small or less diverse pool of underlying assets. Certain geographic areas and/or industries may be more adversely affected by economic pressures when compared to other geographic areas and/or industries. As a consequence, the aggregate return of AESIF may be adversely affected by the unfavorable performance of one or a small number of Investments, or unfavorable developments in one or a small number of countries or industries. Moreover, there are no assurances that any or all of AESIF's Investments will perform well or avoid loss, and if certain investments perform unfavorably, for AESIF to achieve above-average returns, one or a few of its Investments must perform very well. There are no assurances that this will be the case.

Since AESIF invests primarily in the credit markets, its portfolio may not be as diversified as other investment vehicles. Accordingly, AESIF's Investments may be subject to more rapid change in value than would be the case if AESIF were required to maintain a wide diversification among types of securities, geographical areas, issuers and/or industries. Any such non-diversification will increase the risk of loss to AESIF if there were to be a decline in the market value of any security or sector in which AESIF had invested a large percentage of its assets. Investment in a non-diversified fund will generally entail greater risks than investments in a diversified fund.

There can be no assurance that AESIF's sponsor will be successful in identifying investment opportunities. Although AESIF may invest in Other Ares Funds, the investment portfolio of such Other Ares Funds may differ materially in terms of levels of sectoral and geographic diversification from the current investment strategy of AESIF.

Risks Associated with the Euro.

The functioning of the Euro as a single currency across the diverse economies comprising the Eurozone has sustained considerable pressure as the result of the global financial crisis and other subsequent macroeconomic events. The situation, particularly in those countries where sovereign default is perceived to be most likely, may continue to deteriorate. It is therefore possible that the Euro may cease to be the national currency of some or even all of the countries comprising the Eurozone. If this were to occur, fluctuations in currency exchange rates of the new local currencies may cause borrowers in such countries to find it more difficult to meet their Euro repayment obligations and investors in such countries may find that the cost of meeting their commitment to AESIF increases by virtue of a comparatively valuable Euro. These events are unprecedented and it is difficult to predict with any certainty the consequences of such events on AESIF and its Investments.

Deployment of Capital.

In light of the nature of AESIF's continuous offering in relation to AESIF's investment strategy and the need to be able to deploy potentially large amounts of capital quickly to capitalize on potential investment opportunities, if AESIF has difficulty identifying and purchasing suitable investments on attractive terms, there could be a delay between the time it receives net proceeds from the sale of shares in AESIF in any private offering and the time AESIF invests the net proceeds. AESIF may also from time to time hold cash pending deployment into Investments or have less than its targeted leverage, which cash or shortfall in target leverage may at times be significant, particularly at times when AESIF is receiving high amounts of offering proceeds and/or times when

there are few attractive investment opportunities. Such cash may be held in an account for the benefit of Shareholders that may be invested in money market accounts or other similar temporary investments, each of which are subject to management fees at the level of AESIF.

In the event AESIF is unable to find suitable investments such cash may be maintained for longer periods which would be dilutive to overall investment returns. This could cause a substantial delay in the time it takes for AGSIF's investment in AESIF to realize its full potential return and could adversely affect AESIF's ability to pay regular distributions of cash flow from operations to AGSIF. It is not anticipated that the temporary investment of such cash into money market accounts or other similar temporary investments pending deployment into investments will generate significant interest, and AESIF's shareholders should understand that such low interest payments on the temporarily invested cash may adversely affect overall returns. In the event AESIF fails to timely invest the net proceeds of sales of shares in AESIF or does not deploy sufficient capital to meet its targeted leverage, AESIF's results of operations and financial condition may be adversely affected.

Sourcing and Payment of Distributions.

AESIF has not established a minimum distribution payment level, and AESIF's ability to make distributions to its shareholders may be adversely affected by a number of factors, including the risk factors described in the Prospectus or the AESIF Annex. AESIF has a limited track record and may not generate sufficient income to make distributions to AESIF's shareholders. The Board of Directors or its delegate will make determinations regarding distributions based upon, among other factors, AESIF's financial performance, debt service obligations, debt covenants, tax requirements and capital expenditure requirements. Among the factors that could impair AESIF's ability to make distributions to its shareholders are:

- AESIF's inability to invest the proceeds from sales of shares in AESIF on a timely basis;
- AESIF's inability to realize attractive risk-adjusted returns on AESIF's Investments;
- high levels of expenses or reduced revenues that reduce AESIF's cash flow or non-cash earnings; and
- defaults in AESIF's investment portfolio or decreases in the value of AESIF's Investments.

As a result, AESIF may not be able to make distributions to its shareholders at any time in the future, and the level of any distributions AESIF does make to its shareholders may not increase or even be maintained over time, any of which could materially and adversely affect the value of AGSIF's investment in AESIF.

AESIF may not generate sufficient cash flow from operations to fully fund distributions to shareholders in AESIF, particularly during the early stages of AESIF's operations. Therefore, AESIF may fund distributions to AESIF's shareholders from sources other than cash flow from operations, including, without limitation, the sale of assets, borrowings, return of capital or offering proceeds (including from sales from shares in AESIF or units in the AESIF aggregator). The extent to which AESIF pays distributions from sources other than cash flow from operations will depend on various factors, including the level of participation in AESIF's Accumulation Sub-Classes, the extent to which the AESIF investment manager elects to receive its management fee and performance participation allocation in shares in AESIF or units of the AESIF aggregator and the performance participation allocation recipient elects to receive distributions on its performance participation allocation in units of the AESIF aggregator, how quickly AESIF invests the proceeds from this and any future offering and the performance of AESIF's Investments. Funding distributions from the sales of assets, borrowings, return of capital or proceeds of the offering will result in AESIF having less funds available to acquire investments. As a result, the return AGSIF realizes on its investment in AESIF may be reduced. Doing so may also negatively impact AESIF's ability to generate cash flows. Likewise, funding distributions from the sale of additional securities will dilute AGSIF's interest in AESIF on a percentage basis and may impact the value of AGSIF's Investment especially if AESIF sells these securities at prices less than the price AGSIF paid for the shares AESIF. AESIF may be required to continue to fund AESIF's regular distributions from a combination of some of these sources if AESIF's Investments fail to perform, if expenses are greater than AESIF's revenues or due to numerous other factors. AESIF has not established a limit on the amount of its distributions that may be paid from any of these sources.

To the extent AESIF borrows funds to pay distributions, it would incur borrowing costs and these borrowings would require a future repayment. The use of these sources for distributions and the ultimate repayment of any liabilities incurred could adversely impact AESIF's ability to pay distributions in future periods, decrease AESIF's NAV, decrease the amount of cash AESIF has available for operations and new investments and adversely impact the value of AGSIF investment.

AESIF may also defer operating expenses or pay expenses (including the fees of the investment manager or distributions to the performance participation allocation recipient) with shares in AESIF or units of the AESIF

aggregator in order to preserve cash flow for the payment of distributions. The ultimate repayment of these deferred expenses could adversely affect AESIF's operations and reduce the future return on AGSIF's investment in AESIF. AESIF may redeem its shares or redeem units of the AESIF aggregator from the investment manager or the recipient shortly after issuing such units or shares in AESIF as compensation. The payment of expenses in shares in AESIF or with units of the AESIF aggregator will dilute AGSIF's ownership interest in AESIF's portfolio of assets. There is no guarantee any of AESIF's operating expenses will be deferred and the AESIF investment manager and the performance participation allocation recipient are under no obligation to receive future fees or distributions in shares in AESIF, units of the AESIF aggregator and may elect to receive such amounts in cash.

In-Kind Remuneration to the AESIF Investment Manager and/or AESIF Performance Participation Allocation Recipient.

The AESIF investment manager or the performance participation allocation recipient may choose to receive shares in AESIF or units of the AESIF aggregator *in lieu* of certain fees or distributions. The holders of all units of the AESIF aggregator are entitled to receive cash from operations pro rata with the distributions being paid to AESIF and such distributions to the holder of units of the AESIF aggregator will reduce the cash available for distribution to AESIF and to its shareholders. Furthermore, under certain circumstances units of the AESIF aggregator held by the AESIF investment manager or the performance participation allocation recipient are required to be redeemed, in cash at the holder's election, and there may not be sufficient cash to make such a redemption payment; therefore, AESIF may need to use cash from operations, borrowings, offering proceeds or other sources to make the payment, which will reduce cash available for distribution to AGSIF or for its investment in AESIF's operations. Redemptions of shares in AESIF or AESIF aggregator units from the AESIF investment manager paid to the AESIF investment manager as a management fee are not subject to the monthly and quarterly volume limitations, any early redemption deduction or any redemption fee, and such sales receive priority over other AESIF shares being put for redemption during such period. Redemptions of shares in AESIF or AESIF aggregator units from the performance participation allocation recipient distributed to the performance participation allocation recipient with respect to its performance participation allocation are not subject to any early redemption deduction or any redemption fee, but, in the case of shares, such redemptions are subject to the monthly and quarterly volume limitations and do not receive priority over other shares in AESIF being put for redemption during such period.

Reinvestment of Distributions.

AESIF shareholders (including AGSIF) that subscribe for Accumulation Sub-Class Shares in AESIF, will, *in lieu* of receiving cash distributions, have any such amounts reinvested in such class by way of capitalizing such amounts into the NAV of the then existing AESIF shares of such class. If such amounts are reinvested, such AESIF shareholders will remain exposed to risks associated with such investments.

No Right to Control AESIF.

AESIF's sponsor will have exclusive responsibility for AESIF's activities, and, other than as set forth herein and in the Articles, AESIF shareholders (including AGSIF) will not be able to make investments or any other decisions concerning the management of AESIF. AESIF shareholders have no rights or powers to take part in the management of AESIF or make investment decisions and will not generally receive the amount of any portfolio entity's financial information that is generally available to the AIFM. The AIFM will generally have sole and absolute discretion in structuring, negotiating and purchasing, financing and eventually divesting investments on behalf of AESIF (subject to specified exceptions). Accordingly, no person should purchase a share in AESIF unless such person is willing to entrust all aspects of the management of AESIF to the AIFM.

Lack of Liquidity.

There is no current public trading market for the AESIF shares, and AESIF's sponsor does not expect that such a market will ever develop. Therefore, redemption of shares by AESIF will likely be the only way for AGSIF to dispose of its shares in AESIF. AESIF expects to redeem shares at a price equal to the applicable NAV as of the redemption date and not based on the price at which AGSIF initially purchased its shares in AESIF. Subject to limited exceptions, shares of certain AESIF share classes that are redeemed within 18 months of the date of issuance will be redeemed at 95% of the applicable NAV as of the redemption. Redemptions of AESIF's class D shares and AESIF class E shares may be subject to a redemption fee of 5% of the NAV of the AESIF shares being redeemed if such redemption occurs within the first 18 months of the relevant shareholder's initial subscription to such class D shares or class E shares, as applicable, as determined by the AESIF investment manager in its sole discretion from time to time. As a result, AGSIF may receive less than the price paid for its AESIF shares when AGSIF sell them to AESIF pursuant to AESIF's redemption program.

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AESIF, including redemptions in all AESIF's parallel Entities and the AESIF aggregator) is generally limited to 2% of aggregate NAV per calendar month of all AESIF's parallel Entities and the AESIF aggregator (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter) and 5% of such aggregate NAV per calendar quarter (measured using the aggregate NAV as of the last calendar day of the previous calendar quarter), except in certain exceptional circumstances. In any given calendar quarter, excess redemption capacity under the 2% monthly limitation described in the foregoing will be rolled into the subsequent month of such calendar quarter and be available for further redemptions in such calendar quarter only.

In exceptional circumstances and not on a systematic basis, AESIF may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods) if in the AESIF investment manager's reasonable judgment it deems such action to be in AESIF's best interest and the best interest of AESIF's investors, such as when redemptions of shares in AESIF would place an undue burden on AESIF's liquidity, adversely affect AESIF's operations, risk having an adverse impact on AESIF that would outweigh the benefit of redemptions of shares in AESIF or as a result of legal or regulatory changes. Material modifications intended to reduce available liquidity, including any reduction to the 2% monthly or 5% quarterly limitations on redemptions and suspensions of the redemption program, will be promptly disclosed to the AESIF's shareholders (including AGSIF). If the redemption program is suspended, the AESIF investment manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AESIF's best interest and the best interest of AESIF's investors.

In the event that, pursuant to the limitation above, not all of the shares in AESIF submitted for redemption during a given month are to be accepted for redemption by AESIF, shares in AESIF submitted for redemption during such month will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AESIF if applicable). Unsatisfied redemption requests received by AESIF will be automatically resubmitted for the next available AESIF redemption date. Settlements of any redemptions will generally be made within 60 calendar days from the AESIF redemption date. As a result AGSIF will experience significant delays in realizing liquidity even when its redemption request is accepted by AESIF.

The vast majority of AESIF's assets are expected to consist of investments that cannot generally be readily liquidated without impacting AESIF's ability to realize full value upon their disposition. Therefore, AESIF may not always have a sufficient amount of cash to immediately satisfy its redemption requests. As a result, AGSIF's ability to have its shares in AESIF redeemed by AESIF may be limited and at times AGSIF may not be able to liquidate its investment in AESIF.

Effect of Redemption Requests.

Economic events affecting the European economy could cause AESIF shareholders to seek to sell their shares in AESIF to AESIF pursuant to AESIF's redemption program at a time when such events are adversely affecting the performance of AESIF's assets. Even if the AESIF investment manager decides to satisfy all resulting redemption requests, AESIF's cash flow could be materially adversely affected. In addition, if AESIF determines to sell assets to satisfy its redemption requests, it may not be able to realize the return on such assets that it may have been able to achieve had it sold at a more favorable time, and AESIF's results of operations and financial condition, including, without limitation, breadth of its portfolio by property type and location, could be materially adversely affected.

Mandatory Withdrawal.

The AESIF investment manager may require the withdrawal of all or any part of its shares of any shareholder (including AGSIF) from AESIF at any time and for any reason, regardless of any outstanding withdrawal requests and any priority given thereto. Any such mandatory withdrawals will generally be subject to the same terms as voluntary withdrawals of AESIF shareholders (including the limitations imposed thereon), unless otherwise determined by the AESIF investment manager in its sole discretion.

Fees Paid by Advisory Investors.

AESIF shareholders (or their brokers on their behalf) may elect to be treated as "advisory investors" and in connection therewith, by virtue of holding AESIF class A shares, AESIF class A-Italy shares and AESIF class B shares, bear a larger amount of fees than investors that are not "advisory investors" for reporting, administrative and other services provided by such advisory investor's registered investment adviser, adviser representative or other financial intermediary. Some or all of the Servicing Fee payable in respect of an AESIF class A, class A-Italy or a class B shareholder's investment may be allocated to such AESIF shareholder's financial intermediary through which such shareholder was placed in AESIF. Any amounts allocated in accordance with the foregoing sentence will compensate such financial intermediary for reporting, administrative and other services provided to

an AESIF shareholder by such financial intermediary. The receipt of the Servicing Fee by a shareholder's financial intermediary will result in a conflict of interest.

Discretionary Expense Cap.

The AESIF investment manager may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AESIF in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the AESIF investment manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AESIF and any applicable AESIF parallel entities (as applicable and as determined by the AESIF investment manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the AESIF investment manager) following the date such cap is removed. By subscribing for AESIF shares, shareholders in AESIF (including AGSIF) will be deemed to have acknowledged and agreed that: (i) this discretionary expense cap will lower the Operating Expenses and/or Organizational and Offering Expenses burden on AESIF for the period in time the cap is in place (resulting in a greater NAV per AESIF share during such period than would otherwise be the case), and consequently defer expenses to later periods; (ii) they may be required to bear a portion of Organizational and Offering Expenses and/or Operating Expenses relating to periods prior to their admission into AESIF; (iii) AESIF shareholders redeeming their AESIF shares before the complete reimbursement of Organizational and Offering Expenses and/or Operating Expenses, will bear a lower amount of Organizational and Offering Expenses and/or Operating Expenses than would have otherwise be the case, should the discretionary cap not have been in place; and (iv) Shareholders redeeming their AESIF Shares before the AESIF Effective Date will bear no Organizational and Offering Expenses and limited Operating Expenses (but will be subject to any early redemption deduction and/or any redemption fee).

AESIF has limited prior operating history.

AESIF is a collection of recently formed special purpose entities and has limited prior operating history or track record, and will be entirely dependent on the AESIF investment manager and the AIFM. While the principals of the AESIF investment manager and the AIFM (for the purpose of this paragraph, the “**Principals**”) may have previous experience making and managing investments similar to those contemplated by AESIF, there can be no assurance that AESIF's Investments will achieve results similar to those attained by previous investments of the Principals. In addition, AESIF's Investments may differ from previous investments made by the Principals in a number of respects, including target return levels, level of risk associated with a particular investment, amount invested in a particular company, types of companies within a particular industry sector, amount of leverage used, structure, and holding period.

All AESIF entities may be jointly responsible for the repayment of fund indebtedness.

To the extent permitted, AESIF may utilize indebtedness secured by investments by AESIF. Indebtedness secured by subscriptions may be structured in a way that the vehicles comprising AESIF are jointly responsible on a cross-collateralized basis for the repayment of such indebtedness.

Early termination of AESIF.

It is possible that AESIF may be dissolved and terminated prematurely and, as a result, may not be able to accomplish its objectives and may be required to dispose of its Investments at a disadvantageous time or make an in-kind distribution (resulting in shareholders in AESIF not having their capital invested and/or deployed in the manner originally contemplated).

SFDR Categorization.

AESIF is intended to be classified as an Article 8 financial product for the purposes of SFDR. There is legal uncertainty around the parameters applicable when categorizing a financial product under SFDR and there is no guarantee that regulators will agree with the relevant characterization. In circumstances where there is a determination that AESIF has been characterized incorrectly, there could be a risk of investigation, enforcement proceedings and/or sanctions.

Furthermore, certain aspects of the reporting requirements applicable to Article 8 financial products are currently uncertain and market practice is yet to evolve. Certain SFDR supporting and related regulations are likely to be amended in the near to medium term and new guidance may also be issued by the European Supervisory Authorities. These factors and events have the potential to increase related compliance and other costs which would be borne by AESIF.

Where more than one class and/or series of shares of the Ares Cayman Fund is issued in respect of a particular Segregated Portfolio and the liabilities referable to one class or series are in excess of the assets referable to such class or series; or such class or series is unable to meet all liabilities attributed to it, the assets of the Segregated Portfolio attributable to the other classes or series of shares may be applied to cover the liability excess incurred in respect of such classes or series of such Segregated Portfolio. Accordingly, there is a risk that liabilities of one class or series within a particular Segregated Portfolio may not be limited to that particular class or series and may be required to be paid out of one or more other classes or series of that particular Segregated Portfolio.

Lack of Liquidity.

There is no current public trading market for the APSIF shares, and APSIF's sponsor does not expect that such a market will ever develop. Therefore, redemption of shares by APSIF will likely be the only way for AGSIF to dispose of its shares in APSIF. APSIF expects to redeem shares at a price equal to the applicable NAV as of the redemption date and not based on the price at which AGSIF initially purchased its shares in APSIF. Subject to limited exceptions, shares of certain APSIF share classes that are redeemed within 18 months from the date of issuance will be redeemed at 95% of the applicable NAV as of the relevant redemption date. As a result, AGSIF may receive less than the price paid for its APSIF shares when AGSIF redeems them to APSIF pursuant to APSIF's redemption program.

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across APSIF, including redemptions at all APSIF parallel entities, but excluding any early redemption deduction applicable to the redeemed APSIF shares) is generally limited to 5% of aggregate NAV per calendar quarter of all APSIF entities (measured as of the last calendar day of the previous calendar quarter), except in the exceptional circumstances described below.

In exceptional circumstances and not on a systematic basis, APSIF may make exceptions to, modify or suspend, in whole or in part, the redemption program if in the APSIF investment manager's reasonable judgment it deems such action to be in APSIF's best interest and the best interest of APSIF's investors, such as when redemptions of shares in APSIF would place an undue burden on APSIF's liquidity, adversely affect APSIF's operations, risk having an adverse impact on APSIF that would outweigh the benefit of redemptions of shares in APSIF or as a result of legal or regulatory changes. Material modifications intended to reduce available liquidity, including any amendment to the 5% quarterly limitations on redemption and suspensions of the redemption program will be promptly disclosed to APSIF's shareholders (including AGSIF). If the redemption program is suspended, the APSIF investment manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in APSIF's best interest and the best interest of APSIF's investors (including AGSIF).

In the event that, pursuant to the limitation above, not all of the shares in APSIF submitted for redemption during a given calendar quarter are to be accepted for redemption by APSIF, shares in APSIF submitted for redemption during such quarter will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across APSIF if applicable). Unsatisfied redemption requests received by APSIF will be automatically resubmitted for the next available APSIF redemption date. Settlements of any redemptions will generally be made within ten (10) business days from the APSIF redemption date. As a result AGSIF will experience significant delays in realizing liquidity even when its redemption request is accepted by APSIF.

The vast majority of APSIF's assets are expected to consist of investments that cannot generally be readily liquidated without impacting AGSIF's ability to realize full value upon their disposition. Therefore, APSIF may not always have a sufficient amount of cash to immediately satisfy its redemption requests. As a result, AGSIF's ability to have its shares in APSIF redeemed by APSIF may be limited and at times AGSIF may not be able to liquidate its investment in APSIF.

No Assurance of Portfolio Investment Return.

APSIF may enter into high-risk investment opportunities. APSIF will make investments based on its board of directors' or its delegates' projections of internal rates of return, which in turn are based on, among other considerations, assumptions regarding the performance of the companies in which it invests, which may not achieve their expected operational objectives and may experience substantial fluctuations in their operating results.

APSIF will be subject to the risks associated with the underlying businesses engaged in such companies, including market conditions, changes in regulatory environment, general economic and political conditions, the loss of key management personnel, the manner and timing of dispositions and other factors. There is no assurance that the board of directors of APSIF (the "**APSIF Board**") will be able to generate returns for APSIF's investors (including AGSIF) or that returns will be commensurate with the risks of investing directly in such companies. There can be no assurance that the APSIF will be able to implement its investment strategy, that APSIF's

investment objective will be achieved, or that a shareholder in APSIF (including AGSIF) will receive a return on its capital. In considering the performance information received from the APSIF Board, prospective investors should bear in mind that past, targeted or projected performance is not necessarily indicative of future results, and there can be no assurance that targeted or projected returns will be achieved and that APSIF will achieve comparable results.

Availability of Suitable Investments.

Although the APSIF Board believes that there are currently available attractive investments of the type in which APSIF may invest, there can be no assurance that such investments will continue to be available for APSIF's investment activities, or that available investments will meet APSIF's investment criteria.

Unspecified Investments.

The APSIF Board has not yet selected any of the investments that APSIF will make. There can be no assurance that investments will be available for APSIF's investment activities, that available investments will meet APSIF's investment criteria, or that if such investments are made, the objectives of APSIF will be achieved. The APSIF Board may also be unable to finance or complete any particular investment successfully. Furthermore, purchasers of shares in APSIF (including AGSIF) will not have an opportunity to evaluate for themselves the relevant economic, financial and other information regarding the investments to be made by APSIF in the future and, accordingly, will be dependent upon the judgment and ability of the APSIF Board in investing and managing the capital of APSIF.

Competitive Market for Investment Opportunities.

The activity of identifying, completing and realizing attractive credit investments is competitive and involves a high degree of uncertainty. The availability of investment opportunities generally will be subject to market conditions. APSIF may encounter competition from other similarly focused funds formed before or after the establishment of APSIF. Potential competitors also include other investment partnerships and corporations, business development companies, strategic industry acquirers and other financial investors investing directly or through affiliates. Some of these competitors may have more relevant experience, greater financial resources and/or more personnel than APSIF, the APSIF Board or its affiliates. Consequently, it is possible that competition for appropriate investment opportunities may increase, thus reducing the number of investment opportunities available to APSIF and adversely affecting the terms upon which its investments can be made. There can be no assurance that the APSIF Board or its delegate will be able to locate, consummate and exit investments that satisfy APSIF's rate of return objectives or realize their values or that it will be able to invest fully the capital it raised from its shareholders (including APSIF). To the extent that APSIF encounters competition for investments, returns from APSIF to its shareholders (including AGSIF) may decrease.

Risk of Limited Number of Investments.

APSIF may invest in a limited number of companies and, as a consequence, the aggregate return of APSIF may be substantially adversely affected by the unfavorable performance of even a single company. Shareholders of APSIF will generally have no assurance as to the degree of diversification in APSIF's investments, either by geographic region or asset type, and there can be no assurance that investments will be made in any specific country. In addition, in transactions where the APSIF Board intends to refinance all or a portion of the capital invested, there will be a risk that such refinancing may not be completed, which could lead to increased risk as a result of APSIF having an unintended long-term investment and/or reduced diversification.

Illiquidity of Portfolio Investments.

Subject to compliance with applicable investment restrictions, APSIF may invest in companies the securities of which are not, at the time of investment, and may never be, publicly traded. Dispositions of such investments in illiquid securities may require a lengthy period of time or may, upon the dissolution APSIF, result in distributions in-kind to its shareholders (including AGSIF). These investments may be difficult to value and to sell or otherwise liquidate, and the risk of investing in such companies is generally much greater than the risk of investing in publicly traded securities. Furthermore, companies whose securities are not publicly traded are not subject to the same disclosure and other investor protection requirements that are generally applicable to companies with publicly traded securities. Furthermore, there can be no assurance that private purchasers for such companies will be found. In addition, in certain circumstances governmental or regulatory approvals may be required for the APSIF to dispose of certain portfolio investments or APSIF may be prohibited by contract or for legal or regulatory reasons from selling a portfolio investment for a period of time.

Lack of Additional Funds.

Following its initial investment in a portfolio company, the APSIF Board or its delegate may have the opportunity to increase APSIF's investment in subsequent operations or may be asked to provide additional funds to such portfolio company. There is no assurance that APSIF will make such follow-on investments or that APSIF will have sufficient resources to make such investments. Any decision not to make follow-on investments or APSIF's inability to make them may have a substantial negative impact on a portfolio company in need of such an investment or may result in missed opportunities for APSIF. Additionally, if APSIF has insufficient capital available to make any particular follow-on investment, the APSIF Board and its affiliates and other investment funds managed by the APSIF Board may make such investments.

Investment in Less Established Companies.

In addition to investing in established companies, APSIF may invest a portion of its assets in the securities of smaller, less established companies. Investments in such companies may involve greater risks than are generally associated with investments in more established companies. The securities of such companies may be subject to more abrupt and erratic market price movements than larger, more established companies, since trading volumes for their securities are generally quite low. Less established companies tend to have a lower capitalization and fewer resources and, therefore, are often more vulnerable to financial failure. In addition, such companies may not be profitable at the time of investment and may experience substantial fluctuations in their operating results. The success of such companies may also depend on the management talents and efforts of one person or a small group of persons whose death, disability or resignation would adversely affect their businesses. Such companies may also have shorter operating histories on which to judge future performance. APSIF has not established any minimum size for the companies in which it will invest.

Risks Associated with Publicly-Traded Securities.

APSIF may make investments in publicly-traded securities, and may hold publicly-traded securities following a partial exit from an investment. APSIF's investments in securities of publicly-traded companies may be sensitive to movements in the stock market and trends in the overall economy. Moreover, the ability of certain portfolio companies to refinance debt securities may depend on their ability to sell new securities in the public high-yield debt market or otherwise.

Control Positions and Non-Controlling Investments.

APSIF may hold non-controlling interests in portfolio companies and, therefore, may have a limited ability to protect its investment in such portfolio companies.

Investments with Third Parties in Joint Ventures, Partnerships and Other Entities.

APSIF may make co-investments with third parties through special purpose vehicles, partnerships, joint ventures or other entities, thereby acquiring non-controlling interests in certain portfolio companies. APSIF may not have control over these companies and, therefore, may have a limited ability to protect its position therein. Such investments may involve risks not present in investments where a third party is not involved, including the possibility that a third party partner or co-investor may have financial difficulties resulting in a negative impact on such investment, may have economic or business interests or goals which are inconsistent with those of APSIF, or may be in a position to take (or block) action in a manner contrary to APSIF's investment objectives. In addition, APSIF may in certain circumstances be liable for the actions of its third party partners or co-investors. Investments made with third parties in joint ventures or other entities may involve fees payable to such third-party partners or co-investors.

Use of Leverage by APSIF.

APSIF may borrow funds for various purposes, and may withhold from distributions amounts necessary to repay such borrowings. The interest expense and other costs incurred in connection with such borrowing may not be recovered by income from the investments purchased by APSIF. If investment results fail to cover the cost of borrowings, the value of the portfolio held by APSIF would decrease faster than if there had been no such borrowings. Additionally, if its investments fail to perform to expectation, the interests of shareholders in APSIF (including AGSIF) will be subordinated to such leverage, which will compound any such adverse consequences. Further, to the extent income received from investments is used to make interest and principal payments on such borrowings, shareholders in APSIF (including AGSIF) may be allocated income, and therefore tax liability, in excess of cash received by them in distributions. Borrowings may be secured by a security interest in investments and other assets of APSIF.

Litigation Risks.

APSIF may be subject to a variety of litigation risks, particularly if one or more of its investments face financial or other difficulties during the life of APSIF. Legal disputes involving APSIF, the APSIF Board, its investment manager or their respective affiliates may arise from the foregoing activities and any other activities relating to the operation of APSIF (or it's the APSIF Board) and could have a significant adverse effect on APSIF. Additionally, APSIF may appoint representatives to the boards of directors of its portfolio companies. Serving on such boards may expose APSIF to potential liabilities. Although its investments may have insurance to protect directors and officers from such liabilities, such insurance may not be obtained by all such entities and may be insufficient if obtained.

Hedging Policies/Risks.

In connection with the financing of certain portfolio investments, APSIF may employ hedging techniques designed to reduce the risks of adverse movements in interest rates, securities prices, currency exchange and other such risks. While such transactions may reduce certain risks, such transactions themselves may entail certain other risks. Thus, while APSIF may benefit from the use of these hedging mechanisms, unanticipated changes in interest rates, securities prices or currency exchange rates may result in a poorer overall performance for APSIF than if it had not entered into such hedging transactions.

Assumption of Contingent Liabilities.

In connection with a portfolio investment, APSIF may assume, or acquire securities in a portfolio company subject to, contingent liabilities. These liabilities may be material and may include liabilities associated with pending litigation, regulatory investigations or environmental actions, among other things. To the extent that these liabilities are realized, they may materially adversely affect the value of APSIF's interest in such portfolio company. In addition, if APSIF has assumed or guaranteed these liabilities, the obligation would be payable from the assets of APSIF.

Contingent Liabilities on Disposition of Portfolio Investments.

In connection with the disposition of a portfolio investment, APSIF may be required to make representations about the business and financial affairs of such company typical of those made in connection with the sale of a business. APSIF also may be required to indemnify the purchasers of such portfolio investment to the extent that any such representations are inaccurate. These arrangements may result in the incurrence of contingent liabilities for which the APSIF Board may establish reserves or escrow accounts.

APSIF is subject to risks in using depositaries, custodians, counterparties, administrators and other agents.

APSIF depends on the services of depositaries, custodians, counterparties, administrators and other agents to carry out certain transactions on behalf of APSIF. The terms of these contracts are often customized and complex, and many of these arrangements occur in markets or relate to products that are not subject to regulatory oversight. APSIF is subject to the risk that the counterparty to one or more of these contracts defaults, either voluntarily or involuntarily, on its performance under the contract. Any such default may occur suddenly and without notice to the APSIF Board or the investment manager of APSIF. Moreover, if a counterparty defaults, neither the APSIF Board or the investment manager may be able to take action to cover APSIF's exposure, either because they lack contractual recourse or because market conditions make it difficult to take effective action. This inability could occur in times of market stress, which is when defaults are most likely to occur.

In the event of the insolvency of a depositary, custodian, counterparty or any other party that is holding assets of APSIF as collateral, APSIF might not be able to recover equivalent assets in full as they will rank among the depositary's, custodian's or counterparty's unsecured creditors in relation to the assets held as collateral. In addition, APSIF's cash held with a depositary, custodian or counterparty generally will not be segregated from the depositary's, custodian's or counterparty's own cash, and APSIF may therefore rank as an unsecured creditor in relation thereto.

The counterparty risks that APSIF faces have increased in complexity and magnitude as a result of disruption in the financial markets in recent years. For example, the consolidation and elimination of counterparties has increased the concentration of counterparty risk and decreased the universe of potential counterparties, and APSIF is generally not restricted from dealing with any particular counterparty or from concentrating any or all of its transactions with one counterparty. In addition, counterparties have generally reacted to recent market volatility by tightening their standards and increasing their margin requirements for all categories of financing, which has the result of decreasing the overall amount of leverage available and increasing the costs of borrowing.

General risk associated with investing in Asia-Pacific

APSIF's investments in companies operating in Asia-Pacific involve certain additional risks not typically associated with investments in more developed markets, including, but not limited to, the risks summarized below. The APSIF Board will seek to manage APSIF in a manner designed to mitigate these risks relative to the potential for gain, but such risks cannot be eliminated entirely, and may in any case be beyond the control of the APSIF Board. These risks, some of which are set out below, may increase expenses of APSIF, adversely affect the value of APSIF's investments and returns, and adversely impact APSIF's investment program and strategy.

Political, Economic and Other Factors.

In the course of investing in Asia-Pacific, APSIF will be exposed to the direct and indirect consequences of political, economic, social or diplomatic changes in Asia-Pacific that could adversely affect its portfolio companies.

The economies of Asia-Pacific may perform favorably or unfavorably compared with more developed economies in respects including, but not limited to, growth of gross domestic product, rate of inflation, currency controls, currency appreciation or depreciation, capital reinvestment, resource self-sufficiency and balance of payments. The economies of Asia-Pacific generally are heavily dependent upon international trade and, accordingly, may be affected adversely by protective trade barriers and economic conditions in the countries with which they trade. In addition, the economies in some Asia-Pacific countries in which APSIF is expected to invest are vulnerable to weaknesses in world prices for their commodity exports and/or fluctuations of worldwide commodity prices. Some Asia-Pacific countries in which APSIF is expected to invest have from time to time experienced high rates of inflation and have extensive external debt. Some Asia-Pacific countries in which APSIF is expected to invest face economic, social and/or political instability resulting from among other things (many of which may be unforeseeable): (i) authoritarian governments or military involvement in political and economic decision-making; (ii) changes in government or governmental policies; (iii) popular unrest and internal insurgencies associated with demands for improved political, economic and social conditions; (iv) adverse relations with other countries; (v) ethnic, racial and religious conflict; or (vi) public health issues. APSIF does not intend to obtain political risk insurance. The governments in the region typically participate to a significant degree, through ownership interests or regulation, in local business, often exercising a controlling influence in certain key sectors of the economy, such as telecommunications, banking, air and rail transportation, electrical power, steel and shipbuilding. In the past, certain Asia-Pacific governments have failed to recognize private property rights and nationalized or expropriated or imposed confiscatory taxation on the assets of private companies.

While APSIF intends to manage the APSIF's portfolio of investments in a manner that will mitigate these risks relative to the potential for gain, there can be no assurance that adverse political, economic, social or diplomatic changes will not cause APSIF to suffer losses.

Legal Risks.

The lack of a comprehensive and enforceable legal system in some Asia-Pacific countries in which APSIF is expected to invest may adversely affect APSIF's investments and/or its portfolio companies. For example, APSIF and/or its portfolio companies may have difficulty in successfully pursuing claims against an entity in which it invests or with which it transacts business or its directors, officers or shareholders in certain Asia-Pacific countries compared to a country with a more developed legal system. In particular, laws regulating ownership, control and corporate governance of companies may not offer significant protection to minority shareholders and management or controlling shareholders may be able to take action against the interests of minority shareholders that may result in share dilution. APSIF or its portfolio companies may have limited legal recourse in the event of a dispute, and remedies might have to be pursued in the courts of the country in question where it may be difficult to obtain and enforce a judgment, especially against governmental entities. Further, the laws and regulations in some Asia-Pacific countries in which APSIF is expected to invest can be vague, contradictory, not comprehensive and subject to varying interpretation, any of which may expose APSIF and/or its portfolio companies to losses.

Governmental Licenses.

Businesses in some Asia-Pacific countries in which APSIF is expected to invest may be dependent upon the grant, renewal or continuance in force of appropriate contracts, licenses, permits and regulatory approvals and consents which may be valid only for a defined time period, may be subject to limitations and may provide for withdrawal in certain circumstances. There can be no assurance that such contracts, licenses, permits and regulatory approvals and consents would be granted, renewed or continue in force, or if so, on what terms. These may be susceptible to revision or cancellation and legal redress may be uncertain or delayed. There can be no assurance that joint ventures, licenses, license applications or other legal arrangements will not be adversely affected by the actions

of government authorities or others and the effectiveness of and enforcement of such arrangements cannot be assured.

Foreign Currency Considerations.

Fluctuation in the value of currencies of some Asia–Pacific countries in which APSIF is expected to invest may materially and adversely affect APSIF’s ability to invest in Asia–Pacific and/or adversely affect APSIF’s portfolio companies. Currencies of some Asia–Pacific countries in which APSIF is expected to invest are often subject to government intervention, restrictions on repatriation and similar restrictions, which may exacerbate the risk of unexpected fluctuations and/or cause APSIF and/or its portfolio companies to incur significant costs or experience substantial delays in, or be prohibited from, converting currencies.

APSIF may conduct its foreign currency exchange transactions either on a spot (i.e., cash) basis at the spot rate prevailing in the foreign currency exchange market, or through entering into forward, futures or options contracts to purchase or sell foreign currencies. While the majority of APSIF’s investments are expected to be denominated in U.S. Dollars, APSIF may engage in forward currency exchange transactions in connection with funding and hedging non-U.S. Dollar denominated investments, but is not required to do so. Nevertheless, changes in currency exchange rates of exchange between the U.S. Dollar and other currencies may adversely affect the U.S. Dollar-value of APSIF’s investments or APSIF’s returns therefrom. Certain of such transactions could require the APSIF board or its investment manager to register with the Commodity Futures Trading Commission (“CFTC”) or seek an applicable exemption from such registration. Losses may result to the extent that the CFTC imposes position limits or other regulatory requirements on hedging arrangements, including under circumstances where the ability of a fund or a portfolio company to hedge its exposures becomes limited by such requirements.

Foreign Investment Controls and Limited Flexibility in Structuring Investments.

Foreign investment in the assets and securities of entities in some Asia–Pacific countries in which APSIF is expected to invest may be restricted or controlled to varying degrees. These restrictions or controls may at times limit or preclude foreign investment in such entities, limit the types of securities that foreigners may buy, or limit foreign investors to special investment structures, which may increase the costs and expenses of APSIF. Foreigners may also be precluded from investing in certain economic sectors (such as communications or natural resources). While the APSIF Board believes its investment structures will not subject the APSIF’s investments to the most prohibitive of the foreign investment and repatriation restrictions in Asia– Pacific, there can be no assurance that authorities in Asia–Pacific countries will agree that such investment structures do not trigger such restrictions, or that the law will not change such that additional governmental approvals are required, portfolio investments are restricted or prohibited, or repatriation of proceeds are taxed, restricted or otherwise prohibited. APSIF could be adversely affected by delays in, or a refusal to grant, any required governmental approval for repatriation of capital, interest and dividends paid on securities held by APSIF or any other such development.

The corporate law and foreign investment related law and regulations of some Asia–Pacific countries in which APSIF is expected to invest may permit less flexibility in structuring transactions than comparable transactions in more developed markets.

In addition, the availability of attractive investment opportunities for APSIF is expected to depend in part on governments in certain Asia–Pacific countries continuing to liberalize their policies regarding foreign investment and, in some cases, to further encourage private sector initiatives. There can be no assurance that such policies will be maintained, and if so whether they will be successful.

Inflation in Asia–Pacific countries.

Some Asia–Pacific countries in which APSIF is expected to invest have, in particular, experienced substantial rates of inflation. Furthermore, in an attempt to stabilize inflation, certain Asia–Pacific countries have previously imposed price controls. Past governmental efforts in certain Asia–Pacific countries to curb inflation have also involved more drastic economic measures which had a materially adverse effect on the level of economic activity. There can be no assurance that the relevant Asia–Pacific governments will be able to continue to exercise effective control over inflation rates or that a high rate of inflation will not have a materially adverse effect on APSIF’s investments.

Credit Ratings.

Any downgrade in credit ratings by any international agencies could have a negative impact on the abilities of the government or the companies of the negatively affected country to raise financing and could have an adverse impact on the liquidity positions of such government and companies. This in turn may adversely impact APSIF and its portfolio investments.

Portfolio Company Reporting.

Investments in some Asia–Pacific countries in which APSIF is expected to invest are prone to fraud and false reporting practices. In certain cases, entrepreneurs of some companies might deliberately falsify or cover up certain company reports or practices, and APSIF may be misinformed regarding its portfolio investments. It is also possible that the entrepreneurs of APSIF’s portfolio companies may, after APSIF has invested in such entities, engage in acts that are in violation of their agreements with APSIF, or otherwise engage in certain acts that damage the interests of APSIF. Any of these issues may undermine the performance of APSIF (and indirectly AGSIF).

In addition, in certain instances, APSIF may not have access to all available information to determine fully the origination, credit appraisal and underwriting practices utilized with respect to the APSIF’s portfolio investments or the manner in which the APSIF’s portfolio investments have been serviced or such portfolio investments operated. As a result, Ares’ due diligence activities may provide less information than due diligence reviews conducted in other countries, which will increase the risks related to the APSIF’s portfolio investments. Although the APSIF Board will endeavor to ensure that appropriate due diligence has been conducted in connection with each APSIF’s portfolio investment, no guarantee can be given that they will obtain the information or assurances that an investor in a more sophisticated market would obtain before proceeding with such a portfolio investment.

Accounting and Other Information.

The availability of information within some Asia–Pacific countries in which APSIF is expected to invest, including information concerning their economies and the securities of companies in such countries, generally is more limited than is the case in other countries or more developed markets. The accounting, auditing and financial reporting standards and practices of certain countries may not be equivalent to those employed in more developed markets and may differ in fundamental respects. Assets and profits appearing on the financial statements of a portfolio company or prospective portfolio company may not reflect its financial position or results of operations in the way they would be reflected had such financial statements been prepared in accordance with international accounting standards.

There may be less information available about companies in some Asia–Pacific countries in which APSIF is expected to invest than about companies in other countries or more developed markets, and there may be less government supervision and regulation of the securities markets, and the investors in such markets as well as of private companies, than in other countries or more developed markets. The relative lack of data may make it more difficult to assess market values in Asia–Pacific.

Securities Markets; Exit Strategies.

To the extent that APSIF holds equity securities, the APSIF Board reserves the right to seek to realize gains on certain of the APSIF’s portfolio investments by selling into the public markets of such Asia–Pacific country. Trading activity on the exchanges of some Asia–Pacific countries in which APSIF is expected to invest may vary in substantial ways from operations on larger, more international public markets, and may be less liquid and more volatile, with less sophisticated settlement systems. This may affect APSIF’s ability to dispose of securities at the price and time it wishes to do so. The securities markets of some Asia–Pacific countries in which APSIF is expected to invest may be susceptible to being influenced by large investors trading significant blocks of securities. In addition, the securities markets of some Asia–Pacific countries in which APSIF is expected to invest may have less rigorous disclosure standards or otherwise be less regulated than larger, more international, public markets. Commissions for trading on securities exchanges in some Asia–Pacific countries in which APSIF is expected to invest can be higher than commissions for trading on stock exchanges in certain other markets.

In addition to their smaller size, reduced liquidity, less developed settlement systems and lower regulation, the individual securities markets of some Asia–Pacific countries in which APSIF is expected to invest are, to varying degrees, influenced by economic and market conditions in other securities markets in Asia–Pacific. Although economic conditions are different in each country, investors’ reaction to developments in one country can have effects on the securities of issuers in other countries in Asia–Pacific. There can be no assurance that individual securities markets will not continue to be affected negatively by events elsewhere, or that such events will not adversely affect the value of the APSIF’s portfolio investments.

Taxation.

The governments of some Asia–Pacific countries in which APSIF is expected to invest continue to revise their tax laws, and may also be renegotiating certain tax treaties. Therefore, there may be changes in tax laws, treaties and regulations, or interpretations of such laws, treaties and regulations which may be materially adverse to the value of an investment in APSIF. There can be no assurance that the structure of APSIF or any of its portfolio

investments will be tax-efficient for any particular of its shareholders (including AGSIF). Prospective investors are urged to consult their own tax advisors with reference to their specific tax situations.

Tax laws and regulations relating to private investment funds and their investments in some Asia–Pacific countries in which APSIF is expected to invest are at an early stage of development and are not as clearly established as in other countries or more developed markets. Such laws and regulations can be vague, contradictory, not comprehensive and subject to varying interpretation. The APSIF and/or any of its portfolio investments may be adversely affected if relevant local tax authorities disagree with APSIF’s tax positions.

Corruption.

Corruption remains a significant problem in some Asia–Pacific countries in which APSIF is expected to invest and its effects seriously constrain the development of local economies, erode stability and trust and its macro-economic and social costs are immense. There often exists insufficient anti- corruption legislation and co-ordination of anti-corruption initiatives. Corruption could cause the APSIF’s portfolio investments to be adversely affected including through loss of rights to assets or profits or operational difficulties.

Disasters; Epidemics.

The Asia–Pacific region is at risk of being affected by natural disasters or catastrophic natural events such as earthquakes, volcanoes, tsunamis or tidal waves. Considering that the development of organized public funding for natural emergencies, and natural disaster early warning technology may be immature and unbalanced in some Asia–Pacific countries in which APSIF is expected to invest, the natural disaster toll on a portfolio company or the broader local economic market may be significant. Prolonged periods may pass before essential communications, electricity and other power sources are restored and operations of the portfolio company can be resumed. The management teams of APSIF and its portfolio companies could also be at personal risk in the event of such a disaster. Portfolio companies of APSIF may also be negatively affected by man-made disasters. Publicity of such types of man-made disasters may have a significant negative impact on overall consumer confidence, which in turn may materially and adversely affect the performance of the portfolio companies, whether or not the companies are involved in such man-made disaster.

In addition, the Asia–Pacific region has been susceptible to epidemics, such as severe acute respiratory syndrome, or SARS, avian flu and H1N1/09 flu. Renewed outbreak of such epidemics or the outbreak of other epidemics could adversely affect APSIF’s ability to fulfil its investment objectives.

Risk Factors Relating to AGSIF’s Underlying Assets

Nature of AGSIF’s Investments.

Whilst AGSIF is being formed principally to directly or indirectly self-originate private loans to underlying issuers, it may also capitalize on investments in syndicated loans, high-yield bonds, CLOs, and to a more limited extent, CMBS and rated private ABS. Such securities and instruments may be below “investment grade” or non-rated and may face ongoing uncertainties and exposure to adverse business, financial or economic conditions which could lead to the obligor’s inability to meet timely interest and principal payments. AGSIF may lose a substantial portion or all of its investment in a distressed environment or may be required to accept cash or securities with a value less than AGSIF’s Investment. Among the risks inherent in investments (direct or indirect) in entities experiencing significant financial or business difficulties is the fact that it frequently may be difficult to obtain information as to the true condition of such issuers. Such investments also may be adversely affected by state and federal laws relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the bankruptcy court’s discretionary power to disallow, subordinate or disenfranchise particular claims. The market prices of such instruments are also subject to abrupt and erratic market movements and above-average price volatility, and the spread between the bid and asked prices of such instruments may be greater than normally expected due to a variety of factors that are inherently difficult to predict, such as domestic or international economic and political developments, which may significantly affect the results of AGSIF’s activities. While such investments offer the opportunity for significant capital gains, they also involve a high degree of risk that may result in substantial losses. There can be no assurance that the Investment Manager will correctly evaluate the nature and magnitude of the various factors that could affect the value of AGSIF’s Investments. As a result, AGSIF’s performance over a particular period may not be indicative of the results that may be expected in future periods.

Reliance on Underlying Issuers’ Management.

AGSIF may be significantly reliant on the existing management and board of directors of the entities in which it invests, which may include representation of other financial investors with whom AGSIF is not affiliated and whose interests may conflict with the interests of AGSIF. In addition, to the extent AGSIF acquires mezzanine obligations (which are typically junior to the obligations of a borrower to senior creditors, senior secured creditors and trade creditors), the ability of AGSIF to use its position as a holder of mezzanine debt to influence a borrower's affairs, especially during periods of financial distress or following an insolvency, will be substantially less than that of senior creditors and senior secured creditors.

Portfolio Risk Factors.

It is expected that a portion of the underlying investments will be rated below investment grade, and will have greater credit and liquidity risk than debt with an investment grade rating. The risks of debt instruments include (among others): (a) limited liquidity and secondary market support, (b) the possibility that earnings of the relevant obligor may be insufficient to meet its debt service, (c) the declining creditworthiness and potential for (or actual) insolvency of the relevant obligor of such debt during periods of economic downturn, (d) that the relevant obligor is often a small or mid-size company serving only local or regional interests, (e) spread compression over the reference interest rate available for reinvestment during any period in which prepayments are received and (f) if subordinated, subordination to the prior claims of other debt or senior lenders. Debt instruments are generally subject to market value volatility that may not be apparent from historical volatility studies and that could be significant at times. An economic downturn could severely disrupt the market for debt instruments and adversely affect the value of outstanding debt and the ability of the borrowers thereof to repay principal and interest. Moreover, the default history for debt instruments is limited, actual defaults may be greater than indicated by historical data and the timing of defaults may vary significantly from historical observations.

In certain circumstances, the collateral securing a debt instrument, if any, might not be sufficient to satisfy the relevant obligor's obligations in the event of non-payment of scheduled interest or principal, and may be difficult to liquidate on a timely basis. Additionally, a decline in the value of the collateral could cause the debt to become substantially unsecured, and circumstances could arise (such as in the bankruptcy of a borrower) which could cause the security interest in the debt instrument's collateral to be invalidated.

The portfolio may also include unsecured debt instruments. Unsecured debt instruments are subject to the same investment risks generally applicable to debt instruments described above but are subject to additional risk that the assets and cash flow of the relevant obligor may be insufficient to repay the scheduled payments to the lender after giving effect to any secured obligations of the relevant obligor. Unsecured debt instruments will be subject to certain additional risks to the extent that such debt may not be protected and such debt is not secured by collateral, financial covenants or limitations upon additional indebtedness. Unsecured debt instruments are also expected to be more illiquid than senior secured debt instruments for this reason.

General market and credit and interest rate risks that affect debt instruments generally.

Debt instruments are subject to general market and credit and interest rate risks. Credit risk refers to the likelihood that an obligor will default on the payment of principal, interest or other amounts owed on an instrument. Certain investments may have an interest-only payment schedule with the principal amount remaining outstanding and at risk until the maturity of the investment. Financial strength and solvency of an obligor are the primary factors influencing credit risk, but other factors, including, but not limited to, an obligor's failure to meet its business plan, a downturn in its industry or negative economic conditions may also contribute to credit risk. In addition, lack of, inadequacy of, or a deterioration in value of, collateral or other assets expected to be the source of repayment or credit enhancement for a debt instrument may affect its credit risk. Although AGSIF will seek to be the senior, secured lender to an obligor in most instances, some of AGSIF's loans and other investments in an obligor (including potential equity investments) may be subordinated to a senior lender, and AGSIF's interest in any collateral would, accordingly, likely be subordinate to another lender's security interest. Credit risk may change over the life of an instrument and debt instruments that are rated by rating agencies are subject to downgrade at a later date. There can be no assurance that the AIFM will be successful in assessing the credit risk of the different portfolio investments or mitigating the impact of credit risk changes on AGSIF.

Interest rate risk refers to the risks associated with market changes in interest rates. Interest rate changes may affect the value of a debt instrument indirectly (especially in the case of fixed rate obligations) or directly (especially in the case of instruments whose rates are adjustable). In general, rising interest rates will negatively affect the price of a fixed rate debt instrument and falling interest rates will have a positive effect on the price of a fixed rate debt instrument. Adjustable rate instruments also react to interest rate changes in a similar manner although generally to a lesser degree (depending, however, on the characteristics of the reset terms, including the index chosen, frequency of reset and reset caps or floors, among other factors). Interest rate sensitivity is generally

more pronounced and less predictable in instruments with uncertain payment or prepayment schedules. In addition, interest rate increases generally will increase the interest carrying cost to AGSIF of borrowed securities.

Volatility of leveraged loan and credit markets.

Significant risks for AGSIF and the Shareholders exist as a result of the potential for disruptions in the credit markets and uncertain economic conditions. These risks include, among others, (i) the likelihood that AGSIF may find it more difficult to sell any of its assets in the secondary market, thus rendering it more difficult to dispose of such assets if and when it desires to sell them, (ii) the possibility that the price at which assets can be sold by AGSIF will have deteriorated from the cost of such investment to AGSIF, (iii) the possibility of accelerated prepayments of attractively priced (i.e., the all-in yield), structured or performing assets of AGSIF as a result of increased liquidity and competition in the middle-market private debt asset class driven by economic conditions, relative performance, monetary policy or other governmental action or other factors and (iv) the impact of adverse economic conditions on the obligors of AGSIF's assets. These risks may affect the returns, if any, to the Shareholders or the ability of AGSIF to return any or all of the Shareholders' investments.

Disruptions in the credit markets may reduce opportunities for AGSIF to make investments, and may also heighten refinancing risk in respect of maturing assets of AGSIF. Any events that slow, delay or reverse economic recovery or cause a deterioration in loan performance generally may affect the returns, if any, to the Shareholders or the ability of AGSIF to return any or all of the Shareholders' contributions.

Negative macroeconomic conditions may adversely affect the credit rating (if any), performance and the realization value of AGSIF's assets. It is possible that AGSIF's assets will experience higher default rates and lower recovery rates than anticipated and that performance will be materially worse than expected.

The bankruptcy or insolvency of a major financial institution may have a material adverse effect on AGSIF, particularly if such financial institution is the administrative agent of an asset of AGSIF or is otherwise the counterparty to a contract with AGSIF (including a hedging-related contract). In addition, the bankruptcy, insolvency or financial distress of one or more additional financial institutions, or one or more sovereigns, could trigger additional disruptions in the global credit markets or the global economy which could have a material adverse effect on AGSIF and its assets.

“Shadow Banking” regulation.

There has been increasing commentary among regulators and intergovernmental institutions, including the Financial Stability Board and International Monetary Fund, on the topic of non-bank financial intermediation (which has also been referred to as “shadow banking”). These terms are generally taken to refer to credit intermediation involving entities and activities outside the regulated banking system. The Financial Stability Board issued numerous reports recommending strengthening oversight and regulation of the non-bank financial intermediation in Europe, including steps to define the scope of the non-bank financial intermediation and proposing general governing principles for a monitoring and regulatory framework. While at this stage, it is difficult to predict the scope of any new regulations, if during AGSIF's term such regulations were to extend the regulatory and supervisory requirements currently applicable to banks, such as capital and liquidity standards, to AGSIF, the regulatory and operating costs associated therewith could adversely impact the implementation of AGSIF's investment strategy and AGSIF's returns and could become prohibitive with respect to AGSIF's Investments.

Credit Servicers and Purchasers Directive.

The EU's Directive on credit servicers and credit purchasers (the “**Credit Servicers and Purchasers Directive**”) ((EU) 2021/2167) had to be implemented into national legislation by EU Member States by 29 December 2023. The Credit Servicers and Purchasers Directive imposes new requirements on purchasers of non-performing loans issued by EU credit institutions, whether purchased from the original issuer or on the secondary market. AGSIF will be in scope of these new rules if it purchases such non-performing loans (or purchases loans issued by an EU credit institution that subsequently become non-performing loans) and will be required to appoint a credit servicer for non-performing loans concluded with consumers.

Identifying which non-performing loans purchased on the secondary market were originated by an EU credit institution may prove difficult. In addition, borrowers must be identified and provided with information including

details of any transfer of creditors' rights and the amounts due. Such requirements are likely to result in additional compliance and operational costs for AGSIF.

Limited Amortization Requirements.

AGSIF may invest in loans that have limited mandatory amortization requirements. While these loans may obligate an issuer to repay the loan out of asset sale proceeds or with annual excess cash flow, repayment requirements may be subject to substantial limitations that would allow an issuer to retain such asset sale proceeds or cash flow, thereby extending the expected weighted average life of the Investment. In addition, a low level of amortization of any debt over the life of the Investment may increase the risk that the issuer will not be able to repay or refinance the loans held by AGSIF when it matures.

Investments by AGSIF in special situations may involve additional risks.

AGSIF may provide financing to companies involved in (or the target of) acquisition attempts or tender offers or companies involved in work-outs, liquidations, spin-offs, reorganizations, bankruptcies and similar transactions. In any investment transaction involving any such type of business enterprise, there exists the risk that the transaction in which such business enterprise is involved either will be unsuccessful, will take considerable time or will result in a distribution of cash or a new security the value of which will be less than the purchase price paid by AGSIF of the security or other financial instrument in respect of which such distribution is received. Similarly, if such an anticipated transaction does not in fact occur, AGSIF may lose all or a material portion of its Investment. Because there is substantial uncertainty concerning the outcome of transactions involving financially troubled companies in which AGSIF may invest, there is a potential risk of loss by AGSIF of its entire investment in such companies. In connection with such transactions (or otherwise), AGSIF may purchase securities on a when-issued basis, which means that delivery and payment take place sometime after the date of the commitment to purchase and is often conditioned upon the occurrence of a subsequent event, such as approval and consummation of a merger, reorganization or debt restructuring. The purchase price and/or interest rate receivable with respect to a when-issued security are fixed when AGSIF enters into the commitment. Such securities are subject to a change in value prior to their delivery.

Concentration in any one obligor, region or industry would subject AGSIF to a greater degree of risk.

Some concentration with respect to particular obligors, regions and industries is expected to exist in AGSIF's investment portfolio. In addition, because redemptions and repayments of assets will occur, a concentration in any one obligor, region or industry may occur or increase over time. Any such concentration would subject AGSIF to a greater degree of risk with respect to the impact of a default by such obligor, or a greater degree of risk related to adverse business conditions in such region or industry.

Any credit ratings of AGSIF's assets or the applicable obligor(s) represent the applicable rating agencies' opinions or estimates regarding credit quality and are not a guarantee of quality.

Credit ratings of debt obligations or obligor(s) represent the rating agencies' opinions or estimates regarding their credit quality and are not a guarantee of quality. In addition, rating agencies attempt to evaluate the safety of principal and interest payments and do not evaluate the risks of fluctuations in market value. Therefore, such credit ratings may not fully reflect the true risks of an investment. Also, rating agencies may fail to make timely changes to their credit ratings in response to subsequent events and an obligor's current financial condition may be better or worse than a rating indicates.

AGSIF's assets are subject to certain bankruptcy considerations which may affect AGSIF's rights.

AGSIF may hold investments in obligors that are experiencing, or are expected to experience, severe financial difficulties, which may never be overcome and may lead to uncertain outcomes. The bankruptcy courts of the various jurisdictions in which any such obligor may file bankruptcy would have broad discretion to control the terms of a reorganization, and political factors may be of significant importance in high profile bankruptcies or bankruptcies in particular jurisdictions.

There are a number of significant risks inherent in the bankruptcy process. While creditors are generally given an opportunity to object to significant actions, there can be no assurance that a bankruptcy court, in the exercise of its broad powers, would not approve actions that would be contrary to the interests of AGSIF. For example, to protect net operating losses of an obligor in bankruptcy, a bankruptcy court might take any number of actions, including prohibiting or limiting the transfer of claims held by certain classes of creditors. Such a prohibition could have a material adverse effect on the value of certain investments made by AGSIF. For example, AGSIF might be prohibited from liquidating investments which are declining in value.

In addition, under certain circumstances, a lender who has inappropriately exercised control of the management and policies of an obligor may have their claims subordinated or disallowed or may be found liable for damages suffered by parties as a result of such actions. In addition, under certain circumstances, payments to AGSIF and distributions by AGSIF to the Shareholders may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance, a preferential payment or similar transaction under applicable bankruptcy or other insolvency laws. Furthermore, investments may be adversely affected by statutes related to, among other things, fraudulent conveyances, voidable preferences, lender liability or the bankruptcy court's discretionary power to disallow, subordinate or disenfranchise particular claims or re-characterize investments made in the form of debt as equity contributions.

The possibility of litigation between the participants to a reorganization is another consideration that makes any evaluation of the outcome of an investment uncertain. Such uncertainties may also be increased by legal or other factors that limit the ability of the AIFM to obtain reliable or timely information concerning material developments affecting an obligor or that may lengthen a reorganization or liquidation proceeding.

Repayment of a significant portion of AGSIF's assets is subject to the obligors' ability to refinance such assets at or prior to their maturity.

A significant portion of AGSIF's assets will consist of loans for which most or all of the principal is due at maturity. The ability of the obligor(s) under such loan to make such a large payment upon maturity typically depends upon its ability to refinance the loan prior to maturity. The ability of an obligor to consummate a refinancing will be affected by many factors, including the availability of financing at acceptable rates to such obligor, the financial condition of such obligor, the marketability of the collateral (if any) securing such loan, the operating history of the obligor and related businesses, tax laws and prevailing general economic conditions. Additionally, middle-market obligors generally have more limited access to capital and higher funding costs, may be in a weaker financial position, may need more capital to expand or compete, and may be unable to obtain financing from public capital markets or from more traditional sources, such as commercial banks. Consequently, such obligor may not have the ability to repay the loan at maturity and, unless it is able to refinance such loan, it could default in payment at maturity, which could result in losses to AGSIF and, indirectly, to the Shareholders.

Significant numbers of obligors are expected to need to refinance their debt over the next few years, and significant numbers of collateralized loan obligation transactions (historically an important source of funding for loans) have reached or are close to reaching the end of their reinvestment periods or the final maturities of their own debt. As a result, there could be significant pressure on the ability of obligors to refinance their debt over the next few years unless a significant volume of new collateralized loan obligation transactions or other sources of funding develop. If such sources of funding do not develop, significant defaults in AGSIF's assets could occur, and there could be downward pressure on the prices and markets for debt instruments, including assets held by AGSIF.

Projections, forecasts and estimates may vary significantly from actual results.

Projected operating results of an Underlying Issuer in which AGSIF invests normally will be based primarily on financial projections prepared by such company's management, with adjustments to such projections made by the Investment Manager in its discretion. Any projections, forecasts or estimates provided to the Shareholders are forward-looking statements and are necessarily speculative in nature. Such projections are only estimates of future results that are based upon information received from the company and third parties and assumptions made at the time the projections are developed. It should be expected that some or all of the assumptions underlying such projections, forecasts or estimates (not all of which will have been disclosed to the Shareholders) will not materialize or will vary significantly from actual results. Accordingly, actual results will vary from such projections, forecasts or estimates, and such variations may be material.

Financial projections are by their nature inherently subject to risk and are dependent upon a number of factors, many of which are not within the control of AGSIF. Some important factors that could cause actual results to differ materially from those in any forward-looking statements, including any such projections, forecasts or estimates, include changes in interest rates, loan pricing, leverage levels, loan structures, credit agreement terms, prepayment rates, timing of acquiring additional assets for AGSIF, exchange rates or default or recovery rates or timing; market, financial or legal uncertainties; differences in the actual allocation of AGSIF's assets among asset categories from those assumed; and mismatches between the timing of accrual and receipt of proceeds from AGSIF's assets, among others.

None of AGSIF, the Investment Manager, the AIFM, their respective affiliates or any other person has any obligation to update or otherwise revise any projections, forecasts or estimates, including any revisions to reflect changes in economic conditions or other circumstances arising after the date of such projections, forecasts or

estimates or to reflect the occurrence of unanticipated events, even if the underlying assumptions do not come to fruition. Shareholders should not rely on any projections, forecasts or estimates and each Shareholder does so at its own risk.

Each prospective investor should conduct its own investigation and analysis of its prospective investment in AGSIF and consult its own investment, financial, legal, tax, accounting, regulatory and other applicable advisors.

Over-Commitment, Syndication and Sub-Participation.

Where AGSIF structures sales of interests in investments by way of sub-participation (“**Participations**”), typically this results in the purchaser (whether a co-investor, Other Ares Fund, or other person), having a contractual relationship with AGSIF only and not with the underlying borrower to which such Participation relates. Given AGSIF will remain the party to the loan agreement with the borrower in respect of the Participation, if the purchaser of such Participation from AGSIF fails to fund all or a portion of such Participation when required, AGSIF will be contractually responsible to fund such amount. Participations between AGSIF and an Other Ares Fund are expected to therefore present additional on-going risks and conflicts of interest relating to the terms and operation of such Participations including but not limited to: (i) the rights and timings of payments; (ii) rights of set-off; (iii) rights to enforce compliance by the underlying borrower with the terms of the applicable underlying loan agreements; (iv) the benefit (direct or otherwise) to any collateral supporting the underlying loan; (v) rights arising on the insolvency of the underlying borrower; (vi) seniority and ranking of claims against the underlying borrowers; (vii) the administration of the underlying loans, including with respect to the amendment of documents; (viii) voting rights and related repurchase rights; and (ix) rights relating to any representations or warranties made between the seller and purchaser of any Participation relating to the underlying loan, the underlying borrower, the underlying documentation or any related collateral. In addition to Participations between AGSIF and other persons as outlined above, for limited circumstances for regulatory, legal, commercial or tax reasons, one or more entities within AGSIF structure may enter into a Participation with other entities of AGSIF.

Senior Loans.

AGSIF’s Investments may be comprised (directly or indirectly) of senior secured loans. Senior loans are of a type generally incurred by obligors in connection with highly leveraged transactions, often (although not exclusively) to finance internal growth, pay dividends or other distributions to the equity holders of the obligor, or finance acquisitions, mergers, and/or stock purchases. As a result of the additional debt incurred by an obligor in the course of such a transaction, the obligor’s creditworthiness is typically judged by rating agencies to be below investment grade. Although senior loans are typically at the most-senior level of the capital structure (with mezzanine loans being subordinated to any senior loans or to any other senior debt of the obligor), if a borrower under a senior loan defaults or becomes insolvent, only a fraction of what is owed may be recovered on the senior loan (or nothing at all). Senior loans are often secured by specific collateral, including but not limited to, trademarks, patents, accounts receivable, inventory, equipment, buildings, real estate, franchises and common and preferred stock of the obligor and its subsidiaries and any applicable associated liens relating thereto; while mezzanine loans may have the benefit of a second priority lien or charge over such assets.

Although senior loans and mezzanine loans are typically secured by collateral, there can be no assurance that such collateral could be readily liquidated or that the liquidation of such collateral would satisfy the borrower’s obligation in the event of non-payment of scheduled interest or principal. Such collateral may be subject to complex, competing legal claims. In addition, the security granted in respect of such investments may be unperfected for a variety of reasons, including the failure to make required filings by lenders, and other creditors may have priority over such investments.

Senior loans and mezzanine loans also generally provide for restrictive covenants designed to limit the activities of the obligors thereunder in an effort to protect the rights of lenders to receive timely payments of interest on, and repayment of, principal of the loans. Such covenants may include restrictions on dividend payments, specific mandatory minimum financial ratios, limits on total debt and other financial tests. A breach of covenant (after giving effect to any cure period) under a senior loan or mezzanine loan which is not waived by the lending syndicate normally is an event of acceleration which allows the syndicate to demand immediate repayment in full of the outstanding loan. However, although any particular senior loan or mezzanine loan may share many similar features with other loans and obligations of its type, the actual terms of any senior loan or mezzanine loan will have been a matter of negotiation and will be unique. Any such particular loan may contain non-standard terms and may provide less protection for creditors than may be expected generally, including in respect of covenants, events of default, security or guarantees.

Leveraged Loans.

AGSIF's Investments may comprise (directly or indirectly) leveraged loans, which have significant liquidity and market value risks since they are not generally traded on organized exchange markets but are traded by banks and other institutional investors engaged in loan syndications. Because loans are privately syndicated and loan agreements are privately negotiated and customized, loans are not purchased or sold as easily as publicly traded securities. Historically the trading volume in loan markets has been small relative to high-yield debt securities markets. In addition, leveraged loans have historically experienced greater default rates than has been the case for investment grade securities. There can be no assurance as to the levels of defaults and/or recoveries that may be experienced on leveraged loans, and an increase in default levels could have a material adverse effect on AGSIF.

A non-investment grade loan or debt obligation (or an interest therein) is generally considered speculative in nature and may become a defaulted obligation for a variety of reasons. A defaulted obligation may become subject to either substantial workout negotiations or restructuring, which may entail, among other things, a substantial reduction in the interest rate, a substantial write-down of principal, and a substantial change in the terms, conditions and covenants with respect to such defaulted obligation. In addition, such negotiations or restructuring may be quite extensive and protracted over time, and therefore may result in substantial uncertainty with respect to the ultimate recovery on such defaulted obligation. The liquidity for defaulted obligations may be limited, and to the extent that defaulted obligations are sold, it is highly unlikely that the proceeds from such sale will be equal to the amount of unpaid principal and interest thereon. Furthermore, there can be no assurance that the ultimate recovery on any defaulted obligation will not be lower than the recovery rate assumed by the Investment Manager.

Bank Loans and Participations.

AGSIF's Investments may be comprised (directly or indirectly) of bank loans acquired through assignment or participations. These obligations are subject to unique risks, including: (i) the possible invalidation of an investment transaction as a fraudulent conveyance under relevant creditors' rights laws; (ii) so-called lender-liability claims by the issuer of the obligations; (iii) environmental liabilities that may arise with respect to collateral securing the obligations; and (iv) limitations on the ability of AGSIF to directly enforce its rights with respect to participations.

Interests in loans and other debt obligations may be acquired either directly (by way of novation or assignment from a lender under the related loan agreement) or indirectly (by purchasing a participation interest from a selling institution or through the acquisition of synthetic securities). The purchaser of an assignment typically succeeds to all the rights and obligations of the assigning institution and becomes a lender under the credit agreement with respect to the loan or debt obligation; however, its rights can be more restricted than those of the assigning institution. As described in more detail below, holders of participation interests and synthetic securities are subject to additional risks not applicable to a holder of a direct interest in a loan.

In purchasing participations, the purchaser will usually have a contractual relationship only with the selling institution, and not the borrower. The purchaser generally will have no right directly to enforce compliance by the borrower with the terms of the loan agreement, nor any voting rights or rights of set-off against the borrower, nor will it have the right to object to certain changes to the loan agreement agreed to by the selling institution. The purchaser may not directly benefit from the collateral supporting the related loan and may not be subject to any rights of set-off the borrower has against the selling institution. In addition, in the event of the insolvency of the selling institution, under the laws of the United States and the states thereof the purchaser may be treated as a general creditor of such selling institution, and may not have any exclusive or senior claim with respect to the selling institution's interest in, or the collateral with respect to, the loan. Consequently, the purchaser may be subject to the credit risk of the selling institution as well as of the borrower. In addition, the purchaser may purchase a participation interest from a selling institution that does not itself retain any beneficial interest in any portion of the applicable loan and, therefore, may have limited interest in monitoring the terms of the loan agreement and the continuing creditworthiness of the borrower. Certain loans or loan participations may be governed by the law of a jurisdiction other than a United States jurisdiction, which may entail similar risks to those described herein but may also present additional risks as regards the characterization under such laws of such participation in the event of the insolvency of the selling institution or the borrower.

When a purchaser holds a participation interest in a loan it will not have the right to vote under the applicable loan agreement with respect to every matter that arises thereunder, and it is expected that each selling institution will reserve the right to administer the loan sold by it as it sees fit and, subject to the terms of the participation agreement, to amend the documentation evidencing such loan in all respects. Selling institutions voting in connection with such matters may have interests different from those of the purchaser and may fail to consider the interests of the purchaser in connection with their votes.

Assignments are arranged through private negotiations between assignees and assignors, and in certain cases the rights and obligations acquired by the purchaser of an assignment may differ from, and be more limited than, those held by the assigning selling institution. As a purchaser of an assignment, the purchaser generally will have

the same voting rights as other lenders under the applicable loan agreement, including the right to vote to waive enforcement of breaches of covenants or to enforce compliance by the borrower with the terms of the loan agreement, and the right to set-off claims against the borrower and to have recourse to collateral supporting the loan.

Assignments and participations are sold without recourse to the assignor or selling institution, as applicable, and the assignor or selling institution, as applicable, will generally make minimal or no representations or warranties about the underlying loan, the borrower, the documentation of the loans or any collateral securing the loans. In addition, the purchaser will be bound by provisions of the underlying loan agreements, if any, that require the preservation of the confidentiality of information provided by the borrower.

High-Yield Securities.

AGSIF's Investments may be comprised (directly or indirectly) of high-yield bonds and other securities that are not investment grade. Securities in the lower rating categories are subject to greater risk of loss, as to timely repayment of principal and timely payment of interest or dividends than are higher-rated securities. They are also generally considered to be subject to greater risk than securities with higher ratings in the case of deterioration of general economic conditions. The yields and prices of lower-rated securities may tend to fluctuate more than those for higher-rated securities. In addition, adverse publicity and investor perceptions about lower-rated securities, whether or not based on fundamental analysis, may be a contributing factor in a decrease in the value and liquidity of these securities.

High-yield securities that are rated "BB" or lower by S&P Global Ratings, an S&P Global business, or "Ba" or lower by Moody's Investors Service are often referred to in the financial press as "junk bonds" and may include securities of issuers in default. "Junk bonds" are considered by ratings agencies to be predominantly speculative and may involve major risk exposures such as: (i) vulnerability to economic downturns and changes in interest rates; (ii) sensitivity to adverse economic changes and corporate developments; (iii) redemption or call provisions which may be exercised at inopportune times; and (iv) difficulty in accurately valuing or disposing of such securities.

Cov-lite Loans.

AGSIF's Investments may be comprised (directly or indirectly) of "cov-lite" loans. "Cov-lite" loans typically do not obligate the obligor to comply with financial covenants that would be applicable during reporting periods. Investments comprised of "cov-lite" loans may expose AGSIF to different risks, including with respect to liquidity, price volatility and ability to restructure loans, than would be the case with other loans. In addition, the lack of such financial covenants may make it more difficult to trigger a default in respect of such loans.

Second Lien Loans.

AGSIF's Investments may be comprised (directly or indirectly) of second lien loans. Second lien loans are subject to the same risks associated with leveraged loans in general described above. However, a second lien loan is subordinate in right of collateral and/or payment to one or more senior secured loans of the related borrower and therefore is subject to additional risk that the cash flow of the related borrower and the collateral securing the second lien loan may be insufficient to make the scheduled payments to the lender of record after giving effect to any senior secured loans of the related obligor. The subordination of second lien loans is also expected to cause second lien loans to be more risky and more illiquid investments than senior secured loans.

Mezzanine Investments.

AGSIF's Investments may be comprised (directly or indirectly) of mezzanine debt securities which are high-yield, unsecured subordinated debt obligations of an obligor that are generally rated below investment grade. Such securities, by the nature of their issuers' leveraged capital structures, involve a high degree of financial risk. These securities may be unsecured and/or subordinated to substantial amounts of senior indebtedness, all or a significant portion of which may be secured. In addition, these securities may not be protected by financial covenants or limitations upon additional indebtedness and may have limited liquidity. Mezzanine investments often reflect a greater possibility that adverse changes in the financial condition of the obligor or general economic conditions (including, for example, a substantial period of rising interest rates or declining earnings) or both may impair the ability of the obligor to make payments of principal and interest. Mezzanine investments are often issued in connection with leveraged acquisitions or recapitalizations, in which the issuer incurs a substantially higher amount of indebtedness than the level at which it had previously operated. Some issuers of AGSIF's Investments may be highly leveraged, and their relatively high debt-to-equity ratios create increased risks that their operations might not generate sufficient cash flow to service their debt obligations. Overall adverse conditions in the high-

yield bond and other markets may adversely affect such issuers by inhibiting their ability to refinance their debt at maturity.

AGSIF may opportunistically invest in secondary debt instruments, if deemed an attractive risk-reward opportunity. To the extent it does so, AGSIF is unlikely to be able to negotiate the terms of such debt as part of its acquisition and, as a result, these loans may not include some of the covenants and protections AGSIF may generally seek. Even if such covenants and protections are included in the investments held by AGSIF, the terms of the loans may provide obligors substantial flexibility in determining compliance with such covenants. In addition, the terms on which loans are traded on the secondary market may represent a combination of the general state of the market for such investments and either favorable or unfavorable assessments of particular investments by the sellers thereof.

Investments in Convertible Debt.

Although it is not likely to be its primary investment focus of AGSIF or the Other Ares Funds in which AGSIF invests, AGSIF may make investments in convertible debt securities and/or other instruments. Such debt may be unsecured and structurally or contractually subordinated to substantial amounts of senior indebtedness, all or a significant portion of which may be secured. Moreover, such debt investments may not be protected by financial covenants or limitations upon additional indebtedness and there is no minimum credit rating for such debt investments. Other factors may materially and adversely affect the market price and yield of such debt investments, including investor demand, changes in the financial condition of the applicable issuer, government fiscal policy and domestic or worldwide economic conditions.

Bridge Financings.

From time to time, AGSIF may lend to companies on a short-term, unsecured basis, purchase such debt obligations from other lenders or otherwise invest on an interim basis in companies in anticipation of a future issuance of long-term debt securities or other refinancing or syndication. Such bridge loans would typically be convertible into a more permanent, long-term security; however, for reasons not always in AGSIF's control, such long-term securities issuance or other refinancing or syndication may not occur and such bridge loans and interim investments may remain outstanding. In such event, the interest rate on such loans or the terms of such interim investments may not adequately reflect the risk associated with the position taken by AGSIF.

Unsecured Loans and Unsecured Bonds.

Unsecured loans are subject to the same risks associated with leveraged loans in general described herein and unsecured bonds are subject to the same risks associated with high-yield debt obligations in general described above under “—High-Yield Securities.” However, unsecured loans and unsecured bonds are not secured obligations of the related obligor and do not have the benefit of a pledge of specified property. The absence of a security interest may make unsecured loans and unsecured bonds more risky and more illiquid investments than secured loans or secured bonds.

Subordinated unsecured bonds are subject to the same risks associated with high-yield debt securities in general described above under “—High-Yield Securities.” However, a subordinated unsecured bond is subordinate in right of payment to one or more other unsecured obligations of the related obligor and therefore is subject to additional risk that the cash flow of the related obligor may be insufficient to make the scheduled payments on the subordinated unsecured bond after giving effect to any senior obligations of the obligor. The subordination of subordinated unsecured bonds also typically causes subordinated unsecured bonds to be more risky and more illiquid investments than senior obligations.

First Lien Last Out Loans.

AGSIF may invest its assets in unitranche loans with “first out” and “last-out” payment streams (either set up at closing or arranged after closing by Ares) (each a “Re-tranched Loan”). Each Re-tranched Loan will be documented under a single credit agreement with a single set of security agreements. Re-tranched Loans effectively create senior and junior loans with so called ‘first out lenders’ (“First Out Lenders”) receiving payments in priority to ‘last out lenders’ (“Last Out Lenders”) under certain circumstances. Interest will typically be allocated in a manner which provides the First Out Lenders with an effective lower interest rate than the Last Out Lenders. In such arrangements, principal will typically be allocated pro rata as between the First Out Lenders and Last Out Lenders until the occurrence of a trigger event, following which First Out Lenders will rank in priority to Last Out Lenders in terms of both interest and principal. The trigger events are typically individually negotiated for each Re-tranched Loan, but are likely to include amongst others (1) a payment default under the credit agreement; (2) failure of the borrower to comply with all or certain financial covenants, usually within a percentage range; (3) bankruptcy and insolvency events; and (4) failure of the borrower to conduct all or a material

portion of its business, usually following a certain cure period. As a result, if AGSIF acquires a position as a Last Out Lender, this would be more akin to that of a second lien lender and may not recover any of its outstanding principal or interest until the First Out Lenders have been repaid in full. Further, any veto rights with respect to voting as between the First Out Lenders and the Second Out Lenders may also be negotiated for each transaction. As a result, even where AGSIF acquires a minority stake in a Re-tranched Loan there can be no assurance that AGSIF, as a Last Out Lender, will be in a position to direct enforcement of the security granted in respect of the Re-tranched Loan nor to prevent certain decisions being taken by the First Out Lenders that may be adverse to the interests of AGSIF.

Syndication; Warehousing.

Ares, Other Ares Funds, or affiliates or related parties of the foregoing or other parties (including for the avoidance of doubt any bank warehouse, which may be structured as a securitization, a total return swap, junior and/or “first loss” notes, the price of which will be linked to the value of the underlying assets, or otherwise, which in each case may be guaranteed financed or partially financed by any of the foregoing) could acquire an investment as principal and subsequently sell some or all of it to AGSIF, Other Ares Funds or co-investors in an affiliate or related party transaction. Similarly, AGSIF may acquire an investment and subsequently syndicate, or sell some or all of it, to Ares, Other Ares Funds, co-investors, or affiliates or related parties of the foregoing or other third parties, notwithstanding the availability of capital from the Shareholders and other investors thereof or applicable credit facilities. The Sponsor may cause these transfers to be made at cost, or cost plus an interest rate or carrying cost charged from the time of acquisition to the time of transfer, notwithstanding that the fair market value of any such Investments may have declined below or increased above cost from the date of acquisition to the time of such transfer. The Sponsor may also determine another methodology for pricing these transfers, including fair market value at the time of transfer. It may be possible that AGSIF acquires transferred assets at above fair market value, and/or separately sell assets at below fair market value. The Board of Directors (or the non-affiliated directors thereof) may, but are not required to, approve the price, terms and conditions of such transfer and may approve or waive any conflicts arising in connection therewith on behalf of the Shareholders. Also, the Sponsor may charge fees on these transfers to either or both of the parties to them. The Sponsor or its affiliates will be permitted to retain any portion of an Investment initially acquired by them with a view to syndication to co-investors or other potential purchasers to the extent such portion has not been syndicated after reasonable efforts to do so. As part of structuring such syndication and warehousing arrangements, the Sponsor may require AGSIF and Other Ares Funds to enter into conditional purchase agreements, where AGSIF and/or such Other Ares Funds agree to acquire future warehoused investments: (i) prior to their original acquisition; and (ii) prior to AGSIF and such Other Ares Funds having the requisite available capital to acquire such assets, in each case with such sale being conditional upon AGSIF and/or such Other Ares Funds (as the case may be) having sufficient available capital in order to acquire the relevant warehoused assets. The Sponsor expects to enter into a warehousing arrangement prior to the formation of AGSIF and, as part of the structuring of such syndication and warehousing arrangement, the Sponsor expects to require AGSIF to enter into a conditional purchase agreement on similar terms to those described in the foregoing sentences. Conflicts of interest are expected to arise in connection with these potential warehousing arrangements and any related affiliate transactions, including with respect to timing allocations of Investments to such warehousing, structuring, pricing and other terms of the transactions related thereto. For example, the Sponsor will have a conflict of interest when the Sponsor receives fees, including an incentive allocation, from an Other Ares Fund acquiring from or transferring to AGSIF all or a portion of an investment.

These conflicts related to syndication of Investments and warehousing will not necessarily be resolved in favor of AGSIF, and Shareholders may not be entitled to receive notice or disclosure of the occurrence of these conflicts. By subscribing for Shares, Shareholders will be deemed to have consented to the syndication of Investments and warehousing to the extent the terms of such transactions are approved by the non-affiliated members of the Board of Directors (See also “Risk Factors Relating to Conflicts of Interest” sub-section of the Prospectus).

AGSIF will invest in non-investment grade middle-market loans or interests in non-investment grade middle-market loans.

AGSIF will invest in non-investment grade middle-market loans or interests in non-investment grade middle-market loans, which are subject to liquidity, market value, credit, interest rate, reinvestment and other risks and are regarded as having predominantly speculative characteristics with respect to capacity to pay interest and repay principal. There can be no assurance that the AIFM will correctly evaluate the nature and magnitude of the various factors that could negatively affect the value or performance of such assets. It is anticipated that these loans will be subject to greater risks than investment grade corporate obligations. These risks could be exacerbated if the portfolio is concentrated in one or more particular types of assets.

The value of such debt investments is volatile and may fluctuate due to a variety of factors that are inherently difficult to predict and are outside the control of AGSIF and the AIFM, including changes in interest rates, prevailing credit spreads, general economic conditions, financial market conditions, domestic or international economic or political events, developments or trends in any particular industry, or the financial condition of the obligors of AGSIF's assets. In particular, the market for non-investment grade middle-market loans has experienced periods of volatility in the supply and demand for such loans, resulting in volatility in, among other things, spreads, interest rate floors, purchase price discounts, leverage, covenants, structure, and other terms. Additionally, middle-market loans and interests in middle-market loans generally have significant liquidity and market value risks since they are not generally traded in organized markets, but are traded (if at all) by banks and other institutional investors in privately negotiated transactions. Because loans are privately syndicated and loan agreements are privately negotiated and customized, loans are not purchased or sold as easily as publicly traded securities. In addition, historically the trading volume in the loan market, especially in the middle-market, has been small relative to the high-yield debt securities market.

The obligors of AGSIF's assets will primarily be privately owned middle-market businesses. There is generally no publicly available information about these businesses. Some obligors may not meet net income, cash flow and other coverage tests typically imposed by banks and other lenders. Numerous factors may affect an obligor's ability to repay its related obligations, including the failure to meet its business plan, a downturn in its industry or continuing negative economic conditions. A deterioration in an obligor's financial condition and prospects may be accompanied by deterioration in the collateral securing AGSIF's assets. Such deterioration might impair the ability of such obligor to obtain refinancing or force it to seek to have AGSIF's asset restructured.

A non-investment grade middle-market loan or debt obligation or an interest in a non-investment grade middle-market loan or debt obligation is generally considered speculative in nature and may end up in default for a variety of reasons. A defaulted asset may become subject to either substantial workout negotiations or a restructuring, which may entail, among other things, a substantial reduction in the interest rate, a substantial write-down of principal, and a substantial change in the terms, conditions and covenants with respect to such defaulted asset. In addition, such negotiations or restructuring may be quite extensive, protracted and costly over time, and therefore may result in substantial uncertainty with respect to the ultimate recovery on such defaulted asset. The liquidity of a defaulted asset will be limited, and if a defaulted asset is sold, it is highly unlikely that the proceeds from such sale will be equal to the amount of unpaid principal and interest thereon.

Non-investment grade loans to middle-market businesses generally carry more inherent risks than non-investment grade loans to larger, publicly traded businesses. These middle-market companies generally have more limited access to capital and higher financing costs, may be in a weaker financial position, may need more capital to expand or compete, and may be unable to obtain financing from public capital markets or from traditional sources, such as commercial banks. Middle-market businesses typically have narrower product lines and smaller market shares than larger businesses. Therefore, they tend to be more vulnerable to competitors' actions and market conditions, as well as general economic downturns. These businesses may also experience substantial variations in operating results. Typically, the success of a middle-market business also depends on the management talents and efforts of one or two persons or a small group of persons. The death, disability or resignation of one or more of such persons could have a material adverse impact on the obligor and its ability to repay its obligations. In addition, middle-market businesses often need substantial additional capital to expand or compete and will often have borrowed money from other lenders and may need additional capital to survive any economic downturns. Accordingly, loans made to middle-market companies involve higher risks than loans made to companies that have larger businesses, greater financial resources or who are otherwise able to access traditional credit sources.

There can be no assurance as to the levels of defaults or the amount or timing of recoveries that may be experienced with respect to AGSIF's assets. Any increase in default levels or decrease in recovery rates, or delays in receipt of recoveries, could adversely affect distributions, if any, to Alternative Investment Vehicle.

Loan origination.

If AGSIF desires to sell or assign a loan that it originates, but is unable to sell, assign or successfully close transactions for assignments or participations in such loan, AGSIF will be forced to hold such loan until such time as it can be disposed, during which time AGSIF may be "overweighted" with respect to a particular borrower. In addition, in connection with any loan origination activity, AGSIF may determine, in consultation with its tax advisors, that there is a risk that AGSIF's lending activity may cause AGSIF to be treated as engaged in a trade or business for United States federal income tax purposes.

AGSIF's assets will generally be illiquid.

An investment in AGSIF should be viewed as an illiquid investment. AGSIF's assets will generally have no, or only a limited, trading market. AGSIF's Investment in illiquid assets may restrict its ability to dispose of

investments in a timely fashion or for a fair price. Illiquid assets may trade at a discount from comparable, more liquid assets.

The secondary market for middle-market loans is smaller and less liquid than the market for broadly-syndicated loans made to larger obligors. In addition, AGSIF may invest in assets that may not be freely transferable under the laws of the applicable jurisdiction or due to contractual restrictions. The prices realized from the sale of any of AGSIF's assets could be less than the cost of such assets to AGSIF or less than what may be considered the fair value of such assets.

Illiquid and Long-Term Investments.

A substantial portion of the AGSIF's Investments will be illiquid and/or long-term. Many of such Investments are currently expected by Ares to take around seven (7) years from the date of initial investment to reach a state of maturity when realization of the Investment can be achieved. Although such Investments by AGSIF are expected to generate current income (i.e., all investment proceeds that are not "disposition proceeds" which may include amounts received by AGSIF from Investments as a result of purchase price adjustments), private investment transaction structures typically will not provide for liquidity of such Investments prior to repayment upon a refinancing event; however, interim proceeds from cash coupons may be distributed to Shareholders with respect to certain Investments. In light of the foregoing, it may be the case that no significant return from the disposition of such Investments will occur for a substantial period of time from the date of the initial Investment. While such Investments may be sold at any time, it is not generally expected that this will occur for a number of years after such Investments are made. It is unlikely that there will be a public market for the illiquid and/or long-term securities held by AGSIF at the time of their acquisition. Therefore, no assurance can be given that, if AGSIF is determined to dispose of a particular Investment held by AGSIF, it could dispose of such Investment at a prevailing market price, and there is a risk that disposition of such Investments may require a lengthy time period or may result in distributions in-kind to investors. Although the Sponsor expects that Investments will either be disposed of prior to the termination of AGSIF or be suitable for in-kind distribution at liquidation, AGSIF may have to sell, distribute or otherwise dispose of Investments at a disadvantageous time for a price which is less than the price that could have been obtained if the Investments were held for a longer period of time. AGSIF generally will not be able to sell its Investments through the public markets unless their sale is registered under applicable securities laws, or unless an exemption from such registration requirements is available. Additionally, there can be no assurances that such Investments can be sold on a private basis. In addition, in some cases AGSIF may be prohibited by contractual, legal, or regulatory or other similar reasons from selling certain securities for a period of time and as a result may not be permitted to sell an Investment at a time it might otherwise desire to do so.

Subordinated loans are subordinate in right of payment to one or more senior secured loans and, therefore, are subject to additional risk of non-payment.

Subordinated loans are subordinate in right of payment to one or more senior secured loans and, therefore, are subject to additional risks that the cash flows of the related obligor(s) and any property securing such subordinated loan may be insufficient to make the scheduled payments after giving effect to any senior secured loans of the related obligor(s). Subordinated loans are expected to be more illiquid investments than senior secured loans, which, as discussed, are themselves illiquid investments.

Unsecured loans are unsecured obligations of the applicable obligor(s), may be subordinated to other obligations of such obligor(s) and generally have greater credit, insolvency and liquidity risk than is typically associated with secured obligations. Unsecured obligations will generally have lower rates of recovery than secured obligations following a default. Also, in the event of the insolvency of an obligor of an unsecured obligation, the holders of such unsecured obligation will be considered general, unsecured creditors of such obligor, will have fewer rights than secured creditors of such obligor and will be subordinate to the secured creditors of such obligor with respect to the related collateral.

Issuers of subordinated debt obligations may be highly leveraged and may not have available to them more traditional sources of financing. During an economic downturn or a sustained period of rising interest rates, such issuers may be more likely to experience financial stress and may be unable to meet their obligations.

Originated Investments.

From time to time, AGSIF may make offers to buy, or receive offers to purchase, assignments of, or participations in, loans, notes or other securities (or interests therein) that Ares or any Other Ares Funds, as the case may be, own (which, for the avoidance of doubt, may also include unfunded commitments associated with such loans, notes or other securities) (each, a "Proposed Transaction"). In the event of such an offer, the price paid by AGSIF in connection with an Investment in such Proposed Transaction shall not be set by the Sponsor or AGSIF but rather shall be established based on third-party valuations obtained in accordance with the procedures followed

by AGSIF, on a consistent basis. In connection with each Proposed Transaction, the Sponsor shall prepare the materials it deems necessary to describe the Proposed Transaction. The decision to make an offer to buy, or to accept or decline an offer, at the price offered shall, however, be made by the Board of Directors, after a review of: (i) materials prepared by the Sponsor regarding the Proposed Transaction; and (ii) any additional information requested by the Board of Directors; provided, that in the event a Proposed Transaction is entered into with any Other Ares Funds (excluding, for the avoidance of doubt, (A) AGSIF; (B) ASIF; (C) AESIF; (D) APSIF; (E) any Ares proprietary account that participated in the initial investment in the applicable portfolio company alongside any of the persons set forth in clause (A) above (collectively, the “**Applicable Entities**”); and (F) a direct or indirect subsidiary of the Applicable Entities), such Proposed Transaction shall, instead of the consent of the Board of Directors, require the consent of the non-affiliated members of the Board of Directors.

Bank loans acquired through participations can be subject to unique risks given that AGSIF will have a direct contractual relationship with only the selling institution.

Although AGSIF intends to focus on originating new loan transactions, AGSIF is permitted to invest in corporate secured loans acquired through assignment or participations. These obligations are subject to various unique risks, including: (i) the possible invalidation of an investment transaction as a fraudulent conveyance under relevant laws, (ii) lender-liability claims of breach of contract, breach of fiduciary duty and of sales of collateral at non-commercially reasonable terms by the underlying obligor (see “AGSIF may be subject to claims for lender liability and AGSIF’s assets may be subject to equitable subordination” below), (iii) environmental liabilities that may arise with respect to any collateral securing the underlying obligations and (iv) limitations on the ability of AGSIF to enforce its rights directly with respect to participations.

In purchasing participations, AGSIF will have a direct contractual relationship only with the selling institution, and not the borrower. Thus, in the case of a participation interest, AGSIF will generally have the right to receive payments of principal, interest and any fees to which it is entitled only from the institution selling the participation and only upon receipt by such selling institution of such payments from the borrower. As a result, AGSIF will assume the credit risk of both the borrower and the selling institution. AGSIF generally will have no right to enforce compliance by the underlying borrower with the terms of the loan agreement, nor any voting rights or rights of set-off against the underlying borrower, nor will it have the right to object to certain changes to the loan agreement agreed to by the selling institution. AGSIF may not benefit from the collateral supporting the related secured loan and may not be subject to any rights of set-off the borrower has against the selling institution.

In addition, in the event of the insolvency of the selling institution, under the laws of certain jurisdictions AGSIF may be treated as a general unsecured creditor of such selling institution, and may not have any exclusive or senior claim with respect to the selling institution’s interest in, or the collateral with respect to, the secured loan. Consequently, in such circumstances, AGSIF will be subject to the credit risk of the selling institution as well as that of the borrower. Certain of the secured loans or loan participations may be governed by the law of a foreign jurisdiction which may present additional risks as regards the characterization of such transaction as a participation under such laws of such participation in the event of the insolvency of the selling institution or the borrower.

AGSIF may be subject to claims for lender liability and AGSIF’s assets may be subject to equitable subordination.

A number of judicial decisions have upheld judgments of obligors against lending institutions on the basis of various evolving legal theories, collectively termed “lender liability”. Companies in which AGSIF invests may be located in jurisdictions where lenders may have legal exposure on the basis of lender liability. Generally, lender liability is founded on the premise that a lender has violated a duty (whether implied or contractual) of good faith, commercial reasonableness and fair dealing or a similar duty owed to the obligor or has assumed an excessive degree of control over the obligor resulting in the creation of a fiduciary duty owed to the obligor or its other creditors or equity holders. Because of the nature of AGSIF’s assets, AGSIF may be subject to claims of lender liability. Any such claim, if determined adversely to AGSIF, could have a material adverse effect on AGSIF’s returns to investors.

In addition, under certain legal principles that in some cases form the basis for lender liability claims, if a lender, bondholder or other creditor (i) intentionally takes an action that results in the undercapitalization of an obligor to the detriment of other creditors of such obligor, (ii) engages in other inequitable conduct to the detriment of such other creditors, (iii) engages in fraud with respect to, or makes misrepresentations to, such other creditors or (iv) uses its influence as an equity holder to dominate or control an obligor to the detriment of other creditors of such obligor, a court may elect to subordinate the claim of the offending lender, bondholder or other creditor to the claims of the disadvantaged creditor or creditors, a remedy called “equitable subordination”. Because of its nature, AGSIF’s assets may be subject to claims of equitable subordination.

In addition, because affiliates of, or persons related to, the AIFM may hold equity or other interests in obligors of AGSIF's assets, AGSIF could be exposed to claims for equitable subordination, lender liability or both based on such equity or other holdings.

The preceding discussion is based upon general principles of United States federal laws. The laws of non-U.S. jurisdictions may impose liability upon lenders, bondholders or other creditors under factual circumstances similar (or additional) to those described above, with consequences that may or may not be analogous to those described above.

AGSIF's assets will generally be prepayable at the option of the obligor.

Loans are generally prepayable in whole or in part at any time at the option of the obligor at par plus accrued and unpaid interest thereon, and occasionally plus a prepayment premium. Prepayments on loans may be caused by a variety of factors which are often difficult to predict. Consequently, there exists a risk that loans purchased at a price greater than par may experience a capital loss as a result of such a prepayment. When credit market conditions become more attractive to obligors, the rate of prepayment of AGSIF's assets would be expected to increase as obligors refinance to take advantage of such improved conditions, which may negatively impact AGSIF.

Limited control of administration and amendment of underlying loans.

As a holder of a syndicated loan or an interest therein, AGSIF may have limited consent and control rights and such rights may not be effective in view of the expected proportion of such loan held by AGSIF. The AIFM may exercise or enforce, or refrain from exercising or enforcing, any or all of AGSIF's rights in connection with any of its underlying investments. However, due to the size of AGSIF's investment position, AGSIF may have limited influence over any amendment, waiver or modification of such loan.

Additionally, as a provider of debt financing or holder of equity securities, AGSIF will not be in a position to control any borrower. As a result, AGSIF is subject to the risk that a borrower in which AGSIF invests may make business decisions with which AGSIF disagrees and the management of such borrower may, as representatives of holders of their common equity, may take risks or otherwise act in way that do not serve the interests of AGSIF as a minority stakeholder or creditor.

Overlapping Investment Objectives.

Certain Other Ares Funds that have investment objectives that are adjacent to or overlap with those of AGSIF (whether now in existence or subsequently established), and Ares or such Other Ares Fund may share and/or receive priority with respect to certain investment opportunities falling within the primary focus of such Other Ares Funds or otherwise receive allocations of investments otherwise appropriate for AGSIF (including, for example, Other Ares Funds established to primarily pursue investments relating to specific geographic regions, sectors and/or asset classes).

Multiple Levels of Fees and Expense.

In addition to the direct expenses and management costs borne by AGSIF, it may also bear its pro rata share of certain expenses and management costs incurred directly or indirectly by Other Ares Funds (including ASIF, AESIF and APSIF) in which AGSIF invests. This would result in more expenses being borne (indirectly) by Shareholders in AGSIF than if such Shareholders were able to invest directly in the Other Ares Funds (including ASIF, AESIF and APSIF). With respect to AGSIF's investments in Other Ares Funds (including ASIF, AESIF and APSIF), AGSIF will pay or otherwise bear carried interest or other incentive compensation in connection with such Other Ares Fund (including ASIF, AESIF and APSIF). AGSIF will also indirectly bear other fees, expenses or deductions in connection with an Investment in or alongside an Other Ares Fund (including ASIF, AESIF and APSIF), including any early redemption deduction, redemption fee, liquidity penalty and/or investment related expenses and expenses paid to affiliates of the Sponsor, administrative expenses and other expenses included in the definition of Operating Expenses above as applicable to such Other Ares Fund (to the extent applicable). However, strictly for information purposes only and not as an indication of entitlement in a specific Other Ares Fund, several (but not all) established Other Ares Funds (including ASIF, AESIF and APSIF) provide for performance participation allocation or incentive fee at a rate up to 12.5%.

Notwithstanding anything herein to the contrary, while AGSIF may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt ASIF, AESIF and APSIF), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AGSIF together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section

VI: “*Fees and Expenses of AGSIF–Management Fee*”. These various levels of costs and expenses will be charged whether or not the performance of AGSIF generates positive returns. As a result, AGSIF, and indirectly the Shareholders, may bear multiple levels of expenses, which in the aggregate would exceed the expenses which would typically be incurred by an investment in a single fund investment, and which would offset AGSIF’s profits. In addition, because of the fees and expenses payable by AGSIF pursuant to such Investments, its returns on such Investments will be lower than the returns to a direct investor in the Other Ares Funds (including ASIF, AESIF and APSIF).

Fund Life Commitments.

AGSIF may invest in certain Other Ares Funds by making a fund life commitment to such Other Ares Funds. In such case, AGSIF will participate in such fund life commitments in most instances through an aggregator vehicle controlled by the Investment Manager or an affiliate thereof, and AGSIF will commence and end its participation in an Other Ares Fund, through the aggregator vehicle, at different times to other investors. In connection with such fund life commitments, an Other Ares Fund may provide the Investment Manager with investment-by-investment tracking of investment proceeds; that is, such Other Ares Fund will inform the Investment Manager of the particular underlying investment of such Other Ares Fund to which the investment proceeds relate. In such cases, investment proceeds from such Other Ares Funds will generally be allocated to AGSIF based on the particular underlying investment of such Other Ares Fund that generated such investment proceeds (and, therefore, the allocation of such investment proceeds will take into account the relative contributed capital of AGSIF to the applicable underlying investment). However, in certain cases, an Other Ares Fund will not provide the Investment Manager with investment-by-investment tracking of investment proceeds. With respect to such instances, the Investment Manager has adopted a practice, which it may amend, modify, revise or supplement from time to time without notice to the AGSIF investors, regarding allocation of the investment proceeds it receives from such Other Ares Fund. The Investment Manager will seek to allocate investment proceeds based on a formulaic, time-weighted approach that generally takes into account (i) the amount invested in an Other Ares Fund by AGSIF and (ii) AGSIF’s expected hold time of such investment, which is generally based on the total expected number of days of such Other Ares Fund’s term (generally determined based on such Other Ares Fund’s governing documents). As it relates to Other Ares Funds that will not provide the Investment Manager with investment-by-investment tracking of investment proceeds, while the Investment Manager believes the foregoing time-weighted approach to the allocation of investment proceeds to AGSIF is reasonable, it is expected that the application of such methodology will result in AGSIF receiving less, or more, investment proceeds from any such Other Ares Fund than AGSIF would have received had such Other Ares Fund provided investment-by-investment tracking of investment proceeds. A number of factors will affect when AGSIF would receive less, and when AGSIF would receive more, investment proceeds from such Other Ares Funds, including, for example and without limitation, the timing of each applicable Other Ares Fund’s capital calls, investment realizations, and distributions of investment proceeds.

Multiple Levels of Fees.

AGSIF Fund pays the Management Fee and also incurs or reimburses additional expenses and fees of other service providers in connection with AGSIF. In addition, AGSIF will indirectly incur similar fees and expenses to the extent that AGSIF invests in certain products such as money market funds, exchange traded funds, similar products or Other Ares Funds that AGSIF invests in (including ASIF, AESIF and APSIF). AGSIF will pay such fees regardless of whether AGSIF or such investments are profitable.

Fraud Risks.

Of paramount concern in making investments is the possibility of material misrepresentation or omission on the part of a counterparty. Such inaccuracy or incompleteness may adversely affect the valuation of the collateral underlying the loans or other asset, or may adversely affect the ability of the lender of record to perfect or effectuate a lien on the collateral securing the loan or other assets. AGSIF relies upon the accuracy and completeness of representations made by companies in which AGSIF invests or other counterparties to the extent reasonable, but cannot guarantee that such representations are accurate or complete. Under certain circumstances, payments to AGSIF may be reclaimed if any such payment or distribution is later determined to have been made with intent to defraud or prefer creditors. See also “Fraudulent Conveyance Considerations below.”

Fraudulent Conveyance Considerations.

Secured loans and other secured transactions (each obligation arising therefrom, a “Secured Obligation”) may be subject to various federal and state laws enacted for the protection of creditors in the countries of the jurisdictions of incorporation of obligors and, if different, in which the obligors conduct business and in which they hold the assets, which may adversely affect such obligors’ abilities to make payment on a full or timely basis. These insolvency considerations will differ depending on the country in which each obligor is located or domiciled.

In particular, it should be noted that a number of continental European jurisdictions operate “debtor-friendly” insolvency regimes which could result in delays in payments under Secured Obligations where obligors thereunder are subject to such regimes, in the event of their insolvency. The different insolvency regimes applicable in the different European jurisdictions may result in a corresponding variability of recovery rates for obligations such as Secured Obligations entered into with obligors in such jurisdictions. No reliable historical data is available in respect of such recovery rates.

Alternative Credit Investments.

While AGSIF seeks to primarily self-originate investments and provide debt capital to U.S., European and Asian-Pacific mid-market companies with a target EBITDA between \$10 million and \$250 million +as further described in Section III: “Investment Information” of this Annex, AGSIF also has the flexibility to invest in other illiquid alternative credit investments. Please refer to the risk factors stated below for more information on the risks associated with such illiquid alternative credit investments.

Equity Securities.

AGSIF may acquire or otherwise receive common stock, warrants or options to acquire common stock and other equity securities or equity-linked securities (including, for the avoidance of doubt, any preferred equity transaction). Such instruments will generally involve a high degree of risk, and will be subordinate to (and thus are inherently riskier than) the debt securities and other liabilities of the issuers of such instruments. Although common stocks have historically generated higher average total returns than fixed income securities over the long term, common stocks also have experienced significantly more volatility in those returns. These instruments may fail to appreciate in value and may decline in value or become worthless. In particular, those equity or equity-like instruments that are attached as a unit of a debt obligation may be intended to participate in an obligor’s long-term value that may be created through growth facilitated by that debt obligation, and accordingly may have little or no value at issuance and may generate income (if at all) only upon a sale, listing or recapitalization of the obligor. Accordingly, AGSIF may not be able to realize gains from equity securities or instruments and may incur significant losses.

Risks Associated With Specialty Finance Investments.

AGSIF may invest in companies and operating platforms that originate and/or service commercial and consumer credits, including credit cards, personal loans and equipment finance, and may also invest directly in those credits (but on a secondary and not on a primary basis). Pricing and optimizing the value of such credits requires strong analytics and extensive infrastructure. The form of investment may vary and may require reliance on networks of asset managers to provide the resources necessary to originate new receivables, manage portfolios of performing receivables, and work-out portfolios of stressed or non-performing receivables. These loans may not be secured and may be subject to increasing regulation. In addition, AGSIF may access exposure to credits by acquiring interests in specialty finance companies and operating platforms. AGSIF’s Investments may also include leasing businesses, companies that provide services to specialty finance companies (e.g., credit scoring agencies) and other companies that have business models related to the specialty finance sector.

Investments in the specialty finance industry are subject to various industry-specific risks (including additional risks related to the various segments of the specialty finance industry). Specifically, various segments of the specialty finance industry are (or may become) highly regulated at both the federal and state levels in the U.S. and internationally and subject to frequent regulatory changes. Further, investments in financial services companies often require the approval of various regulatory bodies and there is no guarantee that such approvals will be obtained. While AGSIF intends to make investments in companies that comply with relevant laws and regulations, certain aspects of their operations may not have been subject to judicial or regulatory interpretation. An adverse review or determination by any one of such authorities, or an adverse change in the regulatory environment or requirements, could have a material adverse effect on the operations of the companies in which AGSIF invests. In addition, in order to comply with or not be subject to certain banking laws, rules and regulations, AGSIF may be required to invest in a manner that may not be as advantageous as the manner of making investments that are not subject to such laws, rules and regulations.

Asset-Based Lending.

As part of its portfolio, AGSIF may make investments in senior secured revolving credit facilities based on the borrower’s qualifying assets, such as eligible accounts receivable and inventory (generally known as “Asset-Based Lending” or “ABL”) and senior secured term loans secured by machinery and equipment and other fixed assets with similar security profiles. ABL is a specialized loan product that provides over-collateralized credit facilities to borrowers based on the assets pledged as collateral. These loans are structured to provide a flexible source of working capital by monetizing assets on the balance sheet. ABL is frequently used by companies seeking greater

flexibility in executing operating plans. The quality and liquidity of a borrower's underlying assets are essential to the success of such investment. Such investments generally present many of the same risks as other debt investments, but given the focus on the underlying assets of the borrower, more specifically may present a greater risk of borrower fraud and, relatedly, that the Investment Manager may not be able to adequately diligence and monitor the activities of the borrower.

Accounts Receivables Relating to Consumer Loans/Obligations.

AGSIF may invest in, or lend against, portfolios of accounts receivables relating to consumer loans, including credit cards, automobile loans, healthcare, and student loans and other types of consumer obligations (such as leases). The performance of such assets will be affected by general economic conditions. The ability to collect on consumer obligation accounts receivables is dependent on the performance of a servicer. The servicer may be able to commingle funds relating to a transaction (such as collections from the loans and proceeds from the disposition of any repossessed collateral, such as repossessed vehicles) with its own funds for a period of time. Commingled funds may be used or invested by the servicer at its own risk and for its own benefit. If the servicer were unable to remit those funds or the servicer were to become a debtor under any insolvency laws, delays or reductions in the receivables may occur.

Additionally, servicers may be subject to regulation by certain government agencies. If a servicing arrangement or activities were found to constitute unsafe or unsound banking practices, such government agencies may take regulatory action against the servicer, which could result in losses or delays in payment.

Furthermore, consumer obligations are subject to various consumer protection laws which regulate the creation and enforcement of such obligations. The violation of such laws by lenders, originators and their affiliates may permit borrowers to reduce their obligation to pay the amount of receivables they owe or require lenders to pay certain penalties. Similarly, if a borrower were to seek protection under bankruptcy or debtor relief laws, a court could reduce or discharge completely the borrower's obligations to repay amounts due on its receivable.

Real Estate related Investments.

AGSIF's target investments may include privately-negotiated financings secured by pools of real estate assets (primarily in the form of privately negotiated investments in debt securities, loans and/or other credit-related asset but also in the form of equity or quasi-equity securities), the outright purchase of pools of real estate assets, and sale-leaseback transactions. The value of such investments will depend on many real-estate related factors beyond the control of AGSIF. The ultimate performance of such investments will be subject to the varying degrees of risk generally incident to the ownership and operation of the underlying real property. Real estate historically has experienced significant fluctuations and cycles that may result in reductions in the value of real estate-related investments. The ultimate value of such investments in the underlying real property also depends upon the real property owner's ability to operate the real property in a manner sufficient to maintain or increase revenues in excess of operating expenses and debt service or, in the case of real property leased to a single lessee, the ability of the lessee to make rental payments. Real estate is subject to various specific risks (which can adversely affect a property's revenues), including: changes in national or international economic conditions and/or specific industry segments; changes in local market conditions due to changes in general or local economic conditions and neighborhood characteristics; property location and condition; tenant mix; the financial condition of tenants and buyers and sellers of properties; competition from other properties offering the same or similar services; changes in interest rates and in the availability, cost and terms of mortgage funds; the ongoing need for capital improvements (particularly in older structures); changes in real estate tax rates and other operating expenses; changes in governmental laws, rules and regulations (including changes in environmental laws, casualty or condemnation losses, and regulatory limitations on rents) and fiscal policies; costs of remediation and liabilities associated with environmental conditions and lawsuits; civil unrest; acts of God, including earthquakes, hurricanes and other natural disasters; acts of war; acts of terrorism (any of which may result in uninsured losses); the potential for uninsured, uninsurable or underinsured property losses; adverse changes in zoning laws; and other factors that are beyond the control of the real property owners and AGSIF. In the event that any of the properties underlying AGSIF's investments experience any of the foregoing events or occurrences, the value of and return on such investments would likely be negatively impacted.

Real Estate Investment Trusts Risk.

In addition to risks associated with investing in real estate securities, real estate investment trusts ("REITs") are dependent upon management skills, are not diversified, and are subject to heavy cash flow dependency, risks of default by borrowers, and self-liquidation. Investment in REITs also involves risks similar to risks of investing in small market capitalization companies, such as limited financial resources, less frequent and limited volume trading, and may be subject to more abrupt or erratic price movements than larger company securities. A REIT

could fail to qualify for tax free pass through of income under the Internal Revenue Code. Shareholders will indirectly bear their proportionate share of the expenses of REITs in which AGSIF invests.

Risks Associated with Residential Properties.

AGSIF may be exposed to residential properties. Residential related properties such as multifamily residential, student housing and single-family rental properties may include increased risks associated with habitability related issues and applicable regulatory requirements. Additionally, certain residential properties may have a unionized workforce subject to collective bargaining agreements, which must be complied with as part of properties' operation. A large number of risk factors potentially affect the value and successful operation of such properties, including: (i) the physical attributes of the property, such as its age, condition, design, amenities, appearance, access to transportation and construction quality; (ii) the location of the property; (iii) ability of the Investment Manager to provide adequate maintenance and insurance; (iv) the property's reputation; (v) the level of mortgage interest rates and availability of government incentives, which may encourage residents to ultimately purchase rather than lease the homes, if possible; (vi) the presence of competing properties; (vii) the presence of local military base or industrial/business closings; (viii) the resident mix, such as the resident population being predominantly students or being heavily dependent on workers from a particular business or personnel from a local industrial unit; (ix) developments at local colleges and universities; (x) adverse local or national economic conditions, which could adversely affect the financial condition of residential owners and tenants, limit the amount of rent that may be charged and may result in a reduction of timely rent payments or a reduction in occupancy or leasing activity; (xi) state and local regulations, which may affect AGSIF's ability to increase rent to the level of market rents for an equivalent home; (xii) government assistance/rent subsidy programs available in competing homes; (xiii) the inventory of unsold homes in the local market that are being rented until economic conditions in the single-family residential market improve; and (xiv) national, regional and local politics, including current or future rent stabilization and rent control laws and agreements. In addition, any investments in single-family rental properties may be net leased to single tenants and, therefore, the financial failure of, or other default by, a single tenant under its lease may cause a complete reduction in the operating cash flow generated by the property leased to that tenant and might decrease the value of that property and result in a non-cash impairment charge.

Certain jurisdictions regulate the relationship of an owner and its tenants. Commonly, these laws require a written lease, good cause for eviction, disclosure of fees and notification to residents of changed land use, while prohibiting unreasonable rules, retaliatory evictions and restrictions on a resident's choice of unit vendors. Apartment building owners have been the subject of lawsuits under various "Landlord and Tenant Acts" and other general consumer protection statutes for coercive, abusive or unconscionable leasing and sales practices. There may be provisions that limit the basis on which a landlord may terminate a tenancy or increase its rent or prohibit a landlord from terminating a tenancy solely by reason of the sale of the owner's building. In addition to state regulation of the landlord-tenant relationship, numerous towns and municipalities impose rent regulations on apartment buildings. These ordinances may limit rent increases to certain set percentages, to certain formulas, to increases set or approved by a governmental agency, or to increases determined through mediation or binding arbitration. Due to the outbreak of COVID-19, U.S. federal and state and non-U.S. laws and regulations have been implemented that place restrictions on lenders in the real estate sector and other industries from exercising certain of their rights in the event of borrower defaults or delinquencies, including with respect to foreclosure and eviction rights. Such measures may have significant adverse impacts on the performance of fund managers that invest in real estate, such as the Investment Manager, and their ability to sell existing investments or enforce their rights against borrowers and/or tenants, including to foreclose on and dispose of collateral. Similarly, governmental assistance programs that provide rent subsidies to tenants pursuant to tenant voucher programs may influence tenant mobility and the amount of rent a tenant can pay. Changes in rent stabilization laws or the interpretation or application of such laws from time to time may reduce the amount of rent that AGSIF would otherwise be permitted to charge at one or more properties of AGSIF, which would likely reduce returns to the Limited Partners. In addition, investment in these properties presents greater risk of disputes and legal proceedings.

Risks Associated with Commercial Real Estate Investments.

AGSIF may invest in commercial real estate properties. Commercial real estate properties tend to be unique and are difficult to value. In addition, commercial real estate properties, particularly industrial and warehouse properties, are generally subject to relatively greater environmental risks than non-commercial properties and to the corresponding burdens and costs of compliance with environmental laws and other regulations. Commercial mortgage lenders typically look to the debt service coverage of a loan secured by income-producing property as an important measure of the risk of default on such a loan. Commercial property values and net operating income are subject to volatility, which may result in net operating income becoming insufficient to cover debt service on the related mortgage loan. The repayment of loans secured by income-producing properties is typically dependent upon the successful operation of the related real estate project rather than upon the liquidation value of the underlying real estate.

Risks Associated with Triple- and Modified-Net Leases.

AGSIF may invest in commercial real estate consisting of properties that are triple- and modified-net leases. The failure of the applicable tenant to satisfy its obligations under the lease will likely adversely affect the condition of the real estate. Where the real estate is leased pursuant to a triple-net lease, the tenant generally pays all insurance, taxes, utilities, common area maintenance charges, maintenance and repair expenses and indemnifies, defends and holds the landlord harmless from and against various claims, litigation and liabilities arising in connection with its business, including any environmental liabilities. There can be no assurance that the tenant under a triple- or modified-net lease will have sufficient assets, income and access to financing to enable it to satisfy its payment obligations under the lease. The inability or unwillingness of the tenant to meet its rent obligations or to satisfy its other obligations, including indemnification obligations, could materially adversely affect the business, financial position or results of operations of AGSIF. Furthermore, the inability or unwillingness of the tenant to satisfy its other obligations under the lease, such as the payment of insurance, taxes and utilities, could materially and adversely affect the condition of the real estate.

Risks Associated with Lease Rates Over Time.

AGSIF may receive income from investments with long term net leases, which generally provide the tenant greater discretion in using the leased property than ordinary property leases, such as the right to freely sublease the property, to make alterations in the leased premises and to terminate the lease prior to its expiration under specified circumstances. Furthermore, net leases typically have longer lease terms and, thus, there is an increased risk that contractual rental increases in future years will fail to result in fair market rental rates during those years. If AGSIF does not accurately judge the potential for increases in market rental rates when negotiating these long term leases, significant increases in future property operating costs, to the extent not covered under the net leases could result in AGSIF receiving less than fair value from these leases. As a result, income to and distributions from AGSIF could be lower than they would otherwise be if AGSIF did not engage in long term net leases.

Equipment Leasing.

AGSIF may invest (directly or indirectly) in businesses involved in equipment leasing. In cases of a non-performing lessee, there are considerable costs associated with terminating leases and retrieving hard assets that can disrupt and reduce cash flow. These risks may be exacerbated in the case of lessee bankruptcy. Further, it may be difficult to re-lease or sell retrieved equipment, depending on market conditions, especially if such equipment is outdated or has been misused. In a loan against equipment transaction, also known as a sale-lease back, equipment is sold on paper by the seller and leased back. The seller obtains working capital and keeps the equipment. As with equipment leasing, there are considerable costs associated with terminating such loans and retrieving hard assets in the event that a borrower fails to make timely payments on the loan. Further, the value of the subject equipment will decline over time as a result of use by the borrower, reducing the value of the collateral backing the loan and increasing the risk that AGSIF will lose money in the event of borrower default.

Risks Related to Royalty Investments.

AGSIF may invest in royalties and other contractual cash flows, particularly in the music, film, television and pharmaceutical industries. In general, royalties are cash payments made to the holder of intellectual property. Royalty payments are commonly based on a percentage of sales and are governed by legal contract. Therefore such investments will depend in part on the success of the underlying products (the “Products”) related to such investments. There are a number of risks associated with royalty investments, including, but not limited to, sales risk, withdrawal risk, product competition, misaligned incentives with licensees, regulatory risk, and manufacturing and supply risk. To the extent any such risks adversely affect sales of Products, potential returns to AGSIF will, in turn, be adversely affected. For example, sales from Products may be lower than their historical levels or lower than the amounts projected due to pricing pressures, insufficient demand, product competition, lack of market acceptance, obsolescence, safety or efficacy issues, loss of patent protection and/or other factors. Further, a Product may be subject to withdrawal from the market at the request or direction of any applicable U.S. or non-U.S. regulatory body due to safety, regulatory or other concerns. The manufacturer or marketer of a Product may voluntarily withdraw the Product from the market for medical, technical, regulatory, copyright, commercial or other reasons. There can be no assurance that a Product will not be withdrawn by the manufacturer or marketer, on its own, or at the request or direction of or any regulatory body. The occurrence of any such risks may result in losses to AGSIF.

Non-performing Loans (“NPLs”).

AGSIF’s Investments may include investments in non-performing and sub-performing loans which may involve workout negotiations, restructuring and the possibility of foreclosure. These processes can be lengthy and expensive. Many of the NPLs will have been underwritten to “subprime” “Alternative A-Paper” or “expanded”

underwriting guidelines. These underwriting guidelines are different from and, in certain respects, less stringent than the other general underwriting standards employed by originators. For example, these loans may have been originated to borrowers that have poor credit or that provide limited or no documentation in connection with the underwriting of the mortgage loan. Such loans present increased risk standards of delinquency, foreclosure, bankruptcy and loss than prime mortgage loans. An originator generally originates mortgage loans in accordance with underwriting guidelines it has established and, in certain cases, based on exceptions to those guidelines. These guidelines may not identify or appropriately assess the risk that the interest and principal payments due on a mortgage loan will be repaid when due, or at all, or whether the value of the mortgaged property will be sufficient to otherwise provide for recovery of such amounts. To the extent exceptions were made to an originator's underwriting guidelines in originating an NPL, those exceptions may increase the risk that principal and interest amounts may not be received or recovered and compensating factors, if any, which may have been the premise for making an exception to the underwriting guidelines may not in fact compensate for any additional risk. NPLs may be secured by investor or commercial properties which would not be used as the borrower's primary residence or second home. Because the borrower is not living on the property, the borrower may be more likely to default on the mortgage loan than on a comparable mortgage loan secured by a primary residence, or to a lesser extent, a second home. Part of AGSIF's strategy in acquiring NPLs may involve making NPL modifications to reduce delinquencies and the risk of borrower default and, ultimately, to maximize the value of the NPL. Modifications may include permanently or temporarily reducing or otherwise changing the mortgage interest rate, forgiving payments of principal or interest, extending the final maturity date, capitalizing or deferring delinquent interest and other amounts owed under the mortgage loans, deferring principal payments with or without interest, or any combination of these or other modifications. These modifications may reduce the value of the NPL. AGSIF's ability to modify NPLs may be limited due to the difficulty in contacting at-risk borrowers or creating modifications acceptable to affected borrowers. AGSIF may seek to refinance an NPL to realize the greater value from such loan. However, there may be impediments to executing a refinancing strategy for NPLs. For example, many mortgage lenders have adjusted their loan programs and underwriting standards to be more conservative, which has reduced the availability of mortgage credit to prospective borrowers. This has resulted in reduced availability of financing alternatives for borrowers seeking to refinance their mortgage loans. The decline in housing prices may also result in higher loan-to-value ratios and leave borrowers with insufficient equity in their homes to permit them to refinance. To the extent prevailing mortgage interest rates rise, these risks would be exacerbated. The effect of the above would likely serve to make refinancing of NPLs potentially more difficult and less profitable for AGSIF.

Purchasing or Lending Against Litigation Claims.

AGSIF may make loans based on anticipated future payments to be received as the result of favorably determined litigation, settlement, or mass tort claims. The results of pending litigation and/or settlements, are inherently uncertain. Lending against pending litigation and/or settlements entails unique risks because there is no guarantee that the relevant litigation will be favorably determined or that the relevant case settlement will be upheld and consummated. If the relevant litigation is determined (in a court or in an out-of-court settlement) in a manner that is adverse to AGSIF's interest, or if the relevant settlement is not approved or is overturned, AGSIF may lose some or all of its Investment. The general risks of litigation debt finance include the potential regulation or limitation of interest rates and other fees advanced in exchange for the investments made by AGSIF under U.S. federal and/or state regulation, a change in statutory or case law which limits or restricts the ability of AGSIF as a creditor to collect principal and interest at anticipated levels, claimants being unsuccessful in whole or in part in the claims upon which underlie such investments and the continued ability of the Manager to effectively analyze investments. Moreover, the underlying cases which AGSIF may finance may be unsuccessful, take considerable time (whether because of appeals or otherwise) or result in a distribution of cash, new securities or other assets, the value of which may be less than the investment made by AGSIF. AGSIF may incur additional costs in effecting a disposal of or realization on any such security or other assets.

Collateralized Securities Generally.

AGSIF has the ability to invest in Collateralized Securities (as defined below) in general. Collateralized Securities may present risks similar to those of the other types of investments in which AGSIF may invest and, in fact, such risks may be of greater significance in the case of Collateralized Securities. Moreover, investing in Collateralized Securities may entail a variety of unique risks. Set forth below is a summary of certain of the risks most commonly associated with Collateralized Securities. This summary does not purport to be a complete enumeration or explanation of such risks.

Structured credit products are structured vehicles that are similar to leveraged closed-end funds. Many structured credit products are actively managed by an independent collateral manager (a "Collateral Manager"). Structured credit products and other securitization products generally involve the issuance of tranching securities such as, for example, CLOs or other asset-backed instruments backed by corporate and consumer receivables (both that have

and that do not have a CUSIP number) or similar instruments (“Collateralized Securities”) by a Securitization Vehicle. Collateralized Securities are generally issued in structured transactions with risks different from regular corporate debt. The tranches of Collateralized Securities senior (in right of payment) to the Residual Tranche (the “Non-Residual Tranche”) are generally assigned ratings by one or more rating agencies.

These ratings range from investment grade down to non-investment grade. Generally, the junior-most tranche (i.e., the tranche whose rights to payment are not senior to any other tranche) does not typically receive a credit rating and is typically not secured (and is also typically referred to as subordinated notes, income notes, preferred shares or preferred securities, or, more generally, as “equity”) (the “Residual Tranche”). While the Residual Tranche is typically not secured through a formal contractual grant of a security interest by the Securitization Vehicle, such risk is mitigated by the fact that Securitization Vehicles typically contain various restrictions and protections in their indentures or issuance documents that are designed to mitigate the risks related to such status (such as, for example, restrictions on the Securitization Vehicle incurring indebtedness other than as permitted under the indenture or issuance document; restrictions on the Securitization Vehicle generally engaging in any business or activity other than issuing its Collateralized Securities and activities related or incidental thereto; restrictions on the Securitization Vehicle pledging its assets other than as permitted under the indenture or issuance document; prohibitions on holders of Collateralized Securities from petitioning the Securitization Vehicle into bankruptcy until a period of time after its Collateralized Securities have been paid in full; and provisions stating that the Securitization Vehicle’s obligations under the Collateralized Securities are limited recourse obligations payable solely from the Underlying Assets or proceeds thereof, in accordance with the indenture or issuance document), in addition to the right of the Residual Tranche to receive residual amounts remaining after payment of interest on and principal of the Collateralized Securities (and the Securitization Vehicle’s expenses).

The performance of a Collateralized Security will be affected by a variety of factors, including its priority in the capital structure of the issuer thereof, the availability of any credit enhancement, the level and timing of payments and recoveries on and the characteristics of the underlying receivables, loans or other assets that are being securitized (the “Underlying Assets”), whether collateral represents a fixed set of specific assets or accounts, remoteness of those assets from the originator or transferor, the adequacy of and ability to realize upon any related collateral and the capability of the servicer of the securitized assets.

In addition, the ability of Securitization Vehicles to sell assets and reinvest the proceeds may be restricted. A Securitization Vehicle may typically dispose of certain of its assets and reinvest the proceeds thereof in substitute assets subject to compliance with its investment guidelines and certain other conditions, including the terms of issuance of its debt securities. The earnings with respect to such substitute assets will depend, among other factors, on reinvestment rates available at the time and on the availability of assets satisfying the investment guidelines and otherwise acceptable to the Collateral Manager. The need to satisfy such guidelines and identify acceptable assets may require the Collateral Manager to purchase substitute assets at a lower yield than those initially acquired or require that the sale proceeds be maintained temporarily which may reduce the yield.

Illiquidity and market value volatility of the Underlying Assets and the Securitization Vehicle’s own investment restrictions may restrict its ability to dispose of Underlying Assets in a timely fashion and for a fair price. Collateralized Securities may be subject to optional or mandatory redemption under certain circumstances. In certain circumstances, a Securitization Vehicle may amend the indenture or other issuance document relating to its Collateralized Securities without the consent of the holders of those Collateralized Securities (however, the circumstances under which the Securitization Vehicle may do so are generally limited to those prescribed in its indenture or other issuance document, which is generally available for review in advance of a purchase of the related Collateralized Securities). Reliable sources of statistics regarding prepayments, default and recovery rates and market value volatility may not exist for certain Underlying Assets and existing information may not be indicative of future performance. Illustrative cash flows, yields or returns, scenario analyses, expected portfolio composition and other “forward-looking” statements relating to the Collateralized Securities are based on assumptions that are unlikely to be consistent with, and may differ materially from, actual events, and no assurance can be given as to actual results.

The Collateral Manager may have conflicts of interest as a result of its overall investment activities or of its investment professionals and its affiliates. The Collateral Manager’s entitlement to fees may create incentives for it to make decisions that are contrary to the best interests of holders of the Collateralized Securities. The Collateral Manager’s performance history is no guarantee, and may not be indicative, of the Securitization Vehicle’s future results. Because of different portfolio restrictions, structures and market conditions, among other things, the Securitization Vehicle’s performance may differ markedly from that of other vehicles whose Underlying Assets are managed by the same Collateral Manager. No assurance can be given that any particular individual will be responsible for managing the Underlying Assets for any length of time. The loss of key personnel of the Collateral Manager could have a material adverse effect on the Securitization Vehicle and, therefore, its Collateralized Securities.

Interest rate risk is inherent in the structure of Collateralized Securities, including interest rate mismatches between the Securitization Vehicle's Collateralized Securities and its Underlying Assets, and could adversely affect the Securitization Vehicle's cash flows. The duration of more subordinated Collateralized Securities will be affected by the average life of more senior Collateralized Securities (which is expected to be shorter than their stated maturity).

The imposition of unanticipated withholding taxes on a Securitization Vehicle's assets or tax on its net income (as a result of changes in law or other causes) could materially impair the Securitization Vehicle's ability to make payments in respect of its Collateralized Securities. Holders of Collateralized Securities may be subject to withholding on payments from those Collateralized Securities or forced transfer thereof for failure to provide the related Securitization Vehicle with certain tax information (including, but not limited to, information required under FATCA).

No assurance can ever be given that any Collateralized Securities will be listed on a securities exchange. The Collateralized Securities are not expected to be registered under the 1933 Act and no Securitization Vehicle is (nor is its pool of assets) expected to be registered under the Investment Company Act. Generally, there is less governmental supervision and regulation of exchanges, brokers and Securitization Vehicles in less developed markets.

Structured credit products and other Securitization Vehicles are generally limited-recourse obligations of the issuer payable solely from the Underlying Assets of the issuer or proceeds thereof, and the Collateralized Securities they issue will not be guaranteed by any person. Consequently, holders of Collateralized Securities must rely solely on distributions on the Underlying Assets or proceeds thereof for payment in respect thereof. The distributions on Collateralized Securities generally depend solely upon the amount and timing of payments and other collections on the related underlying collateral, the amount of which is typically established to withstand certain assumed deficiencies in payment occasioned by defaults of the underlying collateral. If any deficiencies exceed such assumed deficiency levels, payments on the related Collateralized Securities could be adversely affected by defaults.

A common feature in Collateralized Securities AGSIF intends to invest in is that the cash flows generated by the Underlying Assets are used to make payments to holders of Collateralized Securities in sequential order of priority. Distributions on Residual Tranches are generally made only after payment of interest on and principal of the Non-Residual Tranches (and the Securitization Vehicle's expenses). Although there is generally no interest due on Residual Tranches, distributions may be made to holders of Residual Tranches on each payment date after all of the other required payments are made on such payment date. There can be no assurance that after making such required payments there will be any remaining funds available to pay distributions on, or fully repay principal of, the Residual Tranche. Failure (or increased likelihood of failure) to make distributions on a Residual Tranche could have a material adverse effect on the liquidity and market value of such Residual Tranche. In addition, the Underlying Assets collateralizing Collateralized Securities are subject to liquidation upon the failure of certain tests, and it is likely that any such liquidation could result in a substantial loss of value on the related Collateralized Securities.

Any investment by AGSIF in Residual Tranches and, often, an investment in junior and mezzanine Non-Residual Tranches, will represent leveraged investments in the Underlying Assets. Residual Tranches are the most illiquid class of Collateralized Securities and the tranche most likely to suffer a loss. The market value of these investments would be anticipated to be significantly affected by, among other things, changes in the market value of the related Underlying Assets, changes in the distributions on such Underlying Assets, defaults and recoveries on such Underlying Assets, capital gains and losses on such Underlying Assets, prepayment on Underlying Assets and the availability, prices and interest rate of such Underlying Assets. Accordingly, a Residual Tranche may not be paid in full and may be subject to up to 100% loss, followed by the junior-most Non-Residual Tranche and then each Non-Residual Tranche immediately senior to that Non-Residual Tranche until the loss has been fully absorbed. Furthermore, the leveraged nature of each subordinated class may magnify the adverse impact on each such class of the foregoing factors.

Any investment by AGSIF in Residual Tranches would subject AGSIF to the "first loss" subordinate holder position. In addition, any investment by AGSIF in junior and mezzanine Non-Residual Tranches, as well as Residual Tranches, would generally be subordinated to substantial amounts of senior indebtedness, all or a significant portion of which may be secured. Investments in subordinate securities have a higher risk of loss than investments in more-senior securities. If any event of default occurs and more than one class of Collateralized Securities is then outstanding, the controlling class (which will generally be the most-senior class outstanding) will be entitled to determine the exercise of remedies and could pursue remedies that are adverse to the interests of subordinate classes. Accordingly, in the event of a default by the Securitization Vehicle, the remedies available to the holders of Residual Tranches as well as junior and mezzanine Non-Residual Tranches will be substantially

less than that of holders of more-senior tranches. In addition, the trustee for the Collateralized Securities will have no obligation to act on behalf of the holders of the Residual Tranche except as expressly provided in the related indenture or other issuance document.

Investment in Reorganizations and Restructurings.

AGSIF may make investments in restructurings that involve companies that are experiencing or are expected to or may experience severe financial difficulties. These severe financial difficulties may never be overcome and may cause such companies to become subject to bankruptcy proceedings. In such situations, AGSIF's Investment is subject to the risk that a bankruptcy filing may adversely and permanently impact the value of a company and that high administrative costs may impair the value of the company. In addition, such investments could subject AGSIF to certain additional potential liabilities that may exceed the value of AGSIF's original investment therein. For instance, under certain circumstances, payments to AGSIF and distributions by AGSIF to the Shareholders may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance, preferential payment or similar transaction under applicable bankruptcy and insolvency laws. Furthermore, investments in distressed companies and restructurings may be adversely affected by statutes relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the court's discretionary power to disallow, subordinate or disenfranchise particular claims.

Having a "blocking position" in a security that is subject to a plan of reorganization or a restructuring entails significant risks if AGSIF's evaluation of the anticipated outcome of the investment situation should prove incorrect. In addition, an investment in a company involved in a reorganization proceeding or restructuring entails significant risks and may be adversely impacted if AGSIF's evaluation of the anticipated outcome of the investment situation should prove incorrect. Accurate information pertaining to the true condition of such issuers is frequently difficult to obtain.

Some of the investments AGSIF will make may require active monitoring and representation on official and unofficial creditors' committees for a company involved in a reorganization proceeding or restructuring. Accordingly, AGSIF may seek representation on such committees from time to time if the Investment Manager, in its discretion, determines that such representation is necessary or advisable to protect or further AGSIF's interests. Serving on an official or unofficial committee increases the possibility that AGSIF will be deemed an "insider" or a "fiduciary" of the company it has so assisted and may restrict AGSIF's trading of its investments in such company and exposes the person serving on the committee to litigation risks. Should such assistance be provided before a company enters bankruptcy proceedings, the bankruptcy court, under certain conditions such as a finding of fraud or inequitable conduct, may invoke the doctrine of "equitable subordination" with respect to any claim or equity interest held by AGSIF in such company and therefore may subordinate any such claim or equity interest in whole or in part to other claims or equity interests in such company. See also "—Risks Arising from Provision of Managerial Assistance" and "—Lender Liability Considerations, Equitable Subordination and Recharacterization" for additional risks relating to serving on such committees.

Risk Related to Financing Liquidity Solutions.

AGSIF may invest with or alongside general partners or managers of private funds in connection with a variety of liquidity and similar solutions in respect of such private funds (the "Underlying Funds"). The success of each of such investment is subject in part to those risks which are inherent in buyout, credit, energy, real estate and such other investments undertaken by the Underlying Funds. These risks are generally related to (i) the ability of each of the general partners, and the Underlying Funds they manage and control, to select and manage successful investment opportunities; (ii) the quality of the management of each portfolio company in which the Underlying Funds invest; (iii) the ability of the Underlying Funds to liquidate their investments; and (iv) general economic conditions. There can be no assurance that the investments made by the Underlying Funds will result in attractive rates of return to AGSIF. AGSIF will endeavor to negotiate appropriate management and control rights in connection with such investments, including negative controls and approval and information rights but notwithstanding any rights ultimately agreed upon, AGSIF may have limited ability to protect its position in certain circumstances (other than by exercise of those rights afforded by investors generally); this risk is heightened by the bespoke informational and control arrangements that the Investment Manager expects may be implemented between AGSIF and counterparties. AGSIF is not expected to be able to participate in the management and control of the Underlying Funds in which it indirectly holds investments nor of the portfolio companies in which the Underlying Funds have invested, nor will the Fund necessarily have management or control of the general partners. As a result, the returns of the portfolio investments will depend in large part on the performance of the general partners, including in their capacity managing the Underlying Funds. Further, should an Underlying Fund's general partner become incapacitated or in some way cease to participate in the management of such Underlying Fund, the performance of such Underlying Fund and thus the general partner (and consequently the portfolio investment) could be adversely affected.

ABS, MBS and RMBS Generally.

The investment characteristics of asset-backed securities (“ABS”) and mortgage-backed securities (“MBS”) differ from traditional debt securities. Among the major differences are that interest and principal payments are made more frequently, usually monthly, and that the principal may be prepaid at any time because the underlying loans or other assets generally may be prepaid at any time.

ABS and MBS Subordinated Securities. Investments in subordinated MBS and ABS involve greater credit risk of default than the senior classes of the issue or series. Default risks may be further pronounced in the case of MBS and ABS secured by, or evidencing an interest in, a relatively small or less diverse pool of underlying loans. Certain subordinated securities absorb all losses from default before any other class of securities is at risk, particularly if such securities have been issued with little or no credit enhancement or equity. Such securities, therefore, possess some of the attributes typically associated with equity investments.

Commercial MBS. Mortgage loans on commercial properties often are structured so that a substantial portion of the loan principal is not amortized over the loan term but is payable at maturity and repayment of the loan principal thus often depends upon the future availability of real estate financing from the existing or an alternative lender and/or upon the current value and salability of the real estate. Therefore, the unavailability of real estate financing may lead to default.

Most commercial mortgage loans underlying MBS are effectively nonrecourse obligations of the borrower, meaning that there is no recourse against the borrower’s assets other than the collateral. If borrowers are not able or willing to refinance or dispose of encumbered property to pay the principal and interest owed on such mortgage loans, payments on the subordinated classes of the related MBS are likely to be adversely affected. A third party servicer and special servicer will typically be appointed by the MBS issuer to exercise the rights of the MBS issuer as a lender and where there is a payment default on the underlying commercial mortgage loans, it will often be the special servicer that is tasked with implementing a strategy to maximise recoveries. The ultimate extent of the losses incurred by holders of MBS, if any, may depend on the ability of the special servicer to implement a successful strategy with respect to the commercial mortgage loans and underlying property portfolio which may include work-outs and/or enforcement. Holders of different classes of MBS are likely to have varying powers and rights with respect to the special servicer and its proposed resolution strategy.

Factors such as the property’s location, the legal status of title to the property, its physical condition and financial performance, environmental risks, and governmental disclosure requirements with respect to the condition of the property may make a third party unwilling to purchase the property following an enforcement or to pay a price sufficient to satisfy the obligations with respect to the related MBS. Revenues from the assets underlying such MBS may be retained by the borrower and the return on investment may be used to make payments to others, maintain insurance coverage, pay taxes or pay maintenance costs. Such diverted revenue is generally not recoverable without a court appointed receiver to control collateral cash flow.

ABS. ABS represent a different risk profile to MBS on the basis that these securities may not have the benefit of the same security interest in the underlying collateral. Credit card receivables, for example, are generally unsecured meaning that there is a possibility that recoveries on defaulted collateral may not be available to support payment on these securities and the debtors are often entitled to the protection of consumer credit laws, many of which give such debtors the right to set off certain amounts owed on the credit cards, thereby reducing the balance due.

The collateral supporting ABS is of shorter maturity than certain other types of loans and is less likely to experience substantial prepayments. ABS are often backed by pools of any variety of assets, including, for example, leases, mobile home loans and aircraft leases, which represent the obligations of a number of different parties and use credit enhancement techniques such as letters of credit, guarantees or preference rights. The value of an ABS is affected by changes in the market’s perception of the asset backing the security and the creditworthiness of the servicing agent for the loan pool, the originator of the loans or the financial institution providing any credit enhancement, as well as by the expiration or removal of any credit enhancement. Economic and political factors such as prevailing interest rates and levels of employment and taxation are also likely to impact on repayments and default rates on the underlying collateral and therefore the value of the related ABS.

RMBS. Holders of residential mortgage backed securities (“RMBS”) are exposed to the risks associated with a pool of residential mortgages and as such bear various risks, including credit, market, interest rate, structural and legal risk. Unlike in the United States where a significant proportion of RMBS are issued by US government agencies (most significantly Federal National Mortgage Association (Fannie Mae) and Federal Home Loan Mortgage Corporation (Freddie Mac)) and therefore guaranteed, European RMBS tends to represent unguaranteed payment obligations of the underlying borrowers.

Investment in RMBS is likely to experience the adverse effects of a deterioration in household finances in the jurisdictions in which the underlying borrowers are located. For example, a period of high inflation which began in 2022 and which is continuing in both the United Kingdom and Eurozone has resulted in rising interest rates and low levels of consumer confidence across the affected jurisdictions and this is likely to negatively impact credit performance of UK and European RMBS. The extent of such negative impact will be dependent upon certain factors which may lead to heightened risk, for example, greater exposure to interest-only loans, variable rate mortgage products or borrowers with weak historical performance are all likely to exacerbate any deterioration of credit performance. Other factors such as trends in the labour market in the jurisdiction of the underlying borrowers may also have an impact on investments in RMBS. Whilst mortgage borrowers tend to continue to make monthly payments to the extent that they have the ability to do so, meaning that arrears tend to accrue more slowly than with other types of consumer borrowing, a sustained period of heightened unemployment is likely to result in heightened levels of mortgage defaults over time.

At any one time, a portfolio of RMBS may be backed by residential mortgage loans with disproportionately large aggregate principal amounts secured by properties in only a few jurisdictions or regions. As a result, the residential mortgage loans may be more susceptible to geographic risks relating to such areas, such as adverse economic conditions, adverse events affecting industries located in such areas and natural hazards affecting such areas, than would be the case for a pool of mortgage loans having more diverse property locations. In particular, it should be noted that investing in RMBS in particular European jurisdictions may involve certain esoteric risks as a result of differing market practices. For example, whereas in the United Kingdom mortgage loans are often fixed for a period of two (2) or five (5) years, in Portugal mortgage loans tend to be floating and in France they are typically fixed for their entire tenor. This might mean that where interest rates are rising, deterioration in credit performance would be more pronounced on a portfolio of Portuguese mortgage loans as compared to a portfolio of UK mortgage loans which in turn might suffer from greater deterioration in credit performance compared to a portfolio of French mortgage loans.

Prepayments on the underlying residential mortgage loans backing an issue of RMBS will be influenced by the prepayment provisions of the related mortgage loans and may also be affected by a variety of economic, geographic and other factors, including the difference between the interest rates on the underlying residential mortgage loans (giving consideration to the cost of refinancing) and prevailing mortgage rates and the availability of refinancing. In general, if prevailing interest rates fall significantly below the interest rates on the related residential mortgage loans, the rate of prepayment on the underlying residential mortgage loans would be expected to increase. Conversely, if prevailing interest rates rise to a level significantly above the interest rates on the related mortgages, the rate of prepayment would be expected to decrease. Prepayments could reduce the yield received on the related issue of RMBS. RMBS are particularly susceptible to prepayment risks, as they generally do not contain prepayment penalties and a reduction in interest rates will increase the prepayments on the RMBS, resulting in a reduction in yield to maturity for holders of such securities.

Infrastructure Debt Investments

AGSIF seeks to primarily self-originate investments and provide debt capital to U.S. European and Asian-Pacific mid-market companies with a target EBITDA between \$10 million and \$250 million + as further described in Section III: “*Investment Information*” of this Annex, AGSIF also has the flexibility to invest in other infrastructure debt investments. Please refer to the risk factors stated below for more information on the risks associated with such infrastructure debt investments.

Project Financings

Some of AGSIF’s Investments will be structured on a project finance basis. A project finance structure entails the assumption of “project risk” by equity or debt investors such as AGSIF, usually without recourse to a project sponsor. Risks may arise in construction due to design and construction flaws. The project may have difficulty locating customers for power or such other commodity that is generated, and projected markets for such items may not materialize. Projects in which AGSIF invests may experience shortages of skilled personnel. Operations may depend upon government licenses, franchises, and contracts, which may be subject to termination, revocation or modification. AGSIF’s Investments may be adversely affected by storms and other natural disasters. Operators of projects may be adversely affected by sharp increases in component prices and in some cases limited availability of supplies. Power producers may also be adversely affected by events that affect the creditworthiness of the electric utilities to which they sell power. Regulatory changes may affect or require substantial modifications to key project documents, including power sales, interconnection, and power transmission agreements and other offtake agreements, and may impact tax treatment and profitability.

Use of Debt to Finance Infrastructure Projects

Most infrastructure projects are financed using a high degree of debt measured as a proportion of the total enterprise value. As such, AGSIF expects that a portion of its investments will consist of interests in loans originated by banks and other financial institutions. The loans invested in by AGSIF may include term loans and revolving loans, may pay interest at a fixed or floating rate and may be senior or subordinated. Purchasers of bank loans are predominantly commercial banks, investment funds and investment banks. The value of an investment in AGSIF may be negatively impaired by either adverse interest rate movements or deterioration in the cashflow available to a project to service projected debt obligations.

The cost and availability of leverage is highly dependent on the state of the broader credit markets, which state is difficult to accurately forecast. During times when credit markets are tight, it may be difficult for a project to obtain or maintain the desired degree of leverage. Leverage often imposes restrictive financial and operating covenants on a project, in addition to the burden of debt service, and may impair its ability to finance future operations and capital needs.

If any project in which AGSIF is invested cannot generate adequate cashflow to meet debt service, AGSIF may suffer a partial or total loss of capital invested, which could adversely affect the returns of AGSIF Fund.

International Investing.

AGSIF may invest, directly or indirectly, in Underlying Issuers who, at the time of initial investment, are non-European Obligors. Although the Investment Manager believes that investing in these markets may offer significant potential for appreciation and portfolio diversification, prospective investors should recognize that investing in international markets may subject AGSIF to certain risks not typically associated with investing in assets in the UK and/or Europe. The investor should consider a number of potential risks associated with investments in international markets, including, without limitation: (i) that costs and expenses of investing in such markets may be higher than in the UK and Europe; (ii) risks of economic dislocations or other adverse economic events in the host country; (iii) differences in their securities markets, including potential price volatility in and relative illiquidity of some international securities markets; (iv) political/sovereign risk arising from government actions (including seizure or nationalization of foreign deposits), trade barriers, exchange controls, different monetary systems, nationalization, expropriation, political changes, economic or social instability (including the risk of sovereign defaults), the risk of war or terrorism or civil unrest; (v) investment and repatriation restrictions arising from laws and regulations limiting or precluding direct foreign investment, foreign ownership restrictions, the possible inability to obtain approval for foreign investment, and unanticipated legal or regulatory changes; (vi) differences in conventions relating to documentation, settlement, corporate actions, stakeholder rights and other matters; (vii) the different accounting, auditing and financial reporting standards, practices and disclosure requirements and potentially less government supervision and regulation; (viii) different legal frameworks, regulatory systems and/or corporate laws regarding stakeholder rights, creditors' rights (including the rights of secured parties), breach of contract actions, fiduciary duties and the protection of investors, and the consequent potential difficulty of obtaining enforceable legal redress; (ix) costs associated with conversion of and limitations on the convertibility of currency, or limitations on the removal of securities, property or other assets of an obligor; (x) currency risk; (xi) regulatory change, and the possibility of expropriation or confiscatory taxation or the imposition of withholding or other taxes on dividends, interest, capital gains, other income or gross sales or disposition proceeds, as well as application of transaction-based taxes such as stamp duty taxes; (xii) the possible imposition of foreign taxes on income, gains and gross sale or other proceeds recognized with respect to such securities or instruments; and (xiii) adverse diplomatic or political developments. While these factors will be taken into consideration in making investment decisions for AGSIF and AGSIF will be managed in a manner the Investment Manager believes would minimize exposure to the foregoing risks, there can be no assurance that these risks will be evaluated accurately or that adverse developments with respect to such risks will not adversely affect the value or realization of such investments that are held by AGSIF.

Risks Relating to the Infrastructure Sector

Most infrastructure assets have unique locational and market characteristics, which could make them highly illiquid or appealing only to a narrow group of investors. Infrastructure investments expose AGSIF to numerous risks, usually without recourse to the general credit of a project sponsor, including (without limitation) construction, environmental, regulatory, permitting, commissioning, start-up, operating, economic, commercial, contractual, political, innovation, and financial risks. AGSIF may also invest in early developmental stage projects, involving risks of failure to obtain or substantial delays in obtaining regulatory, environmental or other approvals or permits; financing; and suitable equipment supply, operating and offtake contracts. Finally, AGSIF will be subject to additional infrastructure sector risks, including (i) the risk that technology employed will be not

be effective or efficient; (ii) the risk of equipment failures, fuel interruptions, loss of sale and supply contracts; (iii) changes in power or fuel contract prices, bankruptcy of or defaults by key customers, suppliers or other counterparties, and tort liability; (iv) risk of changes of values of infrastructure sector companies; (v) risks associated with employment of personnel and unionized labor; and (vi) political and regulatory considerations and popular sentiments that could affect the ability of AGSIF to make such investments on favorable terms. The occurrence of events related to any of the foregoing could have a material adverse effect on AGSIF and its Investments. There can be no assurance that AGSIF's Investments will be profitable or generate cash flow sufficient to service their debt or provide a return on or recovery of amounts invested therein. To the extent that AGSIF invests in assets that are governed by lease or concession agreements with governmental authorities, there is a risk that these authorities may not be able to honor their obligations under the agreement, especially over the long term. Such lease or concession agreements may also contain clauses more favorable to the governmental counterparty than a typical commercial contract and may restrict AGSIF's ability to maximize cash flows and profitability with respect to the investment. Furthermore, governmental authorities have considerable discretion in implementing regulations that could impact these businesses, and because infrastructure assets provide basic, everyday services, and face limited competition, governments may be influenced by political considerations and may make decisions that adversely affect AGSIF's Investments.

Risks Relating to Public-Private Partnerships

Target sector investments may be implemented through concession agreements or leases with governmental authorities (whether at the federal, provincial, state, local, municipal or other level), particularly in the target sector of renewable power generation. Bidding on such projects may be subject to public procurement laws. Once contracted, authorities may not honor their obligations under such agreements, especially over the long term, for lack of political will or for budgetary reasons among others. Government leases or concessions may also contain clauses more favorable to the government counterparty than would a typical commercial contract: a lease or concession may enable the government to terminate the lease or concession in certain circumstances without requiring it to pay adequate compensation. In addition, government counterparties also may have the discretion to change or increase regulations or implement new laws or regulations affecting AGSIF's operations. Governments have considerable discretion in implementing regulations where such businesses provide basic, everyday services, and face limited competition. As a result, governments may make decisions in respect of infrastructure assets that are politically expedient, but adversely affect AGSIF's Investments.

Risks of Transmission Constraints and Renewable Penetration Limits

AGSIF may invest in renewable generation, the production of which is limited in some areas by transmission constraints, and independent system operator concerns over reliability and dependability of intermittent generation in the mix. Further, many sites with the best wind or solar resources, with sufficient land to build a plant, are located some distance from load. While these concerns may negatively impact the development of renewable resources, such risks may drive development of energy storage.

Further, risk exists that demand for and development of renewable energy does not continue to grow as expected, due to low energy costs from fossil or nuclear power sources, local opposition to development, or the inability of the grid to absorb intermittent power in greater quantities, among other reasons.

Competitive Pressures.

The market for assets in the target sectors is competitive. AGSIF's competitors will include dividend-oriented investment vehicles, diversified energy project owners, private equity funds, investor-owned utility holding companies, strategic investors and companies focused on renewable energy generation. AGSIF will compete with these companies to acquire interests in projects with projected stable cash flows that can be built in a cost-effective manner. Each portfolio company will also compete with other solar and wind power developers for the limited pool of personnel with requisite industry knowledge and experience. If there are shortages of necessary equipment or components in the future, solar panel, inverter, turbine and other component manufacturers may give priority to other market participants, including AGSIF's competitors, who may have greater resources.

Other entities could construct new facilities or expand existing facilities that could potentially serve the same markets as one of the portfolio companies in which AGSIF is invested. Any such new facility could offer services that are more desirable to customers because of locations, rates or other factors. These new facilities could charge rates or provide service to locations that could result in savings for shippers and producers and thereby force a portfolio company to lower the rates charged for services on its services in order to extend existing service agreements or to attract new customers. An increase in the availability of competing alternative facilities or services could result in a significant reduction in a portfolio company's revenue.

AGSIF will also compete with power companies and the wider market in general, not limited to those focusing on infrastructure debt, for the lowest cost financing. Depending on the regulatory framework and market dynamics of a region, AGSIF may also compete with other power companies and infrastructure debt energy generators when projects bid on or negotiate for long-term power sale agreements. Natural gas and coal prices tend to be volatile and to drive power prices.

AGSIF has no control over where its competitors may site competing projects. AGSIF's portfolio solar energy projects may face competition in local markets from utilities, construction companies or increasingly sophisticated electrical and roofing companies. In addition, competitors may erect wind projects adjacent to wind projects in which AGSIF is invested that may cause upwind array losses to occur at such wind projects. Upwind array losses reflect the diminished wind resource available at a project resulting from interference with available wind caused by adjacent wind turbines. An adjacent wind power project that causes upwind array losses could have a material adverse effect on AGSIF's Investments which may in turn impact AGSIF's business, financial condition and results of operations.

Additionally, forms of energy compete with each other, including solar, wind, geothermal, biopower, natural gas, electricity, coal, hydroelectric power, nuclear power, and fuel oil. The principal elements of competition among alternative forms of energy are based on the existing infrastructure, rates, terms of services, access to supply, emissions and reliability. Such competition could decrease demand for a portfolio company's services in the markets such portfolio company serves.

Further, new innovations and combinations may affect demand for goods or services currently provided in the target sectors. For instance, battery storage may make solar power more competitive, accelerating demand for both batteries and solar. Separately, ride sharing services might impact individual households' demand for new electric vehicles.

Demand Side Changes

The amount of solar and wind power consumed by the electric utility industry is affected primarily by the overall demand for electricity, environmental and other government regulations and the price and availability of fuels such as nuclear, coal, natural gas and oil as well as other sources of renewable energy. A decline in prices for these fuels could negatively impact the rate of replacement of aging, inefficient fossil resources, cause demand for solar and wind power to decrease and adversely affect the demand for renewable energy. For example, low natural gas prices have led, in some instances, to increased natural gas consumption by electricity-generating utilities in lieu of other power sources. To the extent renewable energy becomes less cost-competitive on an overall basis as a result of a lack of governmental incentives, cheaper alternatives or otherwise, demand for solar and wind power and other forms of renewable energy could decrease. Slow growth in overall demand for electricity or a long-term reduction in the demand for renewable energy could have a material adverse effect on the AGSIF's investment plans and could, in turn, have a material adverse effect on the results of operations and cash available for distribution.

Risks of Change in Law or Regulation

Infrastructure development and operations are heavily impacted by laws and regulations, including production, generation, supply, operation, and ownership. Changes in the energy markets, network charges or other market rules could negatively impact the grid and projects impacted thereby, including generation facilities and battery storage projects.

AGSIF must comply with various legal requirements, including requirements imposed by the securities laws, commodities laws, tax laws and pension laws in various jurisdictions. Should any of those laws change, the legal requirements to which AGSIF may be subject could differ materially from current requirements. Such changes may also adversely affect AGSIF. Energy and utility regulatory requirements, and the availability of exemptions from power sales rate regulation, from the regulation of investments and of financings in the electric sector, and the tariffs and regulations relating to electrical interconnection all change frequently.

Energy Regulatory Matters

AGSIF may invest in infrastructure debt projects in the electricity sector, which are subject to laws and regulations, approvals, and compliance requirements regarding electricity production, transmission, and sale. Compliance with the requirements under these various regulatory regimes may cause AGSIF incur significant costs, and failure to comply with requirements could result in the disconnection and/or shutdown of the noncomplying facility, the inability to sell electricity from the non-complying facility, the default of contracts

for the sales to be made from the non-complying facility, defaults under financing agreements, the imposition of liens, fines, refunds and interest, and/or civil or criminal liability.

Risks of Industry Specific Tariffs.

A subcategory of change in law risk, the risk of tariffs on goods particularly from China, currently stands to impact many solar panel and other manufacturers, developers and end users. While it remains to be seen if this risk lessens or spreads to other segments of the industry, the uncertainty and additional costs resulting from the tariffs may impact project development costs, particularly in the solar and wind power industries for the near future.

Change in Government Support (Tax Credits, Net Metering, Tax Rates).

Another subcategory of change in law risk is the revision or repeal of current subsidies or preferential tax treatment. Solar and wind power generation projects have historically benefitted from tax credits and accelerated depreciation, among other incentives. Uncertainty around the future of such benefits (including tax credits, which are currently scheduled to sunset or be reduced in the near future) may slow development in these areas. Additionally, even should these tax credit and accelerated depreciation benefits remain fully in place in their current form, the reduction in the federal corporate income tax rate may lessen the appetite of certain investors for tax favored transactions and investments.

Additionally, some infrastructure projects will derive substantially all of their revenues from tolls, tariffs or other usage fees. Users of the applicable service may react negatively to any adjustments to the applicable rates, or the public may cause relevant government authorities to challenge such rates. In addition, adverse public opinion, or lobbying efforts by specific interest groups, could result in governmental pressure on a portfolio company or a fund to reduce its rates, or to forego planned rate increases.

Unforeseen Events and Risk of Force Majeure Events

Use of infrastructure assets may be interrupted or otherwise affected by a variety of events outside of the control of AGSIF, the AIFM or the Investment Manager, including serious traffic accidents, natural disasters (including fire, floods, earthquakes and typhoons), man-made disaster (including terrorism and acts of war), defective design, construction and maintenance, slope failure, bridge and tunnel collapse, road subsidence, fuel prices, environmental legislation or regulation, general economic conditions, labor disputes, public health emergencies and other unforeseen circumstances and incidents. The physical risks of climate change, such as more frequent or more extreme weather events, changes in sea level, temperature and precipitation patterns, ground and surface water availability, and other related phenomena may exacerbate these risks. Certain of these events have affected toll roads, bridges, tunnels and other infrastructure assets in the past, and if the use of the infrastructure asset is interrupted in whole or in part for any period as a result of such events the relevant investment could experience a reduction in revenues, increased costs of maintenance or restoration and loss or reduction of overall public confidence. Such issues, if experienced at the facilities of one or more portfolio companies in which AGSIF is invested, could adversely impact such portfolio companies' returns or revenues, increase costs to repair and maintain certain systems, subject such portfolio companies to potential litigation and/or damage claims and increase the level of oversight of the transmission and generation operations and infrastructure of such portfolio companies, which may in turn impact AGSIF. In some cases, project agreements could be terminated if the events described above were so catastrophic that they could not be remedied within a reasonable period or at all.

Extreme weather events, including hurricanes or storms or other natural disasters, could be destructive and result in casualty losses that are not ultimately offset by insurance proceeds or in increased capital expenditures or costs, including supply chain costs. Moreover, an extreme weather event could cause disruption in service to customers due to downed wires and poles or damage to other operating equipment, which could result in a portfolio company foregoing sales of electricity and lost revenue. Similarly, an extreme weather event might affect the availability of generation and transmission capacity, limiting a portfolio company's ability to source or deliver electricity to where it is needed. These conditions, which cannot be reliably predicted, could have an adverse consequence by requiring a portfolio company to seek additional sources of electricity when wholesale markets are tight or to seek to sell excess electricity when those markets are weak. Variations in weather conditions, primarily temperature and humidity, also would be expected to affect the energy needs of customers.

Further, even weather within the normal range can impact production at certain energy power generation facilities, such as solar and wind energy projects. Actual conditions of such a project's location, even after feasibility assessments, may not perform sufficiently to meet projected energy generation levels, which could adversely affect AGSIF.

If solar or wind conditions are unfavorable, revenues from renewable generation facilities may be substantially below expectations. The electricity produced and revenues generated by a solar or wind energy generation facility is highly dependent on suitable solar or wind conditions, as applicable, and associated weather conditions, which are beyond the control of AGSIF, the AIFM or the Investment Manager. Furthermore, components of generating projects' systems, such as solar panels and inverters, could be damaged by severe weather, such as hailstorms or tornadoes. In addition, replacement and spare parts for key components may be difficult or costly to acquire or may be unavailable. Unfavorable weather and atmospheric conditions could impair the effectiveness of the generating assets or reduce their output beneath their rated capacity or require shutdown of key equipment, limiting the revenues of AGSIF's portfolio of renewable assets. In addition, climate change may have the long-term effect of changing wind patterns at AGSIF's projects. Changing wind patterns could cause changes in expected electricity generation. These events could also degrade equipment or components and the interconnection and transmission facilities' lives or maintenance costs.

Additionally, by their very nature as strategic investments, infrastructure debt investments in the target sectors may face greater risks of terrorist acts or political actions, and some of these risks may not be insurable. Risks that are beyond the control of AGSIF, the AIFM or the Investment Manager, including but not limited to acts of terrorism or related acts of war, natural disaster, hostile cyber intrusions or other catastrophic events, could have a material adverse effect on AGSIF's business, financial condition and results of operations. The infrastructure debt projects in which AGSIF invests, as well as the facilities of third parties on which the projects rely, may be targets of terrorist activities, as well as events occurring in response to or in connection with them, that could cause environmental repercussions and/or disrupt the projects' ability to operate and produce revenue. Strategic targets, such as energy projects, may be at greater risk of future terrorist activities than other domestic targets. Hostile cyber intrusions, including those targeting information systems as well as electronic control systems used at AGSIF's plants and for the related distribution systems, could disrupt business operations and result in loss of service to customers, as well as create significant expense to repair security breaches or system damage.

Some projects may be located in or near earthquake, fire, and/or flood zones, and certain of AGSIF's projects and suppliers conduct their operations in the same region or in other locations that are susceptible to disasters. The occurrence of a disaster, such as an earthquake, drought, flood or localized extended outages of critical utilities or transportation systems or any critical resource shortages, affecting AGSIF's Investments or their suppliers, could interrupt AGSIF's business, damage or destroy its facilities or those of its suppliers or the manufacturing equipment or inventory of its suppliers.

Any terrorist acts, environmental repercussions or disruptions or natural disasters could result in a significant decrease in revenues or significant reconstruction or remediation costs, beyond what could be recovered through insurance policies, which could have a material adverse effect on AGSIF's business, financial condition and results of operations.

Availability of Insurance

Certain losses of a catastrophic nature, such as wars, earthquakes, typhoons, hurricanes, terrorist attacks, floods, pandemics or other similar events, may be either uninsurable or insurable at such high rates that to maintain such coverage would cause an adverse impact on the related AGSIF Investments. In general, losses related to terrorism are becoming harder and more expensive to insure against. Some insurers are excluding terrorism coverage from their all-risk policies. In particular, the projects in which AGSIF will invest face risks inherent in the digital, energy, transportation, and utilities sectors. They will be exposed to public security, equipment, infrastructure, disaster, and environmental risks. Insurance policies may not cover losses as a result of force majeure. In addition, while a portfolio company's insurance policies for some of its projects may cover losses as a result of certain types of natural disasters, terrorist attacks or sabotage, among other things, such coverage is not always available in the insurance market on commercially reasonable terms and is often capped at predetermined limits, such as by offering significantly limited coverage against terrorist acts for additional premiums, which can greatly increase the total costs of casualty insurance for a property, if decided to be obtained. As a result, all AGSIF Investments may not be insured against terrorism or certain other risks. In addition, a portfolio company's insurance policies are subject to annual review by its insurers and may not be renewed on similar or favorable terms or at all. A serious uninsured loss or a loss significantly exceeding the limits of a portfolio company's insurance policies could have a material adverse effect on its business, financial condition and results of operations, such as losing both invested capital in and anticipated profits from the affected AGSIF Investments. In general, the Investment Manager will not have discretion as to the type and level of coverage to obtain, or whether to obtain insurance at all.

Negative Publicity

AGSIF's investment strategy may include the making of investments in companies that receive a high degree of media coverage. Negative or unfavorable publicity regarding a company's product, product quality, litigation, or regulatory activity, or regarding the actions of third parties with whom it has relationships could seriously harm a company's brand, reputation and business. In addition, events in a company's industry, even if unrelated to such company, may negatively affect its brand, reputation and business. As a result, such negative or unfavorable publicity may adversely impact the company's and/or AGSIF's reputation, and may result in material adverse consequences to AGSIF's investment in the company and, potentially, AGSIF's ability to execute its investment strategy.

Business Risk

Like any other business, the viability of an infrastructure asset is reliant on the revenue, costs and profitability of that asset. Variability in any of these factors will affect the value of an Investment. These risks are particularly acute for construction ready investments that lack established revenue and profitability track records.

Infrastructure assets can often experience gradually increasing or fluctuating patronage in the early years of operation, and there is also a risk that the demand for use of the asset may be less than originally projected.

Operational Risk and Technology

AGSIF may invest in operating infrastructure facilities. Operation of such facilities involves certain operational risks, which include: the possibility of performing below expected levels of output, availability or efficiency; interruption in fuel or other necessary supplies; increases in the cost of necessary supplies; disruptions in the offtake of energy or other production; power shutdowns; breakdown or failure of equipment or processes; accidental discharges of hazardous materials; labor disputes; changes in law; failure to obtain or maintain necessary governmental permits; or catastrophic events such as fires, earthquakes, lightning, explosions, hurricanes, tornados, floods or similar occurrences affecting a facility owned by a portfolio company of AGSIF or its offtaker or other project counterparties. Environmental factors such as levels of solar irradiation, wind power, and flood levels all may affect various renewable energy production.

Most infrastructure assets are operated and maintained by external parties under contractual relationships. Poor operational and maintenance performance by these third parties may have a negative effect on the value of an Investment. Demand, usage and throughput risk can affect the performance of portfolio companies. To the extent that assumptions regarding the demand, usage and throughput of assets prove incorrect, returns to AGSIF could be adversely affected.

There is a risk that unforeseen factors may require capital expenditures in excess of forecasts and a risk that new or additional regulatory requirements, safety requirements or issues related to asset quality and integrity may result in the need for additional capital expenditure for replacement or reinforcement of infrastructure assets.

Environmental and Other Regulatory Risk

The operations of some portfolio companies may be subject to numerous statutes, rules and regulations relating to environmental protection.

There is a possibility of existing or future environmental contamination, including soil and groundwater contamination, as a result of the spillage of hazardous materials or other pollutants. Under various environmental statutes, rules and regulations of the appropriate jurisdiction, a current or previous owner or operator of real property may be liable for non-compliance with applicable health and safety requirements and for the cost of investigation, monitoring, removal or remediation of hazardous materials. These laws often impose liability whether or not the owner or operator knew of, or was responsible for, the presence of hazardous materials.

The presence of these hazardous materials on a property could also result in personal injury, property damage or similar claims by private parties. Persons who arrange for the disposal or treatment of hazardous materials may also be liable for the costs of removal or remediation of those materials at the disposal or treatments facility, whether or not that facility is or ever was owned or operated by that person. Any liability of portfolio companies resulting from non-compliance or other claims relating to environmental matters could have a materially adverse effect on the value of AGSIF's Investments in those companies.

Additionally, in recent years, a growing concern has emerged nationally and internationally about global climate change and how greenhouse gas emissions ("GHGs"), such as CO₂ and methane, contribute to global climate change.

Changes in these laws, policies, or regulations, or changes in the interpretation or application of existing laws, policies, and regulations that modify the present regulatory environment, could also have an adverse effect on AGSIF's Investments.

Construction and Project Management

Investments in construction ready or development-stage infrastructure assets may result in exposure to the risk that construction will not be completed on time, within budget or to specifications. Such risks may include geological problems and difficulties in obtaining (i) regulatory, environmental or other approvals or permits; (ii) financing; and (iii) suitable equipment supply, operating and offtake contracts, any of which could give rise to delays or costs overruns. A material delay or increase in costs could significantly impair the financial viability of an infrastructure investment project and result in a material adverse effect on AGSIF's Investments. Similar risks may also apply to operational assets in relation to any development works conducted. The revenue and cost implications of this risk may adversely impact the value of an Investment. Furthermore, market conditions may change during the course of development that make such development less attractive than at the time it was commenced. In addition, there are risks inherent in the construction work that may give rise to claims or demands against a portfolio company from time to time.

Project Development Risk

The successful development of projects and the operations of companies in which AGSIF may invest may depend on adequate infrastructure being available (or being developed) and remaining available. These projects and companies may be located in areas that are sparsely populated and difficult to access. Reliable roads, power sources, transportation infrastructure and water supplies are essential for the conduct of project development and operations and the availability and cost of these utilities and infrastructure affect capital and operating costs. Unusual weather or other natural phenomena, sabotage or other interference in the maintenance or provision of such infrastructure could impact the development of a project, reduce production volumes, increase extraction or exploration costs or delay the transportation of raw materials to the mines and projects and commodities to end customers. Any such issues arising in respect of the infrastructure may materially and adversely impact an investment by AGSIF.

Technical Risk

Investments in the infrastructure industry may be subject to technical risks, including the risk of mechanical breakdown, spare parts shortages, failure to perform according to design specifications and other unanticipated events which adversely affect operations. While the Investment Manager intends to seek investments in which creditworthy and appropriately bonded and insured third parties bear much of these risks, there can be no assurance that any or all such risks can be mitigated or that such parties, if present, will perform their obligations.

Health and Safety Risk

The employees and staff of infrastructure businesses are exposed to health and safety risks that could result in death, permanent disability or other serious injury that may disrupt the operations of AGSIF's portfolio companies, lead to economic loss, litigation or penalties for regulatory or contractual non-compliance, and may also adversely impact the reputation of portfolio companies and AGSIF. Moreover, any loss from such events may not be recoverable under relevant insurance policies.

Sovereign and Regulatory Risk

The concessions of certain portfolio companies may be granted by government bodies and are subject to risks, including the risk that the relevant government bodies will exercise sovereign rights and take actions contrary to the rights of AGSIF or the relevant portfolio company under the relevant concession agreement. There can be no assurance that the relevant government bodies will not legislate, impose regulations or change applicable laws or act contrary to the law in a way that would materially and adversely affect the business of the portfolio companies.

In many instances, the acquisition of infrastructure assets involves an ongoing relationship with a government agency. The nature of the arrangements can expose owners to a higher level of regulatory control than typically imposed on other businesses. The repealing, amending or enacting of a new law or regulation (or a new interpretation of the law or regulation) can substantially affect an infrastructure project.

Many of the portfolio companies may be subject to substantial regulation by governmental agencies. In addition, their operations may rely on government permits, licenses, concessions, leases or contracts that are generally very complex and may result in a dispute over interpretation or enforceability. If portfolio companies fail to comply with these regulations or contractual obligations, they could be subject to monetary penalties or may lose rights to operate the affected business, or both.

The leases or concessions may also contain clauses more favorable to the government counterparty than a typical commercial contract. For instance, a lease or concession may enable the government to terminate the lease or concession in certain circumstances without requiring the payment of adequate compensation. Government counterparties also may have the discretion to change or increase regulation of portfolio company operations, or implement laws or regulations affecting their operations, separate from any contractual rights they may have. Governments have considerable discretion in implementing regulations that could affect the businesses carried on by portfolio companies, and because such businesses provide basic, everyday services, and face limited competition, governments may be influenced by political considerations and may make decisions that adversely affect such businesses.

Where a portfolio company is the sole or predominant service provider in its service area and provides services that are essential to the community, it may be subject to rate regulation by governmental agencies that will determine the prices it may charge. Portfolio companies may be subject to unfavorable price determinations that may be final with no right of appeal or which, despite a right of appeal, could result in profits being negatively affected.

Risk Factors Relating to the Shares

AGSIF is subject to the available supply in its ability to originate or purchase assets on advantageous terms or at all.

The Investment Manager intends to cause AGSIF to pursue its investments both through origination and acquiring relevant investments on a secondary (non-origination) basis. There can be no assurance that there will be a sufficient number of suitable investment opportunities to enable AGSIF to invest all of the Subscriptions of the Shareholders in opportunities that satisfy AGSIF's investment strategy or that any investment opportunities will lead to successful investments by AGSIF.

SCHEDULE 1

SUSTAINABILITY-RELATED DISCLOSURES

Introduction

Terms used in this Schedule 1 and not otherwise defined below have the meaning given to them in the Prospectus.

Articles 7(2) SFDR - No Consideration of Sustainability Adverse Impacts

At present, the AIFM (and/or its delegate(s)) does not, within the meaning of the SFDR, consider the adverse impacts of its investment decisions on sustainability factors in respect of AGSIF. The AIFM (and/or its delegate(s)) does not currently do so because, among other reasons, it is continuing to assess the applicable mandatory data collection and disclosure requirements for entities which opt in to considering the principal adverse impacts of their investment decisions, as well as its internal capabilities to comply with such requirements. The AIFM's position on this matter will be reviewed at least annually, and Ares will continue to actively seek to invest in systems and procedures which will enable us, over time, to gather more granular data on the impacts of investment on sustainability factors. As a firm, Ares will also continue its focus on creating long-term value for its investors, the companies in which they invest, and the communities where they live and work.

Article 6(1)(a)&(b) SFDR – Integration of Sustainability Risks and Likely Impact on Returns

The SFDR defines “sustainability risks” as environmental, social or governance events or conditions that, if they occur, could cause an actual or a potential material negative impact on the value of the investment.

The consideration of ESG factors and sustainability risks is, where possible, integrated into the AIFM's and the Investment Manager's investment processes. It is primarily the responsibility of the specific investment team evaluating an investment, along with the other risks which the team considers in line with the particular strategy and investment guidelines for AGSIF.

In order to ensure that sustainability risks are considered in a systematic manner, investment teams are required wherever practicable to highlight key sustainability considerations at the early stages of proposed investments, and subsequently, wherever practicable, to include sustainability risk assessment information within relevant internal documentation such as papers for investment committees, including wherever practicable by the application of ratings to individual sustainability risks together with overall conclusion ratings. Once investments are made, the Investment Manager continues as part of its portfolio management processes to monitor for sustainability risks. If appropriate for an investment, the AIFM or the Investment Manager may conduct sustainability risk-related due diligence and/or take steps to mitigate sustainability risks and preserve the value of the investment. The AIFM or the Investment Manager generally measure any relevant environmental or social matters using third-party standards, guidelines and metrics, data from Ares' portfolios, company reports and publicly available information, as the AIFM or Investment Manager deems relevant from time to time.

The Firm's policy and the AIFM's and the Investment Manager's approach as described above ensures that sustainability risks are integrated into both investment decision making and portfolio management to the extent that they represent potential or actual material risks to and opportunities for investments made for AGSIF. As part of that process, the AIFM and/or the Investment Manager have determined that sustainability risks are potentially relevant to the investment returns of AGSIF, having regard in each case to AGSIF's strategy and investment guidelines. The AIFM and/or Investment Manager will follow its procedures to identify and mitigate sustainability risks, although there can be no guarantee that they will successfully identify and mitigate all material risks.

With regard to AGSIF, many or all of the specific investment decisions involved remain to be made in the future and, accordingly, identification and assessments of risks, including sustainability risks, will necessarily take place on an investment-by-investment basis in accordance with the policy described above.

As of the date hereof, no specific investment decisions have been made for AGSIF and accordingly the identification and assessments of risks, including sustainability risks, will take place on an investment-by-investment basis as noted above. The AIFM's assessment is that integration of sustainability risks in investment decisions, combined with a diversified portfolio appropriate for AGSIF in light of its investment objective and strategy, should help mitigate the potential material negative impact of sustainability risks on the returns of AGSIF, although there can be no assurance that all such risks will be mitigated in whole or in part, nor identified prior to the date the risk materializes.

EU Taxonomy Regulation Disclosure

Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment (the “**Taxonomy Regulation**”) sets out a framework for classifying specific economic activities as “environmentally sustainable.” The investments underlying this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

ANNEX 5

ARES DIVERSIFIED PRIVATE EQUITY FUND

Ares Diversified Private Equity Fund (the “**ADPE Fund**” and together with the Parallel Entities (as defined below), “**ADPE**”) is a Sub-Fund of AEFS SICAV.

I. DESCRIPTION / OVERVIEW OF ADPE AND ADPE FUND

Ares Diversified Private Equity Fund Overview

ADPE’s investment objective is to seek long-term capital appreciation by investing in an actively managed portfolio of private equity and other private assets (collectively, the “**Private Assets**”).

ADPE Fund will invest through a subsidiary established as a Cayman limited partnership for the purpose of indirectly holding the Investments (as defined below) of ADPE (the “**ADPE Aggregator**”). Please refer to Subsection: “*Structure of Investments*” in Section III: “*Investment Information*” of this Annex.

ADPE Fund cannot assure you that it will achieve its investment objective. Please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*” of the General Section of the Prospectus and Section XI: “*Risk Factors and Other Considerations*” of this Annex for additional details on the risks associated with an investment in ADPE Fund.

Investment Objective and Strategy of ADPE

ADPE Fund’s investment objective is to seek long-term capital appreciation. ADPE Fund seeks to invest, directly or indirectly, in Private Assets through a number of different approaches, including: (i) direct investments in the equity and/or debt of private companies (“**Direct Investments**”); (ii) primary investments in Portfolio Funds (“**Primary Investments**”); (iii) secondary purchases of interests in Private Asset funds managed by Ares and/or unaffiliated asset managers (“**Portfolio Funds**”), including without limitation through privately negotiated transactions with investors in a Portfolio Fund or directly with any Portfolio Fund (“**Secondary Investments**”); and (iv) Co-Investments (as defined below). The Investment Manager will determine, in its sole discretion, whether the Investments are Direct Investments, Primary Investments, Secondary Investments, Co-Investments, or Debt and Other Instruments (as defined below), depending on the terms and characteristics of such Investments.

To gain exposure to such Private Assets, ADPE Fund may invest, directly or indirectly through one or more investments in Intermediary Funds, a portion of its gross assets in Other Ares Funds including Ares Private Markets Fund, a Delaware statutory trust that is registered under the Investment Company Act as a closed-end, non-diversified, management investment company (“**APMF US**”), which itself invests in Portfolio Funds through Direct Investments, Primary Investments, Secondary Investments and Co-Investments.

In addition, in order to facilitate capital deployment, generate income and as a potential source of liquidity, the ADPE Fund will invest a portion of its assets in a portfolio of debt and other instruments, including cash and cash equivalents, debt securities and other credit instruments, public equities, money market funds, money market instruments, and exchange-traded funds (the “**Debt and Other Instruments**”).

ADPE Fund is intended to provide Shareholders with access to Private Asset investments that are typically only available to large institutional investors. In pursuing the ADPE’s investment strategy, the Investment Manager seeks to invest in Direct Investments, Primary Investments, Secondary Investments and Co-Investments that represent a broad spectrum of types of private equity and other private asset opportunities and strategies (including any future Ares-managed private asset strategies), vintage years (i.e., the year in which a Portfolio Fund begins investing), geographies (including the United States, Europe, Asia Pacific and emerging market countries) and industry sector, including (without limitation) the following strategies:

- **Buyout:** Investments in the equity of established companies where an investor, typically a private equity firm, takes a controlling interest in the company often involving a combination of equity and debt financing to complete the acquisition.

- **Venture and Growth Capital:** Venture capital is characterized by equity investments in early through late stage start-up companies with high potential growth. Growth capital is characterized by investments in companies that typically have a proven business model, but need capital to help facilitate growth.
- **Special Situations:** Encompasses a broad range of investments including operational turnarounds, distressed debt, distressed financial assets, "rescue" financings and high yielding credit-oriented strategies.
- **Infrastructure:** Private infrastructure investments typically include investments in equity and debt securities of companies that focus on infrastructure, including without limitation utilities and/or transportation infrastructure.
- **Real Estate:** Real estate investments include (without limitation) investments in real estate opportunities or in operating companies with significant real estate portfolios.
- **Private Credit:** Private credit investments may include debt and other yield-oriented investments, including debt issued by private companies, which may (without limitation) include loans and debt securities of private equity-backed companies.

With respect to investments in Portfolio Funds, the Investment Manager will typically utilize top-down and bottom-up due diligence processes to evaluate each Portfolio Fund and its sponsor, including, but not limited to, conversations with the sponsor, detailed historical track record evaluation, peer and investor references, and other quantitative and qualitative analyses, as available.

The Investment Manager seeks to build a broad portfolio of assets. By investing the ADPE's assets across Direct Investments, Primary Investments, Secondary Investments and Co-Investments, as well as in Debt and Other Instruments, the Investment Manager will seek to limit the exposure to uncalled commitments and to shorten the duration of expected cash flows relative to a traditional portfolio consisting substantially of Primary Investments. This portfolio construction approach is designed to maintain a relatively high level of exposure to Private Assets while still maintaining appropriate portfolio liquidity to manage redemption of Shares from the Shareholders in accordance with the terms set out in this Annex.

ADPE may invest, directly or indirectly, in companies that are organized or headquartered or have substantial sales or operations outside of the United States, its territories, and possessions, including emerging market countries. ADPE defines emerging market countries generally to include every nation in the world except developed countries, that is, the United States, Canada, Japan, Australia, New Zealand and most countries located in Western Europe. ADPE may seek to hedge all or a portion of ADPE's foreign currency risk. Depending on market conditions and the views of the Investment Manager, ADPE may or may not hedge all or a portion of its currency exposures.

ADPE's asset allocation and amount of Private Assets may be based, in part, on anticipated future capital calls and distributions from such investments. This may result in ADPE making commitments to Private Assets in an aggregate amount that exceeds the total amounts invested by Shareholders in the ADPE Fund at the time of such commitment (i.e., to "over-commit"). The Investment Manager may also take other anticipated cash flows into account, such as those relating to new subscriptions into ADPE, the redemption of Shares by Shareholders and any distributions made or to be made to Shareholders. To forecast portfolio cash flows, the Investment Manager utilizes quantitative and qualitative factors, including historical private equity data, actual portfolio observations and qualitative forecasts prepared by the Investment Manager. The Investment Manager will seek to maintain Debt and Other Instruments in sufficient amounts, in the Investment Manager's judgment, to satisfy capital calls from Portfolio Funds.

Subject to the limitations set out in Subsection "Leverage" of Section III: "Investment Information" of this Annex, ADPE may borrow money for a range of purposes, including to make Investments, provide liquidity for capital calls by Portfolio Funds, to satisfy Redemption Requests, to manage timing issues in connection with the inflows of additional capital and the acquisition of Investments and to otherwise satisfy ADPE's obligations. There is no assurance, however, that ADPE will be able to enter into any credit facility or that it will be able to repay in a timely fashion any borrowings under such credit facility, which may result in ADPE incurring leverage on its portfolio investments from time to time, or to renew its credit facility on attractive terms.

Portfolio Allocation Targets of ADPE

Under normal circumstances, ADPE will seek to allocate, either directly or indirectly (including, without limitation, through Intermediary Funds and/or Other Ares Funds), at least 80% of its gross assets in Private Assets, including Direct Investments, Primary Investments, Secondary Investments and Co-Investments, with the balance intended to facilitate capital deployment, generate income and as an additional potential source of liquidity, in Debt and Other Instruments.

While the Prospectus contains generalized discussions about the current expectations of the Investment Manager with respect to the make-up of the portfolio of ADPE, many factors may contribute to changes in emphasis in the construction of the portfolio, including changes in market or economic conditions or regulations as they affect various industries and sectors and changes in the political or social situations in particular jurisdictions. The implementation of ADPE's investment strategies, portfolio allocations, investment processes and investment techniques may therefore be modified based on market conditions, changes in personnel, or as otherwise deemed appropriate by the Investment Manager in its sole discretion.

ADPE Fund's investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period).

II. SUMMARY OF TERMS

Ares Diversified Private Equity Fund	
AEFS Structure:	AEFS SICAV is a multi-compartment Luxembourg investment company with variable capital (<i>société d'investissement à capital variable</i>). AEFS SICAV has an umbrella structure consisting of one or more Sub-Funds.
ADPE Fund:	ADPE Fund is an open-ended, commingled Sub-Fund of AEFS SICAV.
AIFM:	Ares Management Luxembourg.
Investment Manager:	Ares Capital Management II LLC.
Distributions:	The Board of Directors (or its delegate) may declare distributions from time to time. Distributions in relation to Distribution Sub-Class Shares are expected on an annual basis. ADPE Fund cannot guarantee that it will make distributions, and any distributions will be made at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class.
Investment Objective and Strategy:	ADPE Fund seeks to invest, directly or indirectly, in Private Assets through a number of different approaches, including: (i) Direct Investments; (ii) Primary Investments; (iii) secondary purchases of interests in Portfolio Funds, including without limitation through Secondary Investments; and (iv) Co-Investments. To gain exposure to such Private Assets, ADPE Fund may invest, directly or indirectly through one or more investments in Intermediary Funds, a portion of its gross assets in Other Ares Funds including APMF US, which itself invests in Portfolio Funds through Direct Investments, Primary Investments, Secondary Investments and Co-Investments. In addition, in order to facilitate capital deployment, generate income and as a potential source of liquidity, the ADPE Fund will invest a portion of its assets in a portfolio of Debt and Other Instruments, including cash and cash equivalents, debt securities and other credit instruments, public equities, money market funds, money market instruments, and exchange-traded funds. ADPE Fund will invest through the ADPE Aggregator. The direct and indirect investments of ADPE are described in Section III: "Investment Information" of this Annex. ADPE Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: "<i>Risk Factors, Potential Conflicts of Interest and Other Considerations</i>" of the General Section of the Prospectus and Section XI: "<i>Risk Factors and Other Considerations</i>" of this Annex for additional details on the risks associated with an investment in ADPE.
Leverage:	ADPE Fund or subsidiaries will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio (as defined below) to be in excess of 35%, or such lower amounts as mandated by regulation or law as they come into force. ADPE Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. The AIFM has established a maximum level of leverage for ADPE Fund, applying both the gross and commitment calculation methods described in

	the AIFM Rules, relative to the NAV of ADPE Fund of 500% and 450%, respectively. Please refer to Section III: “<i>Investment Information—Leverage</i>” and Section IX: “<i>Regulatory Considerations—AIFM Directive Leverage</i>” of this Annex for further details.																														
Share Classes:	The following Classes of Shares are open to Shareholders in ADPE Fund: <table border="1"> <thead> <tr> <th>Class</th><th>Type of Share</th></tr> </thead> <tbody> <tr><td>A_A</td><td>Accumulation</td></tr> <tr><td>A_D</td><td>Distribution</td></tr> <tr><td>B_A</td><td>Accumulation</td></tr> <tr><td>B_D</td><td>Distribution</td></tr> <tr><td>C_A</td><td>Accumulation</td></tr> <tr><td>C_D</td><td>Distribution</td></tr> <tr><td>D_A</td><td>Accumulation</td></tr> <tr><td>D_D</td><td>Distribution</td></tr> <tr><td>E_A</td><td>Accumulation</td></tr> <tr><td>E_D</td><td>Distribution</td></tr> <tr><td>F_A</td><td>Accumulation</td></tr> <tr><td>F_D</td><td>Distribution</td></tr> <tr><td>I_A</td><td>Accumulation</td></tr> <tr><td>I_D</td><td>Distribution</td></tr> </tbody> </table> The Board of Directors (or its delegate) may, at any time, create additional Classes of Shares whose features (including, but not limited, fees and currencies) may differ from the existing Classes of Shares. The complete list of available Classes of Shares may be made available online at the ADPE Fund’s website (www.areswms.com/non-us/ADPE/), and will be made available at the registered office of AEFS SICAV. Please refer to Section IV: “Share Class Information” of this Annex for additional details on the Classes of Shares offered by ADPE Fund.	Class	Type of Share	A _A	Accumulation	A _D	Distribution	B _A	Accumulation	B _D	Distribution	C _A	Accumulation	C _D	Distribution	D _A	Accumulation	D _D	Distribution	E _A	Accumulation	E _D	Distribution	F _A	Accumulation	F _D	Distribution	I _A	Accumulation	I _D	Distribution
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Minimum Subscription:	The Minimum Subscription Amount for each Class of Shares will be as follows: <table border="1"> <thead> <tr> <th>Class of Shares</th><th>Minimum Subscription Amount</th></tr> </thead> <tbody> <tr> <td>Class A Shares, Class E Shares and Class I Shares</td><td>\$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> <tr> <td>Class F Shares</td><td>\$50,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> </tbody> </table>	Class of Shares	Minimum Subscription Amount	Class A Shares, Class E Shares and Class I Shares	\$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	Class F Shares	\$50,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)																								
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Class D Shares	\$150,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)						
Class B Shares and Class C Shares	\$250,000,000 for the U.S. Dollar denominated Classes of Shares and €250,000,000 for the EUR denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)						
Subscriptions:	In respect of each new Class of Shares, up to the date as may be decided by the Board of Directors (or its delegate) in its discretion (the “Initial Subscription Period”), the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion <i>plus</i> applicable Subscription Fees. After the end of the Initial Subscription Period, subscriptions for Shares of ADPE Fund will be accepted as of the first calendar day of each month. Shares will be issued on each Subscription Date at NAV per Share as of the end of the immediately preceding month <i>plus</i> applicable Subscription Fees. A prospective Shareholder must notify ADPE Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least twelve (12) Business Days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). Subscription price amounts (whether in cash or in kind, as applicable) must be received no later than ten (10) Business Days in advance of the relevant Subscription Date. No interest will be paid on any payments received prior to this deadline. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions—Subscriptions in ADPE Fund</i>” of this Annex for additional details on ADPE Fund’s subscription procedures.						
Redemptions:	- Redemptions are expected to be offered each calendar quarter at the NAV per Share calculated as of the last calendar day of the relevant calendar quarter. - A Shareholder may request to have some or all of its Shares redeemed by ADPE Fund as of the last calendar day of the relevant calendar quarter by submitting a Redemption Request. - Shares held for less than twenty-four (24) months will be subject to an Early Redemption Deduction as set out below:<table><tr><th>Class of Shares</th><th>Early Redemption Deduction</th></tr><tr><td>Class A Shares, Class B Shares, Class C Shares, Class F Shares and Class I Shares</td><td>5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)</td></tr><tr><td>Class D Shares and Class E Shares</td><td>0%</td></tr></table> - Redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of up to 5% of the NAV of the relevant Class of Shares being redeemed (calculated as of the relevant Redemption Date), as determined by the Investment Manager in its sole discretion from time	Class of Shares	Early Redemption Deduction	Class A Shares, Class B Shares, Class C Shares, Class F Shares and Class I Shares	5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)	Class D Shares and Class E Shares	0%
Class of Shares	Early Redemption Deduction						
Class A Shares, Class B Shares, Class C Shares, Class F Shares and Class I Shares	5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)						
Class D Shares and Class E Shares	0%						

	to time. To the extent applicable, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager. • Redemptions are generally limited on an aggregate basis across all Parallel Entities and the ADPE Aggregator (without duplication) to 5% of such aggregate NAV per calendar quarter (measured as of the last calendar day of the previous calendar quarter). The foregoing limitation on redemptions is based on net redemptions (as defined below) during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this Annex. • Redemption Requests (as defined below) must be provided by 5 p.m. Central European Time on the last Business Day of the first month of the calendar quarter in which the Redemption Date falls (the “Redemption Cut-Off Time”). • Settlements of Share redemptions are generally expected to be within ten (10) Business Days after the relevant NAV Release Date <i>provided</i> that this timing may vary depending on when redemption proceeds are actually received by ADPE Fund from the Intermediary Funds and/or the Other Ares Funds, as applicable. • Redemption Requests may be rejected in whole or in part by the Investment Manager in exceptional circumstances and not on a systematic basis and Redemption Requests may be suspended when deemed to be in the best interests of ADPE Fund. Please refer to Section V: “Subscriptions, Redemptions and Other Transactions—Redemption of Shares” of this Annex for additional details on ADPE Fund’s redemption procedures.
NAV Calculation and NAV Release Date:	ADPE Fund’s monthly NAV as of the last calendar day of each month (each, a “Valuation Date”) will generally be available by the 40th Business Day after the immediately following Subscription Date (e.g., the NAV for the November 1st Subscription Date will generally be available around December 28th) (the “NAV Release Date”).
Management Fees:	In consideration for its services with respect to ADPE Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a Management Fee equal to, for each Class of Shares, up to 1.25% of the NAV of each Class of Shares (except for Class E Shares) per annum. The AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time. Please refer to Section VI: “<i>Fees and Expenses of ADPE—Management Fee</i>” of this Annex for further details.
Performance Fee:	The Recipient will be entitled to the payment of a Performance Fee (except for Class E Shares) equal to 15.0% of Total Return, subject to a 5% annual Hurdle Amount and a High Water Mark with a 100% Catch-Up, measured and paid quarterly, and accruing monthly (subject to pro-rating for partial periods). No Performance Fee will be charged at the level of ADPE Fund in respect of its Investments in Other Ares Funds (including APMF US). The Recipient may waive all or any part of the Performance Fee in its discretion from time to time. Please refer to Section VI: “<i>Fees and Expenses of ADPE—Performance Fee</i>” of this Annex for further details.

Fees and expenses charged at the level of Intermediary Funds and Other Ares Funds:	ADPE Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any portfolio funds, including any Intermediary Funds and Other Ares Funds (including APMF US), in each case to the extent applicable and in accordance with their relevant governing documents. However, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously at the level of ADPE Fund and Other Ares Funds (including APMF US). Therefore, no Performance Fee will be charged at the level of ADPE Fund in respect of its Investments in Other Ares Funds (including APMF US). While ADPE may indirectly bear its share of management fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt APMF US) (in aggregate, the “Underlying Management Fees”), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to ADPE together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: “<i>Fees and Expenses of ADPE— Management Fee</i>”. See Subsection “Fees and Expenses Charged at the level of Intermediary Funds and Other Ares Funds” of Section VI: “<i>Fees and Expenses of ADPE</i>” of this Annex for further details regarding the fees indirectly incurred by the ADPE Fund at the level of the Other Ares Funds.
Portfolio:	Under normal circumstances, ADPE will seek to allocate, either directly or indirectly (including, without limitation, through Intermediary Funds and/or Other Ares Funds), at least 80% of its gross assets in Private Assets, including Direct Investments, Primary Investments, Secondary Investments and Co-Investments, with the balance intended to facilitate capital deployment, generate income and as an additional potential source of liquidity, in Debt and Other Instruments. ADPE Fund may invest, directly or indirectly through one or more investments in Intermediary Funds, a portion of its gross assets in APMF US, but will not invest more than 80% of its gross assets in any one Other Ares Fund. ADPE Fund’s investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period). Please refer to Section III: “<i>Investment Information</i>” for further details regarding the ADPE portfolio.
Ramp-Up Period:	The portfolio allocation targets, investment restrictions and leverage limits will not apply during a ramp-up period of up to four (4) years after the end of the Initial Subscription Period (the “Ramp-Up Period”).
Subscription Fee:	Certain distributors or other financial intermediaries through which a Shareholder was placed in ADPE Fund may charge such Shareholder upfront Subscription Fees on Shares sold in the offering. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.
Servicing Fee:	Servicing Fees payable in respect of each Class of Shares will be as follows:

	Class of Shares	Servicing Fee
	Class A Shares and Class FA Shares	Up to 0.85% on NAV.
	Class B Shares	Up to 0.50% on NAV.
	Class C Shares, Class D Shares, Class E Shares, Class FI Shares and Class I Shares	0.00% on NAV per annum.
Term:	Indefinite.	
SFDR:	ADPE Fund is presently characterized as a financial product falling within Article 6 of the SFDR. The present investment strategy of ADPE Fund does not promote environmental or social characteristics, or have sustainable investments as its objective. The investments underlying this financial product do not consider principal adverse impacts on sustainability factors and do not take into account the EU criteria for environmentally sustainable economic activities. Further information, including with respect to the integration of sustainability risks can be found in Schedule 1: “Sustainability-Related Disclosures” to this Annex 5: “Ares Diversified Private Equity Fund”.	
Tolerance Threshold in case of NAV Calculation Errors:	The tolerance threshold in case of NAV calculation errors applicable to ADPE Fund under CSSF Circular 24/856 is 5%.	

III. INVESTMENT INFORMATION

Information on ADPE Investments

The investment information set out below describes the direct and indirect investments of ADPE Fund held through the ADPE Aggregator.

Each ADPE investment, whether held directly or through one or more Intermediate Vehicles, Intermediary Funds, or Other Ares Funds, is referred to as an “**Investment**”. For the avoidance of doubt, in applying and interpreting the terms of this Annex, the Investment Manager may, in its sole discretion, determine that Investments do not include Intermediate Vehicles, Intermediary Funds or Other Ares Funds, as the context may require.

The investments in which ADPE expects to invest directly or indirectly (including, for the avoidance of doubt, through any Intermediary Funds and/or Other Ares Funds) include:

- **Direct Investments**

Direct Investments are investments in the equity and/or debt securities of U.S. and non-U.S. private companies. Investments alongside private equity, other private asset firms and other investors (“**Co-Investments**”) are sometimes structured so that the lead investor and co-investors collectively hold a controlling interest in the operating company. In some circumstances, ADPE may lead investments in Co-Investments. Direct Investments may be originated by the Investment Manager or its affiliates and may involve the acquisition of minority and non-controlling interests (“*GP stakes*”) in private asset managers and/or general partners of Portfolio Funds. In Direct Investments, unlike direct or indirect investments in Portfolio Funds, ADPE in many cases will not bear an additional layer of fees and expenses generally associated with investing in a Portfolio Fund, although ADPE may still bear transactional expenses.

- **Primary Investments**

Primary Investments are direct or indirect investments in newly established Portfolio Fund. Primary Investments are characterized by a gradual deployment of capital. In identifying and selecting Primary Investments, the Investment Manager will seek to invest directly or indirectly in Portfolio Funds run by high-quality Portfolio Fund managers with a track record of consistent value creation and risk-adjusted rates of return.

- **Secondary Investments**

Traditional Secondary Investments generally will include investments in Portfolio Funds, typically after the end of the Portfolio Funds’ fundraising period (generally three to seven years into the Portfolio Fund’s operating history), with existing underlying portfolio companies. These Portfolio Funds will have generally drawn down a significant portion of their capital commitments, the exact amount of which will depend on the age and investment cycle stage of such Portfolio Funds. Sales of the Portfolio Funds interests are often driven by an investor’s need for liquidity or their active approach in managing their private fund portfolio.

ADPE may also invest in and/or gain exposure to Portfolio Funds involving Secondary Investments structured as a preferred equity investment (“**Structured Solutions**”). Structured Solutions, which may be self-originated or intermediated transactions, are, directly or indirectly, with A Portfolio Fund’s general partner. In such transactions, ADPE will typically invest cash into an existing Portfolio Fund or newly created vehicle in exchange for newly-issued interests in the Portfolio Fund or newly created vehicle (*i.e.*, the “preferred equity”). Structured Solutions are intended to provide for strong risk-adjusted returns with downside protection.

ADPE may also invest directly or indirectly in Secondary Investment transactions that are being led by a Portfolio Fund’s general partner, including end-of life transactions, which seek to partner potential buyers with Portfolio Fund managers to provide structured and holistic liquidity solutions to the limited partners in a Portfolio Fund. These Secondary Investments often involve existing investors in a Portfolio Fund being given the option to sell all or a portion of their Portfolio Fund interests during a binding election period. Investors in a Portfolio Fund generally are given the option to sell their interests or roll into a newly-formed Portfolio Fund on new terms. That newly-formed Portfolio Fund may own a diversified pool of assets or it may own a concentrated or even single asset transaction(s).

From time to time, ADPE may enter into acquisition transactions to acquire significant amounts of Secondary Investments (“**Acquisition Transactions**”). Such transactions may occur over the course of many months or

years. The consummation of these types of transactions, given their size and complexity, is uncertain. Most of these types of transactions will be subject to certain closing conditions, including, among others, counterparty consent (which may include consent of both the selling general and limited partners) as well as the consents of the general partners of the limited partnerships comprising the Secondary Investments.

- **Debt and Other Instruments**

In addition, in order to facilitate capital deployment, generate income and as a potential source of liquidity, ADPE will invest a portion of its assets in a portfolio of Debt and Other Instruments, including cash and cash equivalents, debt securities and other credit instruments, and public equities, money market funds, money market instruments, and exchange-traded funds.

ADPE may invest in investment grade and below investment grade fixed-income securities, including investment grade short term debt obligations, convertible securities, money market instruments, repurchase agreements and restricted securities. ADPE's liquid fixed-income and other credit investments will primarily focus on floating rate senior secured loans issued by U.S. and foreign corporations, partnerships and other business entities, including private equity backed companies (i.e., borrowers). Floating rate loans are often at the time of investment below investment grade securities (commonly known as "junk" or "junk bonds"). ADPE will consider debt securities to be below investment grade if, at the time of investment, they are rated below the four highest categories by at least one independent credit rating agency or, if unrated, are determined by the Investment Manager to be of comparable quality.

ADPE may, but is not required to, enter into interest rate, foreign exchange or other derivative agreements to hedge interest rate, currency, credit or other risks, but it generally does not intend to enter into any such derivative agreements for speculative purposes. ADPE will not enter into any short-sale agreements. Any derivative agreements entered into for speculative purposes are not expected to be material to ADPE's business or results of operations. Subject to compliance with applicable legal and regulatory requirements, these hedging activities may include the use of futures, options and forward contracts. ADPE will bear the costs incurred in connection with entering into, administering and settling any such derivative contracts. There can be no assurance any investment in derivative securities including any hedging strategy employed will be successful.

Investment Restrictions of ADPE Fund

ADPE Fund will not at any one time directly or indirectly, through the ADPE Aggregator, invest and hold more than 25% of its NAV in any single Investment as measured at the time of investment; *provided* that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the Investment Manager under the oversight of the AIFM, which for the avoidance of doubt will include APMF US (and may include Other Ares Funds and/or Intermediary Funds). No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring ADPE Fund within this 25% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of ADPE or any of its underlying investors.

This 25% diversification requirement will not apply during the Ramp-Up Period.

The Investment Manager may also impose additional limitations in its discretion based on the underlying investors in ADPE Fund.

Structure of Investments and Investment Objectives of certain Other Ares Funds

Structure of Investments

ADPE Fund will invest all or substantially all of its assets through the ADPE Aggregator.

ADPE Fund may achieve its investment objective either by acquiring Investments directly, or by investing directly or indirectly into one or more Other Ares Funds that may be held directly or indirectly through Intermediate Vehicles, that may qualify as investment funds and may be managed by third-party managers ("Intermediary Funds").

ADPE Fund may invest, directly or indirectly through one or more investments in Intermediary Funds, a portion of its gross assets in APMF US, but will not invest more than 80% of its gross assets in any one Other Ares Fund.

Investment Objectives of APMF US

APMF US's investment objective is to seek attractive long-term capital appreciation. In pursuing its investment objective, APMF US invests in Private Assets. APMF US may gain access to Private Assets through a number of different approaches, including: (i) secondary purchases of Private Assets and Portfolio Funds, including through Secondary Investments; (ii) Primary Investments; (iii) Direct Investments; and (iv) Co-Investments Opportunities. APMF US expects to invest principally in Secondary Investments and, to a lesser degree, in Primary Investments and Direct Investments, although the allocation among those types of investments may vary from time to time. Typical Secondary Investments generally will include purchases by APMF US of interests in Portfolio Funds, typically after the end of the Portfolio Fund's fundraising period, with existing underlying portfolio companies, whereas typical Primary Investments are investments in newly established Portfolio Funds where the underlying portfolio companies are not known as of the time of APMF US's commitment. Under normal circumstances, APMF intends to invest at least 80% of its net assets (plus the amount of any borrowings for investment purposes) in Private Assets. The investment adviser of APMF US seeks to invest in Private Assets that represent a broad spectrum of types of private equity and other private asset opportunities (e.g., buyout, venture and growth capital, special situations, infrastructure, real estate and private credit) and vintage years (i.e., the year in which a Portfolio Fund begins investing).

Parallel Entities

If it considers it appropriate for any legal, tax, regulatory, accounting compliance, structuring or other considerations of ADPE Fund or of certain current or prospective Shareholders, the Investment Manager, or any of its affiliates may, in its sole discretion, establish one or more parallel vehicles to invest alongside ADPE Fund (as determined in the Investment Manager's discretion) (the "**Parallel Vehicles**"), which may not have investment objectives and/or strategies that are identical to the investment objectives and strategies of ADPE Fund, and/or feeder vehicles to invest through ADPE Fund ("**Feeder Vehicles**") and collectively with Parallel Vehicles, the "**Parallel Entities**"). The costs and expenses associated with the organization and operation of any Parallel Entity and/or any Feeder Entity may be apportioned to, and borne solely by, the investors participating in such Parallel Entity and/or such Feeder Entity or be allocated among ADPE Fund, the ADPE Aggregator, any Parallel Entities and/or Feeder Entities as determined by the Investment Manager in its reasonable discretion. Investors should note that, as a result of the legal, tax, regulatory, accounting, compliance, structuring or other considerations mentioned above, the terms of such Parallel Entities may differ substantially from the terms of ADPE Fund. In particular, such differences may cause Parallel Entities to subscribe at, or have their Shares (and/or units as applicable) redeemed at, a different NAV per unit in the ADPE Aggregator than ADPE Fund. For the avoidance of doubt, APMF US does not comprise part of ADPE, and is not a Parallel Vehicle or Parallel Entity, and will instead be deemed to be an Other Ares Fund for the purpose of this Annex.

If it considers it appropriate for any legal, tax, regulatory, accounting, compliance, structuring or other considerations, the Investment Manager or any of its affiliates may, in its sole discretion, establish and introduce one or more intermediate entities through which ADPE Fund and/or any Parallel Entities shall invest in the ADPE Aggregator.

Leverage

ADPE Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. ADPE Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio to be in excess of 35% or such lower amounts as mandated by regulation or law as they come into force (the "**Leverage Limit**") subject to the below; *provided*, that no remedial action will be required if the Leverage Limit is exceeded for any reason other than the incurrence of an increase in indebtedness (including the exercise of rights attached to an Investment).

"**Leverage Ratio**" means, on any date of incurrence of any such indebtedness, the quotient obtained by dividing (i) Aggregate Net Leverage (as defined below) by (ii) ADPE Fund's NAV plus the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of ADPE Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to ADPE Fund or such subsidiary special purpose financing vehicle respectively.

"**Aggregate Net Leverage**" means (i) the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of ADPE Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to

ADPE Fund or such subsidiary special purpose financing vehicle respectively, *minus* (ii) cash and cash equivalents of ADPE Fund.

For purposes of determining Aggregate Net Leverage, the Investment Manager: (i) shall use the principal amount of borrowings, and not the valuations of ADPE Fund's borrowings as described in Section VI: "*Fees and Expenses of ADPE—Liabilities*" of this Annex, (ii) may, in its sole discretion, determine which securities and other instruments are deemed to be cash equivalents and (iii) will disregard any indebtedness between the different entities constituting ADPE and its subsidiaries. ADPE Fund's assets or any part thereof, including any accounts of ADPE Fund, may be pledged in connection with any credit facilities or borrowings. The Leverage Limit may be exceeded on a temporary basis to satisfy short-term liquidity needs, refinance existing borrowings or for other obligations, but in each case the Leverage Ratio will not exceed 35% or such lower amounts as mandated by regulation or law as they come into force. Any lower mandate leverage limit mandated by regulation or law could reduce the returns of the ADPE Fund.

For the avoidance of doubt, the Leverage Limit does not apply to indebtedness at the Investment level, guarantees of indebtedness, or other related liabilities that are not recourse indebtedness for borrowed money of ADPE Fund.

ADPE Fund may, but is not obligated to, engage in hedging transactions for the purpose of efficient portfolio management or for hedging purposes. The Investment Manager may review the hedging policy of ADPE Fund from time to time depending on movements and projected movements of the relevant currencies and interest rates and the availability of cost-effective hedging instruments for ADPE Fund at the relevant time.

Please also refer to Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations— Use of Leverage*" of the General Section of the Prospectus.

Reference Currency

ADPE Fund is denominated in U.S. Dollar (USD). ADPE Fund will issue classes of Shares in multiple other currencies as the Board of Directors (or its delegate) may decide from time to time. The complete list of available Share Classes will be available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

NAV of each Class of Shares is reported to Shareholders and returns are calculated and reported in the currency of such Class of Shares. Gains or losses regarding Investments made using a different currency than the one of a given Class of Shares may include currency fluctuations relative to such Share Class currency.

IV. SHARE CLASS INFORMATION

Share Classes of ADPE Fund

The following Classes of Shares are open to Shareholders in ADPE Fund:

Class	Type of Share
A _A	Accumulation
A _D	Distribution
B _A	Accumulation
B _D	Distribution
C _A	Accumulation
C _D	Distribution
D _A	Accumulation
D _D	Distribution
E _A	Accumulation
E _D	Distribution
FA _A	Accumulation
FA _D	Distribution
FI _A	Accumulation
FI _D	Distribution
I _A	Accumulation
I _D	Distribution

Class A_A, Class B_A, Class C_A, Class D_A, Class E_A, Class FA_A, Class FI_A and Class I_A Shares are Accumulation Sub-Classes (as defined below) and Class A_D, Class B_D, Class C_D, Class D_D, Class E_D, Class FA_D, Class FI_D and Class I_D Shares are Distribution Sub-Classes (as defined below). Shares will be made available in multiple currencies as the Board of Directors (or its delegate) may decide from time to time. The complete list of available Classes of Shares may be made available online at the ADPE Fund’s website (www.areswms.com/non-us/ADPE/) or at the registered office of AEFS SICAV.

Shareholders that subscribe for “**Distribution Sub-Class**” Shares will receive any distributions that ADPE Fund pays in respect of such Shares. In contrast, Shareholders that subscribe for “**Accumulation Sub-Class**” Shares will, in lieu of receiving distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. In each case, distributions, whether made to the Distribution Sub-Class Shareholders or reflected in the NAV of the Shares held by the Accumulation Sub-Class Shareholders, are made at the discretion of the Board of Directors (or its delegate) and are subject to reasonable reserves for the payment of a *pro rata* portion of Operating Expenses (as defined below) and other obligations of ADPE Fund attributable to such Shares (including Servicing Fees), and subject to allocating any required tax withholdings (or taxes paid or withheld with respect to such distributions from any Other Ares Fund).

Class A_A Shares and Class A_D Shares (together, the “**Class A Shares**”) are available to all other investors. Class A Shares may be made available in certain countries to financial intermediaries who, as a result of applicable laws and regulations in those jurisdictions, are eligible to, and wish to, receive servicing and similar fees, commissions and/or retrocessions.

The Investment Manager may accept subscriptions for Class B_A Shares, Class B_D Shares (together, the “**Class B Shares**”), Class C_A Shares, Class C_D Shares (together, the “**Class C Shares**”), Class FA_A Shares and Class FA_D Shares (together, the “**Class FA Shares**”), Class FI_A Shares and Class FI_D Shares (together, the “**Class FI Shares**”), and together with the Class FA Shares, the “**Class F Shares**”), in its sole discretion, subject to the Minimum Subscription Amount.

Class D_A Shares and Class D_D Shares (together, the “**Class D Shares**”) are available to certain investors who have entered into a discretionary portfolio management mandate with their financial intermediary with automatic rebalancing requirements in relation to a model portfolio and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.

Class E_A Shares and Class E_D Shares (together, the “**Class E Shares**”) are generally available to employees of Ares, Other Ares Funds and other persons, as approved by the Investment Manager in its discretion. Class E Shares will not be subject to payment of any Servicing Fees, Management Fees or Performance Fees.

Class I_A Shares and Class I_D Shares (together, the “**Class I Shares**”) are generally available to investors who have account-based fee arrangements, known as advisory/wrap accounts, discretionary managed accounts, or comparable fee arrangements with their distributor or other financial intermediary. Class I Shares may also be available investors in markets with legal prohibition on payments of shareholder servicing and similar fees, and other categories of investors as determined by the Investment Manager in its sole discretion.

Notwithstanding the above, ADPE Fund shall have full discretion to allocate the subscription of any Shareholder to any Class in order to reflect, *inter alia*, the subscription by Shareholders through a Parallel Entity.

Except as otherwise described herein, the terms of each Class of Shares are identical. Shares are issued in respect of a particular Class in ADPE Fund. The Board of Directors (or its delegate) has the authority to, at any time, create and issue new Classes or types of Shares within ADPE Fund at its discretion, with Shares having different rights, benefits, powers or duties and terms, including with respect to fees, distributions and liquidity.

Please also refer to Section VI: “*Fees and Expenses of ADPE—Subscription Fees*” and “*—Servicing Fee*” of this Annex.

Hedging

Individual Classes may be denominated in other currencies. ADPE Fund may hedge Classes of Shares which are denominated in any currency other than the Reference Currency of ADPE Fund, however, depending on the prevailing circumstances, ADPE Fund may or may not hedge certain Classes, either partially or fully, and has no obligation to hedge any Class at all. In relation to currency hedging undertaken, if any, in the interest of a hedged Class, note that various Classes of Shares do not constitute separate portfolios of assets and liabilities. Accordingly, while gains and losses on the hedging transactions and the expenses of the hedging program will be allocated to the hedged Classes only, ADPE Fund, as a whole (including the non-hedged Classes), may be liable for obligations in connection with currency hedges in favor of a specific Class of Shares and ADPE Fund may also be liable for similar obligations in connection with currency hedges with respect to ADPE Fund or a Parallel Entity. Additionally, any financing facilities or guarantees utilised in connection with the hedging program may be entered into by ADPE Fund or the ADPE Aggregator (in respect of ADPE Fund or a Parallel Entity) and not any specific Class.

V. SUBSCRIPTIONS, REDEMPTIONS AND OTHER TRANSACTIONS

Subscriptions in ADPE Fund

Shares in ADPE Fund will be offered primarily through distributors or other financial intermediaries, which generally have client net worth thresholds and other requirements. Accordingly, ADPE Fund is primarily intended for investors with such distributor or other financial intermediary relationships. Investors should consult with their distributor or other financial intermediary to discuss potential eligibility and suitability to invest in ADPE Fund and such distributor or other financial intermediary will provide appropriate investment advice on the suitability of the investment and the verification of such investor's satisfaction of the relevant eligibility requirements. Shares may also be offered to sophisticated and other Professional Investors that meet eligibility requirements for participating in ADPE Fund at the Investment Manager's discretion.

Each potential Shareholder desiring to subscribe for Shares is required to execute a Subscription Document and make certain representations and warranties to ADPE Fund including (without limitation) a representation to the effect that it: (1) (a) is not a U.S. person (as defined in Regulation S under the 1933 Act) or (b) is a Permitted U.S. Person (unless waived by the Investment Manager), (2) is purchasing such investment (x) in an offshore transaction in accordance with Regulation S under the 1933 Act or (y) in a transaction otherwise exempt from registration under the 1933 Act, including in reliance on Regulation D, and (3) is not, and does not have indirectly through any entities that are fiscally transparent for U.S. tax purposes, a "United States person" for U.S. federal income tax purposes (as such term is defined in Section 7701(a)(30) of the U.S. Internal Revenue Code of 1986, as amended). Each potential Shareholder must also satisfy the eligible Shareholder qualifications as set forth in the Subscription Document.

The initial minimum subscription amount (the "**Minimum Subscription Amount**") and the minimum subsequent subscription amounts (the "**Minimum Subsequent Subscription Amount**") by each Shareholder in ADPE Fund are set out in the table below (although the Investment Manager may in its discretion accept the equivalent amount in another admitted currency):

Class of Shares	Minimum Subscription Amount	Minimum Subsequent Subscription Amount
Class A Shares, Class E Shares and Class I Shares	\$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)
Class F Shares	\$50,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)
Class D Shares	\$150,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)
Class B Shares and Class C Shares	\$250,000,000 for the U.S. Dollar denominated Classes of Shares and €250,000,000 for the EUR denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares and €1,000 for the EUR denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)

The initial Minimum Subscription Amounts set out above are subject, in each case, to such higher initial subscription amounts as required for a Shareholder's eligibility under applicable law, as provided in the Subscription Documents. Certain sub-distributors, countries and/or Classes may have higher minimums. Notwithstanding anything else herein, the Investment Manager may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than the first calendar day of the month. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Prospective investors in ADPE Fund may subscribe to ADPE Fund directly or via financial intermediaries or omnibus accounts. The investments made by a financial intermediary will not be aggregated in order to determine the investor's eligibility for a specific Class or its minimum initial subscription or holding.

Subscriptions and Issuance of Shares in ADPE Fund

Initial Subscription Period and Ongoing Subscriptions

In respect of each new Class of Shares, up to the end of the Initial Subscription Period, the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion *plus* applicable Subscription Fees.

After the end of the Initial Subscription Period, subscriptions for Shares of ADPE Fund may be made on an ongoing basis and will be accepted as of the first calendar day of each month (each, a “**Subscription Date**”).

Subscription Price

After the end of the Initial Subscription Period, Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date *plus* applicable Subscription Fees.

The subscription price per Share of each Class of Shares is equal to the NAV per Share for such Class of Shares as of the relevant Valuation Date. For example, if a prospective Shareholder wishes to make an initial subscription for Shares of ADPE Fund in October, the initial subscription request must be received in good order at least twelve (12) Business Days before November 1st. The offering price will equal the NAV per Share of the applicable Class as of the last calendar day of October (i.e., the relevant Valuation Date), *plus* applicable Subscription Fees. If accepted, the subscription will be effective on the first calendar day of November (based on the October 31st NAV). In connection with a subscription of Shares, Shareholders may also be required to pay Subscription Fees (as defined below) to their distributor or other financial intermediary.

ADPE Fund's monthly NAV as of the Valuation Date will generally be available by the 40th Business Day after the Subscription Date (e.g., the NAV for the November 1st Subscription Date will generally be available around December 28th). Prospective Shareholders will therefore not know the NAV per Share of their investment until after the investment has been accepted. Prospective Shareholders are required to subscribe for a USD (or the relevant Share Class's reference currency) amount, as applicable, and the number of Shares that such subscriber receives will subsequently be determined based on the NAV per Share as of the time such investment was accepted by ADPE Fund (e.g., a Shareholder admitted to ADPE Fund as of November 1st of a calendar year, whose investment is based on ADPE Fund's NAV as of October 31st of such year, will learn of such NAV and the corresponding number of Shares represented by their subscription around December 28th of that year).

Subscription Procedure

A prospective Shareholder must notify ADPE Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least twelve (12) Business Days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). To be accepted, a subscription request must be made with a completed and executed Subscription Document in good order, including (a) satisfying any additional requirements imposed by the subscriber's distributor or other financial intermediary, (b) satisfying the know your client (KYC), terrorist financing and anti-money laundering checks carried out by ADPE Fund or its agent, and (c) any tax forms associated with a subscription (to the extent not already forming part of the Subscription Document).

Late subscription orders will be automatically resubmitted for the next available Subscription Date, unless such subscription order is withdrawn or revoked before 5 p.m. Central European Time on the last Business Day before such Subscription Date (subject to the Investment Manager's discretion to accept after such time). Subscription price amounts (whether in cash or in kind, as applicable) must be received no later than ten (10) Business Days in advance of the relevant Subscription Date. No interest will be paid on any payments received prior to this deadline.

Prospective Shareholders should note that incomplete subscription applications and subscription applications which are not settled by the relevant funding due date may be, in the discretion of the Investment Manager, cancelled or deferred to a subsequent Subscription Date by ADPE Fund and any costs of cancellation, reasonable interest and/or and other incurred charges may be passed on to the prospective Shareholder and may be deducted from the subscription price paid by such prospective Shareholder, in the discretion of the Investment Manager.

Notwithstanding anything else herein, the Board of Directors (or its delegate) may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than a Subscription Date. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Subscriptions, redemptions and conversions of Shares should be made for investment purposes only. ADPE Fund shall not permit short-term (market-timing) or other excessive trading practices, which may disrupt ADPE Fund's portfolio management strategies and harm its performance. To minimize harm to ADPE Fund and the Shareholders, the Investment Manager has the right to reject any subscription or conversion order from any subscriber who is engaging in excessive trading or has a history of excessive trading or if a subscriber's trading, in the opinion of the Investment Manager, has been or may be disruptive to ADPE Fund. ADPE Fund, the Investment Manager, the Board of Directors (or its delegate) and the AIFM will not be liable for any loss resulting from rejected orders.

Fractions of Shares to two (2) decimal places will be issued. The timing of Subscription Dates, Valuation Dates and other applicable deadlines (including the deadlines for cancelling subscription and for the payment of the subscription price) may be modified from time to time by the Investment Manager in its sole discretion.

Redemption of Shares

Redemption Procedure

Whilst ADPE Fund expects that there would be no regular secondary trading markets for Shares, redemptions are expected to be offered each calendar quarter at the NAV per Share calculated as of the last calendar day of the relevant calendar quarter.

A Shareholder may request to have some or all of its Shares redeemed by ADPE Fund (each, a “**Redemption Request**”) as of the last calendar day of the relevant calendar quarter (each, a “**Redemption Date**”) by submitting a notice to ADPE Fund that the Shareholder requests a certain number of its Shares be redeemed by ADPE Fund in the form made available by ADPE Fund by the Redemption Cut-Off Time, i.e., by 5 p.m. Central European Time on the last Business Day of the first month of the calendar quarter in which the Redemption Date falls (e.g., a Shareholder requesting a September 30th redemption must submit their Redemption Request by July 31st); *provided* that late notices may be accepted in the sole discretion of the Investment Manager (acting as delegate of the Board of Directors). Once a Redemption Request has been submitted, the Shareholder will not be entitled to withdraw or revoke the Redemption Request without the express consent of the Investment Manager (acting as delegate of the Board of Directors), which consent may be given or withheld in their sole discretion.

Amounts distributed in connection with a Redemption Request will be based upon the NAV per Share of the applicable Class of Shares being redeemed, which in turn will in part be based on the most recently available NAV per share or units, as applicable of the Intermediary Funds (and Other Ares Funds in which ADPE directly or indirectly invests). The Investment Manager expects that settlements of Redemption Requests will generally be made within ten (10) Business Days after the relevant NAV Release Date (e.g., a Shareholder requesting a 30th September redemption would generally be expected to receive a settlement on or around December 9th of the same year) (the “**Settlement Date**”) *provided* that this timing may vary depending on when redemption proceeds are actually received by ADPE from the Intermediary Funds and/or the Other Ares Funds, as applicable.

Each Redemption Request will be processed on each Redemption Date at the NAV per Share of the applicable Class of Shares as of the Valuation Date falling on the applicable Redemption Date. Shareholders will not know the NAV per Share, and therefore the amount of their redemption, until the relevant NAV Release Date. In addition, due to the timing of the NAV Release Date, investors submitting Redemption Requests will also typically not know the NAV per Share for the prior month.

Shareholders whose Redemption Requests are accepted will cease to be Shareholders in respect of the redeemed Shares as of such Redemption Date and will therefore cease to be entitled to the rights of a Shareholder in respect of the redeemed Shares as of such date, including the right to receive distributions, and will not be entitled to interest on redemption payments due.

Redemption Limitation

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across ADPE, including redemptions in all Parallel Entities and the ADPE Aggregator, but excluding any Early Redemption Deduction and/or any Redemption Fee applicable to the redeemed Shares) is generally limited to 5% of the aggregate NAV per calendar quarter (measured as of the last calendar day of the previous calendar quarter) (the “**Redemption Limitation**”), except in the exceptional circumstances described below. The foregoing limitation on redemptions is based on net redemptions during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this paragraph. The term “**net redemptions**” means, during the applicable period, the excess of redemptions (capital outflows) over the proceeds from subscriptions (capital inflows). With respect to future periods, the Board of Directors (or its delegate) may choose whether the allocations and limitations will be applied to “gross redemptions” (i.e., without netting against capital inflows), rather than to net redemptions. If redemptions for a given calendar quarter are measured on a gross basis rather than on a net basis, the redemption limitation could limit the number of Shares redeemed on any Redemption Date despite ADPE Fund receiving net capital inflows for such calendar quarter. In order for the Board of Directors (or its delegate) to change the application of the allocations and limitations from net redemptions to gross redemptions or vice versa, ADPE Fund will provide notice to Shareholders, at least ten (10) days before the first Business Day of the quarter for which the new test will apply.

No redemption proceeds will be paid unless and until cleared funds equal to the full amount of the subscription price (or any other amounts payable by such Shareholder to ADPE Fund) due but not yet paid for the Shares to be redeemed has been received by ADPE Fund. No interest will be paid to Shareholders on redemption proceeds paid after the Settlement Date.

Any redemption made for the purpose of upstreaming cash (a) to settle a properly incurred liability of ADPE Fund, the ADPE Aggregator or any Ares-managed feeder vehicle of ADPE; (b) for cash management purposes at the level of ADPE Fund, the ADPE Aggregator or any Ares-managed feeder vehicle of ADPE; and/or (c) to declare a distribution or dividend at the level of ADPE Fund, or the ADPE Aggregator will not be subject to any Early Redemption Deduction or Redemption Fee, and will not be taken into account for the purposes of calculating the Redemption Limitation, in each case *provided* that the upstreaming of cash is not used to effect the Redemption Requests of, and/or provide priority redemption rights to, underlying investors of ADPE Fund, the ADPE Aggregator or any Ares-managed feeder vehicle of ADPE.

In exceptional circumstances and not on a systematic basis, ADPE Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in ADPE’s best interest and the best interest of ADPE’s investors as a whole, such as when redemptions are unable to be made in Intermediary Funds and/or Other Ares Funds in which ADPE is directly or indirectly invested (including for the avoidance of doubt APMF US), when redemptions of Shares would place an undue burden on ADPE’s liquidity, adversely affect ADPE’s operations, risk having an adverse impact on ADPE that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to the Redemption Limitation and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in ADPE’s best interest and the best interest of ADPE’s investors.

Investors should note that the Intermediary Funds and Other Ares Funds (including for the avoidance of doubt APMF US) in which ADPE is expected to be directly or indirectly invested may contain restrictions on redemptions or repurchases that prohibit ADPE from liquidating the shares, interests, units and/or other similar instruments that it holds in such Intermediary Funds and Other Ares Funds. In particular, investors should note that APMF US intends to offer to repurchase, at the discretion of the board of APMF US (the “**APMF US Board**”), up to 5% of APMF US’s net asset value in each calendar quarter. The APMF US board may amend, suspend or terminate the share repurchase program if it deems such action to be in APMF US’s best interest.

In the event that, pursuant to the limitations above, not all of the Shares submitted for redemption during a given quarter are to be accepted for redemption by ADPE Fund, Shares submitted for redemption during such quarter will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across ADPE if applicable). All unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date, unless such a Redemption Request is withdrawn or revoked by a Shareholder before such Redemption Date in the manner as described above.

Sources of Funds for Redemptions

The Board of Directors (or its delegate) may in its discretion, after taking the interests of ADPE Fund as a whole and the interests of the remaining Shareholders into consideration, use proceeds from any available sources at ADPE Fund's disposal to satisfy Redemption Requests, subject to the Redemption Limitation. Potential sources of funding redemptions include, but are not limited to, cash on hand, cash available from borrowings, cash from the sale of Shares and cash from liquidations of investments, to the extent that such funds are not otherwise dedicated to a particular use, such as working capital, cash distributions to Shareholders or Investments.

Although a majority of ADPE Fund assets consist of Private Assets that cannot generally be readily liquidated on short notice without impacting ADPE Fund's ability to realize full value upon their disposition, ADPE Fund intends to maintain a number of sources of Debt and Other Instruments. ADPE Fund may fund redemptions from any available source of funds, including operating cash flows, borrowings, proceeds from the offering of the Shares and/or sales of ADPE Fund's assets.

Early Redemption Deduction and Redemption Fee

Shares held for less than twenty-four (24) months will be subject to an early redemption deduction (the "**Early Redemption Deduction**") as set out below:

Class of Shares	Early Redemption Deduction
Class A Shares, Class B Shares, Class C Shares, Class F Shares and Class I Shares	5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date)
Class D Shares and Class E Shares	0%

Redemptions of Class D Shares and Class E Shares may be subject to a redemption fee of up to 5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date), as determined by the Investment Manager in its sole discretion from time to time (the "**Redemption Fee**"). To the extent applicable, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager.

If a redeeming Shareholder, who invested in ADPE Fund for its own account, owns Shares of more than one Series of the Class being redeemed, such Shares will be deemed to be redeemed on a "first-in-first-out" basis. If a redeeming Shareholder invested in ADPE Fund as a financial intermediary on behalf of underlying investors, it must indicate in its Redemption Request the relevant Series of Shares to be redeemed.

The Early Redemption Deduction and/or any Redemption Fee will inure indirectly to the benefit of the ADPE Aggregator (and indirectly ADPE Fund and all other vehicles invested in the ADPE Aggregator, including their respective investors). To the extent a corresponding fee, charge or deduction is applicable in respect of the relevant Intermediary Funds and/or the Other Ares Funds, the relevant portion of the Early Redemption Deduction will inure indirectly to the benefit of the Intermediary Funds and/or the Other Ares Funds accordingly (and indirectly ADPE Fund and all the other vehicles invested in such Intermediary Funds and/or Other Ares Funds).

ADPE Fund may, from time to time, waive the Early Redemption Deduction and/or any Redemption Fee in its sole discretion, including without limitation in the case of redemptions resulting from death, qualifying disability, divorce, or where operational, administrative, and/or system limitations prohibit the Early Redemption Deduction and/or any Redemption Fee from being properly applied.

All questions as to the applicability of the Early Redemption Deduction and/or any Redemption Fee to specific facts and the validity, form, eligibility (including time of receipt of required documents) of a qualification for an exemption from the Early Redemption Deduction and/or any Redemption Fee will be determined by the Investment Manager, in its sole discretion, and its determination shall be final and binding.

Minimum Account Redemptions

In the event that any Shareholder fails to maintain the minimum balance of \$25,000 (or the equivalent in any currency as may be determined by the Board of Directors or its delegate) of Shares, the Board of Directors (or its

delegate) may redeem all of the Shares held by that Shareholders at the redemption price in effect on the date the Board of Directors (or its delegate) determines that the Shareholder has failed to meet the minimum balance, *less* any Early Redemption Deduction and/or Redemption Fee. Minimum account redemptions are subject to Early Redemption Deductions and/or Redemption Fees, as applicable.

Compulsory Redemption with regard to Prohibited Persons

If the Board of Directors (or its delegate) discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person (as defined below), either alone or in conjunction with any other person, whether directly or indirectly, the Board of Directors (or its delegate) may at its discretion and without liability, compulsorily redeem (in whole or in part) the Shares in accordance with the Articles, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such redemption may take priority over any requested redemptions made by other investors (which may be delayed as a result). For the avoidance of doubt, in the case of a Shareholder holding Shares which can be allocated to several beneficial owners, such compulsory redemption may only be applied to the part of the portion of such Shares allocable to the beneficial owner qualifying as a Prohibited Person.

In addition, in the case of a Prohibited Person where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, or (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, the Board of Directors (or its delegate) is also entitled to convert the Shares of the Prohibited Person provided that after such conversion the Shareholder no longer qualifies as a Prohibited Person.

The Board of Directors (or its delegate) may require any Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) to provide it with any information that it may consider necessary for the purpose of determining whether or not such Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) is or will be a Prohibited Person.

Further, Shareholders shall have the obligation to immediately inform ADPE Fund to the extent the ultimate beneficial owner of the Shares held by such Shareholders becomes or will become a Prohibited Person.

For the purpose of this clause, "**Prohibited Person**" shall mean any person, firm, partnership or corporate body (including a Shareholder (and/or an underlying investor where the Shareholder subscribed to the Shares on its behalf of such underlying investor and/or for such underlying investor's benefit)), not eligible as investor for a Class of Shares, or if in the sole opinion of the Board of Directors (or its delegate), the holding of Shares may be detrimental to the interests of the existing Shareholders, ADPE Fund or the Sponsor, if it may result in a breach of any law or regulation, whether in Luxembourg or abroad, or if as a result thereof any such parties may become exposed to regulatory, tax, economic or reputational damages, obligations, disadvantages, fines or penalties that it would not have otherwise incurred.

Conversions Between Classes

Conversions of Shares between Classes in ADPE Fund are allowed. The Board of Directors (or its delegate) may suspend conversions in respect of Shares during any period that the determination of the NAV of the relevant Class is suspended in accordance with the rules set out in the Articles and this Annex.

Conversion at the Request of Shareholders

A Shareholder may request the conversion of all or part of its Shares of a Class on any Valuation Date; *provided* that the Shareholder fulfils the eligibility criteria of the relevant Class into which the conversion is requested and subject to the written consent of the Shareholder's broker, distributor or other financial intermediary, if applicable, and the Board of Directors (or its delegate). Any conversion request which, when executed, would cause the Shareholder's investment to fall below the applicable minimum holding requirement, will be considered as a request for a full conversion for that Shareholder's Shares in that particular Class.

Procedure

Written conversion orders should be sent to the Central Administration at least five (5) Business Days before the relevant Valuation Date or such shorter period as determined by the Board of Directors or its delegate (the "**Conversion Cut-off**").

All conversion orders must contain the following information:

- the Valuation Date in respect of which the conversion request is made;
- the full name(s) in which the Shares to be converted are registered;
- the Class and its ISIN code from which Shares are to be converted and the Class and its ISIN code to which Shares will be converted; and
- either the monetary amount or the number of Shares to be converted.

If accepted, conversion orders received by the Central Administration before the relevant Valuation Date in respect of which the conversion order is made will be dealt with on such Valuation Date on the basis of the NAV of the relevant Classes prevailing on that Valuation Date.

Any conversion orders received after the Conversion Cut-off for a Valuation Date will be processed on the next Valuation Date on the basis of the NAV of the relevant Classes prevailing on such Valuation Date.

The rate at which all or part of the Shares of one Class (the “**Initial Class**”) are converted into another Class (the “**New Class**”) is determined in accordance with the following formula:

$$A = \frac{B \times C \times D}{E}$$

where:

- A is the number of Shares to be allocated in the New Class;
- B is the number of Shares of the Initial Class to be converted;
- C is the NAV per Share of the Initial Class determined on the relevant Valuation Date;
- D the currency conversion factor, which is the relevant currency rate as at the respective Valuation Date, or where the Shares of the New Class are denominated in the same currency of the Initial Class, D = 1; and
- E is the NAV per Shares of the New Class determined on the relevant Valuation Date.

Following such conversion of Shares, the Central Administration will inform the respective Shareholder of the number of Shares of the New Class obtained by conversion and the price thereof. Fractions of Shares in the New Class to two decimal places may be issued.

Conversion by decision of the Board of Directors

The Board of Directors (or its delegate) may in its own discretion at any time convert Shares from one Class into another Class of Shares where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class as set out in this Annex, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, or (iv) the Board of Directors (or its delegate) determines that such conversion is necessary or advisable and not inequitable to Shareholders.

The procedure set out above will apply accordingly.

Transfers

Shareholders may transfer part or all their Shares upon prior consent from the Board of Directors (or its delegate), in their sole discretion, which shall be provided within thirty (30) calendar days from its notification. The absence of a favorable response within thirty (30) calendar days shall be considered as a refusal to such transfer.

Any transferee must provide ADPE Fund with a duly completed Subscription Document, any required AML/KYC documents and any additional information or documentation as requested by the Board of Directors (or its delegate) in connection with the transfer and by the transferee’s broker, distributor or other financial intermediary, as applicable.

VI. FEES AND EXPENSES OF ADPE

Management Fee

In consideration for its services with respect to ADPE Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a management fee (the “**Management Fee**”) equal to, for each class of Shares, up to 1.25% of the NAV of each Class of Shares (except for Class E Shares) per annum payable monthly in arrears based on month end values, before giving effect to any accruals for the Management Fee, the Servicing Fee (as defined below), redemptions for that month (if applicable), any distributions and any impact to NAV solely caused by currency fluctuations and/or currency hedging activities for non-USD Classes, non-USD classes of units of the ADPE Aggregator and/or non-USD classes of shares or units of Parallel Entities (where applicable) and any accrued and unpaid taxes of any Intermediate Vehicle (including, without limitation, corporations) through which ADPE Fund invests (or any comparable entities of Other Ares Funds in which ADPE Fund directly or indirectly participates) or taxes paid by any such entity during the applicable month. The Management Fee may be paid by ADPE Fund, or alternatively and without duplication, by the ADPE Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of ADPE Fund.

While ADPE may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt APMF US), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to ADPE together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described herein.

The AIFM (and/or such other combination of persons as the Investment Manager may designate) may elect to receive the Management Fee in cash, Shares, units of the ADPE Aggregator and/or shares or units of Parallel Entities (where applicable). If the Management Fee is paid in Shares, ADPE Aggregator units and/or shares or units of Parallel Entities (where applicable), such Shares, shares and/or units may be redeemed at the AIFM’s request (and/or at the request of such other combination of persons as the Investment Manager may designate), and will not be subject to any of the limitations set out in Section V: “Subscriptions, Redemptions and Other Transactions—Redemption of Shares” and “—Early Redemption Deduction and Redemption Fee” of this Annex.

The AIFM may separately elect for the Management Fee to be paid (in whole or in part) to an affiliate of the AIFM (and/or such other combination of persons as the Investment Manager may designate) in satisfaction of Management Fee amounts owed to the AIFM in connection with services provided by such affiliate to ADPE and/or any Intermediate Vehicle. In addition, the AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time

For the avoidance of doubt, in the event the Management Fee is paid by the ADPE Aggregator, the Parallel Entities and/or any Intermediate Vehicle, such payment shall be made on behalf of ADPE Fund in consideration of the services provided by the Investment Manager and the AIFM to ADPE Fund. For the avoidance of doubt, where a management fee is calculated and paid by a Parallel Entity on the basis of such entity’s own NAV (whether or not such management fee is calculated and paid on the same basis as the Management Fee), such fees will be charged without duplication, and the NAV of such Parallel Entity will be disregarded for the purposes of the calculation and payment of the Management Fee to be paid by other ADPE vehicles.

Performance Fee

The Investment Manager (or, alternatively, such other entity or vehicle affiliated with Ares designated by the Investment Manager) (the “**Recipient**”) is entitled to the payment of a performance fee (the “**Performance Fee**”) (except for Class E Shares) equal to 15.0% of Total Return subject to a 5% annual Hurdle Amount and a High Water Mark with 100% Catch-Up (each as defined below). The Performance Fee may be paid by the ADPE Aggregator, or alternatively and without duplication, by the ADPE Fund, the Parallel Entities and/or any Intermediate Vehicle on behalf of the ADPE Aggregator.

The Performance Fee will be measured and paid quarterly, and accrue monthly (subject to pro-rating for partial periods) and will be payable either in cash or in Shares, units of the ADPE Aggregator and/or shares, or limited partnership interests or units of Parallel Entities (where applicable). Specifically, the Recipient is entitled to be paid a Performance Fee in an amount equal to:

- First, if the Total Return for the applicable period exceeds the sum of the Hurdle Amount for that period and the Loss Carryforward Amount (any such excess, “**Excess Profits**”), 100% of such Excess Profits

until the total amount entitled to be paid to the Recipient equals 15.0% of the sum of (x) the Hurdle Amount for that period and (y) any amount entitled to be paid to the Recipient pursuant to this clause (any such amount, the “**Catch-Up**”); and

- Second, to the extent there are remaining Excess Profits, 15.0% of such remaining Excess Profits.

For each Reference Period, the Recipient will also be entitled to be paid a Performance Fee with respect to the relevant ADPE Aggregator units that are redeemed (or that would have been redeemed if the relevant ADPE Aggregator units are used to fund the redemption of Shares) in connection with redemptions of Shares in an amount calculated as described above with the relevant period being the portion of the Reference Period for which such units were outstanding, and proceeds for any such unit redemption will be reduced by the amount of any such Performance Fee.

The ESMA Guidelines ESMA34-39-992 on performance fees in UCITS and certain types of AIFs do not apply to ADPE Fund as it follows a private equity strategy as described in this Annex.

The Recipient may elect to receive the Performance Fee in cash, Shares, units of ADPE Aggregator and/or shares, limited partnership interests or units of Parallel Entities (where applicable). If the Performance Fee is paid in Shares, units of ADPE Aggregator and/or shares, limited partnership interests or units of Parallel Entities (where applicable), such Shares, shares, limited partnership interests or units may be redeemed at the Recipient’s request and will not be subject to the limitations in Section V “*Subscriptions, Redemptions and Other Transactions*” of this Annex, the Early Redemption Deduction and/or Redemption Fee.

“**Total Return**” for any period since the end of the prior Reference Period shall equal the sum of:

- all distributions accrued or paid (without duplication) on the relevant units of ADPE Aggregator outstanding at the end of such period since the beginning of the then-current Reference Period; *plus*
- the change in aggregate NAV of the relevant ADPE Aggregator units since the beginning of the Reference Period before giving effect to (x) changes resulting solely from the proceeds of issuances of the relevant ADPE Aggregator units (including in connection with the issuance of Shares), (y) any accrual or payment of the Performance Fee and (z) any applicable Servicing Fee expenses or similar fees (including any payments made to ADPE Fund for payment of such expenses and any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee); *provided*, that the aggregate NAV of the relevant ADPE Aggregator units shall be calculated without taking into account any accrued and unpaid taxes of any Intermediate Vehicle (or the receipts of such Intermediate Vehicle) through which ADPE Fund indirectly invests (or any comparable entities of Other Ares Funds in which ADPE Fund may directly or indirectly participate) or taxes paid by any such entity since the end of the prior Reference Period; *minus*
- all Operating Expenses but excluding applicable expenses for the Servicing Fee or similar fees (including any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee).

For the avoidance of doubt, the calculation of Total Return will be made in the Reference Currency and will (i) include any appreciation or depreciation in the NAV of the relevant ADPE Aggregator units issued during the then-current Reference Period, (ii) treat certain taxes incurred (directly or indirectly) by ADPE Fund which relate to a Shareholder as part of the distributions accrued or paid on Shares and treat any withholding tax on distributions paid by or received by ADPE Aggregator as part of the distributions accrued or paid on units of ADPE Aggregator, (iii) exclude the proceeds from the initial issuance of such ADPE Aggregator units and (iv) exclude any impact to Total Return solely caused by currency fluctuations and/or currency hedging activities and costs for non-USD Share Classes, and/or non-USD classes of units of ADPE Aggregator and/or non-USD classes of shares or limited partnership interests of any Parallel Entities, in each case as determined in the good faith judgment of the Investment Manager.

“**Hurdle Amount**” for any period during a Reference Period means that amount that results in a 5% annualized internal rate of return on the NAV of the relevant ADPE Aggregator units outstanding at the beginning of the then-current Reference Period and all the relevant ADPE Aggregator units issued since the beginning of the then-current Reference Period, calculated in accordance with recognized industry practices and taking into account:

- the timing and amount of all distributions accrued or paid (without duplication) on all relevant ADPE Aggregator units *minus* all Operating Expenses but excluding applicable expenses for the Servicing Fee

or similar fees (including any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee); and

- all issuances of the relevant ADPE Aggregator units over the period.

The ending NAV of the relevant ADPE Aggregator units used in calculating the internal rate of return will be calculated before giving effect to any accrual or payment of the Performance Fee and applicable expenses for the Servicing Fee or similar fees. For the avoidance of doubt, the calculation of the Hurdle Amount for any period will be made in the Reference Currency and will exclude the relevant ADPE Aggregator units redeemed during such period, which ADPE Aggregator units will be subject to the Performance Fee upon redemption as described above and any impact to the Hurdle Amount solely caused by currency fluctuations and/or currency hedging activities and costs for non-USD Classes.

No Performance Fee will be charged in respect of Investments in Other Ares Funds (including APMF US), and any Total Return and Hurdle Amount related to such Investments will be disregarded for the purposes of calculating the Performance Fee accordingly.

Except as described in “*Loss Carryforward Amount*” below, any amount by which Total Return falls below the Hurdle Amount will not be carried forward to subsequent periods.

The Recipient will not be obligated to return any portion of the Performance Fee paid due to the subsequent performance of ADPE Fund.

“**Loss Carryforward Amount**” shall initially equal zero and shall cumulatively increase by the absolute value of any negative quarterly Total Return and decrease by any positive quarterly Total Return; *provided*, that the Loss Carryforward Amount shall at no time be less than zero; and *provided further*, that the calculation of the Loss Carryforward Amount will exclude the Total Return related to any relevant ADPE Aggregator units redeemed during the applicable Reference Period, which ADPE Aggregator units will be subject to the Performance Fee upon redemption as described above. The effect of the Loss Carryforward Amount is that the recoupment of past quarterly Total Return losses will offset the positive quarterly Total Return for purposes of the calculation of the Performance Fee. This is referred to as a “**High Water Mark**”.

Management Fees and the Performance Fees are calculated in U.S. Dollar and therefore Shareholders holding Shares with a functional currency other than the U.S. Dollar are exposed to fluctuations of the U.S. Dollar foreign exchange rate and/or hedging costs, which may lead to higher Management Fees and Performance Fees being borne by such Shareholders compared to Shareholders holding Shares with U.S. Dollar as the functional currency.

“**Reference Period**” means the applicable calendar quarter beginning on the first calendar day of such calendar quarter and ending on the last calendar day of such calendar quarter; *provided*, that the initial Reference Period for ADPE Fund shall be the period from the Initial Subscription Date to the last calendar day of the applicable calendar quarter.

References to the units of the ADPE Aggregator in this Section will (where relevant) be deemed to refer to the relevant class of units issued, or deemed to be issued, by the ADPE Aggregator to track the different Performance Fee, Management Fee and other characteristics of different Classes of Shares and different Parallel Entities.

In addition, the Recipient may, in its sole discretion, elect to waive all or any portion of the Performance Fee attributable to it with respect to one or more Class(es) from time to time. For the avoidance of doubt, Class E Shares will not be subject to the Performance Fee.

Subscription Fees

Certain distributors or other financial intermediaries through which a Shareholder was placed in ADPE Fund may charge such Subscription Fees on Shares sold in the offering that are paid by the Shareholder outside of its investment in ADPE Fund and not reflected in ADPE Fund’s NAV. In certain circumstances the Subscription Fees may be paid to Ares and reallocated, in whole or in part, to the distributor or other financial intermediary that placed the Shareholder into ADPE Fund. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.

Servicing Fee

Each Class of Shares will bear a Servicing Fee equal to the amount set out in the table below (on an annualised basis):

Class of Shares	Servicing Fee
Class A Shares and Class FA Shares	Up to 0.85% on NAV per annum.
Class B Shares	Up to 0.50% on NAV per annum.
Class C Shares, Class D Shares, Class E Shares, Class FI Shares and Class I Shares	0.00% on NAV per annum

For the avoidance of doubt, the Servicing Fees will be payable by ADPE Fund and Shareholders will not be billed separately for payment of the fees. The Servicing Fee will be calculated on the NAV of the relevant Class of Shares before giving effect to accruals for the Servicing Fee (for that month), the redemptions for that month (if applicable) and distributions payable on such Class of Shares.

The servicing fee is allocated to the financial intermediary through which an underlying investor was placed in ADPE Fund and/or the financial intermediary which provides ongoing services to such underlying investor in each case as determined by the Investment Manager in its sole discretion (such fee, the “**Servicing Fee**”). Any Servicing Fee will compensate such representative for any placement, reporting, administrative and/or other services provided to an underlying investor by such representative. The receipt of the Servicing Fee will result in a conflict of interest.

Organizational and Offering Expenses

The Organizational and Offering Expenses may be apportioned to, and borne solely by, ADPE Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Organizational and Offering Expenses are attributable to ADPE Fund, the ADPE Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

The Investment Manager has agreed to advance all of ADPE Fund’s (including the expenses associated with ADPE Fund, the ADPE Aggregator, any Intermediate Vehicle, or any of their respective Parallel Entities or Feeder Entities) Organizational and Offering Expenses through the Effective Date. ADPE Fund, the ADPE Aggregator or the relevant Parallel Entities or Feeder Entities, as applicable, will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date.

After the Effective Date, ADPE Fund, the ADPE Aggregator, the relevant Parallel Entities and/or Feeder Entities, as applicable, will reimburse the Investment Manager for any Organizational and Offering Expenses that it has incurred on each entity’s behalf as and when incurred.

Liabilities

With respect to each Class of Shares, the AIFM will include the value (as prescribed under IFRS) of such Class’s *pro rata* portion of ADPE Fund’s liabilities as part of the Class’s monthly NAV calculation. These liabilities are expected to include the fees payable to the Investment Manager, the AIFM and the Recipient (and/or such other combination of persons as the Investment Manager may designate), accounts payable, accrued operating expenses, any portfolio-level credit facilities, other borrowings and other liabilities.

For purposes of calculating ADPE Fund’s NAV, the Organizational and Offering Expenses and/or Operating Expenses paid by the Investment Manager through the Effective Date pursuant to this Section VII: “Fees and Expenses of AEFS— Organizational and Offering Expenses” or “— Initial Operating Expenses Support”, as applicable, are not recognized as expenses or as a component of equity and reflected in ADPE Fund’s NAV until ADPE Fund reimburses the Investment Manager for these costs.

The AIFM’s valuation of each Investment’s liabilities, including any third-party incentive fee payments or investment level debt, deal terms and structure will not be reviewed by AEFS’s independent valuation advisor or appraised.

Operating Expenses

The Operating Expenses (as defined below) may be apportioned to, and borne solely by, ADPE Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Operating Expenses are attributable to ADPE Fund, the ADPE Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

Initial Operating Expenses Support

The Investment Manager may at its discretion advance all or portion of the Operating Expenses to be borne by ADPE Fund, the proportion of expenses of the ADPE Aggregator borne by ADPE Fund, and the appropriately apportioned expenses relating to Portfolio Entities and Parallel Entities, in each case as determined pursuant to the terms of the Prospectus (collectively, “**Initial Operating Expenses Support**”) through the Effective Date. ADPE Fund and the ADPE Aggregator (as applicable and as determined by the Investment Manager in its sole discretion), will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date or on such earlier date as determined by the Investment Manager.

Discretionary Expense Cap

In addition to the foregoing, the Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by ADPE Fund (or a specific Class thereof, as applicable) and/or the ADPE Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, ADPE Fund (or the relevant Class thereof), the ADPE Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed.

Fees and Expenses Charged at the level of Intermediary Funds and Other Ares Funds

ADPE Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any Portfolio Funds, including any Intermediary Funds and Other Ares Funds (including APMF US, as applicable), in each case to the extent applicable and in accordance with their relevant governing documents.

However, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously at the level of ADPE Fund and Other Ares Funds (including APMF US). Therefore, no Performance Fee will be charged at the level of ADPE Fund in respect of its Investments in Other Ares Funds (including APMF US) and while ADPE Fund may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Intermediary Funds and/or Other Ares Funds (including for the avoidance of doubt APMF US), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to ADPE together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: “*Fees and Expenses of ADPE —Management Fee*”. Notwithstanding the foregoing and with respect to ADPE’s Secondary Investments in Other Ares Funds only, ADPE may pay or otherwise bear carried interest, management fees or other incentive compensation paid to the general partner of such Other Ares Funds.

Fees arising at multiple levels

To the extent the Management Fee and/or Performance Fee may apply at the level of ADPE Fund, ADPE Aggregator and/or any other Intermediate Vehicle or Parallel Entity, Shareholders will only be charged such Management Fee and/or Performance Fee to the Investment Manager, the AIFM and the Recipient (and/or such other combination of persons as the Investment Manager may designate) once.

VII. VALUATION PROCEDURES

ADPE Fund's monthly NAV as of each Valuation Date, i.e., as of the last calendar day of each month, will generally be available by the 40th Business Day after the immediately following Subscription Date. ADPE Fund's monthly NAV is calculated by the Central Administration, as described in Section VI: "*Calculation of Net Asset Value*" of the General Section of the Prospectus.

In relation to ADPE Fund, the Investment Manager will apply, under the oversight of the AIFM, the following valuation procedures to calculate the value of ADPE's assets:

Private Equity Investments

Portfolio Funds are generally valued based on the latest net asset value reported by a Portfolio Fund Manager or general partner. Similarly, many Direct Investments are generally valued based on the valuation information provided by the lead or sponsoring private investors. In general, it is anticipated that such valuation information from these Portfolio Fund Managers or from lead or sponsoring private investors will generally not be available until 60 days or more after each quarter-end, especially pending receipt of audited financial information. Therefore, the most recently provided valuation information about these Direct Investments and Portfolio Funds for purposes of calculating ADPE Fund's monthly NAV are typically adjusted by the Investment Manager pursuant to the Investment Manager's valuation procedures to estimate the fair value, on a monthly basis, of the interests in such Portfolio Funds as described below.

In making a fair valuation determination, the Investment Manager considers the most recent reported value by the Portfolio Fund or lead or sponsoring private investors as well as any other factors of which it has knowledge and that it believes may be relevant, which may include one or more of the following: (i) the type of investment, including the types of investments held by a Portfolio Fund, and whether there may be known factors not reflected in the valuations supplied by a Portfolio Fund or lead or sponsoring private investors, such as material changes in the business or operations of the issuer, including the discontinuance of operations or an important component of operations or the commencement of insolvency or reorganization proceedings of a portfolio company owned by ADPE Fund, or any market for its securities; (ii) any relevant operational or non-investment issues that may affect the investment or the Portfolio Fund; (iii) the value of publicly traded securities, if any, held by a Portfolio Fund; (iv) the valuation of the same investments held by different Portfolio Funds, different private investors or third parties independent of the Investment Manager; and (v) any other information, factor or set of factors that may affect the valuation of ADPE Fund's investment in the Direct Investment or Portfolio Fund.

As part of making the fair value determination, the Investment Manager employs a proprietary market adjustment factor that is applied to ADPE Fund's portfolio in the event that the S&P 500 Index increases or decreases by over 10% or more over any calendar month (a "MAC Event"). The market adjustment factor is based on relevant public market sector indices with a correlation coefficient between public market and private market indices and is based on Ares Quantitative Research Group's historical market data. After a month in which a MAC Event occurs, the market factor adjustment will be recalibrated using an internal model until the Investment Manager receives the next asset value reported by a Portfolio Fund Manager or general partner with respect to Portfolio Funds or from the lead or sponsoring private investors with respect to Direct Investments.

Pursuant to the Investment Manager's valuation procedures, it may make other idiosyncratic valuation adjustments to ADPE Fund's portfolio holdings from time to time, including adjustments for initial public offerings, bankruptcies, pending or actual mergers and acquisitions and other material events the Investment Manager is aware of with respect to Investments at the time fair valuations are being determined.

The market adjustment factor is regularly back tested and updated to incorporate more recent information. The Investment Manager also has engaged an independent third-party valuation service to review the application of the market adjustment factor and certain idiosyncratic valuation adjustments.

In addition, the Investment Manager conducts a due diligence review of the valuation methodology used by each Portfolio Fund or lead or sponsoring private equity investors, as applicable. To keep abreast of each Portfolio Fund's activities, the Investment Manager reviews their periodic reports as well as the reports of the underlying portfolio companies in which the Portfolio Funds invest, to the extent such underlying company reports are made available. The Investment Manager monitors the continuing appropriateness of the valuation methodology being used for the Investments.

Prospective investors should be aware that there can be no assurance that the valuation of interests in Portfolio Funds or Direct Investments as determined under the procedures described above will in all cases be accurate to the extent that ADPE and the Investment Manager do not generally have access to all necessary financial and other information relating to the Portfolio Funds or Direct Investments to determine independently the NAV of ADPE Fund's interests in those Portfolio Funds or Direct Investments. The results of the Investment Manager's fair valuation of securities whose market value is not readily ascertainable are based upon the Investment Manager's assessment of the fair value of such securities.

Investments valued at fair value by the Investment Manager are subject to a new valuation determination upon the next monthly valuation of ADPE Fund.

Debt and Other Instruments

Senior Loans are valued by using readily available market quotations or another commercially reasonable method selected by an independent, third party pricing service, or, if such independent, third-party valuations are not available, by using broker quotations. Corporate bonds and certain other domestic debt securities, are valued at the last reported bid prices supplied by an independent, third party pricing service in accordance with the Investment Manager's valuation policy and procedures. If the last reported bid price is not readily available or is otherwise deemed to be unreliable by the Investment Manager's valuation committee, then such securities are valued at fair value pursuant to the Investment Manager's valuation policy and procedures. The Investment Manager monitors the reasonableness of valuations provided by third- party pricing services. Debt securities with remaining maturities of 60 days or less will be valued on the basis of amortized cost, unless other factors indicate that amortized cost is not an accurate estimate of the security's value.

If they are traded on a Valuation Date, equity securities that are listed or traded on a national exchange will be valued at the last quoted sale price. If securities are listed on more than one exchange, and if the securities are traded on the Valuation Date, they will be valued at the last quoted sale price on the exchange on which the security is principally traded. If there is no sale of the security on the Valuation Date, ADPE Fund will value the securities at the last reported sale price, unless the Investment Manager's valuation committee believes such price no longer represents the fair market value and elects to value the security at fair value pursuant to the Investment Manager's valuation policy and procedures. If the validity of such quoted prices appears to be questionable or if such quoted prices are not readily available, then the securities will be valued at fair value pursuant to the Investment Manager's valuation policy and procedures. Market quotations may be deemed not to represent fair value in certain circumstances where the Investment Manager reasonably believes that facts and circumstances applicable to an issuer, seller or purchaser or to the market for a particular security cause current market quotations not to reflect the fair value of the security. Examples of these events could include situations in which material events are announced after the close of the market on which a security is primarily traded, a security trades infrequently causing a quoted purchase or sale price to become stale, or a security's trading has been halted or suspended.

Private Assets and Other Fair Value Considerations

On a monthly basis, for Private Assets for which no market quotations are available (other than interests in Portfolio Funds and certain Direct Investments, as described above) and for which independent appraisals of current value can readily be obtained, valuations will be based on such appraisals. Otherwise, valuation of Private Assets (other than interests in Portfolio Funds and certain Direct Investments, as described above) will remain at cost except that original cost valuation will be adjusted based on a determination of such investment's fair value.

In instances where there is reason to believe that the valuation of a security or other investment valued pursuant to the procedures described above does not represent the current value of such security or investment, or when a security or investment cannot be valued pursuant to the procedures described above, the fair value of the investment will be determined by the Investment Manager taking into account various factors, as relevant, as provided for in the Investment Manager's valuation procedures, which may include: (i) the nature and price (if any) of the investment and the nature and expected duration of the event, if any, giving rise to the valuation issue; (ii) whether market quotations for the investment are available, pricing history of the security and trading volumes on markets, exchanges or among dealers; (iii) information as to any transactions or offers with respect to the security; (iv) volatility of the security or a related index; (v) possible valuation methodologies that could be used to determine the fair value of the investment, including valuation by reference to other financial instruments, including trading in similar securities, depository receipts, derivative instruments, including options pricing models, closed-end or exchange-traded fund trading or exchange- traded baskets of securities; (vi) cost of the investment and, for restricted securities, any discount from the market value of unrestricted securities of the same

class at the time of purchase and the existence of a shelf registration for restricted securities; (vii) changes in interest rates; (viii) government actions or pronouncements or other news events; (ix) analyst reports; (x) fundamental analytical data and internal models; (xi) whether other portfolios managed by the Investment Manager or its affiliates hold the same or similar investments and the method used to value the investments in those portfolios; (xii) whether the issuer of the investment has other securities outstanding and, if so, how those securities are valued; (xiii) recent and pending corporate developments; and (xiv) the liquidity or illiquidity of the market for the investment.

Prospective investors should be aware that fair value represents a good faith approximation of the value of an asset or liability. The fair value of one or more assets or liabilities may not, in retrospect, be the price at which those assets or liabilities could have been sold during the period in which the particular fair values were used in determining ADPE Fund's NAV. As a result, ADPE Fund's issuance (including through dividend or distribution reinvestment) or redemption of Shares at net asset value at a time when it owns investments that are valued at fair value may have the effect of diluting or increasing the economic interest of existing Shareholders.

VIII. DISTRIBUTIONS

The Board of Directors (or its delegate) may declare and pay distributions to Shareholders from time to time.

ADPE Fund intends to declare annual distributions as authorized by the Board of Directors or the Investment Manager (acting as delegate of the Board of Directors) and pay such distributions to Shareholders of record on an annual basis. Accumulation Sub-Classes are not entitled to any distribution payments, unless the Board of Directors or the Investment Manager (acting as delegate of the Board of Directors) determines that a distribution shall be made. ADPE Fund cannot guarantee that it will make distributions.

Any distributions ADPE Fund makes are at the discretion of the Investment Manager, considering factors such as earnings, cash flow, capital needs, taxes and general financial condition and the requirements of applicable law. As a result, ADPE Fund's distribution rates and payment frequency may vary from time to time. There is no assurance ADPE Fund will pay distributions in any particular amount, if at all. Any declaration of distributions to Shareholders will be made in accordance with the 1915 Law and the 2010 Law.

Shareholders of record as of the record date will be eligible for distributions declared. The per Share amount of distributions on each Class of Shares may differ because of different Class-specific Servicing Fees that may be deducted from the gross distributions for each Class. Specifically, distributions on Class A Shares and Class FA Shares would be lower than distributions on Class D Shares, Class E Shares, Class FI Shares and Class I Shares (and, to a lesser extent, Class B Shares) because ADPE Fund is required to pay ongoing Servicing Fees (or, in respect of Class B Shares, a higher amount of Servicing Fees) with respect to the Class A Shares and Class FA Shares compared to Class D Shares, Class E Shares, Class FI Shares and Class I Shares (and, to a lesser extent, Class B Shares).

Shareholders holding Shares with a functional currency other than USD are exposed to fluctuations of the USD foreign exchange rate and/or hedging costs, which may lead to variations on the amount to be distributed.

IX. MANAGEMENT AND ADMINISTRATION OF ADPE FUND

Ares

Ares Management Corporation (NYSE: ARES) is a publicly traded, global alternative investment manager.

Ares was built upon the fundamental principle that each group benefits from being part of the broader platform. Ares believes the synergies resulting from collaboration across the platforms provide its professionals with more informed decision making as a result of shared industry experience, management relationships, and market insights, access to significant deal flow and a broader opportunity set, and the ability to assess relative value. Since its inception in 1997, Ares has adhered to a disciplined investment philosophy that focuses on delivering attractive risk-adjusted investment returns through market cycles.

The Investment Manager

The AIFM has delegated its portfolio management function regarding ADPE Fund to Ares Capital Management II LLC, the Investment Manager pursuant to the terms of the Investment Management Agreement. The Investment Manager has discretion to make Investments on behalf of ADPE Fund.

Ares Capital Management II LLC, 245 Park Avenue, 44th Floor, New York, New York 10167, is registered as an investment adviser with the SEC under the Advisers Act, and is an indirect wholly-owned subsidiary of Ares. The Investment Manager is responsible for initiating, structuring and negotiating ADPE Fund's Investments and managing the Debt and Other Instruments. In addition, the Investment Manager actively manages each Investment to seek to maximize cash flow and, ultimately, the value of each Investment.

The investment committee of ADPE Fund is comprised of senior and experienced investment professionals at Ares (the "**ADPE Investment Committee**"). All Investments led by ADPE are reviewed and approved by the ADPE Investment Committee. The composition of the ADPE Investment Committee is available at the registered office of AEFS SICAV.

The ADPE Investment Committee process emphasizes a consensus-based approach to portfolio selection among the members and is the same process that Ares has adopted since inception.

Non-Exclusivity

The functions and duties which the Investment Manager and/or any of its affiliates undertake on behalf of ADPE Fund will not be exclusive and they perform similar functions and duties for themselves and for others and, without limitation, act as manager, investment advisor, general partner (or equivalent) in respect of other funds, accounts or other products.

X. REGULATORY CONSIDERATIONS

AIFM Directive Leverage

The AIFM has established a maximum level of leverage for ADPE Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of ADPE Fund of 500% and 450% respectively (the “**AIFM Rules Leverage Restrictions**”). Compliance with the AIFM Rules Leverage Restrictions will be determined on a quarterly basis. If these AIFM Rules Leverage Restrictions were ever exceeded after leverage has been incurred by ADPE Fund, the Investment Manager will make commercially reasonable efforts to bring ADPE Fund’s exposure back into compliance with the maximum level of leverage, but such event will not constitute a breach of an investment restriction adopted by ADPE Fund or a “trade error” for any purpose. The AIFM may increase ADPE Fund’s maximum leverage exposure from time to time. If the AIFM increases such maximum level of exposure, it will provide notice in writing to Shareholders in the next regularly scheduled notice to Shareholders.

Liquidity management tools

With respect to the liquidity management tools (each a “LMT”) listed under Annex V to the AIFM Directive, the AIFM currently uses the following LMTs with respect to ADPE Fund: (i) extension of notice periods in accordance with Section V: “*Subscriptions, Redemptions and Other Transactions*” of this Annex and (ii) redemptions in kind in accordance with Subsection 5: “*Payment of the Redemption Price in Kind*” of Section V: “*Subscriptions, Redemptions and Other Transactions*” of the General Section of the Prospectus. The AIFM shall only use redemptions in kind as a LMT for ADPE Fund to satisfy Redemptions Requests submitted by Professional Investors.

The AIFM will only use the suspension of redemptions and subscriptions as an additional LMT in “*exceptional circumstances*”, as such term is defined in the ESMA Guidelines on liquidity management tools (LMTs) of UCITS and open-ended AIFs. Notwithstanding anything to the contrary in this Prospectus, the AIFM may suspend redemptions without simultaneously suspending subscriptions in all other circumstances, as detailed in this Annex.

The AIFM may use additional LMTs listed under Annex V of the AIFM Directive from time to time, as further communicated to investors, and LMTs that are not listed under Annex V of the AIFMD Directive including without limitation, the Early Redemption Deduction, the Redemption Fee and the Redemption Limitation, as further detailed in this Annex. For the avoidance of doubt, the AIFM may use all LMTs (other than the suspension of redemptions and subscriptions) during both normal and stressed market conditions

XI. RISK FACTORS AND OTHER CONSIDERATIONS

Most of the following risk factors apply both to ADPE and to any relevant Other Ares Funds in which ADPE invests (directly or indirectly, including APMF US). Therefore, potential Shareholders should assume references to ADPE include references to Other Ares Funds (including APMF US) as well. A more detailed description of the relevant Other Ares Funds' investment strategies, policies and restrictions, as well as a description of certain risks of investing therein, is included in the relevant Other Ares Funds' offering documents (including APMF US) as updated from time to time. Prospective investors are advised to consult the offering documents of such Other Ares Funds, which are available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

Risk Factors Relating to Investments in ADPE

General Investment Risks.

Neither the AIFM nor the Investment Manager can provide assurance that it will be able to source, choose, make and/or realize any particular investment or the investment strategy of ADPE in general. Further, there can be no assurance that ADPE will be able to generate returns for its investors or that the returns will be commensurate with the risks of investing in the types of companies, assets and transactions described herein or that such returns will be comparable to ADPE's targeted returns. The marketability and value of any such investment will depend upon many factors beyond the control of ADPE, the Investment Manager and the AIFM. The expenses of ADPE have the potential to exceed its income. ADPE will bear its allocable share of the expenses of transactions that are not consummated, including any break-up fees. As a result, ADPE could incur a substantial cost with no opportunity for a return. A Shareholder could lose the entire amount of its investment, and therefore a Shareholder should only invest in ADPE if it can withstand a total loss of its investment. An investment in ADPE is speculative and involves a high degree of risk. ADPE's performance may be volatile and Shareholders could incur a total or substantial loss of their investment. There can be no assurance that projected or targeted returns for ADPE will be achieved.

ADPE has limited prior operating history.

ADPE is a collection of recently formed special purpose entities and has limited prior operating history or track record, and will be entirely dependent on the Investment Manager and the AIFM. While the principals of the Investment Manager and the AIFM (the "**Principals**") may have previous experience making and managing investments similar to those contemplated by ADPE, there can be no assurance that ADPE's Investments will achieve results similar to those attained by previous investments of the Principals. In addition, ADPE's Investments may differ from previous investments made by the Principals in a number of respects, including target return levels, level of risk associated with a particular investment, amount invested in a particular company, types of companies within a particular industry sector, amount of leverage used, structure, and holding period.

Management Risk.

ADPE is subject to management risk because it is an actively managed investment portfolio. The Investment Manager will apply investment techniques and risk analyses in making investment decisions for ADPE, but there can be no guarantee that these will produce the desired results. ADPE may be subject to a relatively high level of management risk because ADPE invests in Private Assets, which are highly specialized instruments that require investment techniques and risk analyses different from those associated with investing in public equities and bonds. ADPE's allocation of its investments across Portfolio Funds, Direct Investments, Co-Investments and other portfolio Investments representing various strategies, geographic regions, asset classes and sectors may vary significantly over time based on the Investment Manager's analysis and judgment. As a result, the particular risks most relevant to an investment in ADPE, as well as the overall risk profile of ADPE's portfolio, may vary over time. It is possible that ADPE will focus on an Investment that performs poorly or underperforms other investments under various market conditions.

Diversification Risk.

ADPE Fund is subject to restrictions on the size of Investments such that it will not at any one time directly or indirectly, through the ADPE Aggregator, invest and hold more than 25% of its NAV in any single Investment as measured at the time of investment; *provided* that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are

subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the Investment Manager under the oversight of the AIFM, which for the avoidance of doubt will include APMF US (and may include Other Ares Funds and/or Intermediary Funds). No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring ADPE Fund within this 25% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of ADPE or any of its underlying investors. For the purpose of the foregoing limitations, the amount invested in any Investment will be net of indebtedness and take into account the allocated or expected indebtedness that the Investment Manager deems related to the Investment being acquired, whether incurred specifically at the Investment level or allocated from other vehicle indebtedness.

This 25% diversification requirement will not apply during the Ramp-Up Period. The Investment Manager may also impose additional limitations on its discretion based on the underlying investors in ADPE Fund.

Accordingly, ADPE may participate in a limited number of Investments and, as a consequence, the aggregate return of ADPE may be substantially adversely affected by the unfavourable performance of even a single Investment. In addition, other than as set forth in Section III: "Investment Information" of this Annex, investors have no assurance as to the degree of diversification of the Investments, either by geographic area, asset type or sector. To the extent ADPE concentrates Investments in a particular issuer, asset type, industry, security or geographic area, its Investments will become more susceptible to fluctuations in value resulting from adverse economic, political, regulatory, technological, industry and/or business conditions with respect thereto. These risks may be further pronounced where an Investment is secured by a relatively small or less diverse pool of underlying assets. Certain geographic areas and/or industries may be more adversely affected by economic pressures when compared to other geographic areas and/or industries. As a consequence, the aggregate return of ADPE may be adversely affected by the unfavorable performance of one or a small number of Investments, or unfavorable developments in one or a small number of countries or industries. Moreover, there are no assurances that any or all of ADPE's Investments will perform well or avoid loss, and if certain Investments perform unfavorably, for ADPE to achieve above-average returns, one or a few of its Investments must perform very well. There are no assurances that this will be the case.

There can be no assurance that the Sponsor will be successful in identifying investment opportunities. Although ADPE may invest in Other Ares Funds (including APMF US), the investment portfolio of such Other Ares Funds (including APMF US) may differ materially in terms of levels of sectoral and geographic diversification from the current investment strategy of ADPE.

Risks Associated with the Euro.

The functioning of the Euro as a single currency across the diverse economies comprising the Eurozone has sustained considerable pressure as the result of the global financial crisis and other subsequent macroeconomic events. The situation, particularly in those countries where sovereign default is perceived to be most likely, may continue to deteriorate. It is therefore possible that the Euro may cease to be the national currency of some or even all of the countries comprising the Eurozone. If this were to occur, fluctuations in currency exchange rates of the new local currencies may cause borrowers in such countries to find it more difficult to meet their Euro repayment obligations and investors in such countries may find that the cost of meeting their commitment to ADPE increases by virtue of a comparatively valuable Euro. These events are unprecedented and it is difficult to predict with any certainty the consequences of such events on ADPE and its Investments.

Deployment of Capital.

In light of the nature of ADPE's continuous offering in relation to ADPE's investment strategy and the need to be able to deploy potentially large amounts of capital quickly to capitalize on potential investment opportunities, if ADPE has difficulty identifying and purchasing suitable Investments on attractive terms, there could be a delay between the time it receives net proceeds from the sale of Shares in this offering or any private offering and the time ADPE invests the net proceeds. ADPE may also from time to time hold cash pending deployment into Investments or have less than its targeted leverage, which cash or shortfall in target leverage may at times be significant, particularly at times when ADPE is receiving high amounts of offering proceeds and/or times when there are few attractive investment opportunities. Such cash may be held in an account for the benefit of Shareholders that may be invested in money market accounts or other similar temporary investments, each of which are subject to the Management Fee.

In the event ADPE is unable to find suitable Investments such cash may be maintained for longer periods which would be dilutive to overall investment returns. This could cause a substantial delay in the time it takes for a

Shareholder's investment to realize its full potential return and could adversely affect ADPE's ability to pay regular distributions of cash flow from operations to you. It is not anticipated that the temporary Investment of such cash into money market accounts or other similar temporary Investments pending deployment into Investments will generate significant interest, and Shareholders should understand that such low interest payments on the temporarily invested cash may adversely affect overall returns. In the event ADPE fails to timely invest the net proceeds of sales of Shares or does not deploy sufficient capital to meet its targeted leverage, ADPE's results of operations and financial condition may be adversely affected.

Sourcing and Payment of Distributions.

ADPE has not established a minimum distribution payment level, and ADPE's ability to make distributions to its Shareholders may be adversely affected by a number of factors, including the risk factors described in the Prospectus or this Annex as well as the Intermediary Funds' and Other Ares Funds' in which ADPE invests (including APMF US) abilities to make distributions to their respective investors. The Intermediary Funds and the Other Ares Funds (including APMF US) in which ADPE invests each have a limited track record and may not generate sufficient income to make distributions to ADPE's Shareholders.

The Board of Directors (or its delegate) will make determinations regarding distributions based upon, among other factors, ADPE's financial performance, debt service obligations, debt covenants, tax requirements and capital expenditure requirements. Among the factors that could impair ADPE's ability to make distributions to its Shareholders are:

- ADPE's inability to invest the proceeds from sales of Shares on a timely basis;
- ADPE's inability to realize attractive risk-adjusted returns on ADPE's Investments;
- high levels of expenses or reduced revenues that reduce ADPE's cash flow or non-cash earnings; and
- defaults in ADPE's investment portfolio or decreases in the value of ADPE's Investments.

As a result, ADPE may not be able to make distributions to its Shareholders at any time in the future, and the level of any distributions ADPE does make to Shareholders may not increase or even be maintained over time, any of which could materially and adversely affect the value of a Shareholder's investment.

ADPE may not generate sufficient cash flow from operations to fully fund distributions to Shareholders, particularly during the early stages of ADPE's operations. Therefore, ADPE may fund distributions to ADPE's Shareholders from sources other than cash flow from operations, including, without limitation, the sale of assets, borrowings, return of capital or offering proceeds (including from sales from Shares or ADPE Aggregator units). The extent to which ADPE pays distributions from sources other than cash flow from operations will depend on various factors, including the level of participation in ADPE's Accumulation Sub-Classes, the extent to which the AIFM (and/or such other combination of persons as the Investment Manager may designate) elects to receive its Management Fee in Shares or units of the ADPE Aggregator, how quickly ADPE invests the proceeds from this and any future offering and the performance of ADPE's Investments. Funding distributions from the sales of assets, borrowings, return of capital or proceeds of the offering will result in ADPE having less funds available to acquire Investments. As a result, the return a Shareholder realizes on its investment may be reduced. Doing so may also negatively impact ADPE's ability to generate cash flows. Likewise, funding distributions from the sale of additional securities will dilute a Shareholder's interest in ADPE on a percentage basis and may impact the value of its investment especially if ADPE sells these securities at prices less than the price such Shareholder paid for its Shares. ADPE may be required to continue to fund ADPE's regular distributions from a combination of some of these sources if ADPE's Investments fail to perform, if expenses are greater than ADPE's revenues or due to numerous other factors. ADPE has not established a limit on the amount of its distributions that may be paid from any of these sources.

To the extent ADPE borrows funds to pay distributions, it would incur borrowing costs and these borrowings would require a future repayment. The use of these sources for distributions and the ultimate repayment of any liabilities incurred could adversely impact ADPE's ability to pay distributions in future periods, decrease ADPE's NAV, decrease the amount of cash ADPE has available for operations and new Investments and adversely impact the value of a Shareholder's investment.

ADPE may also defer operating expenses or pay expenses (including the fees of the Investment Manager) with Shares or units of the ADPE Aggregator in order to preserve cash flow for the payment of distributions. The ultimate repayment of these deferred expenses could adversely affect ADPE's operations and reduce the future return on a Shareholder's investment. ADPE may redeem Shares or redeem units of the ADPE Aggregator from

the Investment Manager shortly after issuing such units or Shares as compensation. The payment of expenses in Shares or with units of the ADPE Aggregator will dilute a Shareholder's ownership interest in ADPE's portfolio of assets. There is no guarantee any of ADPE's operating expenses will be deferred and the Investment Manager and the AIFM are under no obligation to receive future fees or distributions in Shares, units of the ADPE Aggregator and may elect to receive such amounts in cash.

In-Kind Remuneration to the Investment Manager.

The Investment Manager, the Recipient, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, may choose to receive Shares or units of the ADPE Aggregator *in lieu* of certain fees or distributions. The holders of all units of the ADPE Aggregator are entitled to receive cash from operations pro rata with the distributions being paid to ADPE and such distributions to the holder of units of the ADPE Aggregator will reduce the cash available for distribution to ADPE and to its Shareholders. Furthermore, under certain circumstances, units of the ADPE Aggregator held by the Investment Manager, the Recipient the AIFM and/or such other person or combination of persons as the Investment Manager may designate, may be required to be redeemed in cash at the relevant holder's election, and there may not be sufficient cash to make such a redemption payment; therefore, ADPE may need to use cash from operations, borrowings, offering proceeds or other sources to make the payment, which will reduce cash available for distribution to Shareholders or for their investment in ADPE's operations. Redemptions of Shares or ADPE Aggregator units from the Recipient, the Investment Manager, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, paid to the relevant entity as a Management Fee or Performance Fee are not subject to the quarterly volume limitations in Section V: "*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*" of this Annex, any Early Redemption Deduction or any Redemption Fee, and such sales receive priority over other Shares being put for redemption during such period.

Reinvestment of Distributions.

Shareholders that subscribe for Accumulation Sub-Class Shares, will, *in lieu* of receiving cash distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. If such amounts are reinvested, such Shareholders will remain exposed to risks associated with such Investments.

No Right to Control ADPE.

The Sponsor will have exclusive responsibility for ADPE's activities, and, other than as set forth herein and in the Articles, Shareholders will not be able to make Investments or any other decisions concerning the management of ADPE. Shareholders have no rights or powers to take part in the management of ADPE or make investment decisions and will not generally receive the amount of any Portfolio Entity's financial information that is generally available to the AIFM. The AIFM will generally have sole and absolute discretion in structuring, negotiating and purchasing, financing and eventually divesting Investments on behalf of ADPE (subject to specified exceptions). Accordingly, no person should purchase a Share unless such person is willing to entrust all aspects of the management of ADPE to the AIFM.

Lack of Liquidity.

There is no current public trading market for the Shares, and the Sponsor does not expect that such a market will ever develop. Therefore, redemption of Shares by ADPE will likely be the only way for a Shareholder to dispose of its Shares. ADPE expects to redeem Shares at a price equal to the applicable NAV as of the Redemption Date and not based on the price at which such Shareholder initially purchased its Shares.

Subject to limited exceptions, Shares of certain Share Classes (as set out in Section V: "*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*" of this Annex) that are redeemed within twenty-four (24) months of the date of issuance will be redeemed at 95% of the applicable NAV as of the Redemption Date. Redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of up to 5% of the NAV of the Shares being redeemed (calculated as of the relevant Redemption Date), as determined by the Investment Manager in its sole discretion from time to time. As a result, a Shareholder may receive less than the price paid for its Shares when such Shareholder redeem Shares pursuant to ADPE's redemption program. Please refer to Section V: "*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*" of this Annex.

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across ADPE, including redemptions at all Parallel Entities and the APMF Aggregator, but excluding any Early Redemption Deduction or any Redemption Fee applicable to the redeemed Shares) is generally limited to 5% of aggregate NAV per calendar quarter of all Parallel Entities and the ADPE Aggregator (measured as of the last calendar day of the previous

calendar quarter), except in the exceptional circumstances described below. The foregoing limitation on redemptions is based on net redemptions (as defined below) during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this Annex.

In exceptional circumstances and not on a systematic basis, ADPE Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager's reasonable judgment it deems such action to be in ADPE's best interest and the best interest of ADPE's investors as a whole, such as when redemptions are unable to be made in Intermediary Funds and Other Ares Funds in which ADPE invests (including APMF US), when redemptions of Shares would place an undue burden on ADPE's liquidity, adversely affect ADPE's operations, risk having an adverse impact on ADPE that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV. Material modifications intended to reduce available liquidity, including any amendment to the Redemption Limitation and suspensions of the redemption program will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in ADPE's best interest and the best interest of ADPE's investors.

In the event that, pursuant to the limitation above, not all of the Shares submitted for redemption during a given quarter are to be accepted for redemption by ADPE Fund, Shares submitted for redemption during such quarter will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across ADPE if applicable). Unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date in the manner as described above in Section V: "*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*" of this Annex. Settlements of any redemptions will generally be made by the relevant Settlement Date, i.e. within ten (10) Business Days from the relevant NAV Release Date (e.g., a Shareholder requesting a September 30th redemption would generally be expected to receive a settlement on or around December 9th of the same year), *provided* that this timing may vary depending on when redemption proceeds are actually received by the ADPE Fund from the Intermediary Funds and/or the Other Ares Funds, as applicable. As a result, a Shareholder will experience significant delays in realizing liquidity even when its redemption is accepted.

The vast majority of ADPE's assets are expected to consist of Investments that cannot generally be readily liquidated without impacting ADPE's ability to realize full value upon their disposition. Therefore, ADPE may not always have a sufficient amount of cash to immediately satisfy Redemption Requests. As a result, a Shareholder's ability to have its Shares redeemed by ADPE may be limited and at times a Shareholder may not be able to liquidate its investment. Please refer to Section V: "*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*" of this Annex.

Effect of Redemption Requests.

Economic events affecting the European economy could cause Shareholders to seek to sell their Shares to ADPE pursuant to ADPE's redemption program at a time when such events are adversely affecting the performance of ADPE's assets. Even if the Investment Manager decides to satisfy all resulting Redemption Requests, ADPE's cash flow could be materially adversely affected. ADPE's ability to satisfy Redemption Requests of its Shareholders is also determined by the Intermediary Funds' abilities and the abilities of the Other Ares Funds in which ADPE invests (including APMF US) to also fulfil redemption requests by their own unitholders, partners or shareholders, applicable. In addition, if ADPE determines to sell assets to satisfy Redemption Requests, it may not be able to realize the return on such assets that it may have been able to achieve had it sold at a more favorable time, and ADPE's results of operations and financial condition, including, without limitation, breadth of its portfolio by property type and location, could be materially adversely affected.

Compulsory Redemptions.

In accordance with the Prospectus and the Articles, the Board of Directors (or its delegate) may compulsorily redeem all or any part of the Shares of any Shareholder in the circumstances set out in Section V: "*Subscriptions, Redemptions and Other Transactions*" of the Prospectus or if it discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person, either alone or in conjunction with any other person, whether directly or indirectly, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such compulsory redemptions will generally be subject to the same terms as voluntary redemptions of Shareholders (including the limitations imposed thereon), unless otherwise determined by the Board of Directors (or its delegate) in its sole discretion.

Fees Paid by Advisory Investors.

Shareholders (or their brokers on their behalf) may elect to be treated as “advisory investors” and in connection therewith, by virtue of holding Class A Shares and Class B Shares, bear a larger amount of fees than investors that are not “advisory investors” for reporting, administrative and other services provided by such advisory investor’s registered investment adviser, adviser representative or other financial intermediary. Some or all of the Servicing Fee payable in respect of a Class A or Class B Shareholder’s investment may be allocated to such Shareholder’s financial intermediary through which such Shareholder was placed in ADPE. Any amounts allocated in accordance with the foregoing sentence will compensate such financial intermediary for reporting, administrative and other services provided to a Shareholder by such financial intermediary. The receipt of the Servicing Fee by a Shareholder’s financial intermediary will result in a conflict of interest.

Discretionary Expense Cap.

The Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by ADPE Fund and/or the ADPE Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, ADPE Fund the ADPE Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed. By subscribing for Shares, Shareholders will be deemed to have acknowledged and agreed that: (i) this discretionary expense cap will lower the Operating Expenses and/or Organizational and Offering Expenses burden on ADPE for the period in time the cap is in place (resulting in a greater NAV per Share during such period than would otherwise be the case), and consequently defer expenses to later periods; (ii) they may be required to bear a portion of Organizational and Offering Expenses and/or Operating Expenses relating to periods prior to their admission into ADPE Fund; (iii) Shareholders redeeming their Shares before the complete reimbursement of Organizational and Offering Expenses and/or Operating Expenses, will bear a lower amount of Organizational and Offering Expenses and/or Operating Expenses than would have otherwise be the case, should the discretionary cap not have been in place; and (iv) Shareholders redeeming their Shares before the Effective Date will bear no Organizational and Offering Expenses and limited Operating Expenses (but will be subject to the Early Redemption Deduction and/or any Redemption Fee).

All ADPE entities may be jointly responsible for the repayment of Fund indebtedness.

To the extent permitted, ADPE may utilize indebtedness secured by Investments by ADPE. Indebtedness secured by subscriptions may be structured in a way that the vehicles comprising ADPE are jointly responsible on a cross-collateralized basis for the repayment of such indebtedness.

Early termination of ADPE.

It is possible that ADPE may be dissolved and terminated prematurely and, as a result, may not be able to accomplish its objectives and may be required to dispose of its Investments at a disadvantageous time or make an in-kind distribution (resulting in Shareholders not having their capital invested and/or deployed in the manner originally contemplated).

SFDR Categorization.

ADPE is intended to be classified as an Article 6 financial product for the purposes of SFDR. There is legal uncertainty around the parameters applicable when categorizing a financial product under SFDR and there is no guarantee that regulators will agree with the relevant characterization. In circumstances where there is a determination that ADPE has been characterized incorrectly, there could be a risk of investigation, enforcement proceedings and/or sanctions.

Furthermore, certain SFDR supporting and related regulations are likely to be amended in the near to medium term and new guidance may also be issued by the European Supervisory Authorities. These factors and events have the potential to increase related compliance and other costs which would be borne by ADPE. For further information with respect to the potential risks arising from SFDR categorization, please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*”.

Further information with respect to the SFDR categorization of ADPE can be found at Schedule 1: “Sustainability-Related Disclosures” to this Annex.

Multiple Levels of Fees and Expense.

ADPE Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any Portfolio Funds, including any Other Ares Funds (including APMF US, as applicable), in each case to the extent applicable and in accordance with their relevant governing documents. This would result in more expenses being borne (indirectly) by Shareholders in ADPE than if such Shareholders were able to invest directly in the Other Ares Funds (including APMF US). The management costs (including any management fee) and performance fees (including any carried interest, performance participation allocation or other incentive compensation) may differ from an Other Ares Fund to Other Ares Fund and depend on the relevant Other Ares Fund's strategy.

However, subject to the below, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously at the level of ADPE and Other Ares Funds (including APMF US). Therefore, no Performance Fee will be charged at the level of ADPE in respect of its Investments in Other Ares Funds (including APMF US). However, strictly for information purposes only and not as an indication of entitlement in a specific Other Ares Fund, several (but not all) established Other Ares Funds (including APMF US) provide for performance participation allocation at a rate up to 15%.

ADPE will also indirectly bear other fees, expenses or deductions in connection with an Investment in or alongside an Other Ares Fund (including APMF US), including any early redemption deduction, redemption fee, liquidity penalty and/or investment related expenses and expenses paid to affiliates of the Sponsor, administrative expenses and other expenses included in the definition of Operating Expenses above as applicable to such Other Ares Fund (to the extent applicable). Notwithstanding anything herein to the contrary, while ADPE may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Other Ares Funds (including for the avoidance of doubt APMF US), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to ADPE together with any Underlying Management Fees paid to the AIFM or its affiliates (or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: "*Fees and Expenses of ADPE —Management Fee*". However, with respect to ADPE's Secondary Investments (including, but not limited to, Secondary Investments in Other Ares Funds), ADPE may pay or otherwise bear carried interest, management fees or other incentive compensation paid to the general partner of such Portfolio Fund (including, for the avoidance of doubt, Other Ares Funds). Notwithstanding the foregoing and with respect to ADPE's Secondary Investments in Other Ares Funds only, ADPE may pay or otherwise bear carried interest, management fees or other incentive compensation paid to the general partner of such Other Ares Fund.

These various levels of costs and expenses will be charged whether or not the performance of ADPE generates positive returns. As a result, ADPE, and indirectly the Shareholders, may bear multiple levels of expenses, which in the aggregate would exceed the expenses which would typically be incurred by an investment in a single fund investment, and which would offset ADPE's profits. In addition, because of the fees and expenses payable by ADPE pursuant to such Investments, its returns on such Investments will be lower than the returns to a direct investor in the Other Ares Funds (including APMF US).

Risk Factors Relating to ADPE's Investments in Intermediary Funds and Other Ares Funds

An Investment in ADPE is not an Investment in Ares or the Other Ares Funds.

An investor in ADPE is not acquiring an interest in any Other Ares Fund (including for the avoidance of doubt APMF US) or Ares itself. The Investment Manager cannot assure investors that it will replicate Ares' historical success, and ADPE's investment returns could be substantially lower than the returns achieved by the Other Ares Funds (including APMF US).

Investment through a Limited Number of Intermediary Funds and Other Ares Funds.

ADPE expects to invest, directly or indirectly through one or more investments in Intermediary Funds, a substantial portion of its gross assets in Other Ares Funds (including APMF US), which presents certain additional risks to investors. For example, ADPE may be materially affected by the actions of a larger investor investing in such Intermediary Funds or Other Ares Funds (including APMF US). If a larger investor withdraws from such underlying fund, the remaining investors may experience higher pro rata operating expenses, thereby producing lower returns. An Intermediary Fund or an Other Ares Fund through which ADPE invests may become less diverse due to a withdrawal by a larger investor, resulting in increased portfolio concentration. Creditors of an Intermediary Fund or an Other Ares Fund through which ADPE invests may enforce claims against all assets of

such underlying fund. In addition, certain conflicts of interests may exist due to different tax considerations applicable to ADPE and the investors into such Intermediary Funds or Other Ares Funds. (See also “*Risk Factors Relating to ADPE’s Indirect Investment in APMF US*” below.)

Investing in Other Ares Funds (including APMF US).

ADPE intends to directly or indirectly invest into Other Ares Funds (including APMF US). Conflicts of interest may arise in respect of the Investment Manager’s management of ADPE and the Investment Manager’s, or an affiliate of the Investment Manager’s, management of the relevant Other Ares Funds in which ADPE invests, as the case may be. While the Investment Manager is required to act in the best interest of ADPE, it will also be required to act in the best interest of the relevant Other Ares Funds as a whole, in which ADPE is expected to be a passive, minority investor. ADPE expects to be a passive investor in such Other Ares Funds and as such, will generally not be able to engage in their management activities. As a result, ADPE (and therefore, indirectly the Shareholders), will be wholly reliant on the skills, judgement, methods and management of the general partner(s), manager(s), board of directors, board of trustees and/or operator(s) of the Other Ares Funds in which ADPE directly or indirectly invests and their respective advisors, and the ability of the same to successfully implement the investment strategy and objectives for the relevant Other Ares Funds.

While the interests of investors in an Other Ares Fund in which ADPE invests are generally expected to align, there can be no guarantees of this and investors may vote or exercise consent rights with respect to their interests in an Other Ares Fund according to their own respective interest. Shareholders should note therefore, that the exercise of votes and/or consent rights by other investors in a relevant Other Ares Fund may not necessarily align with the interests of ADPE (and indirectly its Shareholders) as an investor in the Other Ares Fund, and as a result decisions may be made with respect to the operations and activities of the relevant Other Ares Fund in a manner disadvantageous to the interests of ADPE (and, indirectly, its Shareholders).

Shareholders should also be aware that the terms governing ADPE’s investment in an Other Ares Fund are not expected to be negotiated on behalf of ADPE. Typically, investors participating in an Other Ares Fund will conduct a certain level of due diligence as well as engaging legal counsel and/or other advisors (such as tax and regulatory advisors) prior to subscribing for interests in the relevant Other Ares Fund. Given that both ADPE and the Other Ares Funds in which it invests are expected to be managed by affiliates of the Investment Manager, and the fact that ADPE is expected to generally be a minority investor in the Other Ares Fund, the Investment Manager does not anticipate conducting any such corresponding due diligence or engaging legal or other advisors in connection with its Investments. Instead, ADPE will rely on the Investment Manager having knowledge of the investment strategies of the Other Ares Funds in which it invests (by virtue of the Investment Manager and/or one or more of its affiliates also acting as the manager or in a similar capacity with respect to the Other Ares Fund).

Capacity to Raise Substantial Funds.

If the Intermediary Funds and Other Ares Funds in which ADPE invests (including APMF US) are unable to raise substantial funds, then such portfolio funds will be more limited in the number and type of investments they may make, their respective expenses may be higher relative to their total assets, and the value of the direct or indirect investment of ADPE in such portfolio fund may be reduced in the event underlying assets under-perform. Amounts that the portfolio fund raise may not be sufficient for us to purchase a broad portfolio of investments. To the extent that the Intermediary Funds and Other Ares Funds in which ADPE invests (including APMF US) are unable to raise all the capital they seek, the opportunity for such portfolio funds to purchase a broad portfolio of investments may be decreased and the returns achieved on those investments may be reduced as a result of allocating all of their expenses among a smaller capital base. If the portfolio funds are unable to raise substantial funds, they may not achieve certain economies of scale and their respective expenses may represent a larger proportion of their total assets.

Investments in Funds Generally.

The risks associated with ADPE’s investments into the Intermediary Funds and Other Ares Funds in which ADPE invests (including APMF US) are generally related to, among other things, (i) the ability of each of such portfolio fund sponsors to select and manage successful investment opportunities; (ii) the quality of the management of each portfolio fund sponsor and each portfolio company in which the portfolio funds invest; (iii) the ability of the portfolio funds to liquidate their investments; and (iv) general economic conditions. There can be no assurance that the investments made by the Intermediary Funds and Other Ares Funds in which ADPE invests (including APMF US) will result in attractive rates of return to ADPE. ADPE will not be able to participate in the management and control of the Intermediary Funds and Other Ares Funds in which ADPE invests (including

APMF US) nor of the portfolio companies in which they have invested. Consequently, ADPE will not be able to control the amount or timing of distributions from such portfolio fund, which may affect Shareholders' returns.

In addition, the returns of ADPE's investments in the Intermediary Funds and Other Ares Funds in which ADPE invests (including APMF US) will depend largely on the performance of their respective managers, operators and/or advisers (as applicable) and could be substantially adversely affected by the unfavourable performance and/or practices and policies of such managers, operators and/or advisers (as applicable). The performance of a manager, operator and/or adviser (as applicable) may also rely on the services of a limited number of key individuals, the loss of whom could significantly adversely affect such manager's, operator's and/or adviser's (as applicable) performance.

Such managers, operators and/or advisers (as applicable) may enter into new lines of business not anticipated by ADPE at the time ADPE invests in the Intermediary Funds or Other Ares Funds in which ADPE invests (including APMF US). The managers, operators and/or advisers (as applicable) of the Intermediary Funds or such Other Ares Funds in which ADPE invests (including APMF US), may also have the ability to change their investment objectives and strategies and economic and other terms after ADPE has made its investments and such change in the investment objectives and strategies may be different from the objectives expected at the relevant time by the Investment Manager. ADPE would likely not have the ability to prevent such managers, operators and/or advisers (as applicable) from taking such action and these decisions may negatively impact the performance of ADPE.

Reliance on Reporting.

ADPE's ability to deliver accurate and timely reports to its investors, is dependent upon the accuracy and timeliness of the reports received from the Intermediary Funds, the Other Ares Funds in which ADPE invests (including APMF US) and their respective managers. The position of investors in ADPE may depend on the amount of information ADPE receives from the Intermediary Funds, such Other Ares Funds in which ADPE invests (including APMF US). If ADPE does not have the right to access particular information, investors' positions, including their tax position, may be prejudiced. The managers of the Intermediary Funds and such Other Ares Funds in which ADPE invests may utilize divergent reporting standards that may make it difficult for Ares to accurately assess the prior performance of the Intermediary Funds and such Other Ares Funds in which ADPE invests. In addition, such reporting variances may affect the ability of Ares to accurately value and monitor underlying Investments.

Risk Factors Relating to ADPE's Indirect Investment in APMF US

ADPE's Investment through Intermediary Funds.

To gain exposure to Private Assets, ADPE Fund may invest, directly or indirectly through one or more investments in Intermediary Funds, a portion of its gross assets in Other Ares Funds, including APMF US, which itself invests in Portfolio Funds through Direct Investments, Primary Investments, Secondary Investments and Co-Investments. APMF US expects to invest principally in Secondary Investments, and to a lesser degree, in Primary Investments and Direct Investments, although the allocation among those types of investments may vary from time to time.

In addition, (i) ADPE will generally seek to own less than 60% of the outstanding shares of any Intermediary Funds that invest into APMF US (the "**Threshold**"); and (ii) any Intermediary Funds investing into APMF US will generally seek to own less than 25% of the outstanding shares of APMF US at any time where ownership of such Intermediary Fund by ADPE exceeds the Threshold. If both of the guide limits set out in (i) and (ii) above are exceeded, on either an individual or aggregate basis, ADPE will not request the redemption of more than 5% of the outstanding shares in the relevant Intermediary Fund(s) in any calendar quarter. Further, to the extent that ADPE indirectly owns through Intermediary Fund(s) more than 5% of the shares of APMF US, ADPE will only be able to send redemption requests to the relevant Intermediary Fund(s) if such redemption requests are to satisfy Redemption Requests received by ADPE in respect of its Shareholders, or as required by applicable law or regulation.

The Threshold and the other limitations and thresholds set out in the preceding paragraph may limit the ability of ADPE to subscribe for, or redeem shares in an Intermediary Fund, which, in turn, may limit the ability of Shareholders and/or potential investors in ADPE to subscribe for, or redeem Shares. In addition, ADPE may be limited in its ability to obtain exposure to APMF US and, therefore, may need to make other investments.

General Investment Risks.

There is no assurance that the investments held by APMF US will be profitable, that there will be proceeds from such investments available for distribution to APMF US shareholders (including ADPE), or that APMF US will achieve its investment objective. An investment in APMF US is speculative and involves a high degree of risk. APMF US performance may be volatile and an APMF US shareholder could incur a total or substantial loss of its investment. There can be no assurance that projected or targeted returns for APMF US will be achieved.

APMF US Investment Company Act Risks Generally.

APMF US is a Delaware statutory trust that is registered under the Investment Company Act. APMF US is subject to certain investment limitations which restrict its ability to engage in certain practices and purchase securities and other instruments other than as permitted by, or consistent with, applicable law, including the Investment Company Act. These limitations are based either on the Investment Company Act itself, the rules or regulations thereunder or applicable orders of the SEC. Some of these may include (to the extent applicable to APMF US) limitations on the use of leverage, restrictions on transactions with affiliates, requirements governing custody of assets, restrictions on investments in other investment companies, liquidity and valuation requirements and certain prescribed governance requirements, including oversight by an independent board of directors or trustees. These limitations may limit APMF US's ability to pursue certain investment strategies and may therefore indirectly constrain ADPE's ability to pursue its investment objective. In addition, interpretations and guidance provided by the SEC staff may be taken into account to determine if a certain practice or the purchase of securities or other instruments by APMF US is permitted by the Investment Company Act, the rules or regulations thereunder or applicable orders of the SEC. As a result, the APMF US's fundamental investment policies may be interpreted differently over time as the statute, rules, regulations or orders (or, if applicable, interpretations) that relate to the meaning and effect of these policies change, and no vote of the APMF US shareholders (including ADPE), as applicable, will be required or sought.

Management Risk.

APMF US is subject to management risk because it is an actively managed investment portfolio. Ares Capital Management II LLC, as investment adviser of APMF US (the "**APMF US Adviser**"), will apply investment techniques and risk analyses in making investment decisions for APMF US, but there can be no guarantee that these will produce the desired results. APMF US may be subject to a relatively high level of management risk because APMF US invests in Private Assets, which are highly specialized instruments that require investment techniques and risk analyses different from those associated with investing in public equities and bonds. APMF US's allocation of its investments across Private Assets and other portfolio investments representing various strategies, geographic regions, asset classes and sectors may vary significantly over time based on the APMF US Adviser's analysis and judgment. As a result, the particular risks most relevant to an investment in APMF US, as well as the overall risk profile of APMF US's portfolio, may vary over time. It is possible that APMF US will focus on an investment that performs poorly or underperforms other investments under various market conditions.

Dependence on APMF US Adviser and Key Personnel.

APMF US depends on the APMF US Adviser's ability to select, allocate and reallocate effectively APMF US's assets. The success of APMF US is thus substantially dependent on APMF US Adviser and its continued employment of certain key personnel. Similarly, the success of each Portfolio Fund investment in which APMF US invests is also likely to be substantially dependent on certain key personnel of a Portfolio Fund manager and/or general partner (each, a "**Portfolio Fund Manager**"). Should one or more of the key personnel of APMF US Adviser or of a Portfolio Fund Manager become incapacitated or in some other way cease to participate in management activities, APMF US's performance (and indirectly ADPE) could be adversely affected. There can be no assurance that these key personnel will continue to be associated with or available to APMF US Adviser or the general partners of the Portfolio Funds throughout the life of APMF US. Furthermore, as required by the Investment Company Act, APMF US's investment advisory and management agreement with the APMF US Adviser is subject to annual approval by the APMF US Board or the vote of a majority (as defined by the Investment Company Act) of the outstanding voting securities of APMF US (provided that in either event, the continuance is also approved by a majority of APMF US's independent trustees by vote cast in person (or as otherwise permitted by the SEC) at a meeting called for the purpose of voting on such approval).

Closed-End Fund Structure; Liquidity Limited to Periodic Repurchases of APMF US Shares.

APMF US is designed primarily for long-term investors. The investment in APMF US by ADPE, unlike an investment in a traditional listed closed-end fund, should be considered illiquid. Unlike open-end funds (commonly known as mutual funds), which generally permit redemptions on a daily basis, the shares of APMF

US are not redeemable at a shareholder's option. Unlike stocks of listed closed-end funds, the shares of APMF US are not listed, and are not expected to be listed, for trading on any securities exchange, and APMF US does not expect any secondary market to develop for its shares in the foreseeable future. APMF US's investments in Private Assets are illiquid and typically cannot be transferred or redeemed for a substantial period of time. The shares of APMF US are designed for long-term investors (such as ADPE), and APMF US should not be treated as a trading vehicle. See "*APMF US Repurchase of Shares Risk*" below for information regarding APMF US's periodic repurchases.

APMF US Repurchase of Shares Risk.

Although APMF US Board may, in its sole discretion, cause APMF US to offer to repurchase outstanding APMF US shares at their net asset value and APMF Adviser intends to recommend that, in normal market circumstances, APMF US Board conduct quarterly repurchase offers of no more than 5% of APMF US's net assets. APMF US shares are considerably less liquid than shares of funds that trade on a stock exchange, or shares of open-end registered investment companies. It is possible that APMF US may be unable to repurchase all of APMF US shares that a shareholder (including ADPE) tenders due to the illiquidity of APMF US's investments or if the APMF US shareholders (including ADPE) request APMF US to repurchase more APMF US shares than APMF US is then offering to repurchase. In addition, substantial requests for APMF US to repurchase APMF US shares could require APMF US to liquidate certain of its investments more rapidly than otherwise desirable in order to raise cash to fund the repurchases and achieve a market position appropriately reflecting a smaller asset base. This could have a material adverse effect on the value of the APMF US shares (and indirectly the Shares).

There can be no assurance that APMF US will conduct repurchase offers in any particular period and APMF US shareholders may be unable to tender APMF US shares for repurchase for an indefinite period of time.

There will be a substantial period of time between the date as of which APMF US shareholders (including ADPE) must submit a request to have their shares repurchased and the date they can expect to receive payment for their shares from APMF US. APMF US shareholders (including ADPE) whose shares are accepted for repurchase bear the risk that APMF US's net asset value may fluctuate significantly between the time that they submit their repurchase requests and the date as of which such shares are valued for purposes of such repurchase. APMF US shareholders (including ADPE) will have to decide whether to request that APMF US repurchase their shares without the benefit of having current information regarding the value of shares on a date proximate to the date on which shares are valued by APMF US for purposes of effecting such repurchases.

Offers for repurchases of APMF US shares, if any, may be suspended, postponed or terminated by APMF US Board under certain circumstances. An investment in APMF US is suitable only for investors who can bear the risks associated with the limited liquidity of APMF US shares and the underlying investments of APMF US. Additionally, because APMF US shares are not listed on any securities exchange, APMF US is not required, and does not intend, to hold annual meetings of its shareholders unless called for under the provisions of the Investment Company Act.

In addition, the repurchase of APMF US shares by APMF US may be a taxable event to APMF US shareholders, potentially including even APMF US shareholders (including ADPE) who do not tender any shares in such repurchase. Furthermore, APMF US's use of cash to repurchase APMF US shares could adversely affect its ability to satisfy the distribution requirements for treatment as a RIC. APMF US could also recognize income or gain in connection with its sale or other disposal of portfolio securities to fund APMF US share repurchases. Any such income would be taken into account in determining whether such distribution requirements are satisfied and would need to be distributed to APMF US shareholders (in taxable distributions) in order to eliminate a APMF US-level tax.

Payment In-Kind for Repurchased APMF US Shares.

APMF US generally expects to distribute to the holder of APMF US shares that are repurchased cash in satisfaction of such repurchase. However, there can be no assurance that APMF US will have sufficient cash to pay for APMF US shares that are being repurchased or that it will be able to liquidate investments at favorable prices to pay for repurchased APMF US shares. APMF US has the right to distribute securities as payment for repurchased APMF US shares in unusual circumstances, including if making a cash payment would result in a material adverse effect on APMF US. For example, it is possible that APMF US may receive securities from a Portfolio Fund that are illiquid or difficult to value. In such circumstances, APMF US Adviser would seek to

dispose of these securities in a manner that is in the best interests of APMF US, which may include a distribution in-kind to APMF US shareholders (including ADPE). In the event that APMF US makes such a distribution of securities, APMF US shareholders will bear any risks of the distributed securities and may be required to pay a brokerage commission or other costs in order to dispose of such securities.

Non-Diversified Status.

APMF US is a “non-diversified” investment company for purposes of the Investment Company Act, which means it is not subject to percentage limitations under the Investment Company Act on assets that may be invested in the securities of any one issuer. Having a larger percentage of assets in a smaller number of issuers makes a non-diversified fund, like APMF US, more susceptible to the risk that one single event or occurrence can have a significant adverse impact upon APMF US.

Valuation Risk.

APMF US is subject to valuation risk, which is the risk that one or more of the securities in which APMF US invests are valued at prices that APMF US is unable to obtain upon sale due to factors such as incomplete data, market instability, human error, or, with respect to securities for which there are no readily available market quotations, the inherent difficulty in determining the fair value of certain types of investments. APMF US Adviser may, but is not required to, use an independent pricing service or prices provided by dealers to value securities at their market value. Because the secondary markets for certain investments may be limited, such instruments may be difficult to value.

A substantial portion of APMF US’s assets consist of Portfolio Funds, Direct Investments and Co-Investments for which there are no readily available market quotations. Accordingly, because there is not a readily available market value for most of the investments in APMF US’s portfolio, substantially all of the APMF US’s portfolio investments are valued at fair value as determined in good faith by the APMF US Adviser, as the valuation designee, in accordance with APMF US Adviser’s valuation policies and procedures and subject to the oversight of APMF US Board. The information available in the marketplace for such companies, their securities and the status of their businesses and financial conditions is often extremely limited, outdated and difficult to confirm. In determining fair value, the APMF US Adviser is required to consider all appropriate factors relevant to value and all indicators of value available to APMF US. The determination of fair value necessarily involves judgment in evaluating this information in order to determine the price that APMF US might reasonably expect to receive for the security upon its current sale. The most relevant information may often be provided by the issuer of the securities. Given the nature, timeliness, amount and reliability of information provided by the issuer, fair valuations may become more difficult and uncertain as such information is unavailable or becomes outdated, which may correspondingly impact ADPE.

The value at which APMF US’s investments can be liquidated may differ, sometimes significantly, from the valuations assigned by APMF US. In addition, the timing of liquidations may also affect the values obtained on liquidation. APMF US invests a significant amount of its assets in Private Assets for which no public market exists. There can be no guarantee that the APMF US’s investments could ultimately be realized at APMF US’s valuation of such investments. In addition, APMF US’s compliance with the asset diversification tests under the U.S. Internal Revenue Code of 1986, as amended (the “**Code**”) depends on the fair market values of APMF US’s assets, and, accordingly, a challenge to the valuations ascribed by APMF US could affect its ability to comply with those tests or require it to pay penalty taxes in order to cure a violation thereof.

APMF US’s net asset value is a critical component in several operational matters including computation of APMF US’s advisory fee (“**APFM US Advisory Fee**”) APMF US’s incentive fee (“**APMF US Incentive Fee**”), and the determination of the price at which APMF US shares will be offered to ADPE and at which a repurchase offer will be made to ADPE. Consequently, variance in the valuation of APMF US’s investments will impact, positively or negatively, the fees and expenses APMF US shareholders (including ADPE) will pay, the price a shareholder will receive in connection with a repurchase offer and the number of APMF US shares ADPE will receive upon investing in APMF US. APMF US accepts purchases of shares as of the first business day of each month. The number of APMF US shares an APMF US shareholder (including ADPE) will receive will be based on APMF US’s most recent net asset value.

APMF US Adviser generally expects to receive information for APMF US’s investments in Private Assets, including Portfolio Funds, Direct Investments and Co-Investments, on which it will base APMF US’s net asset value only as of each calendar quarter end and on a significant delay. The APMF US Adviser generally does not expect to receive updated information intra quarter for such investments. As a result, APMF US’s net asset value

for periods other than calendar quarter end will likely be based on information from the prior quarter. APMF US may need to liquidate certain investments, including its investments in Private Assets, in order to repurchase APMF US shares in connection with a repurchase offer. A subsequent decrease in the valuation of APMF US's investments after a repurchase offer could potentially disadvantage remaining APMF US shareholders (including ADPE) to the benefit of APMF US shareholders (including ADPE) whose shares were accepted for repurchase. Alternatively, a subsequent increase in the valuation of APMF US's investments could potentially disadvantage APMF US shareholders (including ADPE) whose shares were accepted for repurchase to the benefit of remaining APMF US shareholders (including ADPE). Similarly, a subsequent decrease in the valuation of APMF US's investments after a subscription could potentially disadvantage subscribing investors to the benefit of pre-existing APMF US shareholders (including ADPE), and a subsequent increase in the valuation of APMF US's investments after a subscription could potentially disadvantage pre-existing APMF US shareholders (including ADPE) to the benefit of subscribing investors.

Amount or Frequency of Distribution.

The amount of distributions that APMF US may pay is uncertain. APMF US expects to pay distributions out of assets legally available for distribution from time to time, at the sole discretion of APMF US Board, and otherwise in a manner to comply with Subchapter M of the Code. Nevertheless, APMF US cannot assure its shareholders (including ADPE) that APMF US will achieve investment results that will allow APMF US to make a specified level of cash distributions or year-to-year increases in cash distributions. APMF US's ability to pay distributions may be adversely affected by the impact of the risks described in this Section. All distributions will depend on APMF US's earnings, its net investment income, its financial condition, and such other factors as APMF US Board may deem relevant from time to time.

Other Registered Investment Companies Risk.

APMF US may invest in the securities of other registered investment companies to the extent that such investments are consistent with APMF US's investment objective and permissible under the Investment Company Act. Under Section 12(d)(1) of the Investment Company Act, unless an exemption is available, APMF US may not acquire the securities of other registered investment companies if, as a result: (i) more than 10% of APMF US's total assets would be invested in securities of other registered investment companies; (ii) such purchase would result in more than 3% of the total outstanding voting securities of any one registered investment company being held by APMF US; or (iii) more than 5% of APMF US's total assets would be invested in any one registered investment company. Rule 12d1-4 under the Investment Company Act provides an exemption, subject to certain conditions, to permit acquiring funds to invest in the securities of other registered investment companies in excess of the limits of Section 12(d)(1). Rule 12d1-4 also modifies certain existing exemptive rules and will rescind exemptive orders previously granted by the SEC. As a result, certain registered funds and private funds may be more limited in their ability to invest in APMF US under Rule 12d1-4 than they otherwise would be. APMF US, as a holder of the securities of other investment companies, will bear its pro rata portion of the other investment companies' expenses, including advisory fees. These expenses will be in addition to the direct expenses incurred by APMF US and its shareholders (including ADPE).

Transactions with Other Ares Funds, APMF US Adviser and its affiliates.

Certain provisions of the Investment Company Act prohibit APMF US from engaging in transactions with the APMF US Adviser and its affiliates; however, other entities also managed by the APMF US Adviser and its affiliates that are not registered funds are not prohibited from the same transactions. The Investment Company Act also imposes significant limits on co-investments with affiliates of APMF US. APMF US, APMF US Adviser and certain Other Ares Funds have received an exemptive order from the SEC that permits APMF US to co-invest alongside its affiliates in privately negotiated investments (the "**Co-Investment Exemptive Order**"). As required by the Co-Investment Exemptive Order, APMF US has adopted, and the APMF US Board has approved, policies and procedures reasonably designed to ensure compliance with the terms of the Co-Investment Exemptive Order. The Co-Investment Exemptive Order permits APMF US to co-invest alongside Other Ares Funds in privately negotiated transactions. Co-investments made under the Co-Investment Exemptive Order are subject to compliance with certain conditions and other requirements, which could limit APMF US's ability to participate in a co-investment transaction. As a result of the Co-Investment Exemptive Order, there could be significant overlap in APMF US's investment portfolio and the investment portfolios of Other Ares Funds and other Ares entities that could avail themselves of the exemptive relief and that have an investment objective similar to that of APMF US. These co-investment transactions may give rise to conflicts of interest or perceived conflicts of interest among APMF US and the Other Ares Funds. An inability to receive the desired allocation to potential investments may affect APMF US's ability to achieve the desired investment returns.

In the event investment opportunities are allocated among APMF US and Other Ares Funds, APMF US may not be able to structure its investment portfolio in the manner desired. Many entities compete with APMF US in pursuing its investment strategy, and many competitors are not subject to the regulatory restrictions that the Investment Company Act imposes on APMF US. As a result of this competition, APMF US may not be able to pursue attractive investment opportunities from time to time.

APMF US may invest in Portfolio Funds in which the APMF US Adviser and/or its affiliates (including, to the extent permitted by applicable law, Other Ares Vehicles) has an investment, and the APMF US Adviser and/or its affiliates may invest in Portfolio Funds in which APMF US has made an investment. From time to time, APMF US and Other Ares Funds may make investments at different levels of an issuer's capital structure or otherwise in different classes of an issuer's securities. Such investments inherently give rise to conflicts of interest or perceived conflicts of interest between or among the various classes of securities that may be held by such entities. The APMF US Adviser has adopted procedures governing the co-investment in securities acquired in private placements with certain clients of the APMF US Adviser.

Tax Considerations for APMF US.

APMF US has elected to be treated as, and intends to continue to qualify to be treated as, a regulated investment company ("RIC") under Subchapter M of the Code. As such, APMF US must satisfy, among other requirements, certain ongoing asset diversification, source-of-income and annual distribution requirements. If APMF US fails to qualify as a RIC it will become subject to corporate-level income tax, and the resulting corporate taxes could substantially reduce APMF US's net assets, the amount of income available for distributions to APMF US shareholders, the amount of distributions and the amount of funds available for new investments. Such a failure would have a material adverse effect on APMF US and the APMF US shareholders (including ADPE).

Each of the aforementioned ongoing requirements for qualification of APMF US as a RIC requires that the APMF US Adviser obtain information from or about the underlying investments in which APMF US is invested. Portfolio Funds and Portfolio Fund managers may not provide information sufficient to ensure that APMF US qualifies as a RIC under the Code. If APMF US does not receive sufficient information from Portfolio Funds or Portfolio Fund managers, APMF US risks failing to satisfy the Subchapter M qualification tests and/or incurring an excise tax on undistributed income.

In order to meet the 90% Gross Income Test (as defined in APMF US prospectus), APMF US may structure its investments in a way that could increase the taxes imposed thereon or in respect thereof. For example, APMF US may be required to hold such investments through a subsidiary that is treated as a corporation for U.S. federal income tax purposes. In such a case, any income from such investments is generally not expected to adversely affect APMF US's ability to meet the 90% Gross Income Test, although such income generally would be subject to U.S. corporate federal income tax (and possibly state and local taxes), which APMF US would indirectly bear through its ownership of such subsidiary.

If, before the end of any quarter of its taxable year, APMF US believes that it may fail the applicable diversification tests under applicable law, APMF US may seek to take certain actions to avert such a failure. However, the action frequently taken by RICs to avert such a failure, the disposition of non-diversified assets, may be difficult to pursue because of the limited liquidity of APMF US's investments. While relevant tax provisions afford a RIC a 30-day period after the end of the relevant quarter in which to cure a diversification failure by disposing of non-diversified assets, the constraints on APMF US's ability to effect a sale of an investment may limit APMF US's use of this cure period. In certain cases, APMF US may be afforded a longer cure period under applicable savings provisions, but APMF US may be subject to a penalty tax in connection with its use of those savings provisions. If APMF US fails to satisfy the applicable diversification tests or other RIC requirements, APMF US may fail to qualify as a RIC under the Code. If APMF US fails to qualify as a RIC, it would become subject to a corporate-level U.S. federal income tax (and any applicable U.S. state and local taxes) and distributions to the APMF US shareholders generally would be treated as corporate dividends. In addition, APMF US is required each December to make certain "excise tax" calculations based on income and gain information that must be obtained from the Portfolio Funds or Portfolio Fund managers. If APMF US does not receive sufficient information from the Portfolio Funds or Portfolio Fund managers, it risks failing to satisfy the Subchapter M qualification tests and/or incurring an excise tax on undistributed income (in addition to the corporate income tax). APMF US may, however, attempt to avoid such outcomes by paying a distribution that is or is considered to be in excess of its current and accumulated earnings and profits for the relevant period (i.e., a return of capital).

In addition, APMF US may directly or indirectly invest in Portfolio Funds located outside the United States. Such Portfolio Funds may be subject to withholding taxes and other taxes in such jurisdictions with respect to their

investments. Further, adverse United States tax consequences can be associated with certain foreign investments, including potential United States withholding taxes on foreign investment entities with respect to their United States investments and potential adverse tax consequences associated with investments in any foreign corporations that are characterized for U.S. federal income tax purposes as “controlled foreign corporations” or “passive foreign investment companies.”

APMF US may retain some income and capital gains in the future, including for purposes of providing APMF US with additional liquidity, which amounts would be subject to the 4% U.S. federal excise tax to the extent they exceed a certain threshold, in addition to the corporate income tax. In that event, APMF US will be liable for the tax on the amount by which APMF US does not meet the foregoing distribution requirement.

APMF US Incentive Fee.

The APMF Incentive Fee payable by APMF US to the APMF US Adviser may create an incentive for the APMF US Adviser to make investments on APMF US’s behalf that are risky or more speculative than would be the case in the absence of such compensation arrangement.

Any APMF Incentive Fee payable by APMF US that relates to an increase in value of APMF US’s investments may be computed and paid on gain or income that is unrealized, and the APMF US Adviser is not obligated to reimburse APMF US for any part of an APMF Incentive Fee it previously received. If a APMF US investment with an unrealized gain subsequently decreases in value, it is possible that such unrealized gain previously included in the calculation of an APMF Incentive Fee will never become realized. Thus, APMF US could have paid an APMF Incentive Fee on income or gain APMF US never received.

The APMF Incentive Fee is computed and paid on net profits that may include interest that has been accrued but not yet received in cash, such as market discount, debt instruments with payment in kind (“PIK”) interest, preferred stock with PIK dividends and zero coupon securities, in addition to amounts related to unrealized capital appreciation. If there is a default on an investment by the obligor or such capital appreciation is not ultimately realized, it is possible that amounts previously used in the calculation of the APMF Incentive Fee will become uncollectible, and the APMF US Adviser will have no obligation to refund any fees it received in respect of such accrued income. In addition, since in certain cases APMF US may recognize net profits before or without receiving cash representing such net profits and have a corresponding obligation to make an APMF Incentive Fee payment, APMF US may have to sell some of its investments at times it would not consider advantageous, raise additional debt or equity capital or reduce new investments to meet its payment obligations.

Risks Related to Investments into Portfolio Funds, Direct Investments and Co-Investments

Risks of Private Equity Strategies.

ADPE’s investment portfolio will include Direct Investments and Co-Investments in private companies and investments in Portfolio Funds, which hold securities issued primarily by private companies. Operating results for private companies in a specified period will be difficult to predict. Such Investments involve a high degree of business and financial risk that can result in substantial losses.

- **Buyout Investment Risks.** Buyout transactions may result in new enterprises that are subject to extreme volatility, require time for maturity and may require additional capital. In addition, they frequently rely on borrowing significant amounts of capital, which can increase profit potential but at the same time increase the risk of loss. Leveraged companies may be subject to restrictive financial and operating covenants. The leverage may impair the ability of these companies to finance their future operations and capital needs. Also, their flexibility to respond to changing business and economic conditions and to business opportunities may be limited. A leveraged company’s income and net assets will tend to increase or decrease at a greater rate than if borrowed money was not used. Although these investments may offer the opportunity for significant gains, such buyout investments involve a high degree of risk that can result in substantial losses, which risks generally are greater than the risks of investing in public companies that may not be as leveraged.
- **Venture Capital Risks.** Venture capital investments are in private companies that have limited operating history, are attempting to develop or commercialize unproven technologies or to implement novel business plans or are not otherwise developed sufficiently to be self-sustaining financially or to become public. Although these investments may offer the opportunity for significant gains, such investments involve a high degree of risk that can result in substantial losses,

which risks generally are greater than the risks of investing in public or private companies that may be at a later stage of development.

- **Special Situations Risks.** The special situations strategies invest in companies that may be in transition, out of favor, financially leveraged, stressed or distressed, or potentially troubled and may be or have recently been involved in major strategic actions, restructurings, bankruptcy, reorganization, or liquidation. These companies may be experiencing, or are expected to experience, financial difficulties that may never be able to overcome. The securities of such companies are likely to be particularly risky investments although they also may offer the potential for correspondingly high returns. Such companies' securities may be considered speculative, and the ability of such companies to pay their debts on schedule could be affected by adverse interest rate movements, changes in the general economic climate, economic factors affecting a particular industry or specific developments within such companies. Such investments could, in certain circumstances, subject a Portfolio Fund or ADPE to certain additional potential liabilities. Numerous other risks also arise in the workout and bankruptcy contexts. In addition, there is no minimum credit standard that is a prerequisite to an investment in any instrument and a significant portion of the obligations and preferred stock acquired in special situations investments may be rated below investment grade or unrated.
- **Infrastructure Risks.** Some Portfolio Funds may concentrate, and a Direct Investment and/or Co-Investment Opportunity may be made, in the infrastructure sector. Infrastructure companies may be susceptible to reduced investment in public and private infrastructure projects, and a slowdown in new infrastructure projects in developing or developed markets may constrain the abilities of infrastructure companies to grow in global markets. Other developments, such as significant changes in population levels or changes in the urbanization and industrialization of developing countries, may reduce demand for products or services provided by infrastructure companies.
- **Real Estate Risks.** Portfolio Funds that invest in real estate, and Direct Investments and/or Co-Investments in real estate, are subject to risks associated with the ownership of real estate, including: (i) changes in interest rates and other general economic conditions; (ii) local real estate conditions, such as changes in demand for space; (iii) the quality and investment approach of management; (iv) market competition and the availability of financing; (v) specific features of properties; (vi) financial condition of tenants, buyers, and sellers of properties; (vii) quality of maintenance, insurance and management services; (viii) changes in operating costs; (ix) government regulations, including those governing usage, improvements, zoning and taxes; and (x) potential liability under environmental and other applicable laws. Some real estate-focused Portfolio Funds may invest in a limited number of properties, in a narrow geographic area, or in a single property type, which increases the risk that such Portfolio Fund could be unfavorably affected by the poor performance of a single investment or investment type. In addition, borrowers could default on or sell investments that a real estate-focused Portfolio Fund holds, which could reduce the cash flow needed to make distributions to investors, such as ADPE. In addition, real estate-focused Portfolio Funds also may be affected by tax and regulatory requirements impacting the real estate fund's ability to qualify for preferential tax treatments or exemptions.
- **Private Credit Risks.** Typically, private credit investments are in restricted securities that are not traded in public markets and subject to substantial holding periods, meaning a Portfolio Fund may not be able to resell some of its holdings for extended periods, which may be several years. Additionally, private credit investments can range in credit quality depending on security-specific factors, including total leverage, amount of leverage senior to the security in question, variability in the issuer's cash flows, the size of the issuer, the quality of assets securing debt and the degree to which such assets cover the subject company's debt obligations.

Risks Associated with Private Company Investments.

Private companies are generally not subject to SEC or other regulatory reporting requirements, are not required to maintain their accounting records in accordance with generally accepted accounting principles, and are not required to maintain effective internal controls over financial reporting. As a result, the Investment Manager may not have timely or accurate information about the business, financial condition and results of operations of the private companies in which ADPE invests. There is risk that ADPE may invest on the basis of incomplete or inaccurate information, which may adversely affect the ADPE's investment performance. Private companies in which ADPE may invest may have limited financial resources, shorter operating histories, more asset

concentration risk, narrower product lines and smaller market shares than larger businesses, which tend to render such private companies more vulnerable to competitors' actions and market conditions, as well as general economic downturns. These companies generally have less predictable operating results, may from time to time be parties to litigation, may be engaged in rapidly changing businesses with products subject to a substantial risk of obsolescence, and may require substantial additional capital to support their operations, finance expansion or maintain their competitive position. These companies may have difficulty accessing the capital markets to meet future capital needs, which may limit their ability to grow or to repay their outstanding indebtedness upon maturity.

Typically, investments in private companies are in restricted securities that are not traded in public markets and subject to substantial holding periods, so that ADPE may not be able to resell some of its holdings for extended periods, which may be several years. There can be no assurance that ADPE will be able to realize the value of private company investments in a timely manner.

Competition for Access to Private Equity Investment Opportunities.

There can be no assurance that the Investment Manager will be able to secure interests on behalf of ADPE in all of the investment opportunities that it identifies for ADPE, or that the size of the interests available to ADPE will be as large as the Investment Manager would desire.

The process of identifying, structuring, implementing and realizing on attractive investment opportunities is highly competitive. ADPE will compete with other public and private funds, including other private equity funds, commercial and investment banks, commercial financing companies, insurance companies, CLOs, high yield investors, hedge funds, pension plans and institutional investors as well as Other Ares Vehicles, some of which will have greater resources than ADPE. Some of these competitors have established or are establishing investment vehicles that target the same investments that ADPE intends to purchase. Some of these competitors have access to greater amounts of capital and to capital that is committed for longer periods of time or may have different return thresholds than ADPE, and thus these competitors have advantages not shared by ADPE. In addition, some of ADPE's competitors may have higher risk tolerances or different risk assessments, which would allow them to consider a wider variety of investments and establish more relationships than ADPE. Strong competition for private equity investments could result in limited investment opportunities or the acquisition of Investments at a higher price, which may impact returns for ADPE. There can be no assurance that the competitive pressures faced by ADPE will not have a material adverse effect on ADPE's investment performance. Also, as a result of this competition, ADPE may not be able to pursue attractive investment opportunities from time to time and cannot assure the investors that it will be able to identify and make investments that meet ADPE's investment objectives.

In addition, the Investment Manager may rely on market participants to inform it of particular trading opportunities. No assurance can be given as to the accuracy or completeness of the information provided by such market participants. The failure of market participants to provide such information, the abuse of the Investment Manager's good faith reliance on such information by market participants (whether through "front-running", providing misinformation or other actions), and other factors may also reduce returns, or even cause material losses of ADPE.

Moreover, investors should note that the Investment Manager manages a number of registered investment companies which are regulated pursuant to the Investment Company Act (collectively, "**Investment Company Act Funds**"). Certain provisions of the Investment Company Act prohibit the Investment Company Act Funds from engaging in transactions with Ares and its affiliates; however, non-Investment Company Act Funds also managed by the Investment Manager or its affiliates are not prohibited from the same transactions. Such Investment Company Act Funds can invest alongside ADPE and other non-Investment Company Act Funds in certain circumstances when doing so is consistent with their investment strategy as well as applicable law and SEC staff interpretations. The Investment Company Act Funds would likely participate alongside ADPE in many or most of its Portfolio Investments. The establishment of the Investment Company Act Funds would likely result in ADPE participating in investment opportunities to a lesser extent than would otherwise be the case, or not at all. The Investment Company Act Funds would be subject to laws and regulations that result in the Investment Company Act Funds' terms differing materially from ADPE's (including with respect to investment advisory fees and other incentive compensation, which may be more favorable to investors therein than those available to Shareholders in ADPE), and limit what it may invest in as compared to ADPE, and the Investment Company Act Funds would be controlled by a majority-independent board. The foregoing may influence which investment opportunities the Investment Manager pursues, or the Investment Company Act Funds may not participate in all Portfolio Funds investments alongside ADPE as a result of such laws and regulations, which will result in a greater share of such opportunities being allocated to ADPE. In addition, due to certain public disclosure requirements

under applicable law, information related to ADPE and its investments may be made public that otherwise would not have been if the Investment Manager did not form the Investment Company Act Funds. Conflicts may also arise if the Investment Company Act Funds hold different securities in an issuer's capital structure to those held by ADPE or other non-Investment Company Act Funds. Ares' ability to manage such conflicts could, in certain circumstances, be restricted by the Investment Company Act and applicable rules, regulations and SEC Staff interpretations. An inability to receive the desired allocation to potential investments may affect ADPE's ability to achieve the desired investment returns.

Uncertainty of Financial and Other Projections.

Financial projections are by their nature inherently subject to risk and are dependent upon a number of factors, many of which are not within the control of ADPE.

Any projections, forecasts or estimates provided to the Shareholders are forward-looking statements and are necessarily speculative in nature. Such projections are only estimates of future results that are based upon information received from the company and third parties and assumptions made at the time the projections are developed. It should be expected that some or all of the assumptions underlying such projections, forecasts or estimates (not all of which will have been disclosed to the Shareholders) will not materialize or will vary significantly from actual results. Accordingly, actual results will vary from such projections, forecasts or estimates, and such variations may be material.

Financial projections are by their nature inherently subject to risk and are dependent upon a number of factors, many of which are not within the control of ADPE. Some of the factors that will affect the results to be achieved by ADPE relate to financial and credit markets generally, the applicable capital market and economic environment, political events, taxes, changes in the regulatory regime that could impose significant costs on ADPE or require restructuring, competition with other financial institutions, some of which have greater financial resources than ADPE, the timing and success of Ares' expansion of offices and personnel (both as to investment and administrative) and others.

None of ADPE, the Investment Manager, the AIFM, their respective affiliates or any other person has any obligation to update or otherwise revise any projections, forecasts or estimates, including any revisions to reflect changes in economic conditions or other circumstances arising after the date of such projections, forecasts or estimates or to reflect the occurrence of unanticipated events, even if the underlying assumptions do not come to fruition. Shareholders should not rely on any projections, forecasts or estimates and each Shareholder does so at its own risk.

Each prospective investor should conduct its own investigation and analysis of its prospective investment in ADPE and consult its own investment, financial, legal, tax, accounting, regulatory and other applicable advisors.

Investment Environment and Market Risk.

Many factors affect the appeal and availability of investments in companies that are the focus of ADPE. The profitability of a significant portion of ADPE's investment program depends to a great extent upon correctly assessing the future course of the price movements of securities and other investments. There can be no assurance that the Investment Manager will be able to predict accurately these price movements. Although ADPE is expected to attempt to mitigate market risk through the use of long and short positions or other methods, there will be a significant degree of market risk.

Companies in which ADPE invests may be sensitive to general downward swings in the overall economy. Factors affecting economic conditions, including, for example, inflation rates, industry conditions, competition, technological developments, regulatory developments, domestic and worldwide political, military and diplomatic events and trends, tax laws and innumerable other factors, none of which will be within the control of ADPE, can substantially and adversely affect the prospects of ADPE. A drawn-out recession, depression or adverse development in the securities market might have an impact on some or all of ADPE's investments. A sustained period of low valuations in the public equity and debt markets could result in substantially lower liquidation values and substantially longer periods before liquidity is achieved in comparison with historical values, which would reduce the returns that could be achieved by ADPE. In addition, factors specific to a company in which ADPE invests may have an adverse effect on ADPE's investment in such company.

Economic and Market Conditions.

The state of the private equity and private debt industries, generally, and the success of ADPE's investment activities, specifically, will be affected by general economic and market conditions, as well as by changes in laws,

currency exchange controls, and U.S. and global political and socioeconomic circumstances. Such factors are unpredictable and cannot be controlled by the Investment Manager. Conditions such as financial market volatility, illiquidity and/or decline, a generally unstable economic environment (including as a result of a slowdown in economic growth and/or changes in interest rates or foreign exchange rates) and/or a deterioration in the capital markets may negatively impact the availability of attractive investment opportunities for ADPE, ADPE's ability to make investments, the availability of funding to support ADPE's investment objectives, the performance and/or valuation of ADPE's investments and/or ADPE's ability to dispose of investments. In addition, the public market comparable earnings multiples that are frequently used to value privately held portfolio companies and investors' risk free rate of return may be impacted. Such conditions could result in substantial or total losses to ADPE in respect of certain or all investments, which losses will likely be exacerbated by the presence of leverage in a portfolio company's capital structure.

The bankruptcy or insolvency of a major financial institution may have a material adverse effect on ADPE, particularly if such financial institution is the administrative agent of ADPE asset or is otherwise the counterparty to a contract with ADPE or any of ADPE's portfolio companies (including a hedging-related contract). In addition, the bankruptcy, insolvency or financial distress of one or more additional financial institutions, or one or more sovereigns, could trigger additional disruptions in the global credit markets or the global economy, which could have a material adverse effect on ADPE and its Investments.

Secondaries and other General Partner-Led Transactions.

There continues to be a significant market in the private equity buyout sector for secondary sales, general partner-led transactions, continuation funds, successor fund investments, and other similar portfolio company disposition strategies. The foregoing typically involve an auction process run by an investment bank and a buyer (or buyer group) who agrees to purchase a portion of one or more portfolio companies that will continue to be managed by the relevant general partner (or its affiliates) following the transaction. Such transactions are undertaken for various reasons by sponsors, including, for example, to balance competing interests between offering liquidity to existing limited partners and maintaining exposure to an asset where the general partner believes there is the potential for additional value generation and upside. Where undertaken, existing limited partners in an applicable vehicle are typically offered certain options relating to whether they want to receive liquidity in the transaction or continue to maintain exposure to the asset, assets, or a new portfolio of assets (including a portfolio that could combine assets from multiple funds sponsored by the general partner and its affiliates). Each of these transactions implicates potential conflicts between the interests of a fund or limited partner and those of the relevant general partner or the buyer group that typically are not applicable to more traditional portfolio company sales. For example, because a general partner or its affiliate will continue to manage and receive fees and carried interest relating to the assets post-transaction, its incentives generally are not aligned with those of limited partners who elect to sell their interests.

Furthermore, although the valuation of a portfolio investment will be based on a third-party valuation, valuations are inherently subjective in certain respects and rely on a variety of assumptions. Valuations are based in large part on information as of the applicable period, and market conditions may change materially after that date. Accurate valuations are more difficult to obtain in times of low transaction volume because there are fewer market transactions that can be considered in the context of the appraisal. In addition, the process of valuing portfolio investments for which reliable market quotations are not available is based on inherent uncertainties and the resulting values may differ from values that would have been determined had an active market existed for such portfolio investments and may differ from the prices at which such portfolio investments ultimately may be sold. As such, the carrying value of an investment may not reflect the price at which the investment could be sold in the market, and the difference between carrying value and the ultimate sales price could be material. Accordingly, such values may not accurately reflect the actual market values of the investment, and, thus, investors may make decisions as to whether to continue to hold an interest in an investment without complete and accurate valuation information. As a result, the valuation of such an investment and the distributions made to the Shareholders may not accurately reflect the fair value of the interests. There are also potential conflicts of interest among the selling fund, the applicable general partner and the buyer group relating to the valuation and consideration offered for the portfolio company(ies) subject to the transaction.

In each case, there can be no assurance that the Investment Manager will identify all conflicts of interest or resolve or mitigate all conflicts of interest in the favor of ADPE or any Shareholder. Given the variables, it is difficult to predict whether any given Other Ares Vehicles, portfolio company or group of portfolio companies would be an appropriate party to such transactions; however, the Investment Manager reserves the right, in its sole discretion, to determine to engage in secondary sales, general partner-led transactions, continuation funds, successor fund cross-sales, or any other similar portfolio company disposition strategies, subject to any approvals required in the governing documents of any applicable Other Ares Funds.

Financial Institution Risk; Distress Events.

An investment in ADPE is subject to the risk that one or more of ADPE's or its portfolio company's banks, brokers, hedging counterparties, lenders to or other custodians of some or all of ADPE's or such portfolio company's assets (each, a **"Financial Institution"**) fails to perform its obligations or experiences insolvency, closure, receivership, or other financial distress or difficulty (each, a **"Distress Event"**). Distress Events can be caused by various factors, including eroding market sentiment, significant withdrawals (e.g., a bank run in which depositors collectively withdraw their balances within a short period of time), fraud, malfeasance, poor performance, or accounting irregularities. In the event a Financial Institution experiences a Distress Event, Ares, the Investment Manager, ADPE, and/or ADPE's portfolio companies may not be able to access deposits, borrowing facilities, or other services for an extended period of time or ever. Although assets held by regulated Financial Institutions in the United States frequently are insured up to stated balance amounts by organizations such as the Federal Deposit Insurance Corporation, in the case of banks, or the Securities Investor Protection Corporation, in the case of certain broker-dealers, amounts in excess of the relevant insurance are subject to risk of loss, and any non-U.S. Financial Institutions that are not subject to similar regimes pose increased risk of loss. Although in recent years governmental intervention has resulted in additional protections for depositors, there can be no assurance that governmental intervention will be successful or avoid the risk of loss, substantial delays or negative impact on banking or brokerage conditions or markets.

Any Distress Event has a potentially adverse effect on the ability of Ares and/or the Investment Manager to manage ADPE and its Investments, and on the ability of Ares, the Investment Manager, ADPE and/or ADPE's portfolio companies to maintain operations, which in each case could result in significant losses and unconsummated investment acquisitions and dispositions. Such losses have the potential to include (i) ADPE paying fees and expenses in the event ADPE is not able to close a transaction (whether due to the inability to draw capital on a credit line provided by a Financial Institution experiencing a Distress Event or otherwise), (ii) ADPE being unable to acquire or dispose of investments at prices that the Investment Manager believes reflect the fair value of such investments, or (iii) ADPE's portfolio companies being unable to make payroll, fulfill obligations or maintain operations. If a Distress Event leads to a loss of access to a Financial Institution's services, it is also possible that ADPE or one or more of its portfolio companies will incur additional expenses or delays in putting in place alternative arrangements or that such alternative arrangements will be less favorable than those formerly in place (with respect to economic terms, service levels, access to capital, or otherwise). Although the Investment Manager expects to exercise contractual remedies under the agreements with Financial Institutions in the event of a Distress Event, there can be no assurance that such remedies will be successful or avoid losses or delays.

Many Financial Institutions require, as a condition to using their services or otherwise, that Ares, the Investment Manager, ADPE and/or the relevant ADPE portfolio companies maintain all or a set amount or percentage of their respective accounts or assets with one or more certain custodians, which heightens the risks associated with a Distress Event with respect to such custodians. Although the Investment Manager seeks to do business with Financial Institutions that it believes are creditworthy and capable of fulfilling their respective obligations to ADPE and/or its portfolio companies, the Investment Manager is under no obligation to use a minimum number of Financial Institutions with respect to ADPE or ADPE's portfolio companies or to maintain account balances at or below the relevant insured amounts. Furthermore, such balances maintained by Ares, the Investment Manager and ADPE are generally expected to fluctuate, including with respect to dispositions of Investments, and certain balances from time to time will substantially exceed applicable deposit insurance.

Risks relating to Due Diligence Process.

Investments in ADPE's portfolio are selected by the Investment Manager, in part, on the basis of information and data filed by issuers with various government regulators or made directly available to the Investment Manager by the issuers or through sources other than the issuers. Although the Investment Manager evaluates all such information and data and ordinarily seeks independent corroboration when it considers it is appropriate and reasonably available, the Investment Manager makes no representation as to the completeness, genuineness or accuracy of such information and data, and in some cases, complete and accurate information is not available.

The due diligence process may not reveal all the relevant facts related to an investment opportunity and will not necessarily result in the portfolio investment being successful.

Before making Investments, the Investment Manager will typically conduct due diligence that it deems reasonable and appropriate based on the facts and circumstances applicable to each portfolio investment. Due diligence may entail evaluation of important and complex business, financial, tax, accounting, environmental and legal issues. Outside consultants, legal advisors, accountants, investment banks and other third parties may be involved in the due diligence process to varying degrees depending on the type of Investment. Such involvement of third-party

advisors or consultants may present a number of risks primarily relating to the Investment Manager's reduced control of the functions that are outsourced. In addition, if the Investment Manager is unable to timely engage third-party providers, its ability to evaluate and acquire more complex targets could be adversely affected. When conducting due diligence and making an assessment regarding an Investment, the Investment Manager will rely on the resources available to it, including information provided by the target of the investment and, in some circumstances, third-party investigations. Furthermore, accounting standards in certain countries may not correspond to IFRS, which may lead to discrepancies between information appearing on the financial statements of companies in such countries when compared to how such financial statements would be reflected if prepared in accordance with IFRS. The due diligence investigation that the Investment Manager carries out with respect to any investment opportunity may not reveal or highlight all relevant facts that may be necessary or helpful in evaluating such investment opportunity. Moreover, such an investigation will not necessarily result in the Investment being successful.

Additionally, among the other risks inherent in Investments is the fact that it frequently may be difficult to obtain information as to the true condition of such issuers. There can be no assurance that attempts to provide downside protection with respect to Investments will achieve their desired effect and potential investors should regard an Investment in ADPE as speculative and having a high degree of risk. There can be no assurance that ADPE will be able to detect or prevent potential or existing problems, such as irregular accounting, employee misconduct or other fraudulent practices, during the due diligence phase or during its efforts to monitor the Investment on an ongoing basis. In the event of misconduct or fraud by any portfolio company or any of its affiliates, ADPE may suffer a partial or total loss of capital invested in that company. An additional concern is the possibility of material misrepresentation or omission on the part of the portfolio company or the seller. Such inaccuracy or incompleteness may adversely affect the value of Investments. ADPE will rely upon the accuracy and completeness of representations made by portfolio companies and/or their former owners in the due diligence process, to the extent reasonable, when it makes its Investments, but cannot guarantee such accuracy or completeness. Under certain circumstances, payments to ADPE may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance or a preferential payment.

Fraud Risks.

Of paramount concern in making Investments is the possibility of material misrepresentation or omission on the part of a counterparty. Such inaccuracy or incompleteness may adversely affect the valuation of the collateral underlying the loans or other asset, or may adversely affect the ability of the lender of record to perfect or effectuate a lien on the collateral securing the loan or other assets. ADPE relies upon the accuracy and completeness of representations made by companies in which ADPE invests or other counterparties to the extent reasonable, but cannot guarantee that such representations are accurate or complete. Under certain circumstances, payments to ADPE may be reclaimed if any such payment or distribution is later determined to have been made with intent to defraud or prefer creditors. (See also "Fraudulent Conveyance Considerations" below.)

Fraudulent Conveyance Considerations.

Secured loans and other secured transactions (each obligation arising therefrom, a "**Secured Obligation**") may be subject to various federal and state laws enacted for the protection of creditors in the countries of the jurisdictions of incorporation of obligors and, if different, in which the obligors conduct business and in which they hold the assets, which may adversely affect such obligors' abilities to make payment on a full or timely basis. These insolvency considerations will differ depending on the country in which each obligor is located or domiciled.

In particular, it should be noted that a number of continental European jurisdictions operate "debtor-friendly" insolvency regimes which could result in delays in payments under Secured Obligations where obligors thereunder are subject to such regimes, in the event of their insolvency. The different insolvency regimes applicable in the different European jurisdictions may result in a corresponding variability of recovery rates for obligations such as Secured Obligations entered into with obligors in such jurisdictions. No reliable historical data is available in respect of such recovery rates.

Increasing Size of Transactions.

Private equity opportunities increasingly involve larger-sized investments, which involve additional risks, including the involvement of multiple co-investors, and may be more difficult to finance and exit.

Portfolio Fund Risks.

Investments in Portfolio Funds are subject to a number of risks. Portfolio Fund interests are expected to be illiquid, their marketability may be restricted and the realization of Investments from them may take considerable time and/or be costly. Some of the Portfolio Funds in which ADPE invests may have only limited operating histories. Although the Investment Manager seeks to receive detailed information from each Portfolio Fund regarding its business strategy and any performance history, in most cases the Investment Manager will have little or no means of independently verifying this information. In addition, Portfolio Funds may have little or no near-term cash flow available to distribute to investors, including ADPE or Other Ares Funds (including APMF US). Due to the pattern of cash flows in Portfolio Funds and the illiquid nature of their investments, investors typically will see negative returns in the early stages of Portfolio Funds. Then as investments are able to realize liquidity events, such as a sale or initial public offering, positive returns will be realized if the Portfolio Fund's investments are successful.

Portfolio Fund interests are ordinarily valued based upon valuations provided by the Portfolio Fund managers, which may be received on a delayed basis. Certain securities in which the Portfolio Funds invest may not have a readily ascertainable market price and are fair valued by the Portfolio Fund Managers. A Portfolio Fund Manager may face a conflict of interest in valuing such securities because their values may have an impact on the Portfolio Fund Manager's compensation. The Investment Manager reviews and performs due diligence on the valuation procedures used by each Portfolio Fund Manager and monitor the returns provided by the Portfolio Funds. However, neither the Investment Manager, the AIFM nor the Board of Directors is able to confirm the accuracy of valuations provided by Portfolio Fund Managers. Inaccurate valuations provided by Portfolio Funds could materially adversely affect the value of Shares.

ADPE will pay asset-based fees, and, in most cases, will be subject to performance-based fees in respect of its interests in Portfolio Funds. Such fees and performance-based compensation are in addition to the Performance Fee. In addition, performance-based fees charged by Portfolio Fund Managers may create incentives for the Portfolio Fund Managers to make risky investments, and may be payable by ADPE to a Portfolio Fund Manager based on a Portfolio Fund's positive returns even if ADPE's overall returns are negative.

Moreover, Shareholders will indirectly bear a proportionate share of the fees and expenses of the Portfolio Funds, in addition to its proportionate share of the expenses of ADPE. Thus, Shareholders may be subject to higher operating expenses than if such Shareholder invested in the Portfolio Funds directly. In addition, because of the deduction of the fees payable by ADPE to the Investment Manager and other expenses payable directly by ADPE from amounts distributed to ADPE by the Portfolio Funds, the returns to a Shareholder in ADPE will be lower than the returns to a direct investor in the Portfolio Funds (See also "Multiple levels of Fees and Expense" above). Fees and expenses of ADPE and the Portfolio Funds generally are paid regardless of whether ADPE or Portfolio Funds produce positive investment returns. Shareholders could avoid the additional level of fees and expenses of ADPE by investing directly with the Portfolio Funds, although access to many Portfolio Funds may be limited or unavailable, and may not be permitted for investors who do not meet the substantial minimum net worth and other criteria for direct investment in Portfolio Funds.

If ADPE fails to satisfy capital calls to a Portfolio Fund in a timely manner then, generally, it will be subject to significant penalties, including the complete forfeiture of an Investment in the Portfolio Fund. Any failure by ADPE to make timely capital contributions may impair the ability of ADPE to pursue its investment program, cause ADPE to be subject to certain penalties from the Portfolio Funds or otherwise impair the value of Investments.

The governing documents of a Portfolio Fund generally are expected to include provisions that would enable the general partner, the manager, or a majority in interest (or higher percentage) of its limited partners or members, under certain circumstances, to terminate the Portfolio Fund prior to the end of its stated term. Early termination of a Portfolio Fund in which ADPE is invested may result in ADPE having distributed to it a portfolio of immature and illiquid securities, or ADPE's inability to invest all of its capital as anticipated, either of which could have a material adverse effect on the performance of ADPE.

Although ADPE will be an investor in a Portfolio Fund, Shareholders will not themselves be equity holders of that Portfolio Fund and will not be entitled to enforce any rights directly against the Portfolio Fund or the Portfolio Fund Manager or assert claims directly against any Portfolio Funds, the Portfolio Fund Managers or their respective affiliates. Shareholders will have no right to receive the information issued by the Portfolio Funds that may be available to ADPE as an investor in the Portfolio Funds. In addition, Portfolio Funds generally are not registered as investment companies under the Investment Company Act; therefore, ADPE, as an investor in Portfolio Funds, does not have the benefit of the protections afforded by the Investment Company Act. Portfolio Fund Managers may not be registered as investment advisers under the Advisers Act, in which case ADPE, as an

investor in Portfolio Funds managed by such Portfolio Fund Managers, does not have the benefit of certain of the protections afforded by the Advisers Act.

Commitments to Portfolio Funds generally are not immediately invested. Instead, committed amounts are drawn down by Portfolio Funds and invested over time, as underlying investments are identified - a process that may take a period of several years, with limited ability to predict with precision the timing and amount of each Portfolio Fund's drawdowns. During this period, Investments made early in a Portfolio Fund's life are often realized (generating distributions) even before the committed capital has been fully drawn. In addition, many Portfolio Funds do not draw down 100% of committed capital, and historic trends and practices can inform the Investment Manager as to when it can expect to no longer need to fund capital calls for a particular Portfolio Fund. Accordingly, the Investment Manager may make Investments and commitments based, in part, on anticipated future capital calls and distributions from Portfolio Funds. This may result in ADPE making commitments to Portfolio Funds in an aggregate amount that exceeds the total amounts invested by Shareholders in ADPE at the time of such commitment (i.e., to "*over-commit*"). To the extent that ADPE engages in an "over-commitment" strategy, the risk associated with ADPE defaulting on a commitment to a Portfolio Fund will increase. ADPE maintains cash, cash equivalents, borrowings or other liquid assets in sufficient amounts, in the Investment Manager's judgment, to satisfy capital calls from Portfolio Funds.

Portfolio Funds' Underlying Investments.

The investments made by the Portfolio Funds entail a high degree of risk and in most cases are highly illiquid and difficult to value. Unless and until those investments are sold or mature into marketable securities they will remain illiquid. As a general matter, companies in which the Portfolio Fund invests may face intense competition, including competition from companies with far greater financial resources; more extensive research, development, technological, marketing and other capabilities; and a larger number of qualified managerial and technical personnel.

A Portfolio Fund manager may focus on a particular industry or sector, which may subject the Portfolio Fund, and thus ADPE, to greater risk and volatility than if investments had been made in issuers in a broader range of industries. Likewise, a Portfolio Fund Manager may focus on a particular country or geographic region, which may subject the Portfolio Fund, and thus ADPE, to greater risk and volatility than if investments had been made in issuers in a broader range of geographic regions. In addition, Portfolio Funds may establish positions in different geographic regions or industries that, depending on market conditions, could experience offsetting returns.

ADPE will not obtain or seek to obtain any control over the management of any portfolio company in which any Portfolio Fund may invest. The success of each investment made by a Portfolio Fund will largely depend on the ability and success of the management of the portfolio companies in addition to economic and market factors.

Risks Associated with Secondary Investments.

ADPE may make Secondary Investments in Portfolio Funds by acquiring the interests in the Portfolio Funds from existing investors in such Portfolio Funds (and not from the Portfolio Fund itself). In such instances, as ADPE will not be acquiring such interests directly from the Portfolio Fund, it is generally not expected that ADPE will have the opportunity to negotiate the terms of the interests being acquired, other than the purchase price, or other special rights or privileges. There can be no assurance as to the number of Secondary Investment opportunities that will be presented to ADPE.

In addition, valuation of Secondary Investments in Portfolio Funds may be difficult, as there generally will be no established market for such investments or for the privately-held portfolio companies in which such Portfolio Funds may own securities. The acquisition price paid by ADPE generally will not be identical to the subsequent fair value of the Secondary Investment, which may be, at times, higher or lower than such acquisition price. Moreover, the purchase price of Secondary Investments in such Portfolio Funds generally will be subject to negotiation with the sellers of the interests and there is no assurance that ADPE will be able to purchase interests at attractive discounts to net asset value, or at all. The overall performance of ADPE will depend in large part on the acquisition price paid by ADPE for its Secondary Investments, the structure of such acquisitions and the overall success of the Portfolio Fund.

There is significant competition for Secondary Investments. Many institutional investors, including fund-of-funds entities, as well as existing investors of Portfolio Funds may seek to purchase Secondary Investments of the same

Portfolio Fund which ADPE may also seek to purchase. In addition, some Portfolio Fund managers have become more selective by adopting policies or practices that exclude certain types of investors, such as fund-of-funds. These Portfolio Fund managers may also be partial to Secondary Investments being purchased by existing investors of their Portfolio Funds. In addition, some secondary opportunities may be conducted pursuant to a specified methodology (such as a right of first refusal granted to existing investors or a so-called “Dutch auction” where the price of the investment is lowered until a bidder bids and that first bidder purchases the investment, thereby limiting a bidder’s ability to compete for price) which can restrict the availability of those opportunities for ADPE. No assurance can be given that ADPE will be able to identify Secondary Investments that satisfy ADPE’s investment objective or, if ADPE is successful in identifying such Secondary Investments, that ADPE will be permitted to invest, or invest in the amounts desired, in such Secondary Investments.

At times, ADPE may have the opportunity to acquire a portfolio of Portfolio Fund interests from a seller, on an “all or nothing” basis. In some such cases, certain of the Portfolio Fund interests may be less attractive than others, and certain of the Portfolio Fund managers may be more familiar to the Investment Manager than others or may be more experienced or highly regarded than others. In such cases, it may not be possible for ADPE to carve out from such purchases those Secondary Investments which the Investment Manager considers (for commercial, tax legal or other reasons) less attractive.

In the cases where ADPE acquires an interest in a Portfolio Fund through a Secondary Investment, ADPE may acquire contingent liabilities of the seller of such interest. More specifically, where the seller has received distributions from the Portfolio Fund and, subsequently, that Portfolio Fund recalls one or more of these distributions, ADPE (as the purchaser of the interest to which such distributions are attributable and not the seller) may be obligated to return the monies equivalent to such distribution to the Portfolio Fund. While ADPE may, in turn, make a claim against the seller for any such monies so paid, there can be no assurances that ADPE would prevail on such claim.

Regulatory Changes Affecting Private Equity Funds.

The legal, tax and regulatory environment for private equity funds is evolving, and it is possible that any future changes may materially adversely affect the ability of Portfolio Funds to pursue their investment strategies. In recent years, there has been increased scrutiny of the private equity industry by regulators, self-regulatory bodies and legislatures, and it is possible that in the future such groups both in the U.S. and in non-U.S. jurisdictions may consider changes to the regulations applicable to private equity funds. It is impossible to predict what, if any, changes might be made in the future to the regulations affecting: private equity funds generally, the Portfolio Funds, the Portfolio Fund managers, the markets in which they operate and invest, and/or the counterparties with which they do business. It is also impossible to predict what the effect of any such legislative or regulatory changes might be.

Additionally, the SEC has adopted and enacted, and may continue to propose significant rules that will impact the business of the Portfolio Funds and the Portfolio Fund managers. Such rulemaking has impacted, and may continue to impact, the Portfolio Fund managers, their affiliates and the Portfolio Funds. Significant time and resources may be required to comply with any new regulations, which potentially will detract from the time and resources dedicated to the Portfolio Funds and result in increased costs borne by the Portfolio Funds.

Any regulatory changes that adversely affect a Portfolio Fund’s ability to implement its investment strategies could have a material adverse impact on the Portfolio Fund’s performance, and thus on ADPE’s performance.

In-Kind Distributions from Portfolio Funds.

ADPE may receive in-kind distributions of securities from Portfolio Funds. There can be no assurance that securities distributed in kind by Portfolio Funds to ADPE will be readily marketable or saleable, and ADPE may be required to hold such securities for an indefinite period and/or may incur additional expense in connection with any disposition of such securities.

Direct Investments Risks.

ADPE’s investment portfolio will include Direct Investments, which are investments in the equity and/or debt securities of private companies, and Co-Investments. ADPE’s ability to realize a profit on such Direct Investments and Co-Investments will be particularly reliant on the expertise of the lead investor in the transaction or, in instances where the Investment Manager or an affiliate has originated the Direct Investment, the expertise of the Investment Manager. There can be no assurance that ADPE will be given Direct Investment opportunities or Co-

Investments, or that any specific Direct Investment and/or Co-Investments offered to ADPE would be appropriate or attractive to ADPE in the Investment Manager's judgment. The market for Direct Investment opportunities is competitive and may be limited, and the Direct Investment opportunities to which ADPE wishes to allocate assets may not be available at any given time. Due diligence is conducted on Direct Investment opportunities; however, the Investment Manager may not have the ability to conduct the same level of due diligence applied to other investments for Direct Investments offered alongside private equity funds and other private equity firms. In addition, the Investment Manager may have little to no opportunities to negotiate the terms of such Direct Investments. ADPE generally relies on the Portfolio Fund manager or sponsor offering such Direct Investment opportunity to perform most of the due diligence on the relevant portfolio company and to negotiate terms of the Direct Investment.

Many entities compete with ADPE in pursuing Direct Investments. These competitors may have considerably greater financial, technical and marketing resources than ADPE. Some competitors may have a lower cost of funds and access to funding sources that are not available to ADPE. In addition, some competitors may have higher risk tolerances or different risk assessments, which could allow them to consider a wider variety of, or different structures for, private investments than ADPE. Furthermore, many competitors are not subject to the regulatory restrictions that the Investment Company Act imposes on ADPE. As a result of this competition, ADPE may not be able to pursue attractive Direct Investment opportunities from time to time.

ADPE's ability to dispose of Direct Investments may be severely limited, both by the fact that the securities are expected to be unregistered and illiquid and by contractual restrictions that may limit, preclude or require certain approvals for ADPE to sell such investment. Direct Investments may be heavily negotiated and, therefore, ADPE may incur additional legal and transaction costs in connection therewith.

Direct Investing Alongside Other Parties Risks.

Co-Investments involve risks that may not be present in investments made by lead or sponsoring private equity investors. As a co-investor, ADPE may have interests or objectives that are inconsistent with those of the lead private equity investors that generally have a greater degree of control over such investments.

In addition, in order to take advantage of Co-Investments, ADPE generally will be required to hold a non-controlling interest, for example, by becoming a limited partner in a partnership that is controlled by the general partner or manager of the private equity fund offering the Co-Investment Opportunity, on a co-investor basis, to ADPE. In this event, ADPE would have less control over the Investment and may be adversely affected by actions taken by such general partner or manager with respect to the portfolio company and ADPE's investment in it. ADPE may not have the opportunity to participate in structuring Investments or to determine the terms under which such Investments will be made.

In addition, ADPE may in certain circumstances be liable for the actions of its third-party co-venturers. Direct Investments made with third parties in joint ventures or other entities also may involve carried interests and/or other fees payable to such third-party partners or co-venturers. There can be no assurance that appropriate minority shareholder rights will be available to ADPE or that such rights will provide sufficient protection to ADPE's interests.

Fixed-Income Securities Risks.

Fixed-income securities in which ADPE may invest are generally subject to the following risks:

Interest Rate Risk. The market value of bonds and other fixed-income securities changes in response to interest rate changes and other factors. Interest rate risk is the risk that prices of bonds and other fixed-income securities will increase as interest rates fall and decrease as interest rates rise. Recently, the United States and other countries have experienced a rising interest rate environment, which may increase ADPE's exposure to risks associated with rising interest rates. There is a risk that interest rates will rise further, which will likely drive down prices of bonds and other fixed-income securities. The magnitude of these fluctuations in the market price of bonds and other fixed-income securities is generally greater for those securities with longer maturities. Fluctuations in the market price of ADPE's Investments will not affect interest income derived from instruments already owned by ADPE, but will be reflected in the NAV. ADPE may lose money if short-term or long-term interest rates rise sharply in a manner not anticipated by the Investment Manager. Moreover, because rates on certain floating rate debt securities typically reset only periodically, changes in prevailing interest rates (and particularly sudden and significant changes) can be expected to cause some fluctuations in the NAV of ADPE to the extent that it invests in floating rate debt securities.

ADPE may invest in variable and floating rate debt instruments, which generally are less sensitive to interest rate changes than longer duration fixed rate instruments, but may decline in value in response to rising interest rates if, for example, the rates at which they pay interest do not rise as much, or as quickly, as market interest rates in general. Conversely, variable and floating rate instruments generally will not increase in value if interest rates decline. To the extent ADPE holds variable or floating rate instruments, a decrease in market interest rates will adversely affect the income received from such securities, which may adversely affect the NAV of the Shares.

Issuer and Spread Risk. The value of fixed-income securities may decline for a number of reasons which directly relate to the issuer, such as management performance, financial leverage, reduced demand for the issuer's goods and services, historical and prospective earnings of the issuer and the value of the assets of the issuer. In addition, wider credit spreads and decreasing market values typically represent a deterioration of a debt security's credit soundness and a perceived greater likelihood of risk or default by the issuer.

Credit Risk. Credit risk is the risk that one or more fixed-income securities in ADPE's portfolio will decline in price or fail to pay interest or principal when due because the issuer of the security experiences a decline in its financial status. Credit risk is increased when a portfolio security is downgraded or the perceived creditworthiness of the issuer deteriorates. To the extent ADPE invests in below investment grade securities, it will be exposed to a greater amount of credit risk than a fund that only invests in investment grade securities. In addition, to the extent ADPE uses credit derivatives, such use will expose it to additional risk in the event that the bonds underlying the derivatives default. The degree of credit risk depends on the issuer's financial condition and on the terms of the securities.

Prepayment or "Call" Risk. During periods of declining interest rates, borrowers may exercise their option to prepay principal earlier than scheduled. For fixed rate securities, such payments often occur during periods of declining interest rates, forcing ADPE to reinvest in lower yielding securities, resulting in a possible decline in ADPE's income and distributions to shareholders. This is known as prepayment or "call" risk. Below investment grade securities frequently have call features that allow the issuer to redeem the security at dates prior to its stated maturity at a specified price (typically greater than par) only if certain prescribed conditions are met (i.e., "call protection"). For premium bonds (bonds acquired at prices that exceed their par or principal value) purchased by ADPE, prepayment risk may be increased.

Reinvestment Risk. Reinvestment risk is the risk that income from ADPE's portfolio will decline if ADPE invests the proceeds from matured, traded or called fixed-income securities at market interest rates that are below ADPE portfolio's current earnings rate.

Duration and Maturity Risk. ADPE has no set policy regarding the duration or maturity of the fixed-income securities it may hold. In general, the longer the duration of any fixed-income securities in ADPE's portfolio, the more exposure ADPE will have to the interest rate risks described above. The Investment Manager may seek to adjust the portfolio's duration or maturity based on its assessment of current and projected market conditions and any other factors that the Investment Manager deems relevant. There can be no assurance that the Investment Manager's assessment of current and projected market conditions will be correct or that any strategy to adjust the portfolio's duration or maturity will be successful at any given time.

Risks arising from Direct Investments in private asset Portfolio Fund Managers ("GP Stakes").

ADPE may invest in minority, non-controlling, equity, equity-related and/or revenue interests in, or in relation to, private asset Portfolio Fund Managers ("GP Stakes"). ADPE will not be responsible for such Portfolio Fund Managers in which it holds any GP Stake. The Investment Manager expects that the existing management of such Portfolio Fund Managers will retain autonomy over the day-to-day operations of the business and will generally retain a majority stake in such business.

In holding such non-controlling interests, ADPE will also have a limited ability to create or take advantage of exit opportunities. ADPE's inability to control the timing of the restructuring, refinancing and/or exiting of its Investments in GP Stakes could adversely affect performance. The timing and extent to which ADPE realizes proceeds from any disposition, listing, financing or other liquidity event with respect to any Investment in any GP Stakes will to a large extent depend on the decisions and actions of the relevant Portfolio Fund Managers. The management of such Portfolio Fund Managers could make business, financial or management decisions with which the Investment Manager does not agree or such management could take risks or otherwise act in a manner that does not serve ADPE's interests. The returns of ADPE on the GP Stakes will depend on the performance of unrelated Portfolio Fund Managers and could be substantially adversely affected by the unfavorable performance and/or practices and policies of such Portfolio Fund Managers. The performance of such Portfolio Fund Managers

could also rely on the services of a limited number of key individuals, the loss of whom could significantly adversely affect such Portfolio Fund Managers' performance.

An investment in ADPE is not the equivalent of an investment in a Portfolio Fund Manager. Shareholders will not be limited partners or members in the Portfolio Fund Managers, will have no direct interest in the Portfolio Fund Managers and will have no voting rights in the Portfolio Fund Managers or standing or recourse against any of the Portfolio Fund Managers.

Additional Risks Applicable to Allocation of GP Stakes Investments to Certain Portfolio Fund Managers.

ADPE could allocate Investments to Portfolio Fund Managers that have relatively low levels of assets under management, limited direct experience managing Portfolio Funds and/or limited or no experience managing certain of the strategies expected to be deployed by them in their investment program. ADPE could invest a substantial portion of its Investments with such Portfolio Fund Managers. An allocation by ADPE to such Portfolio Fund Managers could entail additional risks. For example, such Portfolio Fund Managers could not yet have established their infrastructure, could have infrastructure that has been newly established, or could have fewer dedicated resources and less developed marketing and other capabilities when compared with managers having higher levels of assets under management. Such Portfolio Fund Managers could also have less robust processes, procedures and controls to help address cybersecurity risks and regulatory compliance. The foregoing could have a material adverse effect on the ADPE's performance.

In addition, Portfolio Fund Managers could enter into new lines of business not anticipated by ADPE at the time ADPE invests in such Portfolio Fund Managers. Portfolio Fund Managers could also have the ability to change their investment objectives and strategies and economic and other terms after ADPE has made its Investments in such Portfolio Fund Managers and such change in the investment objectives and strategies could be different from the objectives currently expected by the Sponsor. ADPE will likely be unable to prevent Portfolio Fund Managers from taking such action and decisions by the Portfolio Fund Managers could negatively impact the performance of ADPE.

Among the factors that the Investment Manager could consider in selecting Portfolio Fund Managers for Investment is a record of strong financial performance and prospects for future success and growth. However, the past performance of a Portfolio Fund Manager is not indicative of such Portfolio Fund Manager's future performance. There is no assurance that a Portfolio Fund Manager will achieve similar revenues or profits in the future and an Investment with a Portfolio Fund Manager could result in a partial or total loss for ADPE.

Risks Relating to Significant Secondaries Acquisition Transactions

Failure to Consummate Significant Secondaries Acquisition Transactions.

From time to time, ADPE may enter into acquisition transactions to acquire significant amount of Secondary Investments ("**Acquisition Transactions**"). The consummation of Acquisition Transactions is subject to certain conditions, including, among others, consent of the general and limited partners of the sellers. ADPE intends to consummate such transactions as soon as possible; however, ADPE cannot assure that the conditions required to consummate the transactions will be satisfied or waived on the anticipated schedule, or at all. If such transactions are not completed, ADPE will have incurred substantial expenses for which no ultimate benefit will have been received. While there can be no assurances as to the exact timing, or that an Acquisition Transaction will be completed at all (See also "*Significant Secondaries Acquisition Transaction Expense Risk*" below).

Failure to Realize Anticipated Benefits of Significant Secondaries Acquisition Transactions.

ADPE may be unable to realize the benefits anticipated by Acquisition Transactions, or it may take longer than anticipated to achieve such benefits.

The realization of certain benefits anticipated as a result of Acquisition Transactions will depend in part on the integration of the acquired portfolios with ADPE's investment portfolio. There can be no assurance that the acquired portfolios can be integrated successfully into ADPE's investment portfolio in a timely fashion, or at all. The dedication of management resources to such integration may detract attention from ADPE's day-to-day business and there can be no assurance that there will not be substantial costs associated with the transition process or there will not be other material adverse effects as a result of these integration efforts. Such effects, including, but not limited to, incurring unexpected costs or delays in connection with such integration and failure of the acquired portfolio to perform as expected, could have a material adverse effect on ADPE's financial results.

ADPE also anticipates that the Shareholders may benefit from a lower ADPE fund expense ratio when acquired portfolios have fully integrated into ADPE's portfolio, as ADPE expenses will be spread across a larger pool of assets. It is possible that estimates of the potential savings and synergies could turn out to be incorrect, the anticipated cost savings and synergies may not be fully realized, or realized at all, or may take longer to realize than expected. In addition, the Investment Manager expects that ADPE may borrow under its credit line to purchase some of the acquired portfolios. (See also "*Management Fee, Administration Expense and Performance Fee*" of the general section of the Prospectus.)

Inability to Obtain Approvals.

The inability to obtain certain approvals and consents could delay or prevent the completion of Acquisition Transactions. For instance, the obligation to complete an Acquisition Transaction may be subject to the receipt of consents required to be obtained from certain parties, including the general and limited partners of the seller. ADPE expects that similar consents would be required in connection with similar transactions to acquire portfolios of Secondary Investments.

If all approvals and consents, and conditions to such approvals and consents, are not satisfied, the closing of Acquisition Transactions could be significantly delayed, or the transaction may not occur at all.

Significant Secondaries Acquisition Transaction Expense Risk.

If Acquisition Transactions are not completed, ADPE will have incurred substantial expenses in its pursuit for which no ultimate benefit will have been received. ADPE may incur out-of-pocket expenses in connection with an Acquisition Transaction for legal and accounting expenses and other related charges, much of which may be incurred even if the Acquisition Transaction is not fully completed.

Other Investment Risks

Non-U.S. Investments Risk.

ADPE, either directly through Direct Investments, Co-Investments or indirectly through Portfolio Funds, may invest in companies that are organized or headquartered or have substantial sales or operations outside of the United States, its territories, and possessions. Such investments may be subject to certain additional risk due to, among other things, potentially unsettled points of applicable governing law, the risks associated with fluctuating currency exchange rates, capital repatriation regulations (as such regulations may be given effect during the term of ADPE or client portfolio), the application of complex U.S. and non-U.S. tax rules to cross-border investments, possible imposition of non-U.S. taxes on investors with respect to the income, and possible non-U.S. tax return filing requirements. The foregoing factors may increase transaction costs and adversely affect the value of ADPE's portfolio investments.

Additional risks of non-U.S. investments include but are not limited to: (a) economic dislocations in the host country; (b) less publicly available information; (c) less well-developed regulatory institutions; and (d) greater difficulty of enforcing legal rights in a non-U.S. jurisdiction. Moreover, non-U.S. portfolio investments and companies may not be subject to uniform accounting, auditing and financial reporting standards, practices and requirements comparable to those that apply to U.S. portfolio investments and companies. In addition, laws and regulations of foreign countries may impose restrictions that would not exist in the United States and may require financing and structuring alternatives that differ significantly from those customarily used in the United States. No assurance can be given that a change in political or economic climate, or particular legal or regulatory risks, including changes in regulations regarding foreign ownership of assets or repatriation of funds or changes in taxation might not adversely affect an investment by ADPE.

Emerging Markets Investments Risk.

ADPE may invest in non-U.S. securities of issuers in so-called "emerging markets" (or lesser developed countries, including countries that may be considered "frontier" markets). Such Investments are particularly speculative and entail all of the risks of investing in non-U.S. securities but to a heightened degree. "Emerging market" countries generally include every nation in the world except developed countries, that is, the United States, Canada, Japan, Australia, New Zealand and most countries located in Western Europe. Investments in the securities of issuers domiciled in countries with emerging capital markets involve certain additional risks that do not generally apply to investments in securities of issuers in more developed capital markets, such as (i) low or non-existent trading volume, resulting in a lack of liquidity and increased volatility in prices for such securities, as compared to

securities of comparable issuers in more developed capital markets; (ii) uncertain national policies and social, political and economic instability, increasing the potential for expropriation of assets, confiscatory taxation, high rates of inflation or unfavorable diplomatic developments; (iii) possible fluctuations in exchange rates, differing legal systems and the existence or possible imposition of exchange controls, custodial restrictions or other laws or restrictions applicable to such Investments; (iv) national policies that may limit ADPE's investment opportunities such as restrictions on investment in issuers or industries deemed sensitive to national interests; and (v) the lack or relatively early development of legal structures governing private and foreign investments and private property.

Foreign investment in certain emerging market countries may be restricted or controlled to varying degrees. These restrictions or controls may at times limit or preclude foreign investment in certain emerging market issuers and increase the costs and expenses of ADPE. Certain emerging market countries require governmental approval prior to investments by foreign persons in a particular issuer, limit the amount of investment by foreign persons in a particular issuer, limit the investment by foreign persons only to a specific class of securities of an issuer that may have less advantageous rights than the classes available for purchase by domiciliaries of the countries and/or impose additional taxes on foreign investors.

Emerging markets are more likely to experience hyperinflation and currency devaluations, which adversely affect returns to the Shareholders. In addition, many emerging markets have far lower trading volumes and less liquidity than developed markets. Since these markets are often small, they may be more likely to suffer sharp and frequent price changes or long-term price depression because of adverse publicity, investor perceptions or the actions of a few large investors. In addition, traditional measures of investment value used in non-emerging markets, such as price to earnings ratios, may not apply to certain small markets. Also, there may be less publicly available information about issuers in emerging markets than would be available about issuers in more developed capital markets, and such issuers may not be subject to accounting, auditing and financial reporting standards and requirements comparable to those to which companies are subject. In certain countries with emerging capital markets, reporting standards vary widely.

Many emerging markets have histories of political instability and abrupt changes in policies and these countries may lack the social, political and economic stability characteristic of more developed countries. As a result, their governments are more likely to take actions that are hostile or detrimental to private enterprise or foreign investment than those of more developed countries, including expropriation of assets, confiscatory taxation, high rates of inflation or unfavorable diplomatic developments. In the past, governments of such nations have expropriated substantial amounts of private property, and most claims of the property owners have never been fully settled. There is no assurance that such expropriations will not reoccur. In such an event, it is possible that ADPE could lose the entire value of its investments in the affected market. Some countries have pervasiveness of corruption and crime that may hinder investments. Certain emerging markets may also face other significant internal or external risks, including the risk of war, and ethnic, religious and racial conflicts. In addition, governments in many emerging market countries participate to a significant degree in their economies and securities markets, which may impair investment and economic growth. National policies that may limit ADPE's Investment opportunities include restrictions on investment in issuers or industries deemed sensitive to national interests. In such a dynamic environment, there can be no assurances that any or all of these capital markets will continue to present viable investment opportunities for ADPE.

Emerging markets may also have differing legal systems and the existence or possible imposition of exchange controls, custodial restrictions or other laws or restrictions applicable to such investments. Sometimes, they may lack or be in the relatively early development of legal structures governing private and foreign investments and private property. In addition to withholding taxes on investment income, some countries with emerging markets may impose differential capital gains taxes on foreign investors.

Practices in relation to settlement of securities transactions in emerging markets involve higher risks than those in developed markets, in part because ADPE will need to use brokers and counterparties that are less well capitalized, and custody and registration of assets in some countries may be unreliable. The possibility of fraud, negligence, undue influence being exerted by the issuer or refusal to recognize ownership exists in some emerging markets, and, along with other factors, could result in ownership registration being completely lost.

ADPE would absorb any loss resulting from such registration problems and may have no successful claim for compensation. In addition, communications with emerging market countries may be unreliable, increasing the risk of delayed settlements or losses of security certificates.

Yield and Ratings Risk.

The yields on debt obligations are dependent on a variety of factors, including general market conditions, conditions in the particular market for the obligation, the financial condition of the issuer, the size of the offering, the maturity of the obligation and the ratings of the issue. The ratings of Moody's, S&P and Fitch, represent their respective opinions as to the quality of the obligations they undertake to rate. Ratings, however, are general and are not absolute standards of quality. Consequently, obligations with the same rating, maturity and interest rate may have different market prices. Subsequent to its purchase by ADPE, a rated security may cease to be rated. The Investment Manager will consider such an event in determining whether ADPE should continue to hold the security.

U.S. Debt Securities Risk.

U.S. debt securities generally involve lower levels of credit risk than other types of fixed-income securities of similar maturities, although, as a result, the yields available from U.S. debt securities are generally lower than the yields available from such other securities. Like other fixed-income securities, the values of U.S. debt securities change as interest rates fluctuate. On August 5, 2011, S&P lowered its long-term sovereign credit rating on U.S. debt securities to AA+ from AAA. The downgrade by S&P and any future downgrades by other rating agencies could increase volatility in both stock and bond markets, result in higher interest rates and higher Treasury yields and increase borrowing costs generally. These events could have significant adverse effects on the economy generally and could result in significant adverse impacts on securities issuers and ADPE. The Investment Manager cannot predict the effects of these or similar events in the future on the U.S. economy and securities markets or on APMF US's portfolio.

Corporate Bonds Risk.

The market value of a corporate bond generally may be expected to rise and fall inversely with interest rates. The market value of intermediate and longer term corporate bonds is generally more sensitive to changes in interest rates than is the market value of shorter term corporate bonds. The market value of a corporate bond also may be affected by factors directly related to the issuer, such as investors' perceptions of the creditworthiness of the issuer, the issuer's financial performance, perceptions of the issuer in the market place, performance of management of the issuer, the issuer's capital structure and use of financial leverage and demand for the issuer's goods and services. Certain risks associated with investments in corporate bonds are described elsewhere in this section in further detail, including under "Credit Risk" and "Interest Rate Risk". There is a risk that the issuers of corporate bonds may not be able to meet their obligations on interest or principal payments at the time called for by an instrument. Corporate bonds of below investment grade quality are often high risk and have speculative characteristics and may be particularly susceptible to adverse issuer-specific developments. Corporate bonds of below investment grade quality are subject to the risks described herein under "*Below Investment Grade Securities Risk*."

Below Investment Grade Securities Risk.

ADPE may invest in securities that are rated, at the time of Investment, below investment grade quality (rated Ba/BB or below, or judged to be of comparable quality by the Investment Manager), which are commonly referred to as "high yield" or "junk" bonds and are regarded as predominantly speculative with respect to the issuer's capacity to pay interest and repay principal when due. The value of high yield, lower quality bonds is affected by the creditworthiness of the issuers of the securities and by general economic and specific industry conditions. Issuers of high yield bonds are not perceived to be as strong financially as those with higher credit ratings. These issuers are more vulnerable to financial setbacks and recession than more creditworthy issuers, which may impair their ability to make interest and principal payments. Lower grade securities may be particularly susceptible to economic downturns. It is likely that an economic recession could severely disrupt the market for such securities and may have an adverse impact on the value of such securities. In addition, it is likely that any such economic downturn could adversely affect the ability of the issuers of such securities to repay principal and pay interest thereon and increase the incidence of default for such securities.

Lower grade securities, though often high yielding, are characterized by high risk. They may be subject to certain risks with respect to the issuing entity and to greater market fluctuations than certain lower yielding, higher rated securities. The secondary market for lower grade securities may be less liquid than that for higher rated securities. Adverse conditions could make it difficult at times for ADPE to sell certain securities or could result in lower prices than those used in calculating ADPE's NAV. Because of the substantial risks associated with Investments in lower grade securities, a Shareholder could lose money on its investment in ADPE, both in the short-term and the long-term.

The prices of fixed-income securities generally are inversely related to interest rate changes; however, below investment grade securities historically have been somewhat less sensitive to interest rate changes than higher quality securities of comparable maturity because credit quality is also a significant factor in the valuation of lower grade securities. On the other hand, an increased rate environment results in increased borrowing costs generally, which may impair the credit quality of low-grade issuers and thus have a more significant effect on the value of some lower grade securities. In addition, the current low rate environment has expanded the historic universe of buyers of lower grade securities as traditional investment grade oriented investors have been forced to accept more risk in order to maintain income. As rates rise, these recent entrants to the low-grade securities market may exit the market and reduce demand for lower grade securities, potentially resulting in greater price volatility.

The ratings of Moody's, S&P, Fitch and other rating agencies represent their opinions as to the quality of the obligations which they undertake to rate. Ratings are relative and subjective and, although ratings may be useful in evaluating the safety of interest and principal payments, they do not evaluate the market value risk of such obligations. Although these ratings may be an initial criterion for selection of portfolio investments, the Investment Manager also will independently evaluate these securities and the ability of the issuers of such securities to pay interest and principal. To the extent that ADPE invests in lower grade securities that have not been rated by a rating agency, ADPE's ability to achieve its investment objective will be more dependent on the Investment Manager's credit analysis than would be the case when ADPE invests in rated securities.

ADPE may invest in securities rated in the lower rating categories (rated as low as D, or unrated but judged to be of comparable quality by the Investment Manager). For these securities, the risks associated with below investment grade instruments are more pronounced.

Senior Loan Risk.

ADPE may invest in senior floating rate and fixed rate loans or debt ("**Senior Loans**"). Senior Loans typically hold the most senior position in the capital structure of the issuing entity, are typically secured with specific collateral and typically have a claim on the assets and/or stock of the borrower that is senior to that held by subordinated debt holders and stockholders of the borrower. ADPE's Investments in Senior Loans are typically below investment grade and are considered speculative because of the credit risk of their issuer. The risks associated with Senior Loans are similar to the risks of below investment grade fixed-income securities, although Senior Loans are typically senior and secured in contrast to other below investment grade fixed-income securities, which are often subordinated and unsecured. Senior Loans' higher standing has historically resulted in generally higher recoveries in the event of a corporate reorganization. In addition, because their interest payments are typically adjusted for changes in short-term interest rates, investments in Senior Loans generally have less interest rate risk than other below investment grade fixed-income securities, which may have fixed interest rates.

There is less readily available, reliable information about most Senior Loans than is the case for many other types of securities. In addition, there is no minimum rating or other independent evaluation of a borrower or its securities limiting ADPE Investments, and the Investment Manager relies primarily on its own evaluation of a borrower's credit quality rather than on any available independent sources. As a result, ADPE is particularly dependent on the analytical ability of the Investment Manager.

ADPE may invest in Senior Loans rated below investment grade, which are considered speculative because of the credit risk of their issuers. Such companies are more likely to default on their payments of interest and principal owed to ADPE, and such defaults could reduce ADPE's NAV and income distributions. An economic downturn generally leads to a higher non-payment rate and a Senior Loan may lose significant value before a default occurs. Moreover, any specific collateral used to secure a Senior Loan may decline in value or become illiquid, which would adversely affect the Senior Loan's value.

No active trading market may exist for certain Senior Loans, which may impair the ability of ADPE to realize full value in the event of the need to sell a Senior Loan and may make it difficult to value Senior Loans. Adverse market conditions may impair the liquidity of some actively traded Senior Loans, meaning that ADPE may not be able to sell them quickly at a fair price. To the extent that a secondary market does exist for certain Senior Loans, the market may be subject to irregular trading activity, wide bid/ask spreads and extended trade settlement periods. Illiquid investments are also difficult to value.

Although the Senior Loans in which ADPE may invest generally will be secured by specific collateral, there can be no assurances that liquidation of such collateral would satisfy the borrower's obligation in the event of non-payment of scheduled interest or principal or that such collateral could be readily liquidated. In the event of the

bankruptcy of a borrower, ADPE could experience delays or limitations with respect to its ability to realize the benefits of the collateral securing a Senior Loan. If the terms of a Senior Loan do not require the borrower to pledge additional collateral in the event of a decline in the value of the already pledged collateral, ADPE will be exposed to the risk that the value of the collateral will not at all times equal or exceed the amount of the borrower's obligations under the Senior Loans. To the extent that a Senior Loan is collateralized by stock in the borrower or its subsidiaries, such stock may lose all of its value in the event of the bankruptcy of the borrower. Uncollateralized Senior Loans involve a greater risk of loss. Some Senior Loans are subject to the risk that a court, pursuant to fraudulent conveyance or other similar laws, could subordinate the Senior Loans to presently existing or future indebtedness of the borrower or take other action detrimental to lenders, including ADPE. Such court action could under certain circumstances include invalidation of Senior Loans.

Senior Loans are subject to legislative risk. If legislation or state or federal regulations impose additional requirements or restrictions on the ability of financial institutions to make loans, the availability of Senior Loans for investment by ADPE may be adversely affected. In addition, such requirements or restrictions could reduce or eliminate sources of financing for certain borrowers. This would increase the risk of default. If legislation or federal or state regulations require financial institutions to increase their capital requirements this may cause financial institutions to dispose of Senior Loans that are considered highly levered transactions. Such sales could result in prices that, in the opinion of the Investment Manager do not represent fair value. If ADPE attempts to sell a Senior Loan at a time when a financial institution is engaging in such a sale, the price ADPE could receive for the Senior Loan may be adversely affected.

ADPE may acquire Senior Loan assignments or participations. The purchaser of an assignment typically succeeds to all the rights and obligations of the assigning institution and becomes a lender under the credit agreement with respect to the debt obligation; however, the purchaser's rights can be more restricted than those of the assigning institution, and, in any event, ADPE may not be able to unilaterally enforce all rights and remedies under the loan and with regard to any associated collateral. A participation typically results in a contractual relationship only with the institution participating out the interest, not with the borrower. In purchasing participations, ADPE generally will have no right to enforce compliance by the borrower with the terms of the loan agreement against the borrower and ADPE may not directly benefit from the collateral supporting the debt obligation in which it has purchased the participation. As a result, ADPE will be exposed to the credit risk of both the borrower and the institution selling the participation.

ADPE's Investments in Senior Loans may be subject to lender liability risk. Lender liability refers to a variety of legal theories generally founded on the premise that a lender has violated a duty of good faith, commercial reasonableness and fair dealing or a similar duty owed to the borrower, or has assumed an excessive degree of control over the borrower resulting in the creation of a fiduciary duty owed to the borrower or its other creditors or shareholders. Because of the nature of its Investments, ADPE may be subject to allegations of lender liability. In addition, under common law principles that in some cases form the basis for lender liability claims, a court may elect to subordinate the claim of the offending lender or bondholder to the claims of the disadvantaged creditor or creditors.

ETF Risk.

The risks of Investment in an exchange trade fund ("ETF") typically reflect the risks of the types of instruments in which the ETF invests. If ADPE invests in ETFs, Shareholders will bear indirectly their proportionate share of the ETF's fees and expenses, as well as their share of ADPE's fees and expenses. As a result, an Investment by ADPE in an ETF could cause ADPE's total operating expenses (taking into account indirect expenses such as the fees and expenses of the ETF) to be higher and, in turn, performance to be lower than if it were to invest directly in the instruments underlying the ETF. The trading in an ETF may be halted if the trading in one or more of the ETF's underlying securities is halted. In addition, ETFs are susceptible to market trading risks (i.e., the ETF faces market trading risks, including losses from trading in secondary markets and disruption in the creation/redemption process of the ETF).

Other Risks

Market Disruption and Geopolitical Risk.

Concerns over the United States' debt ceiling and budget-deficit have driven downgrades by rating agencies to the U.S. government's credit rating. Downgrades by rating agencies to the U.S. government's credit rating or concerns about its credit and deficit levels in general could cause interest rates and borrowing costs to rise, which may negatively impact both the perception of credit risk associated with ADPE's debt portfolio and ADPE's

ability to access the debt markets on favorable terms. In addition, a decreased U.S. government credit rating, any default by the U.S. government on its obligations, or any prolonged U.S. government shutdown, could create broader financial turmoil and uncertainty, which may weigh heavily on ADPE's financial performance and the value of the Shares. U.S. debt ceiling and budget deficit concerns have increased the possibility of additional credit-rating downgrades and economic slowdowns or a recession in the United States.

Deterioration in the economic conditions in the Eurozone and other regions or countries globally and the resulting instability in global financial markets may pose a risk to ADPE's business. Financial markets have been affected at times by a number of global macroeconomic events, including the following: large sovereign debts and fiscal deficits of several countries in Europe and in emerging markets jurisdictions, levels of non-performing loans on the balance sheets of European banks, instability in the Chinese capital markets and global health crises. Global market and economic disruptions have affected, and may in the future affect, the U.S. capital markets, which could adversely affect ADPE's business, financial condition or results of operations. It cannot be assured that market disruptions in Europe and other regions or countries, including the increased cost of funding for certain governments and financial institutions, will not impact the global economy, and it cannot be assured that assistance packages will be available, or if available, be sufficient to stabilize countries and markets in Europe or elsewhere affected by a financial crisis. To the extent uncertainty regarding any economic recovery in Europe or elsewhere negatively impacts consumer confidence and consumer credit factors, ADPE's business, financial condition and results of operations could be significantly and adversely affected. Moreover, there is a risk of both sector-specific and broad-based corrections and/or downturns in the equity and credit markets. Any of the foregoing could have a significant impact on the markets in which ADPE operates and could have a material adverse impact on ADPE's business prospects and financial condition.

Various social and political circumstances around the world that are outside of ADPE's control may also contribute to increased market volatility and economic uncertainties or deterioration in the U.S. and worldwide. Such events, including trade tensions between the United States and China, other uncertainties regarding actual and potential shifts in trade, economic and other policies with other countries, the ongoing war between Russia and Ukraine and conflicts in the Middle East and health epidemics and pandemics, could adversely affect ADPE's business, financial condition or results of operations. Additionally, as a result of the 2024 U.S. election, the Republican Party currently controls both the executive and legislative branches of government, which increases the likelihood that legislation may be adopted that could significantly affect the regulation of U.S. financial markets. Regulatory changes could result in greater competition from market participants with which ADPE competes for investment opportunities. The United States may also potentially withdraw from or renegotiate various trade agreements and take other actions that would change current trade policies of the United States. These market and economic disruptions could negatively impact the operating results of ADPE's Investments. This could in turn materially reduce ADPE's NAV and distributions and adversely affect ADPE's financial prospects and condition.

Advancements in Artificial Intelligence and Machine Learning.

The ongoing evolution in artificial intelligence and machine learning technologies (hereinafter, "**Machine Learning Technologies**"), encompassing initiatives like OpenAI's deployment of its ChatGPT application, may instigate risks that impact ADPE and the Portfolio Funds. Regardless of existing policies, there exists potential for the Investment Manager, ADPE's portfolio companies and Portfolio Funds, and all associated affiliates, partners, members, shareholders, officers, directors, and employees to deploy Machine Learning Technologies in violation of such policies, knowingly or otherwise. The risk exposure for ADPE and the Portfolio Funds may be exacerbated if third-party service providers or any known or unknown counterparts also incorporate Machine Learning Technologies in their business operations. ADPE cannot ensure absolute control over the development or maintenance of third-party products or the manner in which third-party services are rendered.

The utilization of Machine Learning Technologies may inadvertently involve the integration of confidential data, including sensitive non-public information, by either third parties in breach of non-disclosure agreements, or by employees of the Investment Manager or the related affiliates and partners in breach of ADPE's policies. This may result in the confidential information becoming accessible within a dataset by other third-party Machine Learning Technology applications and users.

Machine Learning Technologies inherently depend on the aggregation and examination of vast quantities of data. However, due to practical limitations, it is infeasible to incorporate all pertinent data into the model that Machine Learning Technologies leverage for operation. Consequently, these models will inevitably harbor some degree of inaccuracy and error, potentially significant, or could be otherwise deficient or flawed, thereby compromising the effectiveness of Machine Learning Technologies. To the extent that the Investment Manager, ADPE and the

Portfolio Funds are susceptible to the risks associated with Machine Learning Technologies, any inaccuracies or errors may precipitate adverse impacts.

Machine Learning Technologies and their applications, particularly within the private investment and financial sectors, continue to undergo rapid evolution. Therefore, it remains impossible to accurately foresee future risks that may emerge from such technological advancements.

Please also refer to Section XVI: “

Risk Factors, Potential Conflicts of Interest and Other Considerations- Artificial Intelligence Technologies” of the General Section of the Prospectus.

Risk Factors Relating to ADPE’s Underlying Assets

Nature of ADPE’s Investments.

A substantial portion of ADPE’s Investments will be in equity or equity-related Investments that by their nature involve business, financial, market and/or legal risks. While such Investments offer the opportunity for significant capital gains, they also involve a high degree of risk that may result in substantial losses. There can be no assurance that ADPE will correctly evaluate the nature and magnitude of the various factors that could affect the value of such Investments. Prices of the Investments may be volatile, and a variety of other factors that are inherently difficult to predict, such as domestic or international economic and political developments, may significantly affect the results of ADPE’s activities, including the risk of war and the effects of terrorist attacks.

Companies in which ADPE invests may be sensitive to general downward swings in the overall U.S. and global economy. A recession, depression or adverse development in the securities market might have an impact on some or all of ADPE’s Investments. A sustained period of low valuations in the public equity markets could result in substantially lower liquidation values and substantially longer periods before liquidity is achieved in comparison with historical values, which would reduce the returns that could be achieved.

In addition, ADPE’s strategy for a portfolio company may involve an acquisition program, restructuring and/or operational improvements, all of which entail a high degree of uncertainty. As a result, ADPE’s performance over a particular period may not be indicative of the results that may be expected in future periods. Furthermore, these factors are outside ADPE’s and the Investment Manager’s control and could adversely affect the liquidity and value of the Investments, and may reduce the ability of ADPE to make attractive new Investments.

Middle-Market Companies.

ADPE may invest in middle-market companies. While Investments in middle-market companies may present greater opportunities for growth, such Investments may also entail greater risks than are customarily associated with Investments in large companies. Middle-market companies may have more limited product lines, markets and financial resources, and may be dependent on a smaller management group. As a result, such companies may be more vulnerable to general economic trends and to specific changes in markets and technology. Middle-market companies may have shorter operating histories, narrower product lines and smaller market shares than larger businesses, which tend to render such companies more vulnerable to competitors’ actions and market conditions. In addition, future growth may be dependent on additional financing, which may not be available on acceptable terms or from traditional sources, such as public capital markets or commercial banks, when required. Middle-market companies generally have less predictable operating results and may be engaged in rapidly changing businesses with products subject to a substantial risk of obsolescence. Further, there is ordinarily a more limited secondary trading market for the sale of interests in smaller, private companies, which may limit exit opportunities and therefore have a material adverse effect on the performance of ADPE and the value of any distributions to investors. All of these factors increase the risks associated with an investment in Shares.

Investment in Distressed Securities.

ADPE may invest in the securities and obligations of distressed and bankrupt portfolio companies, including debt obligations that are in covenant or payment default, as well as other distressed situations and securities. Such investments generally are considered speculative. The repayment of defaulted obligations is subject to significant uncertainties. Defaulted obligations might be repaid only after lengthy workout or bankruptcy proceedings, during which the issuer of those obligations might not make any interest or other payments and ADPE may end up losing all or a material portion of its Investment. In addition, these securities may not be protected by financial covenants or limitations upon additional indebtedness and may have limited liquidity. Distressed and debt securities are also subject to other creditor risks, including (i) the possible invalidation of an investment transaction as a “fraudulent conveyance” under relevant creditors’ rights laws as described below, (ii) so-called “lender-liability” claims by the issuer of the obligations, (iii) environmental liabilities that may arise with respect to collateral securing the obligations and, in certain circumstances (iv) challenges to claims based on face value of securities purchased at distressed levels against par.

Investment in Reorganizations and Restructurings.

ADPE is permitted to make Investments in restructurings that involve companies that are experiencing or are expected to experience severe financial difficulties. These severe financial difficulties may never be overcome and may cause such companies to become subject to bankruptcy proceedings. In such situations, ADPE's Investment is subject to the risk that a bankruptcy filing may adversely and permanently impact the value of a company and that high administrative costs may impair the value of the company. In addition, such Investments could subject ADPE to certain additional potential liabilities that may exceed the value of ADPE's original Investment therein. For instance, under certain circumstances, payments to ADPE and distributions by ADPE to its Shareholders may be reclaimed if any such payment or distribution is later determined to have been a fraudulent conveyance, preferential payment or similar transaction under applicable bankruptcy and insolvency laws. Furthermore, Investments in distressed companies and restructurings may be adversely affected by statutes relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the court's discretionary power to disallow, subordinate or disenfranchise particular claims.

Having a "blocking position" in a security that is subject to a plan of reorganization or a restructuring entails significant risks if ADPE's evaluation of the anticipated outcome of the investment situation should prove incorrect. In addition, an Investment in a company involved in a reorganization proceeding or restructuring entails significant risks and may be adversely impacted if ADPE's evaluation of the anticipated outcome of the investment situation should prove incorrect. Accurate information pertaining to the true condition of such issuers is frequently difficult to obtain.

Some of the Investments ADPE will make may require active monitoring and representation on official and unofficial creditors' committees for a company involved in a reorganization proceeding or restructuring. Accordingly, ADPE may seek representation on such committees from time to time if the Investment Manager, in its discretion, determines that such representation is necessary or advisable to protect or further ADPE's interests. Serving on an official or unofficial committee increases the possibility that Ares will be deemed an "insider" or a "fiduciary" of the company it has so assisted and may restrict ADPE trading in Investments in such company. Should such assistance be provided before a company enters bankruptcy proceedings, the bankruptcy court, under certain conditions such as a finding of fraud or inequitable conduct, may invoke the doctrine of "equitable subordination" with respect to any claim or equity interest held by ADPE in such company and subordinate any such claim or equity interest, in whole or in part, to other claims or equity interests in such company.

Leverage.

ADPE's Investments are expected to include companies whose capital structures may have significant leverage. Leverage generally magnifies both ADPE's opportunities for gain and its risk of loss from a particular Investment. The cost and availability of leverage is highly dependent on the state of the broader credit markets (and such credit markets may be impacted by regulatory restrictions and guidelines), which state is difficult to accurately forecast, and at times it may be difficult to obtain or maintain the desired degree of leverage. The use of leverage also imposes restrictive financial and operating covenants on a company, in addition to the burden of debt service, and may impair its ability to operate its business as desired and/or finance future operations and capital needs. The leveraged capital structure of portfolio companies will increase the exposure of ADPE's Investments to any deterioration in a company's condition or industry, competitive pressures, an adverse economic environment or rising interest rates and could accelerate and magnify declines in the value of ADPE's Investments in leveraged portfolio companies in a down market. In the event any portfolio company cannot generate adequate cash flow to meet its debt service, ADPE may suffer a partial or total loss of capital invested in such portfolio company, which could adversely affect the returns of ADPE. Furthermore, should the credit markets be limited or costly at the time ADPE determines that it is desirable to sell all or a part of a portfolio company, ADPE may not achieve an exit multiple or enterprise valuation consistent with its forecasts. Moreover, the companies in which ADPE will invest may not be rated by a credit rating agency.

Subject to the limitations set out in Section III: "Investment Information – Leverage" of this Annex, ADPE is permitted to make use of leverage, directly or indirectly through one or more special purpose vehicles, by incurring debt to finance ADPE expenses or all or a portion of its Investment in a given company, asset or project or by having a portfolio company incur debt to finance a portion of its Investment in such portfolio companies. Although leverage has the potential to enhance overall returns that exceed ADPE's overall cost of funds, it will further diminish returns (or increase losses on capital) to the extent overall returns are less than the cost of such borrowings. Accordingly, any event that adversely affects the value of an Investment by ADPE would be magnified to the extent leverage is used. The cumulative effect of the use of leverage by ADPE (or by a portfolio company or at the asset-level) in a market that moves adversely to ADPE's Investment could result in a loss to ADPE that would be greater than if the leverage had not been used. ADPE is permitted to incur indebtedness on

a portfolio-wide basis or against specific Investments. Use of leverage by a portfolio company, a subsidiary of ADPE on a non-recourse basis, or otherwise at the asset-level, will not be considered borrowing by ADPE for any purposes under this Annex. The use of leverage at ADPE level will result in interest expense and other costs to ADPE that may not be covered by distributions made to ADPE or appreciation of its Investments. The extent to which ADPE uses leverage will have important consequences to the Shareholders, including the following: (i) greater fluctuations in the net assets of ADPE, (ii) use of cash flow for debt service, distributions, or other purposes, (iii) to the extent that ADPE revenues are required to meet principal payments, the Shareholders may be allocated income (and therefore tax liability) in excess of cash available by distribution and (iv) in certain circumstances ADPE may be required to prematurely harvest Investments to service its debt obligations. There also can be no assurance that ADPE will have sufficient cash flow to meet its debt service obligations. As a result, ADPE's exposure to losses may be increased due to the illiquidity of its Investments generally. Unfavorable performance of a small number of such Investments may result in amplified losses for ADPE and limit ADPE's ability to invest in the future.

ADPE or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including, without limitation, all or a portion of the capital necessary for an Investment or to enhance returns, cover Operating Expenses, Initial Operating Expenses Support, Organizational and Offering Expenses and Management Fees, provide permanent financing or refinancing, provide cash collateral to secure outstanding letters of credit, provide funds for distributions to Shareholders, and to fund redemptions. Any use of leverage by ADPE may result in interest expense and other costs to ADPE that may not be covered by distributions made to ADPE or appreciation of its Investments. ADPE is permitted to incur leverage on a joint and several basis with one or more other Investment funds and entities managed by Ares and, in connection with incurring such indebtedness, ADPE reserves the right to enter into one or more agreements to obtain a right of contribution, subrogation or reimbursement from or against such entities. However, it is possible that, if and when ADPE were to seek to enforce any such right, any such entity could default on its obligation and/or such right may otherwise be unenforceable. In addition, to the extent ADPE incurs leverage or provides any guaranty, such amounts may be secured by ADPE's assets (including, without limitation, over Debt and Other Instruments). If ADPE defaults on secured indebtedness, the lender may foreclose and ADPE could lose its entire Investment in the security for such loan. Parties seeking to have the liability satisfied may have recourse to ADPE's assets generally and not be limited to any particular asset. (See also "*Use of Leverage*" of the general section of the Prospectus.)

In addition, the continuing uncertainty in the global financial system could lead to an overall weakening of the U.S. and global economies, which could adversely affect the financial resources of ADPE's portfolio companies. Favorable borrowing conditions in the debt markets, which historically have been cyclical, have often benefited investments by Other Ares Funds and enabled Ares to make substantial distributions from the portfolio companies of its previous funds. However, there have been periods of volatility, uncertainty and a deterioration of the global credit markets which reduced investor demand and liquidity for investment grade, high yield and senior bank debt and caused some investment banks and other lenders to be unwilling (or significantly less willing) to finance new investments or to offer committed financing for investments on terms less favorable than terms offered in the past, making it significantly more difficult for sponsors to obtain favorable financing. There remain elevated levels of uncertainty in the global financial markets today and there can be no certainty that recurring periods of limited financing availability (or an increase in the interest cost) for leveraged transactions could return or persist, and should such conditions arise, they could impair, potentially materially, ADPE's or a portfolio company's ability to consummate transactions or could cause ADPE or a portfolio company to enter into certain leveraged transactions on less attractive terms. If a portfolio company is unable to obtain favorable financing terms for its investments, refinance its indebtedness or maintain a desired or optimal amount of financial leverage, ADPE is permitted to hold a larger than expected equity investment in such portfolio company and is expected to realize lower than expected returns from the portfolio company that would adversely affect ADPE's ability to generate attractive investment returns for the Shareholders. Any failure by lenders to provide previously committed financing could also expose ADPE to potential claims by sellers of businesses which ADPE may have been contracted to purchase.

It is generally expected that ADPE's interim capital needs would be satisfied through borrowings by ADPE under the credit facility, and drawdowns of capital contributions by ADPE, including those used to pay interest on credit facilities, would generally be expected to be "batched" together into larger, less frequent capital calls (although actual timing and amounts may vary).

Credit and Interest Rate Risks of Debt Securities.

Debt securities in general are subject to various risks including: (i) limited liquidity and secondary market support, (ii) the possibility that earnings of the relevant obligor may be insufficient to meet its debt service, (iii) the

declining creditworthiness and potential for (or actual) insolvency of the relevant obligor of such debt during periods of economic downturn, (iv) that the relevant obligor may be a company serving only local or regional interests, (v) spread compression over the reference interest rate available for reinvestment during any period in which prepayments are received and/or (vi) subordination to the prior claims of other debt or senior lenders. Debt instruments are generally subject to market value volatility that may not be apparent from historical volatility studies and that could be significant at times. An economic downturn could severely disrupt the market for debt instruments and adversely affect the value of outstanding debt and the ability of the borrowers thereof to repay principal and interest.

Investments by ADPE in debt securities of portfolio companies are subject to credit and interest rate risks. “Credit risk” refers to the likelihood that an issuer will default in the payment of principal and/or interest on an instrument. Financial strength and solvency of an issuer are the primary factors influencing credit risk. In addition, lack or inadequacy of collateral or credit enhancement for a debt instrument may affect its credit risk. Credit risk may change over the life of an instrument. Securities that are rated by rating agencies are often reviewed and may be subject to downgrade, which generally results in a decline in the market value of such security. “Interest rate risk” refers to the risks associated with market changes in interest rates. Interest rate changes may affect the value of a debt instrument indirectly (especially in the case of fixed rate securities) and directly (especially in the case of instruments whose rates are adjustable). In general, rising interest rates will negatively impact the price of a fixed-rate debt instrument and falling interest rates will have a positive effect on price. Adjustable-rate instruments also react to interest rate changes in a similar manner although generally to a lesser degree (depending, however, on the characteristics of the reset terms, including the index chosen, frequency of reset and reset caps or floors, among other factors). Interest rate sensitivity is generally more pronounced and less predictable in instruments with uncertain payment or prepayment schedules.

Nature of Mezzanine Investments.

ADPE is permitted to make mezzanine or other junior capital investments. Mezzanine investments are generally unsecured and may be subordinate to other obligations of the obligor, all or a significant portion of which may be secured. Mezzanine investments often reflect a greater possibility that adverse changes in the financial condition of the obligor or in general economic conditions (including, for example, a substantial period of rising interest rates or declining earnings) or both may impair the ability of the obligor to make payment of principal and interest. Mezzanine investments often are issued in connection with leveraged acquisitions or recapitalizations in which the issuers incur a substantially higher amount of indebtedness than the level at which they previously had operated. Some issuers of ADPE’s investments are expected to be highly leveraged, and their relatively high debt-to-equity ratios create increased risks that their operations might not generate sufficient cash flow to service their debt obligations. Overall adverse conditions in the below investment-grade-bond and other markets may adversely affect such issuers by inhibiting their ability to refinance their debt at maturity.

Restrictive Covenants.

Ares currently sponsors and advises a range of investment vehicles and expects to continue to develop its investment, advisory and related businesses. The Investment Manager’s ability to implement ADPE’s strategies effectively may be limited to the extent that contractual obligations (including restrictive covenants, such as non-competition, non-solicitation, non-interference, confidentiality and “standstill” obligations) entered into by Ares, Other Ares Funds or their affiliates (including in connection with the sale of a portfolio company or obtaining confidential information about a potential portfolio company investment) impose restrictions on their affiliates, including ADPE. Such restrictions may, among other things, preclude or limit ADPE from engaging in transactions that ADPE might otherwise have undertaken, including an investment in a potential portfolio company or industry.

Over-Commitment.

To facilitate Investments, ADPE is permitted to make (or commit to make) an Investment with a view to selling a portion of such Investment to other entities managed by the Investment Manager, co-investors or other persons or entities, or ADPE may obtain third-party financing prior to or within a brief period after the closing of the acquisition of such Investment. Such “warehoused” Investments will typically be sold to such other entities managed by the Investment Manager at fair value, but also may be sold at cost or cost plus an interest component, or at such other price determined by the Investment Manager. (See also “*Syndication and Warehousing*” below.)

In the event ADPE makes such an Investment, ADPE will bear the risk that any or all of the excess portion of such Investment may not be sold or financed or may only be sold or financed on unattractive terms and that, as a

consequence, ADPE may bear the entire amount of any breakup fee or other fees, costs and expenses related to such Investment, hold a larger portion than expected of such Investment (and thus the ADPE's investment portfolio could become significantly concentrated in a particular Investment), may realize lower than expected returns from such Investment or be unable to effect an Investment in the event that sufficient capital is not available. ADPE will also bear the risk that any persons or entities acquiring an interest in such an Investment after the closing of such Investment may acquire such interest on terms that may not reflect the then-current value of such Investment. ADPE is also permitted to borrow to fund the portion of an Investment that it intends to sell to other persons or entities. If such other persons or entities do not ultimately invest in such Investment, ADPE will bear the interest and other expenses relating to any such borrowing or Investment as well as any broken deal expenses. To the fullest extent permitted by law and, as applicable, these Investments are conducted in accordance with the procedures set out in this Prospectus, the Investment Manager or any of their respective affiliates will not be deemed to have violated any duty or other obligation to ADPE or any of its investors by engaging in such Investment and sell-down activities (See also "*Risk Factors Relating to Conflicts of Interest*" of the general section of the Prospectus).

Non-Controlling Investments.

ADPE is permitted to make minority equity or debt Investments in portfolio companies over which it is expected to have limited influence. Such a portfolio company may have economic or business interests or goals that are inconsistent with those of ADPE, and ADPE may not be in a position to limit or otherwise protect the value of its Investment in the company, although as a condition of making such Investments, it is expected that appropriate shareholder or lender rights generally will be sought to protect ADPE's Investments. There can be no assurance, however, that such investor rights will be available, or that such rights will provide sufficient protection of ADPE's interest. ADPE's control over the Investment policies of these companies may also be limited.

Toe-hold Investments.

ADPE is permitted to accumulate minority positions in the tradable, highly syndicated or publicly traded outstanding debt securities or in voting stock, or securities convertible into the voting stock, of potential portfolio companies in order to seek a more meaningful Investment in such company. While ADPE and the Investment Manager will seek to achieve such accumulation through open market purchases, registered tender offers, negotiated transactions or private placements, the Investment Manager may be unable to accumulate a sufficiently large position in a portfolio company to execute ADPE's strategy. In such circumstances, ADPE is permitted to dispose of its position in the portfolio company within a short time of acquiring it; there can be no assurance that the price at which ADPE can sell such securities will not have declined since the time of acquisition. Moreover, this may be exacerbated by the fact that securities of the companies that ADPE targets may be thinly traded and that ADPE's position may nevertheless have been substantial, although not controlling, and its disposal may depress the market price for such securities.

Traditional and E-Commerce Competition.

ADPE's Investments in the retail industry will compete with other retail companies and other forms of retailing such as catalogs and e-commerce websites. Competition may come from malls, outlet centers, community/lifestyle centers and other shopping centers, both existing as well as future development projects, as well as catalogs and e-commerce. In addition, technological advances and the growth of e-commerce have increased competition in the retail industry and it is expected that e-commercial competition will continue to grow. The retail industry is subject to various risks, including the levels of consumer spending, seasonality, changes in economic conditions, increasing use of the internet by retailers and consumers (including the use of social media), consumer confidence, casualties and other natural disasters and the potential for terrorist activities. ADPE's Investments are expected to derive cash flow from companies, many of whom have been and continue to be under some degree of economic stress and who may be negatively impacted by increased unemployment, increased federal income and payroll taxes, increased health care costs, increased state and local taxes, increased real estate taxes, industry slowdowns, lack of availability of consumer credit, weak income growth, increased levels of consumer debt, poor housing market conditions, adverse weather conditions, natural disasters, plant closings and other factors. Local real estate conditions, such as an oversupply of, or a reduction in demand for, retail space or retail goods, increases in rental rates and increasing real estate values negatively impact retail companies. As a result, the competitive position of the retail opportunities in which ADPE may invest could be weakened, which could adversely affect ADPE.

Real Estate Investments.

ADPE may make Investments in operating companies that may have substantial real estate holdings, or in securities related to underlying real estate assets. Real estate Investments are subject to varying degrees of risk. Real estate values are affected by a number of factors, including changes in the general economic climate, local conditions (such as an oversupply of or a reduction in demand), the quality and philosophy of management, competition based on rental rates, attractiveness and location of the properties, financial condition of tenants, buyers and sellers of properties, quality of maintenance, insurance, and management services and changes in operating costs. Real estate values are also affected by and sensitive to factors such as government regulations (including those governing usage, improvements, zoning and taxes), interest-rate levels, the availability of financing and potential liability under changing environmental and other laws. ADPE may invest in companies that have development opportunities in various stages of completion. In such cases ADPE will be subject to the risk that there may be unanticipated delays in the completion of such development projects due to factors beyond the control of ADPE and the Investment Manager. These factors may include, among others, strikes, adverse weather, changes in building plans and specifications, material shortages and increases in the costs of labor and materials, all of which may cause additional expenses to be incurred and which will likely be borne by ADPE.

Investments in Technology Industries.

ADPE may make Investments in portfolio companies involved in technology industries. Concentration in those industries may involve risks greater than those generally associated with more diversified funds and may experience significant fluctuations in returns. The technology sector is challenged by various factors, including rapidly changing market conditions and participants, new competing products and services, and improvements in existing products and services. Some of ADPE's portfolio companies may compete in this volatile environment. Companies in the technology industry also may be more vulnerable to cybersecurity incidents and cyber-attacks, which could have numerous material adverse effects, including on the operations, liquidity and financial condition of such companies and ADPE. In addition, certain countries in which ADPE may invest may have less developed laws regarding the protection of intellectual property rights. There is no assurance that products or services sold by such portfolio companies will not be rendered obsolete or adversely affected by competing products and services, new technologies or other challenges, or that such portfolio companies or ADPE will be able to adequately enforce intellectual property rights. Instability, fluctuation, or an overall decline within technology industries may not be balanced by Investments in other industries not so affected. In the event that the technology sector declines or ADPE is unable to adequately enforce its intellectual property rights, returns to the Shareholders may decrease.

Investments in Healthcare Industries.

ADPE may make Investments in various sectors within the healthcare industry, which are subject to regulatory controls by international, national, and, in some instances, local governmental authorities. The nature and scope of healthcare regulations are generally subject to political forces and market considerations. While Investments in healthcare companies offer the opportunity for significant gains, such Investments also involve a high degree of business and financial risk and can result in substantial or total loss. Healthcare reform continues to be a significant factor in the profitability of healthcare companies, particularly with the focus on coordinated and value based care initiatives and departures from fee for service driven models. New laws, regulations and judicial decisions, or new interpretations of existing laws, regulations and decisions that relate to healthcare availability, methods of delivery or payment for products and services, or sales, marketing or pricing, may have a material negative impact on the performance of portfolio companies that operate in this industry. Ares cannot predict whether new legislation or regulations governing the healthcare industry will be enacted by legislative bodies or governmental agencies, or what effect such legislation or regulations might have. In both the U.S. and non-U.S. markets, sales of healthcare products and services, and the success of such platforms, frequently depend, in part, on the availability of reimbursement from third-party payors such as governmental health programs, private health insurers (i.e., commercial payors), and other organizations. The levels of revenues and profitability of providers/suppliers of healthcare products and services may be affected by the continuing efforts of governmental and third-party payors to contain or reduce the costs of healthcare. Significant uncertainty exists as to the reimbursement status of certain healthcare products and services. There can be no assurance that a company's proposed products or services will be considered cost-effective or that adequate third-party reimbursement will be available to enable a company to maintain price levels sufficient to realize an appropriate return on its Investment.

Further, companies in the healthcare industry are often subject to significant risks related to litigation and liability for damages in connection with their operations, or products and services offered. The litigation and liability environment in the healthcare industry is constantly evolving, and new judicial decisions and legislative activity may increase exposure to any of these types of claims. Even if liability insurance is maintained by a portfolio

company, it may not be adequate to cover potential liabilities, including as a result of warranty and product liability claims.

Healthcare companies may face intense competition, including competition from companies with greater financial resources, more extensive research and development, sales and marketing, customer services and support and other capabilities and a larger number of qualified managerial and technical personnel.

Investments in Communications Companies.

ADPE is permitted to make Investments in communications companies. Communications companies are subject to changes in their businesses due to evolving levels of governmental regulation or deregulation as well as the development of communication technologies. Competitive pressures within the communications industry are intense and the securities of communications companies are subject to significant price volatility. In addition, because the technology and communications industries are subject to significant changes in technology, the companies that ADPE is permitted to invest in are expected to face competition from technologies being developed or to be developed in the future by other entities, which has the potential to make such companies' products and services obsolete. Finally, while all companies are susceptible to network security breaches, certain technology and communication companies are expected to be particular targets of hacking and potential theft of proprietary or consumer information or disruptions in service, which could have a material adverse effect on their businesses.

Business-to-Business transactions.

ADPE may make portfolio Investments that will provide goods or services to one or more other Investments, and there can be no assurance that the terms of any such transaction will be the same as those that would be obtained in an arm's-length transaction between unaffiliated parties. In particular, such transactions could result in the provision of services to an Investment at a rate higher than could be obtained by such Investment on the open market. Whether or not the Investment Manager or any of its affiliates has a relationship with or receives financial or other benefit from recommending a particular transaction or service provider, there can be no assurance that no other transaction would be more beneficial or that a more qualified and/or lower cost service provider could not be obtained. The terms of any transaction involving the provision of goods or services to ADPE or any Investments will be determined by the Investment Manager in its sole discretion and could potentially differ significantly from the terms that may be obtained in an arm's-length transaction between unaffiliated parties. In certain circumstances where the Investment Manager commits or has committed to seek "market" or "arms-length" rates or terms, the Investment Manager will do so in its sole discretion, seeking rates that it has determined in its sole discretion to be reflective of the range of rates in the applicable or related markets. Consequently, the Investment Manager undertakes no minimum amount of benchmarking, and does not represent that any such benchmarking ultimately will be accurate, comparable or relate specifically to the assets or services to which such rates or terms relate. Where such rates or terms include hourly components, the Investment Manager reserves the right to rely on approximations or estimates of time spent for purposes of allocating or charging for services. Any methodology, or choice among methodologies, involves potential conflicts of interest. Whether or not the Investment Manager has a relationship or receives financial or other benefit from recommending a particular service provider, there can be no assurance that no other service provider is more qualified to provide the applicable services or could provide such services at lesser cost.

Environmental Matters.

Environmental laws, regulations and regulatory initiatives play a significant role in certain industries and can have a substantial impact on Investments in these industries. For example, global initiatives to minimize pollution have played a major role in the increase in demand for natural gas and alternative energy sources, creating numerous new investment opportunities. Conversely, required expenditures for environmental compliance have adversely impacted investment returns in a number of segments of the industry. Certain industries will continue to face considerable oversight from environmental regulatory authorities and significant influence from non-governmental organizations and special interest groups. ADPE may invest in portfolio companies that are subject to changing and increasingly stringent environmental and health and safety laws, regulations and permit requirements. New and more stringent environmental and health and safety laws, regulations and permit requirements or stricter interpretations of current laws or regulations could impose substantial additional costs on portfolio companies or potential portfolio companies. Compliance with such current or future environmental requirements does not ensure that the operations of ADPE's portfolio companies will not cause injury to the environment or to people under all circumstances or that ADPE's portfolio companies will not be required to incur additional unforeseen environmental expenditures. Environmental hazards could expose ADPE's portfolio

companies to material liabilities for property damages, personal injuries or other environmental harm, including costs of investigating and remediating contaminated properties. Moreover, failure to comply with regulatory or legal requirements could have a material adverse effect on a portfolio company or project, and there can be no assurance that portfolio companies will at all times comply with all applicable environmental laws, regulations and permit requirements. Past practices or future operations of portfolio companies could also result in material personal injury or property damage claims. Any noncompliance with these laws and regulations could subject ADPE and certain of its portfolio companies to material administrative, civil or criminal penalties or other liabilities. Under certain circumstances, environmental authorities and other parties may seek to impose personal liability on the limited partners of a partnership subject to environmental liability.

Weather and Climate Risk.

Global climate change is widely considered to be a significant threat to the global economy. Real estate and infrastructure assets in particular may face risks associated with climate change, including risks related to the impact of climate-related legislation and regulation (both domestically and internationally), risks related to climate-related business trends, and risks stemming from the physical impacts of climate change, such as the increasing frequency or severity of extreme weather events and rising sea levels and temperatures. Additionally, the Paris Agreement and other regulatory and voluntary initiatives launched by international, federal, state, and regional policymakers and regulatory authorities as well as private actors seeking to reduce global climate change and how GHGs may expose real estate and infrastructure assets to so-called “transition risks” in addition to physical risks, such as: (i) political and policy risks (e.g., changing regulatory incentives and legal requirements, including with respect to GHG emissions, that could result in increased costs or changes in business operations), (ii) regulatory and litigation risks (e.g., changing legal requirements that could result in increased permitting, tax and compliance costs, changes in business operations, or the discontinuance of certain operations, and litigation seeking monetary or injunctive relief related to impacts related to climate change), (iii) technology and market risks (e.g., declining market for assets, products and services seen as GHG intensive or less effective than alternatives in reducing GHG emissions) and (iv) reputational risks (e.g., risks tied to changing investor, customer or community perceptions of an asset’s relative contribution to GHG emissions). The Investment Manager cannot rule out the possibility that climate risks, including changes in weather and climate patterns, could result in unanticipated delays or expenses and, under certain circumstances, could prevent completion of investment activities or the effective management of real estate assets once undertaken, any of which could have a material adverse effect on an Investment, or ADPE.

Bankruptcy.

Many of the events within a bankruptcy case are adversarial and often beyond the control of the creditors. In any such event, ADPE may lose its entire Investment, may be required to accept cash or securities or assets with a value less than the original Investment and/or may be required to accept payment over an extended period of time. While creditors generally are afforded an opportunity to object to significant actions, there can be no assurance that a bankruptcy court would not approve actions which may be contrary to the interests of ADPE and its Shareholders, particularly in those jurisdictions which give a comparatively high priority to preserving the debtor company as a going concern, or to protecting the interests of either creditors with higher ranking claims in bankruptcy or of other stakeholders, such as employees. For example, to protect net operating losses of an obligor in bankruptcy, a bankruptcy court might take any number of actions, including prohibiting or limiting the transfer of claims held by certain classes of creditors. Such a prohibition could have a material adverse effect on the value of certain Investments made by ADPE. For example, ADPE might be prohibited from liquidating Investments which are declining in value. Furthermore, there are instances where creditors and equity holders lose their ranking and priority as such when they take over management and functional operating control of a debtor.

Generally, the duration of a bankruptcy case can only be roughly estimated. The reorganization of a company usually involves the development and negotiation of a plan of reorganization, plan approval by creditors and confirmation by the bankruptcy court. This process can involve substantial legal, professional and administrative costs to the relevant portfolio company and ADPE; it is subject to unpredictable and lengthy delays, particularly in jurisdictions which do not have specialized insolvency courts or judges and/or may have a higher risk of political interference in insolvency proceedings, all of which may have adverse consequences for ADPE. During such process, the company’s competitive position may erode, key management may depart and the company may not be able to invest adequately. In some cases, the portfolio company may not be able to reorganize and may be required to liquidate assets.

Security interests held by creditors are closely scrutinized and frequently challenged in bankruptcy proceedings and may be invalidated for a variety of reasons. For example, security interests may be set aside because, as a

technical matter, they have not been perfected properly under applicable law. If a security interest is invalidated, the secured creditor loses the value of the collateral and because loss of the secured status causes the claim to be treated as an unsecured claim, the holder of such claim will be more likely to experience a significant loss of its investment. There can be no assurance that the security interests securing ADPE's claims will not be challenged vigorously and found defective in some respect, or that ADPE will be able to prevail against the challenge. As such, investments in portfolio companies involved in such proceedings could subject ADPE to certain additional potential liabilities that may exceed the value of ADPE's Investment therein. Unless ADPE's claim in such case is secured by assets having a value in excess of such claim, no interest will be permitted to accrue and, therefore, ADPE's return on Investment can be adversely affected by the passage of time during which the plan of reorganization of the debtor is being negotiated, approved by the creditors and confirmed by the bankruptcy court.

The possibility of litigation between the participants to a reorganization is another consideration that makes any evaluation of the outcome of an investment uncertain. Such uncertainties may also be increased by legal or other factors that limit the ability of the Investment Manager to obtain reliable or timely information concerning material developments affecting an obligor or that may lengthen a reorganization or liquidation proceeding. In addition, certain administrative costs and claims that have priority by law over the claims of certain creditors (for example, claims for taxes) may be quite high. A portfolio company that becomes distressed or any distressed asset received by ADPE in a restructuring would require active monitoring.

Derivative Financial Instruments and Techniques.

ADPE is permitted to enter into certain derivative financial instruments with certain rated counterparties. The risks posed by such instruments and techniques, which can be extremely complex, include: (1) credit risks (the exposure to the possibility of loss resulting from the failure by any such counterparty to meet its financial obligations); (2) market risk (the exposure to potential losses arising from adverse movements in the price of a financial asset); (3) legal risks (the exposure to potential losses arising from the characterization of a transaction or a party's legal capacity to enter into it could render the financial contract unenforceable, and the insolvency or bankruptcy of a counterparty could pre-empt otherwise enforceable contract rights); (4) operational risks (the exposure to losses arising from inadequate controls, deficient procedures, human error, system failure or fraud); (5) documentation risks (exposure to losses resulting from inadequate documentation); (6) liquidity risk (exposure to losses created by inability to prematurely terminate the derivative); (7) systemic risks (the exposure to potential losses arising from the risk that financial difficulties in one institution or a major market disruption will cause financial harm to the financial system); (8) concentration risks (the exposure to potential risk of losses arising from the lack of diversification in any concentrated exposure to a particular industry or exposure linked to a particular entity); (9) settlement risk (the exposure to the risk of potential losses arising from unexecuted obligations of any such counterparty where ADPE has performed its obligations under such a contract but has not yet received value from its counterparty); and (10) set-off risks (the exposure to losses arising from the risk that any such counterparty may potentially set-off obligations owed to it by ADPE (or its affiliates under unrelated contract)).

Use of derivatives, particularly in combination with other techniques such as short sales of assets not held by ADPE involves certain additional risks, including: (i) dependence on the ability to predict movements in the price of the securities; (ii) imperfect correlation between movements in the securities on which the derivative is based and movements in the assets of the underlying portfolio; and (iii) impediments to ADPE's ability to meet its short-term obligations due to the percentage of a portfolio's assets posted as collateral under the terms of such derivative.

Hedging Arrangements; Related Regulations.

ADPE is permitted, but is not obligated to, hedge interest rate, currency, credit or other risks, but it generally does not intend to enter into any such derivative agreements for speculative purposes. In general, ADPE will not attempt to hedge all risks inherent in ADPE's Investments. In the event ADPE enters into such hedges, the success of the applicable hedging strategy will depend, in part, upon the Investment Manager's ability to correctly assess the relationship between the performance of the instruments used in the hedging strategy and the performance of the Investments being hedged. Since the characteristics of many Investments change as markets change or time passes, the success of any hedging strategy will also be subject to the ability of ADPE to continually recalculate, readjust and execute hedges in an efficient and timely manner. While such hedging transactions may be effected to reduce risk, such transactions will reduce ADPE's returns and may result in a poorer overall performance for ADPE than if such hedging transactions were not effected. For a variety of reasons, ADPE may decide to only enter into a partial hedge, and/or not seek to establish a perfect correlation between the hedging instruments utilized and the portfolio holdings being hedged. Such an imperfect correlation may prevent the intended hedge from being achieved or expose APMF to risk of loss. ADPE may also decide to not hedge against a particular risk

because it does not regard the probability of the risk occurring to be sufficiently high as to justify the cost of the hedge, or because it does not foresee the occurrence of the risk. The successful utilization of hedging and risk management transactions requires skills complementary to those needed in the selection of Investments. There can be no assurance that adequate hedging arrangements will be available on an economically viable basis or that such hedging arrangements will achieve the desired effect, and in some cases hedging arrangements may result in losses greater than if hedging had not been used.

In some cases, particularly in OTC contexts, hedging arrangements will subject ADPE to the risk of a counterparty's inability or refusal to perform under a hedging contract, or the potential loss of assets held by a counterparty, custodian or intermediary in connection with such hedging. OTC contracts may expose ADPE to additional liquidity risks if such contracts cannot be adequately settled.

Certain hedging arrangements may create for ADPE, the Investment Manager and/or one of their affiliates an obligation to register with the CFTC or other regulator or comply with an applicable exemption. Losses may result to the extent that the CFTC or other regulator imposes position limits or other regulatory requirements on such hedging arrangements, including under circumstances where the ability of ADPE or a portfolio company to hedge its exposures becomes limited by such requirements.

Selected Conflicts of Interests in relation to ADPE and Portfolio Funds Investments

Syndication; Warehousing.

Ares, Other Ares Funds, or affiliates or related parties of the foregoing or other parties (including for the avoidance of doubt any bank warehouse, which may be structured as a securitization, a total return swap, junior and/or "first loss" notes, the price of which will be linked to the value of the underlying assets, or otherwise, which in each case may be guaranteed financed or partially financed by any of the foregoing) could acquire an Investment as principal and subsequently sell some or all of it to ADPE, Other Ares Funds or co-investors in an affiliate or related party transaction. Similarly, ADPE may acquire an Investment and subsequently syndicate, or sell some or all of it, to Ares, Other Ares Funds, co-investors, or affiliates or related parties of the foregoing or other third parties, notwithstanding the availability of capital from the Shareholders and other investors thereof or applicable credit facilities. The Sponsor may cause these transfers to be made at cost, or cost plus an interest rate or carrying cost charged from the time of acquisition to the time of transfer, notwithstanding that the fair market value of any such Investments may have declined below or increased above cost from the date of acquisition to the time of such transfer. The Sponsor may also determine another methodology for pricing these transfers, including fair market value at the time of transfer. It may be possible that ADPE acquires transferred assets at above fair market value, and/or separately sell assets at below fair market value. The Board of Directors (or the non-affiliated directors thereof) may, but are not required to, approve the price, terms and conditions of such transfer and may approve or waive any conflicts arising in connection therewith on behalf of the Shareholders. Also, the Sponsor may charge fees on these transfers to either or both of the parties to them. The Sponsor or its affiliates will be permitted to retain any portion of an Investment initially acquired by them with a view to syndication to co-investors or other potential purchasers to the extent such portion has not been syndicated after reasonable efforts to do so. As part of structuring such syndication and warehousing arrangements, the Sponsor may require ADPE and Other Ares Funds to enter into conditional purchase agreements, where ADPE and/or such Other Ares Funds agree to acquire future warehoused Investments: (i) prior to their original acquisition; and (ii) prior to ADPE and such Other Ares Funds having the requisite available capital to acquire such assets, in each case with such sale being conditional upon ADPE and/or such Other Ares Funds (as the case may be) having sufficient available capital in order to acquire the relevant warehoused assets. The Sponsor expects to enter into a warehousing arrangement prior to the formation of ADPE and, as part of the structuring of such syndication and warehousing arrangement, the Sponsor expects to require ADPE to enter into a conditional purchase agreement on similar terms to those described in the foregoing sentences. Conflicts of interest are expected to arise in connection with these potential warehousing arrangements and any related affiliate transactions, including with respect to timing allocations of Investments to such warehousing, structuring, pricing and other terms of the transactions related thereto. For example, the Sponsor will have a conflict of interest when the Sponsor receives fees, including an incentive allocation, from an Other Ares Fund acquiring from or transferring to ADPE all or a portion of an Investment.

These conflicts related to syndication of Investments and warehousing will not necessarily be resolved in favor of ADPE, and Shareholders may not be entitled to receive notice or disclosure of the occurrence of these conflicts. By subscribing for Shares, Shareholders will be deemed to have consented to the syndication of Investments and warehousing to the extent the terms of such transactions are approved by the non-affiliated members of the Board of Directors (See also "*Risk Factors Relating to Conflicts of Interest*" of the general section of the Prospectus).

Conflicts Associated with Fee Arrangements with Portfolio Funds.

In certain cases, the Investment Manager or its affiliates may enter into arrangements with a Portfolio Fund Manager under which the Portfolio Fund Manager agrees to rebate a portion of its management fee or make other fee payments in connection with an Investment in the Portfolio Fund by an investment vehicle managed or sponsored by the Investment Manager or its affiliates. To the extent any such rebates or payments relate to ADPE's Investment in a Portfolio Fund, ADPE will receive the economic benefit of such rebate or payment. However, to the extent the Investment Manager, in its sole discretion, determines that such an arrangement is not permissible or appropriate for ADPE, other vehicles managed by the Investment Manager or its affiliates may nonetheless participate in the rebate or repayment. Affiliates of the Investment Manager may receive and retain these payments with respect to other investment vehicles in consideration of, or to defray the cost of, services provided by such affiliates. The receipt of such payments by affiliates of the Investment Manager could incentivize the Investment Manager to participate in Portfolio Funds whose managers agree to make such payments or could enhance the likelihood that Portfolio Fund Managers will agree to make such payments.

Portfolio Fund Valuation May be Affected by Compensation Arrangements.

If a Portfolio Fund calculates its compensation on the value of the Portfolio Fund's assets, the Portfolio Fund's manager may exercise discretion in assigning values to the Portfolio Fund's investments. These factors can create a conflict of interest because the value assigned to an investment may affect the advisory fee at the Portfolio Fund level. If there is a difference in the advisory fee required to be paid, the Portfolio Fund's documents generally do not require the Portfolio Fund's manager to return past advisory fees, although claw-back provisions in a Portfolio Fund's documents may permit the recovery of excess carried interest distributions.

Potential Conflicts of Interest at the Portfolio Fund Level.

Each Portfolio Fund may become involved in activities in which there is a potential conflict between the interests of Portfolio Fund investors, like ADPE, and the Portfolio Fund's management. Typically, Portfolio Funds will have an investor's committee with some degree of supervision over potential conflicts, although there can be no assurance that such committee, or other conflict of interest provisions of a Portfolio Fund's governing documents, will be effective.

SCHEDULE 1

SUSTAINABILITY-RELATED DISCLOSURES

Introduction

Terms used in this Schedule 1 and not otherwise defined below have the meaning given to them in the Prospectus.

Articles 7(2) SFDR - No Consideration of Sustainability Adverse Impacts

At present, the AIFM (and/or its delegate(s)) does not, within the meaning of the SFDR, consider the adverse impacts of its investment decisions on sustainability factors in respect of ADPE. The AIFM (and/or its delegate(s)) does not currently do so because, among other reasons, it is continuing to assess the applicable mandatory data collection and disclosure requirements for entities which opt in to considering the principal adverse impacts of their investment decisions, as well as its internal capabilities to comply with such requirements. The AIFM's position on this matter will be reviewed at least annually, and Ares will continue to actively seek to invest in systems and procedures which will enable us, over time, to gather more granular data on the impacts of investment on sustainability factors. As a firm, Ares will also continue its focus on creating long-term value for its investors, the companies in which they invest, and the communities where they live and work.

Article 6(1)(a)&(b) SFDR – Integration of Sustainability Risks and Likely Impact on Returns

The SFDR defines “sustainability risks” as environmental, social or governance events or conditions that, if they occur, could cause an actual or a potential material negative impact on the value of the investment.

The consideration of ESG factors and sustainability risks is, where possible, integrated into the AIFM's and the Investment Manager's investment processes. It is primarily the responsibility of the specific investment team evaluating an investment, along with the other risks which the team considers in line with the particular strategy and investment guidelines for ADPE.

In order to ensure that sustainability risks are considered in a systematic manner, investment teams are required wherever practicable to highlight key sustainability considerations at the early stages of proposed investments, and subsequently, wherever practicable, to include sustainability risk assessment information within relevant internal documentation such as papers for investment committees, including wherever practicable by the application of ratings to individual sustainability risks together with overall conclusion ratings. Once investments are made, the Investment Manager continues as part of its portfolio management processes to monitor for sustainability risks. If appropriate for an investment, the AIFM or the Investment Manager may conduct sustainability risk-related due diligence and/or take steps to mitigate sustainability risks and preserve the value of the investment. The AIFM or the Investment Manager generally measure any relevant environmental or social matters using third-party standards, guidelines and metrics, data from Ares' portfolios, company reports and publicly available information, as the AIFM or Investment Manager deems relevant from time to time.

The Firm's policy and the AIFM's and the Investment Manager's approach as described above ensures that sustainability risks are integrated into both investment decision making and portfolio management to the extent that they represent potential or actual material risks to and opportunities for investments made for ADPE. As part of that process, the AIFM and/or the Investment Manager have determined that sustainability risks are potentially relevant to the investment returns of ADPE, having regard in each case to ADPE's strategy and investment guidelines. The AIFM and/or Investment Manager will follow its procedures to identify and mitigate sustainability risks, although there can be no guarantee that they will successfully identify and mitigate all material risks.

With regard to ADPE, many or all of the specific investment decisions involved remain to be made in the future and, accordingly, identification and assessments of risks, including sustainability risks, will necessarily take place on an investment-by-investment basis in accordance with the policy described above.

As of the date hereof, no specific investment decisions have been made for ADPE and accordingly the identification and assessments of risks, including sustainability risks, will take place on an investment-by-investment basis as noted above. The AIFM's assessment is that integration of sustainability risks in investment decisions, combined with a diversified portfolio appropriate for ADPE in light of its investment objective and strategy, should help mitigate the potential material negative impact of sustainability risks on the returns of ADPE, although there can be no assurance that all such risks will be mitigated in whole or in part, nor identified prior to the date the risk materializes.

EU Taxonomy Regulation Disclosure

Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment (the “**Taxonomy Regulation**”) sets out a framework for classifying specific economic activities as “environmentally sustainable.” The investments underlying this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

ANNEX 6

ARES SPORTS, MEDIA AND ENTERTAINMENT OPPORTUNITIES FUND

Ares Sports, Media and Entertainment Opportunities Fund (the “**ASMEO Fund**” and together with the Parallel Entities (as defined below), “**ASMEO**”) is a Sub-Fund of AEFS SICAV.

I. DESCRIPTION / OVERVIEW OF ASMEO AND ASMEO FUND

Ares Sports, Media and Entertainment Opportunities Fund Overview

ASMEO’s investment objective is to seek long-term capital appreciation, and to a lesser extent, generate income, by investing in sports leagues, sports teams and sports industry related companies, as well as media and entertainment companies.

ASMEO Fund will invest through a subsidiary established as a Luxembourg special limited partnership (*société en commandite spéciale*) for the purpose of indirectly holding the Investments (as defined below) of ASMEO (the “**Aggregator**”). See Subsection: “*Structure of Investments*” in Section III: “*Investment Information*” of this Annex.

ASMEO Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: “Risk Factors, Potential Conflicts of Interest and Other Considerations” of the Prospectus and Section XI: “*Risk Factors and Other Considerations*” of this Annex for additional details on the risks associated with an investment in ASMEO Fund.

Investment Objective and Strategy of ASMEO

ASMEO Fund seeks to invest, directly or indirectly, in directly originated first lien, second lien, mezzanine and other high yield debt securities, preferred equity securities, common equity securities and other equity investments in sports leagues, sports teams and sports industry related companies, as well as media and entertainment companies (collectively, the “**Target SME Investments**”). While ASMEO Fund will invest globally, the Investment Manager expects that the majority of the Target SME Investments will be made in North American and European countries. The Investment Manager will pursue a flexible approach deploying capital in both debt and equity investments, generally seeking to act as a lead or co-lead investor in a substantial number of transactions, which may drive greater influence over structure, terms and economics and can result in better outcomes and returns to investors.

To gain exposure to such Target SME Investments, ASMEO Fund may invest, directly or indirectly, a portion of its gross assets in Other Ares Funds including Ares Sports, Media and Entertainment Opportunities LP, a Delaware limited partnership (“**ASMEO US**”), which itself invests in Target SME Investments.

In addition, in order to facilitate capital deployment, generate income and as a potential source of liquidity, ASMEO Fund will invest a portion of its assets in a portfolio of debt and other instruments, including cash and cash equivalents, debt securities and other credit instruments, public equities, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives (the “**Debt and Other Instruments**”).

ASMEO Fund’s investment strategy will be focused on the following components:

- **Drive Directly Originated Deal Flow.** ASMEO Fund will pursue a multi-channel origination strategy designed to uncover a broad set of investment opportunities, which is expected to enable the Investment Manager to generate differentiated deals from a variety of sources across sports, media and entertainment. ASMEO Fund will primarily source investments directly from sports leagues, sports teams, financial sponsors, companies, management teams, intermediaries and, to a lesser extent, from commercial and investment banks. Ares has an extensive origination network for sourcing investment

opportunities across the platform, which consists of sports, media and entertainment executives, advisors, investors and athletes with differentiated perspectives and enhanced operational capabilities.

- **Capitalize on the Significant and Attractive Market Opportunity.** The Investment Manager believes that sports leagues and teams are increasingly seeking alternative sources of capital and are primed for capital solutions. Previously, sports franchises were capitalized and broadened through traditional bank debt and rated securitization facilities at the league level. Bank guidelines and regulatory restrictions have caused these financing institutions to have limited capital availability and restrictions on leverage levels. This has given rise to highly bifurcated capital structures for a number of sports franchises, resulting in very low leverage levels and significant common equity interests. As a result of these trends, this has created a funding gap within the sports industry. ASMEO Fund will seek to take advantage of what the Investment Manager believes is an increasing supply-demand imbalance, which the Investment Manager believes will drive a prolonged market shift toward creative, private capital solutions in the space. Moreover, there has been limited competition in this space with few accepted counterparties able to offer privately negotiated, customized solutions of scale. The Investment Manager believes that its direct origination ability, deep relationships, long duration capital base and creative, privately negotiated flexible investments is increasingly important and particularly relevant for these franchises.
- **Focus on Risk-Adjusted Returns.** The Investment Manager will seek to leverage its extensive experience and significant proprietary deal flow to identify investment opportunities. By evaluating comparable companies and deal structures, the Investment Manager will aim to identify, assess and execute investments with enhanced pricing, downside protection and structural characteristics up and down the capital structure. Additionally, the Investment Manager believes that the sports, media and entertainment landscape represents a new frontier in the private capital solutions ecosystem with attractive fundamentals, reduced volatility and limited correlation to other asset classes.
- **Leadership Approach to Transactions.** Ares will seek to act as the lead or co-lead investor in a substantial number of its Target SME Investments. The Investment Manager believes this active role leads to greater control over deal terms and more favorable deal structures, documentation, fees, pricing and post-closing control. The Investment Manager also believes that a self-origination strategy allows for a higher degree of selectivity, more robust due diligence along with improved access to information and management. In distressed scenarios, ASMEO Fund expects that control positions will enable the Investment Manager to exercise greater influence driving towards a positive outcome.
- **Disciplined Investment Approach with Focus on Franchise Businesses.** ASMEO Fund will seek investment opportunities, generally focusing on companies or assets that have a: (i) leading market position, brand awareness, operational excellence and high barriers to entry; (ii) experienced management team that has demonstrated an ability to grow a business; (iii) a level of downside protection and durability; (iv) ability to withstand an economic downturn; and (v) attractive long term financial characteristics.

Portfolio Allocation Targets of ASMEO

Under normal circumstances, ASMEO will seek to allocate, either directly or indirectly (including, without limitation, through Other Ares Funds), at least 80% of its gross assets in Target SME Investments, with the balance intended to facilitate capital deployment, generate income and as an additional potential source of liquidity, in Debt and Other Instruments.

During normal market conditions, it is generally not expected that ASMEO will hold more than 20 % of its gross assets in Debt and Other Instruments for extended periods of time. For temporary defensive purposes, liquidity management or in connection with implementing changes in the asset allocation, ASMEO may hold a substantially higher amount of Debt and Other Instruments.

ASMEO Fund may invest, directly or indirectly, a portion of its gross assets in Other Ares Funds (including ASMEO US), but will not invest more than 80% of its gross assets in any one Other Ares Fund.

ASMEO Fund's investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period).

II. SUMMARY OF TERMS

Ares Sports, Media and Entertainment Opportunities Fund	
AEFS Structure:	AEFS SICAV is a multi-compartment Luxembourg investment company with variable capital (<i>société d'investissement à capital variable</i>). AEFS SICAV has an umbrella structure consisting of one or more Sub-Funds.
ASMEO Fund:	ASMEO Fund is an open-ended, commingled Sub-Fund of AEFS SICAV.
AIFM:	Ares Management Luxembourg.
Investment Manager:	Ares Capital Management LLC.
Distributions:	The Board of Directors (or its delegate) may declare distributions from time to time. ASMEO Fund cannot guarantee that it will make distributions, and any distributions will be made at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class, after considering factors such as earnings, cash flow, capital needs, taxes and general financial condition and the requirements of applicable law. As a result, ASMEO Fund distribution rates and payment frequency may vary from time to time.
Investment Objective and Strategy:	ASMEO Fund seeks to invest, directly or indirectly, in directly originated first lien, second lien, mezzanine and other high yield debt securities, preferred equity securities, common equity securities and other equity investments in sports leagues, sports teams and sports industry related companies, as well as media and entertainment companies. While ASMEO Fund will invest globally, the Investment Manager expects that the majority of the Target SME Investments will be made in North American and European countries. To gain exposure to such Target SME Investments, ASMEO Fund may invest, directly or indirectly, a portion of its gross assets in Other Ares Funds including ASMEO US, which itself invests in Target SME Investments. In addition, in order to facilitate capital deployment, generate income and as a potential source of liquidity, ASMEO Fund will invest a portion of its assets in a portfolio of Debt and Other Instruments, including cash and cash equivalents, debt securities and other credit instruments, public equities, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives. ASMEO Fund will invest through the Aggregator. The direct and indirect investments of ASMEO are described in Section III: "Investment Information" of this Annex. ASMEO Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: "<i>Risk Factors, Potential Conflicts of Interest and Other Considerations</i>" of the General Section of the Prospectus and Section XI: "<i>Risk Factors and Other Considerations</i>" of this Annex for additional details on the risks associated with an investment in ASMEO.
Leverage:	ASMEO Fund or subsidiaries will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio (as defined below) to be in excess of 35%, or such lower amounts as mandated by regulation or law as they come into force.

	ASMEO Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. The AIFM has established a maximum level of leverage for ASMEO Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of ASMEO Fund of 500% and 450%, respectively. Please refer to Section III: “<i>Investment Information—Leverage</i>” and Section X: “<i>Regulatory Considerations—AIFM Directive Leverage</i>” of this Annex for further details.																						
Share Classes:	The following Classes of Shares are open to Shareholders in ASMEO Fund: <table border="1"> <thead> <tr> <th>Class</th><th>Type of Share</th></tr> </thead> <tbody> <tr> <td>A_A</td><td>Accumulation</td></tr> <tr> <td>B_A</td><td>Accumulation</td></tr> <tr> <td>C_A</td><td>Accumulation</td></tr> <tr> <td>D_A</td><td>Accumulation</td></tr> <tr> <td>E_A</td><td>Accumulation</td></tr> <tr> <td>F_A</td><td>Accumulation</td></tr> <tr> <td>FI_A</td><td>Accumulation</td></tr> <tr> <td>I_A</td><td>Accumulation</td></tr> <tr> <td>J_A</td><td>Accumulation</td></tr> <tr> <td>J1_A</td><td>Accumulation</td></tr> </tbody> </table> The Board of Directors or its delegate may, at any time, create additional Classes of Shares whose features (including, but not limited to, fees and currencies) may differ from the existing Classes of Shares. The complete list of available Classes of Shares may be made available online at the ASMEO Fund’s website (https://www.areswms.com/non-us/ares-sme-ops), and will be made available at the registered office of AEFS SICAV. Please refer to Section IV: “<i>Share Class Information</i>” of this Annex for additional details on the Classes of Shares offered by ASMEO Fund.	Class	Type of Share	A _A	Accumulation	B _A	Accumulation	C _A	Accumulation	D _A	Accumulation	E _A	Accumulation	F _A	Accumulation	FI _A	Accumulation	I _A	Accumulation	J _A	Accumulation	J1 _A	Accumulation
Class	Type of Share																						
A _A	Accumulation																						
B _A	Accumulation																						
C _A	Accumulation																						
D _A	Accumulation																						
E _A	Accumulation																						
F _A	Accumulation																						
FI _A	Accumulation																						
I _A	Accumulation																						
J _A	Accumulation																						
J1 _A	Accumulation																						
Minimum Subscription:	The Minimum Subscription Amount for each Class of Shares will be as follows: <table border="1"> <thead> <tr> <th>Class of Shares</th><th>Minimum Subscription Amount</th></tr> </thead> <tbody> <tr> <td>Class A Shares, Class E Shares and Class I Shares</td><td>\$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> <tr> <td>Class D Shares, Class F Shares and Class J Shares</td><td>\$150,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)</td></tr> <tr> <td>Class B Shares and Class C Shares</td><td>\$250,000,000 for the U.S. Dollar denominated Classes of Shares and €250,000,000 for the EUR</td></tr> </tbody> </table>	Class of Shares	Minimum Subscription Amount	Class A Shares, Class E Shares and Class I Shares	\$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	Class D Shares, Class F Shares and Class J Shares	\$150,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	Class B Shares and Class C Shares	\$250,000,000 for the U.S. Dollar denominated Classes of Shares and €250,000,000 for the EUR														
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		denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)						
Subscriptions:	In respect of each new Class of Shares, up to the date as may be decided by the Board of Directors (or its delegate) in its discretion (the “Initial Subscription Period”), the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion <i>plus</i> applicable Subscription Fees. After the end of the Initial Subscription Period, subscriptions for Shares of ASMEO Fund will be accepted as of the first Business Day of each month. Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date <i>plus</i> applicable Subscription Fees. Subscription requests must be received by 5 p.m. Central European Time at least six (6) Business Days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). Subscription price amounts (whether in cash or in kind, as applicable) must be received no later than five (5) Business Days in advance of the relevant Subscription Date. No interest will be paid on any payments received prior to this deadline. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions—Subscriptions in ASMEO Fund</i>” of this Annex for additional details on ASMEO Fund’s subscription procedures.							
Redemptions:	• Redemptions are expected to be offered each calendar quarter at the NAV per Share calculated as of the last calendar day of the relevant calendar quarter. • A Shareholder may request to have some or all of its Shares redeemed by ASMEO Fund as of the last calendar day of the relevant calendar quarter by submitting a Redemption Request. • Shares held for less than twenty-four (24) months will be subject to an Early Redemption Deduction as set out below: <table><tr><th>Class of Shares</th><th>Early Redemption Deduction</th></tr><tr><td>Class A Shares, Class B Shares, Class C Shares, Class F Shares, and Class I Shares</td><td>5% of the NAV of the redeemed Shares (calculated as of the relevant Redemption Date)</td></tr><tr><td>Class D Shares, Class E Shares and Class J Shares</td><td>0%</td></tr></table> • Class D Shares, Class E Shares and Class J Shares may be subject to a Redemption Fee (as applicable): (i) redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of up to 5% of the NAV of the Class D Shares and Class E Shares being redeemed (calculated as of the relevant Redemption Date), as determined by the Investment Manager in its sole discretion from time to time; and (ii) redemptions of Class J Shares will be subject to a Redemption Fee of (a) 2% of the NAV of the Class J Shares being redeemed (calculated as of the relevant Redemption Date) if the resulting Redemption Date falls within a twelve (12)-month period from the initial subscription date of the Class J Shares or (b) 0.3% of the NAV of the Class J Shares being redeemed (calculated as of the relevant Redemption Date) if the resulting Redemption Date falls after such twelve (12)-month period. To the extent		Class of Shares	Early Redemption Deduction	Class A Shares, Class B Shares, Class C Shares, Class F Shares, and Class I Shares	5% of the NAV of the redeemed Shares (calculated as of the relevant Redemption Date)	Class D Shares, Class E Shares and Class J Shares	0%
Class of Shares	Early Redemption Deduction							
Class A Shares, Class B Shares, Class C Shares, Class F Shares, and Class I Shares	5% of the NAV of the redeemed Shares (calculated as of the relevant Redemption Date)							
Class D Shares, Class E Shares and Class J Shares	0%							

	applicable with respect to the Class D Shares and Class E Shares, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager. • Redemptions are generally limited on an aggregate basis across all Parallel Entities and the Aggregator (without duplication) to 5% of such aggregate NAV per calendar quarter (measured as of the last calendar day of the previous calendar quarter). The foregoing limitation on redemptions is based on net redemptions (as defined below) during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this Annex. • Redemption Requests (as defined below) must be provided by 5 p.m. Central European Time at least sixty-five (65) calendar days prior to the relevant Redemption Date (the “Redemption Cut-Off Time”). • Settlements of Share redemptions are generally expected to be within ten (10) Business Days after the relevant NAV Release Date <i>provided</i> that this timing may vary depending on when redemption proceeds are actually received by ASMEO Fund from the Other Ares Funds. • Redemption Requests may be rejected in whole or in part by the Investment Manager in exceptional circumstances and not on a systematic basis and Redemption Requests may be suspended when deemed to be in the best interests of ASMEO Fund. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions—Redemption of Shares</i>” of this Annex for additional details on ASMEO Fund’s redemption procedures.
NAV Calculation and NAV Release Date:	ASMEO Fund’s monthly NAV as of the last calendar day of each month (each, a “Valuation Date”) will generally be available by the 25th Business Day after the immediately following Subscription Date (the “NAV Release Date”).
Management Fees:	In consideration for its services with respect to ASMEO Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a Management Fee equal to, for each Class of Shares, up to 1.40% of the NAV of each Class of Shares (except for Class E Shares) per annum. While ASMEO may indirectly bear its share of management fees with respect to any direct or indirect Investment in Other Ares Funds (including for the avoidance of doubt ASMEO US) (in aggregate, the “Underlying Management Fees”), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to ASMEO together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described herein. The AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time. Please refer to Section VI: “<i>Fees and Expenses of ASMEO—Management Fee</i>” of this Annex for further details.
Performance Fee:	The Recipient will be entitled to the payment of a Performance Fee (except for Class E Shares) equal to up to 15.0% of Total Return, subject to a 5% annual Hurdle Amount and a High Water Mark with a 100% Catch-Up. The

	Performance Fee will be measured on a calendar year basis, be paid quarterly and accrue monthly (subject to pro-rating for partial periods). No Performance Fee will be charged at the level of ASMEO Fund in respect of its Investments in Other Ares Funds which bear carried interest, incentive fee or other performance-based compensation in such Other Ares Funds. Where such Investments in Other Ares Funds (including ASMEO US) do not bear carried interest, incentive fee or other performance-based compensation, the Performance Fee in respect of such Investments will be charged at the level of ASMEO Fund. The Recipient may waive all or any part of the Performance Fee in its discretion from time to time. Please refer to Section VI: “<i>Fees and Expenses of ASMEO–Performance Fee</i>” of this Annex for further details.						
Portfolio Allocation Targets:	Under normal circumstances, ASMEO will seek to allocate, either directly or indirectly (including, without limitation, through Other Ares Funds), at least 80 % of its gross assets in Target SME Investments, with the balance intended to facilitate capital deployment, generate income and as an additional potential source of liquidity, in Debt and Other Instruments. During normal market conditions, it is generally not expected that ASMEO will hold more than 20% of its gross assets in Debt and Other Instruments for extended periods of time. For temporary defensive purposes, liquidity management or in connection with implementing changes in the asset allocation, ASMEO may hold a substantially higher amount of Debt and Other Instruments. ASMEO Fund may invest, directly or indirectly, a portion of its gross assets in Other Ares Funds (including ASMEO US), but will not invest more than 80% of its gross assets in any one Other Ares Fund. ASMEO Fund’s investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period). Please refer to Section III: “<i>Investment Information</i>” for further details regarding the ASMEO portfolio.						
Ramp-Up Period:	The portfolio allocation targets, investment restrictions and leverage limits will not apply during a ramp-up period of up to four (4) years after the end of the Initial Subscription Period (the “Ramp-Up Period”).						
Subscription Fee:	Certain distributors or other financial intermediaries through which a Shareholder was placed in ASMEO Fund may charge such Shareholder upfront Subscription Fees on Shares sold in the offering. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.						
Servicing Fee:	Servicing Fees payable in respect of each Class of Shares will be as follows: <table border="1"> <thead> <tr> <th>Class of Shares</th><th>Servicing Fee</th></tr> </thead> <tbody> <tr> <td>Class A Shares, Class B and Class FA Shares</td><td>Up to 0.85% on NAV per annum payable to distributors or other financial intermediaries</td></tr> <tr> <td>Class C Shares, Class D Shares, Class E Shares, Class FI</td><td>0.00% on NAV per annum</td></tr> </tbody> </table>	Class of Shares	Servicing Fee	Class A Shares, Class B and Class FA Shares	Up to 0.85% on NAV per annum payable to distributors or other financial intermediaries	Class C Shares, Class D Shares, Class E Shares, Class FI	0.00% on NAV per annum
Class of Shares	Servicing Fee						
Class A Shares, Class B and Class FA Shares	Up to 0.85% on NAV per annum payable to distributors or other financial intermediaries						
Class C Shares, Class D Shares, Class E Shares, Class FI	0.00% on NAV per annum						

	Shares, Class I Shares and Class J Shares	
Term:	Indefinite.	
SFDR:	ASMEO Fund is presently characterized as a financial product falling within Article 6 of the SFDR. The present investment strategy of ASMEO Fund does not promote environmental or social characteristics, or have sustainable investments as its objective. The investments underlying this financial product do not consider principal adverse impacts on sustainability factors and do not take into account the EU criteria for environmentally sustainable economic activities. Further information, including with respect to the integration of sustainability risks can be found in Schedule 1: “<i>Sustainability-Related Disclosures</i>” to this Annex 6: “<i>Ares Sports, Media and Entertainment Opportunities Fund</i>”.	
Tolerance Threshold in case of NAV Calculation Errors:	The tolerance threshold in case of NAV calculation errors applicable to ASMEO Fund under CSSF Circular 24/856 is 5%.	

III. INVESTMENT INFORMATION

Information on ASMEO Investments

The investment information set out below describes the direct and indirect investments of ASMEO Fund held through the Aggregator.

Each ASMEO's investment, whether held directly or through one or more Intermediate Vehicles or Other Ares Funds, is referred to as an **"Investment"**. For the avoidance of doubt, in applying and interpreting the terms of this Annex, the Investment Manager may, in its sole discretion, determine that Investments do not include Intermediate Vehicles or Other Ares Funds, as the context may require.

The investments in which ASMEO expects to invest directly or indirectly (including, for the avoidance of doubt, through any Other Ares Funds) include:

- Equity Securities.

ASMEO may acquire or otherwise receive common stock, warrants or options to acquire common stock and other equity securities or equity-linked securities (including, for the avoidance of doubt, any preferred equity and/or loan note transaction). Such instruments are typically subordinated to (and thus are inherently riskier than) the debt securities and other liabilities of the issuers of such instruments.

- First lien loans.

These loans generally form the most senior layer of a borrower's capital structure and benefit from a first priority lien on the borrower's assets as well as senior ranking in repayment priority. In some cases, these instruments contain maintenance and/or incurrence covenants, which require the borrower to maintain a base level of performance or limit their ability to incur additional debt. Owing to their priority of claim, collateral support, and structure, first lien loans tend to experience superior recoveries in a bankruptcy.

- Second lien loans.

These loans generally form a transitional layer between (i) first lien secured debt and (ii) mezzanine loans or unsecured debt, and are typically secured by a second priority claim on a borrower's assets. In addition, such loans benefit from a senior ranking in repayment priority and may enjoy the same or similar covenant protections as first lien loans. Yields tend to reflect a premium to first lien loans and these instruments may experience some protection with respect to recoveries in a bankruptcy as compared to unsecured debt due to the collateral securing the loan.

- Mezzanine loans.

These loans generally form a transitional layer between secured debt and unsecured debt, and may be secured by a second (or where there is a second lien loan, third) priority claim on a borrower's assets. Due to the greater risk associated with such loans as a result of their subordination below senior debt of the borrower, mezzanine lenders may be granted share options or warrants in the borrower which can be exercised in certain circumstances, principally being immediately prior to the borrower's shares being sold or floated in an initial public offering. Some mezzanine obligations may provide that all or a portion of the interest payable thereon will not be paid on a current basis but will defer or be paid on a "payment-in-kind basis." Yields tend to reflect a premium to first lien loans and second lien loans, and these instruments may experience some protection with respect to recoveries in a bankruptcy (as compared to unsecured debt) due to the collateral securing the loan.

- Unsecured loans.

These loans generally benefit from a senior ranking in repayment priority, but not from a lien on a borrower's assets. As such, unsecured loans are contractually subordinated to secured loans with respect to the value of any borrower's assets subject to a lien. Such loans may benefit from the same covenant protection as first and second lien loans, which may afford protection as compared to unsecured bonds of the borrower with inferior covenant terms. ASMEO's investments in unsecured debt securities may include, but are not limited to, senior, junior and unsecured bonds, notes and other debt securities.

- High-Yield Bonds.

These are fixed income securities typically issued by non-investment-grade borrowers, usually at a yield premium to the yield for investment-grade bonds. Terms generally provide for cash interest payments, but may include deferred, zero coupon, or payment-in-kind terms. These investments may be acquired during the primary offering process and may also be purchased in the secondary market as either private securities or publicly registered securities. The Investment Manager expects that these bonds will typically have multiple institutional holders.

Holders of high-yield bonds, as creditors, have a prior legal claim over common and preferred stockholders as to both income and assets of the issuer for the principal and interest due them and may have a prior claim over other creditors but are generally subordinate to any senior secured lenders in the issuer's capital structure.

In most cases these instruments restrict the borrower's ability to incur additional debt or distribute value to its shareholders based upon measurement of agreed financial ratios associated with general credit quality. In addition, terms often limit the borrower's ability to repay or amortize its high-yield bonds, particularly during the initial portion of their contractual tenor. As such, these securities can provide the opportunity for capital appreciation or yield enhancement, especially when the borrower's financial performance is consistent with or superior to expectations, when conditions are favorable in the borrower's industry, or when the general economic environment is positive.

- Secured bonds and notes.

These bonds and notes generally constitute the senior-most layer of a borrower's capital structure and benefit from a lien on the borrower's assets as well as senior ranking in repayment priority. Owing to their claim position and collateral support, secured bonds and secured notes tend to experience superior recoveries in a bankruptcy as compared to unsecured debt due to the collateral securing these instruments. Such bonds and notes may rank *pari passu* in many respects with secured loans.

- Unsecured bonds.

Dependent upon their terms, these bonds can enjoy a senior ranking or subordinated ranking in repayment priority, but do not benefit from a lien on a borrower's assets. Unsecured bonds typically form a layer between a borrower's credit facility and its equity. Yields tend to reflect a premium in respect of a bond's position within a borrower's capital structure.

- Debt and Other Instruments

In addition, in order to facilitate capital deployment, generate income and as a potential source of liquidity, ASMEO Fund will invest a portion of its assets in a portfolio of Debt and Other Instruments, including cash and cash equivalents, debt securities and other credit instruments, public equities, money market funds, money market instruments, exchange-traded funds, interests in collateralized debt obligations and loan vehicles, and derivatives.

Subject to the limitations set out in the Articles and applicable laws and regulations, ASMEO may invest in loans or securities, the proceeds of which may refinance, realize or otherwise repay loans or securities of companies whose loans or securities are owned by Other Ares Funds. In addition ASMEO Fund may invest in loans or securities in companies whose loans, securities, economic ownership interests and voting rights are owned by Other Ares Funds. See Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations-Overlapping Investments with Other Ares Funds*" of the General Section of the Prospectus for further information.

ASMEO may, but is not required to, enter into interest rate, foreign exchange or other derivative agreements to hedge interest rate, currency, credit or other risks, but it generally does not intend to enter into any such derivative agreements for speculative purposes. ASMEO will not enter into any short-sale agreements. Any derivative agreements entered into for speculative purposes are not expected to be material to ASMEO's business or results of operations. Subject to compliance with applicable legal and regulatory requirements, these hedging activities may include the use of futures, options and forward contracts. ASMEO will bear the costs incurred in connection with entering into, administering and settling any such derivative contracts. There can be no assurance any investment in derivative securities including any hedging strategy employed will be successful.

Shareholders may, at any time, resolve at a duly convened class general meeting of each relevant Class of Shares to discontinue, limit or otherwise restrict ASMEO Fund's ability to invest in loans to non-U.S. borrowers, where the income from such loans would be treated as "effectively connected with a U.S. trade or business" (within the meaning of Section 864 of the U.S. Internal Revenue Code of 1986, as amended) if made to a U.S. borrower, and the Board of Directors shall implement such resolution accordingly.

Investment Restrictions of ASMEO Fund

ASMEO Fund will not at any one time directly or indirectly, through the Aggregator, invest and hold more than 25% of its NAV in any single entity, person or asset as measured at the time of investment; *provided* that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the Investment Manager under the oversight of the AIFM. No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring ASMEO Fund within this 25% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of ASMEO or any of its underlying investors.

This 25% diversification requirement will not apply during the Ramp-Up Period.

The Investment Manager may also impose additional limitations in its discretion based on the underlying investors in ASMEO Fund.

Structure of Investments and Investment Objectives of certain Other Ares Funds

Structure of Investments

ASMEO Fund will invest all or substantially all of its assets through the Aggregator.

ASMEO Fund may invest, directly or indirectly, a portion of its gross assets in Other Ares Funds (including ASMEO US), but will not invest more than 80% of its gross assets in any one Other Ares Fund.

Investment Objectives of ASMEO US

ASMEO US's investment objective is as a perpetual-life strategy, with monthly, fully-funded subscriptions and periodic repurchase offers, and is being established to seek to deliver long-term capital appreciation, and to a lesser extent, generate income by investing primarily in directly originated first lien, second lien, mezzanine and other high yield debt securities, preferred equity securities, common equity securities and other equity investments in sports leagues, sports teams and sports industry related companies, as well as media and entertainment companies. To a lesser extent, ASMEO US will also invest in liquid debt and other securities that are not directly originated, including, without limitation, broadly syndicated loans and other more liquid credit securities, public equities, interests in collateralized debt obligation and loan obligation vehicles, derivatives, money market instruments and cash and cash equivalents across asset classes (including those not related to sports, media or entertainment industries). While ASMEO US will invest globally, Ares expects that the majority of the ASMEO US Target SME Investments will be made in North American and European countries.

Parallel Entities

If it considers it appropriate for any legal, tax, regulatory, accounting compliance, structuring or other considerations of ASMEO Fund or of certain current or prospective Shareholders, the Investment Manager, or any of its affiliates may, in its sole discretion, establish one or more parallel vehicles to invest alongside ASMEO Fund (as determined in the Investment Manager's discretion) (the "**Parallel Vehicles**"), which may not have investment objectives and/or strategies that are identical to the investment objectives and strategies of ASMEO Fund, and/or feeder vehicles to invest through ASMEO Fund ("**Feeder Vehicles**," and collectively with Parallel Vehicles, the "**Parallel Entities**"). The costs and expenses associated with the organization and operation of any Parallel Entity and/or any Feeder Entity may be apportioned to, and borne solely by, the investors participating in such Parallel Entity and/or such Feeder Entity or be allocated among ASMEO Fund, the Aggregator, any Parallel Entities and/or Feeder Entities as determined by the Investment Manager in its reasonable discretion. Investors should note that, as a result of the legal, tax, regulatory, accounting, compliance, structuring or other considerations mentioned above, the terms of such Parallel Entities may differ substantially from the terms of ASMEO Fund. In particular, such differences may cause Parallel Entities to subscribe at, or have their Shares (and/or units as applicable) redeemed at, a different NAV per unit in the Aggregator than ASMEO Fund. For the avoidance of doubt ASMEO US does not comprise part of ASMEO, and is not a Parallel Vehicle or a Parallel Entity, and will instead be deemed to be an Other Ares Fund for the purposes of this Annex.

If it considers it appropriate for any legal, tax, regulatory, accounting, compliance, structuring or other considerations, the Investment Manager or any of its affiliates may, in its sole discretion, establish and introduce

one or more intermediate entities through which ASMEO Fund and/or any Parallel Entities shall invest in the Aggregator.

Leverage

ASMEO Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. ASMEO Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio to be in excess of 35% or such lower amounts as mandated by regulation or law as they come into force (the “**Leverage Limit**”) subject to the below; *provided*, that no remedial action will be required if the Leverage Limit is exceeded for any reason other than the incurrence of an increase in indebtedness (including the exercise of rights attached to an Investment).

“**Leverage Ratio**” means, on any date of incurrence of any such indebtedness, the quotient obtained by dividing (i) Aggregate Net Leverage (as defined below) by (ii) ASMEO Fund’s NAV plus the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of ASMEO Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to ASMEO Fund or such subsidiary special purpose financing vehicle respectively.

“**Aggregate Net Leverage**” means (i) the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of ASMEO Fund and any subsidiary special purpose financing vehicle thereof with direct recourse to ASMEO Fund or such subsidiary special purpose financing vehicle respectively, *minus* (ii) cash and cash equivalents of ASMEO Fund.

For purposes of determining Aggregate Net Leverage, the Investment Manager: (i) shall use the principal amount of borrowings, and not the valuations of ASMEO Fund’s borrowings as described in Section VI: “*Fees and Expenses of ASMEO Fund—Liabilities*” of this Annex, (ii) may, in its sole discretion, determine which securities and other instruments are deemed to be cash equivalents and (iii) will disregard any indebtedness between the different entities constituting ASMEO and its subsidiaries. ASMEO Fund’s assets or any part thereof, including any accounts of ASMEO Fund, may be pledged in connection with any credit facilities or borrowings. The Leverage Limit may be exceeded on a temporary basis to satisfy short-term liquidity needs, refinance existing borrowings or for other obligations, but in each case the Leverage Ratio will not exceed 35% or such lower amounts as mandated by regulation or law as they come into force. Any lower mandate leverage limit mandated by regulation or law could reduce the returns of ASMEO Fund.

For the avoidance of doubt, the Leverage Limit does not apply to indebtedness at the Investment level, guarantees of indebtedness, or other related liabilities that are not recourse indebtedness for borrowed money of ASMEO Fund.

ASMEO Fund may, but is not obligated to, engage in hedging transactions for the purpose of efficient portfolio management or for hedging purposes. The Investment Manager may review the hedging policy of ASMEO Fund from time to time depending on movements and projected movements of the relevant currencies and interest rates and the availability of cost-effective hedging instruments for ASMEO Fund at the relevant time.

Please also refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations—Use of Leverage*” of the General Section of the Prospectus.

Reference Currency

ASMEO Fund is denominated in U.S. Dollar (USD). ASMEO Fund will issue classes of Shares in multiple other currencies as the Board of Directors (or its delegate) may decide from time to time. The complete list of available Share Classes will be available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

NAV of each Class of Shares is reported to Shareholders and returns are calculated and reported in the currency of such Class of Shares. Gains or losses regarding Investments made using a different currency than the one of a given Class of Shares may include currency fluctuations relative to such Share Class currency.

IV. SHARE CLASS INFORMATION

Share Classes of ASMEO Fund

The following Classes of Shares are open to Shareholders in ASMEO Fund:

Class	Type of Share
A _A	Accumulation
B _A	Accumulation
C _A	Accumulation
D _A	Accumulation
E _A	Accumulation
FA _A	Accumulation
FI _A	Accumulation
I _A	Accumulation
J _A	Accumulation
J1 _A	Accumulation

Class A_A, Class B_A, Class C_A, Class D_A, Class E_A, Class FA_A, Class FI_A, Class I_A, Class J_A and Class J1_A Shares are Accumulation Sub-Classes. Shares will be made available in multiple currencies as the Board of Directors may decide from time to time. The complete list of available Classes of Shares may be made available online at the ASMEO Fund's website (<https://www.areswms.com/non-us/ares-sme-opps>), and will be made available at the registered office of AEFS SICAV.

Shareholders will subscribe for Accumulation Sub-Class Shares in respect of which, in lieu of receiving cash distributions, any such amounts will be reinvested in the relevant Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class unless the Board of Directors (or its delegate) determines that a distribution shall be made. Distributions (if any), whether made in cash or reflected in the NAV of the Accumulation Sub-Classes held by the Shareholders, are made at the discretion of the Board of Directors (or its delegate) and are subject to reasonable reserves for the payment of a *pro rata* portion of Operating Expenses (as defined below) and other obligations of ASMEO Fund attributable to such Shares (including Servicing Fees), and subject to allocating any required tax withholdings (or taxes paid or withheld with respect to such distributions from any Other Ares Fund).

Class A_A Shares (the “**Class A Shares**”) are available to all other investors. Class A Shares may be made available in certain countries to financial intermediaries who, as a result of applicable laws and regulations in those jurisdictions, are eligible to, and wish to, receive servicing and similar fees, commissions and/or retrocessions.

The Investment Manager may accept subscriptions for Class B_A Shares (the “**Class B Shares**”), Class C_A Shares (the “**Class C Shares**”) in its sole discretion, subject to the Minimum Subscription Amount.

Class D_A Shares (the “**Class D Shares**”) are available to certain investors who have entered into a discretionary portfolio management mandate with their financial intermediary with automatic rebalancing requirements in relation to a model portfolio and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.

Class E_A Shares (the “**Class E Shares**”) are generally available to employees of Ares, Other Ares Funds and other persons, as approved by the Investment Manager in its discretion. Class E Shares will not be subject to payment of any Servicing Fees, Management Fees or Performance Fees.

Class FA_A Shares (the “**Class FA Shares**”), and Class FI_A Shares (together, the “**Class FI Shares**”, and together with the Class FA Shares, the “**Class F Shares**”) are generally available to certain eligible investors as determined by the Investment Manager in its sole discretion, subject to the Minimum Subscription Amount.

Class I_A Shares (the “**Class I Shares**”) are generally available to investors who have account-based fee arrangements, known as advisory/wrap accounts, discretionary managed accounts, or comparable fee arrangements with their distributor or other financial intermediary. Class I Shares may also be available investors in markets with legal prohibition on payments of shareholder servicing and similar fees, and other categories of investors as determined by the Investment Manager in its sole discretion.

Class J_A and Class J1_A (the “**Class J Shares**”) are generally available to certain feeder vehicles, jurisdiction specific vehicles, or other categories of eligible investors, in each case as specifically determined by the Investment Manager in its sole discretion, subject to the Minimum Subscription Amount.

Notwithstanding the above, ASMEO Fund shall have full discretion to allocate the subscription of any Shareholder to any Class in order to reflect, *inter alia*, the subscription by Shareholders through a Parallel Entity.

Except as otherwise described herein, the terms of each Class of Shares are identical. Shares are issued in respect of a particular Class in ASMEO Fund. The Board of Directors (or its delegate) has the authority to, at any time, create and issue new Classes or types of Shares within ASMEO Fund at its discretion, with Shares having different rights, benefits, powers or duties and terms, including with respect to fees, distributions and liquidity.

Please also refer to Section VI: “*Fees and Expenses of ASMEO Fund—Subscription Fees*” and “*—Servicing Fee*” of this Annex.

Hedging

Individual Classes may be denominated in other currencies. ASMEO Fund may hedge Classes of Shares which are denominated in any currency other than the Reference Currency of ASMEO Fund, however, depending on the prevailing circumstances, ASMEO Fund may or may not hedge certain Classes, either partially or fully, and has no obligation to hedge any Class at all. In relation to currency hedging undertaken, if any, in the interest of a hedged Class, note that various Classes of Shares do not constitute separate portfolios of assets and liabilities. Accordingly, while gains and losses on the hedging transactions and the expenses of the hedging program will be allocated to the hedged Classes only, ASMEO Fund, as a whole (including the non-hedged Classes), may be liable for obligations in connection with currency hedges in favor of a specific Class of Shares and ASMEO Fund may also be liable for similar obligations in connection with currency hedges with respect to ASMEO Fund or a Parallel Entity. Additionally, any financing facilities or guarantees utilized in connection with the hedging program may be entered into by ASMEO Fund or the Aggregator (in respect of ASMEO Fund or a Parallel Entity) and not any specific Class.

V. SUBSCRIPTIONS, REDEMPTIONS AND OTHER TRANSACTIONS

Subscriptions in ASMEO Fund

Shares in ASMEO Fund will be offered primarily through distributors or other financial intermediaries, which generally have client net worth thresholds and other requirements. Accordingly, ASMEO Fund is primarily intended for investors with such distributor or other financial intermediary relationships. Investors should consult with their distributor or other financial intermediary to discuss potential eligibility and suitability to invest in ASMEO Fund and such distributor or other financial intermediary will provide appropriate investment advice on the suitability of the investment and the verification of such investor's satisfaction of the relevant eligibility requirements. Shares may also be offered to sophisticated and other professional investors that meet eligibility requirements for participating in ASMEO Fund at the Investment Manager's discretion.

Each potential Shareholder desiring to subscribe for Shares is required to execute a Subscription Document and make certain representations and warranties to ASMEO Fund including (without limitation) a representation to the effect that it: (1) (a) is not a U.S. person (as defined in Regulation S under the 1933 Act) or (b) is a Permitted U.S. Person (unless waived by the Investment Manager), (2) is purchasing such investment (x) in an offshore transaction in accordance with Regulation S under the 1933 Act or (y) in a transaction otherwise exempt from registration under the 1933 Act, including in reliance on Regulation D, and (3) is not, and does not have indirectly through any entities that are fiscally transparent for U.S. tax purposes, a "United States person" for U.S. federal income tax purposes (as such term is defined in Section 7701(a)(30) of the U.S. Internal Revenue Code of 1986, as amended). Each potential Shareholder must also satisfy the eligible Shareholder qualifications as set forth in the Subscription Document.

The initial minimum subscription amount (the "**Minimum Subscription Amount**") and the minimum subsequent subscription amounts (the "**Minimum Subsequent Subscription Amount**") by each Shareholder in ASMEO Fund are set out in the table below (although the Investment Manager may in its discretion accept the equivalent amount in another admitted currency):

Class of Shares	Minimum Subscription Amount	Minimum Subsequent Subscription Amount
Class A Shares, Class E Shares and Class I Shares	\$25,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)
Class D Shares, Class F Shares and Class J Shares	\$150,000,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)
Class B Shares and Class C Shares	\$250,000,000 for the U.S. Dollar denominated Classes of Shares and €250,000,000 for the EUR denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)	\$1,000 for the U.S. Dollar denominated Classes of Shares and €1,000 for the EUR denominated Classes of Shares (or the equivalent in the applicable currency, as determined by the Investment Manager in its sole discretion)

The initial Minimum Subscription Amounts set out above are subject, in each case, to such higher initial subscription amounts as required for a Shareholder's eligibility under applicable law, as provided in the Subscription Documents. Certain sub-distributors, countries and/or Classes may have higher minimums. Notwithstanding anything else herein, the Investment Manager may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given

Subscription Date, which could result in subscriptions being accepted on a day other than the first Business Day of the month. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Prospective investors in ASMEO Fund may subscribe to ASMEO Fund directly or via financial intermediaries or omnibus accounts. The investments made by a financial intermediary will not be aggregated in order to determine the investor's eligibility for a specific Class or its minimum initial subscription or holding.

Subscriptions and Issuance of Shares in ASMEO Fund

Initial Subscription Period and Ongoing Subscriptions

In respect of each new Class of Shares, up to the end of the Initial Subscription Period, the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion *plus* applicable Subscription Fees.

After the end of the Initial Subscription Period, subscriptions for Shares of ASMEO Fund may be made on an ongoing basis and will be accepted as of the first Business Day of each month (each, a “**Subscription Date**”).

Subscription Price

After the end of the Initial Subscription Period, Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date *plus* applicable Subscription Fees.

The subscription price per Share of each Class of Shares is equal to the NAV per Share for such Class of Shares as of the relevant Valuation Date. For example, if a prospective Shareholder wishes to make an initial subscription for Shares of ASMEO Fund in October, the initial subscription request must be received in good order at least six (6) Business Days before November 1st. The offering price will equal the NAV per Share of the applicable Class of Shares as of the last calendar day of October (i.e., the relevant Valuation Date), *plus* applicable Subscription Fees. If accepted, the subscription will be effective on the first Business Day of November (based on the October 31st NAV). In connection with a subscription of Shares, Shareholders may also be required to pay Subscription Fees (as defined below) to their distributor or other financial intermediary.

ASMEO Fund's monthly NAV as of the Valuation Date will generally be available by the 25th Business Day after the Subscription Date (e.g., the NAV for the November 1st Subscription Date will generally be available around December 8th). Prospective Shareholders will therefore not know the NAV per Share of their investment until after the investment has been accepted. Prospective Shareholders are required to subscribe for a USD (or the relevant Share Class's reference currency) amount, as applicable, and the number of Shares that such subscriber receives will subsequently be determined based on the NAV per Share as of the time such investment was accepted by ASMEO Fund (e.g., a Shareholder admitted to ASMEO Fund as of November 1st of a calendar year, whose investment is based on ASMEO Fund's NAV as of October 31st of such year, will learn of such NAV and the corresponding number of Shares represented by their subscription around December 8th of that year).

Subscription Procedure

A prospective Shareholder must notify ASMEO Fund of its desire to subscribe for Shares by 5 p.m. Central European Time at least six (6) Business Days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). To be accepted, a subscription request must be made with a completed and executed Subscription Document in good order, including (a) satisfying any additional requirements imposed by the subscriber's distributor or other financial intermediary, (b) satisfying the know your client (KYC), terrorist financing and anti-money laundering checks carried out by ASMEO Fund or its agent, and (c) any tax forms associated with a subscription (to the extent not already forming part of the Subscription Document).

Late subscription orders will be automatically resubmitted for the next available Subscription Date, unless such subscription order is withdrawn or revoked before 5 p.m. Central European Time on the last Business Day before such Subscription Date (subject to the Investment Manager's discretion to accept after such time). Subscription price amounts (whether in cash or in kind, as applicable) must be received no later than five (5) Business Days prior to the relevant Subscription Date. No interest will be paid on any payments received prior to this deadline.

Prospective Shareholders should note that incomplete subscription applications and subscription applications which are not settled by the relevant funding due date may be, in the discretion of the Investment Manager, cancelled or deferred to a subsequent Subscription Date by ASMEO Fund and any costs of cancellation, reasonable interest and/or other incurred charges may be passed on to the prospective Shareholder and may

be deducted from the subscription price paid by such prospective Shareholder, in the discretion of the Investment Manager.

Notwithstanding anything else herein, the Board of Directors or its delegate may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than a Subscription Date. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Subscriptions, redemptions and conversions of Shares should be made for investment purposes only. ASMEO Fund shall not permit short-term (market-timing) or other excessive trading practices, which may disrupt ASMEO Fund's portfolio management strategies and harm its performance. To minimize harm to ASMEO Fund and the Shareholders, the Investment Manager has the right to reject any subscription or conversion order from any subscriber who is engaging in excessive trading or has a history of excessive trading or if a subscriber's trading, in the opinion of the Investment Manager, has been or may be disruptive to ASMEO Fund. ASMEO Fund, the Investment Manager, the Board of Directors (or its delegate) and the AIFM will not be liable for any loss resulting from rejected orders.

Fractions of Shares to two (2) decimal places will be issued. The timing of Subscription Dates, Valuation Dates, and other applicable deadlines (including the deadlines for cancelling subscription and for the payment of the subscription price) may be modified from time to time by the Investment Manager in its sole discretion.

Redemption of Shares

Redemption Procedure

Whilst ASMEO Fund expects that there would be no regular secondary trading markets for Shares, redemptions are expected to be offered each calendar quarter at the NAV per Share calculated as of the last calendar day of the relevant calendar quarter.

A Shareholder may request to have some or all of its Shares redeemed by ASMEO Fund (each, a “**Redemption Request**”) as of the last calendar day of the relevant calendar quarter (each, a “**Redemption Date**”) by submitting a notice to ASMEO Fund that the Shareholder requests a certain number of its Shares be redeemed by ASMEO Fund in the form made available by ASMEO Fund by the Redemption Cut-Off Time, i.e., by 5 p.m. Central European Time at least sixty-five (65) calendar days prior to the relevant Redemption Date (e.g., a Shareholder requesting a September 30th redemption must submit their Redemption Request by 5 p.m. Central European Time on July 27th); *provided* that late notices may be accepted in the Investment Manager's sole discretion (acting as delegate of the Board of Directors). Once a Redemption Request has been submitted, the Shareholder will not be entitled to withdraw or revoke the Redemption Request without the express consent of the Investment Manager (acting as delegate of the Board of Directors), which consent may be given or withheld in their sole discretion.

Amounts distributed in connection with a Redemption Request will be based upon the NAV per Share of the applicable Class of Shares being redeemed, which in turn will in part be based on the most recently available NAV per share or units, as applicable, of the Other Ares Funds in which ASMEO directly or indirectly invests. The Investment Manager expects that settlements of Redemption Requests will generally be made within ten (10) Business Days after the relevant NAV Release Date (e.g., a Shareholder requesting a 30th September redemption would generally be expected to receive a settlement on or around November 23rd of the same year) (the “**Settlement Date**”) *provided* that this timing may vary depending on when redemption proceeds are actually received by ASMEO from Other Ares Funds.

Each Redemption Request will be processed on each Redemption Date at the NAV per Share of the applicable Class of Shares as of the Valuation Date falling on the applicable Redemption Date. Shareholders will not know the NAV per Share, and therefore the amount of their redemption, until the relevant NAV Release Date. In addition, due to the timing of the NAV Release Date, investors submitting Redemption Requests will also typically not know the NAV per Share for the prior month.

Shareholders whose Redemption Requests are accepted will cease to be Shareholders in respect of the redeemed Shares as of such Redemption Date and will therefore cease to be entitled to the rights of a Shareholder in respect of the redeemed Shares as of such date, including the right to receive distributions, and will not be entitled to interest on redemption payments due.

Redemption Limitation

The aggregate NAV of total redemptions per calendar quarter (on an aggregate basis (without duplication) across ASMEO, including redemptions in all Parallel Entities and the Aggregator, but excluding any Early Redemption Deduction and/or any Redemption Fee applicable to the redeemed Shares) is generally limited to 5% of the aggregate NAV measured as of the last calendar day of the previous calendar quarter (the “**Redemption Limitation**”), except in the exceptional circumstances described below. The foregoing limitation on redemptions is based on net redemptions during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to this paragraph. The term “**net redemptions**” means, during the applicable period, the excess of redemptions (capital outflows) over the proceeds from subscriptions (capital inflows). With respect to future periods, the Board of Directors (or its delegate) may choose whether the allocations and limitations will be applied to “gross redemptions,” (i.e., without netting against capital inflows), rather than to net redemptions. If redemptions for a given calendar quarter are measured on a gross basis rather than on a net basis, the redemption limitation could limit the number of Shares redeemed on any Redemption Date despite ASMEO Fund receiving net capital inflows for such calendar quarter. In order for the Board of Directors (or its delegate) to change the application of the allocations and limitations from net redemptions to gross redemptions or vice versa, ASMEO Fund will provide notice to Shareholders, at least ten (10) days before the first Business Day of the quarter for which the new test will apply.

No redemption proceeds will be paid unless and until cleared funds equal to the full amount of the subscription price (or any other amounts payable by such Shareholder to ASMEO Fund) due but not yet paid for the Shares to be redeemed has been received by ASMEO Fund. No interest will be paid to Shareholders on redemption proceeds paid after the Settlement Date.

Any redemption made for the purpose of upstreaming cash (a) to settle a properly incurred liability of ASMEO Fund, the Aggregator or any Ares-managed feeder vehicle of ASMEO; (b) for cash management purposes at the level of ASMEO Fund, the Aggregator or any Ares-managed feeder vehicle of ASMEO; and/or (c) to declare a distribution or dividend at the level of ASMEO Fund, or the Aggregator will not be subject to any Early Redemption Deduction and/or a Redemption Fee, and will not be taken into account for the purposes of calculating the Redemption Limitation, in each case provided that the upstreaming of cash is not used to effect the Redemption Requests of, and/or provide priority redemption rights to, underlying investors of ASMEO Fund, the Aggregator or any Ares-managed feeder vehicle of ASMEO.

In exceptional circumstances and not on a systematic basis, ASMEO Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in ASMEO’s best interest and the best interest of ASMEO’s investors as a whole, such as when redemptions are unable to be made in Other Ares Funds in which ASMEO is directly or indirectly invested (including for the avoidance of doubt ASMEO US), when redemptions of Shares would place an undue burden on ASMEO’s liquidity, adversely affect ASMEO’s operations, risk having an adverse impact on ASMEO that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to the Redemption Limitation and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in ASMEO’s best interest and the best interest of ASMEO’s investors.

Investors should note that the Other Ares Funds (including for the avoidance of doubt ASMEO US) in which ASMEO is expected to be directly or indirectly invested may contain restrictions on redemptions or repurchases that prohibit ASMEO from liquidating the shares, interests, units and/or other similar instruments that it holds in such Other Ares Funds. In particular, investors should note that ASMEO US intends to offer to repurchase, at the discretion of the board of ASMEO US, up to 3% of ASMEO US’s outstanding units (either by number of units of ASMEO US or aggregate NAV) in each calendar quarter. The general partner of ASMEO US may amend, suspend or terminate the share repurchase program.

In the event that, pursuant to the limitations above, not all of the Shares submitted for redemption during a given quarter are to be accepted for redemption by ASMEO Fund, Shares submitted for redemption during such quarter will be redeemed on a *pro rata* basis (measured on an aggregate basis (without duplication) across ASMEO if applicable). All unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date, unless such a Redemption Request is withdrawn or revoked by a Shareholder before such Redemption Date in the manner as described above.

Sources of Funds for Redemptions

The Board of Directors (or its delegate) may in its discretion, after taking the interests of ASMEO Fund as a whole and the interests of the remaining Shareholders into consideration, use proceeds from any available sources at ASMEO Fund's disposal to satisfy Redemption Requests, subject to the Redemption Limitation. Potential sources of funding redemptions include, but are not limited to, cash on hand, cash available from borrowings, cash from the sale of Shares and cash from liquidations of investments, to the extent that such funds are not otherwise dedicated to a particular use, such as working capital, cash distributions to Shareholders or Investments.

Although a majority of ASMEO Fund assets consist of Target SME Investments that cannot generally be readily liquidated on short notice without impacting ASMEO Fund's ability to realize full value upon their disposition, ASMEO Fund intends to maintain a number of sources of Debt and Other Instruments. ASMEO Fund may fund redemptions from any available source of funds, including operating cash flows, borrowings, proceeds from the offering of the Shares and/or sales of ASMEO Fund's assets.

Early Redemption Deduction and Redemption Fee

Shares held for less than twenty-four (24) months will be subject to an early redemption deduction (the "**Early Redemption Deduction**") as set out below:

Class of Shares	Early Redemption Deduction
Class A Shares, Class B Shares, Class C Shares, Class F Shares and Class I Shares	5% of the NAV of the redeemed Shares (calculated as of the relevant Redemption Date)
Class D Shares, Class E Shares and Class J Shares	0%

Class D Shares, Class E Shares and Class J Shares may be subject to a redemption fee (such fee, as applicable, the "**Redemption Fee**"): (i) redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of up to 5% of the NAV of the Class D Shares and Class E Shares being redeemed (calculated as of the relevant Redemption Date), as determined by the Investment Manager in its sole discretion from time to time; and (ii) redemptions of Class J Shares will be subject to a Redemption Fee of (a) 2% of the NAV of the Class J Shares being redeemed (calculated as of the relevant Redemption Date) if the resulting Redemption Date falls within a twelve (12)-month period from the initial subscription date of the Class J Shares or (b) 0.3% of the NAV of the Class J Shares being redeemed (calculated as of the relevant Redemption Date) if the resulting Redemption Date falls after such twelve (12)-month period.

To the extent applicable with respect to the Class D Shares and Class E Shares, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager.

If a redeeming Shareholder, who invested in ASMEO Fund for its own account, owns Shares of more than one Series of the Class being redeemed, such Shares will be deemed to be redeemed on a "first-in-first-out" basis. If a redeeming Shareholder invested in ASMEO Fund as a financial intermediary on behalf of underlying investors, it must indicate in its Redemption Request the relevant Series of Shares to be redeemed.

The Early Redemption Deduction and/or any Redemption Fee will generally inure indirectly to the benefit of the Aggregator (and indirectly ASMEO Fund and all other vehicles invested in the Aggregator, including their respective investors). To the extent a corresponding fee, charge or deduction is applicable in respect of the relevant Other Ares Funds, the relevant portion of the Early Redemption Deduction will inure indirectly to the benefit of the Other Ares Funds accordingly (and indirectly ASMEO Fund and all the other vehicles invested in such Other Ares Funds).

ASMEO Fund may, from time to time, waive the Early Redemption Deduction and/or any Redemption Fee in its sole discretion, including without limitation in the case of redemptions resulting from death, qualifying disability, divorce, or where operational, administrative, and/or system limitations prohibit the Early Redemption Deduction and/or any Redemption Fee from being properly applied.

All questions as to the applicability of the Early Redemption Deduction and/or any Redemption Fee to specific facts and the validity, form, eligibility (including time of receipt of required documents) of a qualification for an

exemption from the Early Redemption Deduction and/or any Redemption Fee will be determined by the Investment Manager, in its sole discretion, and its determination shall be final and binding.

Minimum Account Redemptions

In the event that any Shareholder fails to maintain the minimum balance of \$25,000 (or the equivalent in any currency as may be determined by the Board of Directors or its delegate) of Shares, the Board of Directors (or its delegate) may redeem all of the Shares held by that Shareholders at the redemption price in effect on the date the Board of Directors (or its delegate) determines that the Shareholder has failed to meet the minimum balance, *less* any Early Redemption Deduction and/or Redemption Fee. Minimum account redemptions are subject to Early Redemption Deductions and/or Redemption Fees, as applicable.

Compulsory Redemption with regard to Prohibited Persons

If the Board of Directors (or its delegate) discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person (as defined below), either alone or in conjunction with any other person, whether directly or indirectly, the Board of Directors (or its delegate) may at its discretion and without liability, compulsorily redeem (in whole or in part) the Shares in accordance with the Articles, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such redemption may take priority over any requested redemptions made by other investors (which may be delayed as a result). For the avoidance of doubt, in the case of a Shareholder holding Shares which can be allocated to several beneficial owners, such compulsory redemption may only be applied to the part of the portion of such Shares allocable to the beneficial owner qualifying as a Prohibited Person.

In addition, in the case of a Prohibited Person where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, or (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, the Board of Directors (or its delegate) is also entitled to convert the Shares of the Prohibited Person provided that after such conversion the Shareholder no longer qualifies as a Prohibited Person.

The Board of Directors (or its delegate) may require any Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) to provide it with any information that it may consider necessary for the purpose of determining whether or not such Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) is or will be a Prohibited Person.

Further, Shareholders shall have the obligation to immediately inform ASMEO Fund to the extent the ultimate beneficial owner of the Shares held by such Shareholders becomes or will become a Prohibited Person.

For the purpose of this clause, "**Prohibited Person**" shall mean any person, firm, partnership or corporate body (including a Shareholder (and/or an underlying investor where the Shareholder subscribed to the Shares on its behalf of such underlying investor and/or for such underlying investor's benefit)):

- that is not eligible as investor for a Class of Shares set out in this Annex (or that ceases for any reason to be eligible to hold such Shares and/or given Class as per the eligibility criteria set out in this Annex); and/or
- whose holding of Shares, in the sole opinion of the Board of Directors or its delegate, may (i) be detrimental to the interests of ASMEO, the other Shareholders and/or the Sponsor; (ii) result in a breach of any law or regulation, whether in Luxembourg or abroad; (iii) result in ASMEO, the other Shareholders or the Sponsor becoming exposed to regulatory, tax, economic or reputational damages, obligations, disadvantages, fines or penalties that it would not have otherwise incurred; (iv) cause ASMEO, any Intermediate Vehicle or any portfolio companies to be ineligible to obtain or hold any regulatory or other governmental authorization, status, or exemption necessary or useful for the business of ASMEO, any Intermediate Vehicle or any portfolio companies, the Sponsor or any affiliate of the Sponsor; (v) result in a violation or be inconsistent with any applicable sports league rules; or (vi) result in a Sports League Adverse Effect (as defined below).

For the purposes hereof, a "**Sports League Adverse Effect**" means a significant impairment, delay or other negative impact on the ability of the ASMEO Fund or any Intermediate Vehicle to acquire or own an Investment (directly or indirectly) in a sports league or a team or franchise within a sports league that is attributable (directly

or indirectly) to (a) a Shareholder's status (and/or an underlying investor where the Shareholder subscribed to the Shares on its behalf of such underlying investor and/or for such underlying investor's benefit) as a shareholder of ASMEO Fund, and/or (b) the violation (or pending violation) of a sports league rule related to or arising out of a Shareholder's status (and/or an underlying investor where the Shareholder subscribed to the Shares on its behalf of such underlying investor and/or for such underlying investor's benefit) as a shareholder of ASMEO Fund (including such Shareholder's indirect interest in such sports league or team or franchise).

Conversions Between Classes

Conversions of Shares between Classes in ASMEO Fund are allowed. The Board of Directors (or its delegate) may suspend conversions in respect of Shares during any period that the determination of the NAV of the relevant Class is suspended in accordance with the rules set out in the Articles and this Annex.

Conversion at the Request of Shareholders

A Shareholder may request the conversion of all or part of its Shares of a Class on any Valuation Date; *provided* that the Shareholder fulfils the eligibility criteria of the relevant Class into which the conversion is requested and subject to the written consent of the Shareholder's broker, distributor or other financial intermediary, if applicable, and the Board of Directors (or its delegate). Any conversion request which, when executed, would cause the Shareholder's investment to fall below the applicable minimum holding requirement, will be considered as a request for a full conversion for that Shareholder's Shares in that particular Class.

Procedure

Written conversion orders should be sent to the Central Administration at least five (5) Business Days before the relevant Valuation Date or such shorter period as determined by the Board of Directors or its delegate (the "**Conversion Cut-off**").

All conversion orders must contain the following information:

- the Valuation Date in respect of which the conversion request is made;
- the full name(s) in which the Shares to be converted are registered;
- the Class and its ISIN code from which Shares are to be converted and the Class and its ISIN code to which Shares will be converted; and
- either the monetary amount or the number of Shares to be converted.

If accepted, conversion orders received by the Central Administration before the relevant Valuation Date in respect of which the conversion order is made will be dealt with on such Valuation Date on the basis of the NAV of the relevant Classes prevailing on that Valuation Date.

Any conversion orders received after the Conversion Cut-off for a Valuation Date will be processed on the next Valuation Date on the basis of the NAV of the relevant Classes prevailing on such Valuation Date.

The rate at which all or part of the Shares of one Class (the "**Initial Class**") are converted into another Class (the "**New Class**") is determined in accordance with the following formula:

$$A = \frac{B \times C \times D}{E}$$

where:

- A is the number of Shares to be allocated in the New Class;
- B is the number of Shares of the Initial Class to be converted;
- C is the NAV per Share of the Initial Class determined on the relevant Valuation Date;

- D the currency conversion factor, which is the relevant currency rate as at the respective Valuation Date, or where the Shares of the New Class are denominated in the same currency of the Initial Class, $D = 1$; and
- E is the NAV per Shares of the New Class determined on the relevant Valuation Date.

Following such conversion of Shares, the Central Administration will inform the respective Shareholder of the number of Shares of the New Class obtained by conversion and the price thereof. Fractions of Shares in the New Class to two decimal places may be issued.

Conversion by decision of the Board of Directors

The Board of Directors or its delegate may in its own discretion at any time convert Shares from one Class into another Class of Shares where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class as set out in this Annex, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, or (iv) the Board of Directors or its delegate determines that such conversion is necessary or advisable and not inequitable to Shareholders.

The procedure set out above will apply accordingly.

Transfers

Shareholders may transfer part or all their Shares upon prior consent from the Board of Directors or its delegate, in their sole discretion, which shall be provided within thirty (30) calendar days from its notification. The absence of a favorable response within thirty (30) calendar days shall be considered as a refusal to such transfer.

Any transferee must provide ASMEO Fund with a duly completed Subscription Document, any required AML/KYC documents and any additional information or documentation as requested by the Board of Directors or its delegate in connection with the transfer and by the transferee's broker, distributor or other financial intermediary, as applicable.

VI. FEES AND EXPENSES OF ASMEO

Management Fee

In consideration for its services with respect to ASMEO Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a management fee (the “**Management Fee**”) equal to, for each Class of Shares, up to 1.40% of the NAV of each Class of Shares (except for Class E Shares) per annum payable monthly in arrears based on month end values, before giving effect to any accruals for the Management Fee, the Performance Fee, the Servicing Fee (as defined below), redemptions for that month (if applicable), any distributions and any impact to NAV solely caused by currency fluctuations and/or currency hedging activities for non-USD Classes, non-USD classes of units of the Aggregator and/or non-USD classes of shares or units of Parallel Entities (where applicable) and any accrued and unpaid taxes of any Intermediate Vehicle (including, without limitation, corporations) through which ASMEO Fund invests (or any comparable entities of Other Ares Funds in which ASMEO Fund directly or indirectly participates) or taxes paid by any such entity during the applicable month. The Management Fee may be paid by ASMEO Fund, or alternatively and without duplication, by the Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of ASMEO Fund.

While ASMEO may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Other Ares Funds (including for the avoidance of doubt ASMEO US), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to ASMEO together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described herein.

The AIFM (and/or such other combination of persons as the Investment Manager may designate) may elect to receive the Management Fee in cash, Shares, units of the Aggregator and/or shares or units of Parallel Entities (where applicable). If the Management Fee is paid in Shares, Aggregator units and/or shares or units of Parallel Entities (where applicable), such Shares, shares and/or units may be redeemed at the AIFM’s request (and/or at the request of such other combination of persons as the Investment Manager may designate), and will not be subject to any of the limitations set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” and “*—Early Redemption Deduction and Redemption Fee*” of this Annex.

The AIFM may separately elect for the Management Fee to be paid (in whole or in part) to an affiliate of the AIFM (and/or such other combination of persons as the Investment Manager may designate) in satisfaction of Management Fee amounts owed to the AIFM in connection with services provided by such affiliate to ASMEO and/or any Intermediate Vehicle. In addition, the AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time.

For the avoidance of doubt, in the event the Management Fee is paid by the Aggregator, the Parallel Entities and/or any Intermediate Vehicle, such payment shall be made on behalf of ASMEO Fund in consideration of the services provided by the Investment Manager and the AIFM to ASMEO Fund. For the avoidance of doubt, where a management fee is calculated and paid by a Parallel Entity on the basis of such entity’s own NAV (whether or not such management fee is calculated and paid on the same basis as the Management Fee), such fees will be charged without duplication, and the NAV of such Parallel Entity will be disregarded for the purposes of the calculation and payment of the Management Fee to be paid by other ASMEO vehicles.

Performance Fee

The Investment Manager (or, alternatively, any other entity or vehicle affiliated with Ares designated by the Investment Manager) (the “**Recipient**”) will be entitled to the payment of a performance fee (the “**Performance Fee**”) (except for Class E Shares) equal to up to 15.0% of Total Return subject to a 5% annual Hurdle Amount and a High Water Mark with 100% Catch-Up (each as defined below). The Performance Fee may be paid by ASMEO Fund, or alternatively and without duplication, by the Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of ASMEO Fund.

The Performance Fee will be measured on a calendar year basis and accrue monthly (subject to pro-rating for partial periods) and will be payable either in cash or in Shares, limited partnership interests of the Aggregator and/or shares, or limited partnership interests or units of Parallel Entities (where applicable). Specifically, the Recipient is entitled to be paid a Performance Fee in an amount equal to:

- First, if the Total Return for the applicable period exceeds the sum of the Hurdle Amount for that period and the Loss Carryforward Amount (any such excess, “**Excess Profits**”), 100% of such Excess Profits until the total amount entitled to be paid to the Recipient equals up to 15% of the sum of (x) the Hurdle Amount for that period and (y) any amount entitled to be paid to the Recipient pursuant to this clause (any such amount, the “**Catch-Up**”); and
- Second, to the extent there are remaining Excess Profits, up to 15% of such remaining Excess Profits.

For each Reference Period, the Recipient will also be entitled to be paid a Performance Fee with respect to all Shares that are redeemed in connection with redemptions of Shares in an amount calculated as described above with the relevant period being the portion of the Reference Period for which such Shares were outstanding, and proceeds for any such Shares redemption will be reduced by the amount of any such Performance Fee.

The ESMA Guidelines ESMA34-39-992 on performance fees in UCITS and certain types of AIFs do not apply to ASMEO Fund as it follows a private equity strategy as described in this Annex.

The Recipient may elect to receive the Performance Fee in cash, Shares, limited partnership interests of Aggregator and/or shares, limited partnership interests or units of Parallel Entities (where applicable). If the Performance Fee is paid in Shares, limited partnership interests of Aggregator and/or shares, limited partnership interests or units of Parallel Entities (where applicable), such Shares, shares, limited partnership interests or units may be redeemed at the Recipient’s request and will not be subject to the limitations in Section V: “*Subscriptions, Redemptions and Other Transactions*” of this Annex, the Early Redemption Deduction and/or Redemption Fee.

“**Total Return**” for any period since the end of the prior Reference Period shall equal the sum of:

- all distributions accrued or paid (without duplication) on Shares outstanding at the end of such period since the beginning of the then-current Reference Period; *plus*
- the change in aggregate NAV of such Shares since the beginning of the Reference Period before giving effect to (x) changes resulting solely from the proceeds of issuances of Shares, (y) any accrual or payment of the Performance Fee and (z) any applicable Servicing Fee expenses or similar fees (including any payments made to ASMEO Fund for payment of such expenses and any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee); *provided*, that the aggregate NAV of such Shares shall be calculated without taking into account any accrued and unpaid taxes of any Intermediate Vehicle (or the receipts of such Intermediate Vehicle) through which ASMEO Fund indirectly invests (or any comparable entities of Other Ares Funds in which ASMEO Fund may directly or indirectly participate) or taxes paid by any such entity since the end of the prior Reference Period; *minus*
- without duplication, all Operating Expenses but excluding applicable expenses for the Servicing Fee or similar fees (including any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee).

For the avoidance of doubt, the calculation of Total Return will be made in the Reference Currency and will (i) include any appreciation or depreciation in the NAV of Shares issued during the then-current Reference Period, (ii) treat certain taxes incurred (directly or indirectly) by ASMEO Fund which relate to a Shareholder as part of the distributions accrued or paid on Shares and treat any withholding tax on distributions paid by or received by the Aggregator as part of the distributions accrued or paid on limited partnership interests of the Aggregator, (iii) exclude the proceeds from the initial issuance of such Shares and (iv) exclude any impact to Total Return solely caused by currency fluctuations and/or currency hedging activities and costs for non-USD Share Classes, and/or non-USD classes of limited partnership interests of the Aggregator and/or non-USD classes of shares or limited partnership interests of any Parallel Entities, in each case as determined in the good faith judgment of the Investment Manager.

“**Hurdle Amount**” for any period during a Reference Period means that amount that results in a 5% annualized internal rate of return on the NAV of Shares outstanding at the beginning of the then-current Reference Period and all Shares issued since the beginning of the then-current Reference Period, calculated in accordance with recognized industry practices and taking into account:

- the timing and amount of all distributions accrued or paid (without duplication) on all such Shares *minus* all Operating Expenses but excluding applicable expenses for the Servicing Fee or similar fees (including

any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee); and

- all issuances of Shares over the period.

The ending NAV of Shares used in calculating the internal rate of return will be calculated before giving effect to any accrual or payment of the Performance Fee and applicable expenses for the Servicing Fee or similar fees (including any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee) and without taking into account any accrued and unpaid taxes of any Intermediate Vehicle (or the receipts of such Intermediate Vehicle) through which ASMEO Fund directly or indirectly invests (or any comparable entities of Other Ares Funds in which ASMEO Fund directly or indirectly participates) or taxes paid by any such entity since the end of the prior Reference Period. For the avoidance of doubt, the calculation of the Hurdle Amount for any period will be made in the Reference Currency and will exclude any Shares redeemed during such period, which such Shares will be subject to the Performance Fee upon redemption as described above and any impact to the Hurdle Amount solely caused by currency fluctuations and/or currency hedging activities and costs for non-USD Classes.

No Performance Fee will be charged at the level of ASMEO Fund in respect of its Investments in Other Ares Funds which bear carried interest, incentive fee or other performance-based compensation in such Other Ares Fund, and any Total Return and Hurdle Amount related to such Investments will be disregarded for the purposes of calculating the Performance Fee accordingly. Where such Investments in Other Ares Funds (including ASMEO US) do not bear carried interest, incentive fee or other performance-based compensation, the Performance Fee in respect of such Investments will be charged at the level of ASMEO Fund.

Except as described in “*Loss Carryforward Amount*” below, any amount by which Total Return falls below the Hurdle Amount will not be carried forward to subsequent periods.

Except as noted below with respect to a Quarterly Shortfall (as defined below), the Recipient will not be obligated to return any portion of the Performance Fee paid due to the subsequent performance of ASMEO Fund.

“**Loss Carryforward Amount**” shall initially equal zero and shall cumulatively increase by the absolute value of any negative annual Total Return and decrease by any positive annual Total Return; *provided*, that the Loss Carryforward Amount shall at no time be less than zero; and *provided further*, that the calculation of the Loss Carryforward Amount will exclude the Total Return related to any Shares redeemed during the applicable Reference Period, which Shares will be subject to the Performance Fee upon redemption as described above. The effect of the Loss Carryforward Amount is that the recoupment of past annual Total Return losses will offset the positive annual Total Return for purposes of the calculation of the Performance Fee. This is referred to as a “**High Water Mark**”.

Management Fees and the Performance Fees are calculated in U.S. Dollar and therefore Shareholders holding Shares with a functional currency other than the U.S. Dollar are exposed to fluctuations of the U.S. Dollar foreign exchange rate and/or hedging costs, which may lead to higher Management Fees and Performance Fees being borne by such Shareholders compared to Shareholders holding Shares with U.S. Dollar as the functional currency.

“**Reference Period**” means each 12-month period beginning on January 1st and ending on December 31st; *provided*, that the initial Reference Period for ASMEO Fund shall be the period from the Initial Subscription Date to December 31, 2026.

In addition, the Recipient may waive all or any part of the Performance Fee in its discretion from time to time.

Following January 1, 2027, promptly following the end of each calendar quarter that is not also the end of a calendar year, the Recipient will be entitled to the payment of a Performance Fee as described above calculated in respect of the portion of the year to date, *less* any Performance Fee received with respect to prior quarters in that year (the “**Quarterly Payment**”). The Performance Fee that the Recipient is entitled to receive at the end of each calendar year will be reduced by the cumulative amount of Quarterly Payments that year. If a Quarterly Payment is made and at the end of a subsequent calendar quarter in the same calendar year the Recipient is entitled to a lesser amount than the previously received Quarterly Payment(s) (a “**Quarterly Shortfall**”), then subsequent distributions of any Quarterly Payments or year-end Performance Fee in that calendar year will be reduced by an amount equal to such Quarterly Shortfall, until such time as no Quarterly Shortfall remains. If all or any portion of a Quarterly Shortfall remains at the end of a calendar year following the application described in the previous sentence, distributions of any Quarterly Payments and year-end Performance Fee in the subsequent four (4) calendar years will be reduced by (i) the remaining Quarterly Shortfall plus (ii) an annual rate of 5% on the remaining Quarterly Shortfall measured from the first day of the calendar year following the year in which the

Quarterly Shortfall arose and compounded quarterly (collectively, be the “**Quarterly Shortfall Obligation**”) until such time as no Quarterly Shortfall Obligation remains; *provided*, that the Recipient (or its affiliate) will use the proceeds of any redemptions of its Shares, limited partnership interests of Aggregator and/or shares, limited partnership interests or units of Parallel Entities (where applicable) (excluding Shares, limited partnership interests of Aggregator and/or shares, limited partnership interests or units of Parallel Entities (where applicable) that have been subsequently distributed to personnel of the Recipient or its affiliates) made after a Quarterly Shortfall Obligation arose to make cash payments to reduce the Quarterly Shortfall and may make a full or partial cash payment to reduce the Quarterly Shortfall Obligation at any time; *provided*, further, that if any Quarterly Shortfall Obligation remains following such subsequent four (4) calendar years, then the Recipient (or its affiliate) will promptly pay ASMEO Fund the remaining Quarterly Shortfall Obligation (net of taxes paid on the Quarterly Shortfall calculated at the Assumed Income Tax Rate) in cash.

Any Quarterly Shortfall Obligation that is owed to ASMEO Fund as of a Valuation Date (even if not required to be paid until a future date) will be reflected in ASMEO Fund’s NAV. For example, if the Shares of a Shareholder are redeemed pursuant to the redemption program with a June 30th Valuation Date, such Shareholder would be entitled to the benefit of any Quarterly Shortfall Obligation owed as of June 30th whether or not such obligation has yet been paid. Because of this, Shareholders are not impacted by the timing of the repayment of the Quarterly Shortfall Obligation even though the Recipient has up to four (4) years to make this payment (in the unlikely event that such obligation is not first met by offsetting future Performance Fee). Interest will accrue on the Quarterly Shortfall Obligation while it remains outstanding and such interest obligation would also be included in ASMEO Fund’s NAV.

“**Assumed Income Tax Rate**” means the highest marginal rates applicable to a natural person resident in a United States jurisdiction provided under applicable federal, state, local and non-U.S. income tax laws to which the Recipient’s partners or former partners (or any of their respect direct or indirect beneficial owners) are subject, ignoring any allowable U.S. federal income tax deduction for state and local taxes if not fully deductible, and assuming that the 3.8% Medicare tax imposed under Section 1411 of the Code is payable and treated as an additional tax, and using such other assumptions as the Recipient may determine.

Subscription Fees

Certain distributors or other financial intermediaries through which a Shareholder was placed in ASMEO Fund may charge such Subscription Fees on Shares sold in the offering that are paid by the Shareholder outside of its investment in ASMEO Fund and not reflected in ASMEO Fund’s NAV. In certain circumstances the Subscription Fees may be paid to Ares and reallocated, in whole or in part, to the distributor or other financial intermediary that placed the Shareholder into ASMEO Fund. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.

Servicing Fee

Each Class of Shares will bear a Servicing Fee equal to the amount set out in the table below (on an annualised basis):

Class of Shares	Servicing Fee
Class A Shares, Class B Shares and Class FA Shares	Up to 0.85% on NAV per annum (before deducting the Servicing Fee for that month and before giving effect to any redemptions for that month (if applicable))
Class C Shares, Class D Shares, Class E Shares, Class FI Shares, Class I Shares and Class J Shares	0.00% on NAV per annum

For the avoidance of doubt, the Servicing Fees will be payable by ASMEO Fund and Shareholders will not be billed separately for payment of the fees. The Servicing Fee will be calculated on the NAV of the relevant Class of Shares before giving effect to accruals for the Servicing Fee, the redemptions for that month (if applicable), or distributions payable on such Class of Shares.

The servicing fee is allocated to the financial intermediary through which an underlying investor was placed in ASMEO Fund and/or the financial intermediary which provides ongoing services to such underlying investor in each case as determined by the Investment Manager in its sole discretion (such fee, the “**Servicing Fee**”). Any Servicing Fee will compensate such representative for any placement, reporting, administrative and/or other services provided to an underlying investor by such representative. The receipt of the Servicing Fee will result in a conflict of interest.

Organizational and Offering Expenses

The Organizational and Offering Expenses may be apportioned to, and borne solely by, ASMEO Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Organizational and Offering Expenses are attributable to ASMEO Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

The Investment Manager has agreed to advance all of ASMEO Fund’s (including the expenses associated with ASMEO Fund, the Aggregator, any Intermediate Vehicle, or any of their respective Parallel Entities or Feeder Entities) Organizational and Offering Expenses through the Effective Date. ASMEO Fund, the Aggregator or the relevant Parallel Entities or Feeder Entities, as applicable, will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date.

After the Effective Date, ASMEO Fund, the Aggregator, the relevant Parallel Entities and/or Feeder Entities, as applicable, will reimburse the Investment Manager for any Organizational and Offering Expenses that it has incurred on each entity’s behalf as and when incurred.

Liabilities

With respect to each Class of Shares, the AIFM will include the value (as prescribed under IFRS) of such Class’s *pro rata* portion of ASMEO Fund’s liabilities as part of the Class’s monthly NAV calculation. These liabilities are expected to include the fees payable to the Investment Manager, the AIFM and the Recipient (and/or such other combination of persons as the Investment Manager may designate), accounts payable, accrued operating expenses, any portfolio-level credit facilities, other borrowings and other liabilities.

For purposes of calculating ASMEO Fund’s NAV, the Organizational and Offering Expenses and/or Operating Expenses paid by the Investment Manager through the Effective Date pursuant to this Section VI “*Fees and Expenses of AEFS— Organizational and Offering Expenses*” or “*— Initial Operating Expenses Support*”, as applicable, are not recognized as expenses or as a component of equity and reflected in ASMEO Fund’s NAV until ASMEO Fund reimburses the Investment Manager for these costs.

The AIFM’s valuation of each Investment’s liabilities, including any third-party incentive fee payments or investment level debt, deal terms and structure will not be reviewed by AEFS’s independent valuation advisor or appraised.

Operating Expenses

The Operating Expenses (as defined below) may be apportioned to, and borne solely by, ASMEO Fund or allocated to each Sub-Fund as determined by the Investment Manager in its reasonable discretion.

The Investment Manager will determine what Operating Expenses are attributable to ASMEO Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

Initial Operating Expenses Support

The Investment Manager may at its discretion advance all or portion of the Operating Expenses to be borne by ASMEO Fund, the proportion of expenses of the Aggregator borne by ASMEO Fund, and the appropriately apportioned expenses relating to Portfolio Entities and Parallel Entities, in each case as determined pursuant to the terms of this Prospectus (collectively, “**Initial Operating Expenses Support**”) through the Effective Date. ASMEO Fund and the Aggregator (as applicable and as determined by the Investment Manager in its sole discretion), will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date or on such earlier date as determined by the Investment Manager.

Discretionary Expense Cap

In addition to the foregoing, the Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by ASMEO Fund (or a specific Class thereof, as applicable) and/or the Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, ASMEO Fund (or the relevant Class thereof), the Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed.

Fees and Expenses Charged at the level of Other Ares Funds

ASMEO Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any Portfolio Funds, including any Other Ares Funds (including ASMEO US, as applicable), in each case to the extent applicable and in accordance with their relevant governing documents.

However, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously at the level of ASMEO and Other Ares Funds (including ASMEO US). Therefore, no Performance Fee will be charged at the level of ASMEO Fund in respect of its Investments in Other Ares Funds which bear carried interest, incentive fee or other performance-based compensation in such Other Ares Funds. Where such Investments in Other Ares Funds (including ASMEO US) do not bear carried interest, incentive fee or other performance-based compensation, the Performance Fee in respect of such Investments will be charged at the level of ASMEO Fund.

While ASMEO may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Other Ares Funds (including for the avoidance of doubt ASMEO US), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to ASMEO together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: “*Fees and Expenses of ASMEO—Management Fee*”.

Fees arising at multiple levels

To the extent the Management Fee and/or Performance Fee may apply at the level of ASMEO Fund, Aggregator and/or any other Intermediate Vehicle or Parallel Entity, Shareholders will only be charged such Management Fee and/or Performance Fee by the Investment Manager, the AIFM and the Recipient (and/or such other combination of persons as the Investment Manager may designate) once.

VII. Valuation Procedures

ASMEO Fund's monthly NAV as of each Valuation Date, i.e., as of the last calendar day of each month, will generally be available by the 25th Business Day after the immediately following Subscription Date. AESMO Fund's monthly NAV is calculated by the Central Administration, as described in Section VI: "*Calculation of Net Asset Value*" of the General Section of the Prospectus.

In relation to ASMEO Fund, the AIFM will, with the support of the Investment Manager, apply the following valuation procedures to calculate the value of ASMEO's assets:

Investments or Instruments where Market Quotations are Readily Available

Securities that are publicly traded in an active market and for which market quotations are readily available are typically valued at such market quotations. In order to validate market quotations, the AIFM will look, with the support of the Investment Manager, at a number of factors to determine if the quotations are representative of fair value, including the source and nature of the quotations.

Investments or Instruments where Market Quotations are not Readily Available

Debt and equity securities that are not publicly traded or whose market prices are not readily available are valued based on, among other things, the input of ASMEO Fund's independent third-party valuation providers ("IVPs") that will be engaged to support the valuation of such investments at least monthly (with certain de minimis exceptions) and under the Valuation Policy and a consistently applied valuation process. In addition, the auditor of ASMEO Fund will obtain an understanding of, and perform select procedures relating to, ASMEO Fund's investment valuation process within the context of performing ASMEO Fund's financial statement audits.

Due to the inherent uncertainty of determining the fair value of Investments that do not have a readily available market value, the fair value of the Investments may fluctuate from period to period. Additionally, the fair value of the Investments may differ significantly from the values that would have been used had a ready market existed for such Investments and may differ materially from the values that ASMEO Fund may ultimately realize. Further, such Investments are generally subject to legal and other restrictions on resale or otherwise are less liquid than publicly traded securities. If ASMEO Fund was required to liquidate an Investment in a forced or liquidation sale, ASMEO Fund could realize significantly less than the value at which ASMEO Fund has recorded it. In addition, changes in the market environment and other events that may occur over the life of the Investments may cause the gains or losses ultimately realized on these Investments to be different than the unrealized gains or losses reflected in the valuations currently assigned. All Investments are recorded at their fair value.

With the support of the Investment Manager, the AIFM undertakes a multi-step valuation process each month, as described below:

- ASMEO Fund's monthly valuation process begins with a preliminary valuation being prepared by the investment professionals responsible for the investments in conjunction with the Investment Manager's portfolio management and valuation team.
- Preliminary valuations are reviewed and discussed by the valuation committee of the Investment Manager.
- With respect to each Investment,
 - Relevant information related to the investment is made available by the Investment Manager to the IVP, who does not independently verify such information.
 - The IVP reviews and analyzes the information provided by the Investment Manager, along with relevant market and economic data, and independently determines a range of values for each of the Investments.
 - The IVP provides its analysis to the Investment Manager to support the IVP's valuation methodology and calculations.

- The AIFM determines, with the support of the Investment Manager, the fair value of each Investment without a readily available market quotation in good faith based on, among other things, the input of the IVPs, where applicable.
- With respect to each Investment, a positive assurance opinion or independent valuation report is issued by the IVP that confirms the fair value determined by the AIFM for each Investment is within the range of values independently calculated by such IVP.

Notwithstanding anything herein to the contrary, the AIFM may in its discretion, but is not obligated to, consider material market data and other information (as of the applicable month-end for which NAV is being calculated) that becomes available after the end of the applicable month in valuing ASMEO Fund's assets and liabilities and calculating its NAV.

In general, the Investment will be valued monthly by the AIFM, with the support of the Investment Manager, based on market quotations or at fair value determined in accordance with the Valuation Policy.

VIII. DISTRIBUTIONS

The Board of Directors (or its delegate) may declare and pay distributions to Shareholders from time to time.

ASMEO Fund cannot guarantee that it will make distributions, and any distributions will be made, at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class, after considering factors such as earnings, cash flow, capital needs, taxes and general financial condition and the requirements of applicable law. As a result, ASMEO Fund distribution rates and payment frequency may vary from time to time. There is no assurance ASMEO Fund will pay distributions in any particular amount, if at all. Any declaration of distributions to Shareholders will be made in accordance with the 1915 Law and the 2010 Law.

Shareholders of record as of the record date will be eligible for distributions declared. The per Share amount of distributions on each Class of Shares may differ because of different Class-specific Servicing Fees that may be deducted from the gross distributions for each Class. Specifically, distributions on Class A Shares, Class B Shares and Class FA Shares would be lower than distributions on Class D Shares, Class E Shares, Class FI Shares, Class I Shares and Class J Shares because ASMEO Fund is required to pay ongoing Servicing Fees with respect to the Class A Shares, Class B Shares and Class FA Shares compared to Class D Shares, Class E Shares, Class FI Shares, Class I Shares and Class J Shares.

Shareholders holding Shares with a functional currency other than USD are exposed to fluctuations of the USD foreign exchange rate and/or hedging costs, which may lead to variations on the amount to be distributed.

IX. MANAGEMENT AND ADMINISTRATION OF ASMEO FUND

Ares

Ares Management Corporation (NYSE: ARES) is a publicly traded, global alternative investment manager. Ares is a leading global investment firm investing capital on behalf of pension funds, large institutions and individuals. Ares offers clients complementary primary and secondary investment solutions across the credit, real estate, private equity and infrastructure asset classes.

Ares was built upon the fundamental principle that each group benefits from being part of the broader platform. Ares believes the synergies resulting from collaboration across the platforms provide its professionals with more informed decision making as a result of shared industry experience, management relationships, and market insights, access to significant deal flow and a broader opportunity set, and the ability to assess relative value. Since its inception in 1997, Ares has adhered to a disciplined investment philosophy that focuses on delivering attractive risk-adjusted investment returns through market cycles.

The Investment Manager

The AIFM has delegated its portfolio management function regarding ASMEO Fund to Ares Capital Management LLC, the Investment Manager pursuant to the terms of the Investment Management Agreement. The Investment Manager has discretion to make Investments on behalf of ASMEO Fund.

Ares Capital Management LLC, 245 Park Avenue, 44th Floor, New York, New York 10167, is registered as an investment adviser with the SEC under the Advisers Act, and is an indirect wholly-owned subsidiary of Ares. The Investment Manager is responsible for initiating, structuring and negotiating ASMEO Fund's Investments and managing the Debt and Other Instruments. In addition, the Investment Manager actively manages each Investment to seek to maximize cash flow and, ultimately, the value of each Investment.

The investment committee of ASMEO Fund is comprised of senior and experienced investment professionals at Ares (the "**ASMEO Investment Committee**"). All Investments led by ASMEO are reviewed and approved by the ASMEO Investment Committee. The composition of the ASMEO Investment Committee is available at the registered office of AEFS SICAV.

The ASMEO Investment Committee process emphasizes a consensus-based approach to portfolio selection among the members and is the same process that Ares has adopted since inception.

Non-Exclusivity

The functions and duties which the Investment Manager and/or any of their affiliates undertake on behalf of ASMEO Fund will not be exclusive and they perform similar functions and duties for themselves and for others and, without limitation, act as manager, investment advisor, general partner (or equivalent) in respect of other funds, accounts or other products.

X. CERTAIN REGULATORY CONSIDERATIONS

AIFM Directive Leverage

The AIFM has established a maximum level of leverage for ASMEO Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of ASMEO Fund of 500% and 450% respectively (the “**AIFM Rules Leverage Restrictions**”). Compliance with the AIFM Rules Leverage Restrictions will be determined on a quarterly basis. If this AIFM Rules Leverage Restrictions were ever exceeded after leverage has been incurred by ASMEO Fund, the Investment Manager will make commercially reasonable efforts to bring ASMEO Fund’s exposure back into compliance with the maximum level of leverage, but such event will not constitute a breach of an investment restriction adopted by ASMEO Fund or a “trade error” for any purpose. The AIFM may increase ASMEO Fund’s maximum leverage exposure from time to time. If the AIFM increases such maximum level of exposure, it will provide notice in writing to Shareholders in the next regularly scheduled notice to Shareholders.

Liquidity Management Tools

With respect to the liquidity management tools (each, a “LMT”) listed under Annex V to the AIFM Directive, the AIFM may use the following LMTs with respect to ASMEO Fund: (i) extension of notice periods in accordance with Section V: “*Subscriptions, Redemptions and Other Transactions*” of this Annex and (ii) redemptions in kind in accordance with Subsection 5: “*Payment of the Redemption Price in Kind*” of Section V: “*Subscriptions, Redemptions and Other Transactions*” of the General Section of the Prospectus. The AIFM shall only use redemptions in kind as a LMT for ASMEO Fund to satisfy Redemptions Requests submitted by Professional Investors.

The AIFM will only use the suspension of redemptions and subscriptions as an additional LMT in “*exceptional circumstances*”, as such term is defined in the ESMA Guidelines on liquidity management tools (LMTs) of UCITS and open-ended AIFs. Notwithstanding anything to the contrary in this Prospectus, the AIFM may suspend redemptions without simultaneously suspending subscriptions in all other circumstances, as detailed in this Annex.

The AIFM may use additional LMTs listed under Annex V of the AIFM Directive from time to time, as further communicated to investors, and LMTs that are not listed under Annex V of the AIFMD Directive including without limitation, the Early Redemption Deduction, the Redemption Fee and the Redemption Limitation, as further detailed in this Annex. For the avoidance of doubt, the AIFM may use all LMTs (other than the suspension of redemptions and subscriptions) during both normal and stressed market conditions.

XI. RISK FACTORS AND OTHER CONSIDERATIONS

Most of the following risk factors apply both to ASMEO and to any relevant Other Ares Funds in which ASMEO invests (directly or indirectly, including ASMEO US). Therefore, potential Shareholders should assume references to ASMEO include references to Other Ares Funds (including ASMEO US) as well. A more detailed description of the relevant Other Ares Funds' investment strategies, policies and restrictions, as well as a description of certain risks of investing therein, is included in the relevant Other Ares Funds' offering documents. Prospective investors are advised to consult the offering documents of such Other Ares Funds, which are available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

Risk Factors Relating to an Investment in ASMEO

General Investment Risks.

Neither the AIFM nor the Investment Manager can provide assurance that it will be able to source, choose, make and/or realize any particular investment or the investment strategy of ASMEO in general. Further, there can be no assurance that ASMEO will be able to generate returns for its investors or that the returns will be commensurate with the risks of investing in the types of companies, assets and transactions described herein or that such returns will be comparable to ASMEO's targeted returns. The marketability and value of any such investment will depend upon many factors beyond the control of ASMEO, the Investment Manager and the AIFM. The expenses of ASMEO have the potential to exceed its income. ASMEO will bear its allocable share of the expenses of transactions that are not consummated, including any break-up fees. As a result, ASMEO could incur a substantial cost with no opportunity for a return. A Shareholder could lose the entire amount of its investment, and therefore a Shareholder should only invest in ASMEO if it can withstand a total loss of its investment. An investment in ASMEO is speculative and involves a high degree of risk. ASMEO's performance may be volatile and Shareholders could incur a total or substantial loss of their investment. There can be no assurance that projected or targeted returns for ASMEO will be achieved.

ASMEO has limited prior operating history.

ASMEO is a collection of recently formed special purpose entities and has limited prior operating history or track record, and will be entirely dependent on the Investment Manager and the AIFM. While the principals of the Investment Manager and the AIFM (the "**Principals**") may have previous experience making and managing investments similar to those contemplated by ASMEO, there can be no assurance that ASMEO's Investments will achieve results similar to those attained by previous investments of the Principals. In addition, ASMEO's Investments may differ from previous investments made by the Principals in a number of respects, including target return levels, level of risk associated with a particular investment, amount invested in a particular company, types of companies within a particular industry sector, amount of leverage used, structure, and holding period.

Diversification Risk.

ASMEO Fund is subject to restrictions on the size of Investments such that it will not at any one time directly or indirectly, through the Aggregator, invest and hold more than 25% of its NAV in any single entity, person or asset as measured at the time of investment; *provided* that such diversification will be assessed on a look-through basis and provided further that this restriction shall not apply to (i) investments in securities issued or guaranteed by an OECD member state or its regional or local authorities or by the EU, regional or global supranational institutions or bodies and (ii) investments in undertakings for collective investment and other investment vehicles that are subject to risk spreading requirements at least comparable to those applicable to a Part II UCI, as monitored by the Investment Manager under the oversight of the AIFM. No remedial action will be required if such restriction is exceeded for any reason other than the acquisition of a new Investment (including the exercise of rights attached to an Investment), *provided* that in such circumstances the Investment Manager shall take reasonable steps to bring ASMEO Fund within this 25% diversification requirement, except where the Investment Manager reasonably believes doing so would be prejudicial to the interests of ASMEO or any of its underlying investors. For the purpose of the foregoing limitations, the amount invested in any Investment will be net of indebtedness and take into account the allocated or expected indebtedness that the Investment Manager deems related to the Investment being acquired, whether incurred specifically at the Investment level or allocated from other vehicle indebtedness.

This 25% diversification requirement will not apply during the Ramp-Up Period.

The Investment Manager may also impose additional limitations on its discretion based on the underlying investors in ASMEO Fund.

Accordingly, ASMEO may participate in a limited number of Investments and, as a consequence, the aggregate return of ASMEO may be substantially adversely affected by the unfavourable performance of even a single Investment. In addition, other than as set forth in Section III: “*Investment Information*” of this Annex, investors have no assurance as to the degree of diversification of the Investments, either by geographic area, asset type or sector. To the extent ASMEO concentrates Investments in a particular issuer, asset type, industry, security or geographic area, its Investments will become more susceptible to fluctuations in value resulting from adverse economic, political, regulatory, technological, industry and/or business conditions with respect thereto. These risks may be further pronounced where an Investment is secured by a relatively small or less diverse pool of underlying assets. Certain geographic areas and/or industries may be more adversely affected by economic pressures when compared to other geographic areas and/or industries. As a consequence, the aggregate return of ASMEO may be adversely affected by the unfavorable performance of one or a small number of Investments, or unfavorable developments in one or a small number of countries or industries. Moreover, there are no assurances that any or all of ASMEO’s Investments will perform well or avoid loss, and if certain Investments perform unfavorably, for ASMEO to achieve above-average returns, one or a few of its Investments must perform very well. There are no assurances that this will be the case.

There can be no assurance that the Sponsor will be successful in identifying investment opportunities. Although ASMEO may invest in Other Ares Funds (including ASMEO US), the investment portfolio of such Other Ares Funds (including ASMEO US) may differ materially in terms of levels of sectoral and geographic diversification from the current investment strategy of ASMEO.

Risks Associated with the Euro.

The functioning of the Euro as a single currency across the diverse economies comprising the Eurozone has sustained considerable pressure as the result of the global financial crisis and other subsequent macroeconomic events. The situation, particularly in those countries where sovereign default is perceived to be most likely, may continue to deteriorate. It is therefore possible that the Euro may cease to be the national currency of some or even all of the countries comprising the Eurozone. If this were to occur, fluctuations in currency exchange rates of the new local currencies may cause borrowers in such countries to find it more difficult to meet their Euro repayment obligations and investors in such countries may find that the cost of meeting their commitment to ASMEO increases by virtue of a comparatively valuable Euro. These events are unprecedented and it is difficult to predict with any certainty the consequences of such events on ASMEO and its Investments.

Deployment of Capital.

In light of the nature of ASMEO’s continuous offering in relation to ASMEO’s investment strategy and the need to be able to deploy potentially large amounts of capital quickly to capitalize on potential investment opportunities, if ASMEO has difficulty identifying and purchasing suitable Investments on attractive terms, there could be a delay between the time it receives net proceeds from the sale of Shares in this offering or any private offering and the time ASMEO invests the net proceeds. ASMEO may also from time to time hold cash pending deployment into Investments or have less than its targeted leverage, which cash or shortfall in target leverage may at times be significant, particularly at times when ASMEO is receiving high amounts of offering proceeds and/or times when there are few attractive investment opportunities. Such cash may be held in an account for the benefit of Shareholders that may be invested in money market accounts or other similar temporary investments, each of which are subject to the Management Fee.

In the event ASMEO is unable to find suitable Investments such cash may be maintained for longer periods which would be dilutive to overall investment returns. This could cause a substantial delay in the time it takes for a Shareholder’s investment to realize its full potential return and could adversely affect ASMEO’s ability to pay regular distributions of cash flow from operations to you. It is not anticipated that the temporary Investment of such cash into money market accounts or other similar temporary Investments pending deployment into Investments will generate significant interest, and Shareholders should understand that such low interest payments on the temporarily invested cash may adversely affect overall returns. In the event ASMEO fails to timely invest the net proceeds of sales of Shares or does not deploy sufficient capital to meet its targeted leverage, ASMEO’s results of operations and financial condition may be adversely affected.

Sourcing and Payment of Distributions.

ASMEO has not established a minimum distribution payment level, and ASMEO’s ability to make distributions to its Shareholders may be adversely affected by a number of factors, including the risk factors described in the Prospectus or this Annex as well as the Other Ares Funds’ in which ASMEO invests (including ASMEO US)

abilities to make distributions to their respective investors. The Other Ares Funds (including ASMEO US) in which ASMEO invests each have a limited track record and may not generate sufficient income to make distributions to ASMEO's Shareholders.

The Board of Directors (or its delegate) will make determinations regarding distributions based upon, among other factors, ASMEO's financial performance, debt service obligations, debt covenants, tax requirements and capital expenditure requirements. Among the factors that could impair ASMEO's ability to make distributions to its Shareholders are:

- ASMEO's inability to invest the proceeds from sales of Shares on a timely basis;
- ASMEO's inability to realize attractive risk-adjusted returns on ASMEO's Investments;
- high levels of expenses or reduced revenues that reduce ASMEO's cash flow or non-cash earnings; and
- defaults in ASMEO's investment portfolio or decreases in the value of ASMEO's Investments.

As a result, ASMEO may not be able to make distributions to its Shareholders at any time in the future, and the level of any distributions ASMEO does make to Shareholders may not increase or even be maintained over time, any of which could materially and adversely affect the value of a Shareholder's investment.

ASMEO may not generate sufficient cash flow from operations to fully fund distributions to Shareholders, particularly during the early stages of ASMEO's operations. Therefore, ASMEO may fund distributions to ASMEO's Shareholders from sources other than cash flow from operations, including, without limitation, the sale of assets, borrowings, return of capital or offering proceeds (including from sales from Shares or Aggregator units). The extent to which ASMEO pays distributions from sources other than cash flow from operations will depend on various factors, including the level of participation in ASMEO's Accumulation Sub-Classes, the extent to which the AIFM (and/or such other combination of persons as the Investment Manager may designate) elects to receive its Management Fee in Shares or units of the Aggregator, how quickly ASMEO invests the proceeds from this and any future offering and the performance of ASMEO's Investments. Funding distributions from the sales of assets, borrowings, return of capital or proceeds of the offering will result in ASMEO having less funds available to acquire Investments. As a result, the return a Shareholder realizes on its investment may be reduced. Doing so may also negatively impact ASMEO's ability to generate cash flows. Likewise, funding distributions from the sale of additional securities will dilute a Shareholder's interest in ASMEO on a percentage basis and may impact the value of its investment especially if ASMEO sells these securities at prices less than the price such Shareholder paid for its Shares. ASMEO may be required to continue to fund ASMEO's regular distributions from a combination of some of these sources if ASMEO's Investments fail to perform, if expenses are greater than ASMEO's revenues or due to numerous other factors. ASMEO has not established a limit on the amount of its distributions that may be paid from any of these sources.

To the extent ASMEO borrows funds to pay distributions, it would incur borrowing costs and these borrowings would require a future repayment. The use of these sources for distributions and the ultimate repayment of any liabilities incurred could adversely impact ASMEO's ability to pay distributions in future periods, decrease ASMEO's NAV, decrease the amount of cash ASMEO has available for operations and new Investments and adversely impact the value of a Shareholder's investment.

ASMEO may also defer operating expenses or pay expenses (including the fees of the Investment Manager) with Shares or units of the Aggregator in order to preserve cash flow for the payment of distributions. The ultimate repayment of these deferred expenses could adversely affect ASMEO's operations and reduce the future return on a Shareholder's investment. ASMEO may redeem Shares or redeem units of the Aggregator from the Investment Manager shortly after issuing such units or Shares as compensation. The payment of expenses in Shares or with units of the Aggregator will dilute a Shareholder's ownership interest in ASMEO's portfolio of assets. There is no guarantee any of ASMEO's operating expenses will be deferred and the Investment Manager, the AIFM and the Recipient are under no obligation to receive future fees or distributions in Shares, units of the Aggregator and may elect to receive such amounts in cash.

In-Kind Remuneration to the Investment Manager, the AIFM, the Recipient and/or such other person or combination of persons as the Investment Manager may designate.

The Investment Manager, the Recipient, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, may choose to receive Shares or units of the Aggregator in lieu of certain fees or distributions. The holders of all units of the Aggregator are entitled to receive cash from operations pro rata with the distributions being paid to ASMEO and such distributions to the holder of units of the Aggregator

will reduce the cash available for distribution to ASMEO and to its Shareholders. Furthermore, under certain circumstances, units of the Aggregator held by the Investment Manager, the AIFM, the Recipient and/or such other person or combination of persons as the Investment Manager may designate, may be required to be redeemed in cash at the relevant holder's election, and there may not be sufficient cash to make such a redemption payment; therefore, ASMEO may need to use cash from operations, borrowings, offering proceeds or other sources to make the payment, which will reduce cash available for distribution to Shareholders or for investment in ASMEO's operations. Redemptions of Shares or Aggregator units from the Investment Manager, the Recipient, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, paid to the relevant entity as a Management Fee or Performance Fee are not subject to the quarterly volume limitations, any Early Redemption Deduction or any Redemption Fee, and such sales receive priority over other Shares being put for redemption during such period.

Reinvestment of Distributions.

Shareholders will subscribe for Accumulation Sub-Class Shares in respect of which, in lieu of receiving cash distributions, any such amounts will be reinvested in the relevant Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class unless the Board of Directors (or its delegate) determines that a distribution shall be made.

No Right to Control ASMEO.

The Sponsor will have exclusive responsibility for ASMEO's activities, and, other than as set forth herein and in the Articles, Shareholders will not be able to make Investments or any other decisions concerning the management of ASMEO. Shareholders have no rights or powers to take part in the management of ASMEO or make investment decisions and will not generally receive the amount of any Portfolio Entity's financial information that is generally available to the AIFM. The AIFM will generally have sole and absolute discretion in structuring, negotiating and purchasing, financing and eventually divesting Investments on behalf of ASMEO (subject to specified exceptions). Accordingly, no person should purchase a Share unless such person is willing to entrust all aspects of the management of ASMEO to the AIFM.

Lack of Liquidity.

There is no current public trading market for the Shares, and the Sponsor does not expect that such a market will ever develop. Therefore, redemption of Shares by ASMEO will likely be the only way for a Shareholder to dispose of its Shares. ASMEO expects to redeem Shares at a price equal to the applicable NAV as of the Redemption Date and not based on the price at which such Shareholder initially purchased its Shares.

Subject to limited exceptions, Shares of certain Share Classes (as set out in Section V: "*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*" of this Annex) that are redeemed within twenty-four (24) months of the date of issuance will be redeemed at 95% of the applicable NAV as of the Redemption Date. Redemptions of Class D Shares and Class E Shares may be subject to a Redemption Fee of up to 5% of the NAV of the Class D Shares and Class E Shares being redeemed (calculated as of the relevant Redemption Date), as determined by the Investment Manager in its sole discretion from time to time. Redemptions of Class J Shares will be subject to a Redemption Fee of (a) 2% of the NAV of the Class J Shares being redeemed (calculated as of the relevant Redemption Date) if the resulting Redemption Date falls within a twelve (12)-month period from the initial subscription date of the Class J Shares or (b) 0.3% of the NAV of the Class J Shares being redeemed (calculated as of the relevant Redemption Date) if the resulting Redemption Date falls after such twelve (12)-month period. As a result, a Shareholder may receive less than the price such Shareholder paid for its Shares when it redeems its Shares pursuant to ASMEO's redemption program. See Section V: "*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*" of this Annex.

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across ASMEO, including redemptions at all Parallel Entities and the Aggregator, but excluding any Early Redemption Deduction or any Redemption Fee applicable to the redeemed Shares) is generally limited to 5% of aggregate NAV per calendar quarter of all Parallel Entities and the Aggregator (measured as of the last calendar day of the previous calendar quarter), except in the event of exceptional circumstances described below.

In exceptional circumstances and not on a systematic basis, ASMEO Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager's reasonable judgment it deems such action to be in ASMEO's best interest and the best interest of ASMEO's investors as a whole, such as when redemptions are unable to be made in Other Ares Funds in which ASMEO is directly or indirectly invested (including for the avoidance of doubt ASMEO US), when redemptions

of Shares would place an undue burden on ASMEO's liquidity, adversely affect ASMEO's operations, risk having an adverse impact on ASMEO that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: "*Calculation of Net Asset Value*" of the General Section of the Prospectus. Material modifications intended to reduce available liquidity, including any reduction to the Redemption Limitation and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in ASMEO's best interest and the best interest of ASMEO's investors.

In the event that, pursuant to the limitation above, not all of the Shares submitted for redemption during a given quarter are to be accepted for redemption by ASMEO Fund, Shares submitted for redemption during such quarter will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across ASMEO if applicable). Unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date in the manner as described above in Section V: "*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*" of this Annex. Settlements of any redemptions will generally be made by the relevant Settlement Date, i.e. within ten (10) Business Days from the relevant NAV Release Date (e.g., a Shareholder requesting a 30th September redemption would generally be expected to receive a settlement on or around November 23rd of the same year), *provided* that this timing may vary depending on when redemption proceeds are actually received by the ASMEO Fund from the Intermediary Funds and/or the Other Ares Funds, as applicable. As a result, a Shareholder will experience significant delays in realizing liquidity even when its redemption is accepted.

The vast majority of ASMEO's assets are expected to consist of Investments that cannot generally be readily liquidated without impacting ASMEO's ability to realize full value upon their disposition. Therefore, ASMEO may not always have a sufficient amount of cash to immediately satisfy Redemption Requests. As a result, a Shareholder's ability to have its Shares redeemed by ASMEO may be limited and at times a Shareholder may not be able to liquidate its investment. See Section V: "*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*" of this Annex.

Effect of Redemption Requests.

Economic events affecting the European economy could cause Shareholders to seek to sell their Shares to ASMEO pursuant to ASMEO's redemption program at a time when such events are adversely affecting the performance of ASMEO's assets. Even if the Investment Manager decides to satisfy all resulting Redemption Requests, ASMEO's cash flow could be materially adversely affected. ASMEO's ability to satisfy Redemption Requests of its Shareholders is also determined by the abilities of the Other Ares Funds in which ASMEO invests (including ASMEO US) to also fulfil redemption requests by their own unitholders, partners or shareholders, applicable. In addition, if ASMEO determines to sell assets to satisfy Redemption Requests, it may not be able to realize the return on such assets that it may have been able to achieve had it sold at a more favorable time, and ASMEO's results of operations and financial condition, including, without limitation, breadth of its portfolio by property type and location, could be materially adversely affected.

Compulsory Redemptions.

In accordance with the Prospectus and the Articles, the Board of Directors (or its delegate) may compulsorily redeem all or any part of the Shares of any Shareholder in the circumstances set out in Section V: "*Subscriptions, Redemptions and Other Transactions*" of the Annex or if it discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person, either alone or in conjunction with any other person, whether directly or indirectly, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. In particular, the Board of Directors or its delegate may, among other things, compulsorily redeem the Shares of a Shareholder if the holding of such Shares by such Shareholder would otherwise subject ASMEO Fund, the AIFM or the Investment Manager to restrictions that would make it impossible, impractical or uneconomical for any of the foregoing to operate as intended or would cause a significant delay, extraordinary expense or material adverse effect on ASMEO Fund's ability to make investments, including a Sports League Adverse Effect.

Any such compulsory redemptions will generally be subject to the same terms as voluntary redemptions of Shareholders (including the limitations imposed thereon), unless otherwise determined by the Board of Directors or its delegate in its sole discretion.

Fees Paid by Advisory Investors.

Shareholders (or their brokers on their behalf) may elect to be treated as "advisory investors" and in connection therewith, by virtue of holding Class A Shares, Class B and Class FA Shares, bear a larger amount of fees than investors that are not "advisory investors" for reporting, administrative and other services provided by such

advisory investor's registered investment adviser, adviser representative or other financial intermediary. Some or all of the Servicing Fee payable in respect of a Class A Shares, Class B and Class FA Shares Shareholder's investment may be allocated to such Shareholder's financial intermediary through which such Shareholder was placed in ASMEO. Any amounts allocated in accordance with the foregoing sentence will compensate such financial intermediary for reporting, administrative and other services provided to a Shareholder by such financial intermediary. The receipt of the Servicing Fee by a Shareholder's financial intermediary will result in a conflict of interest.

Discretionary Expense Cap.

The Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by ASMEO Fund and/or the Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, ASMEO Fund the Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed. By subscribing for Shares, Shareholders will be deemed to have acknowledged and agreed that: (i) this discretionary expense cap will lower the Operating Expenses and/or Organizational and Offering Expenses burden on ASMEO for the period in time the cap is in place (resulting in a greater NAV per Share during such period than would otherwise be the case), and consequently defer expenses to later periods; (ii) they may be required to bear a portion of Organizational and Offering Expenses and/or Operating Expenses relating to periods prior to their admission into ASMEO Fund; (iii) Shareholders redeeming their Shares before the complete reimbursement of Organizational and Offering Expenses and/or Operating Expenses, will bear a lower amount of Organizational and Offering Expenses and/or Operating Expenses than would have otherwise be the case, should the discretionary cap not have been in place; and (iv) Shareholders redeeming their Shares before the Effective Date will bear no Organizational and Offering Expenses and limited Operating Expenses (but will be subject to the Early Redemption Deduction and/or any Redemption Fee).

All ASMEO entities may be jointly responsible for the repayment of Fund indebtedness.

To the extent permitted, ASMEO may utilize indebtedness secured by Investments by ASMEO. Indebtedness secured by subscriptions may be structured in a way that the vehicles comprising ASMEO are jointly responsible on a cross-collateralized basis for the repayment of such indebtedness.

Early termination of ASMEO.

It is possible that ASMEO may be dissolved and terminated prematurely and, as a result, may not be able to accomplish its objectives and may be required to dispose of its Investments at a disadvantageous time or make an in-kind distribution (resulting in Shareholders not having their capital invested and/or deployed in the manner originally contemplated).

SFDR Categorization.

ASMEO is intended to be classified as an Article 6 financial product for the purposes of SFDR. There is legal uncertainty around the parameters applicable when categorizing a financial product under SFDR and there is no guarantee that regulators will agree with the relevant characterization. In circumstances where there is a determination that ASMEO has been characterized incorrectly, there could be a risk of investigation, enforcement proceedings and/or sanctions.

Furthermore, certain SFDR supporting and related regulations are likely to be amended in the near to medium term and new guidance may also be issued by the European Supervisory Authorities. These factors and events have the potential to increase related compliance and other costs which would be borne by ASMEO. For further information with respect to the potential risks arising from SFDR categorization, please refer to Section XVI: "Risk Factors, Potential Conflicts of Interest and Other Considerations" of the General Section of the Prospectus.

Further information with respect to the SFDR categorization of ASMEO can be found at Schedule 1: "Sustainability-Related Disclosures" to this Annex.

Multiple Levels of Fees and Expenses.

ASMEO Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any portfolio funds, including any Other Ares Funds (including ASMEO US, as applicable), in each case to the extent applicable and in accordance with their relevant governing documents. This would result in more expenses being borne (indirectly) by Shareholders in ASMEO than if such Shareholders were able to invest directly in the Other Ares Funds (including ASMEO US). The management costs (including any management fee) and performance fees (including any carried interest, performance participation allocation or other incentive compensation) may differ from an Other Ares Fund to Other Ares Fund and depend on the relevant Other Ares Fund's strategy.

However, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously at the level of ASMEO and Other Ares Funds (including ASMEO US). Therefore, no Performance Fee will be charged at the level of ASMEO Fund in respect of its Investments in Other Ares Funds which bear carried interest, incentive fee or other performance-based compensation in such Other Ares Funds. Where such Investments in Other Ares Funds (including ASMEO US) do not bear carried interest, incentive fee or other performance-based compensation, the Performance Fee in respect of such Investments will be charged at the level of ASMEO Fund. However, strictly for information purposes only and not as an indication of entitlement in a specific Other Ares Fund, several (but not all) established Other Ares Funds provide for performance participation allocation at a rate up to 15%.

ASMEO will also indirectly bear other fees, expenses or deductions in connection with an Investment in or alongside an Other Ares Fund (including ASMEO US), including any early redemption deduction, redemption fee, liquidity penalty and/or investment related expenses and expenses paid to affiliates of the Sponsor, administrative expenses and other expenses included in the definition of Operating Expenses above as applicable to such Other Ares Fund (to the extent applicable). Notwithstanding anything herein to the contrary, while ASMEO may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Other Ares Funds (including for the avoidance of doubt ASMEO US), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to ASMEO together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: "*Fees and Expenses of ASMEO —Management Fee*" of this Annex.

These various levels of costs and expenses will be charged whether or not the performance of ASMEO generates positive returns. As a result, ASMEO, and indirectly the Shareholders, may bear multiple levels of expenses, which in the aggregate would exceed the expenses which would typically be incurred by an investment in a single fund investment, and which would offset ASMEO's profits. In addition, because of the fees and expenses payable by ASMEO pursuant to such Investments, its returns on such Investments will be lower than the returns to a direct investor in the Other Ares Funds (including ASMEO US).

Risk Factors Relating to ASMEO's Investments in Other Ares Funds Generally

Investing in Other Ares Funds (including ASMEO US).

ASMEO intends to directly or indirectly invest into Other Ares Funds (including ASMEO US). Conflicts of interest may arise in respect of the Investment Manager's management of ASMEO and the Investment Manager's, or an affiliate of the Investment Manager's, management of the relevant Other Ares Funds in which ASMEO invests, as the case may be. While the Investment Manager is required to act in the best interest of ASMEO, it will also be required to act in the best interest of the relevant Other Ares Funds as a whole, in which ASMEO is expected to be a passive, minority investor. ASMEO expects to be a passive investor in such Other Ares Funds (including ASMEO US) and as such, will generally not be able to engage in their management activities. As a result, ASMEO (and therefore, indirectly the Shareholders), will be wholly reliant on the skills, judgement, methods and management of the general partner(s), manager(s), board of directors, board of trustees and/or operator(s) of the Other Ares Funds in which ASMEO directly or indirectly invests and their respective advisors, and the ability of the same to successfully implement the investment strategy and objectives for the relevant Other Ares Funds (including ASMEO US).

While the interests of investors in an Other Ares Fund in which ASMEO invests are generally expected to align, there can be no guarantees of this and investors may vote or exercise consent rights with respect to their interests in an Other Ares Fund according to their own respective interest. Shareholders should note therefore, that the exercise of votes and/or consent rights by other investors in a relevant Other Ares Fund may not necessarily align with the interests of ASMEO (and indirectly its Shareholders) as an investor in the Other Ares Fund, and as a

result decisions may be made with respect to the operations and activities of the relevant Other Ares Fund in a manner disadvantageous to the interests of ASMEO (and, indirectly, its Shareholders).

Shareholders should also be aware that the terms governing ASMEO's investment in an Other Ares Fund are not expected to be negotiated on behalf of ASMEO. Typically, investors participating in an Other Ares Fund will conduct a certain level of due diligence as well as engaging legal counsel and/or other advisors (such as tax and regulatory advisors) prior to subscribing for interests in the relevant Other Ares Fund. Given that both ASMEO and the Other Ares Funds in which it invests are expected to be managed by affiliates of the Investment Manager, and the fact that ASMEO is expected to generally be a minority investor in the Other Ares Fund, the Investment Manager does not anticipate conducting any such corresponding due diligence or engaging legal or other advisors in connection with its Investments. Instead, ASMEO will rely on the Investment Manager having knowledge of the investment strategies of the Other Ares Funds in which it invests (by virtue of the Investment Manager and/or one or more of its affiliates also acting as the manager or in a similar capacity with respect to the Other Ares Fund).

Shareholders will not receive interests in Ares or Other Ares Funds.

By investing into ASMEO Fund, a Shareholder is only acquiring Shares and is not acquiring an interest in any Other Ares Funds (including for the avoidance of doubt ASMEO US) or Ares itself. The Investment Manager cannot assure investors that it will replicate Ares' historical success, and ASMEO's investment returns could be substantially lower than the returns achieved by the Other Ares Funds (including for the avoidance of doubt ASMEO US).

ASMEO expects to invest through Other Ares Funds, including ASMEO US.

ASMEO expects to invest, directly or indirectly, a portion of its assets in Other Ares Funds (including ASMEO US), which presents certain additional risks to Shareholders. For example, ASMEO may be materially affected by the actions of a larger investor investing in Other Ares Funds (including ASMEO US). If a larger investor withdraws from Other Ares Funds (including ASMEO US), the remaining investors may experience higher *pro rata* operating expenses, thereby producing lower returns. Other Ares Funds (including ASMEO US) may become less diverse due to a withdrawal by a larger investor, resulting in increased portfolio concentration. Creditors of Other Ares Funds (including ASMEO US), if any, may enforce claims against all assets of such underlying fund. In addition, certain conflicts of interests may exist due to different tax considerations applicable to ASMEO and the investors in Other Ares Funds (including ASMEO US).

The risks associated with ASMEO's investments into Other Ares Funds (including ASMEO US) are generally related to, among other things, (i) the ability of each of Other Ares Funds' (including ASMEO US') portfolio company sponsors to select and manage successful investment opportunities; (ii) the quality of the management of each portfolio company sponsor and each portfolio company in which Other Ares Funds (including ASMEO US) invest; (iii) the ability of Other Ares Funds (including ASMEO US) and its portfolio companies to liquidate their investments; and (iv) general economic conditions. There can be no assurance that the investments made by Other Ares Funds (including ASMEO US) will result in attractive rates of return to ASMEO. ASMEO will not be able to participate in the management and control of Other Ares Funds (including ASMEO US), nor of the portfolio companies in which Other Ares Funds (including ASMEO US) has invested. Consequently, ASMEO will not be able to control the amount or timing of distributions from such portfolio company, which may affect the Shareholders' returns.

In addition, the returns of ASMEO's investments in Other Ares Funds (including ASMEO US) will depend largely on the performance of Other Ares Funds' (including ASMEO US) managers, operators and/or advisers and could be substantially adversely affected by the unfavourable performance and/or practices and policies of such managers, operators and/or advisers (as applicable). The performance of a manager, operator and/or adviser (as applicable) may also rely on the services of a limited number of key individuals, the loss of whom could significantly adversely affect such manager's, operator's and/or adviser's (as applicable) performance.

Such managers, operators and/or advisers (as applicable) may enter into new lines of business not anticipated by ASMEO or Other Ares Funds (including ASMEO US). The managers, operators and/or advisers (as applicable) of the Other Ares Funds (including ASMEO US) may also have the ability to change Other Ares Funds (including ASMEO US)'s investment objectives and strategies and economic and other terms after ASMEO has made its investments in Other Ares Funds (including ASMEO US) and such change in the investment objectives and strategies may be different from the objectives expected at the relevant time by the Investment Manager. ASMEO

would likely not have the ability to prevent such managers, operators and/or advisers (as applicable) from taking such action and these decisions may negatively impact the performance of ASMEO.

In instances where ASMEO pays management fees on the basis of net asset value and/or fair value of investments with respect to its investments in one or more Other Ares Funds, and Ares personnel determine the fair value of the investments for the Other Ares Funds, such personnel will have a conflict of interest in determining fair value, as an investment's loss in value will result in a decrease in management fees paid to Ares or its affiliates. Due to the subjective nature of determining the fair value of assets and liabilities, the amount of carried interest or incentive fee to be paid by such Other Ares Funds, or the timing of payment of such carried interest or incentive fee, could be different in respect to amount or timing had a readily available market value been available.

Other Ares Funds' (including ASMEO US') portfolio companies may not be able to raise substantial funds.

If any of the Other Ares Funds that ASMEO invests (including ASMEO US) are unable to raise substantial funds, then they will be more limited in the number and type of investments they may make, their respective expenses may be higher relative to their total assets, and the value of the direct or indirect investment made by the Other Ares Funds (including ASMEO US) may be reduced in the event underlying assets under-perform. To the extent that the Other Ares Funds (including ASMEO US) are unable to raise all the capital they seek, their opportunities to purchase a broad portfolio of investments may be decreased and their return achieved may be reduced as a result of allocating all of their expenses among a smaller capital base. If Other Ares Funds (including ASMEO US) are unable to raise substantial funds, they may not achieve certain economies of scale and their respective expenses may represent a larger proportion of its total assets.

ASMEO may rely on reporting from Other Ares Funds' (including ASMEO US') portfolio companies.

ASMEO's ability to deliver accurate and timely reports to the Shareholders is dependent upon the accuracy and timeliness of the reports received from Other Ares Funds (including ASMEO US) and their respective managers. The success of ASMEO's investments made into Other Ares Funds (including ASMEO US) may depend on the amount of information ASMEO receives from Other Ares Funds (including ASMEO US), their portfolio companies and their respective managers. If the ASMEO does not have the right to access particular information, investors' positions, including their tax position, may be prejudiced. The managers of Other Ares Funds (including ASMEO US) may utilize divergent reporting standards that may make it difficult for the Investment Manager to accurately assess the prior performance of such portfolio companies. In addition, such reporting variances may affect the ability of ASMEO to accurately value and monitor underlying investments made by Other Ares Funds (including ASMEO US).

Reliance on Reporting.

ASMEO's ability to deliver accurate and timely reports to its investors, is dependent upon the accuracy and timeliness of the reports received from the Other Ares Funds in which ASMEO invests (including ASMEO US) and their respective managers. The position of investors in ASMEO may depend on the amount of information ASMEO receives from such Other Ares Funds in which ASMEO invests (including ASMEO US). If ASMEO does not have the right to access particular information, investors' positions, including their tax position, may be prejudiced. The managers of such Other Ares Funds in which ASMEO invests may utilize divergent reporting standards that may make it difficult for Ares to accurately assess the prior performance of such Other Ares Funds in which ASMEO invests. In addition, such reporting variances may affect the ability of Ares to accurately value and monitor underlying Investments.

Risk Factors Relating to ASMEO's indirect investment in ASMEO US

ASMEO may not be in a position to exercise control over the Portfolio Companies (as defined below) or to prevent decisions by management of the Portfolio Companies that could decrease the value of ASMEO's Investments.

Neither the Board of Directors, the AIFM nor the Investment Manager can provide assurance that they will be able to choose, make and/or realize any particular Investment or the investment strategy of ASMEO in general. Further, there can be no assurance that ASMEO will be able to generate returns for its Shareholders or that the returns will be commensurate with the risks of investing in the types of transactions described herein or that such returns will be comparable to ASMEO's targeted returns. The marketability and value of any such investment will depend upon many factors beyond the control of ASMEO, Board of Directors, the AIFM or the Investment Manager. The expenses of ASMEO may exceed its income. ASMEO will bear its allocable share of the expenses

of transactions that are not consummated, including any break-up fees. As a result, ASMEO could incur a substantial cost with no opportunity for a return.

Global economic, public health, political and market conditions, including uncertainty about the financial stability of the U.S., could have a significant adverse effect on ASMEO's business, financial condition and results of operations.

Downgrades by rating agencies to the U.S. government's credit rating or concerns about its credit and deficit levels in general could cause interest rates and borrowing costs to rise, which may negatively impact both the perception of credit risk associated with ASMEO's debt portfolio and ASMEO's ability to access the debt markets on favorable terms. In addition, a decreased U.S. government credit rating could create broader financial turmoil and uncertainty, which may weigh heavily on ASMEO's financial performance and the value of the Shares. U.S. debt ceiling and budget deficit concerns have increased the possibility of additional credit- rating downgrades and economic slowdowns or a recession in the U.S.

Deterioration in the economic conditions in the Eurozone and other regions or countries globally and the resulting instability in global financial markets may pose a risk to ASMEO's business. Financial markets have been affected at times by a number of global macroeconomic events, including the following: large sovereign debts and fiscal deficits of several countries in Europe and in emerging markets jurisdictions, levels of non-performing loans on the balance sheets of European banks, the effect of the UK leaving the EU, instability in the Chinese capital markets and the COVID-19 pandemic. Global market and economic disruptions have affected, and may in the future affect, the U.S. capital markets, which could adversely affect ASMEO's business, financial condition or results of operations. ASMEO cannot assure that market disruptions in Europe and other regions or countries, including the increased cost of funding for certain governments and financial institutions, will not impact the global economy, and ASMEO cannot assure that assistance packages will be available, or if available, be sufficient to stabilize countries and markets in Europe or elsewhere affected by a financial crisis. To the extent uncertainty regarding any economic recovery in Europe or elsewhere negatively impacts consumer confidence and consumer credit factors, ASMEO's business, financial condition and results of operations could be significantly and adversely affected. Moreover, there is a risk of both sector-specific and broad-based corrections and/or downturns in the equity and credit markets. Any of the foregoing could have a significant impact on the markets in which ASMEO operates and could have a material adverse impact on ASMEO's business prospects and financial condition.

Various social and political circumstances in the U.S. and around the world (including wars and other forms of conflict, terrorist acts, security operations and catastrophic events such as fires, floods, earthquakes, tornadoes, hurricanes and global health epidemics or outbreaks of infectious diseases), may also contribute to increased market volatility and economic uncertainties or deterioration in the U.S. and worldwide. Such events, including rising trade tensions between the U.S. and China, other uncertainties regarding actual and potential shifts in U.S. and foreign, trade, economic and other policies with other countries, the war in Ukraine and Russia, and health epidemics and pandemics, could adversely affect ASMEO's business, financial condition or results of operations. These market and economic disruptions could negatively impact the operating results of, individually and collectively, any partnership, corporation, limited liability company, unincorporated organization or association, trust (including the trustees thereof, in their capacity as such) or other entity in which ASMEO directly or indirectly (including through Other Ares Funds, such as ASMEO US) holds an investment intended to achieve ASMEO's investment purposes (each, a "**Portfolio Company**").

ASMEO business is dependent on bank relationships and recent strain on the banking system may adversely impact ASMEO.

The financial markets recently have encountered volatility associated with concerns about the balance sheets of banks, especially small and regional banks who may have significant losses associated with investments that make it difficult to fund demands to withdraw deposits and other liquidity needs. Although the federal government has announced measures to assist these banks and protect depositors, some banks have already been impacted and others may be materially and adversely impacted. ASMEO's business is dependent on bank relationships and ASMEO is proactively monitoring the financial health of such bank relationships. Continued strain on the banking system may adversely impact ASMEO's business, financial condition and results of operations.

ASMEO is exposed to risks associated with changes in interest rates, including the current interest rate environment.

General interest rate fluctuations may have a substantial negative impact on ASMEO's Investments and ASMEO's investment returns and, accordingly, may have a material adverse effect on ASMEO's investment objective and ASMEO's net investment income.

The U.S. Federal Reserve (the "**Federal Reserve**") decreased the federal funds rate multiple times in 2024 and recently decreased it once again in September 2025. Because ASMEO may borrow money and may issue debt securities or preferred stock to make Investments, ASMEO's net investment income is dependent upon the difference between the rate at which ASMEO borrows funds or pay interest or dividends on such debt securities or preferred stock and the rate at which ASMEO invests in these funds. If interest rates rise again, ASMEO's interest income will increase as a substantial portion of its investments bear interest at variable rates while its cost of funds will also increase, which could result in an increase to its net investment income. Conversely, if interest rates continue to decrease, ASMEO may earn less interest income from investments and its cost of funds will also decrease, to a lesser extent, resulting in lower net investment income. From time to time, ASMEO may also enter into certain hedging transactions to mitigate its exposure to changes in interest rates. However, ASMEO Fund cannot assure Shareholders that such transactions will be successful in mitigating its exposure to interest rate risk. There can be no assurance that a significant change in market interest rates will not have a material adverse effect on ASMEO's net investment income.

ASMEO's portfolio is expected to include both fixed and floating rate investments. Market prices tend to fluctuate more for fixed-rate securities that have longer maturities. Market prices for debt that pays a fixed-rate of return tend to decline as interest rates rise. This means that ASMEO is subject to greater risk (other things being equal) than a fund invested solely in shorter-term, fixed-rate securities. Market prices for floating rate investments may also fluctuate in rising rate environments with prices tending to decline when credit spreads widen. A decline in the prices of the debt ASMEO owns could adversely affect the net asset value of the Shares.

Rising interest rates may also increase the cost of debt for ASMEO's underlying Portfolio Companies, which could adversely impact their financial performance and ability to meet ongoing obligations to ASMEO. Also, an increase in interest rates available to investors could make an investment in the Shares less attractive if ASMEO is not able to pay dividends at a level that provides a similar return, which could reduce the value of the Shares.

Economic recessions, downturns or terrorist activities could impair underlying Portfolio Companies and harm ASMEO operating results.

Consumer, corporate and financial confidence may be adversely affected by current or future tensions around the world, fear of terrorist activity and/or military conflicts, localized or global financial crises or other sources of political, social, or economic unrest (such as the outbreak of COVID-19). Such erosion of confidence may lead to or extend a localized or global economic downturn. A climate of uncertainty may reduce the availability of potential investment opportunities, and increases the difficulty of modeling market conditions, potentially reducing the accuracy of financial projections. In addition, limited availability of credit for consumers, homeowners and businesses, including credit used to acquire businesses, in an uncertain environment or economic downturn may have an adverse effect on the economy generally and on the ability of ASMEO to execute its strategy. This may slow the rate of future investments by ASMEO and result in longer holding periods for investments. Furthermore, such uncertainty or general economic downturn may have an adverse effect upon ASMEO's Investments.

Further, terrorist activities, anti-terrorist efforts, armed conflicts involving the U.S. or its interests abroad and natural disasters may adversely affect the U.S., its financial markets and global economies and could prevent ASMEO from meeting its investment objective and other obligations. The potential for future terrorist attacks, the national and international response to terrorist attacks, acts of war or hostility and natural disasters have created many economic and political uncertainties in the past and may do so in the future, which may adversely affect the U.S. and world financial markets and ASMEO for the short or long-term in ways that cannot presently be predicted.

Inflation may adversely affect the business, results of operations and financial condition of the Portfolio Companies.

The U.S. and other developed economies are experiencing higher-than-normal inflation rates. It remains uncertain whether substantial inflation in the U.S. and other developed economies will be sustained over an extended period

of time and how significantly it will impact the U.S. or other economies. Inflation and rapid fluctuations in inflation rates have had in the past, and could in the future have, negative effects on economies and financial markets, particularly in emerging economies. For example, if a Portfolio Company is unable to increase its revenue in times of higher inflation, its profitability will likely be adversely affected, including, without limitation, as a result of increased operating costs. Portfolio Companies could have revenues linked to some extent to inflation, including, without limitation, by government regulations and contractual arrangements. Nevertheless, as inflation rises, even if a Portfolio Company earns more revenue, it will typically also incur higher expenses. Furthermore, as inflation declines, it is possible that a Portfolio Company will not be able to reduce expenses commensurate with any resulting reduction in revenue. Additionally, wages and prices of inputs increase during periods of inflation, which can negatively impact returns on investments.

Past governmental efforts to curb inflation have also involved more drastic economic measures that have had a materially adverse effect on the level of economic activity in the countries where such measures were employed, and similar governmental efforts could be taken in the future to curb inflation and could have similar effects. Certain countries, including the U.S., have recently seen increased levels of inflation and there can be no assurance that inflation will not become a more serious problem in the future and have a material adverse impact ASMEO's returns.

ASMEO is dependent upon the accuracy of certain public information for ASMEO's future success.

Investments in ASMEO's portfolio are selected by the Investment Manager, in part, on the basis of information and data filed by issuers with various government regulators or made directly available to Ares by the issuers or through sources other than the issuers. Although Ares evaluates all such information and data and ordinarily seeks independent corroboration when it considers it is appropriate and reasonably available, Ares makes no representation as to the completeness, genuineness or accuracy of such information and data, and in some cases, complete and accurate information is not available.

ASMEO US is not required to file proxy statements or information statements, and the Unitholders (as defined below) have limited discretion over Ares SME Opps' governance structure.

ASMEO US' unitholders (the "Unitholders"), including ASMEO Fund, are not entitled to vote in the election of ASMEO US' directors. Accordingly, ASMEO US is not required to file proxy statements or information statements under Section 14 of the Exchange Act except in those limited circumstances where a vote of the Unitholders is required under the limited partnership agreement (as further amended, restated or supplemented from time to time) of ASMEO US or Delaware law. Moreover, the unitholders of ASMEO US (including ASMEO) are not able to bring matters before meetings of unitholders or nominate ASMEO US' directors at such meeting, nor are they generally able to submit unitholder proposals under Rule 14a-8 of the Exchange Act.

ASMEO US is an "emerging growth company" under the JOBS Act (as defined below), and ASMEO US cannot be certain if the reduced disclosure requirements applicable to emerging growth companies will make ASMEO US' units less attractive to investors.

ASMEO US is and will remain an "emerging growth company" as defined in the Jumpstart ASMEO US's Business Startups Act (the "JOBS Act") for up to five years, or until the earlier of (a) the last day of the fiscal year (i) in which ASMEO US has total annual gross revenue of at least \$1.235 billion, or (ii) in which ASMEO US has deemed to be a large accelerated filer, which means the market value of the units that is held by non-affiliates exceeds \$700 million as of the date of ASMEO US most recently completed second fiscal quarter, and (b) the date on which ASMEO US has issued more than \$1.0 billion in non-convertible debt during the prior three-year period. For so long as ASMEO US remains an "emerging growth company," ASMEO US may take advantage of certain exemptions from various reporting requirements that are applicable to other public companies that are not "emerging growth companies" including, but not limited to, not being required to comply with the auditor attestation requirements of Section 404 of the Sarbanes-Oxley Act of 2002. ASMEO US cannot predict if investors will find the units thereof less attractive because ASMEO US will rely on some or all of these exemptions.

In addition, Section 107 of the JOBS Act also provides that an "emerging growth company" can take advantage of the extended transition period provided in Section 7(a)(2)(B) of the 1933 Act for complying with new or revised accounting standards. In other words, an "emerging growth company" can delay the adoption of certain accounting standards until those standards would otherwise apply to private companies. ASMEO US will take advantage of the extended transition period for complying with new or revised accounting standards, which may make it more difficult for investors and securities analysts to evaluate ASMEO US since ASMEO US financial statements may

not be comparable to companies that comply with public company effective dates and may result in less investor confidence.

ASMEO may be adversely affected by volatility in the global financial markets and political systems.

Recent volatility in the global financial markets and political systems of certain countries may have adverse spill-over effects into the global financial markets generally. Moreover, a recession, slowdown and/or sustained downturn in the global economies (or any particular segment thereof) or weakening of credit markets will adversely affect ASMEO's profitability, impede the ability of ASMEO's investments to perform under or refinance their existing obligations, and impair ASMEO's ability to effectively exit investments on favorable terms. The extent and duration of such environment, to the private equity industry and global markets as a whole, is currently unknown. Any of the foregoing events could result in substantial or total losses to ASMEO's in respect of certain investments, which losses will likely be exacerbated by the presence of leverage in a particular investment's capital structure. For this reason, valuations are generally subject to heightened uncertainty and subject to numerous subjective judgments, any or all of which could turn out to be incorrect with the benefit of hindsight. Furthermore, traditional valuation approaches that have been used historically may need to be modified in order to effectively capture fair value of private investments in the midst of significant volatility or market dislocation. The recent volatility occurring in the markets could negatively impact ASMEO's Investments (see also Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations—Macroeconomic factors*" of the General Section of the Prospectus and "*ASMEO US may be negatively affected by changes to U.S. tariff and import/export regulations.*" below).

ASMEO may be negatively affected by changes to U.S. tariff and import/export regulations.

The U.S. has recently enacted and proposed to enact significant new tariffs. Additionally, the new presidential administration has directed various federal agencies to further evaluate key aspects of U.S. trade policy and there has been ongoing discussion and commentary regarding potential significant changes to U.S. trade policies, treaties and tariffs. There continues to exist significant uncertainty about the future relationship between the U.S. and other countries with respect to such trade policies, treaties and tariffs. These developments, or the perception that any of them could occur, may have a material adverse effect on global economic conditions and the stability of global financial markets, and may significantly reduce global trade and, in particular, trade between the impacted nations and the U.S. Any of these factors could depress economic activity and restrict the Portfolio Companies' access to suppliers or customers and have a material adverse effect on their business, financial condition and results of operations, which in turn would negatively impact ASMEO.

Legal and Regulatory—Tax

Investors will be subject to complex tax considerations and may be subject to different tax liability.

An investment in ASMEO may involve complex tax considerations that will differ for each Shareholder, and there may be delays in distributing important tax information to Shareholders. In addition, ASMEO will take positions with respect to certain tax issues that depend on legal and other interpretive conclusions. Should an applicable tax authority successfully challenge any such positions, ASMEO or a Shareholder might be found to have a different tax liability for that year than that reported on the applicable tax return.

ASMEO cannot predict how tax reform legislation will affect it, its investments, or its Shareholders, and any such legislation could adversely affect its business.

Any change of ASMEO's tax status or in taxation legislation or any interpretation thereof in Luxembourg or any country where ASMEO has assets or operations could affect the value of the assets held by ASMEO or its ability to achieve its investment strategy or provide favorable returns to Shareholders. Any such change could also adversely affect the net amount of any distributions made to Shareholders. If ASMEO is treated as having a permanent establishment, or as otherwise being engaged in a trade or business, in any country in which it invests or in which its interests are managed, income attributable to or effectively connected with such permanent establishment or trade or business may be subject to tax in the place of such permanent establishment.

All statements contained in this Prospectus concerning the income tax consequences of any investment in ASMEO are based upon existing law and the interpretations thereof. Therefore, no assurance can be given that the currently anticipated income tax treatment of an investment in ASMEO will not be modified by legislative, judicial or administrative changes, possibly with retroactive effect, to the detriment of Shareholders. Additionally, tax authorities in jurisdictions where ASMEO maintains investments may change their tax codes so as to materially

increase the tax burden associated with an investment in ASMEO or to force or attempt to force increased disclosure from or about ASMEO and/or the Shareholders as to the identity of all persons having a direct or indirect interest in ASMEO. Such additional disclosure may take the form of additional filing requirements on Shareholders.

Changes in applicable law or interpretations of such law may in particular adversely affect ASMEO's ability to efficiently realize income or capital gains. To the extent possible, ASMEO will seek to structure its investments and activities to minimize its tax liability; however, there can be no assurance that ASMEO will be able to eliminate its tax liability or reduce it to a specified level. Shareholders should be aware that the described tax effects are based on the currently applicable law and its interpretation by jurisprudence and the respective tax authorities.

We will have to withhold tax on payments to certain types of income to FFIs.

Under the Foreign Account Tax Compliance ACT ("FATCA"), all entities in a broadly defined class of foreign financial institutions ("FFIs") must comply with a complicated and expansive reporting regime or be subject to a 30% U.S. withholding tax on certain U.S. payments and non-U.S. entities which are not FFIs must either certify they have no substantial U.S. beneficial ownership or report certain information with respect to their substantial U.S. beneficial ownership or be subject to a 30% U.S. withholding tax on certain U.S. payments. FATCA also contains complex provisions requiring participating FFIs to withhold on certain "foreign passthru payments" made to non-participating FFIs and to holders that fail to provide the required information. The definition of a "foreign passthru payment" is still reserved under the current regulations, however the term generally refers to payments that are from non-U.S. sources but that are "attributable to" certain U.S. payments described above. Withholding on these payments is not set to apply before the date that is two years after the definition of "foreign passthru payment" is published in the Federal Register. In general, non-U.S. investment funds, such as underlying entities in which ASMEO may invest are expected to be considered FFIs. The reporting requirements imposed under FATCA require FFIs to enter into agreements with the U.S. Internal Revenue Service (the "IRS") to obtain and disclose information about certain investors to the IRS or, if subject to an intergovernmental agreement ("IGA"), register with the IRS and comply with the reporting requirements regime of the IGA and any implementing legislation enacted thereunder. IGAs are generally intended to result in the automatic exchange of tax information through reporting by an FFI to the government or tax authorities of the country in which such FFI is domiciled, followed by the automatic exchange of reported information with the IRS, and to comply with the reporting requirements regime of the IGA and any implementing legislation enacted thereunder. Ares intends that any non-U.S. partnership that constitutes an FFI would comply, to the extent reasonably practicable, with the reporting requirements to avoid the imposition of the withholding tax, but if such FFI does not do so (because, for example, investors fail to provide the required information), certain payments made to any such FFI may be subject to a withholding tax, which would reduce the cash available to investors. Further, these reporting requirements may apply to underlying entities in which ASMEO invests, and ASMEO may not have control over whether such entities comply with the reporting regime. Such withheld amounts that are allocable to a Shareholder may be deemed to have been distributed to such Shareholder to the extent the taxes reduce the amount otherwise distributable to such Shareholder. Potential investors should consult their own tax advisors regarding all aspects of FATCA as it affects their particular circumstances.

ASMEO or the Shareholders may be subject to taxes in the jurisdictions in which investments are made.

ASMEO, vehicles through which ASMEO makes Investments, or Shareholders may be subject to income or other tax in the jurisdictions in which investments are made, jurisdictions in which ASMEO operates, and/or jurisdictions of entities through which ASMEO makes investments. Additionally, withholding tax or branch tax may be imposed on ASMEO's earnings (or vehicles through which ASMEO invests) from ASMEO's investments in such jurisdictions. Local and other tax incurred in non-U.S. jurisdictions by ASMEO or vehicles through which ASMEO invests may not be creditable to or deductible by a Shareholder under the tax laws of the jurisdiction where such Shareholder resides, including the U.S. There can be no assurance that tax authorities in such jurisdictions will not treat ASMEO (or any of ASMEO's affiliates) as if ASMEO/they have a permanent establishment in the local jurisdiction, which would result in additional local taxation. Changes to taxation treaties (or their interpretation) between countries in Europe and countries through which ASMEO invests may adversely affect ASMEO's ability to efficiently realize income or capital gains.

Prospective investors should consult their own tax advisor concerning the effects of federal, state, local and foreign income tax law on an investment in ASMEO and on the investors' tax situation.

Use of U.S. Corporate Intermediate Vehicles.

Significant amounts of the assets of ASMEO are expected to be held through one or more U.S. entities taxable as corporations for U.S. federal income tax purposes (“**Corporations**”) and are expected to be subject to U.S. corporate federal (and applicable state and local) income tax. Because Shareholders will be located in numerous taxing jurisdictions and subject to different tax rules, no assurance can be given that any such structure will benefit all Shareholders to the same extent, including any structures or acquisitions utilizing leverage. Any such structure may result in additional indirect tax liabilities for certain Shareholders. Thus, significant incremental tax may be incurred from the use of such entities. In addition, any accrued, unpaid or deferred taxes with respect to such entities will not be taken into account in calculating any Management Fees or Performance Fees. Prospective investors should consult their own tax advisors regarding the foregoing.

Interest ASMEO receives on certain loans it may make may be subject to U.S. withholding tax.

ASMEO expects to hold loans originated in the U.S. through a U.S. Corporation. Any such U.S. Corporation may be capitalized in part with shareholder loans (the “**Notes**”). Interest payments on such Notes will be subject to U.S. federal income withholding tax at a rate of 30% unless such interest qualifies as portfolio interest. The portfolio interest exemption is not available with respect to interest paid to an owner of 10% or more of the total combined voting power of all classes of voting equity of such Corporation and is subject to certain other limitations. While the Investment Manager expects to implement structures in order for ASMEO to qualify for the portfolio interest exemption, legislation could be proposed, and similar legislation has been proposed in the past, that would modify the definition of a 10% shareholder to also include any person who owns 10% or more of the total value of the stock of the issuer. If such legislation were to pass, such structures may not be effective in eliminating U.S. federal withholding tax applicable to interest payments on the Note. Further, even absent a change in law, the IRS could successfully assert that any such structure should not be respected, in which event the Loans may be subject to U.S. federal withholding tax at a rate of 30%.

Legal and Regulatory—ERISA

ASMEO is subject to risks arising from potential control group liability.

Under ERISA, upon the termination of a U.S. tax-qualified single employer defined benefit pension plan, the sponsoring employer and all members of its “controlled group” will be jointly and severally liable for 100% of the plan’s unfunded benefit liabilities whether or not the controlled group members have ever maintained or participated in the plan. In addition, the U.S. Pension Benefit Guaranty Corporation (the “**PBGC**”) may assert a lien with respect to such liability against any member of the controlled group on up to 30% of the collective net worth of all members of the controlled group. Similarly, in the event a participating employer partially or completely withdraws from a multiemployer (union) defined benefit pension plan, any withdrawal liability incurred under ERISA will represent a joint and several liability of the withdrawing employer and each member of its controlled group.

A “controlled group” includes all “trades or businesses” under 80% or greater common ownership. This common ownership test is broadly applied to include both “parent-subsidiary groups” and “brother-sister groups” applying complex exclusion and constructive ownership rules. However, regardless of the percentage ownership that a fund holds in one or more of its portfolio companies, ASMEO itself cannot be considered part of an ERISA controlled group unless ASMEO is considered to be a “trade or business.”

While there are a number of cases that have held that managing investments is not a “trade or business” for tax purposes, in 2007 the PBGC Appeals Board ruled that a private equity fund was a “trade or business” for ERISA controlled group liability purposes and at least one U.S. Federal Circuit Court has similarly concluded that a private equity fund could be a trade or business for these purposes based upon a number of factors including ASMEO’s level of involvement in the management of its portfolio companies and the nature of any management fee arrangements.

If ASMEO were determined to be a trade or business for purposes of ERISA, it is possible, depending upon the structure of the Investment and/or ASMEO’s affiliates and other co-investors in a Portfolio Company and their respective ownership interests in the Portfolio Company, that any tax-qualified single employer defined benefit pension plan liabilities and/or multiemployer plan withdrawal liabilities incurred by the Portfolio Company could result in liability being incurred by ASMEO, with a resulting need for additional capital contributions, the appropriation of ASMEO’s assets to satisfy such pension liabilities and/or the imposition of a lien by the PBGC on certain of ASMEO’s assets. Moreover, regardless of whether or not ASMEO was determined to be a trade or business for purposes of ERISA, a court might hold that one of the Portfolio Companies could become jointly and severally liable for another portfolio company’s unfunded pension liabilities pursuant to the ERISA “controlled group” rules, depending upon the relevant investment structures and ownership interests as noted above.

ASMEO may be required to obtain licenses or similar authorizations.

Certain regulatory bodies or agencies may require ASMEO, the AIFM and/or the Investment Manager to obtain licenses or similar authorizations to engage in various types of lending activities, including without limitation, the origination of debt. It may take a significant amount of time to obtain such licenses or authorizations. Such licenses may require the disclosure of confidential information regarding ASMEO, the Shareholders or their respective affiliates, including financial information and/or information regarding officers and directors of certain significant Shareholders, and ASMEO may or may not be willing or able to comply with these requirements. In addition, there can be no assurance that any such licenses or authorizations would be granted or, if so, whether any such licenses or authorizations would impose restrictions on ASMEO. Alternatively, the Investment Manager may be able to structure potential portfolio investments in a manner which would not require such licenses and authorizations, although such transactions may be structured in an inefficient or otherwise disadvantageous manner for ASMEO and/or the borrower. The inability of the appropriate parties to obtain such licenses or authorizations, or the structuring of an investment in an inefficient or otherwise disadvantageous manner, could adversely affect the Investment Manager's ability to implement ASMEO's strategy and ASMEO's results.

Enforcement rights in certain jurisdictions are not thoroughly developed.

The laws governing the rights of investors and other laws in certain jurisdictions in which ASMEO may invest are not as thoroughly developed and do not afford the protection and predictability that can be found in countries with more sophisticated laws and regulations. Among other things, the laws with respect to the rights of creditors and other investors may not be as comprehensive or as well developed as in the U.S., and the procedures for the judicial or other enforcement of such rights of investors may not be as effective. In particular, in certain countries, ASMEO could experience significant legal difficulties and impediments in enforcing its rights with respect to its investments and/or certain kinds of collateral underlying such investments. It may therefore be more difficult for ASMEO to pursue claims or obtain effective enforcement of its rights by legal or arbitration proceedings in such countries than in countries with more mature legal systems. These factors may, among other things, adversely affect the value and performance of ASMEO's investments in such countries.

Cybersecurity failures and data security incidents could adversely affect ASMEO's business by causing a disruption to ASMEO's operations, a compromise or corruption of ASMEO's confidential, personal or other sensitive information and/or damage to ASMEO's business relationships or reputation, any of which could negatively impact ASMEO's business, financial condition and operating results.

The efficient operation of ASMEO's business is dependent on information systems and technology, including computer hardware and software systems, as well as data processing systems and the secure processing, storage and transmission of information, all of which are potentially vulnerable to security incidents and cyber-attacks, which may include intentional attacks or accidental losses, either of which may result in unauthorized access to, or corruption of, its hardware, software, or data processing systems, or to its confidential, personal, or other sensitive information. In addition, ASMEO, the AIFM, the Investment Manager, the Central Administration, or their employees may be the target of fraudulent emails or other targeted attempts to gain unauthorized access to confidential, personal, or other sensitive information, which are becoming more sophisticated and difficult to detect. Cybersecurity risks are also exacerbated by the rapidly increasing volume of highly sensitive data, including ASMEO's proprietary business information and intellectual property, personal information of the AIFM's employees, the Investment Manager's employees, the Central Administration's employees, their affiliates' employees, the Shareholders and others, and other sensitive information that Ares collects, processes and stores its data centers and on its networks or those of its third-party service providers. Many jurisdictions have also enacted laws requiring companies to notify individuals of data security breaches involving certain types of personal information, with which ASMEO and Ares must comply in the event of a security incident or cyber-attack. The rapid evolution and increasing prevalence of artificial intelligence technologies may also increase ASMEO and Ares' cybersecurity risks. The result of any security incident or cyber-attack may include disrupted operations, including in ASMEO's and the Investment Manager's operations, misstated or unreliable financial data, fraudulent transfers or requests for transfers of money, liability for stolen or improperly accessed assets or information (including personal information), fines or penalties, investigations, increased cybersecurity protection and insurance costs, litigation, or damage to its business relationships and reputation, in each case, causing its business and results of operations to suffer or otherwise causing interruptions or malfunctions in the ASMEO's, the AIFM's employees, the Investment Manager's employees', the Central Administration's employees', their affiliates' employees', the Shareholders', its counterparties' or third parties' operations.

Although ASMEO is not currently aware of any security incidents or cyber-attacks that, individually or in the aggregate, have materially affected, or would reasonably be expected to materially affect, ASMEO's operations

or financial condition, there has been an increase in the frequency and sophistication of the cyber and security threats that ASMEO faces, with attacks ranging from those common to businesses generally to more advanced and persistent attacks. Security incidents or Cyberattacks and other security threats could originate from a wide variety of sources, including cyber criminals, nation state hackers, hacktivists and other outside or inside parties, as well as through employee malfeasance. ASMEO or ASMEO's third-party providers may face a heightened risk of a security breach or disruption with respect to confidential, personal or other sensitive information resulting from an attack by foreign governments or cyber terrorists. ASMEO may be a target for attacks because, as a specialty finance company, ASMEO holds confidential and other sensitive information, including price information, about existing and potential investments. Further, ASMEO is dependent on third-party service providers for hosting hardware, software and data processing systems that ASMEO does not control. ASMEO also relies on third-party service providers for certain aspects of ASMEO's businesses, including for certain information systems, technology and administration of ASMEO's funds and compliance matters. While ASMEO relies on the cybersecurity strategy and policies implemented by Ares, which includes the performance of risk assessments on third-party providers, ASMEO's reliance on them and their potential reliance on third-party providers removes certain cybersecurity functions from outside of ASMEO's immediate control, and cyber-attacks on Ares, on us or on ASMEO's third-party service providers could adversely affect us, ASMEO's business and ASMEO's reputation. ASMEO cannot guarantee that third parties and infrastructure in Ares' networks and Ares' partners' networks have not been compromised or that they do not contain exploitable defects or bugs that could result in a breach of or disruption to Ares' information technology systems or the third-party information technology systems that support Ares' services. Ares' and ASMEO's ability to monitor these third parties' information security practices is limited, and they may not have adequate information security measures in place. The costs related to cyber-attacks or other security threats or disruptions may not be fully insured or indemnified by others, including by ASMEO's third-party providers.

Security incidents and cyber-attacks may originate from a wide variety of sources, and while Ares has implemented processes, procedures and internal controls designed to mitigate cybersecurity risks and cyber-attacks, these measures do not guarantee that a security-incident or cyber-attack will not occur or that ASMEO's financial results, operations or confidential information, personal or other sensitive information will not be negatively impacted by such an incident, especially because the techniques of threat actors change frequently and are often not recognized until launched, and may be enhanced by artificial intelligence technologies. Ares relies on industry accepted security measures and technology to securely maintain confidential and proprietary information maintained on their information systems, as well as on policies and procedures to protect against the unauthorized or unlawful disclosure of confidential, personal or other sensitive information. Although Ares takes protective measures and endeavors to strengthen its computer systems, software, technology assets and networks to prevent and address potential security-incidents and cyber-attacks, there can be no assurance that any of these measures prove effective. Ares expects to be required to devote increasing levels of funding and resources, which may in part be allocated to us, to comply with evolving cybersecurity and privacy laws and regulations and to continually monitor and enhance its cybersecurity procedures and controls.

Portfolio Companies may also rely on similar systems and face similar risks. A disruption or compromise of these systems could have a material adverse effect on the value of these businesses. Such an event may have material adverse consequences on ASMEO's investments or may require Portfolio Companies to increase preventative security measures or expand insurance coverage.

There may be substantial financial penalties or fines for breach of privacy laws (which may include insufficient security for personal or other sensitive information). Non-compliance with any applicable privacy or data security laws represents a serious risk to ASMEO's business. Some jurisdictions have also enacted laws requiring companies to notify individuals of data security breaches involving certain types of personal information. Breaches in security could potentially jeopardize ASMEO's, the Investment Manager's, the AIFM's or the Central Administration's employees' or ASMEO's investors' or counterparties' confidential or other information processed and stored in, or transmitted through, ASMEO's or Ares' computer systems and networks (or those of ASMEO's third-party service providers), or otherwise cause interruptions or malfunctions in ASMEO's, the Investment Manager's, the AIFM's or the Central Administration's employees', ASMEO's investors', the Portfolio Companies, ASMEO's counterparties' or third parties' operations, which could result in significant losses, increased costs, disruption of ASMEO's business, liability to ASMEO's investors, the Portfolio Companies and other counterparties, fines or penalties, litigation, regulatory intervention or reputational damage, which could also lead to loss of investors.

The rapidly developing advances in artificial intelligence and machine learning could potentially cause operational and other risks that could adversely affect ASMEO's business, financial condition and operating results.

Recent technological advances in artificial intelligence and machine learning technologies (collectively, “**AI Technologies**”), as well as the rapid growth and widespread use thereof, have the potential to pose risks to Ares, ASMEO and its investments. AI Technologies have the potential to result in significant and disruptive changes in companies, sectors or industries, including those in which ASMEO invests, and any such changes could render certain aspects of ASMEO’s investment process obsolete or create new and unpredictable operational, legal and/or regulatory risks. To the extent ASMEO competitors make more efficient or extensive use of AI Technologies, there is a possibility that such competitors will gain a competitive advantage. Many jurisdictions have passed or are considering laws and regulations concerning AI Technologies, which could adversely affect ASMEO and its Investments, and their respective operations. Additionally, ASMEO could be further exposed to the risks of AI Technologies if third-party service providers or any counterparties, whether or not known to us, use AI Technologies in their business activities. ASMEO will not be able to control the implementation of AI Technologies in third-party products or services, including those provided by Ares’s and its affiliates’ service providers. Additionally, Ares reserves the right to use AI Technologies in connection with Ares’ business activities, including to support Ares’ due diligence and investment activities. AI Technologies are highly reliant on the accuracy, adequacy, completeness and objectivity of their underlying data, and any inaccuracies, deficiencies or biases in this data could lead to errors that negatively affect Ares’ decision-making and investment processes. AI Technologies and their applications, including in the financial sector, continue to develop rapidly, and it is impossible to predict the future risks that have the potential to arise from such developments. Any of the foregoing factors could have a material and adverse effect on ASMEO and its Investments.

The prevailing use of social networks and social media could adversely affect ASMEO's business, financial condition and operating results.

The use of social networks, message boards, internet channels and other platforms has become widespread within the U.S. and globally. As a result, individuals now have the ability to rapidly and broadly disseminate information or misinformation, without independent or authoritative verification. Any such information or misinformation regarding ASMEO or its Investments could have a material and adverse effect on the value of ASMEO or its Investments.

Investors should be aware of additional regulation of certain transactions involving foreign persons.

On August 13, 2018, the President of the U.S. signed into law the FIRRMA, which among other things, expanded the jurisdiction of the CFIUS beyond transactions involving control of U.S. businesses by foreign persons to include new categories of covered transactions involving foreign persons and authorized for certain CFIUS filings to be mandatory. CFIUS has the authority to impose restrictions on (or to prohibit) transactions that are subject to its jurisdiction.

On January 13, 2020, the U.S. Department of the Treasury issued final regulations that implement most of FIRRMA (the “**Final Rules**”). Under the Final Rules, which went into effect on February 13, 2020, CFIUS can now review certain non-control investments in U.S. businesses (within the meaning of FIRRMA) that: (i) are involved with certain “critical technologies” utilized in certain industries specified in the Final Rules, (ii) own, operate, manufacture or supply or provide services to certain “critical infrastructure” or (iii) collect or maintain certain “sensitive personal data” (each, as defined in the Final Rules), in each case, if such investments afford direct or indirect foreign investors with certain information or other rights. In the case of such “critical technology” investments, the Final Rules mandate that CFIUS filings be made with respect to such transactions. Parties that fail to make a required CFIUS “critical technology” filing can be compelled to divest their investment in the applicable company and may be subject to civil penalties (up to the value of the transaction).

There are several aspects of FIRRMA and the Final Rules that would benefit from greater clarity and regulatory guidance. Until such regulatory guidance is available and the remainder of the implementing regulations for FIRRMA are established (which regulations, among other things, are expected to expand “critical technologies” to include a to-be-defined category of “emerging and foundational technologies” and transition FIRRMA away from focusing on whether a “critical technology” is utilized in one of the specified industries to instead focusing on the relevant technology’s status under certain U.S. export and control licensing requirements), the full scope of FIRRMA and the Final Rules and their potential impact on ASMEO and its investment activities cannot be fully determined.

One or more investments of ASMEO could require ASMEO to make a mandatory CFIUS filing. The Investment Manager may be required to gather additional information from some or all of the Shareholders (including information with respect to their beneficial owners) in order to make such filings. In addition, the time required to prepare such filings and for CFIUS to review a transaction could delay the closing of a transaction and will result in additional cost and expense to ASMEO. Moreover, there can be no assurances that the relevant company will be able to provide sufficient diligence materials to ASMEO without increasing the risk of a CFIUS filing or that ASMEO will be able to proceed with any such investment on terms acceptable to ASMEO and the relevant company (including, without limitation, if ASMEO is not able to accept a seat on the board of directors of, or have access to, certain information about, such company). Even if a CFIUS filing is not required, one or more investments by ASMEO could be subject to CFIUS review, which could have an adverse effect on ASMEO's ability to make (or continue to hold) such investments. To the extent that an investment by ASMEO is subject to CFIUS filings or CFIUS review, there can be no assurances that the relevant company will not prefer to transact with other investors that would not subject a proposed transaction to CFIUS filings and review, potentially putting ASMEO at a competitive disadvantage when competing for investments.

Most of the Shareholders are expected to be non-U.S. investors. In particular, to the extent that any such non-U.S. investors are affiliated with or related to non-U.S. governments or are domiciled in a country of "special concern" (as defined by FIRRMA regulations), and/or to the extent that non-U.S. investors in the aggregate purchase and hold a substantial number of Shares, there may be an increased risk that an investment is subject to a CFIUS filing (or other regulatory burden) and review and that limitations or restrictions will be imposed by CFIUS (including prohibiting the transaction altogether). In addition, similar CFIUS filing and transaction review risks could exist if foreign persons associated with Ares exercise significant influence or control over ASMEO or otherwise have an indirect interest in ASMEO.

Ares has international offices and non-U.S. persons associated with Ares that may serve as portfolio managers, serve as partners and/or employees of the Investment Manager and its affiliates, or otherwise have direct or indirect economic interests in ASMEO. Similar CFIUS filing and transaction review risks could exist as a result of such roles and interests of non-U.S. persons associated with Ares. Ares may alter its regular investment processes and procedures, including the identification of persons to serve on portfolio company boards of directors or that will otherwise be involved with the activities of certain portfolio companies, in order to attempt to reduce such CFIUS-related risks.

While the Investment Manager intends to attempt to structure ASMEO and the rights of the Shareholders with respect to ASMEO such that non-U.S. investors in ASMEO as Shareholders will not subject ASMEO to the expanded jurisdiction of CFIUS resulting from FIRRMA, there can be no assurance that such attempt will be successful. In order to attempt to avoid or reduce the risk of CFIUS-related burdens, including CFIUS filings, or to attempt to avoid or reduce the risk of any restrictions or limitations that could be imposed on any such investment by CFIUS (including prohibiting the transaction altogether) as a result of the participation in ASMEO by Shareholders that are considered to be foreign persons for purposes of FIRRMA, the Investment Manager may take certain additional actions under the Prospectus and Articles, including, without limitation, (i) requiring the withdrawal of one or more Shareholders from ASMEO, (ii) restricting one or more Shareholders' access to certain information relating to ASMEO and its Investments and/or (iii) amending the Prospectus. Without limiting the generality of the foregoing, Shareholders will not have access to material non-public technical information (as defined under FIRRMA) regarding ASMEO's Investments. However, the Investment Manager is not obligated to take action to avoid or reduce the risk of CFIUS-related burdens (including the need to make a CFIUS filing) or to avoid or reduce the risk of any restrictions or limitations that could be imposed on any investment by CFIUS (including in the event such risk arises from non-U.S. persons associated with Ares serving as portfolio managers, serving as partners and/or employees of the Investment Manager and its affiliates or otherwise having a direct or indirect interest in ASMEO US) and there can be no assurance that any actions taken by the Investment Manager or restrictions implemented will allow ASMEO to proceed with a particular investment on desirable terms or avoid CFIUS-related burdens (including the need to make a CFIUS filing) with respect to any particular investment. FIRRMA and the Final Rules may also make it more difficult for Portfolio Companies of ASMEO to raise capital from or be acquired by foreign persons, and may increase the cost and complexity of such transactions, all of which may impact the value, development, and/or prospects of certain Portfolio Companies.

In addition, other countries have implemented or are in various stages of implementing regulations in order to address similar concerns with respect to foreign investment in such countries. Such non-U.S. national security/investment clearance regulations could present similar or other issues for ASMEO in respect of its investment activities in such jurisdictions, and could negatively impact ASMEO and its investment activities and the Shareholders.

RISK FACTORS RELATING TO THE SHARES

There is no guarantee that additional investors will subscribe to ASMEO in the future.

ASMEO has no minimum size. There is no guarantee that additional investors will make subscriptions to ASMEO in the future. If ASMEO fails to raise additional subscriptions, the existing Shareholders will be required to bear all Organizational Expenses and Offering expenses and Operating Expenses, which the Investment Manager currently anticipates to be consistent with the level of expenses which would be expected if a fund size had been fixed. As a result, such Shareholders would be required to bear a disproportionate share of ASMEO's expenses and obligations as compared to investors participating in a larger fund.

ASMEO size may not be sufficiently large to meet the opportunity set. The size of ASMEO may be too small to enable ASMEO to invest in the opportunities that Ares finds.

Shareholders may receive in-kind distributions.

Although ASMEO Fund expects to distribute only cash to the Shareholders, there can be no assurance that this expectation will be met. Under certain circumstances as the Investment Manager deems appropriate, the Shareholders may receive in kind distributions, if permitted by law, the Prospectus and the Articles. Such securities, instruments or other property may not be readily marketable or saleable and may be required to be held by the Shareholders for an indefinite period of time, during which depreciations in value may occur.

Substantial redemption may adversely impact ASMEO's performance.

Substantial redemption requests could be triggered by a number of events, including, without limitation, unsatisfactory performance, events in the markets, significant change in personnel or management of Ares, removal or replacement of the AIFM as alternative investment manager of ASMEO or the Investment Manager as the investment manager of ASMEO, legal or regulatory issues that investors perceive to have a bearing on ASMEO, the AIFM or the Investment Manager, or other events. Actions taken to meet substantial redemption requests from ASMEO (as well as similar actions taken simultaneously by investors of any other investment funds, managed accounts, proprietary accounts and other investment vehicles sponsored, managed or advised by the AIFM, the Investment Manager, or their affiliates) could result in prices of securities and other assets held by ASMEO decreasing and in Operating Expenses increasing (e.g., transaction costs and the costs of terminating agreements). The overall value of ASMEO also may decrease because the liquidation value of certain assets may be materially less than their cost or mark-to-market value. ASMEO may be forced to sell its more liquid investments (including the Debt and Other Instruments), which may cause an imbalance in the portfolio that could have a material adverse effect on the remaining Shareholders. Even if ASMEO decides to satisfy all outstanding redemption requests, ASMEO's cash flow could be materially adversely affected. In addition, if the Investment Manager determines to liquidate certain of ASMEO's holdings to satisfy redemption requests, it may not be able to meet future redemption requests. Substantial redemptions could also significantly restrict ASMEO's ability to obtain financing or transact with derivatives counterparties needed for its investment strategies, which would have a further material adverse effect on ASMEO's performance. If ASMEO experiences significant redemption requests, it may not be able to accomplish its objectives and may dispose of its investments at a disadvantageous time (resulting in Shareholders not having their capital invested and / or deployed in the manner originally contemplated or investments being sold at a loss). There can be no certainty regarding ASMEO's ability to consummate Investments, restructuring or exit opportunities after substantial repurchases. ASMEO and the Investment Manager generally will not disclose to Shareholders the amount of pending redemption or redemption requests and are under no obligation in this Prospectus to make any such disclosure.

There may be recourse to ASMEO's assets.

In addition to the risks set out in "Recourse of AEFS' assets" in the General Section of the Prospectus, ASMEO US may engage in financings where several investments are cross-collateralized, thereby subjecting multiple investments to the risk of loss. As a result, ASMEO US could lose its interests in performing investments in the event such investments are cross-collateralized with poorly performing or non-performing investments.

ASMEO's targeted portfolio composition may not be achieved.

ASMEO's day-to-day operations will be managed by a group of experienced Ares professionals, including a large and seasoned team of investment professionals in credit. ASMEO will be dependent upon the Ares professionals responsible for ASMEO to identify suitable investment opportunities for ASMEO. The allocation of investment

opportunities amongst ASMEO and the Other Ares Funds will be subject to Ares' allocation policy and the investment objectives, liquidity, available capital, remaining investment period, diversification, and other limitations applicable to ASMEO and any Other Ares Funds. There can be no assurance that ASMEO's targeted portfolio composition will be achieved, nor that applicable investments will be allocated between ASMEO and Other Ares Funds on a consistent basis.

ASMEO will be subject to competition for and availability of suitable investments.

ASMEO generally intends to concentrate its investment strategy in the sports, media and entertainment industries. ASMEO intends to pursue such debt and equity investments through direct origination. ASMEO will also make equity investments in such companies. There can be no assurance that there will be a sufficient number of suitable investment opportunities to enable ASMEO to invest all of its assets in opportunities that satisfy ASMEO's investment objective, or that such investment opportunities will lead to completed investments by ASMEO. See also "AEFS is subject to the market competition".

Although ASMEO may invest in Other Ares Funds (including ASMEO US), the investment portfolio of such Other Ares Funds (including ASMEO US) may differ materially in terms of levels of sectoral and geographic diversification from the current investment strategy of ASMEO.

In addition, the Investment Manager may rely on market participants to inform it of particular trading opportunities. No assurance can be given as to the accuracy or completeness of the information provided by such market participants. The failure of market participants to provide such information, the abuse of ASMEO's good faith reliance on such information by market participants (whether through "front-running," providing misinformation, or other actions), and other factors may also reduce returns, or even cause material losses of ASMEO.

Furthermore, to the extent that financing becomes more readily available and lending conditions favor the borrower, borrowers with a lower credit rating and/or higher than normal leverage may be able to refinance and avoid financial difficulty. If this were to occur, ASMEO may find it difficult to find suitable investment opportunities.

ASMEO may incur additional costs due to the disclosure of confidential information.

The Shareholders are expected to include entities that are subject to state public records or similar laws that may compel public disclosure of confidential information regarding ASMEO, its Investments, and its Shareholders. ASMEO may incur expenses in connection with responding to any such disclosure requests, even if ASMEO ultimately succeeds in asserting confidentiality for any requested documentation. There can be no assurance that such information will not be disclosed either publicly or to regulators, or otherwise. To the extent that the Investment Manager determines that, as a result of such public records or similar laws, a Shareholder or any of its affiliates or agents may be required to disclose information relating to ASMEO, its affiliates and/or any Investment (other than information that ASMEO has previously consented to in writing that such Shareholder may disclose), the Investment Manager may, to prevent any such potential disclosure, withhold all or any part of the information otherwise to be provided to such Shareholder. Any public disclosure of ASMEO information could have an adverse effect on ASMEO and its Shareholders, for example, by affecting ASMEO's competitive differentiator in finding attractive investment opportunities.

The fair value of investments may not be readily determinable.

A meaningful portion of the ASMEO's portfolio is expected to be private Investments that will be valued by the AIFM with the support of the Investment Manager given the lack of public market information. As such, the fair value of such Investments may not be readily determinable.

With the support of the Investment Manager, the AIFM expects to value the Investments at fair value, as determined in good faith, in accordance with IFRS and the Valuation Policy. The types of factors that may be considered in valuing the Investments include any restrictions on the marketability of such Investments, the lack of a market for such Investments, the control premium, if any, associated with such Investments, the anticipated impact of immediate sale, the length of time before any such sales may become possible and the cost and complexity of any such sales and other relevant factors.

Because such valuations are inherently uncertain, may fluctuate over short periods of time and may be based on estimates, ASMEO's determinations of fair value may differ materially from the values that would have been used

if a ready market for these investments existed and may differ materially from the values that ASMEO may ultimately realize.

There is no single standard for determining fair value and in many cases fair value is best expressed as a range of fair values from which a single estimate may be derived. With the support of the Investment Manager, the AIFM estimates the fair value of Investments based on third-party models, or models developed by the AIFM, the Investment Manager or its affiliates, which include discounted cash flow analyses, adjusted EBITDA and other techniques, and may be based, at least in part, on independently sourced market parameters. The estimates and assumptions used in these models include the timing and expected amount of cash flows, the appropriateness of discount rates used, and, in some cases, the ability to execute, the timing of and the estimated proceeds from expected financings, some or all of which factors may be ascribed more or less weight in light of the particular circumstances. The actual results related to any particular investment often vary materially as a result of the inaccuracy of these estimates and assumptions. In addition, because ASMEO's Investments may be in, and many of the illiquid investments held by Other Ares Funds are in, industries or sectors which are unstable, in distress or undergoing some uncertainty, valuations of such investments may be subject to rapid and/or significant changes caused by, among other matters, sudden company-specific or industry-wide developments or significant market volatility as caused by the COVID-19 pandemic or other global events.

Finally, the valuation of investments in sports-related assets, including professional and non-professional teams, leagues, and associated businesses, involves significant uncertainties and risks that may affect ASMEO's reported and realized returns. Such valuations are inherently subjective due to limited comparable market data, complex ownership structures, and the unique nature of sport investments, including intangible elements such as brand value, media rights, and fan loyalty. Valuations may be particularly challenging due to the unpredictability of revenue streams for the reasons detailed above. Additionally, the value of sport investments can be materially affected by various factors including, but not limited to, changes in league regulations, media consumption patterns, technology disruption, economic conditions affecting discretionary spending, competition from other entertainment options, and the limited pool of qualified buyers upon exit. The combination of these factors, along with potential restrictions on ownership transfer and complex stakeholder relationships described above, creates significant complexity in determining both entry and exit valuations, which could materially impact ASMEO's performance.

ASMEO may hold investments through intermediate entities.

The Investment Manager or any of its affiliates will, in its sole discretion, cause ASMEO to hold certain Investments directly or indirectly through one or more Intermediate Vehicles. The Management Fees and Performance Fees, as applicable, may be paid in whole or in part, at the level of ASMEO Fund, or alternatively and without duplication, by the Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of ASMEO Fund and will generally not take into account accrued and unpaid taxes of any corporation or taxes paid by the corporation during the applicable period.

ASMEO may be subject to controlled group risks.

Under ERISA, members of certain "controlled groups" of "trades or businesses" may be jointly and severally liable for contributions required under any member's tax-qualified defined benefit pension plan and under certain other benefit plans. Further, if any member's tax-qualified defined benefit pension plan were to terminate, underfunding at termination would be the joint and several responsibility of all controlled group members, including members whose employees did not participate in the terminated plan. Similarly, joint and several liability may be imposed for certain pension plan related obligations in connection with the complete or partial withdrawal by an employer from a multiemployer pension plan. Depending on a number of factors, including the level of ownership held by ASMEO, and other co-investors in a particular portfolio company, ASMEO may be considered to be a member of one or more portfolio company's "controlled group" for this purpose.

RISK FACTORS RELATING TO ASMEO'S ASSETS

ASMEO's investments may be illiquid.

ASMEO's assets will generally have no, or only a limited, trading market. ASMEO's investment in illiquid assets may restrict its ability to dispose of investments in a timely fashion or for a fair price. Illiquid assets may trade at a discount from comparable, more liquid assets.

The secondary market for middle market loans is generally smaller and less liquid than the market for broadly-syndicated loans made to larger obligors. In addition, ASMEO may invest in assets that may not be freely transferable under the laws of the applicable jurisdiction or due to contractual restrictions or other reasons. The prices realized from the sale of any of ASMEO's assets could be less than the cost of such assets to ASMEO or less than what may be considered the fair value of such assets.

An investment in ASMEO requires a long-term commitment with no certainty of return. The market value of the ASMEO's investments will fluctuate with, among other things, changes in market rates of interest, general economic conditions, economic conditions in particular industries, the condition of financial markets and the financial condition of the issuers of ASMEO's investments. Partly as a result of the foregoing, as well as general market inefficiencies respecting companies in varying stages of reorganizations and/or recapitalizations, a portfolio valuation for ASMEO US may not necessarily be indicative of actual results or amounts to be realized by ASMEO from its Investments.

ASMEO may provide follow-on funding with respect to its Investments.

ASMEO may be called upon to provide follow-on funding with respect to its Investments. There is no assurance that ASMEO will wish to make such follow-on investments or that ASMEO will have sufficient capital to do so. Accordingly, third-party sources of financing may be required, but there is no assurance that such additional sources of financing will be available, or, if available, will be on terms favorable to ASMEO. The Investment Manager's decision not to make a follow-on investment or its inability to do so may have an adverse impact on an Investment.

Certain Investments of ASMEO may be prepayable at the option of the obligor.

Certain investments are generally prepayable in whole or in part at any time at the option of the obligor at par plus accrued and unpaid interest thereon, and occasionally plus a prepayment premium. Prepayments may be caused by a variety of factors which are often difficult to predict. Consequently, there exists a risk that investments purchased at a price greater than par may experience a capital loss as a result of such a prepayment. When credit market conditions become more attractive to obligors, the rate of prepayment of ASMEO's assets would be expected to increase as obligors refinance to take advantage of such improved conditions, which may negatively impact ASMEO.

Debt securities are subject to various risks.

Debt securities in general are subject to various risks including: (i) limited liquidity and secondary market support, (ii) the possibility that earnings of the relevant obligor may be insufficient to meet its debt service, (iii) the declining creditworthiness and potential for (or actual) insolvency of the relevant obligor of such debt during periods of economic downturn, (iv) that the relevant obligor may be a company serving only local or regional interests, (v) spread compression over the reference interest rate available for reinvestment during any period in which prepayments are received and/or (vi) subordination to the prior claims of other debt or senior lenders. Debt instruments are generally subject to market value volatility that may not be apparent from historical volatility studies and that could be significant at times. An economic downturn could severely disrupt the market for debt instruments and adversely affect the value of outstanding debt and the ability of the borrowers thereof to repay principal and interest.

"Credit risk" refers to the likelihood that an issuer will default in the payment of principal and/or interest on an instrument and how this risk changes over time. Financial strength and solvency of an issuer and the priority of the lien are the primary factors influencing credit risk. In addition, lack or inadequacy of collateral or credit enhancement for a debt instrument may affect its credit risk. Certain of ASMEO's Investments may provide for payment-in-kind interest, which has a similar effect of deferring current cash payments. In addition, certain of ASMEO's investments may have an interest-only payment schedule, with the principal amount remaining outstanding and at risk until the maturity of the investment. Further, credit risk may change over the life of an instrument and debt instruments that are rated by rating agencies are subject to downgrade at a later date.

ASMEO will be dependent upon the judgment of the Investment Manager as to the credit quality of the Investments. There can be no assurance that the Investment Manager will be successful in assessing the credit risk of the different investments or mitigating the impact of credit risk changes. A borrower's ability to repay its loans may be adversely affected by numerous factors, including, without limitation, failure to meet its business plan, a downturn in its industry or negative economic conditions. Loans that become non-performing may require a substantial amount of workout negotiations and/or restructuring, which may entail, among other things, a

substantial reduction in the interest rate, capitalization of interest payments and a substantial write-down of the principal of the loan. However, even if such restructuring were successfully accomplished, a risk exists that upon maturity of such loan, replacement “take-out” financing will not be available. There is no assurance that the value of any collateral will be sufficient to protect all or a portion of the related investment. Deterioration in a borrower’s financial condition and prospects may be accompanied by deterioration in the value of any collateral and a reduction in the likelihood of capitalizing on any guarantees that may have been obtained from the borrower or other parties. A borrower’s failure to satisfy financial or operating covenants imposed under the related investment could lead to defaults and, potentially, acceleration of the time when the investment is due. Foreclosure on any assets securing an investment could trigger cross defaults under other loans of the borrower (or vice versa), and could result in prepayment of the investment (or such other loans) or jeopardize the borrower’s ability to meet its obligations under the investment. Furthermore, ASMEO cannot assure that other claims may not be asserted that might interfere with enforcement of ASMEO’s rights. ASMEO cannot guarantee the adequacy of the protection ASMEO’s interests, including the validity or enforceability of the applicable investment contract and the maintenance of the anticipated priority and perfection of any applicable security interests. A default by a borrower may result in ASMEO being unable to liquidate the related investment prior to the termination of ASMEO and such investment may end up being restructured on terms that might result in ASMEO being unable to liquidate it prior to the termination of ASMEO. This could cause the Shareholders to receive in-kind distributions in respect of such investments upon the termination of ASMEO.

There can be no assurance as to the levels of defaults or the amount or timing of recoveries that may be experienced with respect to ASMEO’s assets. Any increase in default levels or decrease in recovery rates, or delays in receipt of recoveries, could adversely affect distributions, if any, to the Shareholders.

“Interest rate risk” refers to the risks associated with market changes in interest rates. Interest rate changes may affect the value of a debt instrument indirectly (especially in the case of fixed rate securities) and directly (especially in the case of instruments whose rates are adjustable). In general, rising interest rates will negatively impact the price of a fixed rate debt instrument and falling interest rates will have a positive effect on price. Adjustable rate instruments also react to interest rate changes in a similar manner although generally to a lesser degree (depending, however, on the characteristics of the reset terms, including the index chosen, frequency of reset and reset caps or floors, among other factors). Interest rates are highly sensitive to many factors, including governmental, monetary and tax policies, domestic and international economic and political considerations, fiscal deficits, trade surpluses or deficits, regulatory requirements, and other factors beyond the control of ASMEO. Interest rate sensitivity is generally more pronounced and less predictable in instruments with uncertain payment or prepayment schedules. This risk will be greater for long-term securities than for short-term securities. While ASMEO may from time to time seek to hedge such risks (including through investments in treasury securities or derivative instruments), it does not intend to do so actively. There is no assurance that such measures, if implemented, will be effective.

Investments in Equity Securities.

The ASMEO’s investment strategy includes the purchase or other acquisition of common stock, warrants to acquire common stock, preferred equity securities and other equity securities. Such equity securities will generally involve a high degree of risk, and will be subordinate to (and thus are inherently riskier than) the debt securities and other liabilities of the issuers of such equity securities. Although common stocks have historically generated higher average total returns than fixed income securities over the long term, common stocks also have experienced significantly more volatility in those returns. While diversification among issuers may mitigate these risks, ASMEO is not required to diversify its investments in equity securities; and Shareholders must expect fluctuations in value of equity securities held by ASMEO based on market and other conditions. The equity securities ASMEO acquires may fail to appreciate in value and may decline in value or become worthless. Dividends customarily paid to common equity holders can be suspended or cancelled at any time. For the foregoing reasons, investments in common equity securities are highly speculative and carry a substantial risk of loss of principal. Preferred stock may have characteristics of both debt and equity. Dividend payments to preferred stockholders may be suspended and cancelled if the issuer experiences liquidity difficulties and the principal paid for preferred stock is generally subordinate to the debt obligations of the issuer. Some preferred stocks may be non-cumulative, which means that the issuer does not ever have to declare or pay dividends on the stock or make up any missed dividends. Consequently, investments in preferred stock carry significant risk of loss of principal and current income. Furthermore, an investment by ASMEO in the equity of an issuer in which ASMEO also holds a debt investment may increase the risk of claims of equitable subordination against ASMEO. (see “—*Risk Factors Relating to ASMEO’s Assets – ASMEO’s investments may be subject to risks associated with lender liability and equitable subordination.*” below).

Counterparties may commit fraud.

Of paramount concern in making investments is the possibility of material misrepresentation or omission on the part of a counterparty. Such inaccuracy or incompleteness may adversely affect the valuation of the collateral underlying the loans or other asset, or may adversely affect the ability of the lender of record to perfect or effectuate a lien on the collateral securing the loan or other assets. ASMEO relies upon the accuracy and completeness of representations made by companies in which ASMEO invests or other counterparties to the extent reasonable, but cannot guarantee that such representations are accurate or complete. Under certain circumstances, payments to ASMEO may be reclaimed if any such payment or distribution is later determined to have been made with intent to defraud or prefer creditors.

The credit ratings of ASMEO's investments may fluctuate.

Although some investments held by ASMEO may have credit ratings assigned to them, credit ratings of debt obligations merely represent the applicable rating agency's opinions regarding their credit quality and are not a guarantee of quality. There is no assurance that a rating accorded to such investments will remain for any given period of time or that a rating will not be lowered or withdrawn entirely by a rating agency if, in its judgment, circumstances in the future so warrant (which may include a change in such rating agency's rating methodology or criteria). In addition, a rating agency may fail to make timely changes in credit ratings in response to subsequent events, so that the relevant issuer's current financial condition may be better or worse than a rating indicates. Consequently, credit ratings of debt obligations are only a preliminary indicator of investment quality. Investments in non-investment grade and comparable unrated obligations will be more dependent on the Investment Manager's credit analysis than would be the case with investments in investment-grade debt obligations.

Capital debt securities are subject to additional risks.

ASMEO's assets are intended to include directly originated first lien senior secured loans of companies ("**Senior Capital Debt Securities**") the sports, media and entertainment industries, which are subject to liquidity, market value, credit, interest rate, reinvestment, and other risks. Senior Capital Debt Securities involve a high degree of risk with no certainty of any return of capital. There can be no assurance that the Investment Manager will correctly evaluate the nature and magnitude of the various factors that could negatively affect the value or performance of such assets. These risks will be exacerbated by the fact that the portfolio is intended to be concentrated in the sports, media and entertainment industries.

The value of ASMEO assets is volatile and may fluctuate due to a variety of factors that are inherently difficult to predict and are outside the control of ASMEO and the Investment Manager, including changes in interest rates, prevailing credit spreads, general economic conditions, financial market conditions, domestic or international economic or political events, developments or trends in any particular industry, or the financial condition of the obligors of ASMEO's assets. In addition, the market for Senior Capital Debt Securities has experienced periods of volatility in the supply and demand for such loans, resulting in volatility in, among other things, spreads, interest rate floors, purchase price discounts, leverage, covenants, structure, and other terms. Moreover, Senior Capital Debt Securities generally have significant liquidity and market value risks since they are not generally traded in organized markets, but are traded (if at all) by banks and other institutional investors in privately negotiated transactions. Because loans are privately syndicated and loan agreements are privately negotiated and customized, loans are not purchased or sold as easily as publicly traded securities. In addition, historically the trading volume in the loan market, especially in the middle market, has been small relative to the high-yield debt securities market.

ASMEO's assets are also intended to consist of directly originated second lien, mezzanine and other high yield debt securities in companies ("**Junior Capital Debt Securities**") in the sports, media and entertainment industries, which are subject to liquidity, market value, credit, interest rate, reinvestment and other risks. Junior Capital Debt Securities involve a high degree of risk with no certainty of any return of capital. Although subordinated debt is senior to common stock and other equity securities in the capital structure, it may be subordinated to large amounts of senior debt and are often unsecured. There can be no assurance that the Investment Manager will correctly evaluate the nature and magnitude of the various factors that could negatively affect the value or performance of such assets. These risks will be exacerbated by the fact that the portfolio is intended to be concentrated in the sports, media and entertainment industries.

Junior Capital Debt Securities often reflect a greater possibility that adverse changes in the financial condition of the underlying obligor or in general economic conditions (including, for example, a substantial period of rising interest rates or declining earnings) or both may impair the ability of the underlying obligor to make payments of principal and interest. Junior Capital Debt Securities are often issued in connection with leveraged acquisitions or

recapitalizations, in which the issuer incurs a substantially higher amount of indebtedness than the level at which it had previously operated. Some issuers of ASMEO's Investments may be highly leveraged, and their relatively high debt-to-equity ratios increase the risk that their operations might not generate sufficient cash flow to service their debt obligations.

In addition, the market for Junior Capital Debt Securities has experienced periods of volatility in the supply and demand for such loans, resulting in volatility in, among other things, spreads, interest rate floors, purchase price discounts, leverage, covenants, structure, and other terms. Moreover, Junior Capital Debt Securities generally have significant liquidity and market value risks since they are not generally traded in organized markets, but are traded (if at all) by banks and other institutional investors in privately negotiated transactions. Because loans are privately syndicated and loan agreements are privately negotiated and customized, loans are not purchased or sold as easily as publicly traded securities. In addition, historically the trading volume in the loan market has been small relative to the high-yield debt securities market.

Senior Capital Debt Securities and Junior Capital Debt Securities are generally considered speculative in nature and may end up in default for a variety of reasons. A defaulted asset may become subject to either substantial workout negotiations or a restructuring, which may entail, among other things, a substantial reduction in the interest rate, a substantial write-down of principal, and a substantial change in the terms, conditions and covenants with respect to such defaulted asset. In addition, such negotiations or restructuring may be quite extensive, protracted and costly over time, and therefore may result in substantial uncertainty with respect to the ultimate recovery on such defaulted asset. The liquidity of a defaulted asset will be limited, and to the extent that a defaulted asset is sold, it is highly unlikely that the proceeds from such sale will be equal to the amount of unpaid principal and interest thereon.

Middle market companies involve a high degree of business and financial risk.

The obligors of ASMEO's assets may be privately owned small and middle market businesses. Investment in small and middle market companies involves a high degree of business and financial risk, which can result in substantial losses and, accordingly, should be considered speculative.

There is generally no publicly available information about these businesses, and ASMEO will rely on the Investment Manager and its affiliates' ability to obtain, through its own diligence and/or through third-party diligence, adequate information to evaluate the potential returns from investing in these companies. If the Investment Manager is unable to uncover all material information about these companies, the Investment Manager may not make a fully informed investment decision, and ASMEO may lose money on its Investments.

Some obligors may not meet net income, cash flow and other coverage tests typically imposed by lenders. Numerous factors may affect an obligor's ability to repay its related obligations, including the failure to meet its business plan, a downturn in its industry or continuing negative economic conditions. A deterioration in an obligor's financial condition and prospects may be accompanied by deterioration in the collateral securing ASMEO's assets. Such deterioration might impair the ability of such obligor to obtain refinancing or force it to seek to have ASMEO asset restructured.

Loans to small and middle market businesses generally carry more inherent risks than loans to larger, publicly traded businesses. These small and middle market companies generally have more limited access to capital and higher financing costs, may be in a weaker financial position, may need more capital to expand or compete, and may be unable to obtain financing from public capital markets or from traditional sources, such as commercial banks. Small and middle market businesses typically have narrower product lines and smaller market shares than larger businesses. Therefore, they tend to be more vulnerable to competitors' actions and market conditions, as well as general economic downturns. These businesses may also experience substantial variations in operating results. These companies also may be engaged in rapidly changing businesses with products subject to a substantial risk of obsolescence. Typically, the success of a small and middle market business also depends on the management talents and efforts of one or two persons or a small group of persons. Therefore, the death, disability or resignation of one or more of such persons could have a material adverse impact on the obligor and its ability to repay its obligations. In addition, small and middle market businesses often need substantial additional capital to expand or compete and will often have borrowed money from other lenders and may need additional capital to survive any economic downturns. Accordingly, loans made to small and middle market companies involve higher risks than loans made to companies that have larger businesses, greater financial resources or who are otherwise able to access traditional credit sources.

Subordinated loans may increase ASMEO's exposure to adverse economic factors.

Subordinated loans are often unsecured and subordinate in right of payment to one or more senior secured loans and, therefore, are subject to additional risks that the cash flows of the related obligor(s) and any property securing such subordinated loan may be insufficient to make the scheduled payments after giving effect to any senior secured loans of the related obligor(s). Subordinated debt investments may increase ASMEO's exposure to adverse economic factors such as significantly rising interest rates, severe downturns in the economy or deterioration in the condition of the portfolio company on the subordinated debt investment.

While subordinated debt investments may benefit from the same or similar financial and other covenants as those enjoyed by the indebtedness ranking ahead of such investments and may benefit from cross-default provisions, some or all of such terms may not be part of particular investments. In addition, the ability of the subordinated debt holders to influence a company's affairs, especially during periods of financial distress or following an insolvency, is likely to be substantially less than that of senior creditors. For example, under terms of subordination agreements, senior creditors are typically able to block the acceleration of the mezzanine debt or other exercises by the subordinated creditors of their rights. Accordingly, ASMEO may not be able to take the steps necessary to protect its investments in a timely manner or at all. Further, the unsecured debt in which ASMEO may invest may not be protected by financial covenants or limitations upon additional indebtedness, could have limited liquidity and may not be rated by a credit rating agency. Subordinated loans are expected to be more illiquid investments than senior secured loans, which, as discussed, are themselves illiquid investments.

Unsecured loans are unsecured obligations of the applicable obligor(s), may be subordinated to other obligations of such obligor(s) and generally have greater credit, insolvency and liquidity risk than is typically associated with secured obligations. Unsecured obligations will generally have lower rates of recovery than secured obligations following a default. Also, in the event of the insolvency of an obligor of an unsecured obligation, the holders of such unsecured obligation will be considered general, unsecured creditors of such obligor, will have fewer rights than secured creditors of such obligor and will be subordinate to the secured creditors of such obligor with respect to the related collateral.

Issuers of subordinated debt obligations may be highly leveraged and may not have available to them more traditional sources of financing. During an economic downturn or a sustained period of rising interest rates, such issuers may be more likely to experience financial stress and may be unable to meet their obligations.

ASMEO may provide financing to certain business enterprises and may lose all or a portion of its Investment.

ASMEO may provide financing to companies involved in (or the target of) acquisition attempts or tender offers or companies involved in work-outs, liquidations, spin-offs, reorganizations, bankruptcies and similar transactions. In any investment transaction involving any such type of business enterprise, there exists the risk that the transaction in which such business enterprise is involved either will be unsuccessful, will take considerable time or will result in a distribution of cash or a new security the value of which will be less than the purchase price paid ASMEO of the security or other financial instrument in respect of which such distribution is received. Similarly, if such an anticipated transaction does not in fact occur, ASMEO may lose all or a material portion of its investment. All of these events could have a material adverse effect on the value of ASMEO's Investments.

ASMEO's investments may be subject to risks associated with lender liability and equitable subordination.

A number of judicial decisions in the U.S. have upheld the right of borrowers to sue lending institutions on the basis of various evolving legal theories (collectively termed "**lender liability**"). Companies in which ASMEO invests may be located in jurisdictions where lenders may have legal exposure on the basis of lender liability. Generally, lender liability is founded upon the premise that an institutional lender has violated a duty (whether implied or contractual) of good faith and fair dealing owed to the borrower or has assumed a degree of control over the borrower resulting in a creation of a fiduciary duty owed to the borrower or its other creditors or shareholders. Because of the nature of certain of ASMEO Investments, ASMEO could be subject to lender liability claims. Any such claim, if determined adversely to ASMEO, could have a material adverse effect on ASMEO's returns to investors.

In addition, under common law principles that in some cases form the basis for lender liability claims, if a lender (i) intentionally takes an action that results in the undercapitalization of a borrower to the detriment of other creditors of such borrower, (ii) engages in other inequitable conduct to the detriment of such other creditors, (iii) engages in fraud with respect to, or makes misrepresentations to, such other creditors or (iv) uses its influence as a stockholder to dominate or control a borrower to the detriment of other creditors of such borrower, a court may

elect to subordinate the claim of the offending lender to the claims of the disadvantaged creditor or creditors, a remedy called “**equitable subordination**”. Because of the nature of certain of ASMEO’s Investments, ASMEO could be subject to claims from creditors of an obligor that investments issued by such obligor that are held by ASMEO should be equitably subordinated. A lender of record could also be exposed to claims for equitable subordination or lender liability or both because affiliates of, or persons related to, the Investment Manager may hold equity or other interests in the obligor of the related loan. In addition, the laws of certain foreign jurisdictions may impose liability upon lenders or bondholders under factual circumstances supplemental to those described above. Furthermore, if a court determined that a purported debt investment lacked sufficient indicia of indebtedness, such court could recharacterize such loan as equity for the purposes of priority of distributions in an insolvency proceeding of the borrower. Because of the nature of certain of the Investments contemplated, ASMEO could be subject to claims from creditors of an obligor that the related investment should be recharacterized.

ASMEO will have limited ability to protect its interests in Investments that ASMEO is not in a position to control.

ASMEO will not be in a position to control certain of its Portfolio Companies. In these circumstances, ASMEO may not have a right to appoint a director and may have a limited ability to protect its interests in such companies and to influence such companies’ management. In such cases, ASMEO will be significantly reliant on the existing management and board of directors of such companies, which may include representation of other financial investors with whom ASMEO is not affiliated and whose interests may conflict with the interests of ASMEO.

The valuation of investments that are not publicly-traded could be more subjective than the valuation of investments that are publicly-traded.

Unlike publicly-traded common stock which trades on national exchanges, the Portfolio Companies and other investments of ASMEO is not anticipated to be traded at a central place or exchange. ASMEO’s targeted Investments generally trade on an OTC market, which may be any location where the buyer and seller can settle a price. Due to the lack of centralized information and trading, the valuation of such instruments may carry more risk than publicly-traded common stock. Uncertainties in the conditions of the financial market, unreliable reference data, lack of transparency and inconsistency of valuation models and processes may lead to inaccurate asset pricing. In addition, other market participants may value ASMEO’s Investments differently than the Investment Manager.

ASMEO may hold investments in obligors in severe financial difficulties, including bankruptcy.

ASMEO may hold investments in obligors that are experiencing, or are expected to experience, severe financial difficulties, which may never be overcome and may lead to uncertain outcomes. The bankruptcy courts of the various jurisdictions in which any such obligor may file bankruptcy would have broad discretion to control the terms of a reorganization, and political factors may be of significant importance in high profile bankruptcies or bankruptcies in particular jurisdictions.

Many of the events within a bankruptcy case are adversarial and often beyond the control of the creditors. While creditors generally are afforded an opportunity to object to significant actions, there can be no assurance that a bankruptcy court would not approve actions which may be contrary to the interests of ASMEO. Furthermore, in certain jurisdictions, there are instances where creditors and equity holders lose their ranking and priority as such when they take over management and functional operating control of a debtor. In those cases where ASMEO, by virtue of such action, is found to exercise “domination and control” of a debtor, ASMEO may lose its priority if the debtor can demonstrate that its business was adversely impacted or other creditors and equity holders were harmed by ASMEO. Generally, the duration of a bankruptcy case can only be roughly estimated. Unless ASMEO’s claim in such case is secured by assets having a value in excess of such claim, no interest will be permitted to accrue and, therefore, ASMEO’s return on Investment can be adversely affected by the passage of time during which the plan of reorganization of the debtor is being negotiated, approved by the creditors and confirmed by the bankruptcy court. The risk of delay is particularly acute when a creditor holds unsecured debt or when the collateral value underlying secured debt does not equal the amount of the secured claim. Under most circumstances, unless the debtor is proved to be solvent, no interest or fees are permitted to accrue after the commencement of the debtor’s case, as a matter of U.S. bankruptcy law. It should also be noted that reorganizations outside of bankruptcy are also subject to unpredictable and potentially lengthy delays. U.S. bankruptcy law permits the classification of “substantially similar” claims in determining the classification of claims in a reorganization for purpose of voting on a plan of reorganization. Because the standard for classification is vague, there exists a significant risk that ASMEO’s influence with respect to a class of securities can be lost by

the inflation of the number and the amount of claims in, or other gerrymandering of, the class. The administrative costs in connection with a bankruptcy proceeding are frequently high and will be paid out of the debtor's estate prior to any return to creditors (other than out of assets or proceeds thereof, which are subject to valid and enforceable liens and other security interests) and equity holders. In addition, certain claims that have priority by law over the claims of certain creditors (for example, claims for taxes) may be quite high. The Investment Manager may seek representation on creditors' committees, equity holders' committees or other groups to attempt to preserve or enhance ASMEO's interests as a creditor or equity holder. A member of any such committee or group may owe certain obligations generally to all parties similarly situated that the committee represents. If Ares concludes that ASMEO's representative's obligations owed to the other parties as committee or group member conflict with its duties owed to ASMEO or Other Ares Funds, it may require the Investment Manager's representative to resign from the committee or group, and ASMEO may not realize the benefits, if any, of participation on the committee or group. In addition, and also as discussed above, if ASMEO is represented on a committee or group, it may be restricted or prohibited under applicable law from disposing of its Investments in such company while it continues to be represented on such committee or group. ASMEO may purchase creditor claims subsequent to the commencement of a bankruptcy case. Under judicial decisions, it is possible that such purchase may be disallowed by the bankruptcy court if the court determines that the purchaser has taken unfair advantage of an unsophisticated seller, which may result in the rescission of the transaction (presumably at the original purchase price) or forfeiture by the purchaser.

If any of ASMEO's large position has a material loss, returns to Shareholders may be lower than if ASMEO had invested in a more diversified portfolio.

The Investment Manager intends to make Investments in the sports, media and entertainment industries and therefore ASMEO's investments will not be diversified by industry or economic sectors. Furthermore, ASMEO's Investments may not be diversified by return characteristics, geography, local market drivers, deal types, or otherwise. Moreover, concentration with respect to particular regions is expected to exist in ASMEO's investment portfolio. Subject to any applicable restrictions in the Annex and the Articles, there are no other mandatory restrictions regarding diversification of the Investments. See also "*Diversification Risk*" above.

As a result, ASMEO's portfolio may include a small number of large positions and/or concentrations in the sports, media and entertainment industries, as well as in countries, sectors, groups, or types of securities. If ASMEO's Investments are concentrated in a few issuers, any adverse change in the condition (financial or otherwise) of one or more of such issuers or in the sports, media and entertainment industries is expected to have a material adverse effect on ASMEO's Investments. Such concentration will subject ASMEO to a greater degree of risk with respect to the impact of a default by such obligor, or a greater degree of risk related to adverse business conditions in the sports, media and entertainment industries. Therefore, while this portfolio concentration may enhance returns to Shareholders, if any large position has a material loss, returns to Shareholders may be lower than if they had invested in a diversified portfolio, and Shareholders may suffer significant losses as a result. See also "*Risk Factors Relating to ASMEO's Assets – ASMEO will be subject to risks associated with the sports, media and entertainment sectors, including a high degree of regulation.*" below.

If ASMEO defaults on its borrowings, ASMEO could lose its entire investment in the security for such borrowings.

ASMEO may borrow money or guaranty indebtedness. In connection with any indebtedness incurred by ASMEO, or any such credit support provided by ASMEO, the Investment Manager may pledge the assets of ASMEO (including, for the avoidance of doubt, the Debt and Other Instruments). It is possible that the Shareholders will be required to acknowledge and consent to any such pledge or assignment and provide certain information and/or legal opinions as required by the lender or other credit party. Although use of such borrowing facilities enhances the ability to close transactions quickly, such activity also increases risk and raises the possibility that additional capital will be needed to pay off such debt. Any use of leverage by ASMEO may result in interest expense and other costs to ASMEO that may not be covered by distributions made to ASMEO or appreciation of its Investments. ASMEO may incur leverage on a joint and several basis with one or more other investment funds and entities managed by the Investment Manager or any of its affiliates and, in connection with incurring such indebtedness, the Investment Manager may, in its sole discretion, cause ASMEO to enter into one or more agreements to obtain a right of contribution, subrogation or reimbursement from or against such entities. However, it is possible that, if and when ASMEO were to seek to enforce any such right, any such entity could default on its obligation and/or such right may otherwise be unenforceable. In addition, to the extent ASMEO incurs leverage or provides any guaranty, such amounts may be secured by ASMEO's assets. If ASMEO defaults on secured indebtedness, the lender may foreclose and ASMEO could lose its entire investment in the security for such loan. Parties seeking to have the liability satisfied may have recourse to ASMEO's assets generally and not be limited

to any particular asset and may require additional funding to satisfy such liabilities. It is possible that ASMEO may decide to repay any leverage with new subscriptions or to make future investments with little or no corresponding leverage. If ASMEO decides to pay down its leverage or to make its Investments with little or no leverage, the returns of the Shareholders may be adversely affected. See also Section XVI: “*Risk Factors, Potential Conflicts Of Interest And Other Considerations–Use of Leverage*” of the General Section of the Prospectus.

Non-U.S. investments often involve heightened risks not typically associated with investing in investments in the U.S.

ASMEO may invest, directly or indirectly, in companies whose principal executive offices or corporate headquarters are, at the time of initial investment, outside of the U.S. Although the Investment Manager believes that investing in these markets may offer significant potential for appreciation and portfolio diversification, prospective investors should recognize that investing in non-U.S. markets may subject ASMEO to certain risks not typically associated with investing in assets in the U.S. The investor should consider a number of potential risks associated with investments in non-U.S. markets, including, without limitation: (i) that costs and expenses of investing in such markets may be higher than in the U.S.; (ii) risks of economic dislocations or other adverse economic events in the host country; (iii) differences in their securities markets, including potential price volatility in and relative illiquidity of some non-U.S. securities markets; (iv) political/sovereign risk arising from government actions (including seizure or nationalization of foreign deposits), trade barriers, exchange controls, different monetary systems, nationalization, expropriation, political changes, economic or social instability (including the risk of sovereign defaults), the risk of war or terrorism or civil unrest; (v) investment and repatriation restrictions arising from laws and regulations limiting or precluding direct foreign investment, foreign ownership restrictions, the possible inability to obtain approval for foreign investment, and unanticipated legal or regulatory changes; (vi) differences in conventions relating to documentation, settlement, corporate actions, stakeholder rights and other matters; (vii) the different accounting, auditing and financial reporting standards, practices and disclosure requirements and potentially less government supervision and regulation; (viii) different legal frameworks, regulatory systems and/or corporate laws regarding stakeholder rights, creditors’ rights (including the rights of secured parties), breach of contract actions, fiduciary duties and the protection of investors, and the consequent potential difficulty of obtaining enforceable legal redress; (ix) costs associated with conversion of and limitations on the convertibility of currency, or limitations on the removal of securities, property or other assets of an obligor; (x) currency risk; (xi) regulatory change, and the possibility of expropriation or confiscatory taxation or the imposition of withholding or other taxes on dividends, interest, capital gains, other income or gross sales or disposition proceeds, as well as application of transaction-based taxes such as stamp duty taxes; (xii) the possible imposition of foreign taxes on income, gains and gross sale or other proceeds recognized with respect to such securities or instruments; and (xiii) adverse diplomatic or political developments. While these factors will be taken into consideration in making investment decisions for ASMEO and ASMEO will be managed in a manner the Investment Manager believes would minimize exposure to the foregoing risks, there can be no assurance that these risks will be evaluated accurately or that adverse developments with respect to such risks will not adversely affect the value or realization of Investments that are held by ASMEO outside of the U.S.

ASMEO is subject to risks associated with currency devaluations and manipulation of currency exchange rates.

ASMEO Fund is denominated in U.S. dollar (USD). ASMEO’s Investments may be made in countries other than the U.S. and, consequently, ASMEO may make certain Investments denominated in Euros and other currencies other than the U.S. dollar.

Changes in the rates of exchange between the U.S. dollar and other currencies will have an effect, which could be adverse, on the performance of ASMEO, amounts available for distribution by ASMEO and the value of securities distributed by ASMEO. In this regard, regulators and law-enforcement agencies from multiple governments have conducted investigations into whether several large global financial institutions may have been rigging or otherwise manipulating or attempting to manipulate foreign-currency exchange rates for their own benefit. If manipulation of foreign-currency exchange rates occurs in the future, it may result in such rates being artificially lower (or higher) than they would otherwise have been and, to the extent ASMEO converts currencies at or based on such rates, it may result in ASMEO overpaying for such conversion. Additionally, a particular foreign country may impose exchange controls, conversion costs, devalue its currency and/or take other measures relating to its currency which could adversely affect ASMEO. Among the factors that may affect currency values are trade balances, the level of short-term interest rates, differences in relative values of similar assets in different currencies, long-term opportunities for investment and capital appreciation and political developments. Finally, ASMEO will incur costs in connection with conversions between various currencies. ASMEO will conduct its

foreign currency exchange transactions in anticipation of ASMEO making investment commitments or receiving proceeds upon dispositions.

ASMEO has the ability to make investments in foreign currency denominated assets and is not required to hedge currency risk; however, ASMEO will have the ability to establish currency hedges at the discretion of the Investment Manager, and ASMEO may from time to time enter into hedging transactions with the intent of mitigating currency exposure. Such hedging transactions may be on an asset-specific basis, or may include a broader program to minimize currency risk across the portfolio. The instruments used to hedge currency risk may include, without limitation, forward sales or purchases, options to purchase or sell currencies, or other currency derivatives. See also Section XVI: “*Risk Factors, Potential Conflicts Of Interest And Other Considerations—Sub-Fund’s Investments may be denominated in currencies other than the currencies in which Shares in the Sub-Fund are denominated*” of the General Section of the Prospectus.

Disputes involving ASMEO or Portfolio Companies may result in litigation or arbitration that would increase ASMEO’s expenses.

In addition to the risks set out in Section XVI: “*Risk Factors, Potential Conflicts Of Interest And Other Considerations— Each Sub-Fund’s investment activities could subject it to becoming involved in litigation or other disputes with third parties*” of the General Section of the Prospectus, investors should note that, in the event of a restructuring of an investment, it is possible that ASMEO may become involved in litigation respecting creditor disputes and similar issues among classes of claimants. The outcome of such proceedings may materially and adversely affect the value of the Shares and may continue without resolution for long periods of time. Litigation entails expense and the possibility of counterclaims against ASMEO, the Investment Manager, and the AIFM and ultimately judgments may be rendered against ASMEO for which ASMEO may not carry insurance. Any litigation may consume substantial amounts of time and attention, and that time and the devotion of these resources to litigation may, at times, be disproportionate to the amounts at stake in the litigation.

Investing in senior debt may involve heightened risks if unsecured creditors seek remedies to limit the senior debt’s rights.

Certain of ASMEO’s Investments may include first and second lien senior secured debt. Such debt may (i) include term loans and revolving loans, (ii) pay interest at a fixed or floating rate and (iii) be acquired by way of purchase or assignment in the primary and secondary markets. The purchaser of an assignment typically succeeds to all the rights and obligations of the assigning institution and becomes a contracting party under the legal documentation with respect to the debt obligation; however, its rights can be more restricted than those of the assigning institution.

The factors affecting an issuer’s first and second lien loans, and its overall capital structure, are complex. Some first lien loans may not necessarily have priority over all other unsecured debt of an issuer. For example, some first lien loans may permit other secured obligations (such as overdrafts, swaps or other derivatives made available by members of the syndicate to the company) or involve first liens only on specified assets of an issuer. Issuers of first lien loans may have two tranches of first lien debt outstanding, each with first liens on separate collateral. Second lien loans are subordinate in right of payment to one or more senior secured loans of the related borrower and therefore are subject to additional risk that the cash flow of the related borrower and the property securing the loan may be insufficient to repay the scheduled payments to ASMEO after giving effect to any senior secured obligations of the related borrower. Second lien senior loans are also expected to be a more illiquid investment than first lien senior secured loans for such reason. There also is less likelihood that ASMEO be able to sell participations in second lien loans that it originates or acquires, which would expose ASMEO to increased risk.

Senior secured credit facilities may be syndicated to a number of different financial market participants. The documentation governing such facilities typically requires either a majority consent or, in certain cases, unanimous approval for certain actions in respect of the loan, such as waivers, amendments, or the exercise of remedies. In addition, in the United States, voting to accept or reject the terms of a restructuring of a credit facility pursuant to a Chapter 11 plan of reorganization is usually done on a class basis. As a result of these voting regimes, ASMEO may not have the ability to control any decision in respect of any amendment, waiver, exercise of remedies, restructuring or reorganization of an investment.

Senior secured loans are also subject to other risks and can cause unsecured creditors to seek remedies to limit ASMEO potential recovery of such investments, including (a) the possible invalidation of a debt or lien as a “fraudulent conveyance”; (b) the recovery as a “preference” of liens perfected or payments made on account of a debt within a certain period before a bankruptcy filing; (c) equitable subordination claims by other creditors; (d) lender liability claims by the issuer of the obligations; (e) environmental liabilities that may arise with respect to

collateral securing the obligations; (f) recharacterization claims in which certain creditors may seek to have ASMEO's debt positions recharacterized as equity and therefore subordinate ASMEO's claims to such creditors' claims; and (g) designating the vote (i.e., ignoring the customary class vote system) under a Chapter 11 plan of reorganization in which lenders are entitled to vote as a class (where applicable).

Real estate investments are subject to risks associated with changes in zoning, building, environmental and other laws, changes in real estate tax rates and other regulatory risks.

ASMEO's investment strategy includes the making of Investments in real estate, including, without limitation, potential investments in sports stadiums and other venues. All real estate investments, ranging from equity investments to debt investments, are subject to some degree of risk. Real estate investments are relatively illiquid and, therefore, will tend to limit ASMEO's ability to respond promptly to changes in economic or other conditions. No assurances can be given that the fair market value of any real estate investments held by ASMEO will not decrease in the future or that ASMEO will recognize full value for any investment that ASMEO is required to sell for liquidity reasons. Other risks include changes in zoning, building, environmental and other laws, changes in operating expenses, changes in real estate tax rates, changes in interest rates, energy prices, changes in the relative popularity of properties, changes in the number of buyers and sellers of properties, the ongoing need for capital improvements, cash-flow risks, construction risks, structural repairs, general maintenance, as well as natural catastrophes, acts of war, terrorism, civil unrest, uninsurable losses and other factors beyond the control of ASMEO.

ASMEO may purchase distressed securities that are in default or the issuers of which are in bankruptcy, which involve heightened risks.

ASMEO may invest in securities of domestic and foreign entities which are experiencing or may experience significant financial or business difficulties. ASMEO may lose a substantial portion or all of its investment in a distressed environment or may be required to accept cash or securities with a value less than the investment. Such investments also may be adversely affected by state and federal laws relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the bankruptcy court's discretionary power to disallow, subordinate or disenfranchise particular claims. The market prices of such instruments are also subject to abrupt and erratic market movements and above average price volatility, and the spread between the bid and asked prices of such instruments may be greater than normally expected due to a variety of factors that are inherently difficult to predict, such as domestic or international economic and political developments, all of which may significantly affect the results of ASMEO's activities. Investments in distressed securities, particularly rescue financings in connection with reorganizations, often involve litigation generally related to issues related to control and preference among classes, claimants and other related matters. Such litigation can be time-consuming and expensive, and can frequently lead to unpredicted delays or losses that by their nature involve business, financial, market and/or legal risks.

Investments in warrants, many of which have longer terms than options, involve a substantial degree of risk.

ASMEO may receive or purchase warrants or rights. Warrants and rights generally give the holder the right to receive, upon exercise, a security of the issuer at a stated price. Risks associated with the use of warrants and rights are generally similar to risks associated with the use of options. Unlike most options, however, warrants and rights are issued in specific amounts, and warrants generally have longer terms than options. Warrants and rights are not likely to be as liquid as exchange-traded options backed by a recognized clearing agency. In addition, the terms of warrants or rights may limit ASMEO's ability to exercise the warrants or rights at such time, or in such quantities, as ASMEO would otherwise wish.

Price of equity kickers are subject to more volatility than prices of debt securities.

In connection with certain of ASMEO's originated or acquired loan investments, ASMEO may be issued or otherwise receive a range of equity incentives, which would usually be in the form of a warrant to acquire a portion of a borrower's fully diluted equity, but could also be in the form of outright shares, an exit fee or some direct participation in proceeds of a sale or listing (and may also be received in connection any workouts or restructurings of those investments) (collectively, "**Equity Kickers**"). Equity Kickers would be intended to enable ASMEO to participate in a borrower's long-term value which may be created by growth facilitated by a loan, and accordingly will have little or no value at issuance and will typically generate income (if at all) only upon a sale, listing or recapitalization of the borrower. Such Equity Kickers will generally involve a high degree of risk, and will be subordinate to (and thus are inherently riskier than) the debt securities and other liabilities of the issuers of such Equity Kickers. Prices of Equity Kickers generally fluctuate more than prices of debt securities and are likely to

be affected more rapidly, and to a greater extent, by company-specific developments and poor economic or market conditions. In addition, Equity Kickers may be illiquid or trade at significant discounts to otherwise comparable investments. Equity Kickers may not produce any income for ASMEO and may ultimately have no recognizable value. ASMEO may experience a substantial or complete loss on such Equity Kickers to the extent of any value given in connection with the acquisition thereof.

ASMEO may have limited rights with respect to its bank loans acquired through assignment or participations.

ASMEO may invest in bank loans and corporate secured loans acquired through assignment or participations. These obligations are subject to various risks, including: (i) the possible invalidation of an investment transaction as a fraudulent conveyance under relevant laws; (ii) lender-liability claims of breach of contract, breach of fiduciary duty and of sales of collateral at non-commercially reasonable terms by the underlying obligor (see “— *Risk Factors Relating to ASMEO’s Assets – ASMEO’s investments may be subject to risks associated with lender liability and equitable subordination.*” above); (iii) environmental liabilities that may arise with respect to any collateral securing the underlying obligations; and (iv) limitations on the ability of ASMEO to enforce its rights directly with respect to participations.

In purchasing participations, ASMEO will have a direct contractual relationship only with the selling institution, and not the borrower. ASMEO generally will have no right to enforce compliance by the underlying borrower with the terms of the loan agreement, nor any voting rights or rights of set-off against the underlying borrower, nor will it have the right to object to certain changes to the loan agreement agreed to by the selling institution. ASMEO may not benefit from the collateral supporting the related secured loan and may not be subject to any rights of set-off the borrower has against the selling institution.

In addition, in the event of the insolvency of the selling institution, under the laws of certain jurisdictions ASMEO may be treated as a general creditor of such selling institution, and may not have any exclusive or senior claim with respect to the selling institution’s interest in, or the collateral with respect to, the secured loan. Consequently, in such circumstances, ASMEO will be subject to the credit risk of the selling institution as well as that of the borrower. Certain of the secured loans or loan participations may be governed by the law of a foreign jurisdiction which may present additional risks as regards the characterization of such transaction as a participation under such laws of such participation in the event of the insolvency of the selling institution or the borrower.

ASMEO may have only limited control over a loan that has been syndicated to third parties.

In certain circumstances, ASMEO may hold a loan that has been syndicated to third parties that are not affiliated with the Investment Manager. As a holder of a syndicated loan or an interest therein, ASMEO may have limited consent and control rights, and such rights may not be effective in view of the expected proportion of such loan held by ASMEO. The Investment Manager may exercise or enforce, or refrain from exercising or enforcing, any or all of ASMEO’s rights in connection with any of its underlying investments. However, due to the size of ASMEO’s investment position, ASMEO may have limited influence over any amendment, waiver, or modification of such loan.

The profitability of ASMEO’s loan investments are often dependent on the obligors’ ability to refinance at or prior to maturity.

ASMEO’s assets may consist of loans for which most or all of the principal is due at maturity. The ability of the obligor(s) under such loan to make such a large payment upon maturity typically depends upon its ability to refinance the loan prior to maturity. The ability of an obligor to consummate a refinancing will be affected by many factors, including the availability of financing at acceptable rates to such obligor, the financial condition of such obligor, the marketability of the collateral (if any) securing such loan, the operating history of the obligor and related businesses, tax laws and prevailing general economic conditions. Additionally, middle market obligors generally have more limited access to capital and higher funding costs, may be in a weaker financial position, may need more capital to expand or compete, and may be unable to obtain financing from public capital markets or from more traditional sources, such as commercial banks. Consequently, such obligor may not have the ability to repay the loan at maturity and, unless it is able to refinance such loan, it could default in payment at maturity, which could result in losses to ASMEO and, indirectly, to the Shareholders.

Significant numbers of obligors are expected to need to refinance their debt over the next few years, and significant numbers of collateralized loan obligation transactions (historically an important source of funding for loans) have reached or are close to reaching the end of their reinvestment periods or the final maturities of their own debt. As a result, there could be significant pressure on the ability of obligors to refinance their debt over the next few years

unless a significant volume of new collateralized loan obligation transactions or other sources of funding develop. If such sources of funding do not develop, significant defaults in ASMEO's assets could occur, and there could be downward pressure on the prices and markets for debt instruments, including assets held by ASMEO.

ASMEO will be subject to risks associated with the sports, media and entertainment sectors, including a high degree of regulation.

ASMEO's investment strategy includes the making of investments in sports leagues, sports teams and sports industry related companies, as well as entertainment and media companies. Such investments are generally subject to a high degree of regulation, whether pursuant to law and governmental regulation and/or by non-governmental governing bodies. Any such laws and regulations (as well as other applicable regulations) may impact ASMEO's ability to make an acquisition or disposition of an investment, as well as increase costs associated with making, holding or disposing of such investment.

The legal and governmental regulation of portfolio companies involved in the sports, media and entertainment sectors is subject to periodic governmental review, legislative initiatives and judicial interpretations, any of which could adversely affect such portfolio companies and their profitability. For example, if new restrictions or bans on advertising specific products or services which are advertised by a portfolio company are introduced, it may reduce such portfolio company's advertising and sponsorship revenue. Advertising laws could also be introduced which prevent the broadcast of images which include a restricted brand, thereby preventing a portfolio company from licensing television rights in an affected area. Broadcasting laws could be introduced which require that a sporting, entertainment or media event (each an "Event") be broadcast only on free-to-air television which would prevent related portfolio companies from entering into pay television contracts in the relevant jurisdiction. Additionally, judicial decisions or other governmental action could interfere with the manner in which certain portfolio companies exploit their broadcasting rights, including in relation to such companies' segmentation of such rights among different geographic regions.

In addition to such legal and governmental regulation, sports leagues and sports teams are often subject to the authority of certain governing bodies with respect to all or virtually all aspects of their operations. Such governing bodies may place safety and other sporting concerns over a particular team's commercial interests. As a result, such governing bodies may take actions with respect to safety, competition and sporting standards and regulations which conflict with a team's interests as a commercial rights holder, including by increasing the cost of participation, diminishing the spectacle of sporting events, imposing fines on or excluding sports teams, cancelling or delaying a sporting event, withholding approval for the staging of a sporting event, a new or proposed season calendar or establishing regulations without the support of the applicable sports teams. Such governing bodies will have certain rights and limitations and the exercise or purported exercise of such governing bodies' rights thereunder may conflict with such team's interests. Any actions taken by such governing bodies which conflict with such team's interests may adversely impact such team's operations and revenue, and in turn may materially adversely impact ASMEO.

In the event of a public health emergency, pandemic, collective bargaining dispute that leads to a strike, or any other situation that could adversely impact the ability of a team to play, and/or for the whole league to play, whether for one or more games, or a season or more, such a situation could adversely impact any investments that are in any way dependent on the sport sector to generate revenue, potentially materially so. This includes not only teams themselves, but companies that sell sporting equipment or memorabilia, provide tickets to sporting events, own or run the stadiums that host sporting events, broadcast sports, sport management and/or marketing agencies and more. Even if a sport can be played, revenue may be lost if the ability to have live spectators is significantly impacted (including where the number of live spectators is permitted but limited), as was seen with many sports as a result of the COVID-19 pandemic. See also.

The financial results of Portfolio Companies affiliated with certain sports teams depend on the on-field success of the sports teams.

The financial results of Portfolio Companies affiliated with certain sports teams depend in large part on the ability of such sports teams to achieve on-field success. Typically, sports teams will generate significant fan enthusiasm, resulting in sustained ticket, premium seating and concession and merchandise sales, and greater shares of local television and radio audiences during periods of success. Furthermore, qualification by a sports team for "postseason" or other championship level events can provide such team with additional revenue and income. There can be no assurance that a sports team will perform well or qualify for postseason play during the next season or any season thereafter. Poor performance by a sports team is likely to adversely affect the financial performance of the related investment and, by extension, ASMEO.

Furthermore, the success of sports teams can depend, in large part, on the ability to develop, obtain and retain talented players. The professional sports teams compete for available professional players and top player prospects. There can be no assurance that a Portfolio Company and/or its affiliated sports team(s) will be able to retain players upon expiration of their contracts or identify and obtain or develop new players of adequate talent to replace players who retire or are injured, traded, released or lost to free agency. Even if such sports teams are able to retain or obtain players who have had successful amateur or professional careers, or develop talented players (for example, through minor league affiliates or otherwise), there can be no assurance that such players will perform successfully for such sports teams. Penalties levied by the applicable governing bodies against certain sports teams in the international market can also limit such sports teams' ability to develop and obtain players internationally.

Certain professional sports leagues and associations to which the Portfolio Companies belong may restrict ASMEO's right to make new investments.

The governance rules of professional sports leagues impose significant operational and other restrictions on investments in and regarding sports teams and related businesses. Such governance rules are more expansive and restrictive than the contractual arrangements and restrictions associated with investments in most other operating businesses. An investment by ASMEO may subject ASMEO, the Investment Manager, the AIFM and, potentially, Shareholders to some or all of such governance rules. Such governance rules may (i) require disclosure by ASMEO of information regarding the Investment Manager, the AIFM, the Shareholders and their respective affiliates, (ii) restrict ASMEO's ability to incur indebtedness, the nature and timing of ASMEO's sale of an investment in a team and transfers of interests in ASMEO, (iii) restrict ASMEO's ability to acquire, invest in, or otherwise transact with sports teams other than the sports team ASMEO invests in, and (iv) otherwise impose certain burdensome requirements and restrictions on ASMEO and its operations.

Portfolio Companies in the entertainment sector are subject to fierce competition and new regulations.

The entertainment sector is highly competitive, and these competitive pressures can adversely affect the financial performance of the companies that ASMEO invests in. Entertainment generally represents discretionary expenditure, and participation in such activities may decline when the economic outlook is uncertain and during economic downturns. For example, programming services, cable internet and television systems, the internet, telecommunication services and satellite carriers are subject to varying degrees of regulation in the U.S. by the Federal Communications Commission (the "FCC") and other entities and in foreign countries by similar entities. Such regulation and legislation are subject to the political process and therefore are constantly in flux. Further material changes in the law and regulatory requirements must be anticipated, and there can be no assurance that the business of ASMEO's Portfolio Companies will not be adversely affected by future legislation, new regulation or deregulation, including the FCC's December 14, 2017 decision to repeal the Protecting and Promoting the Open Internet rules, more commonly known as the "Net Neutrality" regulations. In addition, competitive pressures within the digital media and internet sectors are intense, and the securities of such Portfolio Companies may be subject to significant price volatility. Because the digital media and internet sectors are also subject to rapid and significant changes in technology, Portfolio Companies in these sectors may face competition from technologies being developed or to be developed in the future by other entities, which may make such companies' products and services obsolete.

Portfolio Companies in the gaming sector are subject to risks related to new regulations and negative publicity.

ASMEO may also make Investments in or related to the gaming sector. The gaming sector is subject to extensive gaming regulations and political and regulatory uncertainty. Regulatory authorities at the non-U.S., U.S. federal, state and local levels have broad powers with respect to the regulation and licensing of gaming operations and may revoke, suspend, condition or limit gaming licenses, impose substantial fines and take other actions, any one of which could have a material adverse effect on a company's business, financial condition, results of operations and prospects. These laws, regulations and ordinances vary from jurisdiction to jurisdiction, but generally concern the responsibility, financial stability and character of the owners and managers of gaming operations as well as persons financially interested or involved in gaming operations.

In May 2018, the U.S. Supreme Court struck down as unconstitutional the Professional and Amateur Sports Protection Act of 1992. This decision has the effect of lifting federal restrictions on sports betting and thus allows states to determine by themselves the legality of sports betting. However, there can be no assurance that legally enforceable legislation will not be proposed and passed in jurisdictions to prohibit, legislate or regulate various aspects of the gaming sector (or that existing laws in those jurisdictions will not be interpreted negatively). Compliance with any such legislation may have a material adverse effect on a company's business, financial

condition and results of operations, either as a result of a determination that a jurisdiction should be blocked, or because a local license or approval may be costly to obtain and/or such licenses or approvals may contain other commercially undesirable conditions. As such, compliance with the various regulations applicable to the gaming sector is costly and time-consuming and, despite such costs, there is no assurance that a gaming license will not be revoked, suspended or conditioned at any time. As a result, the regulation of the gaming industry will likely increase the cost of investing, maintaining and disposing of an investment in the gaming sector.

Furthermore, public opinion can significantly influence the gaming sector. Unfavorable publicity regarding product changes, product quality, litigation, or regulatory activity, or regarding the actions of third parties could cause serious harm to a company involved in the gaming sector. In addition, a negative shift in the perception of gambling by the public or by politicians, lobbyists or others could affect future legislation and regulation of gambling, which could cause jurisdictions to abandon proposals to legalize gambling, thereby limiting the number of jurisdictions in which a company can operate.

Cancellation, postponement and disruption of events held, sponsored or otherwise funded by the Portfolio Companies will adversely impact ASMEO's performance.

ASMEO expects to invest in Portfolio Companies that engage in high profile Events, oftentimes with a global fan base, which are attended by a large number of spectators. Events may have to be postponed or cancelled, or a Portfolio Company may be unable to provide an international television feed of an Event, due to factors beyond its control. For example, many Events were postponed due to the COVID-19 outbreak. The effects of public health emergencies such as the COVID-19 outbreak have been far reaching and may continue to have an adverse impact on investments in the sports, media and entertainment sectors. If an Event is cancelled, postponed, or otherwise interfered with or disrupted, the applicable Portfolio Company's business, financial condition and results of operations could be materially and adversely affected, which in turn could materially adversely affect ASMEO.

Certain Portfolio Companies may receive a high degree of media coverage and negative publicity regarding the Portfolio Companies which may adversely impact ASMEO's performance.

ASMEO's investment strategy includes the making of Investments in companies that receive a high degree of media coverage. Negative or unfavorable publicity regarding a company's product, product quality, litigation, or regulatory activity, or regarding the actions of third parties with whom it has relationships or its sport (including declining popularity of such sport or its athletes) could seriously harm a company's brand, reputation and business. In addition, events in a company's industry or sport, even if unrelated to such company, may negatively affect its brand, reputation and business. As a result, such negative or unfavorable publicity may adversely impact the company's and/or ASMEO's reputation, and may result in material adverse consequences to ASMEO's Investment in the company and, potentially, ASMEO's ability to execute its investment strategy.

Consumer viewing habits may change over time and new content distribution platforms may emerge.

The manner in which consumers view televised sporting or other events is changing rapidly with the emergence of alternative distribution platforms. Digital cable, internet and wireless content providers are continuing to improve technologies, content offerings, user interface, and business models that allow consumers to access video-on-demand or internet-based tools with interactive capabilities including start, stop and rewind. Such developments may impact the profitability or effectiveness of a Portfolio Company's existing licensing practices and there is no guarantee that such a Portfolio Company will be successful in adapting its licensing practices and/or media platform as consumer viewing habits change. If a Portfolio Company is unsuccessful in adapting its licensing practices and/or media platform as consumer viewing habits change, a Portfolio Company's viewership levels (whether on traditional or new platforms) may decrease and/or its licensing practices may become less profitable leading to the possibility of a reduction in the value of its broadcasting and advertising and sponsorship contracts. Any reduction in the value of a Portfolio Company's commercial rights and/or contracts may materially and adversely affect its revenue, business, financial condition, results of operations and prospects, which in turn may materially adversely affect ASMEO. There can be no assurance that a Portfolio Company's level of monetization will be comparable to that of its competitors.

Certain Portfolio Companies' profits and performance may be dependent on their trademarks, copyrights and intellectual property.

Portfolio Companies in the sports, media and entertainment sector rely on certain trademarks, copyrights and other intellectual property to protect their rights, including their brands, logos and television footage. The existence of complex factual and legal issues may give rise to uncertainty as to the validity or subsistence, scope and

enforceability of a particular trademark, copyright or other intellectual property or contractual right in a particular jurisdiction. Such trademarks, copyrights and other intellectual property can be targets for piracy and other infringement, and in particular, a Portfolio Company and its businesses' brands (including their logos) and television footage are potential targets for counterfeiting, piracy and other infringement. In recent years, piracy and illegal live streaming of subscription content over the internet has caused, and is continuing to cause, lost revenue to distributors showing Events. New technologies such as the convergence of computing, communication, and entertainment devices, the falling prices of devices incorporating such technologies, increased broadband internet speed and penetration and increased availability and speed of mobile data transmission have made the unauthorized digital pirating and distribution of televised sporting events easier and faster and enforcement of intellectual property rights more challenging. The unauthorized use of intellectual property in the entertainment industry generally continues to be a significant challenge for intellectual property rights holders. If a Portfolio Company is unsuccessful in preventing widespread piracy and illegal live streaming of Events in the future, these activities could result in lost revenue and a reduction in the value of such Portfolio Company's broadcasting rights which may materially and adversely affect such Portfolio Company's business, results of operation, financial condition and prospects, and in turn may materially adversely affect ASMEO.

ASMEO will be subject to the risks associated with investing alongside and/or in Other Ares Funds.

ASMEO is expected to invest a portion of its capital alongside and/or in Other Ares Funds (which, for the avoidance of doubt, may include ASMEO US). The overall success of ASMEO depends not only on the ability of ASMEO to effectively allocate its capital among the Other Ares Funds and direct investments but also Ares' ability to make successful investments in the applicable Other Ares Funds alongside which ASMEO invests. Accordingly, ASMEO will be highly dependent upon the expertise and abilities of Ares and its personnel, who have investment discretion over ASMEO's assets and deploy capital within the various Other Ares Funds alongside which ASMEO invests.

The level of risk associated with ASMEO's Investments varies depending in part on the particular investment strategies utilized by Ares with respect to the applicable Other Ares Funds alongside which ASMEO invests. Each of the risks and conflicts set forth herein may or may not relate to any particular Other Ares Fund. Potential investors in ASMEO should carefully consider the risks associated with ASMEO's investment strategy and those of the Other Ares Funds prior to investing.

- *No Management or Control of Other Ares Funds.* In instances where ASMEO invests in an Other Ares Fund, ASMEO will be a passive investor, and will have no management authority or governance rights with respect to any investments made by such Other Ares Fund. ASMEO will be relying on the management skill of Ares as sponsor and / or adviser of the Other Ares Funds alongside which, or in which, ASMEO invests. In addition, the management, financing, investing and disposition practices or policies of Other Ares Funds (and thus ASMEO) generally will be determined by Ares and will not require the consent of the investors of either Other Ares Funds or ASMEO. Any changes in such practices or policies could be detrimental to the value of ASMEO's Investment and could cause the Shares, on the one hand, and those of investors of the Other Ares Funds, on the other hand, to diverge. In addition, since in many instances the structure and terms of an Investment will be primarily negotiated by the investment team of the Other Ares Funds alongside which, or in which, ASMEO will also invest, the terms and structure of such investment may not necessarily take fully into account (or take into account at all) the interests of ASMEO or its Shareholders (including as it relates to any tax structuring by the applicable Other Ares Funds).
- *Differences Between Investing in ASMEO and in Other Ares Funds.* When investing directly as a Shareholder in ASMEO, with respect to the Investments in or alongside Other Ares Funds, the rights and benefits of each investor will differ from the rights and benefits of those investors that have invested directly in Other Ares Funds with respect to which ASMEO invests in or alongside. Such differences and risks associated with such differences include, without limitation, the following:
 - *Timing of Capital Contributions.* The investors in Other Ares Funds generally use subscription lines of credit in lieu of capital contributions to such Other Ares Funds at the time investments are made, and whether or not such subscription line is used, fund capital over time, while Shareholders are expected to be required to pay in full their subscription when subscribing, thus potentially reducing the rates of returns experienced by the Shareholders compared to the rate of returns of the investors of such Other Ares Fund.

- *Voting.* The Shareholders will generally have no right to vote on matters presented to the limited partners and/or unitholders of the Other Ares Funds (including ASMEO US).
- *Privity.* The Shareholders will not be limited partners and/or unitholders of any Other Ares Funds (including ASMEO US) in which ASMEO invests (by virtue of the investor's investment in ASMEO), and as such, the investor will not be a party to any Other Ares Funds' governing agreements and, accordingly, will not have any direct rights thereunder and therefore will have no direct recourse against any Other Ares Funds, such Other Ares Funds' related vehicles, the general partner and / or investment adviser of any Other Ares Funds or any of its affiliates (other than ASMEO, the Investment Manager and the AIFM). The offering of Shares does not constitute, and should not be considered, an offering of interests in any Other Ares Fund. Shareholders should note that none of the persons or entities responsible for the organization, control, management or operations of ASMEO, in such capacity as a manager or controller of ASMEO, has the power to legally bind or commit Other Ares Funds or the general partner and / or investment adviser of any Other Ares Funds, though some of these persons may separately serve in such a capacity with respect to an Other Ares Fund. Moreover, ASMEO has no right to participate in the control, management or operations of any Other Ares Fund. No Other Ares Funds or the general partner and / or investment adviser of any Other Ares Funds have participated or will participate in the offering of Shares, and none of the foregoing have or will have any responsibility for such offering. No Other Ares Funds or the general partner and / or investment adviser of any Other Ares Funds have endorsed, and none of them are or will be responsible for the preparation or contents of, and none have passed upon or made any representation with respect to the adequacy or sufficiency of, the disclosure contained herein.
- *Reporting.* The investors in Other Ares Funds generally will receive periodic reporting which includes investment by investment performance and, in some cases, commentary on recent developments at particular portfolio companies, which, even if such companies are also portfolio companies of ASMEO, are not expected to be shared in all cases with Shareholders. In addition, representatives of investors in Other Ares Funds that serve as members of such Other Ares Fund's limited partner advisory committees may receive detailed information concerning various aspects of the activities of Other Ares Funds in connection with the performance of their responsibilities. Therefore, investors in Other Ares Funds or their representatives on Other Ares Funds' limited partner advisory committees may receive additional or more detailed reporting regarding the portfolio companies in which ASMEO has invested.

Selected Conflicts of Interests in relation to ASMEO and Portfolio Funds Investments

Syndication; Warehousing.

Ares, Other Ares Funds, or affiliates or related parties of the foregoing or other parties (including for the avoidance of doubt any bank warehouse, which may be structured as a securitization, a total return swap, junior and/or "first loss" notes, the price of which will be linked to the value of the underlying assets, or otherwise, which in each case may be guaranteed financed or partially financed by any of the foregoing) could acquire an Investment as principal and subsequently sell some or all of it to ASMEO, Other Ares Funds or co-investors in an affiliate or related party transaction. Similarly, ASMEO may acquire an Investment and subsequently syndicate, or sell some or all of it, to Ares, Other Ares Funds, co-investors, or affiliates or related parties of the foregoing or other third parties, notwithstanding the availability of capital from the Shareholders and other investors thereof or applicable credit facilities. The Sponsor may cause these transfers to be made at cost, or cost plus an interest rate or carrying cost charged from the time of acquisition to the time of transfer, notwithstanding that the fair market value of any such Investments may have declined below or increased above cost from the date of acquisition to the time of such transfer. The Sponsor may also determine another methodology for pricing these transfers, including fair market value at the time of transfer. It may be possible that ASMEO acquires transferred assets at above fair market value, and/or separately sell assets at below fair market value. The Board of Directors (or the non-affiliated directors thereof) may, but are not required to, approve the price, terms and conditions of such transfer and may approve or waive any conflicts arising in connection therewith on behalf of the Shareholders. Also, the Sponsor may charge fees on these transfers to either or both of the parties to them. The Sponsor or its affiliates will be permitted to retain any portion of an Investment initially acquired by them with a view to syndication to co-investors or other potential purchasers to the extent such portion has not been syndicated after reasonable efforts to do so. As part of structuring such syndication and warehousing arrangements, the Sponsor may require ASMEO and Other Ares Funds to enter into conditional purchase agreements, where ASMEO and/or such Other Ares

Funds agree to acquire future warehoused Investments: (i) prior to their original acquisition; and (ii) prior to ASMEO and such Other Ares Funds having the requisite available capital to acquire such assets, in each case with such sale being conditional upon ASMEO and/or such Other Ares Funds (as the case may be) having sufficient available capital in order to acquire the relevant warehoused assets. The Sponsor expects to enter into a warehousing arrangement prior to the formation of ASMEO and, as part of the structuring of such syndication and warehousing arrangement, the Sponsor expects to require ASMEO to enter into a conditional purchase agreement on similar terms to those described in the foregoing sentences. Conflicts of interest are expected to arise in connection with these potential warehousing arrangements and any related affiliate transactions, including with respect to timing allocations of Investments to such warehousing, structuring, pricing and other terms of the transactions related thereto. For example, the Sponsor will have a conflict of interest when the Sponsor receives fees, including an incentive allocation, from an Other Ares Fund acquiring from or transferring to ASMEO all or a portion of an Investment.

These conflicts related to syndication of Investments and warehousing will not necessarily be resolved in favor of ASMEO, and Shareholders may not be entitled to receive notice or disclosure of the occurrence of these conflicts. By subscribing for Shares, Shareholders will be deemed to have consented to the syndication of Investments and warehousing to the extent the terms of such transactions are approved by the non-affiliated members of the Board of Directors (See also “*Risk Factors Relating to Conflicts of Interest*” of the General Section of the Prospectus).

Sports Sector – Pre-existing and Future Investments.

Certain members of senior management at Ares, including certain of the ASMEO’s senior investment professionals, have and, in the future, may make new or additional, personal investments in the sports sector, including ownership interests in professional sports teams, and will be engaged in activities related to such investments outside the scope of their obligations to ASMEO, including, without limitation, managing such investments and participating in industry-related activities. From time to time, ASMEO will likely be presented with investment opportunities in a company (or sports team) that is a competitor of a company (or sports team) in which such member holds an interest. Such competitive situations will result in conflicts for ASMEO and its affiliates in their ongoing interactions with the competitive companies (and/or teams). Furthermore, regulation of sports teams and sports leagues often involve restrictions on who can own a particular sports team or other sports property, including restrictions on ownership of multiple sports teams or other property by the same person or its affiliates. As a result, ASMEO may be required to decline to pursue an investment opportunity because of such regulations or competitive situation, even though the opportunity might otherwise be an attractive one for ASMEO. Such regulations or competitive situation could also result in Ares or ASMEO and its associated persons (including ASMEO’s senior investment professionals who are generally indemnified by ASMEO) facing legal claims regarding violation of such regulations, misuse of a company’s confidential information, or other matters related to such regulations or competitive situation. Additionally, certain Ares investment professionals, including members of the investment committee, may have to recuse themselves from the discussion, analysis, valuation and management of certain potential investments by ASMEO, particularly certain types of investments relating to the sports industry, as a result of personal investments held by such Ares investment professionals in the sports industry. Furthermore, the Investment Manager and the AIFM are under no obligation to offer any particular investment to ASMEO and, therefore, Ares and its senior management (including certain of ASMEO’s senior investment professionals) may make investments on their own behalf in the future, including investments in the sports sector that otherwise may have been suitable investments for ASMEO. See Section XVI: “*Risk Factors Relating to Conflicts of Interest—Allocation of Investment Opportunities*” of the General Section of the Prospectus. To the extent an investment opportunity is determined to be unsuitable for ASMEO or any Other Ares Fund, Ares Management Personnel may be permitted to pursue personal investments in such opportunity.

Industry Advisory Board.

The Investment Manager has appointed an industry advisory board (the “**Industry Advisory Board**”) comprised principally of sports, media and entertainment industry insiders, professionals and senior executives, current or former athletes and persons who the Investment Manager believes are qualified to provide advisory, inductor and other services in respect of ASMEO. When and as requested by the Investment Manager, the Industry Advisory Board will provide insight and guidance to ASMEO, including with respect to potential investments. If so determined by the Investment Manager, ASMEO will pay members a fee for serving on the Industry Advisory Board, and may pay such members additional compensation for services rendered to ASMEO. Members of the Industry Advisory Board may invest in ASMEO and, unless otherwise determined by the Investment Manager, will not bear any Management Fee or Performance Fee.

Similar to Operating Advisors discussed in Section XVI: “*Risk Factors Relating to Conflicts of Interest—Operating Advisors*” of the General Section of the Prospectus, any fees paid to members of the Industry Advisory

Board (whether in return for service on such board or for additional services provided to ASMEO), will be charged to, and payable by, ASMEO and will not offset the Management Fee. ASMEO will also be responsible for certain expenses of the members of the Industry Advisory Board in connection with their services to ASMEO and for indemnifying such members in connection with such services. Such payments or reimbursements may reduce returns to the Shareholders. Members of the Industry Advisory Board may have affiliations with actual or prospective Portfolio Companies (e.g., as employees of such Portfolio Companies), which would lead to various conflicts of interests. While the Investment Manager will attempt to negotiate such conflicts in good faith, no member of the Industry Advisory Board will owe a fiduciary duty to ASMEO and thus may act in a manner that is not in the best interests of ASMEO.

SCHEDULE 1

SUSTAINABILITY-RELATED DISCLOSURES

Introduction

Terms used in this Schedule 1 and not otherwise defined below have the meaning given to them in the Prospectus.

Articles 7(2) SFDR - No Consideration of Sustainability Adverse Impacts

At present, the AIFM (and/or its delegate(s)) does not, within the meaning of the SFDR, consider the adverse impacts of its investment decisions on sustainability factors in respect of ASMEO. The AIFM (and/or its delegate(s)) does not currently do so because, among other reasons, it is continuing to assess the applicable mandatory data collection and disclosure requirements for entities which opt in to considering the principal adverse impacts of their investment decisions, as well as its internal capabilities to comply with such requirements. The AIFM's position on this matter will be reviewed at least annually, and Ares will continue to actively seek to invest in systems and procedures which will enable us, over time, to gather more granular data on the impacts of investment on sustainability factors. As a firm, Ares will also continue its focus on creating long-term value for its investors, the companies in which they invest, and the communities where they live and work.

Article 6(1)(a)&(b) SFDR – Integration of Sustainability Risks and Likely Impact on Returns

The SFDR defines “sustainability risks” as environmental, social or governance events or conditions that, if they occur, could cause an actual or a potential material negative impact on the value of the investment.

The consideration of ESG factors and sustainability risks is, where possible, integrated into the AIFM's and the Investment Manager's investment processes. It is primarily the responsibility of the specific investment team evaluating an investment, along with the other risks which the team considers in line with the particular strategy and investment guidelines for ASMEO.

In order to ensure that sustainability risks are considered in a systematic manner, investment teams are required wherever practicable to highlight key sustainability considerations at the early stages of proposed investments, and subsequently, wherever practicable, to include sustainability risk assessment information within relevant internal documentation such as papers for investment committees, including wherever practicable by the application of ratings to individual sustainability risks together with overall conclusion ratings. Once investments are made, the Investment Manager continues as part of its portfolio management processes to monitor for sustainability risks. If appropriate for an investment, the AIFM or the Investment Manager may conduct sustainability risk-related due diligence and/or take steps to mitigate sustainability risks and preserve the value of the investment. The AIFM or the Investment Manager generally measure any relevant environmental or social matters using third-party standards, guidelines and metrics, data from Ares' portfolios, company reports and publicly available information, as the AIFM or Investment Manager deems relevant from time to time.

The Firm's policy and the AIFM's and the Investment Manager's approach as described above ensures that sustainability risks are integrated into both investment decision making and portfolio management to the extent that they represent potential or actual material risks to and opportunities for investments made for ASMEO. As part of that process, the AIFM and/or the Investment Manager have determined that sustainability risks are potentially relevant to the investment returns of ASMEO, having regard in each case to ASMEO's strategy and investment guidelines. The AIFM and/or Investment Manager will follow its procedures to identify and mitigate sustainability risks, although there can be no guarantee that they will successfully identify and mitigate all material risks.

With regard to ASMEO, many or all of the specific investment decisions involved remain to be made in the future and, accordingly, identification and assessments of risks, including sustainability risks, will necessarily take place on an investment-by-investment basis in accordance with the policy described above.

As of the date hereof, no specific investment decisions have been made for ASMEO and accordingly the identification and assessments of risks, including sustainability risks, will take place on an investment-by-investment basis as noted above. The AIFM's assessment is that integration of sustainability risks in investment decisions, combined with a diversified portfolio appropriate for ASMEO in light of its investment objective and strategy, should help mitigate the potential material negative impact of sustainability risks on the returns of ASMEO, although there can be no assurance that all such risks will be mitigated in whole or in part, nor identified prior to the date the risk materializes.

EU Taxonomy Regulation Disclosure

Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment (the “**Taxonomy Regulation**”) sets out a framework for classifying specific economic activities as “environmentally sustainable.” The investments underlying this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

ANNEX 7

ARES GLOBAL INFRASTRUCTURE ELTIF

Ares Global Infrastructure ELTIF (the “**AGI ELTIF Fund**” and together with the Parallel Entities (as defined below), “**AGI**”) is an ELTIF Sub-Fund of AEFS SICAV.

Investors should note that:

- Shares in AGI ELTIF Fund may be marketed to Retail Investors and Professional Investors, in each case meeting the eligibility requirements for participating in AGI ELTIF Fund. The marketing of the Shares in AGI ELTIF Fund to Retail Investors may only be conducted in accordance with article 30(1) of the ELTIF Regulation;
- AGI ELTIF Fund invests in ELTIF Eligible Investment Assets under the ELTIF Regulation that are typically illiquid in nature. AGI ELTIF Fund’s investments are long term, and AGI ELTIF Fund is an investment with unlimited duration and low liquidity. AGI ELTIF Fund may therefore not be suitable for Retail Investors that are unable to sustain such a long-term and illiquid investment;
- There is no current public trading market for the Shares, and the Sponsor does not expect that such a market will ever develop;
- Investors shall have the right to redeem their Shares in AGI ELTIF Fund only in accordance with AGI ELTIF Fund’s redemption procedures set out in Section V: “*Subscriptions, Redemptions and Other Transactions*” of this Annex. Redemptions of Shares are expected to be offered on a quarterly basis on each Redemption Date (as defined below) and will likely be the only way for investors to dispose of their Shares. Redemption of Shares may be subject to an Early Redemption Deduction or a Redemption Fee as determined by the Investment Manager in its sole discretion from time to time, as applicable. To the extent applicable, the application of any Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager;
- AGI ELTIF Fund intends to declare monthly distributions as authorized by the Investment Manager (as the delegate of the Board of Directors) and pay such distributions to Shareholders on a monthly basis, in accordance with Section VIII: “*Distributions*”;
- Financial derivative instruments may only be used for the purpose of hedging risks inherent to ELTIF Eligible Investments of AGI ELTIF Fund; and
- The specific risks associated with an investment in AGI are set out in Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations*” of the Prospectus and Section XI: “*Risk Factors and Other Considerations*” of this Annex.

Prospective investors are advised that only a small proportion of their overall investment portfolio should be invested in an ELTIF such as the AGI ELTIF Fund. Investors have no obligation to make further investments to the AGI ELTIF Fund after their initial investment.

I. DESCRIPTION / OVERVIEW OF AGI ELTIF FUND AND AGI

Ares Global Infrastructure ELTIF Overview

AGI ELTIF Fund's investment objective is to generate risk-adjusted total returns consisting primarily of current income, and to a lesser extent capital appreciation, by investing in Infrastructure Assets (as defined below) that are ELTIF Eligible Investments under the ELTIF Regulation.

AGI ELTIF Fund will invest through a subsidiary established as a Luxembourg special limited partnership (*société en commandite spéciale*) for the purpose of indirectly holding the Investments of AGI (the "**Aggregator**"). See Subsection: "*Structure of Investments*" in Section III: "*Investment Information*" of this Annex.

In order to achieve its investment objectives, AGI ELTIF Fund will only invest into ELTIF Eligible Investment Assets and UCITS Eligible Assets (as such terms are defined in under Appendix C: "*ELTIF Investment Restrictions*") and will not engage in any ELTIF Prohibited Activities.

AGI ELTIF Fund cannot assure you that it will achieve its investment objective and strategy. Please refer to Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations*" of the Prospectus and Section XI: "*Risk Factors and Other Considerations*" of this Annex for additional details on the risks associated with an investment in AGI ELTIF Fund.

Investment Objective and Strategy of AGI ELTIF Fund

AGI ELTIF Fund's investment objective is to generate risk-adjusted total returns consisting primarily of current income. AGI ELTIF Fund will invest in equity and debt interests in infrastructure-related assets or businesses ("**Infrastructure Assets**"), including investments in the power generation (such as renewable energy and thermal power plants), renewable natural gas, liquified natural gas, transportation, telecommunications, digital infrastructure (such as data centers, fiber optic cables and cell phone towers), midstream and energy infrastructure, regulated utilities, social infrastructure (such as water treatment and management, waste management and recycling) and environmental services (such as carbon capture and storage, soil and air remediation and climate change mitigation) sectors. AGI ELTIF Fund will invest in equity and debt interests of Infrastructure Assets, including (but not limited to) Infrastructure Assets that:

- possess a higher degree of cash flow predictability;
- produce returns that are derived primarily from income, with limited upside through capital gains and assets that are commonly held for longer terms (more than five years); and
- produce revenues and cash flows that are generally predictable as a result of being governed by either rate regulation by governmental agencies or by long-term contractual arrangements with creditworthy counterparties, such as governments, municipalities and major companies, which can shield these assets from near-term economic and market trends,

(each, a "**Core Infrastructure Asset**" and collectively, the "**Core Infrastructure Assets**").

AGI ELTIF Fund is expected to invest in both equity investments and debt investments in Infrastructure Assets (including, but not limited to, Core Infrastructure Assets) with allocations in both controlling (majority) and non-controlling (minority) equity investments, as deemed appropriate by the Investment Manager in its sole discretion. Investments by AGI ELTIF Fund may also include common or preferred stock, warrants or options, first lien senior secured loans, second lien senior secured loans, subordinated secured and unsecured loans, subordinated debt, distressed securities and convertible securities.

In addition, in order to facilitate capital deployment, generate income and as a potential source of liquidity, the AGI ELTIF Fund will invest a portion of its assets in UCITS Eligible Assets consisting in a portfolio of debt and other instruments, including cash and cash equivalents, liquid credit investments (including, without limitation, investments in publicly traded debt investments and other listed investments that are not directly originated), public equities, money market funds, money market instruments, and exchange-traded funds (the "**Debt and Other Instruments**").

To achieve the investment objective of AGI ELTIF Fund, the Investment Manager will leverage the experience, talent and extensive network of relationships of its personnel, including Ares' infrastructure opportunities team, which utilizes sourcing capabilities and sector experience to seek to originate and manage diverse investments in private Infrastructure Assets.

AGI ELTIF Fund will have a global exposure and may invest, directly or indirectly, in companies that are organized or headquartered or have substantial sales or operations in the United States, Europe, Asia and other developed countries. AGI ELTIF Fund may seek to hedge all or a portion of AGI's foreign currency risk and, depending on market conditions and the views of the Investment Manager, may or may not hedge all or a portion of its currency exposures.

Portfolio Allocation Targets of AGI ELTIF Fund

Under normal circumstances, AGI ELTIF Fund will seek to allocate, either directly or indirectly, at least 70% of its gross assets in Infrastructure Assets that qualify as ELTIF Eligible Investment Assets, with the balance intended to facilitate capital deployment, generate income and as an additional potential source of liquidity, in Debt and Other Instruments.

During normal market conditions, AGI ELTIF Fund may invest up to 30% of the gross asset value of its investments in UCITS Eligible Assets, including cash and cash equivalents, liquid credit investments (including investments in publicly traded debt investments and other listed investments that are not directly originated), public equities, money market funds, money market instruments, and exchange-traded funds.

While the Prospectus contains generalized discussions about the current expectations of the Investment Manager with respect to the make-up of the portfolio of AGI, many factors may contribute to changes in emphasis in the construction of the portfolio, including changes in market or economic conditions or regulations as they affect various industries and sectors and changes in the political or social situations in particular jurisdictions. The implementation of AGI's investment strategies, portfolio allocations, investment processes and investment techniques may therefore be modified based on market conditions, changes in personnel, or as otherwise deemed appropriate by the Investment Manager in its sole discretion.

AGI ELTIF Fund's investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period), including due to factors such as a large inflow of capital over a short period of time, the Investment Manager's assessment of the relative attractiveness of opportunities, or an increase in anticipated cash requirements or Redemption Requests and subject to any limitations or requirements relating to applicable law.

II. SUMMARY OF TERMS

Ares Global Infrastructure ELTIF	
AEFS Structure:	AEFS SICAV is a multi-compartment Luxembourg investment company with variable capital (<i>société d'investissement à capital variable</i>). AEFS SICAV has an umbrella structure consisting of one or more Sub-Funds.
AGI ELTIF Fund:	AGI ELTIF Fund is an open-ended, commingled ELTIF Sub-Fund of AEFS SICAV. AGI ELTIF Fund is authorised by the CSSF as an ELTIF and may be marketed to Retail Investors under MiFID II.
AIFM:	Ares Management Luxembourg.
Investment Manager:	Ares Capital Management II LLC.
Sub-Investment Manager:	Ares Management Limited.
Distributions:	The Board of Directors (or its delegate) may declare distributions from time to time. Distributions in relation to Distribution Sub-Class Shares are expected on a monthly basis. AGI ELTIF Fund cannot guarantee that it will make distributions, and any distributions will be made at the discretion of the Board of Directors (or its delegate), which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class.
Investment Objective and Strategy:	AGI ELTIF Fund's investment objective is to generate risk-adjusted total returns consisting primarily of current income, and to a lesser extent capital appreciation, by investing in Infrastructure Assets that are ELTIF Eligible Investments under the ELTIF Regulation. AGI ELTIF Fund will invest in equity and debt interests of Infrastructure Assets, including (but not limited to) Core Infrastructure Assets that: • possess a higher degree of cash flow predictability; • produce returns that are derived primarily from income, with limited upside through capital gains and assets that are commonly held for longer terms (more than five years); • produce revenues and cash flows that are generally predictable as a result of being governed by either rate regulation by governmental agencies or by long-term contractual arrangements with creditworthy counterparties, such as governments, municipalities and major companies, which can shield these assets from near-term economic and market trends. AGI ELTIF Fund is expected to invest in both equity investments and debt investments in Infrastructure Assets (including, but not limited to, Core Infrastructure Assets) with allocations in both controlling (majority) and non-controlling (minority) equity investments, as deemed appropriate by the Investment Manager in its sole discretion. Investments by AGI ELTIF Fund may also include common or preferred stock, warrants or options, first lien senior secured loans, second lien senior secured loans, subordinated secured and unsecured loans, subordinated debt, distressed securities and convertible securities. In addition, in order to facilitate capital deployment, generate income and as a potential source of liquidity, the AGI ELTIF Fund will invest a portion of its assets in UCITS Eligible Assets consisting in Debt and Other Instruments, including cash and cash equivalents, liquid credit investments (including investments in publicly traded debt investments and other listed investments

	that are not directly originated), public equities, money market funds, money market instruments, and exchange-traded funds. AGI ELTIF Fund will invest through the Aggregator. The direct and indirect investments of AGI ELTIF Fund are described in Section III: “<i>Investment Information</i>” of this Annex. AGI ELTIF Fund cannot assure you that it will achieve its investment objectives. Please refer to Section XVI: “<i>Risk Factors, Potential Conflicts of Interest and Other Considerations</i>” of the General Section of the Prospectus and Section XI: “<i>Risk Factors and Other Considerations</i>” of this Annex for additional details on the risks associated with an investment in AGI ELTIF Fund.
Portfolio Allocation Targets:	Under normal circumstances, AGI ELTIF Fund will seek to allocate, either directly or indirectly, at least 70% of its gross assets in Infrastructure Assets that qualify as ELTIF Eligible Investment Assets, with the balance intended to facilitate capital deployment, generate income and as an additional potential source of liquidity, in Debt and Other Instruments. During normal market conditions, AGI ELTIF Fund may invest up to 30% of the gross asset value of its investments in UCITS Eligible Assets, including cash and cash equivalents, liquid credit investments (including investments in publicly traded debt investments and other listed investments that are not directly originated), public equities, money market funds, money market instruments, and exchange-traded funds. AGI ELTIF Fund’s Investments at any given time may exceed and/or otherwise vary materially from the allocation targets above (including but not limited to during the Ramp-Up Period), including due to factors such as a large inflow of capital over a short period of time, the Investment Manager’s assessment of the relative attractiveness of opportunities, or an increase in anticipated cash requirements or Redemption Requests and subject to any limitations or requirements relating to applicable law.
ELTIF Portfolio Composition Requirements	In order to achieve its investment objectives, AGI ELTIF Fund will only invest into ELTIF Eligible Investment Assets and UCITS Eligible Assets (as such terms are defined in under Appendix C: “<i>ELTIF Investment Restrictions</i>”) and will not engage in any ELTIF Prohibited Activities. AGI ELTIF Fund will invest at least 55% of its Capital into ELTIF Eligible Investments by the end of the ELTIF Portfolio Ramp-Up Period.
ELTIF Borrowing Limit:	AGI ELTIF Fund or subsidiaries will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio (as defined below) to be in excess of 50%. The ELTIF Borrowing Limit will apply by the third anniversary of the end of the Initial Subscription Period. See Section III: “<i>Investment Information—ELTIF Borrowing Limit</i>” of this Annex for further details.
ELTIF Portfolio Ramp-Up Period:	AGI ELTIF Fund is subject to certain ELTIF Investment Restrictions set out under Appendix C: “<i>ELTIF Investment Restrictions</i>”. The ELTIF portfolio composition rules and the portfolio diversification rules set out in Appendix C: “<i>ELTIF Investment Restrictions</i>” will not apply during a ramp-up period of up to four (4) years after the Initial Subscription Period (which is expected to end on November 1st, 2026), or such earlier date decided by the Board of Directors or its delegate and notified to the Shareholders (the “ELTIF Portfolio Ramp-Up Period”).

Share Classes:	AGI ELTIF Fund will issue the Classes of Shares disclosed in Section IV: “<i>Share Class Information</i>” and in Schedule 1: “<i>Share Classes of AGI ELTIF Fund</i>” of this Annex. The Board of Directors or its delegate may, at any time, create additional Classes of Shares whose features (including, but not limited to, fees and currencies) may differ from the existing Classes of Shares. The complete list of available Classes of Shares may be made available online at the AGI ELTIF Fund’s website (https://www.ares.com/businesses-and-products/our-products/ares-global-infrastructure-fund-ELTIF) and will be made available at the registered office of AEFS SICAV. Please refer to Section IV: “<i>Share Class Information</i>” and Schedule 1: “<i>Share Classes of AGI ELTIF Fund</i>” of this Annex for additional details on the Classes of Shares offered by AGI ELTIF Fund.
Minimum Subscription:	The minimum subscription amount (each, a “Minimum Subscription Amount”) and the minimum subsequent subscription amounts (the “Minimum Subsequent Subscription Amount”) for each Class of Shares is set out in Schedule 1: “<i>Share Classes of AGI ELTIF Fund</i>” of this Annex and/or available online at the <i>AGI ELTIF Fund’s</i> website (https://www.ares.com/businesses-and-products/our-products/ares-global-infrastructure-fund-ELTIF). Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions</i>” of this Annex for additional information.
Subscriptions:	In respect of each new Class of Shares, up to the date as may be decided by the Board of Directors (or its delegate) in its discretion (the “Initial Subscription Period”), the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion <i>plus</i> applicable Subscription Fees. After the end of the Initial Subscription Period, subscriptions for Shares of AGI ELTIF Fund will be accepted as of the first calendar day of each month. Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date <i>plus</i> applicable Subscription Fees. A prospective Shareholder must notify the Administrator of its desire to subscribe for Shares by 5 p.m. Central European Time at least fifteen (15) calendar days prior to the relevant Subscription Date (the “Subscription Cut-Off Time”) (unless waived by the Board of Directors or its delegate). Alternative arrangements may be agreed between the Board of Directors or its delegate(s) and a Shareholder or relevant Intermediate Vehicle, which may include different subscription notice requirements for certain subscriptions or Share Classes. Subscription price amounts (whether in cash or in kind, as applicable) must be received (i) at least one (1) Business Day prior to the applicable Subscription Date for Class A Shares, Class B Shares, Class C Shares, Class D Shares, Class E Shares, Class F Shares, Class I Shares, Class R Shares, Class R1 Shares and Class R2 Shares and (ii) at the latest eighteen (18) Business Days after the applicable Subscription Date for Class G Shares and Class G1 Shares. No interest will be paid on any payments received prior to the relevant deadline. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions—Subscriptions in AGI ELTIF Fund</i>” of this Annex for additional details on AGI ELTIF Fund’s subscription procedures.
Redemptions:	Shareholders will not be able to request the redemption of their Shares until the end of the minimum holding period for purposes of the ELTIF Regulation, which is expected to end on the date which is three (3)

	months following the Initial Subscription Date (or such earlier date decided by the Board of Directors and notified to the Shareholders (the “Minimum Holding Period”). While Redemption Requests may be submitted during the Minimum Holding Period, redemptions will generally not be processed until the expiry thereof. • After the end of the Minimum Holding Period, redemptions are expected to be offered on the last calendar day of each calendar quarter at the NAV per Share calculated as of the last calendar day of the relevant calendar quarter. A Shareholder may request to have some or all of its Shares redeemed by AGI ELTIF Fund as of the last calendar day of the relevant calendar quarter by submitting a Redemption Request. • Shares held for less than twenty-four (24) months will be subject to an Early Redemption Deduction as set out below: <table border="1"> <thead> <tr> <th>Class of Shares</th><th>Early Redemption Deduction</th></tr> </thead> <tbody> <tr> <td>Class A Shares, Class B Shares, Class C Shares, Class F Shares, Class I Shares, Class R Shares, Class R1 Shares and Class R2 Shares</td><td>5% of the NAV of the redeemed Shares (calculated as of the relevant Redemption Date)</td></tr> <tr> <td>Class D Shares, Class E Shares, Class G Shares, and Class G1 Shares</td><td>0%</td></tr> </tbody> </table> • Redemptions of Class D Shares, Class E Shares, Class G Shares and Class G1 Shares may be subject to a Redemption Fee of up to 5% of the NAV of the relevant Class of Shares being redeemed (calculated as of the relevant Redemption Date), as determined by the Investment Manager in its sole discretion from time to time. To the extent applicable, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager. • Redemptions are generally limited on an aggregate basis to 5% of the aggregate NAV of AGI ELTIF Fund per calendar quarter (measured as of the last calendar day of the previous calendar quarter), except in the event of exceptional circumstances described in this Annex or if the ELTIF Redemption Limit provides for a lower percentage of the aggregate NAV on the relevant Redemption Date as calculated and described under Section X: “<i>Regulatory Consideration – ELTIF Rules – Level of UCITS Eligible Assets and Redemption</i>” of this Annex. • Redemption Requests (as defined below) must be provided by 5 p.m. Central European Time at least thirty (30) calendar days prior to the relevant Redemption Date (the “Redemption Cut-off Time”). • Settlements of Share redemptions are generally expected to be made within two (2) Business Days after the relevant NAV Release Date. • Redemption Requests may be rejected in whole or in part by the Investment Manager in exceptional circumstances and not on a systematic basis and Redemption Requests may be suspended when deemed to be in the best interests of AGI ELTIF Fund. Please refer to Section V: “<i>Subscriptions, Redemptions and Other Transactions—Redemption of Shares</i>” of this Annex for additional details on AGI ELTIF Fund’s redemption procedures.	Class of Shares	Early Redemption Deduction	Class A Shares, Class B Shares, Class C Shares, Class F Shares, Class I Shares, Class R Shares, Class R1 Shares and Class R2 Shares	5% of the NAV of the redeemed Shares (calculated as of the relevant Redemption Date)	Class D Shares, Class E Shares, Class G Shares, and Class G1 Shares	0%
Class of Shares	Early Redemption Deduction						
Class A Shares, Class B Shares, Class C Shares, Class F Shares, Class I Shares, Class R Shares, Class R1 Shares and Class R2 Shares	5% of the NAV of the redeemed Shares (calculated as of the relevant Redemption Date)						
Class D Shares, Class E Shares, Class G Shares, and Class G1 Shares	0%						
NAV Calculation and NAV Release Date:	AGI ELTIF Fund’s monthly NAV as of the last calendar day of each month (each, a “ Valuation Date ”) will generally be available by the 15 th Business						

	Day after the immediately following Subscription Date (the “NAV Release Date”).
Management Fees:	In consideration for its services with respect to AGI ELTIF Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to payment of a Management Fee, as set out in Schedule 1: “<i>Share Classes of AGI ELTIF Fund</i>” of this Annex. The Management Fee will be payable monthly for all Classes of Shares (except in respect of Class E Shares). While AGI ELTIF Fund may indirectly bear its share of management fees with respect to any direct or indirect Investment in Other Ares Funds (in aggregate, the “Underlying Management Fees”), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AGI ELTIF Fund together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described herein. The AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time. Please refer to Section VI: “<i>Fees and Expenses of AGI ELTIF Fund—Management Fee</i>” of this Annex for further details regarding the calculation of the Management Fee.
Performance Fee:	The Recipient will be entitled to the payment of a Performance Fee equal to up to 12.5% of Total Return, subject to a 5% annual Hurdle Amount and a High Water Mark with a 100% Catch-Up, measured and paid quarterly, and accrue monthly (subject to pro-rating for partial periods). No Performance Fee will be charged at the level of AGI ELTIF Fund in respect of its Investments in Other Ares Funds. The Recipient may waive all or any part of the Performance Fee in its discretion from time to time. Please refer to Section VI: “<i>Fees and Expenses of AGI ELTIF Fund—Performance Fee</i>” of this Annex for additional details.
Subscription Fee:	Certain distributors or other financial intermediaries through which a Shareholder was placed in AGI ELTIF Fund may charge such Shareholder upfront Subscription Fees on Shares sold in the offering. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.
Servicing Fee:	Servicing Fees payable in respect of each Class of Shares are set out in Schedule 1: “ <i>Share Classes of AGI ELTIF Fund</i> ” of this Annex.
Term:	The duration of AGI ELTIF Fund is ninety-nine (99) years from the end of the Initial Subscription Period, unless such duration is extended by the Board of Directors at its sole discretion.
SFDR:	AGI ELTIF Fund is presently characterized as a financial product falling within Article 6 of the SFDR. The present investment strategy of AGI does not promote environmental or social characteristics, or have sustainable investments as its objective. The investments underlying this financial product do not consider principal adverse impacts on sustainability factors and do not take into account the EU criteria for environmentally sustainable economic activities. Further information, including with respect to the integration of sustainability risks can be found in Schedule 1: “<i>Sustainability-Related Disclosures</i>” to this Annex.

Tolerance Threshold in case of NAV Calculation Errors:	The tolerance threshold in case of NAV calculation errors applicable to AGI ELTIF Fund under CSSF Circular 24/856 is 5%.
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III. INVESTMENT INFORMATION

Information on AGI Investments

The investment information set out below describes the direct and indirect investments of AGI ELTIF Fund held through the Aggregator.

In order to achieve its investment objectives and as an ELTIF, AGI ELTIF Fund will only invest into ELTIF Eligible Investment Assets and/or UCITS Eligible Assets and will not engage in any ELTIF Prohibited Activities. Please refer to Appendix C: “*ELTIF Investment Restrictions*” for further details on ELTIF Eligible Investment Assets and the ELTIF Prohibited Activities. Certain Investments could be characterized by the Investment Manager, in its discretion, as either ELTIF Eligible Investment Assets and/or UCITS Eligible Assets, which characterization may change over time at the reasonable discretion of the Investment Manager depending on the terms and characteristics of such Investments.

Each AGI investment, whether held directly or through one or more Intermediate Vehicles or Other Ares Funds, is referred to as an “**Investment**”. For the avoidance of doubt, in applying and interpreting the terms of this Annex, the Investment Manager may, in its sole discretion, determine that Investments do not include Intermediate Vehicles or Other Ares Funds, as the context may require.

The investments in which AGI expects to invest directly or indirectly (including, for the avoidance of doubt, through any Other Ares Funds) include investment opportunities that meet the following investment criteria:

- **Sector:** AGI will invest in Infrastructure Assets using mature technologies.
- **Cash Yield:** AGI focuses on assets that are expected to generate attractive and stable cash yield through long-term contracts with creditworthy counterparties.
- **Risk Profile and Diversification:** AGI focuses on investments that are relatively de-risked investments from development and construction, such as operational projects, and will seek to create a diversified portfolio across multiple resources regimes, sectors, and power markets.
- **Commercially Proven Technology:** AGI invests in assets using commercially proven technologies that have demonstrated reliable performance that are sourced from reputable equipment manufacturers.
- **Useful Life:** The Fund focuses predominantly on assets expected to have long useful lives which align with the expected indefinite hold period.
- **Geographic Focus:** AGI will have a global exposure and may invest, directly or indirectly, in companies that are organized or headquartered or have substantial sales or operations in the United States, Europe, Asia and other developed countries.

Subject to the limitations set out in the Articles and applicable laws and regulations, AGI may make Investments in loans or securities in companies whose loans, securities, economic ownership interests and voting rights are owned by Other Ares Funds. See Section XVI: “Risk Factors, Potential Conflicts of Interest and Other Considerations-Overlapping Investments with Other Ares Funds” of the General Section of the Prospectus for further information.

AGI may, but is not required to, enter into interest rate, foreign exchange or other derivative agreements to hedge interest rate, currency, credit or other risks. AGI will not enter into any short-sale agreements. Subject to compliance with applicable legal and regulatory requirements, these hedging activities may include the use of futures, options and forward contracts. AGI will bear the costs incurred in connection with entering into, administering and settling any such derivative contracts. There can be no assurance any investment in derivative securities including any hedging strategy employed will be successful.

Shareholders may, at any time, resolve at a duly convened class general meeting of each relevant Class of Shares to discontinue, limit or otherwise restrict AGI ELTIF Fund’s ability to invest in loans to non-U.S. borrowers, where the income from such loans would be treated as “effectively connected with a U.S. trade or business” (within the meaning of Section 864 of the U.S. Internal Revenue Code of 1986, as amended) if made to a U.S. borrower, and the Board of Directors shall implement such resolution accordingly.

Structure of Investments

AGI ELTIF Fund will invest all or substantially all of its assets through the Aggregator.

Parallel Entities

If it considers it appropriate for any legal, tax, regulatory, accounting compliance, structuring or other considerations of AGI ELTIF Fund or of certain current or prospective Shareholders, the Investment Manager, or any of its affiliates may, in its sole discretion, establish one or more parallel vehicles to invest alongside AGI ELTIF Fund (as determined in the Investment Manager's discretion) (the "**Parallel Vehicles**"), which may not have investment objectives and/or strategies that are identical to the investment objectives and strategies of AGI ELTIF Fund, and/or feeder vehicles to invest through AGI ELTIF Fund ("**Feeder Vehicles**," and collectively with Parallel Vehicles, the "**Parallel Entities**"). The costs and expenses associated with the organization and operation of any Parallel Entity and/or any Feeder Entity may be apportioned to, and borne solely by, the investors participating in such Parallel Entity and/or such Feeder Entity or be allocated among AGI ELTIF Fund, the Aggregator, any Parallel Entities and/or Feeder Entities as determined by the Investment Manager in its reasonable discretion. Investors should note that, as a result of the legal, tax, regulatory, accounting, compliance, structuring or other considerations mentioned above, the terms of such Parallel Entities may differ substantially from the terms of AGI ELTIF Fund. In particular, such differences may cause Parallel Entities to subscribe at, or have their Shares (and/or units as applicable) redeemed at, a different NAV per unit in the Aggregator than AGI ELTIF Fund. For the avoidance of doubt, Ares Core Infrastructure Fund, a Delaware statutory trust registered under the Investment Company Act as a non-diversified, closed-end management investment company that elected to be regulated as a business development company, does not comprise AGI, and is not a Parallel Vehicle or a Parallel Entity, and will instead be deemed to be an Other Ares Fund for the purposes of this Annex.

If it considers it appropriate for any legal, tax, regulatory, accounting, compliance, structuring or other considerations, the Investment Manager or any of its affiliates may, in its sole discretion, establish and introduce one or more intermediate entities through which AGI ELTIF Fund and/or any Parallel Entities shall invest in the Aggregator.

Investment Restrictions

Information on Investments in Collective Investment Undertakings

AGI ELTIF Fund will not invest and hold more than 10% of its NAV in Collective Investment Undertakings.

Eligible Investments, ELTIF Portfolio Composition and Investment Restrictions, ELTIF Portfolio Ramp-Up Period and Borrowing Limit

ELTIF Eligible Investments

AGI ELTIF Fund is subject to the ELTIF Investment Restrictions set out under Appendix C: "ELTIF Investment Restrictions" applicable to an ELTIF Sub-Fund marketed to Retail Investors under MiFID II.

As such, AGI ELTIF Fund will only invest into ELTIF Eligible Investment Assets and UCITS Eligible Assets and will not engage in any ELTIF Prohibited Activities.

ELTIF Portfolio Composition and Investment Restrictions

For the purposes of complying with the ELTIF Rules, AGI ELTIF Fund shall allocate at least 55% of its Capital into ELTIF Eligible Investment Assets and may allocate up to 45% of its Capital to UCITS Eligible Assets. These portfolio allocation targets and limits will be assessed on a look-through basis, including in relation to investments by AGI ELTIF Fund in ELTIF Eligible Target Funds, and shall be reached at the latest by the end of the ELTIF Portfolio Ramp-Up Period.

Certain Investments could be characterized by the Investment Manager, in its discretion, as either ELTIF Eligible Investment Assets and/or UCITS Eligible Assets, which characterization may change over time at the reasonable discretion of the Investment Manager depending on the terms and characteristics of such Investments.

Please refer to Appendix C: "ELTIF Investment Restrictions" for further details on the ELTIF Investment Restrictions applicable to AGI ELTIF Fund.

ELTIF Portfolio Ramp-Up Period

The ELTIF portfolio composition rules and the portfolio diversification rules set out in Appendix C: “ELTIF Investment Restrictions” will not apply during a ramp-up period of up to four (4) years after the Initial Subscription Period (which is tentatively expected to end on November 1st, 2026), or such earlier date decided by the Board of Directors or its delegate and notified to the Shareholders.

ELTIF Borrowing Limit

AGI ELTIF Fund or subsidiaries may utilize leverage, incur indebtedness and provide other credit support for any purpose, including to fund all or a portion of the capital necessary for an Investment or to enhance returns. AGI ELTIF Fund will not incur indebtedness, directly or indirectly, that would cause the Leverage Ratio to be in excess of 50% (the “**ELTIF Borrowing Limit**”) subject to the below; *provided*, that no remedial action will be required if the ELTIF Borrowing Limit is exceeded for any reason other than the incurrence of an increase in indebtedness (including the exercise of rights attached to an Investment).

“**Leverage Ratio**” means, on any date of incurrence of any such indebtedness, the quotient obtained by dividing (i) Aggregate Net Leverage (as defined below) by (ii) the latest AGI ELTIF Fund’s NAV.

“**Aggregate Net Leverage**” means (i) the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of AGI ELTIF Fund, *plus* (ii) the portion of Aggregated Target Funds Net Debt to which AGI ELTIF Fund has exposure (on a *pro rata* basis) *minus* (iii) cash and cash equivalents of AGI ELTIF Fund.

“**Aggregate Target Funds Net Debt**” means (i) the aggregate principal amount of indebtedness for borrowed money (e.g., bank debt) of each ELTIF Eligible Target Funds in which AGI ELTIF Fund is invested, *minus* (ii) the aggregate amount of cash, cash equivalents and undrawn commitments of each ELTIF Eligible Target Fund in which AGI ELTIF Fund is invested.

For purposes of determining Aggregate Net Leverage, the Investment Manager: (i) shall use the principal amount of borrowings, and not the valuations of AGI ELTIF Fund’s borrowings as described in Section VI: “*Fees and Expenses of AGI ELTIF Fund —Liabilities*” of this Annex, (ii) may, in its sole discretion, determine which securities and other instruments are deemed to be cash equivalents and (iii) will disregard any indebtedness between the different entities constituting AGI ELTIF Fund and its subsidiaries. AGI ELTIF Fund’s assets or any part thereof, including any accounts of AGI ELTIF Fund, may be pledged in connection with any credit facilities or borrowings. The ELTIF Borrowing Limit may be exceeded on a temporary basis to satisfy short-term liquidity needs, refinance existing borrowings or for other obligations. For the avoidance of doubt, the ELTIF Borrowing Limit does not apply to indebtedness at the Investment level or with respect to Investments in ELTIF Eligible Target Funds, the level of such ELTIF Eligible Target Funds’ underlying investments, guarantees of indebtedness, or other related liabilities that are not recourse indebtedness for borrowed money of AGI ELTIF Fund.

AGI ELTIF Fund may, but is not obligated to, engage in hedging transactions for the purpose of efficient portfolio management or for hedging purposes. The Investment Manager may review the hedging policy of AGI ELTIF Fund from time to time depending on movements and projected movements of the relevant currencies and interest rates and the availability of cost-effective hedging instruments for AGI ELTIF Fund at the relevant time.

The ELTIF Borrowing Limit will apply by the third (3) anniversary of the end of the Initial Subscription Period and will be temporarily suspended where AGI ELTIF Fund raises additional Capital or reduces its existing Capital. Any such suspension of the ELTIF Borrowing Limit shall be limited in time to the period that is strictly necessary taking due account of the interests of the investors in AGI ELTIF Fund and, in any case, shall last no longer than twelve (12) months.

Please also refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations—Leveraged investments*” of the General Section of the Prospectus.

Reference Currency

AGI ELTIF Fund is denominated in Euro (EUR). AGI ELTIF Fund will issue classes of Shares in Euro (EUR) and multiple other currencies as the Board of Directors (or its delegate) may decide from time to time. The complete list of available Share Classes will be available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

NAV of each Class of Shares is reported to Shareholders and returns are calculated and reported in the currency of such Class of Shares. Gains or losses regarding Investments made using a different currency than the one of a given Class of Shares may include currency fluctuations relative to such Share Class currency.

IV. SHARE CLASS INFORMATION

Share Classes of AGI ELTIF Fund

The Board of Directors or its delegate may, at any time, create additional Classes of Shares whose characteristics (e.g., a specific fees and expenses structure (including but not limited to Servicing Fee, Subscription Fees, Management Fees, redemption fees, anti-dilution fees and/or similar fees, different distribution rights, different marketing targets, different liquidity terms (including but not limited to minimum holding period, redemption program, hard-lock up and early exit deductions), different investors' eligibility criteria, different Minimum Subscription Amount and/or Minimum Subsequent Subscription Amount, different transfer and/or ownership restrictions; different rights (including but not limited to non-voting Class(es)), different Reference Currencies, different currency exposure management/ hedging program and/or any such other features as may be determined by the Board of Directors or its delegate from time to time and described in this Annex.

As of the date of this Prospectus, Class A_A, Class B_A, Class C_A, Class D_A, Class E_A, Class F_{AA}, Class F_{IA}, Class G_A, Class G_{1A}, Class I_A, Class R_A, Class R_{1A} and Class R_{2A} Shares are Accumulation Sub-Class Shares and Class A_D, Class B_D, Class C_D, Class D_D, Class E_D, Class F_{AD}, Class F_{ID}, Class G_D, Class G_{1D}, Class I_D, Class R_D, Class R_{1D} and Class R_{2D} Shares are Distribution Sub-Class Shares. The complete list of available Classes of Shares may be made available online at the AGI ELTIF Fund's website (<https://www.ares.com/businesses-and-products/our-products/ares-global-infrastructure-fund-ELTIF>) and will be made available at the registered office of AGI ELTIF Fund.

Shareholders that subscribe for Distribution Sub-Class Shares will receive in cash any distributions that AGI ELTIF Fund pays in respect of such Shares. In contrast, Shareholders that subscribe for Accumulation Sub-Class Shares will, in lieu of receiving cash distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class. In each case, distributions, whether made in cash with respect to the Distribution Sub-Class Shareholders or reflected in the NAV of the Shares held by the Accumulation Sub-Class Shareholders, are made at the discretion of the Board of Directors (or its delegate) and are subject to reasonable reserves for the payment of a *pro rata* portion of Operating Expenses (as defined below) and other obligations of AGI ELTIF Fund attributable to such Shares (including Servicing Fees), and subject to allocating any required tax withholdings (or taxes paid or withheld with respect to such distributions from any Other Ares Fund).

Class I_A Shares and Class I_D Shares (together, the “**Class I Shares**”) are generally available to investors who have account-based fee arrangements, known as advisory/wrap accounts, discretionary managed accounts, or comparable fee arrangements with their distributor or other financial intermediary. Class I Shares may also be available to investors in markets with legal prohibition on payments of shareholder servicing and similar fees, and other categories of investors as determined by the Investment Manager in its sole discretion.

Class A_A Shares and Class A_D Shares (together, the “**Class A Shares**”) are available to all other investors. Class A Shares, Class R Shares, Class R₁ Shares and Class R₂ Shares may be made available in certain countries to financial intermediaries who, as a result of applicable laws and regulations in those jurisdictions, are eligible to, and wish to, receive servicing and similar fees, commissions and/or retrocessions.

The Investment Manager may accept subscriptions for Class B_A Shares, Class B_D Shares (together, the “**Class B Shares**”), Class C_A Shares and Class C_D Shares (together, the “**Class C Shares**”), in its sole discretion, subject to the Minimum Subscription Amount.

Class D_A Shares and Class D_D Shares (together, the “**Class D Shares**”) are available to certain investors who have entered into a discretionary portfolio management mandate with their financial intermediary with automatic rebalancing requirements in relation to a model portfolio and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.

Class E_A Shares and Class E_D Shares (together, the “**Class E Shares**”) are generally available to employees of Ares, Other Ares Funds and other persons, as approved by the Investment Manager in its discretion. Class E Shares will not be subject to payment of any Servicing Fees, Management Fees or Performance Fees.

Class F_{AA} Shares (the “**Class FA Shares**”), and Class F_{IA} Shares (together, the “**Class FI Shares**”, and together with the Class F_A Shares, the “**Class F Shares**”) are generally available to certain eligible investors as determined by the Investment Manager in its sole discretion, subject to the Minimum Subscription Amount.

Class G_A Shares and Class G_D Shares (together, the “**Class G Shares**”), Class G1_A Shares and Class G1_D Shares (together, the “**Class G1 Shares**”) are available to eligible investors located in certain jurisdictions with delivery versus payment settlement requirements and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.

Notwithstanding the above, AGI ELTIF Fund shall have full discretion to allocate the subscription of any Shareholder to any Class in order to reflect, *inter alia*, the subscription by Shareholders through a Parallel Entity.

Except as otherwise described herein, the terms of each Class of Shares are identical. Shares are issued in respect of a particular Class in AGI ELTIF Fund. The Board of Directors (or its delegate) has the authority to, at any time, create and issue new Classes or types of Shares within AGI ELTIF Fund at its discretion, with Shares having different rights, benefits, powers or duties and terms, including with respect to fees, distributions and liquidity.

Please also refer to Section VI: “*Fees and Expenses of AGI ELTIF Fund —Subscription Fees*” and “*—Servicing Fee*” and Schedule 1: “*Share Classes of AGI ELTIF Fund*” of this Annex.

Hedging

Individual Classes may be denominated in other currencies. AGI ELTIF Fund may hedge Classes of Shares which are denominated in any currency other than the Reference Currency of AGI ELTIF Fund, however, depending on the prevailing circumstances, AGI ELTIF Fund may or may not hedge certain Classes, either partially or fully, and has no obligation to hedge any Class at all. In relation to currency hedging undertaken, if any, in the interest of a hedged Class, note that various Classes of Shares do not constitute separate portfolios of assets and liabilities. Accordingly, while gains and losses on the hedging transactions and the expenses of the hedging program will be allocated to the hedged Classes only, AGI ELTIF Fund, as a whole (including the non-hedged Classes), may be liable for obligations in connection with currency hedges in favor of a specific Class of Shares and AGI ELTIF Fund may also be liable for similar obligations in connection with currency hedges with respect to AGI ELTIF Fund or a Parallel Entity. Additionally, any financing facilities or guarantees utilized in connection with the hedging program may be entered into by AGI ELTIF Fund or the Aggregator (in respect of AGI ELTIF Fund or a Parallel Entity) and not any specific Class.

V. SUBSCRIPTIONS, REDEMPTIONS AND OTHER TRANSACTIONS

Subscriptions in AGI ELTIF Fund

Shares in AGI ELTIF Fund may be marketed to Retail Investors and Professional Investors, in each case meeting the eligibility requirements for participating in AGI ELTIF Fund and will be offered primarily through distributors or other financial intermediaries. Accordingly, AGI ELTIF Fund is primarily intended for investors with such distributor or other financial intermediary relationships. Investors should consult with their distributor or other financial intermediary to discuss potential eligibility and suitability to invest in AGI ELTIF Fund and such distributor or other financial intermediary will provide appropriate investment advice on the suitability of the investment and the verification of such investor's satisfaction of the relevant eligibility requirements.

Each potential Shareholder desiring to subscribe for Shares is required to execute a Subscription Document and make certain representations and warranties to AGI ELTIF Fund including (without limitation) a representation to the effect that it: (1) (a) is not a U.S. person (as defined in Regulation S under the 1933 Act) or (b) is a Permitted U.S. Person (unless waived by the Investment Manager), (2) is purchasing such investment (x) in an offshore transaction in accordance with Regulation S under the 1933 Act or (y) in a transaction otherwise exempt from registration under the 1933 Act, including in reliance on Regulation D, and (3) is not, and does not have indirectly through any entities that are fiscally transparent for U.S. tax purposes, a "United States person" for U.S. federal income tax purposes (as such term is defined in Section 7701(a)(30) of the U.S. Internal Revenue Code of 1986, as amended). Each potential Shareholder must also satisfy the eligible Shareholder qualifications as set forth in the Subscription Document.

The initial Minimum Subscription Amount and Minimum Subsequent Subscription Amounts by each Shareholder in AGI ELTIF Fund are set out in Schedule 1: "*Share Classes of AGI ELTIF Fund*" and/or available online at the AGI ELTIF Fund's website (<https://www.ares.com/businesses-and-products/our-products/ares-global-infrastructure-fund-ELTIF>) (although the Investment Manager may in its discretion accept the equivalent amount in another admitted currency).

The initial Minimum Subscription Amounts set out above are subject, in each case, to such higher initial subscription amounts as required for a Shareholder's eligibility under applicable law, as provided in the Subscription Documents. Certain sub-distributors, countries and/or Classes may have higher minimums. Notwithstanding anything else herein, the Investment Manager may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than the first calendar day of the month. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Prospective investors in AGI ELTIF Fund may subscribe to AGI ELTIF Fund directly or via financial intermediaries or omnibus accounts. The investments made by a financial intermediary will not be aggregated in order to determine the investor's eligibility for a specific Class or its minimum initial subscription or holding.

Shares of AGI ELTIF Fund may only be marketed to a Retail Investor in accordance with the rules laid down in article 30 of the ELTIF Regulation, in particular where an assessment of suitability has been carried out in accordance with article 25(2) of MiFID II and a statement of suitability has been provided to such Retail Investor in accordance with article 25(6) of MiFID II, irrespective of whether the Retail Investor acquires the Shares from the Global Distributor, its delegates, or via the secondary market. The express consent of the Retail Investor indicating that such Retail Investor understands the risks of investing in AGI ELTIF Fund shall be obtained where all of the following conditions are met:

- the assessment of suitability is not provided in the context of investment advice;
- AGI ELTIF Fund is considered not suitable for the Retail Investor on the basis of the assessment of suitability carried out pursuant to the first sub-paragraph; and
- the Retail Investor wishes to proceed with the transaction despite the fact that AGI ELTIF Fund is considered not suitable for that investor.

Subscriptions and Issuance of Shares in AGI ELTIF Fund

Initial Subscription Period and Ongoing Subscriptions

In respect of each new Class of Shares, up to the end of the Initial Subscription Period, the subscription price for Shares will be a fixed price as determined by the Board of Directors (or its delegate) in its sole discretion *plus* applicable Subscription Fees.

After the end of the Initial Subscription Period, subscriptions for Shares of AGI ELTIF Fund may be made on an ongoing basis and will be accepted as of the first calendar day of each month (each, a “**Subscription Date**”).

Subscription Price

After the end of the Initial Subscription Period, Shares will be issued on each Subscription Date at NAV per Share as of the relevant Valuation Date *plus* applicable Subscription Fees.

The subscription price per Share of each Class of Shares is equal to the NAV per Share for such Class of Shares as of the relevant Valuation Date. For example, if a prospective Shareholder wishes to make an initial subscription for Shares of AGI ELTIF Fund in October, the initial subscription request must be received in good order at least fifteen (15) calendar days before November 1st. The offering price will equal the NAV per Share of the applicable Class of Shares as of the last calendar day of October (i.e. the relevant Valuation Date), *plus* applicable Subscription Fees. If accepted, the subscription will be effective on the first calendar day of November (based on the October 31st NAV). In connection with a subscription of Shares, Shareholders may also be required to pay Subscription Fees (as defined below) to their distributor or other financial intermediary.

AGI ELTIF Fund’s monthly NAV as of the Valuation Date will generally be available by the 15th Business Day after the Subscription Date (e.g., the NAV for the November 1st Subscription Date will generally be available around November 24th). Prospective Shareholders will therefore not know the NAV per Share of their investment until after the investment has been accepted. Prospective Shareholders are required to subscribe for a EUR (or the relevant Share Class’s reference currency) amount, as applicable, and the number of Shares that such subscriber receives will subsequently be determined based on the NAV per Share as of the time such investment was accepted by AGI ELTIF Fund (e.g., a Shareholder admitted to AGI ELTIF Fund as of November 1st of a calendar year, whose investment is based on AGI ELTIF Fund’s NAV as of October 31st of such year, will learn of such NAV and the corresponding number of Shares represented by their subscription around November 24th of that year).

Subscription Procedure

A prospective Shareholder must notify AGI ELTIF Fund of its desire to subscribe for Shares by the Subscription Cut-Off Time., i.e. 5 p.m. Central European Time at least fifteen (15) calendar days prior to the relevant Subscription Date (unless waived by the Board of Directors or its delegate). Alternative arrangements may be agreed between the Board of Directors or its delegate(s) and a Shareholder or relevant Intermediary, which may include different subscription notice requirements for certain subscriptions or Share Classes.

To be accepted, a subscription request must be made with a completed and executed Subscription Document in good order, including (a) satisfying any additional requirements imposed by the subscriber’s distributor or other financial intermediary, (b) satisfying the know your client (KYC), terrorist financing and anti-money laundering checks carried out by AGI ELTIF Fund or its agent, and (c) any tax forms associated with a subscription (to the extent not already forming part of the Subscription Document).

Late subscription orders will be automatically resubmitted for the next available Subscription Date, unless such subscription order is withdrawn or revoked before 5 p.m. Central European Time on the last Business Day before such Subscription Date (subject to the Investment Manager’s discretion to accept after such time).

Subscription price amounts (whether in cash or in kind, as applicable) must be received (i) at least one (1) Business Day prior to the applicable Subscription Date for Class A Shares, Class B Shares, Class C Shares, Class D Shares, Class E Shares, Class F Shares, Class I Shares, Class R Shares, Class R1 Shares and Class R2 Shares and (ii) at the latest eighteen (18) Business Days after the applicable Subscription Date for Class G Shares and Class G1 Shares. No interest will be paid on any payments received prior to the relevant deadline.

Prospective Shareholders should note that incomplete subscription applications, and subscription applications which are not settled by the relevant funding due date may be, in the discretion of the Investment Manager, cancelled or deferred to a subsequent Subscription Date by AGI ELTIF Fund and any costs of cancellation, reasonable interest and/or other incurred charges may be passed on to the prospective Shareholder and may be deducted from the subscription price paid by such prospective Shareholder, in the discretion of the Investment Manager. Any such investor, Shareholder and/or relevant financial intermediary shall bear any costs or losses incurred as a result of any failure to settle any subscription for Shares in cleared funds by the relevant deadline,

including in relation to any cancellation of subscription for Shares and of any allotment or issuance thereof. The Board of Directors (or its delegate) may also deduct any costs or losses incurred by AGI ELTIF Fund against any existing holding of the relevant investor, Shareholder and/or relevant financial intermediary.

Notwithstanding anything else herein, the Board of Directors or its delegate may accept, delay acceptance or reject subscriptions in its sole discretion, including choosing to reject or delay acceptance of all subscriptions for a given Subscription Date, which could result in subscriptions being accepted on a day other than a Subscription Date. Subscriptions may be accepted from time to time in the Investment Manager's sole discretion.

Subscriptions, redemptions and conversions of Shares should be made for investment purposes only. AGI ELTIF Fund shall not permit short-term (market-timing) or other excessive trading practices, which may disrupt AGI ELTIF Fund's portfolio management strategies and harm its performance. To minimize harm to AGI ELTIF Fund and the Shareholders, the Investment Manager has the right to reject any subscription or conversion order from any subscriber who is engaging in excessive trading or has a history of excessive trading or if a subscriber's trading, in the opinion of the Investment Manager, has been or may be disruptive to AGI ELTIF Fund. AGI ELTIF Fund, the Investment Manager, the Board of Directors and the AIFM will not be liable for any loss resulting from rejected orders.

Fractions of Shares to two (2) decimal places will be issued. The timing of Subscription Dates, Subscription Cut-Off Time, Valuation Dates and other applicable deadlines (including the deadlines for cancelling subscription and for the payment of the subscription price) may be modified from time to time by the Investment Manager in its sole discretion.

Redemption of Shares

Minimum Holding Period

Shareholders will not be able to request the redemption of their Shares until the end of the Minimum Holding Period for purposes of the ELTIF Regulation, which is expected to end on the date which is three (3) months following the Initial Subscription Date (or such earlier date decided by the Board of Directors and notified to the Shareholders). While redemption requests may be submitted during the Minimum Holding Period, redemptions will generally not be processed until the expiry thereof.

After the end of the Minimum Holding Period, redemptions of Shares are expected to be offered on the last calendar day of each calendar quarter at the NAV per Share calculated as of the last calendar day of the relevant calendar quarter.

Redemption Procedure

A Shareholder may request to have some or all of its Shares redeemed by AGI ELTIF Fund (each, a "**Redemption Request**") as of the last calendar day of the relevant calendar quarter (each, a "**Redemption Date**") by submitting a notice to AGI ELTIF Fund that the Shareholder requests a certain number of its Shares be redeemed by AGI ELTIF Fund in the form made available by AGI ELTIF Fund by the Redemption Cut-Off Time, i.e. by 5 p.m. Central European Time on the first Business Day of the month of the calendar quarter in which the Redemption Date falls (e.g., a Shareholder requesting a September 30th redemption must submit their Redemption Request by 5 p.m. Central European Time on September 1st); *provided* that late notices may be accepted in the Investment Manager's sole discretion (acting as a delegate of the Board of Directors). Once a Redemption Request has been submitted, the Shareholder will not be entitled to withdraw or revoke the Redemption Request without the express consent of the Investment Manager (acting as a delegate of the Board of Directors), which consent may be given or withheld in their sole discretion.

Amounts distributed in connection with a Redemption Request will be based upon the NAV per Share of the applicable Class of Shares being redeemed as of the relevant Redemption Date (e.g., a Shareholder requesting a June 30th, redemption price will be based upon the NAV as of June 30th of that year). The Investment Manager expects that settlements of Redemption Requests will generally be made within two (2) Business Days after the relevant NAV Release Date (e.g., a Shareholder requesting a September 30th redemption would generally be expected to receive a settlement on or around October 26th of the same year) (the "**Settlement Date**") *provided* that this timing may vary depending on when redemption proceeds are actually received by AGI from the Other Ares Funds, to the extent AGI is invested in any such Other Ares Funds.

Each Redemption Request will be processed on each Redemption Date at the NAV per Share of the applicable Class of Shares as of the Valuation Date falling on the applicable Redemption Date. Shareholders will not know the NAV per Share, and therefore the amount of their redemption, until the

relevant NAV Release Date. In addition, due to the timing of the NAV Release Date, investors submitting Redemption Requests will also typically not know the NAV per Share for the prior month.

Shareholders whose Redemption Requests are accepted will cease to be Shareholders in respect of the redeemed Shares as of such Redemption Date and will therefore cease to be entitled to the rights of a Shareholder in respect of the redeemed Shares as of such date, including the right to receive distributions, and will not be entitled to interest on redemption payments due.

Redemption Limitation

The aggregate NAV of total redemptions per calendar quarter (on an aggregate basis but excluding any Early Redemption Deduction and/or any Redemption Fee applicable to the redeemed Shares) is generally limited to 5% of the aggregate NAV of AGI ELTIF Fund measured as of the last calendar day of the previous calendar quarter (the “**Redemption Limitation**”), except in the exceptional circumstances described below or if the ELTIF Redemption Limit provides for a lower percentage of the aggregate NAV on the relevant Redemption Date as calculated and described under Section X: “*Regulatory Consideration – ELTIF Rules – Level of UCITS Eligible Assets and Redemption*” of this Annex. The foregoing limitation on redemptions is based on net redemptions during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to the provisions below. The term “net redemptions” means, during the applicable period, the excess of redemptions (capital outflows) over the proceeds from subscriptions (capital inflows). With respect to future periods, the Board of Directors (or its delegate) may choose whether the allocations and limitations will be applied to “gross redemptions,” i.e., without netting against capital inflows, rather than to net redemptions. If redemptions for a given calendar quarter are measured on a gross basis rather than on a net basis, the redemption limitation could limit the number of Shares redeemed on any Redemption Date despite AGI ELTIF Fund receiving net capital inflows for such calendar quarter. In order for the Board of Directors (or its delegate) to change the application of the allocations and limitations from net redemptions to gross redemptions or vice versa, AGI ELTIF Fund will provide notice to Shareholders, at least ten (10) days before the first Business Day of the quarter for which the new test will apply.

No redemption proceeds will be paid unless and until cleared funds equal to the full amount of the subscription price (or any other amounts payable by such Shareholder to AGI ELTIF Fund) due but not yet paid for the Shares to be redeemed has been received by AGI ELTIF Fund. No interest will be paid to Shareholders on redemption proceeds paid after the Settlement Date.

Any redemption made for the purpose of upstreaming cash (a) to settle a properly incurred liability of AGI ELTIF Fund, the Aggregator or any Ares-managed feeder vehicle of AGI; (b) for cash management purposes at the level of AGI ELTIF Fund, the Aggregator or any Ares-managed feeder vehicle of AGI; and/or (c) to declare a distribution or dividend at the level of AGI ELTIF Fund or the Aggregator will not be subject to any Early Redemption Deduction and/or a Redemption Fee, and will not be taken into account for the purposes of calculating the Redemption Limitation, in each case *provided* that the upstreaming of cash is not used to effect the Redemption Requests of, and/or provide priority redemption rights to, underlying investors of AGI ELTIF Fund, the Aggregator or any Ares-managed feeder vehicle of AGI.

In exceptional circumstances and not on a systematic basis, AGI ELTIF Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e. modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in AGI’s best interest and the best interest of AGI’s investors as a whole, such as when redemptions are unable to be made in Other Ares Funds in which AGI is directly or indirectly invested, when redemptions of Shares would place an undue burden on AGI’s liquidity, adversely affect AGI’s operations, risk having an adverse impact on AGI that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI of the Prospectus: “*Calculation of Net Asset Value*”. Modifications of the Redemption Cut-Off Time and material modifications intended to reduce available liquidity, including any reduction to the Redemption Limitation and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AGI’s best interest and the best interest of AGI’s investors.

In the event that, pursuant to the limitations above, not all of the Shares submitted for redemption during a given quarter are to be accepted for redemption by AGI ELTIF Fund, Shares submitted for redemption during such quarter will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AGI if applicable). All unsatisfied Redemption Requests will be automatically resubmitted for the next available

Redemption Date, unless such a Redemption Request is withdrawn or revoked by a Shareholder before such Redemption Date in the manner as described above.

Sources of Funds for Redemptions

The Board of Directors (or its delegate) may in its discretion, after taking the interests of AGI ELTIF Fund as a whole and the interests of the remaining Shareholders into consideration, use proceeds from any available sources at AGI ELTIF Fund's disposal to satisfy Redemption Requests, subject to the Redemption Limitation. Potential sources of funding redemptions include, but are not limited to, cash on hand, cash available from borrowings, cash from the sale of Shares and cash from liquidations of investments, to the extent that such funds are not otherwise dedicated to a particular use, such as working capital, cash distributions to Shareholders or Investments.

Although a majority of AGI ELTIF Fund assets consist of Infrastructure Assets that cannot generally be readily liquidated on short notice without impacting AGI ELTIF Fund's ability to realize full value upon their disposition, AGI ELTIF Fund intends to maintain a number of sources of Debt and Other Instruments. AGI ELTIF Fund may fund redemptions from any available source of funds, including operating cash flows, borrowings, proceeds from the offering of the Shares and/or sales of AGI ELTIF Fund's assets.

Early Redemption Deduction and Redemption Fee

Shares held for less than twenty-four (24) months will be subject to an early redemption deduction (the “**Early Redemption Deduction**”) as set out below:

Class of Shares	Early Redemption Deduction
Class A Shares, Class B Shares, Class C Shares, Class F Shares, Class I Shares, Class R Shares, Class R1 Shares and Class R2 Shares	5% of the NAV of the redeemed Shares (calculated as of the relevant Redemption Date)
Class D Shares, Class E Shares, Class G Shares, and Class G1 Shares	0%

Redemptions of Class D Shares, Class E Shares, Class G Shares and Class G1 Shares may be subject to a redemption fee of up to 5% of the NAV of the relevant Class of Shares being redeemed (calculated as of the relevant Redemption Date), as applicable, as determined by the Investment Manager in its sole discretion from time to time (the “**Redemption Fee**”). To the extent applicable, the application of the Redemption Fee will be notified to the relevant Shareholders, together with any other details as deemed appropriate by the Investment Manager.

If a redeeming Shareholder, who invested in AGI ELTIF Fund for its own account, owns Shares of more than one Series of the Class being redeemed, such Shares will be deemed to be redeemed on a “first-in-first-out” basis. If a redeeming Shareholder invested in AGI ELTIF Fund as a financial intermediary on behalf of underlying investors, it must indicate in its Redemption Request the relevant Series of Shares to be redeemed.

The Early Redemption Deduction and/or any Redemption Fee will generally inure to the benefit of the Aggregator (and indirectly AGI ELTIF Fund and all other vehicles invested in the Aggregator, including their respective investors).

AGI ELTIF Fund may, from time to time, waive the Early Redemption Deduction and/or any Redemption Fee in its sole discretion, including without limitation in the case of redemptions resulting from death, qualifying disability, divorce, or where operational, administrative, and/or system limitations prohibit the Early Redemption Deduction and/or any Redemption Fee from being properly applied.

All questions as to the applicability of the Early Redemption Deduction and/or any Redemption Fee to specific facts and the validity, form, eligibility (including time of receipt of required documents) of a qualification for an exemption from the Early Redemption Deduction and/or any Redemption Fee will be determined by the Investment Manager, in its sole discretion, and its determination shall be final and binding.

Minimum Account Redemptions

In the event that any Shareholder fails to maintain the minimum balance of €10,000 (or the equivalent in any currency as may be determined by the Board of Directors or its delegate) of Shares, the Board of Directors (or its delegate) may redeem all of the Shares held by that Shareholders at the redemption price in effect on the date the Board of Directors (or its delegate) determines that the Shareholder has failed to meet the minimum balance, less any Early Redemption Deduction and/or Redemption Fee. Minimum account redemptions are subject to Early Redemption Deductions and/or Redemption Fee, as applicable.

Compulsory Redemption with regard to Prohibited Persons

If the Board of Directors (or its delegate) discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person (as defined below), either alone or in conjunction with any other person, whether directly or indirectly, the Board of Directors (or its delegate) may at its discretion and without liability, compulsorily redeem (in whole or in part) the Shares in accordance with the Articles, and upon redemption, the Prohibited Person will cease to be the owner of those Shares. Any such redemption may take priority over any requested redemptions made by other investors (which may be delayed as a result). For the avoidance of doubt, in the case of a Shareholder holding Shares which can be allocated to several beneficial owners, such compulsory redemption may only be applied to the part of the portion of such Shares allocable to the beneficial owner qualifying as a Prohibited Person.

In addition, in the case of a Prohibited Person where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, or (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, the Board of Directors (or its delegate) is also entitled to convert the Shares of the Prohibited Person provided that after such conversion the Shareholder no longer qualifies as a Prohibited Person.

The Board of Directors (or its delegate) may require any Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) to provide it with any information that it may consider necessary for the purpose of determining whether or not such Shareholder (including in relation to any underlying investor where a Shareholder subscribed to the Shares on behalf of such underlying investor and/or for such underlying investor's benefit) is or will be a Prohibited Person.

Further, Shareholders shall have the obligation to immediately inform AGI ELTIF Fund to the extent the ultimate beneficial owner of the Shares held by such Shareholders becomes or will become a Prohibited Person.

For the purpose of this clause, “**Prohibited Person**” shall mean any person, firm, partnership or corporate body (including a Shareholder (and/or an underlying investor where the Shareholder subscribed to the Shares on its behalf of such underlying investor and/or for such underlying investor's benefit)), not eligible as investor for a Class of Shares, or if in the sole opinion of the Board of Directors the holding of Shares may be detrimental to the interests of the existing Shareholders, AGI ELTIF Fund or the Sponsor, if it may result in a breach of any law or regulation, whether in Luxembourg or abroad, or if as a result thereof any such parties may become exposed to regulatory, tax, economic or reputational damages, obligations, disadvantages, fines or penalties that it would not have otherwise incurred.

Conversions Between Classes

Conversions of Shares between Classes in AGI ELTIF Fund are allowed. The Board of Directors (or its delegate) may suspend conversions in respect of Shares during any period that the determination of the NAV of the relevant Class is suspended in accordance with the rules set out in the Articles and this Annex.

Conversion at the Request of Shareholders

A Shareholder may request the conversion of all or part of its Shares of a Class on any Valuation Date; *provided* that the Shareholder fulfils the eligibility criteria of the relevant Class into which the conversion is requested and subject to the written consent of the Shareholder's broker, distributor or other financial intermediary, if applicable, and the Board of Directors (or its delegate). Any conversion request which, when executed, would cause the Shareholder's investment to fall below the applicable minimum holding requirement, will be considered as a request for a full conversion for that Shareholder's Shares in that particular Class.

Procedure

Written conversion orders should be sent to the Central Administration at least five (5) Business Days before the relevant Valuation Date or such shorter period as determined by the Board of Directors or its delegate (the “**Conversion Cut-off**”).

All conversion orders must contain the following information:

- the Valuation Date in respect of which the conversion request is made;
- the full name(s) in which the Shares to be converted are registered;
- the Class and its ISIN code from which Shares are to be converted and the Class and its ISIN code to which Shares will be converted; and
- either the monetary amount or the number of Shares to be converted.

If accepted, conversion orders received by the Central Administration before the relevant Valuation Date in respect of which the conversion order is made will be dealt with on such Valuation Date on the basis of the NAV of the relevant Classes prevailing on that Valuation Date.

Any conversion orders received after the Conversion Cut-off for a Valuation Date will be processed on the next Valuation Date on the basis of the NAV of the relevant Classes prevailing on such Valuation Date.

The rate at which all or part of the Shares of one Class (the “**Initial Class**”) are converted into another Class (the “**New Class**”) is determined in accordance with the following formula:

$$A = \frac{B \times C \times D}{E}$$

where:

- A is the number of Shares to be allocated in the New Class;
- B is the number of Shares of the Initial Class to be converted;
- C is the NAV per Share of the Initial Class determined on the relevant Valuation Date;
- D the currency conversion factor, which is the relevant currency rate as at the respective Valuation Date, or where the Shares of the New Class are denominated in the same currency of the Initial Class, D = 1; and
- E is the NAV per Shares of the New Class determined on the relevant Valuation Date.

Following such conversion of Shares, the Central Administration will inform the respective Shareholder of the number of Shares of the New Class obtained by conversion and the price thereof. Fractions of Shares in the New Class to two decimal places may be issued.

Conversion by decision of the Board of Directors

The Board of Directors or its delegate may in its own discretion at any time convert Shares from one Class into another Class of Shares where (i) the holding by such Shareholder in a particular Class has fallen below the minimum investment and holding requirement for that Class as set out in this Annex, (ii) a Shareholder does not meet or ceases to meet investor eligibility criteria and conditions set out in this Annex, (iii) Shareholders are not otherwise entitled to acquire or possess these Shares, or (iv) the Board of Directors or its delegate determines that such conversion is necessary or advisable and not inequitable to Shareholders.

The procedure set out above will apply accordingly.

Transfers

Shareholders may transfer part or all their Shares upon prior consent from the Board of Directors or its delegate, in their sole discretion, which shall be provided within thirty (30) calendar days from its notification. The absence of a favorable response within thirty (30) calendar days shall be considered as a refusal to such transfer.

Any transferee must provide AGI ELTIF Fund with a duly completed Subscription Document, any required AML/KYC documents and any additional information or documentation as requested by the Board of Directors

or its delegate in connection with the transfer and by the transferee's broker, distributor or other financial intermediary, as applicable.

VI. FEES AND EXPENSES OF AGI ELTIF FUND

Costs of setting-up AGI ELTIF Fund

The costs, fees and expenses described in this section cover the relevant costs considerations in relation to the setting up of AGI ELTIF Fund, as set out in the ELTIF-CDR.

Initial Organizational and Offering Expenses

In connection with the set-up of AGI ELTIF Fund, AGI ELTIF Fund will bear certain Organizational and Offering Expenses, as determined by the Investment Manager in its reasonable discretion. The Investment Manager will determine what Organizational and Offering Expenses are associated with the setting-up of AGI and attributable to AGI ELTIF Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

The Investment Manager has agreed to advance all of AGI ELTIF Fund's (including the expenses associated with AGI ELTIF Fund, the Aggregator, any Intermediate Vehicle, or any of their respective Parallel Entities or Feeder Entities) Organizational and Offering Expenses through the Effective Date. AGI ELTIF Fund, the Aggregator or the relevant Parallel Entities, as applicable, will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date.

After the Effective Date, AGI ELTIF Fund, the Aggregator or the relevant Parallel Entities, as applicable, will reimburse the Investment Manager for any Organizational and Offering Expenses that it has incurred on each entity's behalf as and when incurred.

Please refer to Section VI: "*Fees and Expenses of AEFS – Organizational and Offering Expenses*" of the Prospectus for a description of the Organizational and Offering Expenses that may generally be incurred by AGI ELTIF Fund through the Effective Date.

Initial Operating Expenses Support

The Investment Manager (and/or such other combination of persons as the Investment Manager may designate) may at its discretion advance all or portion of the Operating Expenses to be borne by AGI ELTIF Fund, the proportion of expenses of the Aggregator borne by AGI ELTIF Fund, and the appropriately apportioned expenses relating to Portfolio Entities and Parallel Entities, in each case as determined pursuant to the terms of this Prospectus (collectively, "**Initial Operating Expenses Support**") through the Effective Date. AGI ELTIF Fund and the Aggregator (as applicable and as determined by the Investment Manager in its sole discretion), will reimburse the Investment Manager for all such advanced expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the Effective Date or on such earlier date as determined by the Investment Manager.

Costs Related to the Acquisition of Assets

The costs, fees and expenses described in this section cover the relevant cost considerations in relation to the acquisition of assets by AGI ELTIF Fund, as set out in the ELTIF-CDR.

AGI ELTIF Fund will bear certain Operating Expenses in connection with the acquisition of assets, which may include, *inter alia*, all the fees, costs, expenses, taxes, expected tax liabilities, liabilities and obligations relating or attributable to identifying, diligencing, structuring and/or negotiating the acquisition of assets (including Broken Deal Expenses) and other administrative, regulatory, depositary, custodial, professional service and audit costs related thereto. The Investment Manager will determine what Operating Expenses are associated with the acquisition of assets and attributable to AGI ELTIF Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

Please refer to Section VI: "*Fees and Expenses of AEFS – Operating Expenses*" of the Prospectus for a description of the Operating Expenses that may be incurred by AGI ELTIF Fund in connection with the acquisition of assets.

AIFM, Management and Performance Related Fees

The costs, fees and expenses described in this section cover the relevant cost considerations in relation to the management and performance related fees (Management Fee and Performance Fee) to be borne by AGI, as set out in the ELTIF-CDR.

Management Fee

In consideration for its services with respect to AGI ELTIF Fund, the AIFM (and/or such other combination of persons as the Investment Manager may designate) will be entitled to the payment of a management fee (the “**Management Fee**”) as set out in Schedule 1: “*Share Classes of AGI ELTIF Fund*” of this Annex, payable by AGI ELTIF Fund (except as described below) for all Classes of Shares (except in respect of Class E Shares). The Management Fee will be payable monthly in arrears based on month end values, before giving effect to any accruals for the Management Fee, the Performance Fee (as defined below), the Servicing Fee (as defined below), redemptions for that month (if applicable), any distributions and any impact to NAV solely caused by currency fluctuations and/or currency hedging activities for non-EUR Classes, non-EUR classes of units of the Aggregator and/or non-EUR classes of shares or units of Parallel Entities (where applicable) and any accrued and unpaid taxes of any Intermediate Vehicle (including, without limitation, corporations) through which AGI ELTIF Fund invests (or any comparable entities of Other Ares Funds in which AGI ELTIF Fund directly or indirectly participates) or taxes paid by any such entity during the applicable month. The Management Fee may be paid by AGI ELTIF Fund, or alternatively and without duplication, by the Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of AGI ELTIF Fund.

While AGI ELTIF Fund may indirectly bear its share of management fees with respect to any direct or indirect Investment in Other Ares Funds (in aggregate, the “**Underlying Management Fees**”), the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AGI ELTIF Fund together with any Underlying Management Fees paid to the AIFM or its affiliates (and/or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described herein.

The AIFM (and/or such other combination of persons as the Investment Manager may designate) may elect to receive the Management Fee in cash, Shares, units of the Aggregator and/or shares or units of Parallel Entities (where applicable). If the Management Fee is paid in Shares, Aggregator units and/or shares or units of Parallel Entities (where applicable), such Shares, shares and/or units may be redeemed at the AIFM’s request (and/or at the request of such other combination of persons as the Investment Manager may designate), and will not be subject to any of the limitations set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” and “*—Early Redemption Deduction and Redemption Fee*” of this Annex.

The AIFM may separately elect for the Management Fee to be paid (in whole or in part) to an affiliate of the AIFM (and/or such other combination of persons as the Investment Manager may designate) in satisfaction of Management Fee amounts owed to the AIFM in connection with services provided by such affiliate to AGI ELTIF Fund and/or any Intermediate Vehicle. In addition, the AIFM (and/or such other combination of persons as the Investment Manager may designate) may waive all or any part of the Management Fee in its discretion from time to time.

For the avoidance of doubt, in the event the Management Fee is paid by the Aggregator, the Parallel Entities and/or any Intermediate Vehicle, such payment shall be made on behalf of AGI ELTIF Fund in consideration of the services provided by the Investment Manager and the AIFM to AGI ELTIF Fund. For the avoidance of doubt, where a management fee is calculated and paid by a Parallel Entity on the basis of such entity’s own NAV (whether or not such management fee is calculated and paid on the same basis as the Management Fee), such fees will be charged without duplication, and the NAV of such Parallel Entity will be disregarded for the purposes of the calculation and payment of the Management Fee to be paid by other AGI ELTIF Fund vehicles.

Performance Fee

The Investment Manager (or alternatively, any other entity or vehicle affiliated with Ares designated by the Investment Manager, the “**Recipient**”) will be entitled to the payment of a performance fee (the “**Performance Fee**”) (except for Class E Shares) equal to up to 12.5% of Total Return subject to a 5% annual Hurdle Amount and a High Water Mark with 100% Catch-Up (each as defined below). The Performance Fee may be paid by AGI ELTIF Fund, or alternatively and without duplication, by the Aggregator, the Parallel Entities and/or any Intermediate Vehicle on behalf of AGI ELTIF Fund.

The Performance Fee will be measured and paid quarterly, and accrue monthly (subject to pro-rating for partial periods) payable either in cash or in Shares, limited partnership interests of the Aggregator and/or shares, or limited partnership interests or units of Parallel Entities (where applicable). Specifically, the Recipient is entitled to be paid a Performance Fee in an amount equal to:

- First, if the Total Return for the applicable period exceeds the sum of the Hurdle Amount for that period and the Loss Carryforward Amount (any such excess, “**Excess Profits**”), 100% of such Excess Profits until the total amount entitled to be paid to the Recipient equals up to 12.5% of the sum of (x) the Hurdle

Amount for that period and (y) any amount entitled to be paid to the Recipient pursuant to this clause (any such amount, the “**Catch-Up**”); and

- Second, to the extent there are remaining Excess Profits, up to 12.5% of such remaining Excess Profits. For each Reference Period, the Recipient will also be entitled to be paid a Performance Fee with respect to all Shares that are redeemed in connection with redemptions of Shares in an amount calculated as described above with the relevant period being the portion of the Reference Period for which such Shares were outstanding, and proceeds for any such Shares redemption will be reduced by the amount of any such Performance Fee.

The ESMA Guidelines ESMA34-39-992 on performance fees in UCITS and certain types of AIFs do not apply to AGI ELTIF Fund as it follows a private equity strategy as described in this Annex.

The Recipient may elect to receive the Performance Fee in cash, Shares, limited partnership interests of Aggregator and/or shares, limited partnership interests or units of Parallel Entities (where applicable). If the Performance Fee is paid in Shares, limited partnership interests of Aggregator and/or shares, limited partnership interests or units of Parallel Entities (where applicable), such Shares, shares, limited partnership interests or units may be redeemed at the Recipient’s request and will not be subject to the limitations in Section V “*Subscriptions, Redemptions and Other Transactions*” of this Annex, the Early Redemption Deduction and/or Redemption Fee (as applicable).

“**Total Return**” for any period since the end of the prior Reference Period shall equal the sum of:

- all distributions accrued or paid (without duplication) on Shares outstanding at the end of such period since the beginning of the then-current Reference Period; *plus*
- the change in aggregate NAV of such Shares since the beginning of the Reference Period before giving effect to (x) changes resulting solely from the proceeds of issuances of Shares, (y) any accrual or payment of the Performance Fee and (z) any applicable Servicing Fee expenses or similar fees (including any payments made to AGI ELTIF Fund for payment of such expenses and any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee); *provided*, that the aggregate NAV of such Shares shall be calculated without taking into account any accrued and unpaid taxes of any Intermediate Vehicle (or the receipts of such Intermediate Vehicle) through which AGI ELTIF Fund indirectly invests (or any comparable entities of Other Ares Funds in which AGI ELTIF Fund may directly or indirectly participate) or taxes paid by any such entity since the end of the prior Reference Period; *minus*
- without duplication, all Operating Expenses but excluding applicable expenses for the Servicing Fee or similar fees (including any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee).

For the avoidance of doubt, the calculation of Total Return will be made in the Reference Currency and will (i) include any appreciation or depreciation in the NAV of Shares issued during the then-current Reference Period, (ii) treat certain taxes incurred (directly or indirectly) by AGI ELTIF Fund which relate to a Shareholder as part of the distributions accrued or paid on Shares and treat any withholding tax on distributions paid by or received by the Aggregator as part of the distributions accrued or paid on limited partnership interests of the Aggregator, (iii) exclude the proceeds from the initial issuance of such Shares and (iv) exclude any impact to Total Return solely caused by currency fluctuations and/or currency hedging activities and costs for non-EUR Share Classes, and/or non-EUR classes of limited partnership interests of the Aggregator and/or non-EUR classes of shares or limited partnership interests of any Parallel Entities, in each case as determined in the good faith judgment of the Investment Manager.

“**Hurdle Amount**” for any period during a Reference Period means that amount that results in a 5% annualized internal rate of return on the NAV of Shares outstanding at the beginning of the then-current Reference Period and all Shares issued since the beginning of the then-current Reference Period, calculated in accordance with recognized industry practices and taking into account:

- the timing and amount of all distributions accrued or paid (without duplication) on all such Shares minus all Operating Expenses but excluding applicable expenses for the Servicing Fee or similar fees (including any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee); and
- all issuances of Shares over the period.

The ending NAV of Shares used in calculating the internal rate of return will be calculated before giving effect to any accrual or payment of the Performance Fee and applicable expenses for the Servicing Fee or similar fees (including any other Shareholder placement, servicing and/or distribution fees, whether paid directly or out of the Management Fee) and without taking into account any accrued and unpaid taxes of any Intermediate Vehicle (or the receipts of such Intermediate Vehicle) through which AGI ELTIF Fund directly or indirectly invests (or any comparable entities of Other Ares Funds in which AGI ELTIF Fund directly or indirectly participates) or taxes paid by any such entity since the end of the prior Reference Period. For the avoidance of doubt, the calculation of the Hurdle Amount for any period will be made in the Reference Currency and will exclude any Shares redeemed during such period, which such Shares will be subject to the Performance Fee upon redemption as described above and any impact to the Hurdle Amount solely caused by currency fluctuations and/or currency hedging activities and costs for non-EUR classes.

No Performance Fee will be charged at the level of AGI ELTIF Fund in respect of its Investments in Other Ares Funds, and any Total Return and Hurdle Amount related to such Investments will be disregarded for the purposes of calculating the Performance Fee accordingly.

Except as described in “*Loss Carryforward Amount*” below, any amount by which Total Return falls below the Hurdle Amount will not be carried forward to subsequent periods.

The Recipient will not be obligated to return any portion of the Performance Fee paid due to the subsequent performance of AGI.

“**Loss Carryforward Amount**” shall initially equal zero and shall cumulatively increase by the absolute value of any negative quarterly Total Return and decrease by any positive quarterly Total Return; *provided*, that the Loss Carryforward Amount shall at no time be less than zero; and *provided further*, that the calculation of the Loss Carryforward Amount will exclude the Total Return related to any Shares redeemed during the applicable Reference Period, which Shares will be subject to the Performance Fee upon redemption as described above. The effect of the Loss Carryforward Amount is that the recoupment of past quarterly Total Return losses will offset the positive quarterly Total Return for purposes of the calculation of the Performance Fee. This is referred to as a “**High Water Mark**”.

Management Fees and the Performance Fees are calculated in Euro and therefore Shareholders holding Shares with a functional currency other than the Euro are exposed to fluctuations of the Euro foreign exchange rate and/or hedging costs, which may lead to higher Management Fees and Performance Fees being borne by such Shareholders compared to Shareholders holding Shares with Euro as the functional currency.

“**Reference Period**” means the applicable calendar quarter beginning on the first calendar day of such calendar quarter and ending on the last calendar day of such calendar quarter; *provided*, that the initial Reference Period for AGI ELTIF Fund shall be the period from the Initial Subscription Date to December 31, 2026.

In addition, the Recipient may waive all or any part of the Performance Fee in its discretion from time to time.

Distribution Costs

The costs, fees and expenses described in this section cover the relevant cost considerations in relation to the offering and distribution of the Shares in AGI ELTIF Fund, as set out in the ELTIF-CDR.

Subscription Fees

Certain distributors or other financial intermediaries through which a Shareholder was placed in AGI ELTIF Fund may charge such Subscription Fees on Shares sold in the offering that are paid by the Shareholder outside of its investment in AGI ELTIF Fund and not reflected in AGI ELTIF Fund’s NAV. In certain circumstances the Subscription Fees may be paid to Ares and reallocated, in whole or in part, to the distributor or other financial intermediary that placed the Shareholder into AGI ELTIF Fund. No Subscription Fees will be paid with respect to reinvestments of distributions for Accumulation Sub-Class Shares.

Servicing Fee

The servicing fee is allocated to the financial intermediary through which an underlying investor was placed in AGI ELTIF Fund and/or the financial intermediary which provides ongoing services to such underlying investor in each case as determined by the Investment Manager in its sole discretion (such fee, the “**Servicing Fee**”). Any Servicing Fee will compensate such representative for any placement, reporting, administrative and/or other services provided to an underlying investor by such representative. The receipt of the Servicing Fee will result in a conflict of interest.

Servicing Fees payable in respect of each Class of Shares, will be set out in Schedule 1: “*Share Classes of AGI ELTIF Fund*” of this Annex. AGI ELTIF Fund may issue Share Classes with different level of Servicing Fees, as the Board of Directors or its delegate may decide from time to time.

For the avoidance of doubt, the Servicing Fees will be payable by AGI ELTIF Fund and Shareholders will not be billed separately for payment of the fees. The Servicing Fee will be calculated on the NAV of the relevant Class of Shares before giving effect to accruals for the Servicing Fee, the redemptions for that month (if applicable) or distributions payable on such Class of Shares.

Other Distribution Costs

AGI ELTIF Fund will bear certain Organizational and Offering Expenses and/or Operating Expenses in connection with the offering and distribution of the Shares in AGI ELTIF Fund, which may include, *inter alia*, the administrative, regulatory, professional service and audit related costs in relation to the offering and distribution of the Shares in AGI ELTIF Fund. The Investment Manager will determine what Organizational and Offering Expenses and/or Operating Expenses are associated with the offering and distribution of the Shares in AGI ELTIF Fund and are attributable to AGI ELTIF Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

Please refer to Section VI: “*Fees and Expenses of AEFS – Organizational and Offering Expenses*” and “*Fees and Expenses of AEFS – Operating Expenses*” of the Prospectus for a description of the Organizational and Offering Expenses and/or Operating Expenses that may generally be incurred by AGI ELTIF Fund in connection with the offering and distribution of the Shares in AGI ELTIF Fund.

Other Costs of AGI ELTIF Fund

In addition to the fees and expenses set out above in this Section VI: “*Fees and Expenses of AGI ELTIF Fund*” of this Annex, AGI ELTIF Fund may bear other Organizational and Offering Expenses and/or Operating Expenses, which include (without limitation) the fees, costs, expenses, taxes, expected tax liabilities, liabilities and obligations associated with the services provided to AGI ELTIF Fund by the Central Administration, Depositary, the Auditor, the Global Distributor and legal and professional advisers.

Other Operating Expenses

The Investment Manager will determine what Operating Expenses (other than those Operating Expenses associated with the setting up, the acquisition of assets and distribution of AGI ELTIF Fund) are attributable to AGI ELTIF Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

With respect to AGI ELTIF Fund’s capital commitment(s) to Other Ares Funds only, AGI ELTIF Fund will not pay or otherwise bear carried interest, management fees or other incentive compensation paid to the general partner of such Other Ares Fund except in limited circumstances, in which case such carried interest, management fees or other incentive compensation paid will be rebated Euro-for-Euro to AGI ELTIF Fund. For the avoidance of doubt, AGI ELTIF Fund will pay all other fund and investment-related fees and expenses with respect to its capital commitment(s) to any Other Ares Fund (if applicable). AGI ELTIF Fund will also indirectly bear other expenses of such Other Ares Fund, including all investment related expenses and expenses paid to affiliates of the Investment Manager, administrative expenses and other expenses as applicable to such Other Ares Fund (to the extent applicable).

Please refer to Section VII: “*Fees and Expenses of AEFS – Operating Expenses*” of the Prospectus for a description of the Operating Expenses that may generally be incurred by AGI ELTIF Fund.

Other Organizational and Offering Expenses

The Investment Manager will determine what Organizational and Offering Expenses (other than those Organizational and Offering Expenses associated with the setting up and distribution of AGI ELTIF Fund) are attributable to AGI ELTIF Fund, the Aggregator or any of their respective Parallel Entities or Feeder Entities, in its sole discretion.

After the Effective Date, AGI ELTIF Fund, the Aggregator, the relevant Parallel Entities and/or Feeder Entities, as applicable, will reimburse the Investment Manager for any Organizational and Offering Expenses that it has incurred on each entity’s behalf as and when incurred.

Please refer to Section VII: “*Fees and Expenses of AEFS – Organizational and Offering Expenses*” of the Prospectus for a description of the Organizational and Offering Expenses that may generally be incurred by AGI ELTIF Fund.

Cost Ratios of AGI ELTIF Fund

Other Costs Ratio of AGI ELTIF Fund

The other cost ratio of AGI ELTIF Fund (the “**Other Cost Ratio**”) is generally not expected to be higher than 0.50% of the NAV of AGI ELTIF Fund for the first year following the end of the Initial Subscription Period.

Overall Cost Ratio of AGI ELTIF Fund

The overall cost ratio of AGI ELTIF Fund (the “**Overall Cost Ratio**”) is generally not expected to be higher than 4.50% of the NAV of AGI ELTIF Fund for the first year following the end of the Initial Subscription Period.

General Considerations

The Other Cost Ratio and Overall Cost Ratio contained in this Section VI: “*Fees and Expenses of AGI ELTIF Fund – Cost Ratios of AGI ELTIF Fund*” are estimates based on a number of opinions, estimates and assumptions that the Investment Manager considers appropriate and reasonable as of the date of this Annex and have been calculated by taking into account, *inter alia*, (i) the anticipated fundraising levels and assets under management, (ii) the contemplated distribution strategy, (iii) the expected composition of AGI ELTIF Fund’s portfolio after the end of the Initial Subscription Period, and (iv) projected Organizational and Offering Expenses and/or Operating Expenses (on an all taxes included basis) attributable to AGI ELTIF Fund, in each case for the first year following the end of the Initial Subscription Period.

The calculation of these estimated Other Cost Ratio and Overall Cost Ratio are inherently forward-looking and are subject to known and unknown risks, uncertainties, assumptions and other factors, such as changes in market conditions, regulatory developments, unforeseen events, or variations in AGI ELTIF Fund investment activity or fundraising from projected levels, which may cause the actual Other Cost Ratio and Overall Cost Ratio to differ materially from those set out above.

Furthermore, these estimated Other Cost Ratio and Overall Cost Ratio to the NAV per annum of AGI ELTIF Fund may vary between the different Classes of Shares, depending on their characteristics and fees and/or expenses structure (including, but not limited, Management Fee, Performance Fee and/or Servicing Fee). The overall cost ratio set out in this Section VI: “*Fees and Expenses of AGI ELTIF Fund – Cost Ratios of AGI ELTIF Fund*” does not take into account any Subscription Fee, Early Redemption Deduction and/or Redemption Fee that may be applicable nor the allocation of liabilities amongst the different Classes of Shares. Actual costs borne by a Shareholder from time to time may differ from the estimated ratios set out in this Section VI: “*Fees and Expenses of AGI ELTIF Fund – Cost Ratios of AGI ELTIF Fund*”.

The estimated Overall Cost Ratio percentages will be updated annually at <https://www.ares.com/businesses-and-products/our-products/ares-global-infrastructure-fund-ELTIF> and prospective investors and Shareholders are therefore encouraged to consult (<https://www.ares.com/businesses-and-products/our-products/ares-global-infrastructure-fund-ELTIF>) for the most current information regarding the Overall Cost Ratio of AGI ELTIF Fund.

The estimated Other Cost Ratio and Overall Cost Ratio should be considered carefully by prospective investors, as there can be no assurance that these cost ratios will prove to be accurate. For the avoidance of doubt, in any specific year and cumulatively over the duration of AGI ELTIF Fund, the actual incurred costs may exceed or be inferior to the estimated Other Cost Ratio and Overall Cost Ratio set out above.

Liabilities

With respect to each Class of Shares, the AIFM will include the value (as prescribed under IFRS) of such Class’s *pro rata* portion of AGI ELTIF Fund’s liabilities as part of the Class’s monthly NAV calculation. These liabilities are expected to include the fees payable to the Investment Manager, the AIFM and the Recipient (and/or such other combination of persons as the Investment Manager may designate), accounts payable, accrued operating expenses, any portfolio-level credit facilities, other borrowings and other liabilities.

For purposes of calculating AGI ELTIF Fund’s NAV, the Organizational and Offering Expenses and/or Operating Expenses paid by the Investment Manager through the Effective Date pursuant to this Section VII “*Fees and*

Expenses of AEFS— Organizational and Offering Expenses” or “— Initial Operating Expenses Support”, as applicable, are not recognized as expenses or as a component of equity and reflected in AGI ELTIF Fund’s NAV until AGI ELTIF Fund reimburses the Investment Manager for these costs.

The AIFM’s valuation of each Investment’s liabilities, including any third-party incentive fee payments or investment level debt, deal terms and structure will not be reviewed by AEFS’s independent valuation advisor or appraised.

Discretionary Expense Cap

In addition to the foregoing, the Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AGI ELTIF Fund (or a specific Class thereof, as applicable) and/or the Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AGI ELTIF Fund (or the relevant Class thereof), the Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed.

Fees and Expenses Charged at the level of Other Ares Funds

AGI ELTIF Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any portfolio funds, including any Other Ares Funds, in each case to the extent applicable and in accordance with their relevant governing documents.

However, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously at the level of AGI ELTIF Fund and Other Ares Funds. Therefore, no Performance Fee will be charged at the level of AGI ELTIF Fund in respect of its Investments in Other Ares Funds. While AGI ELTIF Fund may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Other Ares Funds, the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AGI ELTIF Fund together with any Underlying Management Fees paid to the AIFM or its affiliates (or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: *“Fees and Expenses of AGI ELTIF Fund —Management Fee”*. Notwithstanding the foregoing and with respect to AGI’s secondary investments in Other Ares Funds only, AGI ELTIF Fund may pay or otherwise bear carried interest, management fees or other incentive compensation paid to the general partner of such Other Ares Funds.

Fees arising at multiple levels

To the extent the Management Fee and/or Performance Fee may apply at the level of AGI ELTIF Fund, the Aggregator and/or any other Intermediate Vehicle or Parallel Entity, Shareholders will only be charged such Management Fee and/or Performance Fee by the Investment Manager, the AIFM and the Recipient (and/or such other combination of persons as the Investment Manager may designate) once.

VII. VALUATION PROCEDURES

AGI ELTIF Fund's monthly NAV as of each Valuation Date, i.e. as of the last calendar day of each month, will generally be available by the 15th Business Day after the immediately following Subscription Date. AGI ELTIF Fund's monthly NAV is calculated by the Central Administration, as described in Section VI: "*Calculation of Net Asset Value*" of the General Section of the Prospectus.

Investments or Instruments where Market Quotations are Readily Available

Investments for which market quotations are readily available will typically be valued at such market quotations. In order to validate market quotations, the Investment Manager will review a number of factors to determine if the quotations are representative of fair value, including the source and nature of the quotations. Debt and equity investments that are not publicly traded or whose market prices are not readily available will be valued at fair value as determined in good faith by the Investment Manager, subject to the AIFM's oversight, based on, among other things, the input of AGI ELTIF Fund's independent third-party valuation firm that has been engaged to support the valuation of such portfolio investments by providing positive assurance monthly and an independent valuation at least semi-annually (with certain de minimis exceptions) and under a valuation policy and a consistently applied valuation process. However, the Investment Manager and AIFM may use these independent valuation firms to review the value of the relevant Investments more frequently, including in connection with the occurrence of significant events or changes in value affecting a particular Investment.

Investment transactions are recorded on the trade date. Realized gains or losses are measured by the difference between the net proceeds from the repayment or sale and the amortized cost basis of the investment using the specific identification method without regard to unrealized gains or losses previously recognized. Unrealized gains or losses primarily reflect the change in investment values, including the reversal of previously recorded unrealized gains or losses when gains or losses are realized.

Investments or Instruments where Market Quotations are not Readily Available

Investments for which market quotations are readily available are typically valued at such market quotations. In order to validate market quotations, the Investment Manager looks at a number of factors to determine if the quotations are representative of fair value, including the source and nature of the quotations. Debt and equity securities that are not publicly traded or whose market prices are not readily available are valued at fair value as determined in good faith by the Investment Manager, subject to the oversight of the AIFM, based on, among other things, the input of independent third-party valuation providers ("**IVPs**") that have been engaged to support the valuation of such Investments. However, the Investment Manager may use these independent valuation firms to review the value of AGI ELTIF Fund's Investments more frequently, including in connection with the occurrence of significant events or changes in value affecting a particular Investment.

Investments in AGI ELTIF Fund's portfolio that do not have a readily available market value (i.e., substantially all of its Investments) are valued at fair value as determined in good faith by the Investment Manager, as described herein. As part of the valuation process for investments that do not have readily available market prices, the Investment Manager may take into account the following types of factors, if relevant, in determining the fair value of the AGI ELTIF Fund's Investments: the enterprise value of a portfolio company (the entire value of the portfolio company to a market participant, including the sum of the values of debt and equity securities used to capitalize the enterprise at a point in time), the nature and realizable value of any collateral, the portfolio company's ability to make payments and its earnings and discounted cash flow, the markets in which the portfolio company does business, a comparison of the portfolio company's securities to any similar publicly traded securities, changes in the interest rate environment and the credit markets, which may affect the price at which similar investments would trade in their principal markets and other relevant factors. When an external event such as a purchase transaction, public offering or subsequent sale occurs, the Investment Manager considers the pricing indicated by the external event to corroborate its valuation.

Due to the inherent uncertainty of determining the fair value of Investments that do not have a readily available market value, the fair value of the Investments may fluctuate from period to period. Additionally, the fair value of the Investments may differ significantly from the values that would have been used had a ready market existed for such investments and may differ materially from the values that AGI ELTIF Fund may ultimately realize. Further, such Investments are generally subject to legal and other restrictions on resale or otherwise are less liquid than publicly traded securities. If AGI ELTIF Fund is required to liquidate an Investment in a forced or liquidation sale, AGI ELTIF Fund could realize significantly less than the value at which AGI ELTIF Fund has recorded it. In addition, changes in the market environment and other events that may occur over the life of the Investments

may cause the gains or losses ultimately realized on these Investments to be different than the unrealized gains or losses reflected in the valuations currently assigned.

The Investment Manager, subject to the oversight of the AIFM, undertakes a multi-step valuation process each quarter, as described below:

- The Investment Manager's quarterly valuation process begins with a preliminary valuation being prepared by the investment professionals responsible for the Investment in conjunction with its valuation team;
- Preliminary valuations will be reviewed and discussed by the valuation committee of the Investment Manager;
- The Investment Manager will provide all relevant information related to the Investments for the IVP to independently provide positive assurance on the valuation approach and inputs (monthly), provide positive assurance on the valuation of all positions (quarterly), and estimate a range of fair values (at least semi-annually) for each Investment;
- Monthly, the IVP reviews and analyses the data provided by the Investment Manager, including the reasonableness of the valuation approach, as well as the mathematical accuracy and the appropriateness and supportability of inputs and assumptions, and provides positive assurance on the valuation approach and inputs;
- Quarterly, the IVP reviews and analyses the information provided by the Investment Manager, along with relevant market and economic data, and provides positive assurance on the valuation of all positions;
- At least semi-annually, the IVP independently determines a range of fair values for each of the Investments;
- The IVP provides a report for all Investments reviewed to the Investment Manager containing the IVP's conclusions from the positive assurance procedures or the independent range of value analysis, whichever is applicable for the period; and
- The valuation committee of the Investment Manager determines the fair value of each Investment without a readily available market quotation in good faith based on, among other things, the input of the IVPs, where applicable.

When the Investment Manager determines the fair value of each Investment as of the last day of a month that is not also the last day of a calendar quarter, the Investment Manager intends to update the value of securities with reliable market quotations to the most recent market quotation. For securities without reliable market quotations, the Investment Manager will generally value such assets at the most recent quarterly valuation unless the Investment Manager determines that a significant observable change has occurred since the most recent quarter end with respect to the Investment (which determination may be as a result of a material event at a portfolio company, material change in public equity valuations, secondary market transaction in the securities of an investment or otherwise). If the Investment Manager determines such a change has occurred with respect to one or more Investments, the Investment Manager will determine whether to update the fair value for each relevant Investment.

VIII. DISTRIBUTIONS

AGI ELTIF Fund intends to declare monthly distributions as authorized by the Investment Manager (as the delegate of the Board of Directors) and pay such distributions to Shareholders of record on a monthly basis. Accumulation Sub-Classes are not entitled to any distribution payments, unless the Investment Manager (as the delegate of the Board of Directors) determines that a distribution shall be made. AGI ELTIF Fund cannot guarantee that it will make distributions.

Any distributions will be made at the discretion of the Board of Directors (or its delegate) which may, for the avoidance of doubt, be exercised differently for each Class of Shares, provided that such discretion is exercised reasonably and in the best interests of Shareholders in the relevant Class after considering factors such as earnings, cash flow, capital needs, taxes and general financial condition and the requirements of applicable law. As a result, AGI ELTIF Fund's distribution rates and payment frequency may vary from time to time. There is no assurance AGI ELTIF Fund will pay distributions in any particular amount, if at all. Any declaration of distributions to Shareholders will be made in accordance with the 1915 Law and the 2010 Law.

Shareholders of record as of the record date will be eligible for distributions declared. The per Share amount of distributions on each Class of Shares may differ because of different Class-specific Servicing Fees that may be deducted from the gross distributions for each Class. Specifically, distributions on Class A Shares and Class FA Shares would be lower than distributions on Class C Shares, Class D Shares, Class E Shares, Class FI Shares, Class G Shares, Class G1 Shares, Class I Shares, Class R Shares, Class R1 Shares and Class R2 Shares (and, to a lesser extent, Class B Shares) because AGI ELTIF Fund is required to pay ongoing Servicing Fees (or, in respect of Class B Shares, a higher amount of Servicing Fees) with respect to the Class A Shares and Class FA Shares compared to Class C Shares, Class D Shares, Class E Shares, Class G Shares, Class G1 Shares, Class I Shares, Class R Shares, Class R1 Shares and Class R2 Shares (and, to a lesser extent Class B Shares).

Shareholders holding Shares with a functional currency other than Euro are exposed to fluctuations of the Euro foreign exchange rate and/or hedging costs, which may lead to variations on the amount to be distributed.

The proceeds generated by the assets contained in the AGI ELTIF Fund's portfolio, which comprise of (i) proceeds that the Investments are regularly producing and/or (ii) capital appreciation realized after the disposal of an Investment, may be distributed by AGI ELTIF Fund, to the extent such proceeds are not required for future commitments of AGI ELTIF Fund, in each case as determined by the Board of Directors or its delegate in its sole discretion.

IX. MANAGEMENT AND ADMINISTRATION OF AGI ELTIF FUND

Ares

Ares Management Corporation (NYSE: ARES) is a publicly traded, global alternative investment manager.

Ares was built upon the fundamental principle that each group benefits from being part of the broader platform. Ares believes the synergies resulting from collaboration across the platforms provide its professionals with more informed decision making as a result of shared industry experience, management relationships, and market insights, access to significant deal flow and a broader opportunity set, and the ability to assess relative value. Since its inception in 1997, Ares has adhered to a disciplined investment philosophy that focuses on delivering attractive risk-adjusted investment returns through market cycles.

The Investment Manager

The AIFM has delegated its portfolio management function regarding AGI ELTIF Fund to Ares Capital Management II LLC, the Investment Manager pursuant to the terms of the Investment Management Agreement. The Investment Manager has discretion to make Investments on behalf of AGI ELTIF Fund.

Ares Capital Management II LLC, 245 Park Avenue, 44th Floor, New York, New York 10167, is registered as an investment adviser with the SEC under the Advisers Act, and is an indirect wholly-owned subsidiary of Ares. The Investment Manager is responsible for initiating, structuring and negotiating AGI ELTIF Fund's Investments. In addition, the Investment Manager actively manages each Investment to seek to maximize cash flow and, ultimately, the value of each Investment.

The investment committee of AGI ELTIF Fund is comprised of senior and experienced investment professionals at Ares (the "**AGI Investment Committee**"). All Investments led by AGI are reviewed and approved by the AGI Investment Committee. The composition of the AGI Investment Committee is available at the registered office of AEFS SICAV.

The AGI Investment Committee process emphasizes a consensus-based approach to portfolio selection among the members and is the same process that Ares has adopted since inception.

The Sub-Investment Manager

The Investment Manager has delegated the portfolio management of certain Debt and Other Instruments to Ares Management Limited, the Sub-Investment Manager, pursuant to the terms of the Sub-Investment Management Agreement. The Debt and Other Instruments sleeve will be managed by the Investment Manager and the Sub-Investment Manager, and the Investment Manager will have the ability to determine the Debt and Other Instruments that will be managed by the Sub-Investment Manager, subject to the supervision of the AIFM. The primary investment focus of the Sub-Investment Manager will be investments in certain Debt and Other Instruments.

The Sub-Investment Manager is an affiliate of Ares and is authorized and regulated by the FCA.

In consideration for its services, the Sub-Investment Manager will be entitled to receive a fee payable by the Investment Manager in an amount to be agreed between the Investment Manager and the Sub-Investment Manager from time to time.

Non-Exclusivity

The functions and duties which the Investment Manager, the Sub-Investment Manager and/or any of their affiliates undertake on behalf of AGI ELTIF Fund will not be exclusive and they perform similar functions and duties for themselves and for others and, without limitation, act as manager, investment advisor, general partner (or equivalent) in respect of other funds, accounts or other products.

X. REGULATORY CONSIDERATIONS

AIFM Directive Leverage.

The AIFM has established a maximum level of leverage for AGI ELTIF Fund, applying both the gross and commitment calculation methods described in the AIFM Rules, relative to the NAV of AGI ELTIF Fund of 500% and 400%, respectively (the “**AIFM Rules Leverage Restrictions**”). Compliance with the AIFM Rules Leverage Restrictions will be determined on a quarterly basis. If these AIFM Rules Leverage Restrictions were ever exceeded after leverage has been incurred by AGI ELTIF Fund, the Investment Manager will make commercially reasonable efforts to bring AGI ELTIF Fund’s exposure back into compliance with the maximum level of leverage, but such event will not constitute a breach of an investment restriction adopted by AGI ELTIF Fund or a “trade error” for any purpose. The AIFM may increase AGI ELTIF Fund’s maximum leverage exposure from time to time. If the AIFM increases such maximum level of exposure, it will provide notice in writing to Shareholders in the next regularly scheduled notice to Shareholders.

Liquidity Management Tools

With respect to the liquidity management tools (each a “**LMT**”) listed under Annex V to the AIFM Directive, the AIFM may use the following LMTs with respect to AGI ELTIF Fund: (i) extension of notice periods in accordance with Section V: “*Subscriptions, Redemptions and Other Transactions*” of this Annex and (ii) redemptions in kind in accordance with Subsection 5: “*Payment of the Redemption Price in Kind*” of Section V: “*Subscriptions, Redemptions and Other Transactions*” of the General Section of the Prospectus. The AIFM shall only use redemptions in kind as a LMT for AGI ELTIF Fund to satisfy Redemptions Requests submitted by Professional Investors.

The AIFM will only use the suspension of redemptions and subscriptions as an additional LMT in “*exceptional circumstances*”, as such term is defined in the ESMA Guidelines on liquidity management tools (LMTs) of UCITS and open-ended AIFs. Notwithstanding anything to the contrary in this Prospectus, the AIFM may suspend redemptions without simultaneously suspending subscriptions in all other circumstances, as detailed in this Annex.

The AIFM may use additional LMTs listed under Annex V of the AIFM Directive from time to time, as further communicated to investors, and LMTs that are not listed under Annex V of the AIFMD Directive including without limitation, the Early Redemption Deduction, the Redemption Fee and the Redemption Limitation, as further detailed in this Annex. For the avoidance of doubt, the AIFM may use all LMTs (other than the suspension of redemptions and subscriptions) during both normal and stressed market conditions.

ELTIF Rules – Right to cancel subscription request

In accordance with the ELTIF Rules, prospective Shareholder who are Retail Investors will have the right to cancel their subscription request without penalty within fourteen (14) calendar days following the date on which their subscription request was made.

ELTIF Rules – Level of UCITS Eligible Assets and Redemption

For the purpose of article 18(2)(d) of the ELTIF Regulation, the maximum percentage of UCITS Eligible Assets that can be used for redemptions purposes on any Redemption Date, is set out in accordance with Annex I of the ELTIF RTS based on intended quarterly redemption frequency and a one month prior notice period (the “**Reference Percentage**”). The Reference Percentage, as referred to in Article 18(2)(d) of the ELTIF Regulation, has been calibrated to the maximum allowed under the approach of Article 5(5)(a) of the ELTIF-CDR and Annex I (Option 1) thereto (27.3%).

Subject to the Redemption Limitation set out in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” of this Annex, the maximum amount of aggregate redemptions in AGI ELTIF Fund on any Redemption Date (the “**ELTIF Redemption Limit**”) will be limited in all cases to the amount determined in accordance with Article 5(6) of the ELTIF-CDR and equal to the Reference Percentage applicable at that time multiplied by the sums of: (a) the aggregate NAV of UCITS Eligible Assets on that Redemption Date, (b) expected cash flow to be generated by all Investments forecasted over the 12 month period following the relevant Redemption Date (excluding any expected realizations of Investments in such period), (c) subscriptions for Shares received prior to the relevant Redemption Date and forecasted to be received at the immediately following Subscription Date and (d) any amounts that are available for drawdown under credit facilities, revolving

credit lines, or other similar financing arrangements for the benefit of AGI ELTIF Fund, in each case as determined by the Investment Manager or its delegate in its sole discretion.

XI. RISK FACTORS AND OTHER CONSIDERATIONS

Most of the following risk factors apply both to AGI and to any relevant Other Ares Funds in which AGI invests (directly or indirectly). Therefore, potential Shareholders should assume references to AGI include references to Other Ares Funds unless the context indicates otherwise. A more detailed description of the relevant Other Ares Funds' investment strategies, policies and restrictions, as well as a description of certain risks of investing therein, is included in the relevant Other Ares Funds' offering documents. Prospective investors are advised to consult the offering documents of such Other Ares Funds, which are available upon request at awmseurope@aresmgmt.com as well as at the registered office of AEFS SICAV.

Risk Factors Relating to an Investment in AGI

General Investment Risks.

Neither the AIFM nor the Investment Manager can provide assurance that it will be able to source, choose, make and/or realize any particular investment or the investment strategy of AGI in general. Further, there can be no assurance that AGI will be able to generate returns for its investors or that the returns will be commensurate with the risks of investing in the types of companies, assets and transactions described herein or that such returns will be comparable to AGI's targeted returns. The marketability and value of any such investment will depend upon many factors beyond the control of AGI, the Investment Manager and the AIFM. The expenses of AGI have the potential to exceed its income. AGI will bear its allocable share of the expenses of transactions that are not consummated, including any break-up fees. As a result, AGI could incur a substantial cost with no opportunity for a return. A Shareholder could lose the entire amount of its investment, and therefore a Shareholder should only invest in AGI if it can withstand a total loss of its investment. An investment in AGI is speculative and involves a high degree of risk. AGI's performance may be volatile and Shareholders could incur a total or substantial loss of their investment. There can be no assurance that projected or targeted returns for AGI will be achieved.

AGI has limited prior operating history.

AGI is a collection of recently formed special purpose entities and has limited prior operating history or track record, and will be entirely dependent on the Investment Manager and the AIFM. While the principals of the Investment Manager and the AIFM (the "**Principals**") may have previous experience making and managing investments similar to those contemplated by AGI, there can be no assurance that AGI's Investments will achieve results similar to those attained by previous investments of the Principals. In addition, AGI's Investments may differ from previous investments made by the Principals in a number of respects, including target return levels, level of risk associated with a particular investment, amount invested in a particular company, types of companies within a particular industry sector, amount of leverage used, structure, and holding period.

Risks Associated with the Euro.

The functioning of the Euro as a single currency across the diverse economies comprising the Eurozone has sustained considerable pressure as the result of the global financial crisis and other subsequent macroeconomic events. The situation, particularly in those countries where sovereign default is perceived to be most likely, may continue to deteriorate. It is therefore possible that the Euro may cease to be the national currency of some or even all of the countries comprising the Eurozone. If this were to occur, fluctuations in currency exchange rates of the new local currencies may cause borrowers in such countries to find it more difficult to meet their Euro repayment obligations and investors in such countries may find that the cost of meeting their commitment to AGI increases by virtue of a comparatively valuable Euro. These events are unprecedented and it is difficult to predict with any certainty the consequences of such events on AGI and its Investments.

Deployment of Capital.

In light of the nature of AGI's continuous offering in relation to AGI's investment strategy and the need to be able to deploy potentially large amounts of capital quickly to capitalize on potential investment opportunities, if AGI has difficulty identifying and purchasing suitable Investments on attractive terms, there could be a delay between the time it receives net proceeds from the sale of Shares in this offering or any private offering and the time AGI invests the net proceeds. AGI may also from time to time hold cash pending deployment into Investments or have less than its targeted leverage, which cash or shortfall in target leverage may at times be significant, particularly at times when AGI is receiving high amounts of offering proceeds and/or times when there are few attractive investment opportunities. Such cash may be held in an account for the benefit of Shareholders that may be invested in money market accounts or other similar temporary investments, each of which are subject to the Management Fee.

In the event AGI is unable to find suitable Investments such cash may be maintained for longer periods which would be dilutive to overall investment returns. This could cause a substantial delay in the time it takes for a Shareholder's investment to realize its full potential return and could adversely affect AGI's ability to pay regular distributions of cash flow from operations to you. It is not anticipated that the temporary Investment of such cash into money market accounts or other similar temporary Investments pending deployment into Investments will generate significant interest, and Shareholders should understand that such low interest payments on the temporarily invested cash may adversely affect overall returns. In the event AGI fails to timely invest the net proceeds of sales of Shares or does not deploy sufficient capital to meet its targeted leverage, AGI's results of operations and financial condition may be adversely affected.

Sourcing and Payment of Distributions.

AGI has not established a minimum distribution payment level, and AGI's ability to make distributions to its Shareholders may be adversely affected by a number of factors, including the risk factors described in the Prospectus or this Annex as well as the Other Ares Funds in which AGI invests' abilities to make distributions to their respective investors. The Other Ares Funds in which AGI invests each have a limited track record and may not generate sufficient income to make distributions to the Shareholders.

The Board of Directors (or its delegate) will make determinations regarding distributions based upon, among other factors, AGI's financial performance, debt service obligations, debt covenants, tax requirements and capital expenditure requirements. Among the factors that could impair AGI's ability to make distributions to its Shareholders are:

- AGI's inability to invest the proceeds from sales of Shares on a timely basis;
- AGI's inability to realize attractive risk-adjusted returns on the Investments;
- high levels of expenses or reduced revenues that reduce AGI's cash flow or non-cash earnings; and
- defaults in AGI's investment portfolio or decreases in the value of the Investments.

As a result, AGI may not be able to make distributions to its Shareholders at any time in the future, and the level of any distributions AGI does make to Shareholders may not increase or even be maintained over time, any of which could materially and adversely affect the value of a Shareholder's investment.

AGI may not generate sufficient cash flow from operations to fully fund distributions to Shareholders, particularly during the early stages of AGI's operations. Therefore, AGI may fund distributions to the Shareholders from sources other than current income from Investments or cash flow from operations, including, without limitation, the sale of assets, borrowings, return of capital or offering proceeds (including from sales from Shares or Aggregator units). The extent to which AGI pays distributions from sources other than current income from Investments or cash flow from operations will depend on various factors, including the level of participation in AGI's Accumulation Sub-Classes, the extent to which the Investment Manager, the AIFM and the Recipient (and/or such other combination of persons as the Investment Manager may designate), as applicable, elect to receive Management Fee and/or Performance Fee in Shares or units of the Aggregator, how quickly AGI invests the proceeds from this and any future offering and the performance of AGI's Investments. Funding distributions from the sales of assets, borrowings, return of capital or proceeds of the offering will result in AGI having less funds available to acquire Investments. As a result, the return a Shareholder realizes on its investment may be reduced. Doing so may also negatively impact AGI's ability to generate cash flows. Likewise, funding distributions from the sale of additional securities will dilute a Shareholder's interest in AGI on a percentage basis and may impact the value of its investment especially if AGI sells these securities at prices less than the price such Shareholder paid for its Shares. AGI may be required to continue to fund AGI's regular distributions from a combination of some of these sources if the Investments fail to perform, if expenses are greater than AGI's revenues or due to numerous other factors. AGI has not established a limit on the amount of its distributions that may be paid from any of these sources.

To the extent AGI borrows funds to pay distributions, it would incur borrowing costs and these borrowings would require a future repayment. The use of these sources for distributions and the ultimate repayment of any liabilities incurred could adversely impact AGI's ability to pay distributions in future periods, decrease AGI's NAV, decrease the amount of cash AGI has available for operations and new Investments and adversely impact the value of a Shareholder's investment.

AGI may also defer operating expenses or pay expenses (including the fees of the Investment Manager or the Recipient) with Shares or units of the Aggregator in order to preserve cash flow for the payment of distributions. The ultimate repayment of these deferred expenses could adversely affect AGI's operations and reduce the future

return on a Shareholder's investment. AGI may redeem Shares or redeem units of the Aggregator from the Investment Manager or the Recipient shortly after issuing such units or Shares as compensation. The payment of expenses in Shares or with units of the Aggregator will dilute a Shareholder's ownership interest in AGI's portfolio of assets. There is no guarantee any of AGI's operating expenses will be deferred and the Investment Manager, the AIFM and the Recipient are under no obligation to receive future fees or distributions in Shares, units of the Aggregator and may elect to receive such amounts in cash.

In-Kind Remuneration to the Investment Manager, the AIFM, the Recipient and/or such other person or combination of persons as the Investment Manager may designate.

The Investment Manager, the Recipient, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, may choose to receive Shares or units of the Aggregator in lieu of certain fees or distributions. The holders of all units of the Aggregator are entitled to receive cash from operations pro rata with the distributions being paid to AGI and such distributions to the holder of units of the Aggregator will reduce the cash available for distribution to AGI and to its Shareholders. Furthermore, under certain circumstances, units of the Aggregator held by the Investment Manager, the AIFM, the Recipient and/or such other person or combination of persons as the Investment Manager may designate, may be required to be redeemed in cash at the relevant holder's election, and there may not be sufficient cash to make such a redemption payment; therefore, AGI may need to use cash from operations, borrowings, offering proceeds or other sources to make the payment, which will reduce cash available for distribution to Shareholders or for their investment in AGI's operations. Redemptions of Shares or the Aggregator units from the Investment Manager, the Recipient, the AIFM and/or such other person or combination of persons as the Investment Manager may designate, paid to the relevant entity as a Management Fee or Performance Fee are not subject to the quarterly volume limitations, any Early Redemption Deduction or any Redemption Fee, and such sales receive priority over other Shares being put for redemption during such period.

Reinvestment of Distributions.

Shareholders that subscribe for Accumulation Sub-Class Shares will, in lieu of receiving cash distributions, have any such amounts reinvested in such Class by way of capitalizing such amounts into the NAV of the then existing Shares of such Class unless the Board of Directors (or its delegate) determines that a distribution shall be made.

No Right to Control AGI.

The Sponsor will have exclusive responsibility for AGI's activities, and, other than as set forth herein and in the Articles, Shareholders will not be able to make Investments or any other decisions concerning the management of AGI. Shareholders have no rights or powers to take part in the management of AGI or make investment decisions and will not generally receive the amount of any Portfolio Entity's financial information that is generally available to the AIFM. The AIFM will generally have sole and absolute discretion in structuring, negotiating and purchasing, financing and eventually divesting Investments on behalf of AGI (subject to specified exceptions). Accordingly, no person should purchase a Share unless such person is willing to entrust all aspects of the management of AGI to the AIFM.

Lack of Liquidity.

There is no current public trading market for the Shares, and the Sponsor does not expect that such a market will ever develop. Therefore, redemption of Shares by AGI will likely be the only way for a Shareholder to dispose of its Shares. AGI expects to redeem Shares at a price equal to the applicable NAV as of the Redemption Date and not based on the price at which such Shareholder initially purchased its Shares. Investors should note that they will not be able to request the redemption of their Shares until the end of the Minimum Holding Period.

Subject to limited exceptions, Shares of certain Share Classes (as set out in Section V: "*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*" of this Annex) that are redeemed within twenty-four (24) months of the date of issuance will be redeemed at 95% of the applicable NAV as of the Redemption Date. Redemptions of Class D Shares, Class E Shares, Class G Shares and Class G1 Shares may be subject to a Redemption Fee of 5% of the NAV of the Shares being redeemed, as determined by the Investment Manager in its sole discretion from time to time. As a result, a Shareholder may receive less than the price such Shareholder paid for its Shares when it redeems its Shares pursuant to AGI's redemption program. See Section V: "*Subscriptions, Redemptions and Other Transactions—Early Redemption Deduction and Redemption Fee*" of this Annex.

The aggregate NAV of total redemptions (on an aggregate basis (without duplication) across AGI, including redemptions at all Parallel Entities and the Aggregator, but excluding any Early Redemption Deduction or any Redemption Fee applicable to the redeemed Shares) is generally limited to 5% of aggregate NAV per calendar

quarter of all Parallel Entities and the Aggregator (measured as of the last calendar day of the previous calendar quarter), except in the event of exceptional circumstances described in this Annex and/or if the ELTIF Redemption Limit provides for a lower percentage of the aggregate NAV on the relevant Redemption Date as calculated and described under Section X: “Regulatory Consideration – ELTIF Rules – Level of UCITS Eligible Assets and Redemption” of this Annex. The foregoing limitation on redemptions is based on net redemptions during the relevant calendar quarter, unless otherwise notified to Shareholders pursuant to the Annex.

In exceptional circumstances and not on a systematic basis, AGI ELTIF Fund may make exceptions to, modify or suspend, in whole or in part, the redemption program (including, for the avoidance of doubt but not limited to, extending redemption notice periods (i.e., modifying the Redemption Cut-Off Time)) if in the Investment Manager’s reasonable judgment it deems such action to be in AGI’s best interest and the best interest of AGI’s investors as a whole, such as when redemptions are unable to be made in Other Ares Funds in which AGI is directly or indirectly invested, when redemptions of Shares would place an undue burden on AGI’s liquidity, adversely affect AGI’s operations, risk having an adverse impact on AGI that would outweigh the benefit of redemptions of Shares or as a result of legal or regulatory changes and/or in case of suspension of the NAV as further described in Section VI: “*Calculation of Net Asset Value*” of the General Section of the Prospectus. Modifications of the Redemption Cut-Off Time and material modifications intended to reduce available liquidity, including any reduction to the Redemption Limitation and suspensions of the redemption program, will be promptly disclosed to Shareholders. If the redemption program is suspended, the Investment Manager will be required to evaluate on a monthly basis whether the continued suspension of the redemption program is in AGI’s best interest and the best interest of AGI’s investors.

In the event that, pursuant to the limitation above, not all of the Shares submitted for redemption during a given quarter are to be accepted for redemption by AGI ELTIF Fund, Shares submitted for redemption during such quarter will be redeemed on a pro rata basis (measured on an aggregate basis (without duplication) across AGI if applicable). Unsatisfied Redemption Requests will be automatically resubmitted for the next available Redemption Date in the manner as described above in Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” of this Annex. Settlements of any redemptions will generally be made by the relevant Settlement Date, i.e. within two (2) Business Days from the relevant NAV Release Date (e.g., a Shareholder requesting a September 30th redemption would generally be expected to receive a settlement on or around October 26th of the same year), *provided* that this timing may vary depending on when redemption proceeds are actually received by AGI from the Other Ares Funds, to the extent AGI is invested in any such Other Ares Funds. As a result, a Shareholder will experience significant delays in realizing liquidity even when its Redemption Request is accepted.

The vast majority of AGI’s assets are expected to consist of Investments that cannot generally be readily liquidated without impacting AGI’s ability to realize full value upon their disposition. In addition, if AGI is required to liquidate all or a portion of its portfolio quickly, AGI could realize significantly less than the value at which it has recorded its Investments or could be unable to dispose of its Investments in a timely manner. In addition, AGI may face other restrictions on its ability to liquidate an investment in a portfolio company to the extent that AGI or an affiliated manager of Ares has material non-public information regarding such portfolio company. Furthermore, the lack of liquidity of AGI’s Investments can also make it difficult to determine their fair value for the purposes of calculating AGI ELTIF Fund’s NAV.

Therefore, AGI may not always have a sufficient amount of cash to immediately satisfy Redemption Requests. As a result, a Shareholder’s ability to have its Shares redeemed by AGI may be limited and at times a Shareholder may not be able to liquidate its investment. See Section V: “*Subscriptions, Redemptions and Other Transactions—Redemption of Shares*” of this Annex.

Effect of Redemption Requests.

Economic events affecting the European economy could cause Shareholders to seek to sell their Shares to AGI pursuant to AGI’s redemption program at a time when such events are adversely affecting the performance of AGI’s assets. Even if the Investment Manager decides to satisfy all resulting Redemption Requests, AGI’s cash flow could be materially adversely affected. AGI’s ability to satisfy Redemption Requests of its Shareholders is also determined by the abilities of the Other Ares Funds in which AGI invests to also fulfil redemption requests by their own unitholders, partners or shareholders, as applicable. In addition, if AGI determines to sell assets to satisfy Redemption Requests, it may not be able to realize the return on such assets that it may have been able to achieve had it sold at a more favorable time, and AGI’s results of operations and financial condition, including, without limitation, breadth of its portfolio by property type and location, could be materially adversely affected.

Compulsory Redemptions.

In accordance with the Prospectus and the Articles, the Board of Directors or its delegate may compulsorily redeem all or any part of the Shares of any Shareholder in the circumstances set out in Section V: “*Subscriptions, Redemptions and Other Transactions*” of the Annex or if it discovers at any time that any owner or beneficial owner of the Shares is a Prohibited Person, either alone or in conjunction with any other person, whether directly or indirectly, and upon redemption, the Prohibited Person will cease to be the owner of those Shares.

Any such compulsory redemptions will generally be subject to the same terms as voluntary redemptions of Shareholders (including the limitations imposed thereon), unless otherwise determined by the Board of Directors or its delegate in its sole discretion.

Share Classes subject to delivery versus payment settlement requirements or other similar regulatory limitations may increase recovery risks.

For certain Share Classes subscribed for by Intermediaries who are subject to delivery versus payment settlement requirements or other similar regulatory limitations, subscription requests may be accepted prior to the receipt of cleared funds, but such subscription for such Shares and any allotment or issuance thereof, may be subsequently cancelled due to the circumstances as further set out in Section V “*Subscriptions, Redemptions and Other Transactions*”. Any cost relating to such cancellation shall be at the cost of the relevant investor and/or Intermediary, in each case determined at the discretion of the Board of Directors (or its delegate). However, there may be circumstances (including due to insolvency of the (prospective) investors, unenforceability of indemnification arrangements or other contractual obligations, the exercise of bank resolution powers etc.) which result in the unsuccessful recovery of subscription monies and related costs. To the extent that such recovery is unsuccessful, AGI ELTIF Fund (and indirectly its Shareholders) may ultimately bear such costs and/or losses.

Fees Paid by Advisory Investors.

Shareholders (or their brokers on their behalf) may elect to be treated as “advisory investors” and in connection therewith, by virtue of holding Class A Shares, Class B Shares and Class FA Shares, bear a larger amount of fees than investors that are not “advisory investors” for reporting, administrative and other services provided by such advisory investor’s registered investment adviser, adviser representative or other financial intermediary. Some or all of the Servicing Fee payable in respect of a Class A Shares, Class B Shares and Class FA Shares Shareholder’s investment may be allocated to such Shareholder’s financial intermediary through which such Shareholder was placed in AGI. Any amounts allocated in accordance with the foregoing sentence will compensate such financial intermediary for reporting, administrative and other services provided to a Shareholder by such financial intermediary. The receipt of the Servicing Fee by a Shareholder’s financial intermediary will result in a conflict of interest.

Discretionary Expense Cap.

The Investment Manager or any relevant affiliate thereof may in its sole discretion apply a cap on certain defined Operating Expenses and Organizational and Offering Expenses to be borne by AGI ELTIF Fund (or a specific Class thereof, as applicable) and/or the Aggregator in any given month and defer the payment and/or reimbursement of the expenses in excess of such expense cap to subsequent periods. If such cap is applied, the Investment Manager may remove this cap on such Operating Expenses and Organizational and Offering Expenses at its sole discretion and at such time, AGI ELTIF Fund, the Aggregator and any applicable Parallel Entities (as applicable and as determined by the Investment Manager in its sole discretion) will bear any excess unreimbursed expenses deferred pursuant to the prior sentence and/or any other outstanding unreimbursed amounts of Initial Operating Expenses Support and/or Organizational and Offering Expenses over a period not exceeding 60 months (or such shorter period as may be determined by the Investment Manager) following the date such cap is removed. By subscribing for Shares, Shareholders will be deemed to have acknowledged and agreed that: (i) this discretionary expense cap will lower the Operating Expenses and/or Organizational and Offering Expenses burden on AGI for the period in time the cap is in place (resulting in a greater NAV per Share during such period than would otherwise be the case), and consequently defer expenses to later periods; (ii) they may be required to bear a portion of Organizational and Offering Expenses and/or Operating Expenses relating to periods prior to their admission into AGI ELTIF Fund; (iii) Shareholders redeeming their Shares before the complete reimbursement of Organizational and Offering Expenses and/or Operating Expenses, will bear a lower amount of Organizational and Offering Expenses and/or Operating Expenses than would have otherwise be the case, should the discretionary cap not have been in place; and (iv) Shareholders redeeming their Shares before the Effective Date will bear no Organizational and Offering Expenses and limited Operating Expenses (but will be subject to the Early Redemption Deduction and/or any Redemption Fee, as applicable).

All AGI entities may be jointly responsible for the repayment of AGI indebtedness.

To the extent permitted, AGI may utilize indebtedness secured by Investments by AGI. Indebtedness secured by subscriptions may be structured in a way that the vehicles comprising AGI are jointly responsible on a cross-collateralized basis for the repayment of such indebtedness.

Early termination of AGI.

It is possible that AGI may be dissolved and terminated prematurely and, as a result, may not be able to accomplish its objectives and may be required to dispose of its Investments at a disadvantageous time or make an in-kind distribution (resulting in Shareholders not having their capital invested and/or deployed in the manner originally contemplated).

Multiple Levels of Fees and Expenses.

AGI ELTIF Fund will bear its share of all fees, expenses (including all organizational expenses, offering expenses and operating expenses and investment related expenses), ongoing management and operational fees, administrative expenses, carried interest, management fees or other incentive compensation and other expenses with respect to its Investments in any portfolio funds, including any Other Ares Funds, in each case to the extent applicable and in accordance with their relevant governing documents. This would result in more expenses being borne (indirectly) by Shareholders in AGI than if such Shareholders were able to invest directly in the Other Ares Funds. The management costs (including any management fee) and performance fees (including any carried interest, performance participation allocation or other incentive compensation) may differ from an Other Ares Fund to Other Ares Fund and depend on the relevant Other Ares Fund's strategy.

However, subject to the below, it is not intended for Ares and/or its affiliates to receive carried interest, management fees or other incentive compensation simultaneously at the level of AGI ELTIF Fund and Other Ares Funds. Therefore, no Performance Fee will be charged at the level of AGI ELTIF Fund in respect of its Investments in Other Ares Funds. However, strictly for information purposes only and not as an indication of entitlement in a specific Other Ares Fund, several (but not all) established Other Ares Funds provide for performance participation allocation at a rate up to 12.5%.

AGI ELTIF Fund will also indirectly bear other fees, expenses or deductions in connection with an Investment in or alongside an Other Ares Fund, including any early redemption deduction, redemption fee, liquidity penalty and/or investment related expenses and expenses paid to affiliates of the Sponsor, administrative expenses and other expenses included in the definition of Operating Expenses above as applicable to such Other Ares Fund (to the extent applicable). Notwithstanding anything herein to the contrary, while AGI ELTIF Fund may indirectly bear its share of Underlying Management Fees with respect to any direct or indirect Investment in Other Ares Funds, the AIFM undertakes to reduce or waive its Management Fee or to make other arrangements so that the aggregate of any Management Fees charged to AGI ELTIF Fund together with any Underlying Management Fees paid to the AIFM or its affiliates (or such other combination of persons as the Investment Manager may designate) do not exceed the Management Fees described in Section VI: "*Fees and Expenses of AGI ELTIF Fund — Management Fee*". Notwithstanding the foregoing and with respect to AGI's secondary investments in Other Ares Funds only, AGI ELTIF Fund may pay or otherwise bear carried interest, management fees or other incentive compensation paid to the general partner of such Other Ares Funds.

These various levels of costs and expenses will be charged whether or not the performance of AGI generates positive returns. As a result, AGI, and indirectly the Shareholders, may bear multiple levels of expenses, which in the aggregate would exceed the expenses which would typically be incurred by an investment in a single fund investment, and which would offset AGI's profits. In addition, because of the fees and expenses payable by AGI pursuant to such Investments, its returns on such Investments will be lower than the returns to a direct investor in the Other Ares Fund.

Risks Relating to AGI's Business and Structure

The capital markets may experience periods of disruption and instability. Such market conditions may materially and adversely affect the debt and equity capital markets, which may have a negative impact on our business and operations.

From time to time, capital markets may experience periods of disruption and instability. Such disruptions may result in, amongst other things, write-offs, the re-pricing of credit risk, the failure of financial institutions or worsening general economic conditions, any of which could materially and adversely impact the broader financial and credit markets and reduce the availability of debt and equity capital for the market as a whole and financial services firms in particular. There can be no assurance these market conditions will not occur or worsen in the future, including economic and political events in or affecting the world's major economies, such as the ongoing war between Russia and Ukraine and conflicts in the Middle East. Sanctions imposed by the U.S. and other

countries in connection with hostilities between Russia and Ukraine and the tensions between China and Taiwan have caused additional financial market volatility and affected the global economy. Concerns over future increases in inflation, economic recession, as well as interest rate volatility and fluctuations in oil and gas prices resulting from global production and demand levels, as well as geopolitical tension, have exacerbated market volatility. Market uncertainty and volatility have also been magnified as a result of the 2024 U.S. presidential and congressional elections and resulting uncertainties regarding actual and potential shifts in U.S. and foreign, trade, economic and other policies, including with respect to treaties and tariffs. The United States has recently enacted and proposed to enact significant new tariffs, including on Mexican, Canadian and Chinese goods. Additionally, the new presidential administration has directed various federal agencies to further evaluate key aspects of U.S. trade policy and there has been ongoing discussion and commentary regarding potential significant changes to U.S. trade policies, treaties and tariffs. Please refer to Section XVI: “Risk Factors, Potential Conflicts of Interest and Other Considerations – *Significant Developments Stemming from the U.S. Presidential Administration*” of the General Section of the Prospectus for further details.

Volatility and dislocation in the capital markets can create a challenging environment in which to raise or access equity or debt capital. Such conditions could make it difficult to extend the maturity of or refinance any future indebtedness or obtain new indebtedness with similar terms and any failure to do so could have a material adverse effect on AGI’s business. The debt capital that will be available to AGI in the future, if at all, may continue to be at a higher cost, including as a result of the current interest rate environment, and on unfavorable terms and conditions. If AGI is unable to raise or refinance debt, then AGI’s equity investors may not benefit from the potential for increased returns on equity resulting from leverage and AGI may be limited in AGI’s ability to make commitments to AGI’s portfolio companies.

Significant disruption or volatility in the capital markets may also have a negative effect on the valuations of AGI’s future investments. While most of AGI’s Investments are not expected to be publicly traded, applicable accounting standards requires AGI to assume as part of AGI’s valuation process that AGI’s Investments are sold in a principal market to market participants (even if AGI plans on holding an investment through its maturity). Significant disruption or volatility in the capital markets may also affect the pace of AGI’s investment activity and the potential for liquidity events involving AGI’s Investments. Thus, the illiquidity of AGI’s Investments may make it difficult for AGI to sell such investments to access capital if required, and as a result, AGI could realize significantly less than the value at which AGI has recorded AGI’s Investments if AGI was required to sell them for liquidity purposes. An inability to raise or access capital could have a material adverse effect on AGI’s business, financial condition or results of operations.

AGI is dependent upon certain key personnel of the Investment Manager for AGI’s future success and upon their access to other Ares investment professionals.

AGI depends on the diligence, skill, judgment, network of business contacts and personal reputations of certain key personnel of the Investment Manager and the Sub-Investment Manager, including Ares’ infrastructure opportunities team, and AGI’s future success depends on their continued service. AGI also depends, to a significant extent, on access to the investment professionals of the AIFM and other groups within Ares, the information and deal flow generated by Ares’ investment professionals in the course of their investment and portfolio management activities, as well as the support of senior business operations professionals of Ares.

The departure or misconduct of any of these individuals, or of a significant number of the investment professionals or partners of Ares, could have a material adverse effect on AGI’s business, financial condition or results of operations. In addition, AGI cannot assure you that Ares Capital Management II will remain the Investment Manager or that AGI will continue to have access to Ares’ investment professionals or its information and deal flow. Further, there can be no assurance that AGI will replicate the historical success of Ares or Ares’ other funds, and caution the Shareholders that AGI’s investment returns could be substantially lower than the returns achieved by Other Ares Funds.

AGI’s financial condition and results of operations depend on AGI’s ability to manage future growth effectively.

AGI’s ability to achieve AGI’s investment objective depends on AGI’s ability to acquire suitable investments and monitor and administer those investments, which depends, in turn, on the Investment Manager’s ability to identify, invest in and monitor companies that meet AGI’s investment criteria.

Accomplishing this result on a cost-effective basis is largely a function of the structuring of AGI’s investment process and the ability of the Investment Manager to provide competent, attentive and efficient services to AGI.

The members of the AGI Investment Committee have substantial responsibilities in connection with their roles at Ares and with Other Ares Funds. They may also be called upon to provide significant managerial assistance to AGI's portfolio companies. These demands on their time, which will increase as the number of investments grow, may distract them or slow the rate of investment. In order for AGI to grow, Ares will need to hire, train, supervise, manage and retain new employees. However, AGI cannot assure Shareholders that Ares will be able to do so effectively. Any failure to manage AGI's future growth effectively could have a material adverse effect on its business, financial condition and results of operations.

AGI's ability to grow depends on AGI's ability to raise capital.

AGI will need to periodically access the capital markets to raise cash to fund new investments in excess of AGI's distributions, and AGI may also need to access the capital markets to refinance any future debt obligations to the extent such maturing obligations are not repaid with availability under AGI's revolving credit facilities or cash flows from operations. AGI intends to borrow from financial institutions and issue additional securities to fund AGI's growth. Unfavorable economic or capital market conditions may increase AGI's funding costs, limit AGI's access to the capital markets or could result in a decision by lenders not to extend credit to AGI. An inability to successfully access the capital markets may limit AGI's ability to refinance AGI's debt obligations as they come due and/or to fully execute AGI's business strategy and could limit AGI's ability to grow or cause AGI to have to shrink the size of AGI's business, which could decrease AGI's earnings, if any. See above "*The capital markets may experience periods of disruption and instability. Such market conditions may materially and adversely affect the debt and equity capital markets, which may have a negative impact on AGI's business and operations.*"

AGI may borrow money, which magnifies the potential for gain or loss on amounts invested and may increase the risk of investing in AGI.

Borrowings, also known as leverage, magnify the potential for gain or loss on amounts invested and, therefore, increase the risks associated with investing in AGI's securities. AGI may in the future borrow from or issue senior securities to banks, insurance companies, funds, institutional investors and other lenders and investors. Lenders and holders of such senior securities may have fixed dollar claims on AGI's consolidated assets that will be superior to the claims of the Shareholders or any preferred shareholders. If the value of AGI's consolidated assets increases, then leveraging would cause the NAV per Share of the Shares to increase more sharply than it would have had AGI not incurred leverage.

Conversely, if the value of AGI's consolidated assets decreases, leveraging would cause NAV to decline more sharply than it otherwise would have had AGI not incurred leverage. Similarly, any increase in AGI's consolidated income in excess of consolidated interest payable on the borrowed funds would cause AGI's net income to increase more than it would have had AGI not incurred leverage, while any decrease in AGI's consolidated income would cause net income to decline more sharply than it would have had AGI not incurred leverage. Such a decline could negatively affect AGI's ability to make distributions or repurchase the Shares. There can be no assurance that a leveraging strategy will be successful.

AGI's ability to service AGI's debt depends largely on AGI's financial performance and is subject to prevailing economic conditions and competitive pressures. The amount of leverage that AGI employs at any particular time will depend on the Investment Manager's assessments of market and other factors at the time of any proposed borrowing and is subject to AGI's compliance with AGI's asset coverage requirement following any such borrowing.

Any debt facilities under which AGI may borrow may impose financial and operating covenants that restrict AGI's business activities, including limitations that could hinder AGI's ability to finance additional loans and investments, make distributions or repurchase the Shares.

Please also refer to Section XVI: "Risk Factors, Potential Conflicts of Interest and Other Considerations—Use of Leverage" of the General Section of the Prospectus, for further details on the use of leverage by AGI.

In addition to regulatory requirements that restrict AGI's ability to raise capital, future credit facilities may contain various covenants that, if not complied with, could accelerate repayment under such credit facilities, thereby materially and adversely affecting AGI's liquidity, financial condition and results of operations.

Future agreements governing any credit facilities may require AGI to comply with certain financial and operational covenants. These covenants may include, among other things:

- restrictions on the level of indebtedness that AGI is permitted to incur in relation to the value of AGI's assets;
- restrictions on AGI's ability to incur liens; and
- maintenance of a minimum level of Shareholders' equity.

Compliance with these covenants depends on many factors, some of which are beyond AGI's control. For example, depending on the condition of the public debt and equity markets and pricing levels, unrealized depreciation in AGI's portfolio may increase in the future. Any such increase could result in AGI's inability to comply with an obligation to restrict the level of indebtedness that AGI is able to incur in relation to the value of AGI's assets or to maintain a minimum level of Shareholders' equity.

Accordingly, there are no assurances that AGI will be able to comply with the covenants in any credit facilities AGI enters into. Failure to comply with these covenants could result in a default under such credit facilities, that, if AGI were unable to obtain a waiver from the lenders or holders of such indebtedness, as applicable, such lenders or holders could accelerate repayment under such indebtedness and thereby have a material adverse impact on AGI's business, financial condition and results of operations.

Please also refer to Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations— Use of Leverage*" of the General Section of the Prospectus, for further details on the use of leverage by AGI.

AGI is exposed to risks associated with changes in interest rates, including the current interest rate environment.

General interest rate fluctuations may have a substantial negative impact on AGI's future investments and AGI's future investment returns and, accordingly, may have a material adverse effect on AGI's investment objective and AGI's net investment income.

For example, the U.S. Federal Reserve ("**Federal Reserve**") decreased the federal funds rate multiple times in 2024 after a sustained period of historically high rates and recently decreased it once again in September 2025. Because AGI may borrow money and may issue debt securities or preferred shares to make investments, AGI's net investment income may be dependent upon the difference between the rate at which AGI borrows funds or pay interest or distributions on such debt securities or preferred shares and the rate at which AGI invests these funds. If interest rates rise again, AGI's interest income will increase if the majority of AGI's portfolio bears interest at variable rates while AGI's cost of funds will also increase, which could result in an increase to AGI's net investment income. Conversely, if interest rates continue to decrease, AGI may earn less interest income from investments and AGI's cost of funds will also decrease, to a lesser extent, resulting in lower net investment income. From time to time, AGI may also enter into certain hedging transactions to mitigate AGI's exposure to changes in interest rates. However, AGI cannot assure Shareholders that such transactions will be successful in mitigating AGI's exposure to interest rate risk. There can be no assurance that a significant change in market interest rates will not have a material adverse effect on AGI's net investment income.

High interest rates may also increase the cost of debt for the underlying Investments that AGI may invest in, which could adversely impact their financial performance and ability to meet ongoing obligations to AGI. Also, high interest rates available to investors could make an investment in the Shares less attractive if AGI is not able to pay distributions at a level that provides a similar return, which could reduce the value of the Shares.

AGI's financial condition and results of operations could be negatively affected if a significant investment fails to perform as expected.

AGI's investment portfolio includes investments that may be significant individually or in the aggregate. If a significant investment in one or more companies fails to perform as expected, such a failure could have a material adverse effect on AGI's business, financial condition and operating results, and the magnitude of such effect could be more significant than if AGI had further diversified AGI's portfolio.

Diversification Risk.

AGI may only invest in ELTIF Eligible Investment Assets and UCITS Eligible Assets and is subject to certain portfolio composition and diversification rules set out in the ELTIF Regulation. In particular, AGI may not invest more than (i) 20% of its Capital in instruments issued by, or loans granted to, any single Qualifying Portfolio

Undertaking, (ii) 20% of its Capital directly or indirectly in a single Real Asset, (iii) 20% of its Capital in units or shares of any single ELTIF Eligible Target Fund and (iv) 10% of its Capital in UCITS Eligible Assets where those UCITS Eligible Assets have been issued by any single body.

In addition, AGI ELTIF Fund will not invest and hold more than 10% of its NAV in Collective Investment Undertakings.

The Investment Manager may also impose additional limitations on its discretion based on the underlying investors in AGI.

The portfolio composition rules set out in Section 2 of Appendix C of the Prospectus and the portfolio diversification rules set out in Section 5 of Appendix C of the Prospectus will not apply during the ELTIF Portfolio Ramp-Up Period.

Accordingly, AGI may participate in a limited number of Investments and, as a consequence, the aggregate return of AGI may be substantially adversely affected by the unfavourable performance of even a single Investment. In addition, other than as set forth in Section III: “*Investment Information*” of this Annex, investors have no assurance as to the degree of diversification of the Investments, either by geographic area, asset type or sector. To the extent AGI concentrates Investments in a particular issuer, asset type, industry, security or geographic area, its Investments will become more susceptible to fluctuations in value resulting from adverse economic, political, regulatory, technological, industry and/or business conditions with respect thereto. These risks may be further pronounced where an Investment is secured by a relatively small or less diverse pool of underlying assets. Certain geographic areas and/or industries may be more adversely affected by economic pressures when compared to other geographic areas and/or industries. As a consequence, the aggregate return of AGI may be adversely affected by the unfavorable performance of one or a small number of Investments, or unfavorable developments in one or a small number of countries or industries. Moreover, there are no assurances that any or all of AGI’s Investments will perform well or avoid loss, and if certain Investments perform unfavorably, for AGI to achieve above-average returns, one or a few of its Investments must perform very well. There are no assurances that this will be the case.

There can be no assurance that the Sponsor will be successful in identifying investment opportunities. Although AGI may invest in Other Ares Funds, the investment portfolio of such Other Ares Funds may differ materially in terms of levels of sectoral and geographic diversification from the current investment strategy of AGI.

ELTIF RTS.

On April 9, 2023, the revised European Long-Term Investment Funds Regulation (Regulation (EU) 2023/606) (referred to as “**ELTIF 2.0**”) came into force and is applicable from January 10, 2024. The amendments under ELTIF 2.0 include expansion of the scope of eligible assets and investments, adjustment of the portfolio composition and diversification requirements, increased flexibility on cash borrowing, and removal of a minimum investment threshold for retail investors. Additionally, ELTIF 2.0 stipulates enhanced requirements for the authorization, investment strategies, and operational conditions applicable to European Long-Term Investment Funds. In order for AGI ELTIF Fund to maintain such authorization and ensure compliance with ELTIF 2.0 (as amended and supplemented) and any additional conditions imposed by individual EEA member states where AGI ELTIF Fund is marketed, the AIFM may incur additional costs, to be borne by AGI ELTIF Fund. Accordingly, Shareholders will indirectly bear the cost of the AIFM complying with ELTIF 2.0 and any additional requirements imposed by the European Securities and Markets Authority or individual EEA member states. The requirements under ELTIF 2.0 and any future regulatory changes may adversely affect AGI ELTIF Fund’s ability to implement its investment program, conduct its operations and/or achieve its investment objective and subject AGI ELTIF Fund to certain additional costs, expenses and administrative burdens. It is difficult to predict the full extent of the impact of ELTIF 2.0 on AGI ELTIF Fund and the AIFM as the practical application of certain provisions of ELTIF 2.0 is still uncertain and may vary between different EEA member states.

Exposure to non-Eligible Assets.

AGI ELTIF Fund is structured as a European long-term investment fund which complies with the ELTIF Regulation and invests into ELTIF Eligible Investment Assets and UCITS Eligible Assets. However, Shareholders should be aware that AGI ELTIF Fund may be indirectly exposed to assets which may not be ELTIF Eligible Investments. Such exposure may arise, for example, through investments into Other Funds or other structures and arrangements to which AGI ELTIF Fund and the Investment Manager and Sub-Investment Manager have no control or substantive influence over, including investments in Other Ares Funds. This indirect exposure may lead to several risks, including potential regulatory scrutiny for non-compliance with the ELTIF Regulation, limitations on AGI ELTIF Fund’s ability to comply with the ELTIF Regulations, and possible impacts on AGI ELTIF Fund’s performance and liquidity profile – all of which may adversely affect the value of AGI ELTIF Fund and the returns to Shareholders.

ELTIF Portfolio Ramp-up Period.

AGI ELTIF Fund intends to adhere to the portfolio composition and diversification limits set out in the ELTIF Regulation within the date specified in this Annex. However, its ability to do so may be affected by the availability of sufficient investment opportunities. A breach of the ELTIF Portfolio Ramp-Up Period may lead to the disqualification of AGI ELTIF Fund as an ELTIF.

SFDR Categorization.

AGI is intended to be classified as an Article 6 financial product for the purposes of SFDR. There is legal uncertainty around the parameters applicable when categorizing a financial product under SFDR and there is no guarantee that regulators will agree with the relevant characterization. In circumstances where there is a determination that AGI has been characterized incorrectly, there could be a risk of investigation, enforcement proceedings and/or sanctions.

Furthermore, certain SFDR supporting and related regulations are likely to be amended in the near to medium term and new guidance may also be issued by the European Supervisory Authorities. These factors and events have the potential to increase related compliance and other costs which would be borne by AGI. For further information with respect to the potential risks arising from SFDR categorization, please refer to Section XVI: “Risk Factors, Potential Conflicts of Interest and Other Considerations”.

Further information with respect to the SFDR categorization of AGI can be found at Schedule 1: “Sustainability-Related Disclosures” to this Annex.

Increasing scrutiny from stakeholders and regulators with respect to ESG matters may impose additional costs and expose AGI to additional risks.

AGI’s business (including that of AGI’s Investments) faces increasing public scrutiny related to ESG activities. AGI risks damage to AGI’s brand and reputation if AGI fails to act responsibly in a number of areas, including, but not limited to human rights, climate change and environmental stewardship, support for local communities, corporate governance and transparency, or consideration of ESG factors in AGI’s investment processes. Adverse incidents with respect to ESG activities could impact the value of AGI’s brand, AGI’s relationship with existing and future Investments, the cost of AGI’s operations and relationships with investors, all of which could adversely affect AGI’s business and results of operations.

“Anti-ESG” sentiment has gained momentum across the U.S., with a growing number of states, federal agencies, the executive branch and Congress having enacted, proposed or indicated an intent to pursue “anti-ESG” policies, legislation or issued related legal opinions and engaged in related investigations and litigation. If investors subject to anti-ESG legislation view AGI’s investment adviser’s responsible investing or ESG practices as being in contradiction of such “anti-ESG” policies, legislation or legal opinions, such investors may not invest in AGI and it could negatively impact the price of the Shares. If AGI does not successfully manage expectations across varied stakeholder interests, it could erode stakeholder trust, impact AGI’s reputation and constrain AGI’s investment opportunities. Such scrutiny of ESG related practices could expose AGI’s Investment Manager to the risk of litigation, investigations or challenges by federal or state authorities or result in reputational harm.

Moreover, on January 5, 2023, the Corporate Sustainability Reporting Directive (“**CSRD**”) came into effect. The CSRD amends and strengthens the rules introduced on sustainability reporting for companies, banks and insurance companies under the Non-Financial Reporting Directive (2014/95/EU) (“**NFRD**”). The CSRD requires a broader range of companies, including non-EU companies with significant turnover and a legal presence in EU markets, to produce reports on sustainability-related matters within their financial statements. CSRD remains subject to changes and there can be no assurance that developments with respect to CSRD will not adversely affect AGI’s assets or the returns from those assets. One or more of AGI’s Investments may fall within scope of CSRD and this may lead to increased management burdens and costs. There is a risk that a significant reorientation in the market following the implementation of these regulations could be adverse to AGI’s Investments if they are perceived to be less valuable as a consequence of, e.g., their carbon footprint or allegations or evidence of “greenwashing” (i.e., the holding out of a product as having green or sustainable characteristics where this is not, in fact, the case). Please refer to Section XVI: “*Risk Factors, Potential Conflicts of Interest and Other Considerations –European Union Sustainable Finance Initiatives*” of the General Section of the Prospectus for further details.

There is also regulatory interest across jurisdictions in improving transparency regarding the definition, measurement and disclosure of ESG factors in order to allow investors to validate and better understand sustainability claims. For example, the SEC sometimes reviews compliance with ESG commitments in

examinations and has taken enforcement actions against registered investment advisers for not establishing adequate or consistently implementing ESG policies and procedures to meet ESG commitments to investors. In March 2024, the SEC adopted final rules aimed at enhancing and standardizing climate-related disclosures; however these rules are stayed pending the outcome of consolidated legal challenges in the Eighth Circuit Court of Appeals. At the state level, in October 2023, California enacted legislation that will ultimately require certain companies that do business in California to publicly disclose their Scopes 1, 2, and 3 greenhouse gas emissions, with third party assurance of such data, and issue public reports on their climate-related financial risk and related mitigation measures. Compliance with any new laws or regulations increases AGI's regulatory burden and could result in increased legal, accounting and compliance costs, make some activities more difficult, time-consuming and costly, affect the manner in which AGI or AGI's Investments conduct AGI's businesses and adversely affect AGI's profitability.

The effect of global climate change may impact the operations of AGI's Investments.

Climate change is widely considered to be a significant threat to the global economy. AGI's business operations and AGI's Investments may face risks associated with climate change. Infrastructure Assets in particular may be exposed to risks associated with climate change, including "transition risks", such as risks related to the impact of climate-related legislation and regulation (both domestically and internationally), risks related to climate-related business trends (such as the process of transitioning to a lower-carbon economy), and risks stemming from the physical impacts of climate change, such as the increasing frequency or severity of extreme weather events (including wildfires, droughts, hurricanes and floods) and rising sea levels and temperatures. Further, the needs of customers of energy companies vary with weather conditions, primarily temperature and humidity. To the extent weather conditions are affected by climate change, energy use could increase or decrease depending on the duration and magnitude of any changes. Increases in the cost of energy could adversely affect the cost of operations of AGI's Investments if the use of energy products or services is material to their business. A decrease in energy use due to weather changes may affect some of AGI's Investments' financial condition through, for example, decreased revenues. Extreme weather conditions in general require more system backup, adding to costs, and can contribute to increased system stresses, including service interruptions.

Additionally, as consensus builds that global warming is a significant threat, initiatives seeking to address climate change through regulation of greenhouse gas emissions have been adopted by, are pending or have been proposed before international and regional regulatory authorities around the world. More specifically, the Paris Agreement to the United Nations Framework Convention on Climate Change and other regulatory and voluntary initiatives launched by international, federal, state, and regional policymakers and regulatory authorities as well as private actors seeking to reduce GHG emissions may expose Infrastructure Assets to so-called "transition risks" in addition to physical risks, such as: (i) political and policy risks (e.g., changing regulatory incentives and legal requirements, including with respect to GHG emissions, that could result in increased costs or changes in business operations), (ii) regulatory and litigation risks (e.g., changing legal requirements that could result in increased permitting, tax and compliance costs, changes in business operations, increased disclosure obligations or the discontinuance of certain operations, and litigation seeking monetary or injunctive relief related to impacts related to climate change), (iii) technology and market risks (e.g., declining market for Infrastructure Assets, products and services seen as GHG intensive or less effective than alternatives in reducing GHG emissions) and (iv) reputational risks (e.g., risks tied to changing investor, customer or community perceptions of an Infrastructure Asset's relative contribution to GHG emissions). As a result of these impacts from climate-related risks, AGI's Investments may be vulnerable to direct and indirect financial loss and impacts from disruptions to the operations of AGI's Investments. AGI cannot rule out the possibility that climate risks, including changes in weather and climate patterns, could result in unanticipated delays or expenses and, under certain circumstances, could prevent completion of investment activities or the effective management of Infrastructure Assets once undertaken, any of which could have a material adverse effect on AGI's Investments.

Changes in laws or regulations governing AGI's operations or the operations of AGI's Investments, changes in the interpretation thereof or enacted laws or regulations could require changes to certain business practices of AGI or such Investments, negatively impact the operations, cash flows or financial condition of AGI or such Investments, impose additional costs on AGI or such Investments or otherwise adversely affect AGI's business or the business of such Investments.

AGI and AGI's Investments are subject to regulation by laws and regulations at the local, state, federal and, in some cases, foreign levels. These laws and regulations, as well as their interpretation, may be changed from time to time, and new laws and regulations may be enacted. Accordingly, any change in these laws or regulations, changes in their interpretation, or enacted laws or regulations could require changes to certain business practices of AGI or AGI's Investments, negatively impact the operations, cash flows or financial condition of AGI or such

Investments, impose additional costs on AGI or AGI's Investments or otherwise adversely affect AGI's business or the business of such Investments. Over the past several years, there also has been increasing regulatory attention to the extension of credit outside of the traditional banking sector, raising the possibility that some portion of the non-bank financial sector may be subject to new regulations. While it cannot be known at this time whether any regulation will be implemented or what form it will take, increased regulation of non-bank lending could be materially adverse to AGI's business, financial conditions and results of operations.

Regulators are also increasing scrutiny and considering regulation of the use of artificial intelligence technologies. AGI cannot predict what, if any, actions may be taken or the impact such actions may have on AGI's business and results of operations. Please refer to Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations—Advancements in Artificial Intelligence and Machine Learning*" of the General Section of the Prospectus for further details.

In June 2024, the U.S. Supreme Court reversed its longstanding approach under the Chevron doctrine, which provided for judicial deference to regulatory agencies. As a result of this decision, AGI cannot be sure whether there will be increased challenges to existing agency regulations or how lower courts will apply the decision in the context of other regulatory schemes without more specific guidance from the U.S. Supreme Court. For example, the decision could significantly impact consumer protection, advertising, privacy, artificial intelligence, anti-corruption and anti-money laundering practices and other regulatory regimes with which AGI and its portfolio companies are or may be required to comply. Any such regulatory developments could result in uncertainty about and changes in the ways such regulations apply to AGI and its portfolio companies and may require additional resources to ensure continued compliance. AGI cannot predict which, if any, of these actions will be taken or, if taken, their effect on the financial stability of the United States. Such actions could have a significant adverse effect on our business, financial condition and results of operations.

Additionally, legislative or other actions relating to taxes could have a negative effect on AGI. The rules dealing with U.S. federal income taxation are constantly under review by legislators and by the IRS and the U.S. Treasury Department. AGI cannot predict how future tax proposals and changes in U.S. tax laws, rates, regulations or other guidance issued under existing tax laws, might affect AGI, AGI's business, the Shareholders, or AGI's Investments in the long-term. New legislation and any U.S. Treasury regulations, administrative interpretations or court decisions interpreting such legislation could significantly and negatively affect AGI's business or the business of AGI's Investments or could have other adverse consequences. Shareholders are urged to consult with their tax advisor regarding tax legislative, regulatory, or administrative developments and proposals and their potential effect on an investment in AGI's securities.

We are highly dependent on the information systems of Ares and operational risks including systems failures could significantly disrupt our business, result in losses or limit our growth, which may, in turn, negatively affect the NAV of our Shares and our ability to pay distributions.

AGI's business is highly dependent on communications and information systems of Ares, the parent of the Investment Manager, and the Central Administration. The Prospectus sometimes refers to hardware, software, information, and communications systems maintained by Ares and used by AGI, the Investment Manager and/or the Central Administration as "AGI's" systems. AGI also faces operational risk from transactions and key data not being properly recorded, evaluated or accounted for with respect to AGI's Investments. In addition, AGI faces operational risk from errors made in the execution, confirmation or settlement of transactions. In particular, the Investment Manager is highly dependent on its ability to process and evaluate, on a daily basis, transactions across markets and geographies in a time-sensitive, efficient and accurate manner. Consequently, AGI, the Investment Manager and the Central Administration rely heavily on Ares' financial, accounting and other data processing systems.

In addition, AGI operates in a business that is highly dependent on information systems and technology. Ares' and AGI's information systems and technology may not continue to be able to accommodate AGI's growth, and the cost of maintaining the information systems and technology, which may be partially allocated to or borne by AGI, may increase from its current level. Such a failure to accommodate growth, or an increase in costs related to the information systems and technology, could have a material adverse effect on AGI's business and results of operations.

Furthermore, a disaster or a disruption in the infrastructure that supports AGI's businesses, including a disruption involving electronic communications, human resources systems or other services used by AGI, the Investment Manager, the Central Administration or third parties with whom AGI conducts business could have a material adverse effect on AGI's ability to continue to operate AGI's businesses without interruption. Although AGI and

Ares have disaster recovery programs in place, these may not be sufficient to mitigate the harm that may result from such a disaster or disruption. In addition, insurance and other safeguards might only partially reimburse AGI for any losses as a result of such a disaster or disruption, if at all.

AGI and Ares also rely on third-party service providers for certain aspects of AGI's respective businesses, including for certain information systems, technology and administration of AGI's Investments and compliance matters. Operational risks could increase as vendors increasingly offer mobile and cloud-based software services rather than software services that can be operated within Ares' own data centers, as certain aspects of the security of such technologies may be complex, unpredictable or beyond AGI's or Ares' control, and any failure by mobile technology or cloud service providers to adequately safeguard their systems and prevent cyber-attacks could disrupt AGI's operations and result in misappropriation, corruption or loss of confidential, proprietary or personal information. In addition, AGI's counterparties' information systems, technology or accounts may be the target of cyber-attacks. Any interruption or deterioration in the performance of these third parties or the service providers of AGI's counterparties or failures or vulnerabilities of their respective information systems or technology could impair the quality of AGI's funds' operations and could impact AGI's reputation, adversely affect AGI's businesses and limit AGI's ability to grow.

Finally, there continues to be significant evolution and developments in the use of artificial intelligence technologies, including generative artificial intelligence, such as large language models like ChatGPT, Claude and Gemini. We cannot fully determine the impact of such evolving technologies on our business at this time. See also "*Risk Factors — Risk Factors Relating to an Investment in AGI — Changes or innovations in technology could affect the profitability of an Investment that relies on existing technology*" and "*Risk Factors — Risks Relating to the Investments — Artificial Intelligence Developments*" for further details.

Risks Relating to the Investments

Investments in Infrastructure Assets are generally larger, lack liquidity and may be subject to significant regulatory limitations.

Investments in Infrastructure Assets tend to be large due to the general nature and size of such assets. AGI may invest in infrastructure projects including power generation (such as renewable energy and thermal power plants), renewable natural gas, liquified natural gas, transportation, telecommunications, digital infrastructure (such as data centers, fiber optic cables and cell phone towers), midstream and energy infrastructure, regulated utilities, social infrastructure (such as water treatment and management, waste management and recycling) and environmental services sectors (such as carbon capture and storage, soil and air remediation and climate change mitigation). Infrastructure assets may have unique geographic and market characteristics and may be subject to political, regulatory, and public opinion considerations, which could make them highly illiquid. AGI may acquire portfolios of assets that are not easily separated into individual asset acquisitions or dispositions. Accordingly, AGI's investments may be quite sizeable. There are limited pools of capital available in the sector that can make sizeable investments and limited numbers of market participants. As a result, the potential exits from these investments may be limited and there can be no assurance that AGI will be able to realize AGI's investments on favorable terms, in a timely manner or at all. Moreover, the realizable value of a highly illiquid investment may be less than its intrinsic value.

AGI may acquire Investments in the renewable energy industry, which is subject to risks of a rapidly evolving market.

AGI may acquire renewable energy businesses and businesses which use renewable energy assets. The market for renewable energy businesses and businesses which use renewable energy assets continues to evolve rapidly. Diverse factors, including the cost-effectiveness, performance and reliability of renewable energy technology, changes in weather and climate and availability of government subsidies and incentives, as well as the potential for unforeseeable disruptive technology and innovations, present potential challenges to Investments with renewable assets. Renewable resources (e.g., wind, solar, hydro, geothermal, etc.) are inherently variable. Variability may arise from site specific factors, daily and seasonal trends, long-term impact of climatic factors, or other changes to the surrounding environment. Variations in renewable resource levels impact the amount of electricity generated, and therefore cash flow generated, by renewable energy Investments. Renewable power generation sources currently benefit from various incentives in the form of feed-in-tariffs, rebates, tax credits, Renewable Portfolio Standard regulations and other incentives. The reduction, elimination or expiration of government subsidies and economic incentives could adversely affect the cash flows and value of a particular Investment, the flow of potential Investment opportunities and the value of any platform in the sector. In addition, the development and operation of renewable assets may at times be subject to public opposition. For example,

with respect to the development and operation of wind projects, public concerns and objections often center around the noise generated by wind turbines and the impact such turbines have on wildlife. While public opposition is usually of greatest concern during the development stage of renewable assets, continued opposition could have an impact on ongoing operations.

AGI has significant liquidity requirements, and adverse market and economic conditions may adversely affect AGI's sources of liquidity, which could materially and adversely affect AGI's business operations.

AGI expects that AGI's primary liquidity needs will consist of cash required to meet various obligations, including, without limitation, to:

- redeem Shares in connection with AGI's redemption program;
- grow AGI's businesses, including acquiring Investments and otherwise supporting AGI's Investments;
- service any debt obligations including the payment of obligations at maturity, on interest payment dates or upon redemption, as well as any contingent liabilities, including from litigation, that may give rise to future cash payments;
- fund cash operating expenses and contingencies, including for litigation matters; and
- pay any cash distributions, if any.

These liquidity requirements may be significant. AGI commitments to AGI's Investments may require significant cash outlays over time, and there can be no assurance that AGI will be able to generate sufficient cash flows from sales of Shares to investors.

Moreover, in light of the nature of AGI's continuous monthly offering in relation to AGI's acquisition strategy and the need to be able to deploy potentially large amounts of capital quickly to capitalize on potential acquisition opportunities, if AGI has difficulty identifying and purchasing suitable Investments on attractive terms, there could be a delay between the time AGI receives net proceeds from the issuance of Shares and the time AGI uses the net proceeds to acquire Investments. AGI may also from time to time hold cash pending deployment into acquisition opportunities or have less than AGI's targeted leverage, which cash or shortfall in target leverage may at times be significant, particularly at times when AGI is receiving high amounts of subscription proceeds and/or times when there are few attractive acquisition opportunities. Such cash may be held in an account for the benefit of the Shareholders that may be invested in money market accounts or other similar temporary investments, each of which is subject to management fees.

If AGI is unable to find suitable acquisition opportunities, such cash may be maintained for longer periods, which would be dilutive to overall portfolio returns. This could cause a substantial delay in the time it takes for the Shareholders' investment to realize its full potential return and could adversely affect AGI's ability to pay any potential distributions of cash flow from operations to the Shareholders. It is not anticipated that the temporary investment of such cash into money market accounts or other similar temporary investments pending deployment into Investments will generate significant interest, and investors should understand that such low interest payments on the temporarily invested cash may adversely affect overall returns. In the event AGI fails to timely utilize the net proceeds of sales of Shares or do not deploy sufficient capital to meet AGI's targeted leverage, AGI's results of operations and financial condition may be adversely affected.

In the event that AGI's liquidity requirements were to exceed available assets for the reasons specified above or for any other reasons, AGI may increase AGI's indebtedness or be forced to sell assets.

The operation and maintenance of Infrastructure Assets involve significant capital expenditures and various risks, which may not be under AGI's control.

As a general matter, the operation and maintenance of Infrastructure Assets involve significant capital expenditures and various risks, many of which may not be under the control of the owner/operator, including labor issues, political or local opposition, failure of technology to perform as anticipated, technical obsolescence, increasing fuel prices, structural failures and accidents, environment related issues, counterparty non-performance and the need to comply with the directives of government authorities. Optional or mandatory improvements,

upgrades or rehabilitation of infrastructure assets may cause delays or result in closures or other disruptions subjecting an Investment to various risks including lower revenues.

Furthermore, AGI might own Investments that could operate both existing, or “Brownfield,” Infrastructure Assets or businesses and in new, or “Greenfield” Infrastructure Assets or businesses that require significant capital expenditure to complete their development, bring them to fully commissioned and/or cash-flowing status or to otherwise optimize their operational capabilities.

Construction risks typical for “Greenfield” Infrastructure Assets and businesses which AGI’s Investments may own and control, include, without limitation, risks of: (i) labor disputes, shortages of material and skilled labor, or work stoppages; (ii) difficulty in obtaining regulatory, environmental or other approvals or permits; (iii) slower than projected construction progress and the unavailability or late delivery of necessary equipment; (iv) less than optimal coordination with public utilities in the relocation of their facilities; (v) adverse weather conditions and unexpected construction conditions; (vi) accidents or the breakdown or failure of construction equipment or processes; (vii) other events discussed below under “Force majeure events may adversely affect AGI’s assets” that are beyond the control of the Investment Manager and AGI; and (viii) risks associated with holding direct or indirect interests in undeveloped land or underdeveloped real property. These risks could result in substantial unanticipated delays or expenses (which could exceed expected or forecasted budgets) and, under certain circumstances, could prevent completion of construction activities once undertaken, any of which could have an adverse effect on AGI and on the amount of funds available for distribution to Shareholders. Similar risks apply to the ongoing operations of any properties and other assets or businesses. Infrastructure Assets owned by AGI’s Investments might remain in construction phases for a prolonged period and, accordingly, might not be cash generative for a prolonged period. While AGI’s intention in respect of any Infrastructure Asset acquired might be for construction works to be contracted to a construction contractor on a fixed-price basis with liquidated damages payable to AGI where delay is caused that is attributable to the contractor, the related contractual arrangements made by AGI might not be as effective as intended and/or contractual liabilities on AGI’s part could result in unexpected costs or a reduction in AGI’s expected revenues. In addition, recourse against the contractor could be subject to liability caps or could be subject to default or insolvency on the part of the contractor.

Other properties and other assets and businesses that AGI’s Investments may own might require large capital expenditures, including, but not limited to, in connection with completing, maintaining, developing and/or expanding their existing plant, machinery and facilities, necessary software and other intellectual property assets or securing necessary licenses, approvals and concessions and complying with related requirements of a municipal, state or national government, quasi-government, industry, self-regulatory or other relevant regulatory authority, body or agency (each a “**Regulatory Agency**”). Such capital expenditures could exceed cash flow from operations and/or the amount of capital that AGI have earmarked for the relevant Investment and the relevant Investment might need to secure additional capital through other means and sources, including selling assets or refinancing or restructuring its debt capital, which, if available, could be at higher interest rates and/or otherwise on more onerous terms than any existing debt financing. Sourcing of such capital through additional equity investment from third parties will dilute AGI’s interest in the relevant Investment and its returns and such dilution might be on the basis of valuations of hard-to-value illiquid assets, which could ultimately result in an over-dilution of AGI’s ownership, all of which will have an adverse impact on AGI’s financial returns generated by such Investment. Any delay or failure by the relevant Investment to secure such capital from other sources and to implement the necessary capital expenditures in whole or in part will also have an adverse impact on returns to the extent there is a delay or failure in its ability to achieve fully commissioned and/or cash-flowing status or to otherwise optimize its operational capabilities.

AGI’s financial condition and results of operations could be negatively affected if a significant investment fails to perform as expected.

AGI’s investment portfolio includes investments that may be significant individually or in the aggregate. If a significant investment in one or more companies fails to perform as expected, such a failure could have a material adverse effect on AGI’s business, financial condition and operating results, and the magnitude of such effect could be more significant than if AGI had further diversified AGI’s portfolio.

Investments may experience supply chain disruptions that could adversely impact AGI’s business and financial condition.

Equipment and spare parts may become unavailable or difficult to procure on terms consistent with those that an Investment has budgeted for. For example, some jurisdictions in which AGI’s Investments may operate have

experienced supply chain challenges resulting from bottlenecks caused by, among other things, increases in demand and challenges involved with ramping up to meet this demand.

Supply chains could be further disrupted in the future by factors outside of the Investment Manager's or AGI's control. This could include (1) a reduction in the supply or availability of the commodities required to produce the parts and components that an Investment needs to maintain existing projects and develop new projects from its development pipeline, (2) the potential physical effects of climate change, such as increased frequency and severity of storms, precipitation, floods and other climatic events and their impact on transportation networks and manufacturing centers, and (3) economic sanctions or embargoes, including those relating to human rights concerns in jurisdictions that produce key materials, components or parts.

Any material delays in procuring equipment or significant cost increases of AGI's Investments could adversely impact AGI's business and financial condition.

Changes or innovations in technology could affect the profitability of an Investment that relies on existing technology.

AGI could be exposed to the risk that a change could occur in the way a service or product is delivered to AGI or an Investment or other asset rendering the existing technology obsolete. While the risk could be considered low in the infrastructure sector given the massive fixed costs involved in constructing assets and the fact that many infrastructure technologies are well established, any technology change that occurs over the medium term, including the use of artificial intelligence and data science, could threaten the profitability of Investment or AGI's other assets. If such a change were to occur, these assets would have very few alternative uses should they become obsolete.

AGI's Investments may rely on third-party managers or operators which may fail to perform their duties adequately.

The management of the business or operations of an Investment might be contracted to a third-party manager or operator unaffiliated with the Investment Manager. The selection of a manager or operator is inherently based on subjective criteria, making the true performance and abilities of a particular manager or operator difficult to assess. Further, there are a limited number of management companies and operators with the expertise necessary to maintain and operate infrastructure and infrastructure-related projects successfully. Although it would be possible to replace any such operator, the failure of such an operator to perform its duties adequately or to act in ways that are in the Investment's best interest, or the breach by an operator of applicable agreements or laws, rules and regulations, could have an adverse effect on the Investment's financial condition or results of operations. A third-party manager could suffer a business failure, become bankrupt, or engage in activities that compete with an Investment. These and other risks, including the deterioration of the business relationship between AGI and the third-party manager, could have an adverse effect on an Investment. Should a third-party manager fail to perform its functions satisfactorily, it might be necessary to find a replacement operator, which could require the approval of a government or Regulatory Agency that has granted a concession with respect to the relevant Investment. It might not be possible to replace an operator in such circumstances, or do so on a timely basis, or on terms that are favorable to AGI.

Compliance with environmental laws and regulations may result in substantial costs to AGI's Investments.

Ordinary operation or the occurrence of an accident with respect to an Investment could cause major environmental damage, which could result in significant financial distress to such Investment, if not covered by insurance, which could occur as a result of such Investment not carrying adequate insurance coverage or, in some cases, as a result of the relevant environmental damage not being fully insurable. In addition, persons who arrange for the disposal or treatment of hazardous materials could also be liable for the costs of removal or remediation of these materials at the disposal or treatment facility, whether or not that facility is or ever was owned or operated by those persons.

Certain environmental laws and regulations may require that an owner or operator of an Infrastructure Asset address prior environmental contamination, which could involve substantial cost. Such laws and regulations often impose liability without regard to whether the owner or operator knew of, or was responsible for, the release or presence of environmental contamination. AGI could therefore be exposed to substantial risk of loss from environmental claims arising in respect of AGI's Investments. Furthermore, changes in environmental laws or regulations or the environmental condition of an Investment could create liabilities that did not exist at the time of its acquisition and that could not have been foreseen. Community and environmental groups could protest about

the development or operation of Infrastructure Assets, which might induce government action to AGI's detriment. New and more stringent environmental or health and safety laws, regulations and permit requirements, or stricter interpretations of current laws, regulations or requirements, could impose substantial additional costs on AGI's Investments, or could otherwise place an Investment at a competitive disadvantage compared to operators of alternative forms of infrastructure, and failure to comply with any such requirements could have an adverse effect on an Investment. Some of the most onerous environmental requirements regulate air emissions of pollutants and GHGs; these requirements particularly affect companies in the power and energy industries.

Even in cases where AGI is indemnified by the seller with respect to an Infrastructure Asset against liabilities arising out of violations of environmental laws and regulations, there can be no assurance as to the financial viability of the seller to satisfy such indemnities or AGI's ability to achieve enforcement of such indemnities.

AGI may face heightened risks unique to the nature of AGI's Investments.

Owning Investments that operate Infrastructure Assets involves many relatively unique and acute risks. Projected revenues can be affected by a number of factors including economic and market conditions, political events, competition, regulation and the financial position and business strategy of customers. Unanticipated changes in the availability or price of inputs necessary for the operation of Infrastructure Assets may adversely affect the overall profitability of an Investment or related project. Events outside the control of the owner of an Infrastructure Asset, such as political action, governmental regulation, demographic changes, economic conditions, pandemics, increasing fuel prices, government macroeconomic policies, political events, toll rates, social stability, competition from untolled or other forms of transportation, natural disasters (such as fire, floods, earthquakes and typhoons), changes in weather, changes in demand for products or services, bankruptcy or financial difficulty of a major customer and acts of war or terrorism and other unforeseen circumstances and incidents could significantly reduce the revenues generated or significantly increase the expense of constructing, operating, maintaining or restoring Infrastructure Assets. In turn, this may impair an Investment's ability to repay its debt, make distributions to AGI or even result in termination of an applicable concession or other agreement. As a general matter, the operation and maintenance of Infrastructure Assets involve various risks and are subject to substantial regulation (as described below), many of which may not be under the control of the owner, including labor issues, failure of technology to perform as anticipated, structural failures and accidents and the need to comply with the directives of government authorities.

Although AGI's Investments may maintain insurance to protect against certain risks, where available on reasonable commercial terms (such as business interruption insurance that is intended to offset loss of revenues during an operational interruption), such insurance is subject to customary deductibles and coverage limits and may not be sufficient to recoup all of an Investment's losses. There can be no assurance that an Investment's insurance would cover liabilities resulting from claims relating to the design, construction, maintenance, or operation of the Infrastructure Assets and businesses acquired by AGI, lost revenues or increased expenses resulting from such damage. If a major, uninsured loss occurs, AGI could lose both invested capital in and anticipated profits from the affected Investment. Furthermore, an Investment may face competition from other Infrastructure Assets in the vicinity of the assets they operate, the presence of which depends in part on governmental plans and policies.

Finally, a pandemic, epidemic or other public health crisis, such as those caused by H5N1 (avian flu), severe acute respiratory syndrome (SARS) and the SARS-CoV-2 virus (COVID-19), may occur from time to time, which could adversely impact AGI or its Investments. Please refer to Section XVI: "*Risk Factors, Potential Conflicts of Interest and Other Considerations—Public Health Emergencies; COVID-19*" of the General Section of the Prospectus for further details. The impact of these conditions may, and likely would, also exacerbate many of the other risks discussed in this Prospectus.

AGI's Investments may not exhibit mitigating characteristics typical of assets, businesses or projects in the infrastructure space. As a result, there can be no assurance that any perceived benefits of AGI's Investments will be realized.

AGI will seek to own Investments that are assets, businesses or projects that typically have some or all of the following characteristics: (i) possess a higher degree of cash flow predictability; (ii) produce returns that are derived primarily from income, with limited upside through capital gains and assets that are commonly held for longer terms (more than five years); and (iii) produce revenues and cash flows that are generally predictable as a result of being governed by either rate regulation by governmental agencies or by long-term contractual arrangements with creditworthy counterparties, such as governments, municipalities and major companies, which can shield these assets from near-term economic and market trends. Whether and to what extent such

characteristics exist with respect to an Investment is a matter of opinion and judgment, which may prove incorrect. Such characteristics are expected to help mitigate the risks associated with AGI's Investments, but there can be no assurance that perceived or expected mitigating characteristics associated with AGI's Investments (e.g., low volatility, low correlation, high cash yield, strong downside protection, mitigation against rising interest rates, revenues keyed to inflation and an ability to control the timing, and manner of exits) will be achieved or realized. It is possible that AGI will own Investments which operate other types of Infrastructure Assets (including infrastructure-related "opportunistic" acquisitions), which may differ in form and structure (and may not have the characteristics described above) on a case-by-case basis, as the Investment Manager may determine are appropriate for AGI in a given context based on prevailing economic and market conditions and other factors deemed relevant by us. There can be no assurance that any perceived benefits of AGI's Investments will be realized and such Investments may not exhibit the forgoing characteristics.

The acquisition of Investments that operate Infrastructure Assets exposes AGI to a higher level of regulatory control than typically imposed on other businesses.

In many instances, operating Infrastructure Assets involves substantive continuing involvement by, or an ongoing commitment to, Regulatory Agencies. There can be no assurance that (i) existing regulations applicable to acquisitions generally or the Infrastructure Assets will not be revised or reinterpreted; (ii) new laws and regulations will not be adopted or become applicable to Infrastructure Assets; (iii) the technology, equipment, processes and procedures selected by AGI's Investments to comply with current and future regulatory requirements will meet such requirements; (iv) such Investments' business and financial conditions will not be materially and adversely affected by such future changes in, or reinterpretation of, laws and regulations (including the possible loss of exemptions from laws and regulations) or any failure to comply with such current and future laws and regulations; or (v) Regulatory Agencies or other third parties will not bring enforcement actions in which they disagree with regulatory decisions made by other Regulatory Agencies. In addition, in many instances, the operation or acquisition of Infrastructure Assets may involve an ongoing commitment to or from a government agency. The nature of these obligations exposes the owners of Infrastructure Assets to a higher level of regulatory control than is typically imposed on other businesses.

Regulatory Agencies might impose conditions on the construction, operations and activities of an Infrastructure Asset as a condition to granting their approval or to satisfy regulatory requirements, including requirements that such assets remain managed by the Investment Manager and its affiliates, which could limit AGI's ability to dispose of Infrastructure Assets at opportune times or make the continued operation of such Infrastructure Asset unfeasible or economically disadvantageous, and any expenditures made to date with respect to such Infrastructure Asset may be wholly or partially written off. Sometimes commitments to Regulatory Agencies involve the posting of financial security for performance of obligations. If obligations are breached these financial securities may be called upon by the relevant Regulatory Agency.

There is also the risk that AGI's Investments do not have, might not obtain, or may lose permits necessary for their operations. Permits or special rulings may be required on taxation, financial and regulatory related issues. Many of these licenses and permits have to be renewed or maintained over the life of the business. The conditions and costs of these permits, licenses and consents may be changed on any renewal, or, in some cases, may not be renewed due to unforeseen circumstances or a subsequent change in regulations.

Regulatory Agencies often have considerable discretion to change or increase regulation of the operations of an Investment or to otherwise implement laws, regulations, or policies affecting its operations (including, in each case, with retroactive effect), separate from any contractual rights that the Regulatory Agencies' counterparties have. Accordingly, additional or unanticipated regulatory approvals, including, without limitation, renewals, extensions, transfers, assignments, reissuances, or similar actions, could be required to acquire Investments that operate Infrastructure Assets, and additional approvals could become applicable in the future due to, among other reasons, a change in applicable laws and regulations, or a change in the relevant Investment's customer base. There can be no assurance that an Investment will be able to (i) obtain all required regulatory approvals that it does not yet have or that it could require in the future; (ii) obtain any necessary modifications to existing regulatory approvals; or (iii) maintain required regulatory approvals. Delay in obtaining or failure to obtain and maintain in full force and effect any regulatory approvals, or amendments thereto, or delay or failure to satisfy any regulatory conditions or other applicable requirements could prevent operation of a facility owned by an Investment, the completion of a previously announced acquisition or sale to third parties, or could otherwise result in additional costs and material adverse consequences to AGI and AGI's Investments.

Since AGI expects that many of its Investments will provide basic, everyday services and face limited competition, Regulatory Agencies could be influenced by political considerations and could make decisions that adversely

affect an Investment's business. Certain types of Infrastructure Assets are in the "public eye" and politically sensitive, and as a result AGI's activities could attract an undesirable level of publicity. Additionally, pressure groups and lobbyists could induce Regulatory Agency action to AGI's detriment as the owner of the relevant Investment. There can be no assurance that the relevant government will not legislate, impose regulations, or change applicable laws, or act contrary to the law in a way that would materially and adversely affect the business of an Investment. The profitability of certain Investments might be materially dependent on government subsidies being maintained (for example, government programs encouraging the development of certain technologies such as solar and wind power generation). Reductions or eliminations of such subsidies would likely have a material adverse impact on relevant Investments and AGI.

An Infrastructure Asset's operations might rely on government licenses, concessions, leases or contracts that are generally very complex and could result in a dispute over interpretation or enforceability. Even though most permits and licenses are obtained prior to the commencement of full project operations, many of these licenses and permits have to be maintained over the project's life. If AGI or an Infrastructure Asset fails to comply with these regulations or contractual obligations, it could be subject to monetary penalties or lose its right to operate the affected asset, or both.

Where AGI or an Investment hold a concession or lease from a Regulatory Agency, such arrangements are subject to special risks as a result of the nature of the counterparty. The concession or lease might restrict the operation of the relevant asset or business in a way that maximizes cash flows and profitability. The lease or concession could also contain clauses more favorable to the Regulatory Agency counterparty than a typical commercial contract. In addition, there is the risk that the relevant Regulatory Agency will exercise sovereign rights and take actions contrary to the rights of AGI or an Investment under the relevant agreement. Poor performance and other events could lead to termination of the relevant concession or lease agreement, which might or might not provide for compensation to the relevant Investment. If it does, as the Investment would generally be deemed to have been "at fault," then often the amount of any related senior debt might not be paid out in full and compensation for lost equity returns might not be provided.

Certain assets may require the use of public ways or may operate under easements. Regulatory Agencies typically retain the right to restrict the use of such public ways or easements or require an Investment to remove, modify, replace or relocate facilities relating to Infrastructure Assets at its own expense. If a Regulatory Agency exercises these rights, an Investment could incur significant costs and its ability to provide service to its customers could be disrupted, which could adversely impact the performance of such Investment.

Geographical concentration of AGI's Investments may make them more susceptible to changing conditions of particular geographic regions.

AGI's geographic diversification may be limited due to limited availability of suitable business opportunities. During periods of difficult market conditions or economic slowdown in certain regions and in Infrastructure Assets, the adverse effect on AGI could be exacerbated by the geographic concentration of AGI's Investments. AGI may seek to own and control several Investments in certain regions or sectors within a short period of time. To the extent that AGI's Investments are concentrated in a particular company, geographic region, such Investments will become more susceptible to fluctuations in value resulting from adverse economic or business conditions with respect thereto. For AGI to achieve attractive returns, one or a few of AGI's Investments will need to perform very well. There are no assurances that this will be the case. In addition, to the extent that the capital raised is less than the targeted amount and/or repurchase requests are significant, AGI may own and control fewer Investments and thus be less diversified.

Although AGI intends to target Investments that operate Infrastructure Assets that are broadly diversified across a number of different infrastructure sectors, geographies and asset types, to the extent AGI's Investments are concentrated in a particular market, AGI's portfolio may become more susceptible to fluctuations in value resulting from adverse economic or business conditions affecting that particular market. In these circumstances and in other transactions where the Investment Manager intends to refinance all or a portion of the capital invested, there will be a risk that such refinancing may not be completed, which could lead to an increased risk as a result of AGI having an unintended reduced diversification.

Declines in market prices and liquidity in the corporate debt markets can result in significant net unrealized depreciation of AGI's portfolio, which in turn would reduce the NAV.

Due to the inherent uncertainty of determining the fair value of investments that do not have a readily available market value, the fair value of AGI's investments may differ significantly from the values that would have been

used had a readily available market value existed for such investments, and the differences could be material. AGI may take into account the following types of factors, if relevant, in determining the fair value of AGI's investments: the enterprise value of an Investment (the entire value of the Investment to a market participant, including the sum of the values of debt and equity securities used to capitalize the enterprise at a point in time), the nature and realizable value of any collateral, the Investment's ability to make payments and its earnings and discounted cash flow, the markets in which the Investment does business, a comparison of the Investment's securities to similar publicly traded securities, changes in the interest rate environment and the credit markets generally that may affect the price at which similar investments would trade in their principal markets and other relevant factors. When an external event such as a purchase transaction, public offering or subsequent equity sale occurs, AGI will use the pricing indicated by the external event to corroborate AGI's valuation. While most of AGI's investments will not be publicly traded, applicable accounting standards require AGI to assume as part of AGI's valuation process that AGI's investments are sold in a principal market to market participants (even if AGI plans on holding an investment through its maturity). As a result, volatility in the capital markets can also adversely affect AGI's investment valuations. Decreases in the market values or fair values of AGI's investments are recorded as unrealized depreciation. The effect of all of these factors on AGI's portfolio can reduce AGI's NAV by increasing net unrealized depreciation in AGI's portfolio. Depending on market conditions, AGI could incur substantial realized and/or unrealized losses, which could have a material adverse effect on AGI's business, financial condition or results of operations.

Economic recessions or downturns could impair AGI's Investments and harm AGI's operating results.

The current macroeconomic environment is characterized by labor shortages, strikes, work stoppages, labor disputes, supply chain disruptions and accidents, changing interest rates, persistent inflation, foreign currency exchange volatility, volatility in global capital markets and concerns over actual and potential tariffs and sanctions, inflation and persistent recession risk. The risks associated with AGI and AGI's Investments' businesses are more severe during periods of economic slowdown or recession.

Many of AGI's Investments may be susceptible to economic downturns or recessions and may be unable to repay AGI's loans during these periods. Therefore, during these periods AGI's non-performing assets may increase and the value of AGI's portfolio may decrease if AGI is required to write down the values of AGI's investments. Adverse economic conditions may also decrease the value of collateral securing some of AGI's loans and the value of AGI's equity investments. Economic slowdowns or recessions could lead to financial losses in AGI's portfolio and a decrease in revenues, net income and assets. Unfavorable economic conditions also could increase AGI's funding costs, limit AGI's access to the capital markets or result in a decision by lenders not to extend credit to AGI. These events could prevent AGI from increasing investments and harm AGI's operating results.

An Investment's failure to satisfy financial or operating covenants imposed by AGI or other lenders could lead to defaults and, potentially, acceleration of the time when the loans are due and foreclosure on its assets representing collateral for its obligations, which could trigger cross defaults under other agreements and jeopardize an Investment's ability to meet its obligations under the debt investments that AGI may hold and the value of any equity securities AGI may own. AGI may incur expenses to the extent necessary to seek recovery upon default or to negotiate new terms with a defaulting Investment.

Investments in privately held companies involve significant risks.

AGI invests in privately held companies. Investments in privately held companies involve a number of significant risks, including the following:

- these companies may have limited financial resources and may be unable to meet their obligations, which may be accompanied by a deterioration in the value of any collateral and a reduction in the likelihood of AGI realizing its Investment;
- they may have shorter operating histories, narrower product lines and smaller market shares, which may render them more vulnerable to competitors' actions and market conditions, as well as general economic downturns;
- they may depend on the management talents and efforts of a small group of persons; therefore, the death, disability, resignation or termination of one or more of these persons could have a material adverse effect on such Investment and, in turn, on AGI;

- there is generally little public information about these companies. These companies and their financial information are generally not subject to the 1934 Act and other regulations that govern public companies, and AGI may be unable to uncover all material information about these companies, which may prevent AGI from making a fully informed investment decision and cause AGI to lose money on AGI's Investments;
- they generally have less predictable operating results and may require substantial additional capital to support their operations, finance expansion or maintain their competitive position;
- AGI, AGI's executive officers, Board of Directors and the Investment Manager, its affiliates and/or any of their respective principals and employees may, in the ordinary course of business, be named as defendants in litigation arising from AGI's investments in AGI's Investments and may, as a result, incur significant costs and expenses in connection with such litigation;
- changes in laws and regulations (including tax laws), as well as their interpretations, may adversely affect their business, financial structure or prospects; and
- they may have difficulty accessing the capital markets to meet future capital needs.

AGI's equity and debt investments in Infrastructure Assets may be risky, and AGI could lose all or part of AGI's investments.

Equity Securities. AGI will invest in equity investments, including investments in common or preferred stock. There is no limitation on the type, size or operating experience of the companies in which AGI may invest. Because equity securities rank lower in the capital structure of an issuer, such investments may subject investors to additional risks not applicable to debt securities. Special-situation equities are event-driven and may be subject to greater volatility than other equity securities. All of AGI's investments in stocks will be subject to normal market risks. While diversification among issuers may mitigate these risks, AGI is not required to diversify AGI's investments in equity securities; and Shareholders must expect fluctuations in value of equity securities held by AGI based on market conditions. Because equity securities rank lower in the capital structure of an issuer, such investments may subject investors to additional risks not applicable to debt securities. In addition, holders of equity securities may be wiped out or substantially reduced in value in a bankruptcy proceeding or corporate restructuring.

Equity Kickers. The Investment Manager anticipates that, in connection with certain of AGI's originated or acquired loan investments, AGI may be issued or otherwise receive a range of equity incentives, which would usually be in the form of a warrant to acquire a portion of a borrower's fully diluted equity, but could also be in the form of outright shares, an exit fee or some direct participation in proceeds of a sale or listing (and may also be received in connection any workouts or restructurings of those investments) (collectively, "**Equity Kickers**"). These Equity Kickers would be intended to enable AGI to participate in a borrower's long-term value which may be created by growth facilitated by a loan, and accordingly will have little or no value at issuance and will typically generate income (if at all) only upon a sale, listing or recapitalization of the borrower. Such Equity Kickers will generally involve a high degree of risk and will be subordinate to (and thus are inherently riskier than) the debt securities and other liabilities of the issuers of such Equity Kickers. Prices of Equity Kickers generally fluctuate more than prices of debt securities and are likely to be affected more rapidly, and to a greater extent, by company-specific developments and poor economic or market conditions. In addition, these Equity Kickers may be illiquid or trade at significant discounts to otherwise comparable investments. Equity Kickers may not produce any income for AGI and may ultimately have no recognizable value. AGI may experience a substantial or complete loss on such Equity Kickers to the extent of any value given in connection with the acquisition thereof.

Senior Debt. AGI's investments may include first lien and second lien senior secured debt. Such debt may (i) include term loans and revolving loans, (ii) pay interest at a fixed or floating rate and (iii) be acquired by way of purchase or assignment in the primary and secondary markets. The purchaser of an assignment typically succeeds to all the rights and obligations of the assigning institution and becomes a contracting party under the legal documentation with respect to the debt obligation; however, its rights can be more restricted than those of the assigning institution.

The factors affecting an issuer's first and second lien loans, and its overall capital structure, are complex. Some first lien loans may not necessarily have priority over all other unsecured debt of an issuer. For example, some first lien loans may permit other secured obligations (such as overdrafts, swaps or other derivatives made available by members of the syndicate to the company) or involve first liens only on specified assets of an issuer. Issuers

of first lien loans may have two tranches of first lien debt outstanding, each with first liens on separate collateral. Second lien loans are subordinate in right of payment to one or more senior secured loans of the related borrower and therefore are subject to additional risk that the cash flow of the related borrower and the property securing the loan may be insufficient to repay the scheduled payments to AGI after giving effect to any senior secured obligations of the related borrower. Second lien senior loans are also expected to be a more illiquid investment than first lien senior secured loans for such reason. There also is less likelihood that AGI will be able to sell participations in second lien loans that AGI originates or acquires, which would expose AGI to increased risk.

Senior secured credit facilities may be syndicated to a number of different financial market participants. The documentation governing such facilities typically requires either a majority consent or, in certain cases, unanimous approval for certain actions in respect of the loan, such as waivers, amendments, or the exercise of remedies.

Senior secured loans are also subject to other risks and can cause unsecured creditors to seek remedies to limit AGI potential recovery of such investments, including (a) the possible invalidation of a debt or lien as a “fraudulent conveyance”; (b) the recovery as a “preference” of liens perfected or payments made on account of a debt within a certain period before a bankruptcy filing; (c) equitable subordination claims by other creditors; (d) lender liability claims by the issuer of the obligations; (e) environmental liabilities that may arise with respect to collateral securing the obligations; (f) recharacterization claims in which certain creditors may seek to have AGI’s debt positions recharacterized as equity and therefore subordinate AGI’s claims to such creditors’ claims; and (g) designating the vote (i.e., ignoring the customary class vote system) under a Chapter 11 plan of reorganization in which lenders are entitled to vote as a class (where applicable).

Distressed Securities. AGI may invest in securities, private claims and obligations of domestic and foreign entities which are experiencing or may experience significant financial or business difficulties. AGI may lose a substantial portion or all of AGI’s investment in a distressed environment or may be required to accept cash or securities with a value less than the investment. Such investments also may be adversely affected by state and federal laws relating to, among other things, fraudulent conveyances, voidable preferences, lender liability and the bankruptcy court’s discretionary power to disallow, subordinate or disenfranchise particular claims. The market prices of such instruments are also subject to abrupt and erratic market movements and above average price volatility, and the spread between the bid and asked prices of such instruments may be greater than normally expected due to a variety of factors that are inherently difficult to predict, such as domestic or international economic and political developments, all of which may significantly affect the results of AGI’s activities. Investments in distressed securities, particularly rescue financings in connection with reorganizations, often involve litigation generally related to issues related to control and preference among classes, claimants and other related matters. Such litigation can be time-consuming and expensive, and can frequently lead to unpredicted delays or losses that by their nature involve business, financial, market and/or legal risks.

Convertible Securities. AGI’s Investments may include investments in convertible securities. Convertible securities are bonds, debentures, notes, preferred shares or other securities that may be converted into, or exchanged for, a specified amount of common stock of the same or different issuer within a particular period of time at a specified price or formula. A convertible security entitles its holder to receive interest that is generally paid or accrued on debt or a distribution that is paid or accrued on preferred shares until the convertible security matures or is redeemed, converted or exchanged. Convertible securities have unique investment characteristics in that they generally (i) have higher yields than common stocks, but lower yields than comparable non-convertible securities, (ii) are less subject to fluctuation in value than the underlying common stock due to their fixed-income characteristics and (iii) provide the potential for capital appreciation if the market price of the underlying common stock increases.

The value of a convertible security is a function of its “investment value” (determined by its yield in comparison with the yields of other securities of comparable maturity and quality that do not have a conversion privilege) and its “conversion value” (the security’s market value, if converted into the underlying common stock). The investment value of a convertible security is influenced by changes in interest rates, with investment value declining as interest rates increase and increasing as interest rates decline. The credit standing of the issuer and other factors may also have an effect on the convertible security’s investment value. The conversion value of a convertible security is determined by the market price of the underlying common stock. If the conversion value is low relative to the investment value, the price of the convertible security is governed principally by its investment value. To the extent the market price of the underlying common stock approaches or exceeds the conversion price, the price of the convertible security will be increasingly influenced by its conversion value. A convertible security generally will sell at a premium over its conversion value by the extent to which investors place value on the right to acquire the underlying common stock while holding a fixed-income security. Generally, the amount of the premium decreases as the convertible security approaches maturity.

A convertible security may be subject to redemption at the option of the issuer at a price established in the convertible security's governing instrument. If a convertible security held by AGI is called for redemption, AGI will be required to permit the issuer to redeem the security, convert it into the underlying common stock or sell it to a third party. Any of these actions could have an adverse effect on AGI's ability to achieve AGI's investment objective.

Investments in equity securities, many of which are illiquid with no readily available market, involve a substantial degree of risk.

AGI may purchase common stock and other equity securities. Although common stock has historically generated higher average total returns than fixed income securities over the long-term, common stock also has experienced significantly more volatility in those returns. The equity securities AGI acquires may fail to appreciate and may decline in value or become worthless and AGI's ability to recover AGI's investment will depend on the underlying Investment's success. Investments in equity securities involve a number of significant risks, including:

- any equity investment AGI makes in an Investment could be subject to further dilution as a result of the issuance of additional equity interests and to serious risks as a junior security that will be subordinate to all indebtedness (including trade creditors) or senior securities in the event that the issuer is unable to meet its obligations or becomes subject to a bankruptcy process;
- to the extent that the Investment requires additional capital and is unable to obtain it, AGI may not recover AGI's investment; and
- in some cases, equity securities in which AGI invests will not pay current distributions, and AGI's ability to realize a return on AGI's investment, as well as to recover AGI's investment, will be dependent on the success of the Investment. Even if the Investment is successful, AGI's ability to realize the value of AGI's investment may be dependent on the occurrence of a liquidity event, such as a public offering or the sale of the Investment. It is likely to take a significant amount of time before a liquidity event occurs or AGI can otherwise sell AGI's investment. In addition, the equity securities AGI receives or invest in may be subject to restrictions on resale during periods in which it could be advantageous to sell them.

There are special risks associated with investing in preferred securities, including:

- preferred securities may include provisions that permit the issuer, at its discretion, to defer distributions for a stated period without any adverse consequences to the issuer. If AGI owns a preferred security that is deferring its distributions, AGI may be required to report income for tax purposes before AGI receives such distributions;
- preferred securities are subordinated to debt in terms of priority to income and liquidation payments, and therefore will be subject to greater credit risk than debt;
- preferred securities may be substantially less liquid than many other securities, such as common stock or U.S. government securities; and
- generally, preferred security holders have no voting rights with respect to the issuing company, subject to limited exceptions.

Additionally, if AGI invests in first lien senior secured loans (including "unitranche" loans, which are loans that combine both senior and subordinated debt, generally in a first lien position), second lien senior secured loans or subordinated debt, AGI may acquire warrants or other equity securities as well. AGI's goal is ultimately to dispose of such equity interests and realize gains upon AGI's disposition of such interests. However, the equity interests AGI may receive may not appreciate in value and, in fact, may decline in value. Accordingly, AGI may not be able to realize gains from AGI's equity interests and any gains that AGI does realize on the disposition of any equity interests may not be sufficient to offset any other losses AGI experiences.

AGI may be subject to risks associated with broadly syndicated loans.

AGI's investments may consist of broadly syndicated loans that were not originated by AGI. Under the documentation for such loans, a financial institution or other entity typically is designated as the administrative

agent and/or collateral agent. This agent is granted a lien on any collateral on behalf of the other lenders and distributes payments on the indebtedness as they are received. The agent is the party responsible for administering and enforcing the loan and generally may take actions only in accordance with the instructions of a majority or two-thirds in commitments and/or principal amount of the associated indebtedness. Accordingly, AGI may be precluded from directing such actions unless AGI or the Investment Manager is the designated administrative agent or collateral agent or AGI acts together with other holders of the indebtedness. If AGI is unable to direct such actions, AGI cannot assure you that the actions taken will be in AGI's best interests.

There is a risk that a loan agent may become bankrupt or insolvent. Such an event would delay, and possibly impair, any enforcement actions undertaken by holders of the associated indebtedness, including attempts to realize upon the collateral securing the associated indebtedness and/or direct the agent to take actions against the related obligor or the collateral securing the associated indebtedness and actions to realize on proceeds of payments made by obligors that are in the possession or control of any other financial institution. In addition, AGI may be unable to remove the agent in circumstances in which removal would be in AGI's best interests. Moreover, agent loans typically allow for the agent to resign with certain advance notice.

There may be circumstances in which AGI's future debt investments could be subordinated to claims of other creditors or AGI could be subject to lender liability claims.

If one of AGI's Investments were to go bankrupt, even though AGI may have structured AGI's interest as senior debt, depending on the facts and circumstances, a bankruptcy court might recharacterize AGI's debt holding as an equity investment and subordinate all or a portion of AGI's claim to that of other creditors. In addition, lenders can be subject to lender liability claims for actions taken by them where they become too involved in the borrower's business or exercise control over the borrower. For example, AGI could become subject to a lender's liability claim, if, among other things, AGI actually renders significant managerial assistance.

AGI's Investments may incur debt or issue equity securities that rank equally with, or senior to, AGI's investments in such companies.

AGI's Investments may have, or may be permitted to incur, other debt, or issue other equity securities, that rank equally with, or senior to, AGI's investments. By their terms, such instruments may provide that the holders are entitled to receive payment of distributions, interest or principal on or before the dates on which AGI is entitled to receive payments in respect of AGI's investments. These debt instruments would usually prohibit AGI's Investments from paying interest on or repaying AGI's investments in the event and during the continuance of a default under such debt. Also, in the event of insolvency, liquidation, dissolution, reorganization or bankruptcy of a Investment, holders of securities ranking senior to AGI's investment in that Investment typically are entitled to receive payment in full before AGI receive any distribution in respect of AGI's Investment. After repaying such holders, the Investment may not have any remaining assets to use for repaying its obligation to AGI. In the case of securities ranking equally with AGI's investments, AGI would have to share on an equal basis any distributions with other security holders in the event of an insolvency, liquidation, dissolution, reorganization or bankruptcy of the relevant Investment.

The rights AGI may have with respect to the collateral securing any junior priority loans AGI makes to AGI's Investments may also be limited pursuant to the terms of one or more intercreditor agreements (including agreements governing "first out" and "last out" structures) that AGI enters into with the holders of senior debt. Under such an intercreditor agreement, at any time that senior obligations are outstanding, AGI may forfeit certain rights with respect to the collateral to the holders of the senior obligations. These rights may include the right to commence enforcement proceedings against the collateral, the right to control the conduct of such enforcement proceedings, the right to approve amendments to collateral documents, the right to release liens on the collateral and the right to waive past defaults under collateral documents. AGI may not have the ability to control or direct such actions, even if as a result AGI's rights as junior lenders are adversely affected.

When AGI is a debt or minority equity investor in an Investment, AGI may not be in a position to exert influence on the entity, and other equity holders and management of the company may make decisions that could decrease the value of AGI's investment in such Investment.

If AGI makes debt or minority equity investments, AGI will be subject to the risk that an Investment may make business decisions with which AGI disagrees and the other equity holders and management of such company may take risks or otherwise act in ways that do not serve AGI's interests. As a result, an Investment may make decisions that could decrease the value of AGI's investment.

AGI may not be in a position to exercise control over AGI's Investments or to prevent decisions by management of AGI's Investments that could decrease the value of AGI's investments.

AGI will not generally intend to hold controlling equity positions in AGI's Investments. To the extent that AGI does not hold a controlling equity interest in an Investment, AGI is subject to the risk that such Investment may make business decisions with which AGI disagrees, and the Shareholders and management of such Investment may take risks or otherwise act in ways that are adverse to AGI's interests. Due to the lack of liquidity for the debt and equity investments that AGI will typically hold in AGI's Investments, AGI may not be able to dispose of AGI's investments in the event AGI disagrees with the actions of an Investment and may therefore suffer a decrease in the value of AGI's investments.

In addition, AGI may not be in a position to control any Investment by investing in its debt securities. As a result, AGI is subject to the risk that an Investment in which AGI may make business decisions with which AGI disagrees and the management of such company, as representatives of the holders of their common equity, may take risks or otherwise act in ways that do not serve AGI's interests as debt investors.

AGI's Investments may be highly leveraged.

AGI's Investments may be highly leveraged, which may have adverse consequences to these companies and to AGI as an investor. These companies may be subject to restrictive financial and operating covenants and the leverage may impair these companies' ability to finance their future operations and capital needs. As a result, these companies' flexibility to respond to changing business and economic conditions and to take advantage of business opportunities may be limited. Further, a leveraged company's income and net assets will tend to increase or decrease at a greater rate than if borrowed money were not used.

Any investments that AGI may make in distressed securities could be considered speculative in nature and highly risky.

AGI may invest in distressed securities, private claims and obligations of domestic and foreign entities, or those issuers experiencing or who begin to experience some level of financial or business distress and who may be undergoing or have recently undergone bankruptcy or other restructuring, reorganization and liquidation proceedings. The characteristics of these distressed securities can cause investments in them to be particularly risky and may be considered speculative. Additionally, the ability of issuers experiencing financial or business distress to pay their debts on schedule (or at all) could be affected by adverse interest rate movements, changes in the general economic climate, economic factors affecting a particular industry or region or specific developments within the distressed business. Investments in the securities of distressed businesses frequently do not produce income while they are outstanding and may require AGI to bear increased expenses, including by increased investment, in order to protect and recover AGI's investments.

AGI may be exposed to risks if AGI engages in hedging transactions.

AGI may enter into hedging transactions, which may expose us to risks associated with such transactions. AGI may utilize instruments such as forward contracts, currency options and interest rate swaps, caps, collars and floors to seek to hedge against fluctuations in the relative values of AGI's portfolio positions from changes in currency exchange rates and market interest rates. Use of these hedging instruments may include counter-party credit risk. The fair value (rather than the notational value) of certain derivatives or swaps AGI enters into will be included in AGI's calculation of NAV for purposes of calculating the Management Fee and could impact the Performance Fee. As a result, any derivatives we enter into that result in realized gains may increase the amount of the fees a Shareholder may be required to pay to the Investment Manager, the AIFM and/or the Recipient.

Hedging against a decline in the values of AGI's portfolio positions does not eliminate the possibility of fluctuations in the values of such positions or prevent losses if the values of such positions decline. However, such hedging can establish other positions designed to gain from those same developments, thereby offsetting the decline in the value of such portfolio positions. Such hedging transactions may also limit the opportunity for gain if the values of the underlying portfolio positions should increase. Moreover, it may not be possible to hedge against an exchange rate or interest rate fluctuation that is so generally anticipated that AGI is not able to enter into a hedging transaction at an acceptable price.

The success of AGI's hedging transactions will depend on AGI's ability to correctly predict movements in currencies and interest rates. Therefore, while AGI may enter into such transactions to seek to reduce currency exchange rate and interest rate risks, unanticipated changes in currency exchange rates or interest rates may result

in poorer overall investment performance than if AGI had not engaged in any such hedging transactions. In addition, the degree of correlation between price movements of the instruments used in a hedging strategy and price movements in the portfolio positions being hedged may vary. Moreover, for a variety of reasons, AGI may not seek to (or be able to) establish a perfect correlation between such hedging instruments and the portfolio holdings being hedged. Any such imperfect correlation may prevent AGI from achieving the intended hedge and expose AGI to risk of loss. In addition, it may not be possible to hedge fully or perfectly against currency fluctuations affecting the value of securities denominated in non-U.S. currencies because the value of those securities is likely to fluctuate as a result of factors not related to currency fluctuations. See also “*Risk Factors — Risk Factors Relating to an Investment in AGI — AGI is exposed to risks associated with changes in interest rates, including the current interest rate environment.*”

Project Financings

Some of AGI’s Investments will be structured on a project finance basis. A project finance structure entails the assumption of “project risk” by equity or debt investors such as AGI, usually without recourse to a project sponsor. Risks may arise in construction due to design and construction flaws. The project may have difficulty locating customers for power or such other commodity that is generated, and projected markets for such items may not materialize. Projects in which AGI invests may experience shortages of skilled personnel. Operations may depend upon government licenses, franchises, and contracts, which may be subject to termination, revocation or modification. Investments may be adversely affected by storms and other natural disasters. Operators of projects may be adversely affected by sharp increases in component prices and in some cases limited availability of supplies. Power producers may also be adversely affected by events that affect the creditworthiness of the electric utilities to which they sell power. Regulatory changes may affect or require substantial modifications to key project documents, including power sales, interconnection, and power transmission agreements and other offtake agreements, and may impact tax treatment and profitability.

Use of Debt to Finance Infrastructure Projects

Most infrastructure projects are financed using a high degree of debt measured as a proportion of the total enterprise value. As such, AGI expects that a portion of its investments will consist of interests in loans originated by banks and other financial institutions. The loans invested in by AGI may include term loans and revolving loans, may pay interest at a fixed or floating rate and may be senior or subordinated. Purchasers of bank loans are predominantly commercial banks, investment funds and investment banks. The value of an investment in AGI may be negatively impaired by either adverse interest rate movements or deterioration in the cashflow available to a project to service projected debt obligations.

The cost and availability of leverage is highly dependent on the state of the broader credit markets, which state is difficult to accurately forecast. During times when credit markets are tight, it may be difficult for a project to obtain or maintain the desired degree of leverage. Leverage often imposes restrictive financial and operating covenants on a project, in addition to the burden of debt service, and may impair its ability to finance future operations and capital needs.

If any project in which AGI is invested cannot generate adequate cashflow to meet debt service, AGI may suffer a partial or total loss of capital invested, which could adversely affect the returns of AGI.

International Investing.

AGI may invest, directly or indirectly, in portfolio companies who, at the time of initial investment, are non-European obligors. Although the Investment Manager believes that investing in these markets may offer significant potential for appreciation and portfolio diversification, prospective investors should recognize that investing in international markets may subject AGI to certain risks not typically associated with investing in assets in the UK and/or Europe. The investor should consider a number of potential risks associated with investments in international markets, including, without limitation: (i) that costs and expenses of investing in such markets may be higher than in the UK and Europe; (ii) risks of economic dislocations or other adverse economic events in the host country; (iii) differences in their securities markets, including potential price volatility in and relative illiquidity of some international securities markets; (iv) political/sovereign risk arising from government actions (including seizure or nationalization of foreign deposits), trade barriers, exchange controls, different monetary systems, nationalization, expropriation, political changes, economic or social instability (including the risk of sovereign defaults), the risk of war or terrorism or civil unrest; (v) investment and repatriation restrictions arising from laws and regulations limiting or precluding direct foreign investment, foreign ownership restrictions, the possible inability to obtain approval for foreign investment, and unanticipated legal or regulatory changes; (vi) differences in conventions relating to documentation, settlement, corporate actions, stakeholder rights and other

matters; (vii) the different accounting, auditing and financial reporting standards, practices and disclosure requirements and potentially less government supervision and regulation; (viii) different legal frameworks, regulatory systems and/or corporate laws regarding stakeholder rights, creditors' rights (including the rights of secured parties), breach of contract actions, fiduciary duties and the protection of investors, and the consequent potential difficulty of obtaining enforceable legal redress; (ix) costs associated with conversion of and limitations on the convertibility of currency, or limitations on the removal of securities, property or other assets of an obligor; (x) currency risk; (xi) regulatory change, and the possibility of expropriation or confiscatory taxation or the imposition of withholding or other taxes on dividends, interest, capital gains, other income or gross sales or disposition proceeds, as well as application of transaction-based taxes such as stamp duty taxes; (xii) the possible imposition of foreign taxes on income, gains and gross sale or other proceeds recognized with respect to such securities or instruments; and (xiii) adverse diplomatic or political developments. While these factors will be taken into consideration in making investment decisions for AGI and AGI will be managed in a manner the Investment Manager believes would minimize exposure to the foregoing risks, there can be no assurance that these risks will be evaluated accurately or that adverse developments with respect to such risks will not adversely affect the value or realization of such investments that are held by AGI.

Risks Relating to the Infrastructure Sector

Most infrastructure assets have unique locational and market characteristics, which could make them highly illiquid or appealing only to a narrow group of investors. Infrastructure investments expose AGI to numerous risks, usually without recourse to the general credit of a project sponsor, including (without limitation) construction, environmental, regulatory, permitting, commissioning, start-up, operating, economic, commercial, contractual, political, innovation, and financial risks. AGI may also invest in early developmental stage projects, involving risks of failure to obtain or substantial delays in obtaining regulatory, environmental or other approvals or permits; financing; and suitable equipment supply, operating and offtake contracts. Finally, AGI will be subject to additional infrastructure sector risks, including (i) the risk that technology employed will be not be effective or efficient; (ii) the risk of equipment failures, fuel interruptions, loss of sale and supply contracts; (iii) changes in power or fuel contract prices, bankruptcy of or defaults by key customers, suppliers or other counterparties, and tort liability; (iv) risk of changes of values of infrastructure sector companies; (v) risks associated with employment of personnel and unionized labor; and (vi) political and regulatory considerations and popular sentiments that could affect the ability of AGI to make such investments on favorable terms. The occurrence of events related to any of the foregoing could have a material adverse effect on AGI and its Investments. There can be no assurance that AGI's Investments will be profitable or generate cash flow sufficient to service their debt or provide a return on or recovery of amounts invested therein. To the extent that AGI invests in assets that are governed by lease or concession agreements with governmental authorities, there is a risk that these authorities may not be able to honor their obligations under the agreement, especially over the long term. Such lease or concession agreements may also contain clauses more favorable to the governmental counterparty than a typical commercial contract and may restrict AGI's ability to maximize cash flows and profitability with respect to the investment. Furthermore, governmental authorities have considerable discretion in implementing regulations that could impact these businesses, and because infrastructure assets provide basic, everyday services, and face limited competition, governments may be influenced by political considerations and may make decisions that adversely affect AGI's Investments.

Risks Relating to Public-Private Partnerships

Target sector investments may be implemented through concession agreements or leases with governmental authorities (whether at the federal, provincial, state, local, municipal or other level), particularly in the target sector of renewable power generation. Bidding on such projects may be subject to public procurement laws. Once contracted, authorities may not honor their obligations under such agreements, especially over the long term, for lack of political will or for budgetary reasons among others. Government leases or concessions may also contain clauses more favorable to the government counterparty than would a typical commercial contract: a lease or concession may enable the government to terminate the lease or concession in certain circumstances without requiring it to pay adequate compensation. In addition, government counterparties also may have the discretion to change or increase regulations or implement new laws or regulations affecting AGI's operations. Governments have considerable discretion in implementing regulations where such businesses provide basic, everyday services, and face limited competition. As a result, governments may make decisions in respect of infrastructure assets that are politically expedient, but adversely affect AGI's Investments.

Risks of Transmission Constraints and Renewable Penetration Limits

AGI may invest in renewable generation, the production of which is limited in some areas by transmission constraints, and independent system operator concerns over reliability and dependability of intermittent generation

in the mix. Further, many sites with the best wind or solar resources, with sufficient land to build a plant, are located some distance from load. While these concerns may negatively impact the development of renewable resources, such risks may drive development of energy storage.

Further, risk exists that demand for and development of renewable energy does not continue to grow as expected, due to low energy costs from fossil or nuclear power sources, local opposition to development, or the inability of the grid to absorb intermittent power in greater quantities, among other reasons.

Competitive Pressures.

The market for assets in the target sectors is competitive. AGI's competitors will include dividend-oriented investment vehicles, diversified energy project owners, private equity funds, investor-owned utility holding companies, strategic investors and companies focused on renewable energy generation. AGI will compete with these companies to acquire interests in projects with projected stable cash flows that can be built in a cost-effective manner. Each Investment will also compete with other solar and wind power developers for the limited pool of personnel with requisite industry knowledge and experience. If there are shortages of necessary equipment or components in the future, solar panel, inverter, turbine and other component manufacturers may give priority to other market participants, including AGI's competitors, who may have greater resources.

Other entities could construct new facilities or expand existing facilities that could potentially serve the same markets as one of the Investments in which AGI is invested. Any such new facility could offer services that are more desirable to customers because of locations, rates or other factors. These new facilities could charge rates or provide service to locations that could result in savings for shippers and producers and thereby force an Investment to lower the rates charged for services on its services in order to extend existing service agreements or to attract new customers. An increase in the availability of competing alternative facilities or services could result in a significant reduction in an Investment's revenue.

AGI will also compete with power companies and the wider market in general, not limited to those focusing on infrastructure debt, for the lowest cost financing. Depending on the regulatory framework and market dynamics of a region, AGI may also compete with other power companies and infrastructure debt energy generators when projects bid on or negotiate for long-term power sale agreements. Natural gas and coal prices tend to be volatile and to drive power prices.

AGI has no control over where its competitors may site competing projects. AGI's portfolio solar energy projects may face competition in local markets from utilities, construction companies or increasingly sophisticated electrical and roofing companies. In addition, competitors may erect wind projects adjacent to wind projects in which AGI is invested that may cause upwind array losses to occur at such wind projects. Upwind array losses reflect the diminished wind resource available at a project resulting from interference with available wind caused by adjacent wind turbines. An adjacent wind power project that causes upwind array losses could have a material adverse effect on AGI's Investments which may in turn impact AGI's business, financial condition and results of operations.

Additionally, forms of energy compete with each other, including solar, wind, geothermal, biopower, natural gas, electricity, coal, hydroelectric power, nuclear power, and fuel oil. The principal elements of competition among alternative forms of energy are based on the existing infrastructure, rates, terms of services, access to supply, emissions and reliability. Such competition could decrease demand for an Investment's services in the markets such Investment serves.

Further, new innovations and combinations may affect demand for goods or services currently provided in the target sectors. For instance, battery storage may make solar power more competitive, accelerating demand for both batteries and solar. Separately, ride sharing services might impact individual households' demand for new electric vehicles.

AGI may lose investment opportunities if it does not match its competitors' pricing, terms and structure. The loss of such investment opportunities may limit AGI's ability to grow or cause the Investment Manager to shrink the size of AGI's portfolio, which could decrease returns. If AGI matches its competitors' pricing, terms and structure, AGI may experience decreased net interest income and increased risk of credit loss. As a result of operating in such a competitive environment, AGI may make investments that are on less favourable terms than what AGI may have originally anticipated, which could impact the return on such investments.

Demand Side Changes

The amount of solar and wind power consumed by the electric utility industry is affected primarily by the overall demand for electricity, environmental and other government regulations and the price and availability of fuels such as nuclear, coal, natural gas and oil as well as other sources of renewable energy. A decline in prices for these fuels could negatively impact the rate of replacement of aging, inefficient fossil resources, cause demand for solar and wind power to decrease and adversely affect the demand for renewable energy. For example, low natural gas prices have led, in some instances, to increased natural gas consumption by electricity-generating utilities in lieu of other power sources. To the extent renewable energy becomes less cost-competitive on an overall basis as a result of a lack of governmental incentives, cheaper alternatives or otherwise, demand for solar and wind power and other forms of renewable energy could decrease. Slow growth in overall demand for electricity or a long-term reduction in the demand for renewable energy could have a material adverse effect on AGI's investment plans and could, in turn, have a material adverse effect on the results of operations and cash available for distribution.

Risks of Change in Law or Regulation

Infrastructure development and operations are heavily impacted by laws and regulations, including production, generation, supply, operation, and ownership. Changes in the energy markets, network charges or other market rules could negatively impact the grid and projects impacted thereby, including generation facilities and battery storage projects.

AGI must comply with various legal requirements, including requirements imposed by the securities laws, commodities laws, tax laws and pension laws in various jurisdictions. Should any of those laws change, the legal requirements to which AGI may be subject could differ materially from current requirements. Such changes may also adversely affect AGI. Energy and utility regulatory requirements, and the availability of exemptions from power sales rate regulation, from the regulation of investments and of financings in the electric sector, and the tariffs and regulations relating to electrical interconnection all change frequently.

Energy Regulatory Matters

AGI may invest in infrastructure debt projects in the electricity sector, which are subject to laws and regulations, approvals, and compliance requirements regarding electricity production, transmission, and sale. Compliance with the requirements under these various regulatory regimes may cause AGI to incur significant costs, and failure to comply with requirements could result in the disconnection and/or shutdown of the noncomplying facility, the inability to sell electricity from the non-complying facility, the default of contracts for the sales to be made from the non-complying facility, defaults under financing agreements, the imposition of liens, fines, refunds and interest, and/or civil or criminal liability.

Risks of Industry Specific Tariffs.

A subcategory of change in law risk, the risk of tariffs on goods particularly from China, currently stands to impact many solar panel and other manufacturers, developers and end users. While it remains to be seen if this risk lessens or spreads to other segments of the industry, the uncertainty and additional costs resulting from the tariffs may impact project development costs, particularly in the solar and wind power industries for the near future.

Change in Government Support (Tax Credits, Net Metering, Tax Rates).

Another subcategory of change in law risk is the revision or repeal of current subsidies or preferential tax treatment. Solar and wind power generation projects have historically benefitted from tax credits and accelerated depreciation, among other incentives. Uncertainty around the future of such benefits (including tax credits, which are currently scheduled to sunset or be reduced in the near future) may slow development in these areas. Additionally, even should these tax credit and accelerated depreciation benefits remain fully in place in their current form, the reduction in the federal corporate income tax rate may lessen the appetite of certain investors for tax favored transactions and investments.

Additionally, some infrastructure projects will derive substantially all of their revenues from tolls, tariffs or other usage fees. Users of the applicable service may react negatively to any adjustments to the applicable rates, or the public may cause relevant government authorities to challenge such rates. In addition, adverse public opinion, or lobbying efforts by specific interest groups, could result in governmental pressure on an Investment or a fund to reduce its rates, or to forego planned rate increases. For further detail on rate regulation and the risks arising from tolls, tariffs and other usage fees, see also "*Risk Factors — Risks Relating to the Investments — Rate Regulation.*"

Unforeseen Events and Risk of Force Majeure Events

Use of infrastructure assets may be interrupted or otherwise affected by a variety of events outside of the control of AGI, the AIFM or the Investment Manager, including serious traffic accidents, natural disasters (including fire, floods, earthquakes and typhoons), man-made disaster (including terrorism and acts of war), defective design, construction and maintenance, slope failure, bridge and tunnel collapse, road subsidence, fuel prices, environmental legislation or regulation, general economic conditions, labor disputes, public health emergencies and other unforeseen circumstances and incidents. The physical risks of climate change, such as more frequent or more extreme weather events, changes in sea level, temperature and precipitation patterns, ground and surface water availability, and other related phenomena may exacerbate these risks. Certain of these events have affected toll roads, bridges, tunnels and other infrastructure assets in the past, and if the use of the infrastructure asset is interrupted in whole or in part for any period as a result of such events the relevant investment could experience a reduction in revenues, increased costs of maintenance or restoration and loss or reduction of overall public confidence. Such issues, if experienced at the facilities of one or more Investments in which AGI is invested, could adversely impact such Investments' returns or revenues, increase costs to repair and maintain certain systems, subject such Investments to potential litigation and/or damage claims and increase the level of oversight of the transmission and generation operations and infrastructure of such Investments, which may in turn impact AGI. In some cases, project agreements could be terminated if the events described above were so catastrophic that they could not be remedied within a reasonable period or at all.

Extreme weather events, including hurricanes or storms or other natural disasters, could be destructive and result in casualty losses that are not ultimately offset by insurance proceeds or in increased capital expenditures or costs, including supply chain costs. Moreover, an extreme weather event could cause disruption in service to customers due to downed wires and poles or damage to other operating equipment, which could result in an Investment foregoing sales of electricity and lost revenue. Similarly, an extreme weather event might affect the availability of generation and transmission capacity, limiting an Investment's ability to source or deliver electricity to where it is needed. These conditions, which cannot be reliably predicted, could have an adverse consequence by requiring an Investment to seek additional sources of electricity when wholesale markets are tight or to seek to sell excess electricity when those markets are weak. Variations in weather conditions, primarily temperature and humidity, also would be expected to affect the energy needs of customers.

Further, even weather within the normal range can impact production at certain energy power generation facilities, such as solar and wind energy projects. Actual conditions of such a project's location, even after feasibility assessments, may not perform sufficiently to meet projected energy generation levels, which could adversely affect AGI.

If solar or wind conditions are unfavorable, revenues from renewable generation facilities may be substantially below expectations. The electricity produced and revenues generated by a solar or wind energy generation facility is highly dependent on suitable solar or wind conditions, as applicable, and associated weather conditions, which are beyond the control of AGI, the AIFM or the Investment Manager. Furthermore, components of generating projects' systems, such as solar panels and inverters, could be damaged by severe weather, such as hailstorms or tornadoes. In addition, replacement and spare parts for key components may be difficult or costly to acquire or may be unavailable. Unfavorable weather and atmospheric conditions could impair the effectiveness of the generating assets or reduce their output beneath their rated capacity or require shutdown of key equipment, limiting the revenues of AGI's portfolio of renewable assets. In addition, climate change may have the long-term effect of changing wind patterns at AGI's projects. Changing wind patterns could cause changes in expected electricity generation. These events could also degrade equipment or components and the interconnection and transmission facilities' lives or maintenance costs.

Additionally, by their very nature as strategic investments, infrastructure debt investments in the target sectors may face greater risks of terrorist acts or political actions, and some of these risks may not be insurable. Risks that are beyond the control of AGI, the AIFM or the Investment Manager, including but not limited to acts of terrorism or related acts of war, natural disaster, hostile cyber intrusions or other catastrophic events, could have a material adverse effect on AGI's business, financial condition and results of operations. The infrastructure debt projects in which AGI invests, as well as the facilities of third parties on which the projects rely, may be targets of terrorist activities, as well as events occurring in response to or in connection with them, that could cause environmental repercussions and/or disrupt the projects' ability to operate and produce revenue. Strategic targets, such as energy projects, may be at greater risk of future terrorist activities than other domestic targets. Hostile cyber intrusions, including those targeting information systems as well as electronic control systems used at AGI's plants and for the related distribution systems, could disrupt business operations and result in loss of service to customers, as well as create significant expense to repair security breaches or system damage.

Some projects may be located in or near earthquake, fire, and/or flood zones, and certain of AGI's projects and suppliers conduct their operations in the same region or in other locations that are susceptible to disasters. The occurrence of a disaster, such as an earthquake, drought, flood or localized extended outages of critical utilities or transportation systems or any critical resource shortages, affecting AGI's Investments or their suppliers, could interrupt AGI's business, damage or destroy its facilities or those of its suppliers or the manufacturing equipment or inventory of its suppliers.

Any terrorist acts, environmental repercussions or disruptions or natural disasters could result in a significant decrease in revenues or significant reconstruction or remediation costs, beyond what could be recovered through insurance policies, which could have a material adverse effect on AGI's business, financial condition and results of operations.

Availability of Insurance

Certain losses of a catastrophic nature, such as wars, earthquakes, typhoons, hurricanes, terrorist attacks, floods, pandemics or other similar events, may be either uninsurable or insurable at such high rates that to maintain such coverage would cause an adverse impact on the related AGI Investments. In general, losses related to terrorism are becoming harder and more expensive to insure against. Some insurers are excluding terrorism coverage from their all-risk policies. In particular, the projects in which AGI will invest face risks inherent in the digital, energy, transportation, and utilities sectors. They will be exposed to public security, equipment, infrastructure, disaster, and environmental risks. Insurance policies may not cover losses as a result of force majeure. In addition, while an Investment's insurance policies for some of its projects may cover losses as a result of certain types of natural disasters, terrorist attacks or sabotage, among other things, such coverage is not always available in the insurance market on commercially reasonable terms and is often capped at predetermined limits, such as by offering significantly limited coverage against terrorist acts for additional premiums, which can greatly increase the total costs of casualty insurance for a property, if decided to be obtained. As a result, all AGI Investments may not be insured against terrorism or certain other risks. In addition, an Investment's insurance policies are subject to annual review by its insurers and may not be renewed on similar or favorable terms or at all. A serious uninsured loss or a loss significantly exceeding the limits of an Investment's insurance policies could have a material adverse effect on its business, financial condition and results of operations, such as losing both invested capital in and anticipated profits from the affected AGI Investments. In general, the Investment Manager will not have discretion as to the type and level of coverage to obtain, or whether to obtain insurance at all.

Negative Publicity

AGI's investment strategy may include the making of investments in companies that receive a high degree of media coverage. Negative or unfavorable publicity regarding a company's product, product quality, litigation, or regulatory activity, or regarding the actions of third parties with whom it has relationships could seriously harm a company's brand, reputation and business. In addition, events in a company's industry, even if unrelated to such company, may negatively affect its brand, reputation and business. As a result, such negative or unfavorable publicity may adversely impact the company's and/or AGI's reputation, and may result in material adverse consequences to AGI's investment in the company and, potentially, AGI's ability to execute its investment strategy.

Business Risk

Like any other business, the viability of an infrastructure asset is reliant on the revenue, costs and profitability of that asset. Variability in any of these factors will affect the value of an Investment. These risks are particularly acute for construction ready investments that lack established revenue and profitability track records.

Infrastructure assets can often experience gradually increasing or fluctuating patronage in the early years of operation, and there is also a risk that the demand for use of the asset may be less than originally projected.

Operational Risk and Technology

AGI may invest in operating infrastructure facilities. Operation of such facilities involves certain operational risks, which include: the possibility of performing below expected levels of output, availability or efficiency; interruption in fuel or other necessary supplies; increases in the cost of necessary supplies; disruptions in the offtake of energy or other production; power shutdowns; breakdown or failure of equipment or processes; accidental discharges of hazardous materials; labor disputes; changes in law; failure to obtain or maintain necessary governmental permits; or catastrophic events such as fires, earthquakes, lightning, explosions, hurricanes, tornados, floods or similar occurrences affecting a facility owned by an Investment of AGI or its

offtaker or other project counterparties. Environmental factors such as levels of solar irradiation, wind power, and flood levels all may affect various renewable energy production.

Most infrastructure assets are operated and maintained by external parties under contractual relationships. Poor operational and maintenance performance by these third parties may have a negative effect on the value of an Investment. Demand, usage and throughput risk can affect the performance of Investments. To the extent that assumptions regarding the demand, usage and throughput of assets prove incorrect, returns to AGI could be adversely affected. For further detail on demand, usage and throughput demand, usage and throughput demand, usage and throughput, see also “*Risk Factors — Risks Relating to the Investments — Demand/Usage Risk.*”

There is a risk that unforeseen factors may require capital expenditures in excess of forecasts and a risk that new or additional regulatory requirements, safety requirements or issues related to asset quality and integrity may result in the need for additional capital expenditure for replacement or reinforcement of infrastructure assets.

Environmental and Other Regulatory Risk

The operations of some Investments may be subject to numerous statutes, rules and regulations relating to environmental protection.

There is a possibility of existing or future environmental contamination, including soil and groundwater contamination, as a result of the spillage of hazardous materials or other pollutants. Under various environmental statutes, rules and regulations of the appropriate jurisdiction, a current or previous owner or operator of real property may be liable for non-compliance with applicable health and safety requirements and for the cost of investigation, monitoring, removal or remediation of hazardous materials. These laws often impose liability whether or not the owner or operator knew of, or was responsible for, the presence of hazardous materials.

The presence of these hazardous materials on a property could also result in personal injury, property damage or similar claims by private parties. Persons who arrange for the disposal or treatment of hazardous materials may also be liable for the costs of removal or remediation of those materials at the disposal or treatments facility, whether or not that facility is or ever was owned or operated by that person. Any liability of Investments resulting from non-compliance or other claims relating to environmental matters could have a materially adverse effect on the value of AGI’s Investments in those companies.

Additionally, in recent years, a growing concern has emerged nationally and internationally about global climate change and how greenhouse gas emissions (“GHGs”), such as CO₂ and methane, contribute to global climate change.

Changes in these laws, policies, or regulations, or changes in the interpretation or application of existing laws, policies, and regulations that modify the present regulatory environment, could also have an adverse effect on AGI’s Investments.

Construction and Project Management

Investments in construction ready or development-stage infrastructure assets may result in exposure to the risk that construction will not be completed on time, within budget or to specifications. Such risks may include geological problems and difficulties in obtaining (i) regulatory, environmental or other approvals or permits; (ii) financing; and (iii) suitable equipment supply, operating and offtake contracts, any of which could give rise to delays or costs overruns. A material delay or increase in costs could significantly impair the financial viability of an infrastructure investment project and result in a material adverse effect on AGI’s Investments. Similar risks may also apply to operational assets in relation to any development works conducted. The revenue and cost implications of this risk may adversely impact the value of an Investment. Furthermore, market conditions may change during the course of development that make such development less attractive than at the time it was commenced. In addition, there are risks inherent in the construction work that may give rise to claims or demands against an Investment from time to time.

Project Development Risk

The successful development of projects and the operations of companies in which AGI may invest may depend on adequate infrastructure being available (or being developed) and remaining available. These projects and companies may be located in areas that are sparsely populated and difficult to access. Reliable roads, power sources, transportation infrastructure and water supplies are essential for the conduct of project development and operations and the availability and cost of these utilities and infrastructure affect capital and operating costs. Unusual weather or other natural phenomena, sabotage or other interference in the maintenance or provision of

such infrastructure could impact the development of a project, reduce production volumes, increase extraction or exploration costs or delay the transportation of raw materials to the mines and projects and commodities to end customers. Any such issues arising in respect of the infrastructure may materially and adversely impact an investment by AGI.

Technical Risk

Investments in the infrastructure industry may be subject to technical risks, including the risk of mechanical breakdown, spare parts shortages, failure to perform according to design specifications and other unanticipated events which adversely affect operations. While the Investment Manager intends to seek investments in which creditworthy and appropriately bonded and insured third parties bear much of these risks, there can be no assurance that any or all such risks can be mitigated or that such parties, if present, will perform their obligations.

Health and Safety Risk

The employees and staff of infrastructure businesses are exposed to health and safety risks that could result in death, permanent disability or other serious injury that may disrupt the operations of AGI's Investments, lead to economic loss, litigation or penalties for regulatory or contractual non-compliance, and may also adversely impact the reputation of Investments and AGI. Moreover, any loss from such events may not be recoverable under relevant insurance policies.

Sovereign and Regulatory Risk

The concessions of certain Investments may be granted by government bodies and are subject to risks, including the risk that the relevant government bodies will exercise sovereign rights and take actions contrary to the rights of AGI or the relevant Investment under the relevant concession agreement. There can be no assurance that the relevant government bodies will not legislate, impose regulations or change applicable laws or act contrary to the law in a way that would materially and adversely affect the business of the Investments.

In many instances, the acquisition of infrastructure assets involves an ongoing relationship with a government agency. The nature of the arrangements can expose owners to a higher level of regulatory control than typically imposed on other businesses. The repealing, amending or enacting of a new law or regulation (or a new interpretation of the law or regulation) can substantially affect an infrastructure project.

Many of the Investments may be subject to substantial regulation by governmental agencies. In addition, their operations may rely on government permits, licenses, concessions, leases or contracts that are generally very complex and may result in a dispute over interpretation or enforceability. If Investments fail to comply with these regulations or contractual obligations, they could be subject to monetary penalties or may lose rights to operate the affected business, or both.

The leases or concessions may also contain clauses more favorable to the government counterparty than a typical commercial contract. For instance, a lease or concession may enable the government to terminate the lease or concession in certain circumstances without requiring the payment of adequate compensation. Government counterparties also may have the discretion to change or increase regulation of Investment operations, or implement laws or regulations affecting their operations, separate from any contractual rights they may have. Governments have considerable discretion in implementing regulations that could affect the businesses carried on by Investments, and because such businesses provide basic, everyday services, and face limited competition, governments may be influenced by political considerations and may make decisions that adversely affect such businesses.

Where an Investment is the sole or predominant service provider in its service area and provides services that are essential to the community, it may be subject to rate regulation by governmental agencies that will determine the prices it may charge. Investments may be subject to unfavorable price determinations that may be final with no right of appeal or which, despite a right of appeal, could result in profits being negatively affected. For further detail on rate regulation and the risks arising from tolls, tariffs and other usage fees, see also "*Risk Factors — Risks Relating to the Investments — Rate Regulation.*"

Risks Relating to an investment in the Shares

There is no guarantee that additional investors will subscribe to AGI in the future.

AGI has no minimum size. There is no guarantee that additional investors will make subscriptions to AGI in the future. If AGI fails to raise additional subscriptions, the existing Shareholders will be required to bear all

Organizational Expenses and Operating Expenses, which the Investment Manager currently anticipates to be consistent with the level of expenses which would be expected if a fund size had been fixed. As a result, such Shareholders would be required to bear a disproportionate share of AGI's expenses and obligations as compared to investors participating in a larger fund.

AGI size may not be sufficiently large to meet the opportunity set. The size of AGI may be too small to enable AGI to invest in the opportunities that Ares finds.

Shareholders may receive in-kind distributions.

Although AGI ELTIF Fund expects to distribute only cash to the Shareholders, there can be no assurance that this expectation will be met. Under certain circumstances as the Investment Manager deems appropriate, the Shareholders may receive in kind distributions, if permitted by law, the Prospectus and the Articles. Such securities, instruments or other property may not be readily marketable or saleable and may be required to be held by the Shareholders for an indefinite period of time, during which depreciations in value may occur.

Substantial redemptions may adversely impact AGI's performance.

Substantial redemption requests could be triggered by a number of events, including, without limitation, unsatisfactory performance, events in the markets, significant change in personnel or management of Ares, removal or replacement of the AIFM as alternative investment manager of AGI or the Investment Manager as the investment manager of AGI, legal or regulatory issues that investors perceive to have a bearing on AGI, the AIFM or the Investment Manager, or other events. Actions taken to meet substantial redemption requests from AGI (as well as similar actions taken simultaneously by investors of any other investment funds, managed accounts, proprietary accounts and other investment vehicles sponsored, managed or advised by the AIFM, the Investment Manager, or their affiliates) could result in prices of securities and other assets held by AGI decreasing and in Operating Expenses increasing (e.g., transaction costs and the costs of terminating agreements). The overall value of AGI also may decrease because the liquidation value of certain assets may be materially less than their cost or mark-to-market value. AGI may be forced to sell its more liquid investments (including the Debt and Other Instruments), which may cause an imbalance in the portfolio that could have a material adverse effect on the remaining Shareholders. Even if AGI decides to satisfy all outstanding redemption requests, AGI's cash flow could be materially adversely affected. In addition, if the Investment Manager determines to liquidate certain of AGI's holdings to satisfy redemption requests, it may not be able to meet future redemption requests. Substantial redemptions could also significantly restrict AGI's ability to obtain financing or transact with derivatives counterparties needed for its investment strategies, which would have a further material adverse effect on AGI's performance. If AGI experiences significant redemption requests, it may not be able to accomplish its objectives and may dispose of its investments at a disadvantageous time (resulting in Shareholders not having their capital invested and / or deployed in the manner originally contemplated or investments being sold at a loss). There can be no certainty regarding AGI's ability to consummate Investments, restructuring or exit opportunities after substantial repurchases. AGI and the Investment Manager generally will not disclose to Shareholders the amount of pending redemption or redemption requests and are under no obligation in this Prospectus to make any such disclosure.

AGI has not established any limit on the amount of funds AGI may use from available sources, such as borrowings, if any, or proceeds from this offering to fund distributions (which may reduce the amount of capital AGI ultimately invest in assets).

Shareholders should understand that any distributions made from sources other than cash flow from operations or relying on fee or expense reimbursement waivers, if any, from the Investment Manager or the Central Administration are not based on AGI's investment performance, and can only be sustained if AGI achieves positive investment performance in future periods and/or the Investment Manager or the Central Administration continues to make such expense reimbursements, if any. The extent to which AGI pays distributions from sources other than cash flow from operations will depend on various factors, including the level of participation in AGI's distribution reinvestment plan, how quickly AGI invests the proceeds from this and any past or future offering and the performance of AGI's investments. Shareholders should also understand that AGI's future repayment to the Investment Manager will reduce the NAV at the time AGI makes such reimbursement payment and may reduce future distributions to which the Shareholders would otherwise be entitled. There can be no assurance that AGI will achieve such performance in order to sustain these distributions, or be able to pay distributions at all. The Investment Manager or the Central Administration have no obligation to waive fees or receipt of expense reimbursements, if any.

AGI's ability to raise capital may impact the number and type of investments AGI may make, AGI's expenses may be higher relative to AGI's total assets, and the value of the Shareholders' investment in AGI may be reduced in the event AGI's assets under-perform.

Amounts that AGI raises may impact AGI's ability to purchase a broad portfolio of investments. To the extent that AGI is unable to raise all the capital AGI seeks, the opportunity for AGI to purchase a broad portfolio of investments may be decreased and the returns achieved on those investments may be reduced as a result of allocating all of AGI's expenses among a smaller capital base. To the extent that AGI is unable to raise all the capital AGI seeks, AGI may not achieve certain economies of scale and AGI's expenses may represent a larger proportion of AGI's total assets.

AGI may have difficulty sourcing investment opportunities.

AGI cannot assure investors that AGI will be able to locate a sufficient number of suitable investment opportunities to allow AGI to deploy all available capital successfully. In addition, privately negotiated investments in loans and illiquid securities of private Investments require substantial due diligence and structuring, and AGI cannot assure investors that AGI will achieve AGI's anticipated investment pace. As a result, investors will be unable to evaluate Investment investments prior to purchasing the Shares. Additionally, the Investment Manager selects AGI's investments, and the Shareholders have no input with respect to such investment decisions. These factors increase the uncertainty, and thus the risk, of investing in the Shares. To the extent AGI is unable to deploy all capital, AGI's investment income and, in turn, AGI's results of operations, will likely be materially adversely affected.

In addition, AGI anticipates, based on the amount of proceeds that may be raised at the beginning stages of AGI's investment operations, that it could take some time to invest substantially all of the capital AGI expects to raise due to market conditions generally and the time necessary to identify, evaluate, structure, negotiate and close suitable investments in companies. Distributions paid during this period may be substantially lower than the distributions AGI expects to pay when AGI's portfolio is fully invested. AGI will pay the Management Fee to the AIFM (and/or such other combination of persons as the Investment Manager may designate) throughout this interim period irrespective of AGI's performance. If the Management Fee and AGI's other expenses exceed the return on the temporary investments, AGI's equity capital will be reduced. If AGI does not produce positive investment returns, expenses and fees will reduce the amount of the original invested capital recovered by the Shareholders to an amount less than the amount invested in AGI by such Shareholders.

The NAV of the Shares, and liquidity, if any, of the market for the Shares may fluctuate significantly.

The capital and credit markets have experienced periods of extreme volatility and disruption over the past several years. The NAV may be significantly affected by numerous factors, some of which are beyond AGI's control and may not be directly related to AGI's operating performance. These factors include:

- price and volume fluctuations in the capital and credit markets from time to time;
- changes in law, regulatory policies or tax guidelines, or interpretations thereof;
- changes in accounting guidelines governing valuation of AGI's investments;
- loss of a major funding source;
- AGI's ability to manage AGI's capital resources effectively;
- changes in AGI's earnings or variations in AGI's operating results;
- changes in the value of AGI's portfolio of investments;
- any shortfall in investment income or net investment income or any increase in losses from levels expected by investors or securities analysts;
- departure of Ares' key personnel;
- uncertainty surrounding the strength of the U.S. economy;

- global unrest; and
- general economic trends and other external factors.

AGI's future credit ratings may not reflect all risks of an investment in AGI's debt securities.

Any credit ratings AGI receives will be an assessment by third parties of AGI's ability to pay AGI's obligations. Consequently, real or anticipated changes in such credit ratings will generally affect the market value of any debt securities AGI issues. Such credit ratings, however, may not reflect the potential impact of risks related to market conditions generally or other factors on the market value of or any trading market for any debt securities AGI issues.

Risk Factors Related to Federal Income Taxation

Investors will be subject to complex tax considerations and may be subject to different tax liability.

An investment in AGI may involve complex tax considerations that will differ for each Shareholder, and there may be delays in distributing important tax information to Shareholders. In addition, AGI will take positions with respect to certain tax issues that depend on legal and other interpretive conclusions. Should an applicable tax authority successfully challenge any such positions, AGI or a Shareholder might be found to have a different tax liability for that year than that reported on the applicable tax return.

AGI cannot predict how tax reform legislation will affect it, its investments, or its Shareholders, and any such legislation could adversely affect its business.

Any change of AGI's tax status or in taxation legislation or any interpretation thereof in Luxembourg or any country where AGI has assets or operations could affect the value of the assets held by AGI or its ability to achieve its investment strategy or provide favorable returns to Shareholders. Any such change could also adversely affect the net amount of any distributions made to Shareholders. If AGI is treated as having a permanent establishment, or as otherwise being engaged in a trade or business, in any country in which it invests or in which its interests are managed, income attributable to or effectively connected with such permanent establishment or trade or business may be subject to tax in the place of such permanent establishment.

All statements contained in this Prospectus concerning the income tax consequences of any investment in AGI are based upon existing law and the interpretations thereof. Therefore, no assurance can be given that the currently anticipated income tax treatment of an investment in AGI will not be modified by legislative, judicial or administrative changes, possibly with retroactive effect, to the detriment of Shareholders. Additionally, tax authorities in jurisdictions where AGI maintains investments may change their tax codes so as to materially increase the tax burden associated with an investment in AGI or to force or attempt to force increased disclosure from or about AGI and/or the Shareholders as to the identity of all persons having a direct or indirect interest in AGI. Such additional disclosure may take the form of additional filing requirements on Shareholders.

Changes in applicable law or interpretations of such law may in particular adversely affect AGI's ability to efficiently realize income or capital gains. To the extent possible, AGI will seek to structure its investments and activities to minimize its tax liability; however, there can be no assurance that AGI will be able to eliminate its tax liability or reduce it to a specified level. Shareholders should be aware that the described tax effects are based on the currently applicable law and its interpretation by jurisprudence and the respective tax authorities.

AGI will have to withhold tax on payments to certain types of income to FFIs.

Under the Foreign Account Tax Compliance Act ("FATCA"), all entities in a broadly defined class of foreign financial institutions ("FFIs") must comply with a complicated and expansive reporting regime or be subject to a 30% U.S. withholding tax on certain U.S. payments and non-U.S. entities which are not FFIs must either certify they have no substantial U.S. beneficial ownership or report certain information with respect to their substantial U.S. beneficial ownership or be subject to a 30% U.S. withholding tax on certain U.S. payments. FATCA also contains complex provisions requiring participating FFIs to withhold on certain "foreign passthru payments" made to non-participating FFIs and to holders that fail to provide the required information. The definition of a "foreign passthru payment" is still reserved under the current regulations, however the term generally refers to payments that are from non-U.S. sources but that are "attributable to" certain U.S. payments described above. Withholding on these payments is not set to apply before the date that is two years after the definition of "foreign passthru payment" is published in the Federal Register. In general, non-U.S. investment funds, such as underlying entities

in which AGI may invest are expected to be considered FFIs. The reporting requirements imposed under FATCA require FFIs to enter into agreements with the U.S. Internal Revenue Service (the “**IRS**”) to obtain and disclose information about certain investors to the IRS or, if subject to an intergovernmental agreement (“**IGA**”), register with the IRS and comply with the reporting requirements regime of the IGA and any implementing legislation enacted thereunder. IGAs are generally intended to result in the automatic exchange of tax information through reporting by an FFI to the government or tax authorities of the country in which such FFI is domiciled, followed by the automatic exchange of reported information with the IRS, and to comply with the reporting requirements regime of the IGA and any implementing legislation enacted thereunder. Ares intends that any non-U.S. partnership that constitutes an FFI would comply, to the extent reasonably practicable, with the reporting requirements to avoid the imposition of the withholding tax, but if such FFI does not do so (because, for example, investors fail to provide the required information), certain payments made to any such FFI may be subject to a withholding tax, which would reduce the cash available to investors. Further, these reporting requirements may apply to underlying entities in which AGI invests, and AGI may not have control over whether such entities comply with the reporting regime. Such withheld amounts that are allocable to a Shareholder may be deemed to have been distributed to such Shareholder to the extent the taxes reduce the amount otherwise distributable to such Shareholder. Potential investors should consult their own tax advisors regarding all aspects of FATCA as it affects their particular circumstances.

AGI or the Shareholders may be subject to taxes in the jurisdictions in which investments are made.

AGI, vehicles through which AGI makes Investments, or Shareholders may be subject to income or other tax in the jurisdictions in which investments are made, jurisdictions in which AGI operates, and/or jurisdictions of entities through which AGI makes investments. Additionally, withholding tax or branch tax may be imposed on AGI’s earnings (or vehicles through which AGI invests) from AGI’s investments in such jurisdictions. Local and other tax incurred in non-U.S. jurisdictions by AGI or vehicles through which AGI invests may not be creditable to or deductible by a Shareholder under the tax laws of the jurisdiction where such Shareholder resides, including the U.S. There can be no assurance that tax authorities in such jurisdictions will not treat AGI (or any of AGI’s affiliates) as if AGI/they have a permanent establishment in the local jurisdiction, which would result in additional local taxation. Changes to taxation treaties (or their interpretation) between countries in Europe and countries through which AGI invests may adversely affect AGI’s ability to efficiently realize income or capital gains.

Prospective investors should consult their own tax advisor concerning the effects of federal, state, local and foreign income tax law on an investment in AGI and on the investors’ tax situation.

Use of U.S. Corporate Intermediate Vehicles.

Significant amounts of the assets of AGI are expected to be held through one or more U.S. entities taxable as corporations for U.S. federal income tax purposes (“**Corporations**”) and are expected to be subject to U.S. corporate federal (and applicable state and local) income tax. Because Shareholders will be located in numerous taxing jurisdictions and subject to different tax rules, no assurance can be given that any such structure will benefit all Shareholders to the same extent, including any structures or acquisitions utilizing leverage. Any such structure may result in additional indirect tax liabilities for certain Shareholders. Thus, significant incremental tax may be incurred from the use of such entities. In addition, any accrued, paid, unpaid or deferred taxes with respect to such entities will not be taken into account in calculating any Management Fees or Performance Fees. Prospective investors should consult their own tax advisors regarding the foregoing.

Interest AGI receives on certain loans it may make may be subject to U.S. withholding tax.

AGI expects to hold loans originated in the U.S. through a U.S. Corporation. Any such U.S. Corporation may be capitalized in part with shareholder loans (the “**Notes**”). Interest payments on such Notes will be subject to U.S. federal income withholding tax at a rate of 30% unless such interest qualifies as portfolio interest. The portfolio interest exemption is not available with respect to interest paid to an owner of 10% or more of the total combined voting power of all classes of voting equity of such Corporation and is subject to certain other limitations. While the Investment Manager expects to implement structures in order for AGI to qualify for the portfolio interest exemption, legislation could be proposed, and similar legislation has been proposed in the past, that would modify the definition of a 10% shareholder to also include any person who owns 10% or more of the total value of the stock of the issuer. If such legislation were to pass, such structures may not be effective in eliminating U.S. federal withholding tax applicable to interest payments on the Note. Further, even absent a change in law, the IRS could successfully assert that any such structure should not be respected, in which event the Loans may be subject to U.S. federal withholding tax at a rate of 30%.

General Risk Factors

Global economic, political and market conditions, including uncertainty about the financial stability of the United States, could have a significant adverse effect on AGI's business, financial condition and results of operations.

Concerns over the United States' debt ceiling and budget-deficit have driven downgrades by rating agencies to the U.S. government's credit rating. Downgrades by rating agencies to the U.S. government's credit rating or concerns about its credit and deficit levels in general could cause interest rates and borrowing costs to rise, which may negatively impact both the perception of credit risk associated with AGI's debt portfolio and AGI's ability to access the debt markets on favorable terms. In addition, a decreased U.S. government credit rating, any default by the U.S. government on its obligations, or any prolonged U.S. government shutdown, could create broader financial turmoil and uncertainty, which may weigh heavily on AGI's financial performance and the value of the Shares. U.S. debt ceiling and budget deficit concerns have increased the possibility of additional credit-rating downgrades and economic slowdowns or a recession in the United States.

Deterioration in the economic conditions in the Eurozone and other regions or countries globally and the resulting instability in global financial markets may pose a risk to AGI's business. Financial markets have been affected at times by a number of global macroeconomic events, including the following: large sovereign debts and fiscal deficits of several countries in Europe and in emerging markets jurisdictions, levels of non-performing loans on the balance sheets of European banks, and instability in the Chinese capital markets. Global market and economic disruptions have affected, and may in the future affect, the U.S. capital markets, which could adversely affect AGI's business, financial condition or results of operations. AGI cannot assure the Shareholders that market disruptions in Europe and other regions or countries, including the increased cost of funding for certain governments and financial institutions, will not impact the global economy, and AGI cannot assure the Shareholders that assistance packages will be available, or if available, be sufficient to stabilize countries and markets in Europe or elsewhere affected by a financial crisis. To the extent uncertainty regarding any economic recovery in Europe or elsewhere negatively impacts consumer confidence and consumer credit factors, AGI's business, financial condition and results of operations could be significantly and adversely affected. Moreover, there is a risk of both sector-specific and broad-based corrections and/or downturns in the equity and credit markets. Any of the foregoing could have a significant impact on the markets in which AGI operates and could have a material adverse impact on AGI's business prospects and financial condition.

Various social and political circumstances in the U.S. and around the world that are outside AGI's control may also contribute to increased market volatility and economic uncertainties or deterioration in the U.S. and worldwide. Such events, including trade tensions between the United States and China, other uncertainties regarding actual and potential shifts in U.S. and foreign, trade, economic and other policies with other countries, the ongoing war between Russia and Ukraine and conflicts in the Middle East and health epidemics and pandemics, could adversely affect AGI's business, financial condition or results of operations. Additionally, as a result of the 2024 U.S. election, the Republican Party currently controls both the executive and legislative branches of government, which increases the likelihood that legislation may be adopted that could significantly affect the regulation of U.S. financial markets. Regulatory changes could result in greater competition from banks and other lenders with which AGI competes for lending and other investment opportunities. The United States may also potentially withdraw from or renegotiate various trade agreements and take other actions that would change current trade policies of the United States. These market and economic disruptions could negatively impact the operating results of AGI's Investments. This could in turn materially reduce the NAV and dividends and adversely affect AGI's financial prospects and condition. Such events, including trade tensions between the United States and China, other uncertainties regarding actual and potential shifts in U.S. and foreign, trade, economic and other policies with other countries, the Russia-Ukraine war, and more recently the Israel-Hamas war and health epidemics and pandemics, could adversely affect AGI's business, financial condition or results of operations. Additionally, the Russia-Ukraine war, Israel-Hamas war and other armed conflicts may expand and may ultimately more actively involve the United States, Lebanon (and/or Hezbollah), Syria, Iran and/or other countries or terrorist organizations, any of which may exacerbate the risks described above. These market and economic disruptions could negatively impact the operating results of AGI's Investments. For further details of the potential impact of armed conflicts on AGI, please refer to Section XVI: "Risk Factors, Potential Conflicts of Interest and Other Considerations – "Russia-Ukraine Conflict" and "Conflicts in the Middle East" of the General Section of the Prospectus.

AGI may experience fluctuations in AGI's operating results.

AGI could experience fluctuations in AGI's operating results due to a number of factors, including the interest rates payable on the debt investments AGI makes, the default rates on such investments, the level of AGI's expenses, variations in and the timing of the recognition of realized and unrealized gains or losses, the degree to which AGI encounter competition in AGI's markets and general economic conditions. As a result of these factors, results for any period should not be relied upon as being indicative of performance in future periods.

Security incidents or cyber-attacks could adversely affect AGI's business by causing a disruption to AGI's operations, a compromise or corruption of AGI's confidential, personal or other sensitive information and/or damage to AGI's business relationships or reputation, any of which could negatively impact AGI's business, financial condition and operating results.

The efficient operation of AGI's business is dependent on information systems and technology, including computer hardware and software systems, as well as data processing systems and the secure processing, storage and transmission of information, all of which are potentially vulnerable to security incidents and cyber-attacks, which may include intentional attacks or accidental losses, either of which may result in unauthorized access to, or corruption of, AGI's hardware, software, or data processing systems, or to AGI's confidential, personal, or other sensitive information. In addition, AGI, the Investment Manager, the AIFM, the Central Administration, or their employees may be the target of fraudulent emails or other targeted attempts to gain unauthorized access to confidential, personal, or other sensitive information, which are becoming more sophisticated and difficult to detect. Cybersecurity risks are also exacerbated by the rapidly increasing volume of highly sensitive data, including AGI's proprietary business information and intellectual property, personal information of AGI's, the Investment Manager's, the AIFM's, the Central Administration's employees, their affiliates' employees, AGI's investors and others, and other sensitive information that Ares collects, processes and stores in its data centers and on its networks or those of its third-party service providers. Many jurisdictions have also enacted laws requiring companies to notify individuals of data security breaches involving certain types of personal information, with which AGI and Ares must comply in the event of a security incident or cyber-attack. The rapid evolution and increasing prevalence of artificial intelligence technologies may also increase AGI's and Ares' cybersecurity risks. The result of any security incident or cyber-attack may include disrupted operations, including in AGI and the Investment Manager's operations, misstated or unreliable financial data, fraudulent transfers or requests for transfers of money, liability for stolen or improperly accessed assets or information (including personal information), fines or penalties, investigations, increased cybersecurity protection and insurance costs, litigation, or damage to AGI's business relationships and reputation, in each case, causing AGI's business and results of operations to suffer or otherwise causing interruptions or malfunctions in AGI's, the Investment Manager's, the AIFM's, the Central Administration's employees', their affiliates' employees', AGI's investors', AGI's counterparties' or third parties' operations.

Although AGI is not currently aware of any security incidents or cyber-attacks that, individually or in the aggregate, have materially affected, or would reasonably be expected to materially affect, AGI's operations or financial condition, there has been an increase in the frequency and sophistication of the cyber and security threats that AGI faces, with attacks ranging from those common to businesses generally to more advanced and persistent attacks. Security incidents or cyber-attacks and other security threats could originate from a wide variety of sources, including cyber criminals, nation state hackers, hacktivists and other outside or inside parties, as well as through employee malfeasance. AGI or AGI's third-party providers may face a heightened risk of a security breach or disruption with respect to confidential, personal or other sensitive information resulting from an attack by foreign governments or cyber terrorists. AGI may be a target for attacks because, as a specialty finance company, AGI holds confidential, personal and other sensitive information, including price information, about existing and potential investments. Further, AGI is dependent on third-party service providers for hosting hardware, software and data processing systems that AGI does not control. AGI also relies on third-party service providers for certain aspects of AGI's businesses, including for certain information systems, technology and administration of AGI's funds and compliance matters. While AGI relies on the cybersecurity strategy and policies implemented by Ares, which includes the performance of risk assessments on third-party providers, AGI's reliance on them and their potential reliance on other third-party service providers removes certain cybersecurity functions from outside of AGI's immediate control, and cyber-attacks on Ares, on AGI or on AGI's third-party service providers could adversely affect AGI, AGI's business and AGI's reputation. AGI cannot guarantee that third parties and infrastructure in Ares' networks and Ares' and AGI's partners' networks have not been compromised or that they do not contain exploitable defects or bugs that could result in a breach of or disruption to Ares' information technology systems or the third-party information technology systems that support AGI's services. Ares' and AGI's ability to monitor these third parties' information security practices is limited, and they may not have adequate information security measures in place. The costs related to cyber-attacks or other security

threats or disruptions may not be fully insured or indemnified by others, including by AGI's third-party service providers.

Security incidents and cyber-attacks may originate from a wide variety of sources, and while Ares has implemented processes, procedures and internal controls designed to mitigate cybersecurity risks and cyber-attacks, these measures do not guarantee that a security incident or cyber-attack will not occur or that AGI's financial results, operations or confidential information, personal or other sensitive information will not be negatively impacted by such an incident, especially because the techniques of threat actors change frequently and are often not recognized until launched, and may be enhanced by artificial intelligence technologies. Ares relies on industry accepted security measures and technology to securely maintain confidential and proprietary information maintained on their information systems, as well as on policies and procedures to protect against the unauthorized or unlawful disclosure of confidential, personal or other sensitive information. Although Ares takes protective measures and endeavors to strengthen its computer systems, software, technology assets and networks to prevent and address potential security incidents and cyber-attacks, there can be no assurance that any of these measures prove effective. Ares expects to be required to devote increasing levels of funding and resources, which may in part be allocated to AGI, to comply with evolving cybersecurity and privacy laws and regulations and to continually monitor and enhance its cybersecurity procedures and controls.

Investments may also rely on similar systems and face similar risks. A disruption or compromise of these systems could have a material adverse effect on the value of these businesses. AGI may invest in strategic assets having a national or regional profile or in Infrastructure Assets, the nature of which could expose them to a greater risk of being subject to a terrorist attack or cyber-attack than other assets or businesses. Such an event may have material adverse consequences on AGI's investments or assets of the same type or may require applicable Investments to increase preventative security measures or expand insurance coverage.

There may be substantial financial penalties or fines for breach of privacy laws (which may include insufficient security for personal or other sensitive information). Non-compliance with any applicable privacy or data security laws represents a serious risk to AGI's business. Some jurisdictions have also enacted laws requiring companies to notify individuals of data security breaches involving certain types of personal information. Breaches in security could potentially jeopardize AGI's, the Investment Manager's, the AIFM's or the Central Administration's employees' or AGI's investors' or counterparties' confidential or other information processed and stored in, or transmitted through, AGI's or Ares' computer systems and networks (or those of AGI's third-party service providers), or otherwise cause interruptions or malfunctions in AGI's, the Investment Manager's, the AIFM's or the Central Administration's employees', AGI's investors', the Portfolio Companies, AGI's counterparties' or third parties' operations, which could result in significant losses, increased costs, disruption of AGI's business, liability to AGI's investors, portfolio companies and other counterparties, fines or penalties, litigation, regulatory intervention or reputational damage, which could also lead to loss of investors.

The prevailing use of social networks and social media could adversely affect AGI's business, financial condition and operating results.

The use of social networks, message boards, internet channels and other platforms has become widespread within the U.S. and globally. As a result, individuals now have the ability to rapidly and broadly disseminate information or misinformation, without independent or authoritative verification. Any such information or misinformation regarding AGI or its Investments could have a material and adverse effect on the value of AGI or its Investments.

Ineffective internal controls could impact AGI's business and operating results.

AGI's internal control over financial reporting may not prevent or detect misstatements because of its inherent limitations, including the possibility of human error, the circumvention or overriding of controls, or fraud. Even effective internal controls can provide only reasonable assurance with respect to the preparation and fair presentation of financial statements. If AGI fails to maintain the adequacy of AGI's internal controls, including any failure to implement required new or improved controls, or if AGI's experience difficulties in their implementation, AGI's business and operating results could be harmed and AGI could fail to meet AGI's financial reporting obligations.

Syndication; Warehousing.

Ares, Other Ares Funds, or affiliates or related parties of the foregoing or other parties (including for the avoidance of doubt any bank warehouse, which may be structured as a securitization, a total return swap, junior and/or "first loss" notes, the price of which will be linked to the value of the underlying assets, or otherwise, which in each

case may be guaranteed financed or partially financed by any of the foregoing) could acquire an Investment as principal and subsequently sell some or all of it to AGI, Other Ares Funds or co-investors in an affiliate or related party transaction. Similarly, AGI may acquire an Investment and subsequently syndicate, or sell some or all of it, to Ares, Other Ares Funds, co-investors, or affiliates or related parties of the foregoing or other third parties, notwithstanding the availability of capital from the Shareholders and other investors thereof or applicable credit facilities. The Sponsor may cause these transfers to be made at cost, or cost plus an interest rate or carrying cost charged from the time of acquisition to the time of transfer, notwithstanding that the fair market value of any such Investments may have declined below or increased above cost from the date of acquisition to the time of such transfer. The Sponsor may also determine another methodology for pricing these transfers, including fair market value at the time of transfer. It may be possible that AGI acquires transferred assets at above fair market value, and/or separately sell assets at below fair market value. The Board of Directors (or the non-affiliated directors thereof) may, but are not required to, approve the price, terms and conditions of such transfer and may approve or waive any conflicts arising in connection therewith on behalf of the Shareholders. Also, the Sponsor may charge fees on these transfers to either or both of the parties to them. The Sponsor or its affiliates will be permitted to retain any portion of an Investment initially acquired by them with a view to syndication to co-investors or other potential purchasers to the extent such portion has not been syndicated after reasonable efforts to do so. As part of structuring such syndication and warehousing arrangements, the Sponsor may require AGI and Other Ares Funds to enter into conditional purchase agreements, where AGI and/or such Other Ares Funds agree to acquire future warehoused Investments: (i) prior to their original acquisition; and (ii) prior to AGI and such Other Ares Funds having the requisite available capital to acquire such assets, in each case with such sale being conditional upon AGI and/or such Other Ares Funds (as the case may be) having sufficient available capital in order to acquire the relevant warehoused assets. The Sponsor expects to enter into a warehousing arrangement prior to the formation of AGI and, as part of the structuring of such syndication and warehousing arrangement, the Sponsor expects to require AGI to enter into a conditional purchase agreement on similar terms to those described in the foregoing sentences. Conflicts of interest are expected to arise in connection with these potential warehousing arrangements and any related affiliate transactions, including with respect to timing allocations of Investments to such warehousing, structuring, pricing and other terms of the transactions related thereto. For example, the Sponsor will have a conflict of interest when the Sponsor receives fees, including an incentive allocation, from an Other Ares Fund acquiring from or transferring to AGI all or a portion of an Investment.

These conflicts related to syndication of Investments and warehousing will not necessarily be resolved in favor of AGI, and Shareholders may not be entitled to receive notice or disclosure of the occurrence of these conflicts. By subscribing for Shares, Shareholders will be deemed to have consented to the syndication of Investments and warehousing to the extent the terms of such transactions are approved by the non-affiliated members of the Board of Directors (See also “*Risk Factors Relating to Conflicts of Interest*” of the General Section of the Prospectus).

SCHEDULE 1

SHARE CLASSES OF AGI ELTIF FUND

Class	Currency(ies)	Type of Share: Accumulating/ Distributing	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption deduction/ Redemption Fee (as determined by the Investment Manager)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)
A	EUR	Accumulating	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Early Redemption Deduction: 5.00%	Up to 1.25%	Up to 0.85%
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)			
B	EUR	Accumulating	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 1,000,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Early Redemption Deduction: 5.00%	Up to 1.25%	Up to 0.50%
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)			

Class	Currency(ies)	Type of Share: Accumulating/ Distributing	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption deduction/ Redemption Fee (as determined by the Investment Manager)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)
C	EUR	Accumulating	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 1,000,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Early Redemption Deduction: 5.00%	Up to 1.25%	0%
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)			
D	EUR	Accumulating	Eligible investors who have entered into a discretionary portfolio management mandate with their financial intermediary with automatic rebalancing requirements in relation to a model portfolio and other categories of investors, in each case as determined by the Investment Manager in its sole discretion.	Minimum Subscription Amount: EUR 100,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Redemption Fee (as determined by the Investment Manager): Up to 5.00%	Up to 1.25%	0%
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)			
E	EUR	Accumulating	Investors who are employees of Ares, Other Ares Funds and other persons, as approved by the Investment Manager in its discretion.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Redemption Fee (as determined by the Investment Manager)	0%	0%

Class	Currency(ies)	Type of Share: Accumulating/ Distributing	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption deduction/ Redemption Fee (as determined by the Investment Manager)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Manager): Up to 5.00%		
FA	EUR	Accumulating	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Early Redemption Deduction: 5.00%	Up to 1.25%	Up to 0.85%
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)			
FI	EUR	Accumulating	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Early Redemption Deduction: 5.00%	Up to 1.25%	0.00%

Class	Currency(ies)	Type of Share: Accumulating/ Distributing	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption deduction/ Redemption Fee (as determined by the Investment Manager)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)			
G	EUR	Accumulating	Eligible investors located in certain jurisdictions with delivery versus payment settlement requirements and other categories of investors, in each case as determined by the Investment Manager in its sole discretion and meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Redemption Fee (as determined by the Investment Manager): Up to 5.00%	Up to 1.25%	0%
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)			
G1	EUR	Accumulating	Eligible investors located in certain jurisdictions with delivery versus payment settlement requirements and other categories of investors, in each case as determined by the Investment Manager in its sole discretion and meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 5,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Redemption Fee (as determined by the Investment Manager)	Up to 2.50%	0%

Class	Currency(ies)	Type of Share: Accumulating/ Distributing	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption deduction/ Redemption Fee (as determined by the Investment Manager)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Manager): Up to 5.00%		
I	EUR	Accumulating	Eligible investors who have account-based fee arrangements, known as advisory/wrap accounts, discretionary managed accounts, or comparable fee arrangements with their distributor or other financial intermediary.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Early Redemption Deduction: 5.00%	Up to 1.25%	0%
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)			
R	EUR	Accumulating	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 10,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Early Redemption Deduction: 5.00%	Up to 2.00%	0%
		Distributing		Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)			

Class	Currency(ies)	Type of Share: Accumulating/ Distributing	Targeted Investors	Minimum Subscription Amount Minimum Subsequent Subscription Amount	Early Redemption deduction/ Redemption Fee (as determined by the Investment Manager)	Management Fee (on NAV p.a.)	Servicing Fee (on NAV p.a.)
R1	EUR	Accumulating	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 5,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion) Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Early Redemption Deduction: 5.00%	Up to 2.25%	0%
		Distributing					
R2	EUR	Accumulating	Eligible investors meeting the Minimum Subscription Amount.	Minimum Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion) Minimum Subsequent Subscription Amount: EUR 1,000 (or the equivalent in the Reference Currency, as determined by the Investment Manager in its discretion)	Early Redemption Deduction: 5.00%	Up to 2.50%	0%
		Distributing					

SCHEDULE 2

SUSTAINABILITY-RELATED DISCLOSURES

Introduction

Terms used in this Annex and not otherwise defined below have the meaning given to them in the Prospectus.

Articles 7(2) SFDR - No Consideration of Sustainability Adverse Impacts

At present, the AIFM (and/or its delegate(s)) does not, within the meaning of the SFDR, consider the adverse impacts of its investment decisions on sustainability factors in respect of AGI. The AIFM (and/or its delegate(s)) does not currently do so because, among other reasons, it is continuing to assess the applicable mandatory data collection and disclosure requirements for entities which opt in to considering the principal adverse impacts of their investment decisions, as well as its internal capabilities to comply with such requirements. The AIFM's position on this matter will be reviewed at least annually, and Ares will continue to actively seek to invest in systems and procedures which will enable us, over time, to gather more granular data on the impacts of investment on sustainability factors. As a firm, Ares will also continue its focus on creating long-term value for its investors, the companies in which they invest, and the communities where they live and work.

Article 6(1)(a)&(b) SFDR - Integration of Sustainability Risks and Likely Impact on Returns

The SFDR defines “sustainability risks” as environmental, social or governance events or conditions that, if they occur, could cause an actual or a potential material negative impact on the value of the investment.

The consideration of ESG factors and sustainability risks is, where possible, integrated into the AIFM's and the Investment Manager's investment processes. It is primarily the responsibility of the specific investment team evaluating an investment, along with the other risks which the team considers in line with the particular strategy and investment guidelines for AGI.

In order to ensure that sustainability risks are considered in a systematic manner, investment teams are required wherever practicable to highlight key sustainability considerations at the early stages of proposed investments, and subsequently, wherever practicable, to include sustainability risk assessment information within relevant internal documentation such as papers for investment committees, including wherever practicable by the application of ratings to individual sustainability risks together with overall conclusion ratings. Once investments are made, the Investment Manager continues as part of its portfolio management processes to monitor for sustainability risks. If appropriate for an investment, the AIFM or the Investment Manager may conduct sustainability risk-related due diligence and/or take steps to mitigate sustainability risks and preserve the value of the investment. The AIFM or the Investment Manager generally measure any relevant environmental or social matters using third-party standards, guidelines and metrics, data from Ares' portfolios, company reports and publicly available information, as the AIFM or Investment Manager deems relevant from time to time.

The Firm's policy and the AIFM's and the Investment Manager's approach as described above ensures that sustainability risks are integrated into both investment decision making and portfolio management to the extent that they represent potential or actual material risks to and opportunities for investments made for AGI. As part of that process, the AIFM and/or the Investment Manager have determined that sustainability risks are potentially relevant to the investment returns of AGI, having regard in each case to AGI's strategy and investment guidelines. The AIFM and/or Investment Manager will follow its procedures to identify and mitigate sustainability risks, although there can be no guarantee that they will successfully identify and mitigate all material risks.

With regard to AGI, many or all of the specific investment decisions involved will remain to be made in the future and, accordingly, identification and assessments of risks, including sustainability risks, will necessarily take place on an investment-by-investment basis in accordance with the policy described above.

As of the date hereof, no specific investment decisions have been made for AGI and accordingly the identification and assessments of risks, including sustainability risks, will take place on an investment-by-investment basis as noted above. The AIFM's assessment is that integration of sustainability risks in investment decisions, combined with a diversified portfolio appropriate for AGI in light of its investment objective and strategy, should help mitigate the potential material negative impact of sustainability risks on the returns of AGI, although there can be

no assurance that all such risks will be mitigated in whole or in part, nor identified prior to the date the risk materializes.

For further information with respect to the integration of sustainability risks for AGI, please refer to the pre-contractual disclosures set out in this Annex, as well as online at: (<https://www.ares.com/businesses-and-products/our-products/ares-global-infrastructure-fund-ELTIF>).

EU Taxonomy Regulation Disclosure

Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment (the “**Taxonomy Regulation**”) sets out a framework for classifying specific economic activities as “environmentally sustainable.” The investments underlying this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

APPENDIX B

CERTAIN SECURITIES LAW LEGENDS

FOR ALL NON-U.S. INVESTORS GENERALLY: IT IS THE RESPONSIBILITY OF ANY PERSONS WISHING TO SUBSCRIBE FOR SHARES TO INFORM THEMSELVES OF AND TO OBSERVE ALL APPLICABLE LAWS AND REGULATIONS OF ANY RELEVANT JURISDICTIONS. PROSPECTIVE INVESTORS SHOULD INFORM THEMSELVES AS TO THE LEGAL REQUIREMENTS AND TAX CONSEQUENCES WITHIN THE COUNTRIES OF THEIR CITIZENSHIP, RESIDENCE, DOMICILE AND PLACE OF BUSINESS WITH RESPECT TO THE ACQUISITION, HOLDING OR DISPOSAL OF SHARES, AND ANY FOREIGN EXCHANGE RESTRICTIONS THAT MAY BE RELEVANT THERETO.

FOR ALL EEA MEMBER STATE RESIDENTS ONLY: IN RELATION TO EACH MEMBER STATE OF THE EEA (EACH A “**MEMBER STATE**”) WHICH HAS IMPLEMENTED THE ALTERNATIVE INVESTMENT FUND MANAGERS DIRECTIVE (DIRECTIVE (2011/61/EU)) (THE “**AIFM DIRECTIVE**”) (AND FOR WHICH TRANSITIONAL ARRANGEMENTS ARE NOT AVAILABLE), THIS PROSPECTUS MAY ONLY BE DISTRIBUTED AND SHARES IN AEFS SICAV MAY ONLY BE OFFERED OR PLACED IN A MEMBER STATE TO THE EXTENT THAT: (1) AEFS SICAV IS PERMITTED TO BE MARKETING TO PROFESSIONAL INVESTORS IN THE RELEVANT MEMBER STATE IN ACCORDANCE WITH AIFM DIRECTIVE (AS IMPLEMENTED INTO THE LOCAL LAW/REGULATION OF THE RELEVANT MEMBER STATE), AS WELL AS TO (IN RESPECT OF NON-ELTIF SUB FUNDS) NON-PROFESSIONAL INVESTORS ABOVE THE THRESHOLDS AND/OR AT THE CONDITIONS IN ACCORDANCE TO WHICH THEY ARE ADMITTED TO INVEST IN RESERVED AIFS IN EACH RELEVANT MEMBER STATE, INCLUDING ITALIAN RETAIL INVESTORS UNDER ARTICLE 14, PARAGRAPH 2, OF THE MINISTERIAL DECREE NO. 30 OF 2015, AS AMENDED BY THE MINISTERIAL DECREE NO. 19 OF 2022, AND (IN RESPECT OF ELTIF SUB-FUNDS) RETAIL INVESTORS IN THE RELEVANT MEMBER STATE IN ACCORDANCE WITH THE EUROPEAN LONG-TERM INVESTMENTS FUNDS REGULATION (REGULATION (EU) 2015/760); OR (2) THIS PROSPECTUS MAY OTHERWISE BE LAWFULLY DISTRIBUTED AND THE SHARES MAY OTHERWISE BE LAWFULLY OFFERED OR PLACED IN THAT MEMBER STATE (INCLUDING AT THE EXCLUSIVE INITIATIVE OF THE INVESTOR).

FOR SWISS RESIDENTS ONLY: AEFS SICAV IS NOT APPROVED BY THE SWISS FINANCIAL MARKET SUPERVISORY AUTHORITY FINMA (“**FINMA**”) FOR OFFERING TO NON-QUALIFIED INVESTORS IN SWITZERLAND PURSUANT TO ART. 120 (1) AND (2) OF THE SWISS FEDERAL ACT ON COLLECTIVE INVESTMENT SCHEMES OF 23 JUNE 2006, AS AMENDED (“**CISA**”). ACCORDINGLY, PURSUANT TO ART. 120(4) CISA AND, SUBJECT TO THE FOLLOWING PARAGRAPH, THE SHARES MAY ONLY BE OFFERED OR ADVERTISED AND THIS PROSPECTUS, THE SUBSCRIPTION AGREEMENT AND ANY OTHER OFFERING MATERIAL OR DOCUMENT RELATING TO AEFS SICAV AND/OR THE SHARES MAY ONLY BE DISTRIBUTED OR OTHERWISE MADE AVAILABLE IN SWITZERLAND TO QUALIFIED INVESTORS AS DEFINED BY ARTICLE 10(3) AND (3TER) OF CISA, AS AMENDED (“**QUALIFIED INVESTOR(S)**”). INVESTORS IN AEFS SICAV DO NOT BENEFIT FROM THE SPECIFIC INVESTOR PROTECTION PROVIDED BY CISA AND THE SUPERVISION BY THE FINMA IN CONNECTION WITH THE APPROVAL FOR OFFERING.

NEITHER THIS PROSPECTUS NOR ANY OTHER OFFERING OR MARKETING MATERIAL RELATING TO AEFS SICAV OR THE SHARES HAVE BEEN OR WILL BE FILED WITH, OR APPROVED BY, ANY SWISS REGULATORY AUTHORITY. THE INVESTOR PROTECTION AFFORDED TO INVESTORS OF SHARES IN COLLECTIVE INVESTMENT SCHEMES UNDER THE CISA DOES NOT EXTEND TO ACQUIRERS OF THE SHARES.

THIS PROSPECTUS AND ANY ACCOMPANYING OFFERING MATERIAL, IF ANY, DOES NOT CONSTITUTE AN ISSUE PROSPECTUS WITHIN THE MEANING OF, AND HAS BEEN PREPARED WITHOUT REGARD TO THE DISCLOSURE STANDARDS FOR ISSUE PROSPECTUSES UNDER, THE SWISS FEDERAL ACT ON FINANCIAL SERVICES OF 15 JUNE 2018 (“**FINSA**”) OR THE DISCLOSURE STANDARDS FOR LISTING PROSPECTUSES UNDER THE LISTING RULES OF ANY STOCK EXCHANGE OR REGULATED TRADING FACILITY IN SWITZERLAND.

SWISS REPRESENTATIVE: MONT-FORT FUNDS AG, 63 CHEMIN PLAN-PRA, 1936 VERBIER, SWITZERLAND.

SWISS PAYING AGENT: BANQUE CANTONALE DE GENEVE, 17, QUAI DE L'ILE, 1204 GENEVA, SWITZERLAND.

PLACE OF PERFORMANCE AND JURISDICTION: THE PLACE OF PERFORMANCE FOR UNITS OF THE FOREIGN COLLECTIVE INVESTMENT SCHEMES OFFERED IN SWITZERLAND IS THE REGISTERED OFFICE OF THE SWISS REPRESENTATIVE. THE PLACE OF JURISDICTION IS THE REGISTERED OFFICE OF THE SWISS REPRESENTATIVE OR THE REGISTERED OFFICE OR PLACE OF RESIDENCE OF THE INVESTOR.

LOCATION WHERE THE RELEVANT DOCUMENTATION CAN BE OBTAINED: THIS PROSPECTUS AND ANY OTHER OFFERING MATERIAL OR DOCUMENT RELATING TO AEFS SICAV AS WELL AS THE ANNUAL AND SEMI-ANNUAL REPORTS MAY BE OBTAINED FREE OF CHARGE FROM THE SWISS REPRESENTATIVE.

FOR UNITED KINGDOM RESIDENTS ONLY: AEFS SICAV IS AN UNREGULATED COLLECTIVE INVESTMENT SCHEME AS DEFINED IN THE FINANCIAL SERVICES AND MARKETS ACT 2000 OF THE UNITED KINGDOM ("FSMA 2000"). AEFS SICAV HAS NOT BEEN AUTHORIZED, OR OTHERWISE RECOGNIZED OR APPROVED BY THE UK FINANCIAL CONDUCT AUTHORITY ("FCA") AND, AS AN UNREGULATED SCHEME, IT ACCORDINGLY CANNOT BE PROMOTED IN THE UNITED KINGDOM ("UK") TO THE GENERAL PUBLIC.

IN THE UK, THE CONTENTS OF THIS PROSPECTUS HAVE NOT BEEN APPROVED BY AN AUTHORIZED PERSON WITHIN THE MEANING OF SECTION 21 OF FSMA 2000. APPROVAL IS REQUIRED UNLESS AN EXEMPTION APPLIES UNDER SECTION 21 OF FSMA 2000. RELIANCE ON THIS PROSPECTUS FOR THE PURPOSE OF ENGAGING IN ANY INVESTMENT ACTIVITY MAY EXPOSE AN INDIVIDUAL TO A SIGNIFICANT RISK OF LOSING ALL THE PROPERTY OR OTHER ASSETS INVESTED. THIS PROSPECTUS WILL ONLY BE COMMUNICATED TO PERSONS TO WHOM A FINANCIAL PROMOTION CAN BE MADE LAWFULLY BY AN UNAUTHORIZED PERSON (WITHOUT PRIOR APPROVAL OF AN AUTHORIZED PERSON) PURSUANT TO THE FINANCIAL SERVICES AND MARKETS ACT 2000 (FINANCIAL PROMOTION) ORDER 2005 (AS AMENDED) (THE "FPO") AND THEN, IF MADE BY AN AUTHORIZED PERSON, ONLY WHERE IT CAN ALSO BE MADE UNDER THE FINANCIAL SERVICES AND MARKETS ACT 2000 (PROMOTION OF COLLECTIVE INVESTMENT SCHEMES) (EXEMPTIONS) ORDER 2001 (AS AMENDED) (THE "PCISO"). IT WILL THEREFORE ONLY BE COMMUNICATED TO: (I) PERSONS BELIEVED ON REASONABLE GROUNDS TO FALL WITHIN ONE OF THE CATEGORIES OF "INVESTMENT PROFESSIONALS" AS DEFINED IN ARTICLE 19(5) OF THE FPO AND ARTICLE 14 PCISO; (II) PERSONS BELIEVED ON REASONABLE GROUNDS TO BE "HIGH NET WORTH COMPANIES, UNINCORPORATED ASSOCIATIONS ETC" WITHIN THE MEANING OF ARTICLE 49 OF THE FPO AND ARTICLE 22 PCISO; (III) PERSONS WHO ARE "CERTIFIED SOPHISTICATED INVESTORS" AS DESCRIBED IN ARTICLE 50 OF THE FPO AND ARTICLE 23 PCISO, NAMELY PERSONS WHO HOLD A CURRENT CERTIFICATE AND WHO HAVE SIGNED A STATEMENT IN THE FORM PRESCRIBED BY THE PROMOTION ORDER NOT MORE THAN TWELVE MONTHS PRIOR TO THE DATE OF THIS PROSPECTUS; (IV) PERSONS TO WHOM THIS PROSPECTUS MAY OTHERWISE LAWFULLY BE PROVIDED IN ACCORDANCE WITH FSMA 2000, AND THE FPO (AS AMENDED); AND (V) IF COMMUNICATED BY A FIRM AUTHORIZED BY THE FCA, TO PERSONS WHO FALL WITHIN THE EXEMPTIONS SET OUT IN RULE 4.12B.7 (5) OF THE FCA'S CONDUCT OF BUSINESS SOURCEBOOK. ANY PERSON WHO IS IN ANY DOUBT ABOUT THE INVESTMENT TO WHICH THIS PROSPECTUS RELATES SHOULD CONSULT AN AUTHORIZED PERSON SPECIALIZED IN ADVISING ON INVESTMENTS OF THE KIND IN QUESTION. TRANSMISSION OF THIS PROSPECTUS TO ANY OTHER PERSON IN THE UK IS UNAUTHORIZED AND MAY CONTRAVENE FSMA 2000.

TO THE EXTENT THIS PROSPECTUS IS COMMUNICATED BY A FIRM AUTHORIZED BY THE FCA IN RELIANCE ON ANY EXEMPTION SET OUT IN RULE 4.12B.7 (5) OF THE FCA'S CONDUCT OF BUSINESS SOURCEBOOK, THE FOLLOWING DISCLOSURE IS RELEVANT.

DON'T INVEST UNLESS YOU'RE PREPARED TO LOSE ALL THE MONEY YOU INVEST. THIS IS A HIGH-RISK INVESTMENT AND YOU ARE UNLIKELY TO BE PROTECTED IF SOMETHING GOES WRONG.

DUE TO THE POTENTIAL FOR LOSSES, THE FCA CONSIDERS THIS INVESTMENT TO BE VERY COMPLEX AND HIGH RISK.

WHAT ARE THE KEY RISKS?

1. YOU COULD LOSE ALL THE MONEY YOU INVEST

- IF THE BUSINESS OFFERING THIS INVESTMENT FAILS, THERE IS A HIGH RISK THAT YOU WILL LOSE ALL YOUR MONEY. BUSINESSES LIKE THIS OFTEN FAIL AS THEY USUALLY USE RISKY INVESTMENT STRATEGIES.
- ADVERTISED RATES OF RETURN AREN'T GUARANTEED. THIS IS NOT A SAVINGS ACCOUNT. IF THE ISSUER DOESN'T PAY YOU BACK AS AGREED, YOU COULD EARN LESS MONEY THAN EXPECTED OR NOTHING AT ALL. A HIGHER ADVERTISED RATE OF RETURN MEANS A HIGHER RISK OF LOSING YOUR MONEY. IF IT LOOKS TOO GOOD TO BE TRUE, IT PROBABLY IS.
- THESE INVESTMENTS ARE VERY OCCASIONALLY HELD IN AN INNOVATIVE FINANCE ISA ("IFISA"). WHILE ANY POTENTIAL GAINS FROM YOUR INVESTMENT WILL BE TAX FREE, YOU CAN STILL LOSE ALL YOUR MONEY. AN IFISA DOES NOT REDUCE THE RISK OF THE INVESTMENT OR PROTECT YOU FROM LOSSES.

2. YOU ARE UNLIKELY TO BE PROTECTED IF SOMETHING GOES WRONG

- THE FINANCIAL SERVICES COMPENSATION SCHEME ("FSCS"), IN RELATION TO CLAIMS AGAINST FAILED REGULATED FIRMS, DOES NOT COVER INVESTMENTS IN UNREGULATED COLLECTIVE INVESTMENT SCHEMES. YOU MAY BE ABLE TO CLAIM IF YOU RECEIVED REGULATED ADVICE TO INVEST IN ONE, AND THE ADVISER HAS SINCE FAILED. TRY THE FSCS INVESTMENT PROTECTION CHECKER HERE. [HTTPS://WWW.FSCS.ORG.UK/CHECK/INVESTMENT-PROTECTION-CHECKER/](https://www.fscs.org.uk/check/investment-protection-checker/)
- PROTECTION FROM THE FINANCIAL OMBUDSMAN SERVICE ("FOS") DOES NOT COVER POOR INVESTMENT PERFORMANCE. LEARN MORE ABOUT FOS PROTECTION HERE. [HTTPS://WWW.FINANCIAL-OMBUDSMAN.ORG.UK/CONSUMERS](https://www.financial-ombudsman.org.uk/consumers)

3. YOU ARE UNLIKELY TO GET YOUR MONEY BACK QUICKLY

- THIS TYPE OF BUSINESS COULD FACE CASH-FLOW PROBLEMS THAT DELAY PAYMENTS TO INVESTORS. IT COULD ALSO FAIL ALTOGETHER AND BE UNABLE TO REPAY ANY OF THE MONEY OWED TO YOU.
- YOU ARE UNLIKELY TO BE ABLE TO CASH IN YOUR INVESTMENT EARLY BY SELLING YOUR INVESTMENT. IN THE RARE CIRCUMSTANCES WHERE IT IS POSSIBLE TO SELL YOUR INVESTMENT IN A 'SECONDARY MARKET', YOU MAY NOT FIND A BUYER AT THE PRICE YOU ARE WILLING TO SELL.
- YOU MAY HAVE TO PAY EXIT FEES OR ADDITIONAL CHARGES TO TAKE ANY MONEY OUT OF YOUR INVESTMENT EARLY.

4. THIS IS A COMPLEX INVESTMENT

- THIS KIND OF INVESTMENT HAS A COMPLEX STRUCTURE BASED ON OTHER RISKY INVESTMENTS, WHICH MAKES IT DIFFICULT FOR THE INVESTOR TO KNOW WHERE THEIR MONEY IS GOING.
- THIS MAKES IT DIFFICULT TO PREDICT HOW RISKY THE INVESTMENT IS, BUT IT WILL MOST LIKELY BE HIGH.
- YOU MAY WISH TO GET FINANCIAL ADVICE BEFORE DECIDING TO INVEST.

5. DON'T PUT ALL YOUR EGGS IN ONE BASKET

- PUTTING ALL YOUR MONEY INTO A SINGLE BUSINESS OR TYPE OF INVESTMENT FOR EXAMPLE, IS RISKY. SPREADING YOUR MONEY ACROSS DIFFERENT INVESTMENTS MAKES YOU LESS DEPENDENT ON ANY ONE TO DO WELL.
- A GOOD RULE OF THUMB IS NOT TO INVEST MORE THAN 10% OF YOUR MONEY IN HIGH-RISK INVESTMENTS [HTTPS://WWW.FCA.ORG.UK/INVESTSMART/5-QUESTIONS-ASK-YOU-INVEST](https://www.fca.org.uk/investsmart/5-questions-ask-you-invest)

IF YOU ARE INTERESTED IN LEARNING MORE ABOUT HOW TO PROTECT YOURSELF, VISIT THE FCA'S WEBSITE HERE. [HTTPS://WWW.FCA.ORG.UK/INVESTSMART](https://www.fca.org.uk/investsmart)

FOR FURTHER INFORMATION ABOUT UNREGULATED COLLECTIVE INVESTMENT SCHEMES (UCIS), VISIT THE FCA'S WEBSITE HERE. [HTTPS://WWW.FCA.ORG.UK/CONSUMERS/UNREGULATED-COLLECTIVE-INVESTMENT-SCHEMES](https://www.fca.org.uk/consumers/unregulated-collective-investment-schemes)

FOR ARGENTINIAN RESIDENTS ONLY: THIS PROSPECTUS DOES NOT CONSTITUTE AN INVITATION TO BUY OR A SOLICITATION OF AN OFFER TO SELL SECURITIES OR ANY OTHER PRODUCTS OR SERVICES IN ARGENTINA AND SHARES IN AEFS SICAV ARE NOT AND WILL NOT BE OFFERED OR SOLD IN ARGENTINA, IN COMPLIANCE WITH SECTION NO. 310 OF THE ARGENTINE CRIMINAL CODE, EXCEPT IN CIRCUMSTANCES THAT DO NOT CONSTITUTE A PUBLIC OFFERING OR DISTRIBUTION UNDER ARGENTINEAN LAWS AND REGULATIONS. NO APPLICATION HAS BEEN OR WILL BE MADE WITH THE ARGENTINE COMISIÓN NACIONAL DE VALORES, THE ARGENTINE SECURITIES GOVERNMENTAL AUTHORITY, TO PUBLICLY OFFER AEFS SICAV OR THE SHARES THEREOF IN ARGENTINA. THE PROSPECTUS RELATING TO THIS OFFERING IS BEING SUPPLIED OR MADE AVAILABLE ONLY TO THOSE INVESTORS WHO HAVE EXPRESSLY REQUESTED IT IN ARGENTINA OR USED IN CONNECTION WITH AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY IN ARGENTINA EXCEPT IN CIRCUMSTANCES THAT DO NOT CONSTITUTE A PUBLIC OFFERING OR DISTRIBUTION UNDER ARGENTINEAN LAWS AND REGULATIONS. THE PROSPECTUS IS STRICTLY CONFIDENTIAL AND MAY NOT BE DISTRIBUTED TO ANY LEGAL OR NATURAL PERSON OR ENTITY OTHER THAN THE INTENDED RECIPIENTS THEREOF.

FOR AUSTRALIAN RESIDENTS ONLY: THE OFFER OF SHARES CONTAINED IN THIS PROSPECTUS IS DIRECTED ONLY TO PERSONS WHO QUALIFY AS:

- **“WHOLESALE CLIENTS”** WITHIN THE MEANING OF SECTION 761G OF THE CORPORATIONS ACT 2001 (CTH)

IF THE SHARES ARE TO BE ON SOLD OR TRANSFERRED TO INVESTORS IN AUSTRALIA WITHOUT A PRODUCT DISCLOSURE STATEMENT, OR OTHER REGULATED AUSTRALIAN DISCLOSURE DOCUMENT, WITHIN 12 MONTHS OF THEIR ISSUE, THEY MAY ONLY BE ON SOLD OR TRANSFERRED TO PERSONS IN AUSTRALIA WHO ARE ‘WHOLESALE CLIENTS’ UNDER SECTION 761G OF THE CORPORATIONS ACT 2001 (CTH) (THE “ACT”). EACH RECIPIENT OF THIS PROSPECTUS WARRANTS THAT IT IS, AND AT ALL TIMES WILL BE A “WHOLESALE CLIENT.”

THIS PROSPECTUS IS NOT A PRODUCT DISCLOSURE STATEMENT OR OTHER REGULATED DISCLOSURE DOCUMENT FOR THE PURPOSES OF THE CORPORATIONS ACT 2001 (CTH). THIS PROSPECTUS HAS NOT BEEN, AND WILL NOT BE, REVIEWED BY, NOR LODGED WITH, THE AUSTRALIAN SECURITIES AND INVESTMENTS COMMISSION AND DOES NOT CONTAIN ALL THE INFORMATION THAT A PRODUCT DISCLOSURE STATEMENT OR OTHER REGULATED DISCLOSURE DOCUMENT IS REQUIRED TO CONTAIN. THE DISTRIBUTION OF THIS PROSPECTUS IN AUSTRALIA HAS NOT BEEN AUTHORIZED BY ANY REGULATORY AUTHORITY IN AUSTRALIA. THIS PROSPECTUS IS PROVIDED FOR INFORMATION PURPOSES ONLY AND DOES NOT CONSTITUTE THE PROVISION OF ANY FINANCIAL PRODUCT ADVICE OR RECOMMENDATION. THIS PROSPECTUS DOES NOT TAKE INTO ACCOUNT THE INVESTMENT OBJECTIVES, FINANCIAL SITUATION AND PARTICULAR NEEDS OF ANY PERSON AND NEITHER AEFS SICAV, NOR ANY OTHER PERSON REFERRED TO IN THIS PROSPECTUS, IS LICENSED TO PROVIDE FINANCIAL

PRODUCT ADVICE IN AUSTRALIA. YOU SHOULD CONSIDER CAREFULLY WHETHER THE INVESTMENT IS SUITABLE FOR YOU, HAVING REGARD TO YOUR INVESTMENT OBJECTIVES, FINANCIAL SITUATION AND PARTICULAR NEEDS. THERE IS NO COOLING-OFF REGIME THAT APPLIES IN RELATION TO THE ACQUISITION OF THESE SHARES IN AUSTRALIA.

THIS PROSPECTUS HAS NOT BEEN PREPARED SPECIFICALLY FOR AUSTRALIAN INVESTORS. IT:

- MAY CONTAIN REFERENCES TO DOLLAR AMOUNTS WHICH ARE NOT IN AUSTRALIAN DOLLARS;
- MAY CONTAIN FINANCIAL INFORMATION WHICH IS NOT PREPARED IN ACCORDANCE WITH AUSTRALIAN LAW OR PRACTICES;
- MAY NOT ADDRESS RISKS ASSOCIATED WITH INVESTMENT IN FOREIGN CURRENCY DENOMINATED INVESTMENTS; AND
- DOES NOT ADDRESS AUSTRALIAN TAX ISSUES.

AEFS SICAV IS NOT A REGISTERED SCHEME OR REGISTERED AS A FOREIGN COMPANY IN AUSTRALIA, NOR IS THE INVESTMENT ADVISOR.

FOR BAHAMIAN RESIDENTS ONLY: THE SHARES MAY NOT BE OFFERED OR SOLD IN OR FROM WITHIN THE BAHAMAS UNLESS THE OFFER OR SALE IS MADE BY A PERSON APPROPRIATELY LICENSED OR REGISTERED TO CONDUCT SECURITIES BUSINESS IN OR FROM WITHIN THE BAHAMAS.

SHARES MAY NOT BE OFFERED OR SOLD, TRANSFERRED TO, REGISTERED IN FAVOR OF, BENEFICIALLY OWNED BY OR OTHERWISE DISPOSED OF IN ANY MANNER TO PERSONS (LEGAL OR NATURAL) DEEMED BY THE CENTRAL BANK OF THE BAHAMAS (THE “**CENTRAL BANK**”) AS RESIDENT FOR EXCHANGE CONTROL PURPOSES, UNLESS SUCH PERSONS DEEMED AS RESIDENT OBTAINS THE PRIOR APPROVAL OF THE CENTRAL BANK.

NO DISTRIBUTION OF THE SHARES MAY BE MADE IN THE BAHAMAS UNLESS A PRELIMINARY PROSPECTUS AND A PROSPECTUS HAVE BEEN FILED WITH THE SECURITIES COMMISSION OF THE BAHAMAS (THE “**SECURITIES COMMISSION**”) AND THE SECURITIES COMMISSION HAS ISSUED A RECEIPT FOR EACH DOCUMENT, UNLESS SUCH OFFERING IS EXEMPTED PURSUANT TO THE SECURITIES INDUSTRY REGULATIONS, 2012. THIS PROSPECTUS IS NOT, AND UNDER NO CIRCUMSTANCES IS TO BE CONSTRUED AS, AN ADVERTISEMENT OR AN OFFERING OR A SOLICITATION OF AN OFFER TO BUY, OR A DISTRIBUTION OF, THE SHARES DESCRIBED HEREIN IN THE BAHAMAS.

IF YOU ARE IN ANY DOUBT ABOUT THE CONTENTS OF THIS PROSPECTUS, PLEASE CONSULT YOUR STOCKBROKER, BANK MANAGER, COUNSEL AND ATTORNEY, ACCOUNTANT OR OTHER PROFESSIONAL FINANCIAL ADVISOR. NO ASSURANCE CAN BE GIVEN THAT PROFITS WILL BE ACHIEVED OR THAT SUBSTANTIAL LOSSES WILL NOT BE INCURRED. THE VALUE OF THE SHARES (AND THE INCOME THEREFROM) IS SUBJECT TO MARKET FLUCTUATIONS AND MAY GO UP AS WELL AS DOWN. AN INVESTMENT IN AEFS SICAV IS SPECULATIVE AND INVOLVES A HIGH DEGREE OF RISK.

NEITHER THE SECURITIES COMMISSION NOR ANY SIMILAR AUTHORITY IN THE BAHAMAS HAS REVIEWED OR IN ANY WAY PASSED UPON THE PROSPECTUS OR THE MERITS OF THE SHARES DESCRIBED HEREIN.

FOR BERMUDIAN RESIDENTS ONLY: THE SHARES BEING OFFERED HEREBY ARE BEING OFFERED ON A PRIVATE BASIS TO INVESTORS WHO SATISFY THE CRITERIA OUTLINED IN THIS PROSPECTUS. THIS PROSPECTUS IS NOT SUBJECT TO AND HAS NOT RECEIVED APPROVAL FROM EITHER THE BERMUDA MONETARY AUTHORITY OR THE REGISTRAR OF COMPANIES IN BERMUDA AND NO STATEMENT TO THE CONTRARY, EXPLICIT OR IMPLICIT, IS AUTHORIZED TO BE MADE IN THIS REGARD. THE SHARES BEING OFFERED MAY BE OFFERED OR SOLD IN BERMUDA ONLY IN COMPLIANCE WITH THE PROVISIONS OF THE COMPANIES ACT 1981 OF BERMUDA (AS AMENDED) AND, IF APPLICABLE, THE INVESTMENT BUSINESS ACT 2003 OF BERMUDA (AS AMENDED) AND THE EXCHANGE CONTROL ACT 1972 AND RELATED REGULATIONS OF BERMUDA (AS AMENDED) WHICH REGULATE THE SALE OF SECURITIES IN BERMUDA. BERMUDA INVESTORS MAY BE SUBJECT TO FOREIGN EXCHANGE CONTROL APPROVAL AND FILING REQUIREMENTS UNDER THE RELEVANT BERMUDA FOREIGN

EXCHANGE CONTROL REGULATIONS. ADDITIONALLY, NON-BERMUDIAN PERSONS MAY NOT CARRY ON OR ENGAGE IN ANY TRADE OR BUSINESS IN BERMUDA UNLESS SUCH PERSONS ARE AUTHORIZED TO DO SO UNDER APPLICABLE BERMUDA LEGISLATION. ENGAGING IN THE ACTIVITY OF OFFERING OR MARKETING THE SHARES BEING OFFERED IN BERMUDA TO PERSONS IN BERMUDA MAY BE DEEMED TO BE CARRYING ON BUSINESS IN BERMUDA.

FOR BRAZILIAN RESIDENTS ONLY: THE SHARES HAVE NOT BEEN AND WILL NOT BE ISSUED NOR PUBLICLY PLACED, DISTRIBUTED, OFFERED OR NEGOTIATED IN THE BRAZILIAN CAPITAL MARKETS AND, AS A RESULT, HAVE NOT BEEN AND WILL NOT BE REGISTERED WITH THE BRAZILIAN SECURITIES COMMISSION (COMISSÃO DE VALORES MOBILIÁRIOS – “CVM”). ANY PUBLIC OFFERING OR DISTRIBUTION, AS DEFINED UNDER BRAZILIAN LAWS AND REGULATIONS, OF THE SHARES IN BRAZIL IS NOT LEGAL WITHOUT PRIOR REGISTRATION UNDER LAW 6,385/76, AND CVM INSTRUCTION 400/03, EACH AS AMENDED. DOCUMENTS RELATING TO THE OFFERING OF THE SHARES, AS WELL AS INFORMATION CONTAINED THEREIN, MAY NOT BE SUPPLIED TO THE PUBLIC IN BRAZIL (AS THE OFFERING OF THE SHARES IS NOT A PUBLIC OFFERING OF SECURITIES IN BRAZIL), NOR BE USED IN CONNECTION WITH ANY OFFER FOR SUBSCRIPTION OR SALE OF THE SHARES TO THE PUBLIC IN BRAZIL. THEREFORE, EACH OF THE PURCHASERS HAS REPRESENTED, WARRANTED AND AGREED THAT IT HAS NOT OFFERED OR SOLD, AND WILL NOT OFFER OR SELL, THE SHARES IN BRAZIL, EXCEPT IN CIRCUMSTANCES WHICH DO NOT CONSTITUTE A PUBLIC OFFERING, PLACEMENT, DISTRIBUTION OR NEGOTIATION OF SECURITIES IN THE BRAZILIAN CAPITAL MARKETS REGULATED BY BRAZILIAN LEGISLATION. PERSONS WISHING TO OFFER OR ACQUIRE THE SHARES WITHIN BRAZIL SHOULD CONSULT WITH THEIR OWN COUNSEL AS TO THE APPLICABILITY OF REGISTRATION REQUIREMENTS OR ANY EXEMPTION THEREFROM.

FOR BRITISH VIRGIN ISLANDS RESIDENTS ONLY: THE SHARES MAY NOT BE OFFERED IN THE BRITISH VIRGIN ISLANDS UNLESS AEFS SICAV OR THE PERSON OFFERING THE SHARES ON ITS BEHALF IS LICENSED TO CARRY ON BUSINESS IN THE BRITISH VIRGIN ISLANDS. AEFS SICAV IS NOT LICENSED TO CARRY ON BUSINESS IN THE BRITISH VIRGIN ISLANDS. THE SHARES MAY BE OFFERED TO BRITISH VIRGIN ISLANDS BUSINESS COMPANIES (FROM OUTSIDE THE BRITISH VIRGIN ISLANDS) WITHOUT RESTRICTION. A BRITISH VIRGIN ISLANDS BUSINESS COMPANY IS A COMPANY FORMED UNDER OR OTHERWISE GOVERNED BY THE BVI BUSINESS COMPANIES ACT.

FOR CANADIAN RESIDENTS ONLY: THIS PROSPECTUS IS BEING PROVIDED TO YOU BY AEFS SICAV FOR INFORMATIONAL PURPOSES ONLY AND IS NOT, AND UNDER NO CIRCUMSTANCES SHOULD BE CONSTRUED AS, AN ADVERTISEMENT, OFFERING OR SOLICITATION FOR PURCHASERS OF SECURITIES IN CANADA. AEFS SICAV IS NOT REGISTERED, NOR IS IT CURRENTLY RELYING ON AN EXEMPTION FROM REGISTRATION, AS A DEALER, ADVISER OR INVESTMENT FUND MANAGER IN CANADA. INVESTMENTS IN SHARES MAY ONLY BE MADE BY ELIGIBLE PRIVATE PLACEMENT PURCHASERS THAT QUALIFY AS “ACCREDITED INVESTORS” AND “PERMITTED CLIENTS” UNDER APPLICABLE CANADIAN SECURITIES LAWS PURSUANT TO APPLICABLE CANADIAN PRIVATE PLACEMENT OFFERING DOCUMENTS, WHICH WILL BE PROVIDED TO YOU UPON REQUEST AND IN COMPLIANCE WITH APPLICABLE REGISTRATION REQUIREMENTS OR PURSUANT TO EXEMPTIONS FROM REGISTRATION. NO SECURITIES COMMISSION OR SIMILAR AUTHORITY IN CANADA HAS REVIEWED THIS MATERIAL OR HAS IN ANY WAY PASSED UPON THE MERITS OF ANY SHARES REFERENCED IN THIS MATERIAL AND ANY REPRESENTATION TO THE CONTRARY IS AN OFFENCE.

FOR CAYMAN ISLANDS RESIDENTS ONLY: THIS IS NOT AN OFFER TO THE PUBLIC IN THE CAYMAN ISLANDS TO SUBSCRIBE FOR SHARES, AND APPLICATIONS ORIGINATING FROM THE CAYMAN ISLANDS WILL ONLY BE ACCEPTED FROM CAYMAN ISLANDS EXEMPTED COMPANIES, CAYMAN ISLANDS LIMITED LIABILITY COMPANIES, TRUSTS REGISTERED AS EXEMPTED IN THE CAYMAN ISLANDS, CAYMAN ISLANDS EXEMPTED LIMITED PARTNERSHIPS, OR COMPANIES INCORPORATED IN OTHER JURISDICTIONS AND REGISTERED AS FOREIGN COMPANIES IN THE CAYMAN ISLANDS OR LIMITED PARTNERSHIPS FORMED IN OTHER JURISDICTIONS AND REGISTERED AS FOREIGN LIMITED PARTNERSHIPS IN THE CAYMAN ISLANDS.

A MUTUAL FUND LICENSE ISSUED OR A FUND REGISTERED BY THE CAYMAN ISLANDS MONETARY AUTHORITY (THE “AUTHORITY”) DOES NOT CONSTITUTE AN OBLIGATION OF THE

AUTHORITY TO ANY INVESTOR AS TO THE PERFORMANCE OR CREDITWORTHINESS OF AEFS SICAV. FURTHERMORE, IN ISSUING SUCH A LICENSE OR IN REGISTERING A FUND, THE AUTHORITY SHALL NOT BE LIABLE FOR ANY LOSSES OR DEFAULT OF AEFS SICAV OR FOR THE CORRECTNESS OF ANY OPINIONS OR STATEMENTS EXPRESSED IN ANY PROSPECTUS OR OFFERING DOCUMENT.

FOR CHILEAN RESIDENTS ONLY: THIS OFFER IS SUBJECT TO *NORMA DE CARACTER GENERAL N° 336* ISSUED BY THE COMMISSION FOR THE FINANCIAL MARKET (CMF) AND WILL COMMENCE ON THE DATE HEREOF. THIS OFFER IS ON SHARES NOT REGISTERED IN THE REGISTRY OF SECURITIES OR IN THE REGISTRY OF FOREIGN SECURITIES OF THE CMF, AND THEREFORE, IT IS NOT SUBJECT TO THE CMF OVERSIGHT. THE ISSUER IS UNDER NO OBLIGATION TO RELEASE INFORMATION ON THE SHARES IN CHILE. THESE SHARES CANNOT BE SUBJECT OF A PUBLIC OFFERING IF NOT PREVIOUSLY REGISTERED IN THE PERTINENT REGISTRY OF SECURITIES.

ESTA OFERTA SE REALIZA CONFORME A LA NORMA DE CARÁCTER GENERAL N° 336 DE LA COMISIÓN PARA EL MERCADO FINANCIERO (CMF) Y COMIENZA EN LA FECHA DE ESTA PRESENTACION. ESTA OFERTA VERSA SOBRE VALORES NO INSCRITOS EN EL REGISTRO DE VALORES O EN EL REGISTRO DE VALORES EXTRANJEROS QUE LLEVA LA CMF Y EN CONSECUENCIA, ESTOS VALORES NO ESTÁN SUJETOS A SU FISCALIZACIÓN. NO EXISTE DE PARTE DEL EMISOR OBLIGACIÓN DE ENTREGAR EN CHILE INFORMACIÓN PÚBLICA RESPECTO DE ESTOS VALORES. ESTOS VALORES NO PODRÁN SER OBJETO DE OFERTA PÚBLICA MIENTRAS NO SEAN INSCRITOS EN EL REGISTRO DE VALORES CORRESPONDIENTE.

FOR CHINESE RESIDENTS ONLY: THIS PROSPECTUS DOES NOT CONSTITUTE A PUBLIC OFFERING OF SECURITIES, WHETHER BY WAY OF SALE OR SUBSCRIPTION, IN THE PEOPLE'S REPUBLIC OF CHINA (FOR THE PURPOSE OF THIS PROSPECTUS ONLY, EXCLUDING TAIWAN, THE SPECIAL ADMINISTRATIVE REGION OF HONG KONG AND THE SPECIAL ADMINISTRATIVE REGION OF MACAO, THE "PRC"). THIS PROSPECTUS OR ANY OTHER ADVERTISEMENT, INVITATION OR DOCUMENT RELATING TO THE SHARES SHALL NOT BE DISTRIBUTED IN THE PRC OR USED IN CONNECTION WITH ANY OFFER FOR SUBSCRIPTION OR SALE OF THE SHARES IN THE PRC, EXCEPT TO THE EXTENT CONSISTENT WITH APPLICABLE LAWS AND REGULATIONS OF THE PRC. THE OFFER OR SALE OF THE SHARES HAS NOT BEEN AND WILL NOT BE FILED WITH ANY SECURITIES OR OTHER REGULATORY AUTHORITIES OR AGENCIES OF THE PRC PURSUANT TO RELEVANT SECURITIES-RELATED OR OTHER LAWS AND REGULATIONS AND MAY NOT BE OFFERED OR SOLD WITHIN PRC THROUGH A PUBLIC OFFERING OR IN CIRCUMSTANCES WHICH REQUIRE AN EXAMINATION OR APPROVAL OF OR REGISTRATION WITH ANY SECURITIES OR OTHER REGULATORY AUTHORITIES OR AGENCIES IN THE PRC UNLESS OTHERWISE IN ACCORDANCE WITH THE LAWS AND REGULATIONS OF THE PRC.

FOR COLOMBIAN RESIDENTS ONLY: THIS PROSPECTUS IS FOR THE SOLE AND EXCLUSIVE USE OF THE ADDRESSEE AS A DETERMINED INDIVIDUAL/ENTITY, AND CANNOT BE UNDERSTOOD AS ADDRESSED OR BE USED BY ANY THIRD PARTY, INCLUDING BUT NOT LIMITED TO THIRD PARTIES FOR WHICH THE ADDRESSEE CAN LEGALLY OR CONTRACTUALLY REPRESENT, NOR ANY OF ITS SHAREHOLDERS, ADMINISTRATORS OR BY ANY OF THE EMPLOYEES OF THE ADDRESSEE. ANY MATERIAL TO BE DELIVERED IN COLOMBIA OR TO ANY PERSON LOCATED, DOMICILED OR ESTABLISHED IN COLOMBIA, SHALL BE FOR THE SOLE AND EXCLUSIVE USE OF THE RECIPIENT.

THIS PROSPECTUS HAS NOT BEEN AND WILL NOT BE FILED WITH OR APPROVED BY THE COLOMBIAN FINANCIAL SUPERINTENDENCY OR ANY OTHER REGULATORY AUTHORITY IN COLOMBIA.

THE ISSUANCE OF THE SHARES, ITS TRADING AND PAYMENT SHALL OCCUR OUTSIDE COLOMBIA; THEREFORE THE SHARES HAVE NOT BEEN AND WILL NOT BE REGISTERED BEFORE THE COLOMBIAN NATIONAL REGISTRY OF ISSUERS AND SECURITIES, NOR WITH THE COLOMBIAN STOCK EXCHANGE. THE DELIVERY OF THIS CONFIDENTIAL PROSPECTUS DOES NOT CONSTITUTE A PUBLIC OFFER OF SECURITIES UNDER THE LAWS OF COLOMBIA. THIS PROSPECTUS DOES NOT CONSTITUTE AND MAY NOT BE USED FOR, OR IN CONNECTION WITH, A PUBLIC OFFERING AS DEFINED UNDER COLOMBIAN LAW AND SHALL BE VALID IN COLOMBIA ONLY TO THE EXTENT PERMITTED BY COLOMBIAN LAW. UNDER COLOMBIAN REGULATIONS, ANY OFFERING ADDRESSED TO 100 OR MORE NAMED INDIVIDUALS OR

COMPANIES SHALL BE DEEMED TO BE AN OFFERING TO THE PUBLIC REQUIRING THE PRIOR APPROVAL OF THE COLOMBIAN FINANCIAL SUPERINTENDENCY AND LISTING ON THE COLOMBIAN NATIONAL REGISTRY OF ISSUERS AND SECURITIES.

THE SHARES MAY NOT BE SOLICITED, PUBLICLY OFFERED, TRANSFERRED, SOLD OR DELIVERED, WHETHER DIRECTLY OR INDIRECTLY, TO ANY INDIVIDUAL OR LEGAL ENTITY IN COLOMBIA.

THE ADDRESSEE ACKNOWLEDGES THE COLOMBIAN LAWS AND REGULATIONS (INCLUDING BUT NOT LIMITED TO FOREIGN EXCHANGE AND TAX REGULATIONS) APPLICABLE TO ANY TRANSACTION OR INVESTMENT MADE IN CONNECTION WITH THIS AGREEMENT AND ACKNOWLEDGES AND REPRESENTS THAT IT IS THE SOLE RESPONSIBLE PARTY FOR FULL COMPLIANCE WITH ANY SUCH LAWS AND REGULATIONS. ADDITIONALLY, COLOMBIAN INVESTORS ARE SOLELY LIABLE FOR CONDUCTING AN INVESTMENT SUITABILITY ANALYSIS AS PER THEIR APPLICABLE INVESTMENT REGIME.

FOR COSTA RICAN RESIDENTS ONLY: THIS PROSPECTUS HAS BEEN PRODUCED FOR THE PURPOSE OF PROVIDING INFORMATION ABOUT THE SHARES AND 50 INVESTORS MAY SUBSCRIBE THERETO IN COSTA RICA WHO ARE INSTITUTIONAL OR SOPHISTICATED INVESTORS IN ACCORDANCE WITH THE EXEMPTIONS ESTABLISHED IN THE REGULATIONS ON PUBLIC OFFERS OF SECURITIES. THIS PROSPECTUS IS MADE AVAILABLE ON THE CONDITION THAT IT IS FOR THE USE ONLY BY THE RECIPIENT AND MAY NOT BE PASSED ONTO ANY OTHER PERSON OR BE REPRODUCED IN ANY PART. THE SHARES HAVE NOT BEEN AND WILL NOT BE OFFERED IN THE COURSE OF A PUBLIC OFFERING OR OF EQUIVALENT MARKETING IN COSTA RICA.

THIS IS AN INDIVIDUAL AND PRIVATE OFFER WHICH IS MADE IN COSTA RICA UPON RELIANCE ON AN EXEMPTION FROM REGISTRATION BEFORE THE GENERAL SUPERINTENDENCE OF SECURITIES (“SUGEVAL”), PURSUANT TO ARTICLE 6 OF THE REGULATIONS ON THE PUBLIC OFFERING OF SECURITIES (“**REGLAMENTO SOBRE OFERTA PÚBLICA DE VALORES**”). THIS INFORMATION IS CONFIDENTIAL, AND IS NOT TO BE REPRODUCED OR DISTRIBUTED TO THIRD PARTIES AS THIS IS NOT A PUBLIC OFFERING OF SECURITIES IN COSTA RICA.

THE PRODUCT BEING OFFERED IS NOT INTENDED FOR THE COSTA RICAN PUBLIC OR MARKET AND NEITHER IS REGISTERED OR WILL BE REGISTERED BEFORE THE SUGEVAL, NOR CAN BE TRADED IN THE SECONDARY MARKET.

FOR DOMINICAN REPUBLIC RESIDENTS ONLY: THE SHARES DISCUSSED HEREIN HAVE NOT BEEN, AND WILL NOT BE, REGISTERED UNDER THE SECURITIES MARKET LAW OF THE DOMINICAN REPUBLIC (LEY DE MERCADO DE VALORES DE LA REPÚBLICA DOMINICANA, NO. 19-00 DEL 8 DE MAYO DE 2000), AS THE SAME MAY BE AMENDED OR SUPERSEDED, AND INCLUDING ANY REGULATIONS PROMULGATED THEREUNDER (THE “**DR SECURITIES LAWS**”). SUCH SHARES MAY ONLY BE OFFERED OR SOLD IN THE DOMINICAN REPUBLIC PURSUANT TO AN EXEMPTION FROM THE REGISTRATION REQUIREMENTS OF THE DR SECURITIES LAW, AND THUS THE SHARES HAVE NOT BEEN OFFERED IN ANY PUBLIC MANNER IN THE DOMINICAN REPUBLIC. ACCORDINGLY, ANY PURCHASER OF THE SHARES UNDERSTANDS THAT THE SAME WILL NOT BE SUBJECT TO REGISTRATION BEFORE OR THE SUPERVISION OF THE DOMINICAN REPUBLIC SECURITIES SUPERINTENDENCE (SUPERINTENDENCIA DE SEGUROS DE LA REPÚBLICA DOMINICANA) OR ANY OTHER AUTHORITY IN THE DOMINICAN REPUBLIC.

FOR DUBAI INTERNATIONAL FINANCIAL CENTRE RESIDENTS ONLY: THIS PROSPECTUS RELATES TO A FUND WHICH IS NOT SUBJECT TO ANY FORM OF REGULATION OR APPROVAL BY THE DUBAI FINANCIAL SERVICES AUTHORITY (“**DFSA**”). THIS PROSPECTUS IS INTENDED FOR DISTRIBUTION ONLY TO PERSONS MEETING THE CRITERIA OF A “PROFESSIONAL CLIENT” IN ACCORDANCE WITH THE DFSA’S RULES AND MUST NOT, THEREFORE, BE DELIVERED TO, OR RELIED ON BY, ANY OTHER PERSON. THE DFSA HAS NO RESPONSIBILITY FOR REVIEWING OR VERIFYING ANY PROSPECTUS OR OTHER DOCUMENTS IN CONNECTION WITH THIS FUND. ACCORDINGLY, THE DFSA HAS NOT APPROVED THIS PROSPECTUS OR ANY OTHER ASSOCIATED DOCUMENTS NOR TAKEN ANY STEPS TO VERIFY THE INFORMATION SET OUT IN THIS PROSPECTUS, AND HAS NO RESPONSIBILITY FOR IT. THE SHARES TO WHICH THIS PROSPECTUS RELATES MAY BE ILLIQUID AND/OR SUBJECT TO RESTRICTIONS ON THEIR RESALE.

PROSPECTIVE PURCHASERS SHOULD CONDUCT THEIR OWN DUE DILIGENCE ON THE SHARES. IF YOU DO NOT UNDERSTAND THE CONTENTS OF THIS PROSPECTUS YOU SHOULD CONSULT AN AUTHORIZED FINANCIAL ADVISOR.

FOR GUATEMALAN RESIDENTS ONLY: THIS PROSPECTUS, AEFS SICAV, AND THE SECURITIES DESCRIBED HEREUNDER ARE GOVERNED BY THE LAWS OF THE UNITED STATES AND ARE NOT GOVERNED BY THE LAWS OF THE REPUBLIC OF GUATEMALA, GUATEMALAN BANKING REGULATIONS, AND IS NOT SUBJECT TO THE JURISDICTION OF GUATEMALAN BANK AUTHORITIES.

THIS PROSPECTUS IS TARGETED EXCLUSIVELY TO THE ADDRESSEE; NO MASS MEDIA HAS BEEN USED TO ADVERTISE IT. IT DOES NOT CONSTITUTE AN OFFER PURSUANT TO ARTICLE 1521 OF THE GUATEMALAN CIVIL CODE. BY RECEIVING THIS PROSPECTUS, THE ADDRESSEE ACCEPTS THAT IF HE/SHE/IT IS INTERESTED IN ACQUIRING THE SHARE IT MUST APPROACH AEFS SICAV IN ITS DOMICILE AND PROVIDE IN SUCH JURISDICTION THE CONSIDERATION DESCRIBED HEREUNDER. PRIOR ANY INVESTMENT DECISION, EACH PROSPECTIVE INVESTOR SHOULD (I) CAREFULLY READ AND ASSESS THIS PROSPECTUS; (II) CONSULT WITH HIS/HER/ITS OWN COUNSEL AND ADVISORS AS TO ALL LEGAL, TAX, REGULATORY, FINANCIAL AND RELATED MATTERS CONCERNING AN INVESTMENT IN AEFS SICAV AND ITS INHERITED RISK; (III) CONSIDER AND ASSESS THE TAX IMPLICATION OF THE INVESTMENT IN HIS/HER/ITS JURISDICTION.

FOR GUERNSEY RESIDENTS ONLY: THIS PROSPECTUS MAY ONLY BE MADE AVAILABLE IN OR FROM WITHIN THE BAILIWICK OF GUERNSEY, AND ANY OFFER OR SALE OF SHARES MAY ONLY BE MADE IN OR FROM WITHIN THE BAILIWICK OF GUERNSEY, EITHER:

(I) BY PERSONS LICENSED TO DO SO UNDER THE PROTECTION OF INVESTORS (BAILIWICK OF GUERNSEY) LAW, 1987 (AS AMENDED) (THE “**POI LAW**”); OR

(II) TO PERSONS LICENSED UNDER THE POI LAW, THE INSURANCE BUSINESS (BAILIWICK OF GUERNSEY) LAW, 2002 (AS AMENDED), THE INSURANCE MANAGERS AND INSURANCE INTERMEDIARIES (BAILIWICK OF GUERNSEY) LAW, 2002 (AS AMENDED), THE BANKING SUPERVISION (BAILIWICK OF GUERNSEY) LAW, 1994 (AS AMENDED) OR THE REGULATION OF FIDUCIARIES, ADMINISTRATION BUSINESS AND COMPANY DIRECTORS, ETC (BAILIWICK OF GUERNSEY) LAW, 2000 (AS AMENDED) PROVIDED AEFS SICAV COMPLIES WITH THE APPLICABLE REQUIREMENTS OF THE POI LAW AND ALL APPLICABLE GUIDANCE NOTES ISSUED BY THE GUERNSEY FINANCIAL SERVICES COMMISSION.

THIS PROSPECTUS AND ANY OFFER OR SALE OF SHARES IN AEFS SICAV PURSUANT TO THIS PROSPECTUS ARE NOT AVAILABLE IN OR FROM WITHIN THE BAILIWICK OF GUERNSEY OTHER THAN IN ACCORDANCE WITH THE ABOVE PARAGRAPHS (I) AND (II) AND MUST NOT BE RELIED UPON BY ANY PERSON UNLESS RECEIVED OR MADE IN ACCORDANCE WITH SUCH PARAGRAPHS.

FOR HONG KONG RESIDENTS ONLY: THE CONTENTS OF THIS PROSPECTUS HAVE NOT BEEN REVIEWED BY ANY REGULATORY AUTHORITY IN HONG KONG. YOU ARE ADVISED TO EXERCISE CAUTION IN RELATION TO THE OFFER. IF YOU ARE IN ANY DOUBT ABOUT ANY OF THE CONTENTS OF THIS PROSPECTUS, YOU SHOULD OBTAIN INDEPENDENT PROFESSIONAL ADVICE.

AEFS SICAV OR THE ISSUE OF THIS PROSPECTUS HAS NOT BEEN AUTHORIZED BY THE SECURITIES AND FUTURES COMMISSION IN HONG KONG PURSUANT TO THE SECURITIES AND FUTURES ORDINANCE (CAP. 571 OF THE LAWS OF HONG KONG) (THE “**SFO**”). THE SHARES HAVE NOT BEEN AND WILL NOT BE OFFERED OR SOLD IN HONG KONG BY MEANS OF ANY PROSPECTUS, OTHER THAN (A) TO “PROFESSIONAL INVESTORS” AS DEFINED IN THE SFO AND ANY RULES MADE UNDER THAT ORDINANCE; OR (B) IN OTHER CIRCUMSTANCES WHICH DO NOT CONSTITUTE AN OFFER OR INVITATION TO THE PUBLIC WITHIN THE MEANING OF THE SFO.

FOR ISRAELI RESIDENTS ONLY: THE OFFERING UNDER THIS PROSPECTUS DOES NOT CONSTITUTE AN “**OFFER TO THE PUBLIC**” WITHIN THE MEANING OF SECTION 15(A) OF THE ISRAELI SECURITIES LAW 5728-1968, AND INVESTORS IN THE SHARES WILL NOT BE ABLE TO

RELY ON SUCH SECURITIES LAW IN MANY MATTERS RELATED TO OR DERIVING FROM THIS PROSPECTUS AND/OR THEIR INVESTMENT IN AEFS SICAV. ACCORDINGLY, EACH ISRAELI PURCHASER OF THE SHARES WILL BE REQUIRED TO MAKE CERTAIN REPRESENTATIONS AND UNDERTAKE THAT IT IS PURCHASING THE SHARES FOR INVESTMENT PURPOSES ONLY, WITH NO INTENTION TO SELL OR DISTRIBUTE THEM.

NEITHER THE AIFM NOR THE INVESTMENT MANAGER, IS REGISTERED OR INTENDS TO REGISTER AS AN INVESTMENT ADVISER OR AN INVESTMENT PORTFOLIO MANAGER UNDER THE ISRAELI REGULATION OF INVESTMENT ADVICE AND INVESTMENT PORTFOLIO MANAGEMENT LAW, 5755-1995 (THE “**INVESTMENT LAW**”). FURTHERMORE, THESE SHARES ARE NOT BEING OFFERED BY A LICENSED MARKETER OF SECURITIES PURSUANT TO THE INVESTMENT LAW. THEREFORE, AND ALL ISRAELI INVESTORS WILL BE REQUIRED TO BE “**QUALIFIED CLIENTS**” WITHIN THE MEANING OF THE INVESTMENT LAW.

FOR JAPANESE RESIDENTS ONLY: REGISTRATION PURSUANT TO ARTICLE 4, PARAGRAPH 1 OF THE FINANCIAL INSTRUMENTS AND EXCHANGE ACT OF JAPAN, AS AMENDED (THE “**FIEA**”) HAS NOT BEEN AND WILL NOT BE MADE WITH RESPECT TO THE SOLICITATION OF AN OFFER TO PURCHASE A SHARE (“**SHARE**”) OF AEFS SICAV ON THE GROUND THAT THE SOLICITATION QUALIFIES AS A “SOLICITATION FOR A SMALL NUMBER OF INVESTORS” (AS DEFINED IN ARTICLE 23-13, PARAGRAPH 4 OF THE FIEA), AND THE SHARES ARE “SECURITIES” AS DEFINED IN ARTICLE 2, PARAGRAPH 2, ITEM 6 OF THE FIEA AND BEING OFFERED IN ACCORDANCE WITH ARTICLE 2, PARAGRAPH 3, ITEM 3 OF THE FIEA WHERE THE SHARES ARE TO BE ACQUIRED BY 499 OR FEWER INVESTORS.

PROSPECTIVE INVESTORS SHOULD BE AWARE THAT THE AIFM HAS NOT BEEN AND WILL NOT BE REGISTERED UNDER THE FIEA AS “TYPE 2 FINANCIAL INSTRUMENT TRADER” (DAINISHU KINYUSHOHIN TORIHIKI GYO) NOR “INVESTMENT MANAGEMENT BUSINESS” (TOSHI UNYO GYO), AND NO TRANSFER OF SHARES SHALL BE PERMITTED IN ANY MANNER WHATSOEVER IF SUCH TRANSFER REQUIRES THE AIFM TO BE REGISTERED AS “TYPE 2 FINANCIAL INSTRUMENT TRADER” (DAINISHU KINYUSHOHIN TORIHIKI GYO) AND/OR “INVESTMENT MANAGEMENT BUSINESS” (TOSHI UNYO GYO) UNDER THE FIEA.

FOR JERSEY RESIDENTS ONLY: SHARES IN AEFS SICAV MAY NOT BE OFFERED IN JERSEY WITHOUT THE PRIOR CONSENT OF THE JERSEY FINANCIAL SERVICES COMMISSION (THE “**COMMISSION**”). PRIOR TO CIRCULATING IN JERSEY ANY OFFER IN RESPECT OF THE SHARES IN AEFS SICAV, AEFS SICAV WILL APPLY TO THE COMMISSION FOR CONSENT TO SUCH CIRCULATION PURSUANT TO ARTICLE 10(1)(C) OF THE CONTROL OF BORROWING (JERSEY) ORDER 1958. THE COMMISSION IS PROTECTED BY THE CONTROL OF BORROWING (JERSEY) LAW 1947 AGAINST LIABILITY ARISING FROM THE DISCHARGE OF ITS FUNCTIONS UNDER THAT LAW. SHARES IN AEFS SICAV ARE ONLY SUITABLE FOR SOPHISTICATED INVESTORS WHO HAVE THE REQUISITE KNOWLEDGE AND EXPERIENCE IN FINANCIAL AND BUSINESS MATTERS TO EVALUATE THE MERITS AND UNDERSTAND THE RISKS OF SUCH AN INVESTMENT.

FOR MEXICAN RESIDENTS ONLY: THE SHARES HAVE NOT BEEN REGISTERED WITH THE NATIONAL REGISTER OF SECURITIES MAINTAINED BY THE MEXICAN NATIONAL BANKING AND SECURITIES COMMISSION AND MAY NOT BE PUBLICLY OFFERED IN MEXICO. THIS PROSPECTUS MAY NOT BE PUBLICLY DISTRIBUTED IN MEXICO. THE SHARES MAY BE OFFERED AS PRIVATE OFFERING IN TERMS OF ARTICLE 8 OF THE SECURITIES MARKET LAW.

FOR NEW ZEALAND RESIDENTS ONLY: THIS OFFERING DOCUMENT DOES NOT CONSTITUTE AND SHOULD NOT BE CONSTRUED AS AN OFFER, INVITATION, PROPOSAL OR RECOMMENDATION TO APPLY FOR SHARES IN AEFS SICAV BY PERSONS IN NEW ZEALAND WHO DO NOT MEET THE CRITERIA BELOW. APPLICATIONS OR ANY REQUESTS FOR INFORMATION FROM PERSONS IN NEW ZEALAND WHO DO NOT MEET THE CRITERIA BELOW WILL NOT BE ACCEPTED.

THE OFFER OF SHARES IN AEFS SICAV IS MADE ONLY TO PERSONS WHO ARE “**WHOLESALE INVESTORS**” FOR THE PURPOSES OF THE NEW ZEALAND FINANCIAL MARKETS CONDUCT ACT 2013 (THE “**FMCA**”) AND WHO HAVE PROVIDED AN APPROPRIATE CERTIFICATE TO THE ISSUER (IF REQUIRED).

THIS PROSPECTUS AND ANY SUPPLEMENT(S) ARE NOT A PRODUCT DISCLOSURE STATEMENT FOR THE PURPOSES OF THE FMCA. THIS OFFER DOES NOT CONSTITUTE A “**REGULATED OFFER**” TO RETAIL INVESTORS FOR THE PURPOSES OF THE FMCA.

FOR OMANI RESIDENTS ONLY: THIS PROSPECTUS IS BEING SENT AT YOUR REQUEST AND BY RECEIVING THIS PROSPECTUS, THE PERSON OR ENTITY TO WHOM IT HAS BEEN ISSUED UNDERSTANDS, ACKNOWLEDGES AND AGREES THAT NEITHER THIS PROSPECTUS NOR AEFS SICAV HAVE BEEN REGISTERED OR APPROVED BY THE CENTRAL BANK OF OMAN, THE OMAN MINISTRY OF COMMERCE AND INDUSTRY, THE OMAN CAPITAL MARKET AUTHORITY OR ANY OTHER AUTHORITY IN THE SULTANATE OF OMAN, NOR IS THE SPONSOR AUTHORIZED OR LICENSED BY THE CENTRAL BANK OF OMAN, THE OMAN MINISTRY OF COMMERCE AND INDUSTRY, THE OMAN CAPITAL MARKET AUTHORITY OR ANY OTHER AUTHORITY IN THE SULTANATE OF OMAN, TO MARKET OR SELL THE SHARES WITHIN THE SULTANATE OF OMAN. THE SHARES DESCRIBED UNDER OR SOLD PURSUANT TO THIS PROSPECTUS HAVE NOT AND WILL NOT BE LISTED ON ANY STOCK EXCHANGE IN THE SULTANATE OF OMAN. NO MARKETING OF ANY FINANCIAL PRODUCTS OR SERVICES HAS BEEN OR WILL BE MADE FROM WITHIN THE SULTANATE OF OMAN AND NO SUBSCRIPTION TO ANY SECURITIES, PRODUCTS OR FINANCIAL SERVICES MAY OR WILL BE CONSUMMATED WITHIN THE SULTANATE OF OMAN. THE SPONSOR IS NOT A LICENSED BROKER, DEALER, FINANCIAL ADVISOR OR INVESTMENT ADVISOR LICENSED UNDER THE LAWS APPLICABLE IN THE SULTANATE OF OMAN, AND, AS SUCH, DOES NOT ADVISE INDIVIDUALS RESIDENT IN THE SULTANATE OF OMAN AS TO THE APPROPRIATENESS OF INVESTING IN OR PURCHASING OR SELLING SECURITIES OR OTHER FINANCIAL PRODUCTS. NOTHING CONTAINED IN THIS DOCUMENT IS INTENDED TO CONSTITUTE INVESTMENT, LEGAL, TAX, ACCOUNTING OR OTHER PROFESSIONAL ADVICE IN, OR IN RESPECT OF, THE SULTANATE OF OMAN. THIS PROSPECTUS IS CONFIDENTIAL AND FOR YOUR INFORMATION ONLY AND NOTHING IN THIS PROSPECTUS IS INTENDED TO ENDORSE OR RECOMMEND A PARTICULAR COURSE OF ACTION. YOU SHOULD CONSULT WITH AN APPROPRIATE PROFESSIONAL FOR SPECIFIC ADVICE RENDERED ON THE BASIS OF YOUR SITUATION. FURTHER, THE INFORMATION YOU HAVE BEEN PROVIDED WITH IN RELATION TO THIS PROSPECTUS DOES NOT CONSTITUTE “**MARKETING OF NON-OMANI SECURITIES**” AS CONTEMPLATED BY THE CAPITAL MARKET AUTHORITY DECISION NO. 1/2009 ISSUING EXECUTIVE REGULATION OF THE CAPITAL MARKET LAW.

FOR PANAMANIAN RESIDENTS ONLY: THESE SHARES AS WELL AS THEIR OFFER, SALE OR THEIR TRADING PROCEDURES HAVE NOT BEEN AND WILL NOT BE REGISTERED WITH THE SUPERINTENDENCY OF CAPITAL MARKETS OF THE REPUBLIC OF PANAMA. THESE SHARES ARE EXEMPT FROM REGISTRATION PURSUANT TO ARTICLE 129, ITEM 3 OF THE UNIFIED TEXT OF THE LAW DECREE N°. 1 OF JULY 8, 1999, AS AMENDED FROM TIME TO TIME, (THE “**PANAMANIAN SECURITIES ACT**”). AS A RESULT, THESE SHARES DO NOT BENEFIT FROM THE TAX INCENTIVES PROVIDED BY ARTICLES 334 THROUGH 336 OF THE PANAMANIAN SECURITIES ACT AND ARE NOT SUBJECT TO REGULATION OR SUPERVISION BY THE SUPERINTENDENCY OF CAPITAL MARKETS OF THE REPUBLIC OF PANAMA.

FOR PARAGUAYAN RESIDENTS ONLY: THIS DOES NOT CONSTITUTE A PUBLIC OFFERING OF SECURITIES OR OTHER FINANCIAL PRODUCTS AND SERVICES IN PARAGUAY. YOU ACKNOWLEDGE THAT THE SECURITIES AND FINANCIAL PRODUCTS OFFERED HEREIN WERE ISSUED OUTSIDE OF PARAGUAY. YOU ACKNOWLEDGE THAT ANY LEGAL MATTER ARISING FROM THIS OFFER SHALL NOT BE SUBMITTED TO ANY PARAGUAYAN GOVERNMENT AUTHORITY. YOU ACKNOWLEDGE THAT THE PARAGUAYAN DEPOSIT INSURANCE LEGISLATION DOES NOT INSURE INVESTMENTS IN THE OFFERED SECURITIES. THE PARAGUAYAN CENTRAL BANK (BANCO CENTRAL DEL PARAGUAY), THE PARAGUAYAN NATIONAL STOCK EXCHANGE COMMISSION (COMISIÓN NACIONAL DE VALORES DEL PARAGUAY), AND THE PARAGUAYAN BANKING SUPERINTENDENCE (SUPERINTENDENCIA DE BANCOS DEL BANCO CENTRAL DEL PARAGUAY) DO NOT REGULATE THE OFFERING OF THESE SECURITIES OR ANY OBLIGATIONS THAT MAY ARISE FROM SUCH OFFERING. YOU SHOULD MAKE YOUR OWN DECISION WHETHER THIS OFFERING MEETS YOUR INVESTMENT OBJECTIVES AND RISK TOLERANCE LEVEL.

FOR PERUVIAN RESIDENTS ONLY: THE SHARES AND THE INFORMATION CONTAINED IN THIS PROSPECTUS ARE NOT BEING MARKETING OR PUBLICLY OFFERED IN PERU AND WILL NOT BE DISTRIBUTED OR CAUSED TO BE DISTRIBUTED TO THE GENERAL PUBLIC IN PERU. THE SHARES

AND THE INFORMATION CONTAINED HEREIN HAVE NOT BEEN AND WILL NOT BE CONFIRMED, APPROVED OR IN ANY WAY SUBMITTED TO THE PERUVIAN SECURITIES AND EXCHANGE COMMISSION - *SUPERINTENDENCIA DEL MERCADO DE VALORES* (“**SMV**”) - NOR HAVE THEY BEEN REGISTERED UNDER THE PERUVIAN SECURITIES MARKET LAW (*LEY DEL MERCADO DE VALORES*), WHOSE SINGLE REVISED TEXT WAS APPROVED BY SUPREME DECREE NO. 093-2002-EF. NOTWITHSTANDING THE FOREGOING, THE SHARES AND THE INFORMATION CONTAINED HEREIN MAY BE SUBMITTED AND REGISTERED WITH PERUVIAN PENSION FUNDS - *ADMINISTRADORAS PRIVADAS DE FONDOS DE PENSIONES* (“**AFP**”), AS REQUIRED BY SUPERINTENDENCE OF BANKING, INSURANCE AND PENSION FUNDS -*SUPERINTENDENCIA DE BANCA, SEGUROS Y ADMINISTRADORAS PRIVADAS DE FONDOS DE PENSIONES* (“**SBS**”) - AS A RESULT OF PRIVATE OFFERINGS OF THE SHARES ADDRESSED TO CERTAIN INSTITUTIONAL INVESTORS IN ACCORDANCE WITH PERUVIAN REGULATIONS.

FOR SINGAPOREAN RESIDENTS ONLY: THE OFFER OR INVITATION OF THE SHARES (THE “**SHARES**”) OF AEFS SICAV, WHICH IS THE SUBJECT OF THIS PROSPECTUS, DOES NOT RELATE TO A COLLECTIVE INVESTMENT SCHEME WHICH IS AUTHORIZED UNDER SECTION 286 OF THE SECURITIES AND FUTURES ACT, CHAPTER 289 OF SINGAPORE (THE “**SFA**”) OR RECOGNIZED UNDER SECTION 287 OF THE SFA. AEFS SICAV IS NOT AUTHORIZED OR RECOGNIZED BY THE MONETARY AUTHORITY OF SINGAPORE (THE “**MAS**”) AND THE SHARES ARE NOT ALLOWED TO BE OFFERED TO THE RETAIL PUBLIC. THIS PROSPECTUS AND ANY OTHER DOCUMENT OR MATERIAL ISSUED IN CONNECTION WITH THE OFFER OR SALE IS NOT A PROSPECTUS AS DEFINED IN THE SFA AND ACCORDINGLY, STATUTORY LIABILITY UNDER THE SFA IN RELATION TO THE CONTENT OF PROSPECTUSES DOES NOT APPLY, AND YOU SHOULD CONSIDER CAREFULLY WHETHER THE INVESTMENT IS SUITABLE FOR YOU.

THIS PROSPECTUS HAS NOT BEEN REGISTERED AS A PROSPECTUS WITH THE MAS. ACCORDINGLY, THIS PROSPECTUS AND ANY OTHER DOCUMENT OR MATERIAL IN CONNECTION WITH THE OFFER OR SALE, OR INVITATION FOR SUBSCRIPTION OR PURCHASE, OF SHARES MAY NOT BE CIRCULATED OR DISTRIBUTED, NOR MAY SHARES BE OFFERED OR SOLD, OR BE MADE THE SUBJECT OF AN INVITATION FOR SUBSCRIPTION OR PURCHASE, WHETHER DIRECTLY OR INDIRECTLY, TO PERSONS IN SINGAPORE OTHER THAN (I) TO AN INSTITUTIONAL INVESTOR (AS DEFINED UNDER SECTION 304 OF THE SFA), (II) TO A RELEVANT PERSON (AS DEFINED UNDER SECTION 305(5) OF THE SFA) PURSUANT TO SECTION 305(1), OR ANY PERSON PURSUANT TO SECTION 305(2), AND IN ACCORDANCE WITH THE CONDITIONS SPECIFIED IN SECTION 305 OF THE SFA, OR (III) OTHERWISE PURSUANT TO, AND IN ACCORDANCE WITH THE CONDITIONS OF, ANY OTHER APPLICABLE PROVISION OF THE SFA.

WHERE SHARES ARE SUBSCRIBED OR PURCHASED UNDER SECTION 305 OF THE SFA BY A RELEVANT PERSON WHICH IS:

- A. A CORPORATION (WHICH IS NOT AN ACCREDITED INVESTOR (AS DEFINED IN THE SFA)) THE SOLE BUSINESS OF WHICH IS TO HOLD INVESTMENTS AND THE ENTIRE SHARE CAPITAL OF WHICH IS OWNED BY ONE OR MORE INDIVIDUALS, EACH OF WHOM IS AN ACCREDITED INVESTOR; OR
- B. A TRUST (WHERE THE TRUSTEE IS NOT AN ACCREDITED INVESTOR) WHOSE SOLE PURPOSE IS TO HOLD INVESTMENTS AND EACH BENEFICIARY OF THE TRUST IS AN INDIVIDUAL WHO IS AN ACCREDITED INVESTOR,

SECURITIES (AS DEFINED IN SECTION 2(1) OF THE SFA) OF THAT CORPORATION OR THE BENEFICIARIES’ RIGHTS AND SHARES (HOWSOEVER DESCRIBED) IN THAT TRUST SHALL NOT BE TRANSFERRED WITHIN SIX MONTHS AFTER THAT CORPORATION OR THAT TRUST HAS ACQUIRED THE SHARES PURSUANT TO AN OFFER MADE UNDER SECTION 305 OF THE SFA EXCEPT:

- 1. TO AN INSTITUTIONAL INVESTOR OR TO A RELEVANT PERSON DEFINED IN SECTION 305(5) OF THE SFA, OR TO ANY PERSON ARISING FROM AN OFFER REFERRED TO IN SECTION 275(1A) OR SECTION 305A(3)(I)(B) OF THE SFA;
- 2. WHERE NO CONSIDERATION IS OR WILL BE GIVEN FOR THE TRANSFER;
- 3. WHERE THE TRANSFER IS BY OPERATION OF LAW;

4. AS SPECIFIED IN SECTION 305A(5) OF THE SFA.

ANY REFERENCE TO THE “SFA” IS A REFERENCE TO THE SECURITIES AND FUTURES ACT, CHAPTER 289 OF SINGAPORE AND A REFERENCE TO ANY TERM AS DEFINED IN THE SFA OR ANY PROVISION IN THE SFA IS A REFERENCE TO THAT TERM AS MODIFIED OR AMENDED FROM TIME TO TIME INCLUDING BY SUCH OF ITS SUBSIDIARY LEGISLATION AS MAY BE APPLICABLE AT THE RELEVANT TIME.

FOR SOUTH KOREAN RESIDENTS ONLY: AEFS SICAV MAKES NO REPRESENTATION WITH RESPECT TO THE ELIGIBILITY OF ANY RECIPIENTS OF THIS PROSPECTUS TO ACQUIRE THE SHARES UNDER THE LAWS OF KOREA, INCLUDING, WITHOUT LIMITATION, THE FOREIGN EXCHANGE TRANSACTION LAW AND REGULATIONS THEREUNDER. THE SHARES HAVE NOT BEEN REGISTERED WITH THE FINANCIAL SERVICES COMMISSION OF KOREA (THE “FSC”) IN KOREA UNDER THE FINANCIAL INVESTMENT SERVICES AND CAPITAL MARKETS ACT OF KOREA, AND THE SHARES MAY NOT BE OFFERED, SOLD OR DELIVERED, OR OFFERED OR SOLD TO ANY PERSON FOR REOFFERING OR RESALE, DIRECTLY OR INDIRECTLY, IN KOREA OR TO ANY RESIDENT OF KOREA EXCEPT PURSUANT TO APPLICABLE LAWS AND REGULATIONS OF KOREA. FURTHERMORE, THE SHARES MAY NOT BE RESOLD TO KOREAN RESIDENTS UNLESS THE PURCHASER OF THE SHARES COMPLIES WITH ALL APPLICABLE REGULATORY REQUIREMENTS (INCLUDING, WITHOUT LIMITATION, GOVERNMENTAL APPROVAL REQUIREMENTS UNDER THE FOREIGN EXCHANGE TRANSACTION LAW AND ITS SUBORDINATE DECREES AND REGULATIONS) IN CONNECTION WITH THE PURCHASE OF THE SHARES.

FOR TAIWANESE RESIDENTS ONLY: THE OFFER OF SHARES IN AEFS SICAV HAS NOT BEEN AND WILL NOT BE REGISTERED WITH THE FINANCIAL SUPERVISORY COMMISSION OF TAIWAN, R.O.C. (“TAIWAN”) PURSUANT TO THE RELEVANT SECURITIES LAWS AND REGULATIONS AND SUCH SHARES IN AEFS SICAV MAY NOT BE OFFERED OR SOLD WITHIN TAIWAN THROUGH A PUBLIC OFFERING OR PRIVATE PLACEMENT OR IN A CIRCUMSTANCE WHICH CONSTITUTES AN OFFER OR A PRIVATE PLACEMENT WITHIN THE MEANING OF THE SECURITIES AND EXCHANGE ACT OR THE SECURITIES INVESTMENT TRUST AND CONSULTING ACT OF TAIWAN THAT REQUIRES A REGISTRATION OR APPROVAL OF THE FINANCIAL SUPERVISORY COMMISSION OF TAIWAN. NO PERSON OR ENTITY IN TAIWAN HAS BEEN AUTHORIZED OR WILL BE AUTHORIZED TO OFFER OR SELL SHARES IN AEFS SICAV IN TAIWAN.

FOR THAI RESIDENTS ONLY:

- (I) REMARKS: THE INVESTMENT CONTAINS RISKS. AN INVESTOR SHOULD STUDY INFORMATION PRIOR TO MAKING A DECISION TO INVEST.
- (II) THIS PROSPECTUS DOES NOT CONSTITUTE AN OFFER TO SELL THE SECURITIES OR A SOLICITATION OF AN OFFER TO BUY THE SECURITIES FROM ANY PERSON IN ANY JURISDICTION WHERE IT IS UNLAWFUL TO MAKE SUCH AN OFFER OR SOLICITATION. THE DISTRIBUTION AND THE OFFER AND SALE OF THE SECURITIES MAY BE RESTRICTED BY LAW IN CERTAIN JURISDICTIONS. YOU MUST COMPLY WITH ALL APPLICABLE LAWS AND REGULATIONS IN ANY JURISDICTION IN WHICH YOU RESIDE, OR RECEIVE DISTRIBUTION OF, THE MARKETING MATERIALS OR IN WHICH YOU PURCHASE, OFFER OR SELL THE SECURITIES.

FOR URUGUAYAN RESIDENTS ONLY: IN URUGUAY THE SHARES ARE BEING PLACED RELYING ON A PRIVATE PLACEMENT (“OFERTA PRIVADA”) PURSUANT TO SECTION 2 OF LAW 18, 627. THE SHARES ARE NOT AND WILL NOT BE REGISTERED WITH THE FINANCIAL SERVICES SUPERINTENDENCE OF THE CENTRAL BANK OF URUGUAY TO BE PUBLICLY OFFERED IN URUGUAY. THIS FUND IS NOT CONSTITUTED UNDER LAW NR. 16.774 AND WILL NOT BE REGISTERED WITH THE CENTRAL BANK OF URUGUAY. THE SHARES CORRESPOND TO INVESTMENT FUNDS THAT ARE NOT INVESTMENT FUNDS REGULATED BY URUGUAYAN LAW 16,774 DATED 27 SEPTEMBER 1996, AS AMENDED.

NOTICE TO FLORIDA RESIDENTS ONLY: THE SHARES HAVE NOT BEEN REGISTERED UNDER THE FLORIDA SECURITIES ACT.

IF SALES ARE MADE TO FIVE (5) OR MORE INVESTORS IN FLORIDA, ANY FLORIDA INVESTOR MAY, AT ITS OPTION, VOID ANY PURCHASE HEREUNDER WITHIN A PERIOD OF THREE (3) DAYS

AFTER IT (A) FIRST TENDERS OR PAYS TO AEFS SICAV, AN AGENT OF AEFS SICAV OR AN ESCROW AGENT THE CONSIDERATION REQUIRED HEREUNDER OR (B) DELIVERS HIS OR HER EXECUTED SUBSCRIPTION AGREEMENT, WHICHEVER OCCURS LATER. TO ACCOMPLISH THIS, IT IS SUFFICIENT FOR A FLORIDA INVESTOR TO SEND A LETTER OR TELEGRAM TO AEFS SICAV WITHIN SUCH THREE (3) DAY PERIOD, STATING THAT IT IS VOIDING AND RESCINDING THE PURCHASE. IF ANY INVESTOR SENDS A LETTER, IT IS PRUDENT TO DO SO BY CERTIFIED MAIL, RETURN RECEIPT REQUESTED, TO ENSURE THAT THE LETTER IS RECEIVED AND TO EVIDENCE THE TIME OF MAILING.

FOR INVESTORS IN OTHER U.S. STATES: IN MAKING AN INVESTMENT DECISION INVESTORS MUST RELY ON THEIR OWN EXAMINATION OF AEFS SICAV AND THE TERMS AND CONDITIONS OF THE OFFERING, INCLUDING THE MERITS AND RISKS INVOLVED. THESE SHARES HAVE NOT BEEN RECOMMENDED BY ANY UNITED STATES FEDERAL OR STATE SECURITIES COMMISSION OR REGULATORY AUTHORITY. FURTHERMORE, THE FOREGOING AUTHORITIES HAVE NOT CONFIRMED THE ACCURACY OR DETERMINED THE ADEQUACY OF THIS PROSPECTUS. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.

THESE SHARES ARE SUBJECT TO RESTRICTIONS ON TRANSFERABILITY AND RESALE AND MAY NOT BE TRANSFERRED OR RESOLD EXCEPT AS PERMITTED UNDER THE UNITED STATES SECURITIES ACT OF 1933, AS AMENDED, AND THE APPLICABLE STATE SECURITIES LAWS, PURSUANT TO REGISTRATION OR EXEMPTION THEREFROM. INVESTORS SHOULD BE AWARE THAT THEY MAY BE REQUIRED TO BEAR THE FINANCIAL RISKS OF THIS INVESTMENT FOR AN INDEFINITE PERIOD OF TIME.

APPENDIX C

ELTIF INVESTMENT RESTRICTIONS

RELEVANT DEFINITIONS

In this Appendix C, capitalised terms have the meaning ascribed to them below unless otherwise defined in the Prospectus:

“Additional Restrictions”	means, with respect to a given ELTIF Sub-Fund, any additional investment restrictions to the ELTIF Investment Restrictions and the Part II UCIs Investment Restrictions applicable to such ELTIF Sub-Fund, as set out in the relevant Annex.
“Capital”	means, at the level of an ELTIF Sub-Fund, the aggregate capital contributions and uncalled committed capital, calculated on the basis of amounts investible after deduction of all fees, charges and expenses that are directly or indirectly borne by Shareholders in such ELTIF Sub-Fund.
“CRR”	means Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms, as amended from time to time.
“Eligible Bonds”	means bonds issued pursuant to a Regulation (EU) on European green bonds, by a Qualifying Portfolio Undertaking.
“Eligible Investment”	means an ELTIF Eligible Investment Asset or an UCITS Eligible Asset.
“Eligible Securitisation”	means a simple, transparent and standardised securitisation that complies with the conditions set out in Article 18 of Regulation (EU) 2017/2402 and whose underlying exposures correspond to one of the following categories: • assets listed in Article 1, point (a)(i), (ii) or (iv) of Regulation (EU) 2019/1851; or • assets listed in Article 1, point (a)(vii) or (viii) of Regulation (EU) 2019/1851, <i>provided</i> the proceeds from the securitisation bonds are used for financing or re-financing of long-term investments.
“ELTIF Eligible Investment Assets”	has the meaning set out below under Section 3.1 below.
“ELTIF Eligible Target Fund”	has the meaning in Section 3.1d).
“ELTIF Regulation”	means Regulation (EU) 2015/760 on European long-term investments funds, as amended by Regulation (EU) 2023/606.
“ELTIF Rules”	means the ELTIF Regulation together with the ELTIF-CDR.
“ELTIF Sub-Fund”	means a Sub-Fund of AEFS SICAV that is authorised as an ELTIF and is subject to the ELTIF Rules.
“ELTIF-CDR”	Commission Delegated Regulation (EU) 2024/2759 of 19 July 2024 supplementing Regulation (EU) 2015/760 of the European Parliament and of the Council with regard to regulatory technical standards specifying when derivatives will be used solely for hedging the risks inherent to other investments of the European long-term investment fund (ELTIF), the requirements for an ELTIF’s redemption policy and liquidity management tools, the circumstances for the matching of transfer requests of units or shares of the ELTIF, certain criteria for the disposal of ELTIF assets, and

	certain elements of the costs disclosure, as amended and/or replaced from time to time.
“Equity”	means ownership interest in a Qualifying Portfolio Undertaking, represented by shares or other forms of participation in the capital of the Qualifying Portfolio Undertaking issued to its investors.
“EuSEF”	means a European Social Entrepreneurship Funds within the meaning of the Regulation (EU) No 346/2013 of 17 April 2013 on European social entrepreneurship funds.
“EuVECA”	means a European Venture Capital Funds within the meaning of the Regulation (EU) No 345/2013 of 17 April 2013 on European venture capital funds.
“Feeder ELTIF Sub-Fund”	means an ELTIF Sub-Fund which has been approved to invest at least 85% of its assets in units or shares of another ELTIF or compartment thereof authorised as an ELTIF.
“Financial Undertaking”	means any of the following: a) a credit institution as defined in point (1) of article 4(1) of CRR; b) an investment firm as defined in point (1) of article 4(1) of MiFID; c) an insurance undertaking as defined in point (1) of article 13 of Directive 2009/138/EC; d) a reinsurance undertaking as defined in article 13, point (4) of Directive 2009/138/EC e) a financial holding company as defined in point (20) of article 4(1) of CRR; f) a mixed activity holding company as defined in point (22) of article 4(1) of CRR; g) a management company as defined in point (b) of article 2(1) of UCITS Directive; or h) an AIFM as defined in point (b) of article 4(1) of AIFM Directive.
“Group”	means a group as defined in Article 2, point (11), of Directive 2013/34/EU.
“Part II UCIs Investment Restrictions”	means the investment restrictions applicable to AEFS SICAV (and its Sub-Funds) as an investment company with variable capital (<i>société d’investissement à capital variable</i>) governed by Part II of the 2010 Law.
“Qualifying Portfolio Undertaking”	has the meaning set out under Section 3.2 below.
“Quasi-Equity Instrument”	means any type of financing instrument where the return on the instrument is linked to the profit or loss of the Qualifying Portfolio Undertaking and where the repayment of the instrument in the event of default is not fully secured.
“Real Assets”	means an asset that has an intrinsic value due to its substance and properties.
“Repurchase Transaction”	means a repurchase transaction as defined in point (83) of Article 4(1) of Regulation (EU) No 575/2013.

“Securities Lending” and “Securities Borrowing”	mean any transaction in which a counterparty transfers securities subject to a commitment that the borrower will return equivalent securities at some future date or when requested to do so by the transferor, that transaction being considered as securities lending for the counterparty transferring the securities and being considered as securities borrowing for the counterparty to which they are transferred.
“Short Selling”	means an activity as defined in point (b) of Article 2(1) of Regulation (EU) No 236/2012 of the European Parliament and of the Council.
“UCITS”	means an undertaking for collective investment in transferable securities within the meaning of the UCITS Directive and the 2010 Law.
“UCITS Directive”	means Directive 2009/65/EC of the European Parliament and of the Council of 13 July 2009 on the coordination of laws, regulations and administrative provisions relating to undertakings for collective investment in transferable securities (UCITS), as amended.
“UCITS Eligible Assets”	means eligible assets under article 50(1) of the UCITS Directive.

1. GENERAL

- 1.1 Any ELTIF Sub-Fund shall comply with the investment rules and any other requirements as set out in the ELTIF Rules, which are summarized in this Appendix C (the **“ELTIF Investment Restrictions”**). In addition to complying with the ELTIF Investment Restrictions, any ELTIF Sub-Fund shall comply with the applicable Part II UCIs Investment Restrictions and Additional Restrictions (if any) and, in the event of any inconsistency between the ELTIF Investment Restrictions, the Part II UCIs Investment Restrictions and the Additional Restrictions, the more restrictive investment restrictions shall apply.

2. PORTFOLIO COMPOSITION ALLOCATION

- 2.1 An ELTIF Sub-Fund may only invest in ELTIF Eligible Investment Assets and UCITS Eligible Assets.
- 2.2 In accordance with the ELTIF Rules an ELTIF Sub-Fund must (directly or through an Intermediate Vehicle) invest at least 55% of its Capital in ELTIF Eligible Investment Assets. Unless otherwise specified with respect to a given ELTIF Sub-Fund in the relevant Annex, the exposure of an ELTIF Sub-Fund to ELTIF Eligible Investment Assets will be of at least 55% of its Capital.
- 2.3 Where an ELTIF Sub-Fund invests into ELTIF Eligible Target Funds, these ELTIF Eligible Target Funds shall be looked-through for the purpose of calculating the ELTIF Sub-Fund’s exposure to ELTIF Eligible Investment Assets.

3. ELTIF ELIGIBLE INVESTMENT ASSETS

- 3.1 **“ELTIF Eligible Investment Assets”** means assets which falls into one of the following categories:

(a) Equity or Quasi-Equity Instruments which have been:

- (i) issued by a Qualifying Portfolio Undertaking and acquired by the ELTIF Sub-Fund from that Qualifying Portfolio Undertaking or from a third party via the secondary market;
- (ii) issued by a Qualifying Portfolio Undertaking in exchange for an equity or quasi-equity instrument previously acquired by the ELTIF Sub-Fund from that Qualifying Portfolio Undertaking or from a third party via the secondary market;
- (iii) issued by an undertaking of which a Qualifying Portfolio Undertaking holds a capital participation in exchange for an equity or quasi-equity instrument acquired by the ELTIF Sub-Fund in accordance with 4.1(a)(i) or 4.1(a)(ii) above;

b) debt instruments issued by a Qualifying Portfolio Undertaking;

- c) loans granted by the ELTIF Sub-Fund to a Qualifying Portfolio Undertaking with a maturity no longer than the life of the ELTIF Sub-Fund;
- d) units or shares of one or several other ELTIFs, EuVECAs, EuSEFs, UCITS and EU AIFs managed by EU AIFMs (each an “**ELTIF Eligible Target Fund**”) provided that those ELTIF Eligible Target Funds (i) invest into Eligible Investments and (ii) have not themselves invested more than 10% of their assets in any other collective investment undertaking;
- e) Real Assets;
- f) Eligible Securitisations; and
- g) Eligible Bonds.

3.2 For the purpose of Section 3.1, a “**Qualifying Portfolio Undertaking**” shall be an undertaking that fulfils, at the time of the ELTIF Sub-Fund’s proposed initial investment in such undertaking, the following requirements:

- a) it is not a Financial Undertaking unless:
 - (i) it is not a financial holding company or a mixed-activity holding company; and
 - (ii) that Financial Undertaking has been authorised or registered more recently than five (5) years before the date of the proposed Sub-Fund’s initial investment in such Financial Undertaking;
- b) it is an undertaking which:
 - (i) is not admitted to trading on a regulated market or on a multilateral trading facility; or
 - (ii) is admitted to trading on a regulated market or on a multilateral trading facility and at the same time has a market capitalisation of no more than EUR 1 500,000,000 (or equivalent in the relevant currency of such undertaking’s market capitalisation);
- c) it is established in a Member State, or in a third country provided that the third country:
 - (i) is not identified as high-risk third-country listed in the delegated act adopted pursuant to Article 9(2) of Directive (EU) 2015/849 on AML/CTF; and
 - (ii) is not mentioned in Annex I to the Council conclusions on the revised EU list of non-cooperative jurisdictions for tax purposes.

3.3 By way of derogation from Section 3.2, a Qualifying Portfolio Undertaking may be a Financial Undertaking that exclusively finances Qualifying Portfolio Undertakings referred to in Section 3.2 or Real Assets referred to in Section 3.1.e).

4. UCITS ELIGIBLE ASSETS

4.1 An ELTIF Sub-Fund may (directly or through an Intermediate Vehicle) invest up to 45% of its Capital in UCITS Eligible Assets.

5. PORTFOLIO DIVERSIFICATION RULES APPLICABLE TO ELTIF SUB-FUND MARKETING TO RETAIL INVESTORS

5.1 An ELTIF Sub-Fund marketed to Retail Investors shall not invest more than:

- a) 20% of its Capital in instruments issued by, or loans granted to, any single Qualifying Portfolio Undertaking;
- b) 20% of its Capital directly or indirectly in a single Real Asset;

- c) 20% of its Capital in units or shares of any single ELTIF Eligible Target Fund; and
 - d) 10% of its Capital in UCITS Eligible Assets where those UCITS Eligible Assets have been issued by any single body.
- 5.2 The aggregate value of Eligible Securitisation in an ELTIF Sub-Fund's portfolio shall not exceed 20% of the value of the ELTIF Sub-Fund's Capital.
- 5.3 The aggregate risk exposure of an ELTIF Sub-Fund to a counterparty of the relevant ELTIF Sub-Fund stemming from over-the-counter (OTC) derivative transactions, repurchase agreements, or reverse repurchase agreements shall not exceed 10% of the value of the ELTIF Sub-Fund's Capital.
- 5.4 By way of derogation from 5.3 above, an ELTIF Sub-Fund may raise the 10% limit referred to therein to 25% where bonds are issued by a credit institution which has its registered office in a Member State and is subject by law to special public supervision designed to protect bond-holders. In particular, sums deriving from the issue of those bonds will be invested in accordance with the law in assets which, during the whole period of validity of the bonds, are capable of covering claims attaching to the bonds and which, in the event of failure of the issuer, would be used on a priority basis for the reimbursement of the principal and payment of the accrued interest.
- 5.5 Companies which are included in the same Group for the purposes of consolidated accounts, as regulated by Directive 2013/34/EU of the European Parliament and of the Council or in accordance with recognised international accounting rules, will be regarded as a single Qualifying Portfolio Undertaking or a single body for the purpose of calculating the limits referred to in this Section 5.
- 5.6 Where an ELTIF Sub-Fund invests into ELTIF Eligible Target Funds, these ELTIF Eligible Target Funds will be looked-through for the purpose of calculating the portfolio diversification rules listed in this Section 5.
- 5.7 For the avoidance of doubt, the portfolio diversification rules listed under this Section 5 do not apply to an ELTIF Sub-Fund that is solely marketed to Professional Investors.
- 6. **BORROWING OF CASH BY AN ELTIF SUB-FUND**
- 6.1 An ELTIF Sub-Fund may borrow cash provided that such borrowing fulfils all of the following conditions:
 - a) it represents no more than:
 - (i) 50% of the net asset value of an ELTIF Sub-Fund marketed to Retail Investors; or
 - (ii) 100% of the net asset value of an ELTIF Sub-Fund marketed solely to Professional Investors;
 - b) it serves the purpose of making investments or providing liquidity, including to pay costs and expenses, provided that the holdings in cash or cash equivalents of the ELTIF Sub-Fund are not sufficient to make the investment concerned;
 - c) it is contracted in the same currency as the assets to be acquired with the borrowed cash or in another currency where currency exposure has been appropriately hedged;
 - d) it has a maturity no longer than the life of the ELTIF Sub-Fund.
- 6.2 Where an ELTIF Sub-Fund invests into ELTIF Eligible Target Funds, the cash borrowing positions of the ELTIF Sub-Fund and of these ELTIF Eligible Target Funds will be taken into account for the purpose of calculation the ELTIF Borrowing Limit of such ELTIF Sub-Fund.
- 6.3 Without prejudice to Section 6 above, the maximum level of borrowing of an ELTIF Sub-Fund will be set out in the relevant Annex (the "**ELTIF Borrowing Limit**").

- 6.4 When borrowing cash, an ELTIF Sub-Fund may encumber assets to implement its borrowing strategy, in accordance with the other provisions of this Prospectus and the Articles.
- 6.5 To the extent applicable to an ELTIF Sub-Fund, borrowing arrangements that are fully covered by investors' capital commitments shall not be considered to constitute borrowing for the purpose of this Section 6.

7. APPLICATION OF PORTFOLIO COMPOSITION ALLOCATION, PORTFOLIO DIVERSIFICATION RULES AND THE ELTIF BORROWING LIMIT

ELTIF Portfolio Ramp-Up Period

- 7.1 The portfolio composition rules set out under Section 2 of this Appendix C and the portfolio diversification rules set out under Section 5 of this Appendix C (to the extent applicable to the relevant ELTIF Sub-Fund) of a given ELTIF Sub-Fund will:
- a) apply by the date set forth in the relevant Annex;
 - b) cease to apply once the relevant ELTIF Sub-Fund starts to sell assets in order to redeem Shares after the end of the life of such ELTIF Sub-Fund; and
 - c) be temporarily suspended where such ELTIF Sub-Fund raises additional Capital or reduces its existing Capital, so long as such a suspension lasts no longer than twelve (12) months.
- 7.2 The date referred to under Section 7.1(a) shall be no later than either five (5) years after the initial subscription date of the relevant ELTIF Sub-Fund or half the life of the ELTIF Sub-Fund, whichever is earlier (the “**ELTIF Portfolio Effective Date**”). The period of time starting on the date of the authorisation of the Sub-Fund as an ELTIF and the ELTIF Portfolio Effective Date is referred to as the “**ELTIF Portfolio Ramp-Up Period**”. The ELTIF Portfolio Ramp-Up Period may be extended for up to one (1) year by the CSSF at its discretion upon duly justified request submitted by the Board of Directors. Should the ELTIF Portfolio Ramp-Up Period be extended, the Shareholders will be duly informed as per the provisions of this Prospectus governing Shareholders' information right.
- 7.3 Where an asset in which an ELTIF Sub-Fund has invested is issued by a Qualifying Portfolio Undertaking that no longer complies with Section 3.2, the asset may continue to be counted as an ELTIF Eligible Investment Assets for a maximum of three (3) years from the date on which the Qualifying Portfolio Undertaking no longer fulfils the requirements of Section 3.2.

ELTIF Borrowing Ramp-Up Period

- 7.4 The ELTIF Borrowing Limit of a given ELTIF Sub-Fund will:
- apply by the date set forth in the relevant Annex, provided that such date shall be no later than three (3) years following the ELTIF Sub-Fund's initial subscription date; and
 - be temporarily suspended where such ELTIF Sub-Fund raises additional Capital or reduces its existing Capital, so long as such a suspension lasts no longer than twelve (12) months.

8. CONCENTRATION RULES APPLICABLE TO AN ELTIF SUB-FUND MARKETING TO RETAIL INVESTORS

- 8.1 An ELTIF Sub-Fund may acquire no more than 30% of the units or shares of a single ELTIF Eligible Target Fund. The concentration limit referred to in this Section 8 shall not apply to a Feeder ELTIF Sub-Fund.
- 8.2 The concentration limits laid down in article 56(2) of the UCITS Directive will apply to investments made by an ELTIF Sub-Fund in UCITS Eligible Assets.
- 8.3 For the avoidance of doubt, the concentration rules set out in this Section 8 do not apply to an ELTIF Sub-Fund that is solely marketed to Professional Investors.

9. RECTIFICATION OF INVESTMENT POSITIONS IN AN ELTIF SUB-FUND MARKETED TO RETAIL INVESTORS

- 9.1** In the event that an ELTIF Sub-Fund marketed to Retail Investors infringes the portfolio composition, diversification or concentration rules listed under Section 5 above or the ELTIF Borrowing Limit and the infringement is beyond the control of the Investment Manager, the Investment Manager will, within an appropriate period of time, take such measures as are necessary to rectify the position, taking due account of the interests of the Shareholders.

10. PROHIBITED ACTIVITIES

- 10.1** An ELTIF Sub-Fund will not undertake any of the following activities (each, an “**ELTIF Prohibited Activity**”):

- Short Selling of Eligible Investments;
- taking direct or indirect exposure to commodities, including via financial derivative instruments, certificates representing them, indices based on them or any other means or instrument that would give an exposure to them;
- entering into Securities Lending, Securities Borrowing, Repurchase Transactions, or any other agreement which has an equivalent economic effect and poses similar risks, if thereby more than 10% of the gross assets of such ELTIF Sub-Fund are affected;
- using financial derivative instruments, except where the use of such instruments solely serves the purpose of hedging risks inherent to other investments of such ELTIF Sub-Fund, subject to the conditions set out in the ELTIF-CDR; and

- 10.2** Notwithstanding anything to the contrary herein an ELTIF Sub-Fund will not invest in an ELTIF Eligible Investment Asset in which the AIFM has or takes a direct or indirect interest, other than by holding units or shares of ELTIF Eligible Target Funds that the AIFM manages.

11. MISCELLANEOUS

For the avoidance of doubt, the AIFM and undertakings that belong to the same Group and their respective staff, may co-invest in an ELTIF Sub-Fund and co-invest with such ELTIF Sub-Fund in the same asset. In connection thereof, the AIFM confirms that it has put in place organizational and administrative arrangements designed to identify, prevent, manage and monitor conflicts of interest whose conflicts are disclosed in this Section in further details.